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CIVIL PROCEDURE CASES AND MATERIALS

Thirteenth Edition



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PREFACE

This Thirteenth Edition offers an up-to-date and accessible approach to the study of Civil Procedure. Students tend to find Civil Procedure the most mysterious of their law school courses. Our goal in this edition is to present the material in a clear and engaging manner that also is challenging and rigorous. Because courses in Civil Procedure vary greatly as to the hours allotted, the extent to which they are mandatory or optional, and the law school year or years when students are expected to enroll in them, we have designed this edition for maximum flexibility in terms of an individual classroom’s coverage, depth, sensibility, and emphasis.

This revised edition reflects up-to-date amendments to the Federal Rules of Civil Procedure and covers important new Supreme Court cases on personal jurisdiction, federal jurisdiction, and other topics relevant to the first-year course. The edition addresses not simply doctrinal change, but also the still uncertain effects of new technology, globalism, and privatization on the system of civil justice. The edition also responds to the many helpful comments from judges, practitioners, colleagues, and students at the large number of schools in which earlier editions have been used. Our conversations confirm our own conclusion that the book is and continues to be a highly successful teaching tool, and we have preserved the basic format and much of the material from the Twelfth Edition. In our view, many older cases continue to serve as excellent teaching vehicles because of their length, focus, or open-ended nature. Where we have deleted earlier material, our preference has been to substitute contemporary cases in which the facts are interesting, in which the conflicting policies seem to be in a state of equilibrium, or in which the context has extrinsic fascination, rather than materials that offer a tight monograph on various aspects of procedure. In addition, we have streamlined and synthesized some earlier notes and cases to make room for cutting-edge issues and to allow the students to self-assess and to engage in strategic thinking.

The Thirteenth Edition, like its predecessors, places substantial emphasis on the operation of the Federal Rules of Civil Procedure, but also includes state and foreign examples to enable a comparative approach. The materials in this volume refer to and are augmented by a Supplement, which contains not only the federal statutes and rules governing procedure, but also selected state provisions for comparison. A number of other materials, such as Advisory Committee notes, proposed rule alterations, and local court rules, also are included. The Supplement contains a litigation flow chart and an illustrative litigation problem, showing how a case develops in practice and samples of the documents that actually might have formed a portion of the record. These samples are not designed as models to be emulated. To the contrary, they often contain defects intended to encourage criticism from students in light of knowledge they have obtained from the cases and classroom discussion. The Supplement also includes complaints from two principal cases and one note case.

The cases and excerpts from other materials have been edited carefully to shorten them and to clarify issues for discussion. With regard to footnotes, the same numbering appears in the casebook as appears in the original sources; our footnotes are indicated by letters. Our omissions are indicated with asterisks, and where there might be any ambiguity, we provide clarifying information in a footnote.

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CHAPTER 1

A SURVEY OF THE CIVIL ACTION



This chapter provides a thematic and doctrinal framework for studying civil procedure. The materials examine how adversarial assumptions about party autonomy influence the design of judicial procedures. They also explore the ways in which adversarial decisionmaking differs from other methods of resolving disputes. Another theme we consider is that of federalism: the relation between the federal government and its national court system, and that of the states and their separate judicial systems. The materials then offer a nuts-and-bolts picture of a civil action, tracing a lawsuit from its commencement and the service of the summons to the entry of judgment and subsequent appeals. As you read these materials, keep in mind the historical context of your studies. Procedural doctrine dates back to medieval times, and its evolution reflects changes in social, economic, and political conditions. Likewise, changes in procedure have influenced public expectations about important concepts such as fairness, participation, and justice. The materials invite you to take a critical view of civil procedure and to ask how the rules and doctrine that you are studying can be improved.

A. THE CONCERN AND CHARACTER OF CIVIL PROCEDURE

Courts exist to provide a decision “by an agent of state power, [of] a controversy existing between two individuals (or the State and an individual), by rational (not merely personal) considerations, purporting to rest on justice and law (i.e. the community’s general sense of order).” Wigmore, *The Judicial Function*, in Science of Legal Method xxvi, xxviii (1917). Although this definition contains some question-begging elements that need definition themselves, it provides a starting point for understanding the United States judicial system. For now, it will suffice to recognize the following points about courts:

- (1)The judicial process deals with actual controversies between real parties and also helps to express abstract values for society.
- (2)Courts draw on public power to resolve controversies.
- (3)This resolution proceeds not arbitrarily but according to some standards of general application.

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- (4)These standards are applied in a proceeding that follows some fixed lines set out by a system of rules known as procedure.

In resolving the legal disputes that are presented, courts apply two types of law—*substantive* and *procedural*. Other courses (such as Torts and Contracts) deal with the substantive rights and duties that regulate everyday relationships. This course, by contrast, will explore the procedures used by courts to resolve disputes about those substantive rights and duties. Our focus will be on how attorneys in the United States frame their cases in order to bring them properly before a particular court, and how the case proceeds from its commencement until a judgment is reached and enforced.

It is interesting but sometimes frustrating that the line separating the substantive law from the procedural law is not clear in every instance. Certainly a requirement that all papers filed with a particular court be on 8½ by 14-inch paper is a procedural rule. Equally certain is that the elements of the law of assault and battery are substantive. But not every legal rule can be so easily classified. For example, a statute of limitations (which determines the length of time a party has to sue on a claim) may appear at first glance to be purely procedural. But upon closer examination, it becomes clear that the length of a jurisdiction’s statute of limitations is as much a product of public policy, and will affect plaintiff’s ability to recover, as any purely “substantive” provision of the jurisdiction’s law. As a student of civil procedure, keep your eye on the substance-procedure dichotomy, but also remain wary of its rigid application.

This course deals with the procedural questions presented in civil suits; the aspects of criminal suits will not concern us. The principal difference between civil and criminal suits is that the former generally are initiated and litigated by private parties attempting to vindicate their legal rights vis-à-vis other private parties. The community thus is seeking to provide a method for resolving the disputes that arise out of private relations, which include commercial and personal interactions. Criminal suits are instituted and prosecuted by the government (on behalf of “the People”) in an effort to punish those individuals whose conduct has violated the community’s moral judgments as expressed in its penal law. Government involvement, however, is not always an indicator of a criminal suit since the government often is a party to civil suits (for example, when an agency brings an action to enforce regulations), and can be either a plaintiff or a defendant.

The most distinctive element of our procedure for resolving legal controversies is the *adversary system*. The central feature of this system is the almost total responsibility placed on the parties to the controversy for beginning suit, for shaping the issues, and for presenting evidence. The judge who presides over the proceeding is conceptualized as that of a

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passive umpire. By contrast, the courts in civil law countries employ what traditionally was known as an *inquisitorial system*, although that term has fallen out of use as obscuring, rather than clarifying, important features. Under this model, the court conducts an active and independent inquiry into the merits of each case, which may include having the judge question and examine witnesses, as well as order certain fact finding.

It has been argued that the trend in the United States is toward increasing the affirmative or active functions of the court. This is evidenced by the participation of the judge as an active case manager with respect to such matters as pretrial discovery and the settlement process. Nonetheless, primary responsibility for and control of almost all phases of the adversarial proceeding still remain with the parties.

Despite criticisms of the adversary system, this mode of decisionmaking continues to exist in many parts of the world. Four explanations typically are put forward to explain its perseverance:

- (1)A truer decision is reached as the result of a contest directed by interested parties.
- (2)The parties, who after all are the ones principally interested in the controversy’s resolution, should bear the major burden of the time and energy required.
- (3)Although impartial investigation may be better when no final decision need be reached, setting up sides makes easier the type of yes-or-no decision that is thought to be necessary in most lawsuits.
- (4)Since resort to law has replaced the resort to force that characterized primitive ages, the atavistic instinct to do battle is better satisfied by a means of settling disputes that is very much in the hands of the parties.

When one reflects on the fact that the adversary system often means that victory will turn on considerations other than the justice or true merits of the cause, there is reason to believe that we have permitted it to assume an exaggerated place in our civil dispute resolution scheme. But the system remains and its presence will color every facet of this course. Full understanding of the materials in this book will require your constant attention to its existence, as well as critical analysis of its shortcomings.

What is the test of a good system of procedure? One answer is: *Does it tend to lead to the just and efficient determination of legal controversies?* In this regard, recognize that although this course is only an introduction to United States civil procedure, do not assume that your function is to digest uncritically the law you read. Instead, this course will play an integral part in your process of learning to

examine, to question, and “to wash in cynical acid” each rule, each form, and each principle you learn. While doing so,

keep in mind that the values informing a system of procedure are many, diverse, and complex.

NOTES AND QUESTIONS

1.What are the values that ought to guide a system of civil procedure? The passages that follow offer different views on this issue.

(a) Solum, *Procedural Justice*, 78 S.Calif.L.Rev. 181, 321 (2004).

The Participation Principle requires that the arrangements for the resolution of civil disputes be structured to provide each interested party with a right to adequate participation. The Accuracy Principle requires that the arrangements for the resolution of civil disputes be structured to maximize the chances of achieving the legally correct outcome in each proceeding. Together, the two principles provide guidance where guidance is needed, both for the architects of procedural design and reform and for judges who apply general procedural rules to particular cases.

(b) Michelman, *The Supreme Court and Litigation Access Fees: The Right to Protect One’s Rights—Part I*, 1973 Duke L.J. 1153, 1172–73 (footnotes omitted).

Dignity values reflect concern for the humiliation or loss of self-respect which a person might suffer if denied an opportunity to litigate. *Participation values* reflect an appreciation of litigation as one of the modes in which persons exert influence, or have their wills “counted,” in societal decisions they care about. *Deterrence values* recognize the instrumentality of litigation as a mechanism for influencing or constraining individual behavior in ways thought socially desirable. *Effectuation values* see litigation as an important means through which persons are enabled to get, or are given assurances of having, whatever we are pleased to regard as rightfully theirs.

(c)Posner, *Economic Analysis of Law* § 22.1 (9th ed. 2014).

The objective of a procedure system, viewed economically, is to minimize the sum of two types of cost. The first is the cost of erroneous judicial decisions. Suppose the expected cost of a particular type of accident is \$100 and the cost to the potential injurer of avoiding it is \$90 (the cost of avoidance by the victim, we will assume, is greater than \$100). If the potential injurer is subject to either a negligence or a strict liability standard, he will avoid the accident—assuming the standard is administered accurately. But suppose that in 15 percent of the cases in which an accident occurs, the injurer can expect to avoid liability because of erroneous factual determinations by the procedural system. The expected cost of the accident to him will fall to \$85, and since this is less than the cost of avoidance to him

(\$90), the accident will not be prevented. The result will be a net social loss of \$10—or will it?

We must not ignore the cost of operating the procedural system. Suppose that to reduce the rate of erroneous failures to impose liability from 15 percent to below 10 percent that would require an additional investment in procedure of \$20 per accident. Then we should tolerate the 15 percent of probability of error, because the cost of error (\$10) is less than the cost necessary to eliminate it (\$20).

The author goes on to ask, “What if the purpose of the substantive rule in question is not to improve efficiency? In what sense could we still speak of the goal of procedure as being the minimization of the sum of error and direct costs?” Id.

Is it clear that all of the values identified can be incorporated in a single procedural system? Will accommodation inevitably lead to tradeoffs? See Morrison, *The Necessity of Tradeoffs in a Properly Functioning Civil Procedure System*, 90 Or.L.Rev. 993 (2012). If there must be tradeoffs, how should they be determined and by whom? By the legislature? The parties? The courts? See Sward, *Values, Ideology and the Evolution of the Adversary System*, 64 Ind.L.J. 301, 303 (1988/1989). And should these tradeoffs be done on a case-by-case basis or through a formal process of rulemaking? See Mulligan & Staszewski, *The Supreme Court’s Regulation of Civil Procedure: Lessons from Administrative Law*, 59 UCLA L.Rev. 1188 (2012). What are the consequences of giving one value precedence over another?

2. Judicial decisionmaking often is said to serve two distinct but interrelated social goals. The first goal is that of conflict resolution—“in the interests of preserving the peace, society offers through the courts a mechanism for the impartial judgment of personal grievances, as an alternative to retaliation or forcible self-help.” The second goal is that of behavior modification—“courts and civil process [serve] as a way of altering behavior by imposing costs on a person. Not the resolution of the immediate dispute but its effect on the future conduct of others is the heart of the matter.” Scott, *Two Models of the Civil Process*, 27 Stan.L.Rev. 937, 937–38 (1975).

3. Studies show that a losing party’s acceptance of an unfavorable judgment often turns on a perception that the court reached its decision through a fair process. A leading commentary links the concept of fair process (sometimes called procedural fairness) with four principles: “voice,” or the opportunity to present one’s own side of a story; “neutrality,” or the decisionmaker’s lack of bias and adherence to rules; “respect,” or the system’s treatment of the participants as important and valued, regardless of their social or economic status; and “trust,” or the view that the court system is serving a public function and is committed to its mission. Tyler, *Procedural Justice and the Courts*, 44 Ct.Rev. 26, 28–31 (2007–2008); see Thibaut & Walker, *A Theory of Procedure*, 66 Calif.L.Rev. 541 (1978). Should the court’s process differ depending on the substantive law underlying the dispute? See

West, *The Limits of Process*, in *Getting to the Rule of Law: Nomos L*, 32–51 (Fleming ed. 2011).

4. In *Avista Mgmt., Inc. v. Wausau Underwriters Ins. Co.*, 2006 WL 1562246 (M.D.Fla. 2006), the parties could not agree on where to hold a deposition and sought the court’s intervention. In response, the judge ordered the parties to meet on the front steps of the courthouse and to “engage in one (1) game of ‘rock, paper, scissors.’ ” The winner would select the deposition’s location, although the loser could appeal the outcome to the judge. Was it appropriate to use a children’s game to resolve the parties’ disagreement? What if the court had ordered the parties to draw lots? See Brown, *Casting Lots: The Illusion of Justice and Accountability in Property Allocation*, 53 *Buff.L.Rev.* 65 (2005).

5. Beginning in 2020, courts throughout the United States made dramatic changes in response to the COVID-19 pandemic. Among other things, “the ‘day in court’ ideal took on new meaning as litigants found themselves outside the public space of a brick-and-mortar courthouse and instead required to participate remotely in electronic proceedings.” Hershkoff & Miller, *Courts and Civil Justice in the Time of COVID: Emerging Trends and Questions to Ask*, 23 *N.Y.U.J.Legis. & Pub.Pol’y* 321, 411 (2021). What impact do such changes have on the procedural values discussed above? Although the pandemic made it especially imperative to deploy new technologies, technological advances have affected civil procedure in myriad ways independent of COVID’s public health emergency. See Engstrom & Gelbach, *Legal Tech, Civil Procedure and the Future of Adversarialism*, 169 *U.Pa.L.Rev.* 1001 (2021); Koh, *The “Gants Principles” for Online Dispute Resolution: Realizing the Chief Justice’s Vision for Courts in the Cloud*, 62 *B.C.L.Rev.* 2768 (2021).

B. AN OUTLINE OF THE PROCEDURE IN A CIVIL ACTION

Lawsuits do not begin by themselves. Someone must first decide to sue someone else. If this decision is made intelligently, the person choosing to sue must have weighed several matters, among which at least three are basic. These three considerations are first, whether legal relief is available; second, what the probability of winning a lawsuit is; and third, whether what would be won is worth the burden of litigating.

A potential litigant obviously feels aggrieved or would not be thinking of a lawsuit, but before litigating must first consider whether the grievance is one for which the law furnishes relief. There are a great many hurts a person may feel that the law will not redress. A home owner is offended by the paint on a neighbor’s house; a manufacturer has worked for weeks to persuade a distributor to buy a brand of software and sees the sale go to a competitor; a property owner has been holding a plot of ground for speculation, expecting industry to move in, and the area is zoned for

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residential use; a visitor slips on a spot of grease in the county courthouse but the county is immune from suit. A potential litigant often must consult an attorney before deciding whether there is a case to be litigated.

Even if the grievance is one for which the courts will grant relief, a potential litigant secondly must consider the probability of winning a lawsuit. The answer turns on a number of factors: whether the person who has caused the injury can be found and brought into court; whether witnesses and documents will be available to support the claims being sued on; whether this proof will be believed; whether the potential adversary can justify its conduct or establish any defenses to the action; and whether an accurate assessment of the law can be made ahead of time.

Thirdly, and perhaps most importantly of all, a potential litigant must consider whether what is won will be worth the time, the effort, and the expense that litigating it will cost. Most significantly, this includes the payment of fees to an attorney who provides representation in the case. In the United States, each litigating party typically bears the full costs of these attorney’s fees—this is called the American Rule. These fees are calculated in several ways: by time (at an hourly rate); fixed (the attorney sets the fee prior to providing the services); task-based (the attorney charges a fee based on the nature of the tasks provided to the client); or on contingency (the attorney is paid a portion of the ultimate judgment awarding money damages or settlement). By contrast, the more widely accepted “English Rule” requires the losing party to pay the attorney’s fees of the prevailing party. Congress has enacted “fee-shifting” statutes that require the losing party to pay the attorney’s fees of the prevailing party in certain kinds of cases, such as antitrust and civil rights, and many states have enacted similar provisions. The purpose of these statutes is to create incentives for individuals to initiate lawsuits in a role described as that of “private attorneys general.” See Maxeiner, *Cost and Fee Allocation in Civil Procedure*, 58 *Am.J.Comp.L.* 195, 201 (2010). A prospective litigant must weigh the costs of a lawsuit against other possibilities, among them settlement, arbitration, self-help, and letting matters rest. How easily will someone who lacks economic resources, and cannot retain counsel, be able to access judicial remedies through civil litigation? See Resnik, *Lawyers’ Ethics Beyond the Vanishing Trial: Unrepresented Claimants, De Facto Aggregations, Arbitration Mandates, and Privatized Processes*, 85 *Fordham L.Rev.* 1899, 1916–18 (2017) (noting that more than twenty-five percent of civil plaintiffs in federal court lack counsel at the trial level and more than fifty percent of federal civil appeals are filed without counsel); Steinberg, *A Theory of Civil Problem-Solving Courts*, 93 *N.Y.U.L.Rev.* 1579, 1596 (2018) (“According to the National Center for State Courts, seventy-six percent of cases in the civil courts now involve an unrepresented party.”).

Further, attention must be given to the form that the relief will take. Most frequently it will be restricted to a judgment for damages. The

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potential litigant thus needs to consider whether the injury is one for which a monetary payment will be satisfactory. Assuming it is, will defendant be rich enough to pay? How difficult will a judgment be to collect? How expensive? Will the recovery be enough to pay

the lawyer’s fees and the other litigation expenses that undoubtedly will be incurred? Even in a context in which the court may grant specific relief—for example, an order directing the opposing party to do something or to stop doing something—will compliance by defendant be possible? Worthwhile? Sufficient? In the same vein, a potential litigant must consider whether there are risks not directly tied to the suit. Will filing a lawsuit antagonize people whose goodwill plaintiff needs? Will the action publicize an error of judgment on plaintiff’s part or open private affairs to public gaze?

Only after considerable thought about the utility and expense of litigation will the prospective plaintiff be ready for the steps that must be taken to bring a lawsuit. Let us now consider these steps in the light of a relatively uncluttered hypothetical case:

Aikin, while crossing the street in front of her private home, was struck and seriously injured by an automobile driven by Beasley. On inquiry, Aikin found that the automobile was owned by Cecil and that Beasley apparently had been in Cecil’s employ. Beasley was predictably without substantial assets and a judgment against him for Aikin’s injuries promised little material compensation. But Cecil was wealthy, and Aikin was advised that if she could establish that Beasley had indeed been working for Cecil and had been negligent, she then could recover from Cecil. Aikin decided to sue Cecil for \$500,000.

1.SELECTING A PROPER COURT

Aikin initially must determine in which court to bring the action. She might have some choice between filing her lawsuit in a state or a federal court, but her choice is not open-ended. This is because the court selected must have *jurisdiction over the subject matter* (that is, the constitution and statutes under which the court operates must have conferred upon it power to decide this type of case) and also must have *jurisdiction over the person* of Cecil (that is, Cecil must be subject or amenable to suit in the state in which the court is located so that a judgment may be entered against him).

Aikin probably will bring suit in a state court, for the subject-matter jurisdiction of the federal courts is limited. If the court organization of Aikin’s state is typical, there will be courts of original jurisdiction in which cases are brought and tried, and one court of appellate jurisdiction that sits, with rare exceptions, only to review the decisions of lower courts. (In most states, there also will be a group of intermediate courts of appellate jurisdiction.) The courts of original jurisdiction probably consist of one set

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of courts of general jurisdiction and several sets of courts of inferior jurisdiction. “General” in this sense refers to a court’s power to decide any type of dispute that comes before it, as distinguished from jurisdiction that is limited to specific kinds of disputes.

Typically, a state’s courts of general jurisdiction are organized into districts comprising one or more counties, or demarcated along other geographic lines. These district courts hear cases of many kinds and are competent to grant every kind of relief, but usually are authorized to hear claims for which the relief requested exceeds a statutorily fixed dollar amount. The courts of inferior jurisdiction can include municipal courts, which have jurisdiction resembling that of the district courts except that the claims are of smaller financial significance; justice-of-the-peace courts, which hear very minor matters; and specialized tribunals such as traffic courts. Since Aikin’s injuries are quite serious and her claim is correspondingly large, she will, if she sues in a state court, bring the action in one of the district courts.

The federal government also operates a system of courts. The principal federal courts are the United States District Courts, courts of original jurisdiction of which there is at least one in every state; the United States Courts of Appeals, each of which reviews the decisions of federal district courts in the several states within its circuit (with the exception of the Courts of Appeals for the District of Columbia Circuit and the Federal Circuit); and the Supreme Court of the United States, which has discretionary authority to review the decisions of federal courts and decisions of state courts that involve an issue of federal law. At all these levels, federal judges are appointed by the President and confirmed by the Senate, and they have lifetime tenure pursuant to Article III of the Constitution. Congress has also authorized other kinds of judicial personnel—including United States Magistrate Judges and United States Bankruptcy Judges—who do not enjoy the protections of Article III.

The subject-matter jurisdiction of the United States District Courts extends to many, but by no means all, cases involving federal law, and also to many cases, similar to Aikin’s, that do not involve federal law; the latter are cases in which there is *diversity of citizenship* (the parties are citizens of different states or one of them is a citizen of a foreign country) and the required *amount in controversy* (currently more than \$75,000) is at stake. Diversity jurisdiction, in common with jurisdiction to hear cases arising under federal law, is not exclusive to the courts of the federal system. Rather, the state courts also are competent to hear these cases and have concurrent jurisdiction with the United States District Courts unless Congress has made jurisdiction exclusive to the federal courts. If Cecil is not a citizen of Aikin’s state, Aikin may bring an action for \$500,000 in a federal court even though it asserts only state law claims. Indeed, in these circumstances, if Aikin sued Cecil in a state court in Aikin’s home state,

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Cecil could “remove” the action from the state court in which it was commenced to the federal district court in that state.^a

It is not enough for the court selected by Aikin to have jurisdiction over the subject matter. That court, whether state or federal, also must be one in which Cecil can be required to appear so that it is appropriate for the legal system to enter a judgment against him. Traditionally, a court could enter a judgment only against a defendant who resided in the state or was physically in the state, even if temporarily. However, constitutional restrictions on a court’s jurisdiction over the person have diminished in recent decades. If Cecil is

not present in Aikin’s state but he directed Beasley to drive there, Aikin probably will be able to bring the action in that state because of Cecil’s prior contact with the state and the benefits that those contacts have brought him, assuming that a statute authorizes the court to exercise personal jurisdiction in these circumstances.

Not every court that has subject-matter jurisdiction and personal jurisdiction can hear the case. It also is necessary that an action be brought in a court having proper *venue*, which refers to where within the state or district the original proceeding is to be located. Thus, although every court in Aikin’s state could assert personal jurisdiction over Cecil if he was within its boundaries, that state’s statutes typically will provide that the case should be brought in a court in a particular district, such as the one that includes the county in which either Aikin or Cecil lives or where the relevant acts occurred. Similarly, if Aikin decides to sue in federal court based on diversity of citizenship, she must bring suit in a district that has venue as defined by federal statute (currently, the district in which Cecil resides, or in a district where a substantial part of the events giving rise to the claim occurred, or in a district where Cecil is subject to personal jurisdiction, if there is no district in which the action otherwise may be brought).

A defect in a court’s subject-matter jurisdiction cannot be waived by the parties. If Aikin and Cecil are both citizens of the same state, a federal court must refuse to hear the action even though both are anxious that it do so. By contrast, the requirements of personal jurisdiction and venue essentially are protections for defendant, who may waive them if he wishes.

2.COMMENCING THE ACTION

Aikin must give Cecil notice of the commencement of the action by service of process. The process typically consists of a summons, which

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directs defendant to appear and defend under penalty of default; that is, unless defendant answers the summons, a judgment will be entered against that party. Service refers to the delivery of the process. Service of process generally is achieved by personal service, meaning that the summons is physically delivered to defendant or is left at defendant’s home, sometimes by the plaintiff’s attorney or someone in the attorney’s office, sometimes by a private process-server hired for that purpose, and sometimes by a public official such as a sheriff or a United States marshal. If Cecil lives in another state, but the circumstances are such that a court in Aikin’s state may assert personal jurisdiction over Cecil, the summons may be personally delivered to him out of state, or some form of substituted service, such as sending the papers by registered mail or delivering the summons to Cecil’s agent within Aikin’s state, may be employed. Even if Cecil cannot be located, service in yet another form, usually by publication in a newspaper for a certain length of time, may be allowed, although the validity of this kind of service in the type of case Aikin is bringing against Cecil is unlikely to be upheld. The Supreme Court repeatedly has emphasized that service must be of a kind reasonably calculated to bring the action to defendant’s notice.

3.PLEADING AND PARTIES

With the summons, Aikin usually will serve on Cecil the first of the pleadings, commonly called the complaint. This is a written statement that will contain Aikin’s claim against Cecil. What should be required of such a statement? Obviously, it may vary from a simple assertion that Cecil owes her \$500,000, to a second-by-second narration of the accident, closely describing the scene and the conduct of each party, followed by a gruesome recital of Aikin’s medical treatment and her prognosis for recovery. No procedural system insists upon either of these extremes, but systems do vary greatly in the detail required in the pleadings. The degree of detail required largely reflects the purposes that the pleadings are expected to serve. Three objectives are particularly relevant, and to the extent that a procedural system regards one rather than another as crucial, we may expect to find differing amounts of detail required.

First, the system may desire the pleadings to furnish a basis for identifying and separating the legal and factual contentions involved so that the legal issues—and hopefully through them the entire case—may be disposed of at an early stage. Thus, suppose that Cecil’s liability for Beasley’s driving depends upon the degree of independence with which Beasley was working at the time of the accident. A dispute on this issue might exist on either or both of two elements. The parties might disagree as to what Beasley’s duties were, and they might disagree as to whether those duties put Beasley so much under the control of Cecil that the law will impose liability on Cecil for Beasley’s actions. The first disagreement

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would be a question of fact, and there may be no alternative to trying the suit and letting the finder of fact (usually the jury) decide the truth. But if there was agreement on that first element, a question of law may be presented by the second issue, which could be determined by the judge without a trial. The court can resolve such legal questions at the pleading stage only if Aikin’s complaint sets forth what Beasley’s job required him to do. That objective could not be accomplished if Aikin’s complaint states only that “Beasley was driving the car on Cecil’s business.”

Second, the pleadings may be intended to establish in advance what a party proposes to prove at trial so that the opponent will know the factual contentions and prepare to meet them. If this objective is regarded as very important it will not be enough for the complaint to state that Beasley was negligent, or that Aikin suffered serious bodily injuries. It must be more specific and say that Beasley was speeding, or was not keeping a proper look-out, or had inadequate brakes, or describe some other act of negligence and say that Aikin suffered a concussion, or a broken neck, or fractures of three ribs, or other injuries.

Third, the pleadings may be intended to give each party only a general notice of the opponent's contentions, in which event the system would rely upon subsequent stages of the lawsuit to identify the legal and factual contentions of the parties and to enable each to prepare to meet the opponent's case. If notice is the goal, then in a suit involving a car accident, it would be sufficient for the pleading to state the date and place of the incident; to describe the incident generally (for example, "defendant negligently drove a car into plaintiff"); and, to allege injury and a demand for relief.

It seems that each of the first two objectives is desirable. It is a waste of everybody's time to try lawsuits when the underlying legal claim is inadequate to support a judgment, and it is only fair that a person called upon to defend a judicial proceeding should know what defendant is alleged to have done. But to achieve the first objective fully may require pleading after pleading in order to expose and sharpen the issues; if detail is insisted upon, a long time may be consumed in producing it. Moreover, a single pleading oversight may eliminate a contention necessary to one party's case that easily could have been proven, but that will be held to have been waived. To achieve the second objective through the pleadings will mean that the parties must take rigid positions as to their factual contentions at the very beginning of the case when they may not know what they will learn by the time trial begins. It also assumes that plaintiff knows most if not all of the important facts pertinent to the claim at the time of filing the complaint, which is not always the case or even possible. Either the first or second objective, if fully pursued, requires that the parties adhere to the positions taken in the pleadings. They could not be permitted to introduce evidence in conflict with the pleadings or to change them. To the extent

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that variances between pleading and proof or amendments to the pleadings are permitted, the objectives will be lost. The court frequently will find itself forced either to depart from these objectives or to tolerate lawsuits turning on the skill of the lawyers rather than on the merits of the controversy.

The third objective, insofar as it allows the parties to use the later stages of the lawsuit to identify and flesh out the issues in the case, avoids the problems created by trying to decide the case based only on the pleadings. However, simple notice pleading potentially may be used to harass defendant when plaintiff has no real claim. More often, though, plaintiff will use notice pleading to subject defendant to pretrial discovery (discussed more fully below), and in the process, to reveal information so that plaintiff can determine whether a bona fide claim actually exists. Lawyers often refer to such use of the pleadings as a "fishing expedition" or as a "springboard into litigation." However, if defendant controls access to the information that plaintiff needs to establish the claim, discovery may be essential for a meritorious complaint to be drafted and to avoid dismissal. One way that courts have dealt with these problems is to sanction parties and lawyers who bring baseless claims.

4.THE RESPONSE

Following the service of Aikin's complaint, Cecil must respond. He may challenge the complaint by a *motion to dismiss*. This motion may challenge the court's jurisdiction over the subject matter or Cecil's person, the service of process, or venue. It also may be a *motion to dismiss for failure to state a claim or cause of action* (the older term for this motion is a demurrer). For the purpose of this motion, the facts alleged in the complaint are accepted as true, and the court considers whether, on this assumption, plaintiff has shown that she is entitled to legal relief.

There are three general situations in which such a motion might be granted. First, the complaint may clearly show that the injury is one for which the law furnishes no redress (for example, when plaintiff simply alleges that "defendant has made faces at me"). Second, plaintiff may have failed to include an allegation necessary to a part of the case (for example, Aikin might have alleged the accident, her injuries, and Beasley's negligence, and have forgotten to allege that Beasley was Cecil's servant). Third, the complaint may be so general or confusing that the court finds that it does not give adequate notice of what plaintiff's claim is (for example, a complaint in which Aikin merely alleged, "Cecil injured me and owes me \$500,000," although complaints far more specific have fallen on this ground). The extent to which motions to dismiss will be granted on the second and third grounds will vary with the degree of detail that the particular system requires of its pleadings. A court generally has power to

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allow plaintiff an opportunity to amend the pleading to cure certain kinds of defects.

If the motion to dismiss is denied, or if none is made, Cecil must file an *answer*. In this pleading, he must admit or deny Aikin's factual allegations in the complaint. Moreover, if Cecil wishes to rely on certain legal contentions called *affirmative defenses*, he must plead them in the answer. Thus, if he wishes to contend that Aikin was negligent in the manner in which she tried to cross the street and that this negligence was also a cause of the accident, he must in many states plead this in the answer; if the answer only denied the allegations in Aikin's complaint, Cecil may not advance at trial the contention that Aikin's negligence caused the accident.

There may be further pleadings, particularly a *reply* by Aikin. But the tendency today is to close the pleadings after the answer, and if Cecil has raised new matters in his answer, they automatically are taken as denied by Aikin. There is one major exception: if Cecil has a claim against Aikin, particularly one that arises out of the same occurrence being sued upon by Aikin, Cecil may plead this claim as a *counterclaim* as part of the answer. This is in essence a complaint by Cecil, and Aikin will have to respond to it just as Cecil had to respond to the original complaint.

The original action between Aikin and Cecil may expand in terms of the number of parties, and this frequently will occur at the

pleading stage. For example, although Aikin decided not to sue Beasley, Cecil might *implead* Beasley, asking that Beasley be held liable to him for whatever amount he may be found liable to Aikin, since his liability depends upon Beasley having been at fault. Cecil will decide whether to do this in light of a number of practical concerns, including the effect Beasley's presence will have on the jury in Aikin's suit against Cecil.

5.OBTAINING INFORMATION PRIOR TO TRIAL

Pretrial discovery is the procedure currently designed to allow the parties to exchange information about their claims and defenses and to prepare for trial. At earlier periods, the pleadings served this purpose. Currently, the federal system requires the parties, without a court order or a request from the opponent, to exchange certain types of information. The parties also then may initiate requests for information from the opponent and, in some situations, from persons who are not parties to the litigation. One method is to take *depositions* of parties and witnesses. In this procedure, the person whose deposition is to be taken is questioned by lawyers for each side through direct and cross-examination; the *deponent's* statements are taken down and transcribed. The device is useful in finding information that is relevant to the case, including unearthing leads as to other witnesses or documents; it also is useful in laying a basis for

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impeaching a witness who attempts to change his or her story at trial. The two parties almost certainly will want depositions taken of each other, as well as of Beasley; the depositions of Aikin and Cecil will be particularly important because they are treated as admissions and can be used by their adversaries as evidence at trial. In some circumstances, even the deposition of a nonparty witness who will be unavailable at trial may be used in place of live testimony.

Another device especially adapted to probing the content of an opponent's case is the written *interrogatory*, which usually may be addressed only to a party to the suit. (The availability of interrogatories may be one reason Aikin might wish to join Beasley as a defendant with Cecil or Cecil might wish to implead Beasley.) These interrogatories are answered by the party, presumably with counsel's aid, and the answers will not be as spontaneous as they would be on a deposition; on the other hand, interrogatories will require Cecil to supply some information that he does not carry in his head but can obtain, and may be even more valuable than the deposition in finding out what he will try to prove. Thus, information regarding Beasley's employment that Cecil cannot be expected to remember may best be exposed in this way.

Other discovery devices include *requests for production of documents*, such as the service record of Cecil's automobile, and *requests for admissions*, which will remove uncontested issues from the case. A particularly useful device for Cecil will be a court order directing Aikin to submit to a *physical examination* by a physician of Cecil's choice to determine the real extent of Aikin's alleged injuries.

The availability of discovery enables the parties to prepare for trial better than the pleadings ever did. Moreover, if a legal system permits broad discovery, the role of the pleadings will change. In particular, it may be senseless to make parties take rigid positions with respect to the issues at the very beginning of the lawsuit before they have had the chance to utilize these very useful devices for obtaining information. In addition, the availability of discovery does much to make summary judgment, which is discussed below, a viable and fair procedure, since it enables a party to ascertain those issues on which the opposing party has no evidence, while giving the opponent a chance to develop such evidence. On the other hand, if the costs of discovery are excessive, a defendant may be motivated to settle a lawsuit that satisfies a weak pleading standard yet would lack sufficient proof to prevail at trial.

6.SUMMARY JUDGMENT

One of the basic difficulties with attempting to resolve cases at the pleading stage is that the allegations of the parties must be accepted as true for the purpose of ruling on a motion to dismiss. Thus, if plaintiff tells

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a highly unlikely but plausible story in the complaint, the court cannot dismiss the action even though it does not believe the allegations or think that plaintiff will be able to prove the tale. The pleading stage is not the time to resolve questions of fact.

However, in some cases it will be possible to provide additional material to show that an apparently decisive issue is spurious and that the case may therefore be decided without a trial. This is done by a motion for *summary judgment*. This motion can be supported by demonstrating that the crucial issue must be resolved in the movant's favor, because the opposing party will be unable to produce sufficient admissible evidence to create a genuine dispute regarding that issue. For example, suppose that it is Cecil's position that prior to the accident he had fired Beasley, but that Beasley had secretly acquired keys to Cecil's automobile and taken the car without permission shortly before the accident. On the face of the pleadings, we have only an allegation that Beasley was Cecil's employee and a denial of that allegation; thus, the pleadings seem to present a question of credibility that cannot be resolved at this stage. Cecil now moves for summary judgment, alleging that this issue is not a genuine one. He accompanies his motion with affidavits of his own and two other witnesses that he had fired Beasley; a deposition of the garage attendant indicating that he had been instructed not to allow Beasley to have the car, and that it was taken without Cecil's knowledge; and a deposition of Beasley to the effect that he had been fired, but wanted to use the car once more for his own purposes. It is now incumbent upon Aikin to show that the issue is genuine; Aikin cannot rely simply upon her own assertion that all this is not so; after all, she has no personal knowledge of the facts. Aikin must convince the court that she can present admissible evidence at trial that Beasley still was acting as Cecil's employee in driving the car at the time of the

accident. If Aikin fails to do so, summary judgment will be entered against her.

It should be noted that in ruling on a summary judgment motion, the judge does not decide which side is telling the truth. If Aikin presents an affidavit of a witness who claims to have been present when Cecil allegedly fired Beasley, and says that Cecil told Beasley that this was only a subterfuge and that he wanted him to continue to work for him but to pretend to steal the car, summary judgment will not be appropriate even though the judge is firmly convinced that Aikin's affiant is lying.

7.SETTING THE CASE FOR TRIAL

After discovery is completed, and if the case has not been terminated by dismissal, summary judgment, or settlement, it must be set for trial. Most cases already will have been disposed of prior to trial. If Aikin's lawsuit has not yet been resolved, typically either party may file a note of issue, at which time the case will be given a number and placed on a *trial*

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calendar. These calendars have become extremely long in many courts, and the case may have to wait a year, three years, or more before it is called for trial, especially if a jury trial has been requested.

8.THE JURY AND ITS SELECTION

In most actions for damages, the parties have a right to have the facts tried by a jury. This right is assured in the federal courts by the Seventh Amendment to the United States Constitution, and is protected in the courts of most states by similar state constitutional provisions. If there is a right to a trial by jury, either party may assert it, but if neither wishes to do so, a judge will try the facts as well as the law. Largely for historical reasons growing out of a division of authority in the English court structure, there are many civil actions in which neither party has a right to a jury trial; these include most cases in which plaintiff wants an order directing or prohibiting specific action by defendant rather than a judgment for damages—a so-called equitable remedy.

If a jury has been demanded, the first order of business at trial will be to impanel the jurors. A large number of people, selected in an impartial manner from various lists, tax rolls, or street directories, will have been ordered to report to the courthouse for jury duty at a given term of court. The prospective jurors will be questioned—usually by the judge but sometimes by the lawyers—as to their possible biases. If one of the persons called has prior knowledge of the case or is a personal friend of one of the parties, he or she probably will be successfully challenged for cause and excused. But suppose Aikin is an architect and her lawyer finds that one of the jury panel has recently constructed a house and believes that he was greatly overcharged for its design and construction; this will likely not be enough to persuade the judge to excuse him. However, fearing the juror might be prejudiced against her client, Aikin's lawyer probably will exercise one of the small number of peremptory challenges allowed for which no reason need be given. Ultimately, a panel of between six and 12 hopefully unbiased jurors will be selected.

9.THE TRIAL

After the jurors have been sworn, plaintiff's lawyer will make an *opening statement*, describing for the jury what the case is about, what contentions will be made, and how plaintiff plans to prove them. Defendant's lawyer also may make an opening statement at this time, but may reserve the right to do so until later when it is time to present defendant's case. Following the opening statement, plaintiff's lawyer calls her witnesses one by one. Each witness is first questioned by the lawyer who has called that witness—this is the *direct examination*; then the lawyer for the other side has the opportunity to *cross-examine* the same witness; this may be followed by *re-direct* and *re-cross* examination, and

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even further stages. The judge maintains some control over the length and tenor of the examination, and in particular will see to it that the stages beyond cross-examination are not prolonged.

Just as the primary responsibility for introducing evidence is on the lawyers, so too is the responsibility for objecting to evidence that is thought to be inadmissible under the rules of evidence. Suppose that Aikin's lawyer asks: "What happened while you were lying on the ground after the accident?" To which Aikin replies: "The driver of the car came over and said that he had been going too fast and he was sorry." Aikin's answer is objectionable because it contains hearsay evidence; that is, it repeats what someone else has said for the purpose of proving the truth of what was said. It is up to Cecil's counsel to object, and then the judge must rule on the objection. This particular issue is not an easy one, for Aikin's answer may well come within one of the exceptions to the rule excluding hearsay evidence. This kind of issue will recur continually throughout the trial and the judge must be prepared to make instantaneous rulings if the trial is to proceed with dispatch. Evidentiary rulings form a major source of the errors raised on appeal, but at the same time appellate courts are very reluctant to disturb the trial judge's ruling on the point. If the judge rules that Aikin's answer is inadmissible, the judge will instruct the jury to disregard the testimony. Can a juror who has heard such an important confession totally put it to the side?

Documents, pictures, and other tangible items may be put into evidence, but unless their admissibility has been stipulated to in advance, they will be introduced through witnesses. For example, if Aikin's lawyer has had pictures taken of the accident scene and wishes to get them to the jury, she will call the photographer as a witness, have him testify that he took pictures of the scene, and then show them to the photographer who will identify them as the pictures he took. At this point they may be formally introduced into

evidence.

When plaintiff’s lawyer has called all of her witnesses and their examinations are over, plaintiff will *rest*. At this point, defendant’s lawyer may ask for a *directed verdict* (in federal practice now called a judgment as a matter of law) for defendant on the ground that plaintiff has not established a prima facie case. The thrust of the motion is that plaintiff has not introduced enough evidence to permit the jury to find in plaintiff’s favor. If the motion is denied, defendant may rest and choose to rely on the jury’s agreeing with him, but in almost all cases he will proceed to present witnesses of his own and these witnesses will be exposed to the same process of direct and cross-examination. When defendant has rested, plaintiff may present additional evidence to meet any new matter raised by defendant’s witnesses. In turn, defendant, after plaintiff rests, may meet any new matter presented by plaintiff. This procedure will continue

until both parties rest. Again, the trial judge will maintain considerable control to prevent the protraction of these latter stages.

When both parties have rested, either or both may move for a directed verdict, asking the trial judge to rule that under the evidence presented, viewed most favorably to the nonmoving party, there is no basis for a reasonable jury to find for that party with respect to that issue. If these motions are denied, the case must be submitted to the jury.

10.SUBMITTING THE CASE TO THE JURY

At this stage the judge and the lawyers will confer out of the jury’s hearing with regard to the content of the judge’s *instructions* or *charge* to the jury. Each lawyer may submit proposed instructions, which the trial judge will grant or deny, but the judge is under a duty to charge the jury on the basic aspects of the case in any event. If a party’s lawyer has neither requested a particular instruction nor objected to the judge’s charge, a later argument that the charge was erroneous generally will not be upheld on appeal.

Ordinarily, the lawyers will make their final arguments to the jury before the judge delivers the charge. The lawyers will review the evidence from their own points of view, and may suggest how the jury should weigh certain items and resolve specific issues, but it is improper for the lawyers to discuss a matter that has been excluded or has never been introduced. In other words, they are arguing, not testifying.

In the instructions the judge will summarize the facts and issues, tell the jury about the substantive law to be applied on each issue, give general information on determining the credibility of witnesses, and state who has the *burden of persuasion* on each issue of fact. The burden of persuasion in a civil case ordinarily requires that one party prove its contention on a given issue by a preponderance of the evidence. On most issues, Aikin will carry this burden, but on an affirmative defense such as contributory negligence, the burden probably will be on Cecil. The burden means that if a juror is unable to resolve an issue, then a finding on that issue should be made against the party who has the burden. In the federal courts and in some states, the judge may comment on the evidence, as it is clear that the judge’s opinions are not binding on the jurors. However, judicial comment is rare, and in many states it is not permitted at all.

Following the charge, the jury retires to reach its decision, called a *verdict*. The verdict will be of a type chosen by the judge. There are three types, of which by far the most common is the *general verdict*. This verdict permits the jurors to determine the facts and apply the law on which they have been charged to those facts; it is simple in form in that only the conclusion as to who prevails, and the amount of damages, if that party is a claimant, is stated. A second type is the *general verdict with*

interrogatories, which combines the form of the general verdict with several key questions that are designed to test the jury’s understanding of the issues. Suppose that the accident occurred five miles away from Beasley’s appointed route. Aikin’s evidence is that Beasley detoured to have the vehicle’s brakes fixed; Cecil’s is that Beasley was going to visit his friend. The judge might charge the jury that in the former event, but not in the latter, Beasley was acting within the scope of his employment and Cecil would be liable for his negligence, and she might direct the jury, in addition to rendering a verdict for Aikin or for Cecil, to answer the question, “Why did Beasley depart from his route?” If the general verdict was for Aikin, but the jury’s answer was that Beasley was driving to his friend’s home, the judge would order judgment for Cecil, for if the answer is inconsistent with the verdict, the answer controls. The third type of verdict is the *special verdict*, in which all of the factual issues in the case are submitted to the jury as questions without instructions as to their legal effect; the judge applies the law to the jury’s answers and determines which party prevails.

Traditionally, only a unanimous jury verdict has been effective. However, in many states, and by consent of the parties in the federal courts, a nonunanimous verdict by the jurors may stand in a civil action. If the minimum number of jurors required for a verdict cannot reach agreement, the jury is said to be hung, and a new trial before a different jury is necessary.

11.POST-TRIAL MOTIONS

After the jury has returned its verdict, judgment will be entered thereon, but the losing party will have an opportunity to make certain post-trial motions. There may be a motion for a *judgment notwithstanding the verdict* (commonly called a motion for a *judgment n.o.v.*, from the Latin *non obstante veredicto*, but in federal practice now called a renewed motion for judgment as a matter of law). This motion raises the same question as a motion for a directed verdict. The losing party also may move for a *new trial*; the grounds for this motion are many, and may include assertions that the judge erred in admitting (or excluding) certain evidence, that the charge was defective, that attorneys, parties, or jurors have been guilty of misconduct, that the damages awarded are excessive, or that the jury’s

verdict is against the clear weight of the evidence. Should these motions fail, it is sometimes possible to reopen a judgment, even several months after the trial, on the grounds of clerical mistake, newly discovered evidence, or fraud, but the occasions on which such relief is granted are very rare.

12.THE JUDGMENT AND ITS ENFORCEMENT

The *judgment* is the final determination of the lawsuit, absent an appeal. Judgment may be rendered by default when defendant does not

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appear; or following the granting of a demurrer, a motion to dismiss, or a motion for summary judgment; or based on a settlement agreement of the parties; or upon the jury’s verdict, or the findings of fact and conclusions of law of the trial judge in a non-jury case. The judgment may be in the form of an award of money to plaintiff, a declaration of rights between the parties, specific recovery of property, or an order requiring or prohibiting some future activity. When defendant has prevailed, the judgment generally will not be “for” anything or order anything; it simply will provide that plaintiff takes nothing by her complaint.

In most cases a judgment for plaintiff will not order defendant to do anything; typically it will simply state that plaintiff shall recover a sum of money from defendant. This does not necessarily mean that defendant will pay. It is up to plaintiff to collect the money. Execution is the common method of forcing the losing party to satisfy a money judgment, if the loser does not do so voluntarily. A *writ of execution* is issued by the court commanding an officer—usually the sheriff—to seize property of the losing party and, if necessary, to sell it publicly and use the proceeds to satisfy plaintiff’s judgment.

When plaintiff’s recovery takes the form of an injunction requiring defendant to do something or to stop doing something, the judgment (in this context typically called a *decree*) is said to operate against defendant’s person (in personam). Its sanction is direct, and if defendant fails to obey, he may be held in *contempt of court* and punished by fine or imprisonment.

Costs provided by statute and certain out-of-pocket disbursements are awarded to the prevailing party and included in the judgment. Usually these costs are nominal in relation to the total expense of litigation and include only such items as the clerk’s fee and witnesses’ mileage. As previously mentioned, in the United States, attorney’s fees are not recoverable as costs in ordinary litigation.

13.APPEAL

Every judicial system provides for review of a trial court’s decisions by an appellate court. Generally a party has the right to appeal any judgment to at least one higher court. When the system contains two levels of appellate courts, appeal usually lies initially to one of the intermediate courts; review at the highest level is only at the discretion of that court except in certain classes of cases. Under current practice in the federal courts, district court decisions are reviewed by the appropriate court of appeals, but review in the Supreme Court generally is discretionary and sought by a *petition for a writ of certiorari* (in a few cases, a direct appeal lies from the district court to the Supreme Court). The discretion of a higher-level appellate court generally is exercised so that only cases with legal issues of broad importance are taken.

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The record on appeal will contain the pleadings, at least a portion of the *transcript of the trial* (the court reporter’s verbatim record of the trial), and the orders and rulings relevant to the appeal. The parties present their contentions to the appellate court by *written briefs*. The appellate court will often hear *oral argument* as well, although many courts have increased their frequency of deciding appeals without oral argument—especially in certain categories of cases. The appellate court may review any ruling of law by the trial judge, although frequently it will limit the scope of its review by holding that particular matters were within the trial judge’s discretion or that the error, if any, was not prejudicial, that is, it did not substantially affect the outcome of the case. There are constitutional limits to the review of a jury’s verdict, but even when these limits do not apply—for example, when the judge has tried the case without a jury—it is unusual for an appellate court to re-examine a question of fact, because a cold record does not convey the nuances of what the trier observed, notably the demeanor of the witnesses.

The appellate court has the power to *affirm*, *reverse*, or *modify* the judgment of the trial court. If it reverses, it may order that judgment be entered or it may *remand* the case to the trial court for a new trial or other proceedings not inconsistent with its decision. The decision of an appellate court usually is accompanied by a written opinion, signed by one of the judges hearing the appeal; there is always more than one judge deciding an appeal. Concurring and dissenting opinions also may be filed. The opinions of a court are designed to set forth the reasons for a decision and to furnish guidance to lower courts, lawyers, and the public.

Keep in mind an important distinction between the *reviewability* of a particular ruling of a trial judge and its *appealability*. For example, a trial judge’s ruling excluding certain evidence at trial as hearsay is reviewable; that is, when the judgment is appealed, that ruling may be assigned as error and the appellate court will consider whether it was correct. But trial would become excessively protracted if an appeal could be taken from every ruling at the time it is made. Thus, appeals lie only from judgments and from certain orders made in the course of litigation when immediate review is deemed so important that a delay in the action during appeal can be tolerated. Judicial systems differ in the extent to which interlocutory orders can be appealed. In the federal system, very little other than a final judgment can be taken to the courts of appeals; however, in some state systems, many kinds of interlocutory orders can be appealed

before a final judgment is entered.

A good example of the contrast between the two approaches can be seen by looking at the consequences of an order denying a motion to dismiss. Suppose that Cecil moves to dismiss Aikin’s complaint on the ground that even on Aikin’s view of the facts, Cecil is not responsible for the conduct of Beasley, and this motion is denied. In the federal courts such

an order would not be appealable since it does not terminate the lawsuit. Indeed, the disposition of the motion means that the action will continue. In some states, however, this question could be taken immediately to a higher court for a ruling, while the other stages of the litigation wait.

The question of which system is better is not easy to answer. One may argue in favor of the federal practice that everything should be done at one level before going to the next, that too much time is taken in waiting for appellate courts to decide these questions serially, and that no appeal may ever be necessary, since Cecil may prevail anyway. But on the other hand, if the appellate court holds at this early stage that Aikin has no claim against Cecil, the time necessary for discovery and trial will be saved.

One point worth noting is that the resolution of the question of the appealability of interlocutory orders has an important bearing on the procedural developments within a given system. In the case of motions to dismiss, for example, if denials are not appealable, much of the law on this subject will be made in the trial courts. A trial judge who is in doubt may tend to deny such motions rather than to grant them, and the decision generally will not be disturbed. Although the ruling theoretically is reviewable after final judgment, by that time the significance of the ruling on the pleadings may have been displaced by more substantive questions, as well as by the development of a more robust evidentiary record through discovery and, perhaps, trial. When grants of motions to dismiss are immediately appealable, but denials are not, the appellate precedent will involve a skewed set of cases—those where the complaint was so weak that the trial judge believed dismissal was warranted.

Alternatively, if the denial is appealable, a tactical consideration is added and such motions will be resorted to more frequently, inasmuch as they will afford defendant an additional opportunity to delay trial and thus to wear down the opponent. With respect to other procedural rulings—as in the discovery area—the absence of an interlocutory appeal will strengthen the hand of the trial judge, who will in fact if not in theory exercise a wider range of discretion because fewer rulings will come before the appellate courts and when they do they will be enmeshed in a final judgment, making it easier to conclude that any error was not prejudicial.

14.THE CONCLUSIVENESS OF JUDGMENTS

Generally, a judgment becomes final after the appeal and whatever further proceedings may take place, or, if no appeal is taken, when the time for appeal expires. With very rare exceptions, the judgment cannot be challenged in another proceeding. It is *res judicata*, a thing decided, and now the matter is at rest. The concept of *res judicata* includes claim preclusion and issue preclusion, the latter traditionally known as collateral

estoppel. Defining the scope and effect of this finality principle is one of the most complex tasks in the entire law of procedure.

C. A NOTE ON MOTION PRACTICE

Throughout the previous section, we frequently have used the term “motion,” and for good reason. A motion is the procedural device by which a litigant asks a court for an order. For example, a request for an order dismissing a complaint for failure to state a claim, a request for an order granting summary judgment, and a request for an order granting a new trial all are formally made to a court through a motion.

The usual practice is that a motion must be made in writing. Two exceptions to this rule are when the court is recording a hearing verbatim or when a trial is taking place. A motion generally must state with particularity the reasons or grounds supporting the request and the relief sought. The written motion also must appear in a proper form, which typically is determined by local court rules.

The litigant must serve the motion on the opposing party. In addition, a notice of hearing regarding the motion, a brief or memorandum of law in support of the motion, a proposed order, and, if necessary, affidavits, generally accompany a motion, but not all courts require the movant to submit a proposed order and only certain motions require affidavits. Briefs usually have a maximum page limit.

All motions in federal court require the signature of the litigant’s attorney or the litigant. The signature attests that the attorney or litigant has read the motion papers and that the motion has sufficient grounds and is made in good faith. Sanctions may be imposed if, for example, the papers are submitted for impermissible purposes or without a reasonable investigation into the supporting facts and law.

A party served with a motion may respond and usually must do so within a time period specified by the rules. A party also may move for an extension of time, either to make a cross-motion, to extend the time to respond to the motion, or both. In addition, making a motion may defer the next stage of litigation. Finally, making a particular motion may preserve other legal rights.

Motion practice involves the parties’ strategic choices given the interrelationship among motions, their intended effects, their

secondary effects, and their effects on the opposing party. A motion such as summary judgment is usually designed to win the lawsuit. A successful motion to exclude certain material from discovery may convince an adversary that information cannot be obtained that is needed to establish essential contentions and induce the party to end the lawsuit early without an unfavorable judgment. A motion to bring a third party into the lawsuit may

help convince an adversary that the lawsuit will be more time consuming and costly than expected. A lawyer deciding to make a motion must consider carefully whether benefits will accrue to the movant and whether obstacles will be imposed on the adversary as a result of the motion.

Making a motion may have negative aspects. One of the drawbacks may be the time and expense of the motion, including drafting and serving multiple copies of papers, spending hours preparing the brief in support of the motion, and taking resources from other more fruitful pursuits. Repeated, unsuccessful motions will result in expense and delay that may reduce client satisfaction.

In addition, poor motion practice may leave the judge with the impression that the lawyer is sloppy, shoddy, and disorganized. Arguing motions at a hearing that the attorneys could have settled without a hearing may convince the judge that the movant is contentious by nature. In short, an unwise making of a motion may do more harm in the long run than not making the motion at all, even if the motion is granted.

Motion practice is a central part of a litigator’s arsenal. When a particular motion can be made, how it must be made, and what its effect will be are questions that can be answered by studying the applicable procedural rules. Whether a motion should be made and how it can affect the course of the lawsuit are matters of judgment and experience.

D. A NOTE ON REMEDIES

The remedies that may be obtained in a modern civil action should principally be viewed as a part of the substantive law: contract law, tort law, commercial law, labor law, and so forth. Yet because the goal of a lawsuit is the remedy and the means of securing it are procedural, there necessarily is a close relationship between them. For example, the range of available remedies in a case may be limited by the manner in which plaintiff has pleaded, and certain procedural aspects of the case, such as whether it is tried to a judge or a jury, may be determined by the remedy that is being sought; again, whether a person may be joined as a party may depend on the relief that is being sought, and conversely certain remedies may be available only if all interested persons can be joined.

Without question, the most important relationship between procedure and remedies grows out of the existence in English law of two great branches of jurisprudence administered in different courts: common law and equity; the latter was envisioned as complementary to the former. There are two special facts about equity that are important for our purpose. First, already alluded to, it had no jury. Second, the injunction was a creature of equity and remained in its sole custody so long as the two branches remained distinct.

From this heritage, two consequences of immense significance for the law of procedure result. One, whether a party has a right to a trial by jury in the federal courts often has been determined by inquiring whether the matter in question was a subject of a legal or equitable cognizance in 1791—the date of the adoption of the Seventh Amendment to the United States Constitution. To some extent this question depends on the remedy sought, since the availability of injunctive relief was one form of equity’s jurisdiction. Two, just as equity was regarded as a special legal system to be resorted to only when the common law was inadequate, so too the injunction and most forms of specific relief are regarded as exceptional, to be ordered only when the ordinary remedy of money damages is inadequate.

The most important types of relief that a court may award in a civil action fall into three categories: *declarative*, *specific*, and *damages*. Declaratory relief encompasses a court’s defining the rights and duties of the parties in a particular legal context. Suppose a company believes that an agreement it has entered into is not a valid contract and that it is under no obligation to perform it. However, the company is reluctant to act on this belief in the face of another’s insistence that it perform because if the contract is enforceable, the damages for the nonperformance will be great. In these circumstances, the company may seek a declaratory judgment asking the court to determine whether it is under a duty to perform. This type of relief is not as common as those discussed below and its availability often is limited by statute. In numerous situations, however, it is invaluable.

Specific relief generally consists of an order directing conduct. Defendant may be commanded to return a jewel taken from plaintiff, to stop operating a pig farm in a residential neighborhood, to deliver a car that was contracted for sale, or to refrain from opening a barbershop next door to a person to whom defendant sold a former barbershop. An order for such relief is often called an injunction. Specific relief is not possible in all cases. For example, no kind of injunction will compensate or cure Aikin in our hypothetical case; Beasley cannot retroactively be ordered not to run into her. On the other hand, a person who has contracted to sell a house or a piece of land ordinarily will be ordered to perform the agreement, for the law regards each bit of real property as unique. But beyond the real property context, specific relief will be given only if damages would be inadequate. Thus, if you order a special garment (such as a tuxedo or an evening gown) from a tailor who fails to perform the promise to deliver it, it is unlikely that any remedy except damages will be forthcoming. The reasons for this are not purely historical. There is a burden on the court in ordering and supervising the performance of a decree of specific performance that is avoided if a simple judgment for money damages is entered. Moreover, specific performance might impose a hardship or at

least an indignity on defendant not commensurate with the advantage to be gained by receiving this tailor's garment rather than one from another tailor. But it may well be asked whether our courts today are not being too reluctant to grant the form of relief that will most adequately redress plaintiff's grievance.

A damages remedy calls for a judgment that defendant pay plaintiff a certain sum of money. Keep in mind that when we speak of the court ordering that compensation be paid, we are speaking of one form of relief, but the amount of damages can be computed in accordance with many measures. In your action against the tailor, for example, if you had struck a good bargain, you might claim the difference between the price you agreed to pay and the value the special garment would have had if the tailor had performed the promise; or you might claim only the money you had advanced as a down payment; or you might claim the amount you paid for opera tickets you were unable to use without having the special garment to wear at the event. The difference in amount that could be collected under these theories might be very substantial. In some circumstances, the law authorizes awards of punitive damages, which are designed to punish defendants or to deter more forcefully certain kinds of behavior.

There is a final point to be considered in evaluating the adequacy of any judicial remedy: How much of it will be consumed by the cost of litigation? As we have noted, the costs awarded to a successful plaintiff will not, in most cases, reimburse the fees incurred for legal representation or other substantial costs of a suit, such as the expense of investigation or the fees of expert witnesses. It is not possible to give any meaningful figure for the cost of an average trial, but it can be assumed that as the stakes rise the fees will be correspondingly higher.

In most personal injury and in many other types of damage actions, plaintiff's cost of recovery must be computed differently because the attorney will be litigating the case under a contingent-fee agreement; that is, the attorney will receive a percentage—one-third is common—of plaintiff's judgment. Thus, in a real sense, an adequate legal remedy is not one that simply compensates plaintiff for a loss but rather one that covers both the loss and the cost of recovering it. This distinction has not been ignored by many triers of fact. Indeed, it has been suggested that if damages for pain and suffering ever are abolished, defendants should be required explicitly to pay the legal fees of a plaintiff who prevails.

E. A NOTE ON PROCEDURAL RULES IN THE FEDERAL AND STATE COURTS

Federal and state rules of procedure derive from constitutional authority, statutes, and judicial decisions. The Federal Rules of Civil Procedure owe their genesis to the Rules Enabling Act, 28 U.S.C. § 2072,

enacted in 1934, which vests power in the Supreme Court to promulgate rules of procedure for the District Courts and to combine law and equity into one civil action. The Federal Rules became effective on September 16, 1938. See Burbank, *The Rules Enabling Act of 1934*, 130 U.Pa.L.Rev. 1015 (1982). Since then, the rules have undergone amendment, but certain core features persist.

An important hallmark of the Federal Rules is their applicability to all causes of action no matter how complex or simple—a feature referred to as “transsubstantivity.” See Carrington, *Making Rules to Dispose of Manifestly Unfounded Assertions: An Exorcism of the Bogy of Non-Trans-Substantive Rules of Civil Procedure*, 137 U.Pa.L.Rev. 2067 (1989). Some commentators question whether it is practical or even desirable to use the same procedural rules in lawsuits as different as a large antitrust action is from a simple contract dispute. See Cover, *For James Wm. Moore: Some Reflections on a Reading of the Rules*, 84 Yale L.J. 718, 732, 739–40 (1975). On the other hand, transsubstantivity reflects a principle of equality that is critical to procedural justice.

The Federal Rules generally do not bind state judicial systems. States have their own processes for adopting procedural rules, with one of two models typically predominating within a state. In one model, the state constitution grants exclusive rulemaking power to the state judiciary; in the other, state courts exercise inherent rulemaking authority but share this authority with the legislature. For a collection of state constitutional provisions as they bear on state rulemaking, see Main, *Reconsidering Procedural Conformity Statutes*, 35 W.St.U.L.Rev. 75, 84–85 (2007).

Currently no state's rules of procedure completely track those of the federal, although some come close. However, the divergence between state and federal procedural rules appears to be growing, largely because state systems that earlier had modeled their procedures on those of the federal system are declining to change their rules when the Federal Rules are amended. See Subrin & Main, *Braking the Rules: Why State Courts Should Not Replicate Amendments to the Federal Rules of Civil Procedure*, 67 Case W.Res.L.Rev. 501 (2016).

F. ILLUSTRATIVE CASES

The cases that follow have been selected to illustrate many of the basic concepts, doctrines, and devices about which you have just read in the order discussed in the preceding text. Three factors have dominated the choice of the cases. First, each focuses on a specific issue that is typical of a range of problems involving a particular principle and at the same time throws some light on the policies that underlie the principle itself. Second, none of the cases is a “sitting duck”; in each instance strong reasons can be advanced for and against the court's result. Third, each case arises in a

context that you can understand and presents an issue about which you should be able to form an opinion, however hesitant it may be. Another purpose of these cases is to help you develop a familiarity with procedural language and a feeling for procedural problems. You must, of course, consider the cases from the perspective of the courts that decided them, seeking to understand their rulings and the reasons that support them. However, also consider the other options that the court had, and think through the consequences of those possibilities. For the full pedagogical objectives of these cases to be achieved, regard each case as a practical lawyer’s problem—or rather a problem presenting difficulties and opportunities to opposing counsel. Inquire why the parties acted as they did and what else they might have done. Finally, consider the position in which the decision leaves the parties and what, if anything, they should do.

1.THE AUTHORITY OF THE COURT TO PROCEED WITH THE ACTION

Plaintiff, having decided to sue, must determine the court in which to bring the action. As discussed above, a court must be chosen that has both subject-matter jurisdiction and personal jurisdiction. In the following case, a lawsuit filed in federal court, consider which of these two types of jurisdiction the Supreme Court is addressing. In reading the case, notice that the word “jurisdiction” is used without a modifier. But, from the context and information given above, you should be able to identify the kind of jurisdiction involved.

CAPRON V. VAN NOORDEN
Supreme Court of the United States, 1804.
[6 U.S. \(2 Cranch\) 126, 2 L.Ed. 229.](#)

Error to the [United States] Circuit Court of *North Carolina*. The proceedings stated *Van Noorden* to be late of *Pitt county*, but did not allege *Capron*, the plaintiff, to be an alien, nor a citizen of any state, nor the place of his residence.

Upon the general issue, in an action of trespass on the case, a verdict was found for the defendant, *Van Noorden*, upon which judgment was rendered.

The writ of Error was sued out by *Capron*, the plaintiff below, who assigned for error, among other things, first, “That the circuit court aforesaid is a court of limited jurisdiction, and that by the record aforesaid it doth not appear, as it ought to have done, that either the said *George Capron*, or the said *Hadrianus Van Noorden*, was an alien at the time of the commencement of said suit, or at any other time, or that one of the said parties was at that or any other time, a citizen of the state of *North Carolina* where the suit was brought, and the other a citizen of another

state; or that they the said *George* and *Hadrianus* were for any cause whatever, persons within the jurisdiction of the said court, and capable of suing and being sued there.”

And secondly, “that by the record aforesaid it manifestly appeareth that the said Circuit Court had not any jurisdiction of the cause aforesaid, nor ought to have held plea thereof, or given judgment therein, but ought to have dismissed the same, whereas the said Court hath proceeded to final judgment therein.”

Harper, for the *plaintiff in error*, stated the only question to be whether the plaintiff had a right to assign for error, the want of jurisdiction in that court to which he had chosen to resort.

It is true, as a general rule, that a man cannot reverse a judgment for error *in process or delay*, unless he can shew that the error was to his disadvantage; but it is also a rule, that he may reverse a judgment for an error of *the Court*, even though it be for his advantage. As if a verdict be found for the debt, damages, and costs; and the judgment be only for the debt and damages, the defendant may assign for error that the judgment was not also for costs, although the error is for his advantage.

Here it was the duty of the Court to see that they had jurisdiction, for the consent of parties could not give it.

It is therefore an *error of the Court*, and the plaintiff has a right to take advantage of it. * * *

The defendant in error did not appear, but the citation having been duly served, the judgment was reversed.

NOTES AND QUESTIONS

- 1.The Supreme Court regarded the defect in this case as extremely serious. Does the fact that it was plaintiff who sought review in the Supreme Court make this particularly clear? Did the defect in *Capron* concern subject-matter jurisdiction or personal jurisdiction? Why is such significance attached to this error?
- 2.Read Article III, § 2 of the United States Constitution, which is set out in the Supplement. What specific language in that Section is pertinent to the Supreme Court’s opinion in *Capron*?
- 3.In what court was the *Capron* suit commenced? Under the First Judiciary Act of 1789, Congress established two levels of courts below the Supreme Court: the district courts and the circuit courts. The circuit courts exercised both original and appellate jurisdiction, and had original jurisdiction over diversity cases when the amount in controversy exceeded \$500.
- 4.The Supreme Court reversed the judgment of the lower court. What was the effect of this reversal? Does it mean that Capron won the lawsuit? If not, why had he sought review in the appellate court?

Unlike the federal courts, state courts of general jurisdiction have subject-matter jurisdiction over a very broad spectrum of lawsuits. Indeed, questions of the competence of those courts to decide a particular kind of case rarely arise. However, before any court may proceed, it also must have personal jurisdiction—that is, the power to require defendant to appear in the action. In the next case, the court must decide whether it has that power, and whether it will exercise it.

TICKLE V. BARTON

Supreme Court of Appeals of West Virginia, 1956.
[142 W.Va. 188, 95 S.E.2d 427.](#)

HAYMOND, JUDGE.

The plaintiff, Richard Tickle, an infant, who sues by his next friend, instituted this action of trespass on the case in the Circuit Court of McDowell County in March, 1955, to recover damages from the defendants, Raymond Barton, a resident of Austinville, Virginia, and Lawrence Coleman, for personal injuries inflicted upon him by a motor vehicle, owned by the defendant Raymond Barton and operated by his agent the defendant Lawrence Coleman, on private property instead of a public highway, in that county which the plaintiff alleges were caused by the negligence of the defendants.

* * * [A first attempt to serve Barton had been made under a statute relating to actions by or against nonresident drivers involved in accidents on a public highway, and the validity of this service was still undecided at the time the instant decision was rendered.]

On December 5, 1955, one of the attorneys for the plaintiff caused an alias process to be issued against the defendants * * * and delivered it to a deputy sheriff for service upon the defendant Barton in McDowell County; and in the evening of December 6, 1955, that process was served by the deputy upon the defendant Barton in person at the War Junior High School in the town of War in that county where he appeared to attend a banquet which was held there at that time.

By his amended plea in abatement * * *, the defendant Barton challenged the validity of the service of the alias process upon him on the ground that he had been induced to come to that place in McDowell County by trickery, artifice and deceit practiced upon him by the attorney for the plaintiff.

The circuit court overruled the demurrer of the plaintiff to the amended plea in abatement and * * * certified its ruling upon the demurrer to this Court on the joint application of the plaintiff and the defendant Barton.

* * * [T]he amended plea in abatement alleges in substance that after procuring alias process for the purpose of causing it to be served upon the defendant Barton in McDowell County, and inducing him to come to the Junior High School in the town of War in that county, an attorney representing the plaintiff in this action, in the evening of December 5, 1955, called by telephone the defendant Barton at his home in Austinville, Virginia, and wrongfully and deceitfully represented that, in behalf of the sponsors of a banquet honoring a championship high school football team to be held at the Junior High School in the town of War, in McDowell County * * *, he extended an invitation to the defendant Barton, whose son had been a member of an earlier football team of that school, to attend the banquet; that during that telephone conversation between them the attorney, though requested to do so by the defendant Barton, did not disclose his identity except to say that he called him in behalf of the sponsors to extend the defendant Barton a special invitation to attend the banquet; that the defendant Barton before being so invited did not know that the banquet would be held and did not intend to attend it; that he did not know or suspect the identity of the attorney, or realize that the telephone call was a trick or device to entice, induce and inveigle him to come into McDowell County to be served with process in this action; that the attorney was not connected with any of the sponsors of the banquet and was not authorized by them to invite the defendant Barton to attend it; that the attorney called the defendant Barton and invited him to the banquet solely for the purpose of tricking, deceiving and inveigling him to come to the town of War in order to obtain personal service * * * upon him * * *; that the defendant Barton, believing that the invitation was extended in good faith, by a person authorized to extend it, and not suspecting the real purpose of the telephone call, accepted the invitation and informed the attorney that he would be present at the banquet and on December 6, 1955, left Austinville, Virginia, and went to the town of War with the intention of attending it; that, when he entered the high school where the banquet was held * * * he was served by the deputy sheriff with the alias process * * *; that the service of the alias process upon the defendant Barton, having been procured by trickery, deceit and subterfuge which was not realized or suspected by him, is, for that reason, null and void and of no force or effect and does not confer upon the Circuit Court of McDowell County jurisdiction of the person of the defendant Barton in this action.

The amended plea in abatement also alleges, on information and belief, that after the defendant Barton had left his home * * * the attorney for the plaintiff * * * made a telephone call to the residence of the defendant Barton, or caused some other person to make such call, and inquired of the wife of the defendant Barton if he intended to attend the banquet and was informed by her that he had left his home to attend it and was then on his way to the town of War for that purpose.

The amended plea in abatement further avers that after the defendant Barton had been served with the alias process his attorney

inquired of the attorney for the plaintiff if he had made either of the two telephone calls or had procured some person to make the second telephone call and that the attorney for the plaintiff denied that he had made, or procured any person to make, either of the foregoing telephone calls, and denied that he had any knowledge whatsoever of either of them.

The question certified to this Court for decision is whether the allegations of the amended plea in abatement, which insofar as they are material and are well pleaded must be considered as true upon demurrer, are sufficient to render invalid the personal service of process upon the defendant Barton in McDowell County because his presence in that county at the time of such service of process was induced or procured by trickery, artifice, or deceit practiced upon him by an attorney representing the plaintiff in this action.

The precise question presented by the certificate of the circuit court has not been determined in any prior decision of this Court. It has, however, been discussed in authoritative texts and treatises and considered and determined by appellate courts in other jurisdictions.

* * * In 42 Am.Jur., Process, Section 35, the general principle is stated thus: "Personal service of process, if procured by fraud, trickery, or artifice is not sufficient to give a court jurisdiction over the person thus served, and service will be set aside upon proper application. Relief is accorded in such cases not because, by reason of the fraud, the court did not get jurisdiction of the person of the defendant by the service, but on the ground that the court will not exercise its jurisdiction in favor of one who has obtained service of his summons by unlawful means. Thus, if a person resident outside the jurisdiction of the court and the reach of its process is inveigled, enticed, or induced, by any false representation, deceitful contrivance, or wrongful device for which the plaintiff is responsible, to come within the jurisdiction of the court for the purpose of obtaining service of process on him in an action brought against him in such court, process served upon him through such improper means is invalid, and upon proof of such fact the court will, on motion, set it aside." * * *

The foregoing principle applies to the party when such service is procured by his agent or by someone acting for and in his behalf. * * *

In Economy Electric Company v. Automatic Electric Power and Light Plant, 185 N.C. 534, 118 S.E. 3, the court, discussing service of process by fraudulent means, used this language: "Where service of process is procured by fraud, that fact may be shown, and, if shown seasonably, the court will refuse to exercise its jurisdiction and turn the plaintiff out of court. The law will not lend its sanction or support to an act, otherwise lawful, which is accomplished by unlawful means. * * * Such a fraud is one

affecting the court itself and the integrity of its process. * * * The objection, strictly, is not that the court is without jurisdiction, but that it ought not, by reason of the alleged fraud, to take or to hold jurisdiction of the action. * * *

* * *

This Court approves and adopts the view supported by the above cited text, treatise and case authorities, which appears to be generally recognized as the law, and accordingly holds that when a person who resides outside the jurisdiction of a court and, for that reason, is beyond the reach of its process, is inveigled, enticed, or induced by fraud, trickery, artifice or wrongful device for which a party is responsible, by virtue of the action of his attorney or of any other person for and in his behalf, to come within the jurisdiction of the court for the purpose of enabling such party to obtain service of process upon such nonresident person in an action brought against him in such court, service of process which results from such fraud, trickery, artifice or wrongful device, is invalid and does not justify the exercise of jurisdiction by such court over the person so served with process; and upon proof that service of process has been so obtained, it will be vacated and set aside.

Under the material allegations of the amended plea in abatement which, as already indicated, must be considered as true upon demurrer, the defendant Barton was induced or enticed to come into McDowell County by the unauthorized invitation extended to him by the attorney for the plaintiff whose purpose at the time was to obtain personal service upon the defendant Barton * * *; the defendant Barton knew that the present action against him was pending in the circuit court by reason of the service of the original process upon him * * * but he did not suspect or realize that he would be served with process while present in McDowell County to attend the banquet; he was induced to come into that county by the invitation to the banquet; and he would not have come into that jurisdiction if the attorney for the plaintiff had disclosed his identity and his real purpose in extending the invitation, all of which he concealed from the defendant Barton.

* * *

The amended plea in abatement is sufficient on demurrer and the action of the circuit court in overruling the demurrer was correct.

It should perhaps be emphasized that, as the factual allegations of the amended plea in abatement have not been denied at this stage of this action by any pleading filed by the plaintiff, the question of the truth or the falsity of those allegations is not before this Court * * *.

Ruling affirmed.

GIVEN, JUDGE (dissenting).

My disagreement with the majority is not as to the rule of law laid down. I think the rule a salutary one, and masterfully stated. I do

not believe, however, that the facts properly pleaded, and the inferences which may be rationally drawn therefrom, bring the facts of this case within the influence of the rule.

Stripped of all explanatory language, and of many allegations of conclusions of fact, * * * the plea in abatement charges no more than that the attorney, by telephone, inquired at defendant’s home whether defendant intended to attend a certain social function to be held in McDowell County, to which defendant was then invited by the attorney; that the attorney, though requested to give his name, did not do so; that the attorney later, or someone for him, again by telephone, inquired whether defendant had decided to attend the social function, and was advised that defendant had made arrangements to attend; and that the attorney caused process to be served on defendant while attending the social function. * * * The principal, if not only, fact of wrongdoing, if wrongdoing, alleged against the attorney was his failure to inform defendant of the identity of the telephone caller. * * * It seems to me that the facts properly alleged can not be held to establish fraud or wrongdoing. At most, they would simply show that the attorney took advantage of an opportunity, the holding of the social function in McDowell County and the interest of defendant’s son in the holding of the function, to try to obtain proper service of process, which was no more than a duty owed his client. In considering the questions arising, it should be kept in mind that defendant had full knowledge of the institution of the action against him in McDowell County, of the fact that he had questioned the validity of the service of other process issued in that action, and of the fact that the alleged cause of action arose in McDowell County, where ordinarily it would have been triable.

* * *

An examination of the cases cited by the majority discloses that, though they fully support the rule laid down, not one of them, in my opinion, requires, or even permits, the application of the rule in a case wherein the facts are comparable, in effect, with the facts alleged in the plea involved in the instant case. The majority opinion points out no such case, and I find none. * * *

* * *

Being of the views indicated, I respectfully dissent. I am authorized to say that Judge RILEY joins in this dissent.

NOTES AND QUESTIONS

1. Did the appellate court in this case decide that West Virginia courts did not have personal jurisdiction over defendant (assuming defendant’s story as true), or that those courts should not exercise jurisdiction in these circumstances even though they had it?
2. When should a court be able to demand that a person appear before it and defend an action? In what circumstances should this demand be permitted against a person who is not a resident of the state in which the court is located? Why should a nonresident be subject to suit if he is served with process within the state? Insofar as these reasons are concerned, should it make any difference why he is present in the state?
3. In thinking about the cases you read, try to consider how the court might approach the problem if certain facts were different. For example, should service in West Virginia in the following situations be treated the same as under the facts alleged in the principal case?
 - (a) Tickle had asked Barton to appear as a witness in a suit against a third party involved in the accident.
 - (b) Tickle had asked Barton to come to West Virginia to discuss settling the case.
 - (c) Tickle had telephoned Barton and falsely told him that his son lay critically injured in a West Virginia hospital.
 - (d) Tickle (like the Sheriff of Nottingham) had scheduled a football banquet in West Virginia that he knew Barton (like Robin Hood) would be unable to resist attending, although he did not personally invite him.
4. When the case is reconsidered by the West Virginia Circuit Court on remand, Barton’s lawyer must prove his allegations if Barton is to avoid trial in West Virginia. What problems do you foresee in his being able to prove them, and how should he proceed to do so?

2. DEFINING AND DETERMINING THE CASE BEFORE TRIAL

At this point, it will be helpful to reread the part of the Outline of a Civil Action that deals with pleading, especially the portion that discusses the “three general situations” in which a motion to dismiss for failure to state a claim might be granted. See pp. 10–13, *supra*. Is the court in the following case saying that plaintiff has not properly pleaded the case or that plaintiff has no case at all?

CASE V. STATE FARM MUTUAL AUTOMOBILE INSURANCE CO.

United States Court of Appeals, Fifth Circuit, 1961.
[294 F.2d 676.](#)

CAMERON, CIRCUIT JUDGE. Appellant Case filed this action against the three insurance companies named as appellees for damages growing out of the termination of his representation of the three Companies as local agent. He charged in his complaint that he was appointed agent by a written contract attached as an exhibit to his complaint, which he charged, and the parties agree, constituted him an independent contractor for all purposes and provided that he was not required to “devote all of his working time to any one of the Companies;” that he represented the three Companies “through the years 1954, 1955, 1956, 1957 and 1958, and up until March 28,

1959,” on which date the appellees “began to and did meddle and interfere with the plaintiff’s work as agent of (the three Companies) in disregard of the agreement between the defendants and the plaintiff.”¹

Properly construed in connection with the remaining allegations of the complaint,² appellant stated nothing in his pleading except an action based

upon what he conceived to be the malicious and wrongful cancellation of the written contract between him and appellees, and on that alone. So construed, every word in the complaint related to the alleged wrongful termination of the written contract between the parties. That writing gave either party the right to terminate it with or without cause, and the charges in the complaint relating to meddling and interference make sense only when construed in the light of the allegations that the appellees expressed the purpose not to continue the contractual relationship with appellant unless he would agree to abjure the seeking and holding of the public office of county supervisor. Their efforts to induce him to follow the course which alone would permit the continuation of that contractual relationship related manifestly to the termination which finally took place. The contract gave the appellees the right to cancellation “with or without cause,” and in terminating it the appellees acted entirely within their rights.

Appellant argues the case as if it were one in tort for interference with his civil rights. The allegations of the pleadings do not support such an argument. * * *

It is clear also that the complaint does not set forth an independent claim for damages based upon meddling and interference by appellees with appellant’s performance of the contract. Appellant invokes the oft repeated statement of the courts that a complaint should not be dismissed if it charges facts upon which a court could possibly grant relief. * * * What the courts have said does not mean that it is the duty of the trial court or the appellate court to create a claim which appellant has not spelled out in his pleading.

The court below was faced with a complaint and a motion to dismiss. Its duty was to judge the complaint by the language used in it. The only damages claimed by the appellant were those based entirely upon his claim that the written contract was wrongfully terminated, and the language concerning the meddling and interference is reasonably construed as referring to appellees’ indication to appellant that he would have to give up his quest of public office if he desired to retain his contractual relationship with appellees. We are called upon here merely to test whether the court below erred in interpreting the meaning of language which was, viewed as a whole, clear and unambiguous. We do not think that it did.

If appellant had desired to pursue a charge that appellees had wrongfully interfered with the running of his business in violation of the terms of the written contract, it would have been quite simple for him to file an amended complaint. Doubtless the court below would have permitted this even after the order of dismissal had been granted. But

aside from that, appellant had an absolute right to amend his complaint once, no responsive pleading having been filed. * * *

It is apparent that the complaint charged that appellees did nothing more than to exercise the right of termination given them by the explicit terms of the contract exhibited with appellant’s complaint. * * * This being true, and since appellant claims no damages whatever except such as would flow from the wrongful termination of the contract, we think the court below correctly granted the motion to dismiss. Its judgment is

Affirmed.

NOTES AND QUESTIONS

- 1.Can you identify the different claims that Case alleged in his complaint?
- 2.Which of the objectives of pleading discussed in the Outline of a Civil Action, see pp. 10–13, supra, were most significantly involved in this case?
- 3.Suppose a valid legal theory did exist that would have entitled Case to some relief, but that Case neglected to invoke it in his pleading. Would the court have been justified in dismissing the complaint on the principle that “it is [not] the duty of the trial court or the appellate court to create a claim which appellant has not spelled out in his pleading”? Would dismissal be appropriate if the complaint “charges facts upon which a court could possibly grant relief”? See p. 38 supra. Wouldn’t dismissal in that circumstance simply punish Case for his lawyer’s sloppy pleading?
- 4.What was the effect of the dismissal in *Case*? Should plaintiff have been permitted to amend the complaint and start again? Could plaintiff interpose a new and slightly altered complaint that would survive another motion to dismiss?
- 5.Suppose that after the motion to dismiss had been granted Case discovered a letter agreement dated after the contract and signed by all of the parties stipulating that the insurance agency agreement could be terminated only for “good cause.” Should he be able to amend his complaint and sue again in federal court? In state court?

Disputes often involve more than two people. Procedural rules allow parties to join multiple parties and multiple claims in one lawsuit. Joinder may promote efficiency and sometimes also may be essential for fairness. The following case explores whether all those

who are interested in a controversy must always be made parties to a single lawsuit.

TEMPLE V. SYNTHES CORP.
Supreme Court of the United States, 1990.
[498 U.S. 5, 111 S.Ct. 315, 112 L.Ed.2d 263.](#)

Certiorari to the United States Court of Appeals for the Fifth Circuit.

PER CURIAM.

Petitioner Temple, a Mississippi resident, underwent surgery in October 1986 in which a “plate and screw device” was implanted in his lower spine. The device was manufactured by respondent Synthes, Ltd. (U.S.A.) (Synthes), a Pennsylvania corporation. Dr. S. Henry LaRocca performed the surgery at St. Charles General Hospital in New Orleans, Louisiana. Following surgery, the device’s screws broke off inside Temple’s back.

Temple filed suit against Synthes in the United States District Court for the Eastern District of Louisiana. The suit, which rested on diversity jurisdiction, alleged defective design and manufacture of the device. At the same time, Temple filed a state administrative proceeding against Dr. LaRocca and the hospital for malpractice and negligence. At the conclusion of the administrative proceeding, Temple filed suit against the doctor and the hospital in Louisiana state court.

Synthes did not attempt to bring the doctor and the hospital into the federal action by means of a third-party complaint, as provided in Federal Rule of Civil Procedure 14(a). Instead, Synthes filed a motion to dismiss Temple’s federal suit for failure to join necessary parties pursuant to Federal Rule of Civil Procedure 19. Following a hearing, the District Court ordered Temple to join the doctor and the hospital as defendants within twenty days or risk dismissal of the lawsuit. According to the court, the most significant reason for requiring joinder was the interest of judicial economy. The court relied on this Court’s decision in **Provident Tradesmens Bank & Trust Co. v. Patterson**, 390 U.S. 102, 88 S.Ct. 733, 19 L.Ed.2d 936 (1968), wherein we recognized that one focus of Rule 19 is “the interest of the courts and the public in complete, consistent, and efficient settlement of controversies.” When Temple failed to join the doctor and the hospital, the court dismissed the suit with prejudice.

Temple appealed, and the United States Court of Appeals for the Fifth Circuit affirmed. The court deemed it “obviously prejudicial to the defendants to have the separate litigations being carried on,” because Synthes’ defense might be that the plate was not defective but that the doctor and the hospital were negligent, while the doctor and hospital, on the other hand, might claim that they were not negligent but that the plate was defective. The Court of Appeals found that the claims overlapped and that the District Court therefore had not abused its discretion in ordering joinder under Rule 19. * * *

* * * Temple contends that it was error to label joint tortfeasors as indispensable parties under Rule 19(b) and to dismiss the lawsuit with prejudice for failure to join those parties.^b We agree. Synthes does not deny that it, the doctor, and the hospital are potential joint tortfeasors. It has long been the rule that it is not necessary for all joint tortfeasors to be named as defendants in a single lawsuit. * * * The Advisory Committee Notes to Rule 19(a) explicitly state that “a tortfeasor with the usual ‘joint-and-several’ liability is merely a permissive party to an action against another with like liability.” * * * There is nothing in Louisiana tort law to the contrary. * * *

* * *

* * * [N]o inquiry under Rule 19(b) is necessary, because the threshold requirements of Rule 19(a) have not been satisfied. As potential joint tortfeasors with Synthes, Dr. LaRocca and the hospital were merely permissive parties. The Court of Appeals erred by failing to hold that the District Court abused its discretion in ordering them joined as defendants and in dismissing the action when Temple failed to comply with the court’s order. For these reasons, we grant the petition for certiorari, reverse the judgment of the Court of Appeals for the Fifth Circuit, and remand for further proceedings consistent with this opinion.

It is so ordered.

NOTES AND QUESTIONS

1. Why do you think Temple did not name Dr. LaRocca and the hospital as defendants in his federal suit? Why would Temple seek to duplicate his time and effort by litigating a suit in federal court at the same time that he is litigating one in state court with respect to precisely the same injury?
2. Although the Supreme Court failed to specify the citizenship of Dr. LaRocca and the hospital, they were in fact citizens of Louisiana, and so all plaintiffs were citizens of states different from those of the three defendants. See *Temple v. Synthes Corp.*, 130 F.R.D. 68, 69 n.1 (E.D.La. 1989). Does this information change your answers to the questions in Note 1, above?
3. What do you make of the Fifth Circuit’s concern with the potential for inconsistent judgments? Does the Supreme Court find that this concern is not warranted? Or does it find that there are other more important considerations? If so, what are they?
4. When this case returns to the District Court, could the court order Synthes to file a third-party complaint against the doctor and the hospital under Federal Rule 14(a)? Should a court ever have the power to order that parties be added to a lawsuit? Why?

5. Suppose that both Temple and Synthes do not want the doctor and the hospital to be added as parties and the court does not order that they be added. Could the doctor and the hospital join the federal suit of their own accord? See Federal Rule 24. Should Temple and/or Synthes be able to stop them from intervening?

The purposes of discovery are many. The most important are obtaining evidence for one's own case and identifying weaknesses in the opposition's. The party seeking discovery usually is asking about something of which he is ignorant or uncertain, but sometimes he seeks information about a matter within his own knowledge. In reading the next case, consider why plaintiff is so determined to obtain the evidence and why defendant is equally determined that he shall not have it.

DiMICHEL v. SOUTH BUFFALO RY. CO.

Court of Appeals of New York, 1992.
[80 N.Y.2d 184, 590 N.Y.S.2d 1, 604 N.E.2d 63.](#)

WACHTLER, CHIEF JUDGE.

* * * [W]e consider whether surveillance films prepared by a defendant in a personal injury action are discoverable by the plaintiff before trial. * * * The Appellate Division held * * * that the defendants would be obligated to disclose only those tapes which they planned to use at trial. Under the facts present here, we find this balance to be an appropriate one. Accordingly, * * * we affirm. * * *

Plaintiff Anthony DiMichel commenced this action against South Buffalo Railway Company (South Buffalo) in Supreme Court, Erie County, by service of summons and complaint dated January 16, 1986. Plaintiff alleged that on June 6, 1984, while employed by South Buffalo, he sustained injuries in a fall. DiMichel charged South Buffalo with violations of the Federal Employers' Liability Act, the Safety Appliance Act and the Boiler Inspection Act and asked for \$500,000 in damages.

In the course of pretrial discovery, plaintiff asked for disclosure of all videotapes or surveillance films that defendant may have taken of plaintiff. Without conceding that it in fact possessed surveillance materials, South Buffalo contended that any such material was not discoverable. Plaintiff then moved to compel disclosure. * * * [T]he motion to compel disclosure was granted and defendant was ordered "to turn over to plaintiff for inspection and copying any and all videotapes and/or surveillance films of the plaintiff," but stayed this order pending appeal to the Appellate Division. The Appellate Division modified, * * * holding that the defendant was obligated to turn over those surveillance materials it intended to use at trial, and that the defendant would be precluded from using any

surveillance material it did not supply to plaintiff within 60 days of its order. * * *

* * * [W]e now turn to the unique problems posed by surveillance films. Personal injury defendants secure surveillance materials in order to verify the extent of a plaintiff's purported injuries and introduce them because they are powerful and immediate images that cast doubt upon the plaintiff's claims. And indeed, if accurate and authentic, a surveillance film that undercuts a plaintiff's claims of injury may be devastatingly probative. At the same time, however, film and videotape are extraordinarily manipulable media. Artful splicing and deceptive lighting are but two ways that an image can be skewed and perception altered. As one court has noted, "[t]he camera may be an instrument of deception. It can be misused. Distances may be minimized or exaggerated. Lighting, focal lengths, and camera angles all make a difference. Action may be slowed down or speeded up. The editing and splicing of films may change the chronology of events. An emergency situation may be made to appear commonplace. That which has occurred once, can be described as an example of an event which recurs frequently. * * * Thus, that which purports to be a means to reach the truth may be distorted, misleading and false" (*Snead v. American Export-Isbrandtsen Lines*, 59 F.R.D. 148, 150 [(E.D.Pa.1973)]).

Thus, while an accurate surveillance film may indeed prove to be a bombshell, the possibility of inaccuracy, given the nature of the medium, is very real. In resolving the question now before us, then, it is important to note that New York has long favored open and far-reaching pre-trial discovery. To a large extent, New York's open disclosure policy was intended to mark an end to the presentation of totally unexpected evidence and to substitute honesty and forthrightness for gamesmanship. * * *

* * *

This is clearly an issue that has fragmented the four departments of the Appellate Division. * * * [T]he First Department would treat surveillance films as discoverable in their entirety * * * [as] party statements. The Second Department followed the lead of the Fourth Department in [this case] by treating surveillance films as material prepared for litigation and by holding that substantial need and undue hardship inhered in the nature of the films themselves. Finally, the Third Department, while also treating these films as material prepared for litigation, held that such films were discoverable only upon a showing of substantial need and undue hardship.

Having considered the different approaches, we agree with the Second, Third and Fourth Departments that surveillance films should be treated as material prepared in anticipation of litigation, and as such, are subject to a qualified privilege that can be overcome only by a factual showing of substantial need and undue hardship.

That the plaintiffs * * * have a substantial need to view surveillance films before trial is manifest. Because films are so easily altered, there is a very real danger that deceptive tapes, inadequately authenticated, could contaminate the trial process. The question that remains, therefore, is whether plaintiffs confronted with surveillance films for the first time at trial would have an adequate opportunity to ascertain the films' accuracy and authenticity. * * * Authentication of surveillance films can be a slow and painstaking process, and because of the potentially devastating effects of such evidence, it would be improper to curtail a plaintiff's efforts to do so. Thus, a plaintiff, confronted with a surveillance film at trial, would certainly be entitled to a continuance to examine the video evidence. Indeed, it would appear to be well within the discretion of a Trial Judge, under certain circumstances, to give plaintiff an extended continuance in order to retain an expert who could ascertain the authenticity of proffered video evidence. Thus, if defendants were allowed to withhold surveillance evidence until trial, personal injury trials could be routinely disrupted and delayed.

Further, a plaintiff confronted with altered video evidence for the first time at trial would likely be prejudiced by the apparent weight and authority of such evidence. Even if after careful examination plaintiff was able to demonstrate that the evidence had indeed been distorted, it would be difficult to undo its initial impact and to erase the impression left in the minds of the jury members.

Defendants dispute plaintiffs' claims of substantial need, arguing that the real reason they seek to obtain the tapes prior to trial is to learn what evidence the defendants intend to produce at trial so that they may tailor their trial testimony accordingly. This, defendants argue, would greatly impair the truth-finding function of cross-examination. This argument, however, is flawed for at least two reasons. First, it runs counter to New York's open pre-trial disclosure policy, as discussed earlier. Clearly, to permit defendants to withhold this evidence until trial, even for the ostensible purpose of promoting vigorous cross-examination, would be to return to an earlier time, when subterfuge and surprise were common trial strategies. Second, it is persuasive only if we assume that surveillance tapes are always accurate and plaintiffs always dishonest. As noted above, however, surveillance films are extraordinarily susceptible to manipulation, and, once altered, are peculiarly dangerous. Thus, we cannot fashion a rule that is premised upon their authenticity, as defendants urge. However, the danger identified by defendants is a real one. We believe that it can be largely eliminated by providing that surveillance films should be turned over only after a plaintiff has been deposed.

We further find that plaintiffs have established that they cannot without undue hardship obtain the substantial equivalent of surveillance materials by other means. Although plaintiffs are aware of their own

physical ailments and the nature of their disabilities, this is no substitute for viewing the surveillance materials taken by the defendants. It is only by viewing the surveillance film that plaintiffs can determine when it was made and whether the activities depicted were typical of that time or were the product of an emergency situation. Visual evidence of this kind is unique because it memorializes a particular set of conditions that can likely never be replicated. Only by observing the conditions as they appear on film can the plaintiffs respond to possible distortions or prepare to explain seeming inconsistencies to the jury. * * *

* * * Having concluded that the plaintiff was entitled to view those tapes that the defendant intended to use at trial, if indeed any such tapes exist, our analysis * * * is at an end. Accordingly, the order of the Appellate Division should be affirmed * * *.

* * *

NOTES AND QUESTIONS

1.The common law of England “ *recognized no rule requiring prior notice* of intended evidence to be given to the opponent or furnishing legal process for obtaining such information * * *.” The ability of the parties to exchange information about claims and defenses was somewhat greater in Chancery, where a bill of discovery could be served, and “to a limited extent * * * the result * * * would usually be the revelation of some portion of information not before known to the applicant.” However, the bill could not be used to reveal an adversary's own evidence:

[E]quitable discovery involved no more than the negation of the party's privilege at common-law trials not to testify against his own cause, and was not intended to give relief against the common-law principle which refused to exact before trial a disclosure of the tenor of the evidence intended to be given for his cause.

6 Wigmore, Evidence §§ 1845, 1846 (3d ed. 1940). How might the absence of discovery affect other procedural rules within a legal system?

2.The court in *DiMichel* held that materials prepared in anticipation of litigation normally are exempt from discovery, unless a party can show a substantial need and an undue hardship. Do you agree that surveillance videotapes present such a situation? In general, why are materials prepared in anticipation of litigation exempt from discovery at all?

3.Is the holding in *DiMichel* limited to videotaped evidence or does it apply to other types of impeachment evidence as well? Suppose plaintiff is deposed and testifies that prior to the accident being sued on she had never suffered a disabling injury. Plaintiff then attempts to have defendant answer an interrogatory as to what information defendant has regarding plaintiff's prior medical history. What result?

4.Is the court in *DiMichel* correct in not allowing videotapes to be disclosed until after plaintiff has been deposed? If the court is truly following a policy of open discovery, why does it matter when the videotapes are disclosed?

5.Less than a year after the Court of Appeals decided the *DiMichel* case, the New York Legislature enacted Civil Practice Law and Rules

§ 3101(i), which provides, in relevant part:

In addition to any other matter which may be subject to disclosure, there shall be full disclosure of any films, photographs, video tapes or audio tapes, including transcripts or memoranda thereof, involving a [party; an officer, director, member, agent, or employee of a party; or a person about to depart the state or for other reasons will not be available; or a person retained as an expert witness]. There shall be disclosure of all portions of such material, including out-takes, rather than only those portions a party intends to use. * * *

The Court of Appeals subsequently interpreted an aspect of the new law, and held that it had overruled that portion of *DiMichel* that allowed defendant to withhold surveillance tapes until after a plaintiff has been deposed. See *Tran v. New Rochelle Hospital Medical Center*, 99 N.Y.2d 383, 786 N.E.2d 444, 756 N.Y.S.2d 509 (2003). Why do you think the legislature rejected the court’s imposition of a timing requirement on the production of videotapes?

When defendant files an answer denying the allegations of the complaint, the denials are only that party’s assertions and do not demonstrate whose story is correct. The motion for summary judgment enables a party to show whether there is admissible evidence to support the allegations made and to call for a showing by the opposing party. The judge’s role is not to try to decide a factual dispute when each party has presented competent evidence on an issue and there is a conflict. But if it becomes clear that one party cannot possibly prove his allegations, there is no “genuine issue” and a futile trial may be avoided by granting the motion.

ALDERMAN v. BALTIMORE & OHIO R. Co.

United States District Court, Southern District of West Virginia, 1953.
[113 F.Supp. 881.](#)

MOORE, CHIEF JUDGE.

Plaintiff * * * brings this action * * * to recover for personal injuries sustained by her as a result of the derailment of one of defendant’s trains near Adrian, West Virginia, on February 14, 1952.

Plaintiff was not a fare-paying passenger. She was traveling on a trip pass, which afforded her free transportation * * *. The following conditions were printed on the pass: “In consideration of the issuance of this free pass,

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I hereby assume all risk of personal injury and loss of or of damage to property from whatever causes arising, and release the company from liability therefore, and I hereby declare that I am not prohibited by law from receiving free transportation and that this pass will be lawfully used.”

Plaintiff in her original complaint charged defendant with negligence in the maintenance of its tracks and the operation of its train. After a pre-trial conference, at which the legal effect of the release from liability contained in the pass was discussed, plaintiff filed an amended complaint charging defendant with wilful or wanton conduct.

On the basis of the amended pleadings and supporting affidavits filed by defendant, defendant moved for summary judgment under Rule 56 * * *.

It is undisputed that the derailment was caused by a break in one of the rails as the train was passing over the track. It is also shown by defendant’s affidavits, and not denied, that the break in the rail was due to a transverse fissure inside the cap of the rail, which broke vertically under the weight of the train; that such a fissure is not visible upon inspection; that such defects occur in both new and old rails; and that a visual inspection was in fact made of this particular rail the day preceding the accident and the defect was not discovered.

Since plaintiff was an intrastate passenger, and since the accident occurred in West Virginia, the law of West Virginia governs both the effect to be given to the release and the degree of care which defendant owed plaintiff. * * *

However, counsel have been unable to direct the Court’s attention to, and the Court has not found, any West Virginia decision which has determined the effect which a release from liability contained in a pass has upon the carrier’s duty to the holder of such a pass. * * *

Since the Federal statute and the West Virginia statute authorizing the issuance of free passes are similar, 49 U.S.C.A. § 1(7), and W.Va.Code, Ch. 24, Art. 3, § 4, it is pertinent to examine the United States Supreme Court decisions construing the Federal statute. The Supreme Court has held that a carrier may contract against liability for negligent injury to one who accepts a free pass * * *; but that for reasons of public policy it cannot relieve itself of liability for wilful or wanton acts. * * *

I am therefore of opinion that the sole duty imposed upon defendant under the facts of this case was to refrain from wilfully or wantonly injuring plaintiff.

In *Kelly v. Checker White Cab, Inc.*, 131 W.Va. 816 at page 822; 50 S.E.2d 888 at page 892, the West Virginia court, quoting from 29 Cyc. 510 said: “ ‘ In order that one may be held guilty of wilful or wanton conduct, it must be shown that he was conscious of his conduct, and conscious, from his knowledge of existing conditions, that injury would likely or probably

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result from his conduct, and that with reckless indifference to consequences he consciously and intentionally did some wrongful act

or omitted some known duty which produced the injurious result.” ’ ’ * * *

The substance of plaintiff’s contention that defendant wilfully injured her is that defendant used old and obsolescent rails in its tracks, knowing that the use of these rails made derailments reasonably probable. It is charged that defendant used old rails because the cost of derailments was less than the cost of replacing the old rails, and that for this reason defendant was willing to take the risk of derailments.

I am of opinion that the complaint fails to state sufficient facts to substantiate a charge of wilfulness, as that term is defined by the West Virginia court. It is clear that plaintiff has stated a charge of negligence; but that is not the test in this case. To establish wilfulness it would be necessary to charge that defendant knew of this particular defect in the rail; that the defect would probably result in a break in the rail if the train were run over it, causing a derailment of the train; and that defendant, with this knowledge of existing conditions, and the likelihood or probability of an injury resulting from its conduct, intentionally drove its train over the defective rail with an indifference to the consequences. The undenied affidavits of defendant show clearly that plaintiff cannot establish these facts.

At the hearing of this motion, counsel for plaintiff moved for a continuance of the hearing to enable him to substantiate a newspaper report to the effect that defendant was using old and obsolescent rails in its tracks because the cost of derailments was cheaper than the cost of replacing the rails. The motion was denied since this contention, even if it were true, merely has a bearing on an issue of negligence, and not upon the question of wilful conduct. Plaintiff does not contend that she can establish that defendant knew of the particular defect in the rail that caused the derailment.

For the reasons stated above, defendant’s motion for summary judgment will be sustained. * * *

NOTES AND QUESTIONS

1.If very specific allegations of all of the facts giving rise to plaintiff’s cause of action were required to be set forth in the complaint, would it have been possible to handle the *Alderman* case by a motion to dismiss or a demurrer rather than waiting for the summary judgment phase? To the extent that this would have been possible, does the case present a strong argument for more specific pleading of facts? Consider whether the court should have ruled as it did if the motion for summary judgment had been made immediately upon the service of the complaint and before plaintiff had an opportunity to utilize the discovery process. What provision does Federal Rule 56 make for

this contingency? Analytically, the motion for summary judgment can be thought of as a demurrer-plus. However, do you agree that for summary judgment to be fair and effective, it must be preceded by discovery so that each party will have an opportunity to disclose the gaps in the opponent’s case and to cure any defects in the party’s own?

2.A motion for summary judgment may be useful even though the moving party believes it will be unsuccessful. What advantage did defendant in *Alderman* gain by moving for summary judgment, rather than moving to dismiss? Reread the third paragraph of the case. See p. 47, *supra*. Should plaintiff be able to amend a complaint in this situation? Was her amendment made merely to prolong the litigation in the hope of forcing a settlement?

3.In *KENNEDY v. SILAS MASON CO.*, 334 U.S. 249, 256–57, 68 S.Ct. 1031, 1034, 92 L.Ed. 1347, 1350–51 (1948), Justice Jackson, speaking for the Court, said: “[S]ummary procedures, however salutary where issues are clear-cut and simple, present a treacherous record for deciding issues of far-flung import, on which the Court should draw inferences with caution from complicated courses of legislation, contracting and practice.” He emphasized it would be “good judicial administration to withhold decision of the ultimate questions” absent a record presenting “a more solid basis of findings based on litigation or on a comprehensive statement of agreed facts.” Why is the grant of summary judgment more troubling in lawsuits that involve complex factual questions or proof by circumstantial evidence?

3.JUDGE AND JURY

You probably will be surprised (and perhaps dismayed) by the comparatively small part of a Civil Procedure course devoted to the actual process of trial. It is true that the trial, if one occurs, is the most important and most interesting stage of a lawsuit. But most of the “law” about trials is the subject matter of a course in Evidence. The most important aspect of trial with which this course is concerned is the division of functions between judge and jury and the various ways in which the judge acts to insure that the jury performs its proper function. In this section, we look at four of those ways: instructing the jury as to the law it shall apply, the form that the verdict takes, judicial control over the matters the jury may consider, and taking from the jury its power to decide a case when the judge finds that the evidence presented at trial can reasonably support only one result.

a.Instructing the Jury

Broadly stated, it is a function of the judge to decide questions of law and a function of the jury to decide questions of fact. But in most cases, the jury’s final decision will have the effect that one of the parties is entitled to judgment and to reach this decision the jury must apply the law to the facts. Therefore, the jury must be told what the law is. The vehicle for this

is the judge’s charge to the jury, which comes at the end of the trial, immediately before the jury retires to consider its verdict. An important issue concerning these instructions is how far the adversary system should extend to this stage of the lawsuit. Counsel

for both parties may request that particular instructions be given to the jury, and when there is a dispute between them as to the law, they ordinarily will submit conflicting requests. The judge must resolve such conflicts, and it is the court’s duty in any event to instruct the jury whether or not the parties make specific requests. The judge, even though an expert on the law, may err. To what extent is it the responsibility of counsel to attempt to correct the trial judge? The next case involves this question, and introduces the further question of allocating the burden of proof (or burden of persuasion). Why is there no rule that says one party or the other has this burden?

ALEXANDER V. KRAMER BROS. FREIGHT LINES, INC.

United States Court of Appeals, Second Circuit, 1959.
[273 F.2d 373.](#)

SWAN, CIRCUIT JUDGE.

The present action is a sequel to a collision between two tractor-trailer trucks on the Pennsylvania Turnpike in or near Somerset, Pennsylvania. It occurred * * * about six o’clock in the morning, when there was spotty fog on the Turnpike. The corporate plaintiff owned one of the trucks. It was badly damaged and its operator, the plaintiff Alexander, sustained serious injuries. The other truck was owned by the defendant corporation. Its answer to the complaint denied any negligence on its part and set up the defense of contributory negligence on the part of the plaintiffs. The jury found a verdict for the plaintiffs. * * *

Because of the character of the questions raised, a very brief statement concerning the testimony will suffice. The only eye witnesses to the accident were drivers of the two trucks. The drivers’ stories were contradictory and raised issues as to the exact location of the accident and the manner in which it occurred. Both trucks were proceeding westerly. Alexander testified that the collision occurred where there was an entrance to the Turnpike from the right, that defendant’s truck cut in ahead of him, and that the fog was such that he could not see the entering truck in time to avoid hitting it. Holman, defendant’s driver, denied that he entered from the right and claimed that plaintiff’s truck had been following for some time before it ran into the rear end of his truck. Thus the issues of negligence and contributory negligence raised questions of credibility for the jury.

The first question for consideration is whether the judgment should be reversed because of the court’s erroneous charge as to the burden of proof

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of contributory negligence, despite defendant’s failure to request a charge on that subject or to object or take exception to the charge given, as required by [Federal] Rule 51 * * *. Appellant contends that he is excused from complying with the Rule by what occurred in colloquy with the court near the close of the plaintiffs’ case. In the colloquy, the court stated that “the burden of proof of contributory negligence is on the defendant.” Counsel for plaintiffs expressed agreement with the statement, and counsel for defendant said, “I take an exception,” to which the court replied, “Yes, I give you that exception.” The plaintiff then rested, and defendant proceeded to put in its case.

* * * Under the [applicable law] the plaintiffs in an action where death has not resulted * * * carry the burden of proving freedom from contributory negligence. The cases now relied upon by appellant to prove the charge wrong were never brought to the trial court’s attention either in the colloquy or at the time when counsel submitted numerous requests to charge on other matters. Had they been, it seems probable that Judge Inch would have changed the view he expressed in colloquy. The obvious purpose of the requirement in Rule 51 that objection must be made to matters in the charge in order to assign them as error, is to permit the trial judge to evaluate the objection and correct his charge if further thought persuades him of its error. This purpose is not fulfilled by taking an exception to a statement made by the judge several days prior to the time for charging the jury when nothing was before the judge requiring a ruling in respect to the statement made in colloquy. Certainly an exception under such circumstances does not meet the literal requirement of Rule 51 and, in our opinion, it is an insufficient excuse for failure to object or except to the charge.

The cases relied upon by the appellant deal either with situations where an exception was taken at the time of the charge and the question is whether the exception was sufficiently explicit, or to cases involving evidentiary rulings where exception was taken at the time of the ruling but no further exception was taken at the time of the charge. * * * Nor do we think the instant case of the exceptional character in which an appellate court will sometimes correct an error in the charge in the absence of objection or exception. See *Troupe v. Chicago, D. & G. Bay Transit Co.*, 2 Cir., 234 F.2d 253, 260 [1956].

* * *

Judgment affirmed.

NOTES AND QUESTIONS

1.The opinion in this case speaks of the “burden of proof of contributory negligence.” In this book, we use the term “burden of persuasion” when we are referring to the kind of burden involved in *Alexander*. There is another kind of

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burden—the burden of initially putting in evidence on an issue, without which the issue is not in the case at all. We call this kind of burden the “burden of production.” The two burdens are distinct, but the term “burden of proof” often is used to mean either of them. For this reason we avoid it.

Ordinarily, the burden of production and the burden of persuasion on an issue are placed on the same party. But not always. For example, when a defense is one that is seldom raised, it might be a waste of time to require plaintiff in every case to introduce evidence refuting it; the burden of production would be placed on defendant. But once there is enough evidence on the issue to go to the jury, the court might rule that plaintiff should have the burden of persuasion—that is, establishing that the defense is not valid—as plaintiff does on most aspects of her case.

2.What factors are relevant in determining whether to place the burden of persuasion on the issue of contributory negligence on one party rather than the other? Are these same factors involved when deciding who shall be required to plead the issue of contributory negligence? Why might the two burdens be placed differently?

3.In *Troupe*, cited at the end of the principal case, Judge Frank, in a concurring opinion, said, at 234 F.2d at 260–61:

On the negligence issue, the judge, at defendant’s request, charged, “It is enough if the steps and paint are commonly used and accepted in the industry at the time.” This was as obvious an error, on a material matter, as one can imagine. For the Supreme Court, this court and others have often held that usual practices, by others in the same industry or trade, similar to a defendant’s practices, do not constitute a defense in a negligence action. * * *

My colleagues indicate that, were it not for our reversal on the unseaworthiness issue, they would probably have disregarded this error. I cannot agree. My colleagues refer to Rule 51 and the fact that, before the jury retired, plaintiffs’ counsel did not state distinctly that he objected and the grounds of the objection. My colleagues concede that, in an exceptional case, we may review errors not “saved” by a proper objection. They suggest this is not an exceptional case, relying on a statement in *United States v. Atkinson*, 297 U.S. 157, 160, 56 S. Ct. 391, 392, 80 L. Ed. 555. There the Supreme Court, set forth, in the disjunctive, two grounds for reviewing such errors:

(1)“the errors are obvious

or

(2)they otherwise seriously affect the fairness, integrity, or public reputation of judicial proceedings.”

My colleagues stress the second ground. But the first ground alone suffices, as the cases make clear. And here, as observed above, the error was magnificently obvious. A litigant surely has the right to assume that a federal trial judge knows the elementary substantive

legal rules, long established by the precedents, and that therefore the judge will act accordingly, without prompting by the litigant’s lawyer.

Was the trial judge’s error in *Alexander* “obvious”? What factors are relevant in answering this question?

b.The Form of the Verdict

In most cases, the jury is asked to return a “general verdict.” In substance, the jury simply says, “We find for plaintiff and fix damages at x dollars” or “We find for defendant.” But there are two variations on the general verdict. One is the special verdict, in which the jury is asked to answer questions as to the facts; the judge then applies the law to the facts as found by the jury. The other is the general verdict with interrogatories: The jury is told to return a verdict in the same form as a general verdict, but in addition it is told to answer certain questions about the facts of the case. If those answers are not consistent with the general verdict, the answers control. There are a number of reasons for using the special verdict or the general verdict with interrogatories. For example, in a complicated case, the special verdict obviates the necessity of instructing the jury about the law and permits it to concentrate on determining the facts. But you should bear in mind that both of these verdict forms also are devices for controlling the jury—for preventing the jury from ignoring the law and simply deciding the case for the party the jurors want to win.

DINIERO v. UNITED STATES LINES Co.

United States Court of Appeals, Second Circuit, 1961.
[288 F.2d 595](#), cert. denied, 368 U.S. 831, 82 S.Ct. 54, 7 L.Ed.2d 34.

MEDINA, CIRCUIT JUDGE.

* * * Julio Diniero, a Junior Third Assistant Engineer aboard the S.S. Pioneer Land, owned by United States Lines Company, claimed to have suffered such repeated strains in his back in the performance of his duties as to cause a ruptured disc with resultant pain and suffering, culminating some years later in a fusion operation and the removal of the disc. According to Diniero’s testimony, there was a blow-down valve located below a floor plate * * *. There was a slot in the floor plate and normally the valve could be opened or closed as circumstances required by using a reach rod. For a variety of reasons * * * which include the absence of a reach rod and defects in the valve, Diniero said the only way he could operate the valve was by removing the deck plate, crouching down and moving the wheel of the valve by the use of a wrench. He claimed the injuries to his back were the effect of repeatedly operating the valve under these difficult conditions. The shipowner * * * claimed there was nothing wrong with the valve, nor any necessity to remove the floor plate or to use a wrench. The eight day trial was devoted to * * * the controverted issue of

liability, and there was also considerable medical proof on the general subject of whether Diniero’s trouble was due to a long continued condition caused by a degenerative disc disease and having no relation whatever to the operation of the blow-down valve * * *.

At the close of the evidence the trial judge submitted the case to the jury in a wholly unexceptionable charge. In an endeavor to assist the jury in its deliberations, however, * * * he submitted eight questions to be signed and returned as the verdict of the jury. The last two were in the form of a general verdict for plaintiff or defendant, questions 2 to 6 [related] * * * to unseaworthiness, negligence, contributory negligence and proximate cause. The trouble was caused by question number 1, as follows:

“Did the plaintiff injure himself aboard the Pioneer Land because in operating the blow-down valve he had to remove the floor plates, then crouch and exert physical effort with a wrench and not his hand to stop it from leaking?

“Answer yes or no.”

After some hours of deliberation and the receipt of a number of communications from the jury, the trial judge withdrew all the questions, told the jury to disregard them and bring in a general verdict in the usual form; and, after further deliberations the jury brought in a verdict in favor of the seaman for \$46,150. * * *

The position of the shipowner is that * * * [Federal] Rule 49(b) authorizes the submission of written interrogatories but does not authorize the withdrawal of such interrogatories, after they have once been submitted and the jury has commenced its deliberations thereon. The shipowner further argues that question number 1 related to “one or more issues of fact the decision of which is necessary to a verdict,” and that * * * it was a clear abuse of discretion to withdraw a proper and material interrogatory, relating to an issue that must necessarily be decided in plaintiff’s favor, if plaintiff was to recover any damages whatever. To permit such withdrawal, the shipowner claims, would defeat the very purpose of * * * Rule 49(b), and smooth the way for a reluctant jury, unable to agree on the facts basic to recovery, to do “popular justice” through the medium of “an old-fashioned verdict.”

* * *

The jury commenced their deliberations at 2:45 p.m. At 5:40 p.m. the trial judge received a note from the jury reading: “Your Honor, could we ask for your interpretation of the word ‘had’ in the second line, first question? Did the plaintiff injure himself?”

Appellant’s counsel assures us that the question and the explanation given by the trial judge is just as simple as * * * whether he was injured in

the manner described by him in his testimony. What the trial judge said, however, is as follows:

“What I was trying to find out by the first question was whether or not plaintiff injured himself on board this ship, assuming that he had to remove the plates, assuming that he had to crouch down, and assuming he exerted this pressure with the wrench instead of his hand?

“So in answer to your specific question as to the interpretation of the word ‘had’ it means that I assumed that he had to remove the plates, and he had to do this, and he had to do that. I didn’t mean to take away from you the question as to whether he did in fact have to do that. In other words, the purpose of the question is to find out whether the plaintiff injured himself on board the ship in the manner that he described. The defendant claims that he did not. So the first question that I wanted answered was did he injure himself aboard the ship by doing what he said he did?

“If you find that he didn’t remove the plates or he didn’t bend down, or he didn’t crouch, or he didn’t have to, or he didn’t do it, those questions will be answered as you go on further down by your answers to the other questions.

“But in my first question I assumed as a fact, accepted the plaintiff’s testimony, that he had to bend down, that he had to crouch, that he had to remove the plates.

“What I wanted to find out was, assuming all of that, did he injure himself on board the Pioneer Land.

“Now I hope that is clear. If it isn’t you can write me another note.”

The jury retired again at 5:50 p.m. and returned with another note at 6:40 p.m. * * * as follows: “Your Honor, we cannot agree on question one. It appears there is no chance for agreement.” Thereupon the trial judge withdrew all the questions from the consideration of the jury and asked them to see if they could not agree on a general verdict.

* * * [T]he jury still could not soon reach agreement. At 9:22 p.m. the jury informed the trial judge that “it finds it impossible to arrive at a unanimous agreement in this case.” The trial judge thereupon read a quotation from *Allen v. United States*, 1896, 164 U.S. 492, 501, 17 S.Ct. 154, 41 L.Ed. 528, and returned the jury for further deliberations at 9:30 p.m. * * * At 10:30 p.m. the verdict was announced and the jury polled.

There was an inherent ambiguity in question one, and it is plain enough that the explanation failed to remove the ambiguity. Under these circumstances we think it was not an abuse of discretion to withdraw the questions and give the jury an opportunity to agree upon a general verdict.

* * * It was a matter of judgment whether to attempt some further elucidation of the question, or to declare a mistrial, or to withdraw all the questions and authorize a general verdict. We cannot say the decision made here under the circumstances of this case was wrong, particularly as the jury continued its deliberations from about 6:45 p.m. until 10:30 p.m., after the withdrawal of the questions.

Other cases present the problem in its simplest form. After the submission of material and proper interrogatories, there is a delay of a few hours and the trial judge of his own motion, or on the application of plaintiff’s counsel, calls in the jury, withdraws the questions, tells the jury to bring in a general verdict over the objection of defendant’s counsel, and shortly thereafter the jury returns a verdict for the plaintiff. This has been held to be an abuse of discretion and ground for reversal. * * * The reason is that the action of the trial judge would probably be prejudicial to defendant. * * * This is a good general rule, and we agree with it. But it has no application to the case before us now, as the interrogatory causing all the difficulty here was unclear and ambiguous. The withdrawal of all the questions was for the purpose of eliminating the confusion caused by the formulation of an improper question. And it is to be noted that a confusing and improperly worded interrogatory cannot fairly be considered a “material” question, or one the answer to which “is necessary to a verdict.” Under the circumstances it was, we think, good judgment to withdraw all the questions. Certainly we cannot say to do so was an abuse of discretion.

Affirmed.

NOTES AND QUESTIONS

- 1.Do you believe the interrogatory as first given to the jury was ambiguous? What are the possible meanings of the question? Could the jury answer the question “No” under any of these meanings and still find for plaintiff? If the jury had answered the interrogatory “No,” and a reviewing court found that there was no evidence at all to support a finding that Dinero was not required to remove the plate, crouch down, and turn the valve with a wrench, but that a genuine issue existed on the question whether his condition was caused by this work, would the reviewing court be required to reverse a verdict for defendant that was based on the answer to the first interrogatory?
- 2.Could the judge simply have rewritten the interrogatory in clearer language and resubmitted it? What reasons mitigate against allowing that practice?
- 3.Could the jury have properly reached a decision for plaintiff without resolving the issue that the judge said in his explanation he intended the interrogatory to present? If it could not, was it proper to withdraw the interrogatory altogether and say to the jury: “What I am going to do, in an

effort to see whether you can agree, I am going to ask you to forget all of the questions I gave you and see whether you can’t agree on a general verdict. * * * I think that might relieve the situation some. I hope you can come to some agreement.” (Judge’s Instruction, quoted from the Petition for a Writ of Certiorari, p. 11.)

- 4.Do you think the judge’s explanation of the interrogatory was clear? Read it again very carefully before you decide. Then reflect upon the fact that it was delivered orally to the jurors, even though the interrogatories themselves were in writing. When the jury is asked to return a general verdict, the charge, frequently including very complex instructions on the law, is given orally, and although the jurors may ask to have parts of it repeated, they sometimes are not even given a copy. From the experience in this case do you think written instructions would be a better idea?
- 5.The use of special verdicts and general verdicts with interrogatories is sometimes criticized as atomizing the jury’s deliberations and making a unanimous result more difficult to reach. Assume that in an ordinary automobile accident case, three members of the jury believe that defendant was going too fast but the other three believe that he was not; moreover, the latter group believes that defendant was not looking where he was going, but the first group believes that defendant was. Could the jury return a unanimous verdict for plaintiff? For defendant? Would the problem be aggravated by the use of a special verdict or a general verdict with interrogatories?
- 6. ALLEN v. UNITED STATES, 164 U.S. 492, 17 S.Ct. 154, 41 L.Ed. 528 (1896), which the trial court in *Dinero* quoted to the jury, see p. 55, supra, involved a variation on what has come to be called the “dynamite charge,” an instruction that is sometimes given in the principal charge but more frequently is given only to a jury that has been unable to reach a unanimous verdict for either party after a substantial period of time. In *Allen*, this charge was given some time after the main charge. Its content was,

* * * in substance, that in a large proportion of cases absolute certainty could not be expected; that, although the verdict must be the verdict of each individual juror, and not a mere acquiescence in the conclusion of his fellows, yet they should examine the question submitted with candor, and with a proper regard and deference to the opinions of each other; that it was their duty to decide the case if they could conscientiously do so; that they should listen, with a disposition to be convinced, to each other’s arguments; that, if much the larger number were for conviction, a dissenting juror should consider whether his doubt was a reasonable one which made no impression upon the minds of so many men, equally honest, equally intelligent with himself. If, upon the other hand, the majority were for acquittal, the minority ought to ask themselves whether they might not reasonably doubt the correctness of a judgment which was not concurred in by the majority.

Id. at 501, 17 S.Ct. at 157, 41 L.Ed. at 530–31. The Court found no error in the instruction:

While, undoubtedly, the verdict of the jury should represent the opinion of each individual juror, it by no means follows that opinions may not be changed by conference in the jury room. The very object of the jury system is to secure unanimity by a comparison of views, and by arguments among the jurors themselves. It certainly cannot be the law that each juror should not listen with deference to the arguments, and with a distrust of his own judgment, if he finds a large majority of the jury taking a different view of the case from what he does himself. It cannot be that each juror should go to the jury room with a blind determination that the verdict shall represent his opinion of the case at that

moment, or that he should close his ears to the arguments of men who are equally honest and intelligent as himself.
Id. at 501, 17 S.Ct. at 157, 41 L.Ed. at 530. Does this opinion adequately answer the objections that may be made to such a charge?

c.The Jury’s Deliberation

After the judge completes the charge, the jury retires to deliberate in private. Extensive precautions are taken to insure that the jury is undisturbed and unheard during this period. The jury will have been instructed to decide the case in accordance with the law as explained by the judge and only on the basis of the evidence that has been brought forward in the trial. It is improper for the jury to ignore what the judge has said about the law or to speculate about what evidence that was not introduced might have proved. It also is improper for the jurors to decide the case on the basis of their own personal knowledge of matters not in evidence. Indeed, if a juror has specific knowledge of the facts, it should be disclosed at the beginning of the trial, and that person probably will be struck from the panel. But a more difficult question is presented by a juror’s more general experience and knowledge. A strength of the jury system is thought to be that it brings together a cross-section of community standards and experienced judgments. At the same time, the parties cannot meet the special knowledge of jurors of which they are unaware. How should the line between general experience and special knowledge be drawn?

TEXAS EMPLOYERS’ INS. ASS’N V. PRICE
Court of Civil Appeals of Texas, Eastland, 1960.
[336 S.W.2d 304.](#)

COLLINGS, JUSTICE.

Loyal Grant Price brought suit * * * to set aside an award of the Industrial Accident Board * * *. The defendant Texas Employers’ Insurance Association answered by general denial and specifically pleaded that plaintiff’s alleged injury did not result in total or permanent incapacity, but that any injury plaintiff may have received resulted only in partial and temporary incapacity, or resulted from other injuries and diseases or a combination thereof. * * *

The case was tried before a jury which found that plaintiff received an accidental injury while working for the Port Houston Iron Works, Inc.; * * * that such injury was the producing cause of total disability; that total disability began November 27, 1957; that such disability was permanent and was not partial * * *. Judgment was entered for the plaintiff for \$13,415.96 in a lump sum with interest thereon at the legal rate. * * *

In appellant’s first four points it is contended that there was no evidence, and in the alternative that the evidence was insufficient to support the findings that any total incapacity sustained by appellee was permanent and the finding that appellee sustained total and permanent incapacity was so against the great weight and preponderance of the evidence as to be clearly wrong and unjust. * * *

In support of its contention in this respect, appellant further urges that appellee’s own doctor testified that his back had been improved by the operation and stated that he “would estimate his (appellee’s) partial permanent disability as approximately twenty percent as applied to general deficiency.” This testimony is not consistent with the finding of the jury and the testimony of appellee to the effect that he has sustained total and permanent incapacity. It is the province of the jury, however, to determine the weight to be given evidence and to reconcile conflicts or inconsistencies therein. * * * The matter under consideration was not one for experts and skilled witnesses alone. Appellee testified that he could not work without pain, that his back was getting worse, that he was having to wear a brace with which he had previously been fitted by Dr. Brelsford. Dr. Brelsford testified that appellee had sustained permanent incapacity although not total, but that he would not pass him to follow his trade. The fact that appellee’s testimony was in conflict with expert opinion testimony concerning the extent of his disability did not, under the circumstances, render it insufficient to support the verdict. * * *

Appellant further urges that the court erred in refusing to grant a new trial on the ground of jury misconduct. The evidence concerning some of the alleged jury misconduct was conflicting and would support a finding

that such misconduct did not occur. The implied findings of the court in support of the order overruling appellant’s motion for a new trial, which findings have support in the evidence, are binding on us. * * *

The existence of one of the alleged acts of jury misconduct is shown conclusively and in our opinion constitutes reversible error. The question whether the incapacity of appellee was total and permanent or only permanent partial was close, as already indicated. It is our opinion that the evidence supports the finding of total permanent incapacity and that such finding is not against the great weight and preponderance of the evidence. But it is further noted that appellee’s own doctor testified, in effect, that his disability was approximately twenty percent partial. It is undisputed that one of the jurors related his personal experiences to persuade the jury that appellee was totally and permanently incapacitated. The witness stated to the jury as follows:

“I said it has been my experience that in employment that if a man has an injury and it is obvious, such as, a scar on his back if he is being examined by a doctor for employment that he would want a statement from that man concerning that injury, and if he mentioned a back injury I doubted very much if he would get employment. The reason that came out was we were

discussing whether or not the injury was partial or total.”

The juror testified that he got this experience in union work; that he had read a letter from his company concerning back injuries showing that the company wanted to be more careful in hiring people with such injuries and that he told the jury about this experience. He testified that, in making the above statements to the jury, he was attempting to persuade a juror to come over to his side of the case; that he felt it was proper to give the jury the benefit of his personal knowledge and experience; and that was what he did. He further stated that he knew from experience that appellee could not get a job with Rohm and Haas, Shell Oil Company, Sinclair, or any other company that has a union contract or employee benefits and so advised the jury. He stated his opinion to the jury that appellee should receive total and permanent disability because he could not pass the physical examination he would be required to take; that it had been his experience that companies were very strict about whom they hire and that prospective employees were required to pass a most rigid physical examination. In this connection the juror testified that he also stated to the jury that there might be some jobs that appellee could handle but that he had a doubt whether appellee “could compete favorably on the labor market.” The above evidence is undisputed. It shows that a juror related his personal experiences to the jury concerning the practice of company employers in hiring and employing workmen, and that the purpose and effect of such statements was to show that appellee was totally incapacitated. It was misconduct for the juror to relate to the other jurors

his own personal experience as original evidence of material facts to be considered in their deliberation. * * * Considered in connection with the entire record, we are of the opinion that the misconduct shown was material and that it reasonably appears that injury probably resulted to appellant. * * *

For the reasons stated the judgment of the trial court is reversed and the cause is remanded.

NOTES AND QUESTIONS

1.Why is it misconduct for a juror “to relate to the other jurors his own personal experience as original evidence of material facts to be considered in their deliberation”? In HEAD v. HARGRAVE, 105 U.S. (15 Otto) 45, 49–50, 26 L.Ed. 1028, 1030 (1881), a case involving the value of legal services, Justice Field said:

It was the province of the jury to weigh the testimony of the attorneys as to the value of the services, by reference to their nature, the time occupied in their performance, and other attending circumstances, and by applying to it their own experience and knowledge of the character of such services. To direct them to find the value of the services from the testimony of the experts alone, was to say to them that the issue should be determined by the opinions of the attorneys, and not by the exercise of their own judgment of the facts on which those opinions were given. * * * So far from laying aside their own general knowledge and ideas, the jury should have applied that knowledge and those ideas to the matters of fact in evidence in determining the weight to be given to the opinions expressed * * *. While they cannot act in any case upon particular facts material to its disposition resting in their private knowledge, but should be governed by the evidence adduced, they may, and to act intelligently they must, judge of the weight and force of that evidence by their own general knowledge of the subject of inquiry. If, for example, the question were as to the damages sustained by a plaintiff from a fracture of his leg by the carelessness of a defendant, the jury would ill perform their duty and probably come to a wrong conclusion, if, controlled by the testimony of the surgeons, not merely as to the injury inflicted, but as to the damages sustained, they should ignore their own knowledge and experience of the value of a sound limb. Other persons besides professional men have knowledge of the value of professional services; and, while great weight should always be given to the opinions of those familiar with the subject, they are not to be blindly received * * *.

Can the principal case be reconciled with this language?

2.What is the rationale for barring jurors from impeaching their verdict? The Texas Supreme Court, which has authority to promulgate Rules

of Evidence, has adopted Texas Rules of Evidence, Rule 606(b) (“Juror’s Competency as a Witness”), which provides:

(b)During an Inquiry into the Validity of a Verdict or Indictment.

(1)Prohibited Testimony or Other Evidence. During an inquiry into the validity of a verdict or indictment, a juror may not testify about any statement made or incident that occurred during the jury’s deliberations; the effect of anything on that juror’s or another juror’s vote; or any juror’s mental processes concerning the verdict or indictment. The court may not receive a juror’s affidavit or evidence of a juror’s statement on these matters.

(2)Exceptions. A juror may testify:

- (A) about whether an outside influence was improperly brought to bear on any juror; or
- (B) to rebut a claim that the juror was not qualified to serve.

In what respect would this rule have altered the result in Price?

d.Taking the Case from the Jury

The most direct and drastic example of jury control occurs in those cases in which it is held that there is no evidence on which a

reasonable jury could find for a particular party (usually plaintiff, but sometimes defendant). If the judge makes this determination at the close of the evidence, she will direct the jury to return a verdict for the other party. Even after the jury has returned a verdict for one party, the judge in most systems may order that judgment be entered for the other party “notwithstanding the verdict” if the judge decides that the case should not have been submitted to the jury. The judge also has the power to set aside the verdict and order a new trial on the ground that the verdict is against the great weight of the evidence or because of mistakes or erroneous rulings during trial.

An appellate court also may determine, even in the face of a jury verdict, that no reasonable jury could have reached the result announced. Clearly when these devices are used, the jury is more than “controlled”; it is eliminated from the process. If such devices were not available, the jury could decide a case any way it wanted without respect to the evidence or the law. But if the devices are not very severely restricted, the right to a jury trial can be negated.

LAVENDER V. KURN
Supreme Court of the United States, 1946.
[327 U.S. 645, 66 S.Ct. 740, 90 L.Ed. 916.](#)

On Writ of Certiorari to the Supreme Court of the State of Missouri.

JUSTICE MURPHY delivered the opinion of the Court.

* * *

Petitioner, the administrator of the estate of L.E. Haney, brought this suit under the [Federal Employers’ Liability] Act against the respondent trustees of the St. Louis-San Francisco Railway Company (Frisco) and the respondent Illinois Central Railroad Company. It was charged that Haney, while employed as a switch-tender by the respondents in the switchyard of the Grand Central Station in Memphis, Tennessee, was killed as a result of respondents’ negligence. Following a trial * * *, the jury returned a verdict in favor of petitioner and awarded damages in the amount of \$30,000. * * * On appeal, however, the Supreme Court of Missouri reversed the judgment, holding that there was no substantial evidence of negligence to support the submission of the case to the jury. * * *

[Haney was employed by Illinois Central, which owned the yards; Frisco’s trains used the yards, and part of Haney’s wages were paid by Frisco.]

The Illinois Central tracks run north and south directly past and into the Grand Central Station. About 2700 feet south of the station the Frisco tracks cross at right angles to the Illinois Central tracks. A westbound Frisco train wishing to use the station must stop some 250 feet or more west of this crossing and back into the station over a switchline curving east and north. The events in issue center about the switch several feet north of the main Frisco tracks at the point where the switch line branches off. This switch controls the tracks at this point.

It was very dark on the evening of December 21, 1939. At about 7:30 p.m. a westbound interstate Frisco passenger train stopped on the Frisco main line, its rear some 20 or 30 feet west of the switch. Haney, in the performance of his duties, threw or opened the switch to permit the train to back into the station. The respondents claimed that Haney was then required to cross to the south side of the track before the train passed the switch; and the conductor of the train testified that he saw Haney so cross. But there was also evidence that Haney’s duties required him to wait at the switch north of the track until the train had cleared, close the switch, return to his shanty near the crossing and change the signals from red to green to permit trains on the Illinois Central tracks to use the crossing. The Frisco train cleared the switch, backing at the rate of 8 or 10 miles per hour. But the switch remained open and the signals still were red. Upon investigation Haney was found north of the track near the switch lying face

down on the ground, unconscious. An ambulance was called, but he was dead upon arrival at the hospital.

Haney had been struck in the back of the head, causing a fractured skull from which he died. There were no known eye-witnesses to the fatal blow. Although it is not clear there is evidence that his body was extended north and south, the head to the south. Apparently he had fallen forward to the south; his face was bruised on the left side from hitting the ground and there were marks indicating that his toes had dragged a few inches southward as he fell. His head was about 5½ feet north of the Frisco tracks. Estimates ranged from 2 feet to 14 feet as to how far west of the switch he lay.

The injury to Haney’s head was evidenced by a gash about two inches long from which blood flowed. The back of Haney’s white cap had a corresponding black mark about an inch and a half long and an inch wide, running at an angle downward to the right of the center of the back of the head. A spot of blood was later found at a point 3 or 4 feet north of the tracks. The conclusion following an autopsy was that Haney’s skull was fractured by “some fast moving small round object.” One of the examining doctors testified that such an object might have been attached to a train backing at the rate of 8 or 10 miles per hour. But he also admitted that the fracture might have resulted from a blow from a pipe or club or some similar round object in the hands of an individual.

Petitioner’s theory is that Haney was struck by the curled end or tip of a mail hook hanging down loosely on the outside of the mail car of the backing train. This curled end was 73 inches above the top of the rail, which was 7 inches high. The overhang of the mail car in relation to the rails was about 2 to 2½ feet. The evidence indicated that when the mail car swayed or moved around a curve the mail

hook might pivot, its curled end swinging out as much as 12 to 14 inches. The curled end could thus be swung out to a point 3 to 3½ feet from the rail and about 73 inches above the top of the rail. Both east and west of the switch, however, was an uneven mound of cinders and dirt rising at its highest points 18 to 24 inches above the top of the rails. Witnesses differed as to how close the mound approached the rails, the estimates varying from 3 to 15 feet. But taking the figures most favorable to the petitioner, the mound extended to a point 6 to 12 inches north of the overhanging side of the mail car. If the mail hook end swung out 12 to 14 inches it would be 49 to 55 inches above the highest parts of the mound. Haney was 67½ inches tall. If he had been standing on the mound about a foot from the side of the mail car he could have been hit by the end of the mail hook, the exact point of contact depending upon the height of the mound at the particular point. His wound was about 4 inches below the top of his head, or 63½ inches above the point where he stood on the mound—well within the possible range of the mail hook end.

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Respondents' theory is that Haney was murdered. They point to the estimates that the mound was 10 to 15 feet north of the rail, making it impossible for the mail hook end to reach a point of contact with Haney's head. Photographs were placed in the record to support the claim that the ground was level north of the rail for at least 10 feet. * * * It also appears that many hoboes and tramps frequented the area at night in order to get rides on freight trains. Haney carried a pistol to protect himself. This pistol was found loose under his body by those who came to his rescue. It was testified, however that the pistol had apparently slipped out of his pocket or scabbard as he fell. Haney's clothes were not disarranged and there was no evidence of a struggle or fight. No rods, pipes or weapons of any kind, except Haney's own pistol, were found near the scene. Moreover, his gold watch and diamond ring were still on him after he was struck. Six days later his unsoiled billfold was found on a high board fence about a block from the place where Haney was struck and near the point where he had been placed in an ambulance. It contained his social security card and other effects, but no money. His wife testified that he "never carried much money, not very much more than \$10." Such were the facts in relation to respondents' theory of murder.

Finally, one of the Frisco foremen testified that he arrived at the scene shortly after Haney was found injured. He later examined the fireman's side of the train very carefully and found nothing sticking out or in disorder. In explaining why he examined this side of the train so carefully he stated that while he was at the scene of the accident "someone said they thought that train No. 106 backing in to Grand Central Station is what struck this man" and that Haney "was supposed to have been struck by something protruding on the side of the train." The foreman testified that these statements were made by an unknown Illinois Central switchman standing near the fallen body of Haney. The foreman admitted that the switchman "didn't see the accident." This testimony was admitted by the trial court over the strenuous objections of respondents' counsel that it was mere hearsay falling outside the *res gestae* rule.

The jury was instructed that Frisco's trustees were liable if it was found that they negligently permitted a rod or other object to extend out from the side of the train as it backed past Haney and that Haney was killed as the direct result of such negligence, if any. The jury was further told that Illinois Central was liable if it was found that the company negligently maintained an unsafe and dangerous place for Haney to work, in that the ground was high and uneven and the light insufficient and inadequate, and that Haney was injured and killed as a direct result of the said place being unsafe and dangerous. This latter instruction as to Illinois Central did not require the jury to find that Haney was killed by something protruding from the train.

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The Supreme Court, in upsetting the jury's verdict against both the Frisco trustees and the Illinois Central, admitted that "It could be inferred from the facts that Haney could have been struck by the mail hook knob *if* he were standing on the south side of the mound and the mail hook extended out as far as 12 or 14 inches." * * * But it held that "all reasonable minds would agree that it would be mere speculation and conjecture to say that Haney was struck by the mail hook" and that "plaintiff failed to make a submissible case on that question." It also ruled that there "was no substantial evidence that the uneven ground and insufficient light were causes or contributing causes of the death of Haney." Finally, the Supreme Court held that the testimony of the foreman as to the statement made to him by the unknown switchman was inadmissible under the *res gestae* rule since the switchman spoke from what he had heard rather than from his own knowledge.

* * *

The evidence we have already detailed demonstrates that there was evidence from which it might be inferred that the end of the mail hook struck Haney in the back of the head, an inference that the Supreme Court admitted could be drawn. That inference is not rendered unreasonable by the fact that Haney apparently fell forward toward the main Frisco track so that his head was 5½ feet north of the rail. He may well have been struck and then wandered in a daze to the point where he fell forward. The testimony as to blood marks some distance away from his head lends credence to that possibility, indicating that he did not fall immediately upon being hit. When that is added to the evidence most favorable to the petitioner as to the height and swing-out of the hook, the height and location of the mound and the nature of Haney's duties, the inference that Haney was killed by the hook cannot be said to be unsupported by probative facts or to be so unreasonable as to warrant taking the case from the jury.

It is true that there is evidence tending to show that it was physically and mathematically impossible for the hook to strike Haney. And there are facts from which it might reasonably be inferred that Haney was murdered. But such evidence has become irrelevant upon appeal, there being a reasonable basis in the record for inferring that the hook struck Haney. The jury having made that inference, the respondents were not free to relitigate the factual dispute in a reviewing court. Under these circumstances it would be an undue invasion

of the jury’s historic function for an appellate court to weigh the conflicting evidence, judge the credibility of witnesses and arrive at a conclusion opposite from the one reached by the jury. * * *

It is no answer to say that the jury’s verdict involved speculation and conjecture. Whenever facts are in dispute or the evidence is such that fair-

minded men may draw different inferences, a measure of speculation and conjecture is required on the part of those whose duty it is to settle the dispute by choosing what seems to them to be the most reasonable inference. Only when there is a complete absence of probative facts to support the conclusion reached does a reversible error appear. But where, as here, there is an evidentiary basis for the jury’s verdict, the jury is free to discard or disbelieve whatever facts are inconsistent with its conclusion. And the appellate court’s function is exhausted when that evidentiary basis becomes apparent. * * *

We are unable, therefore, to sanction a reversal of the jury’s verdict against Frisco’s trustees. Nor can we approve any disturbance in the verdict as to Illinois Central. The evidence was uncontradicted that it was very dark at the place where Haney was working and the surrounding ground was high and uneven. The evidence also showed that this area was entirely within the domination and control of Illinois Central * * *. It was not unreasonable to conclude that these conditions constituted an unsafe and dangerous working place * * *.

In view of the foregoing disposition of the case, it is unnecessary to decide whether the allegedly hearsay testimony was admissible under the *res gestae* rule. Rulings on the admissibility of evidence must normally be left to the sound discretion of the trial judge in actions under the Federal Employers’ Liability Act. But inasmuch as there is adequate support in the record for the jury’s verdict apart from the hearsay testimony, we need not determine whether that discretion was abused in this instance.

The judgment of the Supreme Court of Missouri is reversed and the case is remanded for whatever further proceedings may be necessary not inconsistent with this opinion.

THE CHIEF JUSTICE and JUSTICE FRANKFURTER concur in the result.

JUSTICE REED dissents.

NOTES AND QUESTIONS

1.Why does a trial judge or an appellate court have the power to take a case away from the jury or to set aside its verdict? Does the existence of this power necessarily mean that a jury cannot properly refer to its members’ own knowledge? See Texas Employers’ Ins. Ass’n v. Price, p. 59, supra. Why?

2.In PENNSYLVANIA R. CO. v. CHAMBERLAIN, 288 U.S. 333, 339, 53 S.Ct. 391, 393, 77 L.Ed. 819, 822–23 (1933), the Supreme Court, in approving a directed verdict for defendant, said:

* * * At most there was an inference to that effect drawn from observed facts which gave equal support to the opposite inference * * *.

We, therefore, have a case belonging to that class of cases where proven facts give equal support to each of two inconsistent inferences; in which event, neither of them being established, judgment, as a matter of law, must go against the party upon whom rests the necessity of sustaining one of these inferences as against the other, before he is entitled to recover.

Is this language consistent with the opinion of the Court in the principal case? Is there a difference between cases in which the evidence simply fails to point one way or the other, and cases in which the evidence on one side is overwhelming, in terms of taking a case away from the jury? Would *Lavender* have been decided the same way had stronger evidence of murder been presented?

3.When *Lavender* is remanded to the Missouri Supreme Court, what should that court do? In this connection, do you agree with the United States Supreme Court that it was unnecessary to determine whether evidence of the statement of the unknown switchman was improperly admitted?

4.APPEAL

The grounds for appeal are chiefly mistakes of law—for example, an erroneous ruling that the court had jurisdiction, an improper admission of evidence, or an incorrect instruction to the jury. Even if an error of law has been committed, the appellate court must be convinced that the error was prejudicial, and that the case probably would not have come out the same if the error had not occurred. In the event of an erroneous ruling on jurisdiction, the prejudice is obvious. But appellate courts are reluctant to reverse merely because an error has been committed during the trial.

An appellate court rarely will reverse a decision on the ground that a question of fact was decided improperly. If there has been a jury, the constitutional right to jury trial itself is involved in such a ruling by an appellate court. See the Seventh Amendment to the United States Constitution in the Supplement. When there has been no jury, no constitutional problem is involved, but should there nevertheless be concern that a broad scope of review of the trial judge’s findings of fact will encourage needless appeals and denigrate the function of the trial judge?

SOBELOFF, CIRCUIT JUDGE:

This action was brought under the Federal Tort Claims Act, 28 U.S.C. § 1346, to recover damages for the death of Carol Greitens. The plaintiff, administrator of her estate, alleges that death was due to the negligence of the doctor on duty at the dispensary of the United States Naval

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Amphibious Base, Little Creek, Virginia, in diagnosing and treating her illness. The District Court, concluding that the evidence was insufficient to establish that the doctor was negligent, or that his concededly erroneous diagnosis and treatment was the proximate cause of her death, dismissed the complaint. * * *

The decedent, 25 years of age, had been a diabetic since the age of 13, although the condition was under control. * * * Mrs. Greitens' husband brought her to the dispensary at about 4 a.m. on August 25, 1963, suffering from intense abdominal pain and continual vomiting which had begun suddenly an hour before. The corpsman on duty in the examining room procured her medical records, obtained a brief history, took her blood pressure, pulse, temperature, and respiration and summoned the doctor on duty, then asleep in his room at the dispensary. The doctor arrived 15 or 20 minutes later and after questioning the patient concerning her symptoms, felt her abdomen and listened to her bowel sounds with the aid of a stethoscope. Recording his diagnosis on the chart as gastroenteritis, he told Mrs. Greitens that she had a "bug" in her stomach, prescribed some drugs for the relief of pain, and released her with instructions to return in eight hours. The examination took approximately ten minutes.

The patient returned to her home, and after another episode of vomiting, took the prescribed medicine and lay down. At about noon, she arose and drank a glass of water, vomited immediately thereafter and fell to the floor unconscious. She was rushed to the dispensary, but efforts to revive her were unsuccessful. She was pronounced dead at 12:48 p.m. and an autopsy revealed that she had a high obstruction, diagnosed formally as an abnormal congenital peritoneal hiatus with internal herniation into this malformation of some of the loops of the small intestine. Death was due to a massive hemorrhagic infarction of the intestine resulting from its strangulation.

I

The plaintiff contends that the doctor at the dispensary did not meet the requisite standard of care and skill demanded of him by the law of Virginia. Compliance with this standard, the plaintiff maintains, would have required a more extended examination and immediate hospitalization. More specifically, plaintiff's expert witnesses, two general practitioners in the Norfolk-Virginia Beach area, testified that, according to prevailing practice in the community, the doctor should have inquired whether the patient had had diarrhea and should have made a rectal examination to determine whether the patient was suffering from an obstruction rather than from gastroenteritis. While the latter condition does not ordinarily require immediate radical treatment, a high obstruction is almost invariably lethal unless promptly operated upon. Plaintiff's experts further testified that on observing the symptoms

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manifested by Mrs. Greitens, the procedure of general practitioners in the community would have been to order immediate hospitalization. * * *

The standard of care which Virginia law exacts from a physician, in this case a general practitioner, is * * * [such that] if he uses ordinary care in reaching his diagnosis, and thereafter acts upon it, he incurs no liability, even if the diagnosis proves to be a mistake in judgment.

It is undisputed that the symptoms of high obstruction and of gastroenteritis are quite similar. The District Court placed great emphasis on this fact as an indication that the doctor's erroneous diagnosis was not negligent, but was merely an error of judgment. It would seem, however, that where the symptoms are consistent with either of two possible conditions, one lethal if not attended to promptly, due care demands that a doctor do more than make a cursory examination and then release the patient. * * * The fact that an intestinal obstruction is a rare occurrence, and that some form of gastroenteritis is the more likely of the two conditions, does not excuse the failure to make inquiries and perform recognized additional tests that might have served to distinguish the one condition from the other. The dispensary doctor himself, as well as the experts for both sides, agreed that an inquiry as to diarrhea and a rectal examination were the "proper procedure" and "the accepted standard" in order to be able to rule out gastroenteritis and to make a definite diagnosis of high intestinal obstruction. If he had made the inquiry which he admits was the accepted standard, he would at least have been alerted to the fact that the case was one calling for close observation with a view to immediate surgical intervention if the graver diagnosis were confirmed. In these circumstances, failure to make this investigation constitutes a lack of due care on the part of the physician. * * * Only if a patient is adequately examined, is there no liability for an erroneous diagnosis.

Our conclusion that the physician was negligent in his diagnosis and treatment of the patient is not inconsistent with * * * [Federal Rule] 52(a), which declares that the trial judge's findings of fact are not to be disturbed unless clearly erroneous.⁵ This Rule comes into play primarily where the trial judge as fact finder has had to reconcile conflicting testimony. Where the veracity of witnesses is in issue, the decision is for the judge who has had the opportunity to see and evaluate the witnesses' demeanor. * * * But we are dealing here with the testimony of expert witnesses who are not in controversy as to the basic facts; thus, the opportunity of the trial court to observe

the witnesses is of limited significance. It has often been held that where the trial court’s conclusions are based on undisputed facts, they are not entitled to the finality customarily accorded basic factual findings under Rule 52(a). * * *

The question before us is not one of fact in the usual sense, but rather whether the undisputed facts manifest negligence. Although the absence of a factual dispute does not *always* mean that the conclusion is a question of law, it becomes so *here* since the ultimate conclusion to be drawn from the basic facts, i.e., the existence or absence of negligence, is actually a question of law. For this reason, the general rule has been that when a judge sitting without a jury makes a determination of negligence his conclusion, as distinguished from the evidentiary findings leading to it, is freely reviewable on appeal. * * * The determination of negligence involves not only the formulation of the legal standard, but more particularly in this case, its application to the evidentiary facts as established; and since these are uncontested, there is no basis for applying the “clearly erroneous” rule. * * *

The government’s expert opined that the dispensary physician exercised “average judgment,” but analysis of his entire testimony points unavoidably to the opposite conclusion. Revealing are his statements that it was wrong not to inquire about diarrhea, conceding that “that is one question that one usually asks,” and that given a patient with abdominal pain of one hour’s duration, it is too soon “to expect anybody to come up with a proper diagnosis.” Furthermore, his opinion was predicated upon a factual assumption not permissible in this case. His assumption was that the dispensary physician had made only a “working” or “tentative” diagnosis * * *. However, the uncontradicted evidence indicates that this was not a “tentative” diagnosis.

The examining doctor himself testified that he had already considered and ruled out at the beginning of his examination the possibility of an obstruction without making the additional differentiating diagnostic tests. He said that his only reason for asking the patient to return eight hours later was because her diabetic condition could become complicated by a case of gastroenteritis. * * * By releasing the patient, the dispensary physician made his diagnosis final, allowing no further opportunity for revision * * *.

On careful scrutiny, therefore, the government’s expert is seen to have demonstrated that the examiner did *not* conform to the required standard of care. Coupled with the explicit testimony of the plaintiff’s experts, the government’s testimony leads us inevitably to the conclusion that the doctor was negligent as a matter of law. We think that the District Court gave undue weight to the purely conclusory opinion of the government witness. The District Court is not bound by his statement that “average judgment” had been exercised, nor are we bound by it. Only the standard of care is to be established by the testimony of experts. If under the undisputed facts the defendant failed to meet that standard it is not for the expert but for the court to decide whether there was negligence.

* * *

Judgment reversed and cause remanded for the determination of damages.

NOTES AND QUESTIONS

1.Would the Court of Appeals have reached the same result if the judgment appealed from had been based on the verdict of a jury rather than the findings of a judge? What is the difference between the standard enunciated in *Lavender v. Kurn* and that in Federal Rule 52(a)?

2.Is the question whether conduct is negligent one of law or of fact? Legal scholars have long debated the issue. In any event, the issue ordinarily is left to the jury. Why? Are the reasons for giving the issue to the jury any less persuasive when the finder of fact is a judge sitting without a jury? Is there a difference if the standard of care to be applied by the judge sitting without a jury must be derived from the testimony of experts? Why?

3.Should the standard of review be the same for findings of fact based on demeanor evidence as for documentary evidence? In *ANDERSON v. CITY OF BESSEMER CITY*, 470 U.S. 564, 105 S.Ct. 1504, 84 L.Ed.2d 518 (1985), the Supreme Court, in interpreting Federal Rule 52(a), said: “Where there are two permissible views of the evidence, the factfinder’s choice between them cannot be clearly erroneous.” The Court added:

This is so even when the district court’s findings do not rest on credibility determinations, but are based instead on physical or documentary evidence or inferences from others facts. To be sure, various Courts of Appeals have on occasion asserted the theory that an appellate court may exercise *de novo* review over findings not based on credibility determinations. * * *

The rationale for deference to the original finder of fact is not limited to the superiority of the trial judge’s position to make determinations of credibility. The trial judge’s major role is the determination of fact, and with experience in fulfilling that role comes expertise. Duplication of the trial judge’s efforts in the court of appeals would very likely contribute only negligibly to the accuracy of fact determination at a huge cost in diversion of judicial resources. * * * As the Court has stated in a different context, the trial on the merits should be “the ‘main event’ * * * rather than a ‘tryout on the road.’ ”

Id. at 574–75, 105 S.Ct. at 1511–12, 84 L.Ed.2d at 528–29. Does *Anderson* undermine the basis of the Fourth Circuit’s holding in *Hicks*?

5.CONCLUSIVENESS OF JUDGMENTS

Lawsuits are designed to settle disputes. An idealist might argue that nothing should be considered settled until it is settled correctly. A pragmatist could counter that nothing is settled at all unless it is settled

finally. Cosmic questions may be debated endlessly, but controversies between individuals that are expected to result in enforceable judgments for damages or orders that must be obeyed under penalty of contempt must come to an end if the judicial process is to work at all. Res judicata requires that occasionally the legal system will let a judgment stand even if it becomes convinced that it was wrongly decided. A doctrine that only correct decisions have res judicata effect would furnish no finality at all.

The following case decided more than three hundred years ago raises the same doubts that the res judicata doctrine raises today: Is the decision fair to plaintiff? Would an opposite decision be fair to defendant?

FETTER v. BEAL, 1 Ld. Raym. 339, 91 Eng. Rep. 1122 (King’s Bench 1697). Plaintiff had brought an action for battery against defendant and recovered £11. Subsequently “part of his skull by reason of the said battery came out of his head,” and plaintiff brought another action. Plaintiff’s counsel argued that “this action differed from the nature of the former * * * because the recovery in the former action was only for the bruise and battery, but here there is a maihem by the loss of the skull.”

The Court continued:

And per totam Curiam, the jury in the former action considered the nature of the wound, and gave damages for all the damages that it had done to the plaintiff; and therefore a recovery in the said action is good here. And it is the plaintiff’s fault, for if he had not been so hasty, he might have been satisfied for this loss of the skull also. Judgment for the defendant * * *.

Id. at 339–40, 91 Eng. Rep. at 1123.

A particularly difficult question of res judicata is presented when it is alleged that the first decision—now advanced as conclusive—was rendered by a court that lacked jurisdiction over the subject matter. This group of Illustrative Cases began with a decision that demonstrated the grave concern of the Supreme Court to keep the federal courts from deciding cases outside their constitutional and statutory jurisdiction. Was res judicata involved in *Capron v. Van Noorden*, p. 29, *supra*, or was the circuit court’s decision reversed in the ordinary course of appellate review? What if plaintiff in that case had not sought a writ of error but had permitted the decision to become final and then instituted another action?

DES MOINES NAVIGATION & RAILROAD CO. v. IOWA HOMESTEAD CO.

Supreme Court of the United States, 1887.
[123 U.S. 552, 8 S.Ct. 217, 31 L.Ed. 202.](#)

Error to the Supreme Court of the State of Iowa.

CHIEF JUSTICE WAITE delivered the opinion of the court.

This suit was brought by the Iowa Homestead Company against the Des Moines Navigation and Railroad Company to recover the same taxes for the years 1864 to 1871, both inclusive, which formed part of the subject matter of the litigation between the same parties in *Homestead Co. v. Railroad*, 17 Wall. 153 * * *. The Railroad Company set up the decree in its favor in that suit as a bar to the present action, and to this the Homestead Company replied “that the decree or judgment referred to is null and void, for the reason that the courts of the United States had no jurisdiction of said suit, and no legal power or authority to render said decree or judgment.”

* * *

* * * It must be conceded that the Homestead Company and the Navigation and Railroad Company were both Iowa corporations, and, therefore, in law, citizens of the same State; but the defendants * * * who caused the removal to be made [from the Iowa state court to the United States Circuit Court], were citizens of the State of New York. After the removal was effected, all the above named defendants, as well as * * * the Navigation and Railroad Company, appeared, filed answers, and defended the action. The Homestead Company took issue on all the answers, and actually contested the matters in dispute with the Navigation and Railroad Company, as well as the other defendants, in the Circuit Court, and in this court on appeal, without taking any objection to the jurisdiction.

The precise question we have now to determine is whether the adjudication by this court, under such circumstances, of the matters then and now at issue between the Homestead Company and the Navigation and Railroad Company was absolutely void for want of jurisdiction. The point is not whether it was error in the Circuit Court to take jurisdiction of the suit, or of so much of it as related to the Navigation and Railroad Company, originally, but as to the binding effect of the decree of this court so long as it remains in force, and is not judicially annulled, vacated, or set aside.

* * *

It was settled by this court at a very early day, that, although the judgments and decrees of the Circuit Courts might be erroneous, if the records failed to show the facts on which the jurisdiction of the court rested, such as that the plaintiffs were citizens of different States from the

defendants, yet that they were not nullities, and would bind the parties until reversed or otherwise set aside. * * * In * * * *McCormick v. Sullivan*, 10 Wheat. 192 [(1825)] * * * this court held on appeal that “the courts of the United States are courts of *limited*, but not of *inferior*, jurisdiction. If the jurisdiction be not alleged in the proceedings, their judgments and decrees may be reversed for that cause on a writ of error or appeal; but until reversed they are conclusive between the parties and their privies.” “But they are not nullities.” There has never been any departure from this rule.

It is said, however, that these decisions apply only to cases where the record simply fails to show jurisdiction. Here it is claimed that the record shows there could be no jurisdiction, because it appears affirmatively that the Navigation and Railroad Company, one of the defendants, was a citizen of the same State with the plaintiff. But the record shows, with equal distinctness, that all the parties were actually before the court, and made no objection to its jurisdiction. The act of 1867, under which the removal was had, provided that when a suit was pending in a state court “in which there is a controversy between a citizen of the State in which the suit is brought and a citizen of another State, * * * such citizen of another State, * * * if he will make and file an affidavit stating that he has reason to and does believe that, from prejudice or local influence, he will not be able to obtain justice in such state court, may * * * file a petition in such state court for the removal of the suit” into the Circuit Court of the United States, and, when all things have been done that the act requires, “it shall be * * * the duty of the state court to * * * proceed no further with the suit,” and, after the record is entered in the Circuit Court, “the suit shall then proceed in the same manner as if it had been brought there by original process.”^d

In the suit now under consideration there was a separate and distinct controversy between the plaintiff, a citizen of Iowa, and each of the citizens of New York, who were defendants. Each controversy related to the several tracts of land claimed by each defendant individually, and not as joint owner with the other defendants. Three of the citizens of New York caused to be made and filed the necessary affidavit and petition for removal, and thereupon, by common consent apparently, the suit as an entirety was transferred to the Circuit Court for final adjudication as to all the parties. * * * Whether in such a case the suit could be removed was a question for the Circuit Court to decide when it was called on to take jurisdiction. If it

kept the case when it ought to have been remanded, or if it proceeded to adjudicate upon matters in dispute between two citizens of Iowa, when it ought to have confined itself to those between the citizens of Iowa and the citizens of New York, its final decree in the suit could have been reversed, on appeal, as erroneous, but the decree would not have been a nullity. To determine whether the suit was removable in whole or in part or not, was certainly within the power of the Circuit Court. The decision of that question was the exercise and the rightful exercise of jurisdiction, no matter whether in favor of or against taking the cause. Whether its decision was right, in this or any other respect, was to be finally determined by this court on appeal. As the Circuit Court entertained the suit, and this court, on appeal, impliedly recognized its right to do so, and proceeded to dispose of the case finally on its merits, certainly our decree cannot, in the light of prior adjudications on the same general question, be deemed a nullity. It was, at the time of the trial in the present case in the court below, a valid and subsisting prior adjudication of the matters in controversy, binding on these parties, and a bar to this action. In refusing so to decide, the court failed to give full faith and credit to the decree of this court * * * and this was error.

* * *

NOTES AND QUESTIONS

1. Was it critical to the Court’s opinion in *Des Moines* that the first case had been heard and determined by the Supreme Court itself? Would the case have been decided differently if no review had been sought in the first action at all?
2. Was the fact that the question of jurisdiction was a doubtful one at the time the first *Homestead Company* case arose relevant to the Supreme Court’s decision in the second case?
3. Suppose that the issue of jurisdiction is raised in a case and erroneously decided. Is this a factor arguing for or against the application of res judicata in a second action?
4. Since it is clear in the principal case that in the suit before the Court there was no diversity of citizenship and the writ of error was to the Supreme Court of Iowa, what was the basis for appellate jurisdiction in the United States Supreme Court?
5. When a court has rendered a judgment in a contested action, the general view is that the judgment precludes the parties from litigating the question of the court’s subject-matter jurisdiction in subsequent litigation except if:
 - (a) The subject matter of the action was so plainly beyond the court’s jurisdiction that its entertaining the action was a manifest abuse of authority; or

- (b) Allowing the judgment to stand would substantially infringe upon the authority of another tribunal or agency of government; or
 - (c) The judgment was rendered by a court lacking capability to make an adequately informed determination of a question concerning its own jurisdiction and as a matter of procedural fairness the party seeking to avoid the judgment should have opportunity belatedly to attack the court’s subject matter jurisdiction.

Restatement (Second), Judgments § 12 (1982). What factors should a court regard as important in deciding such questions as whether there has been “a

manifest abuse of authority,” or a judgment “substantially” infringes a tribunal’s authority, or a court lacks “capability to make an adequately informed determination”?

^aIf Cecil is not a citizen of Aikin’s state but Beasley is, then one of the considerations Aikin will have in deciding to join Beasley as a defendant is the effect on the availability of subject-matter jurisdiction in the federal courts. If Aikin wants to be in the federal court, she should not join Beasley; if Aikin wants the lawsuit to begin and stay in a state court, she should join him. In the latter case, there will not be complete diversity of citizenship between plaintiff on the one side and defendants on the other.

¹The meddling and interference upon which appellant lays so much stress before us is stated in the complaint in these words:
“That on or about March 1, 1959, that he, the Plaintiff, publicly announced his candidacy for the office of Supervisor of District Five (5) of Adams County, Mississippi, and Plaintiff shows further that on or about March 28, 1959, the Defendants * * * [began] to and did meddle and interfere with the Plaintiff’s work as agent of the State Farm Insurance Companies in disregard of the agreement between the Defendants and the Plaintiff. The Plaintiff was informed orally and by letter by representatives of his principals that his agency would have to be handled in a particular manner and he was directed as to when, how and why his work should be done in a certain manner and was orally informed as well as by letter that he would have to submit his decision as to whether he would be a candidate for the office of supervisor or have his contract or appointment with State Farm Insurance Companies terminated as of May 1, 1959, all of which was done wrongfully in malicious and wanton disregard of the Plaintiff’s rights according to his appointment as agent of the Defendants, State Farm Insurance Companies, with the intention of coercing the Plaintiff into withdrawing from the political race and devoting his full time as an employee in the master and servant relationship to the performance of his service for said Defendants.
“Plaintiff charges and avers that the malicious intentional and wrongful direction as to his activities as agent of the Defendants was such a breach and repudiation of his contract or agreement with him as set out in Exhibit I as to entitle him, the Plaintiff to damages for the loss due to the breach or repudiation of the said agreement listed as Exhibit I.”

² E.g., immediately following the language quoted in Footnote 1, *supra*, the complaint charges the following:
“Plaintiff further shows unto the Court that at the time of the said repudiation or breach of contract by the Defendants, that the Plaintiff’s income from the Defendants for the previous year was nine thousand seventy-three (\$9,073.00) dollars and that the Plaintiff’s life expectancy at his present age of 45 was 25.21 years according to the C.S.O. Mortality table, and that but for the wrongful breach, repudiation and termination of the Plaintiff’s contract of agency with the Defendants, the Plaintiff would have been entitled to continued remuneration from the Defendants for the sum of two hundred twenty-six thousand, seven hundred twenty-five (\$226,725.00) dollars and that but for the malicious, wanton meddling and interfering and wrongful breach, repudiation and cancellation of the Plaintiff’s contract the Plaintiff is entitled to punitive damages in the sum of two hundred thousand (\$200,000) dollars.”
The judgment demanded against the three defendants, appellees, was the sum of the two figures mentioned above.

^bIn 2007, the term “indispensable party” was deleted from Rule 19(b) and the term “required party” was substituted.
^cThis provision has been renumbered as Rule 52(a)(6).
^d The Judiciary Act of 1789 had been interpreted by the Supreme Court to require complete diversity of citizenship (all the plaintiffs being of a citizenship different from that of any defendant) for removal. It was widely argued that the 1867 statute referred to in the *Des Moines* case, because of a difference in language, did not have the same requirement. The Supreme Court held that the 1867 statute did require complete diversity, see *Case of the Sewing Machine Cos.*, 85 U.S. (18 Wall.) 553, 21 L.Ed. 914 (1874), but this decision came a year *after* the Court’s decision in the *Homestead Company’s* first suit, in which the issue had not been raised.

CHAPTER 2

JURISDICTION OVER THE PARTIES OR THEIR PROPERTY

■ ■ ■

This chapter explores the doctrine of personal jurisdiction: the power of a court to enter a judgment against a person or a thing. A court can assert personal jurisdiction only if the exercise of power is authorized by statute and is consistent with the Due Process Clause of the federal Constitution. The earliest recognized basis for a court’s assertion of such power was the presence of defendant within the territorial boundaries of the state in which the tribunal sat. This rationale did not permit the state to exercise power over a defendant who caused injury within its borders but was not physically present within the territory when plaintiff sought to serve process on the party. As the national economy grew and technology fostered the movement of goods and people across state boundaries, new justifications developed for when a court could exercise power over a defendant who was out-of-state at the time of service but earlier had caused harm in the forum state. The law in this area continues to develop and today faces significant conceptual pressures from the “borderless” worlds of the global and virtual economy. The resulting doctrine is both significant and complex—what one federal judge, borrowing from Winston Churchill, called “a riddle wrapped in a mystery inside an enigma.” *Donatelli v. National Hockey League*, 893 F.2d 459, 462 (1st Cir. 1990).

A. THE TRADITIONAL BASES FOR JURISDICTION

PENNOYER V. NEFF

Supreme Court of the United States, 1877.
[95 U.S. \(5 Otto\) 714, 24 L.Ed. 565.](#)

Error to the Circuit Court of the United States for the District of Oregon.
JUSTICE FIELD delivered the opinion of the court.

This is an action to recover the possession of a tract of land, of the alleged value of \$15,000, situated in the State of Oregon. The plaintiff asserts title to the premises by a patent of the United States issued to him in [March] 1866, under the Act of Congress of

September 27th, 1850, 9 Stat. at L., 496, usually known as the Donation Law of Oregon. The defendant

claims to have acquired the premises under a sheriff's deed, made upon a sale of the property on execution issued upon a judgment recovered against the plaintiff in one of the circuit courts of the State. The case turns upon the validity of this judgment.

It appears from the record that the judgment was rendered in February, 1866, in favor of J.H. Mitchell, for less than \$300, including costs, in an action brought by him upon a demand for services as an attorney; that, at the time the action was commenced and the judgment rendered, the defendant therein, the plaintiff here, was a non-resident of the State; that he was not personally served with process, and did not appear therein; and that the judgment was entered upon his default in not answering the complaint, upon a constructive service of summons by publication.

The Code of Oregon provides for such service when an action is brought against a non-resident and absent defendant, who has property within the State. It also provides, where the action is for the recovery of money or damages, for the attachment of the property of the non-resident. And it also declares that no natural person is subject to the jurisdiction of a court of the State, "unless he appear in the court, or be found within the State, or be a resident thereof, or have property therein; and in the last case, only to the extent of such property at the time the jurisdiction attached." Construing this latter provision to mean that, in an action for money or damages where a defendant does not appear in the court, and is not found within the State, and is not a resident thereof, but has property therein, the jurisdiction of the court extends only over such property, the declaration expresses a principle of general, if not universal, law. The authority of every tribunal is necessarily restricted by the territorial limits of the State in which it is established. Any attempt to exercise authority beyond those limits would be deemed in every other forum, as has been said by this court, an illegitimate assumption of power, and be resisted as mere abuse. * * * In the case against the plaintiff, the property here in controversy sold under the judgment rendered was not attached, nor in any way brought under the jurisdiction of the court. Its first connection with the case was caused by a levy of the execution. It was not, therefore, disposed of pursuant to any adjudication, but only in enforcement of a personal judgment, having no relation to the property, rendered against a non-resident without service of process upon him in the action, or his appearance therein. The court below did not consider that an attachment of the property was essential to its jurisdiction or to the validity of the sale, but held that the judgment was invalid from defects in the affidavit upon which the order of publication was obtained, and in the affidavit by which the publication was proved.

There is some difference of opinion among the members of this court as to the rulings upon these alleged defects. The majority are of opinion

that, inasmuch as the statute requires, for an order of publication, that certain facts shall appear by affidavit *to the satisfaction of the court or judge*, defects in such affidavit can only be taken advantage of on appeal, or by some other direct proceeding, and cannot be urged to impeach the judgment collaterally. The majority of the court are also of opinion that the provision of the statute requiring proof of the publication in a newspaper to be made by the "affidavit of the printer, or his foreman, or his principal clerk," is satisfied when the affidavit is made by the editor of the paper. The term "printer," in their judgment, is there used not to indicate the person who sets up the type—he does not usually have a foreman or clerks—it is rather used as synonymous with publisher. * * *

If, therefore, we were confined to the rulings of the court below upon the defects in the affidavits mentioned, we should be unable to uphold its decision. But it was also contended in that court, and is insisted upon here, that the judgment in the State Court against the plaintiff was void for want of personal service of process on him, or of his appearance in the action in which it was rendered, and that the premises in controversy could not be subjected to the payment of the demand of a resident creditor except by a proceeding *in rem*; that is, by a direct proceeding against the property for that purpose. If these positions are sound, the ruling of the Circuit Court as to the invalidity of that judgment must be sustained, notwithstanding our dissent from the reasons upon which it was made. And that they are sound would seem to follow from two well established principles of public law respecting the jurisdiction of an independent State over persons and property. The several States of the Union are not, it is true, in every respect independent, many of the rights and powers which originally belonged to them being now vested in the government created by the Constitution. But, except as restrained and limited by that instrument, they possess and exercise the authority of independent States, and the principles of public law to which we have referred are applicable to them. One of these principles is, that every State possesses exclusive jurisdiction and sovereignty over persons and property within its territory. As a consequence, every State has the power to determine for itself the civil *status* and capacities of its inhabitants; to prescribe the subjects upon which they may contract, the forms and solemnities with which their contracts shall be executed, the rights and obligations arising from them, and the mode in which their validity shall be determined and their obligations enforced; and also to regulate the manner and conditions upon which property situated within such territory, both personal and real, may be acquired, enjoyed and transferred. The other principle of public law referred to follows from the one mentioned; that is, that no State can exercise direct jurisdiction and authority over persons or property without its territory. * * * The several States are of equal dignity and authority, and the independence of one implies the exclusion of power from all others. And so it is laid down by jurists, as an elementary principle, that the laws

of one State have no operation outside of its territory, except so far as is allowed by comity; and that no tribunal established by it can

extend its process beyond that territory so as to subject either persons or property to its decisions. * * *

But as contracts made in one State may be enforceable only in another State, and property may be held by non-residents, the exercise of the jurisdiction which every State is admitted to possess over persons and property within its own territory will often affect persons and property without it. To any influence exerted in this way by a State affecting persons resident or property situated elsewhere, no objection can be justly taken; whilst any direct exertion of authority upon them, in an attempt to give ex-territorial operation to its laws, or to enforce an ex-territorial jurisdiction by its tribunals, would be deemed an encroachment upon the independence of the State in which the persons are domiciled or the property is situated, and be resisted as usurpation.

Thus the State, through its tribunals, may compel persons domiciled within its limits to execute, in pursuance of their contracts respecting property elsewhere situated, instruments in such form and with such solemnities as to transfer the title, so far as such formalities can be complied with; and the exercise of this jurisdiction in no manner interferes with the supreme control over the property by the State within which it is situated. * * *

So the State, through its tribunals, may subject property situated within its limits owned by non-residents to the payment of the demand of its own citizens against them; and the exercise of this jurisdiction in no respect infringes upon the sovereignty of the State where the owners are domiciled. Every State owes protection to its own citizens; and, when non-residents deal with them, it is a legitimate and just exercise of authority to hold and appropriate any property owned by such non-residents to satisfy the claims of its citizens. It is in virtue of the State's jurisdiction over the property of the non-resident situated within its limits that its tribunals can inquire into that non-resident's obligations to its own citizens, and the inquiry can then be carried only to the extent necessary to control the disposition of the property. If the non-resident has no property in the State, there is nothing upon which the tribunals can adjudicate.

* * * If, without personal service, judgments *in personam*, obtained *ex parte* against non-residents and absent parties, upon mere publication of process, which, in the great majority of cases, would never be seen by the parties interested, could be upheld and enforced, they would be the constant instruments of fraud and oppression. Judgments for all sorts of claims upon contracts and for torts, real or pretended, would be thus obtained, under which property would be seized, when the evidence of the

transactions upon which they were founded, if they ever had any existence, had perished.

Substituted service by publication, or in any other authorized form, may be sufficient to inform parties of the object of proceedings taken where property is once brought under the control of the court by seizure or some equivalent act. The law assumes that property is always in the possession of its owner, in person or by agent; and it proceeds upon the theory that its seizure will inform him, not only that it is taken into the custody of the court, but that he must look to any proceedings authorized by law upon such seizure for its condemnation and sale. * * * In other words, such service may answer in all actions which are substantially proceedings *in rem*. But where the entire object of the action is to determine the personal rights and obligations of the defendants, that is, where the suit is merely *in personam*, constructive service in this form upon a non-resident is ineffectual for any purpose. Process from the tribunals of one State cannot run into another State, and summon parties there domiciled to leave its territory and respond to proceedings against them. Publication of process or notice within the State where the tribunal sits cannot create any greater obligation upon the non-resident to appear. Process sent to him out of the State, and process published within it, are equally unavailing in proceedings to establish his personal liability.

The want of authority of the tribunals of a State to adjudicate upon the obligations of non-residents, where they have no property within its limits, is not denied by the court below; but the position is assumed that, where they have property within the State, it is immaterial whether the property is in the first instance brought under the control of the court by attachment or some other equivalent act, and afterwards applied by its judgment to the satisfaction of demands against its owner; or such demands be first established in a personal action, and the property of the non-resident be afterwards seized and sold on execution. But the answer to this position has already been given in the statement, that the jurisdiction of the court to inquire into and determine his obligations at all is only incidental to its jurisdiction over the property. Its jurisdiction in that respect cannot be made to depend upon facts to be ascertained after it has tried the cause and rendered the judgment. If the judgment be previously void, it will not become valid by the subsequent discovery of property of the defendant, or by his subsequent acquisition of it. The judgment, if void when rendered, will always remain void; it cannot occupy the doubtful position of being valid if property be found, and void if there be none. Even if the position assumed were confined to cases where the non-resident defendant possessed property in the State at the commencement of the action, it would still make the validity of the proceedings and judgment depend upon the question whether, before the levy of the execution, the defendant had or had not disposed of the property. If, before the levy, the

property should be sold, then, according to this position, the judgment would not be binding. This doctrine would introduce a new element of uncertainty in judicial proceedings. The contrary is the law; the validity of every judgment depends upon the jurisdiction of the court before it is rendered, not upon what may occur subsequently. * * *

The force and effect of judgments rendered against non-residents without personal service of process upon them, or their voluntary appearance, have been the subject of frequent consideration in the courts of the United States and of the several States, as attempts have been made to enforce such judgments in States other than those in which they were rendered, under the provision of the Constitution

requiring that “Full faith and credit shall be given in each State to the public Acts, records and judicial proceedings of every other State;” and the Act of Congress providing for the mode of authenticating such Acts, records and proceedings, and declaring that, when thus authenticated, “They shall have such faith and credit given to them in every court within the United States as they have by law or usage in the courts of the State from which they are or shall be taken.” In the earlier cases, it was supposed that the Act gave to all judgments the same effect in other States which they had by law in the State where rendered. But this view was afterwards qualified so as to make the Act applicable only when the court rendering the judgment had jurisdiction of the parties and of the subject-matter, and not to preclude an inquiry into the jurisdiction of the court in which the judgment was rendered, or the right of the State itself to exercise authority over the person or the subject-matter. * * *

Since the adoption of the 14th Amendment to the Federal Constitution, the validity of * * * judgments may be directly questioned, and their enforcement in the State resisted, on the ground that proceedings in a court of justice to determine the personal rights and obligations of parties over whom that court has no jurisdiction do not constitute due process of law. Whatever difficulty may be experienced in giving to those terms a definition which will embrace every permissible exertion of power affecting private rights, and exclude such as is forbidden, there can be no doubt of their meaning when applied to judicial proceedings. They then mean a course of legal proceedings according to those rules and principles which have been established in our systems of jurisprudence for the protection and enforcement of private rights. To give such proceedings any validity, there must be a tribunal competent by its constitution—that is, by the law of its creation—to pass upon the subject-matter of the suit; and, if that involves merely a determination of the personal liability of the defendant, he must be brought within its jurisdiction by service of process within the State, or his voluntary appearance.

Except in cases affecting the personal *status* of the plaintiff, and cases in which that mode of service may be considered to have been assented to

in advance as hereinafter mentioned, the substituted service of process by publication allowed by the law of Oregon and by similar laws in other States, where actions are brought against non-residents, is effectual only where, in connection with process against the person for commencing the action, property in the State is brought under the control of the court, and subjected to its disposition by process adapted to that purpose, or where the judgment is sought as a means of reaching such property or affecting some interest therein; in other words, where the action is in the nature of a proceeding *in rem*. * * *

It is true that, in a strict sense, a proceeding *in rem* is one taken directly against property, and has for its object the disposition of the property, without reference to the title of individual claimants; but, in a larger and more general sense, the terms are applied to actions between parties, where the direct object is to reach and dispose of property owned by them, or of some interest therein. Such are cases commenced by attachment against the property of debtors, or instituted to partition real estate, foreclose a mortgage, or enforce a lien. So far as they affect property in the State, they are substantially proceedings *in rem* in the broader sense which we have mentioned.

* * *

It follows from the views expressed that the personal judgment recovered in the State Court of Oregon against the plaintiff herein, then a non-resident of the State, was without any validity, and did not authorize a sale of the property in controversy.

To prevent any misapplication of the views expressed in this opinion, it is proper to observe that we do not mean to assert, by anything we have said, that a State may not authorize proceedings to determine the *status* of one of its citizens towards a non-resident, which would be binding within the State, though made without service of process or personal notice to the non-resident. The jurisdiction which every State possesses to determine the civil *status* and capacities of all its inhabitants involves authority to prescribe the conditions on which proceedings affecting them may be commenced and carried on within its territory. The State, for example, has absolute right to prescribe the conditions upon which the marriage relation between its own citizens shall be created, and the causes for which it may be dissolved. One of the parties guilty of acts for which, by the law of the State, a dissolution may be granted, may have removed to a State where no dissolution is permitted. The complaining party would, therefore, fail if a divorce were sought in the State of the defendant; and if application could not be made to the tribunals of the complainant’s domicile in such case, and proceedings be there instituted without personal service of process or personal notice to the offending party, the injured citizen would be without redress. * * *

Neither do we mean to assert that a State may not require a non-resident entering into a partnership or association within its limits, or making contracts enforceable there, to appoint an agent or representative in the State to receive service of process and notice in legal proceedings instituted with respect to such partnership, association or contracts, or to designate a place where such service may be made and notice given, and provide, upon their failure, to make such appointment or to designate such place that service may be made upon a public officer designated for that purpose, or in some other prescribed way, and that judgments rendered upon such service may not be binding upon the non-residents both within and without the State. * * * Nor do we doubt that a State, on creating corporations or other institutions for pecuniary or charitable purposes, may provide a mode in which their conduct may be investigated, their obligations enforced, or their charters revoked, which shall require other than personal service upon their officers or members. * * *

In the present case, there is no feature of this kind and, consequently, no consideration of what would be the effect of such legislation in enforcing the contract of a non-resident can arise. * * *

Judgment affirmed.

[The dissenting opinion of JUSTICE HUNT is omitted.]

NOTES AND QUESTIONS

1. Justice Field's opinion in *Pennoyer* makes no mention of the unsavory characters and scandalous facts implicated in the dispute:

[The] story begins with a young man, Marcus Neff, heading across the country by covered wagon train, presumably to seek his fortune. Neff left Iowa in early 1848 * * * [and] was one of the earliest settlers to claim land under the Oregon Donation Act. * * *

Early in 1862 Neff made the unfortunate decision to consult a local Portland attorney, J.H. Mitchell. * * * Neff may have consulted Mitchell in an attempt to expedite the paperwork concerning his land patent. * * * "J.H. Mitchell" was actually the Oregon alias of one John Hipple. Hipple had been a teacher in Pennsylvania who, after being forced to marry the 15-year-old student whom he seduced, left teaching and took up law. * * * [I]n 1860 Hipple headed west taking with him four thousand dollars of client money and his then current paramour, a local school teacher. They made their way to California where Hipple abandoned the teacher * * * and moved on to Portland, Oregon. There, using the name John H. Mitchell, he quickly established himself as a successful lawyer, specializing in land litigation and railroad right-of-way cases. He also remarried without bothering to divorce his first wife. * * *

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On November 3, 1865, Mitchell filed suit against Neff in Oregon state court [seeking payment for the legal services that had been rendered]. * * *

A default judgment * * * was entered against Neff on February 19, 1866. Although Mitchell had an immediate right to execute on the judgment, he waited until early June 1866 to seek a writ of execution, possibly waiting for the arrival of Neff's land patent. * * *

On August 7, 1866, the property was sold at a sheriff's auction * * *. Notably, the buyer was not Sylvester Pennoyer, as the Supreme Court opinion and commentators have implied. The property was purchased by none other than J. H. Mitchell, who three days later assigned the property to Sylvester Pennoyer. * * *

Following the litigation, Neff disappeared into obscurity; not so Pennoyer and Mitchell. Pennoyer went on to be Governor of Oregon * * *. Mitchell * * * was elected to the United States Senate in 1872, [but] lost his senate seat in 1879 * * *. * * * Shortly before the 1885 election, Judge Deady, the lower court judge in *Pennoyer v. Neff*, came into possession of a set of love letters which Mitchell had written to Mitchell's second wife's younger sister during the five years that he carried on an affair with her. Deady turned the love letters over to a newspaper, the *Oregonian* * * *. [However, in spite of] the scandal, Mitchell was [re]elected four days later * * *. In July of 1905, while still serving in the United States Senate, Mitchell was convicted [of land fraud] and sentenced to six months in jail, a \$1,000 fine, and complete disbarment from public office.

Perdue, *Sin, Scandal and Substantive Due Process: Personal Jurisdiction and Pennoyer Reconsidered*, 62 Wash.L.Rev. 479, 481–90 (1987). Do the facts recounted by Professor Perdue affect whether the Oregon court properly exercised jurisdiction over Neff in Mitchell's initial lawsuit?

2. Traditional analysis distinguishes three types of jurisdiction. In a proceeding in personam, the court exercises its power to render a judgment for or against a person by virtue of that party's presence within the state's territory or citizenship there. In a proceeding in rem, the court exercises its power to determine the status of property located within its territory, and the determination of the court is binding with respect to all possible interest holders in that property. In a proceeding quasi in rem, the court renders a judgment for or against a person, but recovery is limited to the value of property that is within the jurisdiction and thus subject to the court's authority. The dispute that gives rise to an action quasi in rem may be related to the property or unrelated to it, and the property may be used to satisfy any judgment assessed in the action. Each of these types of power, to be effective, required service of process over the person or property subject to the state's jurisdiction ("attachment" is the term used for service upon property). Which of these bases of jurisdiction were at issue in *Pennoyer*?

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3. The concepts of jurisdiction found in the *Pennoyer* opinion were derived from nineteenth-century international law. In the traditional international model, a citizen of Country A might have been injured by a citizen of Country B in Country A. The citizen of Country A seeking relief had three options: proceed against the citizen of Country B in personam in Country A (with the likelihood that the paper called a judgment would be worthless because the courts of Country B would not enforce it against citizens of Country B); proceed against the citizen of Country B quasi in rem in Country A (with the advantage that the property of the citizen of Country B in Country A would be available to satisfy at least part (possibly all) of the judgment); or proceed against the citizen of Country B in the courts of Country B (in the hope of winning a judgment enforceable in Country B). Given these choices, it is understandable that the citizen of Country A probably would prefer the courts of Country A to the courts of Country B, the latter being farther away and possibly more disposed to find in favor of its own citizens, and would sue quasi in rem in Country A, so at least partial payment would be assured.

How much weight ought United States jurisdictional doctrine give to the international model? Are there significant differences between the 50 states that make up the United States and sovereign nations within an international order? Do the states have the same kind of interest in adjudicating claims brought by their citizens as, say, France might have relative to England or to Germany? Are there similar concerns that a state might favor its citizens over the citizens of another state? Does the Full Faith and Credit Clause of the federal Constitution require states to recognize and enforce valid judgments by other states?

4. According to the territorial principle identified in *Pennoyer*, does defendant's length of time in the forum state affect the court's power to

assert in personam jurisdiction? Does the reason for the person’s presence in the forum affect your answer to this question? In *GRACE v. MACARTHUR*, 170 F.Supp. 442 (E.D.Ark. 1959), defendant was served aboard a commercial flight from Tennessee to Texas when the plane was in air space over Arkansas. The federal court in Arkansas refused to quash the summons, holding that defendant was within the territorial limits of the state and so was amenable to suit if properly served.

5.Does *Pennoyer’s* territorial theory allow a court to exercise jurisdiction over a domiciliary who is not present in the state at the time of service? Should it matter whether the complaint alleges that defendant caused harm within the forum state? In *MILLIKEN v. MEYER*, 311 U.S. 457, 462–64, 61 S.Ct. 339, 342–43, 85 L.Ed. 278, 283–84 (1940), Milliken sued Meyer, a Wyoming domiciliary, in Wyoming state court. Personal service was effected in Colorado under a Wyoming statute that permitted out-of-state service upon a state resident who was absent from the state under specified circumstances. Meyer did not appear in the Wyoming action and an in personam judgment was entered against him. Four years later, Meyer asked a Colorado court to restrain Milliken’s enforcement of the Wyoming judgment. The United States

Supreme Court held that the Wyoming judgment was valid and entitled to Full Faith and Credit. According to the Court:

* * * Domicile in the state is alone sufficient to bring an absent defendant within the reach of the state’s jurisdiction for purposes of a personal judgment by means of appropriate substituted service. * * * [T]he authority of a state over one of its citizens is not terminated by the mere fact of his absence from the state. The state which accords him privileges and affords protection to him and his property by virtue of his domicile may also exact reciprocal duties. * * * [A domiciliary is amenable] to suit within the state even during sojourns without the state, where the state has provided and employed a reasonable method for apprising such an absent party of the proceedings against him.

The Court previously had held that a United States citizen living abroad is subject to in personam jurisdiction when served in a manner consistent with due process. In *BLACKMER v. UNITED STATES*, 284 U.S. 421, 52 S.Ct. 252, 76 L.Ed. 375 (1932), a United States citizen was served with a subpoena in France, requiring him to appear as a witness in the criminal trial arising from the Teapot Dome Scandal during President Harding’s administration. The Supreme Court held that personal service effected through the consul’s office satisfied due process.

6.Suppose a plaintiff brings suit in a forum with which the party has no connection other than invoking its jurisdiction. Should that forum be able to entertain a suit against plaintiff if defendant asserts the claim as a part of the same proceeding? Consider the Court’s analysis in *ADAM v. SAENGER*, 303 U.S. 59, 67–68, 58 S.Ct. 454, 458, 82 L.Ed. 649, 654–55 (1938):

There is nothing in the Fourteenth Amendment to prevent a state from adopting a procedure by which a judgment *in personam* may be rendered in a cross-action against a plaintiff in its courts, upon service of process or of appropriate pleading upon his attorney of record. The plaintiff having, by his voluntary act in demanding justice from the defendant, submitted himself to the jurisdiction of the court, there is nothing arbitrary or unreasonable in treating him as being there for all purposes for which justice to the defendant requires his presence. It is the price which the state may exact as the condition of opening its courts to the plaintiff.

Does your analysis change if defendant—or some other third party—files a separate, unrelated action against the original plaintiff in the forum state? Would the court in the forum state have jurisdiction to hear the claim against the original plaintiff? Would such jurisdiction be based on plaintiff’s presence in the state or on some other notion? Should a state be permitted to condition the use of its courts on consent to the jurisdiction of those courts in actions unrelated to the initial lawsuit?

7.Justice Field in *Pennoyer* characterized territoriality as a “general, if not universal, law” that limits a state’s exercise of jurisdiction. Despite that statement, the rules governing adjudicatory jurisdiction differ in legal systems around the world. Although defendant’s presence was the cornerstone of British and United States practice, domicile was key in the Netherlands and Switzerland, plaintiff’s nationality was important in France, and domicile and the situs of property were significant factors in Germany. See Juenger, *Judicial Jurisdiction in the United States and in the European Communities: A Comparison*, 82 Mich.L.Rev. 1195 (1984). Indeed, commentators have emphasized that “[i]n this area of law, differences among civil-law countries are as great as differences between given civil-law and common-law countries.” de Vries & Lowenfeld, *Jurisdiction in Personal Actions—A Comparison of Civil Law Views*, 44 Iowa L.Rev. 306, 344 (1959). The increasing incidence of transnational litigation has spurred efforts to define a global law of personal jurisdiction, which so far has proven elusive. See Chase, Hershkoff, Silberman, Sorabji, Stürner, Taniguchi & Varano, *Civil Litigation in Comparative Context* 642–74 (Chase & Hershkoff, eds., 2d ed. 2017).

B. TOWARD A NEW THEORY OF JURISDICTION

The twentieth century witnessed important technological advances that indirectly but significantly affected the doctrine of personal jurisdiction. In particular, the growing popularity of the automobile led to increased interstate travel and with it, increased interactions between parties from different states that gave rise to litigation. Under *Pennoyer’s* territorial theory, could a court in State A exercise jurisdiction over an out-of-state defendant in a case involving an automobile accident in State A once the car and driver had exited the state and before personal service could be effected?

In *KANE v. NEW JERSEY*, 242 U.S. 160, 37 S.Ct. 30, 61 L.Ed. 222 (1916), the Supreme Court held that New Jersey could require an out-of-state motorist to file a formal instrument appointing a New Jersey agent to receive process as a condition of using the state’s highways. Significantly, the statute limited the consent to matters arising from the party’s motoring activity within the forum state. What practical limitations do you see with the *Kane* approach? Would a nonresident-motorist statute that purported to assert jurisdiction over any cause of action arising out of the presence of defendant’s vehicle within the state, or over people other than the driver of the vehicle,

be constitutional within *Pennoyer*'s territorial theory?

HESS V. PAWLOSKI

Supreme Court of the United States, 1927.
[274 U.S. 352, 47 S.Ct. 632, 71 L.Ed. 1091.](#)

In Error to the Superior Court of Worcester County, Massachusetts.

JUSTICE BUTLER delivered the opinion of the Court.

This action was brought by defendant in error to recover damages for personal injuries. The declaration alleged that plaintiff in error negligently and wantonly drove a motor vehicle on a public highway in Massachusetts, and that by reason thereof the vehicle struck and injured defendant in error. Plaintiff in error is a resident of Pennsylvania. No personal service was made on him, and no property belonging to him was attached. The service of process was made in compliance with Chapter 90, General Laws of Massachusetts, as amended by Stat.1923, c. 431, § 2, the material parts of which follow:

The acceptance by a nonresident of the rights and privileges conferred by section three or four, as evidenced by his operating a motor vehicle thereunder, or the operation by a nonresident of a motor vehicle on a public way in the commonwealth other than under said sections, shall be deemed equivalent to an appointment by such nonresident of the registrar or his successor in office, to be his true and lawful attorney upon whom may be served all lawful processes in any action or proceeding against him, growing out of any accident or collision in which said nonresident may be involved while operating a motor vehicle on such a way, and said acceptance or operation shall be a signification of his agreement that any such process against him which is so served shall be of the same legal force and validity as if served on him personally. Service of such process shall be made by leaving a copy of the process with a fee of two dollars in the hands of the registrar, or in his office, and such service shall be sufficient service upon the said nonresident: Provided, that notice of such service and a copy of the process are forthwith sent by registered mail by the plaintiff to the defendant, and the defendant's return receipt and the plaintiff's affidavit of compliance herewith are appended to the writ and entered with the declaration. * * *

Plaintiff in error appeared specially for the purpose of contesting jurisdiction, and filed an answer in abatement and moved to dismiss on the ground that the service of process, if sustained, would deprive him of his property without due process of law, in violation of the Fourteenth Amendment. The court overruled the answer in abatement and denied the motion. The Supreme Judicial Court held the statute to be a valid exercise of the police power, and affirmed the order. * * * At the trial the contention

was renewed and again denied. Plaintiff in error excepted. The jury returned a verdict for defendant in error. The exceptions were overruled by the Supreme Judicial Court. * * * Thereupon the superior court entered judgment. The writ of error was allowed by the Chief Justice of that court.

The question is whether the Massachusetts enactment contravenes the due process clause of the Fourteenth Amendment.

The process of a court of one state cannot run into another and summon a party there domiciled to respond to proceedings against him. Notice sent outside the state to a nonresident is unavailing to give jurisdiction in an action against him personally for money recovery. *Pennoyer v. Neff* * * *. There must be actual service within the state of notice upon him or upon some one authorized to accept service for him. * * * A personal judgment rendered against a nonresident, who has neither been served with process nor appeared in the suit, is without validity. *McDonald v. Mabree*, 243 U.S. 90, 37 S.Ct. 343, 61 L.Ed. 608, L.R.A.1917F, 458. The mere transaction of business in a state by nonresident natural persons does not imply consent to be bound by the process of its courts. *Flexner v. Farson*, 248 U.S. 289, 39 S.Ct. 97, 63 L.Ed. 250. The power of a state to exclude foreign corporations, although not absolute, but qualified, is the ground on which such an implication is supported as to them. * * * But a state may not withhold from nonresident individuals the right of doing business therein. The privileges and immunities clause of the Constitution (section 2, art. 4), safeguards to the citizens of one state the right "to pass through, or to reside in any other state for purposes of trade, agriculture, professional pursuits, or otherwise." And it prohibits state legislation discriminating against citizens of other states. * * *

Motor vehicles are dangerous machines, and, even when skillfully and carefully operated, their use is attended by serious dangers to persons and property. In the public interest the state may make and enforce regulations reasonably calculated to promote care on the part of all, residents and nonresidents alike, who use its highways. The measure in question operates to require a nonresident to answer for his conduct in the state where arise causes of action alleged against him, as well as to provide for a claimant a convenient method by which he may sue to enforce his rights. Under the statute the implied consent is limited to proceedings growing out of accidents or collisions on a highway in which the nonresident may be involved. It is required that he shall actually receive and receipt for notice of the service and a copy of the process. And it contemplates such continuances as may be found necessary to give reasonable time and opportunity for defense. It makes no hostile discrimination against nonresidents, but tends to put them on the same footing as residents. Literal and precise equality in respect of this matter is not attainable; it is not required. * * * The state's power to regulate the use of its highways extends to their use by nonresidents as well as by residents. * * * And, in

advance of the operation of a motor vehicle on its highway by a nonresident, the state may require him to appoint one of its officials as his agent on whom process may be served in proceedings growing out of such use. *Kane v. New Jersey* * * *. That case recognizes power of the state to exclude a nonresident until the formal appointment is made. And, having the power so to exclude, the state may declare that the use of the highway by the nonresident is the equivalent of the appointment of the registrar as agent on whom process may be served. * * * The difference between the formal and implied appointment is not substantial, so far as concerns the application of the due process clause of the Fourteenth Amendment.

Judgment affirmed.

NOTES AND QUESTIONS

- 1.How did the statute authorizing service in *Hess* differ from that in *Kane*? How did it differ from the mode of service in *Tickle*, p. 31, *supra*?
- 2.Could the rationale of implied consent to jurisdiction created by driving within a state be employed to support jurisdiction over a nonresident in a matter unrelated to the driver’s conduct within the state?
- 3.The *Hess* opinion noted that the defendant had “appeared specially for the purpose of contesting jurisdiction.” A “special appearance” allows a party to appear in the case in order to challenge the court’s jurisdiction without thereby consenting to jurisdiction. See p. 234, *infra*.

The territorial theory of jurisdiction did not easily apply to corporations. A corporation, after all, is a fiction. It exists on paper and acts through its employees, directors, and shareholders. Well into the nineteenth century it was accepted that a corporation could “have no legal existence out of the boundaries of the sovereignty by which it is created.” *Bank of Augusta v. Earle*, 38 U.S. (13 Pet.) 519, 588, 10 L.Ed. 274, 308 (1839) (Taney, J.). By analogy to a person, courts treated a corporation as a domiciliary of the state of its incorporation and held that a corporation was subject to the jurisdiction of that state when properly served. However, exercising jurisdiction over a “foreign” corporation—a corporation chartered by a state other than the forum state—raised difficult questions, even when the corporation’s activity caused injury in the forum state.

Within the territorial principle, two theories predominated as justifications for a state court’s exercise of in personam jurisdiction over a corporation that was not chartered by the forum state: consent and presence. The “consent” theory presupposed that a corporation could transact business in a state in which it was not incorporated only with that state’s consent. Thus, as a condition of doing business, a state could require a foreign corporation to consent to service of process through the

appointment of an in-state agent to receive process. Courts applied this principle when the corporation actually designated an agent to receive process, even if its consent was given under compulsion. However, some courts also applied this principle when the corporation did not designate an agent to receive process and, thus, could be said only to have granted implied consent to such a designation through its in-state activity.

The “presence” theory built on the notion that a corporation, by engaging in activity within a state, established a presence through those activities for jurisdictional purposes: “A foreign corporation is amenable to process * * * if it is doing business within the State in such manner and to such extent as to warrant the inference that it is present there.” *Philadelphia & Reading Ry. Co. v. McKibbin*, 243 U.S. 264, 265, 37 S.Ct. 280, 280, 61 L.Ed. 710, 711–12 (1917) (Brandeis, J.). This doctrine measured the propriety of a state’s assertion of jurisdiction over a foreign corporation in terms of the corporation’s actual activities in the forum state. However, a court lost its power over a nonresident corporation once it ceased doing business in the state. How much activity was needed to establish presence was not easily defined; the term “presence” was conclusory and all too often was used by the courts without any meaningful analysis.

Under the theories of implied consent and presence, the court asked whether the corporation was “doing business” within the forum state. As the number of cases making this factual inquiry multiplied, “doing business” gradually came to be a test in and of itself. The cases became cluttered with refined and often senseless distinctions that sought to measure the quantity of defendant’s activities within the state, but paid little or no attention to the burden imposed on the corporation by asserting jurisdiction over it or to the overall desirability of litigating in the particular forum.

With doctrine in so bad a state of disrepair, the time had long since passed for the Supreme Court to acknowledge the truth of Holmes’ dictum that “[t]he Constitution is not to be satisfied with a fiction.” *International Shoe Co. v. Washington* afforded the Court an opportunity to begin to set its house in order in this field.

Kurland, *The Supreme Court, the Due Process Clause and the In Personam Jurisdiction of State Courts—From Pennoyer to Denckla: A Review*, 25 U.Chi.L.Rev. 569, 586 (1958).

INTERNATIONAL SHOE CO. v. WASHINGTON

Supreme Court of the United States, 1945.
[326 U.S. 310, 66 S.Ct. 154, 90 L.Ed. 95.](#)

Appeal from the Supreme Court of the State of Washington.

CHIEF JUSTICE STONE delivered the opinion of the Court.

The questions for decision are (1) whether, within the limitations of the due process clause of the Fourteenth Amendment, appellant, a Delaware corporation, has by its activities in the State of Washington rendered itself amenable to proceedings in the courts of that state to recover unpaid contributions to the state unemployment compensation fund exacted by state statutes * * * and (2) whether the state can exact those contributions consistently with the due process clause of the Fourteenth Amendment.

The [Washington] statutes in question set up a comprehensive scheme of unemployment compensation, the costs of which are defrayed by contributions required to be made by employers to a state unemployment compensation fund. The contributions are a specified percentage of the wages payable annually by each employer for his employees' services in the state. The assessment and collection of the contributions and the fund are administered by respondents. Section 14(c) of the Act, Wash. Rev. Stat. 1941 Supp., § 9998–114c, authorizes respondent Commissioner to issue an order and notice of assessment of delinquent contributions upon prescribed personal service of the notice upon the employer if found within the state, or, if not so found, by mailing the notice to the employer by registered mail at his last known address. That section also authorizes the Commissioner to collect the assessment by distraint if it is not paid within ten days after service of the notice. * * *

In this case notice of assessment for the years in question was personally served upon a sales solicitor employed by appellant in the State of Washington, and a copy of the notice was mailed by registered mail to appellant at its address in St. Louis, Missouri. Appellant appeared specially before the office of unemployment and moved to set aside the order and notice of assessment on the ground that the service upon appellant's salesman was not proper service upon appellant; that appellant was not a corporation of the State of Washington and was not doing business within the state; that it had no agent within the state upon whom service could be made; and that appellant is not an employer and does not furnish employment within the meaning of the statute.

The motion was heard on evidence and a stipulation of facts by the appeal tribunal which denied the motion and ruled that respondent Commissioner was entitled to recover the unpaid contributions. That action was affirmed by the Commissioner; both the Superior Court and the Supreme Court affirmed. * * * Appellant in each of these courts assailed

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the statute as applied, as a violation of the due process clause of the Fourteenth Amendment, and as imposing a constitutionally prohibited burden on interstate commerce.

* * * Appellant is a Delaware corporation, having its principal place of business in St. Louis, Missouri, and is engaged in the manufacture and sale of shoes and other footwear. It maintains places of business in several states, other than Washington, at which its manufacturing is carried on and from which its merchandise is distributed interstate through several sales units or branches located outside the State of Washington.

Appellant has no office in Washington and makes no contracts either for sale or purchase of merchandise there. It maintains no stock of merchandise in that state and makes there no deliveries of goods in intrastate commerce. During the years from 1937 to 1940, now in question, appellant employed eleven to thirteen salesmen under direct supervision and control of sales managers located in St. Louis. These salesmen resided in Washington; their principal activities were confined to that state; and they were compensated by commissions based upon the amount of their sales. The commissions for each year totaled more than \$31,000. Appellant supplies its salesmen with a line of samples, each consisting of one shoe of a pair, which they display to prospective purchasers. On occasion they rent permanent sample rooms, for exhibiting samples, in business buildings, or rent rooms in hotels or business buildings temporarily for that purpose. The cost of such rentals is reimbursed by appellant.

The authority of the salesmen is limited to exhibiting their samples and soliciting orders from prospective buyers, at prices and on terms fixed by appellant. The salesmen transmit the orders to appellant's office in St. Louis for acceptance or rejection, and when accepted the merchandise for filling the orders is shipped f.o.b. from points outside Washington to the purchasers within the state. All the merchandise shipped into Washington is invoiced at the place of shipment from which collections are made. No salesman has authority to enter into contracts or to make collections.

The Supreme Court of Washington was of opinion that the regular and systematic solicitation of orders in the state by appellant's salesmen, resulting in a continuous flow of appellant's product into the state, was sufficient to constitute doing business in the state so as to make appellant amenable to suit in its courts. But it was also of opinion that there were sufficient additional activities shown to bring the case within the rule frequently stated, that solicitation within a state by the agents of a foreign corporation plus some additional activities there are sufficient to render the corporation amenable to suit brought in the courts of the state to enforce an obligation arising out of its activities there. * * * The court found such additional activities in the salesmen's display of samples sometimes in permanent display rooms, and the salesmen's residence within the state,

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continued over a period of years, all resulting in a substantial volume of merchandise regularly shipped by appellant to purchasers within the state. * * *

Appellant * * * insists that its activities within the state were not sufficient to manifest its "presence" there and that in its absence

the state courts were without jurisdiction, that consequently it was a denial of due process for the state to subject appellant to suit. It refers to those cases in which it was said that the mere solicitation of orders for the purchase of goods within a state, to be accepted without the state and filled by shipment of the purchased goods interstate, does not render the corporation seller amenable to suit within the state. * * * And appellant further argues that since it was not present within the state, it is a denial of due process to subject it to taxation or other money exaction. It thus denies the power of the state to lay the tax or to subject appellant to a suit for its collection.

Historically the jurisdiction of courts to render judgment in personam is grounded on their de facto power over the defendant's person. Hence his presence within the territorial jurisdiction of a court was prerequisite to its rendition of a judgment personally binding him. *Pennoyer v. Neff* * * *. But now that the *capias ad respondendum* has given way to personal service of summons or other form of notice, due process requires only that in order to subject a defendant to a judgment in personam, if he be not present within the territory of the forum, he have certain minimum contacts with it such that the maintenance of the suit does not offend "traditional notions of fair play and substantial justice." *Milliken v. Meyer* * * * [p. 88, Note 5, supra]. * * *

Since the corporate personality is a fiction, although a fiction intended to be acted upon as though it were a fact * * *, it is clear that unlike an individual its "presence" without, as well as within, the state of its origin can be manifested only by activities carried on in its behalf by those who are authorized to act for it. To say that the corporation is so far "present" there as to satisfy due process requirements, for purposes of taxation or the maintenance of suits against it in the courts of the state, is to beg the question to be decided. For the terms "present" or "presence" are used merely to symbolize those activities of the corporation's agent within the state which courts will deem to be sufficient to satisfy the demands of due process. * * * Those demands may be met by such contacts of the corporation with the state of the forum as make it reasonable, in the context of our federal system of government, to require the corporation to defend the particular suit which is brought there. An "estimate of the inconveniences" which would result to the corporation from a trial away from its "home" or principal place of business is relevant in this connection. * * *

"Presence" in the state in this sense has never been doubted when the activities of the corporation there have not only been continuous and systematic, but also give rise to the liabilities sued on, even though no consent to be sued or authorization to an agent to accept service of process has been given. * * * Conversely it has been generally recognized that the casual presence of the corporate agent or even his conduct of single or isolated items of activities in a state in the corporation's behalf are not enough to subject it to suit on causes of action unconnected with the activities there. * * * To require the corporation in such circumstances to defend the suit away from its home or other jurisdiction where it carries on more substantial activities has been thought to lay too great and unreasonable a burden on the corporation to comport with due process.

While it has been held in cases on which appellant relies that continuous activity of some sorts within a state is not enough to support the demand that the corporation be amenable to suits unrelated to that activity * * * there have been instances in which the continuous corporate operations within a state were thought so substantial and of such a nature as to justify suit against it on causes of action arising from dealings entirely distinct from those activities. * * *

Finally, although the commission of some single or occasional acts of the corporate agent in a state sufficient to impose an obligation or liability on the corporation has not been thought to confer upon the state authority to enforce it, *Rosenberg Bros. & Co. v. Curtis Brown Co.*, 260 U.S. 516, 43 S.Ct. 170, 67 L.Ed. 372, other such acts, because of their nature and quality and the circumstances of their commission, may be deemed sufficient to render the corporation liable to suit. Cf. *Kane v. New Jersey* * * *; *Hess v. Pawloski* * * * [p. 91, supra]. True, some of the decisions holding the corporation amenable to suit have been supported by resort to the legal fiction that it has given its consent to service and suit, consent being implied from its presence in the state through the acts of its authorized agents. * * * But more realistically it may be said that those authorized acts were of such a nature as to justify the fiction. * * *

It is evident that the criteria by which we mark the boundary line between those activities which justify the subjection of a corporation to suit, and those which do not, cannot be simply mechanical or quantitative. The test is not merely, as has sometimes been suggested, whether the activity, which the corporation has seen fit to procure through its agents in another state, is a little more or a little less. * * * Whether due process is satisfied must depend rather upon the quality and nature of the activity in relation to the fair and orderly administration of the laws which it was the purpose of the due process clause to insure. That clause does not contemplate that a state may make binding a judgment in personam against an individual or corporate defendant with which the state has no contacts, ties, or relations. * * *

But to the extent that a corporation exercises the privilege of conducting activities within a state, it enjoys the benefits and protection of the laws of that state. The exercise of that privilege may give rise to obligations; and, so far as those obligations arise out of or are connected with the activities within the state, a procedure which requires the corporation to respond to a suit brought to enforce them can, in most instances, hardly be said to be undue. * * *

Applying these standards, the activities carried on in behalf of appellant in the State of Washington were neither irregular nor casual. They were systematic and continuous throughout the years in question. They resulted in a large volume of interstate business, in the course of which appellant received the benefits and protection of the laws of the state, including the right to resort to the courts for the enforcement of its rights. The obligation which is here sued upon arose out of those very activities. It is evident that these operations establish sufficient contacts or ties with the state of the forum to make it reasonable and just according to our traditional conception of

fair play and substantial justice to permit the state to enforce the obligations which appellant has incurred there. Hence we cannot say that the maintenance of the present suit in the State of Washington involves an unreasonable or undue procedure.

We are likewise unable to conclude that the service of the process within the state upon an agent whose activities establish appellant’s “presence” there was not sufficient notice of the suit, or that the suit was so unrelated to those activities as to make the agent an inappropriate vehicle for communicating the notice. It is enough that appellant has established such contacts with the state that the particular form of substituted service adopted there gives reasonable assurance that the notice will be actual. * * *

Appellant having rendered itself amenable to suit upon obligations arising out of the activities of its salesmen in Washington, the state may maintain the present suit in personam to collect the tax laid upon the exercise of the privilege of employing appellant’s salesmen within the state. For Washington has made one of those activities, which taken together establish appellant’s “presence” there for purposes of suit, the taxable event by which the state brings appellant within the reach of its taxing power. The state thus has constitutional power to lay the tax and to subject appellant to a suit to recover it. * * *

Affirmed.

JUSTICE JACKSON took no part in the consideration or decision of this case.

JUSTICE BLACK delivered the following opinion.

* * *

I believe that the Federal Constitution leaves to each State, without any “ifs” or “buts,” a power to tax and to open the doors of its courts for its citizens to sue corporations whose agents do business in those States. Believing that the Constitution gave the States that power, I think it a judicial deprivation to condition its exercise upon this Court’s notion of “fair play,” however appealing that term may be. Nor can I stretch the meaning of due process so far as to authorize this Court to deprive a State of the right to afford judicial protection to its citizens on the ground that it would be more “convenient” for the corporation to be sued somewhere else.

There is a strong emotional appeal in the words “fair play,” “justice,” and “reasonableness.” But they were not chosen by those who wrote the original Constitution or the Fourteenth Amendment as a measuring rod for this Court to use in invalidating State or Federal laws passed by elected legislative representatives. No one, not even those who most feared a democratic government, ever formally proposed that courts should be given power to invalidate legislation under any such elastic standards. Express prohibitions against certain types of legislation are found in the Constitution, and under the long settled practice, courts invalidate laws found to conflict with them. This requires interpretation, and interpretation, it is true, may result in extension of the Constitution’s purpose. But that is no reason for reading the due process clause so as to restrict a State’s power to tax and sue those whose activities affect persons and businesses within the State, provided proper service can be had. * * *

NOTES AND QUESTIONS

1. Historically, the writ of *capias ad respondendum*—referred to in *International Shoe*—directed the sheriff or other official to secure defendant’s appearance in a civil suit by physically taking him into custody. Service of process on defendant, which does not require taking defendant into custody, is “the contemporary counterpart to that writ.” *Murphy Bros. v. Michetti Pipe Stringing, Inc.*, 526 U.S. 344, 350, 119 S.Ct. 1322, 1326–27, 143 L.Ed.2d 448, 456–57 (1999). In its brief to the Supreme Court, *International Shoe* argued, “It would be manifestly impolitic to uphold service upon a salesman in a case not involving a sale. It would require of mere soliciting salesmen, notoriously happy-go-lucky fellows, good mixers, a higher degree of judgment and responsibility than that for which they are selected.” Quoted in *Cameron & Johnson, Death of a Salesman? Forum Shopping and Outcome Determination Under International Shoe*, 28 U.C. Davis L.Rev. 769, 795 (1995). Within the *Pennoyer* model, why was it important to serve the corporation’s salesmen in the forum state?

2. The opinion in *International Shoe* used contacts with the forum in two different ways. First, a defendant could have sufficient contacts with the forum to warrant asserting jurisdiction over it for all matters. This form of power now is termed “general jurisdiction,” and we will study it in more detail later in this chapter. Second, a defendant could have sufficient contacts with

the forum to warrant asserting jurisdiction over it for matters arising out of or related to its activity in the forum without having sufficient contact with the forum to warrant general jurisdiction. In such a case, the jurisdiction is termed “specific jurisdiction.” See von Mehren & Trautman, *Jurisdiction to Adjudicate: A Suggested Analysis*, 79 Harv.L.Rev. 1121 (1966). Determining when a company has engaged in sufficient business within the state, or which of its activities count as a basis for the state’s exercise of jurisdiction, often raises uncertain questions. See Brilmayer, *Related Contacts and Personal Jurisdiction*, 101 Harv.L.Rev. 1444 (1988).

3. *International Shoe* made clear that assessing a defendant’s in-state contacts is not a mechanical act—adding up so many sales or employees in the forum state—but rather depends on the “nature and quality and the circumstances of their commission.” Based on that standard, how would you advise a business client whether it is amenable to suit in the following situations:

(a) The client is not incorporated in the forum state, derives 60 percent of its revenue from the sale of widgets in the forum state, the widgets cause harm in the forum state, and the suit seeks to redress that harm.

- (b)The client is not incorporated in the forum state, derives 60 percent of its revenue from the sale of widgets in the forum state, the widgets cause no harm in the forum state, and the client is sued by a former employee who lives in the forum state for breach of a contract that is unrelated to the widget.
- (c)The client is not incorporated in the forum state, derives one percent of its revenues from the sale of widgets in the forum state, the widgets cause harm to a tourist who temporarily is in the forum state, and the client is sued by the tourist to redress the injury.
- (d)Same facts as (b), but the client sold the widgets knowing that they were toxic and flammable.

C. THE GROWTH OF STATE LONG-ARM LAWS

Read the selected state jurisdiction statutes in the Supplement.

The Supreme Court’s decision in *Hess v. Pawloski*, p. 91, *supra*, encouraged states to enact statutes asserting jurisdiction based on the nonresident’s engagement in a variety of activities or enterprises that, like driving a car, were considered hazardous. *International Shoe*—with its focus on defendant’s contacts with the forum state—enabled states to expand their jurisdictional reach even further in conformance with the

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Supreme Court’s latest view of constitutional boundaries. This spate of legislative activity came largely in the form of “long-arm” or “single-act” statutes, which based jurisdiction over nonresidents upon defendant’s general activity in the state, or the commission of one of a series of enumerated acts within the state, or, in some cases, the commission of a certain act outside the state causing consequences within it. The theory supporting the assertion of jurisdiction depended on *International Shoe*’s emphasis on the quantum and quality of defendant’s in-state activity. In its 1957 Term, the Supreme Court handed down a pair of decisions that further elaborated on when a state’s exercise of personal jurisdiction would comport with the Due Process Clause.

McGEE v. INTERNATIONAL LIFE INSURANCE CO., 355 U.S. 220, 222–24, 78 S.Ct. 199, 200–01, 2 L.Ed.2d 223, 225–26 (1957). Plaintiff, McGee, was the beneficiary of a life insurance policy issued by the Empire Mutual Insurance Co., an Arizona corporation, to Lowell Franklin, a resident of California. In 1948, defendant, International Life Insurance Co., assumed Empire Mutual’s insurance obligations. Franklin and International Life transacted business by mail until Franklin’s death in 1950. Neither Empire Mutual nor International Life ever had any office or agent in California, and, as far as the record disclosed, International Life had never solicited or done any insurance business in California other than the policy with Franklin.

When International Life refused to pay McGee upon Franklin’s death, she sued in a California state court basing jurisdiction on the California Unauthorized Insurer’s Process Act. The Act subjects out-of-state corporations to suits in California arising out of insurance contracts with in-state residents. After recovering a judgment in California, McGee sought to enforce the judgment in Texas. The Texas court refused to enforce the judgment, holding it to be void under the Fourteenth Amendment on the ground that the California courts could not assume jurisdiction over International Life without service of process within its boundaries. The Supreme Court held that the exercise of jurisdiction by California was proper.

The Court noted that, with the increased “nationalization of commerce,” the tremendous growth “in the amount of business conducted by mail across state lines,” and the frequency with which “commercial transactions touch two or more States,” there had developed “a trend * * * clearly discernible toward expanding the permissible scope of state jurisdiction over foreign corporations and other nonresidents.”

* * * [W]e think it apparent that the Due Process Clause did not preclude the California court from entering a judgment binding on respondent. It is sufficient * * * that the suit was based on a contract which had substantial connection with that State. * * *

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The contract was delivered in California, the premiums were mailed from there and the insured was a resident of that State when he died. * * * California has a manifest interest in providing effective means of redress for its residents when their insurers refuse to pay claims. These residents would be at a severe disadvantage if they were forced to follow the insurance company to a distant State in order to hold it legally accountable. When claims were small or moderate individual claimants frequently could not afford the cost of bringing an action in a foreign forum—thus in effect making the company judgment proof. Often the crucial witnesses—as here on the company’s defense of suicide—will be found in the insured’s locality. Of course there may be inconvenience to the insurer if it is held amenable to suit in California * * * but certainly nothing which amounts to a denial of due process. * * * There is no contention that respondent did not have adequate notice of the suit or sufficient time to prepare its defenses and appear.

NOTES AND QUESTIONS

- 1.Did the Court in *McGee* modify the *International Shoe* test? Is the exercise of jurisdiction over the insurance company in *McGee* consistent

with *International Shoe*? In what way did the insurance company have “minimum contacts” with California?

2.The Court said in *McGee* that improvements in transportation and communication make it less burdensome for out-of-state litigants to defend suits. Is it as reasonable to say that these advances make it easier for plaintiffs to sue out of state where the defendant is located? In assessing whether jurisdiction is to be exercised, should weight be given to the interests of the forum state in ensuring the enforcement of its state’s laws? Was it relevant that California had enacted a long-arm statute specific to out-of-state insurance companies that issued insurance policies to state residents?

In HANSON v. DENCKLA

, 357 U.S. 235, 78 S.Ct. 1228, 2 L.Ed.2d 1283 (1958), service of process was effected on a Delaware trustee pursuant to a Florida statute that permitted service by publication for claims arising from the construction of a will. Dora Donner, a resident of Pennsylvania, had established a trust in Delaware, naming the Delaware bank as trustee. During her lifetime, the income from the trust would go to her and, upon her death, the remainder would pass to the persons she appointed as beneficiaries under her will. Donner retained the power to change the appointed beneficiaries at any time.

Later, Donner moved to Florida, and, several years before her death, she executed her last will and testament, leaving most of her estate to two

of her daughters, Katherine and Dorothy. On the same day, she executed her power to change the appointed beneficiaries under the Delaware trust—this time, she designated two of her grandchildren (the children of a third daughter, Elizabeth) as beneficiaries of a significant portion of the trust’s assets, with the remainder going to her estate.

After Donner’s death, Katherine and Dorothy, the two daughters named in the will, brought an action in Florida against the trustee claiming that the appointment of their sister’s children as beneficiaries of the trust had been ineffective. If that were true, the assets of the trust would pass under the will to the two daughters, as legatees.

The Florida court found that it had jurisdiction over the trustee, concluded that the trust was invalid and that the exercise of the power of appointment was ineffective to pass title, and held that the trust property therefore passed under the will (and so to Katherine and Dorothy). Before the Florida judgment was rendered, Elizabeth, as executrix of the estate, commenced an action in Delaware to determine who was entitled to share the trust assets, which were situated in Delaware. With minor exceptions, the parties were the same as in the Florida action. When the Florida judgment was rendered, the legatees under the will—Katherine and Dorothy—unsuccessfully argued that the Florida judgment was entitled to Full Faith and Credit and thus barred the Delaware action. The Delaware court ultimately held that the trust and the exercise of the power of appointment were valid under Delaware law.

Accepting both cases for review, a divided Supreme Court found that because the Delaware trustee’s contacts with Florida had been less than minimal, the Florida court could not assert personal jurisdiction over it. Moreover, because Florida law considered the trustee an indispensable party without whom the lawsuit could not continue, Delaware was justified in refusing to give Full Faith and Credit to the Florida decree. Writing for a majority of five, Chief Justice Warren explained that:

*** [T]he requirements for personal jurisdiction over nonresidents have evolved from the rigid rule of *Pennoy v. Neff* *** to the flexible standard of *International Shoe Co. v. State of Washington* ***. But it is a mistake to assume that this trend heralds the eventual demise of all restrictions on the personal jurisdiction of state courts. *** Those restrictions are more than a guarantee of immunity from inconvenient or distant litigation. They are a consequence of territorial limitations on the power of the respective States. However minimal the burden of defending in a foreign tribunal, a defendant may not be called upon to do so unless he has had the “minimal contacts” with that State ***.

We fail to find such contacts in the circumstances of this case. The defendant trust company has no office in Florida, and transacts

no business there. None of the trust assets has ever been held or administered in Florida, and the record discloses no solicitation of business in that State either in person or by mail. ***

The cause of action in this case is not one that arises out of an act done or transaction consummated in the forum State. *** From Florida Mrs. Donner carried on several bits of trust administration that may be compared to the mailing of premiums in *McGee* [p. 102, supra]. But the record discloses no instance in which the trustee performed any acts in Florida that bear the same relationship to the agreement as the solicitation in *McGee*. Consequently, this suit cannot be said to be one to enforce an obligation that arose from a privilege the defendant exercised in Florida. ***

*** The unilateral activity of those who claim some relationship with a nonresident defendant cannot satisfy the requirement of contact with the forum State. The application of that rule will vary with the quality and nature of the defendant’s activity, but it is essential in each case that there be some act by which the defendant purposefully avails itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws. ***

Justice Black dissented:

In light of the * * * circumstances it seems quite clear to me that there is nothing in the Due Process Clause which denies Florida the right to determine whether [the] appointment was valid as against its statute of wills. * * * Not only was the appointment made in Florida by a domiciliary of Florida, but the primary beneficiaries also lived in that State. In my view it could hardly be denied that Florida had sufficient interest so that a court with jurisdiction might properly apply Florida law, if it chose, to determine whether the appointment was effectual. * * * True, the question whether the law of a State can be applied to a transaction is different from the question whether the courts of that State have jurisdiction to enter a judgment, but the two are often closely related and to a substantial degree depend upon similar considerations. It seems to me that where a transaction has as much relationship to a State as * * * [this] appointment had to Florida its courts ought to have power to adjudicate controversies arising out of that transaction, unless litigation there would impose such a heavy and disproportionate burden on a nonresident defendant that it would offend what this Court has referred to as “traditional notions of fair play and substantial

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justice.” * * * Florida, the home of the principal contenders * * *, was a reasonably convenient forum for all. Certainly there is nothing fundamentally unfair in subjecting the corporate trustee to the jurisdiction of the Florida courts. It chose to maintain business relations with [the settlor] in that State for eight years, regularly communicating with her with respect to the business of the trust including the very appointment in question.

Florida’s interest in the validity of [the] appointment is made more emphatic by the fact that her will is being administered in that State. It has traditionally been the rule that the State where a person is domiciled at the time of his death is the proper place to determine the validity of his will, to construe its provisions and to marshal and distribute his personal property. Here Florida was seriously concerned with winding up [this] estate and with finally determining what property was to be distributed under her will. * * *

Id. at 258–59, 78 S.Ct. at 1242–43, 2 L.Ed.2d at 1300–01.

NOTES AND QUESTIONS

1.Donner’s estate plan appeared to have divided her property in three shares. Under the last appointment of trust beneficiaries, the children of Donner’s third daughter, Elizabeth, received about \$400,000. Donner’s other two daughters, the residual legatees under the will, received over \$1,000,000 from the estate, to be divided equally. The Florida decision would have invalidated the last appointment of trust beneficiaries, defeated Donner’s estate plan, and added \$400,000 to the amount received by Elizabeth’s sisters at the expense of Elizabeth’s family.

2.Could the *Hanson* decision be justified on the ground that Delaware, as the state where the trust was validly established (at least under Delaware law), had a stronger interest in the disposition of the trust’s funds than Florida did? Delaware’s interest certainly is sufficient to support jurisdiction in Delaware, but was it sufficient to preclude jurisdiction in Florida? Compare California’s interests in *McGee*, in which jurisdiction was upheld, with Florida’s interests in *Hanson*, in which jurisdiction was denied. When is a state’s “interest” sufficient to support jurisdiction? Is a legislative desire to provide a forum enough?

3. In their opinions in *Hanson*, the Chief Justice and Justice Black agreed that whether a court may apply its own law to a dispute is subject to a different standard than whether the court can exercise jurisdiction over defendant and adjudicate the controversy at all.

In *ALLSTATE INS. CO. v. HAGUE*, 449 U.S. 302, 312–13, 101 S.Ct. 633, 640, 66 L.Ed.2d 521, 531 (1981), the plurality opinion held that “for a State’s substantive law to be selected in a constitutionally permissible manner, that State must have a significant contact or significant aggregation of contacts,

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creating state interests, such that choice of its law is neither arbitrary nor fundamentally unfair.” Under this test, the plurality upheld Minnesota’s decision to apply its own law in an action by a former Wisconsin resident who moved to Minnesota just prior to filing suit to collect proceeds under an automobile insurance policy made in Wisconsin covering vehicles owned by a Wisconsin resident who had been killed in an accident in Wisconsin. After *Hague* it seems clear that the Due Process Clause allows states extraordinary latitude in developing choice-of-law rules. Why should the due process restrictions on state adjudicative jurisdiction be so much greater than the power to exercise local law?

The long-arm statutes at issue in *McGee* and *Hanson* dealt only with specialized kinds of litigation. The first truly comprehensive long-arm statute was enacted in Illinois and it was used as a model by a number of states. According to the Illinois Supreme Court, the statute was an attempt to assert jurisdiction to the fullest permissible constitutional limits. Under the Illinois statute, an individual or a corporation, whether a citizen or noncitizen of Illinois, is amenable to the jurisdiction of the state’s courts if the person transacts any business within the state; commits a tort within the state; owns, uses, or possesses any real estate within the state; or contracts to insure any person, property, or risk located within the state. Several years after its enactment, the Illinois statute was amended to include jurisdiction over claims involving alimony, support, and property division against former residents. Other states soon followed the Illinois approach in expanding the jurisdictional reach of their courts. Contemporary long-arm statutes run the gamut from very broad ones that permit states to assert jurisdiction up to the limits allowed by the Constitution, to narrow ones that carve out small parts of their

constitutionally permitted authority. See McFarland, *Dictum Run Wild: How Long-Arm Statutes Extended to the Limits of Due Process*, 84 B.U.L.Rev. 491 (2004).

GRAY V. AMERICAN RADIATOR & STANDARD SANITARY CORP.

Supreme Court of Illinois, 1961.
[22 Ill.2d 432, 176 N.E.2d 761.](#)

KLINGBIEL, JUSTICE. Phyllis Gray appeals from a judgment of the circuit court of Cook County dismissing her action for damages. The issues are concerned with the construction and validity of our statute providing for substituted service of process on nonresidents. Since a constitutional question is involved, the appeal is direct to this court.

The suit was brought against the Titan Valve Manufacturing Company and others, on the ground that a certain water heater had

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exploded and injured the plaintiff. The complaint charges, *inter alia*, that the Titan company, a foreign corporation, had negligently constructed the safety valve; and that the injuries were suffered as a proximate result thereof. Summons issued and was duly served on Titan's registered agent in Cleveland, Ohio. The corporation appeared specially, filing a motion to quash on the ground that it had not committed a tortious act in Illinois. Its affidavit stated that it does no business here; that it has no agent physically present in Illinois; and that it sells the completed valves to defendant, American Radiator & Standard Sanitary Corporation, outside Illinois. * * * American Radiator * * * (also made a defendant) filed an answer in which it set up a cross claim against Titan, alleging that Titan made certain warranties to American Radiator, and that if the latter is held liable to the plaintiff it should be indemnified and held harmless by Titan. The court granted Titan's motion, dismissing both the complaint and the cross claim.

Section 16 of the Civil Practice Act provides that summons may be personally served upon any party outside the State; and that as to nonresidents who have submitted to the jurisdiction of our courts, such service has the force and effect of personal service within Illinois. (Ill.Rev.Stat.1959, chap. 110, par. 16.) Under section 17(1)(b) a nonresident who, either in person or through an agent, commits a tortious act within this State submits to jurisdiction. * * * The questions in this case are (1) whether a tortious act was committed here, within the meaning of the statute, despite the fact that the Titan corporation had no agent in Illinois; and (2) whether the statute, if so construed, violates due process of law.

The first aspect to which we must direct our attention is one of statutory construction. Under section 17(1)(b) jurisdiction is predicated on the committing of a tortious act in this State. It is not disputed, for the purpose of this appeal, that a tortious act was committed. The issue depends on whether it was committed in Illinois, so as to warrant the assertion of personal jurisdiction by service of summons in Ohio.

The wrong in the case at bar did not originate in the conduct of a servant physically present here, but arose instead from acts performed at the place of manufacture. Only the consequences occurred in Illinois. It is well established, however, that in law the place of a wrong is where the last event takes place which is necessary to render the actor liable. Restatement, Conflict of Laws, sec. 377. A second indication that the place of injury is the determining factor is found in rules governing the time within which an action must be brought. In applying statutes of limitation our court has computed the period from the time when the injury is done. * * * We think it is clear that the alleged negligence in manufacturing the valve cannot be separated from the resulting injury; and that for present purposes, like those of liability and limitations, the tort was committed in Illinois.

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Titan seeks to avoid this result by arguing that instead of using the word "tort," the legislature employed the term "tortious act"; and that the latter refers only to the act or conduct, separate and apart from any consequences thereof. We cannot accept the argument. To be tortious an act must cause injury. The concept of injury is an inseparable part of the phrase. In determining legislative intention courts will read words in their ordinary and popularly understood sense. * * * We think the intent should be determined less from technicalities of definition than from considerations of general purpose and effect. To adopt the criteria urged by defendant would tend to promote litigation over extraneous issues concerning the elements of a tort and the territorial incidence of each, whereas the test should be concerned more with those substantial elements of convenience and justice presumably contemplated by the legislature. As we observed in *Nelson v. Miller*, 11 Ill.2d 378, 143 N.E.2d 673, the statute contemplates the exertion of jurisdiction over nonresident defendants to the extent permitted by the due-process clause.

The Titan company contends that if the statute is applied so as to confer jurisdiction in this case it violates the requirement of due process of law. The precise constitutional question thus presented has not heretofore been considered by this court. * * *

Under modern doctrine the power of a State court to enter a binding judgment against one not served with process within the State depends upon two questions: first, whether he has certain minimum contacts with the State * * * and second, whether there has been a reasonable method of notification. See *International Shoe Co. v. State of Washington* * * *. In the case at bar there is no contention that section 16 provides for inadequate notice or that its provisions were not followed. Defendant's argument on constitutionality is confined to the proposition that applying section 17(1)(b), where the injury is defendant's only contact with the State, would exceed the limits of due process.

A proper determination of the question presented requires analysis of those cases which have dealt with the quantum of contact

sufficient to warrant jurisdiction. Since the decision in *Pennoyer v. Neff* * * * the power of a State to exert jurisdiction over nonresidents has been greatly expanded, particularly with respect to foreign corporations. * * * [In *International Shoe Co. v. Washington*] the court pointed out that the activities of the corporation in Washington were not only continuous and systematic but also gave rise to the liability sued on. It was observed that such operations, which resulted in a large volume of business, established “sufficient contacts or ties with the state of the forum to make it reasonable and just according to our traditional conception of fair play and substantial justice to permit the state to enforce the obligations which appellant has incurred there.” * * *

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Where the business done by a foreign corporation in the State of the forum is of a sufficiently substantial nature, it has been held permissible for the State to entertain a suit against it even though the cause of action arose from activities entirely distinct from its conduct within the State. * * * But where such business or other activity is not substantial, the particular act or transaction having no connection with the State of the forum, the requirement of “contact” is not satisfied. * * *

In the case at bar the defendant’s only contact with this State is found in the fact that a product manufactured in Ohio was incorporated in Pennsylvania, into a hot water heater which in the course of commerce was sold to an Illinois consumer. The record fails to disclose whether defendant has done any other business in Illinois, either directly or indirectly; and it is argued, in reliance on the *International Shoe* test, that since a course of business here has not been shown there are no “minimum contacts” sufficient to support jurisdiction. We do not think, however, that doing a given volume of business is the only way in which a nonresident can form the required connection with this State. Since the *International Shoe* case was decided the requirements for jurisdiction have been further relaxed, so that at the present time it is sufficient if the act or transaction itself has a substantial connection with the * * * forum.

In *McGee* * * * [p. 102, *supra*] suit was brought in California against a foreign insurance company on a policy issued to a resident of California. The defendant was not served with process in that State but was notified by registered mail at its place of business in Texas, pursuant to a statute permitting such service in suits on insurance contracts. The contract in question was delivered in California, the premiums were mailed from there and the insured was a resident of that State when he died, but defendant had no office or agent in California nor did it solicit any business there apart from the policy sued on. After referring briefly to the *International Shoe* case the court held that “it is sufficient for purposes of due process that the suit was based on a *contract* which had substantial connection” with California. (Emphasis supplied.)^a

* * *

In *Nelson v. Miller* * * * the commission of a single tort within this State was held sufficient to sustain jurisdiction under the present statute. The defendant in that case, a resident of Wisconsin, was engaged in the business of selling appliances. It was alleged that in the process of delivering a stove in Illinois, an employee of the defendant negligently caused injury to the plaintiff. In holding that the defendant was not denied due process by being required to defend in Illinois, this court observed * * *: “The defendant sent his employee into Illinois in the advancement of his own interests. While he was here, the employee and the defendant enjoyed

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the benefit and protection of the laws of Illinois, including the right to resort to our courts. In the course of his stay here the employee performed acts that gave rise to an injury. The law of Illinois will govern the substantive rights and duties stemming from the incident. Witnesses, other than the defendant’s employee, are likely to be found here, and not in Wisconsin. In such circumstances, it is not unreasonable to require the defendant to make his defense here.”

Whether the type of activity conducted within the State is adequate to satisfy the requirement depends upon the facts in the particular case. * * * The question cannot be answered by applying a mechanical formula or rule of thumb but by ascertaining what is fair and reasonable in the circumstances. In the application of this flexible test the relevant inquiry is whether defendant engaged in some act or conduct by which he may be said to have invoked the benefits and protections of the law of the forum. * * * The relevant decisions since *Pennoyer v. Neff* show a development of the concept of personal jurisdiction from one which requires service of process within the State to one which is satisfied either if the act or transaction sued on occurs there or if defendant has engaged in a sufficiently substantial course of activity in the State, provided always that reasonable notice and opportunity to be heard are afforded. * * * [T]he trend in defining due process of law is away from the emphasis on territorial limitations and toward emphasis on providing adequate notice and opportunity to be heard: from the court with immediate power over the defendant, toward the court in which both parties can most conveniently settle their dispute.

In the *McGee* case the court commented on the trend toward expanding State jurisdiction over nonresidents, observing that: “In part this is attributable to the fundamental transformation of our national economy over the years. Today many commercial transactions touch two or more States and may involve parties separated by the full continent. With this increasing nationalization of commerce has come a great increase in the amount of business conducted by mail across state lines. At the same time modern transportation and communication have made it much less burdensome for a party sued to defend himself in a State where he engages in economic activity.”

It is true that courts cannot “assume that this trend heralds the eventual demise of all restrictions on the personal jurisdiction of state courts.” Hanson * * * [p. 103, *supra*]. An orderly and fair administration of the law throughout the nation requires protection against being compelled to answer claims brought in distant States with which the defendant has little or no association and in which he would be faced with an undue burden or disadvantage in making his defense. * * * [P]rocedural rules must be designed and appraised in the

light of what is fair and just to both sides in the dispute. Interpretations of basic rights which consider only

those of a claimant are not consonant with the fundamental requisites of due process.

In the case at bar defendant does not claim that the present use of its product in Illinois is an isolated instance. While the record does not disclose the volume of Titan’s business or the territory in which appliances incorporating its valves are marketed, it is a reasonable inference that its commercial transactions, like those of other manufacturers, result in substantial use and consumption in this State. To the extent that its business may be directly affected by transactions occurring here it enjoys benefits from the laws of this State, and it has undoubtedly benefited, to a degree, from the protection which our law has given to the marketing of hot water heaters containing its valves. Where the alleged liability arises, as in this case, from the manufacture of products presumably sold in contemplation of use here, it should not matter that the purchase was made from an independent middleman or that someone other than the defendant shipped the product into this State.

With the increasing specialization of commercial activity and the growing interdependence of business enterprises it is seldom that a manufacturer deals directly with consumers in other States. The fact that the benefit he derives from its laws is an indirect one, however, does not make it any the less essential to the conduct of his business; and it is not unreasonable, where a cause of action arises from alleged defects in his product, to say that the use of such products in the ordinary course of commerce is sufficient contact with this State to justify a requirement that he defend here.

As a general proposition, if a corporation elects to sell its products for ultimate use in another State, it is not unjust to hold it answerable there for any damage caused by defects in those products. Advanced means of distribution and other commercial activity have made possible these modern methods of doing business, and have largely effaced the economic significance of State lines. By the same token, today’s facilities for transportation and communication have removed much of the difficulty and inconvenience formerly encountered in defending lawsuits brought in other States.

* * *

The principles of due process relevant to the issue in this case support jurisdiction in the court where both parties can most conveniently settle their dispute. The facts show that the plaintiff, an Illinois resident, was injured in Illinois. The law of Illinois will govern the substantive questions, and witnesses on the issues of injury, damages and other elements relating to the occurrence are most likely to be found here. Under such circumstances the courts of the place of injury usually provide the most convenient forum for trial.

* * * In Travelers Health Association v.

Commonwealth of Virginia, 339 U.S. 643, 70 S.Ct. 927, 94 L.Ed. 1154 [(1950)], a Nebraska insurance corporation was held subject to the jurisdiction of a Virginia regulatory commission although it had no paid agents within the State and its only contact there was a mail-order business operated from its Omaha office. The court observed, by way of *dictum*, that “suits on alleged losses can be more conveniently tried in Virginia where witnesses would most likely live and where claims for losses would presumably be investigated. Such factors have been given great weight in applying the doctrine of *forum non conveniens*. * * * And prior decisions of this Court have referred to the unwisdom, unfairness and injustice of permitting policyholders to seek redress only in some distant state where the insurer is incorporated. The Due Process Clause does not forbid a state to protect its citizens from such injustice.” 339 U.S. at page 649, 70 S.Ct. at page 930, 94 L.Ed. at 1161–1162. * * *

* * * We conclude accordingly that defendant’s association with this State is sufficient to support the exercise of jurisdiction.

* * *

Reversed and remanded, with directions.

NOTES AND QUESTIONS

- 1.As *Gray* illustrates, the application of a long-arm statute often entails difficult questions of statutory construction. Are you persuaded by *Gray*’s interpretation of the Illinois long-arm statute? How could the statute have been drafted differently to remove any ambiguity about whether it covered the scenario in that case?
- 2.Is the *Gray* court’s due process analysis consistent with the U.S. Supreme Court’s case law? In what way did Titan establish minimum contacts with Illinois? Is its relationship with Illinois stronger or weaker than International Life’s relationship with California in *McGee*? Can it be argued that Titan “purposefully avail[ed] itself of the privilege of conducting activities within [Illinois], thus invoking the benefits and protections of its laws,” as the Court required in *Hanson v. Denckla*, p. 103, *supra*?

D. SPECIFIC JURISDICTION IN STATE COURT

In 1977, after a 20-year hiatus following its decisions in *McGee* and *Hanson*, the Supreme Court returned to questions of personal jurisdiction and in a single decade decided 11 major personal jurisdiction cases. In this period, the *Hanson* majority’s emphasis on acts “by which the defendant purposefully avails itself of the privilege of conducting activities in the forum State,” p. 105, *supra*, came to

dominate the Court’s analysis.

The critical question in each ensuing decision focuses on the nature of the acts that will be treated as manifesting defendant’s purposeful

availment of the forum state’s laws and benefits sufficient to support the constitutionality of the state’s exercise of specific jurisdiction. “Specific jurisdiction,” as discussed p. 100, Note 2, *supra*, is the term that describes the court’s power when the alleged claims arise out of or relate to defendant’s contacts with the forum. It is contrasted with “general jurisdiction,” which can subject a defendant to jurisdiction in all matters. As will be seen in Section E, *infra*, general jurisdiction requires more pervasive contacts with the forum than specific jurisdiction.

WORLD-WIDE VOLKSWAGEN CORP. v. WOODSON

Supreme Court of the United States, 1980.
[444 U.S. 286, 100 S.Ct. 559, 62 L.Ed.2d 490.](#)

Certiorari to the Supreme Court of Oklahoma.

JUSTICE WHITE delivered the opinion of the Court.

The issue before us is whether, consistently with the Due Process Clause of the Fourteenth Amendment, an Oklahoma court may exercise *in personam* jurisdiction over a nonresident automobile retailer and its wholesale distributor in a products liability action, when the defendants’ only connection with Oklahoma is the fact that an automobile sold in New York to New York residents became involved in an accident in Oklahoma.

I

Respondents Harry and Kay Robinson purchased a new Audi automobile from petitioner Seaway Volkswagen, Inc. (Seaway) in Massena, N.Y., in 1976. The following year the Robinson family, who resided in New York, left that State for a new home in Arizona. As they passed through the State of Oklahoma, another car struck their Audi in the rear, causing a fire which severely burned Kay Robinson and her two children.

The Robinsons subsequently brought a products liability action in the District Court for Creek County, Okla., claiming that their injuries resulted from defective design and placement of the Audi’s gas tank and fuel system. They joined as defendants the automobile’s manufacturer, Audi NSU Auto Union Aktiengesellschaft (Audi); its importer, Volkswagen of America, Inc. (Volkswagen); its regional distributor, petitioner World-Wide Volkswagen Corporation (World-Wide); and its retail dealer, petitioner Seaway. Seaway and World-Wide entered special appearances, claiming that Oklahoma’s exercise of jurisdiction over them would offend the limitations on the State’s jurisdiction imposed by the Due Process Clause of the Fourteenth Amendment.

The facts presented to the District Court showed that World-Wide is incorporated and has its business office in New York. It distributes vehicles, parts, and accessories, under contract with Volkswagen, to retail dealers in New York, New Jersey, and Connecticut. Seaway, one of these

retail dealers, is incorporated and has its place of business in New York. Insofar as the record reveals, Seaway and World-Wide are fully independent corporations whose relations with each other and with Volkswagen and Audi are contractual only. Respondents adduced no evidence that either World-Wide or Seaway does any business in Oklahoma, ships or sells any products to or in that State, has an agent to receive process there, or purchases advertisements in any media calculated to reach Oklahoma. In fact, * * * there was no showing that any automobile sold by World-Wide or Seaway has ever entered Oklahoma with the single exception of the vehicle involved in the present case.

Despite the apparent paucity of contacts between petitioners and Oklahoma, the District Court rejected their constitutional claim and reaffirmed that ruling in denying petitioners’ motion for reconsideration. Petitioners then sought a writ of prohibition in the Supreme Court of Oklahoma to restrain the District Judge, respondent Charles S. Woodson, from exercising *in personam* jurisdiction over them. They renewed their contention that, because they had no “minimal contacts” * * * with the State of Oklahoma, the actions of the District Judge were in violation of their rights under the Due Process Clause.

The Supreme Court of Oklahoma denied the writ, * * * holding that personal jurisdiction over petitioners was authorized by Oklahoma’s “long-arm” statute, Okla.Stat., Tit. 12, § 1701.03(a)(4) (1971).⁷ Although the court noted that the proper approach was to test jurisdiction against both statutory and constitutional standards, its analysis did not distinguish these questions, probably because § 1701.03(a)(4) has been interpreted as conferring jurisdiction to the limits permitted by the United States Constitution. The court’s rationale was contained in the following paragraph * * *:

“In the case before us, the product being sold and distributed by the petitioners is by its very design and purpose so mobile that petitioners can foresee its possible use in Oklahoma. This is especially true of the distributor, who has the exclusive right to distribute such automobile in New York, New Jersey and Connecticut. The evidence presented below demonstrated that goods

sold and distributed by the petitioners were used in the State of Oklahoma, and under the facts we believe it reasonable to infer, given the retail value of the automobile, that the petitioners derive substantial income from automobiles which

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from time to time are used in the State of Oklahoma. This being the case, we hold that under the facts presented, the trial court was justified in concluding that the petitioners derive substantial revenue from goods used or consumed in this State.”

We granted certiorari * * * to consider an important constitutional question with respect to state-court jurisdiction and to resolve a conflict between the Supreme Court of Oklahoma and the highest courts of at least four other States. We reverse.

II

* * *

As has long been settled, and as we reaffirm today, a state court may exercise personal jurisdiction over a nonresident defendant only so long as there exist “minimum contacts” between the defendant and the forum State. *International Shoe Co. v. Washington* * * * [p. 95, supra]. The concept of minimum contacts, in turn, can be seen to perform two related, but distinguishable, functions. It protects the defendant against the burdens of litigating in a distant or inconvenient forum. And it acts to ensure that the States, through their courts, do not reach out beyond the limits imposed on them by their status as coequal sovereigns in a federal system.

The protection against inconvenient litigation is typically described in terms of “reasonableness” or “fairness.” We have said that the defendant’s contacts with the forum State must be such that maintenance of the suit “does not offend ‘traditional notions of fair play and substantial justice.’ ” * * * The relationship between the defendant and the forum must be such that it is “reasonable * * * to require the corporation to defend the particular suit which is brought there.” * * * Implicit in this emphasis on reasonableness is the understanding that the burden on the defendant, while always a primary concern, will in an appropriate case be considered in light of other relevant factors, including the forum State’s interest in adjudicating the dispute * * *; the plaintiff’s interest in obtaining convenient and effective relief, * * * at least when that interest is not adequately protected by the plaintiff’s power to choose the forum * * *; the interstate judicial system’s interest in obtaining the most efficient resolution of controversies; and the shared interest of the several States in furthering fundamental substantive social policies * * *.

The limits imposed on state jurisdiction by the Due Process Clause, in its role as a guarantor against inconvenient litigation, have been substantially relaxed over the years. As we noted in *McGee* * * * [p. 102, supra] this trend is largely attributable to a fundamental transformation in the American economy:

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“Today many commercial transactions touch two or more States and may involve parties separated by the full continent. With this increasing nationalization of commerce has come a great increase in the amount of business conducted by mail across state lines. At the same time modern transportation and communication have made it much less burdensome for a party sued to defend himself in a State where he engages in economic activity.”

The historical developments noted in *McGee*, of course, have only accelerated in the generation since that case was decided.

Nevertheless, we have never accepted the proposition that state lines are irrelevant for jurisdictional purposes, nor could we, and remain faithful to the principles of interstate federalism embodied in the Constitution. * * * [T]he Framers * * * intended that the States retain many essential attributes of sovereignty, including, in particular, the sovereign power to try causes in their courts. The sovereignty of each State, in turn, implied a limitation on the sovereignty of all of its sister States—a limitation express or implicit in both the original scheme of the Constitution and the Fourteenth Amendment.

Hence, even while abandoning the shibboleth that “[t]he authority of every tribunal is necessarily restricted by the territorial limits of the State in which it is established,” *Pennoyer v. Neff*, * * * we emphasized that the reasonableness of asserting jurisdiction over the defendant must be assessed “in the context of our federal system of government,” *International Shoe* * * * and stressed that the Due Process Clause ensures not only fairness, but also the “orderly administration of the laws,” * * *.

Thus, the Due Process Clause “does not contemplate that a state may make binding a judgment *in personam* against an individual or corporate defendant with which the state has no contacts, ties, or relations.” *International Shoe* * * *. Even if the defendant would suffer minimal or no inconvenience from being forced to litigate before the tribunals of another State; even if the forum State has a strong interest in applying its law to the controversy; even if the forum State is the most convenient location for litigation, the Due Process Clause, acting as an instrument of interstate federalism, may sometimes act to divest the State of its power to render a valid judgment. *Hanson* * * * [p. 103, supra].

III

Applying these principles to the case at hand, we find in the record before us a total absence of those affiliating circumstances that are a necessary predicate to any exercise of state-court jurisdiction. Petitioners carry on no activity whatsoever in Oklahoma. They close no sales and perform no services there. They avail themselves of none of the privileges and benefits of Oklahoma law. They solicit no business there either through salespersons or through advertising reasonably calculated to

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reach the State. Nor does the record show that they regularly sell cars at wholesale or retail to Oklahoma customers or residents or that they indirectly, through others, serve or seek to serve the Oklahoma market. In short, respondents seek to base jurisdiction on one, isolated occurrence and whatever inferences can be drawn therefrom: the fortuitous circumstance that a single Audi automobile, sold in New York to New York residents, happened to suffer an accident while passing through Oklahoma.

It is argued, however, that because an automobile is mobile by its very design and purpose it was “foreseeable” that the Robinsons’ Audi would cause injury in Oklahoma. Yet “foreseeability” alone has never been a sufficient benchmark for personal jurisdiction under the Due Process Clause. In *Hanson v. Denckla* * * * it was no doubt foreseeable that the settlor of a Delaware trust would subsequently move to Florida and seek to exercise a power of appointment there; yet we held that Florida courts could not constitutionally exercise jurisdiction over a Delaware trustee that had no other contacts with the forum State. * * *

If foreseeability were the criterion, a local California tire retailer could be forced to defend in Pennsylvania when a blowout occurs there, * * * a Wisconsin seller of a defective automobile jack could be haled before a distant court for damage caused in New Jersey, * * * or a Florida soft-drink concessionaire could be summoned to Alaska to account for injuries happening there * * *. Every seller of chattels would in effect appoint the chattel his agent for service of process. His amenability to suit would travel with the chattel. * * *

This is not to say, of course, that foreseeability is wholly irrelevant. But the foreseeability that is critical to due process analysis is not the mere likelihood that a product will find its way into the forum State. Rather, it is that the defendant’s conduct and connection with the forum State are such that he should reasonably anticipate being haled into court there. * * * The Due Process Clause, by ensuring the “orderly administration of the laws,” * * * gives a degree of predictability to the legal system that allows potential defendants to structure their primary conduct with some minimum assurance as to where that conduct will and will not render them liable to suit.

When a corporation “purposefully avails itself of the privilege of conducting activities within the forum State,” * * * it has clear notice that it is subject to suit there, and can act to alleviate the risk of burdensome litigation by procuring insurance, passing the expected costs on to customers, or, if the risks are too great, severing its connection with the State. Hence if the sale of a product of a manufacturer or distributor such as Audi or Volkswagen is not simply an isolated occurrence, but arises from the efforts of the manufacturer or distributor to serve, directly or indirectly, the market for its product in other States, it is not unreasonable to subject

it to suit in one of those States if its allegedly defective merchandise has there been the source of injury to its owner or to others. The forum State does not exceed its powers under the Due Process Clause if it asserts personal jurisdiction over a corporation that delivers its products into the stream of commerce with the expectation that they will be purchased by consumers in the forum State. Cf. *Gray v. American Radiator* * * * [p. 107, supra].

But there is no such or similar basis for Oklahoma jurisdiction over World-Wide or Seaway in this case. Seaway’s sales are made in Massena, N.Y. World-Wide’s market, although substantially larger, is limited to dealers in New York, New Jersey, and Connecticut. There is no evidence of record that any automobiles distributed by World-Wide are sold to retail customers outside this tristate area. It is foreseeable that the purchasers of automobiles sold by World-Wide and Seaway may take them to Oklahoma. But the mere “unilateral activity of those who claim some relationship with a nonresident defendant cannot satisfy the requirement of contact with the forum State.” *Hanson* * * *.

In a variant on the previous argument, it is contended that jurisdiction can be supported by the fact that petitioners earn substantial revenue from goods used in Oklahoma. * * * While this inference seems less than compelling on the facts of the instant case, we need not question the court’s factual findings in order to reject its reasoning.

This argument seems to make the point that the purchase of automobiles in New York, from which the petitioners earn substantial revenue, would not occur *but for* the fact that the automobiles are capable of use in distant States like Oklahoma. Respondents observe that the very purpose of an automobile is to travel, and that travel of automobiles sold by petitioners is facilitated by an extensive chain of Volkswagen service centers throughout the country, including some in Oklahoma. However, financial benefits accruing to the defendant from a collateral relation to the forum State will not support jurisdiction if they do not stem from a constitutionally cognizable contact with that State. * * * In our view, whatever marginal revenues petitioners may receive by virtue of the fact that their products are capable of use in Oklahoma is far too attenuated a contact to justify that State’s exercise of *in personam* jurisdiction over them.

Because we find that petitioners have no “contacts, ties, or relations” with the State of Oklahoma, *International Shoe* * * *, the judgment of the Supreme Court of Oklahoma is

Reversed.

[The dissenting opinions of JUSTICE MARSHALL and JUSTICE BLACKMUN are omitted.]

JUSTICE BRENNAN, dissenting.

The Court’s opinions focus tightly on the existence of contacts between the forum and the defendant. In so doing, they accord too little weight to the strength of the forum State’s interest in the case and fail to explore whether there would be any actual inconvenience to the defendant. The essential inquiry in locating the constitutional limits on state-court jurisdiction over absent defendants is whether the particular exercise of jurisdiction offends “ ‘traditional notions of fair play and substantial justice.’ ” * * * The clear focus in *International Shoe* was on fairness and reasonableness. * * * The Court specifically declined to establish a mechanical test based on the quantum of contacts between a State and the defendant * * *. The existence of contacts, so long as there were some, was merely one way of giving content to the determination of fairness and reasonableness.

Surely *International Shoe* contemplated that the significance of the contacts necessary to support jurisdiction would diminish if some other consideration helped establish that jurisdiction would be fair and reasonable. The interests of the State and other parties in proceeding with the case in a particular forum are such considerations. *McGee* * * * for instance, accorded great importance to a State’s “manifest interest in providing effective means of redress” for its citizens. * * *

Another consideration is the actual burden a defendant must bear in defending the suit in the forum. * * * Because lesser burdens reduce the unfairness to the defendant, jurisdiction may be justified despite less significant contacts. The burden, of course, must be of constitutional dimension. Due process limits on jurisdiction do not protect a defendant from all inconvenience of travel * * *. Instead, the constitutionally significant “burden” to be analyzed relates to the mobility of the defendant’s defense. For instance, if having to travel to a foreign forum would hamper the defense because witnesses or evidence or the defendant himself were immobile, or if there were a disproportionately large number of witnesses or amount of evidence that would have to be transported at the defendant’s expense, or if being away from home for the duration of the trial would work some special hardship on the defendant, then the Constitution would require special consideration for the defendant’s interests.

That considerations other than contacts between the forum and the defendant are relevant necessarily means that the Constitution does not require that trial be held in the State which has the “best contacts” with the defendant. * * * The defendant has no constitutional entitlement to the

best forum or, for that matter, to any particular forum. Under even the most restrictive view of *International Shoe*, several States could have jurisdiction over a particular cause of action. We need only determine whether the forum States in these cases satisfy the constitutional minimum.

II

* * * I would find that the forum State has an interest in permitting the litigation to go forward, the litigation is connected to the forum, the defendant is linked to the forum, and the burden of defending is not unreasonable. Accordingly, I would hold that it is neither unfair nor unreasonable to require these defendants to defend in the forum State.

* * *

* * * [T]he interest of the forum State and its connection to the litigation is strong. The automobile accident underlying the litigation occurred in Oklahoma. The plaintiffs were hospitalized in Oklahoma when they brought suit. Essential witnesses and evidence were in Oklahoma. * * * The State has a legitimate interest in enforcing its laws designed to keep its highway system safe, and the trial can proceed at least as efficiently in Oklahoma as anywhere else.

The petitioners are not unconnected with the forum. Although both sell automobiles within limited sales territories, each sold the automobile which in fact was driven to Oklahoma where it was involved in an accident. It may be true, as the Court suggests, that each sincerely intended to limit its commercial impact to the limited territory, and that each intended to accept the benefits and protection of the laws only of those States within the territory. But obviously these were unrealistic hopes that cannot be treated as an automatic constitutional shield.

An automobile simply is not a stationary item or one designed to be used in one place. An automobile is *intended* to be moved around. Someone in the business of selling large numbers of automobiles can hardly plead ignorance of their mobility or pretend that the automobiles stay put after they are sold. It is not merely that a dealer in automobiles foresees that they will move. * * * The dealer actually intends that the purchasers will use the automobiles to travel to distant States where the dealer does not directly “do business.” The sale of an automobile does *purposefully* inject the vehicle into the stream of interstate commerce so that it can travel to distant States. * * *

The Court accepts that a State may exercise jurisdiction over a distributor which “serves” that State “indirectly” by “deliver[ing] its products into the stream of commerce with the expectation that they will be purchased by consumers in the forum State.” * * * It is difficult to see why the Constitution should distinguish between a case involving goods

which reach a distant State through a chain of distribution and a case involving goods which reach the same State because a consumer, using them as the dealer knew the customer would, took them there. In each case the seller purposefully injects the goods into the stream of commerce and those goods predictably are used in the forum State.

* * *

III

It may be that affirmance of the judgments in these cases would approach the outer limits of *International Shoe*’s jurisdictional principle. But that principle, with its almost exclusive focus on the rights of defendants, may be outdated. * * *

International Shoe inherited its defendant focus from *Pennoyer v. Neff* * * * and represented the last major step this Court has taken in the long process of liberalizing the doctrine of personal jurisdiction. Though its flexible approach represented a major advance, the structure of our society has changed in many significant ways since *International Shoe* was decided in 1945. * * * As the Court acknowledges, * * * both the nationalization of commerce and the ease of transportation and communication have accelerated in the generation since 1957 [when the Court decided *McGee*]. The model of society on which the *International Shoe* Court based its opinion is no longer accurate. Business people, no matter how local their businesses, cannot assume that goods remain in the business’ locality. Customers and goods can be anywhere else in the country usually in a matter of hours and always in a matter of a very few days.

In answering the question whether or not it is fair and reasonable to allow a particular forum to hold a trial binding on a particular defendant, the interests of the forum State and other parties loom large in today’s world and surely are entitled to as much weight as are the interests of the defendant. The “orderly administration of the laws” provides a firm basis for according some protection to the interests of plaintiffs and States as well as of defendants. Certainly, I cannot see how a defendant’s right to due process is violated if the defendant suffers no inconvenience. * * *

The conclusion I draw is that constitutional concepts of fairness no longer require the extreme concern for defendants that was once necessary. Rather, * * * minimum contacts must exist “among the *parties*, the contested transaction, and the forum State.”¹⁵ The contacts between any two of these should not be determinative. * * *

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In effect the Court is allowing defendants to assert the sovereign rights of their home States. The expressed fear is that otherwise all limits on personal jurisdiction would disappear. But the argument’s premise is wrong. I would not abolish limits on jurisdiction or strip state boundaries of all significance * * *; I would still require the plaintiff to demonstrate sufficient contacts among the parties, the forum, and the litigation to make the forum a reasonable State in which to hold the trial.

I would also, however, strip the defendant of an unjustified veto power over certain very appropriate fora—a power the defendant justifiably enjoyed long ago when communication and travel over long distances were slow and unpredictable and when notions of state sovereignty were impractical and exaggerated. * * *

NOTES AND QUESTIONS

- 1.At the time the suit was filed, Kay Robinson and her two children, Sam and Eva, were hospitalized with severe burns:
Since Kay Robinson had been trapped in the burning car the longest, her burns were the most horrible of all. She had burns on forty-eight percent of her body—thirty-five percent of which were third degree. Kay was in the intensive care unit for seventy-seven days and was hospitalized in Tulsa for another several months. She underwent thirty-four operations, all but two of which were under general anesthetic, for skin grafts and other reconstructive surgery. Most of her fingers were amputated, and she had severe scarring over the entire part of her body. Eva and Kay also suffered severe psychological trauma both from the ordeal and from their permanent disfigurement.
- Adams, *World-Wide Volkswagen v. Woodson—The Rest of the Story*, 72 Neb.L.Rev. 1122, 1126 (1993). The author continues: “Unfortunately for the Robinsons, [the driver], the person most responsible for their injuries, had no insurance and was judgment proof. Since they could not recover from [him], the Robinsons were forced to bring a difficult products liability suit that continued for fifteen years.” Id. at 1156.
- 2.In the course of its *World-Wide Volkswagen* opinion, the Court invoked notions of sovereignty and of convenience. Is there a tension between these two concepts? Is the Court promulgating a two-part test with a “sovereignty branch” and a “convenience branch”? Is this a new test or a refinement of the “minimum contacts” test announced in *International Shoe*?
- 3.How might the Court have decided *World-Wide Volkswagen* if the Robinsons had been Oklahoma residents and purchased the ill-fated car while in New York on vacation? Would the Court have given more weight to plaintiffs’ foreseeability argument? What if the driver of the other car had sued World-Wide and Seaway for injuries resulting from the exploding gas tank?

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- What if that driver had never driven or even been outside the state of Oklahoma?
- 4.Review the text of Oklahoma’s long-arm statute, p. 115, n.7, supra. As a matter of statutory interpretation (as distinct from the constitutional issues addressed by the U.S. Supreme Court), does the text of that statute permit jurisdiction over World-Wide and Seaway? Would it permit jurisdiction over Audi and Volkswagen? What other information would be needed to analyze these questions?

The constraints on personal jurisdiction in state court can also be relevant when an action is brought in federal court. See p. 231, infra. In many federal cases the federal court’s jurisdictional reach is limited to that of the state in which it sits. See Federal Rule 4(k)(1)(A). In *KEETON v. HUSTLER MAGAZINE, INC.*, 465 U.S. 770, 104 S.Ct. 1473, 79 L.Ed.2d 790 (1984), Keeton, a resident of New

York, brought a libel suit in New Hampshire federal court against *Hustler Magazine*, an Ohio corporation. Keeton chose to sue in New Hampshire because it was the only state where the statute of limitations did not time-bar the action. Defendant’s contacts with New Hampshire consisted “of the sale of some 10 to 15,000 copies of *Hustler* magazine in that state each month.” *Id.* at 772, 104 S.Ct. at 1477, 79 L.Ed.2d at 796. Keeton herself had only one connection to New Hampshire: A magazine that she helped to produce was circulated there.

The district court dismissed Keeton’s suit for lack of jurisdiction, and the First Circuit affirmed, holding that Keeton’s lack of contacts with New Hampshire rendered the state’s interest in redressing the libel, in a suit seeking nationwide damages, too attenuated to support jurisdiction. The Supreme Court unanimously reversed, saying:

[R]egular monthly sales of thousands of magazines cannot by any stretch of the imagination be characterized as random, isolated, or fortuitous. It is, therefore, unquestionable that New Hampshire jurisdiction over a complaint based on those contacts would ordinarily satisfy the requirement of the Due Process Clause that a State’s assertion of personal jurisdiction over a nonresident defendant be predicated on “minimum contacts” between the defendant and the State. * * * And, as the Court of Appeals acknowledged, New Hampshire has adopted a “long-arm” statute authorizing service of process on nonresident corporations whenever permitted by the Due Process Clause. * * * Thus, all the requisites for personal jurisdiction over *Hustler Magazine, Inc.*, in New Hampshire are present.

Id. at 774–75, 104 S.Ct. at 1478, 79 L.Ed.2d at 797–98. The Court also found that “it is ‘fair’ to compel [defendant] to defend a multistate lawsuit in New Hampshire seeking nationwide damages * * * even though only a

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small portion of those copies were distributed in New Hampshire.” *Id.* at 775, 104 S.Ct. at 1478–79, 79 L.Ed.2d at 798. It explained:

[I]t is beyond dispute that New Hampshire has a significant interest in redressing injuries that actually occur within the State. * * * This interest extends to libel actions brought by nonresidents. False statements of fact harm both the subject of the falsehood and the readers of the statement. New Hampshire may rightly employ its libel laws to discourage the deception of its citizens. * * * New Hampshire also has a substantial interest in cooperating with other States * * * to provide a forum for efficiently litigating all issues and damage claims arising out of a libel in a unitary proceeding. This rule reduces the potential serious drain of libel cases on judicial resources. It also serves to protect defendants from harassment resulting from multiple suits.

Id. at 776–77, 104 S.Ct. at 1479–80, 79 L.Ed.2d at 798–99.

Although the Court upheld jurisdiction in New Hampshire even though plaintiff was a nonresident, the Court recognized that a plaintiff’s residence in the forum state could further strengthen the case for jurisdiction. In particular, a plaintiff’s residence in the forum, “because of the defendant’s relationship with the plaintiff, [may] enhance the defendant’s contacts with the forum.” *Id.* at 780, 104 S.Ct. at 1481, 79 L.Ed.2d at 801. The Court made clear, however, that “plaintiff’s residence in the forum State is not a separate requirement, and lack of residence will not defeat jurisdiction established on the basis of defendant’s contacts.” *Id.*

What of the argument that it was unfair to allow suit to be brought in the only state where it was not time-barred? The Court did not treat that factor as relevant to the jurisdictional inquiry:

* * * [A]ny potential unfairness in applying New Hampshire’s statute of limitations to all aspects of this nationwide suit has nothing to do with the jurisdiction of the Court to adjudicate the claims. “The issue is personal jurisdiction, not choice of law.” *Hanson v. Denckla* * * *. The question of the applicability of New Hampshire’s statute of limitations to claims for out of state damages presents itself in the course of litigation only after jurisdiction over respondent is established, and we do not think that such choice of law concerns should complicate or distort the jurisdictional inquiry.

Id. at 778, 104 S.Ct. at 1480, 79 L.Ed.2d at 800.

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NOTES AND QUESTIONS

1.Before 1984, some cases had suggested that the First Amendment imposed a significant limitation upon the exercise of jurisdiction over defendants whose rights of expression might thereby be compromised. See, e.g., *New York Times Co. v. Connor*, 365 F.2d 567 (5th Cir. 1966). However, the Supreme Court rejected this argument in *CALDER v. JONES*

, 465 U.S. 783, 104 S.Ct. 1482, 79 L.Ed.2d 804 (1984). Jones, a professional entertainer who lived and worked in California, brought suit in California state court, claiming that she had been libeled by an article published in the *National Enquirer*, a national magazine having its largest circulation in California. Defendants were the writer and editor of the article, both residents of Florida, as well as the magazine. The writer and the editor moved to quash service of process for lack of personal jurisdiction, and the California state court granted the motion on the ground that First Amendment concerns weighed against an assertion of jurisdiction otherwise proper under the Due Process Clause.

Ultimately, the Supreme Court disagreed, saying: “We also reject the suggestion that First Amendment concerns enter into the jurisdictional analysis. The infusion of such concerns would needlessly complicate an already imprecise inquiry.” See also *Keeton* (“[W]e reject categorically the suggestion that invisible radiations from the First Amendment may defeat jurisdiction otherwise proper under the Due Process Clause,” 465 U.S. at 781

n.12, 104 S.Ct. at 1481 n.12, 79 L.Ed.2d at 801 n.12).

Applying the minimum contacts test to the writer and editor in *Calder*, the Court found that jurisdiction was proper in California given that they were “primary participants in an alleged wrongdoing intentionally directed at a California resident.” 465 U.S. at 790, 104 S.Ct. at 1487, 79 L.Ed.2d at 813.

The allegedly libelous story concerned the California activities of a California resident. It impugned the professionalism of an entertainer whose television career was centered in California. The article was drawn from California sources, and the brunt of the harm, in terms both of respondent’s emotional distress and the injury to her professional reputation, was suffered in California. In sum, California, is the focal point both of the story and of the harm suffered. Jurisdiction over petitioners is therefore proper in California based on the “effects” of their Florida conduct in California.

Id. at 788–89, 104 S.Ct. at 1486–87, 79 L.Ed.2d at 812.

2. *KULKO v. SUPERIOR COURT*, 436 U.S. 84, 98 S.Ct. 1690, 56 L.Ed.2d 132 (1978), was a suit for modification of a child support agreement. The mother lived in California and her ex-husband lived in New York. Initially, the couple’s two children lived with the father in New York; later, the father permitted the daughter to live with the mother in California and purchased her a plane ticket to travel to that state. Soon afterwards, the son, without asking his father, joined his mother and sister in California using a ticket that his mother mailed to him. The California Supreme Court based jurisdiction on

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the ground that by consenting to his children’s living in California, the father caused an effect in the state.

The Supreme Court reversed, six-to-three. The Court found that reliance on an effects test in the domestic context was “misplaced,” emphasizing that use of the effects test should be limited to disputes involving commercial activity or to wrongful activity done outside the state but generating in-state negative effects: “To make jurisdiction in a case such as this turn on whether appellant bought his daughter her ticket or instead unsuccessfully sought to prevent her departure would impose an unreasonable burden on family relations, and one wholly unjustified by the ‘quality and nature’ of appellant’s activities in or relating to the State of California.” Id. at 98, 98 S.Ct. at 1700, 56 L.Ed.2d at 145.

BURGER KING CORP. v. RUDZEWICZ
Supreme Court of the United States, 1985.
[471 U.S. 462, 105 S.Ct. 2174, 85 L.Ed.2d 528.](#)

Appeal from the United States Court of Appeals for the Eleventh Circuit.

JUSTICE BRENNAN delivered the opinion of the Court.

[Burger King is a Florida corporation with principal offices in Miami. Franchisees are licensed to use its trademarks and service marks in leased standardized restaurant facilities for a period of 20 years. The governing contracts provide that the franchise relationship is established in Miami and governed by Florida law, and call for payment of all required monthly fees and forwarding of all relevant notices to the Miami headquarters. The Miami headquarters sets policy and works directly with the franchisees in attempting to resolve major problems. Day to day monitoring of franchisees, however, is conducted through district offices that in turn report to the Miami headquarters. John Rudzewicz is a Michigan resident who, along with another Michigan resident (Brian MacShara), entered into a 20-year franchise contract with Burger King to operate a restaurant in Michigan. Subsequently, when the restaurant’s patronage declined, the franchisees fell behind in their monthly payments. Burger King then brought a diversity action in federal district court in Florida, alleging that the franchisees had breached their franchise obligations and requesting damages and injunctive relief. The franchisees claimed that, because they were Michigan residents and because Burger King’s claim did not “arise” within Florida, the federal court lacked personal jurisdiction over them. But the court held that the franchisees were subject to personal jurisdiction pursuant to Florida’s long-arm statute, which extends jurisdiction to any person, whether or not a citizen or resident of the State, who breaches a contract in the State by failing to perform acts that the contract requires to be performed there. Thereafter, the court entered judgment against the franchisees on the merits. The court of appeals reversed, holding that

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“[j]urisdiction under these circumstances would offend the fundamental fairness which is the touchstone of due process.” The Supreme Court reversed and remanded.]

* * *

* * * [W]here the defendant “deliberately” has engaged in significant activities within a State, [*Keeton*, p. 124, *supra*], * * * or has created “continuing obligations” between himself and residents of the forum, * * * he manifestly has availed himself of the privilege of conducting business there, and because his activities are shielded by “the benefits and protections” of the forum’s laws it is presumptively not unreasonable to require him to submit to the burdens of litigation in that forum as well. * * *

Once it has been decided that a defendant purposefully established minimum contacts within the forum State, these contacts may be considered in light of other factors to determine whether the assertion of personal jurisdiction would comport with “fair play and substantial justice.” * * * [*International Shoe*, p. 95, *supra*]. Thus courts in “appropriate case[s]” may evaluate “the burden on the defendant,” “the forum State’s interest in adjudicating the dispute,” “the plaintiff’s interest in obtaining convenient and effective relief,”

“the interstate judicial system’s interest in obtaining the most efficient resolution of controversies,” and the “shared interest of the several States in furthering fundamental substantive social policies.” * * * [*World-Wide Volkswagen*, p. 114, *supra*]. These considerations sometimes serve to establish the reasonableness of jurisdiction upon a lesser showing of minimum contacts than would otherwise be required. * * * On the other hand, where a defendant who purposefully has directed his activities at forum residents seeks to defeat jurisdiction, he must present a compelling case that the presence of some other considerations would render jurisdiction unreasonable. Most such considerations usually may be accommodated through means short of finding jurisdiction unconstitutional. For example, the potential clash of the forum’s law with the “fundamental substantive social policies” of another State may be accommodated through application of the forum’s choice of law rules. Similarly, a defendant claiming substantial inconvenience may seek a change of venue. Nevertheless, minimum requirements inherent in the concept of “fair play and substantial justice” may defeat the reasonableness of jurisdiction even if the defendant has purposefully engaged in forum activities. * * * As we previously have noted, jurisdictional rules may not be employed in such a way as to make litigation “so gravely difficult and inconvenient” that a party unfairly is at a “severe disadvantage” in comparison to his opponent. * * * [*McGee*, p. 102, *supra*].

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Applying these principles to the case at hand, we believe there is substantial record evidence supporting the District Court’s conclusion that the assertion of personal jurisdiction over Rudzewicz in Florida for the alleged breach of his franchise agreement did not offend due process. At the outset, we note a continued division among lower courts respecting whether and to what extent a contract can constitute a “contact” for purposes of due process analysis. If the question is whether an individual’s contract with an out of state party alone can automatically establish sufficient minimum contacts in the other party’s home forum, we believe the answer clearly is that it cannot. * * * [W]e have emphasized the need for a “highly realistic” approach that recognizes that a “contract” is “ordinarily but an intermediate step serving to tie up prior business negotiations with future consequences which themselves are the real object of the business transaction.” * * * It is these factors—prior negotiations and contemplated future consequences, along with the terms of the contract and the parties’ actual course of dealing—that must be evaluated in determining whether the defendant purposefully established minimum contacts within the forum.

In this case, no physical ties to Florida can be attributed to Rudzewicz other than MacShara’s brief training course in Miami. Rudzewicz did not maintain offices in Florida and, for all that appears from the record, has never even visited there. Yet this franchise dispute grew directly out of “a contract which had a *substantial* connection with that State.” *McGee* * * * (emphasis added).^b Eschewing the option of operating an independent local enterprise, Rudzewicz deliberately “reach[ed] out beyond” Michigan and negotiated with a Florida corporation for the purchase of a long term franchise and the manifold benefits that would derive from affiliation with a nationwide organization. * * * Upon approval, he entered into a carefully structured 20-year relationship that envisioned continuing and wide reaching contacts with Burger King in Florida. In light of Rudzewicz’s voluntary acceptance of the long term and exacting regulation of his business from Burger King’s Miami headquarters, the “quality and nature” of his relationship to the company in Florida can in no sense be viewed as “random,” “fortuitous,” or “attenuated.” * * * Rudzewicz’s refusal to make the contractually required payments in Miami, and his continued use of Burger King’s trademarks and confidential business information after his termination, caused foreseeable injuries to the corporation in Florida. For these reasons it was, at the very least, presumptively reasonable for Rudzewicz to be called to account there for such injuries.

* * * [S]ubstantial record evidence [exists] indicating that Rudzewicz most certainly knew that he was affiliating himself with an enterprise based primarily in Florida. The contract documents themselves emphasize that Burger King’s operations are conducted and supervised from the

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Miami headquarters, that all relevant notices and payments must be sent there, and that the agreements were made in and enforced from Miami. * * * Moreover, the parties’ actual course of dealing repeatedly confirmed that decisionmaking authority was vested in the Miami headquarters and that the district office served largely as an intermediate link between the headquarters and the franchisees. When problems arose over building design, site development fees, rent computation, and the defaulted payments, Rudzewicz and MacShara learned that the Michigan office was powerless to resolve their disputes and could only channel their communications to Miami. Throughout these disputes, the Miami headquarters and the Michigan franchisees carried on a continuous course of direct communications by mail and by telephone, and it was the Miami headquarters that made the key negotiating decisions out of which the instant litigation arose.

* * * [T]he Court of Appeals gave insufficient weight to provisions in the various franchise documents providing that all disputes would be governed by Florida law. The franchise agreement, for example, stated:

This Agreement shall become valid when executed and accepted by BKC at Miami, Florida, it shall be deemed made and entered into in the State of Florida and shall be governed and construed under and in accordance with the laws of the State of Florida. The choice of law designation does not require that all suits concerning this Agreement be filed in Florida.

* * * The Court of Appeals reasoned that choice of law provisions are irrelevant to the question of personal jurisdiction, relying on *Hanson v. Denckla* [p. 103, *supra*] for the proposition that “the center of gravity for choice of law purposes does not necessarily confer the sovereign prerogative to assert jurisdiction.” * * * This reasoning misperceives the import of the quoted proposition. * * * [C]hoice of

law analysis—which focuses on all elements of a transaction, and not simply on the defendant’s conduct—is distinct from minimum contacts jurisdictional analysis—which focuses at the threshold solely on the defendant’s purposeful connection to the forum. Nothing in our cases, however, suggests that a choice of law provision should be ignored in considering whether a defendant has “purposefully invoked the benefits and protections of a State’s laws” for jurisdictional purposes. Although such a provision standing alone would be insufficient to confer jurisdiction, we believe that, when combined with the 20-year interdependent relationship Rudzewicz established with Burger King’s Miami headquarters, it reinforced his deliberate affiliation with the forum State and the reasonable foreseeability of possible litigation there. * * * Rudzewicz “purposefully availed himself of the benefits and protections of Florida’s laws” by entering into contracts expressly providing that those laws would govern franchise disputes. * * *

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* * *

Nor has Rudzewicz pointed to other factors that can be said persuasively to outweigh the considerations discussed above and to establish the unconstitutionality of Florida’s assertion of jurisdiction. We cannot conclude that Florida had no “legitimate interest in holding [Rudzewicz] answerable on a claim related to” the contacts he had established in that State. * * * Moreover, although Rudzewicz has argued at some length that Michigan’s Franchise Investment Law * * * governs many aspects of this franchise relationship, he has not demonstrated how Michigan’s acknowledged interest might possibly render jurisdiction in Florida unconstitutional. Finally, the Court of Appeals’ assertion that the Florida litigation “severely impaired [Rudzewicz’s] ability to call Michigan witnesses who might be essential to his defense and counterclaim” * * * is wholly without support in the record. And even to the extent that it is inconvenient for a party who has minimum contacts with a forum to litigate there, such considerations most frequently can be accommodated through a change of venue. * * * Although the Court has suggested that inconvenience may at some point become so substantial as to achieve constitutional magnitude, *McGee* * * *, this is not such a case.

The Court of Appeals also concluded, however, that the parties’ dealings involved “a characteristic disparity of bargaining power” and “elements of surprise,” and that Rudzewicz “lacked fair notice” of the potential for litigation in Florida because the contractual provisions suggesting to the contrary were merely “boilerplate declarations in a lengthy printed contract.” * * * Rudzewicz presented many of these arguments to the District Court, contending that Burger King was guilty of misrepresentation, fraud, and duress; that it gave insufficient notice in its dealings with him; and that the contract was one of adhesion. * * * After a 3-day bench trial, the District Court found that Burger King had made no misrepresentations, that Rudzewicz and MacShara “were and are experienced and sophisticated businessmen,” and that “at no time” did they “ac[t] under economic duress or disadvantage imposed by” Burger King. * * * Federal Rule of Civil Procedure 52(a) requires that “[f]indings of fact shall not be set aside unless clearly erroneous,” and neither Rudzewicz nor the Court of Appeals have pointed to record evidence that would support a “definite and firm conviction” that the District Court’s findings are mistaken. * * *

* * *

Notwithstanding these considerations, the Court of Appeals apparently believed that it was necessary to reject jurisdiction in this case as a prophylactic measure, reasoning that an affirmance of the District Court’s judgment would result in the exercise of jurisdiction over “out of state consumers to collect payments due on modest personal purchases”

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and would “sow the seeds of default judgments against franchisees owing smaller debts.” * * * We share the Court of Appeals’ broader concerns and therefore reject any talismanic jurisdictional formulas; “the facts of each case must [always] be weighed” in determining whether personal jurisdiction would comport with “fair play and substantial justice.” * * * [*Kulko*, p. 126, *supra*]. We also have emphasized that jurisdiction may not be grounded on a contract whose terms have been obtained through “fraud, undue influence, or overweening bargaining power” and whose application would render litigation “so gravely difficult and inconvenient that [a party] will for all practical purposes be deprived of his day in court.” * * * [*The Bremen*, p. 198, *infra*]. Just as the Due Process Clause allows flexibility in ensuring that commercial actors are not effectively “judgment proof” for the consequences of obligations they voluntarily assume in other States, * * * [*McGee*, p. 102, *supra*], so too does it prevent rules that would unfairly enable them to obtain default judgments against unwitting customers. * * *

For the reasons set forth above, however, these dangers are not present in the instant case. Because Rudzewicz established a substantial and continuing relationship with Burger King’s Miami headquarters, received fair notice from the contract documents and the course of dealing that he might be subject to suit in Florida, and has failed to demonstrate how jurisdiction in that forum would otherwise be fundamentally unfair, we conclude that the District Court’s exercise of jurisdiction * * * did not offend due process. The judgment of the Court of Appeals is accordingly reversed, and the case is remanded for further proceedings consistent with this opinion.

JUSTICE POWELL took no part in the consideration or decision of this case.

JUSTICE STEVENS, with whom JUSTICE WHITE joins, dissenting.

In my opinion there is a significant element of unfairness in requiring a franchisee to defend a case of this kind in the forum chosen by the franchisor. It is undisputed that respondent maintained no place of business in Florida, that he had no employees in that State, and that he was not licensed to do business there. Respondent did not prepare his french fries, shakes, and hamburgers in Michigan, and then deliver them into the stream of commerce “with the expectation that they [would] be purchased by consumers in” Florida. * * * To the

contrary, respondent did business only in Michigan, his business, property, and payroll taxes were payable in that State, and he sold all of his products there.

Throughout the business relationship, respondent’s principal contacts with petitioner were with its Michigan office. Notwithstanding its disclaimer, * * * the Court seems ultimately to rely on nothing more than standard boilerplate language contained in various documents * * * to

establish that respondent “ ‘purposefully availed himself of the benefits and protections of Florida’s laws.’ ” * * * Such superficial analysis creates a potential for unfairness not only in negotiations between franchisors and their franchisees but, more significantly, in the resolution of the disputes that inevitably arise from time to time in such relationships.

Judge Vance’s opinion for the Court of Appeals for the Eleventh Circuit adequately explains why I would affirm the judgment of that court. I particularly find the following more persuasive than what this Court has written today:

Nothing in the course of negotiations gave Rudzewicz reason to anticipate a Burger King suit outside of Michigan. * * * There is no evidence that Rudzewicz ever negotiated with anyone in Miami or even sent mail there during negotiations. He maintained no staff in the state of Florida, and as far as the record reveals, he has never even visited the state.

The contracts contemplated the startup of a local Michigan restaurant whose profits would derive solely from food sales made to customers in Drayton Plains. The sale, which involved the use of an intangible trademark in Michigan and occupancy of a Burger King facility there, required no performance in the state of Florida. * * *

Given that the office in Rudzewicz’ home state conducted all of the negotiations and wholly supervised the contract, we believe that he had reason to assume that the state of the supervisory office would be the same state in which Burger King would file suit. Rudzewicz lacked fair notice that the distant corporate headquarters which insulated itself from direct dealings with him would later seek to assert jurisdiction over him in the courts of its own home state. * * *

Just as Rudzewicz lacked notice of the possibility of suit in Florida, he was financially unprepared to meet its added costs. * * * Neither the revenues of a local business nor the geographical range of its market prepares the average franchise owner for the cost of distant litigation. * * *

The particular distribution of bargaining power in the franchise relationship further impairs the franchisee’s financial preparedness. In a franchise contract, “the franchisor normally occupies [the] dominant role”. * * *

We discern a characteristic disparity of bargaining power in the facts of this case. There is no indication that Rudzewicz had any latitude to negotiate a reduced rent or franchise fee in exchange for the added risk of suit in Florida. * * * Burger King resisted

price concessions, only to sue Rudzewicz far from home. In doing so, it severely impaired his ability to call Michigan witnesses who might be essential to his defense and counterclaim.

In sum, we hold that the circumstances of the Drayton Plains franchise and the negotiations which led to it left Rudzewicz bereft of reasonable notice and financially unprepared for the prospect of franchise litigation in Florida. Jurisdiction under these circumstances would offend the fundamental fairness which is the touchstone of due process. * * *

Accordingly, I respectfully dissent.

NOTES AND QUESTIONS

1.What guidance does *Burger King* provide for assessing personal jurisdiction in breach-of-contract cases? The First Circuit has described *Burger King* as mandating a “contract-plus” analysis: “[A] court is to look at all of the communications and transactions between the parties, before, during and after the consummation of the contract, to determine the degree and type of contacts the defendant has with the forum, apart from the contract alone.” *Ganis Corp. of Cal. v. Jackson*, 822 F.2d 194, 197–98 (1st Cir. 1987). What purpose does the “plus” factor serve? Is it constitutionally compelled? Does it raise considerations that affect the reasonableness of jurisdiction, whether minimum contacts are present, or both? Does *Burger King* affect the result in *McGee*?

2.How important to the decision in *Burger King* was the fact that the franchise agreement included a choice-of-law term? Under this provision, the parties agreed to be bound by Florida law. Is that type of provision appropriately considered a “contact” with the chosen forum? Is it a “plus” factor? What if the forum has no interest in the contract other than the parties’ agreement to be bound by the law of that state? What if instead of a choice-of-law provision, the parties included a forum-selection clause agreeing to litigate all disputes in Florida? Would the court give more weight to a forum-selection clause? We consider this type of agreement later in this chapter, p. 197, *infra*.

ASAHI METAL INDUSTRY CO. v. SUPERIOR COURT

Supreme Court of the United States, 1987.
[480 U.S. 102, 107 S.Ct. 1026, 94 L.Ed.2d 92.](#)

Certiorari to the Supreme Court of California.

JUSTICE O’CONNOR announced the judgment of the Court and delivered the unanimous opinion of the Court with respect to Part I, the opinion of the Court with respect to Part II-B, in which THE CHIEF JUSTICE, JUSTICE BRENNAN, JUSTICE WHITE, JUSTICE MARSHALL, JUSTICE BLACKMUN, JUSTICE POWELL, and JUSTICE STEVENS join, and an opinion

with respect to Parts II-A and III, in which THE CHIEF JUSTICE, JUSTICE POWELL, and JUSTICE SCALIA join.

This case presents the question whether the mere awareness on the part of a foreign defendant that the component it manufactured, sold, and delivered outside the United States would reach the forum state in the stream of commerce constitutes “minimum contacts” between the defendant and the forum state such that the exercise of jurisdiction “does not offend ‘traditional notions of fair play and substantial justice.’ ” * * *

I

On September 23, 1978, on Interstate Highway 80 in Solano County, California, Gary Zurcher lost control of his Honda motorcycle and collided with a tractor. Zurcher was severely injured, and his passenger and wife, Ruth Ann Moreno, was killed. In September 1979, Zurcher filed a product liability action in the Superior Court of the State of California in and for the County of Solano. Zurcher alleged that the 1978 accident was caused by a sudden loss of air and an explosion in the rear tire of the motorcycle, and alleged that the motorcycle tire, tube, and sealant were defective. Zurcher’s complaint named, *inter alia*, Cheng Shin Rubber Industrial Co., Ltd. (Cheng Shin), the Taiwanese manufacturer of the tube. Cheng Shin in turn filed a cross-complaint seeking indemnification from its codefendants and from petitioner, Asahi Metal Industry Co., Ltd. (Asahi), the manufacturer of the tube’s valve assembly. Zurcher’s claims against Cheng Shin and the other defendants were eventually settled and dismissed, leaving only Cheng Shin’s indemnity action against Asahi.

California’s long-arm statute authorizes the exercise of jurisdiction “on any basis not inconsistent with the Constitution of this state or of the United States.” * * * Asahi moved to quash Cheng Shin’s service of summons arguing the State could not exert jurisdiction over it consistent with the Due Process Clause of the Fourteenth Amendment.

In relation to the motion, the following information was submitted by Asahi and Cheng Shin. Asahi is a Japanese corporation. It manufactures tire valve assemblies in Japan and sells the assemblies to Cheng Shin, and to several other tire manufacturers, for use as components in finished tire tubes. Asahi’s sales to Cheng Shin took place in Taiwan. The shipments from Asahi to Cheng Shin were sent from Japan to Taiwan. Cheng Shin bought and incorporated into its tire tubes 150,000 Asahi valve assemblies in 1978; 500,000 in 1979; 500,000 in 1980; 100,000 in 1981; and 100,000 in 1982. Sales to Cheng Shin accounted for 1.24 percent of Asahi’s income in 1981 and 0.44 percent in 1982. Cheng Shin alleged that approximately 20 percent of its sales in the United States are in California. Cheng Shin purchases valve assemblies from other suppliers as well, and sells finished tubes throughout the world.

In 1983 an attorney for Cheng Shin conducted an informal examination of the valve stems of the tire tubes sold in one cyclery in Solano County. The attorney declared that of the approximately 115 tire tubes in the store, 97 were purportedly manufactured in Japan or Taiwan, and of those 97, 21 valve stems were marked with the circled letter “A”, apparently Asahi’s trademark. Of the 21 Asahi valve stems, 12 were incorporated into Cheng Shin tire tubes. The store contained 41 other Cheng Shin tubes that incorporated the valve assemblies of other manufacturers. * * * An affidavit of a manager of Cheng Shin whose duties included the purchasing of component parts stated: “ ‘In discussions with Asahi regarding the purchase of valve stem assemblies the fact that my Company sells tubes throughout the world and specifically the United States has been discussed. I am informed and believe that Asahi was fully aware that valve stem assemblies sold to my Company and to others would end up throughout the United States and in California.’ ” * * * An affidavit of the president of Asahi, on the other hand, declared that Asahi “ ‘has never contemplated that its limited sales of tire valves to Cheng Shin in Taiwan would subject it to lawsuits in California.’ ” * * * The record does not include any contract between Cheng Shin and Asahi. * * *

Primarily on the basis of the above information, the Superior Court denied the motion to quash summons, stating that “Asahi obviously does business on an international scale. It is not unreasonable that they defend claims of defect in their product on an international scale.” Order Denying Motion to Quash Summons * * *.

The Court of Appeal of the State of California issued a peremptory writ of mandate commanding the Superior Court to quash service of summons. The court concluded that “it would be unreasonable to require Asahi to respond in California solely on the basis of ultimately realized foreseeability that the product into which its component was embodied would be sold all over the world including California.” * * *

The Supreme Court of the State of California reversed and discharged the writ issued by the Court of Appeal. * * * The court observed that “Asahi has no offices, property or agents in California. It solicits no business in California and has made no direct sales [in California].” * * * Moreover, “Asahi did not design or control the system of distribution that carried its valve assemblies into California.” * * * Nevertheless, the court found the exercise of jurisdiction over Asahi to be consistent with the Due Process Clause. It concluded that Asahi knew that some of the valve assemblies sold to Cheng Shin would be incorporated into tire tubes sold in California, and that Asahi benefited indirectly from the sale in California of products incorporating its components. The court considered Asahi’s intentional act of placing its components into the stream of commerce—that is, by delivering the components to Cheng Shin in Taiwan—coupled with Asahi’s awareness that some of the components would eventually find their way

into California, sufficient to form the basis for state court jurisdiction under the Due Process Clause. We granted certiorari * * * and now reverse.

II

A

* * *

Applying the principle that minimum contacts must be based on an act of the defendant, the Court in *World-Wide Volkswagen* * * * [, p. 114, supra,] rejected the assertion that a *consumer's* unilateral act of bringing the defendant's product into the forum State was a sufficient constitutional basis for personal jurisdiction over the defendant. It had been argued in *World-Wide Volkswagen* that because an automobile retailer and its wholesale distributor sold a product mobile by design and purpose, they could foresee being haled into court in the distant States into which their customers might drive. The Court rejected this concept of foreseeability as an insufficient basis for jurisdiction under the Due Process Clause. * * * The Court disclaimed, however, the idea that "foreseeability is wholly irrelevant" to personal jurisdiction, concluding that "[t]he forum State does not exceed its powers under the Due Process Clause if it asserts personal jurisdiction over a corporation that delivers its products into the stream of commerce with the expectation that they will be purchased by consumers in the forum State." * * *

In *World-Wide Volkswagen* itself, the state court sought to base jurisdiction not on any act of the defendant, but on the foreseeable unilateral actions of the consumer. Since *World-Wide Volkswagen*, lower courts have been confronted with cases in which the defendant acted by placing a product in the stream of commerce, and the stream eventually swept defendant's product into the forum State, but the defendant did nothing else to purposefully avail itself of the market in the forum state. Some courts have understood the Due Process Clause, as interpreted in *World-Wide Volkswagen*, to allow an exercise of personal jurisdiction to be based on no more than the defendant's act of placing the product in the stream of commerce. Other courts have understood the Due Process Clause and the above-quoted language in *World-Wide Volkswagen* to require the action of the defendant to be more purposefully directed at the forum State than the mere act of placing a product in the stream of commerce.

The reasoning of the Supreme Court of California in the present case illustrates the former interpretation of *World-Wide Volkswagen*. The Supreme Court of California held that, because the stream of commerce eventually brought some valves Asahi sold Cheng Shin into California, Asahi's awareness that its valves would be sold in California was sufficient to permit California to exercise jurisdiction over Asahi consistent with the

requirements of the Due Process Clause. The Supreme Court of California's position was consistent with those courts that have held that mere foreseeability or awareness was a constitutionally sufficient basis for personal jurisdiction if the defendant's product made its way into the forum State while still in the stream of commerce. * * *

Other courts, however, have understood the Due Process Clause to require something more than that the defendant was aware of its product's entry into the forum State through the stream of commerce in order for the state to exert jurisdiction over the defendant. In the present case, for example, the State Court of Appeal did not read the Due Process Clause, as interpreted by *World-Wide Volkswagen*, to allow "mere foreseeability that the product will enter the forum state [to] be enough by itself to establish jurisdiction over the distributor and retailer." * * *

We now find this latter position to be consonant with the requirements of due process. The "substantial connection" * * * between the defendant and the forum State necessary for a finding of minimum contacts must come about by *an action of the defendant purposefully directed toward the forum State*. * * * The placement of a product into the stream of commerce, without more, is not an act of the defendant purposefully directed toward the forum State. Additional conduct of the defendant may indicate an intent or purpose to serve the market in the forum State, for example, designing the product for the market in the forum State, advertising in the forum State, establishing channels for providing regular advice to customers in the forum State, or marketing the product through a distributor who has agreed to serve as the sales agent in the forum State. But a defendant's awareness that the stream of commerce may or will sweep the product into the forum State does not convert the mere act of placing the product into the stream into an act purposefully directed toward the forum State.

Assuming, *arguendo*, that respondents have established Asahi's awareness that some of the valves sold to Cheng Shin would be incorporated into tire tubes sold in California, respondents have not demonstrated any action by Asahi to purposefully avail itself of the California market. Asahi does not do business in California. It has no office, agents, employees, or property in California. It does not advertise or otherwise solicit business in California. It did not create, control, or employ the distribution system that brought its valves to California. * * * There is no evidence that Asahi designed its product in anticipation of sales in California. * * * On the basis of these facts, the exertion of personal jurisdiction over Asahi by the Superior Court of California exceeds the limits of due process.

B

* * *

We have previously explained that the determination of the reasonableness of the exercise of jurisdiction in each case will depend on an evaluation of several factors. A court must consider the burden on the defendant, the interests of the forum state, and the plaintiff's interest in obtaining relief. It must also weigh in its determination "the interstate judicial system's interest in obtaining the most efficient resolution of controversies; and the shared interest of the several States in furthering fundamental substantive social policies." * * *

A consideration of these factors in the present case clearly reveals the unreasonableness of the assertion of jurisdiction over Asahi, even apart from the question of the placement of goods in the stream of commerce.

Certainly the burden on the defendant in this case is severe. Asahi has been commanded by the Supreme Court of California not only to traverse the distance between Asahi's headquarters in Japan and the Superior Court of California in and for the County of Solano, but also to submit its dispute with Cheng Shin to a foreign nation's judicial system. The unique burdens placed upon one who must defend oneself in a foreign legal system should have significant weight in assessing the reasonableness of stretching the long arm of personal jurisdiction over national borders.

When minimum contacts have been established, often the interests of the plaintiff and the forum in the exercise of jurisdiction will justify even the serious burdens placed on the alien defendant. In the present case, however, the interests of the plaintiff and the forum in California's assertion of jurisdiction over Asahi are slight. All that remains is a claim for indemnification asserted by Cheng Shin, a Taiwanese corporation, against Asahi. The transaction on which the indemnification claim is based took place in Taiwan; Asahi's components were shipped from Japan to Taiwan. Cheng Shin has not demonstrated that it is more convenient for it to litigate its indemnification claim against Asahi in California rather than in Taiwan or Japan.

Because the plaintiff is not a California resident, California's legitimate interests in the dispute have considerably diminished. The Supreme Court of California argued that the State had an interest in "protecting its consumers by ensuring that foreign manufacturers comply with the state's safety standards." * * * The State Supreme Court's definition of California's interest, however, was overly broad. The dispute between Cheng Shin and Asahi is primarily about indemnification rather than safety standards. Moreover, it is not at all clear at this point that California law should govern the question whether a Japanese corporation should indemnify a Taiwanese corporation on the basis of a sale made in Taiwan and a shipment of goods from Japan to Taiwan. * * * The possibility of being haled into a California court as a result of an accident involving Asahi's components undoubtedly creates an additional deterrent to the

manufacture of unsafe components; however, similar pressures will be placed on Asahi by the purchasers of its components as long as those who use Asahi components in their final products, and sell those products in California, are subject to the application of California tort law.

World-Wide Volkswagen also admonished courts to take into consideration the interests of the "several States," in addition to the forum state, in the efficient judicial resolution of the dispute and the advancement of substantive policies. In the present case, this advice calls for a court to consider the procedural and substantive policies of other *nations* whose interests are affected by the assertion of jurisdiction by the California court. The procedural and substantive interests of other nations in a state court's assertion of jurisdiction over an alien defendant will differ from case to case. In every case, however, those interests, as well as the Federal interest in its foreign relations policies, will be best served by a careful inquiry into the reasonableness of the assertion of jurisdiction in the particular case, and an unwillingness to find the serious burdens on an alien defendant outweighed by minimal interests on the part of the plaintiff or the forum State. "Great care and reserve should be exercised when extending our notions of personal jurisdiction into the international field." * * *

Considering the international context, the heavy burden on the alien defendant, and the slight interests of the plaintiff and the forum State, the exercise of personal jurisdiction by a California court over Asahi in this instance would be unreasonable and unfair.

III

Because the facts of this case do not establish minimum contacts such that the exercise of personal jurisdiction is consistent with fair play and substantial justice, the judgment of Supreme Court of California is reversed, and the case is remanded for further proceedings not inconsistent with this opinion.

It is so ordered.

JUSTICE BRENNAN, with whom JUSTICE WHITE, JUSTICE MARSHALL, and JUSTICE BLACKMUN join, concurring in part and concurring in the judgment.

I do not agree with the interpretation in Part II-A of the stream-of-commerce theory, nor with the conclusion that Asahi did not "purposely avail itself of the California market." * * * I do agree, however, with the Court's conclusion in Part II-B that the exercise of personal jurisdiction over Asahi in this case would not comport with "fair play and substantial justice" * * *. This is one of those rare cases in which "minimum requirements inherent in the concept of 'fair play and substantial justice' . . . defeat the reasonableness of jurisdiction even [though] the defendant

has purposefully engaged in forum activities.” * * * I therefore join Parts I and II-B of the Court’s opinion, and write separately to explain my disagreement with Part II-A.

Part II-A states that “a defendant’s awareness that the stream of commerce may or will sweep the product into the forum State does not convert the mere act of placing the product into the stream into an act purposefully directed toward the forum State.” * * * Under this view, a plaintiff would be required to show “[a]dditional conduct” directed toward the forum before finding the exercise of jurisdiction over the defendant to be consistent with the Due Process Clause. * * * I see no need for such a showing, however. The stream of commerce refers not to unpredictable currents or eddies, but to the regular and anticipated flow of products from manufacture to distribution to retail sale. As long as a participant in this process is aware that the final product is being marketed in the forum State, the possibility of a lawsuit there cannot come as a surprise. Nor will the litigation present a burden for which there is no corresponding benefit. A defendant who has placed goods in the stream of commerce benefits economically from the retail sale of the final product in the forum State, and indirectly benefits from the State’s laws that regulate and facilitate commercial activity. These benefits accrue regardless of whether that participant directly conducts business in the forum State, or engages in additional conduct directed toward that State. Accordingly, most courts and commentators have found that jurisdiction premised on the placement of a product into the stream of commerce is consistent with the Due Process Clause, and have not required a showing of additional conduct.

* * *

JUSTICE STEVENS, with whom JUSTICE WHITE and JUSTICE BLACKMUN join, concurring in part and concurring in the judgment.

The judgment of the Supreme Court of California should be reversed for the reasons stated in Part II-B of the Court’s opinion. While I join Parts I and II-B, I do not join Part II-A for two reasons. First, it is not necessary to the Court’s decision. An examination of minimum contacts is not always necessary to determine whether a state court’s assertion of personal jurisdiction is constitutional. See *Burger King* * * * [p. 127, supra]. Part II-B establishes, after considering the factors set forth in *World-Wide Volkswagen Corp. v. Woodson*, * * * that California’s exercise of jurisdiction over Asahi in this case would be “unreasonable and unfair.” * * * This finding alone requires reversal; this case fits within the rule that “minimum requirements inherent in the concept of ‘fair play and substantial justice’ may defeat the reasonableness of jurisdiction even if the defendant has purposefully engaged in forum activities.” *Burger King* * * *. Accordingly, I see no reason in this case for the plurality to articulate “purposeful direction” or any other test as the nexus between an act of a

defendant and the forum State that is necessary to establish minimum contacts.

Second, even assuming that the test ought to be formulated here, Part II-A misapplies it to the facts of this case. The plurality seems to assume that an unwavering line can be drawn between “mere awareness” that a component will find its way into the forum State and “purposeful availment” of the forum’s market. * * * Over the course of its dealings with Cheng Shin, Asahi has arguably engaged in a higher quantum of conduct than “[t]he placement of a product into the stream of commerce, without more. . . .” * * * Whether or not this conduct rises to the level of purposeful availment requires a constitutional determination that is affected by the volume, the value, and the hazardous character of the components. In most circumstances I would be inclined to conclude that a regular course of dealing that results in deliveries of over 100,000 units annually over a period of several years would constitute “purposeful availment” even though the item delivered to the forum State was a standard product marketed throughout the world.

NOTES AND QUESTIONS

1. Given the division among the Justices, on what particular issues do a majority of Justices agree? On what particular issues does Justice O’Connor’s plurality opinion differ from the opinions filed by Justice Brennan and by Justice Stevens? Notice that Justice Scalia did not join Part II-B of the opinion of the Court. Why is that significant?

In the wake of *Asahi*, lower courts disagreed over which of the *Asahi* opinions to follow. The Sixth Circuit, for example, embraced Justice O’Connor’s approach. See *Bridgeport Music, Inc. v. Still N The Water Pub*, 327 F.3d 472 (6th Cir. 2003) (“[W]e make clear today our preference for Justice O’Connor’s stream of commerce ‘plus’ approach, for the reasons set forth in that opinion, and conduct the remainder of our analysis accordingly.”). The Fifth Circuit, by contrast, reasoned as follows:

This court has consistently held that mere foreseeability or awareness is a constitutionally sufficient basis for personal jurisdiction if the defendant’s product made its way into the forum state while still in the stream of commerce. We adopted this position in an effort faithfully to interpret *World Wide Volkswagen* * * *, which holds that a state does not offend due process by exercising jurisdiction over an entity that delivers its products into the stream of commerce with the expectation that they will be purchased by consumers in the forum State. Where a defendant knowingly benefits from the availability of a particular state’s market for its products, it is only fitting that the defendant be amenable to suit in that state. We have, therefore, declined to follow the suggestion of the plurality in *Asahi* * * * that some additional action on the part of the

defendant, beyond foreseeability, is necessary to convert the mere act of placing the product into the stream into an act purposefully directed toward the forum State.

Luv N’ care, Ltd. v. Insta-Mix, Inc., 438 F.3d 465, 470 (5th Cir. 2006) (footnotes, brackets, and internal quotation marks omitted).

2. The Supreme Court did not disturb the California court’s finding that “Asahi knew that some of the valve assemblies sold to Cheng Shin would be incorporated into tire tubes sold in California.” *Asahi Metal Industry Co., Ltd. v. Superior Court*, 39 Cal.3d 35, 48, 702 P.2d 543, 549, 216 Cal.Rptr. 385, 392 (1985). Under Part II-A of Justice O’Connor’s opinion, this knowledge alone could not serve as a basis for jurisdiction unless Asahi had taken some further action “purposefully directed toward the forum state.” What additional action might satisfy that standard? Does Justice O’Connor’s approach allow the nonresident manufacturer of a component part to avoid the safety standards of states in which the final product is sold? How would a supporter of Justice O’Connor’s approach respond to this concern?

3.Should the approach taken by Justice O’Connor apply only to foreign defendants? Does it affect your view that some bases of jurisdiction in the United States are regarded as “exorbitant” by other countries? See *Clermont & Palmer, Exorbitant Jurisdiction*, 58 Me.L.Rev. 474 (2006). Doesn’t a United States plaintiff face a “substantial hardship” if required to litigate against a foreign defendant in a foreign court? Did the plurality give any weight to that concern?

4.Does the reasoning in Justice O’Connor’s plurality opinion support the exercise of jurisdiction in *Gray*, p. 107, *supra*? In *Calder*, p. 126, *supra*?

After the *Asahi* Court’s lack of a majority opinion regarding the proper approach to personal jurisdiction in cases where contacts occur via the “stream of commerce,” more than two decades passed before the Supreme Court revisited the issue.

J. MCINTYRE MACHINERY, LTD. v. NICASTRO

Supreme Court of the United States, 2011.
[564 U.S. 873, 131 S.Ct. 2780, 180 L.Ed.2d 765.](#)

Certiorari to the Supreme Court of New Jersey.

JUSTICE KENNEDY announced the judgment of the Court and delivered an opinion, in which the CHIEF JUSTICE, JUSTICE SCALIA, and JUSTICE THOMAS joined.

* * * The rules and standards for determining when a State does or does not have jurisdiction over an absent party have been unclear because of decades-old questions left open in *Asahi* * * * [p. 134, *supra*].

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* * * [T]he Supreme Court of New Jersey, relying in part on *Asahi*, held that New Jersey’s courts can exercise jurisdiction over a foreign manufacturer of a product so long as the manufacturer “knows or reasonably should know that its products are distributed through a nationwide distribution system that might lead to those products being sold in any of the fifty states.” *Nicastro v. McIntyre Machinery America, Ltd.*, 201 N.J. 48, 76, 77, 987 A.2d 575, 591, 592 (2010). Applying that test, the court * * * concluded that a British manufacturer of scrap metal machines was subject to jurisdiction in New Jersey, even though at no time had it advertised in, sent goods to, or in any relevant sense targeted the State.

That decision cannot be sustained. * * * As a general rule, the exercise of judicial power is not lawful unless the defendant “purposefully avails itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws.” *Hanson v. Denckla* * * * [p. 103, *supra*]. There may be exceptions, say, for instance, in cases involving an intentional tort. But the general rule is applicable in this products-liability case, and the so-called “stream-of-commerce” doctrine cannot displace it.

I

This case arises from a products-liability suit filed in New Jersey state court. Robert Nicastro seriously injured his hand while using a metal-shearing machine manufactured by J. McIntyre Machinery, Ltd. (J. McIntyre). The accident occurred in New Jersey, but the machine was manufactured in England, where J. McIntyre is incorporated and operates.

The question here is whether the New Jersey courts have jurisdiction over J. McIntyre, notwithstanding the fact that the company at no time either marketed goods in the State or shipped them there. * * *

At oral argument in this Court, Nicastro’s counsel stressed three primary facts in defense of New Jersey’s assertion of jurisdiction over J. McIntyre. * * *

First, an independent company agreed to sell J. McIntyre’s machines in the United States. J. McIntyre itself did not sell its machines to buyers in this country beyond the U.S. distributor, and there is no allegation that the distributor was under J. McIntyre’s control.

Second, J. McIntyre officials attended annual conventions for the scrap recycling industry to advertise J. McIntyre’s machines alongside the distributor. The conventions took place in various States, but never in New Jersey.

Third, no more than four machines (the record suggests only one, * * *), including the machine that caused the injuries that are the basis for this suit, ended up in New Jersey.

In addition to these facts emphasized by respondent, the New Jersey Supreme Court noted that J. McIntyre held both United States and European patents on its recycling technology. * * * It also noted that the U.S. distributor “structured [its] advertising and sales efforts in accordance with” J. McIntyre’s “direction and guidance whenever possible,” and that “at least some of the machines were sold on consignment to” the distributor. * * *

* * * Jurisdiction was proper, in that court’s view, because the injury occurred in New Jersey; because petitioner knew or reasonably should have known “that its products are distributed through a nationwide distribution system that might lead to those products being sold in any of the fifty states”; and because petitioner failed to “take some reasonable step to prevent the distribution of its products in this State.” * * *

Both the New Jersey Supreme Court’s holding and its account of what it called “[t]he stream-of-commerce doctrine of jurisdiction,” * * * were incorrect, however. This Court’s *Asahi* decision may be responsible in part for that court’s error regarding the stream of commerce, and this case presents an opportunity to provide greater clarity.

II

* * *

The imprecision arising from *Asahi*, for the most part, results from its statement of the relation between jurisdiction and the “stream of commerce.” * * * This Court has stated that a defendant’s placing goods into the stream of commerce “with the expectation that they will be purchased by consumers within the forum State” may indicate purposeful availment. *World-Wide Volkswagen Corp.* * * * [p. 114, supra] (finding that expectation lacking). But that statement does not amend the general rule of personal jurisdiction. It merely observes that a defendant may in an appropriate case be subject to jurisdiction without entering the forum—itsself an unexceptional proposition—as where manufacturers or distributors “seek to serve” a given State’s market. * * * The principal inquiry in cases of this sort is whether the defendant’s activities manifest an intention to submit to the power of a sovereign. In other words, the defendant must “purposefully avai[l] itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws.” *Hanson* * * *; *Insurance Corp.* * * * [p. 194, infra] (“[A]ctions of the defendant may amount to a legal submission to the jurisdiction of the court”). Sometimes a defendant does so by sending its goods rather than its agents. The defendant’s transmission of goods permits the exercise of jurisdiction only where the defendant can be said to have targeted the forum; as a general rule, it is not enough that the defendant might have predicted that its goods will reach the forum State.

In *Asahi*, an opinion by Justice Brennan for four Justices outlined a different approach. It discarded the central concept of sovereign authority in favor of considerations of fairness and foreseeability. As that concurrence contended, “jurisdiction premised on the placement of a product into the stream of commerce [without more] is consistent with the Due Process Clause,” for “[a]s long as a participant in this process is aware that the final product is being marketed in the forum State, the possibility of a lawsuit there cannot come as a surprise.” * * * It was the premise of the concurring opinion that the defendant’s ability to anticipate suit renders the assertion of jurisdiction fair. In this way, the opinion made foreseeability the touchstone of jurisdiction.

The standard set forth in Justice Brennan’s concurrence was rejected in an opinion written by Justice O’Connor; but the relevant part of that opinion, too, commanded the assent of only four Justices, not a majority of the Court. That opinion stated: “The ‘substantial connection’ between the defendant and the forum State necessary for a finding of minimum contacts must come about by an action of the defendant purposefully directed toward the forum State. The placement of a product into the stream of commerce, without more, is not an act of the defendant purposefully directed toward the forum State.” * * *

Since *Asahi* was decided, the courts have sought to reconcile the competing opinions. But Justice Brennan’s concurrence, advocating a rule based on general notions of fairness and foreseeability, is inconsistent with the premises of lawful judicial power. This Court’s precedents make clear that it is the defendant’s actions, not his expectations, that empower a State’s courts to subject him to judgment.

* * * [W]ere general fairness considerations the touchstone of jurisdiction, a lack of purposeful availment might be excused where carefully crafted judicial procedures could otherwise protect the defendant’s interests, or where the plaintiff would suffer substantial hardship if forced to litigate in a foreign forum. That such considerations have not been deemed controlling is instructive. * * *

Two principles are implicit in the foregoing. First, personal jurisdiction requires a forum-by-forum, or sovereign-by-sovereign, analysis. The question is whether a defendant has followed a course of conduct directed at the society or economy existing within the jurisdiction of a given sovereign, so that the sovereign has the power to subject the defendant to judgment concerning that conduct. Personal jurisdiction, of course, restricts “judicial power not as a matter of sovereignty, but as a matter of judicial liberty,” for due process protects the individual’s right to be subject only to lawful power. *Insurance Corp.* * * *. But whether a judicial judgment is lawful depends on whether the sovereign has authority to render it.

The second principle is a corollary of the first. Because the United States is a distinct sovereign, a defendant may in principle be subject to the jurisdiction of the courts of the United States but not of any particular State. This is consistent with the premises and unique genius of our Constitution. * * * For jurisdiction, a litigant may have the requisite relationship with the United States Government but not with the government of any individual State. That would be an exceptional case, however. If the defendant is a domestic

domiciliary, the courts of its home State are available and can exercise general jurisdiction. And if another State were to assert jurisdiction in an inappropriate case, it would upset the federal balance, which posits that each State has a sovereignty that is not subject to unlawful intrusion by other States. Furthermore, foreign corporations will often target or concentrate on particular States, subjecting them to specific jurisdiction in those forums.

It must be remembered, however, that although this case and *Asahi* both involve foreign manufacturers, the undesirable consequences of Justice Brennan’s approach are no less significant for domestic producers. The owner of a small Florida farm might sell crops to a large nearby distributor, for example, who might then distribute them to grocers across the country. If foreseeability were the controlling criterion, the farmer could be sued in Alaska or any number of other States’ courts without ever leaving town. And the issue of foreseeability may itself be contested so that significant expenses are incurred just on the preliminary issue of jurisdiction. Jurisdictional rules should avoid these costs whenever possible.

The conclusion that the authority to subject a defendant to judgment depends on purposeful availment, consistent with Justice O’Connor’s opinion in *Asahi*, does not by itself resolve many difficult questions of jurisdiction that will arise in particular cases. The defendant’s conduct and the economic realities of the market the defendant seeks to serve will differ across cases, and judicial exposition will, in common-law fashion, clarify the contours of that principle.

III

In this case, petitioner directed marketing and sales efforts at the United States. It may be that, assuming it were otherwise empowered to legislate on the subject, the Congress could authorize the exercise of jurisdiction in appropriate courts. That circumstance is not presented in this case, however, and it is neither necessary nor appropriate to address here any constitutional concerns that might be attendant to that exercise of power. * * * Nor is it necessary to determine what substantive law might apply were Congress to authorize jurisdiction in a federal court in New Jersey. * * * A sovereign’s legislative authority to regulate conduct may present considerations different from those presented by its authority to

subject a defendant to judgment in its courts. Here the question concerns the authority of a New Jersey state court to exercise jurisdiction, so it is petitioner’s purposeful contacts with New Jersey, not with the United States, that alone are relevant.

Respondent has not established that J. McIntyre engaged in conduct purposefully directed at New Jersey. Recall that respondent’s claim of jurisdiction centers on three facts * * *. Indeed, after discovery the trial court found that the “defendant does not have a single contact with New Jersey short of the machine in question ending up in this state.” * * * These facts may reveal an intent to serve the U.S. market, but they do not show that J. McIntyre purposefully availed itself of the New Jersey market.

It is notable that the New Jersey Supreme Court appears to agree, for it could “not find that J. McIntyre had a presence or minimum contacts in this State—in any jurisprudential sense—that would justify a New Jersey court to exercise jurisdiction in this case.” * * * The court nonetheless held that petitioner could be sued in New Jersey based on a “stream-of-commerce theory of jurisdiction.” * * * As discussed, however, the stream-of-commerce metaphor cannot supersede either the mandate of the Due Process Clause or the limits on judicial authority that Clause ensures. The New Jersey Supreme Court also cited “significant policy reasons” to justify its holding, including the State’s “strong interest in protecting its citizens from defective products.” * * * That interest is doubtless strong, but the Constitution commands restraint before discarding liberty in the name of expediency.

* * *

Due process protects petitioner’s right to be subject only to lawful authority. At no time did petitioner engage in any activities in New Jersey that reveal an intent to invoke or benefit from the protection of its laws. New Jersey is without power to adjudge the rights and liabilities of J. McIntyre, and its exercise of jurisdiction would violate due process. The contrary judgment of the New Jersey Supreme Court is

Reversed.

JUSTICE BREYER, with whom JUSTICE ALITO joins, concurring in the judgment.

The Supreme Court of New Jersey adopted a broad understanding of the scope of personal jurisdiction based on its view that “[t]he increasingly fast-paced globalization of the world economy has removed national borders as barriers to trade.” *Nicastro v. McIntyre Machinery America, Ltd.*, 201 N.J. 48, 52 * * * (2010). I do not doubt that there have been many recent changes in commerce and communication, many of which are not anticipated by our precedents. But this case does not present any of those

issues. So I think it unwise to announce a rule of broad applicability without full consideration of the modern-day consequences.

In my view, the outcome of this case is determined by our precedents. Based on the facts found by the New Jersey courts, respondent Robert Nicastro failed to meet his burden to demonstrate that it was constitutionally proper to exercise jurisdiction over petitioner * * *. On that basis, I agree with the plurality that the contrary judgment of the Supreme Court of New Jersey should be reversed.

In asserting jurisdiction over the British Manufacturer, the Supreme Court of New Jersey relied most heavily on three primary facts as providing constitutionally sufficient “contacts” with New Jersey, thereby making it fundamentally fair to hale the British Manufacturer before its courts: (1) The American Distributor on one occasion sold and shipped one machine to a New Jersey customer, namely, Mr. Nicastro’s employer, Mr. Curcio; (2) the British Manufacturer permitted, indeed wanted, its independent American Distributor to sell its machines to anyone in America willing to buy them; and (3) representatives of the British Manufacturer attended trade shows in “such cities as Chicago, Las Vegas, New Orleans, Orlando, San Diego, and San Francisco.” * * * In my view, these facts do not provide contacts between the British firm and the State of New Jersey constitutionally sufficient to support New Jersey’s assertion of jurisdiction in this case.

None of our precedents finds that a single isolated sale, even if accompanied by the kind of sales effort indicated here, is sufficient. Rather, this Court’s previous holdings suggest the contrary. The Court has held that a single sale to a customer who takes an accident-causing product to a different State (where the accident takes place) is not a sufficient basis for asserting jurisdiction. See *World-Wide Volkswagen Corp.* * * *. And the Court, in separate opinions [in *Asahi*], has strongly suggested that a single sale of a product in a State does not constitute an adequate basis for asserting jurisdiction over an out-of-state defendant, even if that defendant places his goods in the stream of commerce, fully aware (and hoping) that such a sale will take place. * * *

Here, the relevant facts found by the New Jersey Supreme Court show no “regular . . . flow” or “regular course” of sales in New Jersey; and there is no “something more,” such as special state-related design, advertising, advice, marketing, or anything else. Mr. Nicastro, who here bears the burden of proving jurisdiction, has shown no specific effort by the British Manufacturer to sell in New Jersey. He has introduced no list of potential New Jersey customers who might, for example, have regularly attended trade shows. And he has not otherwise shown that the British Manufacturer “purposefully avail[ed] itself of the privilege of conducting

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activities” within New Jersey, or that it delivered its goods in the stream of commerce “with the expectation that they will be purchased” by New Jersey users. *World-Wide Volkswagen* * * * (internal quotation marks omitted).

There may well have been other facts that Mr. Nicastro could have demonstrated in support of jurisdiction. And the dissent considers some of these facts. See [p. 152, *infra*] (opinion of GINSBURG, J.) (describing the size and scope of New Jersey’s scrap-metal business). But the plaintiff bears the burden of establishing jurisdiction, and here I would take the facts precisely as the New Jersey Supreme Court stated them. * * *

Accordingly, on the record present here, resolving this case requires no more than adhering to our precedents.

II

I would not go further. Because the incident at issue in this case does not implicate modern concerns, and because the factual record leaves many open questions, this is an unsuitable vehicle for making broad pronouncements that refashion basic jurisdictional rules.

A

The plurality seems to state strict rules that limit jurisdiction where a defendant does not “inten[d] to submit to the power of a sovereign” and cannot “be said to have targeted the forum.” * * * But what do those standards mean when a company targets the world by selling products from its Web site? And does it matter if, instead of shipping the products directly, a company consigns the products through an intermediary (say, Amazon.com) who then receives and fulfills the orders? And what if the company markets its products through popup advertisements that it knows will be viewed in a forum? Those issues have serious commercial consequences but are totally absent in this case.

B

But though I do not agree with the plurality’s seemingly strict no-jurisdiction rule, I am not persuaded by the absolute approach adopted by the New Jersey Supreme Court and urged by respondent and his *amici*. Under that view, a producer is subject to jurisdiction for a products-liability action so long as it “knows or reasonably should know that its products are distributed through a nationwide distribution system that *might* lead to those products being sold in any of the fifty states.” * * * (emphasis added). In the context of this case, I cannot agree.

For one thing, to adopt this view would abandon the heretofore accepted inquiry of whether, focusing upon the relationship between “the defendant, the *forum*, and the litigation,” it is fair, in light of the defendant’s contacts *with that forum*, to subject the defendant to suit there.

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Shaffer v. Heitner * * * [p. 210, *infra*] (emphasis added).⁵ It would ordinarily rest jurisdiction instead upon no more than the occurrence of a product-based accident in the forum state. But this Court has rejected the notion that a defendant’s amenability to suit “travell[s] with the chattel.” *World-Wide Volkswagen* * * *.

For another, I cannot reconcile so automatic a rule with the constitutional demand for “minimum contacts” and “purposefu[l] avail[ment],” each of which rest upon a particular notion of defendant-focused fairness. * * * A rule like the New Jersey Supreme Court’s would permit every State to assert jurisdiction in a products-liability suit against any domestic manufacturer who sells its products (made

anywhere in the United States) to a national distributor, no matter how large or small the manufacturer, no matter how distant the forum, and no matter how few the number of items that end up in the particular forum at issue. What might appear fair in the case of a large manufacturer which specifically seeks, or expects, an equal-sized distributor to sell its product in a distant State might seem unfair in the case of a small manufacturer (say, an Appalachian potter) who sells his product (cups and saucers) exclusively to a large distributor, who resells a single item (a coffee mug) to a buyer from a distant State (Hawaii). I know too little about the range of these or in-between possibilities to abandon in favor of the more absolute rule what has previously been this Court’s less absolute approach.

Further, the fact that the defendant is a foreign, rather than a domestic, manufacturer makes the basic fairness of an absolute rule yet more uncertain. I am again less certain than is the New Jersey Supreme Court that the nature of international commerce has changed so significantly as to require a new approach to personal jurisdiction.

It may be that a larger firm can readily “alleviate the risk of burdensome litigation by procuring insurance, passing the expected costs on to customers, or, if the risks are too great, severing its connection with the State.” *World-Wide Volkswagen* * * *. But manufacturers come in many shapes and sizes. It may be fundamentally unfair to require a small Egyptian shirt maker, a Brazilian manufacturing cooperative, or a Kenyan coffee farmer, selling its products through international distributors, to respond to products-liability tort suits in virtually every State in the United States, even those in respect to which the foreign firm has no connection at all but the sale of a single (allegedly defective) good. And a rule like the New Jersey Supreme Court suggests would require every product manufacturer, large or small, selling to American distributors to understand not only the tort law of every state, but also the wide variance in the way courts within different states apply that law. * * *

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C

At a minimum, I would not work such a change to the law in the way either the plurality or the New Jersey Supreme Court suggests without a better understanding of the relevant contemporary commercial circumstances. * * *

* * * Accordingly, though I agree with the plurality as to the outcome of this case, I concur only in the judgment of that opinion and not its reasoning.

JUSTICE GINSBURG, with whom JUSTICE SOTOMAYOR and JUSTICE KAGAN join, dissenting.

A foreign industrialist seeks to develop a market in the United States for machines it manufactures. It hopes to derive substantial revenue from sales it makes to United States purchasers. Where in the United States buyers reside does not matter to this manufacturer. Its goal is simply to sell as much as it can, wherever it can. It excludes no region or State from the market it wishes to reach. But, all things considered, it prefers to avoid products liability litigation in the United States. To that end, it engages a U.S. distributor to ship its machines stateside. Has it succeeded in escaping personal jurisdiction in a State where one of its products is sold and causes injury or even death to a local user?

Under this Court’s pathmarking precedent in *International Shoe* * * * [p. 95, supra] and subsequent decisions, one would expect the answer to be unequivocally, “No.” But instead, six Justices of this Court, in divergent opinions, tell us that the manufacturer has avoided the jurisdiction of our state courts, except perhaps in States where its products are sold in sizeable quantities. Inconceivable as it may have seemed yesterday, the splintered majority today “turn[s] the clock back to the days before modern long-arm statutes when a manufacturer, to avoid being haled into court where a user is injured, need only Pilate-like wash its hands of a product by having independent distributors market it.” Weintraub, *A Map Out of the Personal Jurisdiction Labyrinth*, 28 U.C. Davis L.Rev. 531, 555 (1995).

I

* * *

The machine that injured Nicastro, a “McIntyre Model 640 Shear,” sold in the United States for \$24,900 in 1995 * * * and features a “massive cutting capacity” * * *.

Nicastro operated the 640 Shear in the course of his employment at Curcio Scrap Metal (CSM) in Saddle Brook, New Jersey. * * * “New Jersey has long been a hotbed of scrap-metal businesses.” * * * In 2008, New Jersey recycling facilities processed 2,013,730 tons of scrap iron, steel,

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aluminum, and other metals—more than any other State—outpacing Kentucky, its nearest competitor, by nearly 30 percent. * * *

* * * McIntyre UK exhibited its products at * * * trade shows [in the United States], the company acknowledged, hoping to reach “anyone interested in the machine from anywhere in the United States.” * * * [The convention where Nicastro’s employer first learned about the shear machine was sponsored by an organization with nearly 100 New Jersey members.]

Although McIntyre UK’s U.S. sales figures are not in the record, it appears that for several years in the 1990’s, earnings from sales of McIntyre UK products in the United States “ha[d] been good” in comparison to “the rest of the world.” * * * In response to interrogatories, McIntyre UK stated that its commissioning engineer had installed the company’s equipment in several States—Illinois, Iowa, Kentucky, Virginia, and Washington. * * *

From at least 1995 until 2001, McIntyre UK retained an Ohio-based company, McIntyre Machinery America, Ltd. (McIntyre

America), “as its exclusive distributor for the entire United States.” * * * ² Though similarly named, the two companies were separate and independent entities with “no commonality of ownership or management.” * * *

In a November 23, 1999 letter to McIntyre America, McIntyre UK’s president spoke plainly about the manufacturer’s objective in authorizing the exclusive distributorship: “All we wish to do is sell our products in the [United] States—and get paid!” * * * Notably, McIntyre America was concerned about U.S. litigation involving McIntyre UK products, in which the distributor had been named as a defendant. McIntyre UK counseled McIntyre America to respond personally to the litigation, but reassured its distributor that “the product was built and designed by McIntyre Machinery in the UK and the buck stops here—if there’s something wrong with the machine.” * * * Answering jurisdictional interrogatories, McIntyre UK stated that it had been named as a defendant in lawsuits in Illinois, Kentucky, Massachusetts, and West Virginia. * * * And in correspondence with McIntyre America, McIntyre UK noted that the manufacturer had products liability insurance coverage. * * * McIntyre UK’s regular attendance and exhibitions at [scrap metal] conventions was surely a purposeful step to reach customers for its products “anywhere in the United States.” At least as purposeful was McIntyre UK’s engagement of McIntyre America as the conduit for sales of McIntyre UK’s machines to buyers “throughout the United States.” Given McIntyre UK’s endeavors to reach and profit from the United States market as a whole, Nicastro’s suit,

I would hold, has been brought in a forum entirely appropriate for the adjudication of his claim. He alleges that McIntyre UK’s shear machine was defectively designed or manufactured and, as a result, caused injury to him at his workplace. The machine arrived in Nicastro’s New Jersey workplace not randomly or fortuitously, but as a result of the U.S. connections and distribution system that McIntyre UK deliberately arranged.³ On what sensible view of the allocation of adjudicatory authority could the place of Nicastro’s injury within the United States be deemed off limits for his products liability claim against a foreign manufacturer who targeted the United States (including all the States that constitute the Nation) as the territory it sought to develop?

II

* * * [First], the question * * * is one of specific jurisdiction, which turns on an “affiliatio[n] between the forum and the underlying controversy.” *Goodyear Dunlop* * * * [p. 162, *infra*].

Second, no issue of the fair and reasonable allocation of adjudicatory authority among States of the United States is present in this case. New Jersey’s exercise of personal jurisdiction over a foreign manufacturer whose dangerous product caused a workplace injury in New Jersey does not tread on the domain, or diminish the sovereignty, of any sister State. Indeed, among States of the United States, the State in which the injury occurred would seem most suitable for litigation of a products liability tort claim. * * *

Third, the constitutional limits on a state court’s adjudicatory authority derive from considerations of due process, not state sovereignty. * * *

Finally, in *International Shoe* itself, and decisions thereafter, the Court has made plain that legal fictions, notably “presence” and “implied consent,” should be discarded, for they conceal the actual bases on which jurisdiction rests. * * *

Whatever the state of academic debate over the role of consent in modern jurisdictional doctrines, * * * the plurality’s notion that consent is the animating concept draws no support from controlling decisions of this Court. Quite the contrary, the Court has explained, a forum can exercise jurisdiction when its contacts with the controversy are sufficient;

invocation of a fictitious consent, the Court has repeatedly said, is unnecessary and unhelpful. * * * ⁵

III

This case is illustrative of marketing arrangements for sales in the United States common in today’s commercial world.⁶ * * * A foreign-country manufacturer engages a U.S. company to promote and distribute the manufacturer’s products, not in any particular State, but anywhere and everywhere in the United States the distributor can attract purchasers. The product proves defective and injures a user in the State where the user lives or works. Often, as here, the manufacturer will have liability insurance covering personal injuries caused by its products. * * *

When industrial accidents happen, a long-arm statute in the State where the injury occurs generally permits assertion of jurisdiction, upon giving proper notice, over the foreign manufacturer. * * *

The modern approach to jurisdiction over corporations and other legal entities, ushered in by *International Shoe*, gave prime place to reason and fairness. Is it not fair and reasonable, given the mode of trading of which this case is an example, to require the international seller to defend at the place its products cause injury?⁹ Do not litigational convenience * * * and choice-of-law considerations¹¹ point in that direction? On what measure of reason and fairness can it be considered undue to require McIntyre UK to defend in New Jersey as an incident of its efforts to develop a market for its industrial machines anywhere and everywhere in the United States?¹² Is not the burden on McIntyre UK to defend in New Jersey fair, *i.e.*, a reasonable cost of transacting business internationally, in comparison to the burden on Nicastro to go to Nottingham, England to gain recompense

for an injury he sustained using McIntyre’s product at his workplace in Saddle Brook, New Jersey?

McIntyre UK dealt with the United States as a single market. Like most foreign manufacturers, it was concerned not with the prospect of suit in State X as opposed to State Y, but rather with its subjection to suit anywhere in the United States. * * * As a McIntyre UK officer wrote in an e-mail to McIntyre America: “American law—who needs it?!” * * * If McIntyre UK is answerable in the United States at all, is it not “perfectly appropriate to permit the exercise of that jurisdiction . . . at the place of injury”? * * *

In sum, McIntyre UK, by engaging McIntyre America to promote and sell its machines in the United States, “purposefully availed itself” of the United States market nationwide, not a market in a single State or a discrete collection of States. McIntyre UK thereby availed itself of the market of all States in which its products were sold by its exclusive distributor. “Th[e] ‘purposeful availment’ requirement,” this Court has explained, simply “ensures that a defendant will not be haled into a jurisdiction solely as a result of ‘random,’ ‘fortuitous,’ or ‘attenuated’ contacts.” * * * Adjudicatory authority is appropriately exercised where “actions by the defendant *himself*” give rise to the affiliation with the forum. How could McIntyre UK not have intended, by its actions targeting a national market, to sell products in the fourth largest destination for imports among all States of the United States and the largest scrap metal market? * * *

IV

A

While this Court has not considered in any prior case the now-prevalent pattern presented here—a foreign-country manufacturer enlisting a U.S. distributor to develop a market in the United States for the manufacturer’s products—none of the Court’s decisions tug against the judgment made by the New Jersey Supreme Court. * * *

World-Wide Volkswagen concerned a New York car dealership that sold solely in the New York market, and a New York distributor who supplied retailers in three States only: New York, Connecticut, and New Jersey. * * * Jurisdiction, the Court held, could not be based on the *customer’s* unilateral act of driving the vehicle to Oklahoma. * * *

Notably, the foreign manufacturer of the Audi in *World-Wide Volkswagen* did not object to the jurisdiction of the Oklahoma courts and the U.S. importer abandoned its initially stated objection. * * * And most relevant here, the Court’s opinion indicates that an objection to jurisdiction by the manufacturer or national distributor would have been unavailing. To reiterate, the Court said in *World-Wide Volkswagen* that, when a

manufacturer or distributor aims to sell its product to customers in several States, it is reasonable “to subject it to suit in [any] one of those States if its allegedly defective [product] has there been the source of injury.” * * *

* * *

[*Asahi*] * * * was not a close call. * * * All agreed on the bottom line: The Japanese valve-assembly manufacturer was not reasonably brought into the California courts to litigate a dispute with another foreign party over a transaction that took place outside the United States.

* * *

* * * Asahi, unlike McIntyre UK, did not itself seek out customers in the United States, it engaged no distributor to promote its wares here, it appeared at no tradeshows in the United States, and, of course, it had no Web site advertising its products to the world. Moreover, Asahi was a component-part manufacturer with “little control over the final destination of its products once they were delivered into the stream of commerce.” * * * It was important to the Court in *Asahi* that “those who use Asahi components in their final products, and sell those products in California, [would be] subject to the application of California tort law.” * * * To hold that *Asahi* controls this case would, to put it bluntly, be dead wrong.¹⁵

B

The Court’s judgment also puts United States plaintiffs at a disadvantage in comparison to similarly situated complainants elsewhere in the world. Of particular note, within the European Union, in which the United Kingdom is a participant, the jurisdiction New Jersey would have exercised is not at all exceptional. The European Regulation on Jurisdiction and the Recognition and Enforcement of Judgments provides for the exercise of specific jurisdiction “in matters relating to tort . . . in the courts for the place where the harmful event occurred.” Council Reg. 44/2001, Art. 5, 2001 O.J. (L.12) 4. * * * The European Court of Justice has interpreted this prescription to authorize jurisdiction either where the harmful act occurred or at the place of injury. * * *

V

* * * [Academic commentary anticipated that] courts would differently appraise two situations: (1) cases involving a substantially local plaintiff, like Nicastro, injured by the activity of a defendant engaged in interstate or international trade; and (2) cases in which the defendant is a natural or

legal person whose economic activities and legal involvements are largely home-based, *i.e.*, entities without designs to gain substantial revenue from sales in distant markets.¹⁸ * * * [C]ourts presented with [the] * * * first scenario * * * have repeatedly confirmed that jurisdiction is appropriately exercised by courts of the place where the product was sold and caused injury. [Appendix of cases omitted.]

* * *

For the reasons stated, I would hold McIntyre UK answerable in New Jersey for the harm Nicastro suffered at his workplace in that State using McIntyre UK’s shearing machine. While I dissent from the Court’s judgment, I take heart that the plurality opinion does not speak for the Court, for that opinion would take a giant step away from the “notions of fair play and substantial justice” underlying *International Shoe*. * * *

NOTES AND QUESTIONS

1. *McIntyre* marks the Court’s return to questions left open by *Asahi* and not addressed since 1987. Which opinion speaks for the Court? Under *MARKS v. UNITED STATES*, “[w]hen a fragmented Court decides a case and no single rationale explaining the result enjoys the assent of five Justices, ‘the holding of the Court may be viewed as the position taken by those Members who concurred in the judgment on the narrowest grounds.’ ” 430 U.S. 188, 193, 97 S.Ct. 990, 993, 51 L.Ed.2d 260, 266 (1977) (quoting *Gregg v. Georgia*, 428 U.S. 153, 169 n.15, 96 S.Ct. 2909, 2923 n.15, 49 L.Ed.2d 859, 872 n.15 (1976)). Applying this test, which opinion states the Court’s holding?

Given the lack of a majority opinion, would lower courts be justified in giving *McIntyre* limited weight? For a comparison of the three opinions, see Steinman, *The Lay of the Land: Examining the Three Opinions in J. McIntyre Machinery, Ltd. v. Nicastro*, 63 S.C.L.Rev. 481 (2012).

2. In his plurality opinion, Justice Kennedy insisted that determining whether jurisdiction may be exercised requires a “sovereign-by-sovereign” analysis. Is this approach at odds with *International Shoe*’s requirement that the exercise of jurisdiction comport with “traditional notions of fair play and substantial justice”? How does plaintiff show that defendant has submitted to the will of the sovereign to support the court’s exercise of jurisdiction? Does Justice Kennedy endorse the “stream of commerce plus” analysis? If so, why didn’t Justice Kennedy treat the activities of McIntyre UK’s Ohio distributor as a plus-factor to support jurisdiction in New Jersey? Would this showing have satisfied Justice O’Connor’s plurality approach in *Asahi*?

3. What are the major points of disagreement between Justice Ginsburg’s dissenting opinion and that of the plurality? Do you agree with Justice Ginsburg’s dissent that the plurality’s view of jurisdiction is no

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different than “the long-discredited fiction of implied consent”? According to the dissent, is a manufacturer that markets its product nationwide amenable to suit in the state where the product is sold and causes injury? Is this approach consistent with the notion of purposeful availment?

4. On what basis do Justices Breyer and Alito concur? What kind of additional factual information might have persuaded them to uphold jurisdiction in New Jersey?

5. Which of the opinions in *McIntyre* would support the exercise of specific jurisdiction by a court in Idaho in a suit by a plaintiff injured in that state:

- (a) When defendant is a German component part manufacturer who markets its product throughout the United States.
- (b) When defendant is a California component part manufacturer who markets its product nationwide through an independent distributor.
- (c) When defendant is an Illinois component part manufacturer who markets its product to an end-product manufacturer whose principal place of business is in Washington State.
- (d) When defendant is a component part manufacturer who markets its product to an end-product manufacturer whose principal place of business is in Illinois.
- (e) When defendant is a foreign end-product manufacturer who markets its product throughout the United States.

See Noyes, *The Persistent Problem of Purposeful Availment*, 45 Conn.L.Rev. 41 (2012).

6. After *McIntyre*, what advice would you give to a foreign company that sells component parts in the United States market about its amenability to suit in a state court in which the end-product causes injury? Does your advice depend on the company’s mode of distribution? What if the foreign company directly sells an end-product within the United States market? Would one direct sale support the exercise of jurisdiction?

7. Justice Kennedy suggests that Congress could enact a long-arm statute for the federal courts authorizing the exercise of jurisdiction based on contacts with the United States as a whole. Is this suggestion consistent with the plurality’s theory of jurisdiction as an incident of sovereignty and not a matter of fairness or reasonableness? The topic of nationwide service of process is considered later in this chapter, p. 233, *infra*.

8. In *WALDEN v. FIORE*, 571 U.S. 277, 134 S.Ct. 1115, 188 L.Ed.2d 12 (2014), a pair of professional gamblers filed suit in a federal court in Nevada, where they lived, alleging that an airport security officer had violated their Fourth Amendment rights by seizing their cash winnings and then filing a false probable cause affidavit in support of the funds’ forfeiture and delaying

return of the cash. The seizure took place at the Atlanta, Georgia airport while plaintiffs were en route to Nevada. The Nevada district court dismissed for lack of personal jurisdiction and the Ninth Circuit reversed, finding that the officer had falsified the affidavit with the knowledge that it would have effects in Nevada where plaintiffs lived. The Supreme Court unanimously reversed, finding that the appeals court improperly focused on plaintiffs’ contacts with the forum and not on the officer’s contacts. Justice Thomas wrote:

*** For a State to exercise jurisdiction consistent with due process, the defendant’s suit-related conduct must create a substantial connection with the forum state. Two related aspects of the necessary relationship are relevant in this case.

First, the relationship must arise out of contacts that the “defendant *himself*”^d creates with the forum State. ***

Second, our “minimum contacts” analysis looks to the defendant’s contacts with the forum State itself, not the defendant’s contacts with persons who reside there. *** And although physical presence in the forum is not a prerequisite to jurisdiction, *** physical entry into the State—either by the defendant in person or through an agent, goods, mail, or some other means—is certainly a relevant contact. ***

But the plaintiff cannot be the only link between the defendant and the forum. Rather, it is the defendant’s conduct that must form the necessary connection with the forum State that is the basis for its jurisdiction over him. *** Due process requires that a defendant be haled into court in a forum State based on his own affiliation with the State, not based on the “random, fortuitous, or attenuated” contacts he makes by interacting with other persons affiliated with the State. ***

These same principles apply when intentional torts are involved. *** A forum State’s exercise of jurisdiction over an out-of-state intentional tortfeasor must be based on intentional conduct by the defendant that creates the necessary contacts with the forum.

Calder v. Jones *** [p. 126, supra] illustrates the application of these principles. ***

The crux of *Calder* was that the reputation-based “effects” of the alleged libel connected the defendants to California, not just to the plaintiff. The strength of that connection was largely a function of the nature of the libel tort. However scandalous a newspaper article might be, it can lead to a loss of reputation only if communicated to (and read and understood by) third persons. *** Accordingly, the reputational injury caused by the defendants’ story would not have

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occurred but for the fact that the defendants wrote an article for publication in California that was read by a large number of California citizens. Indeed, because publication to third persons is a necessary element of libel, *** the defendants’ intentional tort actually occurred in California. ***

*** *Calder* made clear that mere injury to a forum resident is not a sufficient connection to the forum. Regardless of where a plaintiff lives or works, an injury is jurisdictionally relevant only insofar as it shows that the defendant has formed a contact with the forum State. The proper question is not where the plaintiff experienced a particular injury or effect but whether the defendant’s conduct connects him to the forum in a meaningful way.

Respondents’ claimed injury does not evince a connection between petitioner and Nevada. Even if we consider the continuation of the seizure in Georgia to be a distinct injury, it is not the sort of effect that is tethered to Nevada in any meaningful way. Respondents (and only respondents) lacked access to their funds in Nevada not because anything independently occurred there, but because Nevada is where respondents chose to be at a time when they desired to use the funds seized by petitioner. ***

Id. at 290, 134 S.Ct. at 1125, 188 L.Ed.2d at 23.

The Court further noted:

Respondents warn that if we decide petitioner lacks minimum contacts in this case, it will bring about unfairness in cases where intentional torts are committed via the Internet or other electronic means (e.g., fraudulent access of financial accounts or “phishing” schemes). As an initial matter, we reiterate that the “minimum contacts” inquiry principally protects the liberty of the nonresident defendant, not the interests of the plaintiff. *** In any event, this case does not present the very different questions whether and how a defendant’s virtual “presence” and conduct translate into “contacts” with a particular State. ***

Id. at 290 n.9, 134 S.Ct. at 1125 n.9, 188 L.Ed.2d at 24 n.9.

E. GENERAL JURISDICTION IN STATE COURT

Pennoyer’s principle of territoriality justified a court’s exercise of personal jurisdiction over a defendant who was physically present in the forum at the time of service or was a domiciliary of the state. In those circumstances, the court’s power was all-purpose and over any claim. *International Shoe* further recognized that all-purpose jurisdiction could be exercised in some cases over a corporate defendant incorporated by a state other than the forum when its “continuous corporate operations within a

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state were thought so substantial and of such nature as to justify suit against it on causes of action arising from dealings entirely

distinct from those activities.” *International Shoe*, p. 95, supra. This species of jurisdiction came to be known as “general” jurisdiction, defined as the “power to adjudicate any kind of controversy when jurisdiction is based on relationships, direct or indirect, between the forum and the person or persons whose legal rights are to be affected.” von Mehren & Trautman, *Jurisdiction to Adjudicate: A Suggested Analysis*, 79 Harv.L.Rev. 1121, 1136 (1966).

In *HELICOPTEROS NACIONALES DE COLOMBIA, S.A. v. HALL*, 466 U.S. 408, 104 S.Ct. 1868, 80 L.Ed.2d 404 (1984), the Supreme Court observed:

It has been said that when a State exercises personal jurisdiction over a defendant in a suit arising out of or related to the defendant’s contacts with the forum, the State is exercising ‘specific jurisdiction’ over the defendant. * * * When a State exercises personal jurisdiction over a defendant in a suit not arising out of or related to the defendant’s contacts with the forum, the State has been said to be exercising ‘general jurisdiction’ over the defendant.

Id. at 414 nn.8–9, 104 S.Ct. at 1872 nn.8–9, 80 L.Ed.2d at 411 nn.8–9.

GOODYEAR DUNLOP TIRES OPERATIONS, S.A. v. BROWN

Supreme Court of the United States, 2011.
[564 U.S. 915, 131 S.Ct. 2846, 189 L.Ed.2d 796.](#)

Certiorari to the Court of Appeals of North Carolina.

JUSTICE GINSBURG delivered the opinion for a unanimous Court.

This case concerns the jurisdiction of state courts over corporations organized and operating abroad. We address, in particular, this question: Are foreign subsidiaries of a United States parent corporation amenable to suit in state court on claims unrelated to any activity of the subsidiaries in the forum State?

* * *

* * * Because the episode-in-suit, the bus accident, occurred in France, and the tire alleged to have caused the accident was manufactured and sold abroad, North Carolina courts lacked specific jurisdiction to adjudicate the controversy. * * * Were the foreign subsidiaries nonetheless amenable to general jurisdiction in North Carolina courts? Confusing or blending general and specific jurisdictional inquiries, the North Carolina courts answered yes. Some of the tires made abroad by Goodyear’s foreign subsidiaries, the North Carolina Court of Appeals stressed, had reached North Carolina through “the stream of commerce”; that connection, the

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Court of Appeals believed, gave North Carolina courts the handle needed for the exercise of general jurisdiction over the foreign corporations. * * *

A connection so limited between the forum and the foreign corporation, we hold, is an inadequate basis for the exercise of general jurisdiction. Such a connection does not establish the “continuous and systematic” affiliation necessary to empower North Carolina courts to entertain claims unrelated to the foreign corporation’s contacts with the State.

I

On April 18, 2004, a bus destined for Charles de Gaulle Airport overturned on a road outside Paris, France. Passengers on the bus were young soccer players from North Carolina beginning their journey home. Two 13-year-olds, Julian Brown and Matthew Helms, sustained fatal injuries. The boys’ parents, respondents in this Court, filed a suit for wrongful-death damages in the Superior Court of Onslow County, North Carolina, in their capacity as administrators of the boys’ estates. Attributing the accident to a tire that failed when its plies separated, the parents alleged negligence in the “design, construction, testing, and inspection” of the tire. * * *

Goodyear Luxembourg Tires, SA (Goodyear Luxembourg), Goodyear Lastikleri T.A.S. (Goodyear Turkey), and Goodyear Dunlop Tires France, SA (Goodyear France), petitioners here, were named as defendants. Incorporated in Luxembourg, Turkey, and France, respectively, petitioners are indirect subsidiaries of Goodyear USA, an Ohio corporation also named as a defendant in the suit. Petitioners manufacture tires primarily for sale in European and Asian markets. Their tires differ in size and construction from tires ordinarily sold in the United States. They are designed to carry significantly heavier loads, and to serve under road conditions and speed limits in the manufacturers’ primary markets.¹

In contrast to the parent company, Goodyear USA, which does not contest the North Carolina courts’ personal jurisdiction over it, petitioners are not registered to do business in North Carolina. They have no place of business, employees, or bank accounts in North Carolina. They do not design, manufacture, or advertise their products in North Carolina. And they do not solicit business in North Carolina or themselves sell or ship tires to North Carolina customers. Even so, a small percentage of petitioners’ tires (tens of thousands out of tens of millions manufactured between 2004 and 2007) were distributed within North Carolina by other Goodyear USA affiliates. These tires were typically custom ordered to equip specialized vehicles such as cement mixers, waste haulers, and boat

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and horse trailers. Petitioners state, and respondents do not here deny, that the type of tire involved in the accident, a Goodyear Regional RHS tire manufactured by Goodyear Turkey, was never distributed in North Carolina.

Petitioners moved to dismiss the claims against them for want of personal jurisdiction. The trial court denied the motion, and the North Carolina Court of Appeals affirmed. Acknowledging that the claims neither “related to, nor . . . ar[o]se from, [petitioners’] contacts with North Carolina,” the Court of Appeals confined its analysis to “general rather than specific jurisdiction,” which the court recognized required a “higher threshold” showing: A defendant must have “continuous and systematic contacts” with the forum. * * * That threshold was crossed, the court determined, when petitioners placed their tires “in the stream of interstate commerce without any limitation on the extent to which those tires could be sold in North Carolina.” * * *

Nothing in the record, the court observed, indicated that petitioners “took any affirmative action to cause tires which they had manufactured to be shipped into North Carolina.” * * * The court found, however, that tires made by petitioners reached North Carolina as a consequence of a “highly-organized distribution process” involving other Goodyear USA subsidiaries. * * * Petitioners, the court noted, made “no attempt to keep these tires from reaching the North Carolina market.” * * * Indeed, the very tire involved in the accident, the court observed, conformed to tire standards established by the U.S. Department of Transportation and bore markings required for sale in the United States. * * * ² As further support, the court invoked North Carolina’s “interest in providing a forum in which its citizens are able to seek redress for [their] injuries,” and noted the hardship North Carolina plaintiffs would experience “[were they] required to litigate their claims in France,” a country to which they have no ties. * * *

II

A

* * *

* * * For an individual, the paradigm forum for the exercise of general jurisdiction is the individual’s domicile; for a corporation, it is an equivalent place, one in which the corporation is fairly regarded as at home. * * * [Academic commentary has identified] domicile, place of

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incorporation, and principal place of business as “paradig[m]” bases for the exercise of general jurisdiction[.] * * *

* * *

In only two decisions postdating *International Shoe* * * * has this Court considered whether an out-of-state corporate defendant’s in-state contacts were sufficiently “continuous and systematic” to justify the exercise of general jurisdiction over claims unrelated to those contacts: *Perkins v. Benguet Consol. Mining Co.*, 342 U.S. 437, 72 S.Ct. 413, 96 L.Ed. 485 (1952) (general jurisdiction appropriately exercised over Philippine corporation sued in Ohio, where the company’s affairs were overseen during World War II); and *Helicopteros* [p. 162, supra] (helicopter owned by Colombian corporation crashed in Peru; survivors of U.S. citizens who died in the crash, the Court held, could not maintain wrongful-death actions against the Colombian corporation in Texas, for the corporation’s helicopter purchases and purchase-linked activity in Texas were insufficient to subject it to Texas court’s general jurisdiction).

B

To justify the exercise of general jurisdiction over petitioners, the North Carolina courts relied on the petitioners’ placement of their tires in the “stream of commerce.”³ * * * Typically, in such cases, a nonresident defendant, acting *outside* the forum, places in the stream of commerce a product that ultimately causes harm *inside* the forum.

* * *

The North Carolina court’s stream-of-commerce analysis elided the essential difference between case-specific and all-purpose (general) jurisdiction. Flow of a manufacturer’s products into the forum, we have explained, may bolster an affiliation germane to *specific* jurisdiction. * * * But ties serving to bolster the exercise of specific jurisdiction do not warrant a determination that, based on those ties, the forum has *general* jurisdiction over a defendant. * * *

* * * Our 1952 decision in *Perkins v. Benguet Consol. Mining Co.* remains “[t]he textbook case of general jurisdiction appropriately exercised over a foreign corporation that has not consented to suit in the forum.” * * *

Sued in Ohio, the defendant in *Perkins* was a Philippine mining corporation that had ceased activities in the Philippines during World War II. To the extent that the company was conducting any business during and

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immediately after the Japanese occupation of the Philippines, it was doing so in Ohio: the corporation’s president maintained his office there, kept the company files in that office, and supervised from the Ohio office “the necessarily limited wartime activities of the company.” * * * Although the claim-in-suit did not arise in Ohio, this Court ruled that it would not violate due process for Ohio to adjudicate the controversy. * * *

We next addressed the exercise of general jurisdiction over an out-of-state corporation over three decades later, in *Helicopteros*. In that case, survivors of United States citizens who died in a helicopter crash in Peru instituted wrongful-death actions in a Texas state court against the owner and operator of the helicopter, a Colombian corporation. The Colombian corporation had no place of business in Texas and was not licensed to do business there. “Basically, [the company’s] contacts with Texas consisted of sending its chief executive

officer to Houston for a contract-negotiation session; accepting into its New York bank account checks drawn on a Houston bank; purchasing helicopters, equipment, and training services from [a Texas enterprise] for substantial sums; and sending personnel to [Texas] for training.” * * * These links to Texas, we determined, did not “constitute the kind of continuous and systematic general business contacts . . . found to exist in *Perkins*,” and were insufficient to support the exercise of jurisdiction over a claim that neither “ar[ose] out of . . . no[r] related to” the defendant’s activities in Texas. * * *

Helicopteros concluded that “mere purchases [made in the forum State], even if occurring at regular intervals, are not enough to warrant a State’s assertion of [general] jurisdiction over a nonresident corporation in a cause of action not related to those purchase transactions.” * * * We see no reason to differentiate from the ties to Texas held insufficient in *Helicopteros*, the sales of petitioners’ tires sporadically made in North Carolina through intermediaries. Under the sprawling view of general jurisdiction urged by respondents and embraced by the North Carolina Court of Appeals, any substantial manufacturer or seller of goods would be amenable to suit, on any claim for relief, wherever its products are distributed. But cf. *World-Wide Volkswagen* * * * (every seller of chattels does not, by virtue of the sale, “appoint the chattel his agent for service of process”).

Measured against *Helicopteros* and *Perkins*, North Carolina is not a forum in which it would be permissible to subject petitioners to general jurisdiction. Unlike the defendant in *Perkins*, whose sole wartime business activity was conducted in Ohio, petitioners are in no sense at home in North Carolina. Their attenuated connections to the State * * * fall far short of * * * “the continuous and systematic general business contacts” necessary

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to empower North Carolina to entertain suit against them on claims unrelated to anything that connects them to the State. * * *⁵

C

Respondents belatedly assert a “single enterprise” theory, asking us to consolidate petitioners’ ties to North Carolina with those of Goodyear USA and other Goodyear entities. * * * In effect, respondents would have us pierce Goodyear corporate veils, at least for jurisdictional purposes. * * * Neither below nor in their brief in opposition to the petition for certiorari did respondents urge disregard of petitioners’ discrete status as subsidiaries and treatment of all Goodyear entities as a “unitary business,” so that jurisdiction over the parent would draw in the subsidiaries as well. * * * Respondents have therefore forfeited this contention, and we do not address it. * * *

Reversed.

NOTES AND QUESTIONS

1. Under *Goodyear*, when can general jurisdiction be exercised by a forum other than the company’s state of incorporation or principal place of business? In *DAIMLER AG v. BAUMAN*, 571 U.S. 117, 134 S.Ct. 746, 187 L.Ed.2d 624 (2014), Argentinian victims of human rights abuses sued Daimler, a German corporation, in California federal court alleging that defendant’s wholly-owned Argentinian subsidiary had collaborated with Argentine security forces to kidnap, detain, torture, and kill plaintiffs or their relatives in Argentina. Personal jurisdiction was based on the California contacts of defendant’s U.S. subsidiary (MBUSA), which was incorporated in Delaware and had its principal place of business in New Jersey. MBUSA was Daimler’s exclusive importer in the United States, distributing Daimler vehicles to dealerships throughout the country. MBUSA had multiple facilities in California and was the largest supplier of luxury vehicles to the California market. MBUSA’s sales in California amounted to 2.4 percent of Daimler’s sales worldwide. See *id.* at 123, 134 S.Ct. at 752, 187 L.Ed.2d at 631.

Although the Ninth Circuit upheld general jurisdiction based on Daimler’s agency relation with the United States subsidiary, the Supreme Court reversed, holding that Daimler was not amenable to suit “for claims involving only foreign plaintiffs and conduct occurring entirely abroad.” Justice Ginsburg, writing for the majority, first rejected the Ninth Circuit’s rationale for attributing MBUSA’s contacts to Daimler: “The Ninth Circuit’s agency

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theory * * * appears to subject foreign corporations to general jurisdiction whenever they have an in-state subsidiary or affiliate, an outcome that would sweep beyond even the ‘sprawling view of general jurisdiction’ we rejected in *Goodyear*.” *Id.* at 136, 134 S.Ct. at 759–60, 187 L.Ed.2d at 639. Justice Ginsburg then explained that general jurisdiction would not be proper in California even if MBUSA’s contacts were attributable to Daimler:

Goodyear made clear that only a limited set of affiliations with a forum will render a defendant amenable to all-purpose jurisdiction there. * * * With respect to a corporation, the place of incorporation and principal place of business are “paradig[m] . . . bases for general jurisdiction.” * * * Those affiliations have the virtue of being unique—that is, each ordinarily indicates only one place—as well as easily ascertainable. * * * These bases afford plaintiffs recourse to at least one clear and certain forum in which a corporate defendant may be sued on any and all claims.

Goodyear did not hold that a corporation may be subject to general jurisdiction *only* in a forum where it is incorporated or has its principal place of business; it simply typed those places paradigm all-purpose forums. Plaintiffs would have us look beyond the exemplar bases *Goodyear* identified, and approve the exercise of general jurisdiction in every State in which a corporation “engages in a substantial, continuous, and systematic course of business.” * * * That formulation, we hold, is unacceptably grasping.

* * * [T]he inquiry under *Goodyear* is not whether a foreign corporation’s in-forum contacts can be said to be in some sense “continuous and systematic,” it is whether that corporation’s “affiliations with the State are so ‘continuous and systematic’ as to render [it] essentially at

home in the forum State.” * * *

Here, neither Daimler nor [the subsidiary] is incorporated in California, nor does either entity have its principal place of business there. If Daimler’s California activities sufficed to allow adjudication of this Argentina-rooted case in California, the same global reach would presumably be available in every other State in which [the subsidiary’s] sales are sizable. Such exorbitant exercises of all-purpose jurisdiction would scarcely permit out-of-state defendants “to structure their primary conduct with some minimum assurance as to where that conduct will and will not render them liable to suit.” *Burger King* * * * [p. 127, supra].

Id. at 137–39, 134 S.Ct. at 760–62, 187 L.Ed.2d at 639–41.

In so holding, the Court relied upon the views of the Solicitor General that subjecting foreign corporations to suit under what was thought to be an expansive concept of general jurisdiction could create “international friction.” Id. at 142, 134 S.Ct. at 763, 187 L.Ed.2d 642. The Court noted that it did “not foreclose the possibility that in an exceptional case” general jurisdiction could

be exercised based on contacts “so substantial and of such a nature as to render the corporation at home” in the forum. Id. at 139 n.19, 134 S.Ct. at 761 n.19, 187 L.Ed.2d at 641 n.19. Justice Ginsburg clarified, however, that general jurisdiction cannot be based “solely on the magnitude of the defendant’s in-state contacts”:

General jurisdiction instead calls for an appraisal of a corporation’s activities in their entirety, nationwide and worldwide. A corporation that operates in many places can scarcely be deemed at home in all of them. * * * Nothing in *International Shoe* and its progeny suggests that a particular quantum of local activity should give a State authority over a far larger quantum of activity having no connection to any in-state activity.

Id. at 139 n.20, 134 S.Ct. at 762 n.20, 187 L.Ed.2d at 641 n.20.

Justice Sotomayor concurred in the judgment. She would have rejected jurisdiction based on the reasonableness factors that were dispositive in *Asahi*, p. 134, supra, arguing that California’s “exercise of jurisdiction would be unreasonable given that the case involves foreign plaintiffs suing a foreign defendant based on foreign conduct, and given that a more appropriate forum is available.” Id. at 144–46, 134 S.Ct. at 764–65, 187 L.Ed.2d at 643–45. She disagreed, however, with the majority’s conclusion that defendant’s contacts with California were insufficient to make it at home in the forum state:

The Court acknowledges that Mercedes-Benz USA, LLC (MBUSA), Daimler’s wholly owned subsidiary, has considerable contacts with California. It has multiple facilities in the State, including a regional headquarters. Each year, it distributes in California tens of thousands of cars, the sale of which generated billions of dollars in the year this suit was brought. And it provides service and sales support to customers throughout the State. Daimler has conceded that California courts may exercise general jurisdiction over MBUSA on the basis of these contacts, and the Court assumes that MBUSA’s contacts may be attributed to Daimler for the purpose of deciding whether Daimler is also subject to general jurisdiction.

Are these contacts sufficient to permit the exercise of general jurisdiction over Daimler? The Court holds that they are not, for a reason wholly foreign to our due process jurisprudence. The problem, the Court says, is not that Daimler’s contacts with California are too few, but that its contacts with other forums are too many. In other words, the Court does not dispute that the presence of multiple offices, the direct distribution of thousands of products accounting for billions of dollars in sales, and continuous interaction with customers throughout a State would be enough to support the exercise of general jurisdiction over some businesses. Daimler is just not one of those businesses, the Court concludes, because its California contacts must be viewed in the context of its extensive “nationwide and worldwide” operations. * * * In recent years, Americans have grown accustomed

to the concept of multinational corporations that are supposedly “too big to fail”; today the Court deems Daimler “too big for general jurisdiction.”

* * *

[T]he majority announces the new rule that in order for a foreign defendant to be subject to general jurisdiction, it must not only possess continuous and systematic contacts with a forum State, but those contacts must also surpass some unspecified level when viewed in comparison to the company’s “nationwide and worldwide” activities.

* * *

[T]he majority’s approach unduly curtails the States’ sovereign authority to adjudicate disputes against corporate defendants who have engaged in continuous and substantial business operations within their boundaries. * * * Suppose a company divides its management functions equally among three offices in different States, with one office nominally deemed the company’s corporate headquarters. If the State where the headquarters is located can exercise general jurisdiction, why should the other two States be constitutionally forbidden to do the same? Indeed, under the majority’s approach, the result would be unchanged even if the company has substantial operations within the latter two States (and even if the company has no sales or other business operations in the first State). * * *

Id. at 142–57, 134 S.Ct. at 763–72, 187 L.Ed.2d at 643–52.

2. In *BNSF RAILWAY CO. v. TYRRELL*, 581 U.S. ___, 137 S.Ct. 1549, 198 L.Ed.2d 36 (2017), railroad employees sued BNSF in Montana

state court under the Federal Employers’ Liability Act for injuries that occurred outside of Montana.

BNSF is incorporated in Delaware and has its principal place of business in Texas. * * * It operates railroad lines in 28 States. * * * BNSF has 2,061 miles of railroad track in Montana (about 6% of its total track mileage of 32,500), employs some 2,100 workers there (less than 5% of its total work force of 43,000), generates less than 10% of its total revenue in the State, and maintains only one of its 24 automotive facilities in Montana (4%).

Id. at ___, 137 S.Ct. at 1554, 198 L.Ed.2d at 42. The Supreme Court held that these contacts with Montana were not sufficient to support general jurisdiction:

BNSF * * * is not incorporated in Montana and does not maintain its principal place of business there. Nor is BNSF so heavily engaged in activity in Montana “as to render [it] essentially at home” in that State. * * * BNSF has over 2,000 miles of railroad track and more

than 2,000 employees in Montana. But, as we observed in *Daimler*, “the general jurisdiction inquiry does not focus solely on the magnitude of the defendant’s in-state contacts.” * * * Rather, the inquiry “calls for an appraisal of a corporation’s activities in their entirety”; “[a] corporation that operates in many places can scarcely be deemed at home in all of them.” * * * In short, the business BNSF does in Montana is sufficient to subject the railroad to specific personal jurisdiction in that State on claims related to the business it does in Montana. But in-state business, we clarified in *Daimler* and *Goodyear*, does not suffice to permit the assertion of general jurisdiction over claims like [plaintiffs’] that are unrelated to any activity occurring in Montana.

Id. at ___, 137 S.Ct. at 1559, 198 L.Ed.2d at 47–48.

Justice Sotomayor dissented from the Court’s application of the “at home” test for general jurisdiction, and criticized using a “comparative analysis” to determine jurisdiction:

The majority’s approach grants a jurisdictional windfall to large multistate or multinational corporations that operate across many jurisdictions. Under its reasoning, it is virtually inconceivable that such corporations will ever be subject to general jurisdiction in any location other than their principal places of business or of incorporation. Foreign businesses with principal places of business outside the United States may never be subject to general jurisdiction in this country even though they have continuous and systematic contacts within the United States. * * * What was once a holistic, nuanced contacts analysis backed by considerations of fairness and reasonableness has now effectively been replaced by the rote identification of a corporation’s principal place of business or place of incorporation. The result? It is individual plaintiffs, harmed by the actions of a farflung foreign corporation, who will bear the brunt of the majority’s approach and be forced to sue in distant jurisdictions with which they have no contacts or connection.

Moreover, the comparative contacts analysis invented in *Daimler* resurfaces here and proves all but dispositive. The majority makes much of the fact that BNSF’s contacts in Montana are only a percentage of its contacts with other jurisdictions. * * *. But *International Shoe*, which the majority agrees is the springboard for our modern personal jurisdiction jurisprudence, * * * applied no comparative contacts test. * * * [T]he relative percentage of contacts is irrelevant. The focus should be on the quality and quantity of the defendant’s contacts in the forum State.

The majority does even *Daimler* itself a disservice, paying only lipservice to the question the Court purported to reserve there—the possibility of an “exceptional case” in which general jurisdiction would be proper in a forum State that is neither a corporate

defendant’s place of incorporation nor its principal place of business. * * * Its opinion here could be understood to limit that exception to the exact facts of *Perkins* * * * [p. 165, *supra*]. That reading is so narrow as to read the exception out of existence entirely * * *.

Id. at 1560–61, 198 L.Ed.2d at 49–50.

3.A state may exercise general jurisdiction over a domiciliary, for that is the place where a natural person “at home.” In *ABKCO INDUSTRIES, INC. v. LENNON*, 85 Misc.2d 465, 469, 377 N.Y.S.2d 362, 366 (N.Y.Co. 1975), affirmed in part, 52 A.D.2d 435, 384 N.Y.S.2d 871 (1st Dept. 1976), a New York trial court held that general jurisdiction could be exercised over Richard Starkey, better known as Ringo Starr of the Beatles, because Starkey did business in New York “pervasively, unmistakably, undeniably, continuously, and substantially.” Does this result survive *Goodyear* and *Daimler*?

4.Is the “at home” test a bright-line rule or can it ever be unreasonable to exercise general jurisdiction in defendant’s state of incorporation or principal place of business? In *Daimler*, p. 167, Note 1, *supra*, Justice Ginsburg’s majority opinion wrote that *Asahi*’s “multipronged reasonableness check” applied only “when *specific* jurisdiction is at issue.” 571 U.S. at 139 n.20, 134 S.Ct. at 762 n.20, 187 L.Ed.2d at 641 n.20. For general jurisdiction, however, “[w]hen a corporation is genuinely at home in the forum State, * * * any second-step inquiry would be superfluous.” Id. Before *Daimler*, some lower courts had subjected the exercise of general jurisdiction to the five-factor reasonableness test endorsed in *Asahi* and *World-Wide Volkswagen*. See *Metropolitan Life Insurance Co. v. Robertson-Ceco Corp.*, 84 F.3d 560 (2d Cir. 1996), cert. denied, 519 U.S. 1006, 117 S.Ct. 508, 136 L.Ed.2d 398 (1996).

5. A rationale for general jurisdiction is that it assures the availability of a forum “where a defendant may be sued on any cause of action.” Twitchell, *The Myth of General Jurisdiction*, 101 Harv.L.Rev. 610, 632 (1988). Does general jurisdiction fulfill this purpose if defendant is not “at home” anywhere in the United States?

F. DISTINGUISHING SPECIFIC AND GENERAL JURISDICTION

Although the distinction between specific and general jurisdiction was alluded to even in the *International Shoe* decision itself, see p. 100, Note 2, *supra*, the Supreme Court initially decided few cases in which the outcome hinged on the line between the two. In *Helicopteros*, p. 162, *supra*, the parties conceded that the case had to be evaluated under a general jurisdiction standard. Justice Brennan dissented, however, arguing against accepting that concession and emphasizing that specific jurisdiction should be available when defendant’s forum contacts “relate to” the cause of action:

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Limiting the specific jurisdiction of a forum to cases in which the cause of action formally arose out of the defendant’s contacts with the State would subject constitutional standards under the Due Process Clause to the vagaries of the substantive law or pleading requirements of each State. * * *

Our interpretation of the Due Process Clause has never been so dependent upon the applicable substantive law or the State’s formal pleading requirements. * * * [T]he principal focus when determining whether a forum may constitutionally assert jurisdiction over a nonresident defendant has been on fairness and reasonableness to the defendant. To this extent, a court’s specific jurisdiction should be applicable whenever the cause of action arises out of *or* relates to the contacts between the defendant and the forum.

Id. at 427, 104 S.Ct. at 1879, 80 L.Ed.2d at 419.

In the wake of decisions like *Goodyear*, *Daimler*, and *BNSF*, see Section E, *supra*, which set a high threshold for when a defendant would be “essentially at home” in the forum state such that general jurisdiction would be available, the Supreme Court has addressed more directly the distinction between specific and general jurisdiction. In *Bristol-Myers Squibb Co. v. Superior Court of California, San Francisco County*, 582 U.S. ___, 137 S.Ct. 1773, 198 L.Ed.2d 395 (2017), consumers from California and 33 other states filed eight actions in California state court against a pharmaceutical company alleging that Plavix, a drug that defendant manufactured and distributed, had damaged their health. Of the 678 plaintiffs, 88 resided in California; defendant was incorporated in Delaware and headquartered in New York. The California Supreme Court held it was constitutional to exercise specific jurisdiction over the company. Although the nonresident plaintiffs had not purchased the drugs in the state or alleged an injury in the forum, due process could be met under a sliding-scale approach, which permitted a more attenuated connection between defendant’s forum contacts and the claim when defendant otherwise had extensive contacts with the state. That connection was shown in this case because the nonresidents’ claims were similar to the residents’ claims and defendant had engaged in other in-state activity.

The Supreme Court, in an eight-to-one decision, reversed, rejecting the California court’s sliding-scale approach and emphasizing that for the exercise of specific jurisdiction, “there must be an ‘affiliation between the forum and the underlying controversy, principally, [an] activity or an occurrence that takes place in the forum state,’ ” quoting *Goodyear*, p. 162, *supra*. As the Court explained:

The present case illustrates the danger of the California approach. The State Supreme Court found that specific jurisdiction was

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present without identifying any adequate link between the State and the nonresidents’ claims. * * * [T]he nonresidents were not prescribed Plavix in California, did not purchase Plavix in California, did not ingest Plavix in California, and were not injured by Plavix in California. The mere fact that other plaintiffs were prescribed, obtained, and ingested Plavix in California—and allegedly sustained the same injuries as did the nonresidents—does not allow the State to assert specific jurisdiction over the nonresidents’ claims. * * * Nor is it sufficient—or even relevant—that [defendant] conducted research in California on matters unrelated to Plavix. What is needed—and what is missing here—is a connection between the forum and the specific claims at issue.

582 U.S. at ___, 137 S.Ct. at 1781, 198 L.Ed.2d at 404–05. The majority insisted that the nonresident plaintiffs were not left without a forum; suit could be brought where defendant is incorporated and headquartered, and residents of a particular state “could probably sue together in their home States.” The Court left open whether a different jurisdictional standard would apply in federal court. *Id.* at ___, 137 S.Ct. at 1783–84, 198 L.Ed.2d at 407.

Justice Sotomayor dissented, arguing that the requirements of specific jurisdiction were easily met. Defendant had purposefully availed itself of the benefits of California’s pharmaceutical market through substantial employment, maintenance of production facilities, contracts with in-state distributors, and more than a \$1 billion of sales of Plavix in the state during the relevant period. Moreover, the nonresidents’ claims related to defendant’s in-state conduct, because they had a “ ‘connect[ion] with’ that conduct,” citing *International Shoe*, p. 95, *supra*. Finally, in the dissent’s view, the exercise of jurisdiction was reasonable:

[According to the majority, a] corporation that engages in a nationwide course of conduct cannot be held accountable in a state court by a group of injured people unless all of those people were injured in the forum State.

I fear the consequences of the Court’s decision today will be substantial. The majority’s rule will make it difficult to aggregate the claims of plaintiffs across the country whose claims may be worth little alone. It will make it impossible to bring a nationwide mass action in state court against defendants who are “at home” in different States. And it will result in piecemeal litigation and the bifurcation of claims. None of this is necessary. A core concern in this Court’s personal jurisdiction cases is

fairness. And there is nothing unfair about subjecting a massive corporation to suit in a State for a nationwide course of conduct that injures both forum residents and nonresidents alike.

Id. at ___, 137 S.Ct. at 1784, 198 L.Ed.2d at 407–08.

FORD MOTOR CO. v. MONTANA EIGHTH JUDICIAL DISTRICT COURT; FORD MOTOR CO. v. BANDEMER

Supreme Court of the United States, 2021.
[592 U.S. ___, 141 S.Ct. 1017, 209 L.Ed.2d 225.](#)^f

JUSTICE KAGAN delivered the opinion of the Court, in which THE CHIEF JUSTICE, JUSTICE BREYER, JUSTICE SOTOMAYOR, and JUSTICE KAVANAUGH joined.

In each of these two cases, a state court held that it had jurisdiction over Ford Motor Company in a products-liability suit stemming from a car accident. The accident happened in the State where suit was brought. The victim was one of the State’s residents. And Ford did substantial business in the State—among other things, advertising, selling, and servicing the model of vehicle the suit claims is defective. Still, Ford contends that jurisdiction is improper because the particular car involved in the crash was not first sold in the forum State, nor was it designed or manufactured there. We reject that argument. When a company like Ford serves a market for a product in a State and that product causes injury in the State to one of its residents, the State’s courts may entertain the resulting suit.

I

Ford is a global auto company. It is incorporated in Delaware and headquartered in Michigan. But its business is everywhere. Ford markets, sells, and services its products across the United States and overseas. In this country alone, the company annually distributes over 2.5 million new cars, trucks, and SUVs to over 3,200 licensed dealerships. * * * Ford also encourages a resale market for its products: Almost all its dealerships buy and sell used Fords, as well as selling new ones. To enhance its brand and increase its sales, Ford engages in wide-ranging promotional activities, including television, print, online, and direct-mail advertisements. No matter where you live, you’ve seen them: “Have you driven a Ford lately?” or “Built Ford Tough.” Ford also ensures that consumers can keep their vehicles running long past the date of sale. The company provides original parts to auto supply stores and repair shops across the country. (Goes another slogan: “Keep your Ford a Ford.”) And Ford’s own network of dealers offers an array of maintenance and repair services, thus fostering an ongoing relationship between Ford and its customers.

Accidents involving two of Ford’s vehicles—a 1996 Explorer and a 1994 Crown Victoria—are at the heart of the suits before us. One case comes from Montana. Markkaya Gullett was driving her Explorer near her home in the State when the tread separated from a rear tire. The vehicle spun out, rolled into a ditch, and came to rest upside down. Gullett died at the scene of the crash. The representative of her estate sued Ford in Montana state court, bringing claims for a design defect, failure to warn, and negligence. The second case comes from Minnesota. Adam Bandemer was a passenger in his friend’s Crown Victoria, traveling on a rural road in the State to a favorite ice-fishing spot. When his friend rear-ended a snowplow, this car too landed in a ditch. Bandemer’s air bag failed to deploy, and he suffered serious brain damage. He sued Ford in Minnesota state court, asserting products-liability, negligence, and breach-of-warranty claims.

Ford moved to dismiss the two suits for lack of personal jurisdiction, on basically identical grounds. According to Ford, the state court (whether in Montana or Minnesota) had jurisdiction only if the company’s conduct in the State had given rise to the plaintiff’s claims. And that causal link existed, Ford continued, only if the company had designed, manufactured, or—most likely—sold in the State the particular vehicle involved in the accident. * * * In neither suit could the plaintiff make that showing. Ford had designed the Explorer and Crown Victoria in Michigan, and it had manufactured the cars in (respectively) Kentucky and Canada. Still more, the company had originally sold the cars at issue outside the forum States—the Explorer in Washington, the Crown Victoria in North Dakota. Only later resales and relocations by consumers had brought the vehicles to Montana and Minnesota. That meant, in Ford’s view, that the courts of those States could not decide the suits.

Both the Montana and the Minnesota Supreme Courts (affirming lower court decisions) rejected Ford’s argument. The Montana court began by detailing the varied ways Ford “purposefully” seeks to “serve the market in Montana.” 395 Mont. 478, 488, 443 P.3d 407, 414 (2019). The company advertises in the State; “has thirty-six dealerships” there; “sells automobiles, specifically Ford Explorers[,] and parts” to Montana residents; and provides them with “certified repair, replacement, and recall services.” * * * Next, the court assessed the relationship between those activities and the Gullett suit. Ford’s conduct, said the court, encourages “Montana residents to drive Ford vehicles.” * * * When that driving causes in-state injury, the ensuing claims have enough of a tie to Ford’s Montana activities to support jurisdiction. Whether Ford “designed, manufactured, or sold [the] vehicle” in the State, the court concluded, is “immaterial.” * * * Minnesota’s Supreme Court agreed. It highlighted how Ford’s “marketing and advertisements” influenced state residents to “purchase and drive more Ford vehicles.” 931 N.W.2d 744, 754 (2019). Indeed, Ford had sold in Minnesota “more than 2,000 1994 Crown Victoria[s]”—the “very type of

car” involved in Bandemer’s suit. * * * That the “*particular vehicle*” injuring him was “designed, manufactured, [and first] sold” elsewhere made no difference. * * * (emphasis in original). In the court’s view, Ford’s Minnesota activities still had the needed connection to Bandemer’s allegations that a defective Crown Victoria caused in-state injury. * * *

We granted certiorari to consider if Ford is subject to jurisdiction in these cases. * * * We hold that it is.

II

A

The Fourteenth Amendment’s Due Process Clause limits a state court’s power to exercise jurisdiction over a defendant. The canonical decision in this area remains *International Shoe Co. v. Washington*, [p. 95, *supra*]. There, the Court held that a tribunal’s authority depends on the defendant’s having such “contacts” with the forum State that “the maintenance of the suit” is “reasonable, in the context of our federal system of government,” and “does not offend traditional notions of fair play and substantial justice.” * * * (internal quotation marks omitted). In giving content to that formulation, the Court has long focused on the nature and extent of “the defendant’s relationship to the forum State.” *Bristol-Myers Squibb Co. v. Superior Court of Cal., San Francisco Cty.*, [p. 173, *supra*]. That focus led to our recognizing two kinds of personal jurisdiction: general (sometimes called all-purpose) jurisdiction and specific (sometimes called case-linked) jurisdiction. See *Goodyear Dunlop Tires Operations, S. A. v. Brown*, [p. 162, *supra*].

A state court may exercise general jurisdiction only when a defendant is “essentially at home” in the State. * * * General jurisdiction, as its name implies, extends to “any and all claims” brought against a defendant. * * * Those claims need not relate to the forum State or the defendant’s activity there; they may concern events and conduct anywhere in the world. But that breadth imposes a correlative limit: Only a select “set of affiliations with a forum” will expose a defendant to such sweeping jurisdiction. *Daimler AG v. Bauman*, [p. 167, *supra*]. In what we have called the “paradigm” case, an individual is subject to general jurisdiction in her place of domicile. * * * And the “equivalent” forums for a corporation are its place of incorporation and principal place of business. * * *; see *id.* * * * (leaving open “the possibility that in an exceptional case” a corporation might also be “at home” elsewhere). So general jurisdiction over Ford (as all parties agree) attaches in Delaware and Michigan—not in Montana and Minnesota. * * *

Specific jurisdiction is different: It covers defendants less intimately connected with a State, but only as to a narrower class of claims. The contacts needed for this kind of jurisdiction often go by the name “purposeful availment.” *Burger King Corp. v. Rudzewicz*, [p. 127, *supra*].

The defendant, we have said, must take “some act by which [it] purposefully avails itself of the privilege of conducting activities within the forum State.” *Hanson v. Denckla*, [p. 103, *supra*]. The contacts must be the defendant’s own choice and not “random, isolated, or fortuitous.” *Keeton v. Hustler Magazine, Inc.*, [p. 124, *supra*]. They must show that the defendant deliberately “reached out beyond” its home—by, for example, “exploit[ing] a market” in the forum State or entering a contractual relationship centered there. *Walden v. Fiore*, [p. 159, *supra*] (internal quotation marks and alterations omitted). Yet even then—because the defendant is not “at home”—the forum State may exercise jurisdiction in only certain cases. The plaintiff’s claims, we have often stated, “must arise out of or relate to the defendant’s contacts” with the forum. *Bristol-Myers* * * * (quoting *Daimler* * * *; alterations omitted); see, e.g., *Burger King* * * *; *Helicopteros Nacionales de Colombia, S. A. v. Hall*, [p. 162, *supra*]; *International Shoe* * * *. Or put just a bit differently, “there must be ‘an affiliation between the forum and the underlying controversy, principally, [an] activity or an occurrence that takes place in the forum State and is therefore subject to the State’s regulation.’ ” *Bristol-Myers* * * * (quoting *Goodyear* * * *).

These rules derive from and reflect two sets of values—treating defendants fairly and protecting “interstate federalism.” *World-Wide Volkswagen Corp. v. Woodson*, [p. 114, *supra*] * * *. Our decision in *International Shoe* founded specific jurisdiction on an idea of reciprocity between a defendant and a State: When (but only when) a company “exercises the privilege of conducting activities within a state”—thus “enjoy[ing] the benefits and protection of [its] laws”—the State may hold the company to account for related misconduct. * * *; see *Burger King* * * *. Later decisions have added that our doctrine similarly provides defendants with “fair warning”—knowledge that “a particular activity may subject [it] to the jurisdiction of a foreign sovereign.” *Id.* * * * (internal quotation marks omitted); *World-Wide Volkswagen* * * * (likewise referring to “clear notice”). A defendant can thus “structure [its] primary conduct” to lessen or avoid exposure to a given State’s courts. *Id.* * * * And this Court has considered alongside defendants’ interests those of the States in relation to each other. One State’s “sovereign power to try” a suit, we have recognized, may prevent “sister States” from exercising their like authority. *Id.* * * * The law of specific jurisdiction thus seeks to ensure that States with “little legitimate interest” in a suit do not encroach on States more affected by the controversy. *Bristol-Myers* * * *.²

B

Ford contends that our jurisdictional rules prevent Montana’s and Minnesota’s courts from deciding these two suits. In making that argument, Ford does not contest that it does substantial business in Montana and Minnesota—that it actively seeks to serve the market for automobiles and related products in those States. * * * Or to put that concession in more doctrinal terms, Ford agrees that it has “purposefully avail[ed] itself of the privilege of conducting activities” in both places. * * * Ford’s claim is instead that those activities do not sufficiently connect to the suits, even though the resident-plaintiffs allege that Ford cars malfunctioned in the forum States. In Ford’s view, the needed link must be causal in nature: Jurisdiction attaches “only if the defendant’s forum conduct *gave rise* to the plaintiff’s

claims.” * * * And that rule reduces, Ford thinks, to locating specific jurisdiction in the State where Ford sold the car in question, or else the States where Ford designed and manufactured the vehicle. * * *. On that view, the place of accident and injury is immaterial. So (Ford says) Montana’s and Minnesota’s courts have no power over these cases.

But Ford’s causation-only approach finds no support in this Court’s requirement of a “connection” between a plaintiff’s suit and a defendant’s activities. *Bristol-Myers* * * *. That rule indeed serves to narrow the class of claims over which a state court may exercise specific jurisdiction. But not quite so far as Ford wants. None of our precedents has suggested that only a strict causal relationship between the defendant’s in-state activity and the litigation will do. As just noted, our most common formulation of the rule demands that the suit “arise out of or relate to the defendant’s contacts with the forum.” *Id.* * * * (quoting *Daimler* * * *; emphasis added; alterations omitted) * * *. The first half of that standard asks about causation; but the back half, after the “or,” contemplates that some relationships will support jurisdiction without a causal showing. That does not mean anything goes. In the sphere of specific jurisdiction, the phrase “relate to” incorporates real limits, as it must to adequately protect defendants foreign to a forum. But again, we have never framed the specific jurisdiction inquiry as always requiring proof of causation—i.e., proof that the plaintiff’s claim came about because of the defendant’s in-state conduct. * * * So the case is not over even if, as Ford argues, a causal test would put jurisdiction in only the States of first sale, manufacture, and design. A different State’s courts may yet have jurisdiction, because of another

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“activity [or] occurrence” involving the defendant that takes place in the State. *Bristol-Myers*, * * * (quoting *Goodyear* * * *).³

And indeed, this Court has stated that specific jurisdiction attaches in cases identical to the ones here—when a company like Ford serves a market for a product in the forum State and the product malfunctions there. In *World-Wide Volkswagen*, the Court held that an Oklahoma court could not assert jurisdiction over a New York car dealer just because a car it sold later caught fire in Oklahoma. * * * But in so doing, we contrasted the dealer’s position to that of two other defendants—Audi, the car’s manufacturer, and Volkswagen, the car’s nationwide importer (neither of which contested jurisdiction):

“[I]f the sale of a product of a manufacturer or distributor such as Audi or Volkswagen is not simply an isolated occurrence, but arises from the efforts of the manufacturer or distributor to serve, directly or indirectly, the market for its product in [several or all] other States, it is not unreasonable to subject it to suit in one of those States if its allegedly defective merchandise has there been the source of injury to its owner or to others.” * * *

Or said another way, if Audi and Volkswagen’s business deliberately extended into Oklahoma (among other States), then Oklahoma’s courts could hold the companies accountable for a car’s catching fire there—even though the vehicle had been designed and made overseas and sold in New York. For, the Court explained, a company thus “purposefully avail[ing] itself ” of the Oklahoma auto market “has clear notice” of its exposure in that State to suits arising from local accidents involving its cars. * * * And the company could do something about that exposure: It could “act to alleviate the risk of burdensome litigation by procuring insurance, passing the expected costs on to customers, or, if the risks are [still] too great, severing its connection with the State.” * * *

Our conclusion in *World-Wide Volkswagen*—though, as Ford notes, technically “dicta,” Brief for Petitioner 34—has appeared and reappeared in many cases since. So, for example, the Court in *Keeton* invoked that part of *World-Wide Volkswagen* to show that when a corporation has “continuously and deliberately exploited [a State’s] market, it must reasonably anticipate being haled into [that State’s] court[s]” to defend actions “based on” products causing injury there. * * *; see *Burger King* * * * (similarly citing *World-Wide Volkswagen*). On two other occasions, we

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reaffirmed that rule by reciting the above block-quoted language verbatim. See *Goodyear* * * *; *Asahi Metal Industry Co. v. Superior Court of Cal., Solano Cty.*, [p. 134, *supra*] (opinion of O’Connor, J.). And in *Daimler*, we used the Audi/Volkswagen scenario as a paradigm case of specific jurisdiction (though now naming Daimler, the maker of Mercedes Benzes). Said the Court, to “illustrat[e]” specific jurisdiction’s “province[]”: A California court would exercise specific jurisdiction “if a California plaintiff, injured in a California accident involving a Daimler-manufactured vehicle, sued Daimler [in that court] alleging that the vehicle was defectively designed.” * * * As in *World-Wide Volkswagen*, the Court did not limit jurisdiction to where the car was designed, manufactured, or first sold. Substitute Ford for Daimler, Montana and Minnesota for California, and the Court’s “illustrat[ive]” case becomes . . . the two cases before us.

To see why Ford is subject to jurisdiction in these cases (as Audi, Volkswagen, and Daimler were in their analogues), consider first the business that the company regularly conducts in Montana and Minnesota. * * * Small wonder that Ford has here conceded “purposeful availment” of the two States’ markets. * * * By every means imaginable—among them, billboards, TV and radio spots, print ads, and direct mail—Ford urges Montanans and Minnesotans to buy its vehicles, including (at all relevant times) Explorers and Crown Victorias. Ford cars—again including those two models—are available for sale, whether new or used, throughout the States, at 36 dealerships in Montana and 84 in Minnesota. And apart from sales, Ford works hard to foster ongoing connections to its cars’ owners. The company’s dealers in Montana and Minnesota (as elsewhere) regularly maintain and repair Ford cars, including those whose warranties have long since expired. And the company distributes replacement parts both to its own dealers and to independent auto shops in the two States. Those activities, too, make Ford money. And by making it easier to own a Ford, they encourage Montanans and Minnesotans to become lifelong Ford drivers.

Now turn to how all this Montana- and Minnesota-based conduct relates to the claims in these cases, brought by state residents in

Montana’s and Minnesota’s courts. Each plaintiff’s suit, of course, arises from a car accident in one of those States. In each complaint, the resident-plaintiff alleges that a defective Ford vehicle—an Explorer in one, a Crown Victoria in the other—caused the crash and resulting harm. And as just described, Ford had advertised, sold, and serviced those two car models in both States for many years. (Contrast a case, which we do not address, in which Ford marketed the models in only a different State or region.) In other words, Ford had systematically served a market in Montana and Minnesota for the very vehicles that the plaintiffs allege malfunctioned and injured them in those States. So there is a strong “relationship among the defendant, the

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forum, and the litigation”—the “essential foundation” of specific jurisdiction. *Helicopteros*, * * * (internal quotation marks omitted). That is why this Court has used this exact fact pattern (a resident-plaintiff sues a global car company, extensively serving the state market in a vehicle, for an in-state accident) as an illustration—even a paradigm example—of how specific jurisdiction works. See *Daimler* * * *,⁴

The only complication here, pressed by Ford, is that the company sold the specific cars involved in these crashes outside the forum States, with consumers later selling them to the States’ residents. Because that is so, Ford argues, the plaintiffs’ claims “would be precisely the same if Ford had never done anything in Montana and Minnesota.” * * * Of course, that argument merely restates Ford’s demand for an exclusively causal test of connection—which we have already shown is inconsistent with our caselaw. * * * And indeed, a similar assertion could have been made in *World-Wide Volkswagen*—yet the Court made clear that systematic contacts in Oklahoma rendered Audi accountable there for an in-state accident, even though it involved a car sold in New York. * * * So too here, and for the same reasons, * * * even supposing (as Ford does) that without the company’s Montana or Minnesota contacts the plaintiffs’ claims would be just the same.

But in any event, that assumption is far from clear. For the owners of these cars might never have bought them, and so these suits might never have arisen, except for Ford’s contacts with their home States. Those contacts might turn any resident of Montana or Minnesota into a Ford owner—even when he buys his car from out of state. He may make that purchase because he saw ads for the car in local media. And he may take into account a raft of Ford’s in-state activities designed to make driving a Ford convenient there: that Ford dealers stand ready to service the car; that other auto shops have ample supplies of Ford parts; and that Ford fosters an active resale market for its old models. The plaintiffs here did not in fact establish, or even allege, such causal links. * * * But cf. * * * (ALITO, J., concurring in judgment) (nonetheless finding some kind of causation). Nor should jurisdiction in cases like these ride on the exact reasons for an individual plaintiff’s purchase, or on his ability to present

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persuasive evidence about them.⁵ But the possibilities listed above—created by the reach of Ford’s Montana and Minnesota contacts—underscore the aptness of finding jurisdiction here, even though the cars at issue were first sold out of state.

For related reasons, allowing jurisdiction in these cases treats Ford fairly, as this Court’s precedents explain. In conducting so much business in Montana and Minnesota, Ford “enjoys the benefits and protection of [their] laws”—the enforcement of contracts, the defense of property, the resulting formation of effective markets. * * * All that assistance to Ford’s in-state business creates reciprocal obligations—most relevant here, that the car models Ford so extensively markets in Montana and Minnesota be safe for their citizens to use there. Thus our repeated conclusion: A state court’s enforcement of that commitment, enmeshed as it is with Ford’s government-protected in-state business, can “hardly be said to be undue.” * * * And as *World-Wide Volkswagen* described, it cannot be thought surprising either. An automaker regularly marketing a vehicle in a State, the Court said, has “clear notice” that it will be subject to jurisdiction in the State’s courts when the product malfunctions there (regardless where it was first sold). * * * Precisely because that exercise of jurisdiction is so reasonable, it is also predictable—and thus allows Ford to “structure [its] primary conduct” to lessen or even avoid the costs of state-court litigation. * * *

Finally, principles of “interstate federalism” support jurisdiction over these suits in Montana and Minnesota. * * * Those States have significant interests at stake—“providing [their] residents with a convenient forum for redressing injuries inflicted by out-of-state actors,” as well as enforcing their own safety regulations. * * * Consider, next to those, the interests of the States of first sale (Washington and North Dakota)—which Ford’s proposed rule would make the most likely forums. For each of those States, the suit involves all out-of-state parties, an out-of-state accident, and out-of-state injuries; the suit’s only connection with the State is that a former owner once (many years earlier) bought the car there. In other words, there is a less significant “relationship among the defendant, the forum, and the litigation.” * * * So by channeling these suits to Washington and North Dakota, Ford’s regime would undermine, rather than promote, what the company calls the Due Process Clause’s “jurisdiction-allocating function.” Brief for Petitioner 24.

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Ford mainly relies for its rule on two of our recent decisions—*Bristol-Myers* and *Walden*. But those precedents stand for nothing like the

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principle Ford derives from them. If anything, they reinforce all we have said about why Montana’s and Minnesota’s courts can decide these cases.

Ford says of *Bristol-Myers* that it “squarely foreclose[s]” jurisdiction. * * * In that case, non-resident plaintiffs brought claims in California state court against Bristol-Myers Squibb, the manufacturer of a nationally marketed prescription drug called Plavix. The plaintiffs had not bought Plavix in California; neither had they used or suffered any harm from the drug there. Still, the California Supreme Court thought it could exercise jurisdiction because Bristol-Myers Squibb sold Plavix in California and was defending there against identical claims brought by the State’s residents. This Court disagreed, holding that the exercise of jurisdiction violated the Fourteenth Amendment. In Ford’s view, the same must be true here. Each of these plaintiffs, like the plaintiffs in *Bristol-Myers*, alleged injury from a particular item (a car, a pill) that the defendant had sold outside the forum State. Ford reads *Bristol-Myers* to preclude jurisdiction when that is true, even if the defendant regularly sold “the same *kind* of product” in the State. * * *

But that reading misses the point of our decision. We found jurisdiction improper in *Bristol-Myers* because the forum State, and the defendant’s activities there, lacked any connection to the plaintiffs’ claims. * * * The plaintiffs, the Court explained, were not residents of California. They had not been prescribed Plavix in California. They had not ingested Plavix in California. And they had not sustained their injuries in California. * * * In short, the plaintiffs were engaged in forum-shopping—suing in California because it was thought plaintiff-friendly, even though their cases had no tie to the State. * * * That is not at all true of the cases before us. Yes, Ford sold the specific products in other States, as Bristol-Myers Squibb had. But here, the plaintiffs are residents of the forum States. They used the allegedly defective products in the forum States. And they suffered injuries when those products malfunctioned in the forum States. In sum, each of the plaintiffs brought suit in the most natural State—based on an “affiliation between the forum and the underlying controversy, principally, [an] activity or an occurrence that t[ook] place” there. * * * So *Bristol-Myers* does not bar jurisdiction.

Ford falls back on *Walden* as its last resort. In that case, a Georgia police officer working at an Atlanta airport searched, and seized money from, two Nevada residents before they embarked on a flight to Las Vegas. The victims of the search sued the officer in Nevada, arguing that their alleged injury (their inability to use the seized money) occurred in the State in which they lived. This Court held the exercise of jurisdiction in Nevada improper even though “the plaintiff[s] experienced [the] effect[s]” of the officer’s conduct there. * * * According to Ford, our ruling shows that a plaintiff’s residence and place of injury can never support jurisdiction. * * *

And without those facts, Ford concludes, the basis for jurisdiction crumbles here as well.

But *Walden* has precious little to do with the cases before us. In *Walden*, only the plaintiffs had any contacts with the State of Nevada; the defendant-officer had never taken any act to “form[] a contact” of his own. * * * The officer had “never traveled to, conducted activities within, contacted anyone in, or sent anything or anyone to Nevada.” * * * So to use the language of our doctrinal test: He had not “purposefully avail[ed himself] of the privilege of conducting activities” in the forum State. * * * Because that was true, the Court had no occasion to address the necessary connection between a defendant’s in-state activity and the plaintiff’s claims. But here, Ford has a veritable truckload of contacts with Montana and Minnesota, as it admits. * * * The only issue is whether those contacts are related enough to the plaintiffs’ suits. As to that issue, so what if (as *Walden* held) the place of a plaintiff’s injury and residence cannot create a defendant’s contact with the forum State? Those places still may be relevant in assessing the link between the defendant’s forum contacts and the plaintiff’s suit—including its assertions of who was injured where. And indeed, that relevance is a key part of *Bristol-Myers*’ reasoning. * * * (finding a lack of “connection” in part because the “plaintiffs are not California residents and do not claim to have suffered harm in that State”). One of Ford’s own favorite cases thus refutes its appeal to the other.

* * *

Here, resident-plaintiffs allege that they suffered in-state injury because of defective products that Ford extensively promoted, sold, and serviced in Montana and Minnesota. For all the reasons we have given, the connection between the plaintiffs’ claims and Ford’s activities in those States—or otherwise said, the “relationship among the defendant, the forum[s], and the litigation”—is close enough to support specific jurisdiction. * * * The judgments of the Montana and Minnesota Supreme Courts are therefore affirmed.

It is so ordered.

JUSTICE BARRETT took no part in the consideration or decision of these cases.

JUSTICE ALITO, concurring in the judgment.

These cases can and should be decided without any alteration or refinement of our case law on specific personal jurisdiction. To be sure, for the reasons outlined in Justice GORSUCH’s thoughtful opinion, there are grounds for questioning the standard that the Court adopted in *International Shoe Co. v. Washington* * * *. And there are also reasons to wonder whether the case law we have developed since that time is well suited for the way in which business is now conducted. But there is nothing

distinctively 21st century about the question in the cases now before us, and the answer to that question is settled by our case law.

Since *International Shoe*, the rule has been that a state court can exercise personal jurisdiction over a defendant if the defendant has “minimum contacts” with the forum—which means that the contacts must be “such that the maintenance of the suit does not offend ‘traditional notions of fair play and substantial justice.’ ” * * *

That standard is easily met here. Ford has long had a heavy presence in Minnesota and Montana. It spends billions on national advertising. It has many franchises in both States. Ford dealers in Minnesota and Montana sell and service Ford vehicles, and Ford ships

replacement parts to both States. In entertaining these suits, Minnesota and Montana courts have not reached out and grabbed suits in which they “have little legitimate interest.” * * * *Their* residents, while riding in vehicles purchased within *their* borders, were killed or injured in accidents on *their* roads. Can anyone seriously argue that requiring Ford to litigate these cases in Minnesota and Montana would be fundamentally unfair?

Well, Ford makes that argument. It would send the plaintiffs packing to the jurisdictions where the vehicles in question were assembled (Kentucky and Canada), designed (Michigan), or first sold (Washington and North Dakota) or where Ford is incorporated (Delaware) or has its principal place of business (Michigan).

As might have been predicted, the Court unanimously rejects this understanding of “traditional notions of fair play and substantial justice.” And in doing so, we merely follow what we said in *World-Wide Volkswagen Corp. v. Woodson*, * * * which was essentially this: If a car manufacturer makes substantial efforts to sell vehicles in States A and B (and other States), and a defect in a vehicle first sold in State A causes injuries in an accident in State B, the manufacturer can be sued in State B. That rule decides these cases.

Ford, however, asks us to adopt an unprecedented rule under which a defendant’s contacts with the forum State must be proven to have been a but-for cause of the tort plaintiff’s injury. The Court properly rejects that argument, and I agree with the main thrust of the Court’s opinion. My only quibble is with the new gloss that the Court puts on our case law. Several of our opinions have said that a plaintiff’s claims “ ‘must arise out of or relate to the defendant’s contacts’ ” with the forum. * * * The Court parses this phrase “as though we were dealing with language of a statute,” *Reiter v. Sonotone Corp.*, 442 U.S. 330, 341, 99 S.Ct. 2326, 60 L.Ed.2d 931 (1979), and because this phrase is cast in the disjunctive, the Court recognizes a new category of cases in which personal jurisdiction is permitted: those in which the claims do not “arise out of ” (i.e., are not caused by) the

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defendant’s contacts but nevertheless sufficiently “relate to” those contacts in some undefined way * * *.

This innovation is unnecessary and, in my view, unwise. To say that the Constitution does not require the kind of proof of causation that Ford would demand—what the majority describes as a “strict causal relationship,” * * *—is not to say that no causal link of any kind is needed. And here, there is a sufficient link. It is reasonable to infer that the vehicles in question here would never have been on the roads in Minnesota and Montana if they were some totally unknown brand that had never been advertised in those States, was not sold in those States, would not be familiar to mechanics in those States, and could not have been easily repaired with parts available in those States. * * * The whole point of those activities was to put more Fords (including those in question here) on Minnesota and Montana roads. The common-sense relationship between Ford’s activities and these suits, in other words, is causal in a broad sense of the concept, and personal jurisdiction can rest on this type of link without strict proof of the type Ford would require. When “arise out of ” is understood in this way, it is apparent that “arise out of ” and “relate to” overlap and are not really two discrete grounds for jurisdiction. The phrase “arise out of or relate to” is simply a way of restating the basic “minimum contacts” standard adopted in *International Shoe*.

Recognizing “relate to” as an independent basis for specific jurisdiction risks needless complications. The “ordinary meaning” of the phrase “relate to” “is a broad one.” * * * Applying that phrase “according to its terms [is] a project doomed to failure, since, as many a curbstone philosopher has observed, everything is related to everything else.” * * * To rein in this phrase, limits must be found, and the Court assures us that “relate to,” as it now uses the concept, “incorporates real limits.” * * * But without any indication what those limits might be, I doubt that the lower courts will find that observation terribly helpful. Instead, what limits the potentially boundless reach of “relate to” is just the sort of rough causal connection I have described.

I would leave the law exactly where it stood before we took these cases, and for that reason, I concur in the judgment.

JUSTICE GORSUCH, with whom JUSTICE THOMAS joins, concurring in the judgment.

Since *International Shoe Co. v. Washington* * * *, this Court’s cases have sought to divide the world of personal jurisdiction in two. A tribunal with “general jurisdiction” may entertain any claim against the defendant. But to trigger this power, a court usually must ensure the defendant is “ ‘at home’ ” in the forum State. * * * Meanwhile, “specific jurisdiction” affords a narrower authority. It applies only when the defendant “ ‘purposefully avails’ ” itself of the opportunity to do business in the forum State and the

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suit “ ‘arise[s] out of or relate[s] to’ ” the defendant’s contacts with the forum State. * * *

While our cases have long admonished lower courts to keep these concepts distinct, some of the old guardrails have begun to look a little battered. Take general jurisdiction. If it made sense to speak of a corporation having one or two “homes” in 1945, it seems almost quaint in 2021 when corporations with global reach often have massive operations spread across multiple States. To cope with these changing economic realities, this Court has begun cautiously expanding the old rule in “ ‘exceptional case[s].’ ” * * *

Today’s case tests the old boundaries from another direction. Until now, many lower courts have proceeded on the premise that specific jurisdiction requires two things. First, the defendant must “purposefully avail” itself of the chance to do business in a State. Second, the plaintiff’s suit must “arise out of or relate to” the defendant’s in-state activities. Typically, courts have read this second phrase as a unit requiring at least a but-for causal link between the defendant’s local activities and the plaintiff’s injuries. * * * As every first year law student learns, a but-for causation test isn’t the most demanding. At a high level of abstraction, one might say any event in the world would not have happened “but for” events far and long removed.

Now, though, the Court pivots away from this understanding. Focusing on the phrase “arise out of or relate to” that so often appears in our cases, the majority asks us to parse those words “as though we were dealing with language of a statute.” * * * In particular, the majority zeros in on the disjunctive conjunction “or,” and proceeds to build its entire opinion around that linguistic feature. * * * The majority admits that “arise out of ” may connote causation. But, it argues, “relate to” is an independent clause that does not.

Where this leaves us is far from clear. For a case to “relate to” the defendant’s forum contacts, the majority says, it is enough if an “affiliation” or “relationship” or “connection” exists between them. * * * But what does this assortment of nouns *mean*? Loosed from any causation standard, we are left to guess. The majority promises that its new test “does not mean anything goes,” but that hardly tells us what does. * * * In some cases, the new test may prove more forgiving than the old causation rule. But it’s hard not to wonder whether it may also sometimes turn out to be more demanding. Unclear too is whether, in cases like that, the majority would treat causation and “affiliation” as alternative routes to specific jurisdiction, or whether it would deny jurisdiction outright.

For a glimpse at the complications invited by today’s decision, consider its treatment of North Dakota and Washington. Those are the States where Ford first sold the allegedly defective cars at issue in the cases before us.

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The majority seems to suggest that, if the plaintiffs had sought to bring their suits in those States, they would have failed. The majority stresses that the “only connection” between the plaintiffs’ claims and North Dakota and Washington is the fact that former owners once bought the allegedly defective cars there. * * * But the majority never tells us why that “connection” isn’t enough. Surely, North Dakota and Washington would contend they have a strong interest in ensuring they don’t become marketplaces for unreasonably dangerous products. Nor is it clear why the majority casts doubt on the availability of specific jurisdiction in these States without bothering to consider whether the old causation test might allow it. After all, no one doubts Ford purposefully availed itself of those markets. The plaintiffs’ injuries, at least arguably, “arose from” (or were caused by) the sale of defective cars in those places. Even if the majority’s new affiliation test isn’t satisfied, don’t we still need to ask those causation questions, or are they now to be abandoned?

Consider, too, a hypothetical the majority offers in a footnote. The majority imagines a retiree in Maine who starts a one-man business, carving and selling wooden duck decoys. In time, the man sells a defective decoy over the Internet to a purchaser in another State who is injured. * * * We aren’t told how. (Was the decoy coated in lead paint?) But put that aside. The majority says this hypothetical supplies a useful study in contrast with our cases. On the majority’s telling, Ford’s “continuous” contacts with Montana and Minnesota are enough to establish an “affiliation” with those States; by comparison, the decoy seller’s contacts may be too “isolated” and “sporadic” to entitle an injured buyer to sue in his home State. But if this comparison highlights anything, it is only the litigation sure to follow. For between the poles of “continuous” and “isolated” contacts lie a virtually infinite number of “affiliations” waiting to be explored. And when it comes to that vast terrain, the majority supplies no meaningful guidance about what kind or how much of an “affiliation” will suffice. Nor, once more, does the majority tell us whether its new affiliation test supplants or merely supplements the old causation inquiry.

Not only does the majority’s new test risk adding new layers of confusion to our personal jurisdiction jurisprudence. The whole project seems unnecessary. Immediately after disavowing any need for a causal link between the defendant’s forum activities and the plaintiffs’ injuries, the majority proceeds to admit that such a link may be present here. * * * The majority stresses that the Montana and Minnesota plaintiffs before us “might” have purchased their cars because of Ford’s activities in their home States. They “may” have relied on Ford’s local advertising. And they “may” have depended on Ford’s promise to furnish in-state servicers and dealers. If the majority is right about these things, that would be more than enough to establish a but-for causal link between Ford’s in-state activities and the plaintiffs’ decisions to purchase their allegedly defective vehicles. Nor

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should that result come as a surprise: One might expect such causal links to be easy to prove in suits against corporate behemoths like Ford. All the new euphemisms—“affiliation,” “relationship,” “connection”—thus seem pretty pointless.¹

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With the old *International Shoe* dichotomy looking increasingly uncertain, it’s hard not to ask how we got here and where we might be headed.

Before *International Shoe*, it seems due process was usually understood to guarantee that only a court of competent jurisdiction could deprive a defendant of his life, liberty, or property. In turn, a court’s competency normally depended on the defendant’s presence in, or consent to, the sovereign’s jurisdiction. But once a plaintiff was able to “tag” the defendant with process in the jurisdiction, that State’s courts were generally thought competent to render judgment on any claim against the defendant, whether it involved events inside or outside the State. *Pennoyer v. Neff*, [p. 79, supra]; *Burnham v. Superior Court of Cal., County of Marin*, [p. 223, infra].²

International Shoe’s emergence may be attributable to many influences, but at least part of the story seems to involve the rise of corporations and interstate trade. * * * A corporation doing business in its State of incorporation is one thing; the old physical presence rules for individuals seem easily adaptable to them. But what happens when a corporation, created and able to operate thanks to the laws of one State, seeks the privilege of sending agents or products into another State?

Early on, many state courts held conduct like that renders an out-of-state corporation present in the second jurisdiction. And a

present company could be sued for any claim, so long as the plaintiff served an employee doing corporate business within the second State. * * * Other States sought to obviate any potential question about corporate jurisdiction by requiring

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an out-of-state corporation to incorporate under their laws too, or at least designate an agent for service of process. Either way, the idea was to secure the out-of-state company's presence or consent to suit. * * *

Unsurprisingly, corporations soon looked for ways around rules like these. No one, after all, has ever liked greeting the process server. For centuries, individuals facing imminent suit sought to avoid it by fleeing the court's territorial jurisdiction. But this tactic proved "too crude for the American business genius," and it held some obvious disadvantages. See Jackson, What Price "Due Process," 5 N. Y. L. Rev. 435, 436 (1927). Corporations wanted to retain the privilege of sending their personnel and products to other jurisdictions where they lacked a charter to do business. At the same time, when confronted with lawsuits in the second forum, they sought to hide behind their foreign charters and deny their presence. Really, their strategy was to do business without being seen to do business. *Id.*, at 438 ("No longer is the foreign corporation confronted with the problem 'to be or not to be'—it can both be and not be!").

Initially and routinely, state courts rejected ploys like these. * * * But, in a series of decisions at the turn of the last century, this Court eventually provided a more receptive audience. On the one hand, the Court held that an out-of-state corporation often has a right to do business in another State unencumbered by that State's registration rules, thanks to the so-called dormant Commerce Clause. * * * On the other hand, the Court began invoking the Due Process Clause to restrict the circumstances in which an out-of-state corporation could be deemed present. So, for example, the Court ruled that even an Oklahoma corporation purchasing a large portion of its merchandise in New York was not "doing business" there. *Rosenberg Bros. & Co. v. Curtis Brown Co.*, 260 U.S. 516, 517–518, 43 S.Ct. 170, 67 L.Ed. 372 (1923). Perhaps advocates of this arrangement thought it promoted national economic growth. * * * But critics questioned its fidelity to the Constitution and traditional jurisdictional principles, noting that it often left injured parties with no practical forum for their claims too. * * *

In many ways, *International Shoe* sought to start over. The Court "cast . . . aside" the old concepts of territorial jurisdiction that its own earlier decisions had seemingly twisted in favor of out-of-state corporations. * * * At the same time, the Court *also* cast doubt on the idea, once pursued by many state courts, that a company "consents" to suit when it is forced to incorporate or designate an agent for receipt of process in a jurisdiction other than its home State. * * * In place of nearly everything that had come before, the Court sought to build a new test focused on " 'traditional notions of fair play and substantial justice.' " * * *

It was a heady promise. But it is unclear how far it has really taken us. Even today, this Court usually considers corporations "at home" and thus subject to general jurisdiction in only one or two States. All in a world

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where global conglomerates boast of their many "headquarters." The Court has issued these restrictive rulings, too, even though *individual* defendants remain subject to the old "tag" rule, allowing them to be sued on any claim anywhere they can be found. *Burnham* * * *.⁴ Nearly 80 years removed from *International Shoe*, it seems corporations continue to receive special jurisdictional protections in the name of the Constitution. Less clear is why.

Maybe, too, *International Shoe* just doesn't work quite as well as it once did. For a period, its specific jurisdiction test might have seemed a reasonable new substitute for assessing corporate "presence," a way to identify those out-of-state corporations that were simply pretending to be absent from jurisdictions where they were really transacting business. When a company "purposefully availed" itself of the benefits of another State's market in the 1940s, it often involved sending in agents, advertising in local media, or developing a network of on-the-ground dealers, much as Ford did in these cases. * * * But, today, even an individual retiree carving wooden decoys in Maine can "purposefully avail" himself of the chance to do business across the continent after drawing online orders to his e-Bay "store" thanks to Internet advertising with global reach. * * * A test once aimed at keeping corporations honest about their out-of-state operations now seemingly risks hauling individuals to jurisdictions where they have never set foot.

Perhaps this is the real reason why the majority introduces us to the hypothetical decoy salesman. Yes, he arguably availed himself of a new market. Yes, the plaintiff's injuries arguably arose from (or were caused by) the product he sold there. Yes, *International Shoe*'s old causation test would seemingly allow for personal jurisdiction. But maybe the majority resists that conclusion because the old test no longer seems as reliable a proxy for determining corporate presence as it once did. Maybe *that's* the intuition lying behind the majority's introduction of its new "affiliation" rule and its comparison of the Maine retiree's "sporadic" and "isolated" sales in the plaintiff's State and Ford's deep "relationships" and "connections" with Montana and Minnesota. * * *

If that is the logic at play here, I cannot help but wonder if we are destined to return where we began. Perhaps all of this Court's efforts since *International Shoe*, including those of today's majority, might be understood as seeking to recreate in new terms a jurisprudence about corporate jurisdiction that was developing before this Court's muscular

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interventions in the early 20th century. Perhaps it was, is, and in the end always will be about trying to assess fairly a corporate defendant's presence or consent. *International Shoe* may have sought to move past those questions. But maybe all we have done since is

struggle for new words to express the old ideas. Perhaps, too, none of this should come as a surprise. New technologies and new schemes to evade the process server will always be with us. But if our concern is with “ ‘*traditional* notions of fair play and substantial justice,’ ” * * * not just our personal and idiosyncratic impressions of those things, perhaps we will always wind up asking variations of the same questions.⁵

None of this is to cast doubt on the outcome of these cases. The parties have not pointed to anything in the Constitution’s original meaning or its history that might allow Ford to evade answering the plaintiffs’ claims in Montana or Minnesota courts. No one seriously questions that the company, seeking to do business, entered those jurisdictions through the front door. And I cannot see why, when faced with the process server, it should be allowed to escape out the back. * * * The real struggle here isn’t with settling on the right outcome in these cases, but with making sense of our personal jurisdiction jurisprudence and *International Shoe*’s increasingly doubtful dichotomy. On those scores, I readily admit that I finish these cases with even more questions than I had at the start. Hopefully, future litigants and lower courts will help us face these tangles and sort out a responsible way to address the challenges posed by our changing economy in light of the Constitution’s text and the lessons of history.

NOTES AND QUESTIONS

- 1. According to Justice Kagan’s majority opinion, what is the test for deciding whether specific jurisdiction satisfies due process? In what ways do the concurring opinions disagree with the majority about the test?
- 2. Both *Bristol-Myers* and *Ford* involved large companies doing substantial business in the forum state. Why was specific jurisdiction proper in *Ford* but not proper in *Bristol-Myers*?
- 3. Justice Kagan’s majority opinion discusses “two sets of values—treating defendants fairly and protecting ‘interstate federalism.’ ” How do these values factor into the requirements for specific jurisdiction? Do they play

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- a different role under *Ford*’s test for specific jurisdiction than they did in earlier decisions such as *World-Wide Volkswagen*, p. 114, *supra*, *Burger King*, p. 127, *supra*, and *Asahi*, p. 134, *supra*?
- 4. According to Justice Gorsuch, the majority “seems to suggest” that personal jurisdiction would not have been proper in the states where the vehicles at issue in *Ford* were initially sold (North Dakota and Washington). In what way does the majority suggest that? Do you agree with his statement?
- 5. Consider the hypothetical “retiree in Maine who starts a one-man business, carving and selling wooden duck decoys” (discussed in Justice Gorsuch’s concurring opinion and footnote 4 of the majority opinion). If that individual sells a decoy to a Montana customer and it causes injury there, how would a court analyze whether the decoy-maker would be subject to personal jurisdiction in Montana? What additional information would be relevant?
- 6. In footnote 3 of the majority opinion, Justice Kagan alludes to Justice Gorsuch’s “apparent (if oblique) view that a state court should have jurisdiction over a nationwide corporation like *Ford* on *any* claim, no matter how unrelated to the State or *Ford*’s activities there.” In what way does Justice Gorsuch’s opinion reflect that view? Would Justice Gorsuch conclude that the California court could exercise jurisdiction in *Daimler*, p. 167, *supra*, or in *Bristol-Myers*? If not, why not?

G. CONSENT AS ANOTHER BASIS OF JURISDICTION

1. CONSENT BY APPEARANCE IN COURT

INSURANCE CORP. OF IRELAND, LTD. v. COMPAGNIE DES BAUXITES DE GUINEE, 456 U.S. 694, 102 S.Ct. 2099, 72 L.Ed.2d 492 (1982). Plaintiff, Compagnie des Bauxites de Guinee (CBG), a bauxite producer incorporated in Delaware but doing business only in the Republic of Guinea, purchased business-interruption insurance from a domestic insurer in Pennsylvania and from a group of foreign insurance companies through a London brokerage house. When a mechanical failure forced a halt in production, CBG filed a multi-million dollar claim, which the insurers refused to pay. CBG then sued in federal court in Pennsylvania, but most of the foreign insurance companies contested personal jurisdiction. CBG attempted to use discovery to establish the essential jurisdictional facts. After the companies failed to comply with the court’s orders for production of the requested information despite repeated warnings, the district court, pursuant to Federal Rule 37(b)(2)(A)(i), imposed a sanction consisting of a presumptive finding that the insurers were subject to its jurisdiction because of their business contacts in Pennsylvania. The Supreme Court upheld the sanction in an opinion written by Justice White:

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- Because the requirement of personal jurisdiction represents first of all an individual right, it can, like other such rights, be waived. * * *
- * * * By submitting to the jurisdiction of the court for the limited purpose of challenging jurisdiction, the defendant agrees to abide by that court’s determination on the issue of jurisdiction[,] * * * [and] the manner in which the court determines whether it has personal jurisdiction may include a variety of legal rules and presumptions, as well as straightforward factfinding. * * *

* * * CBG was seeking through discovery to respond to [the insurers’] contention that the District Court did not have personal jurisdiction. Having put the issue in question, [the insurers] did not have the option of blocking the reasonable attempt of CBG to meet its burden of proof. [They] surely did not have this option once the court had overruled [their] objections. Because of [the insurers’] failure to comply with the discovery orders, CBG was unable to establish the full extent of the contacts between [the insurers] and Pennsylvania, the critical issue in proving personal jurisdiction. [Their] failure to supply the requested information as to [their] contacts with Pennsylvania supports “the presumption that the refusal to produce evidence . . . was but an admission of the want of merit in the asserted defense.” * * * The sanction took as established the facts—contacts with Pennsylvania—that CBG was seeking to establish through discovery. * * *

Id. at 703, 706–09, 102 S.Ct. at 2105–08, 72 L.Ed.2d at 502, 504–05. In a footnote, Justice White added:

It is true that we have stated that the requirement of personal jurisdiction, as applied to state courts, reflects an element of federalism and the character of state sovereignty vis-à-vis other States. * * * The restriction on state sovereign power * * * must be seen as ultimately a function of the individual liberty interest preserved by the Due Process Clause. That clause is the only source of the personal jurisdiction requirement and the Clause itself makes no mention of federalism concerns. Furthermore, if the federalism concept operated as an independent restriction on the sovereign power of the court, it would not be possible to waive the personal jurisdiction requirement: Individual actions cannot change the powers of sovereignty, although the individual can subject himself to powers from which he may otherwise be protected.

Id. at 702 n.10, 102 S.Ct. at 2104 n.10, 72 L.Ed.2d 502 n.10.

NOTE AND QUESTION

A defendant may waive objections to a court’s exercise of personal jurisdiction, may forfeit an opportunity to raise objections to jurisdiction, or may be estopped from raising the issue. For example, Federal Rule 12(h)(1) provides that a defendant who fails to raise an objection to personal jurisdiction in the answer or in an initial motion under Rule 12 is precluded from raising the issue. See p. 663, Background Note on Federal Rule 12, *infra*. In these settings, is defendant’s consent the basis for the court’s power?

2.CONSENT BY REGISTRATION IN STATE

Most states have statutes that require a foreign corporation to register as a condition of doing business in the state. By analogy to the motorist statute at issue in *Kane*, p. 90, *supra*, can it be argued that registration manifests consent to the general jurisdiction of the forum state? In *PENNSYLVANIA FIRE INSURANCE CO. OF PHILADELPHIA v. GOLD ISSUE MINING & MILLING CO.*, 243 U.S. 93, 94–96, 37 S.Ct. 344, 345, 61 L.Ed. 610, 616 (1917), the Supreme Court held that due process permitted personal jurisdiction over an out-of-state insurance company based on its consent that service of process on an in-state official would be deemed personal service on the company. In *FLEXNER v. FARSON*, 248 U.S. 289, 293, 39 S.Ct. 97, 98, 63 L.Ed. 250, 253 (1919), however, it rejected such consent with respect to individual defendants, noting that the forum state “had no power to exclude the defendants” and therefore cannot attach consent-to-service as a condition of doing business in the state.

In *RATLIFF v. COOPER LABORATORIES, INC.*, 444 F.2d 745 (4th Cir. 1971), cert. denied, 404 U.S. 948, 92 S.Ct. 271, 30 L.Ed.2d 265 (1971), the court of appeals held that an out-of-state drug manufacturer that regularly sent salesmen into South Carolina was not amenable to suit in that state even though it had filed an application and been given authority to do business in the state, and had appointed an in-state agent for service of process. Plaintiffs were residents of Florida and Indiana that had purchased and consumed in their home states drugs manufactured by defendant; they had sued in South Carolina to take advantage of that state’s relatively long statute of limitations. The Fourth Circuit explained: “Applying for the privilege of doing business is one thing, but the actual exercise of that privilege is quite another. * * * The principles of due process require a firmer foundation than mere compliance with state domestication statutes.” 444 F.2d at 748.

Would *Daimler* or *Goodyear* support the exercise of general jurisdiction based on registration to do business in the forum state? See Benish, Pennoyer’s *Ghost: Consent, Registration Statutes, and General Jurisdiction after Daimler* AG v. Bauman, 90 N.Y.U.L.Rev. 1609 (2015). The Supreme Court has not addressed this issue, but lower courts have questioned whether that practice remains constitutionally permissible

after the Court’s recent decisions on general jurisdiction. See, e.g., *Fidrych v. Marriott International, Inc.*, 952 F.3d 124, 135–37 (4th Cir. 2020) (recognizing earlier Supreme Court decisions supporting the view that “a foreign corporation obtaining a business license or appointing an agent for service of process in a state has consented to general jurisdiction in the state if state law so provides” but finding it “difficult to reconcile [that] approach with the modern view of general jurisdiction expressed in the Supreme Court’s recent cases”). Some courts have avoided the constitutional question by construing the relevant statutes as not making registration the equivalent of consent to general jurisdiction. See, e.g., *Aybar v. Aybar*, 177 N.E.2d 1257, 37 N.Y.3d 274 (2021); *Magna Powertrain de Mexico S.A. de C.V. v. Momentive Performance Materials USA LLC*, 192 F.Supp.3d 824 (E.D.Mich. 2016). Other courts, however, have recognized consent-by-registration as an independent ground for general jurisdiction that survives the Supreme Court’s recent case law. See, e.g., *Cooper Tire & Rubber Co. v. McCall*, 863 S.E.2d 81 (Ga. 2021) (reaffirming its prior case law holding “that Georgia courts may exercise

general personal jurisdiction over any out-of-state corporation that is ‘authorized to do or transact business in this state at the time a claim arises,’ ” despite its “tension with a recent line of United States Supreme Court cases addressing when state courts may exercise general personal jurisdiction over out-of-state corporations”); *Bors v. Johnson & Johnson*, 208 F.Supp.3d 648 (E.D.Pa. 2016) (“The ruling in *Daimler* does not eliminate consent to general personal jurisdiction over a corporation registered to do business in Pennsylvania.”).

On April 25, 2022, the Supreme Court agreed to hear a case that presents the question whether due process allows a state to require a corporation to consent to personal jurisdiction in order to do business in that state. *Mallory v. Norfolk Southern Railway Co.*, ___ U.S. ___, ___ S.Ct. ___, ___ L.Ed.2d ___, 2022 WL 1205835 (2022) (granting certiorari). The case will be argued during the Term that begins in October 2022.

3.CONSENT BY CONTRACT

A party may consent to the jurisdiction of a forum by assenting to a contractual choice-of-forum term. Contractual consent can apply to a dispute that already exists or to one that may arise later between the parties. Moreover, a party may agree to a forum term that waives objections to jurisdiction in a forum, or purports to oust any but the designated forum of jurisdiction to hear the dispute. Traditionally, agreements to oust courts of jurisdiction were void as against public policy and were not judicially enforceable.

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M/S BREMEN v. ZAPATA OFF-SHORE CO., 407 U.S. 1, 92 S.Ct. 1907, 32 L.Ed.2d 513 (1972). Plaintiff Zapata, a Houston-based American corporation, contracted with Unterweser, a German corporation, to tow Zapata’s drilling rig from Louisiana to Italy. The contract contained a provision that all disputes were to be litigated before the “London Court of Justice.” In the course of the towing, the rig was damaged in a storm off Florida and was towed to Tampa. Zapata commenced suit against Unterweser in a federal court in Florida. Unterweser, citing the forum-selection clause in the contract, moved to dismiss or, alternatively, to stay the action pending the submission of the dispute to the High Court of Justice in London. On a parallel track, Unterweser sued Zapata for breach of contract in the English court.

The district court refused to dismiss or stay the American action, and the court of appeals affirmed. The Supreme Court reversed: We hold * * * that far too little weight and effect were given to the forum clause in resolving this controversy. * * * The expansion of American business and industry will hardly be encouraged if, notwithstanding solemn contracts, we insist on a parochial concept that all disputes must be resolved under our laws and in our courts. * * * We cannot have trade and commerce in world markets and international waters exclusively on our terms, governed by our laws, and resolved in our courts. *Id.* at 8–9, 92 S.Ct. at 1912–13, 32 L.Ed.2d at 519–20.

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CARNIVAL CRUISE LINES, INC. v. SHUTE, 499 U.S. 585, 111 S.Ct. 1522, 113 L.Ed.2d 622 (1991). Plaintiffs, Eulala and Russel Shute, purchased passage for a seven-day cruise on defendant’s ship, the *Tropicale*, through a Washington State travel agent. Plaintiffs paid the fare to the agent, who forwarded the payment to defendant’s headquarters in Florida. Defendant then prepared the tickets and sent them to plaintiffs in Washington. The ticket included a provision stating that:

8.It is agreed by and between the passenger and the Carrier that all disputes and matters whatsoever arising under, in connection with or incident to this Contract shall be litigated, if at all, in and before a Court located in the State of Florida, U.S.A., to the exclusion of the Courts of any other state or country.

Plaintiffs boarded the *Tropicale* in Los Angeles, California and sailed for Puerto Vallarta, Mexico; off the coast of Mexico, Eulala Shute slipped on a deck mat and was injured. Plaintiffs filed suit in federal court in Washington, claiming that the negligence of defendant and its employees had caused the injuries. The district court held that defendant’s contacts with Washington were constitutionally insufficient to exercise personal

jurisdiction; the Ninth Circuit declined to enforce the forum-selection clause, but concluded that defendant did have sufficient contacts with Washington and reversed the lower court.

The Supreme Court did not consider defendant’s “minimum contacts” argument; instead, it addressed the enforceability of the forum-selection clause. Rejecting the argument that *The Bremen* was limited to contracts between two business corporations, the Court stated:

* * * Including a reasonable forum clause in a form contract of this kind well may be permissible for several reasons: First, a cruise line has a special interest in limiting the fora in which it potentially could be subject to suit. Because a cruise ship typically carries passengers from many locales, it is not unlikely that a mishap on a cruise could subject the cruise line to litigation in several different fora. * * * Additionally, a clause establishing *ex ante* the forum for dispute resolution has the salutary effect of dispelling any confusion about where suits arising from the contract must be brought and defended, sparing litigants the time and expense of pretrial motions to determine the correct forum and conserving judicial resources that otherwise would be devoted to deciding those motions. * * * Finally, it stands to reason that passengers who purchase tickets

containing a forum clause like that at issue in this case benefit in the form of reduced fares reflecting the savings that the cruise line enjoys by limiting the fora in which it may be sued. * * *

Id. at 593–94, 111 S.Ct. at 1527, 113 L.Ed.2d at 632.

NOTE AND QUESTIONS

The Bremen held that forum-selection clauses “are prima facie valid and should be enforced” by federal courts sitting in admiralty “unless enforcement is shown by the resisting party to be ‘unreasonable’ under the circumstances.” 407 U.S. at 10, 92 S.Ct. at 1913, 32 L.Ed.2d at 520. Applying this test, *Carnival Cruise* emphasized that “forum-selection clauses contained in form passage contracts are subject to judicial scrutiny for fundamental fairness.” 499 U.S. at 595, 111 S.Ct. at 1528, 113 L.Ed.2d at 633. What factors are relevant in determining whether a forum-selection clause is “unreasonable” or meets “fundamental fairness”? Are you convinced that *Carnival Cruise* engaged in the appropriate level of scrutiny? How does the reasonableness standard of contract doctrine differ from an inquiry under the Due Process Clause? See Davis & Hershkoff, *Contracting for Procedure*, 53 Wm. & Mary L.Rev. 507 (2011).

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H. INTERNET AND OTHER TECHNOLOGICAL CONTACTS

A territorial approach to jurisdiction does not neatly fit activity conducted through the Internet. What does it mean to target a forum when a website is available to all online users? Do the operators of those websites have contacts wherever the Internet is available, i.e., everywhere? The Supreme Court has not yet resolved these questions. As Justice Thomas observed in *Walden v. Fiore*, p. 159, Note 8, *supra*, the Court has left “questions about virtual contacts for another day.” Some of the Justices alluded to these concerns in the *Ford* case as well. See p. 185, *supra* (Alito, J., concurring) (noting that there are “reasons to wonder whether the case law we have developed since [*International Shoe*] is well suited for the way in which business is now conducted”).

Without explicit guidance from the Supreme Court, lower courts have tried to adapt existing jurisdictional doctrine to Internet activity. Early cases tended to involve information posted on websites that lacked the capacity for interactive exchange with the user. *INSET SYSTEMS, INC. v. INSTRUCTION SET, INC.*, 937 F.Supp. 161 (D.Conn. 1996), a trademark infringement action, held that advertising over the Internet counted as “solicitation of business” under the state long-arm statute, and that it was constitutional to exercise jurisdiction based on defendant’s use of the Internet and its provision of a toll-free number to conduct business in the state. The court emphasized that defendant had “purposefully directed its advertising activity” to the forum state, and so “could reasonably anticipate the possibility” of being haled into court. Id. at 165. However, in *BENSUSAN RESTAURANT CORP. v. KING*, 937 F.Supp. 295 (S.D.N.Y. 1996), the district court declined to find that maintaining a website accessible in the forum state and providing a phone number satisfied the forum’s long-arm statute, which authorized jurisdiction over a nondomiciliary who reasonably expects a tortious act to have consequences in the state and derives substantial revenue from in-state activity.

ZIPPO MANUFACTURING CO. v. ZIPPO DOT COM, INC., 952 F.Supp. 1119, 1124 (W.D.Pa. 1997), another trademark infringement case, moved beyond mere placement of advertising on the Internet and explored whether the “conducting of electronic commerce”—use of a domain name and entering into contracts with 3,000 individuals and seven access providers to supply Internet news services—satisfied the state long-arm statute and showed defendant’s purposeful availment. *Zippo* became an influential decision because it offered a taxonomy of digital contacts that could guide other courts:

[T]he likelihood that personal jurisdiction can be constitutionally exercised is directly proportionate to the nature and quality of commercial activity that an entity conducts over the Internet.

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This sliding scale is consistent with well developed personal jurisdiction principles. At one end of the spectrum are situations where a defendant clearly does business over the Internet. If the defendant enters into contracts with residents of a foreign jurisdiction that involve the knowing and repeated transmission of computer files over the Internet, personal jurisdiction is proper. * * * At the opposite end are situations where a defendant has simply posted information on an Internet Web site which is accessible to users in foreign jurisdictions. A passive Web site that does little more than make information available to those who are interested in it is not grounds for the exercise [of] personal jurisdiction. * * * The middle ground is occupied by interactive Web sites where a user can exchange information with the host computer. In these cases, the exercise of jurisdiction is determined by examining the level of interactivity and commercial nature of the exchange of information that occurs on the Web site. * * *

In the wake of *Zippo*, interactivity became a central, although not dispositive, factor in digital contact cases. See 4A Wright, Miller & Steinman, *Federal Practice and Procedure* § 1073 (4th ed.). However, as digital technology evolved, interactivity came to play a less prominent role in the jurisdictional analysis. In *HY CITE CORP. v. BADBUSINESSBUREAU.COM, L.L.C.*, 297 F.Supp.2d 1154, 1160 (W.D.Wis. 2004), the district court treated interactivity as a relevant factor in its purposeful-availment analysis, but declined to follow *Zippo*, questioning whether a special test for jurisdiction was even needed for disputes involving digital activity. The case was a defamation action against the operator of an Internet website that posted negative comments from customers. The court dismissed almost out of hand the argument that general jurisdiction could be based on defendant’s maintenance of a website that permitted users to

purchase ad space, when no in-state company had purchased space. Likewise, although in-state solicitation could weigh as a contact for purposeful availment, the court did not find defendant’s potential contacts with in-state users who had not yet used the site for commercial activity sufficient to support the exercise of specific jurisdiction. Nor could specific jurisdiction be based on the effects of defendant’s action: merely placing the name of a trademark on a website was not sufficient evidence of targeting a forum; defendant had not created the consumer complaints that it collected—consumers did—and there was no showing that the “brunt” of the injury was suffered in the forum.

In *JOHNSON v. THEHUFFINGTONPOST.COM, INC.*, 21 F.4th 314 (5th Cir. 2021), the court rejected personal jurisdiction in a libel case against an online publisher, finding that interactivity and the ability to access the publisher’s website in the forum state (Texas) were not sufficient. The majority reasoned:

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At bottom, the only reason to hale HuffPost into Texas is that Texans visited the site, clicking ads and buying things there. But * * * those visits reflect only HuffPost’s universal accessibility, not its purposeful availment of Texas. Accessibility alone cannot sustain our jurisdiction. If it could, lack of personal jurisdiction would be no defense at all.

Id. at 326; see also id. at 320 (“Grannies with cooking blogs do not, and should not, expect lawsuits from Maui to Maine.”). The majority analogized defendant’s website to “a physical store in New York, where HuffPost is ‘at home,’ ” with users coming to defendant to visit its store—rather than defendant reaching out to users in Texas and elsewhere. Id. at 322. It also found that jurisdiction could not be based on either defendant’s sales of merchandise to Texans or defendant’s posting of ads from Texas-based advertisers, because those contacts with Texas did not “relate to” plaintiff’s libel claim; they therefore could not support specific jurisdiction. Id. at 323 (“Exercising jurisdiction over HuffPost would collapse the distinction between specific and general jurisdiction.”). Nor did those activities show that defendant was targeting Texas. Id. at 321 (“What matters is whether HuffPost aimed the *alleged libel* at Texas. * * * To target every user everywhere * * * is to target no place at all.”).

The dissenting judge, however, argued that denying jurisdiction “ignores the Supreme Court’s recent decision in *Ford Motor* [p. 175, supra]” and “all but nullifies the Supreme Court’s decision in *Keeton* [p. 124, supra].” Id. at 327 (Haynes, J., dissenting). She wrote: “As in *Keeton*, HuffPost continuously and deliberately exploits the Texas market, so it should not be surprised if it is haled into court there for allegations of libel. * * * As in *Keeton*, it doesn’t matter that the article did not expressly address Texas. As in *Keeton*, jurisdiction exists.” Id. at 329–30 (internal quotation marks and brackets omitted). This theory of jurisdiction, according to the dissent, is “very similar to that of *Ford Motor*, albeit a different form of ‘exploitation of a market.’” Id. at 328.

NOTES AND QUESTIONS

1. Does the distinction among active, interactive, and passive websites still make sense given technological developments? Should the jurisdictional analysis for a product liability action against an online retailer be the same as for a libel action arising out of a social media post?

2. Technology allows a party to block individuals or entire regions from accessing a website. How should using—or deciding not to use—such technology affect the purposeful-availment argument? In *TRIPLE UP LIMITED v. YOUKU TUDOU INC.*, 235 F.Supp.3d 15, 24–26 (D.D.C. 2017), affirmed 2018 WL 4440459 (D.C.Cir. 2018), plaintiff alleged that a foreign online streaming company purposefully availed itself of the benefits of the forum because it allowed access to videos although it had the ability to block

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videos from being viewed in certain countries and frequently did so. The court recognized that the possibility for “geoblocking” countered the common refrain that universal accessibility is an unavoidable side-effect of modern technology. However, it held that a failure to block cannot constitute purposeful availment. See Wandell, *Geolocation and Jurisdiction: From Purposeful Availment to Avoidance and Targeting on the Internet*, 16 J.Tech.L. & Pol’y 275, 297–304 (2011).

3. In *BE2 LLC v. IVANOV*, 642 F.3d 555 (7th Cir. 2011), an online dating service brought a trademark infringement action in Illinois against a New Jersey businessman, alleging that defendant deliberately misled customers by using a domain name “confusingly similar” to “be2.” Evidence that 20 Illinois residents had accessed defendant’s website was held insufficient to show that defendant had targeted the Illinois market or availed himself of the privilege of doing business in the state. To the contrary, the court explained, “the 20 Chicagoans who created free profiles on be2.net may have done so unilaterally by stumbling across the website and clicking a button that automatically published their dating preferences online.” Id. at 559. Where would you advise plaintiff to file the lawsuit and what evidence would be best to show defendant’s purposeful availment of the benefits of the forum?

4. In *MAVRIX PHOTO, INC. v. BRAND TECHNOLOGIES, INC.*, 647 F.3d 1218, 1230 (9th Cir. 2011), a Florida “celebrity photo” company brought a copyright infringement action in California against an Ohio company for allegedly posting plaintiff’s photographs on a website that had a substantial viewer base in California. Defendant did not market its website in California’s local media, but rather sold website space to third-party advertisers whose ads were directed to California. On this basis, the court found the requisite purposeful availment, emphasizing that defendant had caused harm knowing it would be suffered in California. The court found it “immaterial” for purposeful availment whether defendant or the third-party advertisers targeted the California residents. Is this approach consistent with Justice Kennedy’s plurality opinion in *McIntyre*, p. 143, supra? Does it properly apply *Keeton*, p. 124, supra, in the context of a new technology? For a criticism of the Ninth Circuit approach, see *Recent Cases*, 125 Harv.L.Rev. 634 (2011).

In *TWIN FLAMES UNIVERSE.COM, INC. v. COLE*, 528 F.Supp.3d 708 (E.D.Mich. 2021), plaintiffs brought defamation and other claims against critics of their Michigan company (TFU), which had been described as a cult by some participants and their parents. Defendants had allegedly made negative, false social media posts about the company on YouTube, Facebook, and Reddit, as well as making false statements to a reporter. The court rejected jurisdiction over a defendant who resided in Arizona, applying the Supreme Court’s decision in *Calder*, p. 126, *supra*. It noted that this defendant had “provided comments while at her Arizona home to a Vancouver-based journalist” whose publication did not target customers in Michigan. And her social media posts “were not directed at Michigan or its residents”:

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The majority of the posts were made in a public subreddit dedicated to followers and those interested in TFU, an organization with “business across the Internet.” * * * Michigan is not identified anywhere on the subreddit’s comment board. Defendant[’s] posts concerned TFU’s business practices and did not reference TFU’s place of business or incorporation. While Defendant * * * identifies the Plaintiffs by their first initials in one of the posts, she discusses only their business practices and does not mention Michigan or even allude to Plaintiffs’ headquarters or residence. * * * Michigan “was not the focal point” of Defendant[’s] posts and comments. * * * There is no evidence that Defendant * * * posted her comments on social media “hoping to reach [Michigan] specifically as opposed to” her social media followers generally.

Id. at 716–17.

5.In *ADVANCED TACTICAL ORDNANCE SYSTEMS, LLC v. REAL ACTION PAINTBALL, INC.*, 751 F.3d 796 (7th Cir. 2014), the Seventh Circuit reversed the district court’s finding of specific jurisdiction based on the foreseeability that misleading emails would harm an in-state plaintiff. In its analysis, the appeals court did not cite *Zippo*, and instead asked whether the nonresident defendant “purposefully exploited” the forum market “beyond simply operating an interactive website accessible in the forum state and sending emails to people who may happen to live there.” Id. at 802 (internal quotation omitted). As to the significance of the emails, the Seventh Circuit wrote:

As a practical matter, email does not exist in any location at all; it bounces from one server to another, it starts wherever the account-holder is sitting when she clicks the “send” button, and it winds up wherever the recipient happens to be at that instant. The connection between the place where an email is opened and a lawsuit is entirely fortuitous. We note as well that it is exceedingly common in today’s world for a company to allow consumers to sign up for an email list. We are not prepared to hold that this alone demonstrates that a defendant made a substantial connection to each state (or country) associated with those persons’ “snail mail” addresses. * * * It may be different if there were evidence that a defendant in some way targeted residents of a specific state, perhaps through geographically-restricted online ads. But in such a case the focus would not be on the users who signed up, but instead on the deliberate actions by the defendant to target or direct itself toward the forum state.

Id. at 803 (citations omitted).

6.In *MacDERMID, INC. v. DEITER*, 702 F.3d 725 (2d Cir. 2012), the court considered whether jurisdiction could be exercised over a defendant who, while domiciled and working in Canada, was alleged to have accessed a computer server located in Connecticut to misappropriate confidential information belonging to defendant’s employer. The district court dismissed

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the complaint, finding that under the applicable long-arm statute jurisdiction could not be exercised because defendant had not used a computer in Connecticut. The Second Circuit reversed.

The undisputed facts showed that plaintiff stored its confidential and proprietary data on computer servers in Waterbury, Connecticut, and that its employees could access the information only by accessing these in-state servers. The court wrote:

The record reflects that employees of [plaintiff] and its subsidiaries are, as a condition of employment, made aware of the housing of the companies’ email system and their confidential and proprietary information in Waterbury. The record further reflects that [defendant] agreed in writing to safeguard and to properly use [defendant’s] confidential information and that she was not authorized to transfer such information to a personal email account.

Id. at 727. Further, it was uncontroverted that defendant used the Connecticut servers. Accepting that assertion, the appellate court found that the fact that defendant “physically interacted only with computers in Canada” did not defeat jurisdiction under the long-arm statute. The court relied on the following statutory provision:

[A] court may exercise personal jurisdiction over any nonresident individual * * * who in person or through an agent: (1) Transacts any business within the state; (2) commits a tortious act within the state * * *; (3) commits a tortious act outside the state causing injury to person or property within the state * * * if such person or agent (A) regularly does or solicits business, or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in the state, or (B) expects or should reasonably expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce; * * * or (5) uses a computer * * * or a computer network * * * located within the state.

Id. at 728 (quoting Conn.Gen.Stat. § 52–59b(a)). The statute defined “computer” to include “any connected or directly related device, equipment or facility that enables the computer to store, retrieve or communicate computer programs, computer data or the results of computer operations to or from a person, another computer or another device * * *.” In addition, “computer network” was defined to include “a set of related, remotely connected devices and any communications facilities including more than one computer with the capability to transmit data among them through the

communications facilities.” Conn.Gen.Stat. § 53–451(a).

Applying the statute, the Second Circuit held that it was not material that defendant was outside of Connecticut when she accessed her employer’s servers.

The statute reaches persons outside the state who remotely access computers within the state * * *. This conclusion is reinforced by the fact that § 52–59b(a)(5) was enacted as part of a statutory scheme intended to prohibit unauthorized persons from using computers or networks with intent to, among other things, cause a computer to malfunction, alter or erase data, or copy computer data or programs. * * * Extending the statute to reach a nonresident who committed any of the above activities while present in Connecticut would not have been necessary because that person would already have been subject to jurisdiction under § 52–59b(a)(2). Further, it cannot be said that [defendant’s] conduct is covered by § 52–59b(a)(3) because she is not alleged to have regularly conducted business in Connecticut, or to have derived revenue from her conduct. * * *.

Id. at 729.

Finding statutory jurisdiction to be present, the court held the exercise of power satisfied due process: [Defendant] purposefully availed herself of the privilege of conducting activities within Connecticut because she was aware “of the centralization and housing of the companies’ e-mail system and the storage of confidential, proprietary information and trade secrets” in Waterbury, Connecticut, and she used that email system and its Connecticut servers in retrieving and emailing confidential files. Most Internet users, perhaps, have no idea of the location of the servers through which they send their emails. Here, however, [plaintiff] has alleged that [defendant] knew that the email servers she used and the confidential files she misappropriated were both located in Connecticut. She used those servers to send an email which itself constituted the alleged tort. And in addition to purposefully availing herself of the privilege of conducting computer activities in Connecticut, she directed her allegedly tortious conduct towards [plaintiff], a Connecticut corporation.

Id. at 730. The court further found that the exercise of jurisdiction would be reasonable:

First, although [defendant] would have to travel to Connecticut to defend this suit, this burden alone does not render the exercise of personal jurisdiction unreasonable. * * * Second, both Connecticut and [plaintiff] have significant interests in resolving the matter in Connecticut. Not only is the company based in Connecticut, which is where the majority of corporate witnesses are located, but also Connecticut has an interest in the proper interpretation of its laws. * * * Further, efficiency and social policies against computer-based theft are generally best served by adjudication in the state from which computer files have been misappropriated. Accordingly, we conclude that jurisdiction is reasonable in this case.

Id. at 731.

Do you agree that the long-arm statute supported the exercise of jurisdiction? Would the result have been the same if defendant had not signed an agreement acknowledging the location of plaintiff’s servers? Should the location of a server be a sufficient basis for jurisdiction if defendant does not know its location and the claim does not involve an intentional tort?

7.Consider how activity conducted on the Internet or through social media might affect the analysis in some of the canonical cases of personal jurisdiction doctrine:

- (a)In *International Shoe*, p. 95, supra, defendant posted ads on the social media pages of state residents to buy its shoes, rather than using in-state sales agents who displayed shoes at in-state show rooms.
- (b)In *McGee*, p. 102, supra, defendant’s predecessor-in-interest did not mail the contract, but rather emailed it to the insured, who executed the contract using an electronic signature. Subsequently, premiums were paid online using a credit card.
- (c)In *World-Wide Volkswagen*, p. 114, supra, Audi cars were sold only through an Internet site, and were delivered to U.S.-based consumers through an independent distributor that was incorporated in Delaware and headquartered in New York. An Audi sold to a California resident was driven to Oklahoma, where it caused injury.
- (d)In *Carnival Cruise*, p. 198, supra, the forum-selection clause appeared on defendant’s website, but was not imprinted on the physical ticket. Would it matter if the consumer was required to click “accept the terms” before printing the ticket?
- (e)In *Keeton*, p. 124, supra, instead of distributing print magazines, defendant operated an online magazine company selling subscriptions for digital versions only.

I. JURISDICTION BASED ON POWER OVER PROPERTY

PENNINGTON v. FOURTH NATIONAL BANK, 243 U.S. 269, 271, 37 S.Ct. 282, 282–83, 61 L.Ed. 713, 714–15 (1917). Petitioner challenged the garnishment of his bank account to pay alimony. Although petitioner did not reside in the forum state, the Court held that attachment of his in-state bank account did not violate due process. In his opinion for the Court, Justice Brandeis explained:

The 14th Amendment did not, in guarantying due process of law, abridge the jurisdiction which a state possessed over property

within its borders, regardless of the residence or presence of the

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owner. That jurisdiction extends alike to tangible and to intangible property. Indebtedness due from a resident to a nonresident—of which bank deposits are an example—is property within the state. * * * It is, indeed, the species of property which courts of the several states have most frequently applied in satisfaction of the obligations of absent debtors. * * * Substituted service on a nonresident by publication furnishes no legal basis for a judgment in personam. * * * But garnishment or foreign attachment is a proceeding quasi in rem. * * * The thing belonging to the absent defendant is seized and applied to the satisfaction of his obligation. The Federal Constitution presents no obstacle to the full exercise of this power.

NOTE AND QUESTION

What is the situs of corporate stock for purposes of attachment—the corporation’s place of incorporation, the domicile of the shareholder, or the state in which the stock certificates actually are located? See Note, *Attachment of Corporate Stock: The Conflicting Approaches of Delaware and the Uniform Stock Transfer Act*, 73 Harv.L.Rev. 1579 (1960).

HARRIS v. BALK, 198 U.S. 215, 25 S.Ct. 625, 49 L.Ed. 1023 (1905). Harris, a citizen of North Carolina, owed Balk, also of North Carolina, \$180. Epstein, a Maryland citizen, claimed that Balk owed him \$344. On August 6, 1896, while Harris was visiting Baltimore, Epstein instituted a garnishee proceeding in a Maryland court, attaching the debt due Balk from Harris. Harris was personally served with the writ of attachment and summons, and notice of the suit was posted at the courthouse door, as required by Maryland law. Harris consented to the entry of judgment against him and paid the \$180 to Epstein. On August 11, 1896, Balk commenced an action against Harris in a North Carolina court to recover the \$180. Harris asserted that he no longer owed Balk the \$180, having paid that sum to Epstein in partial satisfaction of Balk’s debt to Epstein, since the Maryland judgment and his payment thereof was valid in Maryland, and was therefore entitled to Full Faith and Credit in the courts of North Carolina. The trial court ruled in favor of Balk, and the North Carolina Supreme Court affirmed on the ground that the Maryland court had no jurisdiction over Harris to attach the debt because Harris was only temporarily in the state, and the situs of the debt was in North Carolina. The Supreme Court reversed:

* * * We do not see how the question of jurisdiction *vel non* can properly be made to depend upon the so-called original situs of the debt, or upon the character of the stay of the garnishee, whether temporary or permanent, in the state where the attachment is

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issued. Power over the person of the garnishee confers jurisdiction on the courts of the state where the writ issues. * * * If, while temporarily there, his creditor might sue him there and recover the debt, then he is liable to process of garnishment, no matter where the situs of the debt was originally. We do not see the materiality of the expression “situs of the debt,” when used in connection with attachment proceedings. If by situs is meant the place of the creation of the debt, that fact is immaterial. If it be meant that the obligation to pay the debt can only be enforced at the situs thus fixed, we think it plainly untrue. The obligation of the debtor to pay his debt clings to and accompanies him wherever he goes. He is as much bound to pay his debt in a foreign state when therein sued upon his obligation by his creditor, as he was in the state where the debt was contracted. * * * It would be no defense to such suit for the debtor to plead that he was only in the foreign state casually or temporarily. * * * It is nothing but the obligation to pay which is garnished or attached. This obligation can be enforced by the courts of the foreign state after personal service of process therein, just as well as by the courts of the domicil of the debtor. * * *

Id. at 222–23, 25 S.Ct. at 626–27, 49 L.Ed. at 1026. The Court indicated in dictum that the result might have been different had Balk not been given notice of the attachment and an opportunity to defend in the Maryland action.

NOTES AND QUESTIONS

1. Professor Lowenfeld provides the following interesting information concerning Harris, Balk, and Epstein. Epstein was an importer of goods who regularly did business with Balk, a retailer. The \$344 debt was for money owed on shipments of goods by Epstein to Balk. Harris was a dry goods merchant from the same town as Balk, and had borrowed money from Balk on several occasions, including a \$10 loan just before the fateful trip to Baltimore. Harris carried with him on that trip a message from Balk to Epstein saying that Balk would be coming to Baltimore soon. Lowenfeld, *In Search of the Intangible: A Comment on Shaffer v. Heitner*, 53 N.Y.U.L.Rev. 102, 104–06 (1978).

2. If the events leading up to *Harris v. Balk* were to occur today, would due process allow Epstein to file an in personam action against Balk in Maryland? Could Epstein have served Harris as Balk’s agent? See Simowitz, *Siting Intangibles*, 48 N.Y.U.J.Int’l L. & Pol. 259 (2015).

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SHAFFER v. HEITNER

Supreme Court of the United States, 1977.
[433 U.S. 186, 97 S.Ct. 2569, 53 L.Ed.2d 683.](#)

On Appeal from the Supreme Court of Delaware.
JUSTICE MARSHALL delivered the opinion of the Court.

* * *

I

Appellee Heitner, a nonresident of Delaware, is the owner of one share of stock in the Greyhound Corp., a business incorporated under the laws of Delaware with its principal place of business in Phoenix, Ariz. On May 22, 1974, he filed a shareholder’s derivative suit in the Court of Chancery for New Castle County, Del., in which he named as defendants Greyhound, its wholly owned subsidiary Greyhound Lines, Inc.,¹ and 28 present or former officers or directors of one or both of the corporations. In essence, Heitner alleged that the individual defendants had violated their duties to Greyhound by causing it and its subsidiary to engage in actions that resulted in the corporations being held liable for substantial damages in a private antitrust suit and a large fine in a criminal contempt action. The activities which led to these penalties took place in Oregon.

Simultaneously with his complaint, Heitner filed a motion for an order of sequestration of the Delaware property of the individual defendants pursuant to Del.Code Ann., Tit. 10, § 366 (1975). This motion was accompanied by a supporting affidavit of counsel which stated that the individual defendants were nonresidents of Delaware. The affidavit identified the property to be sequestered as [shares of Greyhound Corporation stock and stock options] * * *. The requested sequestration order was signed the day the motion was filed. Pursuant to that order, the sequestrator “seized” approximately 82,000 shares of Greyhound common stock belonging to 19 of the defendants, and options belonging to another 2 defendants. These seizures were accomplished by placing “stop transfer” orders or their equivalents on the books of the Greyhound Corp. So far as the record shows, none of the certificates representing the seized property was physically present in Delaware. The stock was considered to be in Delaware, and so subject to seizure, by virtue of Del.Code Ann., Tit. 8, § 169 (1975), which makes Delaware the situs of ownership of all stock in Delaware corporations.

All 28 defendants were notified of the initiation of the suit by certified mail directed to their last known addresses and by publication in a New Castle County newspaper. The 21 defendants whose property was seized (hereafter referred to as appellants) responded by entering a special

appearance for the purpose of moving to quash service of process and to vacate the sequestration order. They contended that the *ex parte* sequestration procedure did not accord them due process of law and that the property seized was not capable of attachment in Delaware. In addition, appellants asserted that under the rule of *International Shoe Co. v. Washington*, * * * [p. 95, supra], they did not have sufficient contacts with Delaware to sustain the jurisdiction of that State’s courts.

The Court of Chancery rejected these arguments * * *.

On appeal, the Delaware Supreme Court affirmed the judgment of the Court of Chancery. * * * Most of the Supreme Court’s opinion was devoted to rejecting appellants’ contention that the sequestration procedure is inconsistent with the due process analysis developed in the *Sniadach* line of cases [p. 279–283, Notes 1–4, infra]. The court based its rejection of that argument in part on its agreement with the Court of Chancery that the purpose of the sequestration procedure is to compel the appearance of the defendant, a purpose not involved in the *Sniadach* cases. The court also relied on what it considered the ancient origins of the sequestration procedure and approval of that procedure in the opinions of this Court, * * * Delaware’s interest in asserting jurisdiction to adjudicate claims of mismanagement of a Delaware corporation, and the safeguards for defendants that it found in the Delaware statute. * * *

* * *

Appellants’ claim that the Delaware courts did not have jurisdiction to adjudicate this action received much more cursory treatment. * * *¹² We reverse.

II

The Delaware courts rejected appellants’ jurisdictional challenge by noting that this suit was brought as a *quasi in rem* proceeding. Since *quasi in rem* jurisdiction is traditionally based on attachment or seizure of property present in the jurisdiction, not on contacts between the defendant and the State, the courts considered appellants’ claimed lack of contacts with Delaware to be unimportant. This categorical analysis assumes the continued soundness of the conceptual structure founded on the century-old case of *Pennoyer v. Neff* * * * [p. 79, supra].

[The Court’s description of *Pennoyer* is omitted.] * * *

From our perspective, the importance of *Pennoyer* is not its result, but the fact that its principles and corollaries derived from them became the basic elements of the constitutional doctrine governing state-court jurisdiction. * * * As we have noted, under *Pennoyer* state authority to

adjudicate was based on the jurisdiction’s power over either persons or property. This fundamental concept is embodied in the very vocabulary which we use to describe judgments. If a court’s jurisdiction is based on its authority over the defendant’s person, the action

and judgment are denominated “*in personam*” and can impose a personal obligation on the defendant in favor of the plaintiff. If jurisdiction is based on the court’s power over property within its territory, the action is called “*in rem*” or “*quasi in rem*.” The effect of a judgment in such a case is limited to the property that supports jurisdiction and does not impose a personal liability on the property owner, since he is not before the court. * * * In *Pennoyer*’s terms, the owner is affected only “indirectly” by an *in rem* judgment adverse to his interest in the property subject to the court’s disposition.

[The Court’s historical analysis of the expansion of in personam jurisdiction is omitted.] * * *

No equally dramatic change has occurred in the law governing jurisdiction in rem. There have, however, been intimations that the collapse of the in personam wing of *Pennoyer* has not left that decision unweakened as a foundation for in rem jurisdiction. Well-reasoned lower court opinions have questioned the proposition that the presence of property in a State gives that State jurisdiction to adjudicate rights to the property regardless of the relationship of the underlying dispute and the property owner to the forum. * * * The overwhelming majority of commentators have also rejected *Pennoyer*’s premise that a proceeding “against” property is not a proceeding against the owners of that property. Accordingly, they urge that the “traditional notions of fair play and substantial justice” that govern a State’s power to adjudicate in personam should also govern its power to adjudicate personal rights to property located in the State. * * *

Although this Court has not addressed this argument directly, we have held that property cannot be subjected to a court’s judgment unless reasonable and appropriate efforts have been made to give the property owners actual notice of the action. * * * *Mullane v. Central Hanover Bank & Trust Co.*, 339 U.S. 306 (1950). **This conclusion recognizes, contrary to *Pennoyer*, that an adverse judgment in rem directly affects the property owner by divesting him of his rights in the property before the court. * * * Moreover, in *Mullane* we held that Fourteenth Amendment rights cannot depend on the classification of an action as in rem or in personam * * *.**

It is clear, therefore, that the law of state-court jurisdiction no longer stands securely on the foundation established in *Pennoyer*. We think that the time is ripe to consider whether the standard of fairness and substantial justice set forth in *International Shoe* should be held to govern actions in rem as well as in personam.

III

The case for applying to jurisdiction in rem the same test of “fair play and substantial justice” as governs assertions of jurisdiction in personam is simple and straightforward. It is premised on recognition that “[t]he phrase, ‘judicial jurisdiction over a thing’, is a customary elliptical way of referring to jurisdiction over the interests of persons in a thing.” Restatement (Second) of Conflict of Laws § 56, Introductory Note * * *. This recognition leads to the conclusion that in order to justify an exercise of jurisdiction in rem, the basis for jurisdiction must be sufficient to justify exercising “jurisdiction over the interests of persons in a thing.” The standard for determining whether an exercise of jurisdiction over the interests of persons is consistent with the Due Process Clause is the minimum-contacts standard elucidated in *International Shoe*.

This argument, of course, does not ignore the fact that the presence of property in a State may bear on the existence of jurisdiction by providing contacts among the forum State, the defendant, and the litigation. For example, when claims to the property itself are the source of the underlying controversy between the plaintiff and the defendant, it would be unusual for the State where the property is located not to have jurisdiction. In such cases, the defendant’s claim to property located in the State would normally indicate that he expected to benefit from the State’s protection of his interest. The State’s strong interests in assuring the marketability of property within its borders and in providing a procedure for peaceful resolution of disputes about the possession of that property would also support jurisdiction, as would the likelihood that important records and witnesses will be found in the State. The presence of property may also favor jurisdiction in cases, such as suits for injury suffered on the land of an absentee owner, where the defendant’s ownership of the property is conceded but the cause of action is otherwise related to rights and duties growing out of that ownership.

It appears, therefore, that jurisdiction over many types of actions which now are or might be brought in rem would not be affected by a holding that any assertion of state-court jurisdiction must satisfy the *International Shoe* standard. For the type of quasi in rem action typified by *Harris v. Balk* and the present case, however, accepting the proposed analysis would result in significant change. These are cases where the property which now serves as the basis for state-court jurisdiction is completely unrelated to the plaintiff’s cause of action. Thus, although the presence of the defendant’s property in a State might suggest the existence of other ties among the defendant, the State, and the litigation, the presence of the property alone would not support the State’s jurisdiction. If those other ties did not exist, cases over which the State is now thought to have jurisdiction could not be brought in that forum.

Since acceptance of the *International Shoe* test would most affect this class of cases, we examine the arguments against adopting that standard as they relate to this category of litigation. Before doing so, however, we note that this type of case also presents the clearest illustration of the argument in favor of assessing assertions of jurisdiction by a single standard. For in cases such as *Harris* and this one, the only role played by the property is to provide the basis for bringing the defendant into court. Indeed, the express purpose of the Delaware sequestration procedure is to compel the defendant to enter a personal appearance. In such cases, if a direct assertion of personal jurisdiction over the defendant would violate the Constitution, it would seem that an indirect assertion of that jurisdiction should be equally impermissible.

The primary rationale for treating the presence of property as a sufficient basis for jurisdiction to adjudicate claims over which the State would not have jurisdiction if *International Shoe* applied is that a wrongdoer

“should not be able to avoid payment of his obligations by the expedient of removing his assets to a place where he is not subject to an in personam suit.” Restatement [(Second) of Conflicts] § 66, Comment a.

*** This justification, however, does not explain why jurisdiction should be recognized without regard to whether the property is present in the State because of an effort to avoid the owner’s obligations. Nor does it support jurisdiction to adjudicate the underlying claim. At most, it suggests that a State in which property is located should have jurisdiction to attach that property, by use of proper procedures, as security for a judgment being sought in a forum where the litigation can be maintained consistently with *International Shoe*. *** Moreover, we know of nothing to justify the assumption that a debtor can avoid paying his obligations by removing his property to a State in which his creditor cannot obtain personal jurisdiction over him. The Full Faith and Credit Clause, after all, makes the valid *in personam* judgment of one State enforceable in all other States.

It might also be suggested that allowing *in rem* jurisdiction avoids the uncertainty inherent in the *International Shoe* standard and assures a plaintiff of a forum.³⁷ *** We believe, however, that the fairness standard of *International Shoe* can be easily applied in the vast majority of cases. Moreover, when the existence of jurisdiction in a particular forum under *International Shoe* is unclear, the cost of simplifying the litigation by avoiding the jurisdictional question may be the sacrifice of “fair play and substantial justice.” That cost is too high.

We are left, then, to consider the significance of the long history of jurisdiction based solely on the presence of property in a State. Although the theory that territorial power is both essential to and sufficient for jurisdiction has been undermined, we have never held that the presence of property in a State does not automatically confer jurisdiction over the owner’s interest in that property. This history must be considered as supporting the proposition that jurisdiction based solely on the presence of property satisfies the demands of due process ***, but it is not decisive. *** The fiction that an assertion of jurisdiction over property is anything but an assertion of jurisdiction over the owner of the property supports an ancient form without substantial modern justification. Its continued acceptance would serve only to allow state-court jurisdiction that is fundamentally unfair to the defendant.

We therefore conclude that all assertions of state-court jurisdiction must be evaluated according to the standards set forth in *International Shoe* and its progeny.

IV

The Delaware courts based their assertion of jurisdiction in this case solely on the statutory presence of appellants’ property in Delaware. Yet that property is not the subject matter of this litigation, nor is the underlying cause of action related to the property. Appellants’ holdings in Greyhound do not, therefore, provide contacts with Delaware sufficient to support the jurisdiction of that State’s courts over appellants. If it exists, that jurisdiction must have some other foundation.⁴⁰

Appellee Heitner did not allege and does not now claim that appellants have ever set foot in Delaware. Nor does he identify any act related to his cause of action as having taken place in Delaware. Nevertheless, he contends that appellants’ positions as directors and officers of a corporation chartered in Delaware provide sufficient “contacts, ties, or relations” *** with that State to give its courts jurisdiction over appellants in this stockholder’s derivative action. This argument is based primarily on what Heitner asserts to be the strong interest of Delaware in supervising the management of a Delaware corporation. That interest is said to derive from

the role of Delaware law in establishing the corporation and defining the obligations owed to it by its officers and directors. In order to protect this interest, appellee concludes, Delaware’s courts must have jurisdiction over corporate fiduciaries such as appellants.

This argument is undercut by the failure of the Delaware Legislature to assert the state interest appellee finds so compelling. Delaware law bases jurisdiction, not on appellants’ status as corporate fiduciaries, but rather on the presence of their property in the State. Although the sequestration procedure used here may be most frequently used in derivative suits against officers and directors, *** the authorizing statute evinces no specific concern with such actions. Sequestration can be used in any suit against a nonresident *** and reaches corporate fiduciaries only if they happen to own interests in a Delaware corporation, or other property in the State. But as Heitner’s failure to secure jurisdiction over seven of the defendants named in his complaint demonstrates, there is no necessary relationship between holding a position as a corporate fiduciary and owning stock or other interests in the corporation. If Delaware perceived its interest in securing jurisdiction over corporate fiduciaries to be as great as Heitner suggests, we would expect it to have enacted a statute more clearly designed to protect that interest.

Moreover, even if Heitner’s assessment of the importance of Delaware’s interest is accepted, his argument fails to demonstrate that Delaware is a fair forum for this litigation. The interest appellee has identified may support the application of Delaware law to resolve any controversy over appellants’ actions in their capacities as officers and directors. But we have rejected the argument that if a State’s law can properly be applied to a dispute, its courts necessarily have jurisdiction over the parties to that dispute. ***

Appellee suggests that by accepting positions as officers or directors of a Delaware corporation, appellants performed the acts [sufficient to justify the assertion of jurisdiction by Delaware courts under] *Hanson v. Denckla* [p. 103, supra]. He notes that Delaware

law provides substantial benefits to corporate officers and directors, and that these benefits were at least in part the incentive for appellants to assume their positions. It is, he says, “only fair and just” to require appellants, in return for these benefits, to respond in the State of Delaware when they are accused of misusing their power. * * *

But like Heitner’s first argument, this line of reasoning establishes only that it is appropriate for Delaware law to govern the obligations of appellants to Greyhound and its stockholders. It does not demonstrate that appellants have “purposefully avail[ed themselves] of the privilege of conducting activities within the forum State,” *Hanson v. Denckla* * * *, in a way that would justify bringing them before a Delaware tribunal.

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Appellants have simply had nothing to do with the State of Delaware. Moreover, appellants had no reason to expect to be haled before a Delaware court. Delaware, unlike some States, has not enacted a statute that treats acceptance of a directorship as consent to jurisdiction in the State. And “[i]t strains reason * * * to suggest that anyone buying securities in a corporation formed in Delaware ‘impliedly consents’ to subject himself to Delaware’s * * * jurisdiction on any cause of action.” Folk & Moyer, [*Sequestration in Delaware: A Constitutional Analysis*, 73 Colum.L.Rev. 749, 785 (1973)] * * *. Appellants, who were not required to acquire interests in Greyhound in order to hold their positions, did not by acquiring those interests surrender their right to be brought to judgment only in States with which they had had “minimum contacts.”

* * * Delaware’s assertion of jurisdiction over appellants in this case is inconsistent with that constitutional limitation on state power. The judgment of the Delaware Supreme Court must, therefore, be reversed.

It is so ordered.

JUSTICE REHNQUIST took no part in the consideration or decision of this case.

JUSTICE POWELL, concurring.

* * *

I would explicitly reserve judgment * * * on whether the ownership of some forms of property whose situs is indisputably and permanently located within a State may, without more, provide the contacts necessary to subject a defendant to jurisdiction within the State to the extent of the value of the property. In the case of real property, in particular, preservation of the common law concept of *quasi in rem* jurisdiction arguably would avoid the uncertainty of the general *International Shoe* standard without significant cost to “ ‘traditional notions of fair play and substantial justice.’ ” * * *

Subject to the foregoing reservation, I join the opinion of the Court.

JUSTICE STEVENS, concurring in the judgment.

* * *

One who purchases shares of stock on the open market can hardly be expected to know that he has thereby become subject to suit in a forum remote from his residence and unrelated to the transaction. As a practical matter, the Delaware sequestration statute creates an unacceptable risk of judgment without notice. Unlike the 49 other States, Delaware treats the place of incorporation as the situs of the stock, even though both the owner and the custodian of the shares are elsewhere. Moreover, Delaware denies the defendant the opportunity to defend the merits of the suit unless he subjects himself to the unlimited jurisdiction of the court. Thus, it coerces

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a defendant either to submit to personal jurisdiction in a forum which could not otherwise obtain such jurisdiction or to lose the securities which have been attached. If its procedure were upheld, Delaware would, in effect, impose a duty of inquiry on every purchaser of securities in the national market. For unless the purchaser ascertains both the State of incorporation of the company whose shares he is buying, and also the idiosyncrasies of its law, he may be assuming an unknown risk of litigation. I therefore agree with the Court that on the record before us no adequate basis for jurisdiction exists and that the Delaware statute is unconstitutional on its face.

How the Court’s opinion may be applied in other contexts is not entirely clear to me. I agree with Mr. Justice POWELL that it should not be read to invalidate *in rem* jurisdiction where real estate is involved. I would also not read it as invalidating other long-accepted methods of acquiring jurisdiction over persons with adequate notice of both the particular controversy and the fact that their local activities might subject them to suit. My uncertainty as to the reach of the opinion, and my fear that it purports to decide a great deal more than is necessary to dispose of this case, persuade me merely to concur in the judgment.

JUSTICE BRENNAN, concurring in part and dissenting in part.

I join Parts I–III of the Court’s opinion. I fully agree that the minimum-contacts analysis * * * represents a far more sensible construct for the exercise of state-court jurisdiction than the patchwork of legal and factual fictions that has been generated from the decision in *Pennoyer v. Neff* * * *. It is precisely because the inquiry into minimum contacts is now of such overriding importance, however, that I must respectfully dissent from Part IV of the Court’s opinion.

I

The primary teaching of Parts I–III of today’s decision is that a State, in seeking to assert jurisdiction over a person located outside

its borders, may only do so on the basis of minimum contacts among the parties, the contested transaction, and the forum state. The Delaware Supreme Court could not have made plainer, however, that its sequestration statute * * * does not operate on this basis, but instead is strictly an embodiment of *quasi in rem* jurisdiction, a jurisdictional predicate no longer constitutionally viable * * *. This state-court ruling obviously comports with the understanding of the parties, for the issue of the existence of minimum contacts was never pleaded by appellee, made the subject of discovery, or ruled upon by the Delaware courts. These facts notwithstanding, the Court in Part IV reaches the minimum-contacts question and finds such contacts lacking as applied to appellants. Succinctly stated, once having properly and persuasively decided that the *quasi in rem* statute that Delaware admits to having enacted is invalid, the

Court then proceeds to find that a minimum-contacts law that Delaware expressly *denies* having enacted also could not be constitutionally applied in this case.

In my view, a purer example of an advisory opinion is not to be found. True, appellants do not deny having received actual notice of the action in question. * * * But notice is but one ingredient of a proper assertion of state-court jurisdiction. The other is a statute authorizing the exercise of the State’s judicial power along constitutionally permissible grounds—which henceforth means minimum contacts. As of today, [Del. Code Ann., Tit. 8,] § 366 is not such a law.¹ Recognizing that today’s decision fundamentally alters the relevant jurisdictional ground rules, I certainly would not want to rule out the possibility that Delaware’s courts might decide that the legislature’s overriding purpose of securing the personal appearance in state courts of defendants would best be served by reinterpreting its statute to permit state jurisdiction on the basis of constitutionally permissible contacts rather than stock ownership. Were the state courts to take this step, it would then become necessary to address the question of whether minimum contacts exist here. But in the present posture of this case, the Court’s decision of this important issue is purely an abstract ruling.

My concern with the inappropriateness of the Court’s action is highlighted by two other considerations. First, an inquiry into minimum contacts inevitably is highly dependent on creating a proper factual foundation detailing the contacts between the forum state and the controversy in question. Because neither the plaintiff-appellee nor the state courts viewed such an inquiry as germane in this instance, the Court today is unable to draw upon a proper factual record in reaching its conclusion; moreover, its disposition denies appellee the normal opportunity to seek discovery on the contacts issue. Second, it must be remembered that the Court’s ruling is a constitutional one and necessarily will affect the reach of the jurisdictional laws of all 50 States. Ordinarily this would counsel restraint in constitutional pronouncements. * * * Certainly it should have cautioned the Court against reaching out to decide a question that, as here, has yet to emerge from the state courts ripened for review on the federal issue.

II

Nonetheless, because the Court rules on the minimum-contacts question, I feel impelled to express my view. While evidence derived through discovery might satisfy me that minimum contacts are lacking in

a given case, I am convinced that as a general rule a state forum has jurisdiction to adjudicate a shareholder derivative action centering on the conduct and policies of the directors and officers of a corporation chartered by that State. Unlike the Court, I therefore would not foreclose Delaware from asserting jurisdiction over appellants were it persuaded to do so on the basis of minimum contacts.

It is well settled that a derivative lawsuit as presented here does not inure primarily to the benefit of the named plaintiff. Rather, the primary beneficiaries are the corporation and its owners, the shareholders. * * *

Viewed in this light, the chartering State has an unusually powerful interest in insuring the availability of a convenient forum for litigating claims involving a possible multiplicity of defendant fiduciaries and for vindicating the State’s substantive policies regarding the management of its domestic corporations. I believe that our cases fairly establish that the State’s valid substantive interests are important considerations in assessing whether it constitutionally may claim jurisdiction over a given cause of action.

In this instance, Delaware can point to at least three interrelated public policies that are furthered by its assertion of jurisdiction. First, the State has a substantial interest in providing restitution for its local corporations that allegedly have been victimized by fiduciary misconduct, even if the managerial decisions occurred outside the State. The importance of this general state interest in assuring restitution for its own residents previously found expression in cases that went outside the then-prevailing due process framework to authorize state-court jurisdiction over nonresident motorists who injure others within the State. * * * More recently, it has led States to seek and to acquire jurisdiction over nonresident tortfeasors whose purely out-of-state activities produce domestic consequences. * * * Second, state courts have legitimately read their jurisdiction expansively when a cause of action centers in an area in which the forum State possesses a manifest regulatory interest. * * * Only this Term we reiterated that the conduct of corporate fiduciaries is just such a matter in which the policies and interests of a domestic forum are paramount. * * * Finally, a State like Delaware has a recognized interest in affording a convenient forum for supervising and overseeing the affairs of an entity that is purely the creation of that State’s law. * * *

To be sure, the Court is not blind to these considerations. It notes that the State’s interests “may support the application of Delaware law to resolve any controversy over appellants’ actions in their capacities as officers and directors.” * * * But this, the Court argues, pertains to choice of law, not jurisdiction. I recognize that the jurisdictional and choice-of-law inquiries are not identical. * * * But I would not compartmentalize thinking in this area quite so rigidly as it seems to me the Court does today,

for both inquiries “are often closely related and to a substantial degree depend upon similar considerations.” [Hanson v. Denckla, 357 U.S.] at 258, 78 S.Ct. at 1242 (Black, J., dissenting). * * * At the minimum, the decision that it is fair to bind a defendant by a State’s laws and rules should prove to be highly relevant to the fairness of permitting that same State to accept jurisdiction for adjudicating the controversy.

Furthermore, I believe that practical considerations argue in favor of seeking to bridge the distance between the choice-of-law and jurisdictional inquiries. Even when a court would apply the law of a different forum, as a general rule it will feel less knowledgeable and comfortable in interpretation, and less interested in fostering the policies of that foreign jurisdiction, than would the courts established by the State that provides the applicable law. * * * Obviously, such choice-of-law problems cannot entirely be avoided in a diverse legal system such as our own. Nonetheless, when a suitor seeks to lodge a suit in a State with a substantial interest in seeing its own law applied to the transaction in question, we could wisely act to minimize conflicts, confusion, and uncertainty by adopting a liberal view of jurisdiction, unless considerations of fairness or efficiency strongly point in the opposite direction.

This case is not one where, in my judgment, this preference for jurisdiction is adequately answered. Certainly nothing said by the Court persuades me that it would be unfair to subject appellants to suit in Delaware. The fact that the record does not reveal whether they “set foot” or committed “acts related to [the] cause of action” in Delaware * * * is not decisive, for jurisdiction can be based strictly on out-of-state acts having foreseeable effects in the forum State. * * * I have little difficulty in applying this principle to nonresident fiduciaries whose alleged breaches of trust are said to have substantial damaging effect on the financial posture of a resident corporation. Further, I cannot understand how the existence of minimum contacts in a constitutional sense is at all affected by Delaware’s failure statutorily to express an interest in controlling corporate fiduciaries. * * * To me this simply demonstrates that Delaware did not elect to assert jurisdiction to the extent the Constitution would allow. Nor would I view as controlling or even especially meaningful Delaware’s failure to exact from appellants their consent to be sued. * * * Once we have rejected the jurisdictional framework created in *Pennoyer v. Neff*, I see no reason to rest jurisdiction on a fictional outgrowth of that system such as the existence of a consent statute, expressed or implied.

* * * Crucial to me is the fact that appellants voluntarily associated themselves with the State of Delaware, “invoking the benefits and protections of its laws,” * * * by entering into a long-term and fragile relationship with one of its domestic corporations. They thereby elected to assume powers and to undertake responsibilities wholly derived from that State’s rules and regulations, and to become eligible for those benefits that

Delaware law makes available to its corporations’ officials. E.g., Del.Code Ann., Tit. 8, § 143 (1975) (interest-free loans); § 145 (1975 ed. and Supp.1976) (indemnification). While it is possible that countervailing issues of judicial efficiency and the like might clearly favor a different forum, they do not appear on the meager record before us; and, of course, we are concerned solely with “minimum” contacts, not the “best” contacts. * * *

NOTES AND QUESTIONS

1. Within 13 days after the decision in *Shaffer*, the Delaware legislature amended its laws to provide that every nonresident who is elected or appointed a director of a Delaware corporation after September 1, 1977, shall “be deemed” to have consented to the appointment of the corporation’s registered agent in Delaware, or, if there is no registered agent, of the Secretary of State of Delaware, as his agent for service of process in any Delaware action based on violations of the director’s duties as director after September 1, 1977. 10 Del. Code Ann. tit. 10, § 3114. The constitutionality of the section was upheld by the Supreme Court of Delaware in *Armstrong v. Pomerance*, 423 A.2d 174 (Del.1980), a suit against nonresidents whose sole contact with Delaware was their status as directors of a Delaware corporation. See also *Stearn v. Malloy*, 89 F.R.D. 421 (E.D.Wis. 1981) (reaching the same conclusion under a similar Wisconsin statute). In 2004, the Delaware consent-to-service statute was extended to high officers of Delaware corporations (such as the president, treasurer, or CEO). Do you agree that statutes subjecting nonresident officers and directors to jurisdiction in the state of the company’s incorporation comport with due process? Would it be constitutional to deem the purchase of a share of Delaware stock as consent to be sued in Delaware in suits pertaining to the corporation? See *Hershkoff & Kahan, Forum-Selection Provisions in Corporate “Contracts,”* 93 Wash.L.Rev. 101 (2018).

2. How does *Shaffer* affect a court’s power to enter a judgment when the cause of action relates to real property located in the forum state?

3. In *RUSH v. SAVCHUK*, 444 U.S. 320, 100 S.Ct. 571, 62 L.Ed.2d 516 (1980), the Supreme Court settled the question of whether an insurance obligation can be attached to effect quasi in rem jurisdiction. In finding such an attachment unconstitutional, the Court separated the forum contacts of the defendant-tortfeasor from those of the insurer. Having done so, the Court held that sufficient contacts between defendant and the forum did not exist and that the Due Process Clause forbade the assertion of jurisdiction.

4. Why would a plaintiff ever rely on quasi in rem jurisdiction if its validity is subject to the same constitutional standard as that of in personam jurisdiction?

J. TRANSIENT PRESENCE IN THE FORUM

BURNHAM V. SUPERIOR COURT
Supreme Court of the United States, 1990.
[495 U.S. 604, 110 S.Ct. 2105, 109 L.Ed.2d 631.](#)

Certiorari to the Court of Appeal of California, First Appellate District.

JUSTICE SCALIA announced the judgment of the Court and delivered an opinion in which THE CHIEF JUSTICE and JUSTICE KENNEDY join, and in which JUSTICE WHITE joins with respect to Parts I, II-A, II-B, and II-C.

The question presented is whether the Due Process Clause of the Fourteenth Amendment denies California courts jurisdiction over a nonresident, who was personally served with process while temporarily in that State, in a suit unrelated to his activities in the State.

I

Petitioner Dennis Burnham married Francie Burnham in 1976 in West Virginia. In 1977 the couple moved to New Jersey, where their two children were born. In July 1987 the Burnhams decided to separate. They agreed that Mrs. Burnham, who intended to move to California, would take custody of the children. Shortly before Mrs. Burnham departed for California that same month, she and petitioner agreed that she would file for divorce on grounds of “irreconcilable differences.”

In October 1987, petitioner filed for divorce in New Jersey state court on grounds of “desertion.” Petitioner did not, however, obtain an issuance of summons against his wife and did not attempt to serve her with process. Mrs. Burnham, after unsuccessfully demanding that petitioner adhere to their prior agreement to submit to an “irreconcilable differences” divorce, brought suit for divorce in California state court in early January 1988.

In late January, petitioner visited southern California on business, after which he went north to visit his children in the San Francisco Bay area, where his wife resided. He took the older child to San Francisco for the weekend. Upon returning the child to Mrs. Burnham’s home on January 24, 1988, petitioner was served with a California court summons and a copy of Mrs. Burnham’s divorce petition. He then returned to New Jersey.

Later that year, petitioner made a special appearance in the California Superior Court, moving to quash the service of process on the ground that the court lacked personal jurisdiction over him because his only contacts with California were a few short visits to the State for the purposes of conducting business and visiting his children. The Superior Court denied the motion, and the California Court of Appeal denied mandamus relief, rejecting petitioner’s contention that the Due Process Clause prohibited

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California courts from asserting jurisdiction over him because he lacked “minimum contacts” with the State. The court held it to be “a valid jurisdictional predicate for *in personam* jurisdiction” that the “defendant [was] present in the forum state and personally served with process.” * * *

II

A

* * *

To determine whether the assertion of personal jurisdiction is consistent with due process, we have long relied on the principles traditionally followed by American courts in marking out the territorial limits of each State’s authority. * * * In what has become the classic expression of the criterion, we said in *International Shoe Co. v. Washington* [p. 95, supra], * * * that a state court’s assertion of personal jurisdiction satisfies the Due Process Clause if it does not violate “ ‘traditional notions of fair play and substantial justice.’ ” * * * Since *International Shoe*, we have only been called upon to decide whether these “traditional notions” permit States to exercise jurisdiction over absent defendants in a manner that deviates from the rules of jurisdiction applied in the 19th century. We have held such deviations permissible, but only with respect to suits arising out of the absent defendant’s contacts with the State. * * * The question we must decide today is whether due process requires a similar connection between the litigation and the defendant’s contacts with the State in cases where the defendant is physically present in the State at the time process is served upon him.

B

Among the most firmly established principles of personal jurisdiction in American tradition is that the courts of a State have jurisdiction over nonresidents who are physically present in the State. * * * Justice STORY believed the principle, which he traced to Roman origins, to be firmly grounded in English tradition * * *.

Recent scholarship has suggested that English tradition was not as clear as Story thought * * *. Accurate or not, however, judging by the evidence of contemporaneous or near-contemporaneous decisions, one must conclude that Story’s understanding was shared by American courts at the crucial time for present purposes: 1868, when the Fourteenth Amendment was adopted. * * *

Decisions in the courts of many States in the 19th and early 20th centuries held that personal service upon a physically present defendant sufficed to confer jurisdiction, without regard to whether the defendant was only briefly in the State or whether the cause of action was related to his activities there. * * * Although research has not revealed a case deciding

the issue in every State's courts, that appears to be because the issue was so well settled that it went unlitigated. * * *

This American jurisdictional practice is, moreover, not merely old; it is continuing. It remains the practice of, not only a substantial number of the States, but as far as we are aware *all* the States and the Federal Government—if one disregards (as one must for this purpose) the few opinions since 1978 that have erroneously said, on grounds similar to those that petitioner presses here, that this Court's due process decisions render the practice unconstitutional. * * * We do not know of a single state or federal statute, or a single judicial decision resting upon state law, that has abandoned in-state service as a basis of jurisdiction. Many recent cases reaffirm it. * * *

C

Despite this formidable body of precedent, petitioner contends, in reliance on our decisions applying the *International Shoe* standard, that in the absence of “continuous and systematic” contacts with the forum, * * * a nonresident defendant can be subjected to judgment only as to matters that arise out of or relate to his contacts with the forum. This argument rests on a thorough misunderstanding of our cases.

The view of most courts in the 19th century was that a court simply could not exercise *in personam* jurisdiction over a nonresident who had not been personally served with process in the forum. * * *

* * * In the late 19th and early 20th centuries, changes in the technology of transportation and communication, and the tremendous growth of interstate business activity, led to an “inevitable relaxation of the strict limits on state jurisdiction” over nonresident individuals and corporations. * * * States required, for example, that nonresident corporations appoint an in-state agent upon whom process could be served as a condition of transacting business within their borders, * * * and provided in-state “substituted service” for nonresident motorists who caused injury in the State and left before personal service could be accomplished * * *. We initially upheld these laws under the Due Process Clause on grounds that they complied with *Pennoyer*'s rigid requirement of either “consent,” * * * or “presence” * * *. As many observed, however, the consent and presence were purely fictional. * * * Our opinion in *International Shoe* cast those fictions aside and made explicit the underlying basis of these decisions: Due process does not necessarily *require* the States to adhere to the unbending territorial limits on jurisdiction set forth in *Pennoyer*. * * *

Nothing in *International Shoe* or the cases that have followed it, however, offers support for the very different proposition petitioner seeks to establish today: that a defendant's presence in the forum is not only unnecessary to validate novel, nontraditional assertions of jurisdiction, but

is itself no longer sufficient to establish jurisdiction. That proposition is unfaithful to both elementary logic and the foundations of our due process jurisprudence. The distinction between what is needed to support novel procedures and what is needed to sustain traditional ones is fundamental * * *. The short of the matter is that jurisdiction based on physical presence alone constitutes due process because it is one of the continuing traditions of our legal system that define the due process standard of “traditional notions of fair play and substantial justice.” That standard was developed by *analogy* to “physical presence,” and it would be perverse to say it could now be turned against that touchstone of jurisdiction.

D

Petitioner's strongest argument, though we ultimately reject it, relies upon our decision in *Shaffer v. Heitner* * * * [p. 210, *supra*].

It goes too far to say, as petitioner contends, that *Shaffer* compels the conclusion that a State lacks jurisdiction over an individual unless the litigation arises out of his activities in the State. *Shaffer*, like *International Shoe*, involved jurisdiction over an *absent defendant*, and it stands for nothing more than the proposition that when the “minimum contact” that is a substitute for physical presence consists of property ownership it must, like other minimum contacts, be related to the litigation. Petitioner wrenches out of its context our statement in *Shaffer* that “all assertions of state-court jurisdiction must be evaluated according to the standards set forth in *International Shoe* and its progeny” * * *. When read together with the two sentences that preceded it, the meaning of this statement becomes clear * * *. *Shaffer* was saying * * * not that all bases for the assertion of *in personam* jurisdiction (including, presumably, in-state service) must be treated alike and subjected to the “minimum contacts” analysis of *International Shoe*; but rather that *quasi in rem* jurisdiction, that fictional “ancient form,” and *in personam* jurisdiction, are really one and the same and must be treated alike—leading to the conclusion that *quasi in rem* jurisdiction, *i.e.*, that form of *in personam* jurisdiction based upon a “property ownership” contact and by definition unaccompanied by personal, in-state service, must satisfy the litigation-relatedness requirement of *International Shoe*. The logic of *Shaffer*'s holding—which places all suits against absent nonresidents on the same constitutional footing, regardless of whether a separate Latin label is attached to one particular basis of contact—does not compel the conclusion that physically present defendants must be treated identically to absent ones. * * *

It is fair to say, however, that while our holding today does not contradict *Shaffer*, our basic approach to the due process question is different. We have conducted no independent inquiry into the desirability or fairness of the prevailing in-state service rule, leaving that judgment to the legislatures that are free to amend it; for our purposes, its validation is

its pedigree, as the phrase “*traditional notions of fair play and substantial justice*” makes clear. *Shaffer* did conduct such an independent inquiry, asserting that “ ‘traditional notions of fair play and substantial justice’ can be as readily offended by the perpetuation of ancient forms that are no longer justified as by the adoption of new procedures that are inconsistent with the basic values of our constitutional heritage.” * * * Perhaps that assertion can be sustained when the “perpetuation of ancient forms” is engaged in by only a very small minority of the States. Where, however, as in the present case, a jurisdictional principle is both firmly approved by tradition and still favored, it is impossible to imagine what standard we could appeal to for the judgment that it is “no longer justified.” * * * For new procedures, hitherto unknown, the Due Process Clause requires analysis to determine whether “traditional notions of fair play and substantial justice” have been offended. * * * But a doctrine of personal jurisdiction that dates back to the adoption of the Fourteenth Amendment and is still generally observed unquestionably meets that standard.

III

A few words in response to Justice BRENNAN’s opinion concurring in the judgment: It insists that we apply “contemporary notions of due process” to determine the constitutionality of California’s assertion of jurisdiction. * * * The “contemporary notions of due process” applicable to personal jurisdiction are the enduring “*traditional notions of fair play and substantial justice*” established as the test by *International Shoe*. By its very language, that test is satisfied if a state court adheres to jurisdictional rules that are generally applied and have always been applied in the United States.

But the concurrence’s proposed standard of “contemporary notions of due process” requires more: It measures state-court jurisdiction not only against traditional doctrines in this country, including current state-court practice, but also against each Justice’s subjective assessment of what is fair and just. Authority for that seductive standard is not to be found in any of our personal jurisdiction cases. * * *

* * *

* * * The only reason for charging Mr. Burnham with the reasonable expectation of being subject to suit is that the States of the Union assert adjudicatory jurisdiction over the person, and have always asserted adjudicatory jurisdiction over the person, by serving him with process during his temporary physical presence in their territory. That continuing tradition, which anyone entering California should have known about, renders it “fair” for Mr. Burnham, who voluntarily entered California, to be sued there for divorce—at least “fair” in the limited sense that he has no one but himself to blame. Justice BRENNAN’s long journey is a circular one, leaving him, at the end of the day, in complete reliance upon the very

factor he sought to avoid: The existence of a continuing tradition is not enough, fairness also must be considered; fairness exists here because there is a continuing tradition.

* * * Justice BRENNAN’s approach does not establish a rule of law at all, but only a “totality of the circumstances” test, guaranteeing what traditional territorial rules of jurisdiction were designed precisely to avoid: uncertainty and litigation over the preliminary issue of the forum’s competence. It may be that those evils, necessarily accompanying a freestanding “reasonableness” inquiry, must be accepted at the margins, when we evaluate *nontraditional* forms of jurisdiction newly adopted by the States * * *. But that is no reason for injecting them into the core of our American practice, exposing to such a “reasonableness” inquiry the ground of jurisdiction that has hitherto been considered the very *baseline* of reasonableness, physical presence.

The difference between us and Justice BRENNAN has nothing to do with whether “further progress [is] to be made” in the “evolution of our legal system.” * * * It has to do with whether changes are to be adopted as progressive by the American people or decreed as progressive by the Justices of this Court. Nothing we say today prevents individual States from limiting or entirely abandoning the in-state-service basis of jurisdiction. And nothing prevents an overwhelming majority of them from doing so, with the consequence that the “traditional notions of fairness” that this Court applies may change. But the States have overwhelmingly declined to adopt such limitation or abandonment, evidently not considering it to be progress. The question is whether, armed with no authority other than individual Justices’ perceptions of fairness that conflict with both past and current practice, this Court can compel the States to make such a change on the ground that “due process” requires it. We hold that it cannot.

* * *

Affirmed.

JUSTICE WHITE, concurring in part and concurring in the judgment.

I join Parts I, II-A, II-B, and II-C of Justice SCALIA’s opinion and concur in the judgment of affirmance. The rule allowing jurisdiction to be obtained over a nonresident by personal service in the forum State, without more, has been and is so widely accepted throughout this country that I could not possibly strike it down, either on its face or as applied in this case, on the ground that it denies due process of law guaranteed by the Fourteenth Amendment. * * *

JUSTICE BRENNAN, with whom JUSTICE MARSHALL, JUSTICE BLACKMUN, and JUSTICE O’CONNOR join, concurring in the judgment.

I agree with Justice SCALIA that the Due Process Clause of the Fourteenth Amendment generally permits a state court to exercise jurisdiction over a defendant if he is served with process while voluntarily present in the forum State. I do not perceive the need, however, to decide that a jurisdictional rule that “ ‘has been immemorially the actual law of the land,’ ” * * * automatically comports

with due process simply by virtue of its “pedigree.” * * * Unlike Justice SCALIA, I would undertake an “independent inquiry into the * * * fairness of the prevailing in-state service rule.” * * * I therefore concur only in the judgment.

I

I believe that the approach adopted by Justice SCALIA’s opinion today—reliance solely on historical pedigree—is foreclosed by our decisions in *International Shoe* * * * and *Shaffer* * * *. * * * The critical insight of *Shaffer* is that all rules of jurisdiction, even ancient ones, must satisfy contemporary notions of due process. * * * I agree * * * and continue to believe that “the minimum-contacts analysis developed in *International Shoe* . . . represents a far more sensible construct for the exercise of state-court jurisdiction than the patchwork of legal and factual fictions that has been generated from the decision in *Pennoyer v. Neff*.” * * *

While our *holding* in *Shaffer* may have been limited to *quasi in rem* jurisdiction, our mode of analysis was not. Indeed, that we were willing in *Shaffer* to examine anew the appropriateness of the *quasi in rem* rule—until that time dutifully accepted by American courts for at least a century—demonstrates that we did not believe that the “pedigree” of a jurisdictional practice was dispositive in deciding whether it was consistent with due process. * * * If we could discard an “ancient form without substantial modern justification” in *Shaffer*, * * * we can do so again. Lower courts, commentators, and the American Law Institute all have interpreted *International Shoe* and *Shaffer* to mean that *every* assertion of state-court jurisdiction, even one pursuant to a “traditional” rule such as transient jurisdiction, must comport with contemporary notions of due process. Notwithstanding the nimble gymnastics of Justice SCALIA’s opinion today, it is not faithful to our decision in *Shaffer*.

II

Tradition, though alone not dispositive, is of course *relevant* to the question whether the rule of transient jurisdiction is consistent with due process. * * * Tradition is salient not in the sense that practices of the past are automatically reasonable today; indeed, under such a standard, the legitimacy of transient jurisdiction would be called into question because the rule’s historical “pedigree” is a matter of intense debate. * * * For much of the 19th century, American courts did not uniformly recognize the concept of transient jurisdiction, and it appears that the transient rule did

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not receive wide currency until well after our decision in *Pennoyer v. Neff* * * *.

Rather, I find the historical background relevant because, however murky the jurisprudential origins of transient jurisdiction, the fact that American courts have announced the rule for perhaps a century * * * provides a defendant voluntarily present in a particular State *today* “clear notice that [he] is subject to suit” in the forum. * * * [Thus, t]he transient rule is consistent with reasonable expectations and is entitled to a strong presumption that it comports with due process. * * *

By visiting the forum State, a transient defendant actually “avail[s]” himself * * * of significant benefits provided by the State. His health and safety are guaranteed by the State’s police, fire, and emergency medical services; he is free to travel on the State’s roads and waterways; he likely enjoys the fruits of the State’s economy as well. Moreover, the Privileges and Immunities Clause of Article IV prevents a state government from discriminating against a transient defendant by denying him the protections of its law or the right of access to its courts. * * * Without transient jurisdiction, an asymmetry would arise: A transient would have the full benefit of the power of the forum State’s courts as a plaintiff while retaining immunity from their authority as a defendant. * * *

The potential burdens on a transient defendant are slight. * * * That the defendant has already journeyed at least once before to the forum—as evidenced by the fact that he was served with process there—is an indication that suit in the forum likely would not be prohibitively inconvenient. Finally, any burdens that do arise can be ameliorated by a variety of procedural devices. For these reasons, as a rule the exercise of personal jurisdiction over a defendant based on his voluntary presence in the forum will satisfy the requirements of due process. * * *

In this case, it is undisputed that petitioner was served with process while voluntarily and knowingly in the State of California. I therefore concur in the judgment.

JUSTICE STEVENS, concurring in the judgment.

As I explained in my separate writing, I did not join the Court’s opinion in *Shaffer* * * * because I was concerned by its unnecessarily broad reach. * * * The same concern prevents me from joining either Justice SCALIA’s or Justice BRENNAN’s opinion in this case. For me, it is sufficient to note that the historical evidence and consensus identified by Justice SCALIA, the considerations of fairness identified by Justice BRENNAN, and the common sense displayed by Justice WHITE, all combine to demonstrate that this is,

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indeed, a very easy case.* Accordingly, I agree that the judgment should be affirmed.

NOTES AND QUESTIONS

- 1.The Justices agreed on the result in *Burnham*, but could not agree on its theoretical underpinnings. Which approach do you find to be more persuasive?
- 2.In which situations would all of the Justices agree that in-forum service of process is a constitutionally sufficient basis for personal jurisdiction?

Are there any situations in which jurisdiction based on in-forum service of process would be constitutionally suspect? Would it be constitutional to exercise general jurisdiction over a foreign defendant who is served while present in the forum for a two-hour lay-over at the airport? See Hay, *Transient Jurisdiction, Especially Over International Defendants: Critical Comments on Burnham v. Superior Court of California*, 1990 U.Ill.L.Rev. 593. Or over a foreign defendant served while in-flight over the forum state? See p. 88, Note 4.

3. Is in-state service upon a corporation by delivering process to a corporate officer who happens to be present in the state at the time of service an effective way to establish jurisdiction? How does the notion that general jurisdiction requires a corporation to be “at home” in the forum state, see Section E, *supra*, affect your analysis? Consider the concern expressed by Justice Gorsuch in his *Ford* concurring opinion, pp. 191–192, *supra*, that “even though *individual* defendants remain subject to the old ‘tag’ rule, allowing them to be sued on any claim anywhere they can be found * * * it seems corporations continue to receive special jurisdictional protections in the name of the Constitution. Less clear is why.”

K. JURISDICTIONAL REACH OF THE FEDERAL DISTRICT COURTS

Read Federal Rule of Civil Procedure 4 and the accompanying materials in the Supplement.

NOTE ON FEDERAL RULE 4

A federal court, like any court in the United States, can exercise personal jurisdiction over a defendant only if that power is authorized by statute and its exercise comports with due process. Some of the decisions covered earlier in this chapter—including *Keeton*, p. 124, *supra*, *Burger King*, p. 127, *supra*,

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Daimler, p. 167, *supra*, and *Walden*, p. 159, *supra*—involved cases filed initially in a federal district court.

Conventionally, discussions about personal jurisdiction in the federal courts focus on Federal Rule 4. Much of Rule 4 is concerned with the methods of serving process on defendants in federal court. See Chapter 3, Section B, *infra*. Rule 4(k), however, designates when service of process “establishes personal jurisdiction over a defendant” in a federal court action. As Rule 4(k) confirms, service of process is a precondition for obtaining personal jurisdiction.

Rule 4(k)(1) has three distinct provisions:

- (a) Rule 4(k)(1)(A) allows personal jurisdiction over a defendant “who is subject to the jurisdiction of a court of general jurisdiction in the state where the district court is located.”
- (b) Rule 4(k)(1)(B) allows personal jurisdiction over a party joined under Rules 14 or 19 who is served with process “within a judicial district of the United States and not more than 100 miles from where the summons was issued.”
- (c) Rule 4(k)(1)(C) allows personal jurisdiction when authorized by a federal statute.

By contrast to Rule 4(k)(1), Rule 4(k)(2) is a limited federal long-arm provision that establishes personal jurisdiction “for a claim that arises under federal law” if the “defendant is not subject to jurisdiction in any state’s courts of general jurisdiction” and “exercising jurisdiction is consistent with the United States Constitution and laws.” The requirement that the claim must “arise[] under federal law” means that Rule 4(k)(2) does not apply to claims that are based exclusively on state law. See Chapter 4, Section C, *infra* (discussing the federal question category of federal subject-matter jurisdiction).

As the Federal Circuit has explained:

Rule 4(k)(2) closed a loophole that existed prior to the 1993 amendments of the Federal Rules of Civil Procedure. Before the adoption of Rule 4(k)(2), a non-resident defendant who did not have “minimum contacts” with any individual state sufficient to support [any court’s] exercise of jurisdiction, but did have sufficient contacts with the United States as a whole, could escape jurisdiction in all fifty states. Rule 4(k)(2) was adopted to ensure that federal claims will have a U.S. forum if sufficient national contacts exist. * * *

Touchcom, Inc. v. Bereskin & Parr, 574 F.3d 1403, 1414 (Fed.Cir. 2009) (footnotes omitted).

NOTES AND QUESTIONS

1. What is the constitutional test for determining whether a defendant is subject to personal jurisdiction in a federal court under Rule 4(k)(1)(A)? Does the state’s long-arm statute play a role? Note that Rule 4(k)(1)(A)’s reference

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to “a court of general jurisdiction in the state” does not refer only to state courts with “general jurisdiction” over a defendant as that term is used in Section E, *supra*. Rather, it refers to state courts whose authority is not limited by subject matter. See p. 300, Note 1, *infra*.

2. Rule 4(k)(1)(B), the so-called “bulge” provision, was promulgated in order “to allow complicated controversies to be ended by a single lawsuit if all the necessary third parties could be found within 100 miles of the courthouse.” *Coleman v. American Export Isbrandsten Lines, Inc.*, 405 F.2d

250, 252 (2d Cir. 1968). When service is effected under Rule 4(k)(1)(B), is due process satisfied if defendant has minimum contacts with the state in which bulge service is effected?

3.Rule 4(k)(1)(C) applies when Congress has specifically authorized personal jurisdiction for a particular kind of case. These are sometimes referred to as “nationwide service of process” provisions, such as those in the Commodity Exchange Act, 7 U.S.C. §§ 13a–1, 13a–2(4), 18(b); the Clayton Act § 12, 15 U.S.C. § 22; the Securities Exchange Act of 1934, § 27, 15 U.S.C. § 78aa; the False Claims Act, 28 U.S.C. § 3732(a); the Federal Debt Collection Procedures Act, 28 U.S.C. § 3004(b)(1); and Federal Trade Commission subpoenas, 15 U.S.C. § 49. Because such statutes provide independent federal authority for personal jurisdiction, their application in federal court is not subject to the limits imposed on state courts under the Fourteenth Amendment’s Due Process Clause. Instead, they are governed by the Due Process Clause of the Fifth Amendment. See, e.g., *Republic of Panama v. BCCI Holdings (Luxembourg) S.A.*, 119 F.3d 935, 942 (11th Cir. 1997) (“It is well established that when, as here, a federal statute provides the basis for jurisdiction, the constitutional limits of due process derive from the Fifth, rather than the Fourteenth, Amendment.”). The Fifth Amendment test does not hinge on defendant’s contacts with any particular state; rather it considers defendant’s “contacts with the nation as a whole.” *Laurel Gardens, LLC v. McKenna*, 948 F.3d 105, 122 (3d Cir. 2020).

Recall that in *McIntyre*, p. 143, *supra*, Justice Kennedy’s plurality opinion raised the possibility of Congress authorizing jurisdiction over a foreign defendant on the basis of nationwide contacts. Is the argument in favor of nationwide service of process as strong when the federal court sits in diversity and hears a state law claim?

4. Service under Federal Rule 4(k)(2) generally is said to call for a two-step inquiry. At step one, the court determines whether defendant is subject to personal jurisdiction in any one of the 50 states; at step two, the court assesses whether defendant’s contacts with the nation satisfy due process. As to the first step, an influential Seventh Circuit decision held that this requirement of Rule 4(k)(2) is satisfied if defendant acknowledges that he cannot be sued in the forum state but declines to identify a state in which jurisdiction is present. See *ISI Intern. Inc. v. Borden Ladner Gervais LLP*, 256 F.3d 548, 552 (7th Cir. 2001). The First Circuit instead requires plaintiff to certify that defendant is not subject to jurisdiction in any state, and then the burden shifts to defendant

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to rebut the certification. See *United States v. Swiss American Bank, Ltd.*, 191 F.3d 30 (1st Cir.1999). As to the constitutional inquiry, jurisdiction under Rule 4(k)(2) is subject to the Fifth Amendment’s constraints rather than the Fourteenth Amendment’s (see Note 3, *supra*); thus, defendant’s nationwide contacts may be aggregated to determine whether “there are sufficient minimum contacts with the nation as a whole.” *Abelesz v. OTP Bank*, 692 F.3d 638, 660 (7th Cir. 2012).

5. How does Federal Rule 4(n) differ from the other service rules so far discussed? Under what circumstances may the federal court piggy-back on a state law authorizing jurisdiction based on the seizure of assets? In *Office Depot, Inc. v. Zuccarini*, 596 F.3d 696 (9th Cir. 2010), the appeals court affirmed that quasi in rem jurisdiction can be obtained under Rule 4(n) by attaching any form of property; the court held that domain names are personal property subject to attachment wherever the domain registry is located.

L. CHALLENGING A COURT’S EXERCISE OF JURISDICTION OVER THE PERSON OR PROPERTY

Read Federal Rules of Civil Procedure 12(b), (g), and (h) and the accompanying materials in the Supplement.

1.RAISING THE JURISDICTIONAL ISSUE DIRECTLY

The term “special appearance” refers to the procedure at common law by which a defendant presented a challenge to the court’s exercise of personal jurisdiction without submitting to the court’s jurisdiction for any other purpose. The rules varied from state to state on the technical requirements for making a special appearance. A defendant generally had to designate the appearance “special” and limit argument to raising the jurisdictional defense. If the party did anything else, such as argue the merits in any way, defendant would be deemed to have made a “general appearance,” constituting a voluntary submission to the court’s jurisdiction and a waiver of any defects in the court’s jurisdiction. In *YORK v. STATE OF TEXAS*, 137 U.S. 15, 21, 11 S.Ct. 9, 10, 34 L.Ed. 604, 605 (1890), a divided Court held that the Fourteenth Amendment did not bar “legislation simply forbidding the defendant to come into court, and challenge the validity of service upon him in a personal action, without surrendering himself to the jurisdiction of the court.”

Although substantial variation still may be encountered among different systems of state procedure, the general rules regarding objections to personal jurisdiction are illustrated by the federal scheme. The federal

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system does not use the term “special appearance”; but as discussed in Chapter 8, *infra*, a defendant who fails to argue a lack of personal jurisdiction early in the litigation may waive the defense and, effectively, consent to the court’s jurisdiction.

2.COLLATERAL ATTACK ON PERSONAL JURISDICTION

If a defendant contests a court’s exercise of personal jurisdiction and loses, may jurisdiction again be challenged in a later action to enforce the judgment? Consider *BALDWIN v. IOWA STATE TRAVELING MEN’S ASS’N*, 283 U.S. 522, 51 S.Ct. 517, 75 L.Ed. 1244 (1931), in which respondent attempted to attack a judgment rendered against it in a Missouri federal court. The company had made a special appearance in the prior suit and had moved to set aside service and dismiss the case for a lack of personal jurisdiction. In rejecting respondent’s attempt to attack the first judgment collaterally, the Supreme Court stated:

Public policy dictates that there be an end of litigation; that those who have contested an issue shall be bound by the result of the contest; and that matters once tried shall be considered forever settled as between parties. We see no reason why this doctrine should not apply in every case where one voluntarily appears, presents his case and is fully heard, and why he should not, in the absence of fraud, be thereafter concluded by the judgment of the tribunal to which he has submitted his cause.

Id. at 525–26, 51 S.Ct. at 518, 75 L.Ed. at 1247.

The *Baldwin* opinion repeats the established rule that a defendant who makes no appearance whatsoever remains free to challenge collaterally a default judgment for want of personal jurisdiction. Recall that in *Pennoyer*, p. 79, *supra*, and *McGee*, p. 102, *supra*, defendant challenged personal jurisdiction at the enforcement stage. The principle that a court has power to determine its own personal jurisdiction is limited to defendants who submit the question for resolution in that court. Would it be unthinkable to require a defendant to raise the jurisdictional objection in the initial forum or lose the opportunity to contest personal jurisdiction?

3.THE LIMITED-APPEARANCE PROBLEM

A “limited appearance” allows a defendant in an action commenced on a quasi in rem basis to appear for the limited purpose of defending the party’s interest in the attached property without submitting to the full in personam jurisdiction of the court. See, e.g., *Dry Clime Lamp Corp. v. Edwards*, 389 F.2d 590 (5th Cir. 1968); *Harvard Trust Co. v. Bray*, 138 Vt. 199, 413 A.2d 1213 (1980). Without provision for a limited appearance, a defendant must choose between appearing, and thereby risking the

possibility of an in personam judgment in excess of the value of the attached property, or not appearing, and thereby, as a practical matter, suffering the forfeiture of the attached property. See *Developments in the Law—State-Court Jurisdiction*, 73 Harv.L.Rev. 911, 954 (1960). Does the limited appearance have a constitutional basis after *Shaffer*, p. 210, *supra*?

Note that the federal rules do not expressly allow for a limited appearance in cases where jurisdiction is based on the attachment of property under Rule 4(n). See p. 234, Note 5, *supra*.

^aAlteration in original.

² This subsection provides:

“A court may exercise personal jurisdiction over a person, who acts directly or by an agent, as to a cause of action or claim for relief arising from the person’s * * * causing tortious injury in this state by an act or omission outside this state if he regularly does or solicits business or engages in any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in this state * * *.” * * *

⁵¹⁵ In some cases, the inquiry will resemble the inquiry commonly undertaken in determining which State’s law to apply. That it is fair to apply a State’s law to a nonresident defendant is clearly relevant in determining whether it is fair to subject the defendant to jurisdiction in that State. * * *

^bAlteration in original.

^cAlteration in original.

²McIntyre America filed for bankruptcy in 2001, is no longer operating, and has not participated in this lawsuit. * * * After “the demise of . . . McIntyre America,” McIntyre UK authorized a Texas-based company to serve as exclusive United States distributor of McIntyre UK shears. * * *

³ McIntyre UK resisted Nicastro’s efforts to determine whether other McIntyre machines had been sold to New Jersey customers. * * * McIntyre did allow that McIntyre America “may have resold products it purchased from [McIntyre UK] to a buyer in New Jersey,” * * * but said it kept no record of the ultimate destination of machines it shipped to its distributor * * *. A private investigator engaged by Nicastro found at least one McIntyre UK machine, of unspecified type, in use in New Jersey. * * * But McIntyre UK objected that the investigator’s report was “unsworn and based upon hearsay.” * * * Moreover, McIntyre UK maintained, no evidence showed that the machine the investigator found in New Jersey had been “sold into [that State].” * * *

⁵* * * The plurality’s notion that jurisdiction over foreign corporations depends upon the defendant’s “submission,” * * * seems scarcely different from the long-discredited fiction of implied consent. It bears emphasis that a majority of this Court’s members do not share the plurality’s view.

⁶Last year, the United States imported nearly \$2 trillion in foreign goods. * * * Capital goods, such as the metal shear machine that injured Nicastro, accounted for almost \$450 billion in imports for 2010. * * * New Jersey is the fourth-largest destination for manufactured commodities imported into the United States, after California, Texas, and New York. * * *

⁹ The plurality objects to a jurisdictional approach “divorced from traditional practice.” * * * But “the fundamental transformation of our national economy,” this Court has recognized, warrants enlargement of “the permissible scope of state jurisdiction over foreign corporations and other nonresidents.” *McGee* * * * [p. 102, *supra*].

¹¹ Historically, “tort cases were governed by the place where the last act giving rise to a claim occurred—that is, the place of injury.” * * * Even as many jurisdictions have modified the traditional rule of *lex loci delicti*, the location of injury continues to hold sway in choice-of-law analysis in tort cases. * * *

¹² The plurality suggests that the Due Process Clause might permit a federal district court in New Jersey, sitting in diversity and applying New Jersey law, to adjudicate McIntyre UK’s liability to Nicastro. * * * In other words, McIntyre UK might be compelled to bear the burden of traveling to New Jersey and defending itself there under New Jersey’s products liability law, but would be entitled to federal adjudication of Nicastro’s state-law claim. I see no basis in the Due Process Clause for such a curious limitation.

¹⁵ The plurality notes the low volume of sales in New Jersey * * *. A \$24,900 shearing machine, however, is unlikely to sell in bulk worldwide, much less in any given State. By dollar value, the price of a single machine represents a significant sale. Had a manufacturer sold in New Jersey \$24,900 worth of flannel shirts, see *Nelson v. Park Industries, Inc.*, 717 F.2d 1120 (C.A.7 1983), cigarette lighters, see *Oswalt v. Scripto, Inc.*, 616 F.2d 191 (C.A.5 1980), or wire-rope splices, see *Hedrick v. Daiko Shoji Co.*, 715 F.2d 1355 (C.A.9 1983), the Court would presumably find the defendant amenable to suit in that State.

¹⁸ Assigning weight to the local or international stage on which the parties operate would, to a considerable extent, answer the concerns expressed by Justice Breyer. * * *

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Alteration in original.

¹ Respondents portray Goodyear USA’s structure as a reprehensible effort to “outsource” all manufacturing, and correspondingly, tort litigation, to foreign jurisdictions. * * * Yet Turkey, where the tire alleged to have caused the accident-in-suit was made, is hardly a strange location for a facility that primarily supplies markets in Europe and Asia.

² Such markings do not necessarily show that any of the tires were destined for sale in the United States. To facilitate trade, the Solicitor General explained, the United States encourages other countries to “treat compliance with [Department of Transportation] standards, including through use of DOT markings, as evidence that the products are safely manufactured.” Brief for United States as *Amicus Curiae* 32.

³ N.C. Gen.Stat. Ann. § 1–75.4(1)(d) provides for jurisdiction, “whether the claim arises within or without [the] State,” when the defendant “[i]s engaged in substantial activity within this State, whether such activity is wholly interstate, intrastate, or otherwise.” The North Carolina Supreme Court had interpreted the provision as “intended to make available to the North Carolina courts the full jurisdictional powers permissible under federal due process.” *Dillon v. Numismatic Funding Corp.*, 291 N.C. 674, 676, 231 S.E.2d 629, 630 (1977).

⁵ * * [T]he North Carolina Court of Appeals invoked the State’s “well-recognized interest in providing a forum in which its citizens are able to seek redress for injuries that they have sustained.” * * * But “[g]eneral jurisdiction to adjudicate has in [United States] practice never been based on the plaintiff’s relationship to the forum. There is nothing in [our] law comparable to . . . article 14 of the Civil Code of France (1804) under which the French nationality of the plaintiff is a sufficient ground for jurisdiction.” * * * When a defendant’s act outside the forum causes injury in the forum, by contrast, a plaintiff’s residence in the forum may strengthen the case for the exercise of specific jurisdiction. * * *

¹ All alterations that appear in the *Ford* opinions are in the original, except for the lettered footnote, omissions that are indicated with asterisks, and bracketed cross-references to pages in this casebook.

² One of the concurrences here expresses a worry that our *International Shoe*-based body of law is not “well suited for the way in which business is now conducted,” and tentatively suggests a 21st-century rethinking. * * * (ALITO, J., concurring in judgment). Fair enough perhaps, * * * but the concurrence then acknowledges that these cases have no distinctively modern features, and it decides them on grounds that (as it agrees) are much the same as ours. * * * The other concurrence proposes instead a return to the mid-19th century—a replacement of our current doctrine with the Fourteenth Amendment’s original meaning respecting personal jurisdiction. * * * (GORSUCH, J., concurring in judgment). But that opinion never reveals just what the Due Process Clause as understood at its ratification required, and its ground for deciding these cases is correspondingly spare. * * * This opinion, by contrast, resolves these cases by proceeding as the Court has done for the last 75 years—applying the standards set out in *International Shoe* and its progeny, with attention to their underlying values of ensuring fairness and protecting interstate federalism.

³ In thus reiterating this Court’s longstanding approach, we reject Justice GORSUCH’s apparent (if oblique) view that a state court should have jurisdiction over a nationwide corporation like Ford on *any* claim, no matter how unrelated to the State or Ford’s activities there. * * * On that view, for example, a California court could hear a claim against Ford brought by an Ohio plaintiff based on an accident occurring in Ohio involving a car purchased in Ohio. Removing the need for any connection between the case and forum State would transfigure our specific jurisdiction standard as applied to corporations. “Case-linked” jurisdiction * * * would then become not case-linked at all.

⁴ None of this is to say that any person using any means to sell any good in a State is subject to jurisdiction there if the product malfunctions after arrival. We have long treated isolated or sporadic transactions differently from continuous ones. See, e.g., *World-Wide Volkswagen Corp. v. Woodson* [p. 114, *supra*]. And we do not here consider internet transactions, which may raise doctrinal questions of their own. See *Walden v. Fiore* [p. 159, *supra*] (“[T]his case does not present the very different questions whether and how a defendant’s virtual ‘presence’ and conduct translate into ‘contacts’ with a particular State”). So consider, for example, a hypothetical offered at oral argument. “[A] retired guy in a small town” in Maine “carves decoys” and uses “a site on the Internet” to sell them. * * * “Can he be sued in any state if some harm arises from the decoy?” * * * The differences between that case and the ones before us virtually list themselves. (Just consider all our descriptions of Ford’s activities outside its home bases.) So we agree with the plaintiffs’ counsel that resolving these cases does not also resolve the hypothetical. * * *

⁵ It should, for example, make no difference if a plaintiff had recently moved to the forum State with his car, and had not made his purchasing decision with that move in mind—so had not considered any of Ford’s activities in his new home State.

¹ The majority says personal jurisdiction should not turn on a plaintiff’s ability to “allege” or “establish” his or her reasons for doing business with the defendant. * * * But the implicit assumption here—that the plaintiff bears the burden of proving personal jurisdiction—is often mistaken. Perhaps because a lack of personal jurisdiction is a waivable affirmative defense, some States place the burden of proving the defense on the defendant. Even in places where the plaintiff bears the burden, I fail to see why it would be so terrible (or burdensome) to require an individual to plead and prove his or her reasons for purchase. Frequently, doing so may be simple—far simpler than showing how the defendant’s connections with the jurisdiction satisfy a new and amorphous “affiliation” test.

² Some disagree that due process requires even this much. Recent scholarship, for example, contends *Pennoyer*’s territorial account of sovereign power is mostly right, but the rules it embodies are not “fixed in constitutional amber”—that is, Congress might be able to change them. Sachs, *Pennoyer* Was Right, 95 Texas L. Rev. 1249, 1255 (2017). Others suggest that fights over personal jurisdiction would be more sensibly waged under the Full Faith and Credit Clause. Jackson, Full Faith and Credit—The Lawyer’s Clause of the Constitution, 45 Colum. L. Rev. 1, 3 (1945). Whether these theories are right or wrong, they at least seek to answer the right question—what the Constitution as originally understood requires, not what nine judges consider “fair” and “just.”

³ As discussed p. 223, *infra*, the Court’s fractured decision in *Burnham* upheld the traditional practice, recognized in *Pennoyer*, permitting personal jurisdiction over an individual defendant who is served with process while present in the forum state—regardless of whether the substance of the lawsuit has any connection to defendant’s presence there.

⁴ Since *Burnham*, some courts have sought to revive the tag rule for artificial entities while others argue that doing so would be inconsistent with *International Shoe*. * * *

⁵ The majority worries that the thoughts expressed here threaten to “transfigure our specific jurisdiction standard as applied to corporations” and “return [us] to the mid-19th century.” * * * But it has become a tired trope to criticize any reference to the Constitution’s original meaning as (somehow) both radical and antiquated. Seeking to understand the Constitution’s original meaning is part of our job. What’s the majority’s real worry anyway—that corporations might lose special protections? The Constitution has always allowed suits against *individuals* on any issue in any State where they set foot. * * * Yet the majority seems to recoil at even entertaining the possibility the Constitution might tolerate similar results for “nationwide corporation[s],” whose “business is everywhere.” * * *

¹ Greyhound Lines, Inc., is incorporated in California and has its principal place of business in Phoenix, Ariz.

²¹² Under Delaware law, defendants whose property has been sequestered must enter a general appearance, thus subjecting themselves to *in personam* liability, before they can defend on the merits. * * *

²³⁷ This case does not raise, and we therefore do not consider, the question whether the presence of a defendant’s property in a State is a sufficient basis for jurisdiction when no other forum is available to the plaintiff.

⁹⁴⁰ Appellants argue that our determination that the minimum contacts standard of *International Shoe* governs jurisdiction here makes unnecessary any consideration of the existence of such contacts. * * * They point out that they were never personally served with a summons, that Delaware has no long-arm statute which would authorize such service, and that the Delaware Supreme Court has authoritatively held that the existence of contacts is irrelevant to jurisdiction under Del.Code Ann., Tit. 10, § 366 (1975). As part of its sequestration order, however, the Court of Chancery directed its clerk to send each appellant a copy of the summons and complaint by certified mail. The record indicates that those mailings were made and contains return receipts from at least 19 of the appellants. None of the appellants has suggested that he did not actually receive the summons which was directed to him in compliance with a Delaware statute designed to provide jurisdiction over non-residents. In these circumstances, we will assume that the procedures followed would be sufficient to bring appellants before the Delaware courts, if minimum contacts existed.

¹ Indeed, the Court’s decision to proceed to the minimum-contacts issue treats Delaware’s sequestration statute as if it were the equivalent of Rhode Island’s long-arm law, which specifically authorizes its courts to assume jurisdiction to the limit permitted by the Constitution, R.I.Gen.Laws Ann. § 9–5–33 (1970), thereby necessitating judicial consideration of the frontiers of minimum contacts in every case arising under that statute.

* Perhaps the adage about hard cases making bad law should be revised to cover easy cases.

CHAPTER 3

PROVIDING NOTICE AND AN OPPORTUNITY TO BE HEARD



This chapter examines two additional constitutional requirements for a judgment to be valid. The first requirement is that the parties receive adequate notice of the commencement of the action and the issues involved in it. This chapter addresses adequate notice in terms of both constitutional due process and the Federal Rules of Civil Procedure. The second requirement is that the parties have an adequate opportunity at an appropriate time to present their sides of the dispute. Both conditions are essential components of “due process of law,” a concept that traces back to the Magna Carta: “No freeman shall be taken, or imprisoned, or disseized, or outlawed, or banished, or in anywise destroyed; nor will the king pass upon him, or commit him to prison, save by the lawful judgment of his peers, or the law of the land.” Magna Carta (1297), 25 Edw. 1, c 29; see Russel, *Due Process of Law*, 14 Yale L.J. 322, 325–26 (1905). Due process is a bedrock constitutional principle, set out in the Fifth and Fourteenth Amendments of the United States Constitution, but courts often disagree about how to put the concept into practice.

A. THE REQUIREMENT OF REASONABLE NOTICE

MULLANE V. CENTRAL HANOVER BANK & TRUST CO.

Supreme Court of the United States, 1950.
[339 U.S. 306, 70 S.Ct. 652, 94 L.Ed. 865.](#)

Appeal from the Court of Appeals of New York.

JUSTICE JACKSON delivered the opinion of the Court.

This controversy questions the constitutional sufficiency of notice to beneficiaries on judicial settlement of accounts by the trustee of a common trust fund established under the New York Banking Law * * *. The New York Court of Appeals considered and overruled objections that the statutory notice contravenes requirements of the Fourteenth Amendment * * *. The case is here on appeal * * *.

Common trust fund legislation is addressed to a problem appropriate for state action. Mounting overheads have made administration of small trusts undesirable to corporate trustees. In order that donors and testators

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of moderately sized trusts may not be denied the service of corporate fiduciaries, the District of Columbia and some thirty states other than New York have permitted pooling small trust estates into one fund for investment administration. The income, capital gains, losses and expenses of the collective trust are shared by the constituent trusts in proportion to their contribution. By this plan, diversification of risk and economy of management can be extended to those whose capital standing alone would not obtain such advantage.

Statutory authorization for the establishment of such common trust funds is provided in the New York Banking Law, § 100–c * * *. Under this Act a trust company may, with approval of the State Banking Board, establish a common fund and, within prescribed limits, invest therein the assets of an unlimited number of estates, trusts or other funds of which it is trustee. Each participating trust shares ratably in the common fund, but exclusive management and control is in the trust company as trustee, and neither a fiduciary nor any beneficiary of a participating trust is deemed to have ownership in any particular asset or investment of this common fund. The trust company must keep fund assets separate from its own, and in its fiduciary capacity may not deal with itself or any affiliate. Provisions are made for accountings twelve to fifteen months after the establishment of a fund and triennially thereafter. The decree in each such judicial settlement of accounts is made binding and conclusive as to any matter set forth in the account upon everyone having any interest in the common fund or in any participating estate, trust or fund.

In January, 1946, Central Hanover Bank and Trust Company established a common trust fund in accordance with these provisions, and in March, 1947, it petitioned the Surrogate’s Court for settlement of its first account as common trustee. During the accounting period a total of 113 trusts, approximately half *inter vivos* and half testamentary, participated in the common trust fund, the gross capital of which was nearly three million dollars. The record does not show the number or residence of the beneficiaries, but they were many and it is clear that some of them were not residents of the State of New York.

The only notice given beneficiaries of this specific application [for judicial settlement of the account] was by publication in a local newspaper [for four successive weeks] in strict compliance with the minimum requirements of N.Y. Banking Law § 100–c(12) * * *. Thus the only notice required, and the only one given, was by newspaper publication setting forth merely the name and address of the trust company, the name and the date of establishment of the common trust fund, and a list of all participating estates, trusts or funds.

At the time the first investment in the common fund was made on behalf of each participating estate, however, the trust company,

pursuant

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to the requirements of § 100–c(9), had notified by mail each person of full age and sound mind whose name and address was then known to it and who was “entitled to share in the income therefrom * * * [or] * * * who would be entitled to share in the principal if the event upon which such estate, trust or fund will become distributable should have occurred at the time of sending such notice.” Included in the notice was a copy of those provisions of the Act relating to the sending of the notice itself and to the judicial settlement of common trust fund accounts.

Upon the filing of the petition for the settlement of accounts, appellant was, by order of the court pursuant to § 100–c(12), appointed special guardian and attorney for all persons known or unknown not otherwise appearing who had or might thereafter have any interest in the income of the common trust fund; and appellee Vaughan was appointed to represent those similarly interested in the principal. There were no other appearances on behalf of anyone interested in either interest or principal.

Appellant appeared specially, objecting that notice and the statutory provisions for notice to beneficiaries were inadequate to afford due process under the Fourteenth Amendment, and therefore that the court was without jurisdiction to render a final and binding decree. Appellant’s objections were entertained and overruled [by] the Surrogate * * *. A final decree accepting the accounts has been entered, affirmed by the Appellate Division of the Supreme Court * * * and by the Court of Appeals of the State of New York * * *.

The effect of this decree, as held below, is to settle “all questions respecting the management of the common fund.” We understand that every right which beneficiaries would otherwise have against the trust company, either as trustee of the common fund or as trustee of any individual trust, for improper management of the common trust fund during the period covered by the accounting is sealed and wholly terminated by the decree. * * *

We are met at the outset with a challenge to the power of the State—the right of its courts to adjudicate at all as against those beneficiaries who reside without the State of New York. It is contended that the proceeding is one *in personam* in that the decree affects neither title to nor possession of any *res*, but adjudges only personal rights of the beneficiaries to surcharge their trustee for negligence or breach of trust. Accordingly, it is said, under the strict doctrine of *Pennoyer v. Neff* * * * [p. 79, *supra*] the Surrogate is without jurisdiction as to nonresidents upon whom personal service of process was not made.

Distinctions between actions *in rem* and those *in personam* are ancient and originally expressed in procedural terms what seems really to have been a distinction in the substantive law of property under a system quite unlike our own. * * * The legal recognition and rise in economic importance

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of incorporeal or intangible forms of property have upset the ancient simplicity of property law and the clarity of its distinctions, while new forms of proceedings have confused the old procedural classification. American courts have sometimes classed certain actions as *in rem* because personal service of process was not required, and at other times have held personal service of process not required because the action was *in rem*. * * *

Judicial proceedings to settle fiduciary accounts have been sometimes termed *in rem*, or more indefinitely *quasi in rem*, or more vaguely still, “in the nature of a proceeding *in rem*.” It is not readily apparent how the courts of New York did or would classify the present proceeding, which has some characteristics and is wanting in some features of proceedings both *in rem* and *in personam*. But in any event we think that the requirements of the Fourteenth Amendment to the Federal Constitution do not depend upon a classification for which the standards are so elusive and confused generally and which, being primarily for state courts to define, may and do vary from state to state. Without disparaging the usefulness of distinctions between actions *in rem* and those *in personam* in many branches of law, or on other issues, or the reasoning which underlies them, we do not rest the power of the State to resort to constructive service in this proceeding upon how its courts or this Court may regard this historic antithesis. It is sufficient to observe that, whatever the technical definition of its chosen procedure, the interest of each state in providing means to close trusts that exist by the grace of its laws and are administered under the supervision of its courts is so insistent and rooted in custom as to establish beyond doubt the right of its courts to determine the interests of all claimants, resident or nonresident, provided its procedure accords full opportunity to appear and be heard.

Quite different from the question of a state’s power to discharge trustees is that of the opportunity it must give beneficiaries to contest. Many controversies have raged about the cryptic and abstract words of the Due Process Clause but there can be no doubt that at a minimum they require that deprivation of life, liberty or property by adjudication be preceded by notice and opportunity for hearing appropriate to the nature of the case.

In two ways this proceeding does or may deprive beneficiaries of property. It may cut off their rights to have the trustee answer for negligent or illegal impairments of their interests. Also, their interests are presumably subject to diminution in the proceeding by allowance of fees and expenses to one who, in their names but without their knowledge, may conduct a fruitless or uncompensatory contest. Certainly the proceeding is one in which they may be deprived of property rights and hence notice and hearing must measure up to the standards of due process.

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Personal service of written notice within the jurisdiction is the classic form of notice always adequate in any type of proceeding. But the vital interest of the State in bringing any issues as to its fiduciaries to a final settlement can be served only if interests or claims of individuals who are outside of the State can somehow be determined. A construction of the Due Process Clause which would place impossible or impractical obstacles in the way could not be justified.

Against this interest of the State we must balance the individual interest sought to be protected by the Fourteenth Amendment. This is defined by our holding that "The fundamental requisite of due process of law is the opportunity to be heard." *Grannis v. Ordean*, 234 U.S. 385, 394, 34 S.Ct. 779, 783, 58 L.Ed. 1363 [(1914)]. This right to be heard has little reality or worth unless one is informed that the matter is pending and can choose for himself whether to appear or default, acquiesce or contest.

The Court has not committed itself to any formula achieving a balance between these interests in a particular proceeding or determining when constructive notice may be utilized or what test it must meet. Personal service has not in all circumstances been regarded as indispensable to the process due to residents, and it has more often been held unnecessary as to nonresidents. * * *

An elementary and fundamental requirement of due process in any proceeding which is to be accorded finality is notice reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections. * * * The notice must be of such nature as reasonably to convey the required information * * * and it must afford a reasonable time for those interested to make their appearance * * *. But if with due regard for the practicalities and peculiarities of the case these conditions are reasonably met the constitutional requirements are satisfied. * * *

But when notice is a person's due, process which is a mere gesture is not due process. The means employed must be such as one desirous of actually informing the absentee might reasonably adopt to accomplish it. The reasonableness and hence the constitutional validity of any chosen method may be defended on the ground that it is in itself reasonably certain to inform those affected * * *, or, where conditions do not reasonably permit such notice, that the form chosen is not substantially less likely to bring home notice than other of the feasible and customary substitutes.

It would be idle to pretend that publication alone, as prescribed here, is a reliable means of acquainting interested parties of the fact that their rights are before the courts. It is not an accident that the greater number of cases reaching this Court on the question of adequacy of notice have been concerned with actions founded on process constructively served through local newspapers. Chance alone brings to the attention of even a local

resident an advertisement in small type inserted in the back pages of a newspaper, and if he makes his home outside the area of the newspaper's normal circulation the odds that the information will never reach him are large indeed. The chance of actual notice is further reduced when as here the notice required does not even name those whose attention it is supposed to attract, and does not inform acquaintances who might call it to attention. In weighing its sufficiency on the basis of equivalence with actual notice we are unable to regard this as more than a feint.

Nor is publication here reinforced by steps likely to attract the parties' attention to the proceeding. It is true that publication traditionally has been acceptable as notification supplemental to other action which in itself may reasonably be expected to convey a warning. The ways of an owner with tangible property are such that he usually arranges means to learn of any direct attack upon his possessory or proprietary rights. Hence, libel of a ship, attachment of a chattel or entry upon real estate in the name of law may reasonably be expected to come promptly to the owner's attention. When the state within which the owner has located such property seizes it for some reason, publication or posting affords an additional measure of notification. A state may indulge the assumption that one who has left tangible property in the state either has abandoned it, in which case proceedings against it deprive him of nothing * * *, or that he has left some caretaker under a duty to let him know that it is being jeopardized. * * * As phrased long ago by Chief Justice Marshall in *The Mary*, 9 Cranch 126, 144, 3 L.Ed. 678 [(1815)]: 'It is the part of common prudence for all those who have any interest in [a thing], to guard that interest by persons who are in a situation to protect it.'

In the case before us there is, of course, no abandonment. On the other hand these beneficiaries do have a resident fiduciary as caretaker of their interest in this property. But it is their caretaker who in the accounting becomes their adversary. Their trustee is released from giving notice of jeopardy, and no one else is expected to do so. Not even the special guardian is required or apparently expected to communicate with his ward and client, and, of course, if such a duty were merely transferred from the trustee to the guardian, economy would not be served and more likely the cost would be increased.

This Court has not hesitated to approve of resort to publication as a customary substitute in another class of cases where it is not reasonably possible or practicable to give more adequate warning. Thus it has been recognized that, in the case of persons missing or unknown, employment of an indirect and even a probably futile means of notification is all that the situation permits and creates no constitutional bar to a final decree foreclosing their rights. * * *

Those beneficiaries represented by appellant whose interests or whereabouts could not with due diligence be ascertained come clearly within this category. As to them the statutory notice is sufficient. However great the odds that publication will never reach the eyes of such unknown parties, it is not in the typical case much more likely to fail than any of the choices open to legislators endeavoring to prescribe the best notice practicable.

Nor do we consider it unreasonable for the State to dispense with more certain notice to those beneficiaries whose interests are either conjectural or future or, although they could be discovered upon investigation, do not in due course of business come to knowledge of the common trustee. Whatever searches might be required in another situation under ordinary standards of diligence, in view of the character of the proceedings and the nature of the interests here involved we think them unnecessary. We recognize the practical difficulties and costs that would be attendant on frequent investigations into the status of great numbers of beneficiaries, many of whose interests in the common fund are so remote as to be ephemeral; and we have no doubt that such impracticable and extended searches are not required in the name of due process. The expense of keeping informed from day to day of substitutions among even current income beneficiaries and presumptive remaindermen, to say nothing of the far greater number of contingent beneficiaries, would impose a severe burden on the plan, and would likely dissipate its advantages. These are practical matters in which we should be reluctant to disturb the judgment of the state authorities.

Accordingly we overrule appellant’s constitutional objections to published notice insofar as they are urged on behalf of any beneficiaries whose interests or addresses are unknown to the trustee.

As to known present beneficiaries of known place of residence, however, notice by publication stands on a different footing. Exceptions in the name of necessity do not sweep away the rule that within the limits of practicability notice must be such as is reasonably calculated to reach interested parties. Where the names and post office addresses of those affected by a proceeding are at hand, the reasons disappear for resort to means less likely than the mails to apprise them of its pendency.

The trustee has on its books the names and addresses of the income beneficiaries represented by appellant, and we find no tenable ground for dispensing with a serious effort to inform them personally of the accounting, at least by ordinary mail to the record addresses. * * * Certainly sending them a copy of the statute months and perhaps years in advance does not answer this purpose. The trustee periodically remits their income to them, and we think that they might reasonably expect that with

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or apart from their remittances word might come to them personally that steps were being taken affecting their interests.

We need not weigh contentions that a requirement of personal service of citation on even the large number of known resident or nonresident beneficiaries would, by reasons of delay if not of expense, seriously interfere with the proper administration of the fund. Of course personal service even without the jurisdiction of the issuing authority serves the end of actual and personal notice, whatever power of compulsion it might lack. However, no such service is required under the circumstances. This type of trust presupposes a large number of small interests. The individual interest does not stand alone but is identical with that of a class. The rights of each in the integrity of the fund and the fidelity of the trustee are shared by many other beneficiaries. Therefore notice reasonably certain to reach most of those interested in objecting is likely to safeguard the interests of all, since any objections sustained would inure to the benefit of all. We think that under such circumstances reasonable risks that notice might not actually reach every beneficiary are justifiable. * * *

The statutory notice to known beneficiaries is inadequate, not because in fact it fails to reach everyone, but because under the circumstances it is not reasonably calculated to reach those who could easily be informed by other means at hand. However it may have been in former times, the mails today are recognized as an efficient and inexpensive means of communication. Moreover, the fact that the trust company has been able to give mailed notice to known beneficiaries at the time the common trust fund was established is persuasive that postal notification at the time of accounting would not seriously burden the plan.

In some situations the law requires greater precautions in its proceedings than the business world accepts for its own purposes. In few, if any, will it be satisfied with less. Certainly it is instructive, in determining the reasonableness of the impersonal broadcast notification here used, to ask whether it would satisfy a prudent man of business, counting his pennies but finding it in his interest to convey information to many persons whose names and addresses are in his files. We are not satisfied that it would. Publication may theoretically be available for all the world to see, but it is too much in our day to suppose that each or any individual beneficiary does or could examine all that is published to see if something may be tucked away in it that affects his property interests. We have before indicated in reference to notice by publication that, ‘Great caution should be used not to let fiction deny the fair play that can be secured only by a pretty close adhesion to fact.’ McDonald v. Mabee, 243 U.S. 90, 91, 37 S.Ct. 343, 61 L.Ed. 608, L.R.A.1917F, 458.

We hold the notice of judicial settlement of accounts required by the New York Banking Law § 100–c(12) is incompatible with the requirements

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of the Fourteenth Amendment as a basis for adjudication depriving known persons whose whereabouts are also known of substantial property rights. * * *

Reversed.

JUSTICE DOUGLAS took no part in the consideration or decision of this case.

[The dissenting opinion of JUSTICE BURTON is omitted.]

NOTES AND QUESTIONS

1.In McDONALD v. MABEE, 243 U.S. 90, 37 S.Ct. 343, 61 L.Ed. 608 (1917), relied upon by the majority in *Mullane*, suit was brought against

Mabee upon a promissory note. Mabee was a domiciliary of Texas, but had left the state to take up domicile elsewhere; his family continued to reside in Texas. After he had left the state, service was attempted through publication in a local newspaper once a week for four successive weeks. Mabee never appeared in the action, and a judgment was entered against him. The Supreme Court, reversing the Texas Supreme Court, held that the Texas judgment was void under the Fourteenth Amendment: “To dispense with personal service the substitute that is most likely to reach the defendant is the least that ought to be required if substantial justice is to be done.” *Id.* at 92, 37 S.Ct. at 344, 61 L.Ed. at 609–10. Does *Mullane* permit use of constructive service only if it is the form “most likely to reach the defendant”?

2. *WUCHTER v. PIZZUTTI*, 276 U.S. 13, 48 S.Ct. 259, 72 L.Ed. 446 (1928), concerned the constitutionality of a nonresident-motorist statute similar to the one involved in *Hess v. Pawloski*, p. 91, *supra*. The statute authorized in-state service on the Secretary of State and did not expressly require that notice of the action be given to the nonresident. A divided Court held that the statute violated due process, even though defendant had actual notice of the action and was served by the secretary:

Every statute of this kind * * * should require the plaintiff bringing the suit to show in the summons to be served the post office address or residence of the defendant being sued, and should impose either on the plaintiff himself or upon the official receiving service or some other, the duty of communication by mail or otherwise with the defendant.

Id. at 20, 48 S.Ct. at 261, 72 L.Ed. at 450. Would the result be the same under *Mullane*’s balancing test?

3. What role did the “ancient” distinctions of in personam, quasi in rem, and in rem jurisdiction play in *Mullane*? What is the rationale for allowing the use of constructive notice—attachment of the property plus publication—when the action is in rem?

4. Can the government ever resort to attachment of property followed by publication if it knows the party’s name and address or that information is

available from public records? The Supreme Court has considered this question in a number of contexts, often involving property-related disputes. See *Schroeder v. City of New York*, 371 U.S. 208, 83 S.Ct. 279, 9 L.Ed.2d 255 (1962) (notice of condemnation in two county newspapers in small communities many miles from vacant property, together with posting on trees near the property, did not satisfy due process when plaintiff’s name and address were ascertainable from deed records and tax rolls); *Walker v. City of Hutchinson*, 352 U.S. 112, 77 S.Ct. 200, 1 L.Ed.2d 178 (1956) (notice of condemnation in local newspaper did not satisfy due process when plaintiff was a state resident and his name was known from official records).

In *MENNONITE BOARD OF MISSIONS v. ADAMS*, 462 U.S. 791, 103 S.Ct. 2706, 77 L.Ed.2d 180 (1983), a mortgagee challenged the state’s use of publication and posting to give notice of a pending tax sale. A divided Court found that the procedure violated due process:

Since a mortgagee clearly has a legally protected property interest, he is entitled to notice reasonably calculated to apprise him of a pending tax sale. * * * When the mortgagee is identified in a mortgage that is publicly recorded, constructive notice by publication must be supplemented by notice mailed to the mortgagee’s last known available address, or by personal service. But unless the mortgagee is not reasonably identifiable, constructive notice alone does not satisfy the mandate of *Mullane*.

Id. at 798, 103 S.Ct. at 2711, 77 L.Ed.2d at 187. The Court underscored, “Notice by mail or other means as certain to ensure actual notice is a minimum constitutional precondition to a proceeding which will adversely affect the liberty or property interests of *any* party, whether lettered or well versed in commercial practice, if its name and address are reasonably ascertainable.” *Id.* at 800, 103 S.Ct. at 2712, 77 L.Ed.2d at 188. Justice O’Connor, joined by Justice Powell and Justice Rehnquist, dissented. In the dissent’s view, the majority improperly had imposed a bright-line rule—at odds with *Mullane*’s balancing approach—requiring notice “by means certain to ensure actual notice as long as the party’s identity and location are ‘reasonably ascertainable.’ ” *Id.* at 800–01, 103 S.Ct. at 2712, 77 L.Ed.2d at 189.

Five years after *Mennonite*, a divided Court extended its holding in *TULSA PROFESSIONAL COLLECTION SERVICES, INC. v. POPE*, 485 U.S. 478, 108 S.Ct. 1340, 99 L.Ed.2d 565 (1988), but this time Justice O’Connor wrote for the majority. The case involved a provision in Oklahoma’s probate code—known as a nonclaim statute—that barred creditors’ claims against an estate if not filed within two months of publication of notice that probate proceedings had commenced. Claimant was an unsecured creditor for an unpaid hospital bill of the decedent. Relying on *Mennonite*, the Court held that because the claimant’s name and address were “ ‘reasonably ascertainable’ ” and the probate action would trigger a time bar that could “ ‘adversely affect’ a protected property interest,” due process required actual notice and that providing such notice would not “unduly hinder” the probate proceeding.

However, as in *Mullane*, the Court stated that it would be “reasonable to dispense with actual notice to those with mere ‘conjectural’ claims.” *Id.* at 490–91, 108 S.Ct. at 1347–48, 99 L.Ed.2d at 578–79.

5. In *GREENE v. LINDSEY*, 456 U.S. 444, 102 S.Ct. 1874, 72 L.Ed.2d 249 (1982), a divided Court invalidated the use of constructive notice—this time, the posting of eviction notices on the doors of apartments in public housing. The tenants claimed never to have seen the notices, and to have first learned of their eviction when served with writs of possession after default judgments had been entered against them. A divided Court held that in the circumstances of this case, the Due Process Clause required service by mail:

As the process servers were well aware, notices posted on apartment doors in the area where these tenants lived were “not infrequently” removed by children or other tenants before they could have their intended effect. Under these conditions, notice by posting on the apartment door cannot be considered a “reliable means of acquainting interested parties of the fact that their rights are before the courts.”

Id. at 453–54, 102 S.Ct. at 1879–80, 72 L.Ed.2d at 257–58. Justice O’Connor, joined by Chief Justice Burger and Justice Rehnquist, dissented. The dissent questioned whether mail notice was so far superior to posting as to be constitutionally required, adding that “unattended mailboxes are subject to plunder by thieves.” Id. at 459–60, 102 S.Ct. at 1883, 72 L.Ed.2d at 261. Does the *Mullane* balancing test consider only the reliability of the notice provided, or does it also consider the private interest involved? Is the tenant’s interest that of continued occupancy of an apartment? Might it also include a dignity interest in not having the household’s financial troubles exposed to other tenants through the public posting of an eviction notice? See Weinberg, *The Right to be Taken Seriously*, 67 U.Miami L.Rev. 149 (2012).

6.The Court again considered the constitutionality of constructive notice in *DUSENBERY v. UNITED STATES*, 534 U.S. 161, 122 S.Ct. 694, 151 L.Ed.2d 597 (2002), but this time held that personal notice was not required even though the recipient’s name and address were known to the government. The case involved the notice given to a prisoner prior to the forfeiture of property under the Controlled Substances Act, 21 U.S.C. § 801—about \$30,000 and a car registered in the name of the prisoner’s step-mother. Dusenbery, the petitioner, moved for return of the seized property, alleging he had not received notice prior to the forfeiture. According to the government, the FBI had published notice in a newspaper and mailed certified letters addressed to petitioner in care of the federal prison where he was incarcerated, to his residence at the time of arrest, and to an address where his step-mother lived. A divided Court held that the notice met *Mullane*’s reasonableness standard:

* * * The Government here carried its burden of showing the following procedures had been used to give notice. The FBI sent certified mail addressed to petitioner at the correctional facility where he was incarcerated. At that facility, prison mailroom staff

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traveled to the city post office every day to obtain all the mail for the institution, including inmate mail. * * * The staff signed for all certified mail before leaving the post office. Once the mail was transported back to the facility, certified mail was entered in a logbook maintained in the mailroom. * * * A member of the inmate’s Unit Team then signed for the certified mail to acknowledge its receipt before removing it from the mailroom, and either a Unit Team member or another staff member distributed the mail to the inmate during the institution’s “mail call.” * * *

Petitioner does not seriously contest the FBI’s use of the postal service to send its certified letter to him, a method our cases have recognized as adequate for known addressees when we have found notice by publication insufficient. * * * Instead, he argues that the notice was insufficient because due process generally requires “actual notice” to interested parties prior to forfeiture, which he takes to mean actual receipt of notice. * * * [*Mennonite*, upon which he relies,] is at best inconclusive dicta for the view petitioner espouses.

We note that none of our cases cited by either party has required actual notice in proceedings such as this. * * *

Petitioner argues that * * * the FBI could have made arrangements with the [Bureau of Prisons] to assure the delivery of the notice in question to him. * * * But it is hard to see why such a principle would not also apply, for example, to members of the Armed Forces both in this country and overseas. Undoubtedly the Government could make a special effort in any case (just as it did in the movie “Saving Private Ryan”) to assure that a particular piece of mail reaches a particular individual who is in one way or another in the custody of the Government. It could, for example, have allowed petitioner to make an escorted visit to the post office himself in order to sign for his letter. But the Due Process Clause does not require such heroic efforts by the Government * * *.

Id. at 168–70, 122 S.Ct. at 700–01, 151 L.Ed.2d at 605–07. A dissent, authored by Justice Ginsburg and joined by Justices Stevens, Souter, and Breyer, argued that the notice provided was “substantially less likely” to give notice than a “feasible alternative.” Id. at 173–75, 122 S.Ct. at 702–03, 151 L.Ed.2d at 608–09. Is it significant that no Justice found the lack of actual notice constitutionally deficient?

7.In *JONES v. FLOWERS*, 547 U.S. 220, 126 S.Ct. 1708, 164 L.Ed.2d 415 (2006), a divided Court held that when a mailed notice of a tax sale is returned unclaimed by the owner-taxpayer, due process requires the state to take “reasonable additional steps” to attempt to notify the property owner, “if it is practicable to do so.” Id. at 225, 126 S.Ct. at 1713, 164 L.Ed.2d at 425. Chief Justice Roberts explained:

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We do not think that a person who actually desired to inform a real property owner of an impending tax sale of a house he owns would do nothing when a certified letter sent to the owner is returned unclaimed. If the Commissioner prepared a stack of letters to mail to delinquent taxpayers, handed them to the postman, and then watched as the departing postman accidentally dropped the letters down a storm drain, one would certainly expect the Commissioner’s office to prepare a new stack of letters and send them again. No one “desirous of actually informing” the owners would simply shrug his shoulders as the letters disappeared and say “I tried.” Failure to follow up would be unreasonable, despite the fact that the letters were reasonably calculated to reach their intended recipients when delivered to the postman.

Id. at 229, 126 S.Ct. at 1716, 164 L.Ed.2d at 427–28. In the circumstances of this case, the Court identified a number of “reasonable additional steps” that the government could have taken once it knew that the notice had been returned unclaimed:

The return of the certified letter marked “unclaimed” meant either that Jones still lived at 717 North Bryan Street, but was not home when the postman called and did not retrieve the letter at the post office, or that Jones no longer resided at that address. One reasonable step primarily addressed to the former possibility would be for the State to resend the notice by regular mail, so that a signature was not required. The Commissioner says that use of certified mail makes actual notice more likely, because requiring the recipient’s signature protects against misdelivery. But that is only true, of course, when someone is home to sign for the letter, or to inform the mail carrier that he has arrived at the wrong address. * * * [T]he use of certified mail might make actual notice less likely in some cases—the letter cannot be left like regular mail to be examined at the end of the day, and it can only be retrieved from the post office for a specified period of time. * * * Even occupants who ignored certified mail notice slips addressed to the owner (if any had been left) might scrawl the owner’s new address

on the notice packet and leave it for the postman to retrieve, or notify Jones directly.

Other reasonable followup measures * * * would have been to post notice on the front door, or to address otherwise undeliverable mail to “occupant.”

Id. at 234–35, 126 S.Ct. at 1718–19, 164 L.Ed.2d at 431. Significantly, the Court found that the government would not have been required to locate the taxpayer’s new address by searching through the tax rolls or a current phone book, noting that “[a]n open-ended search for a new address—especially when the State obligates the taxpayer to keep his address updated with the tax collector * * *—imposes burdens on the State significantly greater than the

several relatively easy options outlined above.” Id. at 236, 126 S.Ct. at 1719, 164 L.Ed.2d at 432.

Justice Thomas dissented, joined by Justices Scalia and Kennedy. The dissent argued that notice by certified mail sent to the taxpayer’s “record address” was constitutionally sufficient. Moreover, in the dissent’s view, the state went further than due process required by publishing additional notice in a local newspaper. Underscoring “the well-established presumption that individuals, especially those owning property, act in their own interest” to guard that interest, the dissent criticized the majority for assessing the government’s method of notice from an *ex post*, rather than an *ex ante* perspective:

First, whether a method of notice is reasonably calculated to notify the interested party is determined *ex ante*, i.e., from the viewpoint of the government agency at the time its notice is sent. * * * [In] *Mullane*, * * * this Court rested its analysis on the information the sender had “at hand” when its notice was sent. * * * Relatedly, we have refused to evaluate the reasonableness of a particular method of notice by comparing it to alternative methods that are identified after the fact. * * *

Second, implicit in our holding that due process does not require “actual notice,” * * * is that when the “government becomes aware . . . that its attempt at notice has failed,” * * * it is not required to take additional steps to ensure that notice has been received. * * * Under the majority’s logic, each time a doubt is raised with respect to whether notice has reached an interested party, the State will have to consider additional means better calculated to achieve notice. Because this rule turns on speculative, newly acquired information, it has no natural end point, and, in effect, requires the States to achieve something close to actual notice.

Id. at 243–44, 126 S.Ct. at 1723–24, 164 L.Ed.2d at 436–37.

In your view, did *Flowers* break new ground in requiring the government to send a follow-up notice when practicable, or did it simply apply existing precedent? Under the *Mullane* balancing test, how would you assess the private interest in avoiding the permanent loss of one’s home? Should it matter that the taxpayer did not actually live in the property?

8.In *COVEY v. TOWN OF SOMERS*, 351 U.S. 141, 146–47, 76 S.Ct. 724, 727, 100 L.Ed. 1021, 1026 (1956), the Court held that notice by mail of a foreclosure proceeding for delinquent property taxes on real property would not satisfy due process when it was mailed to someone known to have been adjudged insane and committed to a hospital, and who was without the protection of a guardian. Would notice by mail have been sufficient if the town authorities became aware of the taxpayer’s disability only after the initial mailing of the notice?

9.Another requirement of due process is that the recipient of notice must be given adequate time to respond to the threatened adverse action. In *ROLLER v. HOLLY*, 176 U.S. 398, 20 S.Ct. 410, 44 L.Ed. 520 (1900), defendant was required to defend an action in Texas five days after he received service of process in Virginia. The Supreme Court held that the procedure violated the Due Process Clause. Would seven days be sufficient? Twenty days? How much time is defendant given to respond to a complaint? See Federal Rule 12(a).

10.Due process concerns not only the form and timing of notice, but also the content of the information provided. In *AGUCHAK v. MONTGOMERY WARD CO.*, 520 P.2d 1352 (Alaska 1974), a department store sold a snowmobile and freezer to the Aguchaks, which they took to a remote area where they lived. When the Aguchaks allegedly did not pay, the seller sent a summons to which the Aguchaks did not respond and a default judgment of \$988.22 plus costs was entered against them. The summons did not inform the Aguchaks that they could appear by a written pleading, nor did it inform them that they had a right to request a change of venue. Travel to court would have required at least a one night stopover and cost of \$186. On appeal, the Supreme Court of Alaska held that the summons in small claims cases had to include this information, and it set aside the default judgment.

11.A cognovit note is a written document that authorizes the entry of judgment against the party signing the note if an obligation is not paid when due. Effectively, the cognovit note waives the party’s right to receive notice before litigation is commenced, bars the assertion of any defenses against the maker of the note, and forecloses any appeal from the judgment that is entered. In *D.H. OVERMYER CO. v. FRICK*, 405 U.S. 174, 92 S.Ct. 775, 31 L.Ed.2d 124 (1972), the Supreme Court held that the enforcement of a cognovit note does not per se violate the Due Process Clause and that its validity must be assessed on a case-by-case basis with regard to such factors as lack of consideration and inequality of bargaining power between the parties.

B. THE MECHANICS OF GIVING NOTICE

Read Federal Rule of Civil Procedure 4 and the comparable state statutes set out in the Supplement.

1.INTRODUCTION

Notice of a suit is given by service of process upon the defendant. Service refers to the delivery of the notice; process refers to the document that is delivered. Each jurisdiction has a set of rules governing the correct methods of making service. Federal Rule 4 implements a uniform form of summons to be used by all federal courts. A summons will not issue until a complaint has been filed with the court, and under Federal Rule 3, the

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filing of the complaint “commences” the action. Under Rule 4(a), what information must a summons contain? Under Rule 4(b), how does plaintiff obtain a summons for service on defendant? Under Rule 4(c), when must a summons be served? Who is permitted to serve a summons?

2.SPECIFIC APPLICATIONS OF THE SERVICE PROVISIONS

Federal Rule 4, in several subdivisions, sets forth specific means of making personal service on different entities such as individuals, corporations, partnerships, and other associations subject to suit under a common name. Traditionally, service of process was made by personal delivery of the summons and complaint to the defendant. Other methods of service, however, have assumed greater importance since the advent of long-arm statutes. See p. 101, supra.

a.Federal Rule 4(d): “Waiving Service”

In 1982, the Supreme Court proposed, but Congress rejected, an amendment to the Rules that would have permitted service by registered or certified mail, with delivery restricted to the addressee and a return receipt required. It was asserted that the use of certified mail causes problems when, for example, the signature on the return receipt is illegible or the name signed differs somewhat from that of the defendant, or when it is difficult to determine whether mail has been “refused” or “unclaimed.” It also was argued that the result of relying on the mail for service of process would be the entry of many more unnecessary and unfair default judgments, which would have to be reopened when challenged. Another objection raised the concern that mail carriers might deliver process to the wrong person or fail to make the necessary inquiries to find the proper person. See 128 Cong. Rec. H9848, H9856 (daily ed. Dec. 15, 1982).

In 1983, Congress chose a system of service by mail modeled after the one used in California. See Cal. Code Civ. Proc. § 415.30. The summons and complaint could be sent by ordinary first-class mail, together with a form for acknowledging receipt and accepting service. If the acknowledgment form was not returned, plaintiff had to effect service through some other means authorized by the Federal Rules. In order to encourage defendants to execute and return the form, the Rule directed the court to order a defendant who did not cooperate to pay the costs incurred by plaintiff in making personal service, unless defendant could show good cause for failing to return the acknowledgment form.

This system was not always successful because it relied on defendant’s cooperation in returning the acknowledgment form. After a decade of use, Rule 4 was revised again in 1993. The most significant change was that the “service by mail” provision was replaced by Rule 4(d), which strongly

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encourages waiver of formal service. Under this modification, an action commences when plaintiff sends a form, entitled “Notice of a Lawsuit and Request to Waive Service of Summons,” or a similar document, by mail or some other “reliable” means. Domestic defendants have at least 30 days from the date on which the request was sent to return the waiver; otherwise—unless defendant had good cause for refusing to waive service—it will be charged with the costs associated with providing formal service. How did the amendment change the incentives for waiving service?

NOTES AND QUESTIONS

- 1.What steps must be taken for waiver of service to be effective?
- 2.What forms of transmittal are permitted in addition to first-class mail? The Advisory Committee Notes to the 1993 amendment specifically approved the use of “electronic means.” Should transmittal by social media satisfy Rule 4(d)? See pp. 266–267, Note 4, infra, discussing service abroad under Rule 4(f)(3).
- 3.What is the time period if the waiver is sent to a defendant outside the United States? See Rule 4(d)(1)(F).
- 4.If a plaintiff is confronting a filing deadline in a state in which the statute of limitations continues to run until a defendant is served, would formal service be the wisest course of action? Why? Would you advise a client in this circumstance to waive service?

b.Federal Rule 4(e): Personal Delivery on Natural Persons

McKelway, *Profiles—Place and Leave With*, New Yorker, August 24, 1935, at 23–26:
* * * In a little frame house near the intersection of Rogers and Flatbush Avenues in Brooklyn there lived until a few years ago an

old lady named Mrs. Katherina Schnible. She was seventy-two and a little lame. She owned the house and rented out the first two floors as apartments, but there were mortgages and she had not met the payments. She knew the bank that held the mortgages was about to foreclose * * *. Her son, who lived with her, went out to work at eight in the morning and did not return until six, so from eight till six every day, except Sunday, Mrs. Schnible stayed in her room on the third floor and refused to open the door, no matter who knocked. Came a day when she heard a heavy footfall on the first landing, heard somebody running frantically up the first flight of stairs, heard a man's voice shouting something. Then the footsteps came closer, up the second flight of stairs, and right outside her door she heard yelled the word "Fire!" Mrs. Schnible opened her door and hobbled hurriedly into the hall. "Hello, Mrs. Schnible," said a man standing there. "Here's a summons for you." He handed her the papers, and the

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proceedings were begun which eventually put Mrs. Schnible out of her house.

Harry Grossman, who was the man in the hall, is regarded by those who employ him as the champion process-server of the day. He is an instrument of justice and his profession is a corner-stone of civil law, but not many of the people he serves appreciate that. * * * Grossman has been cursed by hundreds of defendants, many of them distinguished citizens. Defendants have thrown him down flights of stairs and shoved him off porches. He has been pinched, slapped, punched, and kicked by scores of individuals, and he was beaten up one time by a family of seven.

* * *

"Place and leave with" is the legal phrase for what a process-server must do with a summons when he goes out to serve papers on a defendant, but the courts never have explained precisely what that means. Where the process-server must place the papers is still a nice legal question. A process-server once threw a summons-and-complaint at James Gordon Bennett and hit him in the chest with it, but the courts held that this was not a proper service. Another famous case in the lawbooks tells of a defendant named Martin, who in 1893 hid himself under his wife's petticoats and refused to receive the papers. The process-server saw him crouching there, so he put the papers on what seemed to be the defendant's shoulder, and went away. The Supreme Court rendered a decision which held that "where a person, to avoid service of summons, shelters himself in his wife's petticoats, the laying of the papers on his shoulder will be a sufficient service." * * *

Grossman has never bothered to look up legal precedents for his actions; he simply places the papers in the hands of the defendant and leaves them there. On innumerable occasions he has had to use ingenuity in order to get close enough to the defendant to do this, and only once has he been forced to depart from a literal interpretation of the legal phrase. That was in the case of an elderly lady, who, like Mrs. Schnible, was trying to hide from him. This lady, whose name was Mrs. Mahoney, refused to leave her apartment in the East Side tenement she owned, and Grossman's routine tricks * * * failed to budge her. He knew she was there, because he had wheedled his way into a flat across the court from her and had seen her sitting at her kitchen table in front of an open window, peeling potatoes. Grossman went home to his own apartment in Brooklyn and thought for a while, and then began to practice throwing the summons. He put rubber bands around the paper to make it compact, placed a salad bowl on the dining-room table, and practiced all that afternoon, throwing the subpoena into the bowl from the middle of the living-room. He went back next morning to the flat across the court from Mrs. Mahoney's kitchen. She came into the kitchen a little before noon, puttered around for a while, and then

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sat down at the table with a bowl of potatoes in front of her and began placidly to peel them. Grossman leaned out of his window and tossed the subpoena. The papers landed in the bowl just as the old lady reached into it. "There you are, Mrs. Mahoney!" Grossman shouted. "There's a foreclosure paper for you!" The courts never questioned his method of placing these papers, and Mrs. Mahoney lost her property.

Tens of thousands of papers have to be served in the course of a year in this city, and the majority of them are handled for the law firms by process-serving agencies, which rely for their profits on quantity and a quick turnover. * * * Cases involving expert dodgers or stubborn hug-the-hearths usually are turned over to private detective agencies, and the detective agencies usually hire Grossman to serve the papers. When the Electrical Research Product Institute sued the Fox Film Corporation for \$15,000,000 in 1930, the lawyers for the plaintiff, naturally, surmised that it would be difficult to "place and leave with" William Fox, Winfield Sheehan, and other defendants, the papers summoning them to come to court. Grossman received the assignment through a detective agency. He got in to see Fox by having a telegram sent from Boston saying that Mr. Grossman had "closed the theatre deal" and would call on Fox at eleven o'clock the next morning. When Grossman reached Fox's office, the film executive's secretary told him Mr. Fox had received the wire but was not sure what deal it was that had been closed. "My God," said Grossman, "the theatre deal—that's what deal! If this is the way I am to be received, never mind—to hell with it!" He started out, and the secretary called him back. "Just wait one moment," she said. "I'll tell Mr. Fox." She opened a door marked "Private" and went into an inner office. Grossman followed her and handed Fox the subpoena. Fox started up from his desk indignantly, but Grossman's indignation expressed itself first. "You, a multi-millionaire!" Grossman shouted. "Is it decent, is it nice, for a multi-millionaire who can be sued for fifteen million dollars to hide from me? Why don't you take the papers like a man?" This so flabbergasted Fox that he sank back in his chair, and Grossman went through the corporation's offices unimpeded and served papers on Sheehan, two vice-presidents, the secretary, and the treasurer.

Harry established a reputation as an adroit private detective before he was old enough to serve subpoenas. * * * But after he had passed his eighteenth birthday and had begun to serve summonses and subpoenas, it was evident to his employer, and to everybody else

who knew him, that he had found a vocation in which he might expect to excel. During his first year he served Maude Adams by posing as a youthful adorer. When she came out of the stage entrance at the Empire Theatre after a performance one evening, Grossman stepped in front of her holding in his left hand a

bouquet of jonquils. “Are you Maude Adams?”^a he asked. “Oh, are those really for me?” she exclaimed, reaching for the flowers, “No, but this is,” said Grossman, jerking back the bouquet. With his right hand he served her with a summons. He still remembers that he had paid fifty cents for the jonquils and that he was able to sell them back to the florist for twenty.

His ability to become more indignant at the attitude of defendants than defendants are at his actions has saved Grossman from bodily injury on many occasions. One of his early triumphs involved Gutzon Borglum. The sculptor was at that time modeling life-size figures in a studio in the Gramercy Park section. Grossman entered by means of what he calls the rush act. A maid opened the door and Grossman rushed past her, saying perfunctorily “Is Mr. Borglum in?” Borglum was chipping stone on a nearly completed nude. “Here’s a summons for you, Mr. Borglum,” said Grossman. “Of all the effrontery,” began the sculptor. “You * * * you * * * you ought to be * * *.” Then Grossman began to shout. “How about you?” he asked. “Shouldn’t you maybe be ashamed of yourself? You and your naked women!” He went out spluttering with indignation, leaving Borglum speechless, clutching the summons in his hand.

NOTE AND QUESTION

Federal Rule 4(e) sets out the federal rule for service of process upon individuals. Rule 4(e)(2) provides methods of serving process that are authorized for any federal court action. One such method is the most direct form of service—“delivering a copy of the summons and of the complaint to the individual personally.” Rule 4(e)(2)(A). Other methods authorized by Rule 4(e)(2) are discussed in the next two subsections.

Rule 4(e)(1) provides an alternative to these methods by broadly authorizing service in conformity with the law of the state in which the federal district court is sitting or the state where service is effected. Keep in mind that, although many state service statutes are modeled on the Federal Rules, state statutes may differ in important ways, including the issuance of the summons, who may effect service, and the information that must appear in the summons.

c.Federal Rule 4(e)(2)(B): Service on a Person Residing in Defendant’s Dwelling or Usual Place of Abode

As an alternative to personal delivery, Federal Rule 4(e)(2)(B) permits service of process to be made upon an individual by leaving a copy of the summons and complaint at the party’s “dwelling or usual place of abode with someone of suitable age and discretion who resides there.” The facts of a particular case often prove to be crucial.

NOTE AND QUESTIONS

What is the “usual place of abode” for a litigant with multiple dwellings? NATIONAL DEVELOPMENT CO. v. TRIAD HOLDING CORP., 930 F.2d 253 (2d Cir.), cert. denied, 502 U.S. 968, 112 S.Ct. 440, 116 L.Ed.2d 459 (1991), concerned efforts to vacate a default judgment entered against a Saudi Arabian citizen who maintained 12 homes around the world and was described as “a frequent intercontinental traveler.” Id. at 257. Service was effected by delivering papers to defendant’s New York apartment, which was valued at \$20–\$25 million and contained 23,000 square feet, and leaving them with defendant’s housekeeper. The Second Circuit upheld service, holding that “a person can have two or more ‘dwelling houses or usual places of abode’ ” and that because defendant was “actually living” in the apartment on the day of service, “service there on that day was, if not the most likely method of ensuring that he received the summons and complaint, reasonably calculated to provide actual notice of the action.” Id. at 257–58. Should it matter if defendant had been at one of his other dwellings on the day of service?

d.Federal Rule 4(e)(2)(C): Delivery to an Agent Authorized by Appointment

A third method of effecting personal service on an individual under the Federal Rules is by delivering a copy of the summons and complaint to an agent of defendant who is “authorized by appointment or by law” to receive process. Rule 4(e)(2)(C). The cases dealing with agency by appointment indicate that an actual appointment for the specific purpose of receiving process normally is expected. Consistent with this judicial construction of “appointment,” the courts have held that a person’s actual acceptance of process or purported authority to do so is not enough to bind defendant; there must be evidence that defendant intended to confer such authority upon the agent.

NATIONAL EQUIPMENT RENTAL, LTD. v. SZUKHENT

Supreme Court of the United States, 1964.
[375 U.S. 311, 84 S.Ct. 411, 11 L.Ed.2d 354.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE STEWART delivered the opinion of the Court.

* * * The petitioner is a corporation with its principal place of business in New York. It sued the respondents, residents of Michigan,

in a New York federal court, claiming that the respondents had defaulted under a farm equipment lease. The only question now before us is whether the person upon whom the summons and complaint were served was “an agent authorized by appointment” to receive the same, so as to subject the respondents to the jurisdiction of the federal court in New York.

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The respondents obtained certain farm equipment from the petitioner under a lease executed in 1961. The lease was on a printed form less than a page and a half in length, and consisted of 18 numbered paragraphs. The last numbered paragraph, appearing just above the respondents’ signatures and printed in the same type used in the remainder of the instrument, provided that “the Lessee hereby designates Florence Weinberg, 47–21 Forty-first Street, Long Island City, N.Y., as agent for the purpose of accepting service of any process within the State of New York.”³ The respondents were not acquainted with Florence Weinberg.

In 1962 the petitioner commenced the present action by filing in the federal court in New York a complaint which alleged that the respondents had failed to make any of the periodic payments specified by the lease. The Marshal delivered two copies of the summons and complaint to Florence Weinberg. That same day she mailed the summons and complaint to the respondents, together with a letter stating that the documents had been served upon her as the respondents’ agent for the purpose of accepting service of process in New York, in accordance with the agreement contained in the lease. * * * The petitioner itself also notified the respondents by certified mail of the service of process upon Florence Weinberg.

Upon motion of the respondents, the District Court quashed service of the summons and complaint, holding that, although Florence Weinberg had promptly notified the respondents of the service of process and mailed copies of the summons and complaint to them, the lease agreement itself had not explicitly required her to do so, and there was therefore a “failure of the agency arrangement to achieve intrinsic and continuing reality.” * * * The Court of Appeals affirmed * * * and we granted certiorari * * *. * * * [W]e have concluded that Florence Weinberg was “an agent authorized by appointment * * * to receive service of process,”⁴ and accordingly we reverse the judgment before us.

* * * [A]s the Court of Appeals recognized, this Court’s decision in *Wuchter v. Pizzutti* * * * [Note 2, p. 245, supra], is inapposite here. * * * *Wuchter* dealt with the limitations imposed by the Fourteenth Amendment upon a statutory scheme by which a State attempts to subject nonresident individuals to the jurisdiction of its courts. The question presented here, on the other hand, is whether a party to a private contract may appoint an agent to receive service of process within the meaning of Federal Rule * * * [4(e)(2)(C)], where the agent is not personally known to the party, and

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where the agent has not expressly undertaken to transmit notice to the party.

The purpose underlying the contractual provision here at issue seems clear. The clause was inserted by the petitioner and agreed to by the respondents in order to assure that any litigation under the lease should be conducted in the State of New York. * * * And it is settled, as the courts below recognized, that parties to a contract may agree in advance to submit to the jurisdiction of a given court, to permit notice to be served by the opposing party, or even to waive notice altogether. * * *

Under well-settled general principles of the law of agency Florence Weinberg’s prompt acceptance and transmittal to the respondents of the summons and complaint pursuant to the authorization was itself sufficient to validate the agency, even though there was no explicit previous promise on her part to do so. * * *

We deal here with a Federal Rule, applicable to federal courts in all 50 States. But even if we were to assume that this uniform federal standard should give way to contrary local policies, there is no relevant concept of state law which would invalidate the agency here at issue. In Michigan, where the respondents reside, the statute which validates service of process under the circumstances present in this case contains no provision requiring that the appointed agent expressly undertake to notify the principal of the service of process. Similarly, New York law, which it was agreed should be applicable to the lease provisions, does not require any such express promise by the agent in order to create a valid agency for receipt of process. * * *

It is argued, finally, that the agency sought to be created in this case was invalid because Florence Weinberg may have had a conflict of interest. This argument is based upon the fact that she was not personally known to the respondents at the time of her appointment and upon a suggestion in the record that she may be related to an officer of the petitioner corporation. But such a contention ignores the narrowly limited nature of the agency here involved. Florence Weinberg was appointed the respondents’ agent for the single purpose of receiving service of process. An agent with authority so limited can in no meaningful sense be deemed to have had an interest antagonistic to the respondents, since both the petitioner and the respondents had an equal interest in assuring that, in the event of litigation, the latter be given that adequate and timely notice which is a prerequisite to a valid judgment.⁹

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A different case would be presented if Florence Weinberg had not given prompt notice to the respondents, for then the claim might well be made that her failure to do so had operated to invalidate the agency. We hold only that, prompt notice to the respondents having been given, Florence Weinberg was their “agent authorized by appointment” to receive process within the meaning of Federal Rule * * * 4(d)(1).^c

* * *

Judgment of Court of Appeals reversed and case remanded.

JUSTICE BLACK, dissenting.

* * *

The record on the motion to quash shows that the Szukhents had never had any dealings with Mrs. Weinberg, their supposed agent. They had never met, seen, or heard of her. She did not sign the lease, was not a party to it, received no compensation from the Szukhents, and undertook no obligation to them. In fact, she was handpicked by the New York company to accept service of process in any suits that might thereafter be filed by the company. Only after this suit was brought was it reluctantly revealed that Mrs. Weinberg was in truth the wife of one of the company’s officers.

* * *

I disagree with * * * [the Court’s] holding, believing that (1) whether Mrs. Weinberg was a valid agent upon whom service could validly be effected under Rule * * * 4(d)(1) should be determined under New York law and that we should accept the holdings of the federal district judge and the Court of Appeals sitting in New York that under that State’s law the purported appointment of Mrs. Weinberg was invalid and ineffective; (2) if however, Rule * * * 4(d)(1) is to be read as calling upon us to formulate a new federal definition of agency for purposes of service of process, I think our formulation should exclude Mrs. Weinberg from the category of an “agent authorized by appointment * * * to receive service of process”; and (3) upholding service of process in this case raises serious questions as to whether these Michigan farmers have been denied due process of law in violation of the Fifth and Fourteenth Amendments.

* * *

The end result of today’s holding is not difficult to foresee. Clauses like the one used against the Szukhents—clauses which companies have not inserted, I suspect, because they never dreamed a court would uphold them—will soon find their way into the “boilerplate” of everything from an equipment lease to a conditional sales contract. Today’s holding gives a green light to every large company in this country to contrive contracts

which declare with force of law that when such a company wants to sue someone with whom it does business, that individual must go and try to defend himself in some place, no matter how distant, where big business enterprises are concentrated, like, for example, New York, Connecticut, or Illinois, or else suffer a default judgment. In this very case the Court holds that by this company’s carefully prepared contractual clause the Szukhents must, to avoid a judgment rendered without a fair and full hearing, travel hundreds of miles across the continent, probably crippling their defense and certainly depleting what savings they may have, to try to defend themselves in a court sitting in New York City. I simply cannot believe that Congress, when by its silence it let Rule * * * 4(d)(1) go into effect, meant for that rule to be used as a means to achieve such a far-reaching, burdensome, and unjust result. Heretofore judicial good common sense has, on one ground or another, disregarded contractual provisions like this one, not encouraged them. It is a long trip from San Francisco—or from Honolulu or Anchorage—to New York, Boston, or Wilmington. And the trip can be very expensive, often costing more than it would simply to pay what is demanded. The very threat of such a suit can be used to force payment of alleged claims, even though they be wholly without merit. This fact will not be news to companies exerting their economic power to wangle such contracts. * * *

* * *

The Court relies on the printed provision of the contract as a consent of the Szukhents to be sued in New York, making the Pennoyer rule inapplicable. In effect the Court treats the provision as a waiver of the Szukhents’ constitutional right not to be compelled to go to a New York court to defend themselves against the company’s claims. * * * This printed form provision buried in a multitude of words is too weak an imitation of a genuine agreement to be treated as a waiver of so important a constitutional safeguard as is the right to be sued at home. * * * The Court should not permit valuable constitutional rights to be destroyed by any such sharp contractual practices. The idea that there was a knowing consent of the Szukhents to be sued in the courts of New York is no more than a fiction—not even an amiable one at that.

* * *

JUSTICE BRENNAN, with whom THE CHIEF JUSTICE and JUSTICE GOLDBERG join, dissenting.

I would affirm. In my view, federal standards and not state law must define who is “an agent authorized by appointment” within the meaning of Rule * * * 4(d)(1). * * * In formulating these standards I would, *first*, construe Rule * * * 4(d)(1) to deny validity to the appointment of a purported agent whose interests conflict with those of his supposed principal * * *. *Second*, I would require that the appointment include an

explicit condition that the agent after service transmit the process forthwith to the principal. Although our decision in *Wuchter v. Pizzutti* * * * dealt with the constitutionality of a state statute, the reasoning of that case is persuasive that, in fashioning a federal agency

rule, we should engraft the same requirement upon Rule * * * 4(d)(1). *Third*, since the corporate plaintiff prepared the printed form contract, I would not hold the individual purchaser bound by the appointment without proof, in addition to his mere signature on the form, that the individual understandingly consented to be sued in a State not that of his residence. * * * It offends common sense to treat a printed form which closes an installment sale as embodying terms to all of which the individual knowingly assented. The sales pitch aims solely at getting the signature on the form and wastes no time explaining or even mentioning the print. * * *

NOTES AND QUESTIONS

- 1. Why did the majority look to “general principles of the law of agency” and not to the Due Process Clause in assessing the propriety of the waiver provision? Did the majority see any role for the Constitution in a dispute involving a contractual waiver of service?
- 2. Since *Szukhent*, e-commerce has generated new forms of agreement with such interesting names as “shrinkwrap,” “clickwrap,” and “browsewrap.” Would a waiver of jurisdiction, notice, or service of process embedded in such an agreement and assented to through the click of a mouse or the tap of a phone be enforceable under the Court’s analysis in *Szukhent*? Would it matter if the consumer could accept the clause only after scrolling down through the entire document? Should it matter that the waiver terms are boilerplate and not subject to arms-length negotiation? Should there be a clear prompt directing the user to read the waiver provisions before signing?

e. Federal Rule 4(h): Serving a Corporation, Partnership, or Association

Rule 4(h) authorizes service upon corporations, partnerships, and unincorporated associations that are subject to suit under a common name. As with Rule 4(e)(1)’s provisions for serving process on an individual, Rule 4(h) allows service in accordance with the law of either the state where the district court is located or the state where service is made. See Rule 4(h)(1)(A). However, the most frequently invoked portion of the rule is subpart (B), permitting service by delivery of process to an officer, a managing agent, or a general agent. How do the requirements of this subpart differ from those of serving an individual?

In *INSURANCE CO. OF NORTH AMERICA v. S/S “HELLENIC CHALLENGER”*, 88 F.R.D. 545 (S.D.N.Y. 1980), a United States Marshal

deposited the summons and complaint with a claims adjuster at the office of defendant. The complaint stated an admiralty and maritime claim for nondelivery, shortage, loss, and damage relating to pickled sheepskins shipped to New York aboard defendant’s vessel.

The adjuster who had accepted service of the summons and complaint was not expressly authorized by defendant to accept process; the only employees endowed with express authority to do so on behalf of defendant were all titled officers and the claims manager. At the time of service of the summons and complaint, the claims manager was absent due to illness and the adjuster, an assistant to the claims manager, accepted service.

Since the adjuster misplaced the summons and complaint, defendant remained unaware of the pendency of the lawsuit until its bank informed it that its account had been attached by plaintiff. Only then did defendant learn that plaintiff’s counsel had filed a default judgment and that a writ of execution had been issued. The court denied defendant’s motion to set aside the judgment on the basis of improper service of process:

Rule * * * 4(d)(3)^d has been liberally construed by the courts and, as interpreted, does not require rigid formalism. To be valid, service of process is not limited solely to officially designated officers, managing agents or agents appointed by law for the receipt of process. Rather, “[r]ules governing service of process (are) to be construed in a manner reasonably calculated to effectuate their primary purpose: to give the defendant adequate notice that an action is pending. * * * [T]he rule does not require that service be made solely on a restricted class of formally titled officials, but rather permits it to be made ‘upon a representative so integrated with the organization that he will know what to do with the papers. Generally, service is sufficient when made upon an individual who stands in such a position as to render it fair, reasonable and just to imply the authority on his part to receive services.’ ” * * *

Plaintiff’s method of service of the summons and complaint was indeed “reasonably calculated” to alert defendants to the initiation of the suit. * * * [T]he adjuster served with the summons and complaint, can be categorized as a representative of defendant “well-integrated” into the organization and quite familiar with the formalities associated with the receipt of service of summonses and complaints. He had accepted service of summonses and complaints on behalf of defendant on at least two previous occasions * * * in connection with his ordinary duties of receiving and investigating new claims against defendant. Furthermore, it may be inferred from the facts presented on this

motion that [the adjuster] had easy access to * * * the claims manager officially authorized to accept service of process, since the two men are separated from each other only by [the claims manager’s] glass-walled office. * * * [The adjuster’s] familiarity with service of process negates any and all suspicion that the U.S. Marshal delivered the summons and complaint to a

representative of defendant who had infrequent contact with summonses and complaints and whose unfamiliarity with service of process increased the risk of careless or improper handling. * * *

In the case at hand, the * * * adjuster’s loss of the summons and complaint is a mistake in the ordinary course of the internal operations of defendant’s business and thus does not merit remedial relief * * *.

Id. at 547–48.

NOTES AND QUESTIONS

1. Given the language of the rule—now set out in Federal Rule 4(h)(1)(B)—was it appropriate for the Court to disregard labels such as “general” and “managing” agent? Should the court have held that the claims adjuster could be regarded as defendant’s “managing agent”? In determining whether the person served is “so integrated with the organization that he will know what to do with the papers,” courts consider whether the person served is employed by defendant and whether actual notice was received, but actual notice will not inevitably cure a defect in service under this rule. See *American Institute of Certified Public Accountants v. Affinity Card, Inc.*, 8 F.Supp.2d 372 (S.D.N.Y. 1998) (service on the vice president of one corporation sharing office with defendant corporation was insufficient to create personal jurisdiction despite the fact that both corporations were owned by the same individual who had received actual notice).

2. Could the court reasonably have reached the same result by finding that the claims adjuster was an agent authorized by appointment to receive process? In *FASHION PAGE, LTD. v. ZURICH INS. CO.*, 50 N.Y.2d 265, 428 N.Y.S.2d 890, 406 N.E.2d 747 (1980), the process-server went to defendant’s office where he was greeted by a receptionist. The receptionist told him to proceed down a certain corridor and to “see the girl sitting down there.” Following instructions, the process-server went to the executive secretary of the vice president in charge of the New York office. She asked to see the papers and after perusing them said: “Okay, leave it with me. * * * I’ll take it.” When the process-server questioned her authority, she responded: “I can take it.”

There was doubt that the executive secretary possessed sufficient discretionary authority to be a “managing agent” for purposes of service. The New York Court of Appeals, however, refused to be drawn into that issue, finding instead that the executive secretary was an “agent authorized by

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appointment * * * to receive service.” The executive secretary testified that she had regularly accepted summonses for at least five years whenever the vice president was not in the office. During that period, she had accepted about half of the summonses brought to his office. The court explained:

Thus a corporation may assign the task of accepting process and may establish procedures for insuring that the papers are directed to those ultimately responsible for defending its interests. * * * The corporation however cannot escape the consequences of establishing alternative procedures which it may prefer. * * * Reliance may be based on the corporate employees to identify the proper person to accept service. * * *

Id. at 270–73, 428 N.Y.S.2d at 892–94, 406 N.E.2d at 749–51. See also *M. Prusman, Ltd. v. Ariel Maritime Group, Inc.*, 719 F.Supp. 214, 220 (S.D.N.Y. 1989).

f. Federal Rule 4(f): Serving an Individual in a Foreign Country

Rule 4(f) authorizes alternative methods by which an individual (other than a minor, an incompetent, or a person whose waiver has been filed) may be served outside the United States. International service of process also must comply with constitutional standards of due process. The rule was amended in 1993 to afford United States attorneys a flexible framework that accommodates the widely divergent procedures for service of process employed by the various nations of the world. This accommodation is necessary both to avoid violating the sovereignty of other countries by committing acts within their borders that they may consider to be “official” and to maximize the likelihood that the judgment rendered in the action in this country will be recognized and enforced abroad. Most of the methods authorized by Rule 4(f)—discussed below—also apply to serving a corporation or other entity in a foreign country. See Rule 4(h)(2).

NOTES AND QUESTIONS

1. Rule 4(f)(1) provides that “any internationally agreed means of service that is reasonably calculated to give notice, such as those authorized by the Hague Convention on the Service Abroad of Judicial and Extrajudicial Documents” may be used to effect service on those outside the United States. The Hague Service Convention contains the most important internationally agreed means of service of process, and as of June 2021, 79 states were contracting parties. See *Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters*, The Hague, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638, 658 U.N.T.S. 163, reproduced (with declarations by the contracting states) in 28 U.S.C.A. following Federal Rule 4. The heart of the Convention is a requirement that each Contracting State establish a Central Authority, which will receive and execute requests for service from

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judicial authorities in other Contracting States, and will see that a certification that service has been effected is returned to the court of origin. Service may be made either in accordance with the law of the nation in which service is to be made or (unless incompatible with that law) by a

particular method requested by the applicant. For a discussion of modes of service in selected countries, see Chase, Hershkoff, Silberman, Sorabji, Stürmer, Taniguchi & Varano, *Civil Litigation in Comparative Context* 234–51 (Chase & Hershkoff, eds., 2d ed. 2017).

2. A question that had divided lower courts was whether the Hague Service Convention bars service by mail. In *WATER SPLASH, INC. v. MENON*, 581 U.S. ___, 137 S.Ct. 1504, 197 L.Ed.2d 826 (2017), the Supreme Court clarified that mail service is permissible if two conditions are met: “first, the receiving state has not objected to service by mail; and second, service by mail is authorized under otherwise-applicable law.” *Id.* at ___, 137 S.Ct. at 1513, 197 L.Ed.2d at 836.

3. There are several circumstances when the Hague Service Convention does not govern service on foreign-based defendants.

First, and most significantly, the Convention does not govern in those countries that are not Contracting States.

Second, the Supreme Court held in *VOLKSWAGENWERK AKTIENGESELLSCHAFT v. SCHLUNK*, 486 U.S. 694, 108 S.Ct. 2104, 100 L.Ed.2d 722 (1988), that the Convention applies only if service actually is made abroad; service under the Convention is not required if service is effected in the United States. In this case, suit was brought against a German corporation, and service was made on a domestic subsidiary that was deemed to be the corporation’s involuntary agent for service of process.

Third, because the Convention is only invoked by “service” abroad, an agreement to waive service, if voluntary and private, may be regarded as not implicating the Convention, although some other nations might well take a contrary position. Foreign defendants, like domestic defendants, are given incentives by Rule 4(d) to waive service in the form of longer times to respond, but they are not to be charged with the costs for formal service should they refuse to return the waiver; otherwise the waiver could be deemed compulsory and thus might violate the Convention.

4. Rule 4(f)(3) authorizes forms of service “by other means not prohibited by international agreement, as the court orders.” Even before the 1993 amendment to the Federal Rule, a federal trial court had ordered service of process on defendants in Iran by telex, then an innovative form of information-exchange. See *New England Merchants National Bank v. Iran Power Generation and Transmission Co.*, 495 F.Supp. 73 (S.D.N.Y. 1980). Since then, new forms of technology have broadened the kinds of service a court might order. In *RIO PROPERTIES, INC. v. RIO INTERNATIONAL INTERLINK*, 284 F.3d 1007 (9th Cir. 2002), the court authorized email service on a foreign Internet business, after plaintiff was unsuccessful in effecting

service in the United States, in Costa Rica, and on the international courier designated as an address when defendant registered its website. The Court of Appeals emphasized that service of process under Rule 4(f)(3) is neither extraordinary nor a last resort, but rather “one means among several which enables services of process on an international defendant,” and its use is committed to the discretion of the district judge. *Id.* at 1015.

Given advances in technology, should service abroad be permitted through email or social media? Federal courts have continued to approve of such service under Rule 4(f)(3) in certain circumstances. See, e.g., *Nagravision SA v. Gotech Int’l Tech. Ltd.*, 882 F.3d 494, 498 (5th Cir. 2018) (approving of “court-ordered email service under Rule 4(f)(3)”); *Elsevier, Inc. v. Siew Yee Chew*, 287 F. Supp. 3d 374, 379–80 (S.D.N.Y. 2018) (“Service through email is particularly appropriate here because, as the record reflects * * *, the defendants engage in online business and regularly communicate with customers through functional email addresses.”); *Nowak v. XAPO, Inc.*, 2020 WL 5877576, *4 (N.D.Cal. 2020) (authorizing service on an Indonesian defendant by email and via social media to its Facebook and Twitter accounts); *Fisher v. Petr Konchalovsky Foundation*, 2016 WL 1047394, *6 (S.D.N.Y. 2016) (authorizing service by email for a defendant residing in Russia, finding that no international agreement barred this mode of service, Russia had not objected to this specific mode of service, and plaintiff had provided “sufficient evidence” that sending email to a designated address was “likely to reach the defendant”). In other cases, however, courts have declined to authorize service by email or social media, finding that the requestor had failed to show that electronic service either was needed or would be sufficiently reliable. E.g., *Keck v. Alibaba.com, Inc.*, 330 F.R.D. 255, 259–60 (N.D.Cal. 2018) (finding that plaintiff “has not sufficiently shown why she should be allowed to serve the Additional Defendants by the messaging system on Alibaba.com and AliExpress.com”); *McGillvary v. Holom*, 2019 WL 2124509, at *2 (D.N.J. 2019) (rejecting request to serve defendant via her Facebook account); *SEC v. China Intelligent Lighting & Electronics, Inc.*, 2014 WL 338817, *2 (S.D.N.Y. 2014) (rejecting service via email because plaintiff had not shown that the email addresses were likely to reach defendants, noting that a spreadsheet purporting to associate one defendant with a particular email address “does not include a date or any other information from which the Court could infer that [defendant] continues to use the relevant e-mail address today”). In *I.M. Wilson, Inc. v. Otvetstvennostyou “Grichko”*, 2018 WL 6446601, *3 n.1 (E.D.Pa. 2018), the court authorized alternative service under Rule 4(f)(3) on two Russian defendants and a Czech defendant by serving hard copies of the summons and complaint on their United States counsel but rejected proposed service on their United States counsel by email: “Lest such a ubiquitous means of communication fall prey to a ‘spam’ filter, or worse, service shall be with hard copy material.”

5.A special provision of the Foreign Sovereign Immunities Act (FSIA) provides methods for serving process on foreign states, political subdivisions of foreign states, and agencies or instrumentalities of foreign states. In

REPUBLIC OF SUDAN v. HARRISON, 587 U.S. ___, 139 S.Ct. 1048, 203 L.Ed.2d 433 (2019), the Supreme Court interpreted the provision allowing service “by any form of mail requiring a signed receipt, to be addressed and dispatched by the clerk of the court to the head of the ministry of foreign affairs of the foreign state concerned.” 28 U.S.C. § 1608(a)(3). Victims of the bombing of the USS Cole, and their relatives, brought suit against the Republic of Sudan in federal district court under the FSIA. The clerk of the court, at plaintiffs’ request, addressed the service packet to Sudan’s minister of foreign affairs at the Sudan Embassy in the United States, and later certified that a signed receipt had been returned. Sudan failed to appear and the court entered a default judgment plus orders to effect payment of the judgment. In an eight-to-one decision, the Court found that this method of service did not comply with Section 1608(a)(3), concluding that the service packet “must be addressed and dispatched to the foreign minister at the

minister’s office in the foreign state”—not to some office in the United States where the minister might rarely be found. Id. at ___, 139 S.Ct. at 1062, 203 L.Ed.2d at 447. Justice Thomas dissented on the ground that delivery of service to a country’s embassy was within the terms of the statute and a reasonable means of notifying the country’s foreign minister.

6.In many cases, a court will reject a challenge to service of process when there is a showing that defendant had actual notice of the action. See *Armco, Inc. v. Penrod-Stauffer Bldg. Sys., Inc.*, 733 F.2d 1087, 1089 (4th Cir. 1984) (“every technical violation of the rule or failure of strict compliance may not invalidate the service of process”). Is a different case presented if plaintiff uses “other means” of service under Rule 4(f)(3) without seeking prior court authorization? In this circumstance, should service be quashed even if defendant has actual notice of the action? See *De Gazelle Group, Inc. v. Tamaz Trading Establishment*, 817 F.3d 747 (11th Cir. 2016).

3.RETURN OF SERVICE

The process-server, after delivering the papers, must file a “return,” which should disclose enough facts to demonstrate that defendant has been served and given notice of the requirement to appear in court. The prerequisite for the court assuming jurisdiction is the actual service of process and not the proof of that act; however, courts have held a proper return ordinarily is necessary to enable the trial court to conclude it has jurisdiction. The specific form of the proof of service varies from state to state, as well as according to the method of service used. An affidavit from the person who performed the acts constituting service is the usual proof.

Should the process-server’s return of service be considered conclusive or merely presumptive evidence that service has been effected? In *MIEDREICH v. LAUENSTEIN*, 232 U.S. 236, 34 S.Ct. 309, 58 L.Ed. 584 (1914), plaintiff sought to vacate a mortgage foreclosure judgment rendered in a prior suit arguing that the sheriff had made a false return of summons. Plaintiff, a state resident but not a resident of the county in which the

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action had been brought, was not served with process and lacked knowledge of the prior proceeding. Nevertheless, the Supreme Court upheld the prior judgment, treating the return as conclusive:

[A]lthough contrary to the fact, in the absence of any attack upon it, the court was justified in acting upon such return as upon a true return. If the return is false the law of the state * * * permitted a recovery against the sheriff upon his bond. We are of the opinion that this system of jurisprudence, with its provisions for safeguarding the rights of litigants, is due process of law.

Id. at 246, 34 S.Ct. at 312, 58 L.Ed. at 591. Would the result have been the same if plaintiff had not been a state resident? If the challenge was not collateral?

In most American jurisdictions today, the return is treated as strong evidence of the fact of service, but is not given conclusive effect. Keep in mind that prior to 1983, only United States marshals or deputy marshals could serve process in federal civil actions. At least some courts held that it would be “demeaning to the dignity of the court” to hold a hearing into the truth of an official’s document. *Halpert v. Appeby*, 23 F.R.D. 5, 6 (S.D.N.Y. 1958). Defendant’s own testimony alone generally will not be sufficient to impeach the return of a private process server, but it is not clear whether a “strong and convincing evidence” or some lesser standard applies.

NOTE ON “SEWER” SERVICE

In *UNITED STATES v. BRAND JEWELERS, INC.*, 318 F.Supp. 1293 (S.D.N.Y. 1970), noted in 37 Brooklyn L.Rev. 426 (1970–1971), 84 Harv.L.Rev. 130 (1970–1971), 46 N.Y.U.L.Rev. 367 (1971), 20 J.Pub.L. 337 (1971), 24 Vand.L.Rev. 829 (1970–1971), 17 Wayne L.Rev. 1287 (1971), 1971 Wis.L.Rev. 665, it was held that the United States had standing to seek an injunction preventing defendant from systematically obtaining default judgments against economically disadvantaged people through use of so-called “sewer” service techniques, by which the process-server disposes the papers and makes a false affidavit of service. The actions were for the purchase price of consumer goods sold on “easy credit terms” by door-to-door salespersons. Id. at 1294. The court reasoned that continuously failing to make proper service of process or preparing false affidavits of service imposed “a burden on interstate commerce.” Id. at 1298. Moreover, defendants’ alleged conduct was held to be “state action”; the United States had standing to sue to end a widespread unconstitutional deprivation of property without due process of law. Id. at 1299.

In 1972, the case was settled, and a consent decree was issued. It vacated the default judgments obtained by Brand Jewelers from 1969 to 1971, established procedures to notify those who were not properly served that they could proceed to a trial on the merits, and placed upon Brand Jewelers’

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attorney the duty of ensuring that future service of process would be fair and in good faith. What are the advantages and disadvantages of placing that duty on an attorney?

In 1970, New York adopted procedural reforms aimed at stopping the practice of fraudulent service. Prior to the amendments, delivery of a summons to a person other than the defendant was not permitted unless the process-server first exercised due diligence to locate the defendant. The burden of this requirement was viewed as the single most important cause of “sewer service.” The revision adopted by the legislature allowed service by leaving one copy of the summons with a person of suitable age and discretion at the place where the defendant actually works, dwells, or usually abides and by mailing a second copy to defendant’s last known address. N.Y.C.P.L.R. § 308(2). In 1973, the legislature took the additional step of requiring process-servers to make more detailed statements relating to how the process was served.

In 1986, following a two-year investigation, the Attorney General of the State of New York and other government officials reported that

fraudulent service of process continued to plague the New York City courts. The findings suggested that 48,000 (of 140,000) default judgments entered annually were tainted by sewer service. See N.Y. Attorney General, N.Y. City Dep’t of Consumer Affairs, N.Y. City Dep’t of Investigation City, A Joint Investigative Report into the Practice of Sewer Service in New York City (1986). In response, the legislature again amended the state’s service rules and mandated that a copy of the summons be filed with the return of service. N.Y.C.P.L.R. §§ 306, 306–a.

In 2009, the Chief Administrative Judge of the New York State Unified Court System commenced a special proceeding against numerous debt collection attorneys, seeking to vacate tens of thousands of default judgments that were alleged to have been based on false affidavits of service. See *Matter of Pfau v. Forster & Garbus* (Sup.Ct. Erie Co. No. 8236/09) (2009). The *Pfau* action was settled by a consent order. A part of the relief established a procedure for the vacating of a default judgment that had been illegally obtained. See *Matter of Pfau v. Forster & Garbus* (Sup.Ct. Erie Co. No. 2166/11) (2011). New York City also enacted legislation requiring licensed process-servers to maintain records of the location and date of attempts at service using global position system devices. See N.Y. City Code § 2–233.

4.SERVICE OF PROCESS AND STATUTES OF LIMITATIONS

All states have statutes of limitations that fix specific time limits within which various categories of actions must be brought. They are supplemented by bodies of law that define when various causes of action are said to “accrue”—the point when the limitations clock begins to run on an action, and the circumstances in which the running of the clock is suspended or “tolled” because a plaintiff for some reason has been prevented from timely assertion of her rights. See *Developments in the*

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Law—Statutes of Limitations, 63 Harv.L.Rev. 1177 (1950). Although statutes of limitations generally are deemed “procedural,” their impact decidedly is “substantive”—a plaintiff loses the opportunity to invoke the assistance of the courts to obtain relief even for an otherwise valid claim. Almost the first duty of a lawyer for a potential plaintiff is to determine, by the most conservative estimates, the latest possible day for commencing an action.

When is a suit “commenced” for purposes of a statute of limitations? In federal court, if the underlying cause of action is based on federal law, Rule 3 governs when the action is commenced. Thus, the suit is commenced when a copy of the complaint is filed with the federal district court. *West v. Conrail*, 481 U.S. 35, 107 S.Ct. 1538, 95 L.Ed.2d 32 (1987). However, when the underlying cause of action is based on state law, state law usually governs when the action is commenced—even if the action is in federal court. See **Walker v. Armco Steel Corp., 446 U.S. 740, 100 S.Ct. 1978, 64 L.Ed.2d 659 (1980), p. 480, infra. In some states, an action is not deemed “commenced” until process is served. In these states, a defect in service can be fatal to plaintiff’s claim, because the statute of limitations may run before plaintiff has a chance to correct the error.**

NOTES AND QUESTIONS

- 1. Consider how the running of the statute of limitations interacts with the operation of Federal Rule 4(m). Rule 4(m) requires the federal court to dismiss an action without prejudice, or to order service to be made within a specified period, if defendant is not served within 90 days of filing of the complaint. If plaintiff makes a showing of good cause for the failure, the court must extend the time for service. The rule does not define “good cause.” What kind of showing ought to count as “good cause”? What if the statute of limitations expires during that period, the action is dismissed, and plaintiff seeks to refile the suit? Will the refiled action be defeated if challenged as untimely? When good cause is not shown, what factors ought to guide the court’s discretion in granting an extension?
- 2.What is the time limit for service of process in a foreign country under Rule 4(f)? By its terms, does Rule 4(m) apply to service abroad? Does this mean plaintiff has unlimited time to effect service abroad? The circuits are divided on this question.
- 3.Does the 90-day limit in Rule 4(m) apply to service on a corporation, partnership, or association located outside the United States?
- 4.The Federal Rules authorize two types of challenges to service of process. Rule 12(b)(4) allows defendant to move to dismiss the complaint for insufficiency of process. This motion attacks defects in the form of the summons. Rule 12(b)(5) allows defendant to move to dismiss the complaint for insufficiency of service of process. This motion attacks defects in the way in

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which process was delivered to defendant. Which motion would defendant use to challenge service that does not meet the time limits of Rule 4(m)?

C. IMMUNITY FROM PROCESS AND ETIQUETTE OF SERVICE

1.IMMUNITY FROM PROCESS

STATE EX REL. SIVNKSTY V. DUFFIELD
Supreme Court of Appeals of West Virginia, 1952.
[137 W.Va. 112, 71 S.E.2d 113.](#)

[On June 30, 1951, while vacationing in Gilmer County, West Virginia, petitioner Sivnksty’s automobile struck and injured two children who were walking along the highway. He was arrested on charges of reckless driving, and, being unable to post bond, was incarcerated in the county jail until his trial on July 2. While he was in jail awaiting trial, Sivnksty was served with process in a tort action brought by one of the children in the Circuit Court of Gilmer County. Sivnksty was found guilty of the criminal charge and his appeals from that conviction failed.

Sivnksty made a special appearance in the civil action and filed a plea in abatement, alleging that the court was without jurisdiction because at the time of service he was a nonresident of the county and a prisoner in the county jail. The court sustained a demurrer to the plea in abatement, whereupon Sivnksty petitioned the Supreme Court of Appeals of West Virginia for a writ of prohibition against the judge of the trial court. A stipulation was filed with the appellate court stating that Sivnksty had entered Gilmer County on June 30, 1951, with the intention of remaining there through the Fourth of July holiday and that he left the county immediately upon his release on appeal bond following his conviction on July 2, 1951.]

The sole question presented by this record is: In the circumstances of this case was the petitioner immune from civil process at the time he was served with process in the civil action? Petitioner asserts here that the mere fact that he intended, when he came into Gilmer County, to remain for a period of a few days could not render his continuing presence in Gilmer County, after he was arrested, one of a voluntary status, when he was, in fact, incarcerated in the county jail there against his will.

The original and prime purpose for which the privilege of immunity from civil process on nonresidents of a county or state charged with crime therein was the protection of the court itself from interference with its judicial processes. Thus, originally the rule was asserted as the privilege of the court to secure the administration of justice free from outside

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interference or influence. Later the rule was enlarged for the protection of suitors, witnesses, jurors, and court officials from process, both in civil and criminal cases. *Whited v. Phillips*, 98 W.Va. 204, 205, 206, 126 S.E. 916, 917, 40 A.L.R. 83. In the *Whited* case the Court said: “It is well said that, if there is ever a time when a man should be relieved of all other concerns, and when he should be permitted to use unhampered his every faculty, it is when he is on trial under charge of a crime. Judicial reasoning also recognizes the right of a man, ordinarily, to be tried by a jury in the vicinity in which he resides, so that he may have such advantage and safeguard there as his conduct and character shall merit.”

In addition the privilege of immunity from civil process of a nonresident of a county or state, charged with crime therein, has underlying it the public policy that a person charged with crime in a county of which he is a nonresident will not be deterred from appearing before the courts of that county or state by the threat of civil or other process; and thus a person so charged with crime because of the immunity extended will be encouraged to return to the county or state in which he is charged with crime to respond to the criminal process.

* * *

In the syllabus to *Whited v. Phillips*, *supra*, perhaps the leading case in this jurisdiction, bearing on the instant subject matter, this Court held: “A non-resident of West Virginia, who voluntarily and without compulsion of law, submits himself to the jurisdiction of a state court, in answer to an indictment therein against him, and who is not at the time a fugitive from justice, is privileged while attending court from service of process in a civil suit.” In this jurisdiction the immunity rule has been applied to a case in which a defendant in a civil action was served with process while he was in a county, of which he was not a resident, in obedience to a citation from a member of the Department of Public Safety to answer a criminal charge. *Morris v. Calhoun*, 119 W.Va. 603, pt. 3 syl., 195 S.E. 341. It has also been applied to a case in which a person charged with a criminal offense in a county of which he was a nonresident, was arrested therefore in that county and later released on bond on his own recognizance, and who, in pursuance of such recognizance, returned to the county to answer the charge on the day set for trial. *Lang v. Shaw*, 113 W.Va. 628, syl., 169 S.E. 444. But in the case of *State ex rel. Godby v. Chambers*, 130 W.Va. 115, pt. 2 syl., 42 S.E.2d 255, 256, * * * the Court refused the writ of prohibition on the ground that after petitioner’s conviction, sentence, and incarceration on a misdemeanor charge, the reason for the application of the immunity rule was not present, and that in that case there was no criminal process within the meaning of the immunity rule. * * *

In the instant case the petitioner went to Gilmer County of his own volition: he did not enter the county in response to a criminal process,

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because at the time of his entry therein he had committed no crime, and there was pending against him no criminal case. * * * In *Crusco v. Strunk Steel Co.*, 365 Pa. 326, 74 A.2d 142, 20 A.L.R.2d 160, the Pennsylvania Supreme Court held that a defendant residing outside of a county in which a civil action had been commenced, and who was arrested on a warrant issued on an information of the plaintiff in the civil action and brought within the county, was not immune from civil process merely because of his status as a criminal defendant. * * * In 72 C.J.S., Process, § 82, the rule is well stated as follows: “A person confined in jail on a criminal charge or imprisoned on conviction for such charge is subject to service of civil process, irrespective of the question of residence, at least if he was voluntarily in the jurisdiction at the time of the arrest and confinement.” * * *

As the petitioner did not come and was not brought into Gilmer County under criminal process, the reason for the application of the immunity rule is not present, and he is not entitled to the writ of prohibition prayed for.

Writ denied.

LOVINS, JUDGE (dissenting).

* * * This court in the *Whited* case used the following language: “Judicial reasoning also recognizes the right of a man, ordinarily, to be tried by a jury in the vicinity in which he resides, so that he may have such advantage and safeguard there as his conduct and character shall merit. An additional argument for the extension of the rule is that a person should not ordinarily be drawn into a foreign jurisdiction ‘and there be exposed to entanglements in litigation far from home, which means he shall be attended with augmented expense.’ ” * * *

The specific question here considered is: May a defendant in a criminal charge, confined in jail on such charge and unable to furnish bail bond, be served with process commencing a civil action based on the same facts as those involved in the criminal prosecution?

An examination of the various authorities will disclose that the courts of last resort which have considered this question are not in accord and that the authorities are in confusion with respect to the same. * * *

In the instant case, *Sivnksty* came into Gilmer County voluntarily for the purpose of fishing. While there, he had an accident and thereafter was incarcerated in the jail. His presence in Gilmer County, originally voluntary, became involuntary. * * * I think whether *Sivnksty* came into Gilmer County voluntarily or otherwise has no pertinency to the question here presented.

Sivnksty will be forced to trial in a county far from his residence, among strangers. Even though he may have led an exemplary life and may have had a good reputation in the county of his residence, he would derive

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little or no benefit from those factors. In addition, he was harassed in his defense of the criminal charge by the institution of the civil suit against him while the criminal charge was still pending. This case is dissimilar from *State ex rel. Godby v. Chambers*, supra. In that case, the defendant had already been convicted.

Another element enters into this case. It is a matter of common knowledge that in this day and age there is much travel by motor vehicles. Under the rule laid down in the majority opinion, the luckless motorist, who has the misfortune to have an accident injuring persons or property in a county or state far from his residence, may be arrested and incarcerated in jail on a criminal charge, based on a real or fancied violation of an ordinance or statute having no connection with the accident, and while so incarcerated, the person suffering the injury would immediately commence an action in his own home county for the recovery of alleged damages. This could and may lead to widespread abuse of judicial process.

* * *

NOTES AND QUESTIONS

1.The traditional rule is that a party or witness who is present in the forum for legal proceedings is immune from process in a different and unrelated lawsuit. The rationale was explained by Justice Stone in *LAMB v. SCHMITT*, 285 U.S. 222, 225–26, 52 S.Ct. 317, 318, 76 L.Ed. 720, 722–23 (1932):

The general rule that witnesses, suitors, and their attorneys, while in attendance in connection with the conduct of one suit, are immune from service of process in another, is founded, not upon the convenience of the individuals, but of the court itself. * * * As commonly stated and applied, it proceeds upon the ground that the due administration of justice requires that a court shall not permit interference with the progress of a cause pending before it, by the service of process in other suits, which would prevent, or the fear of which might tend to discourage, the voluntary attendance of those whose presence is necessary or convenient to the judicial administration in the pending litigation. * * * In *Stewart v. Ramsay*, the court said at page 130, of 242 U. S., 37 S.Ct. 44, 46 [(1916),] * * * “The privilege which is asserted here is the privilege of the court, rather than of the defendant. It is founded in the necessities of the judicial administration, which would be often embarrassed, and sometimes interrupted, if the suitor might be vexed with process while attending upon the court for the protection of his rights, or the witness while attending to testify.”

It follows that the privilege should not be enlarged beyond the reason upon which it is founded, and that it should be extended or withheld only as judicial necessities require. * * * Limitations of it on this basis

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have been not infrequently made because the attendance upon the trial of a cause, however vital to the personal interests of those concerned, was not for the purpose of facilitating the progress of the cause * * *; or because the service was made on one whose attendance was not voluntary, and hence had no tendency to interfere with judicial administration * * *.

Id. at 225–26, 52 S.Ct. at 318, 76 L.Ed. at 722–23. See also *Keefe & Roscia, Immunity and Sentimentality*, 47 Cornell L.Q. 471 (1947).

2.In certain situations, federal courts accord an immunity from service of process to representatives of foreign governments, as well as their families and members of their households. The scope of the immunity under a treaty called the United Nations Headquarters Agreement, reprinted at 22 U.S.C.A. § 287 note, was at issue in *KADIC v. KARADZIC*, 70 F.3d 232 (2d Cir. 1995), an action by Croat and Muslim human rights victims against the self-announced president of the break-away Bosnian-Serb republic. Plaintiffs served defendant while he was in New York, and he claimed an official immunity. Whether immunity attached turned on two questions under the Headquarters Agreement: where defendant was served and

whether he was a designated representative of the United Nations at the time of service. Plaintiffs’ affidavits provided the following information about service:

[P]laintiffs obtained from [the district judge] an order for alternative means of service, directing service by delivering the complaint to a member of defendant’s State Department security detail, who was ordered to hand the complaint to the defendant. The security officer’s affidavit states that he received the complaint and handed it to Karadzic outside the Russian Embassy in Manhattan. * * * Appellants also allege that during his visits to New York City, Karadzic stayed at hotels outside the “headquarters district” of the United Nations and engaged in non-United Nations-related activities such as fund-raising.

Id. at 246–47. The court of appeals held that defendant was not a designated representative of any member of the United Nations and was not entitled to immunity when served outside the area of the Headquarters District.

2.ETIQUETTE OF SERVICE

WYMAN V. NEWHOUSE

United States Court of Appeals, Second Circuit, 1937.
[93 F.2d 313](#), cert. denied, [303 U.S. 664](#), [58 S.Ct. 831](#), [82 L.Ed. 1122 \(1938\)](#).

MANTON, CIRCUIT JUDGE. This appeal is from a judgment entered dismissing the complaint on motion before trial. The action is on a judgment entered by default in a Florida state court, a jury having assessed the damages. The recovery there was for money loaned, money advanced for appellee, and for seduction under promise of marriage.

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* * *

Appellant and appellee were both married, but before this suit appellant’s husband died. They had known each other for some years and had engaged in meretricious relations.

The affidavits submitted by the appellee * * * established that he was a resident of New York and never lived in Florida. On October 25, 1935, while appellee was in Salt Lake City, Utah, he received a telegram from the appellant, which read: “Account illness home planning leaving. Please come on way back. Must see you.” Upon appellee’s return to New York he received a letter from appellant stating that her mother was dying in Ireland; that she was leaving the United States for good to go to her mother; that she could not go without seeing the appellee once more; and that she wanted to discuss her affairs with him before she left. Shortly after the receipt of this letter, they spoke to each other on the telephone, whereupon the appellant repeated, in a hysterical and distressed voice, the substance of her letter. Appellee promised to go to Florida in a week or ten days and agreed to notify her when he would arrive. This he did, but before leaving New York by plane he received a letter couched in endearing terms and expressing love and affection for him, as well as her delight at his coming. Before leaving New York, appellee telegraphed appellant, suggesting arrangements for their accommodations together while in Miami, Fla. She telegraphed him at a hotel in Washington, D.C., where he was to stop en route, advising him that the arrangements requested had been made. Appellee arrived at 6 o’clock in the morning at the Miami Airport and saw the appellant standing with her sister some 75 feet distant. He was met by a deputy sheriff who, upon identifying appellee, served him with process in a suit for \$500,000. A photographer was present who attempted to take his picture. Thereupon a stranger introduced himself and offered to take appellee to his home, stating that he knew a lawyer who was acquainted with the appellant’s attorney. The attorney whom appellee was advised to consult came to the stranger’s home and seemed to know about the case. The attorney invited appellee to his office, and upon his arrival he found one of the lawyers for the appellant there. Appellee did not retain the Florida attorney to represent him. He returned to New York by plane that evening and consulted his New York counsel, who advised him to ignore the summons served in Florida. He did so, and judgment was entered by default. * * *

These facts and reasonable deductions therefrom convincingly establish that the appellee was induced to enter the jurisdiction of the state of Florida by a fraud perpetrated upon him by the appellant in falsely representing her mother’s illness, her intention to leave the United States, and her love and affection for him, when her sole purpose and apparent thought was to induce him to come within the Florida jurisdiction so as to serve him in an action for damages. * * *

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This judgment is attacked for fraud perpetrated upon the appellee which goes to the jurisdiction of the Florida court over his person. A judgment procured fraudulently, as here, lacks jurisdiction and is null and void. * * * A fraud affecting the jurisdiction is equivalent to a lack of jurisdiction. * * * The appellee was not required to proceed against the judgment in Florida. His equitable defense in answer to a suit on the judgment is sufficient. A judgment recovered in a sister state, through the fraud of the party procuring the appearance of another, is not binding on the latter when an attempt is made to enforce such judgment in another state. * * *

The appellee was not required to make out a defense on the merits to the suit in Florida. * * * An error made in entering judgment against a party over whom the court had no jurisdiction permits a consideration of the jurisdictional question collaterally. The complaint was properly dismissed.

Judgment affirmed.

NOTE AND QUESTIONS

Reread *Tickle v. Barton*, p. 31, *supra*. Which case presents a stronger situation for quashing service: *Wyman* or *Tickle*? Why? Would the result have been the same in *Wyman* if Newhouse had been in Florida and the trickery had been used to “flush him out of hiding”? Do you think that the situations in which plaintiff will resort to fraud, force, or artifice are increasingly rare given long-arm statutes and the ability to serve process outside the state where the court is located? See *Burnham v. Superior Court*, p. 223, *supra*. Are these rules nevertheless justified because, even in the rare case, they will deter plaintiffs from engaging in trickery?

D. OPPORTUNITY TO BE HEARD

Recall that in *Mullane*, p. 237, *supra*, Justice Jackson stated: “Many controversies have raged about the cryptic and abstract words of the Due Process Clause but there can be no doubt that at a minimum they require that deprivation of life, liberty or property by adjudication be preceded by notice and opportunity for hearing appropriate to the nature of the case.” In simple terms, a defendant has an adequate opportunity to be heard when—in light of the interests at stake in the litigation—defendant is able to develop the facts and legal issues in the case and present that party’s position to the court. Depending on the interests involved, an informal hearing may suffice, or a full trial may be required, or something in-between may pass muster.

In a series of cases beginning in the 1960s, the Court considered whether the Due Process Clause requires a hearing *before* the deprivation of liberty or property takes place, or whether a hearing *after* the fact

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sometimes suffices. The cases fell into two groups. The first group involved challenges to a private creditor’s use of a provisional remedy at the commencement of a lawsuit. Provisional remedies today are largely statutory in nature but date back to the common law writs; traditionally they operated as an exception to the requirement of prior notice and hearing. In practice, a provisional remedy allowed plaintiff to request an order from the court at the commencement or during the pendency of the suit allowing the seizure or encumbrance of defendant-debtor’s assets for the benefit of the creditor.

The second group of cases concerned whether a person who applied for a government benefit (such as a welfare payment, civil service job, or pilot license) was entitled under the Due Process Clause to a hearing before being denied the benefit. Until the mid-twentieth century, benefits of this sort were not considered to be “property” and so the Due Process Clause did not apply. The extension of the Due Process Clause to new forms of property was a major constitutional development. See Reich, *The New Property*, 73 Yale L.J. 733 (1964).

NOTES AND QUESTIONS

1.In *SNIADACH v. FAMILY FINANCE CORP. OF BAY VIEW*, 395 U.S. 337, 89 S.Ct. 1820, 23 L.Ed.2d 349 (1969), the Supreme Court struck down the Wisconsin wage garnishment procedure as violative of due process. The statute authorized a summons to issue at the request of the creditor’s lawyer; service on the garnishee froze the debtor’s wages during the period before trial, and the wage earner had no opportunity to be heard prior to the garnishment. The Court explained:

A prejudgment garnishment of the Wisconsin type is a taking which may impose tremendous hardship on wage earners with families to support. Until a recent act of Congress, * * * which forbids discharge of employees on the ground that their wages have been garnished, garnishment often meant the loss of a job. Over and beyond that was the great drain on family income.

Id. at 340, 89 S.Ct. at 1822, 23 L.Ed.2d at 353. Justice Harlan, in concurrence, stated:

* * * Apart from special situations, * * * due process is afforded only by the kinds of “notice” and “hearing” which are aimed at establishing the validity, or at least the probable validity of the underlying claim against the alleged debtor before he can be deprived of his property or its unrestricted use.

Id. at 343, 89 S.Ct. at 1823, 23 L.Ed.2d at 354–55. *Sniadach* left open at least two questions: first, whether its rationale would apply to the prejudgment seizure of property other than wages when the debtor’s showing of hardship was less severe; and second, what kinds of “extraordinary situations” could justify the seizure of property without a prior hearing.

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2.In *FUENTES v. SHEVIN*, 407 U.S. 67, 92 S.Ct. 1983, 32 L.Ed.2d 556, rehearing denied, 409 U.S. 902, 93 S.Ct. 177, 34 L.Ed.2d 165 (1972), the Court held, four-to-three, that state statutes authorizing the replevin of consumer goods without a pre-seizure hearing were unconstitutional. The writ of replevin is the traditional provisional remedy sought by a person claiming a possessory right to the property subject to seizure. See *The Supreme Court*, 1971 Term—*Right to Hearing before Taking of Property*, 86 Harv.L.Rev. 85 (1972). The property at issue in *Fuentes* consisted of an oven and a stereo purchased on credit and paid for in installments. In order to obtain the writ, the creditor was required to file a complaint with the court, thereby “initiating a court action for repossession and reciting in conclusory fashion that he is ‘lawfully entitled to the possession’ of the property, and that he file a security bond * * *.” The applicant was not required to make a “convincing showing” that the goods were in fact wrongfully detained by the debtor. Rather, as Justice Stewart explained:

On the sole basis of the complaint and bond, a writ is issued “command[ing] the officer to whom it may be directed to replevy the goods and chattels in possession of defendant * * * and to summon the defendant to answer the complaint.” * * * If the goods are “in any dwelling

house or other building or enclosure,” the officer is required to demand their delivery; but if they are not delivered, “he shall cause such house, building or enclosure to be broken open and shall make replevin according to the writ * * *.” Fla. Stat. § 78.10.

Thus, at the same moment that the defendant receives the complaint seeking repossession of property through court action, the property is seized from him. He is provided no prior notice and allowed no opportunity whatever to challenge the issuance of the writ. *After* the property has been seized, he will eventually have an opportunity for a hearing, as the defendant in the trial of the court action for repossession, which the plaintiff is required to pursue. And he is also not wholly without recourse in the meantime. For under the Florida statute, the officer who seizes the property must keep it for three days, and during that period the defendant may reclaim possession of the property by posting his own security bond in double its value. But if he does not post such a bond, the property is transferred to the party who sought the writ, pending a final judgment in the underlying action for repossession. * * *

407 U.S. at 73–75, 93 S.Ct. at 1991, 34 L.Ed.2d at 566–67. The Court found that the process was tainted by a lack of judicial supervision:

[The Florida statute] * * * abdicate[s] effective state control over state power. Private parties, serving their own private advantage, may unilaterally invoke state power to replevy goods from another. No state official participates in the decision to seek a writ; no state official reviews the basis for the claim to repossession; and no state official evaluates the need for immediate seizure. There is not even a

requirement that the plaintiff provide any information to the court on these matters. The State acts largely in the dark.

Id. at 93, 93 S.Ct. at 2001, 34 L.Ed.2d at 577.

The Court acknowledged that the Due Process Clause excuses a hearing before seizing property when there are “extraordinary situations,” but underscored that these situations “must be truly unusual”:

Only in a few limited situations has this Court allowed outright seizure * * * without opportunity for a prior hearing. First, in each case, the seizure has been directly necessary to secure an important governmental or general public interest. Second, there has been a special need for very prompt action. Third, the State has kept strict control over its monopoly of legitimate force; the person initiating the seizure has been a government official responsible for determining, under the standards of a narrowly drawn statute, that it was necessary and justified in the particular instance. Thus, the Court has allowed summary seizure of property to collect the internal revenue of the United States, to meet the needs of a national war effort, to protect against the economic disaster of a bank failure, and to protect the public from misbranded drugs and contaminated food.

Id. at 90–91, 93 S.Ct. at 1999–2000, 34 L.Ed.2d at 576 .

The Court found no “important governmental or general public interest” justifying the seizure “when no more than private gain is directly at stake.” In these circumstances, a hearing was required before, not after, removing the household goods from the debtor’s home:

The constitutional right to be heard is a basic aspect of the duty of government to follow a fair process of decisionmaking when it acts to deprive a person of his possessions. The purpose of this requirement is not only to ensure abstract fair play to the individual. Its purpose, more particularly, is to protect his use and possession of property from arbitrary encroachment—to minimize substantively unfair or mistaken deprivations of property, a danger that is especially great when the State seizes goods simply upon the application of and for the benefit of a private party. * * *

The requirement of notice and an opportunity to be heard raises no impenetrable barrier to the taking of a person’s possessions. But the fair process of decisionmaking that it guarantees works, by itself, to protect against arbitrary deprivation of property. For when a person has an opportunity to speak up in his own defense, and when the State must listen to what he has to say, substantively unfair and simply mistaken deprivations of property interests can be prevented. * * *

If the right to notice and a hearing is to serve its full purpose, then, it is clear that it must be granted at a time when the deprivation can still be prevented. At a later hearing, an individual’s possessions can

be returned to him if they were unfairly or mistakenly taken in the first place. Damages may even be awarded to him for the wrongful deprivation. But no later hearing and no damage award can undo the fact that the arbitrary taking that was subject to the right of procedural due process has already occurred. * * *

* * * To be sure, the requirements that a party seeking a writ must first post a bond, allege conclusorily that he is entitled to specific goods, and open himself to possible liability in damages if he is wrong, serve to deter wholly unfounded applications for a writ. But those requirements are hardly a substitute for a prior hearing, for they test no more than the strength of the applicant’s own belief in his rights. Since his private gain is at stake, the danger is all too great that his confidence in his cause will be misplaced. * * *

The minimal deterrent effect of a bond requirement is, in a practical sense, no substitute for an informed evaluation by a neutral official. * * * While the existence of these other, less effective, safeguards may be among the considerations that affect the form of hearing demanded by due process, they are far from enough by themselves to obviate the right to a prior hearing of some kind.

Id. at 80–84, 93 S.Ct. at 1994–96, 34 L.Ed.2d at 570–72 .

Finally, the Court found that the consumer had not waived a right to due process by signing the conditional sales contract:

The contract signed by Mrs. Fuentes provided that “in the event of default of any payment or payments, Seller at its option may take back the merchandise * * *.”

* * * [A] waiver of constitutional rights in any context must, at the very *least*, be clear. We need not concern ourselves with the involuntariness or unintelligence of a waiver when the contractual language relied upon does not, on its face, even amount to a waiver.

The conditional sales contracts here simply provided that upon a default the seller “may take back,” “may retake” or “may repossess” merchandise. The contracts included nothing about the waiver of a prior hearing. They did not indicate how or through what process—a final judgment, self-help, prejudgment replevin with a prior hearing, or prejudgment replevin without a prior hearing—the seller could take back the goods. Rather, the purported waiver provisions here are no more than a statement of the seller’s right to repossession upon occurrence of certain events. * * *

Id. at 94–96, 93 S.Ct. at 2001–02, 34 L.Ed.2d at 578–79. See Clark & Landers, *Sniadach, Fuentes and Beyond: The Creditor Meets the Constitution*, 59 Va.L.Rev. 355 (1973); Note, *Procedural Due Process—The Prior Hearing Rule and the Demise of Ex Parte Remedies*, 53 B.U.L.Rev. 41 (1973).

3.In *MITCHELL v. W.T. GRANT CO.*, 416 U.S. 600, 94 S.Ct. 1895, 40 L.Ed.2d 406 (1974), the Supreme Court considered the constitutionality of a Louisiana sequestration statute that allowed seizure of property before a hearing upon two conditions: (1) the applicant claimed a possessory interest in the property; and (2) defendant could conceal, waste, remove, or otherwise dispose of the property during the pendency of the suit. Application for the writ was ex parte and afforded no prior notice to defendant. The suit involved an overdue balance for personal property bought under an installment sales contract. The Court upheld the procedure, finding that the risk of a wrongful taking was minimized by the vendor’s interest in preventing waste of the property, the court’s involvement in authorizing the writ, the suitability of resolving the dispute by documentary evidence, and the immediate availability of a post-seizure hearing. However, in *NORTH GEORGIA FINISHING, INC. v. DI-CHEM, INC.*, 419 U.S. 601, 95 S.Ct. 719, 42 L.Ed.2d 751 (1975), the Court invalidated a Georgia garnishment statute, finding it was constitutionally deficient because it authorized the writ on the basis of conclusory allegations without providing defendant an “early” hearing “or other safeguard against mistaken repossession.” Id. at 606, 95 S.Ct. at 722, 40 L.Ed.2d at 757.

4. The *Sniadach* line of cases did not articulate an overall test for determining when a provisional remedy would meet constitutional standards and when it would not. Was the Court in practice applying a rule that notice and a prior hearing were required before seizure of a defendant’s property, absent a showing of extraordinary circumstances? Or, was the court engaged in a balancing test that looked to the reasonableness of the procedure? If so, what factors counted in the overall balance? The cases hinted at a number of factors critical to the Court’s analysis, but did not assign weights to any one of them:

- Who—whether a judge or a clerk is the decision-maker;
- What—whether the party seeking relief has a pre-existing interest in the property to be seized or encumbered;
- When—whether the seizure is effected before notice and hearing, or is followed by an immediate post-seizure hearing;
- Why—whether the seizure is to establish jurisdiction or for security purposes, and if for security purposes, whether exceptional circumstances such as destruction of an asset are presented;
- How—whether the applicant must show probable cause or meet a lesser burden of proof; whether factual allegations must be sworn to under penalty of perjury and based on personal knowledge; and whether the dispute can be resolved by uncontested documentary evidence.

- 5.Should the *Sniadach* line of cases apply when an attachment is used to establish jurisdiction (as in *Shaffer*, p. 210, supra)?
- 6. Parallel to the cases involving provisional remedies, the Supreme Court considered the applicability of the Due Process Clause to the

administration of government benefit programs. In *GOLDBERG v. KELLY*, 397 U.S. 254, 90 S.Ct. 1011, 25 L.Ed.2d 287 (1970), the Court held that the recipient of government-funded public assistance is entitled to “the opportunity for an evidentiary hearing prior to termination” of those benefits. Id. at 255, 90 S.Ct. at 1014, 25 L.Ed.2d at 292. In reaching this decision, the Court emphasized the recipient’s “brutal need” for assistance of this sort, observing that “termination of aid pending resolution of a controversy over eligibility may deprive an eligible recipient of the very means by which to live while he waits.” Id. at 261, 264, 90 S.Ct. at 1017, 1018, 25 L.Ed.2d at 295, 297. The Court made clear that although a full-scale judicial trial was not required, the hearing had to be tailored “to the capacities and circumstances of those who are to be heard.” Id. at 268–69, 90 S.Ct. at 1021, 25 L.Ed.2d at 299.

Goldberg appeared to link the “kind of hearing” that due process requires with the importance of plaintiff’s interest in the benefit that was being withheld. See Friendly, “*Some Kind of Hearing*,” 123 U.Pa.L.Rev. 1267 (1975). On this basis, the Court in *MATHEWS v. ELDRIDGE*, 424 U.S. 319, 96 S.Ct. 893, 47 L.Ed.2d 18 (1976), held that the Due Process Clause does not require a hearing *before* the government terminates a recipient’s Social Security disability benefits. The Court explained that the loss of disability benefits did not present as strong a showing of hardship as the loss of public assistance. The Court made clear, however, that “the degree of potential deprivation” is only one of a number of factors that affect what process is due. Other factors to be considered are “the fairness and reliability” of existing procedures and “the probable value, if any of additional procedural safeguards.” Id. at 341–43, 96 S.Ct. at 906–07, 47 L.Ed.2d at 37–38. Determining what process is due also must take account of the “public interest,” including any “administrative burden and other societal costs” involved with constitutionalizing the procedures to be provided. Id. at 347, 96 S.Ct. at 909, 47 L.Ed.2d at 40. Rather than looking exclusively to the individual interest at stake, the Court thus put forward a balancing test that considers three factors:

- First, the private interest that will be affected by the official action; second, the risk of an erroneous deprivation of such interest through the procedures used, and the probable value, if any, of additional or substitute procedural safeguards; and finally, the Government’s interest, including the function involved and the fiscal and administrative burdens that the additional or substitute procedural requirement would entail.
- Id. at 335, 96 S.Ct. at 903, 47 L.Ed.2d at 33.
- 7.Would application of the *Mathews* test have changed the outcome in *Fuentes*, p. 280, Note 2, supra? Can you reconcile the *Mathews*-balancing test with the factor-analysis of *Sniadach* and its progeny? Consider the factors listed on p. 283, Note 4, supra. How would you organize those factors to align with the *Mathews* test?
- 8.In *JONES v. GOVERNOR OF FLORIDA*, 975 F.3d 1016 (11th Cir. 2020), the en banc Eleventh Circuit considered a challenge to Florida’s statute

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permitting reenfranchisement of individuals convicted of felonies. After Florida voters voted to amend the state constitution to allow those who had been convicted of felonies and completed their sentences to vote—overall, about 1.4 million people—the legislature enacted a statute that (a) limited reenfranchisement to those who had paid all fees and costs incurred in connection with the convictions; and (b) imposed a penalty on persons who registered to vote without having met the specified financial conditions. There were significant practical difficulties, however, for any individual who wished to locate their prior criminal judgments, to determine whether fees were imposed because of felony or other offenses, or to identify how much of their debt remained. The district court issued an injunction against what it called the “pay-to-vote system,” ordering as a remedy that an individual may request an opinion from the Division of Elections stating their total amount of outstanding fines and restitution and permitting any individual who did not receive an answer within 21 days to register to vote without the threat of penalty or prosecution.

In reversing the injunction, the Eleventh Circuit majority emphasized the distinction between legislative and adjudicative action; legislative action includes general laws that apply to “more than a few people” and are “prospective in nature”; adjudicative action applies to a “relatively small number of persons” who are “exceptionally affected, in each case upon individual grounds” by the action. Id. at 1048. Because the deprivation of the right to vote occurred “through legislative action, not adjudicative action,” the majority concluded that the *Mathews* balancing test did not come into play. Rather, “the affected persons are not entitled to any process beyond that provided by the legislative process.” Id. (citing *Bi-Metallic Investment Co. v. State Board of Equalization*, 239 U.S. 441, 445, 36 S.Ct. 141, 142, 60 L.Ed. 372, 375 (1915)). “The Due Process Clause does not require States to provide individual process to help citizens learn the facts necessary to comply with laws of general application.” Id. at 1049.

Consider, by contrast, this example from one of the *Jones* dissenting opinions:

[I]magine a state that requires, as a condition of renewing drivers’ licenses and vehicle registrations, that drivers pay all outstanding citations for parking/traffic infractions. A driver goes to his county agency and is told that he may have some unpaid citations. He asks for information about the citations and their respective amounts so that he can verify their accuracy and pay whatever is outstanding. But the clerk tells him that the state can’t give him the information because the debt for the citations has been sold to third-party collection agencies; those agencies charge certain fees (which vary by agency and year) on top of the citation amounts; and the county has no way of knowing what those fees are or what amounts have been paid or credited. The clerk tries to call other state agencies (and some of the collection agencies) to get answers, but to no avail, and tells the driver he will have to figure everything out on his own. So the driver

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has to leave without his license and car registration, and will need to risk driving in violation of the law—and face arrest—in order to get to work, take his children to school, and carry out the other tasks of daily life. Would this state of affairs be constitutionally permissible? Of course not.

Id. at 1094–95 (Jordan, J., dissenting).

CONNECTICUT v. DOEHR
Supreme Court of the United States, 1991.
[501 U.S. 1, 111 S.Ct. 2105, 115 L.Ed.2d 1.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE WHITE delivered an opinion, Parts I, II, and III of which are the opinion of the Court.*

This case requires us to determine whether a state statute that authorizes prejudgment attachment of real estate without prior notice or hearing, without a showing of extraordinary circumstances, and without a requirement that the person seeking the attachment post a bond, satisfies the Due Process Clause of the Fourteenth Amendment. We hold that, as applied to this case, it does not.

I

On March 15, 1988, Petitioner John F. DiGiovanni submitted an application to the Connecticut Superior Court for an attachment in the amount of \$75,000 on respondent Brian K. Doehr’s home in * * * Connecticut. DiGiovanni took this step in conjunction with a civil action for assault and battery that he was seeking to institute against Doehr in the same court. The suit did not involve Doehr’s real estate nor did DiGiovanni have any pre-existing interest either in Doehr’s home or any of his other property.

Connecticut law authorizes prejudgment attachment of real estate without affording prior notice or the opportunity for a prior hearing to the individual whose property is subject to the attachment. The State’s prejudgment remedy statute provides, in relevant part:

“The court or a judge of the court may allow the prejudgment remedy to be issued by an attorney without hearing * * * upon verification by oath of the plaintiff or of some competent affiant, that there is probable cause to sustain the validity of the plaintiff’s claims and (1) that the prejudgment remedy requested is for an attachment of real property . . .” Conn.Gen.Stat. § 52–278e (1991). * * *

The statute does not require the plaintiff to post a bond to insure the payment of damages that the defendant may suffer should the attachment prove wrongfully issued or the claim prove unsuccessful.

As required, DiGiovanni submitted an affidavit in support of his application. In five one-sentence paragraphs, DiGiovanni stated that the facts set forth in his previously submitted complaint were true; that “I was willfully, wantonly and maliciously assaulted by the defendant, Brian K. Doehr”; that “[s]aid assault and battery broke my left wrist and further caused an ecchymosis to my right eye, as well as other injuries”; and that “I have further expended sums of money for medical care and treatment.”* * * The affidavit concluded with the statement, “In my opinion, the foregoing facts are sufficient to show that there is probable cause that judgment will be rendered for the plaintiff.” * * *

On the strength of these submissions the Superior Court judge * * * found “probable cause to sustain the validity of the plaintiff’s claim” and ordered the attachment on Doehr’s home “to the value of \$75,000.” The sheriff attached the property four days later * * *. Only after this did Doehr receive notice of the attachment. He also had yet to be served with the complaint, which is ordinarily necessary for an action to commence in Connecticut. * * * As the statute further required, the attachment notice informed Doehr that he had the right to a hearing: (1) to claim that no probable cause existed to sustain the claim; (2) to request that the attachment be vacated, modified, or that a bond be substituted; or (3) to claim that some portion of the property was exempt from execution. * * *

Rather than pursue these options, Doehr filed suit against DiGiovanni in Federal District Court, claiming that [the statute] was unconstitutional under the Due Process Clause of the Fourteenth Amendment. * * * The District Court upheld the statute and granted summary judgment in favor of DiGiovanni. * * * On appeal, a divided panel of the United States Court of Appeals for the Second Circuit reversed. * * * Judge Pratt, who wrote the opinion for the court, concluded that the Connecticut statute violated due process in permitting *ex parte* attachment absent a showing of extraordinary circumstances. “The rule to be derived from *Sniadach* * * * and its progeny * * * is not that postattachment hearings are generally acceptable provided that the plaintiff files a factual affidavit and that a judicial officer supervises the process, but that a prior hearing may be postponed where exceptional circumstances justify such a delay, *and where* sufficient additional safeguards are present.” * * *

A further reason to invalidate the statute, the court ruled, was the highly factual nature of the issues in this case. In *Mitchell*, there were “uncomplicated matters that len[t] themselves to documentary proof” and “[t]he nature of the issues at stake minimize[d] the risk that the writ

[would] be wrongfully issued by a judge.”⁵ * * * Judge Pratt observed that in contrast the present case involved the fact-specific event of a fist fight and the issue of assault. He doubted that the judge could reliably determine probable cause when presented with only the plaintiff’s version of the altercation. * * * Judge Pratt went on to conclude that in his view, the statute was also constitutionally infirm for its failure to require the plaintiff to post a bond for the protection of the defendant in the event the attachment was ultimately found to have been improvident.

* * *

II

With this case we return to the question of what process must be afforded by a state statute enabling an individual to enlist the aid of the State to deprive another of his or her property by means of the prejudgment attachment or similar procedure. Our cases reflect the numerous variations this type of remedy can entail. * * * In *Mathews*, we drew upon our prejudgment remedy decisions to determine what process is due when the government itself seeks to effect a deprivation on its own initiative. * * * That analysis resulted in * * * [a] threefold inquiry * * *.

Here the inquiry is similar but the focus is different. Prejudgment remedy statutes ordinarily apply to disputes between private parties rather than between an individual and the government. * * * For this type of case, therefore, the relevant inquiry requires, as in *Mathews*, first, consideration of the private interest that will be affected by the prejudgment measure; second, an examination of the risk of erroneous deprivation through the procedures under attack and the probable value of additional or alternative safeguards; and third, in contrast to *Mathews*, principal attention to the interest of the party seeking the prejudgment remedy, with, nonetheless, due regard for any ancillary interest the government may have in providing the procedure or forgoing the added burden of providing greater protections.

We now consider the *Mathews* factors in determining the adequacy of the procedures before us, first with regard to the safeguards of notice and a prior hearing, and then in relation to the protection of a bond.

We agree with the Court of Appeals that the property interests that attachment affects are significant. For a property owner like Doebr, attachment ordinarily clouds title; impairs the ability to sell or otherwise alienate the property; taints any credit rating; reduces the chance of obtaining a home equity loan or additional mortgage; and can even place

an existing mortgage in technical default where there is an insecurity clause. * * *

* * * [Connecticut] correctly points out that these effects do not amount to a complete, physical, or permanent deprivation of real property; their impact is less than the perhaps temporary total deprivation of household goods or wages. * * * But the Court has never held that only such extreme deprivations trigger due process concern. * * * To the contrary, our cases show that even the temporary or partial impairments to property rights that attachments, liens, and similar encumbrances entail are sufficient to merit due process protection. * * *

We also agree with the Court of Appeals that the risk of erroneous deprivation that the State permits here is substantial. By definition, attachment statutes premise a deprivation of property on one ultimate factual contingency—the award of damages to the plaintiff which the defendant may not be able to satisfy. * * * For attachments before judgment, Connecticut mandates that this determination be made by means of a procedural inquiry that asks whether “there is probable cause to sustain the validity of the plaintiff’s claim.” * * * What probable cause means in this context, however, remains obscure. The State initially took the position * * * that the statute requires a plaintiff to show the objective likelihood of the suit’s success. * * * Doebr, citing ambiguous state cases, reads the provision as requiring no more than that a plaintiff demonstrate a subjective good faith belief that the suit will succeed. * * * At oral argument, the State shifted its position to argue that the statute requires something akin to the plaintiff stating a claim with sufficient facts to survive a motion to dismiss.

We need not resolve this confusion since the statute presents too great a risk of erroneous deprivation under any of these interpretations. If the statute demands inquiry into the sufficiency of the complaint, or, still less, the plaintiff’s good-faith belief that the complaint is sufficient, requirement of a complaint and a factual affidavit would permit a court to make these minimal determinations. But neither inquiry adequately reduces the risk of erroneous deprivation. Permitting a court to authorize attachment merely because the plaintiff believes the defendant is liable, or because the plaintiff can make out a facially valid complaint, would permit the deprivation of the defendant’s property when the claim would fail to convince a jury, when it rested on factual allegations that were sufficient to state a cause of action but which the defendant would dispute, or in the case of a mere good-faith standard, even when the complaint failed to state a claim upon which relief could be granted. The potential for unwarranted attachment in these situations is self-evident and too great to satisfy the requirements of due process absent any countervailing consideration.

Even if the provision requires the plaintiff to demonstrate, and the judge to find, probable cause to believe that judgment will be rendered in favor of the plaintiff, the risk of error was substantial in this case. As the record shows, and as the State concedes, only a skeletal affidavit need be and was filed. The State urges that the reviewing judge normally reviews the complaint as well, but concedes that the complaint may also be conclusory. It is self-evident that the judge could make no realistic assessment concerning the likelihood of an action’s success based upon these one-sided, self-serving, and conclusory submissions. And as the Court of Appeals said, in a case like this involving an alleged assault, even a detailed affidavit would give only the plaintiff’s version of the confrontation. Unlike determining the existence of a debt or delinquent payments, the issue does not concern “ordinarily uncomplicated matters that lend themselves to documentary proof.” *Mitchell* * * *. * * *

What safeguards the State does afford do not adequately reduce this risk. Connecticut points out that the statute also provides an “expeditiou[s]” postattachment adversary hearing * * *; notice for such a hearing * * *; judicial review of an adverse decision * * *; and a double damages action if the original suit is commenced without probable cause * * *. Similar considerations were present in *Mitchell* * * *. But in *Mitchell*, the plaintiff had a vendor’s lien to protect, the risk of error was minimal because the likelihood of recovery involved uncomplicated matters that lent themselves to documentary proof, * * * and plaintiff was required to put up a bond. None of these factors diminishing the need for a predeprivation hearing is present in this case. It is true that a later hearing might negate the presence of probable cause, but this would not cure the temporary deprivation that an earlier hearing might have prevented. * * *

Finally, we conclude that the interests in favor of an *ex parte* attachment, particularly the interests of the plaintiff, are too minimal to supply such a consideration here. Plaintiff had no existing interest in Doebr’s real estate when he sought the attachment. His only interest in attaching the property was to ensure the availability of assets to satisfy his judgment if he prevailed on the merits of his action. Yet there was no allegation that Doebr was about to transfer or encumber his real estate or take any other action during the pendency of the action that would render his real estate unavailable to satisfy a judgment. Our cases have recognized such a properly supported claim would be an exigent circumstance permitting postponing any notice or hearing until after the attachment is effected. * * * Absent such allegations, however, the plaintiff’s interest in attaching the property does not justify the burdening of Doebr’s ownership rights without a hearing to determine the likelihood of recovery.

No interest the government may have affects the analysis. The State’s substantive interest in protecting any rights of the plaintiff cannot be any more weighty than those rights themselves. Here the plaintiff’s interest is

de minimis. Moreover, the State cannot seriously plead additional financial or administrative burdens involving predeprivation hearings when it already claims to provide an immediate post-deprivation hearing. * * *

Historical and contemporary practices support our analysis. * * *

* * * A survey of state attachment provisions reveals that nearly every state requires either a preattachment hearing, a showing of some exigent circumstance, or both, before permitting an attachment to take place. * * *

* * *

IV

A

Although a majority of the Court does not reach the issue, Justices Marshall, Stevens, O'Connor, and I deem it appropriate to consider whether due process also requires the plaintiff to post a bond or other security in addition to requiring a hearing or showing of some exigency.

As noted, the impairments to property rights that attachments affect merit due process protection. Several consequences can be severe, such as the default of a homeowner's mortgage. In the present context, it need only be added that we have repeatedly recognized the utility of a bond in protecting property rights affected by the mistaken award of prejudgment remedies. * * *

Without a bond, at the time of attachment, the danger that these property rights may be wrongfully deprived remains unacceptably high even with such safeguards as a hearing or exigency requirement. The need for a bond is especially apparent where extraordinary circumstances justify an attachment with no more than the plaintiff's *ex parte* assertion of a claim. * * * Until a postattachment hearing * * *, a defendant has no protection against damages sustained where no extraordinary circumstance in fact existed or the plaintiff's likelihood of recovery was nil. Such protection is what a bond can supply. * * *

But the need for a bond does not end here. A defendant's property rights remain at undue risk even when there has been an adversarial hearing to determine the plaintiff's likelihood of recovery. At best, a court's initial assessment of each party's case cannot produce more than an educated prediction as to who will win. This is especially true when, as here, the nature of the claim makes any accurate prediction elusive. * * * In consequence, even a full hearing under a proper probable-cause standard would not prevent many defendants from having title to their homes impaired during the pendency of suits that never result in the contingency that ultimately justifies such impairment, namely, an award to the plaintiff. Attachment measures currently on the books reflect this concern. All but a handful of States require a plaintiff's bond despite also

affording a hearing either before, or (for the vast majority, only under extraordinary circumstances) soon after, an attachment takes place. * * *

The State stresses its double damages remedy for suits that are commenced without probable cause. * * * This remedy, however, fails to make up for the lack of a bond. As an initial matter, the meaning of "probable cause" in this provision is no more clear here than it was in the attachment provision itself. Should the term mean the plaintiff's good faith or the facial adequacy of the complaint, the remedy is clearly insufficient. A defendant who was deprived where there was little or no likelihood that the plaintiff would obtain a judgment could nonetheless recover only by proving some type of fraud or malice or by showing that the plaintiff had failed to state a claim. * * *

Nor is there any appreciable interest against a bond requirement. * * * [Under the statute, a] plaintiff [is not required] to show exigent circumstances nor any pre-existing interest in the property facing attachment. A party must show more than the mere existence of a claim before subjecting an opponent to prejudgment proceedings that carry a significant risk of erroneous deprivation. * * *

B

Our foregoing discussion compels the four of us to consider whether a bond excuses the need for a hearing or other safeguards altogether. If a bond is needed to augment the protections afforded by preattachment and postattachment hearings, it arguably follows that a bond renders these safeguards unnecessary. That conclusion is unconvincing, however, for it ignores certain harms that bonds could not undo but that hearings would prevent. The law concerning attachments has rarely, if ever, required defendants to suffer an encumbered title until the case is concluded without any prior opportunity to show that the attachment was unwarranted. Our cases have repeatedly emphasized the importance of providing a prompt postdeprivation hearing at the very least. * * *

The necessity for at least a prompt postattachment hearing is self-evident because the right to be compensated at the end of the case, if the plaintiff loses, for all provable injuries caused by the attachment is inadequate to redress the harm inflicted, harm that could have been avoided had an early hearing been held. An individual with an immediate need or opportunity to sell a property can neither do so, nor otherwise satisfy that need or recreate the opportunity. The same applies to a parent in need of a home equity loan for a child's education, an entrepreneur seeking to start a business on the strength of an otherwise strong credit rating, or simply a homeowner who might face the disruption of having a mortgage placed in technical default. * * * [It should be clear that r]eliance on a bond does not sufficiently account for the harms that flow from an

erroneous attachment to excuse a State from reducing that risk by means of a timely hearing.

If a bond cannot serve to dispense with a hearing immediately after attachment, neither is it sufficient basis for not providing a preattachment hearing in the absence of exigent circumstances even if in any event a hearing would be provided a few days later. The reasons are the same: a wrongful attachment can inflict injury that will not fully be redressed by recovery on the bond after a prompt postattachment hearing determines that the attachment was invalid.

* * *

V

Because Connecticut’s prejudgment remedy provision * * * violates the requirements of due process * * *, the judgment of the Court of Appeals is affirmed, and the case is remanded to that court for further proceedings consistent with this opinion.

It is so ordered.

[An appendix of prejudgment attachment statutes is deleted.]

CHIEF JUSTICE REHNQUIST with whom JUSTICE BLACKMUN joins, concurring.

I agree with the Court that the Connecticut attachment statute, “as applied in this case,” * * * fails to satisfy the Due Process Clause of the Fourteenth Amendment. I therefore join Parts I, II and III of its opinion. Unfortunately, the remainder of the Court’s opinion does not confine itself to the facts of this case, but enters upon a lengthy disquisition as to what combination of safeguards are required to satisfy Due Process in hypothetical cases not before the Court. I therefore do not join Part IV.

* * * The Court’s opinion is, in my view, ultimately correct when it bases its holding of unconstitutionality of the Connecticut statute as applied here on [the basis of our prior decisions] * * *. But I do not believe that the result follows so inexorably as the Court’s opinion suggests. All of the cited cases dealt with personalty—bank deposits or chattels—and each involved the physical seizure of the property itself, so that the defendant was deprived of its use. These cases, which represented something of a revolution in the jurisprudence of due process, placed substantial limits on the methods by which creditors could obtain a lien on the assets of a debtor prior to judgment. * * * [I]n all of them the debtor was deprived of the use and possession of the property. In the present case, on the other hand, Connecticut’s prejudgment attachment on real property statute, which secures an incipient lien for the plaintiff, does not deprive the defendant of the use or possession of the property.

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The Court’s opinion therefore breaks new ground * * *. * * * I agree with the Court, however, that upon analysis the deprivation here is a significant one, even though the owner remains in undisturbed possession. * * *

* * *

It is both unwise and unnecessary, I believe, for the Court to proceed, as it does in Part IV, from its decision of the case before it to discuss abstract and hypothetical situations not before it. * * * The two elements of due process with which the Court concerns itself in Part IV—the requirement of a bond, and of “exigent circumstances”—prove to be upon analysis so vague that the discussion is not only unnecessary, but not particularly useful. * * * We should await concrete cases which present questions involving bonds and exigent circumstances before we attempt to decide when and if the Due Process Clause of the Fourteenth Amendment requires them as prerequisites for a lawful attachment.

[The concurring opinion of JUSTICE SCALIA is omitted.]

NOTES AND QUESTIONS

1. SHAUMYAN v. O’NEILL, 987 F.2d 122 (2d Cir. 1993), involved the same attachment statute at issue in *Doehr*, but applied in a contract dispute between a homeowner and a contractor hired to do repairs. The homeowner questioned the quality of the repair work and refused to pay the remainder of the bill. The contractor moved ex parte in state court and obtained a prejudgment attachment against the owner’s home. While the state court action was pending, the homeowner sued in federal court to enjoin enforcement of the statute as violative of due process. Both the district court and the court of appeals rejected the constitutional challenge. Although the homeowner had a strong private interest, the likelihood of an erroneous deprivation was not high because the evidence largely involved written documentation; moreover, the contractor “had a substantial pre-existing interest” in the property once his labor and materials had been incorporated into plaintiff’s home. *Id.* at 127. See Alquist, *Balancing the Checklist: Connecticut’s Legislative Response to Connecticut v. Doehr*, 26 Conn.L.Rev. 721 (1994).

2. In *Doehr*, due process applied even though defendant continued to possess and reside in his home after the attachment. In the wake of *Doehr*, commentators questioned the constitutionality of lis pendens statutes, which permit a plaintiff who claims an interest in real property to file a “notice of pendency” that alerts potential buyers of the claim; the property owner is not given an opportunity to contest imposition of the notice. See Levy, *Lis Pendens and Procedural Due Process: A Closer Look After Connecticut v. Doehr*, 51 Md.L.Rev. 1054 (1992). In DIAZ v. PATERSON, 547 F.3d 88 (2d Cir. 2008), a federal appeals court upheld the constitutionality of New York’s lis pendens statute, applying the *Mathews* factors as construed in *Doehr*. Should the

property owner be given an opportunity to challenge the notice *after* it has been imposed?

3. In *BENNIS v. MICHIGAN*, 516 U.S. 442, 116 S.Ct. 994, 134 L.Ed.2d 68 (1996), the state of Michigan forfeited a family’s automobile as a public nuisance, following the husband’s use of the car for sex acts with a prostitute and his conviction for gross indecency. The government provided the wife with notice and an opportunity to contest the forfeiture, but refused to make an offset for the wife’s joint interest in the property, and she challenged the forfeiture on due process grounds. The Court rejected her challenge, explaining that “a long and unbroken line of cases holds that an owner’s interest in property may be forfeited by reason of the use to which the property is put even though the owner did not know that it was to be put to such use.” *Id.* at 446, 116 S.Ct. at 998, 134 L.Ed.2d at 74.

4. In *NELSON v. COLORADO*, 581 U.S. ___, 137 S.Ct. 1249, 197 L.Ed.2d 611 (2017), the Court held that the Colorado Exoneration Act failed to satisfy due process under the *Mathews* balancing test. The Court described the statute as follows:

The Exoneration Act provides a civil claim for relief “to compensate an innocent person who was wrongly convicted.” * * * Recovery under the Act is available only to a defendant who has served all or part of a term of incarceration pursuant to a felony conviction, and whose conviction has been overturned for reasons other than insufficiency of evidence or legal error unrelated to actual innocence. * * * To succeed on an Exoneration Act claim, a petitioner must show, by clear and convincing evidence, her actual innocence of the offense of conviction. * * * A successful petitioner may recoup, in addition to compensation for time served, “any fine, penalty, court costs, or restitution . . . paid . . . as a result of his or her wrongful conviction.” * * *

Id. at ___, 137 S.Ct. at 1254, 197 L.Ed.2d at 617.

Looking to the private interest, the Court found that the claimants had “an obvious interest in regaining the money they paid to Colorado,” and that the state could not lay claim to the funds once innocence had been restored. *Id.* at ___, 137 S.Ct. at 1255–56, 197 L.Ed.2d at 618. Further, the Court found an unacceptable risk of erroneous deprivation; the claimants should be presumed innocent, and not “saddled with any proof burden,” especially a burden as high as clear and convincing evidence. *Id.* at ___, 137 S.Ct. at 1251, 1256, 197 L.Ed.2d at 614, 619. Finally, the Court found no countervailing interest in the state’s retaining the funds—indeed, it found that the state had “no interest in withholding” the funds once the conviction had been invalidated. *Id.* at ___, 137 S.Ct. at 1257–58, 197 L.Ed.2d at 620. Justice Thomas, dissenting, questioned whether due process even applied. To state a procedural due process claim, the dissent argued, plaintiff must first identify a protected property interest, and there had been no showing that plaintiffs actually were entitled to the funds they sought to recover.

5. Can a party’s opportunity to be heard be meaningful without adequate legal representation? The Supreme Court repeatedly has held that the Due Process Clause does not mandate the appointment of counsel for civil litigants who are too poor to retain a lawyer; whether to appoint counsel instead depends on a balance of factors. In *LASSITER v. DEPARTMENT OF SOCIAL SERVICES*, 452 U.S. 18, 101 S.Ct. 2153, 68 L.Ed.2d 640 (1981), the Court underscored that there is a “presumption that an indigent litigant has a right to appointed counsel only when, if he loses, he may be deprived of his physical liberty.” *Id.* at 26–27, 101 S.Ct. 2159, 68 L.Ed.2d at 649. Under that standard, the Court held that due process was not violated when a trial court failed to appoint counsel prior to terminating a mother’s parental rights when the petition contained no allegations that would have exposed her to criminal liability. Later, in *TURNER v. ROGERS*, 564 U.S. 431, 131 S.Ct. 2507, 180 L.Ed.2d 452 (2011), the Court considered whether due process required the appointment of counsel for a father who was held in civil contempt and jailed for repeated failure to make court-ordered child support payments, or whether it was sufficient for the Court to determine the contemnor’s financial capacity to make the payment. Justice Breyer, writing for a divided Court, held that counsel was not necessarily required:

Due Process Clause does not *automatically* require the provision of counsel at civil contempt proceedings to an indigent individual who is subject to a child support order, even if that individual faces incarceration (for up to a year). In particular, that Clause does not require the provision of counsel where the opposing parent or other custodian (to whom support funds are owed) is not represented by counsel and the State provides alternative procedural safeguards [such as or equivalent to] * * * adequate notice of the importance of ability to pay, fair opportunity to present, and to dispute, relevant information, and court findings * * *.

Id. at 448, 131 S.Ct. at 2520, 180 L.Ed.2d at 466. In this case, however, the Court found that the state had failed to provide even those alternative safeguards; therefore, the contemnor’s incarceration violated due process. *Id.* at 449, 131 S.Ct. at 2520, 180 L.Ed.2d at 466–67.

^aMaude Adams (1872–1953) is said to have been the highest paid actor of the period and was widely famous for her performance in *Peter Pan*. See Seville, *Peter Pan’s Rights: “To Die Will Be an Awfully Big Adventure,”* 51 J. Copyright Soc’y U.S.A. 1 (2003).

²The paragraph in its entirety read as follows: “This agreement shall be deemed to have been made in Nassau County, New York, regardless of the order in which the signatures of the parties shall be affixed hereto, and shall be interpreted, and the rights and liabilities of the parties here determined, in accordance with the laws of the State of New York; and the Lessee hereby designates Florence Weinberg, 47–21 Forty-first Street, Long Island City, N.Y., as agent for the purpose of accepting service of any process within the State of New York.”

^bAlteration in original.

³There is no allegation that Weinberg had any pecuniary interest in the subject matter of the litigation. Nor is the issue here the applicability of a statute which permits service on a foreign corporation by service on persons who are generally authorized to act as agents of the corporation, when the agent upon whom service is made has a personal interest in suppressing notice of service * * *.

^cRule 4(d)(1) currently is Rule 4(e)(2)(C).

^dRule 4(d)(3) now comprises part of Rule 4(h).

^eThe Chief Justice, Justice Blackmun, Justice Kennedy, and Justice Souter join Parts I, II, and III of this opinion, and Justice Scalia joins Parts I and III.

^fAlteration in original.

CHAPTER 4

JURISDICTION OVER THE SUBJECT MATTER OF THE ACTION—THE COURT’S
COMPETENCY

■ ■ ■

This chapter considers subject-matter jurisdiction: the power of a court to hear a case given the nature of the dispute, as distinct from its power to enter a judgment against a particular defendant. Every court system has its own rules governing subject-matter jurisdiction. The United States comprises multiple court systems—including the federal and those of the states. The federal courts are governed by Article III of the federal Constitution, federal statutes, and federal judicial decisions. The courts of the different states are governed by their respective state constitutions, statutes, and judicial decisions, and—to a limited extent—by federal law. State and federal courts have overlapping jurisdiction over certain kinds of cases, and this concurrent jurisdiction gives plaintiff a significant litigation advantage in choosing where to file suit. However, in some cases, defendant may veto plaintiff’s decision to file suit in a state court by transferring (“removing”) the action to federal court. These opportunities to “forum shop” help to promote litigant autonomy, but in some circumstances may conflict with important public concerns.

A. SUBJECT-MATTER JURISDICTION IN STATE COURTS

LACKS V. LACKS

New York Court of Appeals, 1976.
[41 N.Y.2d 71, 390 N.Y.S.2d 875, 359 N.E.2d 384.](#)

BREITEL, CHIEF JUDGE. * * * The parties were married in New York in 1938. After an apparently turbulent marriage, marked since 1953 by a series of bitter litigations, the husband, on August 10, 1965, began this action for a separation on the ground of cruelty. After nonjury trial, Supreme Court, on June 28, 1967, dismissed the complaint, but, on March 26, 1968, the Appellate Division reversed, and ordered a new trial. At the second trial, plaintiff husband, in reliance upon the then recent liberalizing changes in the divorce law, added a prayer for a judgment of absolute divorce, on the same allegations and proof as the earlier cause for

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separation. The husband was granted a judgment of divorce on March 16, 1970, and, after modifications not now relevant, the judgment was affirmed by the Appellate Division on October 26, 1972. Leave to appeal to the Court of Appeals was denied by both the Appellate Division and this court. The final judgment was thus beyond further review.

Then, nearly two years later, defendant, through her most recently retained lawyer, moved to vacate the judgment, contending that the court had been without subject matter jurisdiction to entertain the divorce action. She argued that the husband had not been a resident of New York for a full year preceding the commencement of the original action, and that the court had thus erroneously granted a divorce judgment in violation of the provisions of section 230. This defect, she urged, deprived the court of subject matter jurisdiction, and all the proceedings and the judgment were a nullity.

* * *

A statement that a court lacks “jurisdiction” to decide a case may, in reality, mean that elements of a cause of action are absent * * *. Similarly, questions of mootness and standing of parties may be characterized as raising questions of subject matter jurisdiction * * *. But these are not the kinds of judicial infirmities to which CPLR 5015 * * * is addressed. That provision is designed to preserve objections so fundamental to the power of adjudication of a court that they survive even a final judgment or order * * *.^a

In *Thrasher v. United States Liab. Ins. Co.*, 19 N.Y.2d 159, 166, * * * this court, in discussing subject matter jurisdiction, drew a clear distinction between a court’s competence to entertain an action and its power to render a judgment on the merits * * *. Absence of competence to entertain an action deprives the court of “subject matter jurisdiction”; absence of power to reach the merits does not.

The implications of this distinction are serious. It is blackletter law that a judgment rendered without subject matter jurisdiction is void, and that the defect may be raised at any time and may not be waived * * *. Thus stated, the rule is grossly oversimple. * * * Nevertheless, the breadth with which the rule is often stated indicates the importance traditionally attached to so-called subject matter jurisdiction * * *. Beyond the confusion engendered by a misapplication of the * * * concept of subject matter jurisdiction, there is more created by the locution that in this State the courts’ power in matrimonial actions is exclusively statutory. Yet in counterpoint, it has often been said: “the Supreme Court [i.e., the New York general trial court] is a court of original, unlimited and unqualified

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jurisdiction” and “competent to entertain all causes of action unless its jurisdiction has been specifically proscribed” * * *.

Against the State Constitution’s broad grant of jurisdiction to the Supreme Court, defendant offers the language of section 230 of the Domestic Relations Law. It provides merely that “[a]n action * * * for divorce or separation may be maintained only when” the residence requirements are met. Not even the catchall word “jurisdiction” appears in the statute, much less an explicit limitation on the court’s competence to entertain the action. In no way do these limitations on the cause of action circumscribe the power of the court in the sense of competence to adjudicate causes in the matrimonial categories. That a court has no “right” to adjudicate erroneously is no circumscription of its power to decide, rightly or wrongly.

* * *

The court has never before considered the unlikely question, until this case, whether the judicial error on an essential element of the cause of action was so fundamental as to permit vacatur of a final judgment, collaterally or after final judgment beyond ordinary appellate review. Had that ever been the problem unlikely until this case, perhaps the need for a less elastic and encompassing term than the word “jurisdiction” would have been apparent.

* * *

Hence, any error of law or fact which might have been committed in the divorce action did not deprive the court of jurisdiction to adjudicate the case, CPLR 5015 * * * is inapplicable, and Special Term erroneously vacated the final judgment.

In sum, the overly stated principle that lack of subject matter jurisdiction makes a final judgment absolutely void is not applicable to cases which, upon analysis, do not involve jurisdiction, but merely substantive elements of a cause for relief. To do so would be to undermine significantly the doctrine of *res judicata*, and to eliminate the certainty and finality in the law and in litigation which the doctrine is designed to protect.

In concluding the jurisdiction-competence issue it is not assumed that the courts in the action made any error of law or fact in determining the durational or initial residence requirements to maintain an action for a separation or a divorce. Nor is it assumed that the same courts did not consider and determine the issues of residence, whether or not raised by the wife. On the contrary, there was considerable evidence of residence by the husband, and the court obviously determined that the husband had some residence even if not of the duration to satisfy the matrimonial statutes. The point is that the litigation having gone to final judgment, the

right to review by appeal having been exhausted, that is and should be the end of the matter.

On the foregoing analysis it has been unnecessary to dissect the elements of subject matter jurisdiction, because it turns out that the contentions of the wife are not addressed to bases for subject matter jurisdiction. Rather, despite her characterization of subject matter jurisdiction in order to invoke CPLR 5015 * * * to undo a final judgment of four years’ standing, the defects to which she points relate only to substantive elements in a cause of action adjudicable by the Supreme Court, a court competent to decide all the substantive issues.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

NOTES AND QUESTIONS

1.State courts are considered to be courts of “general” jurisdiction, which in this context means they have authority to hear cases on any subject matter unless they are ousted of such power by state or federal law. This does not mean that every court in a state has power to hear all kinds of disputes. States, like most Anglo-American legal systems, usually distribute judicial power among a variety of courts. In many instances, this is accomplished by segregating certain types of controversies from the mainstream of litigation and giving special courts subject-matter jurisdiction over them, as usually is done with domestic relations and probate matters and formerly was true of “actions at law” and “suits in equity.” As described by one commentator:

* * * In practically all states * * * there are separate courts for large and small cases with an arbitrary line of division between them. There are usually separate courts of first instance and of review. Separate courts of probate, criminal courts, courts of equity, and courts for causes arising in certain localities are common. Jurisdiction of the same kind is often apportioned among several different courts, each exercising only a designated and restricted part of it, as where certain appeals must be taken to one reviewing court and other appeals to another. Sometimes different courts with concurrent jurisdiction in certain classes of cases and exclusive jurisdiction in others are established. It is not uncommon to find a large number of municipal courts in the various cities of the same state, no two of which exercise the same jurisdiction. And as a final complication, the legislature is constantly shifting and changing the jurisdiction of the various courts, practically every change involving litigation to construe the meaning and ascertain the effect of the legislative act.

Sunderland, *Problems Connected with the Operation of a State Court System*, 1950 Wis.L.Rev. 585, 585–86. A common method of limiting judicial power is by providing that a court can adjudicate controversies involving more than a

certain minimum or less than a stated maximum amount of money, or its equivalent (referred to as an amount-in-controversy requirement).

2. Astate court of general jurisdiction is permitted and indeed may be under a duty to hear a cause of action arising under the laws of another state. This requirement flows from the Full Faith and Credit Clause, Article IV, § 1 of the United States Constitution. In HUGHES v. FETTER, 341 U.S. 609, 71 S.Ct. 980, 95 L.Ed. 1212 (1951), the Supreme Court held that under the “national policy” of the Full Faith and Credit Clause, Wisconsin could

not “close the doors of its courts” to a cause of action created under Illinois law, while keeping the doors open to analogous claims under Wisconsin law for deaths “caused locally.” As the Court explained: “[A state] * * * cannot escape [its] constitutional obligation to enforce the rights and duties validly created under the laws of other states by the simple device of removing jurisdiction from courts otherwise competent.” *Id.* at 611–13, 71 S.Ct. at 981–83, 95 L.Ed. at 1215–17.

3. It is settled that a court can apply its own procedural law even when it hears a dispute involving a claim under another system’s substantive law. Can a state apply its own statute of limitations to a claim arising under the laws of another state? If so, does this mean that a court can dismiss a claim as untimely under its statute of limitations even though the claim would be timely under the law of the state creating the cause of action? The Supreme Court answered this question in the affirmative in *WELLS v. SIMONDS ABRASIVE CO.*, 345 U.S. 514, 73 S.Ct. 856, 97 L.Ed. 1211 (1953), explaining that “applying the statute of limitations of the forum to a foreign substantive right did not deny full faith and credit.” *Id.* at 516, 73 S.Ct. at 857, 97 L.Ed. at 1215. Conversely, a state may apply its own longer statute of limitations to a cause of action created by another state’s law even though the claim would have been time-barred under the law of the state where the cause of action arose. See *Sun Oil Co. v. Wortman*, 486 U.S. 717, 108 S.Ct. 2117, 100 L.Ed.2d 743 (1988).

4. When Congress enacts a federal statute, the presumption is that both the federal and the state courts have competence to enforce the law—referred to as the presumption of concurrent jurisdiction. Congress may confer jurisdiction exclusively on the federal courts, but the presumption of concurrency can be rebutted only “by an explicit statutory directive, by unmistakable implication from legislative history, or by a clear incompatibility between state-court jurisdiction and federal interests.” *Tafflin v. Levitt*, 493 U.S. 455, 459–60, 110 S.Ct. 792, 795, 107 L.Ed.2d 887, 894 (1990) (internal quotation omitted). In *ATLANTIC RICHFIELD CO. v. CHRISTIAN*, 590 U.S. ___, 140 S.Ct. 1335, 206 L.Ed.2d 516 (2020), the Supreme Court noted the “deeply rooted presumption in favor of concurrent state court jurisdiction” in rejecting the argument that the federal Comprehensive Environmental Response, Compensation, and Liability Act ousted Montana state courts of jurisdiction over claims by property owners against the owner of a smelter that was subject to an Environmental Protection Agency clean-up plan.

5. If a state court has subject-matter jurisdiction to hear a claim that arises under federal law, is it required to exercise that power? In *HOWLETT v. ROSE*, 496 U.S. 356, 110 S.Ct. 2430, 110 L.Ed.2d 332 (1990), a unanimous Supreme Court held that the Florida courts could not invoke sovereign immunity as a ground for declining to hear a federal civil rights claim under 42 U.S.C. § 1983 when that defense would not bar the state court from hearing an analogous state-law claim. The Court explained that the state’s defense in this context “raise[d] the concern that the state court may be evading federal law and discriminating against federal causes of action”:

A state policy that permits actions against state agencies for the failure of their officials to adequately police a parking lot and for the negligence of such officers in arresting a person on a roadside, but yet declines jurisdiction over federal actions for constitutional violations by the same persons can be based only on the rationale that such persons should not be liable for § 1983 violations in the courts of the State. That reason, whether presented in terms of direct disagreement with substantive federal law or simple refusal to take cognizance of the federal cause of action, flatly violates the Supremacy Clause.

Id. at 380–81, 110 S.Ct. at 2445, 110 L.Ed.2d at 356. In *HAYWOOD v. DROWN*, 556 U.S. 729, 129 S.Ct. 2108, 173 L.Ed.2d 920 (2009), the Court held, five-to-four, that it was impermissible for a New York court to invoke a jurisdictional rule as grounds for declining to hear a federal claim: “[H]aving made the decision to create courts of general jurisdiction that regularly sit to entertain analogous suits, New York is not at liberty to shut the courthouse door to federal claims that it considers at odds with its local policy.” *Id.* at 740, 129 S.Ct. at 2117, 173 L.Ed.2d at 931. Does this rationale suggest that a state court may decline to enforce a federal statute if there is no analogous state-law claim?

6. In *Lacks*, the husband won a judgment of divorce even though he apparently failed to meet the residence requirement of the New York divorce law. Despite this defect, the Court of Appeals refused to allow the wife to vacate the judgment for lack of subject-matter jurisdiction. Can you explain the distinction that the court drew between “the jurisdiction-competence issue” and the “substantive elements in a cause of action”? How did this distinction affect the parties’ procedural opportunities in *Lacks*?

7. It is not always easy to discern when a statutory condition is a jurisdictional requirement and not an element of the claim. In *Arbaugh v. Y & H Corp.*, 546 U.S. 500, 126 S.Ct. 1235, 163 L.Ed.2d 1097 (2006), plaintiff sued under a federal statute that bars employers with 15 or more employees from discriminating on the basis of race or gender. After a jury awarded damages to plaintiff for sexual harassment, defendant sought to establish that it was not subject to the statute because of the size of its workforce. The district court dismissed the claim for lack of subject-matter jurisdiction, and the court of appeals affirmed. The Supreme Court reversed, holding that the numerosity

requirement was not jurisdictional, but rather “a substantive ingredient” of the claim. As a result, defendant was too late in raising the defect. *Id.* at 503, 126 S.Ct. at 1238, 163 L.Ed.2d at 1103. In so holding, the Court applied a “bright line” rule. The statute did not clearly state that the numerosity requirement is jurisdictional; to the contrary, the requirement appeared in a part of the statute separate from the provision pertaining to jurisdiction. *Id.* at 516, 126 S.Ct. at 1245, 163 L.Ed.2d at 1110. In a later decision, *SEBELIUS v. AUBURN REGIONAL MEDICAL CENTER*, 568 U.S. 145, 133 S.Ct. 817, 184 L.Ed.2d 627 (2013), the Court again addressed, in the context of a federal statute, how to distinguish jurisdictional from claim-processing rules:

We inquire whether Congress has “clearly state[d]” that the rule is jurisdictional; absent such a clear statement, we have cautioned, “courts should treat the restriction as nonjurisdictional in character.” * * * This is not to say that Congress must incant magic words in order to speak clearly. We consider “context, including this Court’s interpretations of similar provisions in many years past,” as probative of whether

Congress intended a particular provision to rank as jurisdictional. * * *

Id. at 153–54, 133 S.Ct. at 824, 184 L.Ed.2d at 637 (citations omitted).

Would you characterize a statute of limitations as jurisdictional or as a condition of the merits? Ordinarily, a party is permitted to waive an objection to the statute of limitations. However, in *JOHN R. SAND & GRAVEL CO. v. UNITED STATES*, 552 U.S. 130, 128 S.Ct. 750, 169 L.Ed.2d 591 (2008), the Court held that the six-year limitations period for filing claims against the United States in the Court of Federal Claims is “more absolute” than a timeliness provision that merely bars the defense of stale claims and so may not be waived. Id. at 134, 128 S.Ct. at 753, 169 L.Ed.2d at 596. In reaching this result, the Court relied on earlier precedent that treated the limitations period in the statute plaintiff was seeking to enforce as jurisdictional, and observed that the condition appeared in a portion of the statute stating that “ ‘[e]very claim of which’ the Court of Federal Claims ‘has *jurisdiction* shall be barred’ ” unless filed within the designated period. Id. at 135, 128 S.Ct. at 755, 169 L.Ed.2d at 597. The opinion underscores the importance of statutory text to resolving the question of whether a statutory condition is an aspect of the merits or a jurisdictional requirement. Indeed, the Supreme Court has found that other time periods are not jurisdictional. See, e.g., *Boechler, P.C. v. Commissioner of Internal Revenue*, 596 U.S. ___, 142 S.Ct. 1493, 212 L.Ed.2d 524 (2022) (26 U.S.C. § 6330(d)(1)’s 30-day deadline to file a petition for review in Tax Court); *Hamer v. Neighborhood Housing Services of Chicago*, 583 U.S. ___, 138 S.Ct. 13, 199 L.Ed.2d 249 (2017) (Federal Rule of Appellate Procedure 4(a)(5)(C)’s limit on extensions of time to file a notice of appeal); *Henderson ex rel. Henderson v. Shinseki*, 562 U.S. 428, 131 S.Ct. 1197, 179 L.Ed.2d 159 (2011) (38 U.S.C. § 7266(a)’s 120-day deadline for appealing a denial of federal benefits by the Board of Veterans’ Appeals).

B. THE SUBJECT-MATTER JURISDICTION OF THE FEDERAL COURTS—DIVERSITY OF CITIZENSHIP

Read Article III, § 2 of the United States Constitution and 28 U.S.C. §§ 1332, 1359, and 1369 in the Supplement.

By contrast to state courts, federal courts are courts of limited jurisdiction. They may exercise subject-matter jurisdiction only over the kinds of “cases” and “controversies” identified in Article III, § 2 of the United States Constitution, and only if Congress has enacted a statute conferring jurisdiction over such a case or controversy.^b

Article III, § 2 of the United States Constitution extends the judicial power of the United States to controversies “between Citizens of different States * * * and between a State, or the Citizens thereof, and Foreign States, Citizens or Subjects.” Since the First Judiciary Act in 1789, Congress has vested jurisdiction over so-called “diversity” cases in the federal courts. The current statute conferring diversity jurisdiction is set out in 28 U.S.C. § 1332. It may surprise you to learn that this grant of jurisdiction allows the federal courts to hear cases in which the claims arise solely under state law, so long as the parties to the dispute meet the constitutional and statutory conditions of citizenship and assert claims above a specified dollar amount. The conferral of diversity jurisdiction raises important issues about federalism and the appropriate relation between unelected federal judges and the states.

It is not clear why the Framers authorized the grant of diversity jurisdiction, and scholars do not find clear answers to that question in the debates of the Constitutional Convention. See Wood, *The Changing Face of Diversity Jurisdiction*, 82 Temp.L.Rev. 593 (2009). Chief Justice Marshall offered an early and influential explanation in *BANK OF THE UNITED STATES v. DEVEAUX*, 9 U.S. (5 Cranch) 61, 87, 3 L.Ed. 38, 45 (1809):

However true the fact may be, that the tribunals of the states will administer justice as impartially as those of the nation, * * * it is not less true that the constitution itself either entertains apprehensions on this subject, or views with such indulgence the possible fears and apprehensions of suitors, that it has established national tribunals for the decision of controversies * * * between citizens of different states.

The availability of a federal forum—with differently constituted juries and judges with guaranteed life-time tenure—is said to have fostered a secure financial environment for investors and creditors during a formative period in the nation’s development. See Friendly, *The Historic Basis of the Diversity Jurisdiction*, 41 Harv.L.Rev. 483 (1928); Jones, *Finishing a Friendly Argument: The Jury and the Historical Origins of Diversity Jurisdiction*, 82 N.Y.U.L.Rev. 997 (2007). According to William Howard Taft (who served as President and then as Chief Justice of the United States): “[N]o single element in our governmental system has done so much to secure capital for the legitimate development of enterprises * * * as the existence of federal courts * * * with a jurisdiction to hear diverse citizenship cases.” See Taft, *Possible and Needed Reform in Administration of Justice in Federal Courts*, 8 A.B.A.J. 601, 604 (1922).

The Rule of Complete Diversity

One of the most important limitations on federal diversity jurisdiction is the rule of “complete diversity” announced by Chief Justice Marshall in *STRAWBRIDGE v. CURTISS*, 7 U.S. (3 Cranch) 267, 2 L.Ed. 435 (1806). The Court affirmed the dismissal of a suit for lack of subject-matter jurisdiction, and explained:

The words of the act of congress are, “where an alien is a party; or the suit is between a citizen of a state where the suit is brought, and a citizen of another state.”

The court understands these expressions to mean that each distinct interest should be represented by persons, all of whom are entitled to sue, or may be sued, in the federal courts. That is, that where the interest is joint, each of the persons concerned in that interest must be competent to sue, or liable to be sued, in those courts.

But the court does not mean to give an opinion in the case where several parties represent several distinct interests, and some of those parties are, and others are not, competent to sue, or liable to be sued, in the courts of the United States.

Id. at 267–68, 2 L.Ed. at 435.

Courts have interpreted the *Strawbridge* rule to bar diversity jurisdiction under Section 1332(a) if any plaintiff is a citizen of the same state as any defendant, no matter how many parties are involved in the litigation. See, e.g., *Lincoln Property Co. v. Roche*, 546 U.S. 81, 82, 126 S.Ct. 606, 613, 163 L.Ed.2d 415, 424 (2005) (noting that since *Strawbridge*, “this Court has read the statutory formulation ‘between . . . citizens of different States,’ * * * to require complete diversity between all plaintiffs

and all defendants”). Is the rule a construction of the Constitution? Could Congress abrogate the complete-diversity condition? Should it?

Diversity jurisdiction includes not only actions between citizens of different states within the United States (Section 1332(a)(1)), but also actions between citizens of the United States and foreign citizens and subjects (Section 1332(a)(2))^c and actions between citizens of different U.S. states in which foreign litigants are “additional parties” (Section 1332(a)(3)). As with diversity jurisdiction involving United States citizens, a justification for foreign-party jurisdiction is protection of a discrete class of litigants from prejudice in state courts. See Johnson, *Why Alienage Jurisdiction? Historical Foundations and Modern Justifications for Federal Jurisdiction Over Disputes Involving Noncitizens*, 21 Yale J. Int’l L. 1, 2 (1996). For an empirical study of foreign litigant success rates in United States courts, see Clermont & Eisenberg, *Xenophilia or Xenophobia in U.S. Courts? Before and After 9/11*, 4 J. Empirical Legal Stud. 441 (2007). Another justification for foreign-party jurisdiction is to prevent state court rulings from interfering with foreign policy. See *JPMorgan Chase Bank v. Traffic Stream (BVI) Infrastructure Limited*, 536 U.S. 88, 94, 122 S.Ct. 2054, 2058, 153 L.Ed.2d 95, 101 (2002).

The Terms of the Debate

Granting the historic importance of diversity jurisdiction, does its current utility justify the expenditure of federal resources to hear disputes that pertain exclusively to state law? Whether to retain or enlarge the grant of diversity jurisdiction is a question that continues to engage scholars and policymakers. Here are some statistics from recent decades:

U.S. District Courts. Civil Cases Filed, by Jurisdiction ^d			
Fiscal Year	Total	Federal Question	Diversity
1990	217,013	104,307	57,435
2000	259,517	139,624	48,626
2010	282,895	138,655	101,202
2020	470,581	138,455	284,603

Proposals to curtail or abolish diversity jurisdiction have been made in Congress since the 1920s. See Shapiro, *Federal Diversity Jurisdiction: A Survey and a Proposal*, 91 Harv.L.Rev. 317 (1977). The Report of the Federal Courts Study Committee 38–43 (April 2, 1990), recommended limiting diversity jurisdiction in four ways: (1) prohibiting plaintiffs from invoking diversity jurisdiction in the federal courts of their home states; (2) treating corporations as citizens of every state in which they are licensed to do business; (3) excluding non-economic damages, such as punitive damages, from calculation of the amount-in-controversy; and (4) raising the amount-in-controversy threshold and indexing it to inflation. Looking at the current version of 28 U.S.C. § 1332, which of these proposals have been adopted?

Proposals also have been made to expand the scope of diversity jurisdiction by authorizing jurisdiction even when the *Strawbridge* rule of complete diversity is not met—a condition called minimal diversity. The interpleader statute, 28 U.S.C. § 1335, is the oldest of these legislative changes. Under the statute, the court may exercise diversity jurisdiction over an interpleader action provided a \$500 amount-in-controversy requirement is met and at least one claimant is a citizen of a state different from that of the other claimants. In addition, Congress has authorized a federal forum based on minimal diversity for actions “where at least 75 natural persons have died” from “a single accident” and “at a discrete location.” See *Multiparty, Multiforum Trial Jurisdiction Act of 2002*, 28 U.S.C. §§ 1369, 1441(e). Finally, the *Class Action Fairness Act of 2005*, 28 U.S.C. §§ 1332(d) and 1453, authorizes a federal forum for any class action in which the aggregate amount-in-controversy exceeds \$5 million, when the class contains at least 100 members, and in which any

plaintiff “is a citizen of a State different from any defendant,” subject to some exceptions. These aggregation devices are studied in Chapters 9 and 10, *infra*.

Arguments in favor of diversity jurisdiction underscore the persistence of bias against out-of-state litigants and the threat it poses to the administration of justice. Although empirical evidence of parochial bias is sparse, there is concern that curtailing diversity jurisdiction would dampen investor willingness to enter markets in different parts of the country. What matters from this perspective is not whether out-of-state investors in fact receive fair treatment in state courts, but rather whether they *think* they will. See Flango, *Litigant Choice Between State and Federal Courts*, 46 S.C.L.Rev. 961, 965 (1995).

Retention of diversity jurisdiction also is urged as a way to encourage competition between the state and federal court systems and so to motivate judicial reform across the country. Federal courts historically were considered institutionally superior to state courts because of the independence that comes from the judicial life tenure and salary guarantees of Article III, § 1 of the United States Constitution. See

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Neuborne, *The Myth of Parity*, 90 Harv.L.Rev. 1105 (1977). However, many states now provide similar assurances of judicial independence and have undertaken significant modernization reforms, leading commentators to challenge suggestions of state judicial inferiority. Indeed, on some issues, litigators may prefer a state to a federal forum. See Rubenstein, *The Myth of Superiority*, 16 Const. Comment. 599 (1999). Nevertheless, proponents of diversity jurisdiction contend that out-of-state litigants, who have limited opportunity to work for the improvement of state courts, should be able to avoid exposure to them if they wish.

Third, and relatedly, diversity jurisdiction is said to encourage substantive legal improvement within the federal system. The metaphor typically used to express this rationale is that of the “cross-pollination” of ideas so that each court system becomes alert to issues across jurisdictional boundaries. See Redish, *Reassessing the Allocation of Judicial Business Between State and Federal Courts: Federal Jurisdiction and “The Martian Chronicles,”* 78 Va.L.Rev. 1769, 1785 (1992).

Critics of diversity jurisdiction focus on the implications of channeling state law disputes to federal judges. Justice Frankfurter expressed concern that diversity jurisdiction contributes to docket congestion in the federal courts. See Frankfurter, *Distribution of Judicial Power Between United States and State Courts*, 13 Cornell L.Q. 499 (1928). Moreover, under the rule of *Erie Railroad Co.*, p. 445, *infra*, federal courts are required to apply state law to substantive issues in diversity cases, arguably making federal disposition of such cases unnecessary, wasteful, and inappropriate since the state courts are authoritative on matters of state substantive law. Indeed, disposition of state disputes in federal courts may risk nationalizing local concerns and federalizing state law. Far from encouraging legal reform, critics warn, the diversion of diversity-of-citizenship cases to federal courts may retard the development of state law by treating it as static or encouraging influential professional groups to exit the state judicial systems. Finally, it is suggested that the persistence of diversity jurisdiction supports gamesmanship that has little to do with the constitutional justification for authorizing a federal forum.

Assessing whether the federal court may exercise diversity jurisdiction requires a determination of (1) the citizenship of the parties and (2) the amount-in-controversy in the dispute. Both requirements of 28 U.S.C. § 1332 must be met. Which of these requirements is constitutionally mandated?

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1.DETERMINING CITIZENSHIP

MAS V. PERRY

United States Court of Appeals, Fifth Circuit, 1974.
[489 F.2d 1396](#), cert. denied, [419 U.S. 842](#), [95 S.Ct. 74](#), [42 L.Ed.2d 70](#).

AINSWORTH, CIRCUIT JUDGE.

* * *

Appellees Jean Paul Mas, a citizen of France, and Judy Mas were married at her home in Jackson, Mississippi. Prior to their marriage, Mr. and Mrs. Mas were graduate assistants, pursuing coursework as well as performing teaching duties, for approximately nine months and one year, respectively, at Louisiana State University in Baton Rouge, Louisiana. Shortly after their marriage, they returned to Baton Rouge to resume their duties as graduate assistants at LSU. They remained in Baton Rouge for approximately two more years, after which they moved to Park Ridge, Illinois. At the time of the trial in this case, it was their intention to return to Baton Rouge while Mr. Mas finished his studies for the degree of Doctor of Philosophy. Mr. and Mrs. Mas were undecided as to where they would reside after that.

Upon their return to Baton Rouge after their marriage, appellees rented an apartment from appellant Oliver H. Perry, a citizen of Louisiana. This appeal arises from a final judgment entered on a jury verdict awarding \$5,000 to Mr. Mas and \$15,000 to Mrs. Mas for damages incurred by them as a result of the discovery that their bedroom and bathroom contained “two-way” mirrors and that they had been watched through them by the appellant during three of the first four months of their marriage.

At the close of the appellees’ case at trial, appellant made an oral motion to dismiss for lack of jurisdiction. The motion was denied

by the district court. Before this Court, appellant challenges the final judgment below solely on jurisdictional grounds, contending that appellees failed to prove diversity of citizenship among the parties and that the requisite jurisdictional amount is lacking with respect to Mr. Mas. Finding no merit to these contentions, we affirm. Under section 1332(a)(2), the federal judicial power extends to the claim of Mr. Mas, a citizen of France, against the appellant, a citizen of Louisiana. Since we conclude that Mrs. Mas is a citizen of Mississippi for diversity purposes, the district court also properly had jurisdiction under section 1332(a)(1) of her claim.

It has long been the general rule that complete diversity of parties is required in order that diversity jurisdiction obtain; that is, no party on one side may be a citizen of the same State as any party on the other side. *Strawbridge v. Curtiss* * * *. This determination of one's State citizenship for diversity purposes is controlled by federal law, not by the law of any

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State. * * * As is the case in other areas of federal jurisdiction, the diverse citizenship among adverse parties must be present at the time the complaint is filed. * * * Jurisdiction is unaffected by subsequent changes in the citizenship of the parties. * * * The burden of pleading the diverse citizenship is upon the party invoking federal jurisdiction * * * and if the diversity jurisdiction is properly challenged, that party also bears the burden of proof.

To be a citizen of a State within the meaning of section 1332, a natural person must be both a citizen of the United States * * * and a domiciliary of that State. * * * For diversity purposes, citizenship means domicile; mere residence in the State is not sufficient. * * *

A person's domicile is the place of "his true, fixed, and permanent home and principal establishment, and to which he has the intention of returning whenever he is absent therefrom" * * * A change of domicile may be effected only by a combination of two elements: (a) taking up residence in a different domicile with (b) the intention to remain there. * * *

It is clear that at the time of her marriage, Mrs. Mas was a domiciliary of the State of Mississippi. While it is generally the case that the domicile of the wife—and, consequently, her State citizenship for purposes of diversity jurisdiction—is deemed to be that of her husband, * * * we find no precedent for extending this concept to the situation here, in which the husband is a citizen of a foreign state but resides in the United States. Indeed, such a fiction would work absurd results on the facts before us. If Mr. Mas were considered a domiciliary of France—as he would be since he had lived in Louisiana as a student-teaching assistant prior to filing this suit * * *—then Mrs. Mas would also be deemed a domiciliary, and thus, fictionally at least, a citizen of France. She would not be a citizen of any State and could not sue in a federal court on that basis; nor could she invoke the alienage jurisdiction to bring her claim in federal court, since she is not an alien. * * * On the other hand, if Mrs. Mas's domicile were Louisiana, she would become a Louisiana citizen for diversity purposes and could not bring suit with her husband against appellant, also a Louisiana citizen, on the basis of diversity jurisdiction. These are curious results under a rule arising from the theoretical identity of person and interest of the married couple. * * *

An American woman is not deemed to have lost her United States citizenship solely by reason of her marriage to an alien. 8 U.S.C. § 1489. Similarly, we conclude that for diversity purposes a woman does not have her domicile or State citizenship changed solely by reason of her marriage to an alien.

Mrs. Mas's Mississippi domicile was disturbed neither by her year in Louisiana prior to her marriage nor as a result of the time she and her husband spent at LSU after their marriage, since for both periods she was

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a graduate assistant at LSU. * * * Though she testified that after her marriage she had no intention of returning to her parents' home in Mississippi, Mrs. Mas did not effect a change of domicile since she and Mr. Mas were in Louisiana only as students and lacked the requisite intention to remain there. Until she acquires a new domicile, she remains a domiciliary, and thus a citizen of Mississippi. * * *

[The court's discussion of the jurisdictional amount is omitted.]

Thus the power of the federal district court to entertain the claims of appellees in this case stands on two separate legs of diversity jurisdiction: a claim by an alien against a State citizen; and an action between citizens of different States. We also note, however, the propriety of having the federal district court entertain a spouse's action against a defendant, where the district court already has jurisdiction over a claim, arising from the same transaction, by the other spouse against the same defendant. * * * In the case before us, such a result is particularly desirable. The claims of Mr. and Mrs. Mas arise from the same operative facts, and there was almost complete interdependence between their claims with respect to the proof required and the issues raised at trial. Thus, since the district court had jurisdiction of Mr. Mas's action, sound judicial administration militates strongly in favor of federal jurisdiction of Mrs. Mas's claim.

Affirmed.

NOTES AND QUESTIONS

(1)Determining State Citizenship of Natural Persons

The party invoking diversity jurisdiction has the burden of proving its existence. For purposes of diversity jurisdiction, a natural person is a citizen of a U.S. state only if the person is a citizen of the United States. The rule stems from *DRED SCOTT v. SANDFORD*, 60 U.S. (19 How.) 393, 15 L.Ed. 691 (1856), which held that persons descended from African slaves, even if born free, were not United States citizens and could not invoke diversity jurisdiction. The Fourteenth Amendment abrogated portions of *Dred Scott* by establishing the principle of birthright citizenship, but did not eliminate the rule that "[a] person cannot be a 'citizen' of a state unless she is also a citizen of the United States." *Coury v. Prot*, 85 F.3d 244, 249 (5th

Cir. 1996). Of course, diversity jurisdiction may reach foreign citizens if the requirements of Section 1332(a)(2) or (a)(3) are met. See *Servicios Azucareros de Venezuela, C.A. v. John Deere Thibodaux, Inc.*, 702 F.3d 794 (5th Cir. 2012).

To determine a United States citizen’s state of citizenship, the test looks to the party’s domicile, which is different from residence. At the time of the *Mas* decision, federal courts applied the common law rule of “derivative domicile” to married women, meaning that a wife was deemed to have acquired her husband’s domicile. Why did the *Mas* court resist applying this rule in determining whether the wife met the conditions of diversity jurisdiction? Would its application have effectively stripped the wife of her United States

citizenship? See *Abrams & Barber, Domicile Dismantled*, 92 Ind.L.J. 387 (2017). Modern cases have rejected this rule even when both spouses are United States citizens and the issue is state citizenship. See *Holley v. Techtronic Indus. N. Am., Inc.*, 2016 WL 7474811 (N.D.Cal. 2016) (“[T]he common law rule has been rejected by modern cases; a spouse may establish a domicile separate from the other spouse.”); 13E Wright & Miller, *Federal Practice and Procedure* § 3614 (3d ed.) (“It is difficult to find any justification for the retention of * * * what essentially is a sex-biased rule that certainly will disappear eventually.”).

Determining a natural person’s domicile may involve a fact-intensive inquiry. *CONNECTU LLC v. ZUCKERBERG*, 482 F.Supp.2d 3 (D.Mass. 2007), reversed by 522 F.3d 82 (1st Cir. 2008), involved the citizenship of Mark Zuckerberg, the founder of Facebook. The evidence showed that Zuckerberg was born in New York, graduated from a high school in New Hampshire, attended college in Massachusetts, and lived in California the summer after his sophomore year. After taking a leave of absence from college, defendant returned to California, where his company was incorporated. He continued to use his parents’ New York address as a permanent residence. On these facts, how would you decide where defendant resided and whether he intended to change his domicile?

If the goal of diversity jurisdiction is to protect out-of-staters from bias in suits against in-staters, does it make sense to disregard residence in defining citizenship for diversity purposes? Should a party who is a United States citizen but domiciled abroad be eligible to invoke diversity jurisdiction?

(2)Determining Citizenship of Corporations and Associations

Different rules for determining citizenship apply when the party is a corporation or an association. Like a natural person, a corporation is treated as an entity for purposes of determining citizenship; unlike a natural person, a corporation may have multiple states of citizenship. See 28 U.S.C. § 1332(c)(1). A corporation is a citizen “of every State and foreign state” in which it is incorporated, as well as *the* state or foreign state in which it has its principal place of business. For many years, it was unclear how to determine the location of a corporation’s principal place of business. Three tests predominated: the “nerve-center” test, which located citizenship in the state in which corporate decisionmaking and overall control take place (normally the corporation’s headquarters); the “corporate activities” or “operating assets” test, which located citizenship in the state in which the corporation has its production or service activities; and the “total activity” test, which located citizenship in light of all of the facts and circumstances.

In *HERTZ CORP. v. FRIEND*, 559 U.S. 77, 130 S.Ct. 1181, 175 L.Ed.2d 1029 (2010), the Supreme Court resolved that the phrase “principal place of business” in 28 U.S.C. § 1332(c)(1) refers only to the corporation’s nerve center. In reaching this result, the Court relied on three grounds: the terms of the statute; the legislative history; and the simplicity of a clear rule that could discourage gamesmanship. Under *Hertz*, how should a court determine the

citizenship of a dissolved corporation? Would it be best to have a bright-line rule that looks only to the company’s state of incorporation? Or for the dissolved corporation also to be treated as a citizen of the state of its former principal place of business? Or for the dissolved corporation not to have any principal place of business? The circuits currently are divided on this question. Which approach best serves the purposes of diversity jurisdiction?

Special rules govern the citizenship of banks chartered under federal law—so-called “national banks.” The statute, 28 U.S.C. § 1348, provides that national banks are “deemed citizens of the States in which they are respectively located.” How does this definition differ from the general rule for determining corporate citizenship? In *WACHOVIA BANK, N.A. v. SCHMIDT*, 546 U.S. 303, 126 S.Ct. 941, 163 L.Ed.2d 797 (2006), the Supreme Court interpreted the term “located” to mean that a national bank is a citizen of the state in which its main office is found, as set out in the articles of incorporation. The Court left open whether for diversity jurisdiction a national bank also is a citizen of the state in which it has its principal place of business. See *Lund, Federally Chartered Corporations and Federal Jurisdiction*, 36 Fla.St.U.L.Rev. 317 (2009).

Keep in mind that there are many different kinds of corporations. They include non-profit corporations, professional corporations, and cooperative corporations, to name a few. To complicate matters, some business groups that are not incorporated nevertheless function like a corporation (such as limited partnerships). Generally, courts have applied a “bright line rule,” *Hoagland v. SANDBERG, PHOENIX & VON GONTARD, P.C.*, 385 F.3d 737 (7th Cir. 2004), and held that for purposes of diversity jurisdiction, “a corporation is a corporation is a corporation.” *Cote v. Wadel*, 796 F.2d 961, 963 (7th Cir. 1986). This means if a business organization is incorporated under state law, it is treated as a corporate entity; otherwise, it is treated as an unincorporated association.

The category of unincorporated association includes many different kinds of groups, such as partnerships, charitable organizations, and trade unions. Under the general diversity rules, an unincorporated association is not treated as an entity but rather takes on the citizenship of each and every one of the association’s members. See *Carden v. Arkoma Assocs.*, 494 U.S. 185, 110 S.Ct. 1015, 108 L.Ed.2d 157 (1990) (limited partnership); *United Steelworkers of America v. R.H. Bouligny, Inc.*, 382 U.S. 145, 86 S.Ct. 272, 15 L.Ed.2d 217 (1965) (trade union). How are unincorporated associations treated for diversity purposes under the Class Action Fairness Act? See 28 U.S.C. § 1332(d)(10).

In *AMERICOLD REALTY TRUST v. CONAGRA FOODS, INC.*, 577 U.S. 378, 136 S.Ct. 1012, 194 L.Ed.2d 71 (2016), the Supreme Court held that the citizenship of a real estate investment trust is based on the citizenship of its members, which includes its shareholders, rejecting the view that only the citizenship of the trustee was jurisdictionally significant. The Court emphasized that it intended to maintain a “doctrinal wall” between corporate and unincorporated entities. *Id.* at 384, 136 S.Ct. at 1017, 194 L.Ed.2d at 77.

(3)Determining Citizenship of Representatives, Guardians, and Insurance Companies

Some persons can appear in court only through a legal representative. Examples include a decedent’s estate, an infant, and a person who lacks mental competence. In 1988, Congress amended 28 U.S.C. § 1332 to block parties from manufacturing diversity jurisdiction through the appointment of a representative. See Mullenix, *Creative Manipulation of Federal Jurisdiction: Is There Diversity After Death?*, 70 Cornell L.Rev. 1011 (1985) (discussing the uncertainty surrounding this issue prior to the 1988 amendment). How does the current statute determine citizenship when a representative is appointed? How can a representative show that an incompetent person wishes to change domicile? See Upchurch, *Can Granny Have a New Home? Resolving the Dilemma of Dementia and Domicile in Federal Diversity Jurisdiction Cases*, 79 U.Colo.L.Rev. 545 (2008).

Another special situation is presented by the “direct-action case,” in which the victim of an accident sues the tortfeasor’s insurance carrier without naming the insured party whose wrongdoing gave rise to the claim. How does the citizenship rule for insurers in direct-action cases differ from the rule that applies to guardians and other representatives? See 28 U.S.C. § 1332(c)(1).

(4)Determining Jurisdiction in Cases Involving Foreign Parties

Diversity jurisdiction also is available in actions involving citizens of foreign countries and parties who are United States citizens. See 28 U.S.C. § 1332(a)(2) and (3). Section 1332(a)(2) requires complete diversity between citizens of U.S. states and citizens of foreign countries. See *Ruhrgas AG v. Marathon Oil Co.*, 526 U.S. 574, 580 n.2, 119 S.Ct. 1563, 1568 n.2, 143 L.Ed.2d 760, 768 n.2 (1999). Section 1332(a)(3) permits foreign citizens on opposing sides of the case, as long as there are citizens of U.S. states on opposing sides and complete diversity exists between those U.S. citizens. See 28 U.S.C. § 1332(a)(3) (authorizing jurisdiction in actions that are between “citizens of different States and in which citizens or subjects of a foreign state are additional parties”); see also *Iraola & CIA S.A. v. Kimberly-Clark Corp.*, 232 F.3d 854, 860 (11th Cir. 2000) (“It is a standard rule that federal courts do not have diversity jurisdiction over cases where there are foreign entities on both sides of the action, without the presence of citizens of a state on both sides.”).

Test your reading of the statute by explaining whether jurisdiction is present under any of Section 1332(a)’s subsections:

- (a)Two plaintiffs [a company that is incorporated and has its principal place of business in Indiana] and [a company that is incorporated in Mexico] sue two defendants [a company that is incorporated in Delaware and has its principal place of business in Illinois] and [a natural person who is a citizen of Mexico].
- (b)Two plaintiffs [a company that is incorporated and has its principal place of business in Indiana] and [a natural person who is a citizen of Canada] sue two defendants [a company that is

incorporated and has its principal place of business in Michigan] and [a natural person who is a citizen of Canada].

- (c)Two plaintiffs [a natural person who is a citizen of New York] and [a natural person who is a citizen of France] sue one defendant [a natural person who is a citizen of France].

The statute’s treatment of foreign citizens who are “permanent residents” of the United States has evolved over time. In 1988 Congress amended 28 U.S.C. § 1332(a) to add this language: “For the purpose of this section, section 1335, and section 1441, an alien admitted to the United States for permanent residence shall be deemed a citizen of the State in which such alien is domiciled.” See Judicial Improvements and Access to Justice Act, Pub. L. No. 100–702, 102 Stat. 4642 (1988). Then, in 2011, Congress deleted this language and instead added at the end of § 1332(a)(2): “except that the district courts shall not have original jurisdiction under this subsection of an action between citizens of a State and citizens or subjects of a foreign state who are lawfully admitted for permanent residence in the United States and are domiciled in the same State.” See Section 105 of the Federal Courts Jurisdiction and Venue Clarification Act of 2011, Pub. L. 112–63, 125 Stat. 758 (2011). The legislative history states:

The purpose of th[e 1988] change was to preclude Federal alienage jurisdiction . . . in suits between a citizen of a state and an alien permanently residing in the same state Section 101 of the [Clarification Act will] thus achieve the goal of modestly restricting jurisdiction, *which Congress sought to accomplish when it first enacted the resident alien proviso*, and would avoid the threat of the expansion of jurisdiction now posed by the proviso.

H.R.Rep. No. 112–10, at 7 (2011), quoted in *H.K. Huilin International Trade Co., Ltd. v. Kevin Multiline Plymer Inc.*, 907 F.Supp.2d 284, 288 (E.D.N.Y. 2012) (alteration and emphasis added by the court); see also *Tagger v. Strauss Grp. Ltd.*, 951 F.3d 124, 126–27 (2d Cir. 2020) (finding no jurisdiction over a suit brought by an Israeli citizen who was a permanent resident of the United States domiciled in New York against an Israeli corporation, because the 2011 amendment eliminated the provision that had deemed foreign-citizen permanent residents to be citizens of the U.S. state where they are domiciled).

Would there be a constitutional problem in extending diversity jurisdiction to a suit by a foreign-citizen permanent resident of the United States who is domiciled in State A against another foreign-citizen permanent resident of the United States who is domiciled in State B? Or by a permanent resident who is domiciled in a U.S. state against a foreign citizen who is domiciled abroad?

A separate question concerns whether diversity jurisdiction may include a “stateless” person—meaning an individual who is not a citizen of any country. In *BLAIR HOLDINGS CORP. v. RUBINSTEIN*, 133 F.Supp. 496 (S.D.N.Y. 1955), defendant, Serge Rubinstein, held a “Nansen” passport issued

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after World War I by the League of Nations to stateless persons; he also had registered as a stateless person with the United States Department of Justice. In addition, the complaint described defendant as “not [being] a citizen of the United States.” *Id.* at 498. The district court held that there was no jurisdiction under 28 U.S.C. § 1332(a)(2) because plaintiff failed to show he was a citizen of a foreign state. Does withholding a federal forum from a stateless person serve the purposes of foreign-party jurisdiction? Some critics argue that being stateless makes a litigant more vulnerable to bias in state court, heightening the need for a federal forum. See Chemerinsky, *Federal Jurisdiction* § 5.3 (8th ed.).

The term “stateless” can also refer to a person who is neither a citizen of a foreign state nor a citizen of a U.S. state. Consider citizens of the United States who are domiciled abroad. As United States citizens, such persons are not citizens or subjects of a foreign state. Yet they also are not citizens of any particular U.S. State, because they are not domiciled in any U.S. State. See *Newman-Green, Inc. v. Alfonzo-Larrain*, 490 U.S. 826, 828, 109 S.Ct. 2218, 2221, 104 L.Ed.2d 893, 899 (1989) (“In order to be a citizen of a State within the meaning of the diversity statute, a natural person must both be a citizen of the United States and be domiciled within the State.”). As one court has explained, federal courts “lack jurisdiction over these so-called ‘stateless’ citizens if the only basis for subject matter jurisdiction is the diversity statute.” *Page v. Democratic Nat’l Comm.*, 2 F.4th 630, 636 (7th Cir. 2021); see also *Cresswell v. Sullivan & Cromwell*, 922 F.2d 60, 68 (2d Cir. 1990).

Finally, consider how the jurisdiction rules so far studied ought to apply to a “dual national”—a person who is a citizen of the United States and of a foreign country. The consensus view is that only the United States citizenship of a dual citizen should be considered, and so foreign-party jurisdiction may not be invoked. The Seventh Circuit has explained:

[T]he major purpose of alienage jurisdiction is to promote international relations by assuring other countries that litigation involving their nationals will be treated at the national level, and alienage jurisdiction is also intended to allow foreign subjects to avoid real or perceived bias in the state courts—a justification that should not be available to the dual citizen who is an American.

Buchel-Ruegsegger v. Buchel, 576 F.3d 451, 454 (7th Cir. 2009) (quotations omitted). In *SADAT v. MERTES*, 615 F.2d 1176 (7th Cir. 1980), the court of appeals considered a suit brought by a plaintiff who was both a citizen of Egypt and a naturalized citizen of the United States. He was involved in a car accident while living in Pennsylvania. He returned to Egypt and later filed suit against the United States parties involved in the accident. The court of appeals held that plaintiff could not invoke Section 1332(a)(1) because he was domiciled in Egypt and so was not a citizen of any state; moreover, he could not invoke Section 1332(a)(2) jurisdiction because, although an Egyptian citizen, his United States citizenship was dominant given his voluntary naturalization and intent to return to the United States.

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(5)The Problem of Collusive Joinder and the Real Party in Interest

Sometimes a party may wish to litigate a state-law claim in federal court, but the requirement of complete diversity is not met. In *KRAMER v. CARIBBEAN MILLS, INC.*, 394 U.S. 823, 89 S.Ct. 1487, 23 L.Ed.2d 9 (1969), a Panamanian corporation assigned its interest under a contract with a Haitian corporation to Kramer, a Texas attorney, for \$1. By a separate agreement, Kramer reassigned 95 percent of any net recovery on the assigned cause of action to the Panamanian company. Kramer then commenced suit against the Haitian company invoking federal jurisdiction. The district court denied defendant’s motion to dismiss for want of jurisdiction. The court of appeals reversed, holding that the assignment was “improperly or collusively made” within the meaning of 28 U.S.C. § 1359. The Supreme Court affirmed, holding that:

If federal jurisdiction could be created by assignments of this kind, which are easy to arrange and involve few disadvantages for the assignor, then a vast quantity of ordinary contract and tort litigation could be channeled into the federal courts at the will of one of the parties. Such “manufacture of Federal jurisdiction” was the very thing which Congress intended to prevent when it enacted § 1359 and its predecessors.

Id. at 828–29, 89 S.Ct. at 1490, 23 L.Ed.2d at 14. See Collins, *Jurisdictional Exceptionalism*, 93 Va.L.Rev. 1829 (2007) (recounting the history of the Court’s approach to jurisdiction by assignment). Should the motive for making the assignment be relevant to the jurisdictional inquiry, or should it be dispositive that the party making the assignment retains a significant financial interest in the transaction?

On the other hand, sometimes a party may wish to litigate a state-law claim in state court and not in federal court. In this situation, plaintiff may try to block defendant’s right to remove the action to federal court. We study removal jurisdiction later in this chapter, but the basic rule is that the federal court can exercise removal jurisdiction if it could have exercised original jurisdiction on the day the suit was filed in state court (however, when diversity jurisdiction is the basis for removal, generally an in-state defendant may not remove). In *ROSE v. GIAMATTI*, 721 F.Supp. 906 (S.D.Ohio 1989), Pete Rose, the manager of the Cincinnati Reds baseball team, filed a state court action to enjoin the Commissioner of Baseball from investigating whether Rose had wagered on ball games in violation of the Rules of Major League Baseball. Rose also named Major League Baseball and the Cincinnati Reds as defendants. The Commissioner removed the action to federal district court in Ohio. Rose, a citizen of Ohio, sought to remand the suit to Ohio state court, arguing that because he was a citizen of the same state as two of the defendants, complete diversity was lacking and removal was not proper. The district court rejected this argument:

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[I]t is * * * a long-established doctrine that a federal court in its determination of whether there is diversity of citizenship between the

parties, must disregard nominal or formal parties to the action, and determine jurisdiction based solely upon the citizenship of the real parties to the controversy. * * * A real party in interest defendant is one who, by the substantive law, has the duty sought to be enforced or enjoined. * * * [A] formal or nominal party is one who, in a genuine legal sense, has no interest in the result of the suit, * * * or no actual interest or control over the subject matter of the litigation. * * *

Id. at 914. The court went on to explain:

[T]he controversy in this case is between plaintiff Rose and defendant Giamatti; that they are the real parties in interest in this case; that the Cincinnati Reds and Major League Baseball, are, at best, nominal parties in this controversy; and that, consequently, the citizenship of the Cincinnati Reds and Major League Baseball may be disregarded for diversity of citizenship purposes. The Court determines that diversity of citizenship exists between Rose, * * * and Commissioner Giamatti, * * * and that the Court has diversity subject matter jurisdiction over this action.

Id. at 923–24. Do you agree that the Cincinnati Reds and Major League Baseball were “nominal” parties? Why was Rose so anxious to keep the case in state court? Is *Rose* the prototypical case in which diversity jurisdiction serves to protect an out-of-state defendant against local prejudice? See Case Note, “*Root, Root, Root for the Home Team*”: *Pete Rose, Nominal Parties and Diversity Jurisdiction*, 66 N.Y.U.L.Rev. 148 (1991).

2.THE AMOUNT-IN-CONTROVERSY REQUIREMENT

A.F.A. TOURS, INC. v. WHITCHURCH
United States Court of Appeals, Second Circuit, 1991.
[937 F.2d 82.](#)

KEARSE, CIRCUIT JUDGE. Plaintiff A.F.A. Tours, Inc., doing business as Alumni Flights Abroad (“AFA”), appeals from a final judgment of the United States District Court for the Southern District of New York * * * dismissing for lack of subject matter jurisdiction this diversity action against defendant Desmond Whitchurch for misappropriation of trade secrets. The district court summarily dismissed the complaint on the ground that it would not be possible for AFA to prove damages amounting to more than \$50,000. * * *

* * * AFA operates a travel and tour business, specializing in deluxe tours for United States residents to overseas destinations including Australia, New Zealand, and New Guinea. It expended large sums of money and invested significant time and labor to develop, *inter alia*, a

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client and customer list, marketing information, and tour information. It regarded this information as confidential trade secrets.

From 1972 through 1989, Whitchurch was employed by AFA as its exclusive tour escort in the above areas. In that position, Whitchurch was privy to certain of the above confidential information. The complaint alleged that in or about October 1989, Whitchurch resigned from AFA, misappropriated the confidential information known to him, and organized his own tour business. Since that time, he has offered or intends to offer tours that compete with those offered by AFA; in connection with his own tours, he has solicited or intends to solicit participants from AFA’s customer list.

AFA commenced the present diversity action in the district court for misappropriation of its trade secrets, seeking an injunction against any use by Whitchurch of confidential AFA information, and damages “in an amount which is not presently ascertainable, but which is believed to exceed the sum of \$50,000.00.”^e It also sought punitive damages of “no less than \$250,000.00.”

* * *

At the oral argument of Whitchurch’s motion, Whitchurch’s attorney began by characterizing the motion as “turn[ing] on a very narrow issue” of whether the AFA information constituted trade secrets * * *, and stating that the case was important to Whitchurch because “he may one day in the future wish to organize a tour, and write letters to individuals again” * * *. The court, however, asked whether it even had to reach the question of trade secrets, raising sua sponte the question of whether the value of AFA’s claims exceeded \$50,000, a jurisdictional prerequisite for a diversity action. In response to the court’s jurisdictional question, Whitchurch’s attorney stated that Whitchurch, in soliciting for his planned tour, had written to 100–200 former AFA tour participants but had received favorable responses from only two. * * *

AFA’s attorney argued that Whitchurch’s lack of success on his first effort was hardly dispositive of the issue of the amount of damages AFA might suffer, in light of Whitchurch’s desire to conduct other tours in the future. * * * AFA’s attorney, noting that over the years Whitchurch had escorted some 1,500 AFA clients on tours and had indicated that he would conduct a number of tours, argued that AFA’s damages would be substantial. He stated that a single 10-customer tour to the area in question would easily generate more than \$50,000 * * *. * * *

At the close of this hearing, the court granted summary judgment in favor of Whitchurch * * *. * * * On appeal, AFA contends that the dismissal

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for lack of jurisdiction was improper because the court (1) failed to give AFA an appropriate opportunity to show that it satisfied the

jurisdictional amount, and (2) failed to apply the proper standard to AFA's requests for (a) damages and (b) injunctive relief. * * *

The district courts have jurisdiction over civil diversity suits "where the matter in controversy exceeds the sum or value of \$50,000, exclusive of interest and costs." 28 U.S.C. § 1332 (1988). The test for determining whether a plaintiff meets the jurisdictional amount, established by the Supreme Court in *St. Paul Mercury Indemnity Co. v. Red Cab Co.*, 303 U.S. 283, 58 S.Ct. 586, 82 L.Ed. 845 (1938), is as follows:

The rule governing dismissal for want of jurisdiction in cases brought in the federal court is that, unless the law gives a different rule, the sum claimed by the plaintiff controls if the claim is apparently made in good faith. It must appear *to a legal certainty* that the claim is really for less than the jurisdictional amount to justify a dismissal.

303 U.S. at 288–89, 58 S.Ct. at 590 (emphasis added).

The amount of damages recoverable in an action for misappropriation of trade secrets may be measured either by the plaintiff's losses, * * * or by the profits unjustly received by the defendant * * *. In addition, if punitive damages are permitted under the controlling law, the demand for such damages may be included in determining whether the jurisdictional amount is satisfied. * * * New York law apparently allows the recovery of punitive damages in a trade secrets case if the defendant's conduct has been sufficiently "gross and wanton." * * *

Further, in appropriate circumstances, the owner of trade secrets may obtain an injunction against their use or disclosure by another in breach of his confidential relationship with the owner. * * * Where the plaintiff seeks injunctive relief, the value of his claim is generally assessed with reference to the right he seeks to protect and measured by the extent of the impairment to be prevented by the injunction. * * * In calculating that impairment, the court may look not only at past losses but also at potential harm. * * *

Before making a determination that the plaintiff's claim does not meet the jurisdictional minimum, the court must afford the plaintiff an "appropriate and reasonable opportunity to show good faith in believing that a recovery in excess of [the jurisdictional amount] is reasonably possible." * * * Under these substantive and procedural principles, although the record indicates that AFA has not yet suffered actual damages even approaching \$50,000, we have difficulty with the district court's decision.

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First, though AFA did not make an evidentiary showing in support of its contention that the value of its claims exceeded \$50,000, it was not afforded a proper opportunity to do so. The issue of the jurisdictional amount was first raised by the district court sua sponte at the argument on the summary judgment motion, and the court rendered its decision at the end of that argument. To the extent that the court thought AFA could not meet the jurisdictional minimum, it should not have dismissed without giving AFA an opportunity to present substantiation directed toward that issue.

Second, despite AFA's lack of an opportunity to present evidence addressed directly to the jurisdictional question, there was evidence in the record to suggest that the matter could not be conclusively resolved against it, for the oral arguments made by AFA's attorney to show that its claims were worth more than \$50,000 had some support from documents already before the court. For example, he said Whitchurch had the names of some 1,500 AFA customers; this was consistent with (a) Whitchurch's own statement that in the 17 years he was employed by AFA he had led approximately seven tours each year (thus totaling some 119 tours) and (b) his attorney's statement that there were usually 10–15 people per tour. * * * As to AFA's attorney's estimate that a single tour of this type "[i]s about seven to ten thousand dollars per customer," the evidence in the record as to the destination and deluxe nature of the tours, including evidence that some participants traveled first class and reserved preferred hotel accommodations, supports an inference that a 28-day tour could well cost \$10,000 per person.

What this means in terms of loss of earnings to a tour operator, however, is not revealed by the present record. AFA's suggestion that the tour operator himself would earn \$10,000 per tourist * * * does not have the same record support and seems questionable. The district court was also undoubtedly correct in its assumption that many of the persons who traveled to the South Pacific with Whitchurch during the 17 years he was with AFA are not likely to travel to that area again. But it could not be said to a legal certainty that no one would return to that area. There was ample support in the record for the proposition that AFA has the prospects for repeat customers. For example, AFA had submitted from one of its brochures two pages excerpting comments from participants in a recent AFA tour * * *; nearly one-third of those quoted indicated that they either had been on other AFA tours or would hope to go on future AFA tours. * * * If a tour operator could earn 17% of the price of a tour, and if Whitchurch were eventually successful in soliciting even 30 of the approximately 1,500 AFA participants he has escorted (*i.e.*, 2%, which may reflect the ratio of his success on his first attempt), the profit he could siphon from AFA would total \$51,000. Thus, on the present record, the court could not conclude to

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a legal certainty that the value of AFA's claims did not exceed the jurisdictional minimum.

Further, AFA requested injunctive relief not just against Whitchurch's solicitation of its customers but also against any use of the information. Presumably such an injunction would include a prohibition against Whitchurch's sale or disclosure of the names and addresses of AFA's customers to other tour operators who might be better equipped than Whitchurch to exploit the information and attract more than 2% of the persons whose names Whitchurch could provide them. In addition, AFA's request for punitive damages in the amount of \$250,000 might provide a basis for satisfaction of the jurisdictional amount. Whether or not AFA will be able to prove that Whitchurch's conduct was "gross and wanton" and warrants the recovery of such damages under New York law is an open question. But

the present record does not foreclose that possibility.

In all the circumstances, we conclude that the record as it existed in the district court did not permit the court to find with legal certainty that the value of AFA’s claims did not exceed \$50,000.

* * *

NOTES AND QUESTIONS

1. Does the Constitution impose an amount-in-controversy requirement on the jurisdictional grant? Congress has enacted such a condition since 1789, when the amount was set at a sum that “exceeds, exclusive of costs, the sum or value of five hundred dollars.” First Judiciary Act of 1789, § 11, 1 Stat. 73. Why do you think the amount-in-controversy requirement persists and, indeed, has increased over time? For a historical perspective, see Purcell, Jr., *Litigation and Inequality: Federal Diversity Jurisdiction in Industrial America, 1870–1958*, 97 (1992). What is the current amount-in-controversy requirement? See 28 U.S.C. § 1332(a).

2The party invoking diversity jurisdiction has the burden of showing that the amount-in-controversy requirement is met at the time the suit commences. Under what circumstances could a court find to a legal certainty that a party’s claim does not meet the amount-in-controversy requirement?

3.Is diversity jurisdiction lost if plaintiff’s recovery turns out to be less than the amount-in-controversy requirement? See 28 U.S.C. § 1332(b). Should events that take place after the filing of the complaint ever be relevant to the jurisdictional inquiry? Might some post-filing events suggest that an allegation about injuries or damages was made in bad faith? See *Hall v. Earthlink Network, Inc.*, 396 F.3d 500 (2d Cir. 2005).

4.The Federal Rules authorize the joinder of multiple parties and multiple claims in a single lawsuit. See Chapter 9, *infra*. Many joinder variations are possible. For example, a single plaintiff may wish to file multiple claims against a single defendant, or multiple plaintiffs may wish to file

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multiple claims against a single defendant, and so forth. Courts have developed a number of rules, referred to as rules of aggregation, for determining when the amount-in-controversy requirement is met in the complex situations that typically arise. See Gensler, *Diversity Class Actions, Common Relief, and the Rule of Individual Valuation*, 82 Or.L.Rev. 295 (2003).

Generally, when a single plaintiff sues a single defendant, plaintiff can aggregate the value of all of its claims against defendant to meet the amount-in-controversy requirement. The claims need not share common questions of law or fact; aggregation is permitted “even when those claims share nothing in common besides the identity of the parties.” *Everett v. Verizon Wireless, Inc.*, 460 F.3d 818, 822 (6th Cir. 2006). By contrast, when multiple plaintiffs sue a single defendant, they can aggregate their claims for purposes of meeting the amount-in-controversy requirement only if their claims are common and indivisible. Whether claims are common and indivisible turns on whether the parties seek “to enforce a single title or right.” *Troy Bank v. G.A. Whitehead & Co.*, 222 U.S. 39, 40, 32 S.Ct. 9, 9, 56 L.Ed. 81, 82 (1911). As the Fifth Circuit explained in an influential decision:

To aggregate claims of several plaintiffs the plaintiffs must have a “common and undivided interest,” though it may be separable as between themselves. But where their interests are distinct, and their only relationship is that “they form a class of parties whose rights or liabilities arose out of the same transaction, or have a relation to a common fund or mass or property sought to be administered, such distinct demands or liabilities cannot be aggregated * * *.” *Clay v. Field*, 138 U.S. 464, 11 S.Ct. 419, 34 L.Ed. 1044 (1891).

Eagle Star Ins. Co. v. Maltes, 313 F.2d 778, 780 (5th Cir. 1963); see also *Durant v. Servicemaster Co. Trugreen, Inc.*, 147 F.Supp.2d 744, 749 (E.D.Mich. 2001) (“An identifying trait of a common and undivided interest is that if one plaintiff were to fail to collect his share, the remaining plaintiffs would collect a larger share.”).

On the other hand, if the claims of multiple plaintiffs are joint and severable, plaintiffs may not aggregate them to meet the jurisdictional amount. Typically, then, tort claims by multiple plaintiffs may not be aggregated to meet the amount-in-controversy requirement—even if they arise from the same transaction. See, e.g., *Travelers Property Casualty v. Good*, 689 F.3d 714, 720 (7th Cir. 2012) (“[W]here the plaintiffs’ claims are cognizable, calculable, and correctable individually—say, personal injuries arising from mass torts—they are clearly separate and distinct and may not be aggregated to meet the amount in controversy.” (citations and internal quotation marks omitted)).

5. Consider whether the amount-in-controversy requirement for diversity jurisdiction is met in the following cases and whether you need additional information to answer the question:

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- (a)One plaintiff sues one defendant, claiming \$40,000 in property damage and \$45,000 for personal injury resulting from the same accident.
- (b)One plaintiff sues one defendant on two unrelated claims, one for \$40,000 and the other for \$45,000.
- (c)Two plaintiffs sue one defendant, each seeking \$40,000 in damages.
- (d)Two plaintiffs sue one defendant, jointly seeking \$80,000 in damages.
- (e)One plaintiff sues two defendants, seeking \$40,000 from each defendant.
- (f)Two plaintiffs sue one defendant on the same issue. One plaintiff seeks \$45,000 in damages; the other seeks \$35,000.

6.The question of how to value non-damages relief such as a declaratory judgment or injunction has divided the courts of appeals. The majority rule is that the jurisdictional amount is tested by the value to plaintiff of the relief sought, but some courts have held that the larger of either the worth of the relief to plaintiff or its cost to defendant should control. See Pinahs , *Diversity Jurisdiction and Injunctive Relief: Using a “Moving-Party Approach” to Value the Amount in Controversy*, 95 Minn.L.Rev. 1930 (2011).

NOTE ON JUDICIALLY CREATED EXCEPTIONS TO DIVERSITY JURISDICTION

Even if the requirements of diversity jurisdiction are met, a federal court generally will decline to hear cases involving domestic relations and probate. These judicially created exceptions to diversity jurisdiction developed at a time when the diversity statute granted jurisdiction for “suits of a civil nature in law or in equity,” and it was thought that cases involving domestic relations and probate, being matters that would have been heard in the ecclesiastical courts, did not fit this description. The 1948 Judicial Code substituted the term “civil action” for the phrase used in the older statutes, but the exceptions have persisted. The conventional account of the exclusion has been subject to question from a variety of perspectives. Compare Resnik, “*Naturally*” *Without Gender: Women, Jurisdiction, and the Federal Courts*, 66 N.Y.U.L.Rev. 1682 (1991), with Pfander & Damrau, *A Non-Contentious Account of Article III’s Domestic Relations Exception*, 92 Notre Dame L.Rev. 117 (2016).

The Supreme Court addressed the source and scope of the domestic relations exception in ANKENBRANDT v. RICHARDS, 504 U.S. 689, 112 S.Ct. 2206, 119 L.Ed.2d 468 (1992), in which a mother alleged that her daughters had been physically and sexually abused by their father and his female companion. The Court found that the Constitution “does not mandate the exclusion of domestic relations cases from federal-court jurisdiction,” but that federal courts nevertheless should decline to hear divorce, alimony, and child

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custody cases under 28 U.S.C. § 1332 as a matter of policy and longstanding judicial practice. In so holding, the Court underscored the fact that state judicial systems “are more eminently suited to work of this type than are federal courts.” Id. at 697, 704, 112 S.Ct. at 2212, 2215, 119 L.Ed.2d at 478, 482. Nevertheless, the Court held that the exception did not warrant abstention in a suit involving an intra-familial tort. See Hasday, *Federalism and the Family Reconstructed*, 45 UCLA L.Rev. 1297 (1998).

The Supreme Court addressed and clarified the limited nature of the probate exception in MARSHALL v. MARSHALL, 547 U.S. 293, 126 S.Ct. 1735, 164 L.Ed.2d 480 (2006), a bankruptcy proceeding concerning the estate of J. Howard Marshall II. Marshall died in 1994, leaving his entire estate to a son and nothing to his widow, who was not the son’s mother and was significantly younger than decedent. Two years later, while the estate was subject to proceedings in a Texas probate court, the widow filed for bankruptcy in the U.S. Bankruptcy Court for the Central District of California. In that latter case, the son filed a claim, asserting that the widow had defamed him. The widow counterclaimed, alleging that the son had tortiously interfered with a substantial gift of money she expected from her husband. The bankruptcy court, finding it had authority to enter a final judgment on these claims, dismissed the son’s claim and found for the widow, awarding her nearly \$500 million. The son filed a post-trial motion, alleging that the widow’s claim could be heard only in the Texas probate court. After review in the district court, the Ninth Circuit held that under the “probate exception” to federal court jurisdiction, federal courts cannot take subject-matter jurisdiction over claims that involve the validity of a decedent’s estate planning instrument, and that this exception also includes tort claims that do not directly involve any probate issues.

The Supreme Court granted certiorari and reversed. Justice Ginsburg, writing for a unanimous Court, held that the widow’s claim, seeking damages for a “widely recognized tort,” id. at 312, 126 S.Ct. at 1748, 164 L.Ed.2d at 498, did not interfere with the state probate proceeding and was within the subject-matter jurisdiction of the federal bankruptcy court. She explained: “[N]o ‘sound policy considerations’ militate in favor of extending the probate exception to cover the case at hand. Trial courts, both federal and state, often address conduct of the kind * * * [the widow] alleges. State probate courts possess no ‘special proficiency . . . in handling [such] issues.’ ” Id. at 312, 126 S.Ct. at 1748–49, 164 L.Ed.2d at 498 (citations omitted). Justice Stevens separately concurred, urging the elimination of the probate exception as historically unjustified. See Graves, Marshall v. Marshall: *The Past, Present, and Future of the Probate Exception to Federal Jurisdiction*, 59 Ala.L.Rev. 1643 (2008).

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C. THE SUBJECT-MATTER JURISDICTION OF THE FEDERAL COURTS—FEDERAL QUESTIONS

Read Article III, § 2 of the United States Constitution and 28 U.S.C. §§ 1331, 1334, 1337, 1338, 1343, 1345, and 1346 in the Supplement.

Article III, § 2 extends the judicial power of the United States “to all Cases, in Law and Equity, arising under this Constitution, the Laws of the United States, and Treaties made, or which shall be made under their Authority.” This kind of jurisdiction is referred to as “federal question” or “arising under” jurisdiction, and the general statutory authority for such jurisdiction in federal district courts is currently set out in 28 U.S.C. § 1331. Congress did not enact federal question jurisdiction until the Midnight Judges Act of 1801, which Congress repealed the next year when the Federalists lost power. See LaCroix, *Federalists, Federalism, and Federal Jurisdiction*, 30 L. & Hist.Rev. 205 (2012). The current statute traces to the jurisdictional grant enacted in 1875, which was conditioned on an amount-in-controversy requirement. See Act of Mar. 3, 1875, § 1, 18 Stat. 470. Other than Congress’s elimination of this amount-in-controversy condition in 1980, the statute has remained essentially unchanged.

The grant of jurisdiction in 28 U.S.C. § 1331 often is justified on three grounds: to promote the uniformity of federal law; to encourage judicial expertise in interpreting federal law; and to protect against possible state-court hostility to claims arising under federal law. See Preis, *Reassessing the Purposes of Federal Question Jurisdiction*, 42 Wake Forest L.Rev. 247, 248–60 (2007). A revisionist view casts the federal courts as a “franchising arrangement” characterized by “procedural homogeneity, cultural conformity, and technical competence.” Seinfeld, *The Federal Courts as a Franchise: Rethinking the Justifications for Federal Question Jurisdiction*, 97 Calif.L.Rev. 95, 100 (2009). Why do you suppose Congress waited until the late nineteenth century to confer jurisdiction on the federal courts to hear cases arising under federal law?

MISHKIN, THE FEDERAL “QUESTION” IN THE DISTRICT COURTS, 53 Colum.L.Rev. 157, 157–59 (1953):

* * * With the exception of an extremely shortlived statute enacted just after the end of the eighteenth century, it was not until 1875 that the federal courts were given initial cognizance of all types of federal question cases. * * *

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Whatever may have been the circumstances and needs during the first century of our country’s history, there seems to be little doubt that today, with the expanding scope of federal legislation, the exercise of power over cases of this sort constitutes one of the major purposes of a full independent system of national trial courts. The alternative would be to rely entirely upon United States Supreme Court review of state court decisions. But, at least in our present judicial system, Supreme Court pronouncements as to any particular segment of national law are comparatively few. Consequently, sympathetic handling of the available Supreme Court rulings assumes a role of substantial importance in achieving widespread, uniform effectuation of federal law. Presumably judges selected and paid by the central government, with tenure during good behavior—and that determined by the Congress—and probably even somewhat insulated by a separate building, are more likely to give full scope to any given Supreme Court decision, and particularly ones unpopular locally, than are their state counterparts. By the same token, should a district judge fail, or err, a more sympathetic treatment of Supreme Court precedents can be expected from federal circuit judges than from state appellate courts.

Thus, the exercise of federal question jurisdiction by lower federal tribunals presumably permits the Supreme Court to confine itself (insofar as any such distinction can be drawn) to the solving of new problems rather than the policing of old solutions, without the loss that might otherwise be entailed in the effectuation of national rights. Further, the fact that the lower federal bench is chosen by officials of the national government under the same procedure as the members of the high Court suggests a greater similarity in the interpretation of national law, even on first impression, among the several parts of the national system than between the Supreme Court and any state system, or among the various state tribunals themselves. Insofar as this is true, it also promotes a more uniform, correct application of federal law in that significant group of cases where, either because of the novelty of the question, disproportionate expense or for other reasons, recourse to the Supreme Court has previously either not been attempted or been precluded. Finally, it might even be argued that the very existence of an alternative forum stimulates state courts to give a more attentive treatment to claims of federal right.

These factors suggest that it is desirable that Congress be competent to bring to an initial national forum all cases in which the vindication of federal policy may be at stake. However, it does not follow from this that at any given time all such cases should in fact be brought before the federal courts. There are other considerations which must enter into any decision as to the actual use of the national judiciary. For example, there are limits on the volume of litigation which they can handle without an expansion which might not be warranted by the advantages to be gained; the hardships which the geographic location of these courts may impose on the

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litigants and a willingness to trust that a party’s self-interest will lead him to bring or remove an appropriate case to the federal courts might well justify the current rule that federal question jurisdiction is, for the most part, shared by the local courts; in some circumstances, such as where the validity of state action may be at issue, it may avoid friction and wasted effort, without sacrificing national authority, to allow the initial adjudication to be made by the state’s tribunals subject to ultimate review by the United States Supreme Court. Other factors could easily be added. * * *

In *OSBORN v. BANK OF THE UNITED STATES*, 22 U.S. (9 Wheat.) 738, 6 L.Ed. 204 (1824), the Bank of the United States sued in federal court to enjoin the state auditor of Ohio from collecting a tax from it. The court granted a temporary injunction restraining the state auditor from collecting the tax. Nevertheless, the state auditor arranged to have the moneys forcibly removed from the Bank, and the court then ordered the state officials to return the money. The officials appealed on the ground that the federal court lacked subject-matter jurisdiction over the case.

The congressional act chartering the Bank authorized it “to sue and be sued * * * in any Circuit Court of the United States.” Chief Justice Marshall held that this authorization was a grant by Congress to the federal courts of jurisdiction in all cases to which the Bank was a party. He then considered whether Congress had the constitutional power to confer jurisdiction over these cases pursuant to the “arising under” language of Article III, § 2. That power clearly existed in the actual case, since the constitutionality of Ohio’s tax on the Bank was at issue. The Chief Justice, however, defended the constitutionality of the jurisdictional grant in broader terms, on the ground that every case and issue involving the Bank “grows out of, and is tested by” federal law:

When [the] Bank sues, the first question which presents itself, and which lies at the foundation of the cause, is, has this legal entity a right to sue? Has it a right to come, not into this Court particularly, but into any Court? This depends on a law of the United States. The next question is, has this being a right to make this particular contract? If this question be decided in the negative, the cause is determined against the plaintiff; and this question, too, depends entirely on a law of the United States. These are important questions, and they exist in every possible case. The right to sue, if decided once, is decided for ever; but the power of Congress was exercised antecedently to the first decision on that right, and if it was constitutional then, it cannot cease to be so, because the particular question is decided. It may be revived at the will of the party, and most probably would be renewed, were

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the tribunal to be changed. But the question respecting the right to make a particular contract, or to acquire a particular property, or to sue on account of a particular injury, belongs to every particular case, and may be renewed in every case. The question forms an original ingredient in every cause. Whether it be in fact relied on or not, in the defence, it is still a part of the cause, and may be relied on. The right of the plaintiff to sue, cannot depend on the defence which the defendant may choose to set up. His right to sue is anterior to that defence, and must depend on the state of things when the action is brought. The questions which the case involves, then, must determine its character, whether those questions be made in the cause or not.

The appellants say, that the case arises on the contract; but the validity of the contract depends on a law of the United States, and the plaintiff is compelled, in every case, to show its validity. The case arises emphatically under the law. The act of Congress is its foundation. The contract could never have been made, but under the authority of that act. The act itself is the first ingredient in the case, is its origin, is that from which every other part arises. That other questions may also arise, as the execution of the contract, or its performance, cannot change the case, or give it any other origin than the charter of incorporation. The action still originates in, and is sustained by, that charter.

Id. at 823–25, 6 L.Ed. at 224–25.

NOTES AND QUESTIONS

1. In *LIGHTFOOT v. CEDANT MORTGAGE CORP.*, 580 U.S. ___, 137 S.Ct. 553, 196 L.Ed.2d 493 (2017), the Supreme Court clarified when a “sue-and-be-sued” clause of the sort at issue in *Osborn* vests jurisdiction or when it simply confers capacity to sue. *Lightfoot* involved the Federal National Mortgage Association (known as “Fannie Mae”), which, by statute, is authorized “to sue and to be sued, and to complain and to defend, in any court of competent jurisdiction, State or Federal.” 12 U.S.C. § 1723a(a). The Court interpreted the clause as permitting Fannie Mae to sue in any state or federal court, but only if the court is “already endowed with subject-matter jurisdiction over the suit”:

A court of competent jurisdiction is a court with the power to adjudicate the case before it. * * * It follows that a court of competent jurisdiction is a court with a grant of subject-matter jurisdiction covering the case before it. * * * As a result, this Court has understood the phrase “court of competent jurisdiction” as a reference to a court with an existing source of subject-matter jurisdiction. * * *

Id. at ___, 137 S.Ct. at 560–61, 196 L.Ed.2d at 502.

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2. Petitioner argued in *Osborn* that even if the Bank’s charter did vest federal jurisdiction, Congress lacked constitutional authority to make this grant of judicial power. On what basis did Chief Justice Marshall reject that view? Under his “ingredient” test, can Congress confer jurisdiction over disputes involving the Bank if claims arise under state law and no federal issue is involved? That question was raised in *BANK OF THE UNITED STATES v. PLANTERS’ BANK OF GEORGIA*, 22 U.S. (9 Wheat.) 904, 6 L.Ed. 244 (1824). The Bank of the United States had purchased notes issued by a state bank, which refused to honor them. The Bank sued for payment, and the state bank contested the federal court’s jurisdiction. The Supreme Court held that the question had been “fully considered” in *Osborn*, and that it was “unnecessary to repeat the reasoning used in that case.” Id. at 905, 6 L.Ed. at 244. What was the federal “ingredient” that provided the constitutional basis for jurisdiction in both cases?

3. In *VERLINDEN B.V. v. CENTRAL BANK OF NIGERIA*, 461 U.S. 480, 103 S.Ct. 1962, 76 L.Ed.2d 81 (1983), the Supreme Court, in a unanimous opinion written by Chief Justice Burger, observed that *Osborn* “reflects a broad conception of ‘arising under’ jurisdiction, according to which Congress may confer on the federal courts jurisdiction over any case or controversy that might call for the application of federal law,” but it declined to identify “the precise boundaries” of Article III jurisdiction. Id. at 492–93, 103 S.Ct. at 1971, 76 L.Ed.2d at 91–92. What is the benefit of according such a broad reading to the constitutional grant? Is it significant that the same constitutional language that authorizes Congress to confer jurisdiction on the lower federal courts likewise applies to the jurisdiction of the Supreme Court?

4. The concept of “protective jurisdiction” draws from *Osborn*’s broad interpretation of Article III and allows a federal court, in the absence of diversity of citizenship, “to hear state law claims, even though the claims themselves neither incorporate an original federal ingredient nor seek to enforce rights conferred by federal law.” Pfander, *Protective Jurisdiction, Aggregate Litigation, and the Limits of Article III*, 95 Calif.L.Rev. 1423 (2007). The Supreme Court has never embraced this species of jurisdiction, finding ways to sidestep the issue when it has been argued. See, e.g., *Mesa v. California*, 489 U.S. 121, 137, 109 S.Ct. 959, 969, 103 L.Ed.2d 99, 115 (1989) (“We have, in the past, not found the need to adopt a theory of ‘protective jurisdiction’ to support Art. III ‘arising under’ jurisdiction, * * * and we do not see any need for doing so here * * *.” (citing *Verlinden* [Note 3, supra])). In *TEXTILE WORKERS UNION v. LINCOLN MILLS*, 353 U.S. 448, 474, 77 S.Ct. 912, 920, 1 L.Ed.2d 972, 990–91 (1957), Justice Frankfurter, dissenting, argued that the federal Constitution provides no basis for protective jurisdiction when the suit involves only state law

claims, federal common law does not provide the rule of decision, and the requirements of diversity jurisdiction are not met.

The language of 28 U.S.C. § 1331, like its predecessor statute, tracks that of Article III, § 2 with the exception of referring to “civil actions” rather than to “cases.” See Chadbourn & Levin, *Original Jurisdiction of Federal Questions*, 90 U.Pa.L.Rev. 639, 645 (1942) (the 1875 statute referred to “suits”). The statute’s drafting history, although spare, shows Congress’s intent to confer jurisdiction that runs the full scope of Article III. See Collins, *The Unhappy History of Federal Question Removal*, 71 Iowa L.Rev. 717, 723 & nn.32–35 (1986). Nevertheless, the test for when Congress constitutionally may confer jurisdiction on the federal courts differs from whether it has conferred jurisdiction in a particular case; as is frequently stated, the Supreme Court has “more narrowly construed” the legislative grant than “its constitutional counterpart.” Currie, *The Federal Courts and the American Law Institute, Part II*, 36 U.Chi.L.Rev. 268, 268–69 (1969). Why might the Court feel constrained to limit the flow of cases to the district courts?

LOUISVILLE & NASHVILLE R. Co. v. MOTTLEY

Supreme Court of the United States, 1908.

[211 U.S. 149, 29 S.Ct. 42, 53 L.Ed. 126.](#)

Appeal from the Circuit Court of the United States for the Western District of Kentucky * * *.

* * * The appellees (husband and wife), being residents and citizens of Kentucky, brought this suit in equity in the circuit court of the United States for the western district of Kentucky against the appellant, a railroad company and a citizen of the same state. * * *

The bill alleged that in September, 1871, plaintiffs, while passengers upon the defendant railroad, were injured by the defendant’s negligence, and released their respective claims for damages in consideration of the agreement for transportation during their lives, expressed in the contract. It is alleged that the contract was performed by the defendant up to January 1, 1907, when the defendant declined to renew the passes. The bill then alleges that the refusal to comply with the contract was based solely upon that part of the act of Congress of June 29, 1906 (34 Stat. at L. 584, chap. 3591, U. S. Comp. Stat. Supp. 1907, p. 892), which forbids the giving of free passes or free transportation. The bill further alleges: First, that the act of Congress referred to does not prohibit the giving of passes under the circumstances of this case; and, second, that, if the law is to be construed as prohibiting such passes, it is in conflict with the 5th Amendment of the Constitution, because it deprives the plaintiffs of their property without due process of law. The defendant demurred to the bill. The judge of the circuit court overruled the demurrer, entered a decree for the relief prayed for, and the defendant appealed directly to this court.

MR. JUSTICE MOODY, after making the foregoing statement, delivered the opinion of the court:

Two questions of law were raised by the demurrer to the bill, were brought here by appeal, and have been argued before us. They are, first, whether * * * the act of Congress of June 29, 1906 * * * makes it unlawful to perform a contract for transportation of persons who, in good faith, before the passage of the act, had accepted such contract in satisfaction of a valid cause of action against the railroad; and, second, whether the statute, if it should be construed to render such a contract unlawful, is in violation of the 5th Amendment of the Constitution * * *. We do not deem it necessary, however, to consider either of these questions, because, in our opinion, the court below was without jurisdiction of the cause. Neither party has questioned that jurisdiction, but it is the duty of this court to see to it that the jurisdiction of the circuit court, which is defined and limited by statute, is not exceeded. * * *

There was no diversity of citizenship, and it is not and cannot be suggested that there was any ground of jurisdiction, except that the case was a “suit . . . arising under the Constitution or laws of the United States.” 25 Stat. at L. 434, chap. 866, U. S. Comp. Stat. 1901, p. 509. It is the settled interpretation of these words, as used in this statute, conferring jurisdiction, that a suit arises under the Constitution and laws of the United States only when the plaintiff’s statement of his own cause of action shows that it is based upon those laws or that Constitution. It is not enough that the plaintiff alleges some anticipated defense to his cause of action, and asserts that the defense is invalidated by some provision of the Constitution of the United States. Although such allegations show that very likely, in the course of the litigation, a question under the Constitution would arise, they do not show that the suit, that is, the plaintiff’s original cause of action, arises under the Constitution. In *Tennessee v. Union & Planters’ Bank*, 152 U. S. 454, 38 L.Ed. 511, 14 Sup. Ct. Rep. 654, the plaintiff, the state of Tennessee, brought suit in the circuit court of the United States to recover from the defendant certain taxes alleged to be due under the laws of the state. The plaintiff alleged that the defendant claimed an immunity from the taxation by virtue of its charter, and that therefore the tax was void, because in violation of the provision of the Constitution of the United States, which forbids any state from passing a law impairing the obligation of contracts. The cause was held to be beyond the jurisdiction of the circuit court, the court saying, by Mr. Justice Gray (p. 464): “A suggestion of one party, that the other will or may set up a claim under the Constitution or laws of the United States, does not make the suit one arising under that Constitution or those laws.” Again, in *Boston & M. Consol. Copper & S. Min. Co. v. Montana Ore Purchasing Co.*, 188 U. S. 632, 47 L.Ed. 626, 23 Sup. Ct. Rep. 434, the plaintiff brought suit in the circuit court of the United States for the conversion of copper ore and for

an injunction against its continuance. The plaintiff then alleged, for the purpose of showing jurisdiction, in substance, that the defendant would set up in defense certain laws of the United States. The cause was held to be beyond the jurisdiction of the circuit court, the court saying, by Mr. Justice Peckham (pp. 638, 639):

It would be wholly unnecessary and improper, in order to prove complainant’s cause of action, to go into any matters of defense which the defendants might possibly set up, and then attempt to reply to such defense, and thus, if possible, to show that a Federal question might or probably would arise in the course of the trial of the case. To allege such defense and then make an answer to it before the defendant has the opportunity to itself plead or prove its own defense is inconsistent with any known rule of pleading, so far as we are aware, and is improper.

The rule is a reasonable and just one that the complainant in the first instance shall be confined to a statement of its cause of action, leaving to the defendant to set up in his answer what his defense is, and, if anything more than a denial of complainant’s cause of action, imposing upon the defendant the burden of proving such defense.

Conforming itself to that rule, the complainant would not, in the assertion or proof of its cause of action, bring up a single Federal question. The presentation of its cause of action would not show that it was one arising under the Constitution or laws of the United States.

* * *

* * * The application of this rule to the case at bar is decisive against the jurisdiction of the circuit court.

It is ordered that the judgment be reversed and the case remitted to the circuit court with instructions to dismiss the suit for want of jurisdiction.

NOTES AND QUESTIONS

1. Some commentators question whether the Court in *Mottley* properly interpreted 28 U.S.C. § 1331, pointing to the statute’s legislative history. See Chemerinsky, *Federal Jurisdiction* § 5.2 (8th ed.) (quoting the floor manager of the statute as saying the bill “gives precisely the power which the Constitution confers—nothing more, nothing less”). To what extent is statutory jurisdiction under *Mottley* narrower than the *Osborn* “ingredient” test for jurisdiction under Article III? If the *Mottley* test is not constitutionally required, does this mean the Supreme Court has discretion to give the statutory grant a more generous reading?

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2. Following the Court’s decision, the Mottleys commenced an action in a Kentucky state court. The case ultimately was brought to the Supreme Court by appeal from the highest court in Kentucky on the question of the validity and construction of the 1906 Act; three years after the Supreme Court dismissed the federal action, it examined the merits of the Mottleys’ contentions and decided in favor of the railroad. See 219 U.S. 467, 31 S.Ct. 265, 55 L.Ed. 297 (1911). What was gained by the original dismissal?

3. After the Civil War, the number of lawsuits filed in the federal courts dramatically increased, but Congress was slow to increase judicial capacity or to meet the problems of court congestion. See Purcell, Jr., *Reconsidering the Frankfurterian Paradigm: Reflections on Histories of Lower Federal Courts*, 24 Law & Soc. Inquiry 679 (1999). In what way did *Mottley* help to resolve problems of federal docket overload?

4. *Mottley* is said to stand for the “well-pleaded complaint” rule. *Vaden v. Discover Bank*, 556 U.S. 49, 60, 129 S.Ct. 1262, 1272, 173 L.Ed.2d 206, 218 (2009) (citing *Mottley* as establishing “the longstanding well-pleaded complaint rule”). That is, plaintiff must allege the federal issue as an element of the claim; if the federal issue is assigned to defendant as an affirmative defense, federal question jurisdiction cannot be asserted under Section 1331. Why was federal jurisdiction not present on the face of the Mottleys’ complaint? Is it that the complaint anticipated a federal defense? What was that defense? The American Law Institute’s Study of the Division of Jurisdiction Between State and Federal Courts, published in 1969, proposed a reform—never adopted—that would permit retention of jurisdiction whenever defendant has introduced a federal defense or a federal counterclaim. See Doernberg, *There’s No Reason for It; It’s Just Our Policy: Why the Well-Pleaded Complaint Rule Sabotages the Purposes of Federal Question Jurisdiction*, 38 Hastings L.J. 597 (1987). What problems might arise from adoption of the ALI proposal?

NOTE ON THE DECLARATORY JUDGMENT ACT AND ARTFUL PLEADING

The Declaratory Judgment Act, 28 U.S.C. §§ 2201–02, allows the federal court to issue a declaration of “rights and other legal relations” to an “interested party” in “a case of actual controversy within its jurisdiction.” The statute creates a remedy but does not confer jurisdiction; a federal court can hear a declaratory judgment action only if the corresponding coercive action—meaning, an action seeking money damages or an injunction—could invoke jurisdiction under 28 U.S.C. § 1331 (or some other jurisdictional source).

In *SKELLY OIL CO. v. PHILLIPS PETROLEUM CO.*, 339 U.S. 667, 673–74, 70 S.Ct. 876, 880, 94 L.Ed. 1194, 1201 (1950), suit was brought for a declaration that certain contracts were still in effect because a necessary federal certificate had been timely issued. Had the declaratory-plaintiff sued to enforce the contract following a breach, the complaint would not have raised a federal question, for the claim would have sounded in state contract law. However, defendant would have included in its answer to a post-breach

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complaint an affirmative defense derived from federal law. *Skelly Oil* asked whether the declaratory complaint, by anticipating the federal

defense, satisfied the statutory test for federal jurisdiction. The Court held it did not: “[t]o sanction suits for declaratory relief as within the jurisdiction of the District Courts merely because, as in this case, artful pleading anticipates a defense based on federal law would contravene the whole trend of jurisdictional legislation by Congress, disregard the effective functioning of the federal judicial system and distort the limited procedural purposes of the Declaratory Judgment Act.” For a criticism of *Skelly Oil*, see Doernberg, *The Trojan Horse: How the Declaratory Judgment Act Created a Cause of Action and Expanded Federal Jurisdiction While the Supreme Court Wasn’t Looking*, 36 UCLA L.Rev. 529 (1989).

Skelly Oil coined the phrase “artful pleading” to refer, as Professor Miller has put it, to “an attempt by the plaintiff to create federal question jurisdiction through the anticipation and inclusion of a federal defense on the face of its complaint in an action brought under the Declaratory Judgment Act.” Miller, *Artful Pleading: A Doctrine in Search of Definition*, 76 Tex.L.Rev. 1781, 1783 (1998).

T. B. HARMS CO. v. ELISCU

United States Court of Appeals, Second Circuit, 1964.

[339 F.2d 823](#), cert. denied, [381 U.S. 915](#), [85 S.Ct. 1534](#), [14 L.Ed.2d 435](#) (1965).

FRIENDLY, CIRCUIT JUDGE:

A layman would doubtless be surprised to learn that an action wherein the purported sole owner of a copyright alleged that persons claiming partial ownership had recorded their claim in the Copyright Office and had warned his licensees against disregarding their interests was not one “arising under any Act of Congress relating to * * * copyrights” over which 28 U.S.C. § 1338 gives the federal courts exclusive jurisdiction. Yet precedents going back for more than a century teach that lesson and lead us to affirm Judge Weinfeld’s dismissal of the complaint.

The litigation concerns four copyrighted songs. * * * The music for the songs was composed by Vincent Youmans for use in a motion picture, “Flying Down to Rio,” pursuant to a contract made in 1933 with RKO Studios, Inc. He agreed to assign to RKO the recordation and certain other rights relating to the picture during the existence of the copyrights and any renewals. RKO was to employ a writer of the lyrics and to procure the publishing rights in these for Youmans, who was “to pay said lyric writer the usual and customary royalties on sheet music and mechanical records.” Subject to this, Youmans could assign the publication and small performing rights to the music and lyrics as he saw fit. In fact RKO employed two lyric writers, Gus Kahn and the defendant Edward Eliscu, who agreed to assign to RKO certain rights described in a contract dated as of May 25, 1933. Max Dreyfus, principal stockholder of the plaintiff

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Harms, which has succeeded to his rights, acquired Youmans’ reserved rights to the music and was his designee for the assignment with respect to the lyrics. Allegedly—and his denial of this is a prime subject of dispute—Eliscu then entered into an agreement dated June 30, 1933, assigning his rights to the existing and renewal copyrights to Dreyfus in return for certain royalties.

When the copyrights were about to expire, proper renewal applications were made by the children of Youmans, by the widow and children of Kahn, and by Eliscu. The two former groups executed assignments of their rights in the renewal copyrights to Harms. But Eliscu, by an instrument dated February 19, 1962, recorded in the Copyright Office, assigned his rights in the renewal copyrights to defendant Ross Jungnickel, Inc., subject to a judicial determination of his ownership. Thereafter Eliscu’s lawyer advised ASCAP and one Harry Fox—respectively the agents for the small performing rights and the mechanical recording license fees—that Eliscu had become vested with a half interest in the renewal copyrights and that any future payments which failed to reflect his interest would be made at their own risk; at the same time he demanded an accounting from Harms. Finally, Eliscu brought an action in the New York Supreme Court for a declaration that he owned a one-third interest in the renewal copyrights and for an accounting.

Harms then began the instant action in the District Court for the Southern District of New York for equitable and declaratory relief against Eliscu and Jungnickel. Jurisdiction was predicated on 28 U.S.C. § 1338; plaintiff alleged its own New York incorporation and did not allege the citizenship of the defendants, which concededly is in New York. Defendants moved to dismiss the complaint for failure to state a claim on which relief can be granted and for lack of federal jurisdiction; voluminous affidavits were submitted. The district court dismissed the complaint for want of federal jurisdiction * * *.

In line with what apparently were the arguments of the parties, Judge Weinfeld treated the jurisdictional issue as turning solely on whether the complaint alleged any act or threat of copyright infringement. He was right in concluding it did not. Infringement, as used in copyright law, does not include everything that may impair the value of the copyright; it is doing one or more of those things which * * * the Act * * * reserves exclusively to the copyright owner. * * *

Although Chief Justice Marshall, construing the “arising under” language in the context of Article III of the Constitution, indicated in *Osborn v. Bank of the United States* * * * that the grant extended to every case in which federal law furnished a necessary ingredient of the claim even though this was antecedent and uncontested, the Supreme Court has long given a narrower meaning to the “arising under” language in statutes

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defining the jurisdiction of the lower federal courts. * * * If the ingredient theory of Article III had been carried over to the general grant of federal question jurisdiction now contained in 28 U.S.C. § 1331, there would have been no basis—to take a well-known example—why federal courts should not have jurisdiction as to all disputes over the many western land titles originating in a federal patent, even though the controverted questions normally are of fact or of local land law. Quite sensibly, such extensive jurisdiction has been denied.

* * *

The cases dealing with statutory jurisdiction over patents and copyrights have taken the same conservative line. * * * Just as with western land titles, the federal grant of a patent or copyright has not been thought to infuse with any national interest a dispute as to ownership or contractual enforcement turning on the facts or on ordinary principles of contract law. Indeed, the case for an unexpansive reading of the provision conferring exclusive jurisdiction with respect to patents and copyrights has been especially strong since expansion would entail depriving the state courts of any jurisdiction over matters having so little federal significance.

In an endeavor to explain precisely what suits arose under the patent and copyright laws, Mr. Justice Holmes stated that “[a] suit arises under the law that creates the cause of action”; in the case *sub judice*, injury to a business involving slander of a patent, he said, “whether it is a wrong or not depends upon the law of the State where the act is done” so that the suit did not arise under the patent laws. *American Well Works Co. v. Layne & Bowler Co.* * * * The Holmes “creation” test explains the taking of federal jurisdiction in a great many cases, notably copyright and patent infringement actions, both clearly authorized by the respective federal acts, * * * and thus unquestionably within the scope of 28 U.S.C. § 1338; indeed, in the many infringement suits that depend only on some point of fact and require no construction of federal law, no other explanation may exist.

Harms’ claim is not within Holmes’ definition. The relevant statutes create no explicit right of action to enforce or rescind assignments of copyrights, nor does any copyright statute specify a cause of action to fix the locus of ownership. To be sure, not every federal cause of action springs from an express mandate of Congress; federal civil claims have been “inferred” from federal statutes making behavior criminal or otherwise regulating it. * * * Such statutes invariably impose a federal duty and usually create some express remedy as well, while the relevant copyright provision merely authorizes an assignment by written instrument, 17 U.S.C. § 28. * * *

It has come to be realized that Mr. Justice Holmes’ formula is more useful for inclusion than for the exclusion for which it was intended. Even though the claim is created by state law, a case may “arise under” a law of the United States if the complaint discloses a need for determining the

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meaning or application of such a law. * * * But Harms likewise does not meet this test. The crucial issue is whether or not Eliscu executed the assignment to Dreyfus; possibly the interpretation of the initial May, 1933, contract is also relevant, but if any aspect of the suit requires an interpretation of the Copyright Act, the complaint does not reveal it.

* * *

Mindful of the hazards of formulation in this treacherous area, we think that an action “arises under” the Copyright Act if and only if the complaint is for a remedy expressly granted by the Act, e.g., a suit for infringement or for the statutory royalties for record reproduction, * * * or asserts a claim requiring construction of the Act, * * * or, at the very least and perhaps more doubtfully, presents a case where a distinctive policy of the Act requires that federal principles control the disposition of the claim. The general interest that copyrights, like all other forms of property, should be enjoyed by their true owner is not enough to meet this last test.

* * *

Affirmed.

NOTE ON PRIVATE RIGHTS OF ACTION

The principal case emphasized that the Copyright Act did not create an “explicit right of action to enforce or rescind assignments of copyrights,” p. 337, *supra*. More generally, the term “private right of action” refers to a suit brought by a private person for violation of a statute or constitutional provision. See Stewart & Sunstein, *Public Programs and Private Rights*, 95 Harv.L.Rev. 1193, 1196 (1982). Legislation creating an enforceable private right of action may do so either expressly or by implication. Traditionally, when a statute did not explicitly create a private right of action, courts could use their common law power to imply such a right, “either by relying upon statutes to give specific content to the open-textured ‘reasonable man’ standard of negligence, or by creating an action in damages for statutory wrongs.” *Id.* at 1206. Even if a federal right of action does not exist, a state tort action may be available to enforce the federal standard. A similar issue arises when a party seeks to enforce rights under the United States Constitution. In *BIVENS v. SIX UNKNOWN NAMED AGENTS OF THE FEDERAL BUREAU OF NARCOTICS*, 403 U.S. 388, 91 S.Ct. 1999, 29 L.Ed.2d 619 (1971), the Court implied a private right of action for damages to redress a violation of the Fourth Amendment.

NOTES AND QUESTIONS

1. Would it be constitutional under the *Osborn* ingredient test for Congress to confer federal jurisdiction over a case in which the owner of a copyright sues a licensee for infringement?
2. Congress has given the federal courts exclusive jurisdiction over

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federal securities-law class actions, 15 U.S.C. § 77p(b) and (c); bankruptcy, 28 U.S.C. § 1334; patents and copyrights, 28 U.S.C. § 1338(a); actions against foreign consuls and vice-consuls, 28 U.S.C. § 1351; actions to recover a fine, penalty, or forfeiture under federal law, 28 U.S.C. § 1355; and actions involving certain seizures, 28 U.S.C. § 1356. In the principal case, why wasn’t plaintiff’s claim within the federal court’s exclusive jurisdiction? See Note, *Exclusive Jurisdiction of the Federal Courts in Private Civil Actions*, 70 Harv.L.Rev. 509 (1957).

3. The Second Circuit in the principal case referred to the “Holmes’ formula” for determining whether there is jurisdiction under 28 U.S.C. § 1331. Justice Holmes articulated the “formula” in *AMERICAN WELL WORKS CO. v. LAYNE & BOWLER CO.*, 241 U.S. 257, 36 S.Ct. 585, 60 L.Ed. 987 (1916). The case involved a claim by a pump manufacturer that a competitor had damaged its reputation by telling customers that plaintiff’s pump infringed defendant’s patent. The Supreme Court held that there was no federal jurisdiction over the suit. Justice Holmes explained:

A suit for damages to business caused by a threat to sue under the patent law is not itself a suit under the patent law. And the same is true when the damage is caused by a statement of fact,—that the defendant has a patent which is infringed. What makes the defendants’ act a wrong is its manifest tendency to injure the plaintiff’s business; and the wrong is the same whatever the means by which it is accomplished. But whether it is a wrong or not depends upon the law of the state where the act is done, not upon the patent law, and therefore the suit arises under the law of the state. A suit arises under the law that creates the cause of action. The fact that the justification may involve the validity and infringement of a patent is no more material to the question under what law the suit is brought than it would be in an action of contract. * * * The state is master of the whole matter, and if it saw fit to do away with actions of this type altogether, no one, we imagine, would suppose that they still could be maintained under the patent laws of the United States.

Id. at 259–60, 36 S.Ct. at 586, 60 L.Ed. at 989. Justice McKenna dissented, on the ground “that the case involves a direct and substantial controversy under the patent laws.” Id. at 260, 36 S.Ct. at 586, 60 L.Ed. at 989. For a criticism of the *Holmes* formula, see Woolhandler & Collins, *Federal Question Jurisdiction and Justice Holmes*, 84 Notre Dame L.Rev. 2151, 2186–87 (2009), arguing that prior to *American Well Works* there was “a long tradition” of exercising federal jurisdiction as a statutory matter over state law claims that included a federal ingredient.

4. Should all causes of action created by federal law confer federal question jurisdiction? *SHOSHONE MINING CO. v. RUTTER*, 177 U.S. 505, 20 S.Ct. 726, 44 L.Ed. 864 (1900), involved a federal statute establishing a system allowing miners to resolve conflicting claims to land patents. The federal statute provided that the right to possession was to be determined by

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the “local customs or rules of miners in the several mining districts, so far as the same are applicable and not inconsistent with the laws of the United States.” Id. at 508, 20 S.Ct. at 727, 44 L.Ed. at 865. The Court determined that the suit did not arise under federal law for purposes of 28 U.S.C. § 1331:

Inasmuch * * * as the “adverse suit” to determine the right of possession may not involve any question as to the construction or effect of the Constitution or laws of the United States, but may present simply a question of fact as to the time of the discovery of mineral, the location of the claim on the ground, or a determination of the meaning and effect of certain local rules and customs prescribed by the miners of the district, or the effect of state statutes, it would seem to follow that it is not one which necessarily arises under the Constitution and laws of the United States.

Id. at 509, 20 S.Ct. at 727, 44 L.Ed. at 866.

5. In *SMITH v. KANSAS CITY TITLE & TRUST CO.*, 255 U.S. 180, 41 S.Ct. 243, 65 L.Ed. 577 (1921), a shareholder sued to enjoin the Trust Company, a Missouri corporation, from investing in certain federal bonds on the ground that the Act of Congress authorizing their issuance was unconstitutional. Plaintiff claimed that under Missouri law an investment in securities, the issuance of which had not been authorized by a valid law, was ultra vires and so enjoinable. Although the cause of action was created by state law, the Supreme Court held that the action arose under federal law for purposes of 28 U.S.C. § 1331:

The general rule is that where it appears from the bill or statement of the plaintiff that the right to relief depends upon the construction or application of the Constitution or laws of the United States, and that such federal claim is not merely colorable, and rests upon a reasonable foundation, the District Court has jurisdiction * * *.

Id. at 199, 41 S.Ct. at 245, 65 L.Ed. at 585. Justice Holmes dissented.

In *MOORE v. CHESAPEAKE & OHIO RAILWAY CO.*, 291 U.S. 205, 54 S.Ct. 402, 78 L.Ed. 755 (1934), plaintiff brought an action under Kentucky’s Employer Liability Act, which barred an affirmative defense for contributory negligence or assumption of risk if defendant failed to meet state or federal safety requirements. Plaintiff alleged defendant’s failure to comply with the Federal Safety Appliance Act. The Supreme Court found that federal question jurisdiction did not exist:

[A] suit brought under the state statute which defines liability to employees who are injured while engaged in intrastate commerce, and brings within the purview of the statute a breach of the duty imposed by the federal statute, should [not] be regarded as a suit arising under the laws of the United States and cognizable in the federal court in the absence of diversity of citizenship.

Id. at 214–15, 54 S.Ct. at 406, 78 L.Ed. at 763. Can *Moore* be reconciled with *Smith*?

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In *MERRELL DOW PHARMACEUTICALS INC. v. THOMPSON*, 478 U.S. 804, 106 S.Ct. 3229, 92 L.Ed.2d 650 (1986), plaintiff sued a drug manufacturer in state court on a number of state law claims including per se negligence, on the theory that defendant had failed to comply with labeling requirements under a federal statute. Defendant removed the action from state court to federal court on the basis of federal question jurisdiction.

The Court of Appeals reversed and remanded, so the action was returned to state court. After granting certiorari, the Supreme Court

affirmed. The Court stated that “determinations about federal jurisdiction require sensitive judgments about congressional intent, judicial power, and the federal system,” and found it significant that Congress had not created a private right of action to enforce the federal labeling requirement. *Id.* at 810, 106 S.Ct. 3233, 92 L.Ed.2d at 659. On that basis, the Court held that the federal interest in the state negligence suit was too insubstantial to support jurisdiction under 28 U.S.C. § 1331:

We * * * conclude that the congressional determination that there should be no federal remedy for the violation of this federal statute is tantamount to a congressional conclusion that the presence of a claimed violation of the statute as an element of a state cause of action is insufficiently “substantial” to confer federal-question jurisdiction. * * *

Id. at 814, 106 S.Ct. at 3235, 92 L.Ed.2d at 662. In a footnote, the Court elaborated on the significance of “the nature of the federal interest at stake” to the jurisdictional inquiry:

Focusing on the nature of the federal interest, moreover, suggests that the widely perceived “irreconcilable” conflict between the finding of federal jurisdiction in *Smith* * * * and the finding of no jurisdiction in *Moore* * * * is far from clear. For the difference in result can be seen as manifestations of the differences in the nature of the federal issues at stake. In *Smith*, as the Court emphasized, the issue was the constitutionality of an important federal statute. * * * In *Moore*, in contrast, the Court emphasized that the violation of the federal standard as an element of state tort recovery did not fundamentally change the state tort nature of the action. * * *

The importance of the nature of the federal issue in federal-question jurisdiction is highlighted by the fact that, despite the usual reliability of the Holmes test as an inclusionary principle, this Court has sometimes found that formally federal causes of action were not properly brought under federal-question

jurisdiction because of the overwhelming predominance of state-law issues. See * * * *Shoshone Mining* * * *.

Id. at 814 n.12, 106 S.Ct. at 3235 n.12, 92 L.Ed.2d at 662 n.12.

Justice Brennan dissented. In particular, the dissent questioned whether it was appropriate to equate Congress’s decision not to create a private right of action to enforce a federal statute with a decision to withhold federal jurisdiction from an action to enforce the statute using state tort law. Justice Brennan also criticized the majority’s focus on “the importance of the federal issue,” characterizing this factor as “infinitely malleable” and based upon an “ad hoc evaluation” that was inevitably “vague and general.” *Id.* at 821 n.1, 106 S.Ct. at 3239 n.1, 92 L.Ed.2d at 667 n.1 (Brennan, J., dissenting).

Merrell Dow generated serious division among the circuits on a number of issues, including whether *Smith* continued to support jurisdiction over a state cause of action that turned on a federal issue for its resolution; whether a federal right of action was a bright-line condition for jurisdiction under 28 U.S.C. § 1331; and whether the substantiality of a federal issue could support federal jurisdiction over a state law claim in the absence of a federal private right of action to enforce the federal standard.

GRABLE & SONS METAL PRODUCTS, INC. v. DARUE ENGINEERING & MANUFACTURING

Supreme Court of the United States, 2005.
[545 U.S. 308, 125 S.Ct. 2363, 162 L.Ed.2d 257.](#)

Certiorari to the United States Court of Appeals for the Sixth Circuit.

JUSTICE SOUTER delivered the opinion of the Court.

The question is whether want of a federal cause of action to try claims of title to land obtained at a federal tax sale precludes removal to federal court of a state action with nondiverse parties raising a disputed issue of federal title law. We answer no, and hold that the national interest in providing a federal forum for federal tax litigation is sufficiently substantial to support the exercise of federal-question jurisdiction over the disputed issue on removal, which would not distort any division of labor between the state and federal courts, provided or assumed by Congress.

I

In 1994, the Internal Revenue Service seized Michigan real property belonging to petitioner Grable & Sons Metal Products, Inc., to satisfy Grable’s federal tax delinquency. Title 26 U.S.C. § 6335 required the IRS to give notice of the seizure, and there is no dispute that Grable received actual notice by certified mail before the IRS sold the property to

respondent Darue Engineering & Manufacturing. Although Grable also received notice of the sale itself, it did not exercise its statutory right to redeem the property within 180 days of the sale, § 6337(b)(1), and after that period had passed, the Government gave Darue a quitclaim deed, § 6339.

Five years later, Grable brought a quiet title action in state court, claiming that Darue’s record title was invalid because the IRS had failed to notify Grable of its seizure of the property in the exact manner required by § 6335(a), which provides that written notice must be “given by the Secretary to the owner of the property [or] left at his usual place of abode or business.” Grable said that the statute required

personal service, not service by certified mail.

Darue removed the case to Federal District Court as presenting a federal question, because the claim of title depended on the interpretation of the notice statute in the federal tax law. The District Court declined to remand the case at Grable’s behest after finding that the “claim does pose a ‘significant question of federal law,’ ” * * * and ruling that Grable’s lack of a federal right of action to enforce its claim against Darue did not bar the exercise of federal jurisdiction. On the merits, the court granted summary judgment to Darue, holding that although § 6335 by its terms required personal service, substantial compliance with the statute was enough. * * *

The Court of Appeals for the Sixth Circuit affirmed. * * * We granted certiorari on the jurisdictional question * * * to resolve a split within the Courts of Appeals on whether *Merrell Dow* * * * always requires * * * a federal cause of action as a condition for exercising federal-question jurisdiction. We now affirm.

II

Darue was entitled to remove the quiet title action if Grable could have brought it in federal district court originally, 28 U.S.C. § 1441(a), as a civil action “arising under the Constitution, laws, or treaties of the United States,” § 1331. This provision for federal-question jurisdiction is invoked by and large by plaintiffs pleading a cause of action created by federal law (e.g., claims under 42 U.S.C. § 1983). There is, however, another longstanding, if less frequently encountered, variety of federal “arising under” jurisdiction, this Court having recognized for nearly 100 years that in certain cases federal-question jurisdiction will lie over state-law claims that implicate significant federal issues. * * * The doctrine captures the commonsense notion that a federal court ought to be able to hear claims recognized under state law that nonetheless turn on substantial questions of federal law, and thus justify resort to the experience, solicitude, and hope of uniformity that a federal forum offers on federal issues. * * *

The classic example is *Smith* * * * [p. 340, Note 5, supra]. Although Missouri law provided the cause of action, the Court recognized federal-question jurisdiction because the principal issue in the case was the federal constitutionality of the bond issue. * * *

* * * *Smith* * * * has been subject to some trimming to fit earlier and later cases recognizing the vitality of the basic doctrine, but shying away from the expansive view that mere need to apply federal law in a state-law claim will suffice to open the “arising under” door. * * * [Justice Cardozo later explained] that a request to exercise federal-question jurisdiction over a state action calls for a “common-sense accommodation of judgment to [the] kaleidoscopic situations” that present a federal issue, in “a selective process which picks the substantial causes out of the web and lays the other ones aside.” *Gully v. First Nat. Bank in Meridian*, 299 U.S. 109, 117–118, 57 S.Ct. 96, 81 L.Ed. 70 (1936). It has in fact become a constant refrain in such cases that federal jurisdiction demands not only a contested federal issue, but a substantial one, indicating a serious federal interest in claiming the advantages thought to be inherent in a federal forum. * * *

But even when the state action discloses a contested and substantial federal question, the exercise of federal jurisdiction is subject to a possible veto. For the federal issue will ultimately qualify for a federal forum only if federal jurisdiction is consistent with congressional judgment about the sound division of labor between state and federal courts governing the application of § 1331. * * * Because arising-under jurisdiction to hear a state-law claim always raises the possibility of upsetting the state-federal line drawn (or at least assumed) by Congress, the presence of a disputed federal issue and the ostensible importance of a federal forum are never necessarily dispositive; there must always be an assessment of any disruptive portent in exercising federal jurisdiction. * * *

These considerations have kept us from stating a “single, precise, all-embracing” test for jurisdiction over federal issues embedded in state-law claims between nondiverse parties. * * * We have not kept them out simply because they appeared in state raiment, as Justice Holmes would have done [in *American Well Works*] * * *, but neither have we treated “federal issue” as a password opening federal courts to any state action embracing a point of federal law. Instead, the question is, does a state-law claim necessarily raise a stated federal issue, actually disputed and substantial, which a federal forum may entertain without disturbing any congressionally approved balance of federal and state judicial responsibilities.

III

A

This case warrants federal jurisdiction. Grable’s state complaint must specify “the facts establishing the superiority of [its] claim,” Mich. Ct. Rule

3.411(B)(2)(c) (West 2005), and Grable has premised its superior title claim on a failure by the IRS to give it adequate notice, as defined by federal law. Whether Grable was given notice within the meaning of the federal statute is thus an essential element of its quiet title claim, and the meaning of the federal statute is actually in dispute; it appears to be the only legal or factual issue contested in the case. The meaning of the federal tax provision is an important issue of federal law that sensibly belongs in a federal court. The Government has a strong interest in the “prompt and certain collection of delinquent taxes,” * * * and the ability of the IRS to satisfy its claims from the property of delinquents requires clear terms of notice to allow buyers like Darue to satisfy themselves that the Service has touched the bases necessary for good title. The Government thus has a direct interest in the availability of a federal forum to vindicate its own administrative action, and buyers (as well as tax delinquents) may find it valuable to come before judges used to federal tax

matters. Finally, because it will be the rare state title case that raises a contested matter of federal law, federal jurisdiction to resolve genuine disagreement over federal tax title provisions will portend only a microscopic effect on the federal-state division of labor. * * *

B

Merrell Dow * * * [p. 341, supra], on which Grable rests its position, is not to the contrary. * * *

Because federal law provides for no quiet title action that could be brought against Darue, Grable argues that there can be no federal jurisdiction here, stressing some broad language in *Merrell Dow* * * * that on its face supports Grable’s position * * *. But an opinion is to be read as a whole, and *Merrell Dow* cannot be read whole as overturning decades of precedent, as it would have done by effectively adopting the Holmes dissent in *Smith* * * * and converting a federal cause of action from a sufficient condition for federal-question jurisdiction into a necessary one.

In the first place, *Merrell Dow* disclaimed the adoption of any bright-line rule, as when the Court reiterated that “in exploring the outer reaches of § 1331, determinations about federal jurisdiction require sensitive judgments about congressional intent, judicial power, and the federal system.” * * * The opinion included a lengthy footnote explaining that questions of jurisdiction over state-law claims require “careful judgments,” * * * about the “nature of the federal interest at stake,” * * * (emphasis deleted). And as a final indication that it did not mean to make a federal right of action mandatory, it expressly approved the exercise of jurisdiction sustained in *Smith*, despite the want of any federal cause of action available to *Smith*’s shareholder plaintiff. * * * *Merrell Dow* then, did not toss out, but specifically retained, the contextual enquiry that had been

Smith’s hallmark for over 60 years. At the end of *Merrell Dow*, Justice Holmes was still dissenting.

Accordingly, *Merrell Dow* should be read in its entirety as treating the absence of a federal private right of action as evidence relevant to, but not dispositive of, the “sensitive judgments about congressional intent” that § 1331 requires. The absence of any federal cause of action affected *Merrell Dow*’s result two ways. The Court saw the fact as worth some consideration in the assessment of substantiality. But its primary importance emerged when the Court treated the combination of no federal cause of action and no preemption of state remedies for misbranding as an important clue to Congress’s conception of the scope of jurisdiction to be exercised under § 1331. The Court saw the missing cause of action not as a missing federal door key, always required, but as a missing welcome mat, required in the circumstances, when exercising federal jurisdiction over a state misbranding action would have attracted a horde of original filings and removal cases raising other state claims with embedded federal issues. For if the federal labeling standard without a federal cause of action could get a state claim into federal court, so could any other federal standard without a federal cause of action. And that would have meant a tremendous number of cases.

* * * “The violation of federal statutes and regulations is commonly given negligence per se effect in state tort proceedings.” Restatement (Third) of Torts § 14 Reporters’ Note, Comment *a*, p. 195 (Tent.Draft No. 1, Mar. 28, 2001). * * * A general rule of exercising federal jurisdiction over state claims resting on federal mislabeling and other statutory violations would thus have heralded a potentially enormous shift of traditionally state cases into federal courts. Expressing concern over the “increased volume of federal litigation,” and noting the importance of adhering to “legislative intent,” *Merrell Dow* thought it improbable that the Congress, having made no provision for a federal cause of action, would have meant to welcome any state-law tort case implicating federal law “solely because the violation of the federal statute is said to [create] a rebuttable presumption [of negligence] . . . under state law.” * * *^f (internal quotation marks omitted). In this situation, no welcome mat meant keep out. *Merrell Dow*’s analysis thus fits within the framework of examining the importance of having a federal forum for the issue, and the consistency of such a forum with Congress’s intended division of labor between state and federal courts.

As already indicated, however, a comparable analysis yields a different jurisdictional conclusion in this case. Although Congress also indicated ambivalence in this case by providing no private right of action to Grable, it is the rare state quiet title action that involves contested issues of federal law * * *. Consequently, jurisdiction over actions like Grable’s would not

materially affect, or threaten to affect, the normal currents of litigation. Given the absence of threatening structural consequences and the clear interest the Government, its buyers, and its delinquents have in the availability of a federal forum, there is no good reason to shirk from federal jurisdiction over the dispositive and contested federal issue at the heart of the state-law title claim. * * *

IV

The judgment of the Court of Appeals * * * is affirmed.

It is so ordered.

Justice THOMAS, concurring.

The Court faithfully applies our precedents interpreting 28 U.S.C. § 1331 to authorize federal-court jurisdiction over some cases in which state law creates the cause of action but requires determination of an issue of federal law. * * * In this case, no one has asked us to overrule those precedents and adopt the rule Justice Holmes set forth in *American Well Works Co.* * * * [p. 339, Note 3, supra] limiting § 1331 jurisdiction to cases in which federal law creates the cause of action pleaded on the face of the plaintiff’s complaint. * * * In an

appropriate case, and perhaps with the benefit of better evidence as to the original meaning of § 1331’s text, I would be willing to consider that course. * * *

GUNN V. MINTON
Supreme Court of the United States, 2013.
[568 U.S. 251, 133 S.Ct. 1059, 185 L.Ed.2d 72.](#)

Certiorari to the Supreme Court of Texas.

CHIEF JUSTICE ROBERTS delivered the opinion of the Court.

Federal courts have exclusive jurisdiction over cases “arising under any Act of Congress relating to patents.” 28 U.S.C. § 1338(a). The question presented is whether a state law claim alleging legal malpractice in the handling of a patent case must be brought in federal court.

I

* * *

[Minton was represented by attorney Gunn in a federal patent infringement action in which his patent was declared invalid. Minton later sued his attorney for malpractice and on appeal argued that the attorney had failed to raise the “experimental use” exception under the federal patent law, causing his infringement claim to fail. The Texas Supreme Court, reversing the trial and intermediate appeals courts, held that the case properly belonged in federal court because the success of Minton’s malpractice claim turned on a question of federal patent law.]

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II

* * *

* * * Adhering to the demands of “[l]inguistic consistency,” we have interpreted the phrase “arising under” [as set forth in 28 U.S.C. § 1338(a), which governs patent disputes] * * * identically [as under 28 U.S.C. § 1331], applying our § 1331 and § 1338(a) precedents interchangeably. * * *

For statutory purposes, a case can “aris[e] under” federal law in two ways. Most directly, a case arises under federal law when federal law creates the cause of action asserted. * * * As a rule of inclusion, this “creation” test admits of only extremely rare exceptions, see, e.g., *Shoshone Mining Co.* * * * [p. 339, Note 4, *supra*], and accounts for the vast bulk of suits that arise under federal law * * *. * * *

But even where a claim finds its origins in state rather than federal law—as Minton’s legal malpractice claim indisputably does—we have identified a “special and small category” of cases in which arising under jurisdiction still lies. In outlining the contours of this slim category, we do not paint on a blank canvas. Unfortunately, the canvas looks like one that Jackson Pollock got to first. * * *

In an effort to bring some order to this unruly doctrine several Terms ago, [*Grable*, p. 342, *supra*,] we condensed our prior cases into the following inquiry: Does the “state-law claim necessarily raise a stated federal issue, actually disputed and substantial, which a federal forum may entertain without disturbing any congressionally approved balance of federal and state judicial responsibilities”? * * *. * * *

III

Applying *Grable*’s inquiry here, it is clear that Minton’s legal malpractice claim does not arise under federal patent law. Indeed, for the reasons we discuss, we are comfortable concluding that state legal malpractice claims based on underlying patent matters will rarely, if ever, arise under federal patent law for purposes of § 1338(a). Although such cases may necessarily raise disputed questions of patent law, those cases are by their nature unlikely to have the sort of significance for the federal system necessary to establish jurisdiction.

A

To begin, we acknowledge that resolution of a federal patent question is “necessary” to Minton’s case. Under Texas law, a plaintiff alleging legal malpractice must establish four elements: (1) that the defendant attorney owed the plaintiff a duty; (2) that the attorney breached that duty; (3) that the breach was the proximate cause of the plaintiff’s injury; and (4) that damages occurred. * * * In cases like this one, in which the attorney’s

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alleged error came in failing to make a particular argument, the causation element requires a “case within a case” analysis of whether, had the argument been made, the outcome of the earlier litigation would have been different. * * * To prevail on his legal malpractice claim, therefore, Minton must show that he would have prevailed in his federal patent infringement case if only petitioners had timely made an experimental-use argument on his behalf. * * *

B

The federal issue is also “actually disputed” here—indeed, on the merits, it is the central point of dispute. Minton argues that the

experimental-use exception properly applied * * *, saving his patent from the on-sale bar; petitioners argue that it did not. This is just the sort of “ ‘dispute . . . respecting the . . . effect of [federal] law’ ” that *Grable* envisioned. * * *^g

C

Minton’s argument founders on *Grable*’s next requirement, however, for the federal issue in this case is not substantial in the relevant sense. In reaching the opposite conclusion, the Supreme Court of Texas focused on the importance of the issue to the plaintiff’s case and to the parties before it. * * * As our past cases show, however, it is not enough that the federal issue be significant to the particular parties in the immediate suit; that will *always* be true when the state claim “necessarily raise[s]” a disputed federal issue, as *Grable* separately requires. The substantiality inquiry under *Grable* looks instead to the importance of the issue to the federal system as a whole.

* * *

Here, the federal issue carries no such significance. Because of the backward-looking nature of a legal malpractice claim, the question is posed in a merely hypothetical sense: *If* Minton’s lawyers had raised a timely experimental-use argument, would the result in the patent infringement proceeding have been different? No matter how the state courts resolve that hypothetical “case within a case,” it will not change the real-world result of the prior federal patent litigation. Minton’s patent will remain invalid.

Nor will allowing state courts to resolve these cases undermine “the development of a uniform body of [patent] law.” * * * Congress ensured such uniformity by vesting exclusive jurisdiction over actual patent cases in the federal district courts and exclusive appellate jurisdiction in the Federal Circuit. * * * In resolving the nonhypothetical patent questions those cases present, the federal courts are of course not bound by state court case-within-a-case patent rulings. * * * In any event, the state court

case-within-a-case inquiry asks what would have happened in the prior federal proceeding if a particular argument had been made. In answering that question, state courts can be expected to hew closely to the pertinent federal precedents. * * *

As for more novel questions of patent law that may arise for the first time in a state court “case within a case,” they will at some point be decided by a federal court in the context of an actual patent case, with review in the Federal Circuit. If the question arises frequently, it will soon be resolved within the federal system, laying to rest any contrary state court precedent; if it does not arise frequently, it is unlikely to implicate substantial federal interests. * * *

Minton also suggests that state courts’ answers to hypothetical patent questions can sometimes have real-world effect on other patents through issue preclusion. * * * He argues that, in evaluating this separate application, the patent examiner could be bound by the Texas trial court’s interpretation of the scope of Minton’s original patent. * * * In fact, Minton has not identified any case finding such preclusive effect based on a state court decision. But even assuming that a state court’s case-within-a-case adjudication may be preclusive under some circumstances, the result would be limited to the parties and patents that had been before the state court. Such “fact-bound and situation-specific” effects are not sufficient to establish federal arising under jurisdiction. *Empire Healthchoice Assurance, Inc.* [p. 351, Note 1, *infra*] * * *.

Nor can we accept the suggestion that the federal courts’ greater familiarity with patent law means that legal malpractice cases like this one belong in federal court. * * * [T]he possibility that a state court will incorrectly resolve a state claim is not, by itself, enough to trigger the federal courts’ exclusive patent jurisdiction, even if the potential error finds its root in a misunderstanding of patent law.

* * *

D

It follows from the foregoing that *Grable*’s fourth requirement is also not met. * * * We have already explained the absence of a substantial federal issue within the meaning of *Grable*. The States, on the other hand, have “a special responsibility for maintaining standards among members of the licensed professions.” * * * We have no reason to suppose that Congress—in establishing exclusive federal jurisdiction over patent cases—meant to bar from state courts state legal malpractice claims simply because they require resolution of a hypothetical patent issue.

* * *

* * * In this case, although the state courts must answer a question of patent law to resolve Minton’s legal malpractice claim, their answer will

have no broader effects. It will not stand as binding precedent for any future patent claim; it will not even affect the validity of Minton’s patent. Accordingly, there is no “serious federal interest in claiming the advantages thought to be inherent in a federal forum” * * *. Section 1338(a) does not deprive the state courts of subject matter jurisdiction.

The judgment of the Supreme Court of Texas is reversed, and the case is remanded for further proceedings not inconsistent with this opinion.

It is so ordered.

NOTES AND QUESTIONS

1. In *EMPIRE HEALTHCHOICE ASSURANCE, INC. v. McVEIGH*, 547 U.S. 677, 126 S.Ct. 2121, 165 L.Ed.2d 131 (2006), relied upon in *Gunn v. Minton*, the Supreme Court held that a suit by an insurance company to recoup benefits from the insured did not arise under federal law for purposes of 28 U.S.C. § 1331. The insured was a federal employee, and the insurance benefits were provided by the plaintiff insurance company under a contract with the federal Office of Personnel Management (“OPM”). The Court acknowledged that the dispute raised “distinctly federal interests”; among other things, plaintiff and OPM engaged in negotiations about the master insurance contract, and any reimbursement received by plaintiff from the insured would be credited to the federal government. However, other features of the dispute cut against federal jurisdiction. First, the federal statute establishing benefit plans for federal employees gave the insurance company a right of action against the United States, but not against the insured; second, the dispute involved only private parties, and not the government; and third, the claim was “fact-bound and situation-specific,” and did not raise a pure question of law the resolution of which would affect “numerous other cases.” *Id.* at 700–01, 126 S.Ct. at 2137, 165 L.Ed.2d at 150.

Justice Breyer dissented, joined by Justices Kennedy, Souter, and Alito. The dissent emphasized that the insurance company’s claim involved a federal contract governed by federal common law, and “federal common law means federal jurisdiction where Congress so intends.” *Id.* at 707–08, 126 S.Ct. at 2141, 165 L.Ed.2d at 154–55. Congressional intent could be found because the United States would be credited with any court-ordered award in the lawsuit and so was the real party in interest. The reimbursement provision was a term in a federal contract, and federal common law usually governs the government’s commercial agreements. Moreover, the insurance was provided as part of a federal employment benefit package, underscoring the need for a uniform federal common law rule. (Federal common law is studied in Chapter 6, *infra.*) The absence of a private right of action, according to the dissent, was beside the point; its omission “may reflect inadvertence. Or it may reflect a belief that § 1331 covered such cases regardless.” *Id.* at 710, 126 S.Ct. at 2142, 165 L.Ed.2d at 156.

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2. What is the test for jurisdiction under 28 U.S.C. § 1331 after *Grable*, *Gunn*, and *Empire Healthchoice*? Do these opinions incorporate the tests from *Mottley*, *Shoshone*, *Smith*, *Moore*, and *Merrell Dow*, or do they abrogate the earlier decisions? Keep in mind that these cases all address the possibility of Section 1331 jurisdiction over state law causes of action. When a cause of action is provided by federal law and federal law provides the rule of decision, subject-matter jurisdiction clearly exists.

3. It has been argued that it is futile to search for “a single, all-purpose, neutral analytical concept which marks out federal question jurisdiction.” Instead, the goal should be a “pragmatic” test that considers the significance of the state and federal issues, caseload congestion, and comparative judicial expertise. Cohen, *The Broken Compass, The Requirement that a Case Arise “Directly” Under Federal Law*, 115 U.Pa.L.Rev. 890, 907 (1967). Does the Court’s current multi-factor approach adequately address when a federal forum should be available? Is the test too difficult to administer? Would it be preferable to return to the bright-line rule of the Holmes formula? Compare Ryan, *It’s Just Not Worth Searching for Welcome Mats with a Kaleidoscope and a Broken Compass*, 7 Tenn.L.Rev. 659 (2008), with Mulligan, *You Can’t Go Holmes Again*, 107 Nw.U.L.Rev. 237 (2012). What would be the problem in withholding a federal forum from cases like *Smith* and *Grable*?

4. In *MIMS v. ARROW FINANCIAL SERVICES, LLC*, 565 U.S. 368, 132 S.Ct. 740, 181 L.Ed.2d 881 (2012), the Supreme Court resolved that Congress’s grant of jurisdiction to state courts to hear disputes arising under the federal Telephone Consumer Protection Act of 1991, regulating telemarketing, did not oust federal courts of jurisdiction to hear claims under the Act. Rather, the state and federal courts had concurrent jurisdiction. The relevant statutory language provided that a person “may, if otherwise permitted by the laws or rules of [a] court of a State, bring in an appropriate court of that State” an action to redress a violation of rights. 47 U.S.C. § 227(b)(3), (c)(5). Justice Ginsburg, writing for a unanimous Court, held that federal jurisdiction was “not swept away” by the statute: “[W]hen federal law creates a private right of action and furnishes the substantive rules of decision, the claim arises under federal law, and district courts possess federal-question jurisdiction under § 1331.” *Id.* at 378–79, 132 S.Ct. at 748–49, 181 L.Ed.2d at 894. The Court noted, “Even when a right of action is created by state law, if the claim requires resolution of significant issues of federal law, the case may arise under federal law for 28 U.S.C. § 1331 purposes.” *Id.* at 379 n.9, 132 S.Ct. at 749 n.9, 181 L.Ed.2d at 894 n.9.

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D. THE SUBJECT-MATTER JURISDICTION OF THE FEDERAL COURTS—SUPPLEMENTAL CLAIMS AND PARTIES

Read Article III, § 2 of the United States Constitution and 28 U.S.C. § 1367 in the Supplement.

In some cases, a transaction or series of occurrences will generate a dispute involving multiple legal theories and claims for relief. In that situation, different patterns of party and claim joinder might arise. For example, a plaintiff may wish to assert multiple claims against a single defendant or against multiple defendants; relatedly, multiple plaintiffs may wish to assert multiple claims against a single defendant or multiple defendants. To complicate matters, original jurisdiction under 28 U.S.C. § 1331 might be available over some but not all of the claims and the *Strawbridge* rule of complete diversity of citizenship under 28 U.S.C. § 1332, see p. 305, *supra*, might not be met.

Whether claims and parties may be joined in a single lawsuit is a separate question from whether the federal court has subject-matter jurisdiction over the case. (The joinder rules are studied in Chapter 9, *infra.*) The judicial doctrines of pendent and ancillary jurisdiction

developed to deal with the jurisdictional issues posed by these different joinder situations. The term “pendent jurisdiction” was used when plaintiff, in her complaint, appended a claim lacking an independent basis for federal jurisdiction to a claim possessing such a basis. The term “ancillary jurisdiction” was used when either a plaintiff or a defendant injected a claim lacking an independent basis for federal jurisdiction by way of a counterclaim, crossclaim, or third-party complaint.

UNITED MINE WORKERS OF AMERICA v. GIBBS

Supreme Court of the United States, 1966.

[383 U.S. 715, 86 S.Ct. 1130, 16 L.Ed.2d 218.](#)

Certiorari to the United States Court of Appeals for the Sixth Circuit.

JUSTICE BRENNAN delivered the opinion of the Court.

Respondent Paul Gibbs was awarded compensatory and punitive damages in this action against petitioner United Mine Workers of America * * * [“UMW”] for alleged violations of § 303 of the Labor Management Relations Act, 1947, and of the common law of Tennessee. The case grew out of the rivalry between the United Mine Workers and the Southern Labor Union over representation of workers in the southern Appalachian

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coal fields. Tennessee Consolidated Coal Company, not a party here, laid off 100 miners of the UMW’s Local 5881 when it closed one of its mines in southern Tennessee during the spring of 1960. Late that summer, Grundy Company, a wholly owned subsidiary of Consolidated, hired respondent as mine superintendent to attempt to open a new mine on Consolidated’s property at nearby Gray’s Creek through use of members of the Southern Labor Union. As part of the arrangement, Grundy also gave respondent a contract to haul the mine’s coal to the nearest railroad loading point.

On August 15 and 16, 1960, armed members of Local 5881 forcibly prevented the opening of the mine, threatening respondent and beating an organizer for the rival union. The members of the local believed Consolidated had promised them the jobs at the new mine; they insisted that if anyone would do the work, they would. * * * George Gilbert, the UMW’s field representative for the area including Local 5881, * * * [had] explicit instructions from his international union superiors to establish a limited picket line, to prevent any further violence, and to see to it that the strike did not spread to neighboring mines. There was no further violence at the mine site * * *.

Respondent lost his job as superintendent, and never entered into performance of his haulage contract. He testified that he soon began to lose other trucking contracts and mine leases he held in nearby areas. Claiming these effects to be the result of a concerted union plan against him, he sought recovery not against Local 5881 or its members, but only against petitioner, the international union. The suit was brought in the United States District Court for the Eastern District of Tennessee, and jurisdiction was premised on allegations of secondary boycotts under § 303. The state law claim, for which jurisdiction was based upon the doctrine of pendent jurisdiction, asserted “an unlawful conspiracy and an unlawful boycott aimed at him and [Grundy] to maliciously, wantonly and willfully interfere with his contract of employment and with his contract of haulage.”

* * * The jury’s verdict was that the UMW had violated both § 303 and state law. Gibbs was awarded \$60,000 as damages under the employment contract and \$14,500 under the haulage contract; he was also awarded \$100,000 punitive damages. On motion, the trial court set aside the award of damages with respect to the haulage contract on the ground that damage was unproved. It also held that union pressure on Grundy to discharge respondent as supervisor would constitute only a primary dispute with Grundy, as respondent’s employer, and hence was not cognizable under § 303. Interference with employment was cognizable as a state claim, however, and a remitted award was sustained on the state law claim. * * * The Court of Appeals for the Sixth Circuit affirmed. * * * We granted certiorari. * * *

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I.

A threshold question is whether the District Court properly entertained jurisdiction of the claim based on Tennessee law. * * *

* * * The Court held in *Hurn v. Oursler*, 289 U.S. 238, 53 S.Ct. 586, 77 L.Ed. 1148, that state law claims are appropriate for federal court determination if they form a separate but parallel ground for relief also sought in a substantial claim based on federal law. The Court distinguished permissible from non-permissible exercises of federal judicial power over state law claims by contrasting “a case where two distinct grounds in support of a single cause of action are alleged, one only of which presents a federal question, and a case where two separate and distinct causes of action are alleged, one only of which is federal in character. In the former, where the federal question averred is not plainly wanting in substance, the federal court, even though the federal ground be not established, may nevertheless retain and dispose of the case upon the nonfederal *ground*; in the latter it may not do so upon the nonfederal *cause of action*.” 289 U.S., at 246, 53 S.Ct., at 589. The question is into which category the present action fell.

Hurn was decided in 1933, before the unification of law and equity by the Federal Rules of Civil Procedure. At the time, the meaning of “cause of action” was a subject of serious dispute * * *. The Court in *Hurn* identified what it meant by the term by citation of *Baltimore S. S. Co. v. Phillips*, 274 U.S. 316, 47 S.Ct. 600, 71 L.Ed. 1069, a case in which “cause of action” had been used to identify the operative scope of the doctrine of *res judicata*. In that case the Court had noted that “ ‘the whole tendency of our decisions is to require a plaintiff to try his whole cause of action and his whole case at one time,’ ” 274 U.S., at 320, 47 S.Ct., at 602. It stated its

holding in the following language, quoted in part in the *Hurn* opinion:

Upon principle, it is perfectly plain that the respondent [a seaman suing for an injury sustained while working aboard ship] suffered but one actionable wrong, and was entitled to but one recovery, whether his injury was due to one or the other of several distinct acts of alleged negligence, or to a combination of some or all of them. In either view, there would be but a single wrongful invasion of a single primary right of the plaintiff, namely, the right of bodily safety, whether the acts constituting such invasion were one or many, simple or complex.

A cause of action does not consist of facts, but of the unlawful violation of a right which the facts show. The number and variety of the facts alleged do not establish more than one cause of action so long as their result, whether they be considered severally or in combination, is the violation of but one right by a single legal wrong. The mere multiplication of grounds of negligence alleged

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as causing the same injury does not result in multiplying the causes of action. ‘The facts are merely the means, and not the end. They do not constitute the cause of action, but they show its existence by making the wrong appear,’ *Id.*, at 321, 47 S.Ct., at 602.

Had the Court found a jurisdictional bar to reaching the state claim in *Hurn*, we assume that the doctrine of *res judicata* would not have been applicable in any subsequent state suit. But the citation of *Baltimore S.S. Co.* shows that the Court found that the weighty policies of judicial economy and fairness to parties reflected in *res judicata* doctrine were in themselves strong counsel for the adoption of a rule which would permit federal courts to dispose of the state as well as the federal claims.

With the adoption of the Federal Rules * * * and the unified form of action * * * much of the controversy over “cause of action” abated. The phrase remained as the keystone of the *Hurn* test, however, and * * * has been the source of considerable confusion. Under the Rules, the impulse is toward entertaining the broadest possible scope of action consistent with fairness to the parties; joinder of claims, parties and remedies are strongly encouraged. Yet because the *Hurn* question involves issues of jurisdiction as well as convenience, there has been some tendency to limit its application to cases in which the state and federal claims are, as in *Hurn*, “little more than the equivalent of different epithets to characterize the same group of circumstances.” 289 U.S., at 246, 53 S.Ct. at 590.

This limited approach is unnecessarily grudging. Pendent jurisdiction, in the sense of judicial *power*, exists whenever there is a claim “arising under [the] Constitution, the Laws of the United States, and Treaties made, or which shall be made, under their Authority * * *,” U.S. Const., Art. III, § 2, and the relationship between that claim and the state claims made in the complaint permits the conclusion that the entire action before the court comprises but one constitutional “case.” The federal claim must have substance sufficient to confer subject matter jurisdiction on the court. * * * The state and federal claims must derive from a common nucleus of operative fact. But if, considered without regard for their federal or state character, a plaintiff’s claims are such that he would ordinarily be expected to try them all in one judicial proceeding, then, assuming substantiality of the federal issues, there is *power* in federal courts to hear the whole.

That power need not be exercised in every case in which it is found to exist. It has consistently been recognized that pendent jurisdiction is a doctrine of discretion, not of plaintiff’s right. Its justification lies in considerations of judicial economy, convenience and fairness to litigants; if these are not present a federal court should hesitate to exercise jurisdiction over state claims, even though bound to apply state law to them, *Erie R. Co. v. Tompkins* * * * [p. 445, *infra*]. Needless decisions of state law should

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be avoided both as a matter of comity and to promote justice between the parties, by procuring for them a surer-footed reading of applicable law. Certainly, if the federal claims are dismissed before trial, even though not insubstantial in a jurisdictional sense, the state claims should be dismissed as well. Similarly, if it appears that the state issues substantially predominate, whether in terms of proof, of the scope of the issues raised, or of the comprehensiveness of the remedy sought, the state claims may be dismissed without prejudice and left for resolution to state tribunals. There may, on the other hand, be situations in which the state claim is so closely tied to questions of federal policy that the argument for exercise of pendent jurisdiction is particularly strong. In the present case, for example, the allowable scope of the state claim implicates the federal doctrine of pre-emption; while this interrelationship does not create statutory federal question jurisdiction, *Louisville & N.R. Co. v. Mottley* * * * [p. 331, *supra*] its existence is relevant to the exercise of discretion. Finally, there may be reasons independent of jurisdictional considerations, such as the likelihood of jury confusion in treating divergent legal theories of relief, that would justify separating state and federal claims for trial, Fed.Rule Civ.Proc. 42(b). If so, jurisdiction should ordinarily be refused.

The question of power will ordinarily be resolved on the pleadings. But the issue whether pendent jurisdiction has been properly assumed is one which remains open throughout the litigation. Pretrial procedures or even the trial may reveal a substantial hegemony of state law claims, or likelihood of jury confusion, which could not have been anticipated at the pleading stage. Although it will of course be appropriate to take account in this circumstance of the already completed course of the litigation, dismissal of the state claim might even then be merited. For example, it may appear that the plaintiff was well aware of the nature of his proofs and the relative importance of his claims; recognition of a federal court’s wide latitude to decide ancillary questions of state law does not imply that it must tolerate a litigant’s effort to impose upon it what is in effect only a state law case. Once it appears that a state claim constitutes the real body of a case, to which the federal claim is only an appendage, the state claim may fairly be dismissed.

We are not prepared to say that in the present case the District Court exceeded its discretion in proceeding to judgment on the state claim. * * *

It is true that the § 303 claims ultimately failed and that the only recovery allowed respondent was on the state claim. We cannot confidently say, however, that the federal issues were so remote or played such a minor role at the trial that in effect the state claim only was tried. Although the District Court dismissed as unproved the claims that petitioner’s secondary activities included attempts to induce coal operators other than Grundy to cease doing business with respondent, the court submitted the § 303 claims relating to Grundy to the jury. The jury returned verdicts against

petitioner on those § 303 claims, and it was only on petitioner’s motion for a directed verdict and a judgment *n.o.v.* that the verdicts on those claims were set aside. * * * Although there was some risk of confusing the jury in joining the state and federal claims—especially since, as will be developed, differing standards of proof of UMW involvement applied—the possibility of confusion could be lessened by employing a special verdict form, as the District Court did. * * *

[The Court went on to hold that plaintiff could not recover damages for conspiracy under Tennessee common law on the basis of the record.]

Reversed.

THE CHIEF JUSTICE took no part in the decision of this case.

[A concurring opinion by JUSTICE HARLAN, joined by JUSTICE CLARK, agreed with “Part I of the Court’s opinion relating to pendent jurisdiction.”]

NOTES AND QUESTIONS

1. In *Hurn*, discussed in *Gibbs*, the Supreme Court permitted a district court with original jurisdiction over a federal law claim to exercise pendent jurisdiction over a nondiverse state law claim when the two claims presented a “single cause of action,” but not when they were “separate and distinct causes of action.” How did *Gibbs* change the test for determining when pendent jurisdiction may be exercised?

2.What is the constitutional and statutory basis for the jurisdiction recognized in *Hurn* and in *Gibbs*? Recall that the language of 28 U.S.C. § 1331 is virtually identical to that of Article III. Is the term “civil action” that appears in the statute coextensive with the Constitution’s use of the term “case”?

3.What are the policy justifications for pendent and ancillary jurisdiction? Commentary points to at least two purposes:

First, it ensures that litigants will not be dissuaded from maintaining their federal rights in a federal court solely because they can dispose of all claims by one litigation in the state but not the federal forum. When jurisdiction over the federal claim is exclusive in the federal judiciary, only pendent jurisdiction makes possible a complete remedy for vindication of the plaintiff’s rights. Second, assuming that the litigants are in a federal forum, pendent jurisdiction serves the interest of avoiding piecemeal litigation, thus promoting judicial economy and greater expedition for the litigants.

Note, *The Evolution and Scope of the Doctrine of Pendent Jurisdiction in the Federal Courts*, 62 Colum.L.Rev. 1018, 1044 (1962). Are you convinced by these arguments? Under what circumstances might the exercise of pendent or ancillary jurisdiction not produce efficiency and convenience?

NOTE ON PENDENT AND ANCILLARY JURISDICTION AFTER GIBBS

In three cases after *Gibbs*, the Supreme Court considered whether pendent or ancillary jurisdiction could be asserted when the district court had original jurisdiction over a claim and plaintiff sought to join a state law claim against an *additional* nondiverse defendant.

1.In *ALDINGER v. HOWARD*, 427 U.S. 1, 96 S.Ct. 2413, 49 L.Ed.2d 276 (1976), a Washington State citizen brought a federal civil rights action under 42 U.S.C. § 1983 against several state officials; jurisdiction was invoked under 28 U.S.C. § 1343(a)(3). Plaintiff sought to join Spokane County, Washington as an additional defendant, but under the then-prevailing construction of the civil rights statute, counties were not liable under it.¹ Therefore, plaintiff sued the county under state law. Although the new claim shared a “common nucleus of operative fact” with the federal civil rights claim, and so satisfied *Gibbs*, the Supreme Court held that pendent jurisdiction could not be exercised:

* * * From a purely factual point of view, it is one thing to authorize two parties, already present in federal court by virtue of a case over which the court has jurisdiction, to litigate in addition to their federal claim a state-law claim over which there is no independent basis of federal jurisdiction. But it is quite another thing to permit a plaintiff, who has asserted a claim against one defendant with respect to which there is federal jurisdiction, to join an entirely different defendant on the basis of a state-law claim over which there is no independent basis of federal jurisdiction, simply because his claim against the first defendant and his claim against the second defendant “derive from a common nucleus of operative fact.” * * * True, the same considerations of judicial economy would be served * * *. But the addition of a completely new party would run counter to the well-established principle that federal courts, as opposed to state trial courts of general jurisdiction, are courts of limited jurisdiction marked out by Congress. * * *

There is also a significant legal difference. In * * * *Gibbs* Congress was silent on the extent to which the defendant, already properly in

federal court under a statute, might be called upon to answer nonfederal questions or claims; the way was thus left open for the Court to fashion its own rules under the general language of Art. III. But the extension of *Gibbs* to this kind of “pendent party” jurisdiction—bringing in an additional defendant at the behest of the plaintiff—presents rather different statutory jurisdictional considerations. Petitioner’s contention that she should be entitled to sue Spokane County as a new third party, and then to try a wholly

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state-law claim against the county, all of which would be “pendent” to her federal claim against respondent county treasurer, must be decided, not in the context of congressional silence or tacit encouragement, but in quite the opposite context. The question here, which it was not necessary to address in *Gibbs* * * *, is whether by virtue of the statutory grant of subject-matter jurisdiction, upon which petitioner’s principal claim against the treasurer rests, Congress has addressed itself to the *party* as to whom jurisdiction pendent to the principal claim is sought. And it undoubtedly has done so.

* * *

Resolution of a claim of pendent-party jurisdiction, therefore, calls for careful attention to the relevant statutory language. As we have indicated, we think a fair reading of the language used in [the relevant statutes] * * * requires a holding that the joinder of a municipal corporation, like the county here, for purposes of asserting a state-law claim not within federal diversity jurisdiction, is without the statutory jurisdiction of the district court.

Id. at 14–17, 96 S.Ct. at 2420–22, 49 L.Ed.2d at 286–88. The Court declined to lay down any “sweeping pronouncement upon the existence or exercise of [pendent party] jurisdiction”:

* * * Other statutory grants and other alignments of parties and claims might call for a different result. When the grant of jurisdiction to a federal court is exclusive, for example, as in the prosecution of tort claims against the United States * * *, the argument of judicial economy and convenience can be coupled with the additional argument that *only* in a federal court may all of the claims be tried together. * * *

Id. at 18, 96 S.Ct. at 2422, 49 L.Ed.2d at 288.

2. In *OWEN EQUIPMENT & ERECTION CO. v. KROGER*, 437 U.S. 365, 98 S.Ct. 2396, 57 L.Ed.2d 274 (1978), Kroger, a citizen of Iowa, brought a diversity action in Nebraska against Omaha Public Power District (OPPD), a Nebraska corporation, for the wrongful death of her husband, who was electrocuted when the beam of a steel crane, next to which he was walking, came too close to a high-tension electric line. OPPD filed a third-party claim under Federal Rule 14(a) against the owner-operator of the crane, Owen Equipment and Erection Company (Owen), alleging that it was Owen’s negligence that had been the proximate cause of the decedent’s death. At the time, lower federal courts consistently held that an impleader complaint against a third party did not require an independent basis of federal jurisdiction.

Following OPPD’s impleader of Owen, plaintiff was allowed to amend her complaint to name Owen as a defendant, which she alleged was a Nebraska corporation with its principal place of business in Nebraska. OPPD requested,

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and was granted, summary judgment, leaving Owen as the sole defendant. During the course of the trial, it was discovered that Owen’s principal place of business actually was in Iowa.¹ Owen then moved to dismiss the case for a lack of subject-matter jurisdiction. The district court denied the motion and the court of appeals affirmed. The Supreme Court reversed:

[The diversity jurisdiction statute] * * * and its predecessors have consistently been held to require complete diversity of citizenship. * * * Over the years Congress has repeatedly re-enacted or amended the statute conferring diversity jurisdiction, leaving intact this rule of complete diversity. Whatever may have been the original purposes of diversity-of-citizenship jurisdiction, this subsequent history clearly demonstrates a congressional mandate that diversity jurisdiction is not to be available when any plaintiff is a citizen of the same State as any defendant. * * *

Thus it is clear that the respondent could not originally have brought suit in federal court naming Owen and OPPD as codefendants, since citizens of Iowa would have been on both sides of the litigation. Yet the identical lawsuit resulted when she amended her complaint. Complete diversity was destroyed just as surely as if she had sued Owen initially. * * *

* * *

It is not unreasonable to assume that, in generally requiring complete diversity, Congress did not intend to confine the jurisdiction of federal courts so inflexibly that they are unable to protect legal rights or effectively to resolve an entire, logically entwined lawsuit. Those practical needs are the basis of the doctrine of ancillary jurisdiction. But neither the convenience of litigants nor considerations of judicial economy can suffice to justify extension of the doctrine of ancillary jurisdiction to a plaintiff’s cause of action against a citizen of the same State in a diversity case. * * * To allow the requirement of complete diversity to be circumvented as it was in this case would simply flout the congressional command.

Id. at 371–74, 377, 98 S.Ct. at 2401–03, 2404, 57 L.Ed.2d at 280–82, 284.

3. In *FINLEY v. UNITED STATES*, 490 U.S. 545, 109 S.Ct. 2003, 104 L.Ed.2d 593 (1989), plaintiff’s husband and two of her children were killed when their plane struck electric power lines on its approach to a city-run airfield in San Diego, California. Plaintiff alleged that the Federal Aviation Administration had been negligent in its operation and maintenance of the runway lights and in its performance of air traffic control functions, and

invoked jurisdiction under 28 U.S.C. § 1346(b). Later, plaintiff was allowed to amend her complaint to include state tort claims against the city of San Diego and the utility company that maintained the power lines. The court of appeals reversed the district court’s decision to allow the amendment, and the Supreme Court affirmed:

* * * It remains rudimentary law that “[a]s regards all courts of the United States inferior to this tribunal, two things are necessary to create jurisdiction, whether original or appellate. The Constitution must have given to the court the capacity to take it, *and an act of Congress must have supplied it* To the extent that such action is not taken, the power lies dormant.” *The Mayor v. Cooper*, 6 Wall. 247, 252, 18 L.Ed. 851 (1868) (emphasis added) * * *.ⁱ

Despite this principle, in a line of cases by now no less well established we have held, without specific examination of jurisdictional statutes, that federal courts have “pendent” claim jurisdiction * * * to the full extent permitted by the Constitution. * * *

Analytically, petitioner’s case is fundamentally different from *Gibbs* in that it brings into question what has become known as pendent-party jurisdiction, that is, jurisdiction over parties not named in any claim that is independently cognizable by the federal court. We may assume, without deciding, that the constitutional criterion for pendent-party jurisdiction is analogous to the constitutional criterion for pendent-claim jurisdiction, and that petitioner’s state-law claims pass that test. Our cases show, however, that with respect to the addition of parties, as opposed to the addition of only claims, we will not assume that the full constitutional power has been congressionally authorized, and will not read jurisdictional statutes broadly. * * *

* * *

* * * [28 U.S.C. § 1346(b)] confers jurisdiction over “civil actions on claims against the United States.” It does not say “civil actions on claims that include requested relief against the United States,” nor “civil actions in which there is a claim against the United States”—formulations one might expect if the presence of a claim against the United States constituted merely a minimum jurisdiction requirement, rather than a definition of the permissible scope of FTCA actions. Just as the statutory provision “between . . . citizens of different States” has been held to mean citizens of different States and no one else, * * * so also here we conclude that “against the United States” means against the United States and no one else. * * *

* * *

* * * The *Gibbs* line of cases was a departure from prior practice, and a departure that we have no intent to limit or impair. But *Aldinger* indicated that the *Gibbs* approach would not be extended to the pendent-party field, and we decide today to retain that line. Whatever we say regarding the scope of jurisdiction conferred by a particular statute can of course be changed by Congress. What is of paramount importance is that Congress be able to legislate against a background of clear interpretive rules, so that it may know the effect of the language it adopts. All our cases * * * have held that a grant of jurisdiction over claims involving particular parties does not itself confer jurisdiction over additional claims by or against different parties. Our decision today reaffirms that interpretive rule; the opposite would sow confusion.

Id. at 547–49, 552, 556, 109 S.Ct. at 2006–07, 2008, 2010, 104 L.Ed.2d at 600–01, 603–04, 606. In dissent, Justice Stevens characterized the Court’s holding as a major departure from precedent:

In *Aldinger*, we adopted a rule of construction that assumed the existence of pendent jurisdiction unless “Congress in the statutes conferring jurisdiction has . . . expressly or by implication negated its existence” * * *.^k We rejected the assertion of pendent-party jurisdiction there because it arose “not in the context of congressional silence or tacit encouragement, but in quite the opposite context.” * * * If congressional silence were sufficient to defeat pendent jurisdiction, the careful reasoning in our *Aldinger* opinion was wholly unnecessary, for obviously the civil rights statutes do not affirmatively authorize the joinder of any state-law claims.

* * *

The Court today adopts a sharply different approach. Without even so much as acknowledging our statement in *Aldinger* that before a federal court may exercise pendent-party jurisdiction it must satisfy itself that Congress “has not expressly or by implication negated its existence,” * * * it now instructs that “a grant of jurisdiction over claims involving particular parties does not itself confer jurisdiction over additional claims by or against different parties.” * * *

Id. at 573, 574–75, 109 S.Ct. at 2020, 2021, 104 L.Ed.2d at 617, 618 (Stevens, J., dissenting).

Although the doctrines of pendent and ancillary jurisdiction were spawned from two separate lines of authorities, they became two species of the same general phenomenon. In 1990, Congress—abrogating *Finley*—

undertook to codify these doctrines in 28 U.S.C. § 1367 and gave them the collective name of “supplemental jurisdiction.”

1. 28 U.S.C. § 1367(a) uses the words “so related” for determining when two claims “form part of the same case or controversy under Article III of the United States Constitution.” Are two claims “so related” only if they derive from a “common nucleus of operative fact”? Is it significant that § 1367(a) does not incorporate this language from *Gibbs*? See Matasar, *Rediscovering “One Constitutional Case”: Procedural Rules and the Rejection of the Gibbs Test for Supplemental Jurisdiction*, 71 Calif.L.Rev. 1399, 1463 (1983) (arguing that Article III permits jurisdiction for some claims that “do not meet the *Gibbs* fact relationship requirements”).
2. Before the enactment of 28 U.S.C. § 1367, a permissive counterclaim joined under Federal Rule 13(b) was assumed to require an independent basis of federal jurisdiction, although not all judges agreed. See p. 728, *infra* (Friendly, J., concurring). After the enactment of Section 1367, some courts held that Congress had codified the conventional view. See *Iglesias v. Mutual Life Ins. Co. of New York*, 156 F.3d 237, 241 (1st Cir. 1998). However, in *JONES v. FORD MOTOR CREDIT CO.*, 358 F.3d 205, 209, 213–14 (2d Cir. 2004), the Second Circuit held that the statute “displaced, rather than codified” the traditional rule with respect to permissive counterclaims, finding that supplemental jurisdiction may be exercised whenever there exists a “logical relationship between the counterclaim and the main claim.” See also *Global Naps, Inc. v. Verizon New England Inc.*, 603 F.3d 71, 76 (1st Cir. 2010) (“§ 1367 supersedes case law on supplemental jurisdiction that had distinguished between compulsory and permissive counterclaims”). Under the *Jones* approach, is the availability of supplemental jurisdiction broader than the *Gibbs* transaction-or-occurrence test? See Fletcher, “*Common Nucleus of Operative Fact*” and *Defensive Set-Off: Beyond the Gibbs Test*, 74 Ind.L.J. 171 (1998).
3. The legislative history to 28 U.S.C. § 1367(b) indicates the intent to prohibit supplemental jurisdiction when its exercise would circumvent traditional limitations on the grant of diversity jurisdiction. The *Strawbridge* rule of complete diversity is one judge-made limit. Explain whether supplemental jurisdiction is available in these situations:
- (a) P, a citizen of Virginia, sues D, a citizen of Texas. D moves under Federal Rule 14 to implead TP, a citizen of Texas.
 - (b) P, a citizen of Virginia, sues D, a citizen of Texas. D moves under Federal Rule 14 to implead TP, a citizen of Virginia.
 - (c) Assuming the facts of (b), P moves to amend her complaint to allege a state law claim against TP.
- See Oakley, *Kroger Redux*, 51 Duke L.J. 663 (2001).

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4. Multiple plaintiffs suing one defendant are permitted to aggregate their claims to meet the amount-in-controversy requirement of diversity jurisdiction only if their claims are common and indivisible. See p. 322, Note 4, *supra*. Prior to the enactment of 28 U.S.C. § 1367, this rule prevented a party (who met the citizenship requirement) from joining a lawsuit as a plaintiff under Federal Rule 20 when its claim did not exceed \$75,000 and was separate and distinct from the claim of a diverse plaintiff whose claim did meet the dollar requirement. See *CLARK v. PAUL GRAY, INC.*, 306 U.S. 583, 59 S.Ct. 744, 83 L.Ed. 1001 (1939). A similar rule applied to class actions under Rule 23; the named representative plaintiff and each and every unnamed class member were required to meet the amount-in-controversy requirement. See *ZAHN v. INTERNATIONAL PAPER CO.*, 414 U.S. 291, 94 S.Ct. 505, 38 L.Ed.2d 511 (1973).
- The enactment of 28 U.S.C. § 1367 presented two distinct but related problems. The first was whether Section 1367(a), in its reference to “any civil action of which the district courts have original jurisdiction,” incorporated the judge-made rules of *Strawbridge* and aggregation. The second problem concerned which parties and claims were excluded from § 1367(b)’s presumption of supplemental jurisdiction. The statute excludes “claims by plaintiffs against persons made parties under Rule 14, 19, 20, or 24,” but does not mention claims by plaintiffs made parties under Rule 20 or 23. Did that omission mean Congress intended to overrule both the *Clark* and the *Zahn* restrictions? See Pfander, *Supplemental Jurisdiction and Section 1367: The Case for Sympathetic Textualism*, 148 U.Pa.L.Rev. 109 (1999). The Court addressed this set of questions in the principal case that follows.

EXXON MOBIL CORP. v. ALLAPATTAH SERVICES, INC.

Supreme Court of the United States, 2005.
[545 U.S. 546](#), [125 S.Ct. 2611](#), [162 L.Ed.2d 502](#).

Certiorari to the United States Court of Appeals for the First Circuit and for the Eleventh Circuit.

JUSTICE KENNEDY delivered the opinion of the Court.

These consolidated cases present the question whether a federal court in a diversity action may exercise supplemental jurisdiction over additional plaintiffs whose claims do not satisfy the minimum amount-in-controversy requirement, provided the claims are part of the same case or controversy as the claims of plaintiffs who do allege a sufficient amount in controversy. Our decision turns on the correct interpretation of 28 U.S.C. § 1367. The question has divided the Courts of Appeals, and we granted certiorari to resolve the conflict. * * *

We hold that, where the other elements of jurisdiction are present and at least one named plaintiff in the action satisfies the amount-in-controversy requirement, § 1367 does authorize supplemental jurisdiction over the claims of other plaintiffs in the same Article III case or

controversy, even if those claims are for less than the jurisdictional amount specified in the statute setting forth the requirements for diversity jurisdiction. * * *

In 1991, about 10,000 Exxon dealers filed a class-action suit against the Exxon Corporation in the United States District Court for the Northern District of Florida. The dealers alleged an intentional and systematic scheme by Exxon under which they were overcharged for fuel purchased from Exxon. The plaintiffs invoked the District Court’s § 1332(a) diversity jurisdiction. After a unanimous jury verdict in favor of the plaintiffs, the District Court certified the case for interlocutory review, asking whether it had properly exercised § 1367 supplemental jurisdiction over the claims of class members who did not meet the jurisdictional minimum amount in controversy.

The Court of Appeals for the Eleventh Circuit upheld the District Court’s extension of supplemental jurisdiction to these class members. *Allapattah Services, Inc. v. Exxon Corp.*, 333 F.3d 1248 (2003). “[W]e find,” the court held, “that § 1367 clearly and unambiguously provides district courts with the authority in diversity class actions to exercise supplemental jurisdiction over the claims of class members who do not meet the minimum amount in controversy as long as the district court has original jurisdiction over the claims of at least one of the class representatives.” *Id.*, at 1256. * * *

In [*Ortega v. Star-Kist Foods, Inc.*, 370 F.3d 124 (1st Cir. 2004),] the other case now before us the Court of Appeals for the First Circuit took a different position on the meaning of § 1367(a). * * * In that case, a 9-year-old girl sued Star-Kist in a diversity action in the United States District Court for the District of Puerto Rico, seeking damages for unusually severe injuries she received when she sliced her finger on a tuna can. Her family joined in the suit [under Federal Rule 20], seeking damages for emotional distress and certain medical expenses. The District Court granted summary judgment to Star-Kist, finding that none of the plaintiffs met the minimum amount-in-controversy requirement. The Court of Appeals for the First Circuit, however, ruled that the injured girl, but not her family members, had made allegations of damages in the requisite amount.

* * *

As the jurisdictional statutes existed in 1989 [when *Finley*, Note 3, p. 361, *supra*, was decided] * * * here is how matters stood: First, the diversity requirement in § 1332(a) required complete diversity; absent complete diversity, the district court lacked original jurisdiction over all of the claims in the action. * * * Second, if the district court had original jurisdiction over at least one claim, the jurisdictional statutes implicitly authorized

supplemental jurisdiction over all other claims between the same parties arising out of the same Article III case or controversy * * *. Third, even when the district court had original jurisdiction over one or more claims between particular parties, the jurisdictional statutes did not authorize supplemental jurisdiction over additional claims involving other parties. * * *

All parties to this litigation and all courts to consider the question agree that § 1367 overturned the result in *Finley*. There is no warrant, however, for assuming that § 1367 did no more than to overrule *Finley* and otherwise to codify the existing state of the law of supplemental jurisdiction. We must not give jurisdictional statutes a more expansive interpretation than the text warrants * * *; but it is just as important not to adopt an artificial construction that is narrower than what the text provides. No sound canon of interpretation requires Congress to speak with extraordinary clarity in order to modify the rules of federal jurisdiction within appropriate constitutional bounds. Ordinary principles of statutory construction apply. In order to determine the scope of supplemental jurisdiction authorized by § 1367, then, we must examine the statute’s text in light of context, structure, and related statutory provisions.

Section 1367(a) is a broad grant of supplemental jurisdiction over other claims within the same case or controversy, as long as the action is one in which the district courts would have original jurisdiction. The last sentence of § 1367(a) makes it clear that the grant of supplemental jurisdiction extends to claims involving joinder or intervention of additional parties. The single question before us, therefore, is whether a diversity case in which the claims of some plaintiffs satisfy the amount-in-controversy requirement, but the claims of other plaintiffs do not, presents a “civil action of which the district courts have original jurisdiction.” If the answer is yes, § 1367(a) confers supplemental jurisdiction over all claims, including those that do not independently satisfy the amount-in-controversy requirement, if the claims are part of the same Article III case or controversy. If the answer is no, § 1367(a) is inapplicable and * * * the district court has no statutory basis for exercising supplemental jurisdiction over the additional claims.

We now conclude the answer must be yes. When the well-pleaded complaint contains at least one claim that satisfies the amount-in-controversy requirement, and there are no other relevant jurisdictional defects, the district court, beyond all question, has original jurisdiction over that claim. The presence of other claims in the complaint, over which the district court may lack original jurisdiction, is of no moment. If the court has original jurisdiction over a single claim in the complaint, it has original jurisdiction over a “civil action” within the meaning of § 1367(a), even if the civil action over which it has jurisdiction comprises fewer claims than were included in the complaint. Once the court determines it has original

jurisdiction over the civil action, it can turn to the question whether it has a constitutional and statutory basis for exercising supplemental jurisdiction over the other claims in the action.

* * *

* * * Nothing in § 1367 indicates a congressional intent to recognize, preserve, or create some meaningful substantive distinction between the jurisdictional categories we have historically labeled pendent and ancillary.

If § 1367(a) were the sum total of the relevant statutory language, our holding would rest on that language alone. The statute, of

course, instructs us to examine § 1367(b) to determine if any of its exceptions apply, so we proceed to that section. While § 1367(b) qualifies the broad rule of § 1367(a), it does not withdraw supplemental jurisdiction over the claims of the additional parties at issue here. The specific exceptions * * *, moreover, provide additional support for our conclusion that 1367(a) confers supplemental jurisdiction over these claims. * * * Nothing in the text of § 1367(b) * * * withholds supplemental jurisdiction over the claims of plaintiffs permissively joined under Rule 20 * * * or certified as class-action members pursuant to Rule 23 * * *. The natural, indeed the necessary, inference is that § 1367 confers supplemental jurisdiction over claims by Rule 20 and Rule 23 plaintiffs. This inference, at least with respect to Rule 20 plaintiffs, is strengthened by the fact that § 1367(b) explicitly excludes supplemental jurisdiction over claims against defendants joined under Rule 20.

We cannot accept the view * * * that a district court lacks original jurisdiction over a civil action unless the court has original jurisdiction over every claim in the complaint. As we understand this position, it requires assuming either that all claims in the complaint must stand or fall as a single, indivisible “civil action” as a matter of definitional necessity—what we will refer to as the “indivisibility theory”—or else that the inclusion of a claim or party falling outside the district court’s original jurisdiction somehow contaminates every other claim in the complaint, depriving the court of original jurisdiction over any of these claims—what we will refer to as the “contamination theory.”

The indivisibility theory is easily dismissed, as it is inconsistent with the whole notion of supplemental jurisdiction. If a district court must have original jurisdiction over every claim in the complaint in order to have “original jurisdiction” over a “civil action,” then in *Gibbs* there was no civil action of which the district court could assume original jurisdiction under § 1331, and so no basis for exercising supplemental jurisdiction over any of the claims. The indivisibility theory is further belied by our practice—in both federal-question and diversity cases—of allowing federal courts to cure jurisdictional defects by dismissing the offending parties rather than

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dismissing the entire action. * * * If the presence of jurisdictionally problematic claims in the complaint meant the district court was without original jurisdiction over the single, indivisible civil action before it, then the district court would have to dismiss the whole action rather than particular parties.

* * *

The contamination theory * * * can make some sense in the special context of the complete diversity requirement because the presence of nondiverse parties on both sides of a lawsuit eliminates the justification for providing a federal forum. The theory, however, makes little sense with respect to the amount-in-controversy requirement, which is meant to ensure that a dispute is sufficiently important to warrant federal-court attention. The presence of a single nondiverse party may eliminate the fear of bias with respect to all claims, but the presence of a claim that falls short of the minimum amount in controversy does nothing to reduce the importance of the claims that do meet this requirement.

It is fallacious to suppose, simply from the proposition that § 1332 imposes both the diversity requirement and the amount-in-controversy requirement, that the contamination theory germane to the former is also relevant to the latter. There is no inherent logical connection between the amount-in-controversy requirement and § 1332 diversity jurisdiction. After all, federal-question jurisdiction once had an amount-in-controversy requirement as well. If such a requirement were revived under § 1331, it is clear beyond peradventure that § 1367(a) provides supplemental jurisdiction over federal-question cases where some, but not all, of the federal-law claims involve a sufficient amount in controversy. * * *

We also reject the argument * * * that while the presence of additional claims over which the district court lacks jurisdiction does not mean the civil action is outside the purview of § 1367(a), the presence of additional parties does. * * * Section 1367(a) applies by its terms to any civil action of which the district courts have original jurisdiction, and the last sentence of § 1367(a) expressly contemplates that the court may have supplemental jurisdiction over additional parties. So it cannot be the case that the presence of those parties destroys the court’s original jurisdiction, within the meaning of § 1367(a), over a civil action otherwise properly before it. Also, § 1367(b) expressly withholds supplemental jurisdiction in diversity cases over claims by plaintiffs joined * * * under Rule 19. If joinder of such parties were sufficient to deprive the district court of original jurisdiction over the civil action within the meaning of § 1367(a), this specific limitation on supplemental jurisdiction in § 1367(b) would be superfluous. The argument that the presence of additional parties removes the civil action from the scope of § 1367(a) also would mean that § 1367 left the *Finley*

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result undisturbed. * * * Yet all concede that one purpose of § 1367 was to change the result reached in *Finley*.

Finally, it is suggested that our interpretation of § 1367(a) creates an anomaly regarding the exceptions listed in § 1367(b): It is not immediately obvious why Congress would withhold supplemental jurisdiction over plaintiffs joined as parties “needed for just adjudication” under Rule 19 but would allow supplemental jurisdiction over plaintiffs permissively joined under Rule 20.¹ The omission of Rule 20 plaintiffs from the list of exceptions in § 1367(b) may have been * * * [unintentional]. If that is the case, it is up to Congress rather than the courts to fix it. An alternative explanation for the different treatment of Rules 19 and 20 is that Congress was concerned that extending supplemental jurisdiction to Rule 19 plaintiffs would allow circumvention of the complete diversity rule: A nondiverse plaintiff might be omitted intentionally from the original action, but joined later under Rule 19 * * *. * * * The contamination theory described above, if applicable, means this ruse would fail, but Congress may have wanted to make assurance double sure. More generally,

Congress may have concluded that federal jurisdiction is only appropriate if the district court would have original jurisdiction over the claims of all those plaintiffs who are so essential to the action that they could be joined under Rule 19.

To the extent that the omission of Rule 20 plaintiffs from the list of § 1367(b) exceptions is anomalous, moreover, it is no more anomalous than the inclusion of Rule 19 plaintiffs in that list would be if the alternative view of § 1367(a) were to prevail. If the district court lacks original jurisdiction over a civil diversity action where any plaintiff’s claims fail to comply with all the requirements of § 1332, there is no need for a special § 1367(b) exception for Rule 19 plaintiffs who do not meet these requirements. Though the omission of Rule 20 plaintiffs from § 1367(b) presents something of a puzzle on our view of the statute, the inclusion of Rule 19 plaintiffs in this section is at least as difficult to explain under the alternative view.

And so we circle back to the original question. When the well-pleaded complaint in district court includes multiple claims, all part of the same case or controversy, and some, but not all, of the claims are within the court’s original jurisdiction, does the court have before it “any civil action of which the district courts have original jurisdiction”? It does. Under § 1367, the court has original jurisdiction over the civil action comprising the claims for which there is no jurisdictional defect. * * * Though the special nature and purpose of the diversity requirement mean that a single nondiverse party can contaminate every other claim in the lawsuit, the contamination does not occur with respect to jurisdictional defects that go

only to the substantive importance of individual claims [under the amount-in-controversy requirement].

* * *

The proponents of the alternative view of § 1367 insist that the statute is at least ambiguous and that we should look to other interpretive tools, including the legislative history * * *. We can reject this argument at the very outset simply because § 1367 is not ambiguous. * * * [I]nterpreting § 1367 to foreclose supplemental jurisdiction over plaintiffs in diversity cases who do not meet the minimum amount in controversy is inconsistent with the text * * *.

* * *

[The Court’s discussion of why the Class Action Fairness Act “has no bearing” on the analysis is omitted.]

JUSTICE STEVENS, with whom JUSTICE BREYER joins, dissenting.

* * *

The legislative history of 28 U.S.C. § 1367 provides powerful confirmation of Justice GINSBURG’s interpretation of that statute. * * *

Not only does the House Report specifically say that § 1367 was not intended to upset *Zahn* * * *, but its entire explanation of the statute demonstrates that Congress had in mind a very specific and relatively modest task—undoing this Court’s 5-to-4 decision in *Finley* * * *.

* * *

The Court’s reasons for ignoring * * * congressional intent are unpersuasive. * * * What is determinative is that the House Report explicitly rejected that broad reading of the statutory text. Such a report has special significance as an indicator of legislative intent. In Congress, committee reports are normally considered the authoritative explication of a statute’s text and purposes, and busy legislators and their assistants rely on that explication in casting their votes. * * *

JUSTICE GINSBURG, with whom JUSTICE STEVENS, JUSTICE O’CONNOR, and JUSTICE BREYER join, dissenting.

These cases present the question whether Congress, by enacting 28 U.S.C. § 1367, overruled * * * *Clark* * * * and *Zahn* * * *. *Clark* held that, when federal-court jurisdiction is predicated on a specified amount in controversy, each plaintiff joined in the litigation must independently meet the jurisdictional amount requirement. *Zahn* confirmed that in class actions governed by Federal Rule of Civil Procedure 23(b)(3), “[e]ach [class

member] . . . must satisfy the jurisdictional amount, and any [class member] who does not must be dismissed from the case.” * * * [m](#)

* * *

The Court adopts a plausibly broad reading of § 1367, a measure that is hardly a model of the careful drafter’s art. There is another plausible reading, however, one less disruptive of our jurisprudence regarding supplemental jurisdiction. * * * For the reasons that follow, I conclude that this narrower construction is the better reading of § 1367.

* * *

The rule that each plaintiff must independently satisfy the amount-in-controversy requirement, unless Congress expressly orders otherwise, was * * * the solidly established reading of § 1332 when Congress enacted the Judicial Improvements Act of 1990, which added § 1367 to Title 28.

* * *

* * * The Court should assume, as it ordinarily does, that Congress legislated against a background of law already in place and the historical development of that law. * * * Here, that background is the statutory grant of diversity jurisdiction, the amount-in-controversy condition that Congress, from the start, has tied to the grant, and the nonaggregation rule this Court has long applied to the determination of the “matter in controversy.”

* * *

* * * Under the majority’s reading, § 1367(a) permits the joinder of related claims cut loose from the nonaggregation rule that has long attended actions under § 1332. Only the claims specified in § 1367(b) * * * would be excluded from § 1367(a)’s expansion of § 1332’s grant of diversity jurisdiction. And because § 1367(b) contains no exception for joinder of plaintiffs under Rule 20 or class actions under Rule 23, * * * *Clark* and *Zahn* have been overruled. * * *

* * * But § 1367(a)’s text * * * can be read another way, one that would involve no rejection of *Clark* and *Zahn*. * * * § 1367(a) addresses “civil action[s] of which the district courts have original jurisdiction,” a formulation that, in diversity cases, is sensibly read to incorporate the rules on joinder and aggregation tightly tied to § 1332 at the time of § 1367’s enactment. On this reading, a complaint must first meet that “original jurisdiction” measurement. If it does not, no supplemental jurisdiction is authorized. If it does, § 1367(a) authorizes “supplemental jurisdiction” over related claims. In other words, § 1367(a) would preserve undiminished, as part and parcel of § 1332

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“original jurisdiction” determinations, both the “complete diversity” rule and the decisions restricting aggregation to arrive at the amount in controversy. * * *

The less disruptive view I take of § 1367 also accounts for the omission of Rule 20 plaintiffs and Rule 23 class actions in § 1367(b)’s text. If one reads § 1367(a) as a plenary grant of supplemental jurisdiction to federal courts sitting in diversity, one would indeed look for exceptions in § 1367(b). Finding none for permissive joinder of parties or class actions, one would conclude that Congress effectively, even if unintentionally, overruled *Clark* and *Zahn*. But if one recognizes that the nonaggregation rule delineated in *Clark* and *Zahn* forms part of the determination whether “original jurisdiction” exists in a diversity case, * * * then plaintiffs who do not meet the amount-in-controversy requirement would fail at the § 1367(a) threshold. Congress would have no reason to resort to a § 1367(b) exception to turn such plaintiffs away from federal court, given that their claims, from the start, would fall outside the court’s § 1332 jurisdiction. * * *

What is the utility of § 1367(b) under my reading of § 1367(a)? * * * § 1367(b) stops plaintiffs from circumventing § 1332’s jurisdictional requirements by using another’s claim as a hook to add a claim that the plaintiff could not have brought in the first instance. *Kroger* is the paradigm case. * * *

NOTES AND QUESTIONS

1. According to the majority, when does “original jurisdiction” exist in a case invoking diversity jurisdiction for purposes of 28 U.S.C. § 1367(a)? Do you agree that the presence of a single nondiverse party “contaminates” diversity jurisdiction, such that the court lacks original jurisdiction and thereby defeats supplemental jurisdiction? Why isn’t original jurisdiction destroyed by the presence of claims that do not meet the amount-in-controversy requirement?

2. Test your understanding of the principal case by answering the following problems:
- (a) A and B sue C for breach of contract. A and C are citizens of New York; B is a citizen of New Jersey. A seeks \$100,000 damages and B seeks \$50,000 damages. If the action is brought in federal court, can plaintiffs invoke either diversity or supplemental jurisdiction? Does your answer change if C is a citizen of Delaware?
 - (b) Assume the same facts as in (a), but A seeks \$50,000 damages and B seeks \$50,000.
 - (c) Assume that A, a citizen of New York, files a products liability class action against defendant company, which is incorporated and has its principal place of business in New Mexico. A alleges

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damages of \$60,000. If the suit is filed in federal court, can A invoke diversity jurisdiction? Under what circumstance could A invoke supplemental jurisdiction?

EXECUTIVE SOFTWARE NORTH AMERICA, INC. v. UNITED STATES DISTRICT COURT FOR THE CENTRAL DISTRICT OF CALIFORNIA

United States Court of Appeals, Ninth Circuit, 1994.
[24 F.3d 1545](#), overruled on other grounds. ¹¹

Executive Software North America, Inc., Craig Jensen, and Sally Jensen (“Petitioners”) petition this court for a writ of mandamus to compel the United States District Court for the Central District of California to retain jurisdiction over certain pendent state law claims filed in an employment discrimination suit against them by the plaintiff-real-party-in-interest, Donna Page. * * * For the reasons stated below, we grant the writ, but on narrower grounds than urged by the parties.

* * *

In her complaint, Page alleged two federal causes of action, (1) a claim under Title VII, 42 U.S.C. § 2000(e) *et seq.* (1988), and (2) a claim under 42 U.S.C. § 1983 (1988), as well as three state-law causes of action, including (1) a claim for unlawful religious and racial discrimination under the California Fair Employment and Housing Act (“FEHA”), * * * (2) a claim of wrongful termination in violation of the California Constitution, Art. I § 7(a), and (3) a claim for negligent supervision.

Based on the two federal claims, the defendants removed the action to federal court. Subsequently, on May 20, 1993, the district court issued an order *sua sponte* to show cause why the three state-law claims should not be remanded to state court. * * * After noting the requirements set forth in *Gibbs* [p. 353, *supra*] for exercising supplemental jurisdiction, the Court added:

Even if [the *Gibbs* test is] met, however, a federal court has discretion to decline jurisdiction over state law claims if, for instance, the state claims substantially predominate, the state claims involve novel or complex issues of state law, trial of the state and federal claims together is likely to result in jury confusion, or retention of the state claims requires the expenditure of substantial additional judicial time and effort. * * *

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The Removing Party(ies)⁹ should also be aware that this Court does not interpret the 1990 enactment of Section 1367 as restricting the discretionary factors set forth in *Gibbs*. Rather, this Court interprets Section 1367 as merely allowing this Court, at its discretion, to exercise jurisdiction over supplemental parties, which was previously foreclosed by *Finley* * * *.

The district court thereafter remanded the three state law claims, but provided no reasons.

* * *

A. Did the District Court Commit Clear Error?

The district court provided no reasons for its remand. However, in its Show Cause Order, the court stated that it did not “interpret Section 1367 as restricting the discretionary factors set forth in *Gibbs*. * * *

We find this interpretation of section 1367 erroneous. It is clear that, once it is determined that the assertion of supplemental jurisdiction is permissible under sections 1367(a) and (b), section 1367(c) provides the only valid basis upon which the district court may decline jurisdiction and remand pendent claims. Moreover, we conclude that although subsections (c)(1)–(3) appear to codify most preexisting applications of the *Gibbs* doctrine, subsection (c)(4), which also permits a court to decline jurisdiction when, “in exceptional circumstances, there are other compelling reasons,” channels the district court’s discretion to identify new grounds for declining jurisdiction more particularly than did preexisting doctrine. Accordingly, we conclude the district court erred to the extent that it relied on a basis for remanding pendent claims not permitted under section 1367(c). Finally, we conclude that, because the district court failed to articulate reasons for its remand of the pendent claims, we cannot determine whether the district court relied on a statutory ground and exercised its discretion in a permissible manner. Consequently, we conclude that the district court clearly erred.

* * *

2. The Relationship of Section 1367(c) to Gibbs

* * *

* * * Congress, in codifying supplemental jurisdiction, has chosen to codify as well the discretionary factors that warrant declining jurisdiction. * * * By use of the word “shall,” the statute makes clear that if power is conferred under section 1367(a), and its exercise is not prohibited by section 1367(b), a court can decline to assert supplemental jurisdiction over

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a pendent claim only if one of the four categories specifically enumerated in section 1367(c) applies. * * *

By selecting this statutory structure, it is clear that Congress intended section 1367(c) to provide the exclusive means by which supplemental jurisdiction can be declined by a court. Not only is this conclusion supported by the legislative history, * * * but a contrary reading of the statute would appear to render section 1367(c) superfluous. Accordingly, unless a court properly invokes a section 1367(c) category in exercising its discretion to decline to entertain pendent claims, supplemental jurisdiction must be asserted. * * *

A consequence of the statutory structure chosen by Congress is that section 1367(c) somewhat changes the nature of the *Gibbs* discretionary inquiry. Although * * * *Gibbs* and its progeny identified a number of concrete instances in which declining pendent jurisdiction normally would be appropriate, the ultimate inquiry for the courts remained whether the assertion of pendent jurisdiction “best accommodate[s] the values of economy convenience, fairness and comity.” * * * Application of these underlying values to circumstances not identified in prior cases was not only contemplated, but demanded. * * *

The statute, however, channels the application of the underlying values to a greater degree than the *Gibbs* regime, although section

1367(c) continues to recognize the doctrine’s dynamic aspects. Subsections (c)(1)–(c)(3) appear to codify concrete applications of the underlying *Gibbs* values recognized in preexisting case law. * * *

By codifying preexisting applications of *Gibbs* in subsections (c)(1)–(3), however, it is clear that Congress intended the exercise of discretion to be triggered by the court’s identification of a factual predicate that corresponds to one of the section 1367(c) categories. Once that factual predicate is identified, the exercise of discretion, of course, still is informed by whether remanding the pendent state claims comports with the underlying objective of “most sensibly accommodat[ing]” the values of “economy, convenience, fairness, and comity.” * * *

We believe that the “catchall” * * * provided by subsection (c)(4) should be interpreted in a similar manner. Subsection (c)(4) permits a discretionary remand of pendent claims when “*in exceptional circumstances*, there are *other compelling reasons* for declining jurisdiction.” * * * Congress’s use of the word “other” to modify “compelling reasons” indicates that what ought to qualify as “compelling reasons” for declining jurisdiction under subsection (c)(4) should be of the same nature as the reasons that gave rise to the categories listed in subsections (c)(1)–(3). * * *

* * * By providing that an exercise of discretion under subsection 1367(c)(4) ought to be made only in “exceptional circumstances” Congress

has sounded a note of caution that the bases for declining jurisdiction should be extended beyond the circumstances identified in subsections (c)(1)–(3) only if the circumstances are quite unusual. In short, although we find that “other compelling reasons” clearly refers the district court back to the subsection (c)(1)–(3) categories, and thus requires the court to balance the underlying values that they embody, we think “exceptional circumstances” requires an additional inquiry.

Of course, when the balance of the *Gibbs* values indicates that there are “compelling reasons” to decline jurisdiction, the underlying circumstances that inform this calculus usually will demonstrate how the circumstances confronted are “exceptional.” We do not believe, however, this always will be the case. Even when a court’s balancing of the *Gibbs* values provides, in its judgment, “compelling reasons” for declining jurisdiction, it might still be the case that the differences between the case it is confronting and the case in which supplemental jurisdiction is appropriate are not sufficient to justify the conclusion that the court would, in fact, be applying subsection (c)(4) properly. We think that it clear from the language chosen by Congress, however, that declining jurisdiction outside of subsection (c)(1)–(3) should be the exception, rather than the rule. Courts therefore must ensure that the reasons identified as “compelling” are not deployed in circumstances that threaten this principle. The inquiry is not particularly burdensome. A court simply must articulate why the circumstances of the case are exceptional in addition to inquiring whether the balance of the *Gibbs* values provide compelling reasons for declining jurisdiction in such circumstances.

We think this interpretation is compelled not only by our understanding of the meaning of the term “other” in subsection (c)(4) and a common-sense understanding of “exceptional,” but also by the statutory structure of section 1367(c). * * * Our interpretation of subsection (c)(4) carries forward this structure into that subsection: the court must identify the predicate that triggers the applicability of the category (the exceptional circumstances), and then determine whether, in its judgment, the underlying *Gibbs* values are best served by declining jurisdiction in the particular case (the compelling reasons).

* * *

With the above analysis providing the necessary conceptual foundation, we conclude that the district court clearly erred. The court, although acknowledging section 1367(c), stated that it did not rely on the statute, but *Gibbs*. Although this might be insignificant if the Show Cause Order indicated that the court considered only the codified applications of *Gibbs* enumerated therein, the court further intimated that *Gibbs* permitted it to decline jurisdiction when “retention of the state claims [would] require[] the expenditure of substantial judicial time and effort.”

If this statement was intended to go beyond preexisting applications of *Gibbs* by invoking its underlying values, it was an impermissible attempt. More fundamentally, as discussed above, subsection (c)(4) requires the district court not only to determine if consideration of the *Gibbs* values provides compelling reasons for a remand, but also to articulate how the circumstances that warrant declining jurisdiction are exceptional. * * *

LEAVY, CIRCUIT JUDGE, dissenting:

* * *

The district court committed no error unless it relied on an unauthorized ground in exercising its discretion to remand. The court did not say that it relied on an unauthorized ground nor does the record tell us that it did, unless the majority means to hold that likely jury confusion or the expenditure of substantial additional judicial time are not exceptional circumstances in which compelling reasons for declining jurisdiction can be found. The fact that the district court does not interpret the 1990 enactment of section 1367 as restricting the discretionary factors set forth in *Gibbs* is of no moment unless we can say that the trial court exceeded its lawful authority wherever it may be found.

* * *

NOTES AND QUESTIONS

1. Recall that *Gibbs* stated that pendent jurisdiction “is a doctrine of discretion, not of plaintiff’s right,” p. 356, *supra*. The Ninth Circuit in the principal case held that 28 U.S.C. § 1367(c) displaced the *Gibbs* factors, and so narrowed the district court’s discretion to decline to exercise supplemental jurisdiction. Does the Ninth Circuit’s approach transform supplemental jurisdiction into a matter of plaintiff’s right? See 13D Wright, Miller & Freer, Federal Practice and Procedure § 3567.3 (3d ed.). Would it be equally reasonable to hold that the statute codified the *Gibbs* factors so that the critical question remains whether the exercise of supplemental jurisdiction promotes convenience, fairness, and judicial economy? Alternatively, could the statute be read as channeling the court’s discretion in light of the policies announced in *Gibbs*? See *Enochs v. Lampasas County*, 641 F.3d 155, 159 (5th Cir. 2011) (stating that courts should “look to the statutory factors set forth by 28 U.S.C. § 1367(c), and to the common law factors of judicial economy, convenience, fairness, and comity” and then “consider and balance each of the factors”). The Supreme Court has not yet decided this question.

2. Does a district court have power to retain supplemental jurisdiction even after the federal claims are dismissed? Would it be an abuse of discretion to do so? Consider the following situations:

(a) The federal claims are dismissed after extensive discovery, the discovery record is closed, and the summary judgment record is

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complete. See [Redondo Construction Corp. v. Izquierdo](#), 662 F.3d 42 (1st Cir. 2011).

(b) The federal claims are dismissed by entry of a default judgment. See *Trustees of Construction Industry and Laborers Health and Welfare Trust v. Desert Valley Landscape Maint. Inc.*, 333 F.3d 923 (9th Cir. 2003).

(c) The federal claims are dismissed for failure to state a claim. See *Parra v. PacifiCare of Arizona, Inc.*, 715 F.3d 1146 (9th Cir. 2013).

3. Section 1367(d) includes a tolling provision that enables a party to refile state claims in state court after some claims asserted under Section 1367(a) are dismissed. In *JINKS v. RICHLAND COUNTY, S.C.*, 538 U.S. 456, 123 S.Ct. 1667, 155 L.Ed.2d 631 (2003), the Supreme Court held that the statute’s tolling of the state statute of limitations while the original lawsuit was pending in federal court was not unconstitutional, but rather was necessary and proper for the fair and efficient administration of the federal courts. In *ARTIS v. DISTRICT OF COLUMBIA*, 583 U.S. ___, 138 S.Ct. 594, 199 L.Ed.2d 473 (2018), the Court, five-to-four, held that the provision stops the clock on the state statute of limitations, thus suspending the limitations period while the federal action is pending and for 30 days after dismissal. Justice Gorsuch, in a dissenting opinion joined by Justices Kennedy, Thomas, and Alito, interpreted the provision as affording the plaintiff, after a dismissal of the party’s state law claim without a ruling on the merits, “whatever time state law allows, or at least 30 days, to refile the claim in state court.” *Id.* at ___, 138 S.Ct. at 608, 199 L.Ed.2d at 490.

NOTE ON NONSTATUTORY ANCILLARY JURISDICTION

After the codification of pendent and ancillary jurisdiction in 28 U.S.C. § 1367, do federal courts retain any inherent authority to exercise jurisdiction when it is not conferred by statute? This question was presented in *KOKKONEN v. GUARDIAN LIFE INSURANCE CO. OF AMERICA*, 511 U.S. 375, 114 S.Ct. 1673, 128 L.Ed.2d 391 (1994). The action involved a dispute between an insurer and an insurance agent for breach of an agency agreement. The action was filed in state court and removed to federal court on the basis of diversity jurisdiction. Pursuant to Federal Rule 41(a)(1)(ii), the parties executed a Stipulation and Order of Dismissal, which the district court signed. Later, a dispute arose about the settlement agreement, and the insurer moved to enforce that agreement. The district court entered an enforcement order asserting it had “inherent authority” to do so, rejecting the argument that it lacked subject-matter jurisdiction over the settlement. The court of appeals affirmed, and the Supreme Court reversed and remanded. Significantly, the Supreme Court acknowledged that a residual category of ancillary jurisdiction—“over some matters (otherwise beyond their competence) that are incidental to other matters properly before them”—survives the enactment of 28 U.S.C. § 1367. Generally speaking, the assertion of ancillary jurisdiction is

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limited to two purposes: “(1) to permit disposition by a single court of claims that are, in varying respects and degrees, factually interdependent”; and “(2) to enable a court to function successfully, that is, to manage its proceedings, vindicate its authority, and effectuate its decrees.” *Id.* at 380, 114 S.Ct. at 1676, 128 L.Ed.2d at 397. The Court found that neither basis was present in this case. Moreover, although parties are free to agree to the retention of judicial jurisdiction to enforce a settlement agreement, the agreement did not do so:

If the parties wish to provide for the court’s enforcement of a dismissal-producing settlement agreement, they can seek to do so. When the dismissal is pursuant to * * * Rule * * * 41(a)(2), which specifies that the action “shall not be dismissed at the plaintiff’s instance save upon order of the court and upon such terms and conditions as the court deems proper,” the parties’ compliance with the terms of the settlement contract (or the court’s “retention of jurisdiction” over the settlement contract) may, in the court’s discretion, be one of the terms set forth in the order. Even when, as occurred here, the dismissal is pursuant to Rule 41(a)(1)(ii) (which does not by its terms empower a district court to attach conditions to the parties’ stipulation of dismissal) we think the court is authorized to embody the settlement contract in its dismissal order (or, what has the same effect, retain jurisdiction over the settlement contract) if the parties agree. Absent such action, however, enforcement of the settlement agreement is for state courts, unless there is some independent basis for federal jurisdiction.

Id. at 381–82, 114 S.Ct. at 1677, 128 L.Ed.2d at 398.

E. THE SUBJECT-MATTER JURISDICTION OF THE FEDERAL COURTS—REMOVAL

Read 28 U.S.C. §§ 1441, 1442, 1443, 1445, 1446, 1447, and 1453 in the Supplement.

BACKGROUND NOTE ON REMOVAL JURISDICTION

Removal is a procedure that allows a party to relocate a suit originally filed in state court to federal court. Under the current general removal statute, only defendants can remove. Generally, all defendants, other than nominal parties, must join in the petition for removal. See *Chicago, R.I. & P. Ry. Co. v. Martin*, 178 U.S. 245, 20 S.Ct. 854, 44 L.Ed. 1055 (1900). An exception to the rule of unanimity applies to the removal of multiparty “single accident” cases under 28 U.S.C. § 1369, see 28 U.S.C. § 1441(e), as well as to class actions under the Class Action Fairness Act, see 28 U.S.C. § 1453(b), discussed in Chapter 10, *infra*.

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The United States Constitution does not mention removal, but Congress has conferred jurisdiction to hear removed cases since the First Judiciary Act of 1789. The current general removal statute, 28 U.S.C. § 1441, traces to the Judiciary Act of 1875 and amendments enacted in 1887. See Collins, *The Unhappy History of Federal Question Removal*, 71 Iowa L.Rev. 717 (1986). Special removal statutes have been enacted for specific parties and claims. E.g., 28 U.S.C. § 1442 (removal by federal officers); 28 U.S.C. § 1443 (removal of certain cases involving civil rights); 28 U.S.C. § 1453 (removal of certain interstate class actions). Congress also has barred the removal of certain kinds of claims. E.g., 28 U.S.C. § 1445 (actions against railroads under the Federal Employers’ Liability Act).

The possibility of removal gives defendants a significant veto power over plaintiff’s forum choice. See Bassett & Perschbacher, *The Roots of Removal*, 77 Brooklyn L.Rev. 1, 2 (2011). The procedure is justified on a number of grounds. From the perspective of litigant equality, removal insures that defendants as well as plaintiffs “decide which cases federal courts hear.” Haiber, *Removing the Bias Against Removal*, 53 Cath.U.L.Rev. 609, 611 (2004). Moreover, in diversity actions, removal protects an out-of-state defendant from the threat of local bias. However, it is not uncommon for a defendant to base a decision to remove on tactical reasons, which, as one commentary explains, may include such considerations as “jury verdicts, trial rules and procedure, and the availability, caseload and personality of federal judges.” Reggio, *Removal and Remand: A Guide to Navigating Between the State and Federal Courts*, 23 Miss.L.Rev. 97, 98 (2004). The strategic significance of removal is underscored by empirical studies of win-loss rates in removed actions. Plaintiff’s win rate for a case filed in federal court under diversity jurisdiction is 71 percent, but drops to 34 percent for a case filed in state court and removed under diversity jurisdiction. See Clermont & Eisenberg, *Do Case Outcomes Really Reveal Anything About the Legal System? Win Rates and Removal Jurisdiction*, 83 Cornell L.Rev. 581, 581, 593 (1998); see also Clermont, *Litigation Realities Redux*, 84 Notre Dame L.Rev. 1919, 1927 (2009).

Section 1441(a) authorizes removal “by the defendant or the defendants.” *SHAMROCK OIL & GAS CORP. v. SHEETS*, 313 U.S. 100, 105–08, 61 S.Ct. 868, 871–72, 85 L.Ed. 1214, 1217–19 (1941), presented the question whether a plaintiff could remove a state court action to the federal courts because defendant had interposed a federal counterclaim. Justice Stone, writing for a unanimous Court, answered no:

Section 12 of the Judiciary Act of 1789 * * * declared that “if a suit be commenced in any state court against an alien * * * or * * * against a citizen of another state, and the matter in dispute exceeds” the jurisdictional amount “and the defendant shall, at the time of entering his appearance in such state court, file a petition for the removal of the cause,” it shall be removable to the

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circuit court. In *West v. Aurora City*, 6 Wall. 139, 18 L.Ed. 819, this Court held that removal of a cause from a state to a federal court could be effected under § 12 only by a defendant against whom the suit is brought by process served upon him. Consequently a non-citizen plaintiff in the state court, against whom the citizen-defendant had asserted in the suit a claim by way of counterclaim which, under state law, had the character of an original suit, was not entitled to remove the cause. The Court ruled that the plaintiff, having submitted himself to the jurisdiction of the state court, was not entitled to avail himself of a right of removal conferred only on a defendant who has not submitted himself to the jurisdiction.

By § 3 of the Act of 1875 * * * the practice on removal was greatly liberalized. It authorized “either party, or any one or more of the plaintiffs or defendants entitled to remove any suit” from the state court to do so upon petition in such suit to the state court “before or at the term at which said cause could be first tried and before the trial thereof.” These provisions were continued until the adoption of the provisions of the present statute so far as now material by the Act of 1887 * * *.

We cannot assume that Congress, in thus revising the statute, was unaware of the history which we have just detailed, or certainly that it regarded as without significance the omission from the earlier act of the phrase “either party,” and the substitution for it of the phrase authorizing removal by the “defendant or defendants” in the suit, or the like omission of the provision for removal at any time before the trial, and the substitution for it of the requirement that the removal petition be filed by the “defendant” at or before the time he is required to plead in the state court.

Not only does the language of the Act of 1887 evidence the Congressional purpose to restrict the jurisdiction of the federal courts on removal, but the policy of the successive acts of Congress regulating the jurisdiction of federal courts is one calling for the strict construction of such legislation. * * *

The Supreme Court revisited this aspect of the removal statute more recently in *HOME DEPOT U.S.A., INC. v. JACKSON*, 587 U.S. ___, 139 S.Ct. 1743, 204 L.Ed.2d 34 (2019). A bank filed a debt-collection action in state court, alleging that a consumer was liable for charges he had incurred on a Home Depot credit card. The consumer responded by filing third-party class-action claims against Home Depot, alleging that it had engaged in practices that violated state law. Home Depot removed the case to federal

court, citing not only Section 1441(a) but also Section 1453(b) (the Class Action Fairness Act’s specialized removal provision for certain interstate class actions).

Writing for a five-to-four majority, Justice Thomas concluded that removal was not proper because “in the context of these removal provisions the term ‘defendant’ refers only to the party sued by the original plaintiff.” *Id.* at ___, 139 S.Ct. at 1746, 204 L.Ed.2d at 40. Although Justice Thomas recognized that “*Shamrock Oil* does not specifically address whether a party who was not the original plaintiff can remove a counterclaim filed against it,” he saw “no textual reason to reach a different conclusion for a counterclaim defendant who was not originally part of the lawsuit.” *Id.* at ___, 139 S.Ct. at 1749, 204 L.Ed.2d at 44.

In that regard, *Shamrock Oil* did not view the counterclaim as a separate action with a new plaintiff and a new defendant. Instead, the Court highlighted that the original plaintiff was still “the plaintiff.” * * * Similarly here, the filing of counterclaims that included class-action allegations against a third party did not create a new “civil action” with a new “plaintiff” and a new “defendant.”

Id. The same reasoning applied to removal under Section 1453(b), which likewise permits only a “defendant” to remove. *Id.* at ___, 139 S.Ct. at 1750, 204 L.Ed.2d at 45 (“Congress did not expand the types of parties eligible to remove a class action under § 1453(b) beyond § 1441(a)’s limits.”). Justice Alito wrote a dissent, joined by Chief Justice Roberts and Justices Gorsuch and Kavanaugh. The dissent emphasized that a third-party defendant, like an original defendant, did not choose to litigate in state court, and “might face bias there, and with it the potential for crippling unjust losses.” *Id.* at ___, 139 S.Ct. at 1752, 204 L.Ed.2d at 47 (Alito, J., dissenting).

NOTE ON REMOVAL JURISDICTION AND PROCEDURE

(1) The Requirement of Original Jurisdiction

Removal jurisdiction is a creature of statute. Under the current general removal statute, 28 U.S.C. § 1441, only a defendant may remove, and removal is available only if the action falls within the federal court’s original jurisdiction.

We earlier saw that plaintiff cannot manufacture federal jurisdiction by anticipating defendant’s federal affirmative defense in the complaint. See p. 331, *supra*. Similarly, plaintiff cannot block removal by disguising the federal nature of the claim. In *BRIGHT v. BECHTEL PETROLEUM, INC.*, 780 F.2d 766 (9th Cir. 1986), a worker challenged his employer’s practice of issuing paychecks net of state and federal income taxes, and styled the action as a state court breach of contract claim. The employer removed the case to federal court arguing that the complaint really was a challenge to the employer’s compliance

with federal tax law. The Ninth Circuit held that removal was proper: “Although the plaintiff is generally considered the ‘master of his complaint’ and is free to choose the forum for his action, this principle is not without limitation. * * * A plaintiff will not be allowed to conceal the true nature of a complaint through ‘artful pleading.’ ” *Id.* at 769. See *Miller, Artful Pleading: A Doctrine in Search of Definition*, 76 Tex.L.Rev. 1781, 1783 (1998).

Relatedly, the doctrine of derivative jurisdiction traditionally barred the removal of actions when the state court lacked original jurisdiction over the claims. In practice the doctrine barred the removal of cases within the exclusive jurisdiction of the federal court. The doctrine was premised on the view that if the state court lacked subject-matter jurisdiction, “there was, legally speaking, no action pending in the state court and hence no action which could be removed to the federal court.” See *Mach. Co. v. Freeman*, 131 F.2d 190, 194 (1st Cir. 1942), affirmed 319 U.S. 448, 63 S.Ct. 1146, 87 L.Ed. 1509 (1943). In 1986, Congress abrogated the derivative jurisdiction doctrine, making clear “that a federal court’s removal jurisdiction over a claim is not predicated upon the state court having subject-matter jurisdiction over that claim.” 14B *Wright, Miller & Steinman, Federal Practice and Procedure* § 3721 (4th ed.). In 2002, this provision was recodified as 28 U.S.C. § 1441(f) and limited to removal under 28 U.S.C. § 1441.

Finally, an important but complex doctrine governs claims that are “necessarily federal” and removable to federal court because the state claim is extinguished by federal law—known as the doctrine of complete preemption. *Seinfeld, The Puzzle of Complete Preemption*, 155 U.Pa.L.Rev. 537, 567 (2007). As the Supreme Court has explained, “[I]f a federal cause of action completely preempts a state cause of action any complaint that comes within the scope of the federal cause of action necessarily ‘arises under’ federal law.” *Franchise Tax Bd. of State of California v. Construction Laborers Vacation Trust for Southern California*, 463 U.S. 1, 24, 103 S.Ct. 2841, 2854, 77 L.Ed.2d 420, 440 (1983).

(2) Removal Based on Diversity Jurisdiction—Citizenship

A number of special rules apply when defendant seeks to remove on the basis of diversity jurisdiction. Section 1441(b)(2) bars removal “solely”

on the basis of diversity jurisdiction “if any of the parties in interest properly joined and served as defendants is a citizen of the State in which such action is brought.” What is the rationale for preventing in-state defendants from removing based on diversity jurisdiction?

In *LIVELY v. WILD OATS MARKETS, INC.*, 456 F.3d 933 (9th Cir. 2006), cert. denied, 549 U.S. 1207, 127 S.Ct. 1265, 167 L.Ed.2d 77 (2007), plaintiff did not object to removal. After the case had been pending for eight months, the district court determined that defendant was a citizen of the forum state and so remanded the action. The Ninth Circuit reversed, holding that the forum-state bar is a procedural, not a jurisdictional, rule and so subject to waiver. The circuits currently are divided on this question. See Metzler, Jr., *A Lively Debate: The Eighth Circuit and the Forum Defendant Rule*, 36 Wm. Mitchell

L.Rev. 1638 (2010); see also Dodson, *In Search of Removal Jurisdiction*, 102 Nw.U.L.Rev. 55 (2008).

Another special rule in diversity cases involves the judicial ban on fraudulent joinder, the situation when a plaintiff joins a nondiverse party in an effort to block removal. Removal is permitted if plaintiff has no cause of action against the nondiverse defendant; the district court may sever the nondiverse party from the action under Federal Rule 21. See Percy, *Making a Federal Case of It: Removing Civil Cases to Federal Court Based on Fraudulent Joinder*, 91 Iowa L.Rev. 189 (2005). Some courts will remand the case to allow the diverse defendant to move for severance and then to remove. See *Osborn v. Metropolitan Life Ins. Co.*, 341 F.Supp.2d 1123 (E.D.Cal. 2004). Which approach is preferable? See Marple, *Removal to Federal Court Based on Misjoinder of Parties*, 41 Tex.Tech L.Rev. 551 (2009).

Relatedly, a plaintiff may try to block removal by joining a nondiverse state law claim with an unrelated federal claim. See 28 U.S.C. § 1441(c). The current statute became effective in 2012. What is the constitutional significance of requiring the district court to sever and remand the claim that is nonremovable? Removal also is permitted when a federal claim is joined with a claim that is nonremovable by statute (for example, an action under a state worker’s compensation law). See 14B Wright, Miller & Steinman, *Federal Practice and Procedure* § 3722.3 (4th ed.).

(3)Removal Based on Diversity Jurisdiction— the Amount-in-Controversy

When jurisdiction is based on diversity jurisdiction, the case must meet the amount-in-controversy requirement. Explain whether the following situations will affect removal on the basis of diversity jurisdiction:

- (a)After removal, plaintiff amends the complaint to demand relief that is less than the amount-in-controversy requirement.
- (b)The complaint seeks recovery for “no more than \$75,000.”
- (c)The complaint seeks declaratory relief.
- (d)The complaint does not seek a sum certain for relief in a state that does not require an ad damnum clause.

In 2012, Congress amended the removal statute as it affects the jurisdictional amount. See 28 U.S.C. § 1446(c). The Supreme Court interpreted this provision in *DART CHEROKEE BASIN OPERATING CO. v. OWENS*, 574 U.S. 81, 135 S.Ct. 547, 190 L.Ed.2d 495 (2014), a case involving removal under the Class Action Fairness Act (CAFA), 28 U.S.C. §§ 1332(d) and 1453. The Court stated:

When a plaintiff invokes federal-court jurisdiction, the plaintiff’s amount-in-controversy allegation is accepted if made in good faith.* * * Similarly, when a defendant seeks federal-court adjudication, the defendant’s amount-in-controversy allegation

should be accepted when not contested by the plaintiff or questioned by the court. * * *

If the plaintiff contests the defendant’s allegation, § 1446(c)(2)(B) instructs: “[R]emoval . . . is proper on the basis of an amount in controversy asserted” by the defendant “if the district court finds, by the preponderance of the evidence, that the amount in controversy exceeds” the jurisdictional threshold. * * * This provision * * * clarifies the procedure in order when a defendant’s assertion of the amount in controversy is challenged. In such a case, both sides submit proof and the court decides, by a preponderance of the evidence, whether the amount-in-controversy requirement has been satisfied.

Id. at 87–88, 135 S.Ct. at 553–54, 190 L.Ed.2d at 503. Should *Dart Cherokee* apply when the suit does not involve CAFA? The Court emphasized the fact that “no antiremoval presumption attends cases invoking CAFA,” but left open “whether such a presumption is proper in mine-run diversity cases.” *Id.* at 89, 135 S.Ct. at 554, 190 L.Ed.2d at 504. CAFA is discussed in Chapter 10, *infra*.

(4)Removal Procedure and Time Limits

Removal is subject to a number of different time limits.

- (a)What is the trigger date in an action involving multiple defendants who are served at different times? See 28 U.S.C. § 1446(b).
- (b)What is the time limit when removal is based on diversity of citizenship? See 28 U.S.C. § 1446(c).
- (c)Would it be proper for a defendant who has been joined but not yet served to seek removal—a practice known as “snap removal”? See 28 U.S.C. § 1446(b)(2)(A).
- (d)If a suit is not removable based on the initial pleading, what are defendant’s options if a later filing in the suit indicates a basis for removal? See 28 U.S.C. § 1446(b)(3).
- (e)What is the time limit if plaintiff acts in bad faith to block removal, for example, by deliberately refusing to disclose the actual amount in controversy? See 28 U.S.C. § 1446(c)(3)(B).

(5)Removal and Supplemental Jurisdiction

Supplemental jurisdiction, standing alone, may not be invoked as a basis for removal. However, in CITY OF CHICAGO v. INTERNATIONAL COLLEGE OF SURGEONS, 522 U.S. 156, 118 S.Ct. 523, 139 L.Ed.2d 525 (1997), the Supreme Court clarified that supplemental jurisdiction may be exercised to permit removal in state court cases that also include claims for which there would be original jurisdiction in federal court. The Court noted that “[t]he propriety of removal * * * depends on whether the case originally could have been filed in federal court,” and that Section 1367(a) “applies with

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equal force to cases removed to federal court as to cases initially filed there.” Id. at 163, 165, 118 S.Ct. at 529, 530, 139 L.Ed.2d at 534, 535. If the federal claim on which removal is based is dismissed, the district court has discretion to remand the supplemental state claims to state court. See Carnegie-Mellon Univ. v. Cohill, 484 U.S. 343, 108 S.Ct. 614, 98 L.Ed.2d 720 (1988); see also 28 U.S.C. § 1367(c)(3) (permitting a district court to “decline to exercise supplemental jurisdiction” when “the district court has dismissed all claims over which it has original jurisdiction”).

F. CHALLENGING THE SUBJECT-MATTER JURISDICTION OF THE COURT

1.DIRECT ATTACK ON A COURT’S LACK OF SUBJECT-MATTER JURISDICTION

Read Federal Rules of Civil Procedure 8(a)(1), 12(b)(1), 12(h)(3), and 60(b)(4), Form 40, and 28 U.S.C. § 1653 in the Supplement.

NOTES AND QUESTIONS

1. A defect in subject-matter jurisdiction may be raised by any party and by the court sua sponte, at any time during the proceeding, including for the first time on appeal. Moreover, it is settled that the jurisdiction of a federal court may not be created by agreement or by consent. See Mansfield, C. & L. M. Ry. Co. v. Swan, 111 U.S. 379, 4 S.Ct. 510, 28 L.Ed. 462 (1884).

2.Must a district court determine that subject-matter jurisdiction exists before making any other decision in the suit? In STEEL CO. v. CITIZENS FOR A BETTER ENVIRONMENT, 523 U.S. 83, 118 S.Ct. 1003, 140 L.Ed.2d 210 (1998), the Supreme Court underscored that the “requirement that jurisdiction be established as a threshold matter ‘springs from the nature and limits of the judicial power of the United States’ and is ‘inflexible and without exception.’ ” Id. at 94–95, 118 S.Ct. at 1012, 140 L.Ed.2d at 227 (citations omitted). It follows, the Court explained, that it is impermissible for a lower court to exercise “hypothetical” jurisdiction to resolve questions of law. Id. at 101, 118 S.Ct. at 1016, 140 L.Ed.2d at 231. See Steinman, *After Steel Co.: “Hypothetical Jurisdiction” in the Federal Appellate Courts*, 58 Wash. & Lee L.Rev. 855 (2001).

However, in RUHRGAS AG v. MARATHON OIL CO., 526 U.S. 574, 119 S.Ct. 1563, 143 L.Ed.2d 760 (1999), the Supreme Court unanimously held that the lower court’s inquiry into personal jurisdiction could precede that of subject-matter jurisdiction. The Court explained:

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Where * * * a district court has before it a straightforward personal jurisdiction issue presenting no complex question of state law, and the alleged defect in subject matter jurisdiction raises a difficult and novel question, the court does not abuse its discretion by turning directly to personal jurisdiction.

Id. at 588, 119 S.Ct. at 1572, 143 L.Ed.2d at 773. See Friedenthal, *The Crack in the Steel Case*, 68 Geo.Wash.L.Rev. 258, 259 (2000). Similarly, the Court has held that a district court may dismiss an action on grounds of forum non conveniens before resolving that subject-matter jurisdiction exists. See *Sinochem*, p. 432, *infra*. For a criticism of post-*Steel* cases, see Idleman, *The Emergence of Jurisdictional Resequencing in the Federal Courts*, 87 Cornell L.Rev. 1 (2001).

3.Is a district court’s remand order reviewable by appeal? The text of 28 U.S.C. § 1447(d) appears to bar appellate review of all remand orders other than in cases removed under 28 U.S.C. § 1442 (removal by federal officers) and 28 U.S.C. § 1443 (removal of certain cases involving civil rights). See Steinman, *Reinventing Appellate Jurisdiction*, 48 B.C.L.Rev. 1237 (2007). However, the Supreme Court has held that only remands based on grounds stated in Section 1447(c)—a lack of subject-matter jurisdiction or a procedural defect—are immune from review. See *Powerex Corp. v. Reliant Energy Services, Inc.*, 551 U.S. 224, 127 S.Ct. 2411, 168 L.Ed.2d 112 (2007). In *CARLSBAD TECHNOLOGY, INC. v. HIF BIO, INC.*, 556 U.S. 635, 129 S.Ct. 1862, 173 L.Ed.2d 843 (2009), the Court held that a remand order declining to exercise supplemental jurisdiction is reviewable by appeal notwithstanding Section 1447(d). Special rules apply to the review of remand orders in suits under the Class Action Fairness Act. See 28 U.S.C. § 1453(c).

In *BP P.L.C. v. MAYOR & CITY COUNCIL OF BALTIMORE*, 593 U.S. ___, 141 S.Ct. 1532, 209 L.Ed.2d 631 (2021), the Supreme Court addressed the provision of Section 1447(d) authorizing appellate review of “an order remanding a case to the State court from which it was removed pursuant to section 1442 or 1443.” Plaintiffs in that case sued various energy companies in Maryland state court, asserting state causes of action alleging that defendants promoted fossil fuels while concealing their environmental impacts. Defendants removed the case to federal court on several grounds. They primarily argued for removal under 28 U.S.C. § 1441, on the theory that plaintiffs’ claims necessarily arose under federal common law and, accordingly, federal subject-matter jurisdiction existed under 28 U.S.C. § 1331. But defendants asserted other grounds for removal as well—

including federal officer removal under 28 U.S.C. § 1442. The district court rejected all of defendants’ grounds for removal—including federal officer removal—and ordered the case remanded to state court.

On appeal, defendants argued that the exception in Section 1447(d) permitted appellate review not only of the district court’s ruling on federal officer removal, but also its rulings on their other grounds for removal. In a 7–1 decision (Justice Alito did not participate), the Supreme Court agreed. As

long as a defendant “premised removal in part on the federal officer removal statute, § 1442, or the civil rights removal statute, § 1443,” the appellate court could review the district court’s rulings on every ground for removal asserted. 593 U.S. at ___, 141 S.Ct. at 1536, 209 L.Ed.2d at 637. Justice Gorsuch’s majority opinion reasoned that “the statute allows courts of appeals to examine the whole of a district court’s ‘order,’ not just some of its parts or pieces.” Id. at ___, 141 S.Ct. at 1537–38, 209 L.Ed.2d at 639.

The Court also addressed plaintiffs’ argument that the majority’s interpretation of Section 1447(d) would encourage “gamesmanship” by defendants, who “may frivolously add § 1442 or § 1443 to their other grounds for removal, all with an eye to ensuring appellate review down the line if the case is remanded”:

[T]hanks to § 1447(c) a district court may order a defendant to pay the plaintiff’s costs and expenses (including attorney’s fees) if it frivolously removes a case from state court. Additionally, the Federal Rules of Civil Procedure allow courts to sanction frivolous arguments made in virtually any context. Rules 11(b)–(c).
Id. at ___, 141 S.Ct. at 1542–43, 209 L.Ed.2d at 645.

Justice Sotomayor was the lone dissenter. She wrote that the majority’s interpretation “lets defendants sidestep § 1447(d)’s bar on appellate review by shoehorning a § 1442 or § 1443 argument into their case for removal. In other words, it lets the exception swallow the rule.” Id. at ___, 141 S.Ct. at 1543, 209 L.Ed.2d at 646 (Sotomayor, J., dissenting). Justice Sotomayor also cast doubt on the majority’s view that the possibility of sanctions would deter gamesmanship by defendants seeking a federal forum, noting that “[a] federal-officer claim can be so weak it is not worth pursuing on appeal, but not so meritless as to warrant sanctions.” Id. at ___, 141 S.Ct. at 1547, 209 L.Ed.2d at 649. In the *BP* case itself, defendants “no longer advance their argument under § 1442, * * * [y]et that argument somehow opens a back door to appellate review that would otherwise be closed to them.” Id.

4.What are the consequences if a district court fails to remand an action that was improperly removed, but the jurisdictional defect is cured before a judgment on the merits is entered? In considering this question, the Supreme Court has drawn a line between “jurisdictional cures” that involve a change in the parties to the action, and those that involve post-filing changes to a party’s citizenship.

In *CATERPILLAR INC. v. LEWIS*, 519 U.S. 61, 117 S.Ct. 467, 136 L.Ed.2d 437 (1996), the district court mistakenly retained removal jurisdiction despite the absence of complete diversity. Diversity became complete prior to trial when the nondiverse party was formally dismissed from the action. The Sixth Circuit held it was error not to have remanded and vacated the district court’s judgment. The Supreme Court, in a unanimous decision, reversed, emphasizing the “overwhelming” effect of “considerations of finality, efficiency, and economy.” Id. at 75, 117 S.Ct. at 476, 136 L.Ed.2d at 451. By contrast, in

GRUPO DATAFLUX v. ATLAS GLOBAL GROUP, L.P., 541 U.S. 567, 124 S.Ct. 1920, 158 L.Ed.2d 866 (2004), complete diversity became present when the citizenship of plaintiff, a limited partnership, changed while the action was pending due to the withdrawal of two Mexican citizens who were partners at the time of filing. The Supreme Court, in a five-to-four decision, adhered to the time-of-filing rule and refused to extend the *Caterpillar* rationale to this situation. See Simpson-Wood, *Has the Seductive Siren of Judicial Frugality Ceased to Sing?: Dataflux and Its Family Tree*, 53 Drake L.Rev. 281 (2005).

2.COLLATERAL ATTACK ON A JUDGMENT FOR LACK OF SUBJECT-MATTER JURISDICTION

NOTES AND QUESTIONS

1. An old and repeated maxim of jurisdiction doctrine is that a judgment rendered by a court that lacked jurisdiction over the subject matter (or the “cause,” to use the older terminology) is void and a nullity. See *The Case of the Marshalsea*, 10 Co. Rep. 68b, 77 Eng. Rep. 1027 (K.B. 1613); *Elliot v. Peirsol’s Lessee*, 26 U.S. (1 Pet.) 328, 7 L.Ed. 164 (1828). However, the subject is considerably more complex than the maxim would indicate. The question of when a judgment is vulnerable to collateral attack for lack of subject-matter jurisdiction remains particularly vexing.

Section 10 of the Restatement (First) of Judgments (1942) stated that if the court in the original action determined that it had subject-matter jurisdiction, the permissibility of collateral attack depended on weighing a non-exclusive list of factors:

- (a)the lack of jurisdiction over the subject matter was clear;
- (b)the determination as to jurisdiction depended upon a question of law rather than of fact;
- (c)the court was one of limited and not of general jurisdiction;
- (d)the question of jurisdiction was not actually litigated;
- (e)the policy against the court’s acting beyond its jurisdiction is strong.

Restatement (Second), Judgments §§ 12, 69 (1982) takes the approach that the judgment in a contested action, whether or not the question of subject-matter jurisdiction actually was litigated, is beyond collateral attack unless there are no justifiable interests of reliance that must be protected, and:

- (a) the subject matter of the action was so plainly beyond the court’s jurisdiction that its entertaining the action was a manifest abuse of authority; or
- (b) allowing the judgment to stand would substantially infringe the authority of another tribunal or agency of government; or

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- (c) the judgment was rendered by a court lacking capability to make an adequately informed determination of a question concerning its own jurisdiction and as a matter of procedural fairness the party seeking to avoid the judgment should have opportunity belatedly to attack the court’s subject-matter jurisdiction.

In addition, collateral challenge generally is permitted under the Restatement (Second) when the judgment is entered by default. *Id.* at § 65. Does this approach go far enough, or too far, toward giving preclusive effect to the original court’s judgment? See generally Moore, *Collateral Attack on Subject-Matter Jurisdiction: A Critique of the Restatement (Second) of Judgments*, 66 Cornell L.Rev. 534 (1981).

2. In *CHICOT COUNTY DRAINAGE DISTRICT v. BAXTER STATE BANK*, 308 U.S. 371, 60 S.Ct. 317, 84 L.Ed. 329 (1940), parties who had notice but chose not to appear in the original action attempted to attack collaterally a judgment rendered by a district court sitting as a court of bankruptcy under a statute that was later declared unconstitutional. The Supreme Court refused to allow the attack:

- * * * If the general principles governing the defense of *res judicata* are applicable, [respondents], having the opportunity to raise the question of invalidity, were not the less bound by the decree because they failed to raise it. * * *
- * * * The lower federal courts are all courts of limited jurisdiction, that is, with only the jurisdiction which Congress has prescribed. But nonetheless they are courts with authority * * * to determine whether or not they have jurisdiction to entertain the cause and for this purpose to construe and apply the statute under which they are asked to act. Their determinations of such questions, while open to direct review, may not be assailed collaterally.

Id. at 375–76, 60 S.Ct. at 319, 84 L.Ed. at 333. In *TRAVELERS INDEMNITY CO. v. BAILEY*, 557 U.S. 137, 129 S.Ct. 2195, 174 L.Ed.2d 99 (2009), the Court relied on *Chicot* to bar a collateral challenge to a bankruptcy court’s order.

By contrast, collateral attack was allowed in *KALB v. FEUERSTEIN*, 308 U.S. 433, 60 S.Ct. 343, 84 L.Ed. 370 (1940), decided the same day as *Chicot*. The questions for decision in *Kalb* were whether a state court had jurisdiction to render a judgment confirming a foreclosure sale while the mortgagor’s petition under the Bankruptcy Act was pending in a bankruptcy court, and, if not, whether the mortgagor was prohibited from attacking the state-court judgment collaterally. The Court answered both questions in the negative:

- * * * It is generally true that a judgment by a court of competent jurisdiction bears a presumption of regularity and is not thereafter subject to collateral attack. But Congress, because its power over the subject of bankruptcy is plenary, may by specific bankruptcy legislation create an exception to that principle and render judicial acts taken with respect to the person or property of a debtor whom

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the bankruptcy law protects nullities and vulnerable collaterally. * * *

We think the language and broad policy of the * * * Act conclusively demonstrate that Congress intended to, and did deprive the Wisconsin County Court of the power and jurisdiction to continue or maintain in any manner the foreclosure proceedings against appellants without the consent * * * of the bankruptcy court * * *.

Id. at 438–40, 60 S.Ct. at 346, 84 L.Ed. at 374–75.

Which of the categories in the two Restatements seems determinative of the *Kalb* case? Are *Chicot* and *Kalb* reconcilable? See Boskey & Braucher, *Jurisdiction and Collateral Attack: October Term*, 1939, 40 Colum.L.Rev. 1006 (1940).

The Court again considered the question of collateral challenge for a defect in subject-matter jurisdiction in *DURFEE v. DUKE*, 375 U.S. 106, 84 S.Ct. 242, 11 L.Ed.2d 186 (1963), involving a dispute over title to a tract of bottom land on the Missouri River, which forms the boundary between Nebraska and Missouri. A Missouri federal district court allowed collateral attack on a Nebraska judgment quieting title, on the ground that considerations of territorial sovereignty outweighed the policies of *res judicata*. The Nebraska court’s subject-matter jurisdiction depended on whether the land was within Nebraska, which “depended entirely upon a factual question—whether a shift in the river’s course had been caused by avulsion or accretion.” The question had been fully litigated in the Nebraska action. The Supreme Court reversed:

- * * * [W]hile it is established that a court in one State, when asked to give effect to the judgment of a court in another State, may constitutionally inquire into the foreign court’s jurisdiction to render that judgment, the modern decisions of this Court have carefully delineated the permissible scope of such an inquiry. From these decisions there emerges the general rule that a judgment is entitled to full faith and credit—even as to questions of jurisdiction—when the second court’s inquiry discloses that those questions have been fully and fairly litigated and finally decided in the court which rendered the original judgment. * * *

To be sure, the general rule of finality of jurisdictional determinations is not without exceptions. Doctrines of federal preemption or sovereign immunity may in some contexts be controlling. *Kalb v. Feuerstein* * * *. But no such overriding considerations are present here.

Id. at 111, 114, 84 S.Ct. at 245–47, 11 L.Ed.2d at 191–193. The decision in *Durfee* was followed in *UNDERWRITERS NATIONAL ASSURANCE CO. v. NORTH CAROLINA LIFE & ACC. & HEALTH INS. GUAR. ASS’N*, 455 U.S. 691, 102 S.Ct. 1357, 71 L.Ed.2d 558 (1982). See generally 18A Wright, Miller & Cooper, *Federal Practice and Procedure* § 4428 (3d ed.); Dobbs, *The Validation of Void Judgments: The Bootstrap Principle, Part I*, 53 Va.L.Rev.

1003 (1967); Note, *Filling the Void: Judicial Power and Jurisdictional Attacks on Judgments*, 87 Yale L.J. 164 (1977). Although older decisions and commentary refer to judgments rendered without subject-matter jurisdiction as “void,” the Second Restatement of Judgments no longer uses that term. The Reporter’s Note observed:

While a court should have subject matter jurisdiction of a controversy that the court purports to adjudicate, it does not follow that a judgment rendered by a court lacking subject matter jurisdiction is legally ineffective. Indeed, under modern law, * * * such a judgment is usually as effective as if the court had jurisdiction. Using the term “void” only introduces a term that must be qualified into near insignificance.

Restatement (Second), Judgments § 11, Reporter’s Note (1982), The enforceability of judgments is studied in Chapter 17, *infra*.

^aRule 5015 of the New York Civil Practice Law and Rules allows a party to move for relief from an order that was entered without jurisdiction.

^bAn exception is that the Supreme Court may exercise its original jurisdiction even without statutory authorization from Congress. See *Arizona v. California*, 373 U.S. 546, 564, 83 S.Ct. 1468, 1479, 10 L.Ed.2d 542, 557 (1963).

^cSome courts and commentators refer to this jurisdictional grant as “alienage jurisdiction.” Consistent with the language of Article III and Section 1332 itself, we prefer “foreign-party jurisdiction.”

^dSource: United States Courts, Caseload Statistics Data Tables, Chiefly Table C-2, www.uscourts.gov/statistics-reports/caseload-statistics-data-tables. The large number of diversity cases reported in 2020 is greatly influenced by an enormous multidistrict litigation (MDL) proceeding, *In re: 3M Combat Arms Earplug Products Liability Litigation*, that began in 2019 and grew to include over 200,000 cases. See 2022 WL 504451, at *5 (N.D.Fla. 2022) (noting “the more than 200,000 cases in this MDL”). MDLs are studied in Chapter 5, Section B & Chapter 9, Section H, *infra*.

^eAt the time of the lawsuit, the amount-in-controversy requirement was a sum that exceeded \$50,000.00.

^fAlteration in original.

^gAlteration in original.

^hMunicipalities and other governmental units have since been held to be amenable to suit under 42 U.S.C. § 1983. See *Monell v. Dep’t of Soc. Servs.*, 436 U.S. 658, 98 S.Ct. 2018, 56 L.Ed.2d 611 (1978).

ⁱThe problem concerned the Missouri River, which generally marks the boundary between Iowa and Nebraska. Carter Lake, Iowa, where the accident occurred and where Owen had its main office, lies west of the river, adjacent to Omaha, Nebraska. Apparently, the river had avulsed at one of its bends, cutting Carter Lake off from the rest of Iowa. See Oakley, *The Story of Owen Equipment v. Kroger: A Change in the Weather of Federal Jurisdiction*, in *Civil Procedure Stories* 81–134 (Clermont ed., 2d ed. 2008).

^jAlteration and emphasis in original.

^kAlteration in original.

^lFederal Rule 19 now refers to “required party.”

^mAlteration in original.

ⁿA portion of the decision was overruled in *California Dept. of Water Resources v. Powerex Corp.*, 533 F.3d 1087 (9th Cir. 2008) (holding that a district court’s discretionary decision to decline supplemental jurisdiction under 28 U.S.C. § 1367(c) must be challenged by an appeal under 28 U.S.C. § 1291 and not by a petition for a writ of mandamus).

^oIn original.

CHAPTER 5

VENUE, TRANSFER, AND FORUM NON CONVENIENS



This chapter considers venue, a doctrine that concerns the geographic location of a lawsuit. Venue plays an important administrative role by allocating cases among courts of the same type within a single judicial system, which can prevent docket congestion. Venue also helps to protect a defendant from having to litigate in a forum that has jurisdiction but nevertheless is inconvenient. Unlike personal jurisdiction and subject-matter jurisdiction, the venue of a civil action does not raise any federal constitutional questions. However, as an aspect of forum choice, the venue of an action holds great strategic significance for a party’s litigation success.

A. VENUE

1.GENERAL PRINCIPLES

STEVENS, VENUE STATUTES: DIAGNOSIS AND PROPOSED CURE, 49 Mich.L.Rev. 307, 308–15 (1951):

* * * Given a cause of action, and having decided what court has jurisdiction over the subject matter, the lawyer must lay the venue, that is, select the place * * * [for litigating the case]. In making this decision, the lawyer in every state of the United States turns in the first instance, not to common law, but to statute, constitutional provision or rule of court. And he finds that the “proper” venue of his

action depends upon the theory of his claim, the subject matter of his claim, the parties involved, or a combination of these factors.

Most codes make provision for the place of trial in local actions, and all codes provide in one way or another for venue in transitory actions arising both within and without the state. Many states make special provision for divorce actions, actions against executors, and actions for the specific recovery of personal property. Most states also provide for venue in actions against residents, against nonresidents, against corporations, domestic and foreign, against partnerships, associations and individuals doing business in the state, and against the state, or a county, or a city or public officers generally or specifically. The nature of the plaintiff, as a resident

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or nonresident, corporation, domestic or foreign, or political entity, is another factor frequently considered and provided for. * * *

A comparative study of contemporary venue provisions reveals some thirteen different fact situations upon which venue statutes are predicated.

A. *Where the subject of action or part thereof is situated.* The common law concept of actions which were local because the facts could have occurred only in a particular place still persists. As might well be expected, the proper venue for such actions is the county where the subject of the action is situated. There is, however, considerable variation from state to state as to what types of cases are local and fall into this category. * * *

This type of venue * * * is based upon the idea that the court of the county in which the res, which is the subject matter of the suit, is located is best able to deal with the problem. The local sheriff can attach, deliver or execute upon the property. The local clerk can make the necessary entries with a minimum of red tape where title to land is affected. Trial convenience is served where “a view” is necessary or of value in reaching a determination. Third parties can readily ascertain, at a logical point of inquiry, the status of a res in which they may be interested.

It is submitted that these factors are of sufficient importance in this type of case to outweigh other considerations such as convenience of parties or witnesses in the selection of place of trial. * * *

B. *Where the cause of action, or part thereof, arose or accrued.* Convenience of witnesses is the most logical reason for venue provisions allowing the action to be brought in the county where the cause of action, or part thereof, arose or accrued. And since convenience of witnesses is a very practical problem in the trial of a law suit, one would expect to find venue based upon the place where the cause of action arose or accrued a rather common, and general, provision. * * *

The idea behind this type of venue provision * * * is sound and popular. * * * However, its usefulness has been somewhat impaired by difficulties arising out of problems of statutory interpretation. First, what do the words “arose” and “accrued” mean? Second, what is the difference, if any, between “arose” and “accrued”? And, third, what is the meaning of the phrase “or part thereof”? * * *

C. *Where some fact is present or happened.* There is a sizeable group of statutes which provide * * * [hearing] the action in the county where some particular fact or fact situation related to, but no part of, the cause of action is present or happened. * * *

If the purpose of venue is * * * convenience, either of parties, or witnesses, or the court or court officials, then it is hard to find any real justification for this group of venue provisions. Most if not all of them are examples of singling out certain specific types of actions for special

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treatment where a need for special treatment is not or at least no longer [is] apparent. * * *

D. *Where the defendant resides.* Convenience of the defendant is the reason usually given for venue statutes which provide for the place of trial in the county where the defendant resides—the theory probably being, as suggested by Professor E.R. Sunderland, “that since the plaintiff controls the institution of the suit he might behave oppressively toward the defendant unless restrained.” * * *

E. *Where the defendant is doing business.* * * * Convenience of the defendant, and of witnesses, appears to be the reason behind such provisions where they are tied to causes of action arising out of the doing of business in the state. Convenience of the defendant, and even more clearly, convenience of the plaintiff, by providing a county in which to lay the venue against a nonresident individual, partnership, company or corporation without undue inconvenience to defendant, is served by the broader type of provision—against certain classes of defendants generally. * * *

F. *Where defendant has an office or place of business, or an agent, or representative, or where an agent or officer of defendant resides.* [These venue statutes] * * * are quite common where a corporation, company or some other type of business organization is the defendant. Convenience of the plaintiff, rather than the defendant, is the moving consideration behind such statutes in most instances. * * *

G. *Where the plaintiff resides.* * * *

Convenience of the plaintiff is the obvious reason behind venue statutes of this nature. Convenience of plaintiff’s witnesses may or may not be served, depending upon the nature of the action. * * * In certain types of cases against certain classes of defendants—such as an action on a foreign cause of action against a nonresident—this type of provision is both logical and practical. * * *

H. *Where the plaintiff is doing business.* * * * Obviously the convenience of the plaintiff is the sole consideration behind such a

provision. It is submitted that other * * * convenience [factors] such as convenience of witnesses and of the defendant are more important, and that in view of the number of adherents to this ground of venue, it would be wise to advocate its abandonment. * * *

I. *Where the defendant may be found.* Venue based upon the county where the defendant may be found is in accord with the common law doctrine that the right of action follows the person. * * *

It is difficult to find any sound reason for venue based upon where the defendant may be found. It serves no useful purpose—no * * * convenience of either witnesses or parties. It is a good example of a historical hang-

over—a type of provision which has long since outlived its usefulness. The problem which this type of provision was designed to solve was and is not one of venue but of service of process. * * *

J. *Where the defendant may be summoned or served.* Another group of statutes, also based upon the common law doctrine that the right of action follows the person, provides that venue may be laid in the county where the defendant may be summoned, or served with process. * * *

The comments which were made with respect to venue based upon where the defendant may be found apply with equal force to this type of provision. * * *

K. *In the county designated in the plaintiff’s complaint.* * * *

Venue provisions of this type give the plaintiff an unnecessary economic advantage not warranted by convenience of parties or witnesses. In the interests of justice and trial convenience they should be eliminated.

L. *In any county.* The broadest venue provision on the books is that which provides that the plaintiff may lay the venue in any county. * * *

M. *Where the seat of government is located.* * * *

Statutes of this sort have a sound and practical reason behind them. With one exception, this type of provision is reserved for actions by or against governmental units or agencies. Convenience of the government appears to be the controlling factor. * * *

NOTES AND QUESTIONS

1. Professor Stevens’ explanation of venue is as relevant now as it was when published in 1951. However, in the decades since he wrote, venue largely has become the site of pretrial proceedings, leading to settlement or summary judgment, and not of a trial on the merits. Why is it necessary to superimpose venue requirements on a soundly conceived jurisdictional system, especially one that includes an analysis of party convenience? See Clermont, *Restating Territorial Jurisdiction and Venue for State and Federal Courts*, 66 Cornell L.Rev. 411 (1981). Does venue serve an additional function of protecting the judicial system from inconvenience?

2.Should the rules governing venue in a state system differ from those in the federal system? Does the territorial size of the judicial system affect your analysis? Within the federal system, what is the significance of venue in cases where a federal statute permits nationwide service of process? See p. 233, supra. Relatedly, the state and federal systems make use of specialized courts, such as the Surrogate’s Court where the accounting in *Mullane* took place, see p. 237, supra. Should the venue rules be different for these specialized courts?

3.What information might be relevant in drafting a venue statute for where state contract, tort, and property actions can be heard? Should any weight be given to the size of damage awards in comparable cases in different

regions or cities? How much weight ought to be given to the parties’ preferences rather than to the systemic interest of a state in having its courts avoid an inconvenient lawsuit?

4.In *BURLINGTON NORTHERN R.R. CO. v. FORD*, 504 U.S. 648, 112 S.Ct. 2184, 119 L.Ed.2d 432 (1992), the Supreme Court held that it did not violate equal protection for Montana to limit the venue of an action against an in-state corporation to the county of its principal place of business, while extending the venue of an action against an out-of-state corporation to any county in the state. Justice Souter wrote for a unanimous Court:

Venue rules generally reflect equity or expediency in resolving disparate interests of parties to a lawsuit in the place of trial. * * * The forum preferable to one party may be undesirable to another, and the adjustment of such warring interests is a valid state concern. * * * [W]e have no doubt that a State would act within its constitutional prerogatives if it were to give so much weight to the interest of plaintiffs as to allow them to sue in the counties of their choice under all circumstances. It is equally clear that a State might temper such an “any county” rule to the extent a reasonable assessment of defendants’ interest so justified.

* * * Montana has decided that the any-county rule should give way to a single-county rule where a defendant resides in Montana, arguably on the reasonable ground that a defendant should not be subjected to a plaintiff’s tactical advantage of forcing a trial far from the defendant’s residence. At the same time, Montana has weighed the interest of a defendant who does not reside in Montana differently, arguably on the equally reasonable ground that for most nonresident defendants the inconvenience will be great whether they have to defend in, say, Billings or Havre. * * *

Id. at 651–52, 112 S.Ct. at 2186–87, 119 L.Ed.2d at 438. How far should the Court’s reasoning in *Burlington Northern* extend? Would it be permissible for a state to locate in a single county all lawsuits against non-United States corporations, or by members of a particular religion or racial group, or involving small claims? See generally Rubenstein, *The Concept of Equality in Civil Procedure*, 23 Cardozo L.Rev. 1865 (2002).

2.LOCAL AND TRANSITORY ACTIONS

REASOR-HILL CORP. v. HARRISON

Supreme Court of Arkansas, 1952.
[220 Ark. 521, 249 S.W.2d 994.](#)

GEORGE ROSE SMITH, JUSTICE. Petitioner asks us to prohibit the circuit court of Mississippi County from taking jurisdiction of a cross-complaint filed by D.M. Barton. In the court below the petitioner moved to dismiss the cross-complaint for the reason that it stated a cause of action

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for injury to real property in the state of Missouri. When the motion to dismiss was overruled the present application for prohibition was filed in this court.

The suit below was brought by the Planters Flying Service to collect an account for having sprayed insecticide upon Barton’s cotton crop in Missouri. In his answer Barton charged that the flying service had damaged his growing crop by using an adulterated insecticide, and by cross-complaint he sought damages from the petitioner for its negligence in putting on the market a chemical unsuited to spraying cotton. The petitioner is an Arkansas corporation engaged in manufacturing insecticides and is not authorized to do business in Missouri.

The question presented is one of first impression: May the Arkansas courts entertain a suit for injuries to real property situated in another State? For the respondent it is rightly pointed out that if the suit is not maintainable Barton has no remedy whatever. The petitioner cannot be served with summons in Missouri; so unless it is subject to suit in Arkansas it can escape liability entirely by staying out of Missouri until the statute of limitations has run. * * * The petitioner answers this argument by showing that with the exception of the Supreme Court of Minnesota every American court that has passed upon the question (and there have been about twenty) has held that jurisdiction does not exist.

We agree that the weight of authority is almost unanimously against the respondent, although in some States the rule has been changed by statute and in others it has been criticized by the courts and restricted as narrowly as possible. But before mechanically following the majority view we think it worthwhile to examine the origin of the rule and the reasons for its existence.

The distinction between local and transitory actions was recognized at the beginning of the fourteenth century in the common law of England. Before then all actions had to be brought where the cause of action arose, because the members of the jury were required to be neighbors who would know something of the litigants and of the dispute as well. But when cases were presented that involved separate incidents occurring in different communities the reason for localizing the action disappeared, for it was then impossible to obtain a jury who knew all the facts. Consequently the courts developed the distinction between a case that might have arisen anywhere, which was held to be transitory, and one that involved a particular piece of land, which was held to be local. * * *

As between judicial districts under the same sovereign the rule has many advantages and has been followed in America. As between counties our statutes in Arkansas require that actions for injury to real estate be brought where the land lies. * * * But we permit the defendant to be served

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anywhere in the State * * *; so the plaintiff is not denied a remedy even though the defendant is a resident of another county.

The English courts, in developing the law of local and transitory actions, applied it also to suits for injuries to real property lying outside England. If, for example, there had been a trespass upon land in France, the courts would not permit the plaintiff to bring suit in England, even though the defendant lived in England and could not be subjected to liability in France. The American courts, treating the separate States as independent sovereigns, have followed the English decisions.

In the United States the leading case is unquestionably *Livingston v. Jefferson*, Fed. Case No. 8411, 1 Brock 203. That suit was a part of the famous litigation between Edward Livingston and Thomas Jefferson * * *. The case was heard by Marshall as circuit justice and Tyler as district judge. Both agreed that the suit, which was for a wrongful entry upon land in Louisiana, could not be maintained in Virginia. In Marshall’s concurring opinion he examined the English precedents and concluded that the law was so firmly established that the court was bound to follow it, though Marshall expressed his dissatisfaction with a rule which produced “the inconvenience of a clear right without a remedy.”

Since then the American courts have relied almost uniformly upon the *Livingston* case in applying the rule to interstate litigation in this country. At least three reasons have been offered to justify the rule, but it is easy to show that each reason is more applicable to international controversies than to interstate disputes.

First, the ground most frequently relied upon is that the courts are not in a position to pass upon the title to land outside the jurisdiction. As between nations this reasoning may be sound. The members of this court have neither the training nor the facilities to

investigate questions involving the ownership of land in France, in Russia, or in China. But the same difficulties do not exist with respect to land in another State. In our library we have the statutes and decisions of every other State, and it seldom takes more than a few hours to find the answer to a particular question. Furthermore, the American courts do not hesitate to pass upon an out-of-state title when the issue arises in a transitory action. If, for example, Barton had charged that this petitioner converted a mature crop in Missouri and carried it to Arkansas, our courts would decide the case even though it became necessary to pass upon conflicting claims of title to the land in Missouri. Again, a suit for damages for nonperformance of a contract to purchase land is transitory and may be maintained in another State, even though the sole issue is the validity of the seller's title. To put an extreme example, suppose that two companion suits, one local and one transitory, were presented to the same court together. In those States where the courts disclaim the ability to pass upon questions of title in local

actions it might be necessary for the court to dismiss the local action for that reason and yet to decide the identical question in the allied transitory case.

Second, it has been argued that since the tort must take place where the land is situated the plaintiff should pursue his remedy before the defendant leaves the jurisdiction. This argument, too, has merit when nations are concerned. A sovereign, by its control of passports and ports of entry, may detain those who wish to cross its borders. But the citizens of the various States have a constitutional right to pass freely from one jurisdiction to another. * * * In the case at bar * * * Barton could hardly be expected to discover the damage and file an attachment suit before the pilot returned to his landing field in Arkansas.

Third, there is an understandable reluctance to subject one's own citizens to suits by aliens, especially if the other jurisdiction would provide no redress if the situation were reversed. * * * One may have some sympathy for this position in international disputes, but it has no persuasive effect when the States are involved. We do not feel compelled to provide a sanctuary in Arkansas for those who have willfully and wrongfully destroyed property, torn down houses, uprooted crops, polluted streams, and inflicted other injuries upon innocent landowners in our sister States. Yet every jurisdiction which follows the rule of the Livingston case affords that refuge to any person—whether one of its citizens or not—who is successful in fleeing from the scene of such misdeeds.

The truth is that the majority rule has no basis in logic or equity and rests solely upon English cases that were decided before America was discovered and in circumstances that are not even comparable to those existing in our Union. Basic principles of justice demand that wrongs should not go unredressed. * * * Under the majority rule we should have to tell Barton that he would have been much better off had the petitioner stolen his cotton outright instead of merely damaging it. And the only reason we could give for this unfortunate situation would be that English juries in the thirteenth century were expected to have personal knowledge of the disputes presented to them. We prefer to afford this litigant his day in court.

Writ denied.
GRIFFIN SMITH, C.J., concurs.
McFADDIN and WARD, J.J., dissent.
McFADDIN, JUSTICE (dissenting).

* * *

In the first place, the majority says that we have ample facilities to determine the land laws of other States in the United States. * * * This

statement about the size of the law library seems rather weak, because land actions are tried in lower courts and not in the Supreme Court library. Just because we have a fine law library does not mean that we are prepared to determine the title to lands in Texas,⁴ Missouri, Vermont, or any other State. But if we have the jurisdiction which the majority claims, then we could determine ejectment actions involving ownership of lands in other States. We might undertake to do this, but the Full Faith and Credit clause of the U.S. Constitution would not require the Sister State to recognize our judgment. * * *

Secondly, the majority says that the rule, requiring that an action be brought in the jurisdiction in which the land is situated, is a good rule between Nations, but is not good as between States in the American Union. For answer to this, I say: I have always understood that each of the American States is Sovereign; that the Federal Government is a government of delegated powers; and that all powers not delegated to the Federal Government are retained by the States and the People. Surely the majority is not attempting to reduce our American States to the level of mere local administrative units. Yet such, unfortunately, is the natural conclusion to which the majority opinion would carry us, when it concedes one rule for Nations and another for States.

Thirdly, the majority says that it does not desire to afford Arkansas Citizens a sanctuary from damage actions by citizens of other States. This is an argument that should be made—if at all—in the Legislative branch of Government, rather than in a judicial opinion. It is for the Legislative Department to determine when and where actions may be prosecuted. * * *

* * * [M]any, many cases * * * have considered the question here involved; and each Court—with the sole exception of Minnesota—has seen fit to follow the great weight of authority which has come down to us from the common law. In matters affecting real

property particularly, we should leave undisturbed the ancient landmarks. * * *

NOTES AND QUESTIONS

1. Why did the dissenting opinion in *Reasor-Hill* state that a judgment in ejectment rendered by the Arkansas courts involving land outside the state would not be entitled to Full Faith and Credit by a sister state? Does this suggest that it viewed the local action doctrine as a rule of subject-matter jurisdiction, and not of venue? If the rule is jurisdictional, would a court lack power to hear an action involving foreign land even if the parties did not raise an objection to venue? See *Taylor v. Sommers Bros. Match Co.*, 35 Idaho 30, 204 P. 472 (1922).

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2. In a state that recognizes the local action doctrine, could the court enforce a party-agreement locating a dispute about property in a district other than where the property is located? See Friedenthal, Kane, Miller & Steinman, *Civil Procedure* § 2.16 (6th ed.).

3. Have the justifications for the local action rule eroded over time? Is it relevant that courts now have widely available access to electronic research systems including aerial maps? Should the doctrine be limited to in rem and quasi in rem actions to determine ownership or control of real property? Should the doctrine be eliminated entirely? The federal local action doctrine is discussed on p. 408, Note 4, *infra*.

3.VENUE IN THE FEDERAL COURTS

Read 28 U.S.C. §§ 1390 and 1391 in the Supplement.

BATES v. C & S ADJUSTERS, INC.
United States Court of Appeals, Second Circuit, 1992.
[980 F.2d 865.](#)

NEWMAN, CIRCUIT JUDGE. This appeal concerns venue in an action brought under the Fair Debt Collection Practices Act * * *. Specifically, the issue is whether venue exists in a district in which the debtor resides and to which a bill collector’s demand for payment was forwarded. The issue arises on an appeal by Phillip E. Bates from the May 21, 1992, judgment of the District Court for the Western District of New York, dismissing his complaint because of improper venue. We conclude that venue was proper under 28 U.S.C. § 1391(b)(2) and therefore reverse and remand.

Background

Bates commenced this action in the Western District of New York upon receipt of a collection notice from C & S Adjusters, Inc. (“C & S”). Bates alleged violations of the Fair Debt Collection Practices Act, and demanded statutory damages, costs, and attorney’s fees. The facts relevant to venue are not in dispute. Bates incurred the debt in question while he was a resident of the Western District of Pennsylvania. The creditor, a corporation with its principal place of business in that District, referred the account to C & S, a local collection agency which transacts no regular business in New York. Bates had meanwhile moved to the Western District of New York. When C & S mailed a collection notice to Bates at his Pennsylvania address, the Postal Service forwarded the notice to Bates’ new address in New York.

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In its answer, C & S asserted two affirmative defenses and also counterclaimed for costs, alleging that the action was instituted in bad faith and for purposes of harassment. C & S subsequently filed a motion to dismiss for improper venue, which the District Court granted.

Discussion

1. Venue and the 1990 amendments to 28 U.S.C. § 1391(b)

Bates concedes that the only plausible venue provision for this action is 28 U.S.C. § 1391(b)(2), which allows an action to be brought in “a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred.” Prior to 1990, section 1391 allowed for venue in “the judicial district * * * in which the claim arose.” * * * This case represents our first opportunity to consider the significance of the 1990 amendments.

Prior to 1966, venue was proper in federal question cases, absent a special venue statute, only in the defendant’s state of citizenship. If a plaintiff sought to sue multiple defendants who were citizens of different states, there might be no district where the entire action could be brought. * * * Congress closed this “venue gap” by adding a provision allowing suit in the district “in which the claim arose.” * * * Some courts thought it meant that there could be only one such district; others believed there could be several. Different tests developed, with courts looking for “substantial contacts,” the “weight of contacts,” the place of injury or performance, or even to the boundaries of personal jurisdiction under state law. * * *

The Supreme Court gave detailed attention to section 1391(b) in *Leroy v. Great Western United Corp.*, 443 U.S. 173, 99 S.Ct. 2710,

61 L.Ed.2d 464 (1979). The specific holding of *Leroy* was that Great Western, a Texas corporation, which had attempted to take over an Idaho corporation, could not bring suit in Texas against Idaho officials who sought to enforce a state anti-takeover law. Although the effect of the Idaho officials’ action might be felt in Texas, the Court rejected this factor as a basis for venue, since it would allow the Idaho officials to be sued anywhere a shareholder of the target corporation could allege that he wanted to accept Great Western’s tender offer. * * * The Court made several further observations: (1) the purpose of the 1966 statute was to close venue gaps and should not be read more broadly than necessary to close those gaps * * *; (2) the general purpose of the venue statute was to protect defendants against an unfair or inconvenient trial location * * *; (3) location of evidence and witnesses was a relevant factor * * *; (4) familiarity of the Idaho federal judges with the Idaho anti-takeover statute was a relevant factor * * *; (5) plaintiff’s convenience was not a relevant factor * * *; and (6) in only rare cases should there be more than one district in which a claim can be said to arise * * *.

Subsequent to *Leroy* and prior to the 1990 amendment to section 1391(b), most courts have applied at least a form of the “weight of contacts”

test * * *. Courts continued to have difficulty in determining whether more than one district could be proper. * * *

Against this background, we understand Congress’ 1990 amendment to be at most a marginal expansion of the venue provision. The House Report indicates that the new language was first proposed by the American Law Institute in a 1969 Study, and observes:

The great advantage of referring to the place where things happened . . . is that it avoids the litigation breeding phrase “in which the claim arose.” It also avoids the problem created by the frequent cases in which substantial parts of the underlying events have occurred in several districts.

H.R.Rep. No. 734, 101st Cong., 2d Sess. 23, reprinted in 1990 U.S.C.C.A.N. 6860, 6869. Thus it seems clear that *Leroy*’s strong admonition against recognizing multiple venues has been disapproved. Many of the factors in *Leroy*—for instance, the convenience of defendants and the location of evidence and witnesses—are most useful in distinguishing between two or more plausible venues. Since the new statute does not, as a general matter, require the District Court to determine the best venue, these factors will be of less significance. * * * Apart from this point, however, *Leroy* and other precedents remain important sources of guidance. * * *

2.Fair Debt Collection Practices Act

Under the version of the venue statute in force from 1966 to 1990, at least three District Courts held that venue was proper under the Fair Debt Collection Practices Act in the plaintiff’s home district if a collection agency had mailed a collection notice to an address in that district or placed a phone call to a number in that district. * * * None of these cases involved the unusual fact, present in this case, that the defendant did not deliberately direct a communication to the plaintiff’s district.

We conclude, however, that this difference is inconsequential, at least under the current venue statute. The statutory standard for venue focuses not on whether a defendant has made a deliberate contact—a factor relevant in the analysis of personal jurisdiction—but on the location where events occurred. Under the new version of section 1391(b)(2), we must determine only whether a “substantial part of the events * * * giving rise to the claim” occurred in the Western District of New York.

In adopting this statute, Congress was concerned about the harmful effect of abusive debt practices on consumers. See 15 U.S.C. § 1692(a) (“Abusive debt collection practices contribute to the number of personal bankruptcies, to marital instability, to the loss of jobs, and to invasions of individual privacy.”). This harm does not occur until receipt of the collection notice. Indeed, if the notice were lost in the mail, it is unlikely that a violation of the Act would have occurred. Moreover, a debt collection

agency sends its dunning letters so that they will be received. Forwarding such letters to the district to which a debtor has moved is an important step in the collection process. If the bill collector prefers not to be challenged for its collection practices outside the district of a debtor’s original residence, the envelope can be marked “do not forward.” We conclude that receipt of a collection notice is a substantial part of the events giving rise to a claim under the * * * Act.

The relevant factors identified in *Leroy* add support to our conclusion. Although “bona fide error” can be a defense to liability under the Act, * * * the alleged violations of the Act turn largely not on the collection agency’s intent, but on the content of the collection notice. The most relevant evidence—the collection notice—is located in the Western District of New York. Because the collection agency appears not to have marked the notice with instructions not to forward, and has not objected to the assertion of personal jurisdiction, trial in the Western District * * * would not be unfair.

NOTES AND QUESTIONS

1. Federal venue rules underwent significant revision in 1990, followed by additional reforms in 1992 and 1995, and then again pursuant to the Jurisdiction and Venue Clarification Act of 2011. Does the current version of 28 U.S.C. §§ 1390 & 1391 limit venue to a single geographic location or does it embrace the *Bates* view that there can be multiple venues for civil actions within its scope?

Unlike earlier versions of the federal venue statute, Section 1391(b) sets a unitary venue rule for diversity and federal question cases. Venue in

both categories generally may be based on two criteria: defendant’s residence, if all defendants reside in the same state, and the location of the events giving rise to the claim or of a substantial part of the property that is the subject of the action. What is the default rule if no district meets the requirements of 28 U.S.C. § 1391(b)(1) or (2)? Why do you think Congress closed the “venue gap,” as discussed in *Bates*?

2. Test your knowledge of the statute by identifying the provision that applies in the following situations:

- (a) Determining the residence of a defendant-company that is incorporated in Delaware and has a principal place of business in Wilmington, Delaware.
- (b) Determining the residence of a defendant-partnership that has its main office in Brooklyn, New York and members in every one of the 50 states.
- (c) Determining the residence of a defendant-company that is incorporated in England and does business in Chicago, Illinois, in San Diego, California, and in Burlington, Vermont.

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- (d) Determining the residence of a plaintiff-company that is incorporated in South Dakota and has a principal place of business in Atlanta, Georgia.
- (e) Determining the residence of a plaintiff-fraternal organization that has its main office in San Diego, California.
- (f) Determining the residence of a defendant-corporation that is incorporated in a state that has more than one judicial district.
- (g) Determining the residence of a natural person who is not a citizen but resides in the United States.
- (h) Determining the residence of a natural person who is a citizen but resides outside the United States.

3. How should substantiality be determined under 28 U.S.C. § 1391(b)(2)? What approach did the *Bates* court take? Under the pre-2011 version of the federal venue statute, some circuits considered only defendant’s activities while others took a “holistic approach” that examined the activities of all of the parties and the nexus between intra-district activities and the claim. See *Daniel v. American Bd. of Emergency Med.*, 428 F.3d 408 (2d Cir. 2005) (describing different approaches among the circuits). Does a defendant-only approach better promote the policy of protecting a defendant against an inconvenient or unfair place of trial? Does it run the risk of conflating the statutory test for venue with the constitutional test for personal jurisdiction? Does it take account of the judicial system’s own interest in promoting administrative convenience?

4. In *LIVINGSTON v. JEFFERSON*, 15 F. Cas. 660 (C.C.D.Va. 1811), the Circuit Court held that the local action doctrine applies in federal court. Chief Justice Marshall, sitting as Circuit Court Justice for Virginia, stated: “[A]ctions are deemed transitory where transactions on which they are founded, might have taken place anywhere, but are local where their cause is in its nature necessarily local.” *Id.* at 664. See *Degnan, Livingston v. Jefferson—A Freestanding Footnote*, 75 Calif.L.Rev. 115 (1987). In *Ellenwood v. Marietta Chair Co.*, 158 U.S. 105, 15 S.Ct. 771, 239 L.Ed. 913 (1895), the Court treated the local action doctrine as a limitation on the federal court’s subject-matter jurisdiction. Does the federal venue statute continue to recognize a distinction between local and transitory actions? See 28 U.S.C. § 1391(a)(2). To what extent does the location of property affect the venue determination? See 28 U.S.C. § 1391(b)(2). Does the current statute suggest that the rule, at least now, is one of venue and not of subject-matter jurisdiction? Not all courts agree with that conclusion. See *Eldee-K Rental Properties, LLC v. DirecTV Inc.*, 748 F.3d 943 (9th Cir. 2014).

5. In a lawsuit with multiple parties or multiple claims, does the federal court have discretion to apply a doctrine of “pendent venue”? Under this doctrine, venue would “be proper so long as otherwise improperly venued claims are joined with a properly-venued claim and all arise out of a common nucleus of operative fact.” Steinman, *Claims, Civil Actions, Congress & the*

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Court: Limiting the Reasoning of Cases Construing Poorly Drawn Statutes, 65 Wash. & Lee L.Rev. 1593, 1665–66 (2008). Should the same considerations of party convenience and judicial efficiency that inform supplemental jurisdiction under 28 U.S.C. § 1367 apply to “pendent venue”? See *Corn, Pendent Venue: A Doctrine in Search of a Theory*, 68 U.Chi.L.Rev. 931 (2001).

6. Some federal statutes contain special venue rules for actions within their compass. For example, the Fair Debt Collection Practices Act (the statute at issue in *Bates*) provides that in an action by a debt collector on a debt not involving an interest in real property, venue is limited to either the district in which the consumer signed the contract giving rise to the debt or the district in which the consumer resides at the commencement of the action. See 15 U.S.C. § 1692i(a)(2). How does that special venue provision compare to the options a consumer has—given the Second Circuit’s reasoning in *Bates*—when suing for violations of the Act?

Another example of a special venue rule may be found in 42 U.S.C. § 2005e–5(f)(3), which defines the venue for an action under Title VII of the Civil Rights Act of 1964. Such actions may be brought:

[I]n any judicial district in the State in which the unlawful employment practice is alleged to have been committed, in the judicial district in which the employment records relevant to such practice are maintained and administered, or in the judicial district in which the aggrieved person would have worked but for the alleged unlawful employment practice, but if the respondent is not found within any such district, such an action may be brought within the judicial district in which the respondent has his principal office.

See *James v. Verizon Services Corp.*, 639 F.Supp.2d 9, 12 (D.D.C. 2009). Does the general venue statute remain available to plaintiffs who bring suit under federal statutes with special venue rules? The Supreme Court has drawn a distinction that depends on whether the special venue rule is designed to be permissive or mandatory, restrictive or liberal. See *Cortez Byrd Chips, Inc. v. Bill Harbert Construction Co.*, 529 U.S. 193, 204, 120 S.Ct. 1331,

1339, 146 L.Ed.2d 171, 181 (2000).

7.In *TC HEARTLAND LLC v. KRAFT FOOD GROUP BRANDS LLC*, 581 U.S. ___, 137 S.Ct. 1514, 197 L.Ed.2d 816 (2017), the Supreme Court held that the general venue statute’s definition of residence did not apply to the special venue statute governing patent infringement cases. 28 U.S.C. § 1400. Rather, for purposes of the patent venue statute, a domestic corporation resides only in its state of incorporation or “where the defendant has committed acts of infringement and has a regular and established place of business.” The Court did not offer guidance regarding the latter basis for patent venue, but lower courts have interpreted it to require—among other things—a “physical place in the district” and the “regular, physical presence of an employee or other agent of the defendant.” In *re Google LLC*, 949 F.3d 1338, 1344 (Fed. Cir. 2020). Prior to *TC Heartland*, a patent owner could bring an infringement action in almost any district where defendant’s products were sold, and

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empirical studies showed that almost half of all patent suits in the period January 2014 through June 2016 were filed in only two federal districts. See Bone, *Forum Shopping and Patent Law—A Comment on TC Heartland*, 96 Tex.L.Rev. 141 (2017).

B. TRANSFER OF VENUE IN FEDERAL COURTS

Read 28 U.S.C. §§ 1404, 1406, 1407, and 1631 in the Supplement.

HOFFMAN V. BLASKI

Supreme Court of the United States, 1960.
[363 U.S. 335, 80 S.Ct. 1084, 4 L.Ed.2d 1254.](#)

Certiorari to the United States Court of Appeals for the Seventh Circuit.

JUSTICE WHITTAKER delivered the opinion of the Court.

* * *

The instant cases present the question whether a District Court, in which a civil action has been properly brought, is empowered by § 1404(a) to transfer the action, on the motion of the defendant, to a district in which the plaintiff did not have a *right* to bring it.

Respondents, Blaski and others, residents of Illinois, brought this patent infringement action in the United States District Court for the Northern District of Texas against one Howell and a Texas corporation controlled by him, alleging that the defendants are residents of, and maintain their only place of business in, the City of Dallas, in the Northern District of Texas, where they are infringing respondents’ patents. After being served with process and filing their answer, the defendants moved, under § 1404(a), to transfer the action to the United States District Court for the Northern District of Illinois. Respondents objected to the transfer on the ground that, inasmuch as the defendants did not reside, maintain a place of business, or infringe the patents in, and could not have been served with process in, the Illinois district, the courts of that district lacked venue over the action and ability to command jurisdiction over the defendants; that therefore that district was not a forum in which the respondents had a right to bring the action, and, hence, the court was without power to transfer it to that district. Without mentioning that objection or the question it raised, the District Court found that “the motion should be granted for the convenience of the parties and witnesses in the interest of justice,” and ordered the case transferred to the Illinois district. Thereupon, respondents moved in the Fifth Circuit for leave to file a

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petition for a writ of mandamus directing the vacation of that order. That court, holding that “[t]he purposes for which § 1404(a) was enacted would be unduly circumscribed if a transfer could not be made ‘in the interest of justice’ to a district where the defendants not only waive venue but to which they seek the transfer,” denied the motion. * * *

Upon receipt of a certified copy of the pleadings and record, the Illinois District Court assigned the action to Judge Hoffman’s calendar. Respondents promptly moved for an order remanding the action on the ground that the Texas District Court did not have power to make the transfer order and, hence, the Illinois District Court was not thereby vested with jurisdiction of the action. After expressing his view that the “weight of reason and logic” favored “retransfer of this case to Texas,” Judge Hoffman, with misgivings, denied the motion. Respondents then filed in the Seventh Circuit a petition for a writ of mandamus directing Judge Hoffman to reverse his order. After hearing and rehearing, the Seventh Circuit, holding that “[w]hen Congress provided [in § 1404(a)] for transfer [of a civil action] to a district ‘where it might have been brought,’ it is hardly open to doubt but that it referred to a district where the plaintiff * * * had a right to bring the case,” and that respondents did not have a *right* to bring this action in the Illinois district, granted the writ, one judge dissenting. * * *

Petitioners’ “thesis” and sole claim is that § 1404(a), being remedial, * * * should be broadly construed, and, when so construed, the phrase “where it might have been brought” should be held to relate not only to the time of the bringing of the action but also to the time of the transfer; and that “if at such time the transferee forum has the power to adjudicate the issues of the action, it is a forum in which

the action might *then* have been brought.” (Emphasis added.) They argue that in the interim between the bringing of the action and the filing of a motion to transfer it, the defendants may move their residence to, or, if corporations, may begin the transaction of business in, some other district, and, if such is done, the phrase “where it might have been brought” should be construed to empower the District Court to transfer the action, on motion of the defendants, to such other district; and that, similarly, if, as here, the defendants move to transfer the action to some other district and consent to submit to the jurisdiction of such other district, the latter district should be held one “in which the action might *then* have been brought.” (Emphasis added.)

We do not agree. * * *

It is not to be doubted that the transferee courts, like every District Court, had jurisdiction to entertain actions of the character involved, but it is obvious that they did not acquire jurisdiction over these particular actions when they were brought in the transferor courts. The transferee courts could have acquired jurisdiction over these actions only if properly

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brought in those courts, or if validly transferred thereto under § 1404(a). Of course, venue, like jurisdiction over the person, may be waived. A defendant, properly served with process by a court having subject matter jurisdiction, waives venue by failing seasonably to assert it, or even simply by making default. * * * But the power of a District Court under § 1404(a) to transfer an action to another district is made to depend not upon the wish or waiver of the defendant but, rather, upon whether the transferee district was one in which the action “might have been brought” by the plaintiff.

The thesis urged by petitioners would not only do violence to the plain words of § 1404(a), but would also inject gross discrimination. That thesis, if adopted, would empower a District Court, upon a finding of convenience, to transfer an action to any district desired by the *defendants* and in which they were willing to waive their statutory defenses as to venue and jurisdiction over their persons, regardless of the fact that such transferee district was not one in which the action “might have been brought” by the plaintiff. Conversely, that thesis would not permit the court, upon motion of the *plaintiffs* and a like showing of convenience, to transfer the action to the same district, without the consent and waiver of venue and personal jurisdiction defenses by the defendants. Nothing in § 1404(a), or in its legislative history, suggests such a unilateral objective and we should not, under the guise of interpretation, ascribe to Congress any such discriminatory purpose.

* * *

Affirmed.

[A concurring opinion by JUSTICE STEWART has been omitted.]

JUSTICE FRANKFURTER, whom JUSTICE HARLAN and JUSTICE BRENNAN join, dissenting.

* * *

The part of § 1404(a) the meaning of which is at issue here is its last phrase * * *. The significance of this phrase is this: even though a place be found to be an overwhelmingly more appropriate forum from the standpoint of “convenience” and “justice,” the litigation may not be sent to go forward there unless it is a place where the action “might have been brought.” Upon the scope to be given this phrase thus depends almost entirely the effectiveness of § 1404(a) to insure an appropriate place of trial, when the action is begun in an oppressive forum.

One would have to be singularly unmindful of the treachery and versatility of our language to deny that as a mere matter of English the words “where it might have been brought” may carry more than one meaning. * * * On the face of its words alone, the phrase may refer to * * *

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venue, amenability to service, or period of limitations, to all of them or to none of them, or to others as well. * * *

Surely, the Court creates its own verbal prison in holding that “the plain words” of § 1404(a) dictate that transfer may not be made in this case although transfer concededly was in the interest of “convenience” and “justice.” Moreover, the Court, while finding the statutory words “plain,” decides the case by applying, not the statutory language, but a formula of words found nowhere in the statute, namely, whether plaintiffs had “a right to bring these actions in the respective transferee districts.” This is the Court’s language, not that of Congress. * * * There can be expected to be very few, if any, alternative forums in a given case where the plaintiff has a “right” to sue, considering that that means places of unobjectionable venue where the defendant is amenable to service of process and where there are no other impediments such as a statute of limitations which the defendant can rely on to defeat the action.

* * * At the crux of the business, as I see it, is the realization that we are concerned here not with a question of a limitation upon the power of a federal court but with the place in which that court may exercise its power. We are dealing, that is, not with the jurisdiction of the federal courts, which is beyond the power of litigants to confer, but with the locality of a lawsuit, the rules regulating which are designed mainly for the convenience of the litigants. * * *

[W]hat are the competing considerations here? The transferee court in this case plainly had and has jurisdiction to adjudicate this action with the defendant’s acquiescence. As the defendant, whose privilege it is to object to the place of trial, has moved for transfer, and has acquiesced to going forward with the litigation in the transferee court, it would appear presumptively, unless there are strong

considerations otherwise, that there is no impediment to effecting the transfer so long as “convenience” and “justice” dictate that it be made. It does not counsel otherwise that here the plaintiff is to be sent to a venue to which he objects, whereas ordinarily, when the defendant waives his privilege to object to the place of trial, it is to acquiesce in the plaintiff’s choice of forum. This would be a powerful argument if, under § 1404(a), a transfer were to be made whenever requested by the defendant. Such is not the case, and this bears emphasis. A transfer can be made under § 1404(a) to a place where the action “might have been brought” only when “convenience” and “justice” so dictate, not whenever the defendant so moves. A legitimate objection by the plaintiff to proceeding in the transferee forum will presumably be reflected in a decision that the interest of justice does not require the transfer, and so it becomes irrelevant that the proposed place of transfer is deemed one where the action “might have been brought.” * * *

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On the other hand, the Court’s view restricts transfer, when concededly warranted in the interest of justice, to protect no legitimate interest on the part of the plaintiff. And by making transfer turn on whether the defendant could have been served with process in the transferee district on the day the action was brought, the Court’s view may create difficult problems in ascertaining that fact, especially in the case of non-corporate defendants. These are problems which have no conceivable relation to the proper administration of a provision meant to assure the most convenient and just place for trial.

* * *

The relevant legislative history of § 1404(a) is found in the statement in the Reviser’s Notes, accompanying the 1948 Judicial Code, that § 1404(a) “was drafted in accordance with the doctrine of *forum non conveniens*.” Under that doctrine, the remedy for an inconvenient forum was not to transfer the action, but to dismiss it. In *Gulf Oil Corp. v. Gilbert* * * * [p. 420, *infra*] we held that “[i]n all cases in which the doctrine of *forum non conveniens* comes into play, it presupposes at least two forums in which the defendant is amenable to process; the doctrine furnishes criteria for choice between them.” It is entirely “in accordance” with this view of the doctrine of *forum non conveniens* to hold that transfer may be made at the instance of the defendant regardless of the plaintiff’s right as an original matter to sue him in the transferee court, so long as the defendant stipulates to going forward with the litigation there. Indeed, to hold otherwise as the Court does is to limit § 1404(a) to a much narrower operation than the nonstatutory doctrine of *forum non conveniens*. * * *

The only consideration of the Court not resting on the “plain meaning” of § 1404(a) is that it would constitute “gross discrimination” to permit transfer to be made with the defendant’s consent and over the plaintiff’s objection to a district to which the plaintiff could not similarly obtain transfer over the defendant’s objection. * * * Transfer cannot be made under this statute unless it is found to be in the interest of “convenience” and in the interest of “justice.” Whether a party is in any sense being “discriminated” against through a transfer is certainly relevant to whether the interest of justice is being served. If the interest of justice is being served, as it must be for a transfer to be made, how can it be said that there is “discrimination” in any meaningful sense? Moreover, the transfer provision cannot be viewed in isolation in finding “discrimination.” It, after all, operates to temper only to a slight degree the enormous “discrimination” inherent in our system of litigation, whereby the sole choice of forum, from among those where service is possible and venue unobjectionable, is placed with the plaintiff. * * *

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NOTES AND QUESTIONS

1. Congress amended 28 U.S.C. § 1404(a), effective 2012. Does the amended statute abrogate *Hoffman v. Blaski*?
2. Is a district court limited in its transfer analysis to the specified factors of party and witness convenience, or is the “interest of justice” factor a separate consideration that embraces a range of private and public interests? The Supreme Court noted in *VAN DUSEN v. BARRACK*, 376 U.S. 612, 84 S.Ct. 805, 11 L.Ed.2d 945 (1964), that the legislative history of Section 1404(a) treated the “interest of justice” as a separate consideration: “The new subsection requires the court to determine that the transfer is necessary for convenience of the parties and witnesses, and further, that it is in the interest of justice to do so.” *Id.* at 634 n.30, 84 S.Ct. at 818 n.30, 11 L.Ed.2d at 960 n.30 (quoting Revision of Title 28, United States Code, Report of the House Committee on Revision of the Laws on H.R. 7124, 79th Cong., 2d sess., p. A127).
- Those courts that treat the “interest of justice” as a separate consideration tend to look at such factors as: (1) access to witnesses; (2) access to the forum; (3) docket congestion; (4) speed to trial; (5) relationship of the community to the dispute; (6) the court’s familiarity with the governing law; (7) plaintiff’s forum choice; (8) whether the original forum is where plaintiff resides; and (9) the existence of a presuit venue agreement. See Steinberg, *The Motion To Transfer and the Interests of Justice*, 66 Notre Dame L.Rev. 443 (1990). As the Seventh Circuit has explained, “The ‘interest of justice’ is a separate element of the transfer analysis that relates to the efficient administration of the court system.” See *Research Automation, Inc. v. Schrader-Bridgeport Intern., Inc.*, 626 F.3d 973, 978 (7th Cir. 2010). See also p. 439, Note 4, *infra* (discussing the use of various private and public interest factors in connection with both Section 1404(a) and *forum non conveniens* motions).
3. In *VAN DUSEN v. BARRACK*, Note 2, above, the Supreme Court held that, in diversity cases, the law of the transferor forum applies even after defendant has transferred the action under 28 U.S.C. § 1404. “[W]here the defendants seek transfer,” the Court explained, “the transferee district court must be obligated to apply the state law that would have been applied if there had been no change of venue.” *Id.* at 639, 84 S.Ct. at 821, 11 L.Ed.2d at 962. The Court concluded, “[a] change of venue under § 1404(a) generally should be, with respect to state law, but a change of courtrooms.” *Id.* at 639, 84 S.Ct. at 821, 11 L.Ed.2d at 962–63.

In *FERENS v. JOHN DEERE CO.*, 494 U.S. 516, 110 S.Ct. 1274, 108 L.Ed.2d 443 (1990), the Court applied the *Van Dusen* rule to a plaintiff-initiated transfer. In *Ferens*, plaintiff, a citizen of Pennsylvania, lost a hand when he accidentally caught it in a harvester manufactured by defendant, a Delaware corporation. Plaintiff failed to file suit within Pennsylvania’s two-year tort limitations period. But, in the third year, plaintiff filed one suit in federal court in Pennsylvania, raising contract and warranty claims that were not yet time-barred, and a second suit in federal court in Mississippi, alleging

tort claims. Mississippi had a six-year tort statute of limitations, which the federal court was required to apply. The federal court in Mississippi then granted plaintiff’s motion to transfer the tort action to the Pennsylvania court under 28 U.S.C. § 1404(a). The Pennsylvania court refused to apply Mississippi’s statute of limitations and dismissed the tort claims as time-barred under Pennsylvania’s statute of limitations, and the court of appeals affirmed. Relying on *Van Dusen*, the Supreme Court reversed, holding that, in a diversity suit, the transferee forum is required to apply the law of the transferor court, including its choice-of-law rule, regardless of who initiates the transfer. Is this a sound result? See Bassett, *The Forum Game*, 84 N.C.L.Rev. 333, 352–70 (2006).

4.Of what relevance is the *Van Dusen* rule when the district court transfers an action within its federal question jurisdiction? See Marcus, *Conflict Among Circuits and Transfers Within the Federal Judicial System*, 93 Yale L.J. 677, 721 (1984). The circuits currently are divided on this question. Because federal law is assumed to be unitary, some circuits have held that the transferee court should exercise its own judgment when determining the requirements of federal law and not be bound by the law of the transferor court. E.g., *Lanfear v. Home Depot, Inc.*, 536 F.3d 1217, 1223–24 (11th Cir. 2008). Other circuits have recognized a narrow role for *Van Dusen* in specific statutory contexts that, because of “unique language and purpose,” contemplate “circuit disharmony.” *Olcott v. Delaware Flood Co.*, 76 F.3d 1538, 1546–47 (10th Cir. 1996).

Does your analysis change if a federal statute mandates the borrowing of a state statute of limitations? The Ninth Circuit, addressing this question as a matter of first impression, held that under this circumstance a transferee court must apply the state statute of limitations that the transferor court would have applied had the case not been transferred. See *Hooper v. Lockheed Martin Corp.*, 688 F.3d 1037, 1046 (9th Cir. 2012). What are the arguments against taking this approach?

5.An empirical study found that plaintiffs won in 58 percent of nontransferred cases that went to judgment, but only in 29 percent of cases that were transferred. See Clermont & Eisenberg, *Exorcising the Evil of Forum-Shopping*, 80 Cornell L.Rev. 1507, 1515 (1995). The authors concluded that the reduced win-rate can be explained by “a possibly less favorable set of local biases” and the “shifted balance of inconveniences,” and not differences in the merits. Controlling for all variables, a later study found that the odds of a plaintiff prevailing went down from 50 to 40 percent in a transferred action. See Clermont, *Litigation Realities Redux*, 84 Notre Dame L.Rev. 1919, 1928 (2009).

6.When is a district court permitted to transfer under 28 U.S.C. § 1406(a), rather than under Section 1404(a)? When a case is transferred under Section 1406, the transferee court will treat the action as if it had been filed initially in that forum. Would it be appropriate to apply the *Van Dusen* rule, see p. 415, Note 3, *supra*, to a case transferred under Section 1406? Do you

agree that a party should benefit from the law that would have been applied in the original federal forum only if that court were “a proper one to begin with”? *Manley v. Engram*, 755 F.2d 1463, 1470 (11th Cir. 1985). See 14D Wright, Miller & Freer, *Federal Practice and Procedure* § 3827 (4th ed.) (“[W]henver the original venue is improper, so that transfer is under Section 1406(a), the transferee court should apply whatever law it would have applied had the action been properly commenced there.”).

7.In *GOLDLAWR, INC. v. HEIMAN*, 369 U.S. 463, 82 S.Ct. 913, 8 L.Ed.2d 39 (1962), the Supreme Court held that 28 U.S.C. § 1406 authorizes the transfer of an action even if the transferor court lacks personal jurisdiction. In 1982, Congress enacted 28 U.S.C. § 1631, permitting transfer of an action between any two federal courts when the original court lacks jurisdiction. Section 1631 does not specify whether “jurisdiction” in this context means subject-matter jurisdiction, personal jurisdiction, or both. See *Franco v. Mabe Trucking Co.*, 3 F.4th 788, 792–96 & n.5 (5th Cir. 2021) (describing what various courts have said about this issue and deciding that “the weight of circuit authority” has found that “the use of the term ‘jurisdiction’ in § 1631 encompasses both subject-matter and personal jurisdiction.”). In some cases, courts have permitted transfer for a lack of venue under Section 1631. The better view is that venue is not a jurisdictional concept and so transfer should be limited to Section 1406. See *Sorcía v. Holder*, 643 F.3d 117, 122 (4th Cir.), cert. denied, 556 U.S. 1061, 132 S.Ct. 776, 181 L.Ed.2d 487 (2011).

8.In cases where venue is improper or personal jurisdiction is lacking in plaintiff’s initially chosen district, it is “within the sound discretion of the district court” whether to dismiss or transfer the case. *Twin Flames Universe.com, Inc. v. Cole*, 528 F.Supp.3d 708, 718 (E.D.Mich. 2021). “Unless evidence exists that the case was brought in the improper venue in bad faith or to harass the defendant, the interest of justice generally requires a transfer rather than a dismissal.” *Id.* Courts have also observed that “the reasons for transferring a case to a proper forum rather than dismissing are especially compelling if the statute of limitations has run since the commencement of the action, so that dismissal might prevent the institution of a new suit by the plaintiff and a resolution on the merits.” *Jackson v. L & F Martin Landscape*, 421 F. App’x 482, 484 (6th Cir. 2009). But compare *McFarlane v. Esquire Mag.*, 74 F.3d 1296, 1301 (D.C.Cir. 1996) (affirming the district court’s dismissal notwithstanding the expiration of the statute of limitations when defendant’s answer put plaintiff on notice of his defense of lack of personal jurisdiction and plaintiff “failed to file a protective suit in [the proper forum]”).

NOTE ON THE PANEL ON MULTIDISTRICT LITIGATION (MDL)

In 1968 Congress enacted the Multidistrict Litigation Act, 28 U.S.C. § 1407. See generally Bradt, “A Radical Proposal”: *The Multidistrict*

Litigation Act of 1968, 165 U.Pa.L.Rev. 831 (2017). It created a special venue procedure that authorizes the temporary transfer of related cases to one district when the cases involve common questions of fact and law and transfer would be for the convenience of the parties and witnesses and “will promote the just and

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efficient conduct of such actions.” The statute established the Judicial Panel on Multidistrict Litigation (“JPML”), composed of seven judges from the federal district courts and courts of appeals who are appointed by the Chief Justice of the Supreme Court. The JPML decides whether cases should be transferred under the statute, which authorizes consolidation for pretrial purposes only. Since its enactment, the MDL statute has been used very frequently for coordinated discovery in cases involving environmental disaster, employment, trademark, mass tort, consumer, and other high stakes matters. See Gluck & Burch, *MDL Revolution*, 96 N.Y.U.L.Rev. 1 (2021); Miller, *What Are Courts For? Have We Forsaken the Procedural Gold Standard?*, 78 La.L.Rev. 739, 741–48 (2018); Sherman, *The BP Oil Spill Litigation and the Evolving Supervision of Multidistrict Judges*, 30 Miss.College L.Rev. 237 (2011).

In *LEXECON INC. v. MILBERG WEISS BERSHAD HYNES & LERACH*, 523 U.S. 26, 118 S.Ct. 956, 140 L.Ed.2d 62 (1998), the Supreme Court held that 28 U.S.C. § 1407 imposes a duty on the JPML to remand a transferred action to its original court for trial, and that a district court conducting such pretrial proceedings lacks authority to invoke 28 U.S.C. § 1404(a) “to assign a transferred case to itself for trial.” Id. at 28, 118 S.Ct. at 959, 140 L.Ed.2d at 68. In so holding, the Court rejected a 30-year practice of self-assignment by the district courts that the JPML had sanctioned through its rulemaking authority. The Court declined to answer whether Section 1404(a) “permits self-transfer” by the transferee court “given that the statute explicitly provides for transfer only ‘to any other district.’ ” Id. at 41 n.4, 118 S.Ct. at 964 n.4, 140 L.Ed.2d at 76 n.4.

The Judicial Conference of the United States has requested that the mandatory remand provision be eliminated from 28 U.S.C. § 1407, but Congress has not yet done so. See Marcus, *Cure-All For an Era of Dispersed Litigation? Toward a Maximalist Use of the Multidistrict Litigation Panel’s Transfer Power*, 82 Tul.L.Rev. 2245 (2008). Because the procedure for multidistrict transfer is a rule of venue, may the parties waive the provision for mandatory remand? See *Armstrong v. LaSalle Bank Nat. Ass’n*, 552 F.3d 613 (7th Cir. 2009). As a matter of first impression, the Fifth Circuit held that waiver is permissible, but must be “clear and unambiguous.” In re *Depuy Orthopaedics, Inc.*, 870 F.3d 345, 357 (5th Cir. 2017).

Until *Lexecon*, the majority of courts applied the law of the transferee circuit to questions of federal law in cases transferred under 28 U.S.C. § 1407. In doing so, the courts were influenced by the decision authored by then-Judge Ruth Bader Ginsburg in In re *Korean Air Lines Disaster* of Sept. 1, 1983, 829 F.2d 1171, 1174 (D.C.Cir. 1987), affirmed on other grounds sub nom. *Chan v. Korean Air Lines, Ltd.*, 490 U.S. 122, 109 S.Ct. 1676, 104 L.Ed.2d 113 (1989). Her opinion stressed that applying “divergent interpretations” of federal law “would surely reduce the efficiencies achievable through consolidated preparatory proceedings”; moreover, the parties could seek review by the Supreme Court if interpretations by lower courts diverged. Id. at 1175–76. In a concurrence, Judge Douglas H. Ginsburg emphasized the practical problems

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of resolving the choice-of-law question under the existing language of 28 U.S.C. § 1407, which is silent on whether the transferee court is to apply the law of the transferor court. In particular, he observed that “Congress contemplated that transferred cases might never return to the transferor courts,” and that the majority of transferred cases do not return to the transferor courts. Id. at 1178. Does *Lexecon* undermine the rationale of applying the law of the transferee court? In a number of unpublished decisions, lower courts have been considering this question, but so far have concluded that they are compelled to follow existing circuit law and to apply the law of the transferee court until either Congress amends the statute or the Supreme Court announces a different rule. See, e.g., In re *General Motors LLC Ignition Switch Litigation*, 2016 WL 3920353 (S.D.N.Y.2016).

In *IN RE MF GLOBAL HOLDINGS LTD. INVESTMENT LITIGATION*, 857 F.Supp.2d 1378, 1380–81 (Jud.Pan.Mult.Lit. 2012), defendants in three actions and 12 “tag-along” actions pending in four districts moved for consolidation. The actions all followed in the wake of a holding company’s filing for bankruptcy after announcing a shortfall of an estimated \$1.6 billion in commodities futures customer accounts. The JPML held that transfer was appropriate even though the various actions involved multiple claims based on different legal theories:

Plaintiffs opposing centralization of all actions together argue that claims under securities laws are separate and distinct from customer claims brought pursuant to the Commodities Exchange Act, 7 U.S.C. § 1, *et seq.* and related claims. They argue, *inter alia*, that centralization of both types of claims will be inefficient and inevitably slow the progress of the customer actions. We are not persuaded that the differences between these two types of claims weigh against centralizing all actions in a single proceeding. This is primarily because all actions arise from the common factual backdrop of the demise of MF Global Holdings, Ltd., and related entities and the reported shortfall in MF Global, Inc., commodities futures customer accounts. * * * [O]ur longstanding practice has been to leave the degree of coordination or consolidation of the different actions to the sound discretion of the transferee judge.* * * We see no reason to depart from this practice in these circumstances.

Why do you suppose some plaintiffs opposed the transfer? For some parties, won’t transfer potentially increase administrative costs, decrease attorney control, reduce attorney’s fees, and deflate settlement prospects? Did the JPML seriously consider these disparate effects? See Burch, *Financiers as Monitors in Aggregate Litigation*, 87 N.Y.U.L.Rev. 1273, 1288–91 (2012).

The pretrial use of multidistrict litigation has increased significantly over the last decade, coinciding with a decline in the certification of national class actions that otherwise would have afforded a centralized treatment of claims by large numbers of parties. See Bradt, *Something Less and Something More: MDL’s Roots as a Class Action Alternative*, 165 U.Pa.L.Rev. 1711 (2017). Some

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scholars have questioned whether MDL procedure produces optimal results and whether it favors certain litigants. See Burch & Williams, *Repeat Players in Multidistrict Litigation: The Social Network*, 102 Cornell L.Rev. 1445 (2017). The use of multidistrict litigation as an aggregation device is discussed in Chapter 9, *infra*.

C. FORUM NON CONVENIENS

GULF OIL CORP. v. GILBERT, 330 U.S. 501, 67 S.Ct. 839, 91 L.Ed. 1055 (1947), delineated the factors to be considered in deciding a motion based upon the principle of forum non conveniens:

The principle of *forum non conveniens* is simply that a court may resist imposition upon its jurisdiction even when jurisdiction is authorized by the letter of a general venue statute. These statutes are drawn with a necessary generality and usually give a plaintiff a choice of courts, so that he may be quite sure of some place in which to pursue his remedy. But the open door may admit those who seek not simply justice but perhaps justice blended with some harassment. A plaintiff sometimes is under temptation to resort to a strategy of forcing the trial at a most inconvenient place for an adversary, even at some inconvenience to himself.

Many of the states have met misuse of venue by investing courts with a discretion to change the place of trial on various grounds, such as the convenience of witnesses and the ends of justice. The federal law contains no such express criteria to guide the district court in exercising its power. But the problem is a very old one affecting the administration of the courts as well as the rights of litigants, and both in England and in this country the common law worked out techniques and criteria for dealing with it.

* * *

If the combination and weight of factors requisite to given results are difficult to forecast or state, those to be considered are not difficult to name. An interest to be considered, and the one likely to be most pressed, is the private interest of the litigant. Important considerations are the relative ease of access to sources of proof; availability of compulsory process for attendance of unwilling, and the cost of obtaining attendance of willing witnesses; possibility of view of premises, if view would be appropriate to the action; and all other practical problems that make trial of a case easy, expeditious and inexpensive. There may also be questions as to the * * * [enforceability] of a judgment if one is obtained. The court will weigh relative advantages and obstacles to fair trial. It is often said that the plaintiff may not, by choice of an inconvenient forum, “vex,” “harass,” or “oppress” the

defendant by inflicting upon him expense or trouble not necessary to his own right to pursue his remedy. But unless the balance is strongly in favor of the defendant, the plaintiff’s choice of forum should rarely be disturbed.

Factors of public interest also have place in applying the doctrine. Administrative difficulties follow for courts when litigation is piled up in congested centers instead of being handled at its origin. Jury duty is a burden that ought not to be imposed upon the people of a community which has no relation to the litigation. In cases which touch the affairs of many persons, there is reason for holding the trial in their view and reach rather than in remote parts of the country where they can learn of it by report only. There is a local interest in having localized controversies decided at home. There is an appropriateness, too, in having the trial of a diversity case in a forum that is at home with the state law that must govern the case, rather than having a court in some other forum untangle problems in conflict of laws, and in law foreign to itself.

Id. at 507–09, 67 S.Ct. at 842–43, 91 L.Ed. at 1062–63.

PIPER AIRCRAFT CO. v. REYNO

Supreme Court of the United States, 1981.
[454 U.S. 235, 102 S.Ct. 252, 70 L.Ed.2d 419.](#)

Certiorari to the United States Court of Appeals for the Third Circuit.

JUSTICE MARSHALL delivered the opinion of the Court.

* * *

I

A

In July 1976, a small commercial aircraft crashed in the Scottish highlands during the course of a charter flight from Blackpool to Perth. The pilot and five passengers were killed instantly. The decedents were all Scottish subjects and residents, as are their heirs and next of kin. There were no eyewitnesses to the accident. At the time of the crash the plane was subject to Scottish air traffic control.

The aircraft, a twin-engine Piper Aztec, was manufactured in Pennsylvania by petitioner Piper Aircraft Co. (Piper). The propellers were manufactured in Ohio by petitioner Hartzell Propeller, Inc. (Hartzell). At the time of the crash the aircraft was registered in Great Britain and was owned and maintained by Air Navigation and Trading Co., Ltd. (Air Navigation). It was operated by McDonald Aviation, Ltd. (McDonald), a Scottish air taxi service. Both Air Navigation and McDonald were

organized in the United Kingdom. The wreckage of the plane is now in a hangar in Farnborough, England.

The British Department of Trade investigated the accident shortly after it occurred. A preliminary report found that the plane crashed after developing a spin, and suggested that mechanical failure in the plane or the propeller was responsible. At Hartzell's request, this report was reviewed by a three-member Review Board, which held a 9-day adversary hearing attended by all interested parties. The Review Board found no evidence of defective equipment and indicated that pilot error may have contributed to the accident. The pilot, who had obtained his commercial pilot's license only three months earlier, was flying over high ground at an altitude considerably lower than the minimum height required by his company's operations manual.

In July 1977, a California probate court appointed respondent Gaynell Reyno administratrix of the estates of the five passengers. Reyno is not related to and does not know any of the decedents or their survivors; she was a legal secretary to the attorney who filed this lawsuit. Several days after her appointment, Reyno commenced separate wrongful death actions against Piper and Hartzell in the Superior Court of California, claiming negligence and strict liability. Air Navigation, McDonald, and the estate of the pilot are not parties to this litigation. The survivors of the five passengers whose estates are represented by Reyno filed a separate action in the United Kingdom against Air Navigation, McDonald, and the pilot's estate. Reyno candidly admits that the action against Piper and Hartzell was filed in the United States because its laws regarding liability, capacity to sue, and damages are more favorable to her position than are those of Scotland. Scottish law does not recognize strict liability in tort. Moreover, it permits wrongful death actions only when brought by a decedent's relatives. The relatives may sue only for "loss of support and society."

On petitioners' motion, the suit was removed to the United States District Court for the Central District of California. Piper then moved for transfer to the United States District Court for the Middle District of Pennsylvania, pursuant to 28 U.S.C. § 1404(a). Hartzell moved to dismiss for lack of personal jurisdiction, or in the alternative, to transfer.⁵ In December 1977, the District Court quashed service on Hartzell and transferred the case to the Middle District of Pennsylvania. Respondent then properly served process on Hartzell.

B

In May 1978, after the suit had been transferred, both Hartzell and Piper moved to dismiss the action on the ground of *forum non conveniens*.

The District Court granted these motions in October 1979. It relied on the balancing test set forth by this Court in *Gulf Oil Corp. v. Gilbert* * * *.

* * * [T]he District Court analyzed the facts of [this case]. It began by observing that an alternative forum existed in Scotland; Piper and Hartzell had agreed to submit to the jurisdiction of the Scottish courts and to waive any statute of limitations defense that might be available. It then stated that plaintiff's choice of forum was entitled to little weight. The court recognized that a plaintiff's choice ordinarily deserves substantial deference. It noted, however, that Reyno "is a representative of foreign citizens and residents seeking a forum in the United States because of the more liberal rules concerning products liability law," and that "the courts have been less solicitous when the plaintiff is not an American citizen or resident, and particularly when the foreign citizens seek to benefit from the more liberal tort rules provided for the protection of citizens and residents of the United States." * * *

The District Court next examined several factors relating to the private interests of the litigants, and determined that these factors strongly pointed towards Scotland as the appropriate forum. Although evidence concerning the design, manufacture, and testing of the plane and propeller is located in the United States, the connections with Scotland are otherwise "overwhelming." * * * The real parties in interest are citizens of Scotland, as were all the decedents. Witnesses who could testify regarding the maintenance of the aircraft, the training of the pilot, and the investigation of the accident—all essential to the defense—are in Great Britain. Moreover, all witnesses to damages are located in Scotland. Trial would be aided by familiarity with Scottish topography, and by easy access to the wreckage.

The District Court reasoned that because crucial witnesses and evidence were beyond the reach of compulsory process, and because the defendants would not be able to implead potential Scottish third-party defendants, it would be "unfair to make Piper and Hartzell proceed to trial in this forum." * * * The survivors had brought separate actions in Scotland against the pilot, McDonald, and Air Navigation. "[I]t would be fairer to all parties and less costly if the entire case was presented to one jury with available testimony from all relevant witnesses." * * * Although the court recognized that if trial were held in the United States, Piper and Hartzell could file indemnity or contribution actions against the Scottish defendants, it believed that there was a significant risk of inconsistent verdicts.

The District Court concluded that the relevant public interests also pointed strongly towards dismissal. The court determined that Pennsylvania law would apply to Piper and Scottish law to Hartzell if the

case were tried in the Middle District of Pennsylvania.⁸ As a result, "trial in this forum would be hopelessly complex and confusing for a jury." * * * In addition, the court noted that it was unfamiliar with Scottish law and thus would have to rely upon experts from that country. The court also found that the trial would be enormously costly and time-consuming; that it would be unfair to burden citizens with jury duty when the Middle District of Pennsylvania has little connection with the controversy; and that Scotland has a substantial

interest in the outcome of the litigation.

In opposing the motions to dismiss, respondent contended that dismissal would be unfair because Scottish law was less favorable. The District Court explicitly rejected this claim. * * *

C

On appeal, the * * * Third Circuit reversed and remanded for trial. The decision to reverse appears to be based on two alternative grounds. First, the Court held that the District Court abused its discretion in conducting the *Gilbert* analysis. Second, the Court held that dismissal is never appropriate where the law of the alternative forum is less favorable to the plaintiff.

The Court of Appeals began its review of the District Court’s *Gilbert* analysis by noting that the plaintiff’s choice of forum deserved substantial weight, even though the real parties in interest are nonresidents. It then rejected the District Court’s balancing of the private interests. It found that Piper and Hartzell had failed adequately to support their claim that key witnesses would be unavailable if trial were held in the United States: they had never specified the witnesses they would call and the testimony these witnesses would provide. The Court of Appeals gave little weight to the fact that Piper and Hartzell would not be able to implead potential Scottish third-party defendants, reasoning that this difficulty would be “burdensome” but not “unfair” * * *. Finally, the court stated that resolution of the suit would not be significantly aided by familiarity with Scottish topography, or by viewing the wreckage.

The Court of Appeals also rejected the District Court’s analysis of the public interest factors. It found that the District Court gave undue emphasis to the application of Scottish law: “the mere fact that the court is called upon to determine and apply foreign law does not present a legal

problem of the sort which would justify the dismissal of a case otherwise properly before the court.” * * * In any event, it believed that Scottish law need not be applied. After conducting its own choice-of-law analysis, the Court of Appeals determined that American law would govern the actions against both Piper and Hartzell. The same choice-of-law analysis apparently led it to conclude that Pennsylvania and Ohio, rather than Scotland, are the jurisdictions with the greatest policy interests in the dispute, and that all other public interest factors favored trial in the United States.

In any event, it appears that the Court of Appeals would have reversed even if the District Court had properly balanced the public and private interests. * * * [T]he court decided that dismissal is automatically barred if it would lead to a change in the applicable law unfavorable to the plaintiff.

We granted certiorari * * *.

II

The Court of Appeals erred in holding that plaintiffs may defeat a motion to dismiss on the ground of *forum non conveniens* merely by showing that the substantive law that would be applied in the alternative forum is less favorable to the plaintiffs than that of the present forum. The possibility of a change in substantive law should ordinarily not be given conclusive or even substantial weight in the *forum non conveniens* inquiry.

* * *

In fact, if conclusive or substantial weight were given to the possibility of a change in law, the *forum non conveniens* doctrine would become virtually useless. Jurisdiction and venue requirements are often easily satisfied. As a result, many plaintiffs are able to choose from among several forums. Ordinarily, these plaintiffs will select that forum whose choice-of-law rules are most advantageous. Thus, if the possibility of an unfavorable change in substantive law is given substantial weight in the *forum non conveniens* inquiry, dismissal would rarely be proper.

* * *

The Court of Appeals’ approach is not only inconsistent with the purpose of the *forum non conveniens* doctrine, but also poses substantial practical problems. If the possibility of a change in law were given substantial weight, deciding motions to dismiss on the ground of *forum non conveniens* would become quite difficult. Choice-of-law analysis would become extremely important, and the courts would frequently be required to interpret the law of foreign jurisdictions. First, the trial court would have to determine what law would apply if the case were tried in the chosen forum, and what law would apply if the case were tried in the alternative forum. It would then have to compare the rights, remedies, and procedures

available under the law that would be applied in each forum. Dismissal would be appropriate only if the court concluded that the law applied by the alternative forum is as favorable to the plaintiff as that of the chosen forum. The doctrine of *forum non conveniens*, however, is designed in part to help courts avoid conducting complex exercises in comparative law. As we stated in *Gilbert*, the public interest factors point towards dismissal where the court would be required to “untangle problems in conflict of laws, and in law foreign to itself.” * * *

Upholding the decision of the Court of Appeals would result in other practical problems. At least where the foreign plaintiff named an American manufacturer as defendant, a court could not dismiss the case on grounds of *forum non conveniens* where dismissal might

lead to an unfavorable change in law. The American courts, which are already extremely attractive to foreign plaintiffs, would become even more attractive. The flow of litigation into the United States would increase and further congest already crowded courts.

* * *

We do not hold that the possibility of an unfavorable change in law should *never* be a relevant consideration in a *forum non conveniens* inquiry. Of course, if the remedy provided by the alternative forum is so clearly inadequate or unsatisfactory that it is no remedy at all, the unfavorable change in law may be given substantial weight; the district court may conclude that dismissal would not be in the interests of justice.²² In these cases, however, the remedies that would be provided by the Scottish courts do not fall within this category. Although the relatives of the decedents may not be able to rely on a strict liability theory, and although their potential damages award may be smaller, there is no danger that they will be deprived of any remedy or treated unfairly.

III

The Court of Appeals also erred in rejecting the District Court’s *Gilbert* analysis. The Court of Appeals stated that more weight should have been given to the plaintiff’s choice of forum, and criticized the District Court’s analysis of the private and public interests. However, the District Court’s decision regarding the deference due plaintiff’s choice of forum was appropriate. Furthermore, we do not believe that the District Court abused its discretion in weighing the private and public interests.

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A

The District Court acknowledged that there is ordinarily a strong presumption in favor of the plaintiff’s choice of forum, which may be overcome only when the private and public interest factors clearly point towards trial in the alternative forum. It held, however, that the presumption applies with less force when the plaintiff or real parties in interest are foreign.

The District Court’s distinction between resident or citizen plaintiffs and foreign plaintiffs is fully justified. * * * When the home forum has been chosen, it is reasonable to assume that this choice is convenient. When the plaintiff is foreign, however, this assumption is much less reasonable. Because the central purpose of any *forum non conveniens* inquiry is to ensure that the trial is convenient, a foreign plaintiff’s choice deserves less deference.

B

The *forum non conveniens* determination is committed to the sound discretion of the trial court. It may be reversed only when there has been a clear abuse of discretion; where the court has considered all relevant public and private interest factors, and where its balancing of these factors is reasonable, its decision deserves substantial deference. * * * Here, the Court of Appeals expressly acknowledged that the standard of review was one of abuse of discretion. In examining the District Court’s analysis of the public and private interests, however, the Court of Appeals seems to have lost sight of this rule, and substituted its own judgment for that of the District Court.

(1)

In analyzing the private interest factors, the District Court stated that the connections with Scotland are “overwhelming.” * * * This characterization may be somewhat exaggerated. Particularly with respect to the question of relative ease of access to sources of proof, the private interests point in both directions. As respondent emphasizes, records concerning the design, manufacture, and testing of the propeller and plane are located in the United States. She would have greater access to sources of proof relevant to her strict liability and negligence theories if trial were held here. However, the District Court did not act unreasonably in concluding that fewer evidentiary problems would be posed if the trial were held in Scotland. A large proportion of the relevant evidence is located in Great Britain.

The Court of Appeals found that the problems of proof could not be given any weight because Piper and Hartzell failed to describe with specificity the evidence they would not be able to obtain if trial were held in the United States. It suggested that defendants seeking *forum non*

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conveniens dismissal must submit affidavits identifying the witnesses they would call and the testimony these witnesses would provide if the trial were held in the alternative forum. Such detail is not necessary. Piper and Hartzell have moved for dismissal precisely because many crucial witnesses are located beyond the reach of compulsory process, and thus are difficult to identify or interview. Requiring extensive investigation would defeat the purpose of their motion. Of course, defendants must provide enough information to enable the District Court to balance the parties’ interests. Our examination of the record convinces us that sufficient information was provided here. Both Piper and Hartzell submitted affidavits describing the evidentiary problems they would face if the trial were held in the United States.

The District Court correctly concluded that the problems posed by the inability to implead potential third party defendants clearly supported holding the trial in Scotland. Joinder of the pilot’s estate, Air Navigation, and McDonald is crucial to the presentation of petitioners’ defense. If Piper and Hartzell can show that the accident was caused not by a design defect, but rather by the negligence of the pilot, the plane’s owners, or the charter company, they will be relieved of all liability. It is true, of course, that if Hartzell and Piper were found liable after a trial in the United States, they could institute an action for indemnity or contribution against these parties in

Scotland. It would be far more convenient, however, to resolve all claims in one trial. The Court of Appeals rejected this argument. Forcing petitioners to rely on actions for indemnity or contributions would be “burdensome” but not “unfair.” * * * Finding that trial in the plaintiff’s chosen forum would be burdensome, however, is sufficient to support dismissal on grounds of *forum non conveniens*.

(2)

The District Court’s review of the factors relating to the public interest was also reasonable. On the basis of its choice-of-law analysis, it concluded that if the case were tried in the Middle District of Pennsylvania, Pennsylvania law would apply to Piper and Scottish law to Hartzell. It stated that a trial involving two sets of laws would be confusing to the jury. It also noted its own lack of familiarity with Scottish law. Consideration of these problems was clearly appropriate under *Gilbert*; in that case we explicitly held that the need to apply foreign law pointed towards dismissal. The Court of Appeals found that the District Court’s choice-of-law analysis was incorrect, and that American law would apply to both Hartzell and Piper. Thus, lack of familiarity with foreign law would not be a problem. Even if the Court of Appeals’ conclusion is correct, however, all other public interest factors favored trial in Scotland.

Scotland has a very strong interest in this litigation. The accident occurred in its airspace. All of the decedents were Scottish. Apart from

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Piper and Hartzell, all potential plaintiffs and defendants are either Scottish or English. As we stated in *Gilbert*, there is “a local interest in having localized controversies decided at home.” * * * Respondent argues that American citizens have an interest in ensuring that American manufacturers are deterred from producing defective products, and that additional deterrence might be obtained if Piper and Hartzell were tried in the United States, where they could be sued on the basis of both negligence and strict liability. However, the incremental deterrence that would be gained if this trial were held in an American court is likely to be insignificant. The American interest in this accident is simply not sufficient to justify the enormous commitment of judicial time and resources that would inevitably be required if the case were to be tried here.

* * *

Reversed.

[JUSTICE POWELL and JUSTICE O’CONNOR took no part in the decision of this case. JUSTICE WHITE concurred in part and dissented in part. JUSTICE STEVENS with whom JUSTICE BRENNAN joined, dissented. Their dissent argued that remand was appropriate to the Court of Appeals, to determine “whether the District Court correctly decided that Pennsylvania was not a convenient forum in which to litigate a claim against a Pennsylvania company that a plane was defectively designed and manufactured in Pennsylvania.”]

NOTES AND QUESTIONS

1. Lord Denning famously said: “As a moth is drawn to the light, so is a litigant drawn to the United States.” *Smith Kline & French Labs. Ltd. v. Bloch*, [1983] 2 All E.R. 72, 72 (Eng.C.A.1982). On this account, foreign litigants choose to sue in the United States for strategic reasons: the Federal Rules are thought to be pro-plaintiff because they offer access to discovery and the possibility of class relief; litigation can be financed through contingency fees; and tort awards can include compensation for pain and suffering. See Robertson, *Transnational Litigation and Institutional Choice*, 51 B.C.L.Rev. 1081 (2010). Forum preferences have adapted somewhat given procedural developments abroad and here in the United States. See Bookman, *Litigation Isolationism*, 67 Stan.L.Rev. 1081, 1109 (2015) (“many nations have begun to recognize higher damages awards, aggregate litigation procedures, and third-party litigation funding”).

2.In *ISLAMIC REPUBLIC OF IRAN v. PAHLAVI*, 62 N.Y.2d 474, 478 N.Y.S.2d 597, 467 N.E.2d 245 (1984), cert. denied, 469 U.S. 1108, 105 S.Ct. 783, 83 L.Ed.2d 778 (1985), the Islamic Republic of Iran sued the former ruler of Iran, Shah Mohammed Reza Pahlavi, and his wife to recover \$35 billion dollars in Iranian funds that the couple were alleged to have misappropriated. The Shah and his wife had withdrawn these assets from Iran after a fundamental Islamist revolution deposed the Shah in 1979. Plaintiff served the

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couple in New York while the Shah was undergoing medical treatment at a New York hospital. The New York Court of Appeals affirmed the lower courts’ dismissal on *forum non conveniens* grounds even though it appeared no alternative forum was available to plaintiff since the Shah would not return to Iran given the political situation under the Khomeini regime. Requiring proof of an alternative adequate forum, the court explained, “would place an undue burden on New York courts forcing them to accept foreign-based actions unrelated to this State merely because a more appropriate forum is unwilling or unable to accept jurisdiction.” *Id.* at 481, 478 N.Y.S.2d at 601, 467 N.E.2d at 249. Are the facts of this case *sui generis*?

3.In *TUAZON v. R.J. REYNOLDS TOBACCO CO.*, 433 F.3d 1163 (9th Cir. 2006), plaintiff, a Philippine citizen, filed a federal action in Washington State against a United States tobacco company, alleging defendant’s “participation in a world-wide conspiracy to deny the addictive and harmful effects of smoking.” *Id.* at 1167. The Ninth Circuit affirmed the district court’s denial of defendant’s motion to dismiss on *forum non conveniens*, but rejected plaintiff’s contention that the Philippines judicial system would be inadequate because of corruption, delay, or potential influence by wealthy corporate defendants. Plaintiff’s only evidence on this issue consisted of a State Department Country Report and did not include “a single episode that [plaintiff] directly observed or of which he has personal knowledge” concerning civil litigation. *Id.* at 1179. Why would personal information be more probative than a State Department report? See *id.* (“[W]e note that the reports are focused on human rights in the Philippines, and

the criminal justice system in particular. * * * [S]uch a general indictment provides insufficient substance to condemn the adequacy of Philippine courts in the face of the expert evidence offered by [defendant].”).

4.The *Piper* decision indicated that appellate courts must review a district court’s forum non conveniens ruling for abuse of discretion. That deference is not absolute, however. In *NANDJOU v. MARRIOTT INTERNATIONAL, INC.*, 985 F.3d 135 (1st Cir. 2021), the court found that the district court’s “assessment of the private interest factors * * * is clearly wrong.” *Id.* at 143. The case was a wrongful death action by the estate of a father and child who died in a hotel swimming pool in Canada, and the district court found that Canada was a more appropriate forum. The appellate court concluded that “on this record, we do not agree that there is a supportable basis for saying that the defendants have met their heavy burden to show that concerns about private convenience justify depriving Nandjou of the forum she chose.” *Id.* at 147. It emphasized “the critically important role that her young children may play at trial as witnesses, as they alone are in a position to testify about the conditions at the pool at the moment of the drownings,” and found that “while the defendants have estimated that twenty-five non-party witnesses reside in Canada, they have not explained why live testimony from all of those witnesses is critical.” *Id.*

5.Should an international tribunal—such as the International Court of Justice, the World Trade Organization, or the United Nations Compensation

Commission—ever be an acceptable alternative forum for purposes of forum non conveniens? In *NEMARIAM v. FEDERAL DEMOCRATIC REPUBLIC OF ETHIOPIA*, 315 F.3d 390 (D.C.Cir. 2003), cert. denied, 540 U.S. 877, 124 S.Ct. 278, 157 L.Ed.2d 141 (2003), the D.C. Circuit held it was an abuse of discretion to dismiss on grounds of forum non conveniens when the alternative forum was a Claims Commission designed to resolve war-related suits involving Ethiopia and Eritrea. Relief in the Claims Commission was subject to offset by amounts due from one nation to the other. The court found that “it would be peculiar indeed to dismiss * * * [plaintiff’s] claim in the United States District Court—a forum in which * * * she is certain to be awarded full relief if she wins on the merits of her claim—in favor of a forum in which she has no certainty of getting relief for a meritorious claim.” *Id.* at 395.

6.Some courts have found that a foreign country’s remedies can be adequate even if they require a plaintiff to proceed against a different defendant or through a nonjudicial compensation scheme. In *IMAMURA v. GENERAL ELECTRIC CO.*, 957 F.3d 98 (1st Cir. 2020), the First Circuit affirmed the district court’s forum non conveniens dismissal of a putative class action in Massachusetts federal court against the designer of a nuclear power plant, seeking damages for injuries caused by an earthquake-induced tsunami and a resulting nuclear disaster at the Fukushima Daiichi Nuclear Power Plant in Japan. It reasoned that forum non conveniens is permissible when the alternative forum “offers adequate remedies for the exact same injuries alleged by the plaintiff in U.S. court but channels liability for those injuries to a third party who is not the same defendant in the U.S. case.” *Id.* at 109. It also found that it was proper to consider the availability of Japan’s “administrative compensation scheme” in assessing the adequacy of the alternative forum. *Id.* at 112. In what situations should a nonjudicial forum be sufficiently “adequate” to permit a forum non conveniens dismissal?

7.How much weight should the court give to plaintiff’s forum preference? In *WIWA v. ROYAL DUTCH PETROLEUM CO.*, 226 F.3d 88 (2d Cir. 2000), three Nigerian émigrés living in the United States sued two foreign holding companies alleging that the companies had participated in human rights violations against them in retaliation for their political opposition to the companies’ oil exploration activities in Nigeria. The district court dismissed on the basis of forum non conveniens and the Second Circuit reversed, holding that the deference due to the forum choice of a United States resident depends on the party’s affiliation with the forum. “[T]he greater the plaintiff’s ties to the plaintiff’s chosen forum,” the court explained, “the more likely it is that the plaintiff would be inconvenienced by a requirement to bring the claim in a foreign jurisdiction.” *Id.* at 102. Conversely, absolute deference is not accorded to the forum choice of a United States citizen when the facts show a significant relationship with an alternative forum. See *Carey v. Bayerische Hypo-Und Vereinsbank AG*, 370 F.3d 234, 238 (2d Cir. 2004).

8.What deference should the court give to a United States plaintiff’s forum choice when the suit involves multiple plaintiffs, most of whom are not United States citizens? In *OTTO CANDIES, LLC v. CITIGROUP, INC.*, 963

F.3d 1331 (11th Cir. 2020), the court reversed the district court’s forum non conveniens dismissal in a case involving two United States plaintiffs and 37 foreign plaintiffs: “There * * * does not appear to be any practical or doctrinal basis to reduce deference to domestic plaintiffs who sue alongside foreign plaintiffs, particularly when they all sue a single American defendant for conduct that they allege occurred in the United States.” *Id.* at 1344.

9.In *SINOCHEM INTERNATIONAL CO. LTD. v. MALAYSIA INTERNATIONAL SHIPPING CORP.*, 549 U.S. 422, 127 S.Ct. 1184, 167 L.Ed.2d 15 (2007), the Supreme Court affirmed the dismissal of an action against a Chinese company on the basis of forum non conveniens even though the district court had not first ascertained whether subject-matter or personal jurisdiction was present. Justice Ginsburg explained that when a district court does not intend to resolve the merits of a case, it “has leeway ‘to choose among threshold grounds for denying audience to a case on the merits,’ ” *id.* at 431, 127 S.Ct. at 1191, 167 L.Ed.2d at 25 (quoting *Ruhrgas*, p. 387, *supra*), and “may dispose of an action by a forum non conveniens dismissal, bypassing questions of subject-matter and personal jurisdiction, when considerations of convenience, fairness, and judicial economy so warrant.” *Id.* at 432, 127 S.Ct. at 1192, 167 L.Ed.2d at 26.

Prior to the Court’s decision in *Sinochem*, district courts sometimes would condition a forum non conveniens dismissal on defendant’s waiver of a jurisdictional or limitations defense in the alternative forum. See *In re Union Carbide Corp. Gas Plant Disaster at Bhopal, India* in Dec., 1984, 809 F.2d 195 (2d Cir. 1987), cert. denied, 484 U.S. 871, 108 S.Ct. 199, 98 L.Ed.2d 150 (1987). May a district court that has not yet determined its jurisdiction impose such conditions? May a district court exercising removal jurisdiction dismiss an action on grounds of forum non conveniens without first determining whether subject-matter jurisdiction is present? See *Provincial Gov’t of Marinduque v. Placer Dome, Inc.*, 582 F.3d 1083, 1088 (9th Cir.

2009), cert. denied, 562 U.S. 827, 131 S.Ct. 65, 178 L.Ed.2d 22 (2010).

10. Commentators have criticized the doctrine of forum non conveniens as a ground for dismissal in transnational cases. In this context, it has been argued that the doctrine affords district courts excessive discretion; its use subverts congressional policy; and it produces unfair results for plaintiffs. See Gardner, *Retiring Forum Non Conveniens*, 92 N.Y.U.L.Rev. 390 (2017).

D. VENUE-SELECTION AGREEMENTS

Read Federal Rule of Civil Procedure 12(b)(3) and 28 U.S.C. §§ 1404 and 1406 in the Supplement.

ATLANTIC MARINE CONSTRUCTION CO., INC. v. U.S. DISTRICT COURT FOR THE WESTERN DISTRICT OF TEXAS

Supreme Court of the United States, 2013.

[571 U.S. 49, 134 S.Ct. 568, 187 L.Ed.2d 487.](#)

Certiorari to the United States Court of Appeals for the Fifth Circuit.

JUSTICE ALITO delivered the opinion of the Court.

* * *

I

Petitioner Atlantic Marine Construction Co., a Virginia corporation with its principal place of business in Virginia, entered into a contract with the United States Army Corps of Engineers to construct a child-development center at Fort Hood in the Western District of Texas. Atlantic Marine then entered into a subcontract with respondent J-Crew Management, Inc., a Texas corporation, for work on the project. This subcontract included a forum-selection clause, which stated that all disputes between the parties “ ‘shall be litigated in the Circuit Court for the City of Norfolk, Virginia, or the United States District Court for the Eastern District of Virginia, Norfolk Division.’ ” * * *

When a dispute about payment under the subcontract arose, however, J-Crew sued Atlantic Marine in the Western District of Texas, invoking that court’s diversity jurisdiction. Atlantic Marine moved to dismiss the suit, arguing that the forum-selection clause rendered venue in the Western District of Texas “wrong” under § 1406(a) and “improper” under Federal Rule * * * 12(b)(3). In the alternative, Atlantic Marine moved to transfer the case to the Eastern District of Virginia under § 1404(a). J-Crew opposed these motions.

The District Court denied both motions. It first concluded that § 1404(a) is the exclusive mechanism for enforcing a forum-selection clause that points to another federal forum. The District Court then held that Atlantic Marine bore the burden of establishing that a transfer would be appropriate under § 1404(a) and that the court would “consider a nonexhaustive and nonexclusive list of public and private interest factors,” of which the “forum-selection clause [was] only one such factor.” * * * Giving particular weight to its findings that “compulsory process will not be available for the majority of J-Crew’s witnesses” and that there would be “significant expense for those willing witnesses,” the District Court held that Atlantic Marine had failed to carry its burden of showing that transfer “would be in the interest of justice or increase the convenience to the parties and their witnesses.” * * *

Atlantic Marine petitioned the Court of Appeals for a writ of mandamus directing the District Court to dismiss the case under § 1406(a) or to transfer the case to the Eastern District of Virginia under § 1404(a).

The Court of Appeals denied Atlantic Marine’s petition because Atlantic Marine had not established a “ ‘clear and indisputable’ ” right to relief * * *. Relying on *Stewart Organization, Inc.* * * * [p. 486, *infra*], the Court of Appeals agreed with the District Court that § 1404(a) is the exclusive mechanism for enforcing a forum-selection clause that points to another federal forum when venue is otherwise proper in the district where the case was brought. * * * The court stated, however, that if a forum-selection clause points to a nonfederal forum, dismissal under Rule 12(b)(3) would be the correct mechanism to enforce the clause because § 1404(a) by its terms does not permit transfer to any tribunal other than another federal court. * * * The Court of Appeals then concluded that the District Court had not clearly abused its discretion in refusing to transfer the case after conducting the balance-of-interests analysis required by § 1404(a). * * * That was so even though there was no dispute that the forum-selection clause was valid. * * * We granted certiorari. * * *

II

Atlantic Marine contends that a party may enforce a forum-selection clause by seeking dismissal of the suit under § 1406(a) and Rule 12(b)(3). We disagree. Section 1406(a) and Rule 12(b)(3) allow dismissal only when venue is “wrong” or “improper.” Whether venue is “wrong” or “improper” depends exclusively on whether the court in which the case was brought satisfies the requirements of federal venue laws, and those provisions say nothing about a forum-selection clause.

* * * When venue is challenged, the court must determine whether the case falls within one of the three categories set out in § 1391(b). If it does, venue is proper; if it does not, venue is improper, and the case must be dismissed or transferred under § 1406(a). Whether the parties entered into a contract containing a forum-selection clause has no bearing on whether a case falls into one of the categories of cases listed in § 1391(b). As a result, a case filed in a district that falls within § 1391 may not be dismissed under § 1406(a) or Rule 12(b)(3).

Petitioner’s contrary view improperly conflates the special statutory term “venue” and the word “forum.” It is certainly true that, in some contexts, the word “venue” is used synonymously with the term “forum,” but § 1391 makes clear that venue in “all civil actions” must be determined in accordance with the criteria outlined in that section. That language cannot reasonably be read to allow judicial consideration of other, extrastatutory limitations on the forum in which a case may be brought.

The structure of the federal venue provisions confirms that they alone define whether venue exists in a given forum. In particular, the venue statutes reflect Congress’ intent that venue should always lie in some federal court whenever federal courts have personal jurisdiction over the

defendant. * * * Yet petitioner’s approach would mean that in some number of cases—those in which the forum-selection clause points to a state or foreign court—venue would not lie in any federal district. That would not comport with the statute’s design, which contemplates that venue will always exist in some federal court.

The conclusion that venue is proper so long as the requirements of § 1391(b) are met, irrespective of any forum-selection clause, also follows from our prior decisions * * *. The question in *Van Dusen* was whether § 1404(a) allows transfer to a district in which venue is proper under § 1391 but in which the case could not have been pursued in light of substantive state-law limitations on the suit. * * * In holding that transfer is permissible in that context, we construed the phrase “where it might have been brought” to refer to “the federal laws delimiting the districts in which such an action ‘may be brought,’ ” * * *, noting that “the phrase ‘may be brought’ recurs at least 10 times” in §§ 1391–1406 * * *. We perceived “no valid reason for reading the words ‘where it might have been brought’ to narrow the range of permissible federal forums beyond those permitted by federal venue statutes.” * * *

* * *

B

Although a forum-selection clause does not render venue in a court “wrong” or “improper” within the meaning of § 1406(a) or Rule 12(b)(3), the clause may be enforced through a motion to transfer under § 1404(a). * * * Unlike § 1406(a), § 1404(a) does not condition transfer on the initial forum’s being “wrong.” And it permits transfer to any district where venue is also proper (i.e., “where [the case] might have been brought”) or to any other district to which the parties have agreed by contract or stipulation.

* * *

Atlantic Marine argues that § 1404(a) is not a suitable mechanism to enforce forum-selection clauses because that provision cannot provide for transfer when a forum-selection clause specifies a state or foreign tribunal, * * *. The Court of Appeals opined that a forum-selection clause pointing to a nonfederal forum should be enforced through Rule 12(b)(3), which permits a party to move for dismissal of a case based on “improper venue.” * * * As Atlantic Marine persuasively argues, however, that conclusion cannot be reconciled with our construction of the term “improper venue” in § 1406 to refer only to a forum that does not satisfy federal venue laws. If venue is proper under federal venue rules, it does not matter for the purpose of Rule 12(b)(3) whether the forum-selection clause points to a federal or a nonfederal forum.

Instead, the appropriate way to enforce a forum-selection clause pointing to a state or foreign forum is through the doctrine of forum non

conveniens. Section 1404(a) is merely a codification of the doctrine of forum non conveniens for the subset of cases in which the transferee forum is within the federal court system; in such cases, Congress has replaced the traditional remedy of outright dismissal with transfer. * * * For the remaining set of cases calling for a nonfederal forum, § 1404(a) has no application * * *. And because both § 1404(a) and the forum non conveniens doctrine from which it derives entail the same balancing-of-interests standard, courts should evaluate a forum-selection clause pointing to a nonfederal forum in the same way that they evaluate a forum-selection clause pointing to a federal forum. * * *

* * *

III

Although the Court of Appeals correctly identified § 1404(a) as the appropriate provision to enforce the forum-selection clause in this case, the Court of Appeals erred in failing to make the adjustments required in a § 1404(a) analysis when the transfer motion is premised on a forum-selection clause. When the parties have agreed to a valid forum-selection clause, a district court should ordinarily transfer the case to the forum specified in that clause.⁵ Only under extraordinary circumstances unrelated to the convenience of the parties should a § 1404(a) motion be denied. And no such exceptional factors appear to be present in this case.

A

In the typical case not involving a forum-selection clause, a district court considering a § 1404(a) motion (or a forum non conveniens motion) must evaluate both the convenience of the parties and various public-interest considerations. Ordinarily, the district court would weigh the relevant factors and decide whether, on balance, a transfer would serve “the convenience of parties and witnesses” and otherwise promote “the interest of justice.” § 1404(a).

The calculus changes, however, when the parties’ contract contains a valid forum-selection clause * * *. The presence of a valid forum-selection clause requires district courts to adjust their usual § 1404(a) analysis in three ways.

First, the plaintiff’s choice of forum merits no weight. Rather, as the party defying the forum-selection clause, the plaintiff bears the burden of establishing that transfer to the forum for which the parties bargained is unwarranted. Because plaintiffs are ordinarily allowed to select whatever forum they consider most advantageous (consistent with jurisdictional and venue limitations), we have termed their selection the “plaintiff’s venue privilege.” * * * But when a plaintiff agrees by contract to bring suit only in a specified forum—presumably in exchange for other binding promises

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by the defendant—the plaintiff has effectively exercised its “venue privilege” before a dispute arises. Only that initial choice deserves deference, and the plaintiff must bear the burden of showing why the court should not transfer the case to the forum to which the parties agreed.

Second, a court evaluating a defendant’s § 1404(a) motion to transfer based on a forum-selection clause should not consider arguments about the parties’ private interests. When parties agree to a forum-selection clause, they waive the right to challenge the preselected forum as inconvenient or less convenient for themselves or their witnesses, or for their pursuit of the litigation. A court accordingly must deem the private-interest factors to weigh entirely in favor of the preselected forum. * * *

As a consequence, a district court may consider arguments about public-interest factors only. * * * Because those factors will rarely defeat a transfer motion, the practical result is that forum-selection clauses should control except in unusual cases. * * *

Third, when a party bound by a forum-selection clause flouts its contractual obligation and files suit in a different forum, a § 1404(a) transfer of venue will not carry with it the original venue’s choice-of-law rules—a factor that in some circumstances may affect public-interest considerations. See *Piper Aircraft Co. v. Reyno*, [p. 421, supra] (listing a court’s familiarity with the “law that must govern the action” as a potential factor). A federal court sitting in diversity ordinarily must follow the choice-of-law rules of the State in which it sits. See *Klaxon* * * * [p. 517, infra]. However, we previously identified an exception to that principle for § 1404(a) transfers, requiring that the state law applicable in the original court also apply in the transferee court. * * *

In *Van Dusen*, we were concerned that, through a § 1404(a) transfer, a defendant could “defeat the state-law advantages that might accrue from the exercise of [the plaintiff’s] venue privilege.” * * * But * * * a plaintiff who files suit in violation of a forum-selection clause enjoys no such “privilege” with respect to its choice of forum, and therefore it is entitled to no concomitant “state-law advantages.” Not only would it be inequitable to allow the plaintiff to fasten its choice of substantive law to the venue transfer, but it would also encourage gamesmanship. * * *

When parties have contracted in advance to litigate disputes in a particular forum, courts should not unnecessarily disrupt the parties’ settled expectations. A forum-selection clause, after all, may have figured centrally in the parties’ negotiations and may have affected how they set monetary and other contractual terms; it may, in fact, have been a critical factor in their agreement to do business together in the first place. In all but the most unusual cases, therefore, “the interest of justice” is served by holding parties to their bargain.

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B

The District Court’s application of § 1404(a) in this case did not comport with these principles. The District Court improperly placed the burden on Atlantic Marine to prove that transfer to the parties’ contractually preselected forum was appropriate. As the party acting in violation of the forum-selection clause, J-Crew must bear the burden of showing that public-interest factors overwhelmingly disfavor a transfer.

The District Court also erred in giving weight to arguments about the parties’ private interests, given that all private interests, as expressed in the forum-selection clause, weigh in favor of the transfer. * * * [W]hen J-Crew entered into a contract to litigate all disputes in Virginia, it knew that a distant forum might hinder its ability to call certain witnesses and might impose other burdens on its litigation efforts. It nevertheless promised to resolve its disputes in Virginia, and the District Court should not have given any weight to J-Crew’s current claims of inconvenience.

The District Court also held that the public-interest factors weighed in favor of keeping the case in Texas because Texas contract law is more familiar to federal judges in Texas than to their federal colleagues in Virginia. That ruling, however, rested in part on the District Court’s belief that the federal court sitting in Virginia would have been required to apply Texas’ choice-of-law rules, which in this case pointed to Texas contract law. * * * But for the reasons we have explained, the transferee court would apply Virginia choice-of-law rules. * * *

We reverse the judgment of the Court of Appeals for the Fifth Circuit. Although no public-interest factors that might support the denial of Atlantic Marine’s motion to transfer are apparent on the record before us, we remand the case for the courts below to decide that question.

It is so ordered.

NOTES AND QUESTIONS

1. The principal case held that a motion to transfer under 28 U.S.C. § 1404(a) is the procedural mechanism for enforcing a venue-selection provision that selects a federal district as the location of litigation. What is the mechanism for enforcing a venue-selection provision that selects a state court or a foreign forum? See Shannon, *Enforcing Forum-Selection Clauses*, 66 Hastings L.J. 777 (2015).
2. Is a venue-selection clause enforceable against a party who did not sign the contract term? In *IN RE HOWMEDICA OSTEONICS CORP.*, 867 F.3d 390 (3d Cir. 2017), the court of appeals considered whether to grant a motion to transfer when some parties were bound by a contractual venue term and some were not. The court held that a venue-clause applies only to the

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parties who agree to be bound by it, and not to the case as a whole. According to the Third Circuit, the *Atlantic Marine* presumption in favor of enforcing a forum-selection clause does not apply to non-contracting parties who move to transfer under Section 1404 on the basis of their private interests.

3. The Court in *Atlantic Marine* assumed that the venue clause at issue in that case was valid, without deciding whether the validity of the clause would be governed by state, federal, or state and federal law. See Clermont, *Governing Law on Forum-Selection Agreements*, 66 Hastings L.J. 643 (2015); Steinman, *Atlantic Marine Through the Lens of Erie*, 66 Hastings L.J. 795 (2015). Reconsider this question after studying the material in Chapter 6, *infra*.
4. The *Atlantic Marine* decision may influence the analysis of Section 1404(a) motions that are based on grounds other than a forum-selection clause. See p. 415, Note 2, *supra* (discussing the factors courts consider when deciding Section 1404(a) motions). *Atlantic Marine* indicated that, as a general matter, Section 1404(a) motions are governed by the same private interest and public interest factors that govern forum non conveniens motions. Even if the same factors are considered, however, a party seeking a Section 1404(a) transfer faces a lower burden than one seeking a forum non conveniens dismissal. See *PIPER v. REYNO* [p. 421, *supra*] (“District courts were given more discretion to transfer under § 1404(a) than they had to dismiss on grounds of forum non conveniens.”); *Sandvik AB v. Advent Int’l Corp.*, 83 F.Supp.2d 442, 449 (D.Del. 1999) (“Although both inquiries address the issue whether the litigation can be more appropriately conducted in a different tribunal, the moving party bears a higher burden when invoking the doctrine of forum non conveniens.”).

⁴ The writer knows by experience that only one skilled in Texas Land Law can successfully handle an action of Trespass to Try Title in the State of Texas.

⁵ The District Court concluded that it could not assert personal jurisdiction over Hartzell consistent with due process. However, it decided not to dismiss Hartzell because the corporation would be amenable to process in Pennsylvania.

⁸ Under *Klaxon* * * * [p. 517, *infra*], a court ordinarily must apply the choice-of-law rules of the State in which it sits. However, where a case is transferred pursuant to 28 U.S.C. § 1404(a), it must apply the choice-of-law rules of the State from which the case was transferred. *Van Dusen* * * * [p. 415, Note 3, *supra*]. Relying on these two cases, the District Court concluded that California choice-of-law rules would apply to Piper, and Pennsylvania choice-of-law rules would apply to Hartzell. It further concluded that California applied a “governmental interests” analysis in resolving choice-of-law problems, and that Pennsylvania employed a “significant contacts” analysis. The court used the “governmental interests” analysis to determine that Pennsylvania liability rules would apply to Piper, and the “significant contacts” analysis to determine that Scottish liability rules would apply to Hartzell.

²² At the outset of any *forum non conveniens* inquiry, the court must determine whether there exists an alternative forum. Ordinarily, this requirement will be satisfied when the defendant is “amenable to process” in the other jurisdiction. *Gilbert* * * *. In rare circumstances, however, where the remedy offered by the other forum is clearly unsatisfactory, the other forum may not be an adequate alternative, and the initial requirement may not be satisfied. Thus, for example, dismissal would not be appropriate where the alternative forum does not permit litigation of the subject matter of the dispute. * * *

⁵ Our analysis presupposes a contractually valid forum-selection clause.

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CHAPTER 6

ASCERTAINING THE APPLICABLE LAW



This chapter focuses on the ways in which federalism and separation of powers affect choice of law in United States courts. Civil actions involving citizens of a single state and a transaction that occurred entirely within the boundaries of that state do not present any problems of choosing the proper body of substantive law to be applied in determining the rights and liabilities of the parties. However, as soon as the litigation touches two or more states, one is likely to be confronted with the serious question of choosing between two or more sources of law. For example, suppose plaintiff and defendant, both citizens of State X, are involved in an automobile accident or

agree to perform a contract or engage in a sale of property in State Y. Should questions pertaining to defendant’s alleged negligence or failure to perform the contract or transfer the ownership of the property be decided under the law of State X or the law of State Y? Should the choice be made in the same way in tort, contract, and property actions? The complexity of these questions increases if plaintiff and defendant are citizens of different states and the event, relationship, or property that forms the predicate of the controversy can be traced to a third and perhaps a fourth or fifth state. You will be exposed to problems of this type on numerous occasions. Formal education in the philosophy of choosing among the laws of two or more states is the focus of a course in Conflict of Laws.

This chapter is devoted to choice-of-law problems of a somewhat different dimension. Let us suppose that plaintiff is a citizen of State X and defendant is a citizen of State Y and that plaintiff has decided to litigate a tort or contract claim against defendant in a federal district court in State Y. What law should the federal court apply to adjudicate this action? The law of State X? Of State Y? Federal law? Would the answer be different if, assuming personal jurisdiction could be acquired, the action was commenced in a federal district court in State X? The problem of choosing between federal and state law also is present when a state court is called upon to decide cases arising under federal statutes or cases in which federal rights and liabilities are at issue. As one might surmise, the process of choosing between the law of two states and that of choosing between federal and state law are analogous, but involve important differences.

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A final observation before beginning: If the law applied by one court differs materially from that applied by another, an attorney interested in achieving a particular result for a client obviously may wish to steer the lawsuit, if the jurisdiction and venue rules permit, to a particular tribunal. To what extent should a court take account of this type of forum manipulation in choosing the law to be applied?

A. STATE LAW IN THE FEDERAL COURTS

1.THE RULE OF SWIFT V. TYSON

Although Article III of the Constitution sets limits on the jurisdiction of the federal court system, it does not establish any lower federal courts. The power to establish those “inferior” courts was left to Congress, which quickly used it. The Judiciary Act of 1789 established a lower federal court system and promulgated rules governing its jurisdiction and operation. See Chapter 4, *supra*. Among those rules, in Section 34 of the Judiciary Act, was the so-called Rules of Decision Act. The modern version of this Act is found in 28 U.S.C. § 1652: “The laws of the several states, except where the Constitution or treaties of the United States or Acts of Congress otherwise require or provide, shall be regarded as rules of decision in civil actions in the courts of the United States, in cases where they apply.”

For nearly one hundred years, the Supreme Court’s decision in *SWIFT v. TYSON*, 41 U.S. (16 Pet.) 1, 10 L.Ed. 865 (1842), provided the basic interpretation of the Rules of Decision Act. Consider this account:

The famous case of *Swift v. Tyson* arose from the following rather commonplace circumstances: Two persons, [Norton] and Keith, gave Swift a bill of exchange in payment of a promissory note. The bill was accepted, or guaranteed, by another person named Tyson who in so doing meant to pay for certain land which he was purchasing from Norton and Keith. Sadly enough for Tyson, he discovered that Norton and Keith could not sell him the land because they did not own it. Therefore, when Swift sued Tyson on the bill, Tyson defended on the ground that there had been a failure of consideration to him, and that Swift could not, under these circumstances recover as a bona-fide holder for valuable consideration because Swift had paid nothing for the bill—all he had done was to accept the bill as new evidence of an old debt. The controlling issue thus became whether a new bill of exchange for an old debt was an adequate consideration for Swift’s acceptance of the bill.

The bill was made in the State of Maine; it was accepted in New York. If governed by the laws of New York, which might have been

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thought applicable, Swift would probably have been found to have given no consideration.

Address of U.S. Supreme Court Associate Justice Hugo L. Black to the Missouri Bar Annual Banquet, Sept. 25, 1942, reprinted in 64 J.Mo.B. 26, 27 (2008). The principal question considered in *Swift* was whether the case was governed by New York decisional law, or whether the federal court could interpret principles of commercial law as it thought best.

Whether New York law applied turned upon the meaning of the phrase “laws of the several states” in the Rules of Decision Act. If the phrase encompassed state statutes and state decisions involving commercial relations, then the federal court was required to apply the New York rule. Justice Story, writing for a unanimous Court, concluded that the Act did not command the federal courts to follow state judicial decisions in general commercial matters:

[T]he courts of New York do not found their decisions upon this point upon any local statute, or positive, fixed, or ancient local usage: but they deduce the doctrine from the general principles of commercial law. It is, however, contended, that the thirty-fourth section of the judiciary act of 1789, ch. 20, furnishes a rule obligatory upon this court to follow the decisions of the state tribunals in all cases to which they apply. * * * In order to maintain the argument, it is essential, therefore, to hold, that the word “laws,” in this section, includes within the scope of its meaning the decisions of the local tribunals. In the ordinary use of

language it will hardly be contended that the decisions of courts constitute laws. They are, at most, only evidence of what the laws are, and are not of themselves laws. They are often reexamined, reversed, and qualified by the Courts themselves, whenever they are found to be either defective, or ill-founded, or otherwise incorrect. The laws of a state are more usually understood to mean the rules and enactments promulgated by the legislative authority thereof, or long established local customs having the force of laws. In all the various cases, which have hitherto come before us for decision, this court have uniformly supposed, that the true interpretation of the thirty-fourth section limited its application to state laws strictly local, that is to say, to the positive statutes of the state, and the construction thereof adopted by the local tribunals, and to rights and titles to things having a permanent locality, such as the rights and titles to real estate, and other matters immovable and intraterritorial in their nature and character. It never has been supposed by us, that the section did apply, or was designed to apply, to questions of a more general nature, not at all dependent upon local statutes or local usages of a fixed and permanent operation, as, for example, to the

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construction of ordinary contracts or other written instruments and especially to questions of general commercial law, where the state tribunals are called upon to perform the like functions as ourselves, that is, to ascertain upon general reasoning and legal analogies, what is the true exposition of the contract or instrument, or what is the just rule furnished by the principles of commercial law to govern the case. And we have not now the slightest difficulty in holding, that this section * * * is strictly limited to local statutes and local usages of the character before stated, and does not extend to contracts and other instruments of a commercial nature, the true interpretation and effect whereof are to be sought, not in the decisions of the local tribunals, but in the general principles and doctrines of commercial jurisprudence. * * *

Id. at 18–19, 10 L.Ed. at 871.

NOTES AND QUESTIONS

1. Accordi ng to Justice Story, why are judicial decisions only evidence of law, and not law itself? On what basis did Justice Story distinguish judicial decisions interpreting state statutes or “matters immovable and intraterritorial” from other judicial decisions?

2. According to *Swift*, what is the source of the federal courts’ authority to develop and apply general common law rules in commercial cases heard within the grant of diversity jurisdiction? Is Justice Story’s reading of the words “the law of the several states” in the Rules of Decision Act the only plausible reading of the statute? What are the competing interpretations? See Ritz, Holt & Larue, *Rewriting the History of the Judiciary Act of 1789: Exposing Myths, Challenging Premises, and Using New Evidence* (1990).

3. Does it make sense to have the federal courts promulgate general, uniformly applied commercial laws? Why should a person suing in federal court in Oklahoma not receive the same remedy as a person suing in federal court in Vermont? On the other hand, if a federal court sitting in diversity is forced to apply the forum state’s court decisions, what advantage would a party have in going to federal court? How might a uniform federal rule of decision in commercial matters have affected the nation’s economic development? See Freyer, *Harmony & Dissonance: The Swift & Erie Cases in American Federalism* (1981).

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2.THE *ERIE* DOCTRINE: THE RULES OF DECISION ACT AND THE RULES ENABLING ACT

ERIE R. CO. v. TOMPKINS

Supreme Court of the United States, 1938.
[304 U.S. 64, 58 S.Ct. 817, 82 L.Ed. 1188.](#)

Certiorari to the United States Circuit Court of Appeals for the Second Circuit.

JUSTICE BRANDEIS delivered the opinion of the Court.

[Slightly after midnight on July 27, 1934, Harry James Tompkins was walking home along a well-trodden footpath running parallel to the Erie Railroad tracks in Hughestown, Pennsylvania, when he was struck by “a black object that looked like a door” protruding from a passing train. Tompkins’ right arm was severed.

Under Pennsylvania law, a traveler like Tompkins on a parallel (or “longitudinal”) path was regarded as a trespasser to whom the railroad merely owes a duty to avoid wanton negligence. The majority rule in most states, however, was that a railroad owes a duty of ordinary care to a traveler on a parallel footpath.

Tompkins’ lawyers were well aware of the rule in *Swift* that, absent state statutory law, federal courts apply “general law,” and thus they tried to avoid the harsh Pennsylvania rule by suing the New York-based railroad in federal court. As anticipated, the district court applied “general law,” the majority rule, and the jury awarded Tompkins \$30,000 in damages.

The court of appeals affirmed, holding that:

[U]pon questions of general law the federal courts are free, in absence of a local statute, to exercise their independent judgment as to what the law is; and it is well settled that the question of the responsibility of a railroad for injuries caused by its servants

is one of general law. * * * Where the public has made open and notorious use of a railroad right of way for a long period of time and without objection, the company owes to persons on such permissive pathway a duty of care in the operation of its trains. * * * It is likewise generally recognized law that a jury may find that negligence exists toward a pedestrian using a permissive path on the railroad right of way if he is hit by some object projecting from the side of the train.]

* * *

First. Swift v. Tyson * * * held that federal courts exercising jurisdiction on the ground of diversity of citizenship need not, in matters of general jurisprudence, apply the unwritten law of the state as declared by

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its highest court; that they are free to exercise an independent judgment as to what the common law of the state is—or should be * * *.

* * * The federal courts assumed, in the broad field of “general law,” the power to declare rules of decision which Congress was confessedly without power to enact as statutes. Doubt was repeatedly expressed as to the correctness of the construction given section 34, and as to the soundness of the rule which it introduced. But it was the more recent research of a competent scholar, who examined the original document, which established that the construction given to it by the Court was erroneous; and that the purpose of the section was merely to make certain that, in all matters except those in which some federal law is controlling, the federal courts exercising jurisdiction in diversity of citizenship cases would apply as their rules of decision the law of the state, unwritten as well as written.⁵

Criticism of the doctrine became widespread after the decision of Black & White Taxicab & Transfer Co. v. Brown & Yellow Taxicab & Transfer Co., 276 U.S. 518, 48 S.Ct. 404, 72 L.Ed. 681, 57 A.L.R. 426. There, Brown & Yellow, a Kentucky corporation owned by Kentuckians, and the Louisville & Nashville Railroad, also a Kentucky corporation, wished that the former should have the exclusive privilege of soliciting passenger and baggage transportation at the Bowling Green, Ky., railroad station; and that the Black & White, a competing Kentucky corporation, should be prevented from interfering with that privilege. Knowing that such a contract would be void under the common law of Kentucky, it was arranged that the Brown & Yellow reincorporate under the law of Tennessee, and that the contract with the railroad should be executed there. The suit was then brought by the Tennessee corporation in the federal court for Western Kentucky to enjoin competition by the Black & White; an injunction issued by the District Court was sustained by the Court of Appeals; and this Court, citing many decisions in which the doctrine of Swift v. Tyson had been applied, affirmed the decree.

Second. Experience in applying the doctrine of Swift v. Tyson, had revealed its defects, political and social; and the benefits expected to flow from the rule did not accrue. Persistence of state courts in their own opinions on questions of common law prevented uniformity; and the impossibility of discovering a satisfactory line of demarcation between the province of general law and that of local law developed a new well of uncertainties.

On the other hand, the mischievous results of the doctrine had become apparent. Diversity of citizenship jurisdiction was conferred in order to prevent apprehended discrimination in state courts against those not

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citizens of the state. Swift v. Tyson introduced grave discrimination by noncitizens against citizens. It made rights enjoyed under the unwritten “general law” vary according to whether enforcement was sought in the state or in the federal court; and the privilege of selecting the court in which the right should be determined was conferred upon the noncitizen. Thus, the doctrine rendered impossible equal protection of the law. In attempting to promote uniformity of law throughout the United States, the doctrine had prevented uniformity in the administration of the law of the state.

The discrimination resulting became in practice far-reaching. This resulted in part from the broad province accorded to the so-called “general law” as to which federal courts exercised an independent judgment. In addition to questions of purely commercial law, “general law” was held to include the obligations under contracts entered into and to be performed within the state, the extent to which a carrier operating within a state may stipulate for exemption from liability for his own negligence or that of his employee; the liability for torts committed within the state upon persons resident or property located there, even where the question of liability depended upon the scope of a property right conferred by the state; and the right to exemplary or punitive damages. Furthermore, state decisions construing local deeds, mineral conveyances, and even devises of real estate, were disregarded.

In part the discrimination resulted from the wide range of persons held entitled to avail themselves of the federal rule by resort to the diversity of citizenship jurisdiction. Through this jurisdiction individual citizens willing to remove from their own state and become citizens of another might avail themselves of the federal rule. And, without even change of residence, a corporate citizen of the state could avail itself of the federal rule by reincorporating under the laws of another state, as was done in the Taxicab Case.

The injustice and confusion incident to the doctrine of Swift v. Tyson have been repeatedly urged as reasons for abolishing or limiting diversity of citizenship jurisdiction. Other legislative relief has been proposed. If only a question of statutory construction were involved, we should not be prepared to abandon a doctrine so widely applied throughout nearly a century. But the unconstitutionality of the course pursued has now been made clear, and compels us to do so.

Third. Except in matters governed by the Federal Constitution or by acts of Congress, the law to be applied in any case is the law of the state. And whether the law of the state shall be declared by its Legislature in a statute or by its highest court in a decision is not a

matter of federal concern. There is no federal general common law. Congress has no power to declare substantive rules of common law applicable in a state whether they be local in their nature or “general,” be they commercial law or a part

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of the law of torts. And no clause in the Constitution purports to confer such a power upon the federal courts. As stated by Mr. Justice Field when protesting in *Baltimore & Ohio R.R. Co. v. Baugh*, 149 U.S. 368, 401, 13 S.Ct. 914, 927, 37 L.Ed. 772, against ignoring the Ohio common law of fellow-servant liability: “I am aware that what has been termed the general law of the country—which is often little less than what the judge advancing the doctrine thinks at the time should be the general law on a particular subject—has been often advanced in judicial opinions of this court to control a conflicting law of a state. I admit that learned judges have fallen into the habit of repeating this doctrine as a convenient mode of brushing aside the law of a state in conflict with their views. And I confess that, moved and governed by the authority of the great names of those judges, I have, myself, in many instances, unhesitatingly and confidently, but I think now erroneously, repeated the same doctrine. But, notwithstanding the great names which may be cited in favor of the doctrine, and notwithstanding the frequency with which the doctrine has been reiterated, there stands, as a perpetual protest against its repetition, the constitution of the United States, which recognizes and preserves the autonomy and independence of the states,—independence in their legislative and independence in their judicial departments. Supervision over either the legislative or the judicial action of the states is in no case permissible except as to matters by the constitution specifically authorized or delegated to the United States. Any interference with either, except as thus permitted, is an invasion of the authority of the state, and, to that extent, a denial of its independence.”

The fallacy underlying the rule declared in *Swift v. Tyson* is made clear by Mr. Justice Holmes.²³ The doctrine rests upon the assumption that there is “a transcendental body of law outside of any particular State but obligatory within it unless and until changed by statute,” that federal courts have the power to use their judgment as to what the rules of common law are; and that in the federal courts “the parties are entitled to an independent judgment on matters of general law”:

But law in the sense in which courts speak of it today does not exist without some definite authority behind it. The common law so far as it is enforced in a State, whether called common law or not, is not the common law generally but the law of that State existing by the authority of that State without regard to what it may have been in England or anywhere else. * * *

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The authority and only authority is the State, and if that be so, the voice adopted by the State as its own [whether it be of its Legislature or of its Supreme Court] should utter the last word.

Thus the doctrine of *Swift v. Tyson* is, as Mr. Justice Holmes said, “an unconstitutional assumption of powers by the Courts of the United States which no lapse of time or respectable array of opinion should make us hesitate to correct.” In disapproving that doctrine we do not hold unconstitutional section 34 of the Federal Judiciary Act of 1789 or any other act of Congress. We merely declare that in applying the doctrine this Court and the lower courts have invaded rights which in our opinion are reserved by the Constitution to the several states.

Fourth. The defendant contended that by the common law of Pennsylvania * * * the only duty owed to the plaintiff was to refrain from willful or wanton injury. The plaintiff denied that such is the Pennsylvania law. In support of their respective contentions the parties discussed and cited many decisions of the Supreme Court of the State. The Circuit Court of Appeals ruled that the question of liability is one of general law; and on that ground declined to decide the issue of state law. As we hold this was error, the judgment is reversed and the case remanded to it for further proceedings in conformity with our opinion.

Reversed.

JUSTICE CARDOZO took no part in the consideration or decision of this case.

JUSTICE BUTLER (dissenting).

* * *

Defendant’s petition for writ of certiorari presented two questions: Whether its duty toward plaintiff should have been determined in accordance with the law as found by the highest court of Pennsylvania, and whether the evidence conclusively showed plaintiff guilty of contributory negligence. * * *

No constitutional question was suggested or argued below or here. And as a general rule, this Court will not consider any question not raised below and presented by the petition. * * * Here it does not decide either of the questions presented, but, changing the rule of decision in force since the foundation of the government, remands the case to be adjudged according to a standard never before deemed permissible.

* * *

The doctrine of * * * [*Swift v. Tyson*] has been followed by this Court in an unbroken line of decisions. So far as appears, it was not questioned

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until more than 50 years later, and then by a single judge.¹ Baltimore & O. Railroad Co. v. Baugh * * *.

And since that decision, the division of opinion in this Court has been of the same character as it was before. In 1910, Mr. Justice Holmes, speaking for himself and two other Justices, dissented from the holding that a court of the United States was bound to exercise its own independent judgment in the construction of a conveyance made before the state courts had rendered an authoritative decision as to its meaning and effect. Kuhn v. Fairmont Coal Co. * * *. But that dissent accepted * * * as “settled” the doctrine of Swift v. Tyson, and insisted * * * merely that the case under consideration was by nature and necessity peculiarly local.

* * *

So far as appears, no litigant has ever challenged the power of Congress to establish the rule as construed. It has so long endured that its destruction now without appropriate deliberation cannot be justified. There is nothing in the opinion to suggest that consideration of any constitutional question is necessary to a decision of the case. * * * Against the protest of those joining in this opinion, the Court declines to assign the case for reargument. It may not justly be assumed that the labor and argument of counsel for the parties would not disclose the right conclusion and aid the Court in the statement of reasons to support it. Indeed, it would have been appropriate to give Congress opportunity to be heard before divesting it of power to prescribe rules of decision to be followed in the courts of the United States. * * *

The course pursued by the Court in this case is repugnant to the Act of Congress of August 24, 1937, 50 Stat. 751, 28 U.S.C.A. §§ 17 and note, 349a, 380a and note, 401. It declares that: “Whenever the constitutionality of any Act of Congress affecting the public interest is drawn in question in any court of the United States in any suit or proceeding to which the United States, or any agency thereof, or any officer or employee thereof, as such officer or employee, is not a party, the court having jurisdiction of the suit or proceeding shall certify such fact to the Attorney General. In any such case the court shall permit the United States to intervene and become a party for presentation of evidence * * * and argument upon the question of the constitutionality of such Act.” * * * If defendant had applied for and obtained the writ of certiorari upon the claim that, as now held, Congress has no power to prescribe the rule of decision, section 34 as construed, it would have been the duty of this Court to issue the prescribed certificate to the Attorney General in order that the United States might intervene and be heard on the constitutional question. * * * Congress intended to give the United States the right to be heard in every case involving constitutionality of an act affecting the public interest. In view of the rule

that, in the absence of challenge of constitutionality, statutes will not here be invalidated on that ground, the Act of August 24, 1937 extends to cases where constitutionality is first “drawn in question” by the Court. * * *

I am of opinion that the constitutional validity of the rule need not be considered, because under the law, as found by the courts of Pennsylvania and generally throughout the country, it is plain that the evidence required a finding that plaintiff was guilty of negligence that contributed to cause his injuries, and that the judgment below should be reversed upon that ground.

JUSTICE McREYNOLDS concurs in this opinion.

JUSTICE REED (concurring in part).

I concur in the conclusion reached in this case, in the disapproval of the doctrine of Swift v. Tyson, and in the reasoning of the majority opinion, except in so far as it relies upon the unconstitutionality of the “course pursued” by the federal courts.

The “doctrine of Swift v. Tyson,” as I understand it, is that the words “the laws,” as used in section 34 of the Federal Judiciary Act of September 24, 1789, do not include in their meaning “the decisions of the local tribunals.” * * *

To decide the case now before us and to “disapprove” the doctrine of Swift v. Tyson requires only that we say that the words “the laws” include in their meaning the decisions of the local tribunals. As the majority opinion shows, by its reference to Mr. Warren’s researches and the first quotation from Mr. Justice Holmes, that this Court is now of the view that “laws” includes “decisions,” it is unnecessary to go further and declare that the “course pursued” was “unconstitutional,” instead of merely erroneous.

The “unconstitutional” course referred to in the majority opinion is apparently the ruling in Swift v. Tyson that the supposed omission of Congress to legislate as to the effect of decisions leaves federal courts free to interpret general law for themselves. I am not at all sure whether, in the absence of federal statutory direction, federal courts would be compelled to follow state decisions. There was sufficient doubt about the matter in 1789 to induce the first Congress to legislate. No former opinions of this Court have passed upon it. * * * If the opinion commits this Court to the position that the Congress is without power to declare what rules of substantive law shall govern the federal courts, that conclusion also seems questionable. The line between procedural and substantive law is hazy, but no one doubts federal power over procedure. * * * The Judiciary Article, 3, and the “necessary and proper” clause of article 1, § 8, may fully authorize legislation, such as this section of the Judiciary Act.

* * *

NOTES AND QUESTIONS

1. Is *Erie* a constitutional decision or does it rest on other grounds? Is it significant that the Court found the rule of *Swift* to be unconstitutional, but did not invalidate the Rules of Decision Act? For efforts to explain the constitutional principle underlying *Erie*, see Clark, *Ascertaining the Laws of the*

Several States: Positivism and Judicial Federalism After Erie, 145 U.Pa.L.Rev. 1459 (1997); Steinman, *What Is the Erie Doctrine? (and What Does It Mean for the Contemporary Politics of Judicial Federalism?)*, 84 Notre Dame L.Rev. 245 (2008). For a skeptical view of *Erie*’s constitutional basis, see Green, *Repressing Erie’s Myth*, 96 Calif.L.Rev. 595 (2008) .

2.What is the constitutional basis for the statement in *Erie* that “Congress has no power to declare substantive rules of common law applicable in a State” and that “no clause in the Constitution purports to confer such a power upon the federal courts”? Consider, first, Article I of the Constitution. Does Congress have power under that provision to regulate commercial activities that affect interstate commerce? Keep in mind that by the time *Erie* was decided, Congress already had enacted legislation regulating railroads operating in interstate commerce with respect to employment and tort liability, e.g., Federal Employers’ Liability Act of 1908, 45 U.S.C. § 51. If Congress had power to legislate in this area, why couldn’t the courts act as well? See Clark, *State Law in the Federal Courts: The Brooding Omnipresence of Erie v. Tompkins*, 55 Yale L.J. 267, 278 (1946).

3.Does the statement that the rule in *Swift* “rendered impossible equal protection of the law” implicate constitutional or policy concerns? Does it matter that at the time of the decision the Court had not yet recognized an equal protection component in the Fifth Amendment? See Rutherglen, *Reconstructing Erie: A Comment on the Perils of Legal Positivism*, 10 Const. Comment. 285 (1993).

4. If discrimination against in-state defendants really is a problem, could it be solved by allowing in-state defendants to remove to federal court? Does it make sense to require federal courts to apply state law in diversity cases simply out of a desire for parity between in-state defendants who cannot remove and out-of-state defendants who can? Justice Brandeis used the *Black & White Taxicab* case to illustrate the evils resulting from *Swift*. Could the problem in that case have been handled without overruling *Swift*?

5.The *Erie* decision relied on research by Professor Warren, referenced in p. 446, footnote 5, *supra*, that revealed a previously unknown draft of what became the Rules of Decision Act of 1789. The draft read:

And be it further enacted, That the Statute law of the several States in force for the time being and their unwritten or common law now in use, whether by adoption from the common law of England, the ancient statutes of the same or otherwise, except where the Constitution, Treaties or Statutes of the United States shall otherwise require or provide, shall be regarded as rules of decision in

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the trials at common law in the courts of the United States in cases where they apply.

Did Justice Brandeis properly interpret the Rules of Decision Act given this legislative history? Or did the shorter final version reflect congressional intent to limit the definition of “laws of the several states” to statutory laws, thus expanding the law-making power of federal courts in diversity cases? Can we be sure that Congress even saw the draft discussed by Professor Warren?

6. The Court in *Swift* associated law with transcendent principles that the judiciary discovered. See Ides, *The Supreme Court and the Law to Be Applied in Diversity Cases: A Critical Guide to the Development and Application of the Erie Doctrine and Related Problems*, 163 F.R.D. 19, 23 (1995). How does this concept of law differ from that expressed by Justice Holmes, quoted in *Erie*, that “law in the sense in which courts speak of it today does not exist without some definite authority behind it”? For a defense of the notion that judges can find or discover law, rather than make it, see Sachs, *Finding Law*, 107 Calif.L.Rev. 527 (2019). See also Nelson, *The Persistence of General Law*, 106 Colum.L.Rev. 503 (2006) (arguing that “modern-day courts continue to draw the governing rules of decision from a species of general law, distilled from the practices and precedents followed in many different jurisdictions”).

7.Does the Rules of Decision Act require federal courts to follow state procedures as “rules of decision”? Justice Reed’s concurring opinion in *Erie* emphasized the power of Congress to enact procedures for the federal courts. What constitutional provisions support that assertion? Until the adoption of the Federal Rules of Civil Procedure, the Process Act of 1792, as amended in 1872, required federal courts to conform their procedure in common law disputes to those of the state in which the court sat. See Burbank, *The Rules Enabling Act of 1934*, 130 U.Pa.L.Rev. 1015 (1982).

8.“It is impossible to overstate the importance of the *Erie* decision.” Wright & Kane, *Law of Federal Courts* § 55 (8th ed.). Reactions to the *Erie* decision voiced shortly after it was handed down include Shulman, *The Demise of Swift v. Tyson*, 47 Yale L.J. 1336 (1938); and Tunks, *Categorization and Federalism: “Substance” and “Procedure” After Erie Railroad v. Tompkins*, 34 Ill.L.Rev. 271 (1939). Over time, comments about *Erie* have ranged from “ ‘transcendently significant,’ ” Nelson, *A Critical Guide to Erie Railroad v. Tompkins*, 54 Wm. & Mary L.Rev. 921, 922 (2013) (quoting Krock, *In the Nation: A Momentous Decision of the Supreme Court*, N.Y. Times, May 3, 1938, at 22), to “the worst decision of all time,” Sherry, *Wrong, Out of Step, and Pernicious: Erie as the Worst Decision of All Time*, 39 Pepp.L.Rev. 129 (2011), to “a way of life.” Young, *Erie As a Way of Life*, 52 Akron L.Rev. 193 (2018). For an excellent discussion of the decision and the context in which it was decided, see Purcell, Jr., *The Story of Erie: How Litigants, Lawyers, Judges, Politics, and Social Change Reshape the Law*, in *Civil Procedure Stories* 21 (Clermont ed., 2d ed. 2008).

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GUARANTY TRUST CO. v. YORK

Supreme Court of the United States, 1945.
[326 U.S. 99, 65 S.Ct. 1464, 89 L.Ed. 2079.](#)

Certiorari to the United States Circuit Court of Appeals for the Second Circuit.

JUSTICE FRANKFURTER delivered the opinion of the Court.

[The Guaranty Trust Company served as trustee for some of the noteholders of Van Sweringen Corporation. In October 1930,

Guaranty loaned money to corporations affiliated with and controlled by Van Sweringen. By October 1931, it was evident that the corporation was having trouble meeting its financial obligations. Guaranty and several other banks worked out a plan by which Guaranty would offer to purchase the notes by paying \$500 and twenty shares of Van Sweringen stock for each \$1,000 note.

Respondent York received \$6,000 of the notes from a donor who had not accepted Guaranty’s offer. York brought a diversity suit alleging that Guaranty had breached its fiduciary duties. York’s complaint involved allegations of fraud and misrepresentation, relief for which was governed by equitable principles. On appeal, the Circuit Court of Appeals, one judge dissenting, found that in a suit brought on the equity side of a federal district court the court was not required to apply the state statute of limitations that would govern similar suits in state courts, even though the exclusive basis of federal jurisdiction was diversity of citizenship. The Supreme Court granted review in order to decide whether federal courts should apply state statutes of limitations in such cases.]

* * *

Our starting point must be the policy of federal jurisdiction which *Erie R. Co. v. Tompkins* * * * embodies. In overruling *Swift v. Tyson* * * * *Erie R. Co. v. Tompkins* did not merely overrule a venerable case. It overruled a particular way of looking at law which dominated the judicial process long after its inadequacies had been laid bare. * * * Law was conceived as a “brooding omnipresence” of Reason, of which decisions were merely evidence and not themselves the controlling formulations. Accordingly, federal courts deemed themselves free to ascertain what Reason, and therefore Law, required wholly independent of authoritatively declared State law, even in cases where a legal right as the basis for relief was created by State authority and could not be created by federal authority and the case got into a federal court merely because it was “between Citizens of different States” under Art. III, § 2 of the Constitution * * *.

* * *

In exercising their jurisdiction on the ground of diversity of citizenship, the federal courts, in the long course of their history, have not

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differentiated in their regard for State law between actions at law and suits in equity. Although § 34 of the Judiciary Act of 1789 * * * directed that the “laws of the several states * * * shall be regarded as rules of decision in trials of common law * * *,” this was deemed, consistently for over a hundred years, to be merely declaratory of what would in any event have governed the federal courts and therefore was equally applicable to equity suits. * * * Indeed, it may fairly be said that the federal courts gave greater respect to State-created “substantive rights,” *Pusey & Jones Co. v. Hanssen*, 261 U.S. 491, 498, 43 S.Ct. 454, 456, 67 L.Ed. 763, in equity than they gave them on the law side, because rights at law were usually declared by State courts and as such increasingly flouted by extension of the doctrine of *Swift v. Tyson*, while rights in equity were frequently defined by legislative enactment and as such known and respected by the federal courts. * * *

Partly because the States in the early days varied greatly in the manner in which equitable relief was afforded and in the extent to which it was available, * * * Congress provided that “the forms and modes of proceeding in suits * * * of equity” would conform to the settled uses of courts of equity. * * * But this enactment gave the federal courts no power that they would not have had in any event when courts were given “cognizance,” by the first Judiciary Act, of suits “in equity.” From the beginning there has been a good deal of talk in the cases that federal equity is a separate legal system. And so it is, properly understood. The suits in equity of which the federal courts have had “cognizance” ever since 1789 constituted the body of law which had been transplanted to this country from the English Court of Chancery. * * * In giving federal courts “cognizance” of equity suits in cases of diversity jurisdiction, Congress never gave, nor did the federal courts ever claim, the power to deny substantive rights created by State law or to create substantive rights denied by State law.

This does not mean that whatever equitable remedy is available in a State court must be available in a diversity suit in a federal court, or conversely, that a federal court may not afford an equitable remedy not available in a State court. * * * State law cannot define the remedies which a federal court must give simply because a federal court in diversity jurisdiction is available as an alternative tribunal to the State’s courts. Contrariwise, a federal court may afford an equitable remedy for a substantive right recognized by a State even though a State court cannot give it. Whatever contradiction or confusion may be produced by a medley of judicial phrases severed from their environment, the body of adjudications concerning equitable relief in diversity cases leaves no doubt that the federal courts enforced State-created substantive rights if the mode of proceeding and remedy were consonant with the traditional body of equitable remedies, practice and procedure, and in so doing they were

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enforcing rights created by the States and not arising under any inherent or statutory federal law.

* * *

And so this case reduces itself to the narrow question whether, when no recovery could be had in a State court because the action is barred by the statute of limitations, a federal court in equity can take cognizance of the suit because there is diversity of citizenship between the parties. Is the outlawry, according to State law, of a claim created by the States a matter of “substantive rights” to be respected by a federal court of equity when that court’s jurisdiction is dependent on the fact that there is a State-created right, or is such statute of “a mere remedial character,” * * * which a federal court may disregard?

Matters of “substance” and matters of “procedure” are much talked about in the books as though they defined a great divide cutting across the whole domain of law. But, of course, “substance” and “procedure” are the same keywords to very different problems. Neither “substance” nor “procedure” represents the same invariants. Each implies different variables depending upon the particular problem for which it is used. * * * And the different problems are only distantly related at best, for the terms are in common use in connection with situations turning on such different considerations as those that are relevant to questions pertaining to *ex post facto* legislation, the impairment of the obligations of contract, the enforcement of federal rights in the State courts and the multitudinous phases of the conflict of laws. * * *

Here we are dealing with a right to recover derived not from the United States but from one of the States. When, because the plaintiff happens to be a non-resident, such a right is enforceable in a federal as well as in a State court, the forms and mode of enforcing the right may at times, naturally enough, vary because the two judicial systems are not identical. But since a federal court adjudicating a State-created right solely because of the diversity of citizenship of the parties is for that purpose, in effect, only another court of the State, it cannot afford recovery if the right to recover is made unavailable by the State nor can it substantially affect the enforcement of the right as given by the State.

And so the question is not whether a statute of limitations is deemed a matter of “procedure” in some sense. The question is whether such a statute concerns merely the manner and the means by which a right to recover, as recognized by the State, is enforced, or whether such statutory limitation is a matter of substance in the aspect that alone is relevant to our problem, namely, does it significantly affect the result of a litigation for a federal court to disregard a law of a State that would be controlling in an action upon the same claim by the same parties in a State court?

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It is therefore immaterial whether statutes of limitation are characterized either as “substantive” or “procedural” in State court opinions in any use of those terms unrelated to the specific issue before us. *Erie R. Co. v. Tompkins* was not an endeavor to formulate scientific legal terminology. It expressed a policy that touches vitally the proper distribution of judicial power between State and federal courts. In essence, the intent of that decision was to insure that, in all cases where a federal court is exercising jurisdiction solely because of the diversity of citizenship of the parties, the outcome of the litigation in the federal court should be substantially the same, so far as legal rules determine the outcome of a litigation, as it would be if tried in a State court. The nub of the policy that underlies *Erie R. Co. v. Tompkins* is that for the same transaction the accident of a suit by a non-resident litigant in a federal court instead of in a State court a block away should not lead to a substantially different result. * * * A policy so important to our federalism must be kept free from entanglements with analytical or terminological niceties.

Plainly enough, a statute that would completely bar recovery in a suit if brought in a State court bears on a State-created right vitally and not merely formally or negligibly. As to consequences that so intimately affect recovery or non-recovery a federal court in a diversity case should follow State law. * * *

Diversity jurisdiction is founded on assurance to non-resident litigants of courts free from susceptibility to potential local bias. The Framers of the Constitution, according to Marshall, entertained “apprehensions” lest distant suitors be subjected to local bias in State courts, or, at least, viewed with “indulgence the possible fears and apprehensions” of such suitors. *Bank of the United States v. Deveaux*, 5 Cranch 61, 87, 3 L.Ed. 38. And so Congress afforded out-of-State litigants another tribunal, not another body of law. The operation of a double system of conflicting laws in the same State is plainly hostile to the reign of law. Certainly, the fortuitous circumstance of residence out of a State of one of the parties to a litigation ought not to give rise to a discrimination against others equally concerned but locally resident. The source of substantive rights enforced by a federal court under diversity jurisdiction, it cannot be said too often, is the law of the States. * * *

The judgment is reversed and the case is remanded for proceedings not inconsistent with this opinion.

So ordered.

Reversed.

JUSTICE ROBERTS and JUSTICE DOUGLAS took no part in the consideration or decision of this case.

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JUSTICE RUTLEDGE dissented in an opinion in which JUSTICE MURPHY joined.

* * * [T]he decision of today does not in so many words rule that Congress could not authorize the federal courts to administer equitable relief in accordance with the substantive rights of the parties, notwithstanding state courts had been forbidden by local statutes of limitations to do so. Nevertheless the implication to that effect seems strong, in view of the reliance upon *Erie R. Co. v. Tompkins*. * * * In any event, the question looms more largely in the issues than the Court’s opinion appears to make it. For if legislative acquiescence in long-established judicial construction can make it part of a statute, it has done so in this instance. More is at stake in the implications of the decision, if not in the words of the opinion, than simply bringing federal and local law into accord upon matters clearly and exclusively within the constitutional power of the state to determine. It is one thing to require that kind of an accord in diversity cases when the question is merely whether the federal court must follow the law of the state as to burden of proof, * * * contributory negligence, * * * or perhaps in application of the so-called parol evidence rule. These ordinarily involve matters of substantive law, though nominated in terms of procedure. But in some instances their application may lie along the border between

procedure or remedy and substance, where the one may or may not be in fact but another name for the other. It is exactly in this borderland, where procedural or remedial rights may or may not have the effect of determining the substantive ones completely, that caution is required in extending the rule of the Erie case by the very rule itself.

The words “substantive” and “procedural” or “remedial” are not talismanic. Merely calling a legal question by one or the other does not resolve it otherwise than as a purely authoritarian performance. * * * But they have come to designate in a broad way large and distinctive legal domains within the greater one of the law and to mark, though often indistinctly or with overlapping limits, many divides between such regions.

* * * The large division between adjective law and substantive law still remains, to divide the power of Congress from that of the states and consequently to determine the power of the federal courts to apply federal law or state law in diversity matters.

This division, like others drawn by the broad allocation of adjective or remedial and substantive, has areas of admixture of these two aspects of the law. In these areas whether a particular situation or issue presents one aspect or the other depends upon how one looks at the matter. * * *

Whenever this integration or admixture prevails in a substantial measure, so that a clean break cannot be made, there is danger either of nullifying the power of Congress to control not only how the federal courts

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may act, but what they may do by way of affording remedies, or of usurping that function, if the Erie doctrine is to be expanded judicially to include such situations to the utmost extent.

It may be true that if the matter were wholly fresh the barring of rights in equity by statutes of limitation would seem to partake more of the substantive than of the remedial phase of law. But the matter is not fresh and it is not without room for debate. A long tradition, in the states and here, as well as in the common law which antedated both state and federal law, has emphasized the remedial character of statutes of limitations, more especially in application to equity causes, on many kinds of issues requiring differentiation of such matters from more clearly and exclusively substantive ones. * * * The tradition now in question is equally long and unvaried. I cannot say the tradition is clearly wrong in this case more than in that. Nor can I say, as was said in the Erie case, that the matter is beyond the power of Congress to control. If that be conceded, I think Congress should make the change if it is to be made. The Erie decision was rendered in 1938. Seven years have passed without action by Congress to extend the rule to these matters. That is long enough to justify the conclusion that Congress also regards them as not governed by Erie and as wishing to make no change. This should be reason enough for leaving the matter at rest until it decides to act. * * *

Applicable statutes of limitations in state tribunals are not always the ones which would apply if suit were instituted in the courts of the state which creates the substantive rights for which enforcement is sought. The state of the forum is free to apply its own period of limitations, regardless of whether the state originating the right has barred suit upon it. Whether or not the action will be held to be barred depends therefore not upon the law of the state which creates the substantive right, but upon the law of the state where suit may be brought. This in turn will depend upon where it may be possible to secure service of process, and thus jurisdiction of the person of the defendant. It may be therefore that because of the plaintiff’s inability to find the defendant in the jurisdiction which creates his substantive right, he will be foreclosed of remedy by the sheer necessity of going to the haven of refuge within which the defendant confines its “presence” for jurisdictional purposes. The law of the latter may bar the suit even though suit still would be allowed under the law of the state creating the substantive right.

NOTES AND QUESTIONS

1.What purposes do statutes of limitations serve? Are these purposes “substantive”? Procedural? Consider the following comment:

Limitations law is famously a body of rules that are neither grass nor hay, being at once both substantive and procedural. In one sense, limitations law is clearly procedural—a sibling or at least a cousin to

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summary judgment. It is a means of clearing dockets, of protecting both the court and the defendant from waste, and of protecting the defendant from the unjust coercion that can result simply from the threat of waste. It is also a crude means of evaluating proof, a device to protect fact finders from being beguiled by stale and, therefore, suspect proof. * * * They are a tool of judicial administration and an allocation of scarce judicial resources, and thus in classical American conflicts dogma are characterized as procedural.

In another sense, however, limitations law is substantive. Repose is a social and political value with economic consequences. Limitations law is thus a means of healing and stabilizing relationships. It reduces the general level of stress and anxiety, protecting even plaintiffs from the self-injuries that result when resentments are nourished for too long. Limitations “quicken diligence by making it in some measure equivalent to right.” * * * They also facilitate and induce economic planning and development. These effects of limitations law occur outside the courthouse and have no bearing on the quality or accuracy of judicial proceedings. To the extent that these considerations are paramount, limitations law can be characterized as substantive.

Carrington, “Substance” and “Procedure” in the Rules Enabling Act, 1989 Duke L.J. 281, 290.

2.If a New York equity court would not grant relief for whatever reason, should a federal court sitting in diversity nevertheless do so on the

identical claim? In answering this question, consider Justice Frankfurter’s discussion of the difference between recognizing a state-created right and providing a remedy for infringement of that right. Could it not be argued that available remedies actually define the scope of the underlying rights? Compare *Sonner v. Premier Nutrition Corp.*, 971 F.3d 834, 841–44 (9th Cir. 2020) (finding that a federal court cannot award equitable restitution when an adequate legal remedy exists even if state law authorizes such relief “unhampered” by that restriction), with *New Mexico ex rel. Balderas v. Real Estate Law Center, P.C.*, 401 F.Supp.3d 1229, 1348–50 n.93 (D.N.M. 2019) (applying New Mexico’s standard for equitable relief even though it was “less stringent” than the federal test).

3.To what extent does *York* require the displacement of a Federal Rule of Civil Procedure in favor of a contrary state practice? Does that result follow from application of the Rules of Decision Act? If not, what is the basis for the Court’s holding?

4. Four years after *York*, the Supreme Court, all on the same day, decided a trio of cases involving the *Erie* doctrine:

RAGAN v. MERCHANTS TRANSFER & WAREHOUSE CO., 337 U.S. 530, 69 S.Ct. 1233, 93 L.Ed. 1520 (1949), grew out of a highway accident that occurred on October 1, 1943. On September 4, 1945, Ragan filed a diversity

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action in a federal court in Kansas. However, service was not made on defendant until December 28. Kansas had a two-year statute of limitations on tort claims. Ragan claimed that according to Federal Rule 3, the suit was commenced (and hence the statute tolled) by the filing of the complaint. Defendant countered that Kansas law dictated that service had to have been made within the two-year period. The Supreme Court held that state law would determine in a diversity action when the statute was tolled. Justice Douglas, writing for the Court, explained:

[T]here can be no doubt that the suit was properly commenced in the federal court. But in the present case we look to local law to find the cause of action on which suit is brought. Since that cause of action is created by local law, the measure of it is to be found only in local law. It carries the same burden and is subject to the same defense in the federal court as in the state court. * * * It accrues and comes to an end when local law so declares. * * * Where local law qualifies or abridges it, the federal court must follow suit. Otherwise there is a different measure of the cause of action in one court than in the other, and the principle of *Erie* * * * is transgressed.

Id. at 533, 69 S.Ct. at 1235, 93 L.Ed. at 1523. Justice Rutledge dissented. Under *Ragan*, does state or federal law determine whether a suit to enforce federal law “was properly commenced in the federal court”?

In *WOODS v. INTERSTATE REALTY CO.*, 337 U.S. 535, 69 S.Ct. 1235, 93 L.Ed. 1524 (1949), the Court held that a Tennessee corporation that had not qualified to do business in Mississippi could not maintain a diversity action in a federal court in that state if, by virtue of its failure to qualify, the Mississippi state courts were closed to it. Justice Douglas, again writing for the Court, explained:

The *York* case was premised on the theory that a right which local law creates but which it does not supply with a remedy is no right at all for purposes of enforcement in a federal court in a diversity case; that where in such cases one is barred from recovery in the state court, he should likewise be barred in the federal court. The contrary result would create discriminations against citizens of the State in favor of those authorized to invoke the diversity jurisdiction of the federal courts. It was that element of discrimination that *Erie* * * * was designed to eliminate.

Id. at 538, 69 S.Ct. at 1237, 93 L.Ed. at 1527. Justices Jackson, Rutledge, and Burton dissented.

Finally, in *COHEN v. BENEFICIAL INDUSTRIAL LOAN CORP.*, 337 U.S. 541, 69 S.Ct. 1221, 93 L.Ed. 1528 (1949), the Court, in an opinion written by Justice Jackson, held that a federal court must apply a New Jersey statute requiring a plaintiff in a shareholder derivative suit to post a security-for-expenses bond—even though what is now Federal Rule 23.1, which ostensibly governs such cases, did not require a bond. The Court found that regardless of

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whether the New Jersey statute was classified as procedural or substantive, it created substantive liabilities for expenses. In the Court’s view, the federal rule did not contradict the New Jersey statute, but rather addressed independent concerns. Justice Douglas, joined by Justice Frankfurter, dissented on the ground that the New Jersey statute regulated “only the procedure for instituting a particular cause of action and hence need not be applied” in a diversity suit. Justice Rutledge’s lengthy dissent “expressed grave doubt” whether *Erie*’s rule that federal diversity courts follow state decisional law rested on “any solid constitutional foundation,” and he criticized ceding control of diversity jurisdiction from Congress to the states. *Id.* at 558, 69 S.Ct. at 1231, 93 L.Ed. at 1543.

5.Almost any legal rule, whether labeled procedural or substantive, has the potential to affect the outcome of litigation. Does this mean that, after *York*, a federal court in a diversity case must apply every state legal rule that, if enforced, would affect the lawsuit’s result? Does this include housekeeping rules like rules about the size of briefs or the color of paper used? Did Justice Frankfurter mean any rule that could affect the outcome, or would he say that only rules that influence a lawyer’s choice of forum at the time of filing are “outcome determinative”?

6.Evaluate the following passage:

The *York* case, of necessity, spelled death to the hope for a completely uniform federal procedure. When its doctrine is logically applied, each important step in a diversity action must be examined in the light of two systems of law—first, under the Federal Rules, and then under the law of the state in which the federal court sits. In one state, a particular Rule might not clash with a local law or decision which significantly bears upon the outcome of a litigation. Under such circumstances, the Rule should prevail, although the determination as to its applicability is actually made under state law. In another state, the same Rule might conflict in some substantial way with that state’s policy or law. In such instances, state law, and not the Rule, will govern a federal court’s decision.

Merrigan, *Erie to York to Ragan—A Triple Play on the Federal Rules*, 3 Vand. L. Rev. 711, 717 (1950).

BYRD v. BLUE RIDGE RURAL ELECTRIC COOPERATIVE, INC.

Supreme Court of the United States, 1958.
[356 U.S. 525, 78 S.Ct. 893, 2 L.Ed.2d 953.](#)

Certiorari to the United States Court of Appeals for the Fourth Circuit.

JUSTICE BRENNAN delivered the opinion of the Court.

This case was brought in the District Court for the Western District of South Carolina. Jurisdiction was based on diversity of citizenship. * * * The

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petitioner, a resident of North Carolina, sued respondent, a South Carolina corporation, for damages for injuries allegedly caused by the respondent's negligence. He had judgment on a jury verdict. The Court of Appeals for the Fourth Circuit reversed and directed the entry of judgment for the respondent. * * *

The respondent is in the business of selling electric power to subscribers in rural sections of South Carolina. The petitioner was employed as a lineman in the construction crew of a construction contractor. The contractor, R.H. Bouligny, Inc., held a contract with the respondent * * * for the building of some * * * power lines, the reconversion to higher capacities of * * * existing lines, and the construction of 2 new substations and a breaker station. The petitioner was injured while connecting power lines to one of the new substations.

One of respondent's affirmative defenses was that under the South Carolina Workmen's Compensation Act, the petitioner—because the work contracted to be done by his employer was work of the kind also done by the respondent's own construction and maintenance crews—had the status of a statutory employee of the respondent and was therefore barred from suing the respondent at law because obliged to accept statutory compensation benefits as the exclusive remedy for his injuries. Two questions concerning this defense are before us: (1) whether the Court of Appeals erred in directing judgment for respondent without a remand to give petitioner an opportunity to introduce further evidence; and (2) whether petitioner, state practice notwithstanding, is entitled to a jury determination of the factual issues raised by this defense.

* * *

[The Supreme Court initially decided to remand the case to the trial court to provide the petitioner an opportunity to introduce evidence on the question of whether the respondent was a statutory employer.]

A question is also presented as to whether on remand the factual issue is to be decided by the judge or by the jury. The respondent argues on the basis of the decision of the Supreme Court of South Carolina in *Adams v. Davison-Paxon Co.*, 230 S.C. 532, 96 S.E.2d 566, that the issue of immunity should be decided by the judge and not by the jury. That was a negligence action brought in the state trial court against a store owner by an employee of an independent contractor who operated the store's millinery department. The trial judge denied the store owner's motion for a directed verdict made upon the ground that [South Carolina Code, 1952] § 72–111 barred the plaintiff's action. The jury returned a verdict for the plaintiff. The South Carolina Supreme Court reversed, holding that it was for the judge and not the jury to decide on the evidence whether the owner was a statutory employer, and that the store owner had sustained his defense. * * *

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The respondent argues that this state-court decision governs the present diversity case and “divests the jury of its normal function” to decide the disputed fact question of the respondent's immunity under § 72–111. This is to contend that the federal court is bound under *Erie R. Co. v. Tompkins* * * * to follow the state court's holding to secure uniform enforcement of the immunity created by the State.

First. It was decided in *Erie R. Co. v. Tompkins* that the federal courts in diversity cases must respect the definition of state-created rights and obligations by the state courts. We must, therefore, first examine the rule in *Adams v. Davison-Paxon Co.* to determine whether it is bound up with these rights and obligations in such a way that its application in the federal court is required. * * *

The Workmen's Compensation Act is administered in South Carolina by its Industrial Commission. The South Carolina courts hold that, on judicial review of actions of the Commission under § 72–111, the question whether the claim of an injured workman is within the Commission's jurisdiction is a matter of law for decision by the court, which makes its own findings of fact relating to that jurisdiction. The South Carolina Supreme Court states no reasons in *Adams v. Davison-Paxon Co.* why, although the jury decides all other factual issues raised by the cause of action and defenses, the jury is displaced as to the factual issue raised by the affirmative defense under § 72–111. * * * A State may, of course, distribute the functions of its judicial machinery as it sees fit. The decisions relied upon, however, furnish no reason for selecting the judge rather than the jury to decide this single affirmative defense in the negligence action. They simply reflect a policy * * * that administrative determination of “jurisdictional facts” should not be final but subject to judicial review. The conclusion is inescapable that the *Adams* holding is grounded in the practical consideration that the question had theretofore come before the South Carolina courts from the Industrial Commission and the courts had become accustomed to deciding the factual issue of immunity without the aid of juries. We find nothing to suggest that this rule was announced as an integral part of the special

relationship created by the statute. Thus the requirement appears to be merely a form and mode of enforcing the immunity * * * and not a rule intended to be bound up with the definition of the rights and obligations of the parties. * * *

Second. But cases following *Erie* have evinced a broader policy to the effect that the federal courts should conform as near as may be—in the absence of other considerations—to state rules even of form and mode where the state rules may bear substantially on the question whether the litigation would come out one way in the federal court and another way in the state court if the federal court failed to apply a particular local rule. E.g., *Guaranty Trust Co. of New York v. York* * * *; *Bernhardt v. Polygraphic Co.*, 350 U.S. 198, 76 S.Ct. 273, 100 L.Ed. 199. Concededly the

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nature of the tribunal which tries issues may be important in the enforcement of the parcel of rights making up a cause of action or defense, and bear significantly upon achievement of uniform enforcement of the right. It may well be that in the instant personal-injury case the outcome would be substantially affected by whether the issue of immunity is decided by a judge or a jury. Therefore, were “outcome” the only consideration, a strong case might appear for saying that the federal court should follow the state practice.

But there are affirmative countervailing considerations at work here. The federal system is an independent system for administering justice to litigants who properly invoke its jurisdiction. An essential characteristic of that system is the manner in which, in civil common-law actions, it distributes trial functions between judge and jury and, under the influence—if not the command—of the Seventh Amendment, assigns the decisions of disputed questions of fact to the jury. * * * The policy of uniform enforcement of state-created rights and obligations * * * cannot in every case exact compliance with a state rule—not bound up with rights and obligations—which disrupts the federal system of allocating functions between judge and jury. * * * Thus the inquiry here is whether the federal policy favoring jury decisions of disputed fact questions should yield to the state rule in the interest of furthering the objective that the litigation should not come out one way in the federal court and another way in the state court.

We think that in the circumstances of this case the federal court should not follow the state rule. It cannot be gainsaid that there is a strong federal policy against allowing state rules to disrupt the judge-jury relationship in the federal courts. In *Herron v. Southern Pacific Co.*, [283 U.S. 91, 51 S.Ct. 383, 75 L.Ed. 857 (1931)] * * * the trial judge in a personal-injury negligence action brought in the District Court for Arizona on diversity grounds directed a verdict for the defendant when it appeared as a matter of law that the plaintiff was guilty of contributory negligence. The federal judge refused to be bound by a provision of the Arizona Constitution which made the jury the sole arbiter of the question of contributory negligence. This Court sustained the action of the trial judge, holding that “state laws cannot alter the essential character or function of a federal court” because that function “is not in any sense a local matter, and state statutes which would interfere with the appropriate performance of that function are not binding upon the federal court under either the Conformity Act or the ‘Rules of Decision’ Act.” * * * Perhaps even more clearly in light of the influence of the Seventh Amendment, the function assigned to the jury “is an essential factor in the process for which the Federal Constitution provides.” * * * Concededly the *Herron* case was decided before *Erie R. Co. v. Tompkins*, but even when *Swift v. Tyson* * * * was governing law and allowed federal courts sitting in diversity cases to disregard state

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decisional law, it was never thought that state statutes or constitutions were similarly to be disregarded. * * * Yet *Herron* held that state statutes and constitutional provisions could not disrupt or alter the essential character or function of a federal court.¹⁴

Third. We have discussed the problem upon the assumption that the outcome of the litigation may be substantially affected by whether the issue of immunity is decided by a judge or a jury. But clearly there is not present here the certainty that a different result would follow * * * or even the strong possibility that this would be the case * * *. There are factors present here which might reduce that possibility. The trial judge in the federal system has powers denied the judges of many States to comment on the weight of evidence and credibility of witnesses, and discretion to grant a new trial if the verdict appears to him to be against the weight of the evidence. We do not think the likelihood of a different result is so strong as to require the federal practice of jury determination of disputed factual issues to yield to the state rule in the interest of uniformity of outcome.¹⁵

* * *

Reversed and remanded.

* * *

[JUSTICE WHITTAKER concurred in Part I of the Court’s opinion but dissented from Part II on the ground that the South Carolina rule requiring “its courts—not juries—to determine whether jurisdiction over the subject matter of cases like this is vested in its Industrial Commission” should be honored by a federal court. JUSTICE FRANKFURTER and JUSTICE HARLAN dissented on the ground that the evidence required the District Court to direct a verdict for the respondent.]

NOTES AND QUESTIONS

1.The Cou rt’s analysis in *Byrd* proceeds in three parts. It starts with an analysis of the South Carolina statute. Do you agree with Justice Brennan’s assertion that the South Carolina rule is “merely a form and mode of enforcing the immunity * * * and not a rule intended to be bound up with the definition of the rights and obligations of the parties”? Most states have adopted their worker-compensation schemes only after carefully

balancing the equities

involved in the typical workplace accident. These statutes are complex and detailed and often are the result of a political compromise. Does it seem likely, then, that South Carolina randomly would have appropriated to the judge the function of defining a statutory employee?

2.In the second part of the decision, the Court moved toward a consideration of the importance of the federal interest that is at stake. What does Justice Brennan mean that “the influence * * * if not the command of the Seventh Amendment” determined the result in *Byrd*? If the Seventh Amendment provides a rule of decision for *Byrd*, isn’t the Rules of Decision Act inapplicable by its own terms? Indeed, if the Seventh Amendment “commands” that a federal court utilize a jury to decide who is a statutory employee, could the Rules of Decision Act dictate a contrary result? On the other hand, if the Seventh Amendment does not “command” the result in *Byrd*, why should it “influence” the result? Of what relevance is the fact that the Seventh Amendment, unlike other provisions of the Bill of Rights, does not apply to the states through incorporation in the Fourteenth Amendment? For further discussion of the Seventh Amendment, see Chapter 14, *infra*.

3.The Court’s analysis concludes with an assessment of whether the judge/jury allocation may affect the outcome of the lawsuit. Do you agree with the Court’s conclusion? Is the analysis consistent with *York*?

4.In carrying out the *Byrd*-balancing test, how does a federal court identify and weigh the competing state and federal policies? In *ALLSTATE INS. CO. v. CHARNESKI*, 286 F.2d 238 (7th Cir. 1960), the court dismissed an action for a judgment declaring an insurance company’s nonliability. The court, after reviewing the major *Erie*-doctrine cases and concluding that a Wisconsin court would dismiss the action before it, employed the following reasoning:

First, as to the State of Wisconsin. This is not a case where a federal declaratory judgment action is filed in a state which has no statute providing for such relief. Wisconsin has passed a general statute providing declaratory relief. However, this statute was held not applicable * * * [by the Wisconsin Supreme Court] because it conflicted with the Wisconsin state policy of providing direct actions against insurance companies. This is a declaration of the substantive law of Wisconsin. The Wisconsin Supreme Court held that to allow declaratory relief in such circumstances would undercut its policy of direct actions against an insurance company and thereby concluding the action—defining the rights of the insurer, the insured, and the injured party—in a single suit. This holding represents a legitimate and proper implementation of Wisconsin policy. * * *

The federal interest to be served here is slight. There is the general interest of a court controlling its own procedure. There is the general policy evidenced by the federal Declaratory Judgments Act. However, no right to jury trial, guaranteed by the Seventh Amendment, is involved here, as in *Byrd*. The cause of action arising from the accident, the issue of coverage of the policy, and the rights of the

insured, the insurer and the injured parties are intimately connected with Wisconsin law and have no connection with the federal government except that the latter provides a fair and orderly forum in which to try the diversity case. Finally, relief under the Federal act is expressly discretionary. Such relief is permissive and not absolute. Declaratory relief “may” be granted, and need not be when it would create an unnecessary federal-state conflict.

Id. at 244. Is the court’s analysis of the Wisconsin and federal policies adequate? Is it persuasive?

5.Commentators associate *Byrd* with a balancing test for determining when state law should displace federal law in a diversity action. Does the balancing test replace the outcome-determinative test of *York*? If a state rule is “bound up with the definition of the rights and obligations of the parties,” does a federal court still engage in balancing?

In 1934, Congress passed 28 U.S.C. § 2072, known as the Rules Enabling Act. Read the current version of this Act, which is in the Supplement.

HANNA V. PLUMER

Supreme Court of the United States, 1965.
[380 U.S. 460, 85 S.Ct. 1136, 14 L.Ed.2d 8.](#)

Certiorari to the United States Court of Appeals for the First Circuit.

CHIEF JUSTICE WARREN delivered the opinion of the Court.

The question to be decided is whether, in a civil action where the jurisdiction of the United States District Court is based upon diversity of citizenship * * *, service of process shall be made in the manner prescribed by state law or that set forth in Rule 4(d)(1) of the Federal Rules of Civil Procedure.^a

On February 6, 1963, petitioner, a citizen of Ohio, filed her complaint in the District Court for the District of Massachusetts, claiming damages in excess of \$10,000 for personal injuries resulting from an automobile accident in South Carolina, allegedly caused by the negligence of one Louise Plumer Osgood, a Massachusetts citizen deceased at the time of the filing of the complaint. Respondent,

Mrs. Osgood’s executor and also a Massachusetts citizen, was named as defendant. On February 8, service was made by leaving copies of the summons and the complaint with respondent’s wife at his residence, concededly in compliance with Rule

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4(d)(1) * * *. Respondent filed his answer on February 26, alleging, *inter alia*, that the action could not be maintained because it had been brought “contrary to and in violation of the provisions of Massachusetts General Laws (Ter.Ed.) Chapter 197, Section 9.” That section provides:

Except as provided in this chapter, an executor or administrator shall not be held to answer to an action by a creditor of the deceased which is not commenced within one year from the time of his giving bond for the performance of his trust, or to such an action which is commenced within said year unless before the expiration thereof the writ in such action has been served by delivery in hand upon such executor or administrator or service thereof accepted by him or a notice stating the name of the estate, the name and address of the creditor, the amount of the claim and the court in which the action has been brought has been filed in the proper registry of probate. * * *

On October 17, 1963, the District Court granted respondent’s motion for summary judgment, citing Ragan * * * and York * * * in support of its conclusion that the adequacy of the service was to be measured by § 9, with which, the court held, petitioner had not complied. On appeal, petitioner * * * argued that Rule 4(d)(1) defines the method by which service of process is to be effected in diversity actions. The Court of Appeals for the First Circuit, finding that “[r]elatively recent amendments [to § 9] evince a clear legislative purpose to require personal notification within the year,”¹ concluded that the conflict of state and federal rules was over “a substantive rather than a procedural matter,” and unanimously affirmed. * * *

We conclude that the adoption of Rule 4(d)(1), designed to control service of process in diversity actions, neither exceeded the congressional mandate embodied in the Rules Enabling Act nor transgressed constitutional bounds, and that the Rule is therefore the standard against which the District Court should have measured the adequacy of the service. Accordingly, we reverse the decision of the Court of Appeals.

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* * * Under the cases construing the scope of the Enabling Act, Rule 4(d)(1) clearly passes muster. Prescribing the manner in which a defendant is to be notified that a suit has been instituted against him, it relates to the “practice and procedure of the district courts.” * * *

The test must be whether a rule really regulates procedure,—the judicial process for enforcing rights and duties recognized by substantive law and for justly administering remedy and redress for disregard or infraction of them. *Sibbach v. Wilson & Co.* * * * [p. 477, *infra*].

In *Mississippi Pub. Corp. v. Murphree*, 326 U.S. 438, 66 S.Ct. 242, 90 L.Ed. 185, this Court upheld Rule 4(f),^b which permits service of a summons anywhere within the State (and not merely the district) in which a district court sits:

We think that Rule 4(f) is in harmony with the Enabling Act * * *. Undoubtedly most alterations of the rules of practice and procedure may and often do affect the rights of litigants. Congress’ prohibition of any alteration of substantive rights of litigants was obviously not addressed to such incidental effects as necessarily attend the adoption of the prescribed new rules of procedure upon the rights of litigants who, agreeably to rules of practice and procedure, have been brought before a court authorized to determine their rights. * * * The fact that the application of Rule 4(f) will operate to subject petitioner’s rights to adjudication by the district court for northern Mississippi will undoubtedly affect those rights. But it does not operate to abridge, enlarge or modify the rules of decision by which that court will adjudicate its rights. *Id.*, at 445–446, 66 S.Ct. at 246.

Thus were there no conflicting state procedure, Rule 4(d)(1) would clearly control. *National Equipment Rental, Ltd. v. Szukhent* * * * [p. 257, *supra*]. However, respondent, focusing on the contrary Massachusetts rule, calls to the Court’s attention another line of cases, a line which—like the Enabling Act—had its birth in 1938. *Erie R. Co. v. Tompkins* * * * held that federal courts sitting in diversity cases, when deciding questions of “substantive” law, are bound by state court decisions as well as state statutes. The broad command of *Erie* was therefore identical to that of the Enabling Act: federal courts are to apply state substantive law and federal procedural law. However, as subsequent cases sharpened the distinction between substance and procedure, the line of cases following *Erie* diverged markedly from the line construing the Enabling Act. * * *

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Respondent, by placing primary reliance on *York* and *Ragan*, suggests that the *Erie* doctrine acts as a check on the Federal Rules * * *, that despite the clear command of Rule 4(d)(1), *Erie* and its progeny demand the application of the Massachusetts rule. Reduced to essentials, the argument is: (1) *Erie*, as refined in *York*, demands that federal courts apply state law whenever application of federal law in its stead will alter the outcome of the case. (2) In this case, a determination that the Massachusetts service requirements obtain will result in immediate victory for respondent. If, on the other hand, it should be held that Rule 4(d)(1) is applicable, the litigation will continue, with possible victory for petitioner. (3) Therefore, *Erie* demands application of the Massachusetts rule. The syllogism possesses an appealing simplicity, but is for several reasons invalid.

In the first place, it is doubtful that, even if there were no Federal Rule making it clear that in hand service is not required in diversity actions, the Erie rule would have obligated the District Court to follow the Massachusetts procedure. “Outcome determination” analysis was never intended to serve as a talisman. *Byrd v. Blue Ridge Rural Elec. Cooperative* * * *. Indeed, the message of York itself is that choices between state and federal law are to be made not by application of any automatic, “litmus paper” criterion, but rather by reference to the policies underlying the Erie rule. * * *

The Erie rule is rooted in part in a realization that it would be unfair for the character or result of a litigation materially to differ because the suit had been brought in a federal court. * * * The decision was also in part a reaction to the practice of “forum-shopping” which had grown up in response to the rule of *Swift v. Tyson*. * * * That the York test was an attempt to effectuate these policies is demonstrated by the fact that the opinion framed the inquiry in terms of “substantial” variations between state and federal litigation. * * * Not only are nonsubstantial, or trivial, variations not likely to raise the sort of equal protection problems which troubled the Court in Erie; they are also unlikely to influence the choice of a forum. The “outcome-determination” test therefore cannot be read without reference to the twin aims of the Erie rule: discouragement of forum-shopping and avoidance of inequitable administration of the laws.⁹

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The difference between the conclusion that the Massachusetts rule is applicable, and the conclusion that it is not, is of course at this point “outcome-determinative” in the sense that if we hold the state rule to apply, respondent prevails, whereas if we hold that Rule 4(d)(1) governs, the litigation will continue. But in this sense *every* procedural variation is “outcome-determinative.” For example, having brought suit in a federal court, a plaintiff cannot then insist on the right to file subsequent pleadings in accord with the time limits applicable in state courts, even though enforcement of the federal timetable will, if he continues to insist that he must meet only the state time limit, result in determination of the controversy against him. So it is here. Though choice of the federal or state rule will at this point have a marked effect upon the outcome of the litigation, the difference between the two rules would be of scant, if any, relevance to the choice of a forum. Petitioner, in choosing her forum, was not presented with a situation where application of the state rule would wholly bar recovery; rather, adherence to the state rule would have resulted only in altering the way in which process was served.¹¹ Moreover, it is difficult to argue that permitting service of defendant’s wife to take the place of in hand service of defendant himself alters the mode of enforcement of state-created rights in a fashion sufficiently “substantial” to raise the sort of equal protection problems to which the Erie opinion alluded.

There is, however, a more fundamental flaw in respondent’s syllogism: the incorrect assumption that the rule of *Erie R. Co. v. Tompkins* constitutes the appropriate test of the validity and therefore the applicability of a Federal Rule * * *. The Erie rule has never been invoked to void a Federal Rule. It is true that there have been cases where this Court has held applicable a state rule in the face of an argument that the situation was governed by one of the Federal Rules. But the holding of each such case was not that Erie commanded displacement of a Federal Rule by an inconsistent state rule, but rather that the scope of the Federal Rule was not as broad as the losing party urged, and therefore, there being no Federal Rule which covered the point in dispute, Erie commanded the enforcement of state law. * * * (Here, of course, the clash is unavoidable; Rule 4(d)(1) says—implicitly, but with unmistakable clarity—that in hand service is not required in federal courts.) At the same time, in cases adjudicating the validity of Federal Rules, we have not applied the York rule or other refinements of Erie, but have to this day continued to decide

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questions concerning the scope of the Enabling Act and the constitutionality of specific Federal Rules in light of the distinction set forth in *Sibbach*. * * *

Nor has the development of two separate lines of cases been inadvertent. The line between “substance” and “procedure” shifts as the legal context changes. * * * It is true that both the Enabling Act and the Erie rule say, roughly, that federal courts are to apply state “substantive” law and federal “procedural” law, but from that it need not follow that the tests are identical. For they were designed to control very different sorts of decisions. When a situation is covered by one of the Federal Rules, the question facing the court is a far cry from the typical, relatively unguided Erie choice: the court has been instructed to apply the Federal Rule, and can refuse to do so only if the Advisory Committee, this Court, and Congress erred in their *prima facie* judgment that the Rule in question transgresses neither the terms of the Enabling Act nor constitutional restrictions.

We are reminded by the Erie opinion that neither Congress nor the federal courts can, under the guise of formulating rules of decision for federal courts, fashion rules which are not supported by a grant of federal authority contained in Article I or some other section of the Constitution; in such areas state law must govern because there can be no other law. But the opinion in Erie, which involved no Federal Rule and dealt with a question which was “substantive” in every traditional sense * * *, surely neither said nor implied that measures like Rule 4(d)(1) are unconstitutional. For the constitutional provision for a federal court system (augmented by the Necessary and Proper Clause) carries with it congressional power to make rules governing the practice and pleading in those courts, which in turn includes a power to regulate matters which, though falling within the uncertain area between substance and procedure, are rationally capable of classification as either. * * * Neither York nor the cases following it ever suggested that the rule there laid down for coping with situations where no Federal Rule applies is coextensive with the limitation on Congress to which Erie had adverted. Although this Court has never before been confronted with a case where the applicable Federal Rule is in direct collision with the law of the relevant State, courts of appeals faced with such clashes have rightly discerned the implications of our decisions.

“One of the shaping purposes of the Federal Rules is to bring about uniformity in the federal courts by getting away from local

rules. This is especially true of matters which relate to the administration of legal proceedings, an area in which federal courts have traditionally exerted strong inherent power, completely aside from the powers Congress expressly conferred in the Rules. The purpose of the Erie doctrine, even as extended in

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York and Ragan, was never to bottle up federal courts with ‘outcome-determinative’ and ‘integral-relations’ stoppers when there are ‘affirmative countervailing [federal] considerations’ and when there is a Congressional mandate (the Rules) supported by constitutional authority.” *Lumbermen’s Mutual Casualty Co. v. Wright*, 322 F.2d 759, 764 (C.A.5th Cir. 1963).

Erie and its offspring cast no doubt on the long-recognized power of Congress to prescribe housekeeping rules for federal courts even though some of those rules will inevitably differ from comparable state rules. * * * Thus, though a court, in measuring a Federal Rule against the standards contained in the Enabling Act and the Constitution, need not wholly blind itself to the degree to which the Rule makes the character and result of the federal litigation stray from the course it would follow in state courts, * * * it cannot be forgotten that the Erie rule, and the guidelines suggested in York, were created to serve another purpose altogether. To hold that a Federal Rule * * * must cease to function whenever it alters the mode of enforcing state-created rights would be to disembowel either the Constitution’s grant of power over federal procedure or Congress’ attempt to exercise that power in the Enabling Act. Rule 4(d)(1) is valid and controls the instant case.

Reversed.

JUSTICE BLACK concurs in the result.

JUSTICE HARLAN, concurring.

* * *

Erie was something more than an opinion which worried about “forum-shopping and avoidance of inequitable administration of the laws,” * * * although to be sure these were important elements of the decision. I have always regarded that decision as one of the modern cornerstones of our federalism, expressing policies that profoundly touch the allocation of judicial power between the state and federal systems. Erie recognized that there should not be two conflicting systems of law controlling the primary activity of citizens, for such alternative governing authority must necessarily give rise to a debilitating uncertainty in the planning of everyday affairs. And it recognized that the scheme of our Constitution envisions an allocation of law-making functions between state and federal legislative processes which is undercut if the federal judiciary can make substantive law affecting state affairs beyond the bounds of congressional legislative powers in this regard. * * *

The shorthand formulations which have appeared in some past decisions are prone to carry untoward results that frequently arise from oversimplification. The Court is quite right in stating that the “outcome-determinative” test of [*Guaranty Trust Co. v. York*] * * * if taken literally,

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proves too much, for any rule, no matter how clearly “procedural,” can affect the outcome of litigation if it is not obeyed. In turning from the “outcome” test of *Guaranty* back to the unadorned forum-shopping rationale of Erie, however, the Court falls prey to like oversimplification, for a simple forum-shopping rule also proves too much; litigants often choose a federal forum merely to obtain what they consider the advantages of the Federal Rules of Civil Procedure or to try their cases before a supposedly more favorable judge. To my mind the proper line of approach in determining whether to apply a state or a federal rule, whether “substantive” or “procedural,” is to stay close to basic principles by inquiring if the choice of rule would substantially affect those primary decisions respecting human conduct which our constitutional system leaves to state regulation. If so, Erie and the Constitution require that the state rule prevail, even in the face of a conflicting federal rule.

The Court weakens, if indeed it does not submerge, this basic principle by finding, in effect, a grant of substantive legislative power in the constitutional provision for a federal court system * * *, and through it, setting up the Federal Rules as a body of law inviolate. * * * So long as a reasonable man could characterize any duly adopted federal rule as “procedural,” the Court, unless I misapprehend what is said, would have it apply no matter how seriously it frustrated a State’s substantive regulation of the primary conduct and affairs of its citizens. Since the members of the Advisory Committee, the Judicial Conference, and this Court who formulated the Federal Rules are presumably reasonable men, it follows that the integrity of the Federal Rules is absolute. Whereas the unadulterated outcome and forum-shopping tests may err too far toward honoring state rules, I submit that the Court’s “arguably procedural, *ergo* constitutional” test moves too fast and far in the other direction.

The courts below relied upon this Court’s decisions in *Ragan* * * * and *Cohen* * * *. Those cases deserve more attention than this Court has given them, particularly *Ragan* which, if still good law, would in my opinion call for affirmance of the result reached by the Court of Appeals. * * *

In *Ragan* * * * the Court held that for purposes of the Kansas statute of limitations a diversity tort action commenced only when service was made upon the defendant. I think that the decision was wrong. At most, application of the Federal Rule would have meant that potential Kansas tort defendants would have to defer for a few days the satisfaction of knowing that they had not been sued within the limitations period. The choice of the Federal Rule would have had no effect on the primary stages of private activity from which torts

arise, and only the most minimal effect on behavior following the commission of the tort. In such circumstances the interest of the federal system in proceeding under its own rules should have prevailed.

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Cohen * * * held that a diversity court must apply a state statute requiring a small stockholder in a stockholder derivative suit to post a bond * * *. Such a statute is not “outcome determinative”; the plaintiff can win with or without it. The Court now rationalizes the case on the ground that the statute might affect the plaintiff’s choice of forum * * * but as has been pointed out, a simple forum-shopping test proves too much. The proper view of Cohen is in my opinion, that the statute was meant to inhibit small stockholders from instituting “strike suits,” and thus it was designed and could be expected to have a substantial impact on private primary activity. Anyone who was at the trial bar during the period when Cohen arose can appreciate the strong state policy reflected in the statute. I think it wholly legitimate to view Federal Rule 23^c as not purporting to deal with the problem. But even had the Federal Rules purported to do so, and in so doing provided a substantially less effective deterrent to strike suits, I think the state rule should still have prevailed. * * *

It remains to apply what has been said to the present case. * * * The evident intent of [the Massachusetts] statute is to permit an executor to distribute the estate which he is administering without fear that further liabilities may be outstanding for which he could be held personally liable. If the Federal District Court in Massachusetts applies Rule 4(d)(1) * * * instead of the Massachusetts service rule, what effect would that have on the speed and assurance with which estates are distributed? As I see it, the effect would not be substantial. It would mean simply that an executor would have to check at his own house or the federal courthouse as well as the registry of probate before he could distribute the estate with impunity. As this does not seem enough to give rise to any real impingement on the vitality of the state policy which the Massachusetts rule is intended to serve, I concur in the judgment of the Court.

NOTES AND QUESTIONS

1. How do the Rules Enabling Act and the Rules of Decision Act interact? Upon which of these two statutes is the holding in *Hanna* based? Can you explain why?

2.The distinction between substance and procedure is important to both the Rules Enabling Act and the Rules of Decision Act. The second sentence of the Rules Enabling Act says that no Federal Rule may “abridge, enlarge, or modify any substantive right,” and the distinction between substance and procedure is at the core of the line of cases interpreting the Rules of Decision Act. How does Chief Justice Warren treat the distinction between substance and procedure in *Hanna*? How does he define that distinction for purposes of the Rules Enabling Act? For purposes of the Rules of Decision Act? Are the definitions the same?

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3.Chief Justice Warren’s opinion in *Hanna* relied on *SIBBACH v. WILSON & CO.*, 312 U.S. 1, 61 S.Ct. 422, 85 L.Ed. 479 (1941), to define when a rule complies with the Rules Enabling Act. In *Sibbach*, plaintiff sued in an Illinois federal district court for damages inflicted in Indiana. The Supreme Court affirmed the district court’s order that plaintiff undergo a physical examination pursuant to Federal Rule 35, despite an Illinois policy forbidding compulsory physical examinations. The Court concluded that Rule 35 was within the ambit of the rulemaking power granted by Congress, since Rule 35 does not “abridge, enlarge, [or] modify substantive rights, in the guise of regulating procedure.” The Court rejected plaintiff’s argument that the Rules Enabling Act’s “substantive rights” limitation prohibited any rules that “deal with important and substantial rights.” In an opinion written by Justice Roberts, the Court held:

* * * If we were to adopt the suggested criterion of the importance of the alleged right we should invite endless litigation and confusion * * *. The test must be whether a rule really regulates procedure—the judicial process for enforcing rights and duties recognized by substantive law and for justly administering remedy and redress for disregard or infraction of them. That the rules in question are such is admitted.

Id. at 14, 61 S.Ct. at 426, 85 L.Ed. at 485. Justice Roberts also emphasized that the Rules Enabling Act empowers Congress to block proposed rules: “[T]he rules were submitted to the Congress so that that body might examine them and veto their going into effect if contrary to the policy of the legislature. * * * That no adverse action was taken by Congress indicates, at least, that no transgression of legislative policy was found.” Id. at 14–16, 61 S.Ct. at 427–28, 85 L.Ed. at 485–86.

Justice Frankfurter dissented in *Sibbach*. He argued that Rule 35, which provides for “the invasion of the person,” is quite different from other rules of procedure. He noted, furthermore, that the Rules automatically are effective absent a veto by Congress, so that “to draw any inference of tacit approval from non-action by Congress is to appeal to unreality.” In the dissent’s view, therefore, “to make the drastic change that Rule 35 sought to introduce would require explicit legislation.” Id. at 18, 61 S.Ct. at 428–29, 85 L.Ed. at 487.

4.Chief Justice Warren asserted that “the Erie rule is rooted in part in a realization that it would be unfair for the character or result of a litigation materially to differ because the suit had been brought in federal court” and “in part a reaction to the practice of ‘forum-shopping.’ ” Has he abandoned part of Justice Brandeis’s argument in *Erie*?

5. On what basis did Justice Harlan concur? What does he mean by “primary” decisions of conduct? Are you convinced that these activities are left by “our constitutional system * * * to state regulation”? Do you share his concern that under the majority opinion in *Hanna* any “arguably procedural” rule would apply “no matter how seriously it frustrated a State’s substantive

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regulation of the primary conduct and affairs of its citizens”? How does Justice Harlan identify and measure state interests for purposes of 28 U.S.C. § 2072?

6. Justice Harlan called *Erie* “one of the modern cornerstones of our federalism.” Federalism in the United States is associated with a number of different values, including “freedom to experiment,” “flexibility in tailoring regulation to local needs,” “decentralization as a strategy to minimize factional control,” “independence as a source of strengthened protection of rights,” and “the superior democratic pedigree that comes from closer contact with the citizenry.” Kramer, *The Lawmaking Power of the Federal Courts*, 12 Pace L.Rev. 263, 295–96 (1992). How does *Erie* serve these values? How does *Hanna*?

7. Under *Hanna*, is a federal court required to apply a state statute that closes the doors of the state courts to suits by foreign corporations that have not registered to do business in the state? See *Woods*, p. 461, Note 4, *supra*. Can the authorization of diversity jurisdiction in Article III of the Constitution be said to generate a federal policy that there be a forum in every state for the protection of foreign corporations? Does anything turn on the nature of the policies underlying the state statute? See *Szantay v. Beech Aircraft Corp.*, 349 F.2d 60 (4th Cir. 1965).

8. Professor Ely, who served as a law clerk to Chief Justice Warren the term that *Hanna* was decided, has emphasized the distinct analytic questions that a federal court must consider when faced with a federal-state choice-of-law question:

* * * [T]he indiscriminate admixture of all questions respecting choices between federal and state law in diversity cases, under the single rubric of “the Erie doctrine” or “the Erie problem,” has served to make a major mystery out of what are really three distinct and rather ordinary problems of statutory and constitutional interpretation. Of course there will be occasions with respect to all three on which reasonable persons will differ, but that does not make the problems mysterious or even very unusual. The United States Constitution, I shall argue, constitutes the relevant text only where Congress has passed a statute creating law for diversity actions, and it is in this situation alone that *Hanna*’s “arguably procedural” test controls. Where a nonstatutory rule is involved, the Constitution necessarily remains in the background, but it is functionally irrelevant because the applicable statutes are significantly more protective of the prerogatives of state law. Thus, where there is no relevant Federal Rule of Civil Procedure or other Rule promulgated pursuant to the Enabling Act and the federal rule in issue is therefore wholly judge-made, whether state or federal law should be applied is controlled by the Rules of Decision Act, the statute construed in *Erie* and *York*. Where the matter in issue is covered by a Federal Rule, however, the Enabling Act—and not the Rules of Decision Act itself or the line of cases construing it—constitutes the relevant standard.

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To say that, however, and that is one of the things *Hanna* said, is by no means to concede the validity of all Federal Rules, for the Enabling Act contains significant limiting language of its own. The Court has correctly sensed that that language cannot be construed to protect state prerogatives as strenuously as the Rules of Decision Act protects them in the absence of a Federal Rule. However, the Court’s recent appreciation that the Enabling Act constitutes the only check on the Rules—that “Erie” does not stand there as a backstop—should lead it in an appropriate case to take the Act’s limiting language more seriously than it has in the past.

Ely, *The Irrepressible Myth of Erie*, 87 Harv.L.Rev. 693, 697–98 (1974). In the cases that follow, consider whether “in an appropriate case” the Court has taken the language of 28 U.S.C. § 2072(b) “more seriously than it has in the past.”

NOTE ON DETERMINING WHETHER A FEDERAL RULE OR STATUTE IS PERTINENT

Under *Hanna*, what is the test for determining whether a Federal Rule is pertinent and so displaces a contrary state rule? Chief Justice Warren emphasized that in earlier cases, a state rule applied not because “*Erie* commanded displacement of a Federal Rule by an inconsistent statute,” but rather because there was “no Federal Rule which covered the point in dispute,” p. 472, *supra*. In *Hanna*, however, the “clash” between Federal Rule 4 and the state rule was said to be “unavoidable,” p. 472, *supra*. How should a court determine whether a Federal Rule is pertinent to a dispute? Consider this analysis:

* * * If a valid and pertinent federal rule exists, then of course it applies, notwithstanding any state rule to the contrary. The supremacy clause says so. The real task under *Erie*, therefore, is not to choose between federal law and state law, but rather to decide if there really is a valid federal rule on the issue. * * *

[T]he Rules of Decision Act is an explicit grant of authority: It directs the federal courts to apply state law with regard to any issue that is not governed by a pertinent and valid federal rule. It reminds the federal courts that if a valid federal rule exists—whether constitutional, statutory, or judge-made—the federal rule shall govern. * * *

* * *

To understand how *Erie* operates in diversity cases, it is important to distinguish between the *pertinence* of federal rules and their *validity*. To say a federal rule is “pertinent” means that it was intended or designed to govern the issue at hand—that the rule’s purposes would be served by applying it. To say a rule is “valid” means that it has been adopted in conformity with the legal norms controlling the

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creation of federal law—that it is consistent with the Constitution and other organic statutes regulating the formation of federal law. These combined qualities of pertinence and validity are necessary and sufficient for the proper application of a federal rule: If either quality is absent, a federal rule cannot be lawfully applied; if both are present, the federal rule must be applied.

* * *

Federal rules of civil procedure should be analyzed in the same way as federal statutes, except the rules must satisfy an additional standard of validity. The pertinence analysis is precisely the same for rules as it is for other laws. The court must determine whether the framers of a rule intended that it govern the issue at hand; if so (and if the rule is valid), the rule applies; if not, state law applies.

Westen & Lehman, *Is There Life for Erie After the Death of Diversity?*, 78 Mich.L.Rev. 311, 314–15, 342, 359 (1980).

WALKER V. ARMCO STEEL CORP.
Supreme Court of the United States, 1980.
[446 U.S. 740, 100 S.Ct. 1978, 64 L.Ed.2d 659.](#)

Certiorari to the United States Court of Appeals for the Tenth Circuit.

JUSTICE MARSHALL delivered the opinion for a unanimous Court.

This case presents the issue whether in a diversity action the federal court should follow state law or, alternatively, Rule 3 of the Federal Rules of Civil Procedure in determining when an action is commenced for the purpose of tolling the state statute of limitations.

I

According to the allegations of the complaint, petitioner, a carpenter, was injured on August 22, 1975, in Oklahoma City, Okla., while pounding a Sheffield nail into a cement wall. Respondent was the manufacturer of the nail. Petitioner claimed that the nail contained a defect which caused its head to shatter and strike him in the right eye, resulting in permanent injuries. The defect was allegedly caused by respondent’s negligence in manufacture and design.

Petitioner is a resident of Oklahoma, and respondent is a foreign corporation having its principal place of business in a State other than Oklahoma. Since there was diversity of citizenship, petitioner brought suit in the United States District Court for the Western District of Oklahoma. The complaint was filed on August 19, 1977. Although summons was issued that same day, service of process was not made on respondent’s authorized service agent until December 1, 1977. On January 5, 1978, respondent filed a motion to dismiss the complaint on the ground that the action was barred by the applicable Oklahoma statute of limitations. Although the complaint

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had been filed within the 2-year statute of limitations, * * * state law does not deem the action “commenced” for purposes of the statute of limitations until service of the summons on the defendant, Okla.Stat., Tit. 12, § 97 (1971). If the complaint is filed within the limitations period, however, the action is deemed to have commenced from that date of filing if the plaintiff serves the defendant within 60 days, even though that service may occur outside the limitations period. * * * In this case, service was not effectuated until long after this 60-day period had expired. Petitioner in his reply brief to the motion to dismiss admitted that his case would be foreclosed in state court, but he argued that Rule 3 of the Federal Rules * * * governs the manner in which an action is commenced in federal court for all purposes, including the tolling of the state statute of limitations.

The District Court dismissed the complaint as barred by the Oklahoma statute of limitations. * * * The court concluded that Okla.Stat., Tit. 12, § 97 (1971) was “an integral part of the Oklahoma statute of limitations,” and therefore under *Ragan* * * * [p. 460, Note 4, supra], state law applied. The court rejected the argument that *Ragan* had been implicitly overruled in *Hanna v. Plumer* * * *.

The * * * Tenth Circuit affirmed. * * * That court concluded that Okla.Stat., Tit. 12, § 97 (1971), was in “direct conflict” with Rule 3. * * * However, the Oklahoma statute was “indistinguishable” from the statute involved in *Ragan*, and the court felt itself “constrained” to follow *Ragan*. * * *

We granted certiorari * * * because of a conflict among the Courts of Appeals. We now affirm.

II

The question whether state or federal law should apply on various issues arising in an action based on state law which has been brought in federal court under diversity of citizenship jurisdiction has troubled this Court for many years. * * *

* * *

In * * * *York* [p. 454, supra], we concluded that the state statute of limitations [that would completely bar recovery] should be applied. * * *

The decision in *York* led logically to our holding in *Ragan* * * *. In *Ragan*, the plaintiff had filed his complaint in federal court on September 4, 1945, pursuant to Rule 3 * * *. The accident from which the claim arose had occurred on October 1, 1943. Service was made on the defendant on December 28, 1945. The applicable statute of limitations supplied by Kansas law was two years. Kansas had an additional statute [regarding tolling that was essentially identical to the Oklahoma statute at issue in this case]. The defendant moved for summary judgment on the ground that the Kansas statute of limitations barred the action since service had not

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been made within either the 2-year period or the 60-day period. It was conceded that had the case been brought in Kansas state court it would have been barred. Nonetheless, the District Court held that the statute had been tolled by the filing of the complaint. The Court

of Appeals reversed * * *.

We affirmed, relying on *Erie* and *York*. “We cannot give [the cause of action] longer life in the federal court than it would have had in the state court without adding something to the cause of action. We may not do that consistently with *Erie R. Co. v. Tompkins*.” * * * We rejected the argument that Rule 3 * * * governed the manner in which an action was commenced in federal court for purposes of tolling the state statute of limitations. Instead, we held that the service of summons statute controlled because it was an integral part of the state statute of limitations, and under *York*, that statute of limitations was part of the state-law cause of action.

Ragan was not our last pronouncement in this difficult area, however. * * *

The Court in *Hanna* * * * concluded that the *Erie* doctrine was simply not the appropriate test of the validity and applicability of one of the Federal Rules * * *. The Court cited *Ragan* as one of the examples of this proposition * * *. The Court explained that where the Federal Rule was clearly applicable, as in *Hanna*, the test was whether the Rule was within the scope of the Rules Enabling Act * * * and if so, within a constitutional grant of power such as the Necessary and Proper Clause of Art. I. * * *

III

The present case is indistinguishable from *Ragan*. The statutes in both cases require service of process to toll the statute of limitations, and in fact the predecessor to the Oklahoma statute in this case was derived from the predecessor to the Kansas statute in *Ragan*. * * * Here, as in *Ragan*, the complaint was filed in federal court under diversity jurisdiction within the 2-year statute of limitations, but service of process did not occur until after the 2-year period and the 60-day service period had run. In both cases the suit would concededly have been barred in the applicable state court, and in both instances the state service statute was held to be an integral part of the statute of limitations by the lower court more familiar than we with state law. Accordingly, as the Court of Appeals held below, the instant action is barred by the statute of limitations unless *Ragan* is no longer good law.

Petitioner argues that the analysis and holding of *Ragan* did not survive our decision in *Hanna*.⁸ Petitioner’s position is that Okla.Stat., Tit. 12, § 97 (1971), is in direct conflict with the Federal Rule. Under *Hanna*,

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petitioner contends, the appropriate question is whether Rule 3 is within the scope of the Rules Enabling Act and, if so, within the constitutional power of Congress. In petitioner’s view, the Federal Rule is to be applied unless it violates one of those two restrictions. * * *

We note at the outset that the doctrine of *stare decisis* weighs heavily against petitioner in this case. Petitioner seeks to have us overrule our decision in *Ragan*. * * *

This Court in *Hanna* distinguished *Ragan* rather than overruled it, and for good reason. Application of the *Hanna* analysis is premised on a “direct collision” between the Federal Rule and the state law. * * * In *Hanna* itself the “clash” between Rule 4(d)(1) and the state in-hand service requirement was “unavoidable.” * * * The first question must therefore be whether the scope of the Federal Rule in fact is sufficiently broad to control the issue before the Court. It is only if that question is answered affirmatively that the *Hanna* analysis applies.⁹

As has already been noted, we recognized in *Hanna* that the present case is an instance where “the scope of the Federal Rule [is] not as broad as the losing party urge[s], and therefore, there being no Federal Rule which cover[s] the point in dispute, *Erie* command[s] the enforcement of state law.” * * * Rule 3 simply states that “[a] civil action is commenced by filing a complaint with the court.” There is no indication that the Rule was intended to toll a state statute of limitations,¹⁰ much less that it purported to displace state tolling rules for purposes of state statutes of limitations. In our view, in diversity actions¹¹ Rule 3 governs the date from which

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various timing requirements of the Federal Rules begin to run, but does not affect state statutes of limitations. * * *

In contrast to Rule 3, the Oklahoma statute is a statement of a substantive decision by that State that actual service on, and accordingly actual notice by, the defendant is an integral part of the several policies served by the statute of limitations. * * * The statute of limitations establishes a deadline after which the defendant may legitimately have peace of mind; it also recognizes that after a certain period of time it is unfair to require the defendant to attempt to piece together his defense to an old claim. A requirement of actual service promotes both of those functions of the statute. * * * As such, the service rule must be considered part and parcel of the statute of limitations. Rule 3 does not replace such policy determinations found in state law. Rule 3 and Okla.Stat., Tit. 12, § 97 (1971), can exist side by side, therefore, each controlling its own intended sphere of coverage without conflict.

Since there is no direct conflict between the Federal Rule and the state law, the *Hanna* analysis does not apply. Instead, the policies behind *Erie* and *Ragan* control the issue. * * * [A]lthough in this case failure to apply the state service law might not create any problem of forum shopping, the result would be an “inequitable administration” of the law. *Hanna v. Plumer* * * *. There is simply no reason why, in the absence of a controlling federal rule, an action based on state law which concededly would be barred in the state courts by the state statute of limitations should proceed through litigation to judgment in federal court solely because of the fortuity that there is diversity of citizenship between the litigants. The policies underlying diversity jurisdiction do not support such a distinction between state and federal plaintiffs, and *Erie* and its progeny do not permit it.

The judgment of the Court of Appeals is affirmed.

NOTES AND QUESTIONS

1.Federal Rule 3 does not specify the purposes for which an action is commenced. Two arguments thus were available for the Court in *Walker* to find that Rule 3 did not operate to toll the Oklahoma statute of limitations. First, the Court could have held that Rule 3 applies only to time requirements in other Federal Rules, tolling neither state nor federal statutes of limitations. Alternatively, the Court could have found that Rule 3 tolls federal but not state statutes of limitations.

Which argument is more persuasive? Which argument does the Court make in *Walker*? Note that there was abundant authority, cited in footnote 11 of the Court’s opinion (including a dictum in *Ragan*), suggesting that Rule 3 does operate to toll federal statutes of limitations. *Walker* reserved this question, holding that, even if Rule 3 governs federal statutes of limitations, it does not apply to state statutes. But if Rule 3 does not toll federal statutes of limitations, what does?

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2.Can you reconcile the Court’s interpretation of Rule 3 in *Walker* with its interpretation of Rule 4 in *Hanna*? Rule 4 says simply that service may be made by leaving a copy of the summons and complaint at defendant’s home with someone of suitable age or discretion who also resides there; it does not qualify this permission in any way or say anything about federal-question cases or diversity cases. Therefore, the *Hanna* Court concluded, Rule 4 says “implicitly, but with unmistakable clarity” that in-hand service is not required in either type of case. Rule 3 is equally plain: It says that an action is commenced in federal court by filing the complaint. Yet the *Walker* Court assumes, contrary to the apparent intent of the Advisory Note (quoted on p. 483, footnote 10), that Rule 3 may toll federal but not state statutes of limitations. Why is Rule 4 read broadly, making a clash with state law “unavoidable,” while Rule 3 is read to incorporate an implied exception for state statutes? Is the difference that Oklahoma’s tolling provision serves a substantive purpose while the Massachusetts service rule in *Hanna* is purely procedural in nature? And what do you make of the statement in footnote 9, p. 483, that Federal Rules are not “to be narrowly construed in order to avoid a ‘direct collision’ with state law”? Isn’t that exactly what the Court did in *Walker*?

3.In *BURLINGTON NORTHERN R. CO. v. WOODS*, 480 U.S. 1, 107 S.Ct. 967, 94 L.Ed.2d 1 (1987), Woods obtained a jury verdict against Burlington Northern in a personal injury action prosecuted in an Alabama federal district court. After the verdict was affirmed on appeal without modification, the court of appeals assessed the penalty (10 percent of the damages) prescribed by Alabama law for all unsuccessful appeals of money judgments. Burlington Northern objected, arguing that Rule 38 of the Federal Rules of Appellate Procedure controlled the case—and that, under Rule 38, penalties were appropriate only if, in the judgment of the appellate court, the appeal was frivolous.

The Supreme Court held that Appellate Rule 38 controlled:

In *Hanna* * * *, we set forth the appropriate test for resolving conflicts between state law and the Federal Rules. The initial step is to determine whether, when fairly construed, the scope of Federal Rule 38 is “sufficiently broad” to cause a “direct collision” with the state law or, implicitly, to “control the issue” before the court, thereby leaving no room for the operation of that law. * * * The Rule must then be applied if it represents a valid exercise of Congress’ rulemaking authority * * *.

* * * Rule 38 affords a court of appeals plenary discretion to assess “just damages” in order to penalize an appellant who takes a frivolous appeal and to compensate the injured appellee for the delay and added expense of defending the district court’s judgment. Thus, the Rule’s discretionary mode of operation unmistakably conflicts with the mandatory provision of Alabama’s affirmance penalty statute. Moreover, the purposes underlying the Rule are sufficiently

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coextensive with the asserted purposes of the Alabama statute to indicate that the Rule occupies the statute’s field of operation so as to preclude its application in federal diversity actions.

Respondents argue that, because Alabama has a similar Appellate Rule which may be applied in state court alongside the affirmance penalty statute, * * * a federal court sitting in diversity could impose the mandatory penalty and likewise remain free to exercise its discretionary authority under Federal Rule 38. This argument, however, ignores the significant possibility that a court of appeals may, in any given case, find a limited justification for imposing penalties in an amount *less than* 10% of the lower court’s judgment. Federal Rule 38 adopts a case-by-case approach to identifying and deterring frivolous appeals; the Alabama statute precludes any exercise of discretion within its scope of operation. Whatever circumscriptive effect the mandatory affirmance penalty statute may have on the state court’s exercise of discretion under Alabama’s Rule 38, that Rule provides no authority for defining the scope of discretion allowed under Federal Rule 38.

Federal Rule 38 regulates matters which can reasonably be classified as procedural, thereby satisfying the constitutional standard for validity. Its displacement of the Alabama statute also satisfies the statutory constraints of the Rules Enabling Act. The choice made by the drafters of the Federal Rules in favor of a discretionary procedure affects only the process of enforcing litigants’ rights and not the rights themselves.

Id. at 4–8, 107 S.Ct. at 969–71, 94 L.Ed.2d at 7–9. Is the Alabama penalty substantive or procedural? What purpose is served by interpreting Appellate Rule 38 to displace this Alabama rule in a diversity case? In what sense would an award under the Alabama statute be incompatible with an award under Appellate Rule 38?

Certiorari to the United States Court of Appeals for the Eleventh Circuit.

JUSTICE MARSHALL delivered the opinion of the Court.

This case presents the issue whether a federal court sitting in diversity should apply state or federal law in adjudicating a motion to transfer a case to a venue provided in a contractual forum-selection clause.

I

The dispute underlying this case grew out of a dealership agreement that obligated petitioner company, an Alabama corporation, to market

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copier products of respondent, a nationwide manufacturer with its principal place of business in New Jersey. The agreement contained a forum-selection clause providing that any dispute arising out of the contract could be brought only in a court located in Manhattan. Business relations between the parties soured under circumstances that are not relevant here. In September 1984, petitioner brought a complaint in the United States District Court for the Northern District of Alabama. The core of the complaint was an allegation that respondent had breached the dealership agreement, but petitioner also included claims for breach of warranty, fraud, and antitrust violations.

Relying on the contractual forum-selection clause, respondent moved * * * either to transfer the case to the Southern District of New York under 28 U.S.C. § 1404(a) or to dismiss the case for improper venue under 28 U.S.C. § 1406. The District Court denied the motion. * * * It reasoned that the transfer motion was controlled by Alabama law and that Alabama looks unfavorably upon contractual forum-selection clauses. The court certified its ruling for interlocutory appeal * * * and the Court of Appeals for the Eleventh Circuit accepted jurisdiction.

On appeal, a divided panel of the Eleventh Circuit reversed the District Court. The panel concluded that questions of venue in diversity actions are governed by federal law, and that the parties’ forum-selection clause was enforceable as a matter of federal law. * * * The panel therefore reversed * * * and remanded with instructions to transfer the case to a Manhattan court. After petitioner successfully moved for rehearing en banc, * * * the full Court of Appeals proceeded to adopt the result, and much of the reasoning, of the panel opinion. * * * The en banc court, citing Congress’ enactment or approval of several rules to govern venue determinations in diversity actions, first determined that [v]enue is a matter of federal procedure,” * * *. The Court of Appeals then applied the standards articulated in the admiralty case of *The Bremen* * * * [p. 198, supra], to conclude that “the choice of forum clause in the contract is in all respects enforceable generally as a matter of federal law. . . .” * * *⁴ We now affirm under somewhat different reasoning.

II

Both the panel opinion and the opinion of the full Court of Appeals referred to the difficulties that often attend “the sticky question of which law, state or federal, will govern various aspects of the decisions of federal courts sitting in diversity.” * * * A district court’s decision whether to apply a federal statute such as § 1404(a) in a diversity action, however, involves a considerably less intricate analysis than that which governs the “relatively unguided *Erie* choice.” * * * Our cases indicate that when the federal law sought to be applied is a congressional statute, the first and

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chief question for the district court’s determination is whether the statute is “sufficiently broad to control the issue before the Court.” * * * This question involves a straightforward exercise in statutory interpretation to determine if the statute covers the point in dispute.⁴

If the district court determines that a federal statute covers the point in dispute, it proceeds to inquire whether the statute represents a valid exercise of Congress’ authority under the Constitution. * * * If Congress intended to reach the issue before the district court, and if it enacted its intention into law in a manner that abides with the Constitution, that is the end of the matter; “[f]ederal courts are bound to apply rules enacted by Congress with respect to matters * * * over which it has legislative power” * * *.⁶ Thus, a district court sitting in diversity must apply a federal statute that controls the issue before the court and that represents a valid exercise of Congress’ constitutional powers.

III

* * *

B

* * * Under the analysis outlined above, we first consider whether [28 U.S.C. § 1404(a)] is sufficiently broad to control the issue before the court. * * * We believe that the statute, fairly construed, does cover the point in dispute.

Section 1404(a) is intended to place discretion in the district court to adjudicate motions for transfer. * * * A motion to transfer under § 1404(a) thus calls on the district court to weigh in the balance a number of case-specific factors. The presence of a forum-selection clause such as the parties entered into in this case will be a significant factor that figures centrally in the district court’s calculus.

In its resolution of the § 1404(a) motion in this case, for example, the District Court will be called on to address such issues as the convenience of a Manhattan forum given the parties’ expressed preference for that venue, and the fairness of transfer in light of the forum-selection clause and the parties’ relative bargaining power. The flexible and individualized analysis Congress prescribed in § 1404(a) thus encompasses consideration of the parties’ private expression of their venue preferences.

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Section 1404(a) may not be the only potential source of guidance for the District Court to consult in weighing the parties’ private designation of a suitable forum. The premise of the dispute between the parties is that Alabama law may refuse to enforce forum-selection clauses providing for out-of-state venues as a matter of state public policy. If that is so, the District Court will have either to integrate the factor of the forum-selection clause into its weighing of considerations as prescribed by Congress, or else to apply, as it did in this case, Alabama’s categorical policy disfavoring forum-selection clauses. Our cases make clear that, as between these two choices in a single “field of operation,” * * * the instructions of Congress are supreme. * * *

It is true that § 1404(a) and Alabama’s putative policy regarding forum-selection clauses are not perfectly coextensive. Section 1404(a) directs a district court to take account of factors other than those that bear solely on the parties’ private ordering of their affairs. The district court also must weigh in the balance the convenience of the witnesses and those public-interest factors of systemic integrity and fairness that, in addition to private concerns, come under the heading of “the interest of justice.” It is conceivable in a particular case, for example, that because of these factors a district court acting under § 1404(a) would refuse to transfer a case notwithstanding the counterweight of a forum-selection clause, whereas the coordinate state rule might dictate the opposite result. * * * But this potential conflict in fact frames an additional argument for the supremacy of federal law. Congress has directed that multiple considerations govern transfer within the federal court system, and a state policy focusing on a single concern or a subset of the factors identified in § 1404(a) would defeat that command. Its application would impoverish the flexible and multifaceted analysis that Congress intended to govern motions to transfer within the federal system. The forum-selection clause, which represents the parties’ agreement as to the most proper forum, should receive neither dispositive consideration (as respondent might have it) nor no consideration (as Alabama law might have it), but rather the consideration for which Congress provided in § 1404(a). * * * This is thus not a case in which state and federal rules “can exist side by side * * * each controlling its own intended sphere of coverage without conflict.” * * *

Because § 1404(a) controls the issue * * *, it must be applied if it represents a valid exercise of Congress’ authority under the Constitution. The constitutional authority of Congress to enact § 1404(a) is not subject to serious question. * * * Section 1404(a) is doubtless capable of classification as a procedural rule, and indeed, we have so classified it in holding that a transfer pursuant to § 1404(a) does not carry with it a change in the applicable law. * * * It therefore falls comfortably within Congress’ powers under Article III as augmented by the Necessary and Proper Clause. * * *

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We hold that federal law, specifically 28 U.S.C. § 1404(a), governs the District Court’s decision whether to give effect to the parties’ forum-selection clause and transfer this case to a court in Manhattan. * * * The case is remanded so that the District Court may determine * * * the appropriate effect under federal law of the parties’ forum-selection clause on respondent’s § 1404(a) motion.

It is so ordered.

JUSTICE KENNEDY, with whom JUSTICE O’CONNOR joins, concurring.

I concur in full. I write separately only to observe that enforcement of valid forum-selection clauses, bargained for by the parties, protects their legitimate expectations and furthers vital interests of the justice system. Although our opinion in *The Bremen* * * * involved a Federal District Court sitting in admiralty, its reasoning applies with much force to federal courts sitting in diversity. The justifications we noted in *The Bremen* to counter the historical disfavor forum-selection clauses had received in American courts * * * should be understood to guide the District Court’s analysis under § 1404(a).

* * * Courts should announce and encourage rules that support private parties who negotiate such clauses. Though state policies should be weighed in the balance, the authority and prerogative of the federal courts to determine the issue, as Congress has directed by § 1404(a), should be exercised so that a valid forum-selection clause is given controlling weight in all but the most exceptional cases. * * *

JUSTICE SCALIA, dissenting.

* * *

When a litigant asserts that state law conflicts with a federal procedural statute or formal Rule of Procedure, a court’s first task is to determine whether the disputed point in question in fact falls within the scope of the federal statute or Rule. In this case, the Court must determine whether the scope of § 1404(a) is sufficiently broad to cause a direct collision with state law or implicitly to control the issue before the Court, i.e., validity between the parties of the forum-selection clause, thereby leaving no room for the operation of state law. * * * I conclude that it is not.

Although the language of § 1404(a) provides no clear answer, in my view it does provide direction. The provision vests the district courts with authority to transfer a civil action to another district “[f]or the convenience of parties and witnesses, in the interest of justice.” This language looks to the present and the future. As the specific reference to convenience of parties and witnesses suggests, it requires

consideration of what is likely to be just in the future, when the case is tried, in light of things as they now stand. Accordingly, the courts in applying § 1404(a) have examined a variety of factors, each of which pertains to facts that currently exist or will

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exist * * *. In holding that the validity between the parties of a forum-selection clause falls within the scope of § 1404(a), the Court inevitably imports, in my view without adequate textual foundation, a new retrospective element into the court’s deliberations, requiring examination of what the facts were concerning, among other things, the bargaining power of the parties and the presence or absence of overreaching at the time the contract was made. * * *

* * *

II

Since no federal statute or Rule of Procedure governs the validity of a forum-selection clause, the remaining issue is whether federal courts may fashion a judge-made rule to govern the question. If they may not, the Rules of Decision Act * * * mandates use of state law. * * *

* * * Whatever the scope of the federal courts’ authority to create federal common law in other areas, it is plain that the mere fact that petitioner company here brought an antitrust claim * * * does not empower the federal courts to make common law on the question of the validity of the forum-selection clause. * * * The federal courts do have authority, however, to make procedural rules that govern the practice before them. * * *

In deciding what is substantive and what is procedural for these purposes, we have adhered to a functional test based on the “twin aims of the *Erie* rule: discouragement of forum-shopping and avoidance of inequitable administration of the laws.” *Hanna* * * *.

Under the twin-aims test, I believe state law controls the question of the validity of a forum-selection clause between the parties. * * * Venue is often a vitally important matter, as is shown by the frequency with which parties contractually provide for and litigate the issue. Suit might well not be pursued, or might not be as successful, in a significantly less convenient forum. Transfer to such a less desirable forum is, therefore, of sufficient import that plaintiffs will base their decisions on the likelihood of that eventuality when they are choosing whether to sue in state or federal court. * * *

I believe creating a judge-made rule fails the second part of the twin-aims test as well, producing inequitable administration of the laws. * * * It is difficult to imagine an issue of more importance, other than one that goes to the very merits of the lawsuit, than the validity of a contractual forum-selection provision. * * *

NOTES AND QUESTIONS

1. What test did *Stewart* apply in determining whether a federal statute “covers the point in dispute”? To what extent does this test differ from the

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requirement of a “direct collision” as applied in *Hanna* and *Walker*? What is the basis for Justice Scalia’s dissenting opinion that 28 U.S.C. § 1404(a) is not on point? Why would application of the state rule on forum-selection clauses be incompatible with the federal statute?

2.Why might a state not want to give effect to a forum-selection clause? See Rowe, *Not Bad for Government Work: Does Anyone Else Think the Supreme Court Is Doing a Halfway Decent Job in Its Erie-Hanna Jurisprudence?*, 73 Notre Dame L.Rev. 963, 994 (1998). Should federal courts consider state regulatory interests on a case-by-case basis or as a general matter through the rulemaking process? See Dudley, Jr. & Rutherglen, *Deforming the Federal Rules: An Essay on What’s Wrong with the Recent Erie Decisions*, 92 Va.L.Rev. 707, 738–47 (2006).

3.On what basis did Justice Kennedy concur? Are you persuaded by his analogy to *The Bremen*, a case that involves admiralty and not diversity jurisdiction?

GASPERINI V. CENTER FOR HUMANITIES, INC.

Supreme Court of the United States, 1996.
518 U.S. 415, 116 S.Ct. 2211, 135 L.Ed.2d 659.

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE GINSBURG delivered the opinion of the Court.

Under the law of New York, appellate courts are empowered to review the size of jury verdicts and to order new trials when the jury’s award “deviates materially from what would be reasonable compensation.” N. Y. Civ. Prac. Law and Rules (CPLR) § 5501(c) * * *. Under the Seventh Amendment, which governs proceedings in federal court, but not in state court, “the right of trial by jury shall be preserved, and no fact tried by a jury, shall be otherwise re-examined in any Court of the United States, than according to the rules of the common law.” The compatibility of these provisions, in an action based on New York law but tried in federal court by reason of the parties’ diverse citizenship, is the issue we confront in this case. * * *

We hold that New York’s law controlling compensation awards for excessiveness or inadequacy can be given effect, without detriment to the Seventh Amendment, if the review standard set out in CPLR § 5501(c) is applied by the federal trial court judge, with appellate control of the trial court’s ruling limited to review for “abuse of discretion.”

I

Petitioner William Gasperini, a journalist for CBS News and the Christian Science Monitor, began reporting on events in Central America in 1984. * * * During the course of his seven-year stint in Central America, Gasperini took over 5,000 slide transparencies, depicting active war zones,

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political leaders, and scenes from daily life. In 1990, Gasperini agreed to supply his original color transparencies to The Center for Humanities, Inc. (Center) for use in an educational videotape, Conflict in Central America. Gasperini selected 300 of his slides for the Center; its videotape included 110 of them. The Center agreed to return the original transparencies, but upon the completion of the project, it could not find them.

Gasperini commenced suit in the United States District Court for the Southern District of New York, invoking the court’s diversity jurisdiction * * *. The Center conceded liability for the lost transparencies and the issue of damages was tried before a jury.

At trial, Gasperini’s expert witness testified that the “industry standard” within the photographic publishing community valued a lost transparency at \$1,500. * * *

After a three-day trial, the jury awarded Gasperini \$450,000 in compensatory damages. This sum, the jury foreperson announced, “is [\$]1500 each, for 300 slides.” Moving for a new trial under Federal Rule of Civil Procedure 59, the Center attacked the verdict on various grounds, including excessiveness. Without comment, the District Court denied the motion. * * *

The Court of Appeals for the Second Circuit vacated the judgment entered on the jury’s verdict. * * * Mindful that New York law governed the controversy, the Court of Appeals endeavored to apply CPLR § 5501(c), which instructs that, when a jury returns an itemized verdict, as the jury did in this case, the New York Appellate Division “shall determine that an award is excessive or inadequate if it deviates materially from what would be reasonable compensation.” The Second Circuit’s application of § 5501(c) as a check on the size of the jury’s verdict followed Circuit precedent elaborated two weeks earlier * * *. Surveying Appellate Division decisions that reviewed damage awards for lost transparencies, the Second Circuit concluded that testimony on industry standard alone was insufficient to justify a verdict; prime among other factors warranting consideration were the uniqueness of the slides’ subject matter and the photographer’s earning level.

Guided by Appellate Division rulings, the Second Circuit held that the \$450,000 verdict “materially deviates from what is reasonable compensation.” * * * [T]he Second Circuit set aside the \$450,000 verdict and ordered a new trial, unless Gasperini agreed to an award of \$100,000.

* * *

II

Before 1986, state and federal courts in New York generally invoked the same judge-made formulation in responding to excessiveness attacks

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on jury verdicts: courts would not disturb an award unless the amount was so exorbitant that it “shocked the conscience of the court.” * * *

In both state and federal courts, trial judges made the excessiveness assessment in the first instance, and appellate judges ordinarily deferred to the trial court’s judgment. * * *

In 1986, as part of a series of tort reform measures, New York codified a standard for judicial review of the size of jury awards. * * *

* * * New York state-court opinions confirm that § 5501(c)’s “deviates materially” standard calls for closer surveillance than “shock the conscience” oversight. * * *

Although phrased as a direction to New York’s intermediate appellate courts, § 5501(c)’s “deviates materially” standard, as construed by New York’s courts, instructs state trial judges as well. * * * Application of § 5501(c) at the trial level is key to this case.

To determine whether an award “deviates materially from what would be reasonable compensation,” New York state courts look to awards approved in similar cases. * * *

III

In cases like Gasperini’s, in which New York law governs the claims for relief, does New York law also supply the test for federal-court review of the size of the verdict? The Center answers yes. The “deviates materially” standard, it argues, is a substantive standard that must be applied by federal appellate courts in diversity cases. The Second Circuit agreed. * * * Gasperini, emphasizing that § 5501(c) trains on the New York Appellate Division, characterizes the provision as procedural, an allocation of decisionmaking authority regarding damages, not a hard cap on the amount recoverable. Correctly comprehended, Gasperini urges, § 5501(c)’s direction to the Appellate Division cannot be given effect by federal appellate courts without violating the Seventh Amendment’s Reexamination Clause.

As the parties’ arguments suggest, CPLR § 5501(c), appraised under *Erie* * * * and decisions in *Erie*’s path, is both “substantive” and “procedural”: “substantive” in that § 5501(c)’s “deviates materially” standard controls how much a plaintiff can be awarded; “procedural” in that § 5501(c) assigns decisionmaking authority to New York’s Appellate Division. Parallel application of § 5501(c) at the federal appellate level would be out of sync with the federal system’s division of trial and appellate court functions, an allocation weighted by the Seventh Amendment. The dispositive question, therefore, is whether federal courts can give effect to the substantive thrust of § 5501(c) without untoward alteration of the federal scheme for the trial and decision of civil cases.

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A

* * *

Classification of a law as “substantive” or “procedural” for *Erie* purposes is sometimes a challenging endeavor.² * * * *York* * * * [p. 454, *supra*], an early interpretation of *Erie*, propounded an “outcome-determination” test. * * * A later pathmarking case * * * explained that the “outcome-determination” test must not be applied mechanically to sweep in all manner of variations; instead, its application must be guided by “the twin aims of the *Erie* rule: discouragement of forum shopping and avoidance of inequitable administration of the laws.” *Hanna* * * * [p. 468, *supra*].

* * * [W]e address the question whether New York’s “deviates materially” standard, codified in CPLR § 5501(c), is outcome affective in this sense: Would “application of the [standard] . . . have so important an effect upon the fortunes of one or both of the litigants that failure to [apply] it would [unfairly discriminate against citizens of the forum State, or] be likely to cause a plaintiff to choose the federal court”? * * *³

We start from a point the parties do not debate. Gasperini acknowledges that a statutory cap on damages would supply substantive law for *Erie* purposes. * * * Although CPLR § 5501(c) is less readily classified, it was designed to provide an analogous control.

* * *

It thus appears that if federal courts ignore the change in the New York standard and persist in applying the “shock the conscience” test to damage awards on claims governed by New York law, “ ‘substantial’ variations between state and federal [money judgments]” may be expected. * * * We therefore agree with the Second Circuit that New York’s check on excessive damages implicates what we have called “twin aims.” * * * Just as the *Erie* principle precludes a federal court from giving a state-created claim “longer life . . . than [the claim] would have had in the state court,” * * * so *Erie* precludes a recovery in federal court significantly larger than the recovery that would have been tolerated in state court.

B

CPLR § 5501(c) * * * is phrased as a direction to the New York Appellate Division. Acting essentially as a surrogate for a New York appellate forum, the Court of Appeals reviewed Gasperini’s award to

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determine if it “deviate[d] materially” from damage awards the Appellate Division permitted in similar circumstances. The Court of Appeals performed this task without benefit of an opinion from the District Court, which had denied “without comment” the Center’s Rule 59 motion. Concentrating on the authority § 5501(c) gives to the Appellate Division, Gasperini urges that the provision shifts fact finding responsibility from the jury and the trial judge to the appellate court. Assigning such responsibility to an appellate court, he maintains, is incompatible with the Seventh Amendment’s Reexamination Clause, and therefore, Gasperini concludes, § 5501(c) cannot be given effect in federal court. Although we reach a different conclusion than Gasperini, we agree that the Second Circuit did not attend to “an essential characteristic of [the federal-court] system,” * * * when it used § 5501(c) as “the standard for [federal] appellate review.” * * *

* * *

The Seventh Amendment, which governs proceedings in federal court, but not in state court, bears not only on the allocation of trial functions between judge and jury, the issue in *Byrd* [p. 462, *supra*]; it also controls the allocation of authority to review verdicts, the issue of concern here. * * *

Byrd involved the first Clause of the Amendment, the “trial by jury” Clause. This case involves the second, the “Reexamination” Clause. In keeping with the historic understanding, the Reexamination Clause does not inhibit the authority of trial judges to grant new trials “for any of the reasons for which new trials have heretofore been granted in actions at law in the courts of the United States.” That authority is large. * * * This discretion includes overturning verdicts for excessiveness and ordering a new trial without qualification, or conditioned on the verdict winner’s refusal to agree to a reduction (*remittitur*). * * *

In contrast, appellate review of a federal trial court’s denial of a motion to set aside a jury’s verdict as excessive is a relatively late, and less secure, development. Such review was once deemed inconsonant with the Seventh Amendment’s Reexamination Clause. * * *

As the Second Circuit explained, appellate review for abuse of discretion is reconcilable with the Seventh Amendment as a control necessary and proper to the fair administration of justice * * *. We now * * * make explicit * * * : “[N]othing in the Seventh Amendment . . . precludes appellate review of the trial judge’s denial of a motion to set aside [a jury verdict] as excessive.” * * *

C

In *Byrd*, the Court faced a one-or-the-other choice: trial by judge as in state court, or trial by jury according to the federal practice. In the case before us, a choice of that order is not required, for the principal state and

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federal interests can be accommodated. The Second Circuit correctly recognized that when New York substantive law governs a claim for relief, New York law and decisions guide the allowable damages. * * *

New York’s dominant interest can be respected, without disrupting the federal system, once it is recognized that the federal district court is capable of * * * apply[ing] the State’s “deviates materially” standard in line with New York case law evolving under CPLR § 5501(c).²² * * *

Within the federal system, practical reasons combine with Seventh Amendment constraints to lodge in the district court, not the court of appeals, primary responsibility for application of § 5501(c)’s “deviates materially” check. * * *

District court applications of the “deviates materially” standard would be subject to appellate review under the standard the Circuits now employ when inadequacy or excessiveness is asserted on appeal: abuse of discretion. * * * In light of *Erie*’s doctrine, the federal appeals court must be guided by the damage-control standard state law supplies, but as the Second Circuit itself has said: “If we reverse, it must be because of an abuse of discretion. * * * We must give the benefit of every doubt to the judgment of the trial judge.”

IV

It does not appear that the District Court checked the jury’s verdict against the relevant New York decisions demanding more than “industry standard” testimony to support an award of the size the jury returned in this case. * * * Accordingly, we vacate the judgment of the Court of Appeals and instruct that court to remand the case to the District Court so that the trial judge, revisiting his ruling on the new trial motion, may test the jury’s verdict against CPLR § 5501(c)’s “deviates materially” standard.

It is so ordered.

JUSTICE STEVENS, dissenting.

* * *

I

* * *

The District Court had its opportunity to consider the propriety of the jury’s award, and it erred. The Court of Appeals has now corrected that

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error after “drawing all reasonable inferences in favor of” petitioner. * * * As there is no reason to suppose that the Court of Appeals has reached a conclusion with which the District Court could permissibly disagree on remand, I would not require the District Court to repeat a task that has already been well performed by the reviewing court. * * *

* * *

III

* * * I agree with the majority that the Reexamination Clause does not bar federal appellate courts from reviewing jury awards for excessiveness. I confess to some surprise, however, at its conclusion that “ ‘the influence—if not the command—of the Seventh Amendment,’ ” * * * requires federal courts of appeals to review district court applications of state-law excessiveness standards for an “abuse of discretion.” * * *

Certainly, our decision in *Byrd* does not make the Clause relevant. There, we considered only whether the Seventh Amendment’s first clause should influence our decision to give effect to a state-law rule denying the right to a jury altogether. * * * That holding in no way requires us to consult the Amendment’s second clause to determine the standard of review for a district court’s application of state substantive law.

My disagreement is tempered, however, because the majority carefully avoids defining too strictly the abuse-of-discretion standard it announces. To the extent that the majority relies only on “practical reasons” for its conclusion that the Court of Appeals should give some weight to the District Court’s assessment in determining whether state substantive law has been properly applied * * * I do not disagree with its analysis.

* * *

In the end, therefore, my disagreement with the label that the majority attaches to the standard of appellate review should not obscure the far more fundamental point on which we agree. Whatever influence the Seventh Amendment may be said to exert, *Erie* requires federal appellate courts sitting in diversity to apply “the damage-control standard state law supplies.” * * *

IV

Because I would affirm the judgment of the Court of Appeals, and because I do not agree that the Seventh Amendment in any respect influences the proper analysis of the question presented, I respectfully dissent.

JUSTICE SCALIA, with whom the CHIEF JUSTICE and JUSTICE THOMAS join, dissenting.

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I

* * *

I am persuaded that our prior cases were correct that, at common law, “reexamination” of the facts found by a jury could be undertaken only by the trial court, and that appellate review was restricted to writ of error which could challenge the judgment only upon matters of law. * * *

* * *

II

The Court’s holding that federal courts of appeals may review district court denials of motions for new trials for error of fact is not the only novel aspect of today’s decision. The Court also directs that the case be remanded to the District Court, so that it may “test the jury’s verdict against CPLR § 5501(c)’s ‘deviates materially’ standard.” * * * This disposition contradicts the principle that “the proper role of the trial and appellate courts in the federal system in reviewing the size of jury verdicts is . . . a matter of federal law.” *Donovan v. Penn Shipping Co.*, 429 U.S. 648, 649, 97 S.Ct. 835, 837, 51 L.Ed.2d 112 (1977) (*per curiam*).^f

* * * The Court approves the “accommodat[ion]” achieved by having district courts review jury verdicts under the “deviates materially” standard, because it regards that as a means of giving effect to the State’s purposes “without disrupting the federal system.” * * * But changing the standard by which trial judges review jury verdicts *does* disrupt the federal system, and is plainly inconsistent with the “strong federal policy against allowing state rules to disrupt the judge-jury relationship in the federal court.” * * *

* * * It seems to me quite wrong to regard [Section 5501(c)] as a “substantive” rule for *Erie* purposes. The “analog[y]” to “a statutory cap on damages” * * * fails utterly. There is an absolutely fundamental distinction between a *rule of law* such as that, which would ordinarily be imposed upon the jury in the trial court’s instructions, and a *rule of review*, which simply determines how closely the jury verdict will be scrutinized for compliance with the instructions. A tighter standard for reviewing jury determinations can no more plausibly be called a “substantive” disposition than can a tighter appellate standard for reviewing trial-court determinations. The one, like the other, provides additional assurance *that the law has been complied with*; but the other, like the one, *leaves the law unchanged*.

The Court commits the classic *Erie* mistake of regarding whatever changes the outcome as substantive * * *. * * * Outcome-determination * * * does not have the power to convert the most classic elements of the process of assuring that the law is observed into the substantive law itself.

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The right to have a jury make the findings of fact, for example, is generally thought to favor plaintiffs, and that advantage is often thought significant enough to be the basis for forum selection. But no one would argue that *Erie* confers a right to a jury in federal court wherever state courts would provide it; or that, were it not for the Seventh Amendment, *Erie* would require federal courts to dispense with the jury whenever state courts do so.

In any event, the Court exaggerates the difference that the state standard will make. It concludes that different outcomes are likely to ensue depending on whether the law being applied is the state “deviates materially” standard of § 5501(c) or the “shocks the conscience” standard. * * * of course, it is not the federal *appellate* standard but the federal *district-court* standard for granting new trials that must be compared with the New York standard to determine whether substantially different results will obtain—and it is far from clear that the district-court standard *ought* to be “shocks the conscience.” * * * What seems to me far more likely to produce forum shopping is the consistent difference between the state and federal *appellate* standards, which the Court leaves untouched. * * * The only result that would produce the conformity the Court erroneously believes *Erie* requires is the one adopted by the Second Circuit and rejected by the Court: *de novo* federal appellate review under the § 5501(c) standard.

To say that application of § 5501(c) in place of the federal standard will not consistently produce disparate results is not to suggest that the decision the Court has made today is not a momentous one. The *principle* that the state standard governs is of great importance, since it bears the potential to destroy the uniformity of federal practice and the integrity of the federal court system. Under the Court’s view, a state rule that directed courts “to determine that an award is excessive or inadequate if it deviates *in any degree* from the *proper measure of compensation*” would have to be applied in federal courts, effectively requiring federal judges to determine the amount of damages *de novo*, and effectively taking the matter away from the jury entirely. * * * Or consider a state rule that allowed the defendant a second trial on damages, with judgment ultimately in the amount of the lesser of two jury awards. * * * Under the reasoning of the Court’s opinion, even such a rule as that would have to be applied in the federal courts.

The foregoing describes why I think the Court’s *Erie* analysis is flawed. But in my view, one does not even reach the *Erie* question in this case. The standard to be applied by a district court in ruling on a motion for a new trial is set forth in Rule 59 * * *, which provides that “[a] new trial may be granted . . . for any of the reasons for which new trials have heretofore been granted in actions at law

in the courts of the United States” (emphasis

added).⁸ That is undeniably a federal standard.¹² Federal district courts in the Second Circuit have interpreted that standard to permit the granting of new trials where “ ‘it is quite clear that the jury has reached a seriously erroneous result’ ” and letting the verdict stand would result in a “ ‘miscarriage of justice.’ ” * * * Assuming (as we have no reason to question) that this is a correct interpretation of what Rule 59 requires, it is undeniable that the Federal Rule is “ ‘sufficiently broad’ to cause a ‘direct collision’ with the state law or, implicitly, to ‘control the issue’ before the court, thereby leaving no room for the operation of that law.” * * * It is simply not possible to give controlling effect both to the federal standard and the state standard in reviewing the jury’s award. That being so, the court has no choice but to apply the Federal Rule * * *.

* * * I respectfully dissent.

NOTES AND QUESTIONS

1. Did the Court apply the Rules of Decision Act or the Rules Enabling Act? Are you persuaded that Federal Rule 59 does not cover the point in dispute? What is the basis for Justice Scalia’s dissenting view that there is a federal standard of excessiveness governing the decision to grant a new trial? Is there a way to read Rule 59 as pertinent but not in conflict with New York’s regulatory interests?
2. To what extent did the majority’s approach to the “unguided *Erie* choice” differ from earlier decisions? What role did *York* play in the analysis? What role did *Byrd* play in the assessment of the respective state and federal interests? Is it significant that the majority did not discuss *Byrd* until it already had determined the applicable law? Does *Gasperini* provide a new approach that replaces *Byrd*, or can the two decisions be reconciled? Finally, what role did the “twin aims” play in the determination of the applicable law?
3. What are the implications of *Gasperini* for other Federal Rules that conflict with state rules or state regulatory interests? Under Justice Ginsburg’s approach, ought state law provide the standard for granting summary judgment or a motion to dismiss? See Steinman, *What is the Erie Doctrine? (And What Does it Mean for the Contemporary Politics of Judicial Federalism?)*, 84 Notre Dame L.Rev. 245 (2008).

SHADY GROVE ORTHOPEDIC ASSOCIATES V. ALLSTATE INSURANCE CO.

Supreme Court of the United States, 2010.
[559 U.S. 393, 130 S.Ct. 1431, 176 L.Ed.2d 311.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

Justice SCALIA announced the judgment of the Court and delivered the opinion of the Court with respect to Parts I and II-A, an opinion with respect to Parts II-B and II-D, in which THE CHIEF JUSTICE, Justice THOMAS, and Justice SOTOMAYOR join, and an opinion with respect to Part II-C, in which THE CHIEF JUSTICE and Justice THOMAS join.

New York law prohibits class actions in suits seeking penalties or statutory minimum damages. We consider whether this precludes a federal district court sitting in diversity from entertaining a class action under Federal Rule of Civil Procedure 23.

I

The petitioner’s complaint alleged the following: Shady Grove Orthopedic Associates, P. A., provided medical care to Sonia E. Galvez for injuries she suffered in an automobile accident. As partial payment for that care, Galvez assigned to Shady Grove her rights to insurance benefits under a policy issued in New York by Allstate Insurance Co. Shady Grove tendered a claim for the assigned benefits to Allstate, which under New York law had 30 days to pay the claim or deny it. * * * Allstate apparently paid, but not on time, and it refused to pay the statutory interest that accrued on the overdue benefits * * *.

Shady Grove filed this diversity suit in the Eastern District of New York to recover the unpaid statutory interest. Alleging that Allstate routinely refuses to pay interest on overdue benefits, Shady Grove sought relief on behalf of itself and a class of all others to whom Allstate owes interest. The District Court dismissed the suit for lack of jurisdiction. * * * It reasoned that N.Y. Civ. Prac. Law Ann. § 901(b), which precludes a suit to recover a “penalty” from proceeding as a class action, applies in diversity suits in federal court, despite Federal Rule * * * 23. * * * And, since Shady Grove conceded that its individual claim (worth roughly \$500) fell far short of the amount-in-controversy requirement for individual suits under 28 U.S.C. § 1332(a), the suit did not belong in federal court.

The Second Circuit affirmed. * * *

II

The framework for our decision is familiar. We must first determine whether Rule 23 answers the question in dispute. * * * If it does, it governs—New York’s law notwithstanding—unless it exceeds statutory

authorization or Congress’s rulemaking power. * * * We do not wade into *Erie*’s murky waters unless the federal rule is inapplicable or invalid. * * *

The question in dispute is whether Shady Grove’s suit may proceed as a class action. Rule 23 provides an answer. It states that “[a] class action may be maintained” if two conditions are met: The suit must satisfy the criteria set forth in subdivision (a) * * *, and it also must fit into one of the three categories described in subdivision (b). * * * By its terms this creates a categorical rule entitling a plaintiff whose suit meets the specified criteria to pursue his claim as a class action. * * * Thus, Rule 23 provides a one-size-fits-all formula for deciding the class-action question. Because § 901(b) attempts to answer the same question—*i.e.*, it states that Shady Grove’s suit “may *not* be maintained as a class action” (emphasis added)^h because of the relief it seeks—it cannot apply in diversity suits unless Rule 23 is *ultra vires*.

The Second Circuit believed that § 901(b) and Rule 23 do not conflict because they address different issues. Rule 23, it said, concerns only the criteria for determining whether a given class can and should be certified; section 901(b), on the other hand, addresses an antecedent question: whether the particular type of claim is eligible for class treatment in the first place—a question on which Rule 23 is silent. * * *

We disagree. To begin with, the line between eligibility and certifiability is entirely artificial. Both are preconditions for maintaining a class action. Allstate suggests that eligibility must depend on the “particular cause of action” asserted, instead of some other attribute of the suit * * *. But that is not so. Congress could, for example, provide that only claims involving more than a certain number of plaintiffs are “eligible” for class treatment in federal court. In other words, relabeling Rule 23(a)’s prerequisites “eligibility criteria” would obviate Allstate’s objection—a sure sign that its eligibility-certifiability distinction is made-to-order.

There is no reason, in any event, to read Rule 23 as addressing only whether claims made eligible for class treatment by some *other* law should be certified as class actions. Allstate asserts that Rule 23 neither explicitly nor implicitly empowers a federal court “to certify a class in each and every case” where the Rule’s criteria are met. * * * But that is *exactly* what Rule 23 does: It says that if the prescribed preconditions are satisfied “[a] class action *may be maintained*” (emphasis added)—not “*a class action may be permitted.*” Courts do not maintain actions; litigants do. The discretion suggested by Rule 23’s “may” is discretion residing in the plaintiff: He may bring his claim in a class action if he wishes. * * *

Allstate points out that Congress has carved out some federal claims from Rule 23’s reach * * *—which shows, Allstate contends, that Rule 23 does not authorize class actions for all claims, but rather leaves room for laws like § 901(b). But Congress, unlike New York, has ultimate authority over the Federal Rules * * *; it can create exceptions to an individual rule as it sees fit * * *. * * * The fact that Congress has created specific exceptions to Rule 23 hardly proves that the Rule does not apply generally. In fact, it proves the opposite. * * *

Allstate next suggests that the structure of § 901 shows that Rule 23 addresses only certifiability. Section 901(a), it notes, establishes class-certification criteria roughly analogous to those in Rule 23 (wherefore it agrees *that* subsection is pre-empted). But § 901(b)’s rule barring class actions for certain claims is set off as its own subsection, and where it applies § 901(a) does not. This shows, according to Allstate, that § 901(b) concerns a separate subject. Perhaps it does concern a subject separate from * * * § 901(a). But the question before us is whether it concerns a subject separate from the subject of *Rule 23*—and for purposes of answering *that* question the way New York has structured its statute is immaterial. Rule 23 permits all class actions that meet its requirements, and a State cannot limit that permission by structuring one part of its statute to track Rule 23 and enacting another part that imposes additional requirements. * * *

The dissent argues that § 901(b) has nothing to do with whether Shady Grove may maintain its suit as a class action, but affects only the *remedy* it may obtain if it wins. * * * Accordingly, the dissent says, Rule 23 and New York’s law may coexist in peace.

We need not decide whether a state law that limits the remedies available in an existing class action would conflict with Rule 23; that is not what § 901(b) does. * * * Unlike a law that sets a ceiling on damages (or puts other remedies out of reach) in properly filed class actions, § 901(b) says nothing about what remedies a court may award; it prevents the class actions it covers from coming into existence at all. * * *

The dissent asserts that a plaintiff can avoid § 901(b)’s barrier by omitting from his complaint (or removing) a request for statutory penalties. * * * Even assuming all statutory penalties are waivable, the fact that a complaint omitting them could be brought as a class action would not at all prove that § 901(b) is addressed only to remedies. If the state law instead banned class actions for fraud claims, a would-be class-action plaintiff could drop the fraud counts from his complaint and proceed with the remainder in a class action. Yet that would not mean the law provides no remedy for fraud; the ban would affect only the procedural means by which the remedy may be pursued. * * *

The dissent all but admits that the literal terms of § 901(b) address the same subject as Rule 23—*i.e.*, whether a class action may be maintained—but insists the provision’s *purpose* is to restrict only remedies. * * * Unlike Rule 23, designed to further procedural fairness and efficiency, § 901(b) (we are told) “responds to an entirely different concern”: the fear that allowing statutory damages to be awarded on a class-wide basis would “produce overkill.” * * *

* * * [E]vidence of the New York Legislature’s purpose is pretty sparse. But even accepting the dissent’s account of the

Legislature’s objective at face value, it cannot override the statute’s clear text. * * * The dissent’s concern for state prerogatives is frustrated rather than furthered by revising state laws when a potential conflict with a Federal Rule arises; the state-friendly approach would be to accept the law as written and test the validity of the Federal Rule.

The dissent’s approach of determining whether state and federal rules conflict based on the subjective intentions of the state legislature is an enterprise destined to produce “confusion worse confounded,” *Sibbach* * * * [p. 477, Note 3, *supra*]. It would mean, to begin with, that one State’s statute could survive pre-emption (and accordingly affect the procedures in federal court) while another State’s identical law would not, merely because its authors had different aspirations. It would also mean that district courts would have to discern, in every diversity case, the purpose behind any putatively pre-empted state procedural rule, even if its text squarely conflicts with federal law. That task will often prove arduous. Many laws further more than one aim, and the aim of others may be impossible to discern. Moreover, to the extent the dissent’s purpose-driven approach depends on its characterization of § 901(b)’s aims as substantive, it would apply to many state rules ostensibly addressed to procedure. Pleading standards, for example, often embody policy preferences about the types of claims that should succeed—as do rules governing summary judgment, pretrial discovery, and the admissibility of certain evidence. Hard cases will abound. It is not even clear that a state supreme court’s pronouncement of the law’s purpose would settle the issue, since existence of the factual predicate for avoiding federal pre-emption is ultimately a federal question. Predictably, federal judges would be condemned to poring through state legislative history—which may be less easily obtained, less thorough, and less familiar than its federal counterpart * * *.

But while the dissent does indeed artificially narrow the scope of § 901(b) by finding that it pursues only substantive policies, that is not the central difficulty of the dissent’s position. The central difficulty is that even artificial narrowing cannot render § 901(b) compatible with Rule 23. *Whatever* the policies they pursue, they flatly contradict each other. * * * Rule 23 unambiguously authorizes *any* plaintiff, in *any* federal civil proceeding, to maintain a class action if the Rule’s prerequisites are met.

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We cannot contort its text, even to avert a collision with state law that might render it invalid. * * * ⁸ What the dissent’s approach achieves is not the avoiding of a “conflict between Rule 23 and § 901(b),” * * * but rather the invalidation of Rule 23 * * * to the extent that it conflicts with the substantive policies of § 901. There is no other way to reach the dissent’s destination. We must therefore confront head-on whether Rule 23 falls within the statutory authorization.

B

* * *

We have long held that [the limitations in the Rules Enabling Act] means that the Rule must “really regulat[e] procedure,—the judicial process for enforcing rights and duties recognized by substantive law and for justly administering remedy and redress for disregard or infraction of them,” *Sibbach* * * *. The test is not whether the rule affects a litigant’s substantive rights; most procedural rules do. * * * What matters is what the rule itself regulates: If it governs only “the manner and the means” by which the litigants’ rights are “enforced,” it is valid; if it alters “the rules of decision by which [the] court will adjudicate [those] rights,” it is not. * * *

Applying that test, we have rejected every statutory challenge to a Federal Rule that has come before us. * * * Each of these rules [for example, the service of process rule in *Hanna*, p. 468, *supra*] had some practical effect on the parties’ rights, but each undeniably regulated only the process for enforcing those rights; none altered the rights themselves, the available remedies, or the rules of decision by which the court adjudicated either.

Applying that criterion, we think it obvious that rules allowing multiple claims (and claims by or against multiple parties) to be litigated together are also valid. * * * Such rules neither change plaintiffs’ separate entitlements to relief nor abridge defendants’ rights; they alter only how the claims are processed. For the same reason, Rule 23—at least insofar as it allows willing plaintiffs to join their separate claims against the same defendants in a class action—falls within § 2072(b)’s authorization. A class action, no less than traditional joinder (of which it is a species), merely enables a federal court to adjudicate claims of multiple parties at once, instead of in separate suits. And like traditional joinder, it leaves the parties’ legal rights and duties intact and the rules of decision unchanged.

Allstate contends that the authorization of class actions is not substantively neutral: Allowing Shady Grove to sue on behalf of a class “transform[s] [the] dispute over a five *hundred* dollar penalty into a dispute over a five *million* dollar penalty.” * * * Allstate’s aggregate liability,

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however, does not depend on whether the suit proceeds as a class action. Each of the 1,000-plus members of the putative class could (as Allstate acknowledges) bring a freestanding suit asserting his individual claim. It is undoubtedly true that some plaintiffs who would not bring individual suits for the relatively small sums involved will choose to join a class action. That has no bearing, however, on Allstate’s or the plaintiffs’ legal rights. The likelihood that some (even many) plaintiffs will be induced to sue by the availability of a class action is just the sort of “incidental effec[t]” we have long held does not violate § 2072(b) * * *.

Allstate argues that Rule 23 violates § 2072(b) because the state law it displaces, § 901(b), creates a right that the Federal Rule abridges—namely, a “substantive right . . . not to be subjected to aggregated class-action liability” in a single suit. * * * To begin with, we doubt that that is so. Nothing in the text of § 901(b) (which is to be found in New York’s procedural code) confines it to claims under

New York law; and of course New York has no power to alter substantive rights and duties created by other sovereigns. * * * As a fallback argument, Allstate argues that even if § 901(b) is a procedural provision, it was enacted “*for substantive reasons*,” * * * (emphasis added).” * * *

The fundamental difficulty with both these arguments is that the substantive nature of New York’s law, or its substantive purpose, *makes no difference*. A Federal Rule of Procedure is not valid in some jurisdictions and invalid in others—or valid in some cases and invalid in others—depending upon whether its effect is to frustrate a state substantive law (or a state procedural law enacted for substantive purposes). * * * [*Sibbach* and] *Hanna* unmistakably expressed the same understanding that compliance of a Federal Rule with the Enabling Act is to be assessed by consulting the Rule itself, and not its effects in individual applications * * *.

In sum, it is not the substantive or procedural nature or purpose of the affected state law that matters, but the substantive or procedural nature of the Federal Rule. * * * [T]he validity of a Federal Rule depends entirely upon whether it regulates procedure. * * * If it does, it is authorized by § 2072 and is valid in all jurisdictions, with respect to all claims, regardless of its incidental effect upon state-created rights.

C

A few words in response to the concurrence. * * * The concurrence agrees with us that Rule 23 and § 901(b) conflict * * * and departs from us only with respect to the second part of the test, *i.e.*, whether application of the Federal Rule violates § 2072(b) * * *. Like us, it answers no, but for a reason different from ours. * * *

The concurrence would decide this case on the basis, not that Rule 23 is procedural, but that the state law it displaces is procedural, in the sense

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that it does not “function as a part of the State’s definition of substantive rights and remedies.” * * * A state procedural rule is not preempted, according to the concurrence, so long as it is “so bound up with,” or “sufficiently intertwined with,” a substantive state-law right or remedy “that it defines the scope of that substantive right or remedy” * * *.

This analysis squarely conflicts with *Sibbach*, which established the rule we apply. The concurrence contends that *Sibbach* did not rule out its approach, but that is not so. Recognizing the impracticability of a test that turns on the idiosyncrasies of state law, *Sibbach* adopted and applied a rule with a single criterion: whether the Federal Rule “really regulates procedure.” * * * [T]hat rule leaves no room for special exemptions based on the function or purpose of a particular state rule. * * *

In reality, the concurrence seeks not to apply *Sibbach*, but to overrule it (or, what is the same, to rewrite it). Its approach, the concurrence insists, gives short shrift to the statutory text forbidding the Federal Rules from “abridg[ing], enlarg[ing], or modify[ing] any substantive right” * * *. * * * There is something to that. It is possible to understand how it can be determined whether a Federal Rule “enlarges” substantive rights without consulting State law: If the Rule creates a substantive right, even one that duplicates some state-created rights, it establishes a new *federal* right. But it is hard to understand how it can be determined whether a Federal Rule “abridges” or “modifies” substantive rights without knowing what state-created rights would obtain if the Federal Rule did not exist. *Sibbach*’s exclusive focus on the challenged Federal Rule—driven by the very real concern that Federal Rules which vary from State to State would be chaos * * *—is hard to square with § 2072(b)’s terms.¹¹

Sibbach has been settled law, however, for nearly seven decades. * * * In all events, Allstate has not even asked us to overrule *Sibbach*, let alone carried its burden of persuading us to do so. * * * Why we should cast aside our decades-old decision escapes us, especially since (as the concurrence explains) that would not affect the result.¹³

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The concurrence also contends that applying *Sibbach* and assessing whether a Federal Rule regulates substance or procedure is not always easy. * * * Undoubtedly some hard cases will arise (though we have managed to muddle through well enough in the 69 years since *Sibbach* was decided). But as the concurrence acknowledges, * * * the basic difficulty is unavoidable: The statute itself refers to “substantive right[s]” * * * so there is no escaping the substance-procedure distinction. What is more, the concurrence’s approach does nothing to diminish the difficulty, but rather magnifies it many times over. * * * At the end of the day, one must come face to face with the decision whether or not the state policy (with which a putatively procedural state rule may be “bound up”) pertains to a “substantive right or remedy,” * * *—that is, whether it is substance or procedure. The more one explores the alternatives to *Sibbach*’s rule, the more its wisdom becomes apparent.

D

We must acknowledge the reality that keeping the federal-court door open to class actions that cannot proceed in state court will produce forum shopping. That is unacceptable when it comes as the consequence of judge-made rules created to fill supposed “gaps” in positive federal law. * * * But divergence from state law, with the attendant consequence of forum shopping, is the inevitable (indeed, one might say the intended) result of a uniform system of federal procedure. Congress itself has created the possibility that the same case may follow a different course if filed in federal instead of state court. * * * The short of the matter is that a Federal Rule governing procedure is valid whether or not it alters the outcome of the case in a way that induces forum shopping. To hold otherwise would be to “disembowel either the Constitution’s grant of power over federal procedure” or Congress’s exercise of it. * * * [*Hanna*].

* * *

JUSTICE STEVENS, concurring in part and concurring in the judgment.

The New York law at issue * * * is a procedural rule that is not part of New York’s substantive law. Accordingly, I agree with Justice SCALIA that [the] Federal Rule * * * must apply in this case and join Parts I and II-A of the Court’s opinion. But I also agree with Justice GINSBURG that there are some state procedural rules that federal courts must apply in diversity cases because they function as a part of the State’s definition of substantive rights and remedies.

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* * *

* * * When a federal rule appears to abridge, enlarge, or modify a substantive right, federal courts must consider whether the rule can reasonably be interpreted to avoid that impermissible result. * * * And when such a “saving” construction is not possible and the rule would violate the Enabling Act, federal courts cannot apply the rule. * * * A federal rule, therefore, cannot govern a particular case in which the rule would displace a state law that is procedural in the ordinary use of the term but is so intertwined with a state right or remedy that it functions to define the scope of the state-created right. And absent a governing federal rule, a federal court must engage in the traditional Rules of Decision Act inquiry, under the *Erie* line of cases. * * *

Justice SCALIA believes that the sole Enabling Act question is whether the federal rule “really regulates procedure,” * * * which means, apparently, whether it regulates “the manner and the means by which the litigants’ rights are enforced,” * * *. I respectfully disagree. This interpretation of the Enabling Act is consonant with the Act’s first limitation to “general rules of practice and procedure” * * *. But it ignores the second limitation that such rules also “not abridge, enlarge or modify *any* substantive right” * * *,⁸ and in so doing ignores the balance that Congress struck between uniform rules of federal procedure and respect for a State’s construction of its own rights and remedies. * * *

Although the plurality appears to agree with much of my interpretation of § 2072 * * *, it nonetheless rejects that approach for two reasons, both of which are mistaken. First, Justice SCALIA worries that if federal courts inquire into the effect of federal rules on state law, it will enmesh federal courts in difficult determinations about whether application of a given rule would displace a state determination about substantive rights. * * * I do not see why an Enabling Act inquiry that looks to state law necessarily is more taxing than Justice SCALIA’s. But in any event, that inquiry is what the Enabling Act requires * * *. * * * Although, Justice SCALIA may generally prefer easily administrable, bright-line rules, his preference does not give us license to adopt a second-best interpretation of the Rules Enabling Act. * * *

Second, the plurality argues that its interpretation of the Enabling Act is dictated by this Court’s decision in *Sibbach*, which applied a Federal Rule about when parties must submit to medical examinations. But the

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plurality misreads that opinion. * * * The petitioner raised only the facial question whether “Rules 35 and 37 [of the Federal Rules] are . . . within the mandate of Congress to this court” and not the specific question of “the obligation of federal courts to apply the substantive law of a state.” * * * The Court, therefore, had no occasion to consider whether the particular application of the Federal Rules in question would offend the Enabling Act.

Nor, in *Sibbach*, was any further analysis necessary to the resolution of the case because the matter at issue, requiring medical exams for litigants, did not pertain to “substantive rights” under the Enabling Act. Although most state rules bearing on the litigation process are adopted for some policy reason, few seemingly “procedural” rules define the scope of a substantive right or remedy. The matter at issue in *Sibbach* reflected competing federal and state judgments about privacy interests. Those privacy concerns may have been weighty and in some sense substantive; but they did not pertain to the scope of any state right or remedy at issue in the litigation. * * *

Notwithstanding the plain language of Rule 23, I understand the dissent to find that Rule 23 does *not* govern the question of class certification in this matter because New York has made a substantive judgment that such a class should not be certified, as a means of proscribing damages. * * *

* * * The dissent would apply the Rules of Decision Act inquiry under *Erie* even to cases in which there is a governing federal rule, and thus the Act, by its own terms, does not apply. * * * [This] approach would, in my view, work an end run around Congress’ system of uniform federal rules * * * and our decision in *Hanna*. * * * If my dissenting colleagues feel strongly that § 901(b) is substantive and that class certification should be denied, then they should argue within the Enabling Act’s framework. Otherwise, “the Federal Rule applies regardless of contrary state law.” * * *

In my view, * * * the bar for finding an Enabling Act problem is a high one. The mere fact that a state law is designed as a procedural rule suggests it reflects a judgment about how state courts ought to operate and not a judgment about the scope of state-created rights and remedies. And for the purposes of operating a federal court system, there are costs involved in attempting to discover the true nature of a state procedural rule and allowing such a rule to operate alongside a federal rule that appears to govern the same question. The mere possibility that a federal rule would alter a state-created right is not sufficient. * * *

The text of CPLR § 901(b) expressly and unambiguously applies not only to claims based on New York law but also to claims based

on federal law or the law of any other State. And there is no interpretation from New York courts to the contrary. It is therefore hard to see how § 901(b) could be understood as a rule that, though procedural in form, serves the function

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of defining New York’s rights or remedies. This is all the more apparent because lawsuits under New York law could be joined in federal class actions well before New York passed § 901(b) in 1975, and New York had done nothing to prevent that. * * *

The legislative history, moreover, does not clearly describe a judgment that § 901(b) would operate as a limitation on New York’s statutory damages. In evaluating that legislative history, it is necessary to distinguish between procedural rules adopted for *some* policy reason and seemingly procedural rules that are intimately bound up in the scope of a substantive right or remedy. * * * New York clearly crafted § 901(b) with the intent that only certain lawsuits—those for which there were not statutory penalties—could be joined in class actions in New York courts. That decision reflects a policy judgment about which lawsuits should proceed in New York courts in a class form and which should not. * * *

The difference of degree is relevant to the forum shopping considerations that are part of the Rules of Decision Act or *Erie* inquiry. If the applicable federal rule did not govern the particular question at issue (or could be fairly read not to do so), then those considerations would matter, for precisely the reasons given by the dissent. * * * But that is not *this* case. * * *

* * * Although one can argue that class certification would enlarge New York’s “limited” damages remedy, * * * such arguments rest on extensive speculation about what the New York Legislature had in mind when it created § 901(b). * * * In order to displace a federal rule, there must be more than just a possibility that the state rule is different than it appears.

Accordingly, I concur in part and concur in the judgment.

JUSTICE GINSBURG, with whom JUSTICE KENNEDY, JUSTICE BREYER, and JUSTICE ALITO join, dissenting.

The Court today approves Shady Grove’s attempt to transform a \$500 case into a \$5,000,000 award, although the State creating the right to recover has proscribed this alchemy. * * *

The Court reads Rule 23 relentlessly to override New York’s restriction on the availability of statutory damages. Our decisions, however, caution us to ask, before undermining state legislation: Is this conflict really necessary? * * * Had the Court engaged in that inquiry, it would not have read Rule 23 to collide with New York’s legitimate interest in keeping certain monetary awards reasonably bounded. I would continue to interpret Federal Rules with awareness of, and sensitivity to, important state regulatory policies. * * *

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I

* * *

Our decisions instruct over and over again that, in the adjudication of diversity cases, state interests—whether advanced in a statute, * * * or a procedural rule * * *—warrant our respectful consideration. Yet today, the Court gives no quarter to New York’s limitation on statutory damages and requires the lower courts to thwart the regulatory policy at stake: To prevent excessive damages, New York’s law controls the penalty to which a defendant may be exposed in a single suit. * * *

The Court, I am convinced, finds conflict where none is necessary. * * * Rule 23 prescribes the considerations relevant to class certification and postcertification proceedings—but it does not command that a particular remedy be available when a party sues in a representative capacity. * * * Section 901(b), in contrast, trains on that latter issue. Sensibly read, Rule 23 governs procedural aspects of class litigation, but allows state law to control the size of a monetary award a class plaintiff may pursue.

* * * Rule 23 describes a method of enforcing a claim for relief, while § 901(b) defines the dimensions of the claim itself. In this regard, it is immaterial that § 901(b) bars statutory penalties in wholesale, rather than retail, fashion. The New York Legislature could have embedded the limitation in every provision creating a cause of action for which a penalty is authorized; § 901(b) operates as shorthand to the same effect. * * *

The Court single-mindedly focuses on whether a suit “may” or “may not” be maintained as a class action. * * * Putting the question that way, the Court does not home in on the reason *why*. Rule 23 authorizes class treatment for suits satisfying its prerequisites because the class mechanism generally affords a fair and efficient way to aggregate claims for adjudication. Section 901(b) responds to an entirely different concern; it does not allow class members to recover statutory damages because the New York Legislature considered the result of adjudicating such claims *en masse* to be exorbitant. * * * The fair and efficient *conduct* of class litigation is the legitimate concern of Rule 23; the *remedy* for an infraction of state law, however, is the legitimate concern of the State’s lawmakers and not of the federal rulemakers. * * *

* * * The Court suggests that the analysis might differ if the statute “limit[ed] the remedies available in an existing class action,” * * * such that Rule 23 might not conflict with a state statute prescribing that “no more than \$1,000,000 may be recovered in a class action.” There is no real difference in the purpose and intended effect of these two hypothetical statutes. The notion that one directly impinges on Rule 23’s domain, while the other does not, fundamentally misperceives the office of Rule 23. * * *

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II

*** I would decide this case by inquiring “whether application of the [state] rule would have so important an effect upon the fortunes of one or both of the litigants that failure to [apply] it would be likely to cause a plaintiff to choose the federal court.” *Hanna* ***.

Seeking to pretermite that inquiry, Shady Grove urges that the class-action bar in § 901(b) must be regarded as “procedural” because it is contained in the CPLR, which “govern[s] the *procedure* in civil judicial proceedings *in all courts of the state*.” *** Placement in the CPLR is hardly dispositive. The provision held “substantive” for *Erie* purposes in *Gasperini* is also contained in the CPLR ***, as are limitations periods, *** prescriptions plainly “substantive” for *Erie* purposes however they may be characterized for other purposes ***.

*** Shady Grove’s effort to characterize § 901(b) as simply “procedural” cannot successfully elide this fundamental norm: When no federal law or rule is dispositive of an issue, and a state statute is outcome affective in the sense our cases on *Erie* (pre and post-*Hanna*) develop, the Rules of Decision Act commands application of the State’s law in diversity suits. *** As the plurality acknowledges, *** forum shopping will undoubtedly result if a plaintiff need only file in federal instead of state court to seek a massive monetary award explicitly barred by state law. ***

III

The Court’s erosion of *Erie*’s federalism grounding impels me to point out the large irony in today’s judgment. Shady Grove is able to pursue its claim in federal court only by virtue of the recent enactment of the Class Action Fairness Act of 2005 (CAFA) ***. In CAFA, Congress opened federal-court doors to state-law-based class actions so long as there is minimal diversity, at least 100 class members, and at least \$5,000,000 in controversy. *** By providing a federal forum, Congress sought to check what it considered to be the overreadiness of some state courts to certify class actions. *** In other words, Congress envisioned fewer—not more—class actions overall. Congress surely never anticipated that CAFA would make federal courts a mecca for suits of the kind Shady Grove has launched: *** claims that would be barred from class treatment in the State’s own courts. ***

NOTES AND QUESTIONS

1. In the absence of a majority opinion, does Justice Scalia’s plurality or Justice Stevens’ concurrence state the rule that federal courts should apply in determining when a state rule is displaced by a Federal Rule? Why? See p. 158,

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Note 1, *supra*. The Eleventh Circuit, in *Lisk v. Lumber One Wood Preserving, LLC*, 792 F.3d 1331 (11th Cir. 2015), held it was not necessary to choose between Justice Scalia’s and Justice Stevens’ opinions: “Regardless of which *Shady Grove* opinion is binding, the *holding* is binding.” *Id.* at 1335. That holding “controls our case” because “[t]here is no relevant, meaningful distinction between a statutorily created penalty of the kind at issue in *Shady Grove*, on the one hand, and a statutorily created claim for deceptive practices of the kind at issue here.” *Id.* Accordingly, it held that Federal Rule 23 did not alter rights under the Alabama Deceptive Trade Practices Act (ADTPA), and so Alabama’s bar on private ADTPA class actions was inapplicable in federal court.

- 2.How does the plurality’s approach to the validity of a Federal Rule under 28 U.S.C. § 2072 differ from that of the concurrence?
- 3.In what respect does Justice Stevens’ concurrence differ from the dissenting opinion authored by Justice Ginsburg? Are you persuaded by the dissent’s position that Rule 23 does not conflict with the New York rule? What is the argument?
- 4.Justice Ginsburg’s dissent relied extensively on the legislative history to the New York rule. In ascertaining the meaning and purpose of a state rule, is a court sitting in diversity obliged to follow the state’s approach to interpreting legislative history, or can it use a different federal approach? Does either the Rules of Decision Act or the Rules Enabling Act speak to this question? See pp. 521–522, *infra*.
- 5.Would the result in *Shady Grove* have been different if the New York legislature had stated explicitly that CPLR § 901(b) was substantive? In 2016, following the Eleventh Circuit’s *Lisk* decision, *supra*, Note 1, the Alabama legislature enacted a statute stating that its ban on class actions seeking remedies under the ADTPA “is a substantive limitation” and that “allowing a consumer or other person to bring a class action or other representative action for a violation of this chapter would abridge, enlarge, or modify the substantive rights created by this chapter.” Ala. Code § 8–19–10(f). Federal courts in Alabama have found that this language did not change the Eleventh Circuit’s conclusion in *Lisk*. See, e.g., *Jones v. Coty Inc.*, 362 F.Supp.3d 1182, 1198–1200 & nn.10–11 (S.D.Ala. 2018) (“Whether the Alabama legislature chooses to label something a ‘substantive right’ is certainly not dispositive of, and perhaps not even relevant to, *** whether a substantive right actually is at stake for Rules Enabling Act purposes.”). See also Hershkoff, *Shady Grove: Duck-Rabbits, Clear Statements, and Federalism*, 74 Alb.L.Rev. 1703 (2011) (discussing but criticizing the possibility of using “a clear statement rule to determine whether a state law is substantive or procedural for purposes of the Rules of Enabling Act”).

Even after *Shady Grove*, however, some federal courts have found state-law class-action bans to be binding in federal court. See, e.g., *Fejzulai v. Sam’s West, Inc.*, 205 F.Supp.3d 723, 729 (D.S.C. 2016) (holding that a class prohibition that “is *part of the same sentence* that conveys the substantive

right” under the South Carolina Unfair Trade Practices Act (SCUTPA) is binding in federal court, because “the seed from which Plaintiffs’ SCUTPA cause of action must germinate simply does not contain the requisite DNA to grow into a class action claim”).

6. *Shady Grove* continues to generate division among the lower federal courts, especially in cases involving rules that are not neatly categorized as procedural or substantive. Compare *Scottsdale Insurance Co. v. Tolliver*, 636 F.3d 1273 (10th Cir. 2011) (holding that the Oklahoma statute providing for recovery of costs and fees after offer of judgment was substantive and not preempted by Federal Rule 68 which does not provide for attorney’s fees to prevailing defendant), with *Goldberg v. Pacific Indemnification Co.*, 627 F.3d 752 (9th Cir. 2010) (holding that the Arizona statute providing for recovery costs and fees after offer of judgment was preempted by Federal Rule 68 barring defendants’ recovery of expert witness fees and double costs).

One particularly challenging issue has been the role of state “SLAPP” laws (Strategic Lawsuits Against Public Participation), which impose special rules for defamation and similar actions that can chill freedom of speech. See, e.g., Cal.Civ.Proc.Code § 425.16(a) (describing the purpose of California’s “anti-SLAPP” provisions as addressing “lawsuits brought primarily to chill the valid exercise of the constitutional rights of freedom of speech and petition for the redress of grievances”). Federal courts have had to address whether such state provisions conflict with the Federal Rules governing pleading (Rule 8), motions for sanctions (Rule 11), motions to dismiss (Rule 12), and motions for summary judgment (Rule 56). See, e.g., *Carbone v. Cable News Network, Inc.*, 910 F.3d 1345 (11th Cir. 2018) (“Under [the *Shady Grove*] framework, we cannot apply the dismissal provision of the Georgia anti-SLAPP statute. The question in dispute is whether Carbone’s complaint states a claim for relief supported by sufficient evidence to avoid pretrial dismissal. Taken together, Rules 8, 12, and 56 provide an answer.”); *Planned Parenthood Federation of America, Inc. v. Center for Medical Progress*, 890 F.3d 828, 834 (9th Cir.), amended, 897 F.3d 1224 (9th Cir. 2018) (interpreting California’s anti-SLAPP provisions to avoid a “stark collision of the state rules of procedure with the governing Federal Rules * * * while in a federal district court”); *CoreCivic Inc. v. Candide Grp. LLC*, 2021 WL 1267259 (N.D.Cal. 2021) (finding that the anti-SLAPP statute’s attorney’s fees provisions were binding in federal court, reasoning that there was no procedural conflict with Rule 11 because the statute created a substantive right to recover attorney’s fees under specified conditions).

B. THE PROBLEM OF ASCERTAINING STATE LAW

1.DETERMINING WHICH STATE’S LAW GOVERNS

In *Erie*, the parties and the courts appear to have assumed that if state law applied, Pennsylvania tort law would govern even though the action was heard in a federal court in New York. Why did they make this assumption? Was the federal court free to choose the most appropriate

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state law to govern the dispute? Or was it that New York’s choice-of-law rules pointed to an application of Pennsylvania law?

KLAXON CO. v. STENTOR ELECTRIC MFG. CO., 313 U.S. 487, 61 S.Ct. 1020, 85 L.Ed. 1477 (1941). The Supreme Court held that in order to promote the uniform application of substantive law within a state, federal courts must apply the conflicts-of-law rules of the states in which they sit. The Court explained:

* * * Whatever lack of uniformity this may produce between federal courts in different states is attributable to our federal system, which leaves to a state, within the limits permitted by the Constitution, the right to pursue local policies diverging from those of its neighbors. It is not for the federal courts to thwart such local policies by enforcing an independent “general law” of conflict of laws. * * * [T]he proper function of [a] federal court is to ascertain what the state law is, not what it ought to be.

Id. at 496–97, 61 S.Ct. at 1022, 85 L.Ed. at 1480–81.

NOTES AND QUESTIONS

1. The Supreme Court reaffirmed the *Klaxon* rule in *Day & Zimmermann, Inc. v. Challoner*, 423 U.S. 3, 96 S.Ct.167, 46 L.Ed.2d 3 (1975), underscoring that the diversity court “is not free to engraft onto * * * state [conflicts] rules exceptions or modifications which * * * have not commended themselves to the State in which the federal court sits.” Id. at 4, 96 S.Ct. at 168, 46 L.Ed.2d at 5. Is the *Klaxon* rule constitutionally compelled? Is it required by the Rules of Decision Act?

2.Could Congress enact a statute specifying choice-of-law rules for federal courts in diversity cases? In answering this question, remember that, although today every state contains at least one federal judicial district, there is no constitutional provision that compels this. What if Congress had established only regional courts? Under such a scheme, would Congress or the courts have been forced to establish their own choice-of-law rules?

3.In *ALLSTATE INSURANCE CO. v. HAGUE*, p. 106, Note 3, *supra*, the Supreme Court held that a state could apply its substantive law in a case, so long as the state had significant contacts or a significant aggregation of contacts with the parties and the transaction. Doesn’t *Hague* encourage plaintiffs to forum shop, with *Klaxon* sealing defendant’s fate even in federal court?

4.The Class Action Fairness Act (CAFA) of 2005 authorizes diversity jurisdiction over multistate disputes despite the absence of complete diversity of citizenship. See 28 U.S.C. § 1332(d). Should state or federal conflicts rules apply in class actions under the statute? See Nagareda, *Bootstrapping in*

Choice of Law After the Class Action Fairness Act, 74 UMKC L.Rev. 661, 684 (2006). If Congress intended to overrule *Klaxon*, how explicit did CAFA need to be? CAFA is discussed later in these materials, see p. 870, Note 4, *infra*.

5.In *FLINTKOTE COMPANY v. ACIA PLC*, 177 F.Supp.3d 1165, 1174 (N.D.Cal. 2016), an insurance contract’s choice-of-law provision stated that disputes were to be resolved “in accordance with applicable common law of the states of the United States.” The district court rejected the argument that this provision allowed it to rely on “generally applicable contract interpretation rules that apply to insurance policies,” because that would be inconsistent with *Erie*’s guidance that “there is no such thing as a ‘national common law.’ ” Instead, the court looked to *Klaxon* and the presumption that in a diversity case, the court will look first to the conflicts principles of the forum state. Under that test, the California choice-of-law rule applied, which required the application of California substantive law. Was this decision analytically sound? Was it wise?

2.ASCERTAINING THE STATE LAW

MASON v. AMERICAN EMERY WHEEL WORKS
United States Court of Appeals, First Circuit, 1957.
[241 F.2d 906.](#)

MAGRUDER, CHIEF JUDGE. Whit Mason, a citizen of Mississippi, filed his complaint in the United States District Court for the District of Rhode Island against The American Emery Wheel Works, a Rhode Island corporation. The case was one in tort for personal injuries alleged to have been suffered by the plaintiff in Mississippi as a result of negligent misfeasance by the defendant in putting out in commerce without adequate care and inspection, a dangerously defective emery wheel. According to the allegations of the complaint, at some time prior to the date of the accident defendant negligently manufactured, inspected and tested a certain emery wheel designed for attachment to a bench grinder; that due to such negligence the emery wheel was not reasonably fit for the use for which it was intended, but on the contrary subjected to a risk of personal injury all persons lawfully using a bench grinder with the emery wheel attached * * *.

* * *

* * * Plaintiff’s evidence tended to show that a certain emery wheel * * * was purchased by the Hoover Company, a New Jersey corporation, from the defendant for attachment to a bench grinding machine made by the Hoover Company; that the Hoover Company affixed to the said bench grinding machine, with emery wheel attached, a label indicating that the bench grinder had been manufactured by Miller Falls Company, a Massachusetts corporation; that said bench grinder * * * was successively sold by the Hoover Company to Miller Falls Company, by the latter to

Komp Equipment Company, and finally by Komp Equipment Company to T.H. Pearce Company, the plaintiff’s employer; * * * that while plaintiff was using it in the ordinary and proper manner the emery wheel disintegrated and exploded in plaintiff’s face, causing the injuries complained of.

At the conclusion of the plaintiff’s case defendant made an oral motion to dismiss the complaint under Rule 41(b) * * *. This motion to dismiss was granted * * * and an order was entered dismissing the complaint, from which the present appeal was taken.

Since the injury was inflicted in Mississippi, the district court, no doubt correctly under now familiar authorities, deemed itself to be obliged to apply the Mississippi local law to determine the tort liability, if any, of a manufacturer to one not in privity of contract with him. * * * The district court came to the conclusion “reluctantly” that it was bound by the Mississippi law as declared in *Ford Motor Co. v. Myers*, 1928, 151 Miss. 73, 117 So. 362; that the “harsh rule” of Mississippi as so declared, “contrary to the great weight of authority” elsewhere, was that a manufacturer was not liable for negligence in the manufacture of appliances which could and would become highly dangerous when put to the uses for which they are intended, where there is no privity of contract between the user and the manufacturer.

Ford Motor Co. v. Myers, *supra*, was the only Mississippi case relied upon, or even referred to, by the district court. In that case the Supreme Court of Mississippi, in a half-page opinion, did in fact apply what was at one time the prevailing rule, in holding that Ford Motor Company as the manufacturer of a truck owed no duty of care to a remote subvendee of the truck who was injured when the truck collapsed and plunged into a ditch because of a defect which could have been detected by reasonable inspection by the manufacturer before the vehicle left the factory.

* * *

MacPherson v. Buick Motor Co., [217 N.Y. 382, 111 N.E. 1050 (1916)], * * * started a new trend in this particular field of the law, and its substantive result has found favor in § 395 of the * * * Restatement of Torts. If the Supreme Court of Mississippi had recently reconsidered the rule it applied in *Ford Motor Co. v. Myers*, *supra*, and had decided to adhere to it on the ground of *stare decisis*, no doubt the federal courts would have had to accept the local law as so declared. But it would be gratuitous and unwarranted to assume that the Supreme Court of Mississippi would now so hold, when we bear in mind the readiness of other courts, in conservative jurisdictions at that, to overrule their earlier holdings and to bring their jurisprudence into accord with what is now the overwhelming weight of authority. * * * In *Anderson v. Linton*, 7 Cir., 1949, 178 F.2d 304, the court of appeals declined to accept as the local law of Iowa what it narrowly

construed to be a dictum of the Supreme Court of Iowa enunciating the old ruling of nonliability * * *. * * *

Of course it is not necessary that a case be explicitly overruled in order to lose its persuasive force as an indication of what the law is. A decision may become so overloaded with illogical exceptions that by erosion of time it may lose its persuasive or binding force even in the inferior courts of the same jurisdiction. And where, as in *Ford Motor Co. v. Myers*, the Supreme Court of Mississippi, twenty or thirty years ago, applied an old rule which has since been generally discredited elsewhere, it is relevant to consider what the Supreme Court of Mississippi has subsequently said on the point. * * * We think that appellant herein rightly stresses the importance of *E.I. Du Pont De Nemours & Co. v. Ladner*, 1954, 221 Miss. 378, 73 So.2d 249. In that very recent case, the Supreme Court of Mississippi was able to dispose of the particular issue on another ground without the necessity of expressly overruling its earlier decision in *Ford Motor Co. v. Myers*. But the court did take occasion, in a long and careful opinion, to indicate its awareness of the modern trend in the area * * *. And it quoted, with apparent approval, many more recent authorities in support of the “modern doctrine.” * * * We think it is fair to infer from this latest expression by the Supreme Court of Mississippi that it is prepared to reconsider and revise the rule it applied in *Ford Motor Co. v. Myers* whenever it may have before it a case that squarely presents the issue. We have no doubt that when this occasion does come to pass, the Supreme Court of Mississippi will declare itself in agreement with the more enlightened and generally accepted modern doctrine.

A judgment will be entered vacating the order of the District Court, dismissing the complaint and remanding the case to the District Court for further proceedings not inconsistent with this opinion.

HARTIGAN, CIRCUIT JUDGE (concurring).

I concur in the opinion of the court but I am constrained to comment briefly. We were informed in oral argument by counsel for the appellee that the district court in deciding this case had before it both the *Ford* and the *Du Pont* decisions. Moreover, the district court knew from the official Mississippi report that the *MacPherson* case, then approximately twelve years old, had been considered and rejected by the Mississippi Supreme Court sitting in the *Ford* case. Therefore, “reluctantly” Judge Day adopted the *Ford* holding since it, as the only binding and conclusive statement of Mississippi law on the issue, had not been expressly modified or overruled. * * *

We, however, have inferred from pure dicta in the *Du Pont* case and from the status of the law elsewhere on this issue that Mississippi is prepared to discard the *Ford* rule and adopt the modern rule. I believe this is a sound inference since the dicta in the *Du Pont* case though not

expressly mentioning *Ford*, is sufficiently clear and the *Ford* rule is sufficiently outdated. Yet, in doing so I realize that we present a difficult problem for district judges when they must apply the *Erie* doctrine to situations wherein the considerations as between conflicting holdings and dicta are not as clearly defined as they are here. The question of how clear dicta must be to prevail over a prior controlling decision does not lend itself to easy solution.

NOTES AND QUESTIONS

1. The history of the privity rule in Mississippi following *Mason* is interesting. Relying heavily on Judge Magruder’s opinion, the Fifth Circuit held in *Grey v. Hayes-Sammons Chem. Co.*, 310 F.2d 291 (5th Cir. 1962), that under Mississippi law a lack of privity was not a bar to a claim by a Mississippi consumer against a manufacturer of a cotton spray. The Fifth Circuit reached similar conclusions in *Necaise v. Chrysler Corp.*, 335 F.2d 562 (5th Cir. 1964), and *Putman v. Erie City Mfg. Co.*, 338 F.2d 911 (5th Cir. 1964). Finally, the Mississippi Supreme Court, in *State Stove Mfg. Co. v. Hodges*, 189 So. 2d 113 (Miss.1966), cert. denied, 386 U.S. 912, 87 S.Ct. 860, 17 L.Ed.2d 784 (1967), reconsidered the privity question and overruled its decision in *Ford Motor Co. v. Myers*. In doing so, the court did not cite either the First Circuit’s decision in *Mason* or the series of decisions in the Fifth Circuit.

2. It seems fairly clear that when the state’s highest court has declared the state law in question, the federal court is required to follow it. Does that mean that the federal court is required to treat an established state rule as static, or may it consider lower court decisions and statutory developments to see if the rule is in flux? See *Bernhardt v. Polygraphic Co. of America*, 350 U.S. 198, 205, 76 S.Ct. 273, 277, 100 L.Ed. 199, 206 (1956). The general rule is that if the state’s highest court has not declared the meaning of the state law in question, “federal courts must act as ‘another court of the State’ and choose from a variety of sources, including high court dicta and lower court rulings” to interpret the law. *Kaye & Weissman, Interactive Judicial Federalism: Certified Questions in New York*, 69 *Fordham L.Rev.* 373, 376 (2000). This process is sometimes called making an “*Erie* guess,” by which the federal court “must select the rule that it believes the state’s highest court, from all that is known about its methods of reaching decisions and the authorities it tends to rely on, is likely to adopt sometime in the not too distant future.” 19 *Wright & Miller, Federal Practice and Procedure* § 4507 (3d ed.).

In *McKENNA v. ORTHO PHARMACEUTICAL CORP.*, 622 F.2d 657, 662 (3d Cir. 1980), cert. denied, 449 U.S. 976, 101 S.Ct. 387, 66 L.Ed.2d 237 (1980), the court of appeals emphasized that the federal court’s process of ascertaining state law is not one of “speculative * * * crystal-ball gazing,” but rather requires:

[A]n examination of all relevant sources of that state’s law in order to isolate those factors that would inform its decision. * * * In the absence of authority directly on point, decisions by that court in

analogous cases provide useful indications of the court’s probable disposition of a particular question of law. * * * Considered dicta by the state’s highest court may also provide a federal court with reliable indicia of how the state tribunal might rule on a particular question.

The difficulties of this process are illustrated by *POMERANTZ v. CLARK*, 101 F.Supp. 341, 345–46 (D.Mass. 1951), a diversity action by policy holders against directors of an insurance company to retrieve for the company certain sums allegedly improvidently and illegally loaned. Judge Wyzanski held that no action was maintainable under Massachusetts law and stated:

In considering whether * * * [to create] an exception to the Massachusetts rule that before bringing a derivative suit a member must first lay his case before the body of members, the never-to-be-forgotten caution is that this Court is not free to render such decision as seems to it equitable, just and in accordance with public policy and responsive to all those jurisprudential criteria which so often enter into what Justice Cardozo called ‘The Nature of the Judicial Process.’ A federal judge sitting in a diversity jurisdiction case has not a roving commission to do justice or to develop the law according to his, or what he believes to be the sounder, views. His problem is less philosophical and more psychological. His task is to divine the views of the state court judges. * * *

The eminence of the Massachusetts Supreme Judicial Court, an eminence not surpassed by any American tribunal, is in large measure due to its steadiness, learning and understanding of the durable values long prized in this community. Subtle variations and blurred lines are not characteristic of that court. Principles are announced and adhered to in broad magisterial terms. The emphasis is on precedent and adherence to the older ways, not on creating new causes of action or encouraging the use of novel judicial remedies that have sprung up in less conservative communities. Here abides the ancient faith in the right of men to choose their own associates, make their own arrangements, govern themselves and thus grow in responsibility without much in the way of either hindrance or help from the state. This basic philosophy permeates the Massachusetts rules governing derivative suits * * *.

See also *Nolan v. Transocean Air Lines*, 276 F.2d 280, 281 (2d Cir. 1960), in which Judge Friendly stated: “Our principal task, in this diversity of citizenship case, is to determine what the New York courts would think the California courts would think on an issue about which neither has thought.” Does this task require the federal courts to apply the principles of statutory interpretation of the relevant state? See Gluck, *Intersystemic Statutory Interpretation: Methodology as “Law” and the Erie Doctrine*, 120 Yale L.J. 1898 (2011).

3.If state law is unclear or unresolved, may the district court conclude “there is simply no law to apply,” and rule against the party with the burden

on that question? See Clark, *Ascertaining the Laws of the Several States: Positivism and Judicial Federalism After Erie*, 145 U.Pa.L.Rev. 1459, 1462 (1997). In this situation, would it be appropriate for a diversity court to decline to exercise jurisdiction? In *MEREDITH v. CITY OF WINTER HAVEN*, 320 U.S. 228, 234–35, 64 S.Ct. 7, 11, 88 L.Ed. 9, 13 (1943), Chief Justice Stone stated that unless “exceptional circumstances” are present, abstention “merely because the answers to the questions of state law are difficult or uncertain or have not yet been given by the highest court of the state, would thwart the purpose of the jurisdictional act.”

Later, in *LOUISIANA POWER & LIGHT CO. v. CITY OF THIBODAUX*, 360 U.S. 25, 29, 79 S.Ct. 1070, 1073, 3 L.Ed.2d 1058, 1062 (1959), the Supreme Court found such an exceptional circumstance in the “special nature of eminent domain,” allowing the district court to stay its proceeding to give the state tribunal an opportunity “to speak definitely” about a disputed state statute. Is it relevant that a decision to abstain results in the dismissal of the action, while a decision to stay the proceedings postpones the court’s exercise of diversity jurisdiction?

4. As an alternative to abstention, a district court may invoke a procedure called certification that allows it to petition a state court to answer an unresolved question of state law. In 1945, Florida became the first state to adopt such a procedure, and its use by the federal courts was endorsed by the Supreme Court in *CLAY v. SUN INSURANCE OFFICE LTD.*, 363 U.S. 207, 80 S.Ct. 1222, 4 L.Ed.2d 1170 (1960). The procedure now is available in 49 states, the District of Columbia, and Puerto Rico. See *Stahle v. CTS Corp.*, 817 F.3d 96, 113 (4th Cir. 2016) (“North Carolina remains the only state in the nation never to have enacted some form of certification procedure.”) (Thacker, J., concurring). Certification procedures vary; some high state courts accept questions only from the Supreme Court, while others also answer questions from the federal courts of appeal, federal district courts, and other state courts. See Winship, *Cooperative Interbranch Federalism: Certification of State-Law Questions by Federal Agencies*, 63 Vand.L.Rev. 181 (2010).

The Supreme Court appeared to express a preference for certification in *ARIZONANS FOR OFFICIAL ENGLISH v. ARIZONA*, 520 U.S. 43, 76, 117 S.Ct. 1055, 1073, 137 L.Ed.2d 170, 199 (1997), because the procedure was assumed to reduce costs and to ensure an “authoritative response” from the state. See Thomas-Jensen, *Certification after Arizonans for Official English v. Arizona: A Survey of Federal Appellate Courts’ Practices*, 87 Denv.U.L.Rev. 139 (2009). In *MCKESSON v. DOE*, 592 U.S. ___, 141 S.Ct. 48, 208 L.Ed.2d 158 (2020), the Supreme Court declined to decide whether a state-law tort claim against the organizer of a protest would violate the organizer’s First Amendment rights. Instead, it held in a per curiam opinion that the Fifth Circuit should have certified to the Louisiana Supreme Court two questions about whether such a tort claim was viable under state law: “the Fifth Circuit should not have ventured into so uncertain an area of tort law—one laden with value judgments and fraught with implications for First Amendment rights—

without first seeking guidance on potentially controlling Louisiana law from the Louisiana Supreme Court.” Id. at ___, 141 S.Ct. at 51, 208 L.Ed.2d at 162.

5.In *TUNICK v. SAFIR*, 228 F.3d 135 (2d Cir. 2000), a photographer challenged the locality’s refusal to grant him a permit to conduct a photo shoot of 75 to 100 nude models configured “in an abstract formation” on a residential street in New York City. Tunick claimed that his planned event

was exempt from a New York statute that bans public nudity except for “any person entertaining or performing in a play, exhibition, show or entertainment.” The Second Circuit petitioned New York’s highest court to resolve the scope of the public nudity ban, emphasizing the need for expedition given the important First Amendment rights at stake. The New York court declined to answer, explaining that “even with an expedited schedule for new briefing, argument and deliberation, this Court’s necessary decisional process would add some months to the life of this case.” 94 N.Y.2d 709, 711, 709 N.Y.S.2d 881, 883, 731 N.E.2d 597, 599 (2000). Would the New York court have been obliged to answer a certified question had it come from the Supreme Court?

6.A noted federal appellate judge has warned that when interpreting state law, “federal courts often get state law wrong because federal judges don’t know state law and are not the ultimate decisionmakers on it. Inevitably, this leads to considerable forum shopping of just the sort that *Erie* sought to avoid.” Calabresi, *Federal and State Courts: Restoring a Workable Balance*, 78 N.Y.U.L.Rev. 1293, 1300 (2003). He suggested that in this situation, the federal appeals court should write an opinion stating what it thinks “that law ought to be,” and then certify the question to the state’s highest court. The state court would be free to decline the certification, but the federal court could then claim “authority to impose” its view “provisionally, until the highest court of the state decides to resolve the question.” Id. at 1302. Does this approach solve the problem of delay discussed in Note 5, above?

Does the sometimes erroneous interpretation of state law by federal diversity courts provide an argument for abolishing diversity jurisdiction? See Sloviter, *A Federal Judge Views Diversity Jurisdiction Through the Lens of Federalism*, 78 Va.L.Rev. 1671, 1681–82, 1687 (1992). Or, does the risk of error argue for greater use of certification to enable state courts to interpret their own state’s laws? See Nash, *The Uneasy Case for Transjurisdictional Adjudication*, 94 Va.L.Rev. 1869 (2008).

7.In *FACTORS ETC., INC. v. PRO ARTS, INC.*, 652 F.2d 278 (2d Cir. 1981), cert. denied, 456 U.S. 927, 102 S.Ct. 1973, 72 L.Ed.2d 442 (1982), a federal court sitting in New York was required to apply Tennessee law to the question of whether Elvis Presley’s right of publicity survived his death. Tennessee state courts had not addressed that issue, but the Sixth Circuit (the circuit encompassing Tennessee) had decided a similar case. The Second Circuit held that the district court, in such a circumstance, should “defer to the views of the Sixth Circuit” with respect to Tennessee law. The court reasoned that the Sixth Circuit was more familiar with Tennessee law since it frequently was required to interpret Tennessee law.

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The dissent argued that there was no reason to follow the Sixth Circuit’s views when they were not derived from the laws or decisions of the state. Since the Sixth Circuit was only espousing what it considered the preferable common-law rule, its decision should be accorded no greater deference than that given to any circuit court’s views. The dissent also pointed out that, considering the physical size of the circuit and the relatively small number of diversity cases appealed to the court, the Sixth Circuit was unlikely to have any special familiarity with Tennessee law.

Which position do you think is correct? Or are both incorrect in that the relevant question is not what Tennessee’s law is, but, rather, what a federal court thinks a New York state court thinks Tennessee’s law is? By the time the district court heard the case on remand from the Second Circuit, a Tennessee court had addressed the issue. Accordingly, the district court applied the Tennessee court’s holding to the facts of the case. See 562 F.Supp. 304 (S.D.N.Y. 1983).

8.In *SALVE REGINA COLLEGE v. RUSSELL*, 499 U.S. 225, 111 S.Ct. 1217, 113 L.Ed.2d 190 (1991), the Court considered the weight a federal appeals court should give to a district court’s determination of state law when sitting in diversity, and held that the court of appeals should conduct de novo review, just as it does when questions of federal law are in dispute. Chief Justice Rehnquist authored a strong dissent in which Justice White and Justice Stevens joined:

Federal courts of appeals perform a different role when they decide questions of state law than they do when they decide questions of federal law. In the former case, these courts are not sources of law but only reflections of the jurisprudence of the courts of a State. While in deciding novel federal questions, courts of appeals are likely to ponder the policy implications as well as the decisional law, only the latter need be considered in deciding questions of state law.

Id. at 242, 111 S.Ct. at 1227, 113 L.Ed.2d at 205. Which approach best promotes the twin aims of *Erie*?

C. FEDERAL “COMMON LAW”

MELTZER, *STATE COURT FORFEITURES OF FEDERAL RIGHTS*, 99 Harv.L.Rev. 1128, 1167–71 (1986) (footnotes omitted):

Despite *Erie*’s declaration that “[t]here is no federal general common law,” courts have fashioned what Judge Friendly has termed “specialized federal common law” to govern a broad range of areas. Unlike the “spurious” federal common law of the era of *Swift v. Tyson*, this new federal common law is binding under the supremacy clause in the state courts.

The proper scope of federal common lawmaking is a matter of considerable uncertainty. If *Erie* held that federal court jurisdiction does not in itself provide the power to fashion common law, then some more

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specialized source must be found for each example of judicial lawmaking. The lawmaking power of federal courts has been viewed as far more limited than that of Congress, for two reasons extrapolated from the constitutional structure. The first is the idea of separation of powers and the supremacy (in matters not governed by the Constitution) of Congress. But perhaps more important is the view that federal law is and should be interstitial, operating against a background of existing bodies of state law. Restricted federal common lawmaking reduces the number of agencies broadly fashioning federal rules of decision, and preserves the primary role for Congress, in

which the interests of the states are more strongly represented—and in which inertia is more powerful. Hence, state law is presumptively operative, and if it is to be displaced, ordinarily it must be Congress that does so.

But these structural concerns do not indicate whether federal common law should be considered altogether illegitimate or simply restricted in scope. And important countervailing arguments support the existence of some common law power in the federal courts. Numerous cases raise issues implicating important federal interests that are not specifically governed by a statutory or constitutional rule. Congress could have enacted a rule governing the issue, but may not have done so, because it lacked time, foresight, or a political consensus. The Court has, accordingly, recognized that federal common law may be a “necessary expedient.” Nor does Congress’s failure to specify a view on a particular subject indicate that Congress preferred that state rules be followed. Here, as elsewhere, congressional inaction is hardly a clear-cut guide for determining congressional intent, and a failure by a court to make law is itself an important and controversial decision.

Thus, legislative inertia and the political safeguards of federalism are ultimately a double-edged sword. They help explain why the authority to make federal common law is nowhere near so broad as congressional authority to legislate, but also argue that federal common lawmaking may be necessary to fill in the interstices of congressional and constitutional mandates or otherwise to deal with matters of important national concern. Despite extensive discussion in the cases and commentary, no clear standard for judging the appropriateness of federal common law has emerged. * * * I wish * * * to stress some * * * general points that are, I believe, accepted by most cases and commentators.

To begin with, there must be a strong need for the formulation of federal common law in order to justify displacing otherwise operative state rules. Moreover, federal common law, perhaps even more than federal law generally, should be interstitial, building upon the total “corpus juris” of the states. Federal common law fits most easily when it supplements federal constitutional or statutory provisions, providing rules of decision that implement or safeguard the norms embodied in such provisions.

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Even where federal interests are implicated, it is often possible, and desirable, to rely upon extant state law for the rule of decision. Such reliance eliminates the need for (and possible difficulties in) fashioning a new rule from scratch, and also promotes intrastate uniformity, which may be of great value. Thus, the decision to formulate federal common law is one of judicial policy, in which a court must find that the advantages of borrowing state law are outweighed by either the need for national uniformity or the inconsistency of state law (either of states generally or of the particular state involved) with federal interests.

Regardless of how the balance is struck in particular cases, it is clear that there is a distinctive body of federal common law, and recognized and defensible authority for its creation. * * *

Federal common law has developed in several broad situations. For example, federal common law is used to resolve cases involving important federal interests. These strong federal interests have emerged in several contexts. When interstate disputes have erupted, federal common law has been adopted where it would be unfair to apply the statutes or decisional law from either state. See, e.g., *Hinderlider v. La Plata River & Cherry Creek Ditch Co.*, 304 U.S. 92, 58 S.Ct. 803, 82 L.Ed. 1202 (1938) (dispute over the apportionment of the water of an interstate stream).

Similarly, federal common law has become firmly established in the admiralty and maritime contexts because the desire for a uniform body of substantive law has long been considered of primary importance. See, e.g., *Kossick v. United Fruit Co.*, 365 U.S. 731, 81 S.Ct. 886, 6 L.Ed.2d 56 (1961). And, cases implicating the international relations of the United States have provided another occasion for resort to federal common law, including cases involving commercial disputes between United States citizens and foreign parties. See, e.g., *Banco Nacional de Cuba v. Sabbatino*, 376 U.S. 398, 84 S.Ct. 923, 11 L.Ed.2d 804 (1964). The Supreme Court has recently instructed, however, that “before federal judges may claim a new area for common lawmaking, strict conditions must be satisfied”; “one of the most basic” requirements is that, unless there is congressional authorization, federal common law “must be necessary to protect uniquely federal interests.” *Rodriguez v. FDIC*, 589 U.S. ___, ___, 140 S.Ct. 713, 717, 206 L.Ed.2d 62, 67 (2020).

Another important use of federal common law occurs in cases involving the legal activities of the United States. These cases often invoke issues concerning the federal government’s contract rights, rights to collect loans and proceeds due to it, or the management of United States bonds and securities.

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CLEARFIELD TRUST CO. v. UNITED STATES

Supreme Court of the United States, 1943.
[318 U.S. 363, 63 S.Ct. 573, 87 L.Ed. 838.](#)

Certiorari to the Circuit Court of Appeals for the Third Circuit.

JUSTICE DOUGLAS delivered the opinion of the Court.

[A check issued by the United States had been mailed, but was not received by its intended recipient. An unknown person, who presumably had stolen the check, cashed it at a J.C. Penney store by signing the name of the intended recipient. J.C. Penney in turn

endorsed the check to Clearfield Trust, which accepted it. Clearfield then endorsed the check with a guaranty of all prior endorsements, collected the amount of the check from the Federal Reserve and paid it to J.C. Penney. Neither Penney nor Clearfield had suspected forgery. Federal officials did not inform any of the interested parties of the forgery until eight months after they had learned that the intended recipient had not received the check.

The United States sued Clearfield on Clearfield’s express guaranty of prior endorsements. The district court held that the rights of the parties were to be determined by the law of Pennsylvania. Since the United States had unreasonably delayed giving notice of the forgery, it was barred from recovery under Pennsylvania law and the district court dismissed the complaint. The Court of Appeals for the Third Circuit reversed.]

* * *

We agree with the Circuit Court of Appeals that the rule of *Erie R. Co. v. Tompkins* * * * does not apply to this action. The rights and duties of the United States on commercial paper which it issues are governed by federal rather than local law. When the United States disburses its funds or pays its debts, it is exercising a constitutional function or power. This check was issued for services performed under the Federal Emergency Relief Act of 1935 * * *. The authority to issue the check had its origin in the Constitution and the statutes of the United States and was in no way dependent on the laws of Pennsylvania or of any other state. * * * The duties imposed upon the United States and the rights acquired by it as a result of the issuance find their roots in the same federal sources.¹⁹ * * * In absence of an applicable Act of Congress it is for the federal courts to fashion the governing rule of law according to their own standards. * * *

In our choice of the applicable federal rule we have occasionally selected state law. * * * But reasons which may make state law at times the appropriate federal rule are singularly inappropriate here. The

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issuance of commercial paper by the United States is on a vast scale and transactions in that paper from issuance to payment will commonly occur in several states. The application of state law, even without the conflict of laws rules of the forum, would subject the rights and duties of the United States to exceptional uncertainty. It would lead to great diversity in results by making identical transactions subject to the vagaries of the laws of the several states. The desirability of a uniform rule is plain. And while the federal law merchant developed for about a century under the regime of *Swift v. Tyson* * * * represented general commercial law rather than a choice of a federal rule designed to protect a federal right, it nevertheless stands as a convenient source of reference for fashioning federal rules applicable to these federal questions.

United States v. National Exchange Bank, 214 U.S. 302, 29 S.Ct. 665, 53 L.Ed. 1006 * * * falls in that category. The Court held that the United States could recover as drawee from one who presented for payment a pension check on which the name of the payee had been forged, in spite of a protracted delay on the part of the United States in giving notice of the forgery. * * *

The *National Exchange Bank* case went no further than to hold that prompt notice of the discovery of the forgery was not a condition precedent to suit. It did not reach the question whether lack of prompt notice might be a defense. We think it may. If it is shown that the drawee on learning of the forgery did not give prompt notice of it and that damage resulted, recovery by the drawee is barred. * * * The fact that the drawee is the United States and the laches those of its employees are not material. * * * The United States as drawee of commercial paper stands in no different light than any other drawee. As stated in *National Exchange Bank* * * *, “The United States does business on business terms.” It is not excepted from the general rules governing the rights and duties of drawees “by the largeness of its dealings and its having to employ agents to do what if done by a principal in person would leave no room for doubt.” * * * But the damage occasioned by the delay must be established and not left to conjecture. Cases * * * place the burden on the drawee of giving prompt notice of the forgery—injury to the defendant being presumed by the mere fact of delay. * * * But we do not think that he who accepts a forged signature of a payee deserves that preferred treatment. It is his neglect or error in accepting the forger’s signature which occasions the loss. * * * He should be allowed to shift that loss to the drawee only on a clear showing that the drawee’s delay in notifying him of the forgery caused him damage. * * * No such damage has been shown by Clearfield Trust Co. who so far as appears can still recover from J.C. Penney Co. * * * The inference is that the more prompt the notice the more likely the detection of the forger. But that falls short of a showing that the delay caused a manifest loss. * * * It is but another way of saying that mere delay is enough.

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Affirmed.

JUSTICE MURPHY and JUSTICE RUTLEDGE did not participate in the consideration or decision of this case.

NOTES AND QUESTIONS

- 1. Why doesn’t *Clearfield Trust* rely upon the Rules of Decision Act?
- 2.How does the federal common law rule recognized in *Clearfield Trust* differ from the regime of general common law under *Swift v. Tyson*? Is the former rule binding on the states but the latter rule is not? Is your answer constitutionally compelled?
- 3.In *UNITED STATES v. KIMBELL FOODS, INC.*, 440 U.S. 715, 99 S.Ct. 1448, 59 L.Ed.2d 711 (1979), the question was whether state or

federal law determined the government’s priority to collect on loans offered by the Small Business Administration (“SBA”) and the Farmers Home Administration (“FHA”). The Court embarked upon a two-step analysis. First, the Court interpreted *Clearfield Trust* broadly as permitting federal courts to develop federal law for “questions involving the rights of the United States arising under nationwide federal programs.” Thus, the Court held that “the priority of liens stemming from federal lending programs must be determined with reference to federal law” and that the “SBA and FHA unquestionably perform federal functions within the meaning of *Clearfield*.”

Having decided that federal law controlled, the Court turned to the second and more challenging task of determining the content of the federal law:

Controversies directly affecting the operations of federal programs, although governed by federal law, do not inevitably require resort to uniform federal rules. * * * Whether to adopt state law or to fashion a nationwide federal rule is a matter of judicial policy “dependent upon a variety of considerations always relevant to the nature of the specific governmental interests and to the effects upon them of applying state law.” * * *

Undoubtedly, federal programs that “by their nature are and must be uniform in character throughout the Nation” necessitate formulation of controlling federal rules. * * * Conversely, when there is little need for a nationally uniform body of law, state law may be incorporated as the federal rule of decision. Apart from considerations of uniformity, we must also determine whether application of state law would frustrate specific objectives of the federal programs. If so, we must fashion special rules solicitous of those federal interests. Finally, our choice of law inquiry must consider the extent to which application of a federal rule would disrupt commercial relationships predicated on state law. * * *

Id. at 727–29, 99 S.Ct. at 1458–59, 59 L.Ed.2d at 723–24. After weighing these factors with respect to priority rules for the SBA and FHA loans, the Court

held that there was no need for an independent federal rule. Thus, the Court chose to adopt the state rule as federal law rather than to develop a separate federal rule.

4. In *BANK OF AMERICA NATIONAL TRUST & SAVINGS ASSOCIATION v. PARNELL*, 352 U.S. 29, 77 S.Ct. 119, 1 L.Ed.2d 93 (1956), liability turned on whether defendants had taken bearer bonds, guaranteed by the United States, in good faith and without knowledge or notice of their defects in title. The Supreme Court declined to endorse a federal common law rule of liability:

Securities issued by the Government generate immediate interests of the Government. * * * But they also radiate interests in transactions between private parties. The present litigation is purely between private parties and does not touch the rights and duties of the United States. The only possible interest of the United States in a situation like the one here, exclusively involving the transfer of Government paper between private persons, is that the floating of securities of the United States might somehow or other be adversely affected by the local rule of a particular State regarding the liability of a converter. * * *

We do not mean to imply that litigation with respect to Government paper necessarily precludes the presence of a federal interest, to be governed by federal law, in all situations merely because it is a suit between private parties, or that it is beyond the range of federal legislation to deal comprehensively with Government paper. * * *

Id. at 33–34, 77 S.Ct. at 121, 1 L.Ed.2d at 96–97. Does *Parnell* suggest that the absence of the United States as a party forecloses the possibility of a federal common law rule of decision? In a dissenting opinion, Justice Black and Justice Douglas argued that a “federal law merchant” should apply to all transactions involving the commercial paper of the United States, even in disputes between private parties.

BOYLE V. UNITED TECHNOLOGIES CORP.

Supreme Court of the United States, 1988.
[487 U.S. 500, 108 S.Ct. 2510, 101 L.Ed.2d 442.](#)

Certiorari to the United States Court of Appeals for the Fourth Circuit.
JUSTICE SCALIA delivered the opinion of the Court.
This case requires us to decide when a contractor providing military equipment to the Federal Government can be held liable under state tort law for injury caused by a design defect.

I

On April 27, 1983, David A. Boyle, a United States Marine helicopter copilot, was killed when the CH-53D helicopter in which he was flying

crashed off the coast of Virginia Beach, Virginia, during a training exercise. Although Boyle survived the impact of the crash, he was unable to escape from the helicopter and drowned. Boyle’s father, petitioner here, brought this diversity action in Federal District Court against the Sikorsky Division of United Technologies Corporation (Sikorsky), which built the helicopter for the United States.

At trial, petitioner presented two theories of liability under Virginia tort law that were submitted to the jury. First, petitioner alleged

that Sikorsky had defectively repaired a device called the servo in the helicopter’s automatic flight control system, which allegedly malfunctioned and caused the crash. Second, petitioner alleged that Sikorsky had defectively designed the copilot’s emergency escape system: the escape hatch opened out instead of in (and was therefore ineffective in a submerged craft because of water pressure), and access to the escape hatch handle was obstructed by other equipment. The jury returned a general verdict in favor of petitioner and awarded him \$725,000. The District Court denied Sikorsky’s motion for judgment notwithstanding the verdict.

The Court of Appeals reversed and remanded with directions that judgment be entered for Sikorsky. 792 F.2d 413 (CA4 1986). It found, as a matter of Virginia law, that Boyle had failed to meet his burden of demonstrating that the repair work performed by Sikorsky, as opposed to work that had been done by the Navy, was responsible for the alleged malfunction of the flight control system. * * * It also found, as a matter of federal law, that Sikorsky could not be held liable for the allegedly defective design of the escape hatch because, on the evidence presented, it satisfied the requirements of the “military contractor defense,” which the court had recognized the same day in *Tozer v. LTV Corp.*, 792 F.2d 403 (CA4 1986). * * *

Petitioner sought review here, challenging the Court of Appeals’ decision on three levels: First, petitioner contends that there is no justification in federal law for shielding Government contractors from liability for design defects in military equipment. Second, he argues in the alternative that even if such a defense should exist, the Court of Appeals’ formulation of the conditions for its application is inappropriate. Finally, petitioner contends that the Court of Appeals erred in not remanding for a jury determination of whether the elements of the defense were met in this case. We granted certiorari * * *.

II

Petitioner’s broadest contention is that, in the absence of legislation specifically immunizing Government contractors from liability for design defects, there is no basis for judicial recognition of such a defense. We disagree. * * * [W]e have held that a few areas, involving “uniquely federal interests,” * * * are so committed by the Constitution and laws of the

United States to federal control that state law is pre-empted and replaced, where necessary, by federal law of a content prescribed (absent explicit statutory directive) by the courts—so-called “federal common law.” * * *

The dispute in the present case borders upon two areas that we have found to involve such “uniquely federal interests.” We have held that obligations to and rights of the United States under its contracts are governed exclusively by federal law. * * * The present case does not involve an obligation to the United States under its contract, but rather liability to third persons. That liability may be styled one in tort, but it arises out of performance of the contract—and traditionally has been regarded as sufficiently related to the contract that until 1962 Virginia would generally allow design defect suits only by the purchaser and those in privity with the seller. * * *

Another area that we have found to be of peculiarly federal concern, warranting the displacement of state law, is the civil liability of federal officials for actions taken in the course of their duty. We have held in many contexts that the scope of that liability is controlled by federal law. * * * The present case involves an independent contractor performing its obligation under a procurement contract, rather than an official performing his duty as a federal employee, but there is obviously implicated the same interest in getting the Government’s work done.

We think the reasons for considering these closely related areas to be of “uniquely federal” interest apply as well to the civil liabilities arising out of the performance of federal procurement contracts. * * *

Moreover, it is plain that the Federal Government’s interest in the procurement of equipment is implicated by suits such as the present one—even though the dispute is one between private parties. * * * The imposition of liability on Government contractors will directly affect the terms of Government contracts: either the contractor will decline to manufacture the design specified by the Government, or it will raise its price. Either way, the interests of the United States will be directly affected.

That the procurement of equipment by the United States is an area of uniquely federal interest does not, however, end the inquiry. That merely establishes a necessary, not a sufficient, condition for the displacement of state law. * * * Displacement will occur only where, as we have variously described, a “significant conflict” exists between an identifiable “federal policy or interest and the [operation] of state law,” * * * or the application of state law would “frustrate specific objectives” of federal legislation * * *.

* * * [I]t is easy to conceive of [a] * * * situation * * * in which the duty sought to be imposed on the contractor is not identical to one assumed under the contract, but is also not contrary to any assumed. If, for example, the United States contracts for the purchase and installation of an air

conditioning-unit, specifying the cooling capacity but not the precise manner of construction, a state law imposing upon the manufacturer of such units a duty of care to include a certain safety feature would not be a duty identical to anything promised the Government, but neither would it be contrary. The contractor could comply with both its contractual obligations and the state-prescribed duty of care. No one suggests that state law would generally be pre-empted in this context.

* * * Here the state-imposed duty of care that is the asserted basis of the contractor’s liability (specifically, the duty to equip helicopters with the sort of escape-hatch mechanism petitioner claims was necessary) is precisely contrary to the duty imposed by the Government contract (the duty to manufacture and deliver helicopters with the sort of escape-hatch mechanism shown by the

specifications). Even in this sort of situation, it would be unreasonable to say that there is always a “significant conflict” between the state law and a federal policy or interest. If, for example, a federal procurement officer orders, by model number, a quantity of stock helicopters that happen to be equipped with escape hatches opening outward, it is impossible to say that the Government has a significant interest in that particular feature. That would be scarcely more reasonable than saying that a private individual who orders such a craft by model number cannot sue for the manufacturer’s negligence because he got precisely what he ordered.

* * *

There is * * * a statutory provision that demonstrates the potential for, and suggests the outlines of, “significant conflict” between federal interests and state law in the context of Government procurement. In the [Federal Tort Claims Act], Congress authorized damages to be recovered against the United States for harm caused by the negligent or wrongful conduct of Government employees, to the extent that a private person would be liable under the law of the place where the conduct occurred. 28 U.S.C. § 1346(b). It excepted from this consent to suit, however,

“[a]ny claim . . . based upon the exercise or performance or the failure to exercise or perform a discretionary function or duty on the part of a federal agency or an employee of the Government, whether or not the discretion involved be abused.” 28 U.S.C. § 2680(a).ⁱ

We think that the selection of the appropriate design for military equipment to be used by our Armed Forces is assuredly a discretionary function within the meaning of this provision. It often involves not merely engineering analysis but judgment as to the balancing of many technical, military, and even social considerations, including specifically the trade-off

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between greater safety and greater combat effectiveness. And we are further of the view that permitting “second-guessing” of these judgments, * * * through state tort suits against contractors would produce the same effect sought to be avoided by the FTCA exemption. The financial burden of judgments against the contractors would ultimately be passed through, substantially if not totally, to the United States itself, since defense contractors will predictably raise their prices to cover, or to insure against, contingent liability for the Government-ordered designs. To put the point differently: It makes little sense to insulate the Government against financial liability for the judgment that a particular feature of military equipment is necessary when the Government produces the equipment itself, but not when it contracts for the production. In sum, we are of the view that state law which holds Government contractors liable for design defects in military equipment does in some circumstances present a “significant conflict” with federal policy and must be displaced. * * *

Accordingly the judgment is vacated and the case is remanded.

So ordered.

JUSTICE BRENNAN, with whom JUSTICE MARSHALL and JUSTICE BLACKMUN join, dissenting.

* * * We may assume, for purposes of this case, that Lt. Boyle was trapped under water and drowned because respondent United Technologies negligently designed the helicopter’s escape hatch. We may further assume that any competent engineer would have discovered and cured the defects, but that they inexplicably escaped respondent’s notice. Had respondent designed such a death trap for a commercial firm, Lt. Boyle’s family could sue under Virginia tort law and be compensated for his tragic and unnecessary death. But respondent designed the helicopter for the Federal Government, and that, the Court tells us today, makes all the difference: Respondent is immune from liability so long as it obtained approval of “reasonably precise specifications”—perhaps no more than a rubber stamp from a federal procurement officer who might or might not have noticed or cared about the defects, or even had the expertise to discover them.

If respondent’s immunity “bore the legitimacy of having been prescribed by the people’s elected representatives,” we would be duty bound to implement their will, whether or not we approved. * * * Congress, however, has remained silent—and conspicuously so, having resisted a sustained campaign by Government contractors to legislate for them some defense. * * * The Court—unelected and unaccountable to the people—has unabashedly stepped into the breach to legislate a rule denying Lt. Boyle’s family the compensation that state law assures them. This time the injustice is of this Court’s own making.

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Worse yet, the injustice will extend far beyond the facts of this case, for the Court’s newly discovered Government contractor defense is breathtakingly sweeping. It applies not only to military equipment like the CH-53D helicopter, but (so far as I can tell) to any made-to-order gadget that the Federal Government might purchase after previewing plans—from NASA’s Challenger space shuttle to the Postal Service’s old mail cars. The contractor may invoke the defense in suits brought not only by military personnel like Lt. Boyle, or Government employees, but by anyone injured by a Government contractor’s negligent design, including, for example, the children who might have died had respondent’s helicopter crashed on the beach. It applies even if the Government has not intentionally sacrificed safety for other interests like speed or efficiency, and, indeed, even if the equipment is not of a type that is typically considered dangerous; thus, the contractor who designs a Government building can invoke the defense when the elevator cable snaps or the walls collapse. And the defense is invocable regardless of how blatant or easily remedied the defect, so long as the contractor missed it and the specifications approved by the Government, however unreasonably dangerous, were “reasonably precise.” * * *

In my view, this Court lacks both authority and expertise to fashion such a rule, whether to protect the Treasury of the United States or the coffers of industry. Because I would leave that exercise of legislative power to Congress, where our Constitution places it, I would

reverse the Court of Appeals and reinstate petitioner’s jury award.

* * *

IV

At bottom, the Court’s analysis is premised on the proposition that any tort liability indirectly absorbed by the Government so burdens governmental functions as to compel us to act when Congress has not. That proposition is by no means uncontroversial. The tort system is premised on the assumption that the imposition of liability encourages actors to prevent any injury whose expected cost exceeds the cost of prevention. If the system is working as it should, Government contractors will design equipment to avoid certain injuries (like the deaths of soldiers or Government employees), which would be certain to burden the Government. The Court therefore has no basis for its assumption that tort liability will result in a net burden on the Government (let alone a clearly excessive net burden) rather than a net gain.

Perhaps tort liability is an inefficient means of ensuring the quality of design efforts, but “[w]hatever the merits of the policy” the Court wishes to implement, “its conversion into law is a proper subject for congressional action, not for any creative power of ours.” * * * If Congress shared the Court’s assumptions and conclusion it could readily enact “A BILL [t]o

place limitations on the civil liability of government contractors to ensure that such liability does not impede the ability of the United States to procure necessary goods and services,” H.R. 4765, 99th Cong., 2d Sess. (1986); see also S. 2441, 99th Cong., 2d Sess. (1986). It has not.

Were I a legislator, I would probably vote against any law absolving multibillion dollar private enterprises from answering for their tragic mistakes, at least if that law were justified by no more than the unsupported speculation that their liability might ultimately burden the United States Treasury. Some of my colleagues here would evidently vote otherwise (as they have here), but that should not matter here. We are judges not legislators, and the vote is not ours to cast.

I respectfully dissent.

JUSTICE STEVENS, dissenting.

When judges are asked to embark on a lawmaking venture, I believe they should carefully consider whether they, or a legislative body, are better equipped to perform the task at hand. There are instances of so-called interstitial lawmaking that inevitably become part of the judicial process. * * * But when we are asked to create an entirely new doctrine—to answer “questions of policy on which Congress has not spoken,” * * * we have a special duty to identify the proper decisionmaker before trying to make the proper decision.

When the novel question of policy involves a balancing of the conflicting interests in the efficient operation of a massive governmental program and the protection of the rights of the individual—whether in the social welfare context, the civil service context, or the military procurement context—I feel very deeply that we should defer to the expertise of the Congress. * * *

NOTES AND QUESTIONS

1. Can the Court’s decision in *Boyle* be reconciled with its rejection of a federal common law rule in *Parnell*, p. 531, Note 4, *supra*?
- 2.What is the justification for the contractor’s immunity? Is it to reduce fiscal costs that might be passed on to the United States? Is it to protect government decisions that affect the military? See Green & Matasar, *The Supreme Court and the Products Liability Crisis: Lessons from Boyle’s Government Contractor Defense*, 63 S.Calif.L.Rev. 637, 642 (1989–1990). Should a contractor’s immunity be extended to manufacturers who produce goods that the government purchases through the general commercial market? See Bellia, Jr., *State Courts and the Making of Federal Common Law*, 153 U.Pa.L.Rev. 825 (2005).
- 3.In 1979, Vietnam War veterans, their spouses, and their children filed a federal lawsuit in the Eastern District of New York alleging injury from

the veterans’ exposure to Agent Orange, a phenoxy herbicide that the military used in South East Asia. Defendants were private companies alleged to have designed, manufactured, or marketed the chemical. The lawsuit was consolidated for pretrial purposes with 600 similar cases filed nationwide. See Comment, *Procedural History of the Agent Orange Product Liability Litigation*, 52 Brooklyn L.Rev. 335 (1986). The trial court denied a motion to dismiss for lack of subject-matter jurisdiction, finding that plaintiffs’ claims arose under federal common law and so federal question jurisdiction was available. The Second Circuit reversed, finding no “identifiable” federal policy, and so no basis for fashioning a federal common law rule of decision. IN RE “AGENT ORANGE” PRODUCT LIABILITY LITIGATION, 506 F.Supp. 737, 741–42 (E.D.N.Y.1979), reversed, 635 F.2d 987, 995 (2d Cir. 1980), cert. denied, 454 U.S. 1128, 102 S.Ct. 980, 71 L.Ed.2d 116 (1981). After many years of litigation, including disputes as to whether *Klaxon*, p. 517, *supra*, foreclosed the federal court from applying a national conflicts rule, plaintiffs’ claims were dismissed under the government contractor defense announced in *Boyle*. See In re Agent Orange Product Liability Litigation, 517 F.3d 76 (2d Cir. 2008).

4.In *AMERICAN ELEC. POWER CO., INC. v. CONNECTICUT*, 564 U.S. 410, 131 S.Ct. 2527, 180 L.Ed.2d 435 (2011), the Court addressed whether plaintiffs, which included several States, New York City, and three private land trusts, could bring federal common law nuisance claims against four private power companies and the federal Tennessee Valley Authority for their excessive emission of carbon dioxide. Plaintiffs sought an

order setting emissions caps for each defendant. The Court acknowledged that environmental protection is within the national power and one in which the federal courts may devise federal rules of decision. However, the Court held that Congress had chosen to assert that power through the Clean Air Act’s establishment of the Environmental Protection Agency (EPA). The Court rejected the argument that “federal common law is not displaced until EPA actually exercises its regulatory authority, *i.e.*, until it sets standards governing emissions from the defendants’ plants.” *Id.* at 412, 131 S.Ct. at 2531, 180 L.Ed.2d at 441. In her opinion for the Court, Justice Ginsburg explained:

* * * [T]he relevant question for purposes of displacement is “whether the field has been occupied, not whether it has been occupied in a particular manner.” * * *

The Clean Air Act is no less an exercise of the legislature’s “considered judgment” concerning the regulation of air pollution because it permits emissions *until* EPA acts. * * * The critical point is that Congress delegated to EPA the decision whether and how to regulate carbon-dioxide emissions from power plants; the delegation is what displaces federal common law. Indeed, were EPA to decline to regulate carbon-dioxide emissions altogether at the conclusion of its ongoing * * * rulemaking, the federal courts would have no warrant to employ the federal common law of nuisance to upset the agency’s expert determination.

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EPA’s judgment, we hasten to add, would not escape judicial review. Federal courts * * * can review agency action (or a final rule declining to take action) to ensure compliance with the statute Congress enacted. * * *

Indeed, this prescribed order of decisionmaking—the first decider under the Act is the expert administrative agency, the second, federal judges—is yet another reason to resist setting emissions standards by judicial decree under federal tort law. * * *

Id. at 426, 131 S.Ct. at 2538–39, 180 L.Ed.2d at 448–49. Is it appropriate for an agency’s inaction to displace the federal judiciary’s common law power?

5.In *RODRIGUEZ v. FDIC*, 589 U.S. ___, 140 S.Ct. 713, 206 L.Ed.2d 62 (2020), the Supreme Court rejected the view that federal common law determined which of multiple affiliated corporate entities could claim a particular tax refund. Writing for a unanimous Court, Justice Gorsuch noted that “[j]udicial lawmaking in the form of federal common law plays a necessarily modest role under a Constitution that vests the federal government’s ‘legislative Powers’ in Congress and reserves most other regulatory authority to the States.” *Id.* at ___, 140 S.Ct. at 717, 206 L.Ed.2d at 66. Federal common law was proper when “necessary to protect uniquely federal interests,” *id.*, but no such interests were present with respect to this issue. Although “[t]he federal government may have an interest in regulating how it *receives* taxes from corporate groups,” it had no “unique interest” in determining how a particular tax refund would be “*distributed* among group members.” *Id.* at ___, 140 S.Ct. at 717–18, 206 L.Ed.2d at 67.

NOTE ON FEDERAL COMMON LAW PROCEDURE AND FEDERAL RULES OF PRECLUSION

Another area in which federal courts develop common law pertains to procedures that are internal to the courts themselves. The existence of this doctrine is somewhat anomalous. As Justice Amy Coney Barrett (then a law professor) observed:

With few exceptions, this body of law falls outside of the traditional definitions of federal common law. Procedural common law does not generally bind state courts; though developed without congressional authorization, it falls outside of the traditionally recognized enclaves of federal common law; and Congress’s ability to abrogate it is often called into question.

Barrett, *Procedural Common Law*, 94 Va.L.Rev. 813, 815 (2008). Examples of procedural common law include the doctrines of forum non conveniens, abstention, stare decisis, and res judicata. Likewise, the preclusive effect of a federal judgment, even when the judgment is rendered by a court sitting in diversity, is governed by a federal common law rule. See *SEMTEK INTERNATIONAL INC. v. LOCKHEED MARTIN CORP.*, 531 U.S. 497, 121 S.Ct. 1021, 149 L.Ed.2d 32 (2001), p. 1373, *infra*. In determining the content of the federal rule of preclusion, the federal court may choose to borrow a state

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rule. See Burbank, Semtek, *Forum Shopping, and Federal Common Law*, 77 Notre Dame L.Rev. 1027 (2002). Why is the creation of a federal common law rule of preclusion consistent with the Rules of Decision Act? See Degnan, *Federalized Res Judicata*, 85 Yale L.J. 741 (1976). Does the Rules Enabling Act delegate to the Court power to adopt a federal rule of preclusion?

D. FEDERAL LAW IN THE STATE COURTS

DICE V. AKRON, CANTON & YOUNGSTOWN R. CO.

Supreme Court of the United States, 1952.
[342 U.S. 359](#), [72 S.Ct. 312](#), [96 L.Ed. 398](#).

Certiorari to the Supreme Court of Ohio.

Opinion of the Court by JUSTICE BLACK, announced by JUSTICE DOUGLAS.

Petitioner, a railroad fireman, was seriously injured when an engine in which he was riding jumped the track. Alleging that his injuries were due to respondent’s negligence, he brought this action for damages under the Federal Employers’ Liability Act, 35 Stat. 65, 45 U.S.C. § 51 et seq., in an Ohio court of common pleas. Respondent’s defenses were (1) a denial of negligence and (2) a written document signed by petitioner purporting to release respondent in full for \$924.63. Petitioner admitted that he had signed several receipts

for payments made him in connection with his injuries but denied that he had made a full and complete settlement of all his claims. He alleged that the purported release was void because he had signed it relying on respondent's deliberately false statement that the document was nothing more than a mere receipt for back wages.

After both parties had introduced considerable evidence the jury found in favor of petitioner and awarded him a \$25,000 verdict. The trial judge later entered judgment notwithstanding the verdict. In doing so he reappraised the evidence as to fraud, found that petitioner had been "guilty of supine negligence" in failing to read the release, and accordingly held that the facts did not "sustain either in law or equity the allegations of fraud by clear, unequivocal and convincing evidence." This judgment notwithstanding the verdict was reversed by the Court of Appeals of Summit County, Ohio, on the ground that under federal law, which controlled, the jury's verdict must stand because there was ample evidence to support its finding of fraud. The Ohio Supreme Court, one judge dissenting, reversed * * * and sustained the trial court's action, holding that: (1) Ohio, not federal, law governed; (2) under that law petitioner, a man of ordinary intelligence who could read, was bound by the release even though he had been induced to sign it by the deliberately false statement that it was only a receipt for back wages; and (3) under controlling Ohio

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law factual issues as to fraud in the execution of this release were properly decided by the judge rather than by the jury. * * *

First. We agree with the Court of Appeals of Summit County, Ohio, and the dissenting judge in the Ohio Supreme Court and hold that validity of releases under the Federal Employers' Liability Act raises a federal question to be determined by federal rather than state law. Congress in § 1 of the Act granted petitioner a right to recover against his employer for damages negligently inflicted. State laws are not controlling in determining what the incidents of this federal right shall be. * * * Manifestly the federal rights affording relief to injured railroad employees under a federally declared standard could be defeated if states were permitted to have the final say as to what defenses could and could not be properly interposed to suits under the Act. Moreover, only if federal law controls can the federal Act be given that uniform application throughout the country essential to effectuate its purposes. * * * Releases and other devices designed to liquidate or defeat injured employees' claims play an important part in the federal Act's administration. * * * Their validity is but one of the many interrelated questions that must constantly be determined in these cases according to a uniform federal law.

Second. In effect the Supreme Court of Ohio held that * * * the negligence of an innocent worker is sufficient to enable his employer to benefit by its deliberate fraud. Application of so harsh a rule to defeat a railroad employee's claim is wholly incongruous with the general policy of the Act to give railroad employees a right to recover just compensation for injuries negligently inflicted by their employers. And this Ohio rule is out of harmony with modern judicial and legislative practice to relieve injured persons from the effect of releases fraudulently obtained. * * * We hold that the correct federal rule is that * * * a release of rights under the Act is void when the employee is induced to sign it by the deliberately false and material statements of the railroad's authorized representatives made to deceive the employee as to the contents of the release. The trial court's charge to the jury correctly stated this rule of law.

Third. Ohio provides and has here accorded petitioner the usual jury trial of factual issues relating to negligence. But Ohio treats factual questions of fraudulent releases differently. It permits the judge trying a negligence case to resolve all factual questions of fraud "other than fraud in the factum." The factual issue of fraud is thus split into fragments, some to be determined by the judge, others by the jury.

It is contended that since a state may consistently with the Federal Constitution provide for trial of cases under the Act by a nonunanimous verdict, *Minneapolis & St. Louis R. Co. v. Bombolis*, 241 U.S. 211, 36 S.Ct. 595, 60 L.Ed. 961, Ohio may lawfully eliminate trial by jury as to one phase of fraud while allowing jury trial as to all other issues raised. The *Bombolis*

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case might be more in point had Ohio abolished trial by jury in all negligence cases including those arising under the federal Act. But Ohio has not done this. It has provided jury trials for cases arising under the federal Act but seeks to single out one phase of the question of fraudulent releases for determination by a judge rather than by a jury. * * *

We have previously held that "The right to trial by jury is 'a basic and fundamental feature of our system of federal jurisprudence' " and that it is "part and parcel of the remedy afforded railroad workers under the Employers' Liability Act." *Bailey v. Central Vermont R. Co.*, 319 U.S. 350, 354, 63 S.Ct. 1062, 1064, 87 L.Ed. 1444. We also recognized in that case that to deprive railroad workers of the benefit of a jury trial where there is evidence to support negligence "is to take away a goodly portion of the relief which Congress has afforded them." It follows that the right to trial by jury is too substantial a part of the rights accorded by the Act to permit it to be classified as a mere "local rule of procedure" for denial in the manner that Ohio has here used. * * *

Reversed and remanded with directions.

JUSTICE FRANKFURTER, whom JUSTICE REED, JUSTICE JACKSON and JUSTICE BURTON join, concurring for reversal but dissenting from the Court's opinion.

Ohio, as do many other States, maintains the old division between law and equity as to the mode of trying issues, even though the same judge administers both. * * * [I]n all cases in Ohio, the judge is the trier of fact on this issue of fraud, rather than the jury. It is contended that the Federal Employers' Liability Act requires that Ohio courts send the fraud issue to a jury in the cases founded on that Act. To require Ohio to try a particular issue before a different fact-finder in negligence actions brought under the Employers' Liability Act from the fact-finder on the identical issue in every other negligence case disregards the settled distribution of judicial power between

Federal and State courts where Congress authorizes concurrent enforcement of federally-created rights.

* * *

In 1916 the Court decided without dissent that States in entertaining actions under the Federal Employers' Liability Act need not provide a jury system other than that established for local negligence actions. States are not compelled to provide the jury required of Federal courts by the Seventh Amendment. *Minneapolis & St. L.R. Co. v. Bombolis* * * *. In the thirty-six years since * * *, the Bombolis case has often been cited by this Court but never questioned. Until today its significance has been to leave to States the choice of the fact-finding tribunal in all negligence actions, including those arising under the Federal Act. * * *

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Although a State must entertain negligence suits brought under the * * * Act if it entertains ordinary actions for negligence, it need conduct them only in the way in which it conducts the run of negligence litigation. The Bombolis case directly establishes that the * * * Act does not impose the jury requirements of the Seventh Amendment on the States *pro tanto* for Employers' Liability litigation. If its reasoning means anything, the Bombolis decision means that, if a State chooses not to have a jury at all, but to leave questions of fact in all negligence actions to a court, certainly the Employers' Liability Act does not require a State to have juries for negligence actions brought under the Federal Act in its courts. Or, if a State chooses to retain the old double system of courts, common law and equity * * *, surely there is nothing in the * * * Act that requires traditional distribution of authority for disposing of legal issues as between common law and chancery courts to go by the board. * * * So long as all negligence suits in a State are treated in the same way, by the same mode of disposing equitable, non-jury, and common law, jury issues, the State does not discriminate against Employers' Liability suits nor does it make any inroad upon substance.

Ohio and her sister States with a similar division of functions between law and equity are not trying to evade their duty under the * * * Act * * *. The States merely exercise a preference in adhering to historic ways of dealing with a claim of fraud; they prefer the traditional way of making unavailable through equity an otherwise valid defense. The State judges and local lawyers who must administer the Federal Employers' Liability Act in State courts are trained in the ways of local practice; it multiplies the difficulties and confuses the administration of justice to require, on purely theoretical grounds, a hybrid of State and Federal practice in the State courts as to a single class of cases. Nothing in the * * * Act or in the judicial enforcement of the Act for over forty years forces such judicial hybridization upon the States. The fact that Congress authorized actions under the * * * Act to be brought in State as well as in Federal courts seems a strange basis for the inference that Congress overrode State procedural arrangements controlling all other negligence suits in a State * * *. Such an inference is admissible, so it seems to me, only on the theory that Congress included as part of the right created by the Employers' Liability Act an assumed likelihood that trying all issues to juries is more favorable to plaintiffs. * * *

Even though the method of trying the equitable issue of fraud which the State applies in all other negligence cases governs Employers' Liability cases, two questions remain for decision: Should the validity of the release be tested by a Federal or a State standard? And if by a Federal one, did the Ohio courts in the present case correctly administer the standard? If the States afford courts for enforcing the Federal Act, they must enforce the substance of the right given by Congress. They cannot depreciate the

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legislative currency issued by Congress—either expressly or by local methods of enforcement that accomplish the same result. * * * In order to prevent diminution of railroad workers' nationally-uniform right to recover, the standard for the validity of a release of contested liability must be Federal. * * *

NOTES AND QUESTIONS

1. In *BROWN v. WESTERN RY. OF ALABAMA*, 338 U.S. 294, 70 S.Ct. 105, 94 L.Ed. 100 (1949), respondent demurred to petitioner's complaint in an action brought in a Georgia state court under the Federal Employers' Liability Act (FELA). The theory of the demurrer was that the complaint failed to "set forth a cause of action and is otherwise insufficient in law." The Georgia courts sustained the demurrer on the basis of a state practice rule requiring pleading allegations to be construed "most strongly against the pleader." The Supreme Court reversed, stating in part:

It is contended that this construction of the complaint is binding on us. The argument is that while state courts are without power to detract from "substantive rights" granted by Congress in FELA cases, they are free to follow their own rules of "practice" and "procedure." To what extent rules of practice and procedure may themselves dig into "substantive rights" is a troublesome question at best * * *. [It is] our duty to construe the allegations of this complaint ourselves in order to determine whether petitioner has been denied a right of trial granted him by Congress. This federal right cannot be defeated by the forms of local practice. * * *

Strict local rules of pleading cannot be used to impose unnecessary burdens upon rights of recovery authorized by federal laws. * * * Should this Court fail to protect federally created rights from dismissal because of over-exacting local requirements for meticulous pleadings, desirable uniformity in adjudication of federally created rights could not be achieved.

Id. at 296, 298–99, 70 S.Ct. at 106, 108, 94 L.Ed. at 102–04. Of what relevance is the presence or absence under Georgia practice of a right to replead following a demurrer?

2.How does the right to jury trial in *Dice* relate to the right to jury trial in *Byrd*, see p. 462, *supra*? Is it inconsistent to hold in *Dice* that a state court adjudicating a federal law claim must follow federal practice regarding jury trials, while holding in *Byrd* that a federal court adjudicating a state

law claim may disregard state practice regarding jury trials? Does the Court in *Dice* explain more generally when state courts are obliged to follow federal procedure? See Clermont, *Reverse-Erie*, 82 Notre Dame L.Rev. 1 (2006) (arguing that the role of federal procedure in state court is a function of both formal preemption—when state and federal laws “directly collide”—and a more open-ended “judicial choice-of-law methodology” that seeks to “balance the

state’s interests in having its legal rule applied in state court” against “the federal interests in having federal law displace the rule of this particular state, while trying to avoid differences in outcome”).

⁵ Charles Warren, *New Light on the History of the Federal Judiciary Act of 1789*, 37 Harv.L.Rev. 49, 51–52, 81–88, 108 (1923).

³²³ *Kuhn v. Fairmont Coal Co.*, 215 U.S. 349, 370–372, 30 S.Ct. 140, 54 L.Ed. 228; *Black & White Taxicab, etc., Co. v. Brown & Yellow Taxicab, etc., Co.*, 276 U.S. 518, 532–536, 48 S.Ct. 404, 408, 409, 72 L.Ed. 681, 57 A.L.R. 426.

¹Mr. Justice Field filed a dissenting opinion * * *.

¹⁴ *Diederich v. American News Co.*, 10 Cir., 128 F.2d 144, decided after *Erie R. Co. v. Tompkins*, held that an almost identical provision of the Oklahoma Constitution, art. 23, § 6, O.S.1951 was not binding on a federal judge in a diversity case.

¹⁵ *Stoner v. New York Life Ins. Co.*, 311 U.S. 464, 61 S.Ct. 336, 85 L.Ed. 284, is not contrary. It was there held that the federal court should follow the state rule defining the evidence sufficient to raise a jury question whether the state-created right was established. But the state rule did not have the effect of nullifying the function of the federal judge to control a jury submission as did the Arizona constitutional provision which was denied effect in *Herron*. The South Carolina rule here involved affects the jury function as the Arizona provision affected the function of the judge: The rule entirely displaces the jury without regard to the sufficiency of the evidence to support a jury finding of immunity.

^aRule 4, and particularly Rule 4(d)(1), has been amended several times since 1965. Most recently, this provision was renumbered as Rule 4(e)(2)(B).

¹ Section 9 is in part a statute of limitations, providing that an executor need not “answer to an action * * * which is not commenced within one year from the time of his giving bond * * *.” This part of the statute, the purpose of which is to speed the settlement of estates, * * * is not involved in this case, since the action clearly was timely commenced. (Respondent filed bond on March 1, 1962; the complaint was filed February 6, 1963; and the service—the propriety of which is in dispute—was made on February 8, 1963.) * * *

Section 9 also provides for the manner of service. Generally, service of process must be made by “delivery in hand.” * * * The purpose of this part of the statute, which is involved here, is, as the court below noted, to insure that executors will receive actual notice of claims. * * * Actual notice is of course also the goal of Rule 4(d)(1); however, the Federal Rule reflects a determination that this goal can be achieved by a method less cumbersome than that prescribed in § 9. In this case the goal seems to have been achieved; although the affidavit filed by respondent in the District Court asserts that he had neither been served in hand nor accepted service, it does not allege lack of actual notice.

^bThis provision has been amended and renumbered since 1965. Rule 4(e)(1) currently provides that service in federal court may occur by “following state law for serving a summons in an action brought in courts of general jurisdiction in the state where the district court is located or where service is made.” See Chapter 3, *supra*.

² The Court of Appeals seemed to frame the inquiry in terms of how “important” Section 9 is to the State. In support of its suggestion that Section 9 serves some interest the State regards as vital to its citizens, the court noted that something like Section 9 has been on the books in Massachusetts a long time, that Section 9 has been amended a number of times, and that Section 9 is designed to make sure that executors receive actual notice. * * * The apparent lack of relation among these three observations is not surprising, because it is not clear to what sort of question the Court of Appeals was addressing itself. One cannot meaningfully ask how important something is without first asking “important for what purpose?” *Erie* and its progeny make clear that when a federal court sitting in a diversity case is faced with a question of whether or not to apply state law, the importance of a state rule is indeed relevant, but only in the context of asking whether application of the rule would make so important a difference to the character or result of the litigation that failure to enforce it would unfairly discriminate against citizens of the forum State, or whether application of the rule would have so important an effect upon the fortunes of one or both of the litigants that failure to enforce it would be likely to cause a plaintiff to choose the federal court.

¹¹¹ * * * We cannot seriously entertain the thought that one suing an estate would be led to choose the federal court because of a belief that adherence to Rule 4(d)(1) is less likely to give the executor actual notice than Section 9, and therefore more likely to produce a default judgment. Rule 4(d)(1) is well designed to give actual notice, as it did in this case. * * *

⁵Now Rule 23.1.

⁸ Mr. Justice Harlan in his concurring opinion in *Hanna* concluded that *Ragan* was no longer good law. * * *

² This is not to suggest that the Federal Rules * * * are to be narrowly construed in order to avoid a “direct collision” with state law. The Federal Rules should be given their plain meaning. If a direct collision with state law arises from that plain meaning, then the analysis developed in *Hanna v. Plumer* applies.

¹⁰ “Rule 3 simply provides that an action is commenced by filing the complaint and has as its primary purpose the measuring of time periods that begin running from the date of commencement; the rule does not state that filing tolls the statute of limitations.” 4 C. Wright & A. Miller, *Federal Practice and Procedure* § 1057, p. 191 (1969) * * *. The Note of the Advisory Committee on the Rules states:

“When a Federal or State statute of limitations is pleaded as a defense, a question may arise under this rule whether the mere filing of the complaint stops the running of the statute, or whether any further step is required, such as, service of the summons and complaint or their delivery to the marshal for service. The answer to this question may depend on whether it is competent for the Supreme Court, exercising the power to make rules of procedure without affecting substantive rights, to vary the operation of statutes of limitations. The requirement of Rule 4(a) that the clerk shall forthwith issue the summons and deliver it to the marshal for service will reduce the chances of such a question arising.” * * * [Rule 4(a) no longer mentions marshals.]

This Note establishes that the Advisory Committee predicted the problem which arose in *Ragan* and arises again in the instant case. It does not indicate, however, that Rule 3 was intended to serve as a tolling provision for statute of limitations purposes; it only suggests that the Advisory Committee thought the Rule *might* have that effect.

¹¹¹ The Court suggested in *Ragan* that in suits to enforce rights under a federal statute Rule 3 means that filing of the complaint tolls the applicable statute of limitations. * * * We do not here address the role of Rule 3 as a tolling provision for a statute of limitations, whether set by federal law or borrowed from state law, if the cause of action is based on federal law.

^dAlteration in original.

⁴ Our cases at times have referred to the question at this stage of the analysis as an inquiry into whether there is a “direct collision” between state and federal law. * * * Logic indicates, however, and a careful reading of the relevant passages confirms, that this language is not meant to mandate that federal law and state law be perfectly coextensive and equally applicable to the issue at hand; rather, the “direct collision” language, at least where the applicability of a federal statute is at issue, expresses the requirement that the federal statute be sufficiently broad to cover the point in dispute. * * * It would make no sense for the supremacy of federal law to wane precisely because there is no state law directly on point.

⁶ If no federal statute or Rule covers the point in dispute, the district court then proceeds to evaluate whether application of federal judge-made law would disserve the so-called “twin aims of the *Erie* rule: * * * If application of federal judge-made law would disserve these two policies, the district court should apply state law. * * *

² Concerning matters covered by the Federal Rules * * *, the characterization question is usually unproblematic: It is settled that if the Rule in point is consonant with the Rules Enabling Act, 28 U.S.C. § 2072, and the Constitution, the Federal Rule applies regardless of contrary state law. * * * Federal courts have interpreted the Federal Rules, however, with sensitivity to important state interests and regulatory policies. * * *

^eAlteration in original.

²²² Justice SCALIA finds in Federal Rule * * * 59 a “federal standard” for new trial motions in “ ‘direct collision’ ” with, and “ ‘leaving no room for the operation of,’ ” a state law like CPLR § 5501(c). * * * The relevant prescription, Rule 59(a), has remained unchanged since the adoption of the Federal Rules * * *. Rule 59(a) is as encompassing as it is uncontroversial. It is indeed “Hornbook” law that a most usual ground for a Rule 59 motion is that “the damages are excessive.” See C. Wright, *Law of Federal Courts* 676–677 (5th ed. 1994). Whether damages are excessive for the claim-in-suit must be governed by some law. And there is no candidate for that governance other than the law that gives rise to the claim for relief—here, the law of New York. * * *

^fAlteration in original.

^gAlteration in original. Rule 59(a) was amended in 2007 but the change did not affect substance.

¹² I agree with the Court’s entire progression of reasoning in its footnote 22 * * *, leading to the conclusion that *state* law must determine “whether damages are excessive.” But the question whether damages are excessive is quite separate from the question of when a jury award may be set aside for excessiveness. * * * It is the latter that is governed by Rule 59 * * *.

^hEmphasis in original here and throughout opinion.

⁸ The cases chronicled by the dissent * * * each involved a Federal Rule that we concluded could fairly be read not to “control the issue” addressed by the pertinent state law, thus avoiding a “direct collision” between federal and state law, *Walker* * * * (internal quotation marks omitted). But here, as in *Hanna* * * *, a collision is “unavoidable.”

¹¹ The concurrence’s approach, however, is itself unfaithful to the statute’s terms. Section 2072(b) bans abridgement or modification only of “substantive rights,” but the concurrence would prohibit pre-emption of “procedural rules that are intimately bound up in the scope of a substantive right or remedy,” * * *. This would allow States to force a wide array of parochial procedures on federal courts so long as they are “sufficiently intertwined with a state right or remedy.” * * *

¹³ The concurrence is correct * * * that under our disposition any rule that “really regulates procedure,” * * * will pre-empt a conflicting state rule, however “bound up” the latter is with substantive law. The concurrence is wrong, however, that that result proves our interpretation of § 2072(b) implausible * * *. The result is troubling only if one stretches the term “substantive rights” in § 2072(b) to mean not only state-law rights themselves, but also any state-law procedures closely connected to them. Neither the text nor our precedent supports that expansive interpretation. The examples the concurrence offers—statutes of limitations, burdens of proof, and standards for appellate review of damages awards—do not make its broad definition of substantive rights more persuasive. They merely illustrate that in rare cases it may be difficult to determine whether a rule “really regulates” procedure or substance. If one concludes the latter, there is no pre-emption of the state rule; the Federal Rule itself is invalid.

The concurrence’s concern would make more sense if many Federal Rules that effectively alter state-law rights “bound up with procedures” would survive under *Sibbach*. But as the concurrence concedes, * * * very few would do so. The possible existence of a few outlier instances does not prove *Sibbach*’s interpretation is absurd. Congress may well have accepted such anomalies as the price of a uniform system of federal procedure.

⁸ * * * In some instances, a state rule that appears procedural really is not. A rule about how damages are reviewed on appeal may really be a damages cap. * * * A rule that a plaintiff can bring a claim for only three years may really be a limit on the existence of the right to seek redress. A rule that a claim must be proved beyond a reasonable doubt may really be a definition of the scope of the claim. These are the sorts of rules that one might describe as “procedural,” but they nonetheless define substantive rights. Thus, if a federal rule displaced such a state rule, the federal rule would have altered the State’s “substantive rights.”

¹⁹ Various Treasury Regulations govern the payment and endorsement of government checks and warrants and the reimbursement of the Treasurer of the United States by Federal Reserve banks and member bank depositories on payment of checks or warrants bearing a forged endorsement. * * * Forgery of the check was an offense against the United States. * * *

ⁱAlteration in original.

CHAPTER 7

THE DEVELOPMENT OF MODERN PROCEDURE



This chapter examines the historical foundations of the modern system of pleading, from the development of the writs and forms of action during the reign of Henry II in twelfth-century England, to the adoption of the Federal Rules of Civil Procedure in 1938. Encompassing ornate distinctions such as that between trespass and case, the recognition of indebitatus assumpsit, and the emergence of the action of trover, the materials carry more than simply antiquarian appeal. Rather, they are critical to an understanding of the ways in which substantive law develops in relation to procedure—in the famous words of Sir Henry Maine, how substantive law appears “secreted in the interstices of Procedure.” Maine, *Early Law and Custom* 389 (1886). Even after eight centuries of common law development, it remains true, as Oliver Wendell Holmes observed, that “whenever we trace a leading doctrine of substantive law far enough back, we are very likely to find some forgotten circumstance of procedure at its source.” Holmes, *The Common Law* 253 (1881). However, Holmes also warned that “[i]t is revolting to have no better reason for a rule of law than that so it was laid down in the time of Henry IV.” Holmes, Jr., *The Path of the Law*, in *Collected Legal Papers* 167, 187 (1920). As you study these materials, consider how the categories of substance and procedure interact and evolve.

A. COMMON LAW PLEADING

STEPHEN, *THE PRINCIPLES OF PLEADING IN CIVIL ACTIONS* 37, 147–50 (Tyler ed. 1882):^a

In the course of administering justice between litigating parties there are two successive objects: to ascertain the subject for decision, and to decide. It is evident that, towards the attainment of the first of these results, there is, in a *general* point of view, only one satisfactory mode of proceeding; and that this consists in making each of the parties state his own case, and collecting, from the opposition of their statements, the points of the legal controversy. Thus far, therefore, the course of every system of judicature is the same. It is common to them all to require, on behalf of

each contending party, before the decision of the cause, a statement of his case. But from this point the coincidence naturally ceases. * * *

The manner of allegation in our courts may be said to have been first methodically formed and cultivated as a science in the reign of Edward I [1272–1307]. From this time the judges began systematically to prescribe and enforce certain *rules of statement* * * *. None of them seem to have been originally of legislative enactment, or to have had any authority except usage or judicial regulation; but, from the general perception of their wisdom and utility, they acquired the character of fixed and positive institutions, and grew up into an entire and connected *system of pleading*. * * *

As the object of all pleading or judicial allegation is to ascertain the subject for decision, so the main object of that system of pleading established in the common law of England is to ascertain it by the production of an *issue*; and this appears to be peculiar to that system. * * *

The author is of opinion that this peculiarity of coming to issue took its rise in the practice of *oral* pleading. It seems a natural incident of that practice, to compel the pleaders to short and terse allegations, applying to each other by way of answer, in somewhat of a logical form, and at length reducing the controversy to a precise point. For while the pleading was *merely* oral, * * * the court and the pleaders would have to rely exclusively on their memory for retaining the tenor of the discussion; and the development of some precise question or issue would then be a very convenient practice, because it would prevent the necessity of reviewing the different statements, and leave no burden on the memory but that of retaining the question itself so developed. And even after the practice of recording was introduced, the same brief and logical forms of allegation would naturally continue to be acceptable, while the pleadings were still *viva voce* * * *.

A co-operative reason for coming to issue was the variety of the modes of decision which the law assigned to different kinds of question. * * * As questions of law were decided by the *court*, and matters of fact referred to other kinds of investigation, it was, in the first place, necessary to settle whether the question in the cause or issue was a matter of *law* or *fact*. Again, if it happened to be a matter of fact, it required to be developed in a form sufficiently specific to show what was the method of trial appropriate to the case. And, unless the state of the question were thus adjusted between the parties, it is evident that they would not have known whether they were to put themselves on the judgment of the court or to go to trial; nor, in the latter case, whether they were to prepare themselves for trial by jury or for one of the other various modes of deciding [the] matter of fact.

NOTES AND QUESTIONS

1. The change from oral to written pleadings cannot be dated precisely. The shift began in the late fourteenth century and extended into the second half of the sixteenth. Predictably the change increased the rigor and technicality of the pleading rules.

* * * [T]his system of oral pleading had one great advantage over the later system of written pleadings. It made for far greater freedom in the statement of the case. * * * [W]hen all objections to the writ and process had been disposed of * * * the debate between the opposing counsel, carried on subject to the advice or the rulings of the judge, allowed the parties considerable latitude in pleading to the issue. Suggested pleas will, after a little discussion, be seen to be untenable; a proposition to demur will, after a few remarks by the judge, be obviously the wrong move. The counsel feel their way towards an issue which each can accept and allow to be enrolled. * * *

3 Holdsworth, *A History of English Law* 635 (4th ed. 1935). Milsom, *Historical Foundations of the Common Law* 28–37, 39–40 (1969), contains a good description of oral pleadings as well as an excellent explanation of the Yearbooks, from which most of our knowledge of early pleading is derived; this book is a particularly valuable reference for most of the matters covered in this chapter.

2. In this discussion we are concerned with pleading in the royal courts. It should be noted that at the time of the Norman Conquest (1066) and for a century or more afterward the ordinary recourse of suitors was not to the royal courts but to local, or communal, courts and to feudal courts in which a lord heard cases involving his tenants. The royal courts existed primarily to try offenses against the king's laws and to hear cases involving his tenants-in-chief, which came before the king in his capacity as a feudal lord. Gradually, however, these royal courts began to absorb business from the communal and feudal courts.

A person with a grievance against another sought justice from the king, and the king issued a *writ*, ordering the sheriff to bring the other person before the king's judges to answer the complaint. In the course of the twelfth century this pattern became standardized. When it became established that the king's courts would hear a particular kind of case—for example, an action for assault, an action for debt, an action for the possession of land—the complainant in such a case could obtain a writ from the king's chief minister, the chancellor, as a matter of course. See Milsom, *Historical Foundations of the Common Law* 22–25 (1969).

The writ, strictly speaking, was simply the document that commenced the action, similar in function to the modern summons; but each writ came to embody a *form of action*, a concept that governed the method of commencing the suit, the substantive requirements of the case, the manner of trial, and the type of sanction that would attend the eventual judgment. For the present it is

enough to say that there was a writ for each type of case—or form of action—that the royal courts would hear; thus, for example, there was a writ

of trespass, a writ of debt, and a writ of nuisance. If plaintiff selected a writ that did not fit the case, the action would fail. If there was no writ that fit the case, and the chancellor would not draw up a new one, plaintiff could obtain no relief in the royal courts.

3.The “modes of decision” for issues of fact, referred to in the extract from Stephen, were, at an early date, “trial” by ordeal, by combat, and by oath. These were not trials in the sense in which we now understand and use that term; rather they were proofs undertaken by one of the parties (or both in the case of combat) at the direction of the court. Ordeal—proof by carrying a red-hot iron unscathed or by sinking when thrown into a pool of water ^b—disappeared in England after it was proscribed by the Lateran Council in 1215. Combat—waged by champions of the parties—was resisted as a Norman importation, and during the reign of Henry II (1154–1189) an early form of jury began to supplant it, although it was not formally abolished until 1819.

For our purpose the most important of these early methods of proof was that by oath, or as more generally known, *wager of law* or *compurgation*. It required one of the parties to swear to his case with strict and elaborate formalities, accompanied by a number of “oath-helpers,” usually twelve, who swore to the truthfulness of the party’s oath, or in later periods to their belief in its truth. If all went as prescribed, he prevailed; but if the party or any of the “helpers” made an error by using a wrong word, that party lost.

It is hard for us to say how this ancient procedure worked in practice, hard to tell how easy it was to get oath-helpers who would swear falsely, hard to tell how much risk there was in an ordeal. The rational element of law must, it would seem, have asserted itself in the judgment which decided how and by whom the proof should be given; the jurisprudence of the old courts must have been largely composed of the answers to this question; * * * for example, we can see that even before the Norman Conquest the man who has been often accused has to go to the ordeal instead of being allowed to purge himself with oath-helpers.

Maitland, Equity, Also the Forms of Action at Common Law 310 (1909).

The importance of this procedure in legal history lies in the fact that a right to wage one’s law was firmly established in certain classes of cases by the last half of the twelfth century, long before the jury began to emerge as an instrument for fact-determination. In its original form the jury, developed as a body for valuing property for taxes, decided cases on its own knowledge rather than after hearing witnesses. Even in this form suitors saw in the jury a more rational mode of trial, and sought to use forms of action such as trespass, which having developed at a relatively late period did not provide a right to wager of

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law.^c Thus, as we shall see in Section B of this chapter, judicial development of the law for four-and-a-half centuries was channeled and motivated to a substantial degree by increasingly successful attempts to avoid the older modes of trial.^d

1.A BRIEF OVERVIEW OF COMMON LAW PLEADING

The basic structure of common law pleading was simple and well-calculated to bring the parties to an issue of law or of fact. It was based on the following analysis. A substantive response to a claim—other than an expression of total agreement—will fall into one of three categories: (1) A party can deny that the alleged facts, even if true, give the claimant any legal right; (2) a party can deny that the alleged facts are true; or (3) a party can say that even if the alleged facts are true and taken alone would establish a right, additional facts not mentioned by the claimant negate that right. Responses (1) and (2) raise issues of law and of fact respectively. Response (3) does not itself raise a contested issue; there is as yet no necessary disagreement between the parties. To raise the necessary issue the claimant must respond to the response, and this response also may fall into any of the three categories. If this response is again of type (3) no issue will have been raised and the process must continue.

Of course the real process was more complex than this. Plaintiff’s claim was set forth in the *declaration*. This document had to meet many formal requirements that might differ from one type of case to another. But stripped of much verbiage, and stated in modern English, it might have said: “Defendant promised to deliver a horse to plaintiff and plaintiff promised to pay 100 dollars for it, but defendant has refused to deliver the horse.”

At this point, defendant had to *demur* or *plead*. A demurrer would challenge the legal sufficiency of the declaration. Thus prior to STRANGBOROUGH & WARNERS CASE, 4 Leon. 3, 74 Eng.Rep. 686 (K.B. 1589), the modern language declaration set out above would have failed on demurrer, because a promise was not regarded as good consideration. A demurrer also would succeed if plaintiff had chosen the wrong writ (or form of action). There were also a great many technical sins that the declaration might commit, but by statute, 27 Eliz. 1, c. 5, § 1 (1585)

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and 4 Anne, c. 16, § 1 (1705), unless these defects were raised by a *special demurrer*, which precisely spelled out the faults, they were waived. If a demurrer was sustained, plaintiff was out of court, although he generally was free to begin again if he could correct the mistake, as by suing in another form of action if the original form was incorrect. If the demurrer was quashed, judgment was entered for plaintiff.

If defendant did not demur, he responded to the declaration in a *plea*. Pleas were of two types, *dilatory* and *peremptory*. Dilatory pleas did not deny the merits of plaintiff’s claim, but challenged plaintiff’s right to have the court hear the case; they included pleas to the jurisdiction of the court, pleas of a variance between the declaration and the writ, and pleas that the case must be suspended (when, for example, one of the parties was under age at the time of suit). A peremptory plea, or *plea in bar*, was on the merits. If defendant denied

that he had promised to sell the horse, the plea was a *traverse*; a traverse terminated the pleadings and the case would go to trial to dispose of the issue raised by plaintiff’s allegation and defendant’s denial. But suppose defendant wanted to allege that at the time of the purported contract he was a minor; defendant would then plead by *confession and avoidance*, that is, admit the allegations of the declaration and seek to avoid them by pleading minority. If defendant followed this course, no issue would have been reached, and plaintiff would have to respond.

Plaintiff’s response might be a demurrer to defendant’s plea, which would raise the question whether minority was a defense to the agreement he had pleaded and defendant had confessed.⁶ Or plaintiff might plead in a *replication*, either traversing defendant’s allegation of his age, or confessing it, and alleging that defendant had lied about his age when making the contract. If plaintiff pleaded in confession and avoidance, defendant would again have to respond, by demurrer or by *rejoinder*. The pleas in confession and avoidance theoretically might go on indefinitely, and in some of the cases we read of a *surrejoinder*, a *rebutter*, and a *surrebutter*. Lack of formal names beyond that point suggests that even the ingenuity of the common law pleader may have had its limits.

The common law pleading system may seem ornate to you, even after only the brief description on the preceding pages. Yet bear in mind that this is only a skeletal outline. When the outline is filled in with special instances, inexplicable exceptions, arbitrary rules, and untraversable fictions, the result is one of the most complex and snare-ridden creations ever devised by man. Let us look at a common law record and decision. (The reporter of the case, it should be noted, is the victorious lawyer, Saunders.)

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VEALE v. WARNER

Court of King’s Bench, 1670.

1 Wms. Saund. 323, 326, 85 Eng.Rep. 463, 468.

Be it remembered that * * * before our lord the King at Westminster came Thomas Veale Esquire * * * and brought here * * * his certain bill against William Warner, * * * in the custody of the marshal, & c. Of a plea of debt: and there are pledges of prosecution, to wit, John Doe and Richard Roe; which said bill follows in these words, * * * [Veale] complains of [Warner] * * * that he render to him 2000*l.*, of lawful money of England, which he owes to, and unjustly detains from him; for that whereas the said William, * * * at London aforesaid, to wit, in the parish of St. Mary-le Bow in the ward of Cheap, by his certain writing obligatory, sealed * * * and to the Court of our said lord the King now here shewn, * * * acknowledged himself to be held and firmly bound to * * * [Veale] in the said 2000*l.* to be paid to the said Thomas when he should be thereunto requested. Nevertheless, the said William (although often requested) hath not yet paid the said 2000*l.* to the said Thomas, but to pay the same to him hath hitherto altogether refused, and yet refuses, to the damage of him the said Thomas of 100*l.*: and therefore he brings suit, & c.

And [Warner] * * * comes and defends the wrong and injury when, & c. and prays oyer of the said writing obligatory, and it is read to him, & c. He also prays oyer of the condition of the said writing, & c. and it is read to him in these words, to wit: “The condition of this obligation is such, that if * * * [Warner] shall and do in all things well and truly stand to, obey, abide, perform, fulfil, and keep the award * * * of John Coggs, gent. and John Foxwell, arbitrators * * * to arbitrate * * * and determine of and concerning all and all manner of action and actions, cause and causes of actions, suits, bills, bonds, specialties, judgments, executions, extents, quarrels, controversies, trespasses, damages, and demands whatsoever, at any time heretofore had, made, moved, brought, commenced, sued, prosecuted, done, suffered, committed, or depending by or between the said parties, * * * then this obligation to be void and of none effect, or else to remain in full force and virtue.” Which being read and heard, the said William saith, that * * * [Veale] ought not to have his aforesaid action against him, because he saith that * * * the arbitrators in the said condition named, * * * made their award * * * that [Warner] * * * should satisfy, content, and pay to [Veale] * * * the full sum of 3169*l.* 16*s.* and 3*d.* Of lawful money of England. And they further awarded that [Warner] * * * should seal, and as his deed deliver to [Veale] * * * a full and general release and discharge of all and all manner of actions, and causes of actions, suits, bills, bonds, specialties, judgments, executions, extents, quarrels, controversies, trespasses, damages, and demands whatsoever, at any time before the date of the bond brought here into Court had, made, moved, commenced, sued, prosecuted, committed, or depending by or between the said parties. And * * * [Warner]

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further saith, that he the said William * * * paid to * * * [Veale] the said sum * * * and also, then and there did seal, and as his deed deliver to * * * [Veale] the said full release * * * and this he is ready to verify: wherefore he prays judgment if the said Thomas ought to have or maintain his said action thereof against him & c.

And * * * [Veale] saith, that he by any thing by * * * [Warner] above in pleading alleged, ought not to be barred from having his said action thereof against the said William, because he saith that * * * [Warner] did not pay the said sum * * * as the said William hath above thereof in pleading alleged; and this he prays may be inquired of by the country, & c.

And * * * [Warner] saith that * * * [Veale] ought not to be admitted to say that he the said William hath not paid the said sum * * * because he saith that he the said Thomas, * * * by his certain writing acknowledged that he the said William had paid the said sum to the said Thomas * * * and this he is ready to verify: wherefore he prays judgment if the said Thomas ought to be admitted, against his own acknowledgment, to say, that he the said William hath not paid the said sum of money, & c.

Demurrer and joinder in demurrer.

And now in this term the plaintiff moved to have judgment. And Saunders for the defendant objected that the plaintiff could not have judgment, because it appeared by the record that the award was void, being all to be performed by the defendant and nothing by the plaintiff: and, therefore, if the award is void, it is not material whether the defendant has performed it or not, although he has pleaded a performance of it. And now he has acknowledged the contrary by his waiver of the issue offered by the plaintiff and pleading a bad rejoinder. And the plaintiff and defendant have both agreed, that the award pleaded by the defendant was the true award made by the arbitrators, which is altogether vicious. But if the plaintiff would have helped himself, he ought to have shewn the other part of the award before he assigned the breach, which he has not done here; and therefore he cannot have judgment.

And of such opinion was the whole Court clearly. But they would not give judgment for the defendant, because they conceived it was a trick in pleading; but they gave the plaintiff leave to discontinue on payment of costs. And Kelynge Chief Justice, reprehended Saunders for pleading so subtly on purpose to trick the plaintiff by the omission of the other part of the award. But it was a case of the greatest hardship on the defendant; for the bond of submission was only in the penalty of 2000*l.*, and the arbitrators had awarded him to pay 3100*l.*, being 1100*l.* more than the real penalty of the bond; when in truth there was nothing at all due to the plaintiff, but he was indebted to the defendant. And afterwards the

defendant exhibited an English bill in the Exchequer, disclosing bad practice of the plaintiff with the arbitrators, and had relief against the bond: and so this matter was at rest. * * *

NOTES AND QUESTIONS

1. “[B]efore our lord the King at Westminster.” Veale v. Warner was brought in the Court of King’s Bench, one of the three royal common law courts, maintaining separate existence until merged in the High Court of Justice in 1873. The others were the Court of Common Pleas and the Court of Exchequer. All three developed out of the *Curia Regis* (the King’s Court), which at the time of the Norman Conquest and for a period thereafter performed administrative and judicial functions in conjunction with the king. The first offshoot was Exchequer, which originally was charged with the collection and administration of the king’s finances, but by 1250 had acquired full judicial jurisdiction. Next to develop separate status was Common Pleas, established by Henry II as the primary tribunal to hear cases not involving the crown. The remaining part of the King’s Court supervised Common Pleas through the writ of error, and heard matters particularly touching the king’s interests, such as criminal actions and cases involving his tenants in chief; it developed into King’s Bench, but the fiction was maintained that hearings before that tribunal were before the king himself. See Plucknett, *A Concise History of the Common Law* 143–51 (5th ed. 1956).

2. “[H]is * * * bill against William Warner, * * * in the custody of the marshal, & c.” Common Pleas was supposed to have exclusive jurisdiction over actions of debt, such as Veale v. Warner. But the judges and lawyers of each common law court zealously sought to expand the jurisdiction of their tribunal, and Veale v. Warner illustrates one method by which King’s Bench accomplished this. Not all common law proceedings were commenced by writ; to an undefined extent each court could proceed on a *bill*, which was a complaint addressed directly to the court. See 2 Holdsworth, *A History of English Law* 339 (3d ed. 1923). One instance in which a court clearly could proceed on a bill was an action against one of the court’s officers or a person within its custody, and such a bill might be brought on a cause of action that ordinarily was not within the jurisdiction of the court. Thus, a plaintiff who desired to bring an action of debt in King’s Bench would first charge defendant with trespass, and by a “bill of Middlesex” that court would order the sheriff of Middlesex to arrest defendant and deliver him to the custody of the marshal of the Marshalsea—the court’s prison; once defendant was within the custody of King’s Bench, plaintiff could proceed against him by bill in the action of debt. Predictably, the arrest and commitment eventually became wholly fictitious, but defendant was not permitted to challenge the allegation that they had occurred. A similar device used to expand the jurisdiction of Exchequer was the writ of *quo minus*, by which a debtor to the crown could bring suit in that court on the theory that anyone withholding money from the debtor was rendering him unable to pay what was owed the king; in time, the allegation of plaintiff’s debt to the king also became untraversable. See Plucknett, *A*

Concise History of the Common Law 161, 387 (5th ed. 1956); Milsom, *Historical Foundations of the Common Law* 53–59 (1969).

3. “[P]ledges of prosecution.” The original writ in a lawsuit directed the sheriff, to whom it was addressed, to take some action, conditioned on plaintiff’s “mak[ing] you secure of prosecuting his claim.” Thus plaintiff had to furnish sureties, who would be liable to pay a fine that was imposed upon unsuccessful claimants. As the names of the pledges in the case suggest, the requirement became a sham.

4. “[I]n the parish of St. Mary-le Bow in the ward of Cheap.” As the jury originally decided cases on its own knowledge, it was necessary that jurors be drawn from the vicinity in which a transaction had occurred; the action therefore had to be brought near the place at which it arose, and the declaration had to show this. Since an English court could not summon jurors from abroad, technically it would have been impossible to bring an action on a contract made outside England. In such cases, however, plaintiff made an untraversable allegation that the contract had been made in the aforesaid parish and ward of the city of London. See Sack, *Conflict of Laws in the History of English Law*, in 3 *Law: A Century of Progress* 342, 370 (1937). Some cases actually must have arisen there, but you cannot tell from the records which they are.

5. “[T]o the Court * * * now here shewn”; “prays oyer.” A plaintiff suing upon a deed or a bond made profert of the document—that is, plaintiff formally tendered it to the court, although it was strictly speaking not a part of the pleading. If defendant wanted to get the document in the pleadings in order to raise a question of law about it, she had to demand oyer of it, which meant that defendant was entitled to read it and copy as much of it as

he chose into the plea. At this point you might conclude that if defendant demurred, he would be demurring to his own pleading, but even though the document was set out in the plea, it was treated as if it were a part of the declaration. See Sutton, Personal Actions at Common Law 103 (1929), which is a particularly valuable introduction to common law pleading.

6.“[W]herefore he prays judgment if the said Thomas ought to have or maintain his said action.” This is the standard conclusion of a pleading in confession and avoidance. Compare the conclusion of plaintiff’s replication in the next paragraph of the report of the case. Why was defendant’s allegation that he had performed the bond treated as a matter of confession and avoidance?

7.“[W]herefore he prays judgment if the said Thomas ought to be admitted, against his own acknowledgment, to say.” Plaintiff in his replication had traversed defendant’s claim of payment. Thus the replication already had created an issue, and defendant’s rejoinder could not be one of the three responses described in the Overview of Common Law Pleading; it is a plea of estoppel, and as stated in Saunders’ argument waives the issue created by the traverse in plaintiff’s replication. Why was this rejoinder “bad”? Did it allege that the award had been paid?

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8.Why did Saunders, a thoroughly capable lawyer, file what he knew was an inadequate rejoinder? The answer lies in a peculiar facet of the demurrer:

* * * [O]n demurrer the court will consider the whole record, and give judgment for the party, who on the whole, appears to be entitled to it. Thus, on demurrer to the replication, if the court think the replication bad, but perceive a substantial fault in the *plea*, they will give judgment, not for the defendant, but the plaintiff, provided the *declaration* be good; but if the declaration also be bad in substance, then, upon the same principle, judgment would be given for the defendant.

Stephen, The Principles of Pleading in Civil Actions 160 (Tyler ed. 1882). Thus, by making a rejoinder that he knew plaintiff would demur to, Saunders baited the trap he had set in his plea.

9.“[A]n English bill in the Exchequer.” That part of the report of Veale v. Warner beginning, “But it was a case of the greatest hardship * * * ” is not a part of the record, but is simply the reporter’s justification of his own tactics. An English bill was a bill in equity, so-called because it was written in English rather than in the Latin of the common law courts. As we will see, many instances of fraud and overreaching did not constitute defenses at law, but when such factors were established equity would enjoin a victorious plaintiff from enforcing the judgment at law. How could such relief be obtained in Exchequer, which was a common law court? The answer is that Exchequer had an equity side.

2.THE QUEST FOR A SINGLE ISSUE: PATHS AND PITFALLS

The principal aim of common law pleading was the production of a single issue; in many ways, the most serious problems in common law pleading grew out of this persistent drive. To achieve the goal of singleness of issue, it was necessary to prohibit *duplicity* in pleading. That term did not connote fraud, but simply meant raising more than one issue in a pleading. Thus, in our example concerning the sale of the horse, defendant might wish to deny that he had made any promise *and* to assert that he was a minor at the time *and* to contend that a promise was not good consideration for another promise. There would be nothing devious or inconsistent in claiming all three defenses, but he was not permitted to do so. The traverse, the plea in confession and avoidance, and the demurrer were mutually exclusive.

A procedure was available that, in effect, permitted a party to delay the “demurrer.” After trial and verdict for plaintiff, defendant could *move to arrest the judgment*, thereby raising the question whether the pleadings could support the judgment. In the case of a verdict for defendant, plaintiff’s equivalent motion was for *judgment notwithstanding the*

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verdict—a term that has now come to identify a motion on a quite different theory. See Chapter 14, *infra*. By following this procedure, however, a party could not escape the expense of trial (costs not being awarded to the prevailing party on such a motion), and that party assumed the risk that the defect in a pleading might be cured by a later pleading or aided by the verdict; in any event, a fault that required the use of a special demurrer would not support such a delayed motion. Nonetheless, the practice became very popular.

No such procedure was available to the party who wanted to deny his adversary’s allegations and at the same time advance affirmative allegations of his own. For the plea in confession and avoidance had to give *color*. “As a term of pleading, * * * [‘color’] signifies an apparent or prima facie right; and the meaning of the rule, that every pleading in confession and avoidance must give color, is, that it must admit an apparent right in the opposite party, and rely, therefore, on some new matter by which that apparent right is defeated.” Stephen, The Principles of Pleading in Civil Actions 206–07 (Tyler ed. 1882). A plea in confession and avoidance that failed to give color was doomed, even though it revealed a defense that could have been raised by traverse. In GIBBONS v. PEPPER, 1 Ld. Raym. 38, 91 Eng.Rep. 922 (K.B. 1695), an action for running down plaintiff, defendant admitted the trespass but pleaded that his horse had become so frightened he could not control it; on demurrer the court ordered judgment for plaintiff, holding that if defendant’s facts were true there had been no battery at all and the plea should have been a traverse.

Out of this rule that a party could not plead new matter without confessing the opposing party’s prima-facie right grew one of the weirder formulae of common law pleading—the giving of *express color*. Today, we mercifully are spared the necessity of learning the hoary details that surrounded this device, but a brief look at it will illustrate the complexities of the system that lay beneath the surface of our original simple outline.

Suppose that plaintiff had brought an action of trespass against defendant for entering on plaintiff's land, and that the only genuine issue in the case was the title to the land, defendant contending that although plaintiff had been in possession of the land, defendant was the true owner. If defendant denied the trespass by a traverse, he would be permitted to establish his own title as a defense. However, even if the only issue concerning his title was a question of law, there would have to be a full trial and the case would be decided by a jury under the guidance of the judge. Trial could not be avoided unless defendant somehow could introduce the new matter—his claim of title—into the pleadings and thereby permit it to be made the subject of a demurrer. Yet under the rule that required a plea in confession and avoidance to give color to plaintiff's claim, defendant could not assert new matter without confessing plaintiff's apparent right. The solution of express color was for defendant to confess the existence of

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a potential, but imperfect, title in plaintiff, and then to assert his own title by way of avoidance. Having done this, plaintiff could not traverse the confession—even though it was the sheerest fiction—for that would leave two issues in the case; he had to respond to the matter pleaded in avoidance, and when the validity of defendant's claim turned on a question of law, the appropriate response would be a demurrer. You should note, however, that although giving express color enabled defendant to introduce his claim of title into the case, defendant was not able at the same time to deny that he had entered the land at all.

The insistence on arriving at a single issue also prohibited raising more than one issue of fact in a pleading. The fault could be challenged only by a special demurrer, and over a long period the strictness of the prohibition against multiple issues was relaxed, but it never ceased to pose a problem for the pleader. Originally a declaration could not state more than one cause of action; at an early date, however, plaintiffs were permitted to join causes of action arising under the same writ, and, as long as they were stated in separate counts, different versions of the same cause of action could be pleaded.^f Defendant was permitted to plead separately to each count, and indeed might demur to one, traverse a second, and confess and avoid a third. But defendant could not plead two or more defenses to a single count and the ability to deny more than one of its allegations was severely restricted. By a statute, 4 Anne, c. 16, § 4 (1705), this was changed to allow more than one plea to a count with the court's permission, but as long as common law pleading survived there could be no more than one replication to a plea.

As a consequence of these rules, a defendant who did not demur was safest if he could make a defense under a plea of the *general issue*, which challenged plaintiff's whole case.^g This plea spared defendant the necessity of spelling out his defense, which meant that he did not have to divulge it to plaintiff or run the risk of misstating it. More importantly, the general issue in effect permitted defendant to traverse a number of plaintiff's allegations and, in addition, to raise defenses that ordinarily would be matters of confession and avoidance. Of course not all defenses could be raised under the general issue, and knowing which defenses had to be specially pleaded in particular forms of action was a matter of subtle

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learning. Although the whole theoretical structure of common law pleading and its quest for a single issue was threatened by the general issue, inexorable pressures—particularly in the eighteenth century—gradually expanded its scope and availability. In conjunction with the common counts—a particularly cryptic form of declaration in contract—the plea of the general issue permitted some cases to come to trial with the issues not only unnarrowed, but indeed undisclosed. A good example of the problem was stated by Henry Brougham in a seminal speech to Parliament on law reform:

* * * The plaintiff declares, that the defendant, being indebted to him for so much money had and received to the use of the said plaintiff * * * undertook and faithfully promised to pay it, but broke his engagement; and the count is thus framed, the self-same terms being invariably used, whatever be the cause of action which can be brought into Court under this head. * * * In the first place, such is the declaration for money paid by one individual to another, for the use and benefit of the plaintiff; this is what alone the words of the count imply, but to express this they are rarely, indeed, made use of. 2dly, The self-same terms are used on suing for money received on a consideration that fails, and used in the same way to describe all the endless variety of cases which can occur of such failure * * *. 3dly, The same words are used * * * to recover money paid under mistake of fact. 4thly, To recover money paid by one person to a stakeholder, in consideration of an illegal contract made with another person. 5thly, Money paid to revenue officers for releasing the goods illegally detained, of the person paying. 6thly, To try the right to any office, instead of bringing an assize. 7thly, To try the liability of the landlord for rates levied on his tenant. What information, then, does such a declaration give?

* * *

In the [form of action of] *indebitatus assumpsit*, from which I took my first example, * * * under [a plea of the general issue] no less than eight different defences may be set up; as, for instance, a denial of the contract, payment, usury, gaming, infancy, coverture, accord and satisfaction, release.

Brougham, Present State of the Law 70–71, 73 (1828).

Thus the pleadings in the English common law courts immediately preceding the period of reform that began in 1825 presented a strange potpourri of ornate and sinuous paths toward an elusive single issue, side by side with a series of pleading rules that fostered abstract and unilluminating statements of dispute.

B. THE FORMS OF ACTION

1.THE DEVELOPMENT OF THE FORMS—CHIEFLY OF TRESPASS

MAITLAND, EQUITY, ALSO THE FORMS OF ACTION AT COMMON LAW 296, 298–99, 304–05, 314–15, 332, 335, 342–47, 359–61 (1909):

Let it be granted that one man has been wronged by another; the first thing that he or his advisers have to consider is what form of action he shall bring. * * * This choice is not merely a choice between a number of queer technical terms, it is a choice between methods of procedure adapted to cases of different kinds.

* * * '[A] form of action' has implied a particular original process, a particular mesne process, a particular final process, a particular mode of pleading, of trial, of judgment. But further to a very considerable degree the substantive law administered in a given form of action has grown up independently of the law administered in other forms. Each procedural pigeon-hole contains its own rules of substantive law, and it is with great caution that we may argue from what is found in one to what will probably be found in another; each has its own precedents. It is quite possible that a litigant will find that his case will fit some two or three of these pigeon-holes. If that be so he will have a choice, which will often be a choice between the old, cumbrous, costly, on the one hand, the modern, rapid, cheap, on the other. Or again he may make a bad choice, fail in his action, and take such comfort as he can from the hints of the judges that another form of action might have been more successful. * * * Lastly he may find that, plausible as his case may seem, it just will not fit any one of the receptacles provided by the courts and he may take to himself the lesson that where there is no remedy there is no wrong.

* * * So long as the forms of action were still in use, it was difficult to tell the truth about their history. * * * But now, * * * the truth might be discovered and be told, and one part of the truth is assuredly this that throughout the early history of the forms of action there is an element of struggle, of struggle for jurisdiction. In order to understand them we must not presuppose a centralized system of justice * * *; rather we must think that the forms of action, the original writs, are the means whereby justice is becoming centralized, whereby the king's court is drawing away business from other courts.

* * * I shall attempt a sketch in brief outline of the order in which the different forms of action are developed. * * *

I.1066–1154. The first [period] * * * would end with the great reforms of Henry II. Litigation of an ordinary kind still takes place chiefly

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in the communal and feudal courts; even the king's court may be considered as a feudal court, a court of and for the king's tenants in chief. * * * His court is concerned chiefly with (1) the pleas of the crown, i.e. cases in which royal rights are concerned, (2) litigation between the king's tenants in chief—for such tenants it is the proper feudal court, (3) complaints of default of justice in lower courts. * * *

II.1154–1189. The legislative activity of Henry II's reign marks a second period. Under Henry II the exceptional becomes normal. He places royal justice at the disposal of anyone who can bring his case within a certain formula. From the end of his reign we have Glanvill's book, and we see already a considerable apparatus of writs * * *; they have assumed distinct forms, forms which they will preserve until the nineteenth century * * *; each writ is the beginning of a particular form of action. * * *

As regards those claims which in after days give rise to the personal actions, those actions which, as we say, are founded on contract or founded on tort, Glanvill has but little to tell us; they are seldom prosecuted in the king's court. But the action of Debt is known there. * * *

III.1189–1272. This, our third period, extending from the death of Henry II to the accession of Edward I, is a period of rapid growth * * *. New writs are freely invented, though towards the end of Henry III's reign this gives rise to murmurs * * *. There is now a large store of original writs which are writs of course (*brevia de cursu*), that is to say, they may be obtained from the subordinate officers of the royal chancery * * *.

Meanwhile the actions which came to be known as personal make their appearance. The oldest seems to be 'Debt-Detinue' * * *. Gradually this action divides itself into two, Detinue for a specific chattel, Debt for a sum of money—this differentiation takes place early in the thirteenth century. As in Detinue the judgment given for the plaintiff awards him either the chattel itself, or its value; and, as the defendant thus has the option of giving back the chattel or paying its value, Bracton is led to make the important remark that there is no real action for chattels—an important remark, for it is the foundation of all our talk about real and personal property. To Debt and Detinue we must now add Replevin, the action for goods unlawfully taken in distress. * * * Covenant also has appeared * * *. Gradually the judges came to the opinion that the only acceptable evidence of a covenant is a sealed writing, and one of the foundations of our law of contract is thus laid. * * *

But the most important phenomenon is the appearance of Trespass—that fertile mother of actions. Instances of what we can not but call actions of trespass are found even in John's reign, but I think it clear that the writ of trespass did not become a writ of course until very late in Henry III's reign. Now trespass * * * has its roots in criminal law * * *. The old criminal action (yes, action) was the Appeal of Felony * * *. It was but

slowly supplanted by indictment—the procedure of the common accuser set going by Henry II, the appeal on the other hand being an action brought by a person aggrieved by the crime.

* * * The new phenomenon appears about the year 1250, it is an action which might be called an attenuated appeal based on an act of violence. * * * The action of trespass is founded on a breach of the king's peace:—with force and arms the defendant has assaulted and beaten the plaintiff, broken the plaintiff's close, or carried off the plaintiff's goods; he is sued for damages. The plaintiff seeks not violence but compensation, but the unsuccessful defendant will also be punished and pretty severely. In other actions the unsuccessful party has to pay an amercement for making an unjust, or resisting a just claim; the defendant found guilty of trespass is fined and imprisoned. What is more, the action for trespass shows its semi-criminal nature in the process that can be used against a defendant who will not appear—if he will not appear, his body can be seized and imprisoned; if he can not be found, he may be outlawed. We thus can see that the action of trespass is one that will become very popular with plaintiffs because of the stringent process against defendants. I very much doubt whether in Henry III's day the action could as yet be used save where there really had been what we might fairly call violence and breach of the peace; but gradually the convenience of this new action showed itself. In order to constitute a case for 'Trespass *vi et armis*,' it was to the last necessary that there should be some wrongful application of physical force to the defendant's lands or goods or person—but a wrongful step on his land, a wrongful touch to his person or chattels was held to be force enough and an adequate breach of the king's peace. This action then has the future before it.

* * *

IV. 1272–1307. The reign of 'the English Justinian' may be treated as a period by itself—a period of statutory activity. Statutes made by king and parliament now interfere with many details both of substantive law and of procedure. * * * The whole system stiffens. Men have learnt that a power to invent new remedies is a power to create new rights and duties, and it is no longer to be suffered that the chancellor or the judges should wield this power. How far the process of crystallisation had gone, how rigid the system was becoming, we learn from a section of the Statute of Westminster II, 13 Edw. I c. 24 (1285). Men have been obliged to depart from the Chancery without getting writs, because there are none which will exactly fit their cases, although these cases fall within admitted principles. It is not to be so for the future * * *. 'And whensoever from henceforth it shall fortune in the Chancery, that in one case a writ is found, and in a like case falling under like law, and requiring like remedy, is found none, the clerks of the Chancery shall agree in making the writ; or * * * let the cases be written in which they can not agree, and let them refer them until the

next Parliament, and by consent of men learned in the law, a writ shall be made, lest it might happen after that the court should long time fail to minister justice unto complainants.' * * * [W]hen we say that but little use was made of this Statute there is one great exception. It is regarded as the statutory warrant for the variation of the writs of trespass so as to suit special cases, until at length—about the end of the Middle Ages—lawyers perceive that they have a new form 'Trespass upon the special case' or 'Case.' * * * It is worth noting that a writ issued by the Chancery is not necessarily a good writ. The justices may quash it as contrary to law, and in the later Middle Ages the judges are conservative * * *. At any rate the tale of common law (*i.e.* non-statutory) actions was now regarded as complete. The king's courts had come to be regarded as omniscient courts, they had to do all the important civil justice of the realm and to do it with the limited supply of forms of action which had been gradually accumulated in the days when feudal justice and ecclesiastical justice were serious competitors with royal justice.

V. 1307–1833 * * *

From Edward I's day onwards trespass *vi et armis* is a common action. We may notice three main varieties—unlawful force has been used against the body, the goods, the land of the plaintiff; so we have trespass in assault and battery, trespass *de bonis asportatis*, trespass *quare clausum fregit*. * * *

I have already said that the writ-making power wielded by the king and his Chancellor was gradually curbed by our parliamentary constitution, and in Edward I's day it has become necessary to tell the Chancery that it is not to be too pedantic, but may make variations in the old formulas when a new case falls under an old rule. * * * [T]he most important use made of this liberty consisted in some extensions of the action of trespass. Gradually during Edward III's reign we find a few writs occurring which in form are extremely like writs of trespass—and they are actually called writs of trespass—but the wrong complained of does not always consist of a direct application of unlawful physical force * * *; sometimes the words *vi et armis* do not appear. Sometimes there is no mention of the king's peace. Still they are spoken of as writs of trespass * * *. The plaintiff is said to bring an action upon his case, or upon the special case, and gradually it becomes apparent that really a new and a very elastic form of action has thus been created. I think that lawyers were becoming conscious of this about the end of the fourteenth century. Certain procedural differences have made their appearance—when there is *vi et armis* in the writ, then the defendant if he will not appear may be taken by *capias ad respondendum* or may be outlawed—this can not be if there is no talk of force and arms or the king's peace. Thus Case falls apart from Trespass—during the fifteenth century the line between them becomes always better marked. * * *

Case becomes a sort of general residuary action; much, particularly, of the modern law of negligence developed within it. Sometimes it is difficult to mark off case from trespass.

NOTES AND QUESTIONS

- 1.Case developed into a remedy not only for wrongs that were similar to those governed by trespass, but for wrongs that were much more similar to those for which the action of debt was appropriate. Yet case never lost its roots in trespass. Why didn't actions of debt on the case develop? See Kiralfy, *The Action on the Case* 3, 44 (1951).
- 2.Maitland's conclusions that trespass grew out of the appeal of felony and that case drew its authority from the Statute of Westminster II are debatable. Others have found the root of trespass in the assize of novel disseisin, in the proceedings of local courts, and in *querela* ("innominate" actions without writ frequently found in the records of royal courts throughout the thirteenth century). The diversity of opinion is comprehensively reported in Fifoot, *History and Sources of the Common Law—Tort and Contract* 44–56, 66–74 (1949), a book of very great value in the study of the forms. See also Milsom, *Historical Foundations of the Common Law* 244–70 (1969).
- 3.The American colonies recognized the distinctions among the forms of action, but did not enforce them with the rigor that characterized procedure in England. For example, there are instances of the use of both trespass and case for the specific recovery of chattels and real property, and trover and assumpsit frequently were not distinguished from case. Ejectment, when it was still regarded as a modern improvement in England, was unused in New England because of its technicalities. See Morris, *Studies in the History of American Law* 46–59 (2d ed. 1959). Since law books were scarce in the colonies, and many of the judges were laymen, these developments were to be expected. The most technical applications of the forms of action in this country came during the first half of the nineteenth century after the bar had grown in influence, and texts such as Blackstone had become available. See, e.g., *Adams v. Hemmenway*, 1 Mass. 145 (1804); *Wilson v. Smith*, 10 Wend. 324 (N.Y.1833).

2.THE LINES BLUR

a.Trespass or Case?

SCOTT, AN INFANT, BY HIS NEXT FRIEND V. SHEPHERD, AN INFANT, BY GUARDIAN
Court of Common Pleas, 1773.
2 Wm.Bl. 892, 96 Eng.Rep. 525.

Trespass and assault * * *. On not guilty pleaded, the cause came on to be tried before Nares, J., * * * when the jury found a verdict for the plaintiff with 100£. damages, subject to the opinion of the Court on this

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case: * * * [D]efendant threw a lighted squib, made of gunpowder, & c. from the street into the market-house, * * * where a large concourse of people were assembled; which lighted squib, * * * fell upon the standing of one Yates, who sold gingerbread, & c. That one Willis instantly, and to prevent injury to himself and the said wares of the said Yates, took up the said lighted squib from off the said standing, and then threw it across the said market-house, when it fell upon another standing there of one Ryal, * * * who instantly, and to save his own goods from being injured, took up the said lighted squib from off the said standing, and then threw it to another part of the said market-house, and, in so throwing it, struck the plaintiff * * * in the face therewith, and the combustible matter then bursting, put out one of the plaintiff's eyes. Qu. If this action be maintainable?

* * *

Nares, J., was of opinion, that trespass would well lie in the present case. That the natural and probable consequence of the act done by the defendant was injury to somebody, and therefore the act was illegal at common law. * * * Being therefore unlawful, the defendant was liable to answer for the consequences, be the injury mediate or immediate. * * * The principle I go upon is what is laid down in *Reynolds and Clark*, Stra. 634, that if the act in the first instance be unlawful, trespass will lie. Wherever therefore an act is unlawful at first, trespass will lie for the consequences of it. * * * [Defendant] * * * is the person, who, in the present case, gave the mischievous faculty to the squib. That mischievous faculty remained in it till the explosion. No new power of doing mischief was communicated to it by Willis or Ryal. It is like the case of a mad ox turned loose in a crowd. The person who turns him loose is answerable in trespass for whatever mischief he may do. The intermediate acts of Willis and Ryal will not purge the original tort in the defendant. * * *

Blackstone, J., was of opinion, that an action of trespass did not lie for Scott against Shepherd upon this case. He took the settled distinction to be, that where the injury is immediate, an action of trespass will lie; where it is only consequential, it must be an action on the case: *Reynolds and Clarke*, Lord Raym. 1401. * * * The lawfulness or unlawfulness of the original act is not the criterion; though something of that sort is put into Lord Raymond's mouth in Stra. 635 * * *. But this cannot be the general rule; for it is held by the Court in the same case, that if I throw a log of timber into the highway, (which is an unlawful act), and another man tumbles over it, and is hurt, an action on the case only lies, it being a consequential damage; but if in throwing it I hit another man, he may bring trespass, because it is an immediate wrong. Trespass may sometimes lie for the consequences of a lawful act. If in lopping my own trees a bough accidentally falls on my neighbour's ground, and I go thereon to fetch it, trespass lies. * * * But then the entry is of itself an immediate wrong. And case will sometimes lie for the consequence of an unlawful act. If by false

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imprisonment I have a special damage, as if I forfeit my recognizance thereby, I shall have an action on the case. * * * Yet here the

original act was unlawful, and in the nature of trespass. So that lawful or unlawful is quite out of the case; the solid distinction is between direct or immediate injuries on the one hand, and mediate or consequential on the other. And trespass never lay for the latter. If this be so, the only question will be, whether the injury which the plaintiff suffered was immediate, or consequential only; and I hold it to be the latter. The original act was, as against Yates, a trespass; not as against Ryal, or Scott. The tortious act was complete when the squib lay at rest upon Yates's stall. He, or any bystander, had, I allow, a right to protect themselves by removing the squib, but should have taken care to do it in such a manner as not to endamage others. But Shepherd, I think, is not answerable in an action of trespass and assault for the mischief done by the squib in the new motion impressed upon it, and the new direction given it, by either Willis or Ryal; who both were free agents, and acted upon their own judgment. This differs it from the cases put of turning loose a wild beast or a madman. They are only instruments in the hand of the first agent. Nor is it like diverting the course of an enraged ox, or of a stone thrown, or an arrow glancing against a tree; because there the original motion, the vis impressa, is continued, though diverted. Here the instrument of mischief was at rest, till a new impetus and a new direction are given it, not once only, but by two successive rational agents. But it is said that the act is not complete, nor the squib at rest, till after it is spent or exploded. It certainly has a power of doing fresh mischief, and so has a stone that has been thrown against my windows, and now lies still. Yet if any person gives that stone a new motion, and does farther mischief with it, trespass will not lie for that against the original thrower. No doubt but Yates may maintain trespass against Shepherd. And, according to the doctrine contended for, so may Ryal and Scott. Three actions for one single act! nay, it may be extended in infinitum. If a man tosses a football into the street, and after being kicked about by one hundred people, it at last breaks a tradesman's windows; shall he have trespass against the man who first produced it? Surely only against the man who gave it that mischievous direction. But it is said, if Scott has no action against Shepherd, against whom must he seek his remedy? I give no opinion whether case would lie against Shepherd for the consequential damage; though, as at present advised, I think, upon the circumstances, it would. But I think, in strictness of law, trespass would lie against Ryal, the immediate actor in this unhappy business. * * * The throwing it across the market-house, instead of brushing it down, or throwing [it] out of the open sides into the street, (if it was not meant to continue the sport, as it is called), was at least an unnecessary and incautious act. * * * And I admit that the defendant is answerable in trespass for all the direct and inevitable effects caused by his own immediate act. * * * But he is not responsible for the acts of other men. * * * In our case the verdict is

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suspended till the determination of the Court. And though after verdict the Court will not look with eagle's eyes to spy out a variance, yet, when a question is put by the jury upon such a variance, and it is made the very point of the cause, the Court will not wink against the light, and say that evidence, which at most is only applicable to an action on the case, will maintain an action of trespass. * * * The same evidence that will maintain trespass, may also frequently maintain case, but not e converso. Every action of trespass with a "per quod" includes an action on the case. I may bring trespass for the immediate injury, and subjoin a "per quod" for the consequential damages;—or may bring case for the consequential damages, and pass over the immediate injury * * *. But if I bring trespass for an immediate injury, and prove at most only a consequential damage, judgment must be for the defendant * * *.

Gould, J., was of the same opinion with Nares, J., that this action was well maintainable.—The whole difficulty lies in the form of the action, and not in the substance of the remedy. The line is very nice between case and trespass upon these occasions: I am persuaded there are many instances wherein both or either will lie. I agree with brother Nares, that wherever a man does an unlawful act, he is answerable for all the consequences; and trespass will lie against him, if the consequence be in nature of trespass. But, exclusive of this, I think the defendant may be considered in the same view as if he himself had personally thrown the squib in the plaintiff's face. The terror impressed upon Willis and Ryal excited self-defence, and deprived them of the power of recollection. * * *

De Grey, C.J. * * * I agree with my brother Blackstone as to the principles he has laid down, but not in his application of those principles to the present case. The real question certainly does not turn upon the lawfulness or unlawfulness of the original act; for actions of trespass will lie for legal acts when they become trespasses by accident * * *. They may also not lie for the consequences even of illegal acts, as that of casting a log in the highway, & c.—But the true question is, whether the injury is the direct and immediate act of the defendant; and I am of opinion, that in this case it is. The throwing the squib was an act unlawful and tending to affright the bystanders. So far, mischief was originally intended; not any particular mischief, but mischief indiscriminate and wanton. Whatever mischief therefore follows, he is the author of it * * *. Every one who does an unlawful act is considered as the doer of all that follows. * * * I look upon all that was done subsequent to the original throwing as a continuation of the first force and first act, which will continue till the squib was spent by bursting. And I think that any innocent person removing the danger from himself to another is justifiable; the blame lights upon the first thrower. * * * It has been urged, that the intervention of a free agent will make a difference: but I do not consider Willis and Ryal as free agents in

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the present case, but acting under a compulsive necessity for their own safety and self-preservation. * * *
Postea to the plaintiff.

NOTES AND QUESTIONS

1. In what ways does Justice Blackstone differ from Chief Justice De Grey? From Justice Nares? On what facts might Chief Justice De Grey and Justice Nares reach a different result? Chief Justice De Grey and Justice Gould? Since Justice Blackstone believes an action in case would lie against

Shepherd, is there really any substantive difference between him and his brethren? Would they have agreed with him that Scott could have maintained an action against Ryal? What would have been the nature of that action? In light of *Gibbons v. Pepper*, p. 558, *supra*, would actions of trespass lie against both Shepherd and Ryal?

2. Trials ordinarily were held at common law before a single judge and a jury. After verdict, if the losing party wanted the judgment of the entire court on a question of law that was involved in the case, that party asked for a rule *nisi*. A hearing before the court *en banc* was then held, and if that court sustained the rulings of the trial judge it denied the rule; otherwise, it made the rule *absolute*. When a verdict was taken subject to the opinion of the court *en banc*, as in *Scott v. Shepherd*, the ordinary procedure of applying for a rule *nisi* was unnecessary. Therefore, instead of denying a rule or making it absolute, the order of the court *en banc* was in the form of a *postea* to the prevailing party, which authorized the entry of judgment.

b. Case Captures Negligence

The close of the eighteenth century brought before the judges a great number of cases of a kind theretofore little known but which ever since have glutted our courts: running-down accidents and vehicular collisions. Echoes of Lord Raymond’s distinction in *Reynolds v. Clarke* were less frequently heard, but the categories of direct and indirect injuries became mixed with those of willful and negligent conduct, often in a context complicated by the involvement of servants. Matters would not stay within the simple confines that Justice Blackstone envisioned.

DAY v. EDWARDS, 5 T.R. 648, 101 Eng.Rep. 361 (K.B.1794), was an action in case against a defendant who had driven his cart “so furiously, negligently and improperly” that it “struck with great force and violence * * * against plaintiff’s carriage.” Plaintiff’s lawyer touched on all the elements that had been or would become significant—legality, indirectness, negligence; the “act of driving * * * in consequence of which the injury arose, was a legal one in itself, although negligently exercised,” he said. But Lord Kenyon merely repeated the immediate injury-consequential injury distinction, found that plaintiff “complains of the immediate act,” and gave judgment for defendant.

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One year later in *MORLEY v. GAISFORD*, 2 H. Bl. 441, 126 Eng.Rep. 639 (C.P.1795), Common Pleas held case was proper when defendant’s servant was alleged to have “badly, ignorantly, and negligently” driven a cart against plaintiff’s chaise, saying “it was difficult to put a case where the master could be considered as a trespasser for an act of his servant, which was not done at his command.”

The *Morley* holding clearly turned on the issue of a master’s liability in trespass, but when plaintiffs brought an action of case against defendants for having “so incautiously, carelessly, negligently, and inexpertly managed, steered and directed” their ship that it collided with plaintiffs’ vessel, their counsel relied upon *Morley* solely for the proposition that trespass lay for willful conduct and case for negligence, and two of the three judges accepted it. *OGLE v. BARNES*, 8 T.R. 188, 101 Eng.Rep. 1338 (K.B.1799). Lord Kenyon continued to insist upon the distinction between an immediate and a consequential injury, but he agreed that case was proper, since the charge was that by reason of defendants’ negligence, their ship sailed against plaintiffs’ vessel.

By 1803, we find defendant in *LEAME v. BRAY*, 3 East 593, 102 Eng.Rep. 724 (K.B.), challenging an action of trespass for a highway collision on the ground that the evidence showed his conduct to be negligent only, and that the action should therefore have been case. The court, however, reaffirmed its position in *Day v. Edwards*, that trespass lay for an immediate injury. Justice Lawrence, who had sat in *Ogle*, explained now that “what I principally relied on there was, that it did not appear that the mischief happened from the personal acts of the defendants: it might have happened from the operation of the wind and tide counteracting their personal efforts at the time: or indeed they might not even have been on board.”

Common Pleas, which now clearly favored case for these actions, twice suggested that *Leame* be reconsidered, but King’s Bench under Lord Ellenborough stood fast. In *HALL v. PICKARD*, 3 Camp. 187, 170 Eng.Rep. 1350 (K.B.1812), however, he raised the question whether it “may * * * be worthy of consideration, whether, in those instances where trespass may be maintained, the party may not waive the trespass, and proceed for the tort?” Later cases built on this suggestion until at last *WILLIAMS v. HOLLAND*, 10 Bing. 112, 131 Eng.Rep. 848 (C.P.1833), was accepted as settling the matter:

The declaration * * * states the ground of action to be an injury occasioned by the carelessness and negligence of the Defendant in driving his own gig; * * * and the jury have found in the very terms of the declaration, that the jury [sic] was so occasioned. Under such a form of action, therefore, and with such a finding by the jury, the present objection ought not to prevail, unless some

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positive and inflexible rule of law, or some authority too strong to be overcome, is brought forward in its support. * * *

But upon examining the cases cited in argument, both in support of, and in answer to, the objection, we cannot find one in which it is distinctly held, that the present form of action is not maintainable under the circumstances of this case.

* * * [T]he late case of *Moreton v. Hardern* 4 *Moreton v. Hardern* [4 B. & C. 223, 107 Eng.Rep. 1042 (K.B.1825)], appears to us to go the full length of deciding, that * * * where the injury is occasioned by the carelessness and negligence of the Defendant, the Plaintiff is at liberty to bring an action on the case, notwithstanding the act is immediate, so long as it is not a wilful act * * *.

3.THE LOSS AND DETENTION OF PERSONAL PROPERTY

The writ of detinue lay when defendant had possession of plaintiff’s personal property and refused to relinquish it. The writ would lie, for example, against a bailee who refused to redeliver bailed goods or an executor who withheld the title-deed to an heir’s real property. Although the gist of the action was wrongful detention, rather than wrongful taking, detinue would lie against a thief. But in this type of case trespass *de bonis asportatis* was preferred because detinue had several drawbacks: Defendant had a right to wage his law, and could deliver up the property in lieu of paying damages, even though it was damaged, for detinue did not lie for mere harm to goods.

Not surprisingly, plaintiffs began to try to substitute an action on the case in circumstances that seemed to call for detinue. They succeeded, first in the situation in which detinue was clearly inadequate—when the goods had spoiled—and then in situations in which its remedy might be appropriate but its mode of trial was unsatisfactory. See Fifoot, History and Sources of the Common Law—Tort and Contract 102–04 (1949). By 1500, case was essentially an alternative to detinue, and in the course of the sixteenth century a distinct species of case developed—the action of trover. The form of this new action was predicated upon a fiction—plaintiff alleged that he had lost goods, that they had been found by defendant and were now in that party’s possession, and that defendant refused to deliver them upon request. Loss and finding soon became recognized as formal allegations only, but the allegations concerning the request for return of the goods and defendant’s refusal to deliver retained some significance; after all, your bailee cannot be considered to have committed a tort if you have not asked for your goods back. What might constitute a legitimate, conditional refusal to deliver—as in the case of a finder who wished to check the credentials of a claimant—became an important issue. Apart

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from the fact that defendant was not entitled to wage his law, trover differed from detinue in this respect: Plaintiff was under no obligation to take back the goods, and in an action against a thief was under no obligation to demand them. The essence of trover was the conversion of the goods.

The term “conversion” troubled the courts for several hundred years. The most famous definition is that of Chief Justice Holt, in *BALDWIN v. COLE*, 6 Mod. 212, 87 Eng.Rep. 964 (K.B.1705): “[W]hat is a conversion, but an assuming upon one’s self the property and right of disposing another’s goods; and he that takes upon himself to detain another man’s goods from him without cause, takes upon himself the right of disposing of them * * *.” Is this really helpful? Consider the following case.

BUSHEL v. MILLER
Court of King’s Bench, 1718.
1 Strange 128, 93 Eng.Rep. 428.

Upon the Custom-House quay there is a hut, where particular porters put in small parcels of goods, if the ship is not ready to receive them when they are brought upon the quay. The porters, who have a right in this hut, have each particular boxes or cupboards, and as such the defendant had one. The plaintiff being one of the porters puts in goods belonging to A and lays them so that the defendant could not get to his chest without removing them. He accordingly does remove them about a yard from the place where they lay, towards the door, and without returning them into their place goes away, and the goods are lost. The plaintiff satisfies A of the value of the goods, and brings trover against the defendant. And upon the trial two points were ruled by the C.J.

- 1.That the plaintiff having made satisfaction to A for the goods, had thereby acquired a sufficient property in them to maintain trover.
- 2.That there was no conversion in the defendant. The plaintiff by laying his goods where they obstructed the defendant from going to his chest, was in that respect a wrong-doer. The defendant had a right to remove the goods, so that thus far he was in no fault. Then as to the not returning the goods to the place where he found them; if this were an action of trespass, perhaps it might be a doubt; but he was clear it could not amount to a conversion.

NOTES AND QUESTIONS

1.Plainti ff’s goods were delivered by a ship’s captain to defendant wharfingers to be held for plaintiff. The goods were then lost or stolen from defendants. Could defendants be said to have converted them? In *ROSS v. JOHNSON*, 5 Burrow 2825, 98 Eng.Rep. 483 (K.B.1772), Lord Mansfield said case, not trover, was the only remedy: “[I]n order to maintain trover, there

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must be an injurious conversion. This is not to be deemed a refusal to deliver the goods. They can’t deliver them: it is not in their power to do it. It is a bare omission.”

2.If defendant so negligently kept 20 barrels of plaintiff’s butter that “they were become of little value,” would trover lie? See *Walgrave v. Ogden*, 1 Leon. 224, 74 Eng.Rep. 205 (K.B.1590).

GORDON v. HARPER

In trover for certain goods, being household furniture * * *. [Plaintiff leased a house with the goods in question to A for a term still extant at the time of trial. While A was in possession under the lease, defendant sheriff seized the goods in execution of a judgment against B, who had sold the furniture to plaintiff sometime before the lease. Defendant after the seizure sold the goods.]

LORD KENYON, CH. J. The only point for the consideration of the Court in the case of *Ward v. Macauley* [4 T.R. 489, 100 Eng.Rep. 1135 (K.B.1791)] was, whether in a case like the present, the landlord could maintain an action of trespass against the sheriff for seizing goods, let with a house, under an execution against the tenant; and it was properly decided that no such action could be maintained. What was said further by me in that case, that trover was the proper remedy, was an extrajudicial opinion, to which upon further consideration I cannot subscribe. The true question is, whether when a person has leased goods in a house to another for a certain time, whereby he parts with the right of possession during the term to the tenant, and has only a reversionary interest, he can notwithstanding recover the value of the whole property pending the existence of the term in an action of trover. The very statement of the proposition affords an answer to it. If, instead of household goods, the goods here taken had been machines used in manufacture, which had been leased to a tenant, no doubt could have been made but that the sheriff might have seized them under an execution against the tenant, and the creditor would have been entitled to the beneficial use of the property during the term: the difference of the goods then cannot vary the law. * * * I forbear to deliver any opinion as to what remedy the landlord has in this case, not being at present called upon so to do: but it is clear that he cannot maintain trover.

ASHHURST, J. I have always understood the rule of law to be, that in order to maintain trover the plaintiff must have a right of property in the thing, and a right of possession, and that unless both these rights concur, the action will not lie. * * *

GROSE, J. The only question is whether trover will lie where the plaintiff had neither the actual possession of the goods taken at the time,

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nor the right of possession. * * * Where goods are delivered to a carrier, the owner has still a right of possession as against a tortfeasor, and the carrier is no more than his servant. But here it is clear that the plaintiff had no right of possession; and he would be a trespasser if he took the goods from the tenant: then by what authority can he recover them from any other person during the term? * * *

LAWRENCE, J. * * *. Now here if the taking of the goods by the sheriff determined the interest of the tenant in them, and revested it in the landlord, I admit that the latter might maintain trover for them * * *: but it is clearly otherwise; for here the tenant’s property and interest did not determine by the sheriff’s trespass, and the tenant might maintain trespass against the wrong-doer, and recover damages. * * *

Postea to the defendant.

NOTES AND QUESTIONS

1.Plainti ff pawned a jeweled hatband to X for 25*l.* with no certain time fixed for redemption. X delivered it to defendant, and then died. Plaintiff tendered 25*l.* to the executrix, who refused it, and then demanded the hatband of defendant. Would trover lie? See *Ratcliff v. Davies*, Croke Jac. 244, 79 Eng.Rep. 210 (K.B.1611).

2.Plain tiff leased a farm with cattle to Y for one year. After a few months, Y sold the cattle to defendant and absconded. What theory might be used to allow plaintiff to bring trover against defendant? See *Swift v. Moseley*, 10 Vt. 208 (1838).

4.THE CREATION OF CONTRACT LAW

a.Special Assumpsit

Glanvill said, shortly before 1200: “[I]t is not the custom of the court of the lord king to protect private agreements, nor does it concern itself with such contracts as can be considered to be like private agreements.” The treatise on the laws and customs of the realm of England commonly called Glanvill, Bk. X [18] (Hall ed. 1965). By the middle of the fourteenth century, there remained a good deal of truth in this. Two forms of action, each with significant shortcomings, lay for breach of contract—the writs of covenant and debt. Covenant required a sealed instrument and did not lie when debt was available. Debt lay only when an agreement had been fully performed by one party and he was entitled to a sum certain, and as in the case of detinue, defendant was entitled to wage his law, unless the agreement was sealed. Again, plaintiffs resorted to case as a safety valve for the deficiencies of covenant and debt, but progress was slower than it had been in the evasion of detinue, perhaps because the effort was not so much to avoid a particular writ as to create a new area of substantive law.

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By 1400, plaintiff could maintain case against a defendant who had carried out his promise so badly that plaintiff was in a worse position than before defendant made his promise. Thus in 1370 case was held to lie against a defendant who, having undertaken to cure plaintiff’s horse, treated it so negligently that it died. *WALDON v. MARSHALL*, Y.B. Mich. 43 Ed. 3, f. 33, pl. 38. Chief Justice Cavendish, in an action against a surgeon for maiming plaintiff while trying to cure him, said “this action of covenant of necessity is

maintained without specialty, since for every little thing a man cannot always have a Clerk to make a specialty for him.” THE SURGEON’S CASE, Y.B. Hil. 48 Ed. 3, f. 6, pl. 11 (K.B.1375). But case did not lie for nonfeasance. Through the fifteenth century there were occasional departures, but the courts seemed always to return to this rule. Then suddenly it was abandoned for good, and a new form of action developed from case and received judicial acceptance—special assumpsit. No single case seems to have established assumpsit as a remedy for nonperformance of a promise, but shortly after 1500 it had become the accepted view.

b.General Assumpsit

Special assumpsit filled a major gap left by the action of debt, but it did not take the place of debt, as trover substantially had taken the place of detinue. For another century, argument flared on the question whether assumpsit would lie for a debt. Gradually it was established that if a person, who already was indebted to another, made a fresh promise to pay the debt, assumpsit would lie for a breach of that promise, even though it would not have lain for the debt itself. The question then arose whether the fresh promise actually had to be made, or assumpsit would lie even when the promise was a fiction. In part, the answer lay in the desires of two courts to draw business to themselves; debt was the exclusive province of Common Pleas, while assumpsit with its background in trespass could be brought there or in King’s Bench. For 30 years they squabbled over the matter.

SLADE’S CASE

Court of Exchequer Chamber, 1602.
4 Co.Rep. 92b, 76 Eng.Rep. 1074.

John Slade brought an action on the case in the King’s Bench against Humphrey Morley * * * and declared, that whereas the plaintiff * * * was possessed of a close of land * * * and being so possessed, the plaintiff * * * the said close had sowed with wheat and rye, which wheat and rye * * * were grown into blades, the defendant, in consideration that the plaintiff, at the special instance and request of the said Humphrey, had bargained and sold to him the said blades of wheat and rye growing upon the said close, * * * assumed and promised the plaintiff to pay him 16*l.* * * *; and

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for non-payment thereof * * * the plaintiff brought the said action: the defendant pleaded *non assumpsit modo et forma*; and on the trial of this issue the jurors gave a special verdict, sc. that the defendant bought of the plaintiff the wheat and rye in blades growing upon the said close * * * and further found, that between the plaintiff and the defendant there was no other promise or assumption but only the said bargain * * *. And for the honour of the law, and for the quiet of the subject in the appeasing of such diversity of opinions * * * the case was openly argued before all the Justices of England, and Barons of the Exchequer, * * * and after many conferences between the justices and Barons, it was resolved, that the action was maintainable, and that the plaintiff should have judgment. And in this case these points were resolved:—1. That although an action of debt lies upon the contract, yet the bargainor may have an action on the case, or an action of debt at his election * * *. 3. It was resolved, that every contract executory imports in itself an *assumpsit*, for when one agrees to pay money, or to deliver anything, thereby he assumes or promises to pay, or deliver it, and therefore when one sells any goods to another, and agrees to deliver them at a day to come, and the other in consideration thereof agrees to pay so much money as such a day, in that case both parties may have an action of debt, or an action on the case on *assumpsit*, for the mutual executory agreement of both parties imports in itself reciprocal actions upon the case, as well as actions of debt * * *. 4. It was resolved, that the plaintiff in this action on the case on assumpsit should not recover only damages for the special loss (if any be) which he had, but also for the whole debt, so that a recovery or bar in this action would be a good bar in an action of debt brought upon the same contract * * *. And as to the objection which has been made, that it would be mischievous to the defendant that he should not wage his law, forasmuch as he might pay it in secret: to that it was answered, that it should be accounted his folly that he did not take sufficient witnesses with him to prove the payment he made: but the mischief would be rather on the other party, for now experience proves that men’s consciences grow so large that the respect of their private advantage rather induces men (and chiefly those who have declining estates) to perjury * * *.

NOTE

In considering the demise of wager of law, remember that at this time, and for two centuries more, parties were incompetent to testify at a trial. The enactment of the Statute of Frauds, 29 Charles 2, c. 3 (1677), which required several kinds of contracts to be in writing, is attributed by many to the problem of proof posed by the result in *Slade’s Case*. See, e.g., Plucknett, *A Concise History of the Common Law* 648 (5th ed. 1956).

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The recognition of *indebitatus assumpsit* (literally, “being indebted, he promised”), or *general assumpsit*, did more than deliver the quietus to debt. The contract-like sanction it imposed upon an obligation that did not really arise out of an actual promise provided the structure for wholly new developments. When A has delivered goods to B or has performed services for the latter, it may be presumed that A expects payment and B expects to pay; but the common law had furnished no remedy in the absence of an actual agreement. Now a new action of quantum meruit developed based upon an implied promise to pay the reasonable value of the goods or services, not unlike the imputed promise to pay the debt that furnished the basis for *Slade’s Case*. Even more significant was the extension of this same formula into circumstances in which a promise to pay was the last thing in defendant’s mind.

LAMINE V. DORRELL

Court of Queen’s Bench, 1705.
2 Ld.Raym. 1216, 92 Eng.Rep. 303.

In an indebitatus assumpsit for money received by the defendant to the use of the plaintiff as administrator of J.S. on non assumpsit pleaded, upon evidence the case appeared to be, that J.S. died intestate possessed of certain Irish debentures; and the defendant pretending to a right to be administrator, got administration granted to him, and by that means got these debentures into his hands, and disposed of them: then the defendant’s administration was repealed, and administration granted to the plaintiff, and he brought this action against the defendant for the money he sold the debentures for. And it being objected upon the evidence, that this action would not lie, because the defendant sold the debentures as one that claimed a title and interest in them, and therefore could not be said to receive the money for the use of the plaintiff, which indeed he received to his own use; but the plaintiff ought to have brought trover or detinue for the debentures: the point was saved to the defendant, and now the Court was moved, and the same objection made.

POWELL JUSTICE. It is clear the plaintiff might have maintained detinue or trover for the debentures * * *. But the plaintiff may dispense with the wrong, and suppose the sale made by his consent, and bring an action for the money they were sold for, as money received to his use. * * *

HOLT CHIEF JUSTICE. These actions have crept in by degrees. * * * So the defendant in this case pretending to receive the money the debentures were sold for in the right of the intestate, why should he not be answerable for it to the intestate’s administrator? If an action of trover should be brought by the plaintiff for these debentures after judgment in this indebitatus assumpsit, he may plead this recovery in bar of the action of trover, in the same manner as it would have been a good plea in bar for the defendant to have pleaded to the action of trover, that he sold the

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debentures, and paid to the plaintiff in satisfaction. * * * This recovery may be given in evidence upon not guilty in the action of trover, because by this action the plaintiff makes and affirms the act of the defendant in the sale of the debentures to be lawful, and consequently the sale of them is no conversion.

* * *

MOSES v. MACFERLAN, 2 Burrow 1005, 97 Eng.Rep. 676 (K.B.1760). Plaintiff had endorsed four promissory notes to defendant under a written agreement that he should not be liable thereon; in defendant’s suit in a Court of Conscience (a small claims court), however, the agreement was not recognized, and plaintiff was found liable for six pounds, which he paid. (On these facts, would Lamine v. Dorrell support an action for money had and received?) Lord Mansfield said:

2d objection.—“That no assumpsit lies, except upon an express or implied contract: but here it is impossible to presume any contract to refund money, which the defendant recovered by an adverse suit.”

Answer. If the defendant be under an obligation, from the ties of natural justice, to refund; the law implies a debt, and gives this action, founded in the equity of the plaintiff’s case, as it were upon a contract (“quasi ex contractu,” as the Roman law expresses it).

* * *

Money may be recovered by a right and legal judgment; and yet the iniquity of keeping that money may be manifest, upon grounds which could not be used by way of defence against the judgment.

* * *

Suppose a man recovers upon a policy for a ship presumed to be lost, which afterwards comes home;—or upon the life of a man presumed to be dead, who afterwards appears;—or upon a representation of a risque deemed to be fair, which comes out afterwards to be grossly fraudulent.

* * *

One great benefit, which arises to suitors from the nature of this action, is, that the plaintiff needs not state the special circumstances from which he concludes “that, ex aequo & bono, the money received by the defendant, ought to be deemed as belonging to him:” he may declare generally, “that the money was received to his use;” and make out his case, at the trial.

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* * *

This kind of equitable action to recover back money, which ought not in justice to be kept, is very beneficial, and therefore much encouraged. It lies only for money which, ex aequo et bono, the defendant ought to refund: it does not lie for money paid by the plaintiff, which is claimed of him as payable in point of honor and honesty, although it could not have been recovered from him by any course of law; as in payment of a debt barred by the Statute of Limitations, or contracted during his infancy,

or to the extent of principal and legal interest upon an usurious contract, or, for money fairly lost at play: because in all these cases, the defendant may retain it with a safe conscience, though by positive law he was barred from recovering.

An important procedural result of the development of indebitatus assumpsit was a new manner of pleading contract actions. The declaration in money had and received, as Lord Mansfield noted in his opinion in *Moses v. MacFerlan*, was broad in the extreme. The declarations in other actions derived from indebitatus assumpsit were equally broad. Pleadings seized upon this liberality to develop what became known as the “common counts,” standardized allegations concealing virtually all of the particulars of an action. The principal common counts were for money had and received, for goods sold and delivered, for work done, for money lent, for money paid by plaintiff to the use of defendant, and for money due on an account stated. See Fifoot, *History and Sources of the Common Law—Tort and Contract* 369–70, 393–94 (1949).

C. THE OTHER SYSTEM: EQUITY

1. THE RISE OF CHANCERY

MAITLAND, *EQUITY, ALSO THE FORMS OF ACTION AT COMMON LAW* 2–10 (1909):

In Edward I’s day, at the end of the thirteenth century, three great courts have come into existence * * *.

One of the three courts, namely, the Exchequer, is more than a court of law. From our modern point of view it is not only a court of law but a ‘government office’. * * * What we should call the ‘civil service’ of the country is transacted by two great offices or ‘departments’; there is the Exchequer which is the fiscal department, there is the Chancery which is the secretarial department, while above these there rises the king’s permanent Council. At the head of the Chancery stands the Chancellor, usually a bishop; he is we may say the king’s secretary of state for all departments, he keeps the king’s great seal and all the already great mass

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of writing that has to be done in the king’s name has to be done under his supervision.

He is not as yet a judge, but already he by himself or his subordinates has a great deal of work to do which brings him into a close connexion with the administration of justice. One of the duties of that great staff of clerks over which he presides is to draw up and issue those writs whereby actions are begun in the courts of law—such writs are sealed with the king’s seal. * * *

But by another route the Chancellor is brought into still closer contact with the administration of justice. Though these great courts of law have been established there is still a reserve of justice in the king. Those who can not get relief elsewhere present their petitions to the king and his council praying for some remedy. * * * In practice a great share of this labour falls on the Chancellor. He is the king’s prime minister, he is a member of the council, and the specially learned member of the council. It is in dealing with these petitions that the Chancellor begins to develop his judicial powers.

* * * Very often the petitioner requires some relief at the expense of some other person. He complains that for some reason or another he can not get a remedy in the ordinary course of justice and yet he is entitled to a remedy. He is poor, he is old, he is sick, his adversary is rich and powerful, will bribe or will intimidate jurors, or has by some trick or some accident acquired an advantage of which the ordinary courts with their formal procedure will not deprive him. The petition is often couched in piteous terms, the king is asked to find a remedy for the love of God and in the way of charity. Such petitions are referred by the king to the Chancellor. Gradually in the course of the fourteenth century petitioners, instead of going to the king, will go straight to the Chancellor * * *. Now one thing that the Chancellor may do in such a case is to invent a new writ and so provide the complainant with a means of bringing an action in a court of law. But in the fourteenth century the courts of law have become very conservative and are given to quashing writs which differ in material points from those already in use. But another thing that the Chancellor can do is to send for the complainant’s adversary and examine him concerning the charge that has been made against him. Gradually a procedure is established. The Chancellor having considered the petition, or ‘bill’ as it is called, orders the adversary to come before him and answer the complaint. The writ whereby he does this is called a subpoena—because it orders the man to appear upon pain of forfeiting a sum of money * * *. It is very different from the old writs whereby actions are begun in the courts of law. They tell the defendant what is the cause of action against him * * *. The subpoena, on the other hand, will tell him merely that he has got to come before the Chancellor and answer complaints made against him by A.B.

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Then when he comes before the Chancellor he will have to answer on oath, and sentence by sentence, the bill of the plaintiff. * * *

I do not think that in the fourteenth century the Chancellors considered that they had to administer any body of substantive rules that differed from the ordinary law of the land. * * * The complaints that come before them are in general complaints of indubitable legal wrongs * * * of which the ordinary courts take cognizance, wrongs which they ought to redress. * * * However this sort of thing can not well be permitted. * * * And so the Chancellor is warned off the field of common law—he is not to hear cases which might go to the ordinary courts, he is not to make himself a judge of torts and contracts, of property in lands and goods.

But then just at this time it is becoming plain that the Chancellor is doing some convenient and useful works that could not be done, or could not easily be done by the courts of common law. He has taken to enforcing uses or trusts. * * * No doubt they were troublesome

things, things that might be used for fraudulent purposes, and statutes were passed against those who employed them for the purpose of cheating their creditors or evading the law of mortmain. But I have not a doubt that they were very popular, and I think we may say that had there been no Chancery, the old courts would have discovered some method of enforcing these fiduciary obligations. That method however must have been a clumsy one. A system of law which will never compel, which will never even allow, the defendant to give evidence, a system which sends every question of fact to a jury, is not competent to deal adequately with fiduciary relationships. On the other hand the Chancellor had a procedure which was very well adapted to this end.

* * * And then there were some other matters that were considered to be fairly within his jurisdiction. An old rhyme allows him ‘fraud, accident, and breach of confidence’—there were many frauds which the stiff old procedure of the courts of law could not adequately meet, and ‘accident,’ in particular the accidental loss of a document, was a proper occasion for the Chancellor’s interference.

* * * In James I’s day occurred the great quarrel between Lord Chancellor Ellesmere and Chief Justice Coke which finally decided that the Court of Chancery was to have the upper hand over the courts of law. If the Chancery was to carry out its maxims about trust and fraud it was essential that it should have a power to prevent men from going into the courts of law and to prevent men from putting in execution the judgments that they had obtained in courts of law. In fraud or in breach of trust you obtain a judgment against me in a court of law; I complain to the Chancellor, and he after hearing what you have to say enjoins you not to put in force your judgment, says in effect that if you do put your judgment in force you will be sent to prison. Understand well that the Court of

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Chancery never asserted that it was superior to the courts of law; it never presumed to send to them such mandates as the Court of King’s Bench habitually sent to the inferior courts, telling them that they must do this or must not do that or quashing their proceedings * * *. It was addressed not to the judges, but to the party. * * * For all this, however, it was natural that the judges should take umbrage at this treatment of their judgments. Coke declared that the man who obtained such an injunction was guilty of the offence denounced by the Statutes of Praemunire, that of calling in question the judgments of the king’s courts in other courts (these statutes had been aimed at the Papal curia). King James had now a wished-for opportunity of appearing as supreme over all his judges, and all his courts * * *.

ARGUMENTS PROVING FROM ANTIQUITY THE DIGNITY, POWER, AND JURISDICTION OF THE COURT OF CHANCERY

1 Chan.Rep. (App.) 1, 20, 23–24, 49–50, 21 Eng.Rep. 576, 581–82, 588 (1616).

* * *

His said Majesty being informed of this Difference between his two Courts of Chancery and King’s Bench, * * * directed, That his Attorney General, calling to him the Rest of his Learned Counsel, should peruse the * * * Precedents, and certify his Majesty the Truth thereof with their Opinions.

* * *

And afterwards a Case was presented to his Majesty as followeth.

The Case.

A. hath a Judgment and Execution in the King’s Bench or Common Pleas against B. in an Action of Debt of £1000, and in an *Ejectione Firmae* of the Manor of D. B. complains in the Chancery to be relieved against these Judgments according to Equity and Conscience, allowing the Judgment to be lawful and good by the Rigour and strict Rules of the Law, and the Matter in Equity to be such, as the Judges of the Common Law being no Judges of Equity, but bound by their Oaths to do the Law, cannot give any Remedy or Relief for the same, either by Error or Attaint, or by any other Means.

Question.

Whether the Chancery may relieve B. in this or such like Cases, or else leave him utterly remediless and undone? And if the Chancery be restrained herein by any Statute of Praemunire, then by what Statute, and by what Words in any Statute is the Chancery so restrained, and Conscience and Equity excluded, banished and damned?

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Which Case his Majesty referred again to his said Attorney and Learned Counsel * * *.

* * *

Upon which Certificate the King gave his Judgment as followeth.

Forasmuch as Mercy and Justice be the true Supporters of our Royal Throne, and that it properly belongeth unto us in our Princely Office to take Care and provide, that our Subjects have equal and indifferent Justice ministered unto them: And that where their Case deserveth to be relieved in Course of Equity by Suit in our Court of Chancery, they should not be abandoned and exposed to perish under the Rigor and Extremity of our Laws, We in our Princely Judgment * * * do approve, ratify and confirm, * * * the Practice of our Court of Chancery * * *. And do will and command that our Chancellor, or Keeper of the Great Seal for the Time being, shall not hereafter desist to give unto our Subjects, * * * such Relief in Equity (notwithstanding any Proceedings at the Common Law against them) as shall stand with the Merit and Justice of their Cause, and with the former, ancient and continued Practice and Presidency of our Chancery have done. * * *

BEALE, EQUITY IN AMERICA, 1 Cambridge L.J. 21, 22–23 (1921):

At about the time of the English Revolution colonies came to be more rigorously governed. Most of the old charters were forfeited, and a new provincial form of government was established; and from that time the Judges were appointed, through the royal governors, by the Crown, and they came to be regarded, naturally, as the enemies of popular rights and as creatures of the Crown. The situation at about the time of the American Revolution was that Judges in the North were still regarded as tools of the King and as enemies of the popular will. * * *

In the South conditions were very different. The ruling class was well satisfied with the condition of affairs in England, and, although there were popular uprisings in some parts of the South, notably in Virginia and Maryland, the power of the aristocracy on the whole was never shaken. They determined the laws, they had no distrust of Judges, and in those States there was no desire to hamper a Judge or to exalt the jury at his expense. * * *

We should not be surprised, therefore, to find that in the North at least the people were very jealous of giving any jurisdiction to the Court of Equity, there being no jury in that Court. Equity seemed to the people of America, a hundred years ago even, as a non-popular method of applying law, which it was the duty of the people alone to deal with. The Courts administering equity were, so to speak, royalist persons administering the

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law of an effete monarchy which had never taken foothold in the democratic part of America. The consequence was that in New England there was no equity jurisdiction and very little admixture of equity in the law. The law administered was the strictly legal portion of the law; and the books cited, when they came to cite books, were the reports of the common law Courts. In New York there was a Chancellor from the time of the original constitution; but that Chancellor was not supposed to be a Judge who administered the English system of equity. * * *

Pennsylvania never had any Court of equity. The law, however, had more of what they regarded as equitable doctrines in it than the law of Massachusetts * * *. In New Jersey and Delaware, however, and throughout the South, there was set up at the time of our Revolution a separate Court of Chancery, sitting beside the Common Law Court and administering the principles of English equity.

2.PROCEDURE IN EQUITY

BOWEN, PROGRESS IN THE ADMINISTRATION OF JUSTICE DURING THE VICTORIAN PERIOD, 1 Select Essays in Anglo-American Legal History 516, 524–27 (1907):

* * * A bill in a Chancery suit was a marvellous document, which stated the plaintiff's case at full length and three times over. There was first the part in which the story was circumstantially set forth. Then came the part which "charged" its truth against the defendant—or, in other words, which set it forth all over again in an aggrieved tone. Lastly came the interrogating part, which converted the original allegations into a chain of subtly framed inquiries addressed to the defendant, minutely dovetailed and circuitously arranged so as to surround a slippery conscience and to stop up every earth. No layman, however intelligent, could compose the "answer" without professional aid. It was inevitably so elaborate and so long, that the responsibility for the accuracy of the story shifted, during its telling, from the conscience of the defendant to that of his solicitor and counsel, and truth found no difficulty in disappearing during the operation. * * * [The form of the answer] often rendered necessary a re-statement of the plaintiff's whole position, in which case an amended bill was drawn requiring another answer, until at last the voluminous pleadings were completed and the cause was at issue. By a system which to lawyers in 1887 appears to savour of the Middle Ages, the evidence for the hearing was thereupon taken by interrogatories written down beforehand upon paper and administered to the witnesses in private before an examiner or commissioner. At this meeting none of the parties were allowed to be present, either by themselves or their agents, and the examiner himself was sworn to secrecy. If cross-examined at all (for cross-examination under such conditions was of necessity somewhat of a farce), the witnesses could only be cross-examined upon written inquiries

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prepared equally in advance by a counsel who had never had the opportunity of knowing what had been said during the examination-in-chief. * * * On the day of the publication of the depositions copies were furnished to the parties at their own expense; but, from that moment, no further evidence was admissible, nor could any slip in the proofs be repaired, except by special permission of the court, when, if such leave was granted, a fresh commission was executed with the same formalities and in the same secret manner as before. The expense of the pleadings, of the preparation for the hearing, and of the other stages of the litigation may be imagined, when we recollect that it was a necessary maxim of the Court of Chancery that all parties interested in the result must be parties to the suit. If, for example, relief was sought against a breach of trust, all who were interested in the trust estate had to be joined, as well as all who had been privy to the breach of trust itself. During the winding journey of the cause towards its termination, whenever any death occurred, bills of review or supplemental suits became necessary to reconstitute the charmed circle of litigants which had been broken. On every such catastrophe the plaintiff had again to begin wearily to weave his web, liable on any new death to find it unravelled and undone. It was satirically observed that a suit to which fifty defendants were necessary parties (a perfectly possible contingency) could never hope to end at all, since the yearly average of deaths in England was one in fifty, and a death, as a rule, threw over the plaintiff's bill for at least

a year. The hearing in many cases could not terminate the cause. Often inquiries or accounts were necessary, and had still to be taken under the supervision of a master. Possibly some issue upon the disputed facts required to be sent for trial at the assizes, or a point of law submitted to a common law court. In such cases, the verdict of the jury, or the opinions of the court so taken, in no way concluded the conscience of the Court of Chancery. It resumed charge of the cause again, when the intermediate expedition to the common law was over, and had the power, if it saw fit, to send the same issue to a new trial, or to disregard altogether what had been the result. * * * When a cause had reached its final stage—when all inquiries had been made, all parties represented, all accounts taken, all issues tried—justice was done with vigour and exactitude. Few frauds ever in the end successfully ran the gauntlet of the Court of Chancery. But the honest suitor emerged from the ordeal victorious rather than triumphant, for too often he had been ruined by the way.

NOTES AND QUESTIONS

1.What differences do you find between procedure at common law and procedure in equity as it is described by Bowen? What are the differences in pleading, the manner of receiving evidence, the attitude toward singleness of issue, and the determination of questions of fact? The rules of evidence, which are chiefly concerned with the exclusion of testimony of doubtful value, were

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developed in the common law courts and were never strictly applied in equity. How is this fact related to the differences in equity and common law procedures?

2.Although the division between law and equity in the federal courts never took the form of separate courts or judges of law and equity, the two were separately administered in the federal system until 1938. From the beginning, procedure at law was conformed to that of the state in which the court was held, but—due in part to the fact that some states had no system of equity in 1789—equity procedure in the federal courts was governed by statutes of Congress and rules promulgated by the Supreme Court. In 1915, Congress provided that when “a suit at law should have been brought in equity or a suit in equity should have been brought at law, the court shall order any amendments to the pleadings which may be necessary to conform them to the proper practice,” and that in “all actions at law equitable defenses may be interposed by answer, plea, or replication without the necessity of filing a bill on the equity side of the court.” 38 Stat. 956.

The elements of procedure in equity discussed in the foregoing materials are significant because of their impact on the substantive and remedial doctrines of equity. Together with the method of enforcing equity decrees, which is discussed below, these elements largely determined the type of case that equity would hear and the disposition it would order. As you read the materials that follow, ask yourself how these differences between law and equity may explain the particular equitable approach in question.

3.THE UNIQUE CHARACTER OF EQUITABLE RELIEF

a.Specific Relief

The ordinary judgment of a common law court consisted of a declaration of a legal relationship. When plaintiff prevailed in the action, this declaration in all but rare instances was that plaintiff was entitled to a sum of money from defendant. Even this declaration was not an order that defendant pay the sum; if defendant did not pay, plaintiff had to take further steps to execute the judgment. The decree in equity, on the other hand, was an order directed at defendant; imprisonment and fines were used not only to coerce compliance, but to punish disobedience. This difference between the remedies in the two systems of courts was summed up in the maxim that equity acts in personam and not in rem. The primary means by which equity acted in personam was the injunction—an order directing defendant to perform or to stop performing an act.

The injunction and other forms of specific relief shaped the substantive doctrines of equity. But it affected the common law as well in at least three important ways. First, the availability of specific relief through the

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injunction or specific performance when compensatory relief through a judgment for damages would be inadequate was the chief basis for drawing common law causes into equity. As a result equity now dominates many areas of controversy originally governed by the common law, because damages are an impotent remedy in such cases; a good example is nuisance. Similarly the enforcement of contracts for the sale of real property has become principally a concern of equity, because specific performance is ordered as a matter of course. Second, the availability of specific relief in equity effectively has dampened pressures to develop common law remedies in that direction. Third, the injunction was the means by which equity imposed its substantive doctrines on the common law courts. As noted in the extract from Maitland, if the chancellor found that a common law judgment had been obtained by fraud, the equity court did not purport to negate it; the chancellor simply took the equally effective step of threatening the judgment creditor with jail if the latter sought to enforce it. In similar fashion equity enjoined the bringing of suits in inconvenient fora and compelled interpleader and class actions in multiparty suits.

A plaintiff who sought specific relief also might have sustained an injury that an injunction could not cure. But there was no necessity for choosing between equitable relief and compensatory damages. A “clean-up” doctrine gave Chancery authority to accord full relief in any case of which it had cognizance even though giving such relief might mean redressing injuries for which there was an

adequate remedy at law.

b.Availability of Relief

You must not think that the doctrine of the adequate remedy at law was the only restriction on the use of equitable remedies. Equity carefully preserved its power. It was reluctant to issue orders that it might not be able to enforce or that might involve it in detailed supervision of a transaction. Traditionally, equity would not direct a party to take action outside its territorial jurisdiction or order specific performance of a building or personal services contract. For other reasons, activity that might be criminal ordinarily would not be enjoined. While the Court of Star Chamber flourished there was no call for criminal jurisdiction in equity, and after that court was abolished in 1642, Chancery, perhaps for fear of meeting a similar fate, refrained from encroaching on this particular domain of the common law courts. What aspects of Chancery procedure might have seemed particularly odious in criminal cases to people who celebrated the common law as the palladium of their liberty?

The availability of equitable relief also was hedged by doctrines of fairness and justice. Thus the opinions of the chancellor continually repeat that he who seeks equity must do equity, that he must come into equity with “clean hands,” that equity abhors a forfeiture, and that equity will not

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protect one who sleeps on his rights. Is there any reason why these ideas should have been applied only in equity?

c.Fraud

Fraud often is spoken of as a fount of equitable jurisdiction. Yet the common law also permitted actions for fraud, and defenses as well. Why was protection against fraud thought to be a peculiarly equitable concern? For at least two reasons. For one thing, it was a function of equity’s getting there first and going further. The common law would not recognize fraud as a defense to an action on a sealed instrument. Thus, before the rise of assumpsit, at a time when most of the agreements that were enforced by the courts were under seal, equity furnished the only remedy for fraud in the great bulk of cases. When simple contracts—to which fraud was a common law defense—became enforceable, Chancery sustained its lead by developing the doctrine of constructive fraud, a doctrine in which the rigid technicalities of the common law fraud concept played little part.

The second reason lay in equity’s procedure. Equity implemented its concern with fraud in two ways. First, by denying its own relief to fraudulent complainants, and second, by enjoining legal suitors from pressing their claims or enforcing their judgments. The fraud concept in the latter case has come to be known as an “equitable defense,” together with such doctrines as accident, undue influence, and estoppel. Of course, the term “equitable defense” does not indicate a defense in an equity suit, but connotes an effective—if not technical—defense to an action at law.

d.Discovery

Equity and the common law should not be thought of as conflicting systems. In many respects the relationship was one of cooperation, especially after the confrontation of 1616. The most important aspect of this mutual assistance, for our purposes, was discovery, by which a party at law might obtain through equity information for his case. The procedure and the limitations are set forth by Lord Chief Baron Abinger:

* * * A party has a right to compel the production of a document in which he has an equal interest, though not equal in degree, yet to a certain extent equal, with the party who detains it from him. In that case he may file a bill of discovery, in order to have the possession of it, and the inspection of it. A party has also a right to file a bill of discovery for the purpose of obtaining such facts as may tend to prove his case; and if those facts are either in possession of the other party, or, if they consist of documents in possession of the other party, in which he either has an interest, or which tend to prove his case, and have no relation to the case of the other party, he has a right to have them produced, and he may file a bill of discovery, in order to aid him in law or in equity,

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to exhibit those documents in evidence, or compel a statement of those facts. * * * Has he a right, as against the defendant, to discover the defendant’s case? * * * The ground on which he files his bill, is to make the defendant discover what is material to his (the plaintiff’s) case; but he has no right to say to the defendant, “Tell me what your title is—tell me what your case is—tell me how you mean to prove it—tell me the evidence you have to support it—disclose the documents you mean to make use of in support of it—tell me all these things, that I may find a flaw in your title.” Surely that is not the principle of a bill of discovery.

COMBE v. CITY OF LONDON, 4 Y. & C. Ex. 139, 154, 160 Eng.Rep. 953, 959 (Exch.1840). What aspects of equitable procedure explain the availability of discovery in equity?

D. REFORM: NEW PLEADING, ABOLITION OF THE FORMS, AND THE MERGER OF LAW AND EQUITY

1.THE EMERGENCE OF CODE PROCEDURE

The first significant reform in procedure occurred in England in the period between 1825 and 1834. Chancery practice was substantially reformed during these years. One form of writ was adopted for all three common law courts. All but three real actions were abolished. Debt and detinue were reshaped. Wager of law was ended.

The capstone of the reform was a body of new rules of pleading, drafted by a committee that included Henry Stephen, author of the treatise cited earlier in this chapter, and Sir James Parke, who, as a judge of the Court of Exchequer, was to become the foremost expositor of the new rules. Many of their recommendations were distinct improvements on existing practice; one—not accepted—would have permitted the joinder of counts in trespass and case, and amendments from the one form of action to the other. The principal defect the commissioners found in the existing system of pleading, however, was the ubiquitous availability of the general issue. The commissioners attributed to pleas of the general issue “the unnecessary accumulation of proof,” the failure to raise questions of law by demurrer, the imposition of the duty to separate law and fact upon the busy *nisi prius* judge, and the proliferation of new trials. This position was reflected by the new rules announced under the authority of an Act of Parliament by the judges of all three common law courts at Hilary Term, 1834, and known as the Hilary Rules; the defenses that could be proved under a plea of the general issue were greatly reduced, and special pleading was substantially restored. 2 C. & M. 1–30, 149 Eng.Rep. 651–63 (1834).

The result was a disaster. “Under the common-law system the matter was bad enough with a pleading question decided in every sixth case. But

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under the Hilary Rules it was worse. Every fourth case decided a question on the pleadings. Pleading ran riot.” Whittier, *Notice Pleading*, 31 Harv.L.Rev. 501, 507 (1918). Fortunately, corrective action was not long in coming. The Common Law Procedure Acts of 1852, 1854, and 1860 weakened the forms of action, expanded joinder, and liberalized pleading. Finally, the Judicature Acts of 1873 and 1875 combined Chancery and the common law courts into one Supreme Court of Judicature, fused law and equity, and abolished the forms of action. See 15 Holdsworth, *A History of English Law* 104–38 (Goodhart & Hanbury ed. 1965).

Meanwhile in the United States,¹ a new constitution in New York in 1846 abolished the Court of Chancery and directed the legislature to provide for the appointment of commissioners to “revise, reform, simplify, and abridge” the civil procedure of the state. N.Y. Const. 1846 Art. VI, § 24. The legislature implemented this directive in 1847 and expressly charged the newly appointed commissioners to “provide for the abolition of the present forms of actions and pleadings in cases at common law; for a uniform course of proceeding in all cases whether of legal or equitable cognizance, and for the abandonment * * * of any form and proceeding not necessary to ascertain or preserve the rights of the parties.” N.Y. Laws 1847, c. 59, § 8.

FIRST REPORT OF THE COMMISSIONERS ON PRACTICE AND PLEADINGS (New York) 73–74, 87, 123–24, 137–38, 140–41, 144 (1848):

The history of jurisprudence, both in this state and in England, * * * affords a most convincing proof of the wisdom of the measure adopted by the people of this state, in abolishing the distinction between law and equity tribunals. Notwithstanding their separate existence, they had, under the institutions of this state, but one common object, the administration of justice—depending not upon the mere discretion of the court, but ascertained by fixed and certain rules of law. And yet, while they were kept distinct, though their jurisdictions continually encroached upon each other, there were certain rules, not well defined, but yet existing, by which their powers were distinguished. It is, therefore, no matter of surprise, that the books are filled with cases, in which the injustice has been imposed upon parties, of suffering the loss of a substantial right, because of a mistake in the choice of a forum, before which its enforcement was sought. * * *

From the period [in which the forms of action developed] * * *—a period comparatively benighted and ignorant, in all that is valuable in

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science—to the present, these forms have been adhered to with a sort of bigoted devotion. While the principles of legal science have expanded and adapted themselves to the exigencies of each successive age, through which they have passed, we find ourselves met with the standing argument against improvement, that the time-honored institutions of ages must be held sacred, and that these forms, which may have been well suited to the age in which they originated, must be left untouched.

* * * It seems to us, clear, that neither the forms of remedies, nor the mode in which they are stated, require the complexity, in which both are now enveloped. The embarrassments, to which they have given rise, have resulted from no difficulty in determining the real rights of parties, but simply in the means of enforcing them; and in this respect, we feel no hesitation in recommending, that the retention of forms, which serve no valuable purpose, should no longer constitute a portion of the remedial law of this state. * * *

The rules respecting parties in the courts of law, differ from those in the courts of equity. The blending of the jurisdictions makes it necessary to revise these rules, to some extent. In doing so, we have had a three-fold purpose in view: first, to do away with the artificial distinctions existing in the courts of law, and to require the real party in interest to appear in court as such: second, to require the presence

of such parties as are necessary to make an end of the controversy: and third, to allow otherwise great latitude in respect to the number of parties who may be brought in.

* * *

The courts of law generally administer justice betweee [sic] those parties only who stand in the same relation to * * * [each] other; while courts of equity bring before them various parties, standing in different relations, that the whole controversy may be settled, if possible, in one suit, and others avoided. This reasonable and just rule, we would adopt for all actions. * * *

As has been already remarked, the change in the mode of pleading is the key of the reform which we propose. Without this, we should despair of any substantial and permanent improvement in our modes of legal controversy. * * *

The pleadings, we have said, are the written allegations of the parties of the cause of action on one side, and the defence on the other. Their object is three-fold: to present the facts on which the court is to pronounce the law; to present them in such a manner, as that the precise points in dispute shall be perceived, to which the proofs may be directed; and to preserve the record of the rights determined. Not one of these objects is gained by the law of pleading as it now exists in this state.

* * *

There are many treatises and books of forms, indispensable to the lawyer, on the mode of pleading and the forms of the allegations. The rules and the commentaries upon them, form one of the most technical and abstruse branches of the law * * *. We are * * * disposed to pronounce it a system of dialectics, very fit for the schoolmen with whom it originated, but unfit for the practical business of life.

So unfit has it been found, that in instances almost numberless, the legislature and the courts have departed from it and gone to the other extreme. * * * A form of plea was devised which in many cases would virtually deny every material allegation of the declaration without disclosing any particular defence. The courts from time to time have admitted new defences under these general issues, and still further to encourage them, a statute has been passed allowing the defendant to plead the general issue, and with it give notice of any defence, which he could not otherwise introduce under such issue. * * *

Besides the general issues, we have general declarations, or in technical language, common counts. These have been so contrived as to give no information of the particular demand. They also have been encouraged by the courts and numberless demands allowed to be proven under them. * * *

In truth the arguments of those who defend the present system destroy each other. One is the advantage of having the question of fact drawn out so precisely, that the court and jury may see what they have to try, and the parties be prepared with their proofs; the other is the advantage of having the facts stated in so general a form, that the allegations shall cover any state of facts that may appear on the trial, or in other words, the advantage of having no question of fact drawn out by the pleadings at all.

* * *

Disentangling the questions and separating those of fact and of law, is rarely effected by the present system of pleading at common law. * * * This is necessarily so, so long as the pleadings state the conclusions of fact, instead of the facts themselves. * * *

Following the report of the commissioners, the New York legislature enacted a Code of Civil Procedure, commonly called the Field Code after David Dudley Field, the most influential of the commissioners. N.Y Laws 1848, c. 379. Among its most important provisions were the following:

§ 69. [§ 62]ⁱ The distinction between actions at law and suits in equity, and the forms of all such actions and suits, heretofore

existing, are abolished; and, there shall be in this state, hereafter, but one form of action, for the enforcement or protection of private rights and the redress of private wrongs, which shall be denominated a civil action.

§ 140. [§ 118] All the forms of pleading heretofore existing, inconsistent with the provisions of this act, are abolished * * *.

§ 142. [§ 120] The complaint shall contain:

- 1.* * *
- 2.A statement of the facts constituting the cause of action, in ordinary and concise language, without repetition, and in such a manner as to enable a person of common understanding to know what is intended;
- 3.A demand of the relief, to which the plaintiff supposes himself entitled. If the recovery of money be demanded, the amount thereof shall be stated.

§ 156. [§ 132] No other pleading shall be allowed than the complaint, answer, reply and demurrers.

§ 159. [§ 136] In the construction of a pleading, for the purpose of determining its effect, its allegations shall be liberally construed, with a view to substantial justice between the parties.

§ 176. [§ 151] The court shall, in every stage of an action, disregard any error, or defect in the pleadings or proceedings, which shall not affect the substantial rights of the adverse party; and no judgment shall be reversed or affected by reason of such error or defect.

NOTE

In 1851 the New York legislature amended Section 142(2) to read: “A plain and concise statement of the facts constituting a cause of action without unnecessary repetition.” N.Y. Laws 1851, c. 479, § 1.

2.SOME OLD PROBLEMS PERSIST

Could it have been reasonably expected that the transition from the common law system of procedure to the code system would represent a clean break with the past? Consider the following factors:

(a)The substantive law was supposed to remain unaltered, yet the substantive law had been intimately tied to the older mode of procedure.

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Moreover, certain procedural institutions—notably trial by jury—had acquired the character of substantive rights.

(b)The most fundamental aspects of procedure—such as the necessity of striking a balance between the function of pleading as setting the limits of the controversy and the function of trial as determining the true merits of the case—are not created by a particular system of procedure but are an integral part of an adjudicative process based upon a theory of party-presentation. Indeed it is rare that any system of procedure attempts by rigid rule to settle these issues definitively. Much will depend on the attitudes, experiences, and predispositions of those who are called upon to apply the rules.

(c)The problems presented by the change in procedure confronted a profession that had traditionally chosen precedent as its polestar, a profession comprised of people who might feel they had an interest in their established ways of proceeding and who in any event were trained in analysis under the older system. The judges who were called upon to interpret the new provisions were of course established members of this profession; indeed, if the methods of judicial selection were effective, they were lawyers who had performed quite competently under the older procedure and they understandably may have been a little impatient with complaints that this procedure was replete with snares and absurdities.

Whatever the reasons, it is clear that many courts did not view the new codes as having been written on a clean slate. Even today concepts of the common law system occasionally seem to assume a significant role in the decision of pleading and procedure questions. We will see more of this in the next chapter. See Chapter 8, *infra*. For the present we will look at one aspect of the perseverance of common law notions—the “theory of the pleading” doctrine and related questions.

JONES V. WINSOR

Supreme Court of South Dakota, 1908.
[22 S.D. 480, 118 N.W. 716.](#)

CORSON, J. This is an appeal by the defendant from an order overruling his demurrer to the complaint.

It is alleged in the complaint, in substance: That on or about the 1st of April, 1907, the plaintiffs, being desirous of securing a franchise for a city railway system in the city of Sioux Falls, employed the defendant to act as an attorney for them in securing or attempting to secure an ordinance from the city council granting the plaintiffs such license; that carrying out their purpose, * * * it became necessary for the plaintiffs to make a deposit with the city treasurer, and on said day the plaintiffs delivered to the defendant the sum of \$2,500 to be by him deposited with the said treasurer of the city, and which money was so deposited * * *; that on or about the 4th day of

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April the defendant received a further sum of \$130, which was to be used by the defendant for these plaintiffs in securing or attempting to secure the said franchise; that the said franchise which plaintiffs were attempting to secure from said city was not granted to these plaintiffs, and thereupon, about the 17th day of April, the city treasurer returned to the defendant the said sum of \$2,500 “as money belonging to these plaintiffs and for their use and benefit”; that on or about the same day the said defendant rendered to these plaintiffs an account of all moneys received by him for and on account of these plaintiffs, with an itemized statement of all disbursements, and in connection therewith a pretended charge for his services or fee of \$1,250, and with said account was a draft drawn in favor of the plaintiffs for \$1,012.25; that the pretended charge of the defendant of the sum of \$1,250 as shown upon said account and alleged to be for services rendered by him is unjust, unlawful, and fraudulent, and the reasonable value of the services rendered by the defendant was not and is not of the value of more than \$250; that of the moneys so received by the defendant for and on behalf of these plaintiffs and for their use and benefit there remains in his hands the sum of \$1,000, which he has refused and still refuses to pay over to these plaintiffs, although frequently requested so to do, and “he has wrongfully and fraudulently converted to his own use the said sum of \$1,000”; that on or about the 10th day of September, 1907, the plaintiffs demanded of the said defendant payment * * * “but the said

defendant then and there refused and still refuses to pay the same or any part thereof to the plaintiffs and has wrongfully converted the same to his own use.” Wherefore “plaintiffs demand judgment against the said defendant for the sum of \$1,000 and interest thereon from the 17th day of April, 1907, for the wrongful conversion of said property and for the costs of this action.” * * *

It is contended by the appellant that the complaint does not state facts sufficient to constitute a cause of action in trover or conversion, for the reason that the complaint nowhere alleges ownership by the plaintiffs of the property alleged to have been converted at the time the action was brought; nor does it allege ownership or possession of the property in the plaintiffs at the time it is alleged to have been converted which is absolutely essential in the form of action. Assuming that the complaint in this case was intended to state an action for the conversion of this money by the defendant, it is clearly insufficient in not alleging that the plaintiffs, at the time the defendant is charged with having converted it, were the owners or in possession of the money so alleged to have been converted. * * * But it is somewhat difficult to determine from the complaint whether the plaintiffs intended that their action should be for a tort or one ex contractu, as the complaint seems to have been framed with a double aspect. Taking a general view of the allegations of the complaint, it would seem that the pleaders intended to state a cause of action as for money had and received; but looking at the complaint in another aspect, and giving effect to some of

the allegations therein, it would seem that the pleaders intended it as an action in conversion, in the nature of the old action of trover. It is contended by the respondent, in support of the ruling of the court below upon the demurrer, that the action is to recover money had and received by the plaintiffs, and that the allegations contained in the complaint alleged [sic] the fraudulent conversion of the property, etc., may be treated as surplusage. Such a complaint, framed with a double aspect or to unite distinct and incongruous causes of actions, cannot be sustained on demurrer. While our Code has abolished forms of pleading, and only requires that the facts shall be stated in a plain and concise manner without unnecessary repetition, still the distinctions between actions as they formerly existed cannot be entirely ignored. In *Pierce v. Carey*, 37 Wis. 232, * * * Chief Justice Ryan, quotes with approval * * * *Supervisors of Kewaunee County v. Decker*, 30 Wis. 624, as follows: “Dixon, C.J. It would certainly be a most anomalous and hitherto unknown condition of the laws of pleading, were it established that the plaintiff in a civil action could file and serve a complaint, the particular nature and object of which no one could tell, but which might and should be held good, as a statement of two or three or more different and inconsistent causes of action, as one in tort, one upon money demand on contract, and one in equity, all combined or fused and moulded into one count or declaration, so that the defendant must await the accidents and events of trial, and until the plaintiff’s proofs are all in, before being informed with any certainty or definiteness, what he was called upon to meet. The proposition that a complaint, or any single count of it, may be so framed with a double, treble, or any number of aspects looking to so many distinct and incongruous causes of action, in order to hit the exigencies of the plaintiff’s case or any possible demands of his proofs at the trial, we must say, strikes us as something exceedingly novel in the rules of pleading. We do not think it is the law * * *.”

As before stated, it is contended by the respondents that these allegations for conversion, etc., may be treated as surplusage, and the complaint held good as an action in assumpsit for money had and received; but in our opinion we would not be justified in holding that these allegations constitute mere surplusage and might be disregarded by the court. To so hold would introduce into the law too much uncertainty and ambiguity in pleading which would have a tendency to mislead the courts and the opposing party. A complaint should be framed upon the theory that it is either a complaint in tort or one ex contractu, and the two theories cannot be combined in one action; neither can an action at law and an action in equity be combined in one count in the same action. As was stated in the headnote in the case of *Supervisors of Kewaunee County v. Decker*, supra: “ * * * On demurrer to a complaint, or any count thereof, the court must determine what cause of action such complaint or count is designed to state, and then whether it states facts sufficient to constitute such a

cause of action; and, if not, the demurrer must be sustained, though facts may be stated sufficient to show that plaintiff has a cause of action of a different character.”

* * *

The order of the circuit court overruling the demurrer is reversed.

NOTES AND QUESTIONS

- 1.Reread the provision of the Field Code, p. 592, supra, that tells what a complaint shall contain. Is there language in that provision that lends support to the decision in the principal case?
- 2.Is it appropriate for a court to insist that plaintiff’s complaint is based on a theory that is not supported by the alleged facts, as in *Jones v. Winsor*, especially when the facts are adequate to support a different theory? Would your answer be different if the facts in the complaint were adequate to sustain either theory but the less apparent theory was the only one proved at trial? Is the result in *Jones* consistent with Section 159 of the Field Code, which is set out on p. 593, supra?

CONAUGHTY v. NICHOLS, 42 N.Y. 83 (1870). Plaintiff alleged that he had consigned goods to defendants for sale, that they had been sold for \$690.82, and that after deducting the expenses of the sale there was due to plaintiff \$618.43, that defendants had refused to

pay this amount over to plaintiff and “have converted the same to their own use.” After trial, plaintiff moved to amend the complaint by striking the allegation of conversion, but this motion was denied by the referee who then nonsuited plaintiff “on the ground that the cause of action stated in the complaint was for a tort, and the proof established a cause of action upon contract.” The General Term reversed the judgment, and the court of appeals affirmed:

* * * If the words “and have converted the same to their own use” had been omitted in the complaint, it could not reasonably be contended, that the same was not adapted to the cause of action established by the evidence. The case, therefore, seems to be reduced to the proposition, whether the plaintiff, having alleged facts constituting a cause of action, and having sustained them by proof upon the trial, should have been nonsuited, because the pleading contained an allegation adapted to a complaint in an action *ex delicto*, and which was unnecessary to be stated or proved, to justify a recovery on contract. We are of opinion that no such rigid rule of construction in regard to pleading should prevail under the liberal system introduced by the Code.

* * * If the complaint in question had merely stated facts sufficient to authorize a recovery for a wrongful detention of the money, and

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upon the trial, the plaintiff had applied to amend by inserting facts appropriate to a cause of action on contract, and thereby changing the form and character of the action, the application should have been denied. That, however, was not the case, as the facts were fully stated, and the defendants apprized of what they were to meet upon the trial, and there was no pretense that they were surprised. If they chose to accept the complaint without moving to strike out any portion of it, or to compel the plaintiff to make it more definite, or to elect in regard to the form of action, they should not, upon the trial, have been allowed to prevent a recovery by the plaintiff of a judgment for the amount of his demand. * * * It is quite probable that the plaintiff intended, down to the trial, to recover against the defendants for a wrongful conversion of the proceeds of the sale of the property consigned to them, and doubtless the mistake should have been fatal but for the ample statement of facts contained in the complaint, which justified a recovery on contract for the amount of his demand. It does not follow that, because the parties go down to the trial upon a particular theory, which is not supported by the proof, the cause is to be dismissed, when there are facts alleged in the complaint, and sustained by the evidence, sufficient to justify a recovery upon a different theory or form of action. * * *

NOTE AND QUESTIONS

Is *Conaughty* consistent with *Jones v. Winsor*? “The reasoning of the Court in *Conaughty v. Nichols* that where the pleading is misleading the defendant should move to make it definite or to have the pleader elect between the possible theories, and that if he proceeds without doing so he is to be taken as fully understanding the pleading, seems very weak.” Whittier, *The Theory of a Pleading*, 8 Colum.L.Rev. 523, 534 (1908). Why? If you were preparing a complaint in New York after *Conaughty*, what lesson would you draw from the opinion in that case?

GARRITY V. STATE BOARD OF ADMINISTRATION

Supreme Court of Kansas, 1917.
[99 Kan. 695, 162 P. 1167.](#)

PORTER, J. * * * A demurrer to the petition was sustained; plaintiff elected to stand upon the petition and appeals.

The petition charges that in July, 1911, the board of regents of the state university, by its assistant curator of mammals, wrongfully and without plaintiff’s knowledge or consent, entered upon his farm in Wallace county and removed therefrom a large and valuable fossil, the property of plaintiff, and wrongfully converted it to the use and benefit of the board of regents and its successors, depositing the fossil in the museum of the

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university for exhibition and scientific purposes; that the fossil was of the value of \$2,500, and plaintiff had received no compensation therefor. It is alleged that the board of administration is a board created by law for the government, management, and control of the university of Kansas, * * * and is the successor of the board of regents, subrogated to the rights, duties, and responsibilities of the board of regents, and subject to its obligations and liable for its debts and contracts. * * *

1.It is the defendants’ contention that both the original and the amended petition were subject to demurrer because, if they stated a cause of action at all, it was barred by the statute of limitations; that the action is one sounding in tort, and therefore barred by the two-year statute * * *. On the other hand the plaintiff claims the right to waive the tort and recover upon an implied promise to pay what the fossil is worth. We think, if [the] petition stated a cause of action against defendants, it must be held that sufficient facts were stated to authorize plaintiff to waive the tort and rely upon an implied promise to pay the value of the property converted. * * *

The two-year statute of limitations was therefore no bar to the action.

* * *

3.The principal question raised by the appeal is whether the action can be maintained against the board of administration, the original defendant. Prior to 1913 the state university was managed and controlled by a board of regents which was a body corporate

created by the Legislature. It went out of existence when the act of 1913 placed the state educational institutions in control of the state board of administration, which was not made a body corporate. The act * * * provided that the board shall manage and control the property of the educational institutions named, including the state university, and conferred upon the board power “to execute trusts or other obligations now or hereafter committed to any of the said institutions * * *.” The power “to execute trusts or other obligations now or hereafter committed to any of * * * said institutions” cannot be construed so as to make either the board of administration or its members liable for a tort committed by the board of regents; and the plaintiff cannot, by waiving the tort, make either the board or its members liable upon the theory of an implied promise.

* * *

The judgment is affirmed. All the Justices concurring.

NOTES AND QUESTIONS

1.Is *Garrity*, in either its statute-of-limitations aspect or its liability aspect, concerned with the theory of the pleading? In what way, if any, is the problem in *Garrity* different?

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2.Why did the court hold that the action was in contract for purposes of the statute of limitations but in tort for purposes of deciding whether the Board was liable for the Regents’ action?

3.Governments generally are immune from suit except as their immunity has been expressly waived by statute. ¹ Suits in contract were more commonly consented to than suits in tort. See 3 Davis, *Administrative Law Treatise* § 25.01 (1958). Under a statute consenting to suit in contract only, should a plaintiff be permitted to “waive” a tort and sue in “assumpsit”?

4. In a contract action, may a claim for money had and received based upon a conversion be brought as a counterclaim under a statute that provides that “in an action on contract, any other cause of action on contract” may be brought as a counterclaim? See *Manhattan Egg Co. v. Seaboard Terminal & Refrig. Co.*, 137 Misc. 14, 242 N.Y.S. 189 (N.Y. City Ct. 1929).

3.THE ARRIVAL OF MODERN PROCEDURE

Modern procedure arrived on September 16, 1938, when the Federal Rules of Civil Procedure came into effect. The adoption of the Federal Rules followed an extended period of agitation for uniform procedural rules in the federal district courts and for uniting the procedure of law and equity under one form of action. In 1934, Congress passed the Rules Enabling Act, 28 U.S.C. § 2072, authorizing the United States Supreme Court to promulgate rules of procedure for the district courts. On June 3, 1935, the Supreme Court appointed an Advisory Committee of distinguished lawyers and law professors to prepare and submit a draft of unified rules. The Committee prepared and received public comments on two published drafts. It submitted its final report to the Supreme Court in November 1937. The Supreme Court carefully reviewed and made a number of changes in the rules recommended by the Committee. The rules as adopted by the Court on December 20, 1937, were transmitted to the Attorney General and were submitted by him to the 75th Congress on January 3, 1938. Pursuant to the terms of the Rules Enabling Act, the rules came into effect when the Congress adjourned without taking action to postpone their effective date. See generally Burbank, *The Rules Enabling Act of 1934*, 130 U.Pa.L.Rev. 1015 (1982).

The chief characteristics of the Federal Rules were intended to be common sense, simplicity, and flexibility of procedure, with the goal of providing a uniform set of rules for all substantive areas of law. The original version of Rule 1 stated that the purpose of the rules was “to secure the just, speedy, and inexpensive determination of every action and

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proceeding.” Some of the major aspects in which the Rules advanced federal practice were the union of law and equity as one form of action, the simplification of pleadings and issues, pretrial procedure, discovery, and trial reforms. See Subrin, *How Equity Conquered Common Law: The Federal Rules of Civil Procedure in Historical Perspective*, 135 U.Pa.L.Rev. 909 (1987). Over time, the federal rules have become more complex, substantively-specific, and less uniform. See Marcus, *The Past, Present, and Future of Trans-Substantivity in Federal Civil Procedure*, 59 De Paul L.Rev. 371 (2010); Bone, *The Process of Making Process: Court Rulemaking, Democratic Legitimacy, and Procedural Efficacy*, 87 Geo.L.J. 887 (1999).

NOTE

The Federal Rules of Civil Procedure have had a strong impact on court procedures in most of the states. Nonetheless, state rules of civil procedure still vary greatly. Some states had adopted code systems similar to New York’s Field Code, others modeled their rules after the Federal Rules, and others maintained common law rules. Most states have been influenced by two or more of these models and have adopted elements of each. For example, some states, such as Delaware and New Jersey, have maintained separate court systems for law and for equity, yet they have abandoned common law pleading. For a state-by-state discussion, see Oakley, *A Fresh Look at the Federal Rules in State Courts*, 3 Nev.L.J. 354 (2003); and Oakley & Coon, *The Federal Rules in State Courts: A Survey of State Court Systems of Civil Procedure*, 61 Wash.L.Rev. 1367 (1986). The practice of state procedure also has had an effect on the development and amendment of the Federal Rules, and the process of reform continues to draw from state procedural experiences. See Koeltl, *Progress in the Spirit of Rule 1*, 60 Duke L.J. 537, 541 (2010).

This edition is based upon Stephen’s own second edition of 1827, which is the last of his editions before the reform of common law pleading in England in 1834.

^bSee Lea, Superstition and Force 252, 279 (3d ed. 1878). In ordeal by water, it was thought that the water would reject the evildoer; a rope was tied to the person making the proof in the hope that if proved innocent he could be kept from drowning.

^cA similar desire to avoid trial by combat was among the causes for the desuetude of the writ of right, once the most important action. Preference for jury trial also encouraged the expanding jurisdiction of royal courts at the expense of the feudal courts since the jury was found only in the former.

^dFor a time in the fourteenth century it seemed that wager of law might be denied when the facts were well known to witnesses, but this development aborted. Fifoot, History and Sources of the Common Law—Tort and Contract 28–29 (1949). By the last quarter of the sixteenth century, however, “a defendant proposing to wage his law was somehow examined and admonished.” Milsom, Historical Foundations of the Common Law 292–93 (1969).

^eAfter a successful demurrer to a dilatory plea, judgment was not entered for plaintiff, but by an order *respondeat ouster*, defendant was directed to plead over.

^fThis privilege was widely used because of the strictness of the rule against *variances* between pleading and proof. A good example of the prohibition on variances is *Latham v. Rutley*, 2 B. & C. 20, 107 Eng.Rep. 290 (K.B. 1823). Plaintiff who had pleaded breach of a contract to carry and deliver goods safely was nonsuited because he proved a contract to carry and deliver goods safely, fire and robbery excepted, even though the verdict established that the loss was not caused by either fire or robbery.

^gPlaintiff’s equivalent to the plea of the general issue, the replication *de injuria*, was less frequently available, and in most cases plaintiff was permitted to seize on only one facet of the plea. The most famous illustration is *Crogate’s Case*, 8 Coke 66b, 77 Eng.Rep. 574 (K.B. 1608), which forms the basis for a brilliant satire on the common law system. Hayes, *Crogate’s Case: A Dialogue in Ye Shades on Special Pleading*, in 9 Holdsworth, A History of English Law 417 (2d ed. 1938).

^hThe textual discussion is limited to states with a common law heritage. Louisiana had adopted a system based on Spanish law with only one form of action by 1812, the year it was admitted to the Union. Texas experimented briefly with separate systems but by 1845 had a unitary system based on Spanish-Mexican jurisprudence.

ⁱThe New York legislature added several sections to the Code in 1849, and renumbered the provisions first enacted in 1848 with some very slight changes in language. N.Y. Laws 1849, c. 438. Because the 1849 version became the best known, it is used here. Section numbers in brackets refer to the sections of the 1848 Code.

^jIt was not until the late nineteenth century that the United States waived its immunity to contract disputes, see Tucker Act, Ch. 359, 24 Stat. 505 (1887) (codified as amended in scattered sections of 28 U.S.C., and especially 28 U.S.C. § 1346(a)(2) & § 1491). In the mid-twentieth century, the United States waived its immunity in tort actions, see Federal Tort Claims Act of 1946, Ch. 753, 60 Stat. 843 (codified as amended in scattered sections of 28 U.S.C.). See 14 Wright, Miller & Hershkoff, Federal Practice and Procedure §§ 3651–3660.1 (4th ed.).

CHAPTER 8

MODERN PLEADING



This chapter explores modern pleading rules and how they relate to other aspects of pretrial practice. Federal Rule 8, which governs pleading, calls for a short and plain statement of the claim, which, if established, entitles the pleader to relief. This rule, combined with the requirement of a certification under Federal Rule 11 that the pleadings are not frivolous, was considered sufficient to provide notice to defendant, to set out the facts, to narrow the issues, and to deter the filing of baseless claims that may clog a court’s calendar and harass an opponent. Over the last two decades, the Supreme Court has reoriented this pleading regime to heighten the complaint’s screening function. As you read these materials, consider whether this doctrinal shift reflects an appropriate response to unwarranted litigation or, as Professor Miller has written, an excessive emphasis on cost reduction that in some cases blocks even meritorious claims from obtaining relief. See Miller, *Simplified Pleading, Meaningful Days in Court, and Trials on the Merits: Reflections on the Deformation of Federal Procedure*, 88 N.Y.U.L.Rev. 286 (2013).

A. THE COMPLAINT

1.PLEADING AT COMMON LAW

Pleading rules in the United States owe their origins to the manner of allegation that developed in the English royal courts during the medieval period. See Chapter 7, *supra*. At common law, a person with a grievance against another sought justice from the king, and the king issued a writ, ordering the sheriff to bring the other person before the king’s judges to answer the complaint. During the twelfth century, this pattern became standardized. When it became established that the king’s courts would hear a particular kind of case, the complainant could obtain a writ from the king’s chief minister, the chancellor, as a matter of course. The writ was the document that commenced the action, similar in function to the modern summons. Each writ came to embody a form of action, a concept that governed the method of commencing the suit, the substantive requirements of the case, the manner of trial, and the type of sanction that would attend the eventual judgment. If plaintiff selected a writ that did not fit the dispute, the action would fail. Sir Henry Maine famously stated that the common law developed “in the interstices of Procedure,” as courts adapted

the royal writs to recognize new rights and remedies. Maine, *Early Law and Custom* 389 (1886).

NOTES AND QUESTIONS

1.At comm on law, plaintiff’s claim was set forth in the declaration. Stripped of much verbiage, and stated in modern English, it might have said: “Defendant promised to deliver a horse to plaintiff and plaintiff promised to pay 100 dollars for it, but defendant has refused to deliver the horse.”

2.A substantive response to a claim, other than an expression of total agreement, would require defendant to demur or to plead. A demurrer would challenge the legal sufficiency of plaintiff’s declaration. If defendant did not demur, he responded to the declaration in a plea. Pleas were of two types, dilatory and peremptory. A dilatory plea did not deny the merits of plaintiff’s claim, but rather challenged plaintiff’s right to have the court hear the case and included various pleas to the jurisdiction of the court. A peremptory plea, or plea in bar, was on the merits.

3.If defendant entered a plea, plaintiff had three choices. First, plaintiff could demur on the ground that the plea did not state a valid defense. For example, if plaintiff had alleged a breach of contract and defendant had pleaded that he was a minor at the time the contract was entered into, the demurrer would raise the question whether defendant’s minority was a defense. Second, plaintiff could plead in a replication that defendant had not been a minor. Or, finally, plaintiff might have admitted that defendant had been a minor and pleaded, by way of confession and avoidance, that defendant had lied about his age.

2.DETAIL REQUIRED UNDER THE CODES

In the United States, New York took the lead in reforming common law pleading. In 1848, that state’s legislature enacted a Code of Civil Procedure, commonly called the Field Code. The Field Code proved to be a prototype for codes in numerous other states; at one time more than half the states had codes patterned after the Field Code. This Code also was a precursor to the Federal Rules.

Code pleading differed from the writ system by requiring the pleader to allege a statement of facts constituting the cause of action for which relief was sought. In theory, code pleading operated according to the logic of a syllogism: The allegations provided the minor premise, the law provided the major premise, and the court provided the conclusion. See Julian, *Charles E. Clark and Simple Pleading: Against a “Formalism of Generality,”* 104 Nw.U.L.Rev. 1179, 1186 (2010). In practice, code pleading became mired in technicality, for it was not simple to know what facts to state. Professor Clark, the key architect of the Federal Rules, criticized the codes as resting on a “vain attempt to restrict the pleading to only ‘the

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ultimate facts,’ excluding on the one hand evidential facts and on the other legal conclusions.” Clark, *Pleading Negligence*, 32 Yale L.J. 483, 484 (1923).

Code pleading persists in some states, requiring a “statement of facts” constituting a “cause of action” or demonstrating a “right to relief.” Is there a difference between these formulations? Some state provisions call for a statement of “ultimate facts.” A number of these codes soften any harsh results of technical enforcement by stating that a pleading is satisfactory if it gives “fair notice” to the opposing party.

COOK, STATEMENTS OF FACT IN PLEADING UNDER THE CODES, 21 Colum.L.Rev. 416, 416–19, 423 (1921) (footnotes omitted):

In * * * [*California Packing Corp. v. Kelly Storage & Distributing Co.*, 228 N.Y. 49, 126 N.E. 269 (1920)] the plaintiff alleged in his complaint that the promise for the breach of which he was suing was made in exchange for “a valuable consideration.” The case went to the Court of Appeals upon the question whether this allegation is a “statement of fact” or a “conclusion of law.” [The court held it was the former.] * * * An examination of the authorities in [New York and] other code jurisdictions reveals a conflict of authority. * * *

* * *

[Upon careful analysis] * * * it will appear at once that there is no logical distinction between statements which are grouped by the courts under the phrases “statements of fact” and “conclusions of law.” It will also be found that many, although by no means all, pleadings held bad because they are said to plead “evidence” rather than “the facts constituting the cause of action” or defense really do nevertheless “state” the operative facts which the pleader will have to prove at the trial, but in a form different from that to which courts and lawyers are accustomed to recognize as a proper method of pleading. * * *

* * *

The facts of life which compose the group of “operative facts” to which the law attaches legal consequences are always *specific* and not *generic*. * * * [I]n an action on the case for, let us say, negligently injuring the plaintiff by the operation of an automobile, the “operative” or “ultimate” facts proved at the trial will always be specific. It will appear that the defendant was driving a particular kind of automobile at some particular rate of speed, *etc., etc.* If now a plaintiff were to state the facts thus specifically in his complaint he would doubtless be told by the average court that he had “pleaded his evidence” and not the “facts constituting the cause of action.” This would of course be erroneous. What is according to accepted notions the proper way to plead is merely a mode of stating the facts generically rather than specifically.

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It must of course be recognized that at times a pleader really does err by “pleading evidence,” *i.e.*, by stating, generically or specifically, facts which do not form part of the group of operative facts, but are merely facts from which by some process of logical inference the existence of the operative facts can be inferred. More often, however, the “error” consists merely in pleading the operative facts more specifically than is usual.

* * * Let us now examine “conclusions of law.” The first thing noticed upon analysis is that a so-called “conclusion of law” is a generic statement which can be made only after some legal rule has been applied to some specific group of operative facts. Consider, for example, a statement in a pleading that “defendant owes plaintiff \$500.” Standing by itself in a pleading this is usually treated as a mere “conclusion of law.” It can, however, be made only when one knows certain facts and also the applicable legal rule. It is, in fact, the conclusion of a logical argument: Whenever certain facts, a, b, c, *etc.*, exist, B (defendant) owes A (plaintiff) \$500; facts a, b, c, *etc.*, exist; therefore B owes A \$500. This being so, when the bare statement is made that “B owes A \$500” we may, if we wish, regard it as a statement in generic form that all the facts necessary to create the legal duty to pay money described by the word “owe” are true as between A and B. In dealing, for example, with misrepresentation, such statements are more often than otherwise regarded in exactly this way. The same statement may, however, under proper circumstances be merely a statement as to the law applicable to facts given or known, and so be purely a statement of a “conclusion of law.” * * *

* * *

* * * How specific or how generic statements in a pleading may and must be can obviously not be settled by mere logic, but according to notions of fairness and convenience. The pleading should give the adversary and the court reasonable notice of the real nature of the claim or defense; nothing more should be required. * * *

In GILLISPIE v. GOODYEAR SERVICE STORES, 258 N.C. 487, 128 S.E.2d 762 (1963), plaintiff alleged:

[T]he defendants, without cause or just excuse and maliciously came upon and trespassed upon the premises occupied by the plaintiff as a residence, and by the use of harsh and threatening language and physical force directed against the plaintiff assaulted the plaintiff and placed her in great fear, and humiliated and embarrassed her by subjecting her to public scorn and ridicule, and caused her to be seized and exhibited to the public as a prisoner, and to be confined in a public jail, all to her great humiliation, embarrassment and harm.

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Id. at 487, 128 S.E.2d at 763. Under the North Carolina code then in force, plaintiff was required to provide a “plain and concise statement of the facts constituting a cause of action.” North Carolina cases interpreting the pleading standard had stated that the complaint must “disclose the issuable facts” and allege “the material, essential and ultimate facts upon which plaintiff’s right of action is based.” The court held that the allegations were insufficient, noting that the pleading was necessary not only to enable the opposing party to respond but also to enable the court to declare the law upon the facts stated. The court could not do so if “a mere legal conclusion” such as “assault” or “trespass” was stated. The court concluded:

The complaint states no facts upon which * * * legal conclusions may be predicated. Plaintiff’s allegations do not disclose what occurred, when it occurred, where it occurred, who did what, the relationships between defendants and plaintiff or of defendants inter se, or any other factual data that might identify the occasion or describe the circumstances of the alleged wrongful conduct of defendants.

Id. at 490, 128 S.E.2d at 766.

The court also discussed the sufficiency of pleadings in other types of cases:

When a complaint alleges defendant is indebted to plaintiff in a certain amount and such debt is due, but does not allege in what manner or for what cause defendant became indebted to plaintiff, it is demurrable for failure to state facts sufficient to constitute a cause of action. * * *

“In an action or defense based upon negligence, it is not sufficient to allege the mere happening of an event of an injurious nature and call it negligence on the part of the party sought to be charged. This is necessarily so because negligence is not a fact in itself, but is the legal result of certain facts. Therefore, the facts which constitute the negligence charged and also the facts which establish such negligence as the proximate cause, or as one of the proximate causes, of the injury must be alleged.” Shives v. Sample, 238 N.C. 724, 79 S.E.2d 193 (1953).

Id. at 489–90, 128 S.E.2d at 765.

NOTES AND QUESTIONS

1.Under the codes, a complaint could be defective as a matter of fact or of law. Writing in 1947, Professor Clark observed: “Quite commonly an allegation has been held bad as a statement of law only. The stating of

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evidence, while subject to criticism, is not so often held to render the pleading bad, since the court itself will draw the ultimate conclusion where it is the one necessarily following from the allegations made.” Clark, Code Pleading § 38 (2d ed. 1947). Is it so clear when an ultimate conclusion will “necessarily follow” from the statement of facts? Compare Robinson v. Meyer, 135 Conn. 691, 693–94, 68 A.2d 142, 143 (1949), in which the court inferred title by adverse possession on the basis of allegations of “all the facts necessary to establish ouster,” with O’Regan v. Schermerhorn, 25 N.J. Misc. 1, 50 A.2d 10 (Sup.Ct.1946), in which the court refused to infer the defense of truth in a defamation suit when defendant alleged he believed the

statement to be true and further alleged the facts on which that belief was based.

2.Is the court in *Gillispie* legitimately concerned with the inability of defendants to ascertain the claims against them in order that they might answer and prepare their defenses? Can it be said that the pleading in *Gillispie* is unsatisfactory because the trial judge will not know what evidence is or is not relevant?

3.To what extent might the court in *Gillispie* have been motivated by the notion that a detailed account of the facts might show that plaintiff did not have a valid claim for relief? Is it significant that at the time of the *Gillispie* decision North Carolina did not have a provision for summary judgment, which allows a party to challenge an opponent’s allegations that lack evidentiary support? Has the North Carolina court simply followed a hard and fast line concerning the “fact” pleading requirement, thereby undermining its basic purpose as a device for pretrial communication?

4.Plaintiff was given leave to amend the complaint after the *Gillispie* decision. Suppose that plaintiff’s amended complaint also is deficient. Will she be given leave to amend again? How should the right to amend affect the question of whether a pleading is satisfactory?

3.DETAIL REQUIRED UNDER THE FEDERAL RULES OF CIVIL PROCEDURE

Read Federal Rules of Civil Procedure 8(a) and 12(b) in the Supplement.

DIOGUARDI V. DURNING

United States Circuit Court of Appeals, Second Circuit, 1944.
[139 F.2d 774.](#)

CLARK, CIRCUIT JUDGE. In his complaint, obviously home drawn, plaintiff attempts to assert a series of grievances against the Collector of Customs at the Port of New York growing out of his endeavors to import

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merchandise from Italy “of great value,” consisting of bottles of “tonics.” We may pass certain of his claims as either inadequate or inadequately stated and consider only these two: (1) that on the auction day, October 9, 1940, when defendant sold the merchandise at “public custom,” “he sold my merchandise to another bidder with my price of \$110, and not of his price of \$120,” and (2) “that three weeks before the sale, two cases, of 19 bottles each case, disappeared.” Plaintiff does not make wholly clear how these goods came into the collector’s hands, since he alleges compliance with the revenue laws; but he does say he made a claim for “refund of merchandise which was two-thirds paid in Milano, Italy,” and that the collector denied the claim. These and other circumstances alleged indicate (what, indeed, plaintiff’s brief asserts) that his original dispute was with his consignor as to whether anything more was due upon the merchandise, and that the collector, having held it for a year (presumably as unclaimed merchandise under 19 U.S.C.A. § 1491), then sold it, or such part of it as was left, at public auction. For his asserted injuries plaintiff claimed \$5,000 damages, together with interest and costs, against the defendant individually and as collector. This complaint was dismissed by the District Court, with leave, however, to plaintiff to amend, on motion of the United States Attorney, appearing for the defendant, on the ground that it “fails to state facts sufficient to constitute a cause of action.”

Thereupon plaintiff filed an amended complaint, wherein, with an obviously heightened conviction that he was being unjustly treated, he vigorously reiterates his claims, including those quoted above and now stated as that his “medicinal extracts” were given to the Springdale Distilling Company “with my betting [bidding?] price of \$110: and not their price of \$120,” and “It isn’t so easy to do away with two cases with 37 bottles of one quart. Being protected, they can take this chance.” An earlier paragraph suggests that defendant had explained the loss of the two cases by “saying that they had leaked, which could never be true in the manner they were bottled.” On defendant’s motion for dismissal on the same ground as before, the court made a final judgment dismissing the complaint, and plaintiff now comes to us with increased volubility, if not clarity.

It would seem, however, that he has stated enough to withstand a mere formal motion, directed only to the face of the complaint, and that here is another instance of judicial haste which in the long run makes waste. Under the new rules of civil procedure, there is no pleading requirement of stating “facts sufficient to constitute a cause of action,” but only that there be “a short and plain statement of the claim showing that the pleader is entitled to relief,” * * *. Rule 12(b) is for failure to state “a claim upon which relief can be granted.” The District Court does not state why it concluded that the complaints showed no claim upon which relief could be granted; and the United States Attorney’s brief before us does not

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help us, for it is limited to the prognostication—unfortunately ill founded so far as we are concerned—that “the most cursory examination” of them will show the correctness of the District Court’s action.

We think that, however inartistically they may be stated, the plaintiff has disclosed his claims that the collector has converted or otherwise done away with two of his cases of medicinal tonics and has sold the rest in a manner incompatible with the public auction he had announced—and, indeed, required by 19 U.S.C.A. § 1491, above cited, and the Treasury Regulations promulgated under it * * *. As

to this latter claim, it may be that the collector’s only error is a failure to collect an additional ten dollars from the Springdale Distilling Company; but giving the plaintiff the benefit of reasonable intendments in his allegations (as we must on this motion), the claim appears to be in effect that he was actually the first bidder at the price for which they were sold, and hence was entitled to the merchandise. Of course, defendant did not need to move on the complaint alone; he could have disclosed the facts from his point of view, in advance of a trial if he chose, by asking for a pre-trial hearing or by moving for a summary judgment with supporting affidavits. But, as it stands, we do not see how the plaintiff may properly be deprived of his day in court to show what he obviously so firmly believes and what for present purposes defendant must be taken as admitting. * * *

On remand, the District Court may find substance in other claims asserted by plaintiff, which include a failure properly to catalogue the items (as the cited Regulations provide), or to allow plaintiff to buy at a discount from the catalogue price just before the auction sale (a claim whose basis is not apparent), and a violation of an agreement to deliver the merchandise to the plaintiff as soon as he paid for it, by stopping the payments. In view of plaintiff’s limited ability to write and speak English, it will be difficult for the District Court to arrive at justice unless he consents to receive legal assistance in the presentation of his case. The record indicates that he refused further help from a lawyer suggested by the court, and his brief (which was a recital of facts, rather than an argument of law) shows distrust of a lawyer of standing at this bar. It is the plaintiff’s privilege to decline all legal help * * *; but we fear that he will be indeed ill advised to attempt to meet a motion for summary judgment or other similar presentation of the merits without competent advice and assistance.

Judgment is reversed and the action is remanded for further proceedings not inconsistent with this opinion.

NOTES AND QUESTIONS

1.Dioguar di’s amended complaint read as follows:

UNITED STATES DISTRICT COURT
SOUTHERN DISTRICT OF NEW YORK
JOHN DIOGUARDI
Plaintiff,
-against-
HARRY M. DURNING Individually and as Collector of Customs at the Port of New York
Defendant
Plaintiff, as and for his bill of amended complaint the defendant, respectfully alleges:
FIRST: I want justice done on the basis of my medicinal extracts which have disappeared saying that they had leaked, which could never be true in the manner they were bottled.
SECOND: Mr. E.G. Collord Clerk in Charge, promised to give me my merchandise as soon as I paid for it. Then all of a sudden payments were stopped.
THIRD: Then, he didn’t want to sell me my merchandise at catalogue price with the 5% off, which was very important to me, after I had already paid \$5,000 for them, beside a few other expenses.
FOURTH: Why was the medicinally given to the Springdale Distilling Co. with my betting price of \$110; and not their price of \$120.
FIFTH: It isn’t so easy to do away with two cases with 37 bottles of one quart. Being protected, they can take this chance.
SIXTH: No one can stop my rights upon my merchandise, because of both the duly and the entry.
WHEREFORE: Plaintiff demands judgment against the defendant, individually and as Collector of Customs at the Port of New York, in the sum of Five Thousand Dollars (\$5,000) together with interest from the respective dates of payment as set forth herein, together with the costs and disbursements of this action.

What facts did Dioguardi’s complaint allege? Did it articulate a legal theory of relief? Although Judge Clark’s opinion identified a conversion claim, did the complaint ever allege that the Collector of Customs took plaintiff’s tonic? On what basis did the Court of Appeals draw the inferences needed to uphold the sufficiency of the complaint and permit plaintiff to proceed to discovery to prove his allegations? The *Dioguardi* decision was sharply

criticized in McCaskill, *The Modern Philosophy of Pleading: A Dialogue Outside the Shades*, 38 A.B.A.J. 123 (1952), which became a focal point of opposition to the notice pleading standard introduced by the Federal Rules.

2. How would *Dioguardi* have been decided in a code jurisdiction that requires a statement of “facts constituting a cause of action”?

3. The burden of pleading determines which party is required to introduce an issue into the litigation by alleging the matter in the pleading. See Hamabe, *Functions of Rule 12(b)(6) in the Federal Rules of Civil Procedure: A Categorization Approach*, 15 Campbell L.Rev. 119, 172 (1993). If the burden is assigned to plaintiff, then the complaint must allege the issue, and if plaintiff fails to do so, the complaint is vulnerable to dismissal for failure to state a claim. If the burden is assigned to defendant, then defendant must raise the issue as an affirmative defense, and if defendant fails to do so, defendant will be barred from proving that defense at trial. Generally, the burden of pleading is assigned to the party who has the burden of proof on that issue at trial, but the burdens do not always coincide. It often is said that plaintiff must plead an issue that is essential to the case. Isn’t this circular? Should plaintiff have to plead the nonexistence of defenses that defendant potentially has and might raise? Lee, *Pleading and Proof: The Economics of Legal Burdens*, 1997 B.Y.U.L.Rev. 1.

4. By surviving a motion to dismiss, plaintiff in *Dioguardi* met the burden of pleading. But that does not mean that plaintiff won the lawsuit. Rather, the case would now move forward to discovery and to resolution on the merits. See Clark, *Simplified Pleading*, 2 F.R.D. 456 (1941).

In *CONLEY v. GIBSON*, 355 U.S. 41, 78 S.Ct. 99, 2 L.Ed.2d 80 (1957), the Supreme Court cited *Dioguardi* and expressed its views on the degree of detail required by Rule 8(a). Justice Black’s opinion for a unanimous Court stated:

* * * In appraising the sufficiency of the complaint we follow, of course, the accepted rule that a complaint should not be dismissed for failure to state a claim unless it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief. * * *

* * * [T]he Federal Rules of Civil Procedure do not require a claimant to set out in detail the facts upon which he bases his claim. To the contrary, all the Rules require is “a short and plain statement of the claim” that will give the defendant fair notice of what the plaintiff’s claim is and the grounds upon which it rests. The illustrative forms appended to the Rules plainly demonstrate this. Such simplified “notice pleading” is made possible by the liberal opportunity for discovery and the other pretrial procedures established by the Rules to disclose more precisely the basis of

both claim and defense and to define more narrowly the disputed facts and issues. * * * [W]e have no doubt that petitioners’ complaint adequately set forth a claim and gave the respondents fair notice of its basis. The Federal Rules reject the approach that pleading is a game of skill in which one misstep by counsel may be decisive to the outcome and accept the principle that the purpose of pleading is to facilitate a proper decision on the merits. * * *

Id. at 45–48, 78 S.Ct. 102–03, 2 L.Ed.2d at 84–86.

NOTE AND QUESTION

The *Conley* litigation was brought by a group of Black workers alleging that their union had discriminated against them in violation of its duty of fair representation under the federal Railway Labor Act. See Sherwin, *The Story of Conley: Precedent by Accident*, in *Civil Procedure Stories* 282 (Clermont ed., 2d ed. 2008). Research drawn from Justice Black’s papers suggests how the *Conley* standard developed:

The “no set of facts” language appears in Black’s initial draft and there is no suggestion in the papers that it was viewed within the Court as controversial in any way. * * * [The language] was borrowed from extant commentary of the time * * * [and] Black’s draft * * * cited Moore’s Federal Practice for the proposition. The Court’s final decision substituted three case citations for Moore’s. But the powerful closing paragraph of the Court’s decision underwent some interesting evolution, first at Black’s hand and then in response to a request from Justice John Marshall Harlan. After some revising, the paragraph appeared as follows when first printed and circulated within the Court on November 13, 1957:

The Federal Rules reject the approach that pleading is a game of skill in which one misstep by counsel may be decisive to the outcome and accept the principle that pleadings simply serve as a useful means to facilitate a proper decision on the merits. . . . Under the Rules the best cause, not the cleverest pleader, is to prevail.

Black received the following note from Harlan later that same day:

Dear Hugo:

As you know, I have more of a yen for procedural rules than you have, and this leads me to ask you to consider omitting the last two sentences in the run-over paragraph on page 7. In suggesting this, I am prompted by two considerations; first, that what you say there is not at all necessary to your opinion, and second, that I like your opinion and want to be able to join it.

While I agree that we have moved a long distance away from the technicalities of common law and code pleading—and properly so—I think that proper pleading still has its place in the sound administration of justice!

Sincerely,

JMH./s/

Black responded with the final language, which revised the next to last sentence of his opinion and dropped the last. * * *

Gavil, *Civil Rights and Civil Procedure: The Legacy of Conley v. Gibson*, 52 How.L.J. 1, 10–12 (2008). How would the omitted language have affected the *Conley* pleading standard?

SWIERKIEWICZ v. SOREMA N.A., 534 U.S. 506, 122 S.Ct. 992, 152 L.Ed.2d 1 (2002), addressed whether a complaint in an employment discrimination lawsuit “must contain specific facts establishing a prima facie case of discrimination.” In a unanimous opinion for the Court, Justice Thomas wrote that “an employment discrimination complaint need not include such facts and instead must contain only ‘a short and plain statement of the claim showing that the pleader is entitled to relief.’ ” The opinion explained:

Petitioner Akos Swierkiewicz is a native of Hungary, who at the time of his complaint was 53 years old. * * * In April 1989, petitioner began working for respondent Sorema N. A., a reinsurance company headquartered in New York and principally owned and controlled by a French parent corporation. Petitioner was initially employed in the position of senior vice president and chief underwriting officer (CUO). Nearly six years later, Francois M. Chavel, respondent’s Chief Executive Officer, demoted petitioner to a marketing and services position and transferred the bulk of his underwriting responsibilities to Nicholas Papadopoulos, a 32-year-old who, like Mr. Chavel, is a French national. About a year later, Mr. Chavel stated that he wanted to “energize” the underwriting department and appointed Mr. Papadopoulos as CUO. Petitioner claims that Mr. Papadopoulos had only one year of underwriting experience at the time he was promoted, and therefore was less experienced and less qualified to be CUO than he, since at that point he had 26 years of experience in the insurance industry.

Following his demotion, petitioner contends that he “was isolated by Mr. Chavel . . . and excluded from business decisions and meetings and denied the opportunity to reach his true potential

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at SOREMA.” * * * ^b Petitioner unsuccessfully attempted to meet with Mr. Chavel to discuss his discontent. Finally, in April 1997, petitioner sent a memo to Mr. Chavel outlining his grievances and requesting a severance package. Two weeks later, respondent’s general counsel presented petitioner with two options: He could either resign without a severance package or be dismissed. Mr. Chavel fired petitioner after he refused to resign.

Petitioner filed a lawsuit alleging that he had been terminated on account of his national origin in violation of Title VII of the Civil Rights Act of 1964 * * * and on account of his age in violation of the Age Discrimination in Employment Act of 1967 (ADEA) * * *. The United States District Court for the Southern District of New York dismissed petitioner’s complaint because it found that he “ha[d] not adequately alleged a prima facie case, in that he ha[d] not adequately alleged circumstances that support an inference of discrimination.” * * * The * * * Second Circuit affirmed * * *. We granted certiorari, * * * and now reverse.

Applying Circuit precedent, the Court of Appeals required petitioner to plead a prima facie case of discrimination in order to survive respondent’s motion to dismiss. * * * [P]etitioner was thus required to allege in his complaint: (1) membership in a protected group; (2) qualification for the job in question; (3) an adverse employment action; and (4) circumstances that support an inference of discrimination. * * *

The prima facie case * * *, however, is an evidentiary standard, not a pleading requirement. * * * [T]his Court has reiterated that the prima facie case relates to the employee’s burden of presenting evidence that raises an inference of discrimination. * * *

* * * [U]nder a notice pleading system, it is not appropriate to require a plaintiff to plead facts establishing a prima facie case because * * * [this] framework does not apply in every employment discrimination case. For instance, if a plaintiff is able to produce direct evidence of discrimination, he may prevail without proving all the elements of a prima facie case. * * * Under the Second Circuit’s heightened pleading standard, a plaintiff without direct evidence of discrimination at the time of his complaint must plead a prima facie case of discrimination, even though discovery might uncover such direct evidence. It thus seems incongruous to require a plaintiff, in order to survive a motion to dismiss, to plead more facts than he may ultimately

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need to prove to succeed on the merits if direct evidence of discrimination is discovered.

* * *

Applying the relevant standard, petitioner’s complaint easily satisfies the requirements of Rule 8(a) because it gives respondent fair notice of the basis for petitioner’s claims. Petitioner alleged that he had been terminated on account of his national origin in violation of Title VII and on account of his age in violation of the ADEA. * * * His complaint detailed the events leading to his

termination, provided relevant dates, and included the ages and nationalities of at least some of the relevant persons involved with his termination. * * * In addition, they state claims upon which relief could be granted under Title VII and the ADEA.

Respondent argues that allowing lawsuits based on conclusory allegations of discrimination to go forward will burden the courts and encourage disgruntled employees to bring unsubstantiated suits. * * * Whatever the practical merits of this argument, the Federal Rules do not contain a heightened pleading standard for employment discrimination suits. * * * Furthermore, Rule 8(a) establishes a pleading standard without regard to whether a claim will succeed on the merits. * * *

534 U.S. at 508–12, 122 S.Ct. 995–99, 152 L.Ed.2d at 7–11.

NOTES AND QUESTIONS

1. Would a complaint alleging a violation of Title VII, the statute at issue in *Swierkiewicz*, be sufficient if it stated, “I was denied employment because of my gender”? See *Sparrow v. United Air Lines, Inc.*, 216 F.3d 1111, 1115 (D.C. Cir. 2000). What additional facts did *Swierkiewicz* include in his complaint?
 2. Prior to *Swierkiewicz*, the Court in *LEATHERMAN v. TARRANT COUNTY NARCOTICS INTELLIGENCE & COORDINATION UNIT*, 507 U.S. 163, 113 S.Ct. 1160, 122 L.Ed.2d 517 (1993), unanimously held that Federal Rule 8 did not impose a heightened pleading standard on civil rights complaints filed under 42 U.S.C. § 1983. The Court made clear that changes to the pleading standard to require more detailed allegations would have to go through the formal process for amending the Federal Rules:
- Perhaps if Rules 8 and 9 were rewritten today, claims against municipalities under § 1983 might be subjected to the added specificity requirement of Rule 9(b). But that is a result which must be obtained by the process of amending the Federal Rules, and not by judicial interpretation. In the absence of such an amendment, federal courts and litigants must rely on summary judgment and control of discovery to weed out unmeritorious claims sooner rather than later.

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Id. at 168–69, 113 S.Ct. at 1163, 122 L.Ed.2d at 524. See Marcus, *The Puzzling Persistence of Pleading Practice*, 76 Tex.L.Rev. 1749 (1998).

Read the complaint in *Bell Atlantic Corp. v. Twombly*, which is reproduced in the Supplement.

BELL ATLANTIC CORP. v. TWOMBLY

Supreme Court of the United States, 2007.
[550 U.S. 544, 127 S.Ct. 1955, 167 L.Ed.2d 929.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE SOUTER delivered the opinion of the Court.

* * *

I

* * *

[Plaintiffs, subscribers to local telephone services, filed a class action against the major telephone companies in the United States sometimes called Incumbent Local Exchange Carriers (hereinafter ILECs), alleging that they had violated Section 1 of the Sherman Antitrust Act through efforts (1) to inhibit the growth of competitive local exchange carriers (hereinafter CLECs) and (2) to eliminate competition among themselves in territories where any one was dominant.]

* * *

The United States District Court for the Southern District of New York dismissed the complaint for failure to state a claim upon which relief can be granted. The District Court acknowledged that “plaintiffs may allege a conspiracy by citing instances of parallel business behavior that suggest an agreement,” but emphasized that “while ‘[c]ircumstantial evidence of consciously parallel behavior may have made heavy inroads into the traditional judicial attitude toward conspiracy[, . . .]’ “conscious parallelism” has not yet read conspiracy out of the Sherman Act entirely.’ ” 313 F.Supp.2d 174, 179 (2003) * * *. Thus, the District Court understood that allegations of parallel business conduct, taken alone, do not state a claim under § 1; plaintiffs must allege additional facts that “ten[d] to exclude independent self-interested conduct as an explanation for defendants’ parallel behavior.” * * * The District Court found plaintiffs’ allegations of parallel ILEC actions to discourage competition inadequate because “the behavior of each ILEC in resisting the incursion of CLECs is

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fully explained by the ILEC’s own interests in defending its individual territory.” * * * As to the ILECs’ supposed agreement against competing with each other, the District Court found that the complaint does not “alleg[e] facts . . . suggesting that refraining from competing in other territories as CLECs was contrary to [the ILECs’] apparent economic interests, and consequently [does] not rais[e] an

inference that [the ILECs’] actions were the result of a conspiracy.” * * *

The Court of Appeals for the Second Circuit reversed, holding that the District Court tested the complaint by the wrong standard. It held that “plus factors are not *required* to be pleaded to permit an antitrust claim based on parallel conduct to survive dismissal.” 425 F.3d 99, 114 (2005) (emphasis in original). Although the Court of Appeals took the view that plaintiffs must plead facts that “include conspiracy among the realm of ‘plausible’ possibilities in order to survive a motion to dismiss,” it then said that “to rule that allegations of parallel anticompetitive conduct fail to support a plausible conspiracy claim, a court would have to conclude that there is no set of facts that would permit a plaintiff to demonstrate that the particular parallelism asserted was the product of collusion rather than coincidence.” *Ibid.*

We granted certiorari to address the proper standard for pleading an antitrust conspiracy through allegations of parallel conduct * * * and now reverse.

II
A

Because § 1 of the Sherman Act “does not prohibit [all] unreasonable restraints of trade . . . but only restraints effected by a contract, combination, or conspiracy,” * * * “[t]he crucial question” is whether the challenged anticompetitive conduct “stem[s] from independent decision or from an agreement, tacit or express,” * * *. While a showing of parallel “business behavior is admissible circumstantial evidence from which the fact finder may infer agreement,” it falls short of “conclusively establish[ing] agreement or . . . itself constitut[ing] a Sherman Act offense.”^d * * * Even “conscious parallelism,” a common reaction of “firms in a concentrated market [that] recogniz[e] their shared economic interests and their interdependence with respect to price and output decisions” is “not in itself unlawful.” * * *

B

This case presents the antecedent question of what a plaintiff must plead in order to state a claim under § 1 of the Sherman Act. Federal Rule of Civil Procedure 8(a)(2) requires only “a short and plain statement of the claim showing that the pleader is entitled to relief,” in order to “give the

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defendant fair notice of what the . . . claim is and the grounds upon which it rests,” *Conley* * * *. While a complaint attacked by a Rule 12(b)(6) motion to dismiss does not need detailed factual allegations * * *, a plaintiff’s obligation to provide the “grounds” of his “entitle[ment] to relief” requires more than labels and conclusions, and a formulaic recitation of the elements of a cause of action will not do, see *Papasan v. Allain*, 478 U.S. 265, 286, 106 S.Ct. 2932, 92 L.Ed.2d 209 (1986) (on a motion to dismiss, courts “are not bound to accept as true a legal conclusion couched as a factual allegation”). Factual allegations must be enough to raise a right to relief above the speculative level, see 5 C. Wright & A. Miller, *Federal Practice and Procedure* § 1216, pp. 235–236 (3d ed. 2004) (hereinafter *Wright & Miller*) (“[T]he pleading must contain something more . . . than . . . a statement of facts that merely creates a suspicion [of] a legally cognizable right of action”),^{3, e} on the assumption that all the allegations in the complaint are true (even if doubtful in fact), see, *e.g.*, *Swierkiewicz* * * *.

In applying these general standards to a § 1 claim, we hold that stating such a claim requires a complaint with enough factual matter (taken as true) to suggest that an agreement was made. Asking for plausible grounds to infer an agreement does not impose a probability requirement at the pleading stage; it simply calls for enough fact to raise a reasonable expectation that discovery will reveal evidence of illegal agreement. And, of course, a well-pleaded complaint may proceed even if it strikes a savvy judge that actual proof of those facts is improbable, and “that a recovery is very remote and unlikely.” * * * In identifying facts that are suggestive enough to render a § 1 conspiracy plausible, we have the benefit of the prior rulings and considered views of leading commentators, already quoted, that lawful parallel conduct fails to bespeak unlawful agreement. It makes sense to say, therefore, that an allegation of parallel conduct and a bare assertion of conspiracy will not suffice. Without more, parallel conduct does not suggest conspiracy, and a conclusory allegation of agreement at some unidentified point does not supply facts adequate to show illegality. Hence, when allegations of parallel conduct are set out in order to make a § 1 claim, they must be placed in a context that raises a suggestion of a preceding agreement, not merely parallel conduct that could just as well be independent action.

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* * *

We alluded to the practical significance of the Rule 8 entitlement requirement in *Dura Pharmaceuticals, Inc. v. Broudo*, 544 U.S. 336, 125 S.Ct. 1627, 161 L.Ed.2d 577 (2005), when we explained that something beyond the mere possibility of loss causation must be alleged, lest a plaintiff with “ ‘a largely groundless claim’ ” be allowed to “ ‘take up the time of a number of other people, with the right to do so representing an *in terrorem* increment of the settlement value.’ ” *Id.*, at 347, 125 S.Ct. 1627 * * *. * * *

Thus, it is one thing to be cautious before dismissing an antitrust complaint in advance of discovery * * * but quite another to forget that proceeding to antitrust discovery can be expensive. As we indicated over 20 years ago * * *, “a district court must retain the power to insist upon some specificity in pleading before allowing a potentially massive factual controversy to proceed.” * * * That potential expense is obvious enough in the present case: plaintiffs represent a putative class of at least 90 percent of all subscribers to local

telephone or high-speed Internet service in the continental United States, in an action against America’s largest telecommunications firms (with many thousands of employees generating reams and gigabytes of business records) for unspecified (if any) instances of antitrust violations that allegedly occurred over a period of seven years.

It is no answer to say that a claim just shy of a plausible entitlement to relief can, if groundless, be weeded out early in the discovery process through “careful case management,” * * * given the common lament that the success of judicial supervision in checking discovery abuse has been on the modest side. See, *e.g.*, Easterbrook, *Discovery as Abuse*, 69 B.U.L.Rev. 635, 638 (1989) (“Judges can do little about impositions on discovery when parties control the legal claims to be presented and conduct the discovery themselves”). And it is self-evident that the problem of discovery abuse cannot be solved by “careful scrutiny of evidence at the summary judgment stage,” much less “lucid instructions to juries”; * * * the threat of discovery expense will push cost-conscious defendants to settle even anemic cases before reaching those proceedings. Probably, then, it is only by taking care to require allegations that reach the level suggesting conspiracy that we can hope to avoid the potentially enormous expense of discovery in cases with no “ ‘reasonably founded hope that the [discovery] process will reveal relevant evidence’ ” to support a § 1 claim. * * *⁶

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Plaintiffs do not, of course, dispute the requirement of plausibility and the need for something more than merely parallel behavior * * *, and their main argument against the plausibility standard at the pleading stage is its ostensible conflict with an early statement of ours construing Rule 8. Justice Black’s opinion for the Court in *Conley v. Gibson* spoke not only of the need for fair notice of the grounds for entitlement to relief but of “the accepted rule that a complaint should not be dismissed for failure to state a claim unless it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief.” * * * This “no set of facts” language can be read in isolation as saying that any statement revealing the theory of the claim will suffice unless its factual impossibility may be shown from the face of the pleadings; and the Court of Appeals appears to have read *Conley* in some such way when formulating its understanding of the proper pleading standard * * *.

On such a focused and literal reading of *Conley*’s “no set of facts,” a wholly conclusory statement of claim would survive a motion to dismiss whenever the pleadings left open the possibility that a plaintiff might later establish some “set of [undisclosed] facts” to support recovery.^f So here, the Court of Appeals specifically found the prospect of unearthing direct evidence of conspiracy sufficient to preclude dismissal, even though the complaint does not set forth a single fact in a context that suggests an agreement. * * * It seems fair to say that this approach to pleading would dispense with any showing of a “ ‘reasonably founded hope’ ” that a plaintiff would be able to make a case * * *. Mr. Micawber’s optimism would be enough.

Seeing this, a good many judges and commentators have balked at taking the literal terms of the *Conley* passage as a pleading standard. * * *

* * * [A]fter puzzling the profession for 50 years, this famous observation has earned its retirement. The phrase is best forgotten as an incomplete, negative gloss on an accepted pleading standard: once a claim has been stated adequately, it may be supported by showing any set of facts

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consistent with the allegations in the complaint. * * * *Conley*, then, described the breadth of opportunity to prove what an adequate complaint claims, not the minimum standard of adequate pleading to govern a complaint’s survival.

III

When we look for plausibility in this complaint, we agree with the District Court that plaintiffs’ claim of conspiracy in restraint of trade comes up short. To begin with, the complaint leaves no doubt that plaintiffs rest their § 1 claim on descriptions of parallel conduct and not on any independent allegation of actual agreement among the ILECs. * * * Although in form a few stray statements speak directly of agreement, on fair reading these are merely legal conclusions resting on the prior allegations. * * * The nub of the complaint, then, is the ILECs’ parallel behavior, consisting of steps to keep the CLECs out and manifest disinterest in becoming CLECs themselves, and its sufficiency turns on the suggestions raised by this conduct when viewed in light of common economic experience.

* * * [T]here is no reason to infer that the companies had agreed among themselves to do what was only natural anyway; so natural, in fact, that if alleging parallel decisions to resist competition were enough to imply an antitrust conspiracy, pleading a § 1 violation against almost any group of competing businesses would be a sure thing.

* * *

Plaintiffs’ second conspiracy theory rests on the competitive reticence among the ILECs themselves in the wake of the 1996 Act * * *, * * *

But [such reticence] * * * was not suggestive of conspiracy, not if history teaches anything. In a traditionally unregulated industry with low barriers to entry, sparse competition among large firms dominating separate geographical segments of the market could very well signify illegal agreement, but here we have an obvious alternative explanation. * * * In the decade preceding the 1996 Act and well before that, monopoly was the norm in telecommunications, not the exception. * * * The ILECs were born in that world, doubtless liked the world the way it was, and surely knew the adage about him who lives by the sword. Hence, a natural explanation for the noncompetition alleged is that the former Government-sanctioned monopolists were sitting tight, expecting their neighbors to do the same

thing.

* * *

Plaintiffs say that our analysis runs counter to *Swierkiewicz* * * *. Even though Swierkiewicz’s pleadings “detailed the events leading to his termination, provided relevant dates, and included the ages and nationalities of at least some of the relevant persons involved with his

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termination,” the Court of Appeals dismissed the complaint for failing to allege certain additional facts that Swierkiewicz would need at the trial stage to support his claim in the absence of direct evidence of discrimination. * * * We reversed on the ground that the Court of Appeals had impermissibly applied what amounted to a heightened pleading requirement by insisting that Swierkiewicz allege “specific facts” beyond those necessary to state his claim and the grounds showing entitlement to relief. * * *

Here, in contrast, we do not require heightened fact pleading of specifics, but only enough facts to state a claim to relief that is plausible on its face. Because the plaintiffs here have not nudged their claims across the line from conceivable to plausible, their complaint must be dismissed.

* * *

The judgment of the Court of Appeals for the Second Circuit is reversed, and the cause is remanded for further proceedings consistent with this opinion.

It is so ordered.

JUSTICE STEVENS, with whom JUSTICE GINSBURG joins except as to Part IV, dissenting.

* * *

* * * If the defendants acted independently, their conduct was perfectly lawful. If, however, that conduct is the product of a horizontal agreement among potential competitors, it was unlawful. Plaintiffs have alleged such an agreement and, because the complaint was dismissed in advance of answer, the allegation has not even been denied. Why, then, does the case not proceed? Does a judicial opinion that the charge is not “plausible” provide a legally acceptable reason for dismissing the complaint? I think not.

Respondents’ amended complaint describes a variety of circumstantial evidence and makes the straightforward allegation that petitioners

“entered into a contract, combination or conspiracy to prevent competitive entry in their respective local telephone and/or high speed internet services markets and have agreed not to compete with one another and otherwise allocated customers and markets to one another.” * * * [Amended Complaint ¶ 51].

The complaint explains that, contrary to Congress’ expectation when it enacted the 1996 Telecommunications Act, and consistent with their own economic self-interests, * * * [the ILECs] have assiduously avoided infringing upon each other’s markets and have refused to permit nonincumbent competitors to access their networks. The complaint quotes * * * the former chief executive officer of one such ILEC, as saying that

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competing in a neighboring ILEC’s territory “ ‘might be a good way to turn a quick dollar but that doesn’t make it right.’ ” * * * [Amended Complaint ¶ 42]. * * * Moreover, respondents allege that petitioners “communicate amongst themselves” through numerous industry associations. * * * [Amended Complaint ¶ 46] * * *. In sum, respondents allege that petitioners entered into an agreement that has long been recognized as a classic *per se* violation of the Sherman Act. * * *

* * *

The Court and petitioners’ legal team are no doubt correct that the parallel conduct alleged is consistent with the absence of any contract, combination, or conspiracy. But that conduct is also entirely consistent with the *presence* of the illegal agreement alleged in the complaint. And the charge that petitioners “agreed not to compete with one another” is not just one of “a few stray statements” * * *; it is an allegation describing unlawful conduct. As such, the Federal Rules of Civil Procedure, our longstanding precedent, and sound practice mandate that the District Court at least require some sort of response from petitioners before dismissing the case.

Two practical concerns presumably explain the Court’s dramatic departure from settled procedural law. Private antitrust litigation can be enormously expensive, and there is a risk that jurors may mistakenly conclude that evidence of parallel conduct has proved that the parties acted pursuant to an agreement when they in fact merely made similar independent decisions. Those concerns merit careful case management, including strict control of discovery, careful scrutiny of evidence at the summary judgment stage, and lucid instructions to juries; they do not, however, justify the dismissal of an adequately pleaded complaint without even requiring the defendants to file answers denying a charge that they in fact engaged in collective decisionmaking. More importantly, they do not justify an interpretation of Federal Rule * * * 12(b)(6) that seems to be driven by the majority’s appraisal of the plausibility of the ultimate factual allegation rather than its legal sufficiency.

* * *

Under the relaxed pleading standards of the Federal Rules, the idea was not to keep litigants out of court but rather to keep them in. The merits of a claim would be sorted out during a flexible pretrial process and, as appropriate, through the crucible of trial. * * *

II

* * *

Consistent with the design of the Federal Rules, *Conley*’s “no set of facts” formulation permits outright dismissal only when proceeding to

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discovery or beyond would be futile. Once it is clear that a plaintiff has stated a claim that, if true, would entitle him to relief, matters of proof are appropriately relegated to other stages of the trial process. Today, however, in its explanation of a decision to dismiss a complaint that it regards as a fishing expedition, the Court scraps *Conley*’s “no set of facts” language. Concluding that the phrase has been “questioned, criticized, and explained away long enough,” * * * the Court dismisses it as careless composition.

If *Conley*’s “no set of facts” language is to be interred, let it not be without a eulogy. That exact language, which the majority says has “puzzl[ed] the profession for 50 years,” * * * has been cited as authority in a dozen opinions of this Court and four separate writings. In not one of those 16 opinions was the language “questioned,” “criticized,” or “explained away.” Indeed, today’s opinion is the first by any Member of this Court to express *any* doubt as to the adequacy of the *Conley* formulation. Taking their cues from the federal courts, 26 States and the District of Columbia utilize as their standard for dismissal of a complaint the very language the majority repudiates: whether it appears “beyond doubt” that “no set of facts” in support of the claim would entitle the plaintiff to relief. * * *

Petitioners have not requested that the *Conley* formulation be retired, nor have any of the six *amici* who filed briefs in support of petitioners. I would not rewrite the Nation’s civil procedure textbooks and call into doubt the pleading rules of most of its States without far more informed deliberation as to the costs of doing so. Congress has established a process—a rulemaking process—for revisions of that order. * * *

The “pleading standard” label the majority gives to what it reads into the *Conley* opinion—a statement of the permissible factual support for an adequately pleaded complaint—would not, therefore, have impressed the *Conley* Court itself. Rather, that Court would have understood the majority’s remodeling of its language to express an *evidentiary* standard, which the *Conley* Court had neither need nor want to explicate. Second, it is pellucidly clear that the *Conley* Court was interested in what a complaint *must* contain, not what it *may* contain. * * *

* * *

The * * * the *Conley* Court cited approvingly [*Dioguardi*,] * * * written by Judge Clark himself. * * * As any civil procedure student knows, Judge Clark’s opinion disquieted the defense bar and gave rise to a movement to revise Rule 8 to require a plaintiff to plead a “ ‘cause of action.’ ” See 5 Wright & Miller § 1201, at 86–87. The movement failed * * *; *Dioguardi* was explicitly approved in *Conley*; and “[i]n retrospect the case itself seems to be a routine application of principles that are universally accepted,” 5 Wright & Miller § 1220, at 284–285.

* * * *Conley*’s statement that a complaint is not to be dismissed unless “no set of facts” in support thereof would entitle the plaintiff to relief is

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hardly “puzzling[.]” * * * It reflects a philosophy that, unlike in the days of code pleading, separating the wheat from the chaff is a task assigned to the pretrial and trial process. *Conley*’s language, in short, captures the policy choice embodied in the Federal Rules and binding on the federal courts.

We have consistently reaffirmed that basic understanding of the Federal Rules in the half century since *Conley*. * * *

* * *

Everything today’s majority says would * * * make perfect sense if it were ruling on a Rule 56 motion for summary judgment and the evidence included nothing more than the Court has described. But it should go without saying * * * that a heightened production burden at the summary judgment stage does not translate into a heightened pleading burden at the complaint stage. The majority rejects the complaint in this case because—in light of the fact that the parallel conduct alleged is consistent with ordinary market behavior—the claimed conspiracy is “conceivable” but not “plausible[.]” * * * But even if the majority’s speculation is correct, its “plausibility” standard is irreconcilable with Rule 8 and with our governing precedents. * * * [F]ear of the burdens of litigation does not justify factual conclusions supported only by lawyers’ arguments rather than sworn denials or admissible evidence.

* * *

III

* * * [T]he theory on which the Court permits dismissal is that, so far as the Federal Rules are concerned, no agreement has been alleged at all. This is a mind-boggling conclusion.

*** I am *** willing to entertain the majority’s belief that any agreement among the companies was unlikely. But the plaintiffs allege in three places in their complaint, *** that the ILECs did in fact agree both to prevent competitors from entering into their local markets and to forgo competition with each other. And as the Court recognizes, at the motion to dismiss stage, a judge assumes “that all the allegations in the complaint are true (even if doubtful in fact).” ***

The majority circumvents this obvious obstacle to dismissal by pretending that it does not exist. The Court admits that “in form a few stray statements in the complaint speak directly of agreement,” but disregards those allegations by saying that “on fair reading these are merely legal conclusions resting on the prior allegations” of parallel conduct. *** The Court’s dichotomy between factual allegations and “legal conclusions” is the stuff of a bygone era ***. That distinction was a defining feature of code pleading ***, but was conspicuously abolished when the Federal Rules were enacted in 1938. *** “Defendants entered

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into a contract” is no more a legal conclusion than “defendant negligently drove,” see Form 9^b ***. Indeed it is less of one. ***

To be clear, if I had been the trial judge in this case, I would not have permitted the plaintiffs to engage in massive discovery based solely on the allegations in this complaint. On the other hand, I surely would not have dismissed the complaint without requiring the defendants to answer the charge that they “have agreed not to compete with one another and otherwise allocated customers and markets to one another.” Even a sworn denial of that charge would not justify a summary dismissal without giving the plaintiffs the opportunity to take depositions from *** at least one responsible executive representing each of the *** defendants.

IV

*** Whether the Court’s actions will benefit only defendants in antitrust treble-damages cases, or whether its test for the sufficiency of a complaint will inure to the benefit of all civil defendants, is a question that the future will answer. But that the Court has announced a significant new rule that does not even purport to respond to any congressional command is glaringly obvious.

The transparent policy concern that drives the decision is the interest in protecting antitrust defendants—who in this case are some of the wealthiest corporations in our economy—from the burdens of pretrial discovery. *** Even if it were not apparent that the legal fees petitioners have incurred in arguing the merits of their Rule 12(b) motion have far exceeded the cost of limited discovery, or that those discovery costs would burden respondents as well as petitioners, that concern would not provide an adequate justification for this law-changing decision. For in the final analysis it is only a lack of confidence in the ability of trial judges to control discovery, buttressed by appellate judges’ independent appraisal of the plausibility of profoundly serious factual allegations, that could account for this stark break from precedent.

NOTES AND QUESTIONS

1. Does *Conley*’s standard of notice pleading survive *Twombly*? If not, what is the new standard under Rule 8(a)? Is this standard consistent with the language of the Federal Rule? Does it mark a return to the requirements of

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fact pleading under the Codes? Does the new standard reflect an appropriate act of judicial interpretation given the rule amendment process? See p. 616, Note 2, *supra*.

2.Can you explain why the *Twombly* complaint was not “plausible”? Consider the claim of conspiracy. The majority stated that the complaint contained no “independent allegation of actual agreement” among the ILECs, underscoring that the complaint did not allege which ILECs and which employees agreed, or when and where the illicit agreement took place. Why was it not sufficient simply to allege a conspiracy not to compete? Was the allegation about a conspiracy defective because it was alleged on information and belief? Since a conspiracy takes place in secret, was it reasonable to expect plaintiffs, through a pre-filing investigation but without the benefit of discovery, to uncover the hidden details of a conspiracy? Why did the fact of parallel behavior—that none of the ILECs expanded into new markets—not support an inference of conspiracy? Was the Court’s view of implausibility based on a particular theory of market behavior?

3.What role did the anticipated cost of discovery play in the Court’s decision? How did the dissenters in *Twombly* respond to this argument? Is this an appropriate factor to consider at the pleading stage of litigation? See Steinman, *The Pleading Problem*, 62 Stan.L.Rev. 1293, 1351–56 (2010) (discussing the relationship between pleading standards and discovery costs). Professor Epstein has argued that “as the costs of discovery mount, the case for terminating litigation earlier in the cycle gets ever stronger.” Epstein, *Bell Atlantic v. Twombly: How Motions To Dismiss Become (Disguised) Summary Judgments*, 25 Wash.U.J.L. & Pol’y 61, 66–67 (2007). Do concerns about the cost of discovery justify extending the plausibility standard of pleading to the many cases that are not discovery-rich? See Dodson, *New Pleading, New Discovery*, 109 Mich.L.Rev. 53 (2010).

Read the complaint in *Ashcroft v. Iqbal*, which is reproduced in the Supplement.

ASHCROFT v. IQBAL
Supreme Court of the United States, 2009.
[556 U.S. 662, 129 S.Ct. 1937, 173 L.Ed.2d 868.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE KENNEDY delivered the opinion of the Court.

[Plaintiff-respondent, a Pakistani Muslim man, filed a damages action to redress the violation of his constitutional rights resulting from his pretrial detention in a maximum-security unit as a person of “high interest” during the federal government’s investigation of the attacks of

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September 11, 2001. Defendants included John Ashcroft, the former Attorney General of the United States, and Robert Mueller, the Director of the Federal Bureau of Investigation (FBI). As to these parties, the complaint alleged that they had adopted an unconstitutional policy that subjected plaintiff-respondent to harsh conditions on account of his race, religion, or national origin. Ashcroft and Mueller moved to dismiss based on qualified immunity, but the district court denied their motion. The Second Circuit Court of Appeals affirmed on an interlocutory appeal.]

IV

A

* * *

To survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” [*Twombly*, p. 617, *supra*] A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged. * * * The plausibility standard is not akin to a “probability requirement,” but it asks for more than a sheer possibility that a defendant has acted unlawfully. * * * Where a complaint pleads facts that are “merely consistent with” a defendant’s liability, it “stops short of the line between possibility and plausibility of ‘entitlement to relief.’ ” * * *

Two working principles underlie our decision in *Twombly*. First, the tenet that a court must accept as true all of the allegations contained in a complaint is inapplicable to legal conclusions. Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice. * * * (Although for the purposes of a motion to dismiss we must take all of the factual allegations in the complaint as true, we “are not bound to accept as true a legal conclusion couched as a factual allegation” (internal quotation marks omitted)). Rule 8 marks a notable and generous departure from the hyper-technical, code-pleading regime of a prior era, but it does not unlock the doors of discovery for a plaintiff armed with nothing more than conclusions. Second, only a complaint that states a plausible claim for relief survives a motion to dismiss. * * * Determining whether a complaint states a plausible claim for relief will, as the Court of Appeals observed, be a context-specific task that requires the reviewing court to draw on its judicial experience and common sense. * * * But where the well-pleaded facts do not permit the court to infer more than the mere possibility of misconduct, the complaint has alleged—but it has not “show[n]”—“that the pleader is entitled to relief.” Fed. Rule Civ. Proc. 8(a)(2).

In keeping with these principles a court considering a motion to dismiss can choose to begin by identifying pleadings that, because they are

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no more than conclusions, are not entitled to the assumption of truth. While legal conclusions can provide the framework of a complaint, they must be supported by factual allegations. When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.

* * *

B

Under *Twombly*’s construction of Rule 8, we conclude that respondent’s complaint has not “nudged [his] claims” of invidious discrimination “across the line from conceivable to plausible.” * * *

We begin our analysis by identifying the allegations in the complaint that are not entitled to the assumption of truth. Respondent pleads that petitioners “knew of, condoned, and willfully and maliciously agreed to subject [him]” to harsh conditions of confinement “as a matter of policy, solely on account of [his] religion, race, and/or national origin and for no legitimate penological interest.” Complaint ¶ 96 * * *. * * * These bare assertions, much like the pleading of conspiracy in *Twombly*, amount to nothing more than a “formulaic recitation of the elements” of a constitutional discrimination claim, * * * namely, that petitioners adopted a policy “ ‘because of,’ not merely ‘in spite of,’ its adverse effects upon an identifiable group.” * * * [Pers. Adm. Of Mass. v.] Feeney, 442 U.S. [256,] * * * 279

[(1979)]. As such, the allegations are conclusory and not entitled to be assumed true. To be clear, we do not reject these bald allegations on the ground that they are unrealistic or nonsensical. We do not so characterize them any more than the Court in *Twombly* rejected the plaintiffs’ express allegation of a “ ‘contract, combination or conspiracy to prevent competitive entry,’ ” because it thought that claim too chimerical to be maintained. It is the conclusory nature of respondent’s allegations, rather than their extravagantly fanciful nature, that disentitles them to the presumption of truth.

We next consider the factual allegations in respondent’s complaint to determine if they plausibly suggest an entitlement to relief. The complaint alleges that “the [FBI], under the direction of Defendant MUELLER, arrested and detained thousands of Arab Muslim men . . . as part of its investigation of the events of September 11.” Complaint ¶ 47 * * *. It further claims that “[t]he policy of holding post-September-11th detainees in highly restrictive conditions of confinement until they were ‘cleared’ by the FBI was approved by Defendants ASHCROFT and MUELLER in discussions in the weeks after September 11, 2001.” Id., ¶ 69 * * *. Taken as true, these allegations are consistent with petitioners’ purposefully designating detainees “of high interest” because of their race, religion, or national origin. But given more likely explanations, they do not plausibly establish this purpose.

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The September 11 attacks were perpetrated by 19 Arab Muslim hijackers who counted themselves members in good standing of al Qaeda, an Islamic fundamentalist group. Al Qaeda was headed by another Arab Muslim—Osama bin Laden—and composed in large part of his Arab Muslim disciples. It should come as no surprise that a legitimate policy directing law enforcement to arrest and detain individuals because of their suspected link to the attacks would produce a disparate, incidental impact on Arab Muslims, even though the purpose of the policy was to target neither Arabs nor Muslims. On the facts respondent alleges the arrests Mueller oversaw were likely lawful and justified by his nondiscriminatory intent to detain aliens who were illegally present in the United States and who had potential connections to those who committed terrorist acts. As between that “obvious alternative explanation” for the arrests, and the purposeful, invidious discrimination respondent asks us to infer, discrimination is not a plausible conclusion.

But even if the complaint’s well-pleaded facts give rise to a plausible inference that respondent’s arrest was the result of unconstitutional discrimination, that inference alone would not entitle respondent to relief. It is important to recall that respondent’s complaint challenges neither the constitutionality of his arrest nor his initial detention * * *. Respondent’s constitutional claims against petitioners rest solely on their ostensible “policy of holding post-September-11th detainees” in the [Administrative Maximum Special Housing Unit, known as “ADMAX SHU”] once they were categorized as “of high interest.” Complaint ¶ 69 * * *. To prevail on that theory, the complaint must contain facts plausibly showing that petitioners purposefully adopted a policy of classifying post-September-11 detainees as “of high interest” because of their race, religion, or national origin.

This the complaint fails to do. Though respondent alleges that various other defendants, who are not before us, may have labeled him a person of “of high interest” for impermissible reasons, his only factual allegation against petitioners accuses them of adopting a policy approving “restrictive conditions of confinement” for post-September-11 detainees until they were “ ‘cleared’ by the FBI.” Ibid. Accepting the truth of that allegation, the complaint does not show, or even intimate, that petitioners purposefully housed detainees in the ADMAX SHU due to their race, religion, or national origin. All it plausibly suggests is that the Nation’s top law enforcement officers, in the aftermath of a devastating terrorist attack, sought to keep suspected terrorists in the most secure conditions available until the suspects could be cleared of terrorist activity. Respondent does not argue, nor can he, that such a motive would violate petitioners’ constitutional obligations. He would need to allege more by way of factual content to “nudge[e]” his claim of purposeful discrimination “across the line from conceivable to plausible.”

* * *

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C

Respondent offers three arguments that bear on our disposition of his case, but none is persuasive.

1

Respondent first says that our decision in *Twombly* should be limited to pleadings made in the context of an antitrust dispute. * * * This argument is not supported by *Twombly* and is incompatible with the Federal Rules * * *. Though *Twombly* determined the sufficiency of a complaint sounding in antitrust, the decision was based on our interpretation and application of Rule 8. * * * That Rule in turn governs the pleading standard “in all civil actions and proceedings in the United States district courts.” Fed. Rule Civ. Proc. 1. Our decision in *Twombly* expounded the pleading standard for “all civil actions,” * * * and it applies to antitrust and discrimination suits alike. * * *

2

Respondent next implies that our construction of Rule 8 should be tempered where, as here, the Court of Appeals has “instructed the district court to cabin discovery in such a way as to preserve” petitioners’ defense of qualified immunity “as much as possible in anticipation of a summary judgment motion.” * * * We have held, however, that the question presented by a motion to dismiss a complaint for insufficient pleadings does not turn on the controls placed upon the discovery process. * * *

Our rejection of the careful-case-management approach is especially important in suits where Government-official defendants are

entitled to assert the defense of qualified immunity. The basic thrust of the qualified-immunity doctrine is to free officials from the concerns of litigation, including “avoidance of disruptive discovery.” *Siegert v. Gilley*, 500 U.S. 226, 236, 111 S.Ct. 1789, 114 L.Ed.2d 277 (1991) (KENNEDY, J., concurring in judgment). There are serious and legitimate reasons for this. If a government official is to devote time to his or her duties, and to the formulation of sound and responsible policies, it is counterproductive to require the substantial diversion that is attendant to participating in litigation and making informed decisions as to how it should proceed. Litigation, though necessary to ensure that officials comply with the law, exacts heavy costs in terms of efficiency and expenditure of valuable time and resources that might otherwise be directed to the proper execution of the work of the Government. The costs of diversion are only magnified when Government officials are charged with responding to * * * “a national and international security emergency unprecedented in the history of the American Republic.” * * *

It is no answer to these concerns to say that discovery for petitioners can be deferred while pretrial proceedings continue for other defendants.

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It is quite likely that, when discovery as to the other parties proceeds, it would prove necessary for petitioners and their counsel to participate in the process to ensure the case does not develop in a misleading or slanted way that causes prejudice to their position. Even if petitioners are not yet themselves subject to discovery orders, then, they would not be free from the burdens of discovery.

We decline respondent’s invitation to relax the pleading requirements on the ground that the Court of Appeals promises petitioners minimally intrusive discovery. That promise provides especially cold comfort in this pleading context, where we are impelled to give real content to the concept of qualified immunity for high-level officials who must be neither deterred nor detracted from the vigorous performance of their duties. Because respondent’s complaint is deficient under Rule 8, he is not entitled to discovery, cabined or otherwise.

3

Respondent finally maintains that the Federal Rules expressly allow him to allege petitioners’ discriminatory intent “generally,” which he equates with a conclusory allegation. It follows, respondent says, that his complaint is sufficiently well pleaded because it claims that petitioners discriminated against him “on account of [his] religion, race, and/or national origin and for no legitimate penological interest.” Complaint ¶ 96 * * *. Were we required to accept this allegation as true, respondent’s complaint would survive petitioners’ motion to dismiss. But the Federal Rules do not require courts to credit a complaint’s conclusory statements without reference to its factual context.

It is true that Rule 9(b) requires particularity when pleading “fraud or mistake,” while allowing “[m]alice, intent, knowledge, and other conditions of a person’s mind [to] be alleged generally.” But “generally” is a relative term. In the context of Rule 9, it is to be compared to the particularity requirement applicable to fraud or mistake. Rule 9 merely excuses a party from pleading discriminatory intent under an elevated pleading standard. It does not give him license to evade the less rigid—though still operative—strictures of Rule 8. See 5A C. Wright & A. Miller, *Federal Practice and Procedure* § 1301, p. 291 (3d ed. 2004) (“[A] rigid rule requiring the detailed pleading of a condition of mind would be undesirable because, absent overriding considerations pressing for a specificity requirement, as in the case of averments of fraud or mistake, the general ‘short and plain statement of the claim’ mandate in Rule 8(a) . . . should control the second sentence of Rule 9(b)”)¹. And Rule 8 does not empower respondent to plead the bare elements of his cause of action, affix the label “general allegation,” and expect his complaint to survive a motion to dismiss.

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V

We hold that respondent’s complaint fails to plead sufficient facts to state a claim for purposeful and unlawful discrimination against petitioners. The Court of Appeals should decide in the first instance whether to remand to the District Court so that respondent can seek leave to amend his deficient complaint.

The judgment of the Court of Appeals is reversed, and the case is remanded for further proceedings consistent with this opinion.
It is so ordered.

JUSTICE SOUTER, with whom JUSTICE STEVENS, JUSTICE GINSBURG, and JUSTICE BREYER join, dissenting.

* * *
I
A

The Court granted certiorari on * * * [two] questions. The first is about pleading; the second goes to the liability standard. In the first question, Ashcroft and Mueller * * * conceded in their petition for certiorari that they would be liable if they had “actual knowledge” of discrimination by their subordinates and exhibited “ ‘deliberate indifference’ ” to that discrimination. * * * [T]hey asked the Court to address whether Iqbal’s allegations against them (which they call conclusory) were sufficient to satisfy Rule 8(a)(2), and in particular whether the Court of Appeals misapplied our decision in *Twombly* construing that rule. * * *

In the second question, Ashcroft and Mueller asked this Court to say whether they could be held personally liable for the actions of their subordinates based on the theory that they had constructive notice of their subordinates’ unconstitutional conduct. * * * This was an odd question to pose, since Iqbal has never claimed that Ashcroft and Mueller are liable on a constructive notice theory. * * * [T]he second question challenged only one possible ground for imposing supervisory liability. * * *

The briefing at the merits stage was no different. Ashcroft and Mueller argued that the factual allegations in Iqbal’s complaint were insufficient to overcome their claim of qualified immunity; they also contended that they could not be held liable on a theory of constructive notice. Again they conceded, however, that they would be subject to supervisory liability if they “had actual knowledge of the assertedly discriminatory nature of the classification of suspects as being ‘of high interest’ and they were deliberately indifferent to that discrimination.” * * * Iqbal argued that the allegations in his complaint were sufficient under Rule 8(a)(2) and *Twombly*, and conceded that as a matter of law he could not recover under

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a theory of respondeat superior. * * * Thus, the parties agreed as to a proper standard of supervisory liability, and the disputed question was whether Iqbal’s complaint satisfied Rule 8(a)(2).

Without acknowledging the parties’ agreement as to the standard of supervisory liability, the Court asserts that it must sua sponte decide the scope of supervisory liability here. * * * I agree that, absent Ashcroft and Mueller’s concession, that determination would have to be made; without knowing the elements of a supervisory liability claim, there would be no way to determine whether a plaintiff had made factual allegations amounting to grounds for relief on that claim. * * * But deciding the scope of supervisory * * * liability in this case is uncalled for. * * *

First, Ashcroft and Mueller have * * * made the critical concession that a supervisor’s knowledge of a subordinate’s unconstitutional conduct and deliberate indifference to that conduct are grounds for * * * liability. Iqbal seeks to recover on a theory that Ashcroft and Mueller at least knowingly acquiesced (and maybe more than acquiesced) in the discriminatory acts of their subordinates; if he can show this, he will satisfy Ashcroft and Mueller’s own test for supervisory liability. * * * We do not normally override a party’s concession * * *. I would * * * accept Ashcroft and Mueller’s concession for purposes of this case and proceed to consider whether the complaint alleges at least knowledge and deliberate indifference.

Second, because of the concession, we have received no briefing or argument on the proper scope of supervisory liability, much less the full-dress argument we normally require. * * *

Finally, the Court’s approach is most unfair to Iqbal. He was entitled to rely on Ashcroft and Mueller’s concession, both in their petition for certiorari and in their merits briefs, that they could be held liable on a theory of knowledge and deliberate indifference. By overriding that concession, the Court denies Iqbal a fair chance to be heard on the question.

B

The majority, however, does ignore the concession. According to the majority, because Iqbal concededly cannot recover on a theory of *respondeat superior*, it follows that he cannot recover under any theory of supervisory liability. * * * Lest there be any mistake, * * * the majority is not narrowing the scope of supervisory liability; it is eliminating * * * supervisory liability entirely. The nature of a supervisory liability theory is that the supervisor may be liable, under certain conditions, for the wrongdoing of his subordinates, and it is this very principle that the majority rejects. * * *

* * * Even if an employer is not liable for the actions of his employee solely because the employee was acting within the scope of employment,

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there still might be conditions to render a supervisor liable for the conduct of his subordinate. * * *

* * *

* * * [W]hat is most remarkable about its foray into supervisory liability is that its conclusion has no bearing on its resolution of the case. The majority says that all of the allegations in the complaint that Ashcroft and Mueller authorized, condoned, or even were aware of their subordinates’ discriminatory conduct are “conclusory” and therefore are “not entitled to be assumed true.” * * *

II

Given petitioners’ concession, the complaint satisfies Rule 8(a)(2). Ashcroft and Mueller admit they are liable for their subordinates’ conduct if they “had actual knowledge of the assertedly discriminatory nature of the classification of suspects as being ‘of high interest’ and they were deliberately indifferent to that discrimination.” * * * Iqbal alleges that after the September 11 attacks the Federal Bureau of Investigation (FBI) “arrested and detained thousands of Arab Muslim men,” Complaint ¶ 47 * * *, that many of these men were designated by high-ranking FBI officials as being “ ‘of high interest,’ ” id., ¶¶ 48, 50 * * *, and that in many cases, including Iqbal’s, this designation was made “because of the race, religion, and national origin of the detainees, and not because of any evidence of the detainees’ involvement in supporting terrorist activity,” id., ¶ 49. The complaint further alleges that Ashcroft was the “principal architect of the policies and practices challenged,” id., ¶ 10 * * *, and that Mueller “was instrumental in the adoption, promulgation, and implementation of the policies and practices challenged,” id., ¶ 11. According to the complaint, Ashcroft and Mueller “knew of, condoned, and willfully and maliciously agreed to subject [Iqbal] to these conditions of confinement as a matter of policy, solely on

account of [his] religion, race, and/or national origin and for no legitimate penological interest.” Id., ¶ 96 * * *. The complaint thus alleges, at a bare minimum, that Ashcroft and Mueller knew of and condoned the discriminatory policy their subordinates carried out. Actually, the complaint goes further in alleging that Ashcroft and Mueller affirmatively acted to create the discriminatory detention policy. If these factual allegations are true, Ashcroft and Mueller were, at the very least, aware of the discriminatory policy being implemented and deliberately indifferent to it.

Ashcroft and Mueller argue that these allegations fail to satisfy the “plausibility standard” of *Twombly*. They contend that Iqbal’s claims are implausible because such high-ranking officials “tend not to be personally involved in the specific actions of lower-level officers down the bureaucratic chain of command.” * * * But this response bespeaks a fundamental misunderstanding of the enquiry that *Twombly* demands. *Twombly* does

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not require a court at the motion-to-dismiss stage to consider whether the factual allegations are probably true. We made it clear, on the contrary, that a court must take the allegations as true, no matter how skeptical the court may be. * * * The sole exception to this rule lies with allegations that are sufficiently fantastic to defy reality as we know it: claims about little green men, or the plaintiff’s recent trip to Pluto, or experiences in time travel. That is not what we have here.

Under *Twombly*, the relevant question is whether, assuming the factual allegations are true, the plaintiff has stated a ground for relief that is plausible. * * * The complaint alleges that FBI officials discriminated against Iqbal solely on account of his race, religion, and national origin, and it alleges the knowledge and deliberate indifference that, by Ashcroft and Mueller’s own admission, are sufficient to make them liable for the illegal action. Iqbal’s complaint therefore contains “enough facts to state a claim to relief that is plausible on its face.” * * *

I do not understand the majority to disagree with this understanding of “plausibility” under *Twombly*. Rather, the majority discards the allegations discussed above with regard to Ashcroft and Mueller as conclusory, and is left considering only two statements in the complaint: that “the [FBI], under the direction of Defendant MUELLER, arrested and detained thousands of Arab Muslim men . . . as part of its investigation of the events of September 11,” Complaint ¶ 47 * * *, and that “[t]he policy of holding post-September-11th detainees in highly restrictive conditions of confinement until they were ‘cleared’ by the FBI was approved by Defendants ASHCROFT and MUELLER in discussions in the weeks after September 11, 2001,” id., ¶ 69 * * *. I think the majority is right in saying that these allegations suggest only that Ashcroft and Mueller “sought to keep suspected terrorists in the most secure conditions available until the suspects could be cleared of terrorist activity,” * * * and that this produced “a disparate, incidental impact on Arab Muslims,” * * *. And I agree that the two allegations selected by the majority, standing alone, do not state a plausible entitlement to relief for unconstitutional discrimination.

But these allegations do not stand alone as the only significant, nonconclusory statements in the complaint, for the complaint contains many allegations linking Ashcroft and Mueller to the discriminatory practices of their subordinates. See Complaint ¶ 10 * * * (Ashcroft was the “principal architect” of the discriminatory policy); id., ¶ 11 (Mueller was “instrumental” in adopting and executing the discriminatory policy); id., ¶ 96 * * * (Ashcroft and Mueller “knew of, condoned, and willfully and maliciously agreed to subject” Iqbal to harsh conditions “as a matter of policy, solely on account of [his] religion, race, and/or national origin and for no legitimate penological interest”).

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The majority says that these are “bare assertions” that, “much like the pleading of conspiracy in *Twombly*, amount to nothing more than a ‘formulaic recitation of the elements’ of a constitutional discrimination claim” and therefore are “not entitled to be assumed true.” * * * The fallacy of the majority’s position, however, lies in looking at the relevant assertions in isolation. The complaint contains specific allegations that, in the aftermath of the September 11 attacks, the Chief of the FBI’s International Terrorism Operations Section and the Assistant Special Agent in Charge for the FBI’s New York Field Office implemented a policy that discriminated against Arab Muslim men, including Iqbal, solely on account of their race, religion, or national origin. See Complaint ¶¶ 47–53 * * *. Viewed in light of these subsidiary allegations, the allegations singled out by the majority as “conclusory” are no such thing. Iqbal’s claim is not that Ashcroft and Mueller “knew of, condoned, and willfully and maliciously agreed to subject” him to a discriminatory practice that is left undefined; his allegation is that “they knew of, condoned, and willfully and maliciously agreed to subject” him to a particular, discrete, discriminatory policy detailed in the complaint. Iqbal does not say merely that Ashcroft was the architect of some amorphous discrimination, or that Mueller was instrumental in an ill-defined constitutional violation; he alleges that they helped to create the discriminatory policy he has described. Taking the complaint as a whole, it gives Ashcroft and Mueller “ ‘fair notice of what the . . . claim is and the grounds upon which it rests.’ ” *Twombly*, * * * (quoting *Conley* * * *). * * *

That aside, the majority’s holding that the statements it selects are conclusory cannot be squared with its treatment of certain other allegations in the complaint as nonconclusory. For example, the majority takes as true the statement that “[t]he policy of holding post-September-11th detainees in highly restrictive conditions of confinement until they were ‘cleared’ by the FBI was approved by Defendants ASHCROFT and MUELLER in discussions in the weeks after September 11, 2001.” Complaint ¶ 69 * * *. This statement makes two points: (1) after September 11, the FBI held certain detainees in highly restrictive conditions, and (2) Ashcroft and Mueller discussed and approved these conditions. If, as the majority says, these allegations are not conclusory, then I cannot see why the majority deems it merely conclusory when Iqbal alleges that (1) after September 11, the FBI designated Arab Muslim detainees as being of “ ‘high

interest’ ” “because of the race, religion, and national origin of the detainees, and not because of any evidence of the detainees’ involvement in supporting terrorist activity,” Complaint ¶¶ 48–50 * * *, and (2) Ashcroft and Mueller “knew of, condoned, and willfully and maliciously agreed” to that discrimination, id., ¶ 96 * * *. By my lights, there is no principled basis for the majority’s disregard of the allegations linking Ashcroft and Mueller to their subordinates’ discrimination.

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I respectfully dissent.

JUSTICE BREYER, dissenting.

I agree with JUSTICE SOUTER and join his dissent. I write separately to point out that, like the Court, I believe it important to prevent unwarranted litigation from interfering with “the proper execution of the work of the Government.” * * * But I cannot find in that need adequate justification for the Court’s interpretation of * * * *Twombly* and Federal Rule * * * 8. The law, after all, provides trial courts with other legal weapons designed to prevent unwarranted interference. * * * A district court, for example, can begin discovery with lower level government defendants before determining whether a case can be made to allow discovery related to higher level government officials. * * * Neither the briefs nor the Court’s opinion provides convincing grounds for finding these alternative case-management tools inadequate, either in general or in the case before us. * * *

NOTES AND QUESTIONS

1. After *Twombly* and *Iqbal*, which allegations are presumed true when the court decides a motion to dismiss? Does the presumption of truth attach to allegations that are conclusory? Does it attach to allegations that are legal statements in disguise? Does it attach to allegations that are implausible because they are fantastic or unusual? See Steinman, *The Pleading Problem*, 62 Stan.L.Rev. 1293, 1298 (2010).
2. Recall that the complaint in *Iqbal* alleged that defendants “knew of, condoned, and willfully and maliciously agreed to subject him to harsh confinement as a matter of policy solely on account of * * * religion, race, and/or national origin and for no legitimate penological interest,” see First Amended Complaint ¶ 96, reproduced in the Supplement. Why was this allegation treated as conclusory and so ignored? What facts would have transformed this allegation from a “formulaic recitation” to one entitled to the presumption of truth? Must a complaint allege evidentiary facts to survive a motion to dismiss?
3. The original version of the Federal Rules included an Appendix of Forms, accompanying Rule 84. The forms were intended “to indicate, subject to the provisions of these rules, the simplicity and brevity of statement which the rules contemplate.” Final Report of the Advisory Committee on Rules for Civil Procedure 55 (Nov. 1937). Rule 84 was amended in 1946 to clarify that the Forms were not mere guides but rather “sufficient to withstand attack under the rules.” Rule 84 Advisory Committee Note (1946 amendment). Judge Clark called the forms “the most important part of the rules” because they illustrated the level of detail a pleader was expected to allege in order to survive a motion to dismiss. Clark, *Pleading Under the Federal Rules*, 12 Wyo.L.J. 177, 181 (1958). In 2015, Rule 84 and the Appendix of Forms were abrogated; the accompanying Advisory Committee Note states, “The abrogation of Rule 84 does not alter existing pleading standards or otherwise change the requirement of Civil Rule 8.” If those forms were sufficient before 2015, and their removal “does not alter existing pleading standards,” wouldn’t they remain sufficient after 2015? See Steinman, *Notice Pleading in Exile*, 41 Cardozo L.Rev. 1057, 1068–71 (2020).

Looking at abrogated Form 11 as a benchmark, which of the following allegations would be sufficient to state a claim? Which are too specific? Which are too vague? Are the allegations sufficient under *Conley*? Under *Twombly*/*Iqbal*?
 - (a) D is legally liable to P for damages.
 - (b) D negligently caused P’s injury.
 - (c) D negligently caused P’s injuries on July 4, 20__, at Dreamworld Amusement Park.
 - (d) D negligently operated a roller coaster ride on which P was a passenger on July 4, 20__, at Dreamworld Amusement Park. As a result of this negligence, P suffered a broken arm and was otherwise injured, and P incurred hospital and other medical expenses, and was prevented from transacting business, resulting in damages of \$500,000.
 - (e) D negligently operated a roller coaster ride on which P was a passenger on July 4, 20__, at Dreamworld Amusement Park. D was negligent because it was operating the roller coaster at excessive speed and the ride was improperly maintained. As a result of this negligence, P suffered a broken arm and was otherwise injured, and P incurred hospital and other medical expenses, and was prevented from transacting business, resulting in damages of \$500,000.
 - (f) D negligently operated a roller coaster ride on which P was a passenger on July 4, 20__, at Dreamworld Amusement Park. D was negligent because it was operating the roller coaster at excessive speed (the roller coaster was traveling at a speed of thirty-two mph, exceeding the safe speed by five mph) and the ride was improperly maintained. As a result of this negligence, P suffered a broken arm and was otherwise injured, and P incurred hospital and other medical expenses, and was prevented from transacting business, resulting in damages of \$500,000.
 - (g) D negligently operated a roller coaster ride on which P was a passenger on July 4, 20__, at Dreamworld Amusement Park. D was

negligent because it was operating the roller coaster at excessive speed (the roller coaster was traveling at a speed of thirty-two mph, exceeding the safe speed by five mph), and the ride was improperly maintained. P was not contributorily negligent. As a result of this negligence, P suffered a broken arm

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and was otherwise injured, and P incurred hospital and other medical expenses, and was prevented from transacting business, resulting in damages of \$500,000.

4. Professor Miller has criticized the *Twombly/Iqbal* standard as favoring “defendants best able to keep their records, conduct, and institutional secrets to themselves”:

Twombly and *Iqbal* both ignore the problem of information asymmetry. In many contemporary litigation contexts, critical information, such as the formulation and testing of a pharmaceutical or the design and manufacture of other products, is entirely in the defendant’s possession and unavailable to the plaintiff. One can understand requiring a plaintiff to plead what he or she knows or could know with reasonable effort, but it is rather futile and a bit absurd to tell someone to plead what he or she does not know and cannot access.

Miller, *Simplified Pleading, Meaningful Days in Court, and Trials on the Merits: Reflections on the Deformation of Federal Procedure*, 88 N.Y.U.L.Rev. 286, 340 (2013). In this context, consider *Turkmen v. Hasty*, 789 F.3d 218 (2d Cir. 2015), reversed in part, vacated in part sub nom. *Ziglar v. Abbasi*, 582 U.S. ___, 137 S.Ct. 1843, 1864, 194 L.Ed.2d 290, 316 (2017), which was filed—like *Iqbal*—in the aftermath of the 9/11 attacks. The complaint alleged that Muslim, South Asian, and Arab non-citizens who were in the United States in violation of immigration laws were unconstitutionally detained on suspicion of terrorism. After the Supreme Court’s decision in *Iqbal*, plaintiffs filed a fourth amended complaint, and were able to supplement their allegations with information from two reports of the Office of the Inspector General of the Department of Justice. Motions to dismiss were granted as to some defendants, but denied as to others. On review, the Supreme Court concluded that the complaint plausibly alleged that some defendants showed deliberate indifference to the detainees’ brutal conditions of confinement and abuse sufficient to state a plausible constitutional claim:

The complaint alleges that guards routinely abused respondents; that the warden encouraged the abuse by referring to respondents as “terrorists”; that he prevented respondents from using normal grievance procedures; that he stayed away from the Unit to avoid seeing the abuse; that he was made aware of the abuse via “inmate complaints, staff complaints, hunger strikes, and suicide attempts”; that he ignored other “direct evidence of [the] abuse, including logs and other official [records]”; that he took no action “to rectify or address the situation”; and that the abuse resulted in the injuries described above * * *. These allegations—assumed here to be true, subject to proof at a later stage—plausibly show the warden’s deliberate indifference to the abuse. Consistent with the opinion of every judge in this case to have considered the question, including the dissenters in the Court of Appeals, the Court concludes that the

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prisoner abuse allegations against Warden Hasty state a plausible ground to find a constitutional violation if a *Bivens* remedy is to be implied.

582 U.S. at ___, 137 S.Ct. at 1864, 194 L.Ed.2d at 316. Without access to the Inspector General’s reports, how could plaintiffs in *Abbasi* have satisfied the plausibility standard unless permitted to engage in discovery? See Reinert, *Pleading as Information-Forcing*, 75 L. & Contemp.Probs. 1 (2012).

5.Does the plausibility standard differ from the heightened pleading approach rejected in *Swierkiewicz*, p. 614, *supra*, and *Leatherman*, p. 616, Note 2, *supra*? See Clermont & Yeazell, *Inventing Tests, Destabilizing Systems*, 95 Iowa L.Rev. 821, 832–33 (2010) (stating that plausible pleading is “a test not for factual detail, but for factual convincingness”). Does the plausibility standard differ from the requirement of fact-pleading under the codes? See Clermont, *Three Myths about Twombly-Iqbal*, 45 Wake Forest L.Rev. 1337, 1346 (2010).

6.Does the plausibility standard require the pleader to allege the best explanation, the most likely explanation, a reasonable explanation, a probable explanation, a possible explanation, or some other kind of explanation of the conduct that is alleged to be illicit? The Court in *Iqbal*, quoting *Twombly*, insisted that a plausibility requirement “is not akin to a ‘probability requirement,’ but it asks for more than a sheer possibility that a defendant has acted unlawfully.” See Cavanagh, *Making Sense of Twombly*, 63 S.C.L.Rev. 97, 112 (2011) (“We are left with a sort of Goldilocks approach: probability (too much); possibility (too little); plausibility (just right).”). The Seventh Circuit has said, “What is plausible has a moderately high likelihood of occurring.” *In re Text Messaging Antitrust Litig.*, 630 F.3d 622, 629 (7th Cir. 2010) (Posner, J.).

7.By referring to the pleading standard as a “context-specific task,” is *Iqbal* faithful to the principle of transsubstantivity set out in Rule 1, or does the pleading standard now depend on the category of the claim? Moreover, by having the merits of a legal claim turn on the individual judge’s “experience and common sense,” is there a danger that decisions to grant or deny a motion to dismiss will unduly reflect the judge’s implicit biases? Complicating matters still more, lower courts have taken divergent approaches in applying *Twombly* and *Iqbal*. See Steinman, *The Rise and Fall of Plausibility Pleading?*, 69 Vand.L.Rev. 333 (2016). One commentator has warned:

These dismissals will normally take place without discovery, discovery that is sorely needed in some lawsuits such as discrimination cases, where intent is a necessary element. The new “plausibility” test, to be applied after a judge strikes allegations that he or she thinks are conclusory, is an invitation to ad hoc decision making. Judges, like all of us, look at life’s occurrences through the lenses of personal experience.

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Subrin, *The Limitations of Transsubstantive Procedure: An Essay on Adjusting the “One Size Fits All” Assumption*, 87 Denv.U.L.Rev. 377, 389 (2010).

8.Many civil law systems (as in Germany or Italy) require the pleader to set forth the facts of the claim with particularity. See Sherman, *Transnational Perspectives Regarding the Federal Rules of Civil Procedure*, 56 J. Legal Educ. 510, 515 (2006). The Principles of Transnational Civil Procedure, issued by the American Law Institute together with the International Institute for the Unification of Private Law, likewise require that pleadings “be in detail with particulars as to the basis of claim and that the particulars reveal a set of facts that, if proved, would entitle the claimant to a judgment.” Hazard, Taruffo, Sturmer & Gidi, *Introduction to the Principles and Rules of Transnational Civil Procedure*, 33 N.Y.U. J. Int’l L. & Pol. 769, 775 (2001). Have pleading rules in the United States converged with those in force in other countries? See Dodson, *Comparative Convergences in Pleading Standards*, 158 U.Pa.L.Rev. 441 (2010). Or does the requirement of plausible pleading set out a different requirement?

9. Numerous studies have tried to measure the effects of *Twombly* and *Iqbal* on case-dismissal rates. A study comparing cases in 2006 (before *Twombly*) and 2010 (after *Iqbal*) concluded: “*Iqbal* and *Twombly* are associated with a pleading regime in which plaintiffs do worse at nearly every stage. They are more likely to have their case dismissed, and less likely to proceed to discovery and adjudication of the merits of their claims. Even if they survive dismissal, the cases are less likely to be successful in 2010 than in 2006.” Reinert, *Measuring the Impact of Plausibility Pleading*, 101 Va.L.Rev. 2117, 2171 (2015). Another study found “an overall increase in the dismissal rate (as a function of motions) of all claims from 73.3% pre-*Twombly* to 77.2% post-*Iqbal*”—and that lawsuits filed by prisoners, in forma pauperis, and pro se are “highly correlative with dismissal-rate increases.” Dodson, *A New Look: Dismissal Rates of Federal Civil Claims*, 9 Judicature 127, 132, 134 (2012). However, the literature emphasizes the difficulty of using grant rates as a measure of the effects of the new pleading standard. As Professor Gelbach has explained:

[B]ecause parties can be expected to change their behavior in response to perceived changes in the pleading standard, grant rate changes do not identify judicial behavior effects. Second, even if judicial behavior effects could, somehow, be identified, they are only part of the normatively relevant story of pleading standard changes.

Gelbach, *Can the Dark Arts of the Dismal Science Shed Light on the Empirical Reality of Civil Procedure?*, 2 Stan. J. Complex Litig. 223, 293 (2014). For other studies on the practical impact of *Twombly* and *Iqbal*, see Gelbach, *Material Facts in the Debate Over Twombly and Iqbal*, 68 Stan.L.Rev. 369 (2016); Cooper, *King Arthur Confronts Twlqy Pleading*, 90 Or.L.Rev. 955 (2012).

10.State courts are not required to follow the Federal Rules or federal judicial standards governing the sufficiency of a complaint. State courts so far have not unanimously rejected or adopted the *Twombly* or *Iqbal* standards.

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See, e.g., *Warne v. Hall*, 373 P.3d 588, 595 (Colo. 2016) (adopting *Twombly* and *Iqbal* in interpreting the pleading standard in the Colorado Rules of Civil Procedure); *Walsh v. U.S. Bank, N.A.*, 851 N.W.2d 598, 603 (Minn. 2014) (“[W]e now decline to engraft the plausibility standard from *Twombly* and *Iqbal* onto our traditional interpretation of Minn.R.Civ.P. 8.01.”); *McCurry v. Chevy Chase Bank*, 169 Wash.2d 96, 233 P.3d 861 (2010) (declining to apply the plausibility standard and explaining that the federal approach “is predicated on policy determinations specific to the federal trial courts”); *Sisney v. Best Inc.*, 754 N.W.2d 804, rehearing denied (S.D. 2008) (adopting *Twombly* standard for state court pleadings); *Colby v. Umbrella, Inc.*, 184 Vt. 1, 955 A.2d 1082 (2008) (rejecting *Twombly* and retaining *Conley* standard for state court pleadings); *Cullen v. Auto-Owners Insurance Co.*, 218 Ariz. 417, 189 P.3d 344 (2008) (rejecting *Twombly* and *Conley* standards and retaining unique Arizona state pleading requirements). See generally Clopton, *Procedural Retrenchment and the States*, 106 Calif.L.Rev. 411, 424–27 (2018). One empirical study found no systematic increase in the rate of removal in notice-pleading states. See Curry & Ward, *Are Twombly & Iqbal Affecting Where Plaintiffs File? A Study Comparing Removal Rates by State*, 45 Tex.Tech.L.Rev. 827 (2013).

11. In *JOHNSON v. CITY OF SHELBY, MISS.*, 574 U.S. 10, 135 S.Ct. 346, 190 L.Ed.2d 309 (2014), the Supreme Court summarily reversed the Fifth Circuit’s dismissal of a civil rights suit for failure to invoke 42 U.S.C. § 1983 in the complaint. The Court distinguished the case from *Twombly* and *Iqbal*, which pertain to the factual sufficiency of a complaint, and not its legal theory:

Petitioners stated simply, concisely, and directly events that, they alleged, entitled them to damages from the city. Having informed the city of the factual basis for their complaint, they were required to do no more to stave off threshold dismissal for want of an adequate statement of their claim. See Fed. Rules Civ. Proc. 8(a)(2) and (3), (d)(1), (e). For clarification and to ward off further insistence on a punctiliously stated “theory of the pleadings,” petitioners, on remand, should be accorded an opportunity to add to their complaint a citation to § 1983. See 5 Wright & Miller, [Federal Practice and Procedure] § 1219, at 277–278 (“The federal rules effectively abolish the restrictive theory of the pleadings doctrine, making it clear that it is unnecessary to set out a legal theory for the plaintiff’s claim for relief.” * * *).

Id. at 12, 135 S.Ct. at 347, 190 L.Ed.2d at 309. Similarly, in *SKINNER v. SWITZER*, 562 U.S. 521, 131 S.Ct. 1289, 179 L.Ed.2d 233 (2011), the Supreme Court reversed the dismissal of a complaint filed by a convicted state prisoner seeking DNA testing of crime-scene evidence. Justice Ginsburg, for a divided Court, underscored:

Skinner’s complaint is not a model of the careful drafter’s art, but under the Federal Rules of Civil Procedure, a complaint need not pin plaintiff’s claim for relief to a precise legal theory. Rule 8(a)(2) of the Federal Rules * * * generally requires only a plausible “short and

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plain” statement of the plaintiff’s claim, not an exposition of his legal argument. See 5 C. Wright & A. Miller, [Federal Practice and Procedure] § 1219, pp. 277–278 (3d ed. 2004 and Supp. 2010).

Id. at 530, 190 S.Ct. at 1296, 179 L.Ed.2d at 241.

NOTE ON PLEADING STANDARDS AND PRO SE LITIGATION

Read the complaint in *Erickson v. Pardus*, which is reproduced in the Supplement.

ERICKSON v. PARDUS, 551 U.S. 89, 127 S.Ct. 2197, 167 L.Ed.2d 1081 (2007), was decided less than a month after *Twombly*. Plaintiff, an inmate in a Colorado prison, filed a pro se complaint alleging that defendants refused to give him necessary treatment for Hepatitis C, thereby putting his life in jeopardy in violation of the Eighth Amendment to the federal Constitution. The district court dismissed the complaint for failing to allege that the denial of treatment caused substantial harm. The court of appeals affirmed, finding that the complaint made “only conclusionary allegations” of harm. *Erickson v. Pardus*, 198 Fed.Appx. 694, 698 (10th Cir. 2006). The Supreme Court reversed, per curiam, emphasizing: “Specific facts are not necessary; the statement need only ‘give the defendant fair notice of what the . . . claim is and the grounds on which it rests.’” *Bell Atlantic v. Twombly* * * * (quoting *Conley v. Gibson* * * *).” 551 U.S. at 93, 127 S.Ct. at 2200, 167 L.Ed.2d at 1085.

NOTES AND QUESTIONS

1. Can *Erickson* be reconciled with *Twombly* and *Iqbal*? Do you agree with the statement that *Erickson* “appeared to exclude pro se cases from the application of *Twombly*”? See Hubbard, *Testing for Change in Procedural Standards with Application to Bell Atlantic v. Twombly*, 42 J. Legal Stud. 35, 61 (2013). Isn’t it as reasonable to say that the complaint in *Erickson* satisfied the *Twombly* standard because the statement that the prison refused to treat the inmate’s medical condition gave defendant fair notice of the claim; provided the basic facts of who-what-where-when-and-how supporting the claim; and read in the light of “judicial experience and common sense” plausibly alleged illicit behavior leading to physical harm?

2. Pro se lawsuits are estimated to comprise between 25 to 37 percent of total federal cases filed. See Rhodes, *The Battle Lines of Federal Rule of Civil Procedure 8(a)(2) and the Effects on a Pro Se Litigant’s Ability to Survive a Motion to Dismiss*, 22 St. Thomas L.Rev. 527, 531–32 (2010). The Supreme Court has held that pro se complaints are subject “to less stringent standards than formal pleadings drafted by lawyers.” *Haines v. Kerner*, 404 U.S. 519,

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520, 92 S.Ct. 594, 596, 30 L.Ed.2d 652, 654 (1972). Nevertheless, post-*Twombly*, the rate of dismissal of pro se complaints has increased more than the overall dismissal rate. See Schneider, *Illiberal Construction of Pro Se Pleadings*, 159 U.Pa.L.Rev. 585, 605 (2011).

3. Is plaintiff’s inability or unwillingness to retain counsel suggestive that the claims are not plausible? That they lack merit? For an interesting discussion of this question by a divided court of appeals, see *Merritt v. Faulkner*, 823 F.2d 1150 (7th Cir. 1987). Why might a party with a meritorious claim be unable to secure counsel? See Jefferson, *Brennan Lecture—Liberty and Justice for Some: How the Legal System Falls Short in Protecting Basic Rights*, 88 N.Y.U.L.Rev. 1953 (2013).

4.FORM OF PLEADINGS; ALTERNATIVE AND INCONSISTENT STATEMENTS

Read Federal Rules of Civil Procedure 8(d) and 10(b) and related materials in the Supplement.

NOTES AND QUESTIONS

1. Can a court reject a pleading for including too much information? Federal Rule 8(d) states that “[e]ach allegation must be simple, concise, and direct.” In *HEARNS v. SAN BERNADINO POLICE DEPARTMENT*, 30 F.3d 1124 (9th Cir. 2008), the Court of Appeals held it was an abuse of discretion to dismiss the first amended complaint solely on the basis of its length. Similarly, in *Swanson v. Citibank, N.A.*, p. 672, *infra*, the Seventh Circuit held that a claim for housing discrimination was not rendered defective by the inclusion of extraneous facts in the complaint. However, in *DEYO v. INTERNAL REVENUE SERVICE*, 2002 WL 1482517, *1 (D.Conn. 2002), the district court conditionally dismissed a complaint because it was “neither short nor plain,” and instead ran for 43 pages including “verbatim dialogue from such things as telephone conversations.” In some cases, the pleading defect is not the document’s length, but rather the inability of the court and opposing party “to select the relevant material from a mass of verbiage.” *Salahuddin v. Cuomo*, 861 F.2d 40, 42 (2d Cir. 1988). Do the Federal Rules provide a mechanism for striking redundant allegations? Keep this question in mind when you read Rule 12(f).

2. At common law, pleadings were designed to reduce every controversy to a single issue of law or fact. Alternative and hypothetical allegations would have made the search for the single issue impossible and therefore they were forbidden. See McDonald, *Alternative Pleading: I*, 48 Mich.L.Rev. 311 (1950). Despite occasional statements indicating that inconsistent allegations are improper, see, e.g., *Sinclair v. Fotomat Corp.*, 140 Cal.App.3d 217, 189 Cal.Rptr. 393, 399 (1983) (a case involving verified pleadings), the pleading of

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inconsistent and alternative statements is permitted, if “at least one set of facts” is sufficient to support the plausibility of the pleading. *Elena v.*

Municipality of San Juan, 677 F.3d 1, 8 (1st Cir. 2012). For example, in *LEAL v. McHUGH*, 731 F.3d 405 (5th Cir. 2013), suit was brought by applicants for federal jobs who had been passed over during the hiring process in favor of another applicant. Plaintiffs alleged age discrimination and personal relationship as the reasons for the selection, and the appeals court held that at the motion to dismiss stage, the pleading of inconsistent allegations was “not fatal to the complaint.” *Id.* at 415.

3. Rule 8(d) permits the pleading of inconsistent claims, which, as the Eleventh Circuit has emphasized, allows plaintiff to assert “alternative and contradictory theories of liability.” *ADINOLFE v. UNITED TECHS. CORP.*, 768 F.3d 1161, 1175 (11th Cir. 2014). As commentary observes, “[T]he federal rules recognize that inconsistency in the pleadings does not necessarily mean dishonesty, and that frequently a party, after a reasonable inquiry and for proper purposes, must assert contradictory statements when he or she legitimately is in doubt about the factual background of the case or the legal bases that underlie affirmative recovery or defense.” 5 Wright, Miller & Spencer, *Federal Practice and Procedure* § 1283 (4th ed.).

4. Rule 10(b) requires pleadings to contain separately numbered paragraphs, and provides that “as far as practicable,” paragraphs should contain separate counts for claims arising from different transactions. For a criticism, see *Tompkins v. Central Laborers’ Pension Fund*, 2009 WL 3836893 (C.D.Ill. 2009) (calling a requirement that the complaint set out each legal theory in a separate count “a throwback to code pleading, perhaps all the way back to the forms of action”), [quoting Bartholet v. Reishauer A.G. \(Zurich\)](#), 953 F.2d 1073, 1078 (7th Cir. 1992).

5.PLEADING SPECIAL MATTERS

Read Federal Rule of Civil Procedure 9 and the related materials in the Supplement.

KEARNS v. FORD MOTOR COMPANY
United States Court of Appeals, Ninth Circuit, 2009.
[567 F.3d 1120.](#)

N.R. SMITH, CIRCUIT JUDGE.

[Plaintiff filed a class action in California state court alleging violations of the California Consumers Legal Remedies Act (“CLRA”) and the California Unfair Competition Law (“UCL”). The action was removed to federal court on the basis of diversity jurisdiction and, after unsuccessfully challenging remand, plaintiff filed an amended complaint.

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Plaintiff claimed that Ford Motor Company and its dealerships acted illegally to increase sales of Certified Pre-Owned (“CPO”) vehicles, in violation of the CLRA and UCL. The district court dismissed the amended complaint with leave to amend, and plaintiff filed a Second Amended Complaint. The district court dismissed the Second Amended Complaint, with leave to amend for failing to meet the particularity requirement of Federal Rule 9(b). Plaintiff filed a Third Amended Complaint, which Defendant moved to dismiss. The district court granted the motion with leave to amend. Plaintiff then filed a Notice of Intent Not to File an Amended Complaint, whereupon the district court dismissed the case and Plaintiff timely filed a notice of appeal. The Third Amended Complaint (“TAC”) was the operative complaint on appeal.]

* * *

Ford offers potential buyers three classifications of cars to purchase—new, used, and CPO. CPO vehicles are late model used vehicles, which Ford purports to put through a rigorous inspection process in order to certify that the vehicle’s safety, reliability, and road-worthiness surpass non-certified used vehicles. Ford advertises and markets these CPO vehicles to purchasers at a premium (above that charged for ordinary used cars).

Ford Motor Company markets and sells the CPO program to its dealerships as a way of repackaging its used car inventory while increasing their profit margin. Ford Motor Company then charges each dealership (1) an annual fee for the program and (2) a per-vehicle fee for each vehicle in the program. Once enrolled, the dealership is supplied with marketing materials, instructional guides, and access to the CPO database, which allows the dealerships to print standard “Maroney-type” window stickers. In addition, Ford Motor Company pays to promote, market, and advertise the CPO program through a variety of print, broadcast, online, and other media. Local dealerships are responsible for the implementation of the sale and service of CPO vehicles.

Kearns makes several allegations concerning the purported benefits of CPO vehicles. Specifically, Kearns contends that Ford makes false and misleading statements concerning the safety and reliability of its CPO vehicles. Kearns claims that, by making such false statements, Ford conspires to mislead class members into believing that the CPO program guarantees a safer, more reliable, and more roadworthy used vehicle. Such statements are allegedly made to get purchasers to rely on the notion that CPO vehicles are safer due to the certification process. Ford engages in such conduct to give the buyers of CPOs “peace of mind,” which purportedly costs \$1,080 dollars, an amount Kearns claims exceeds the benefit of this “peace of mind.”

Kearns also alleges that Ford has failed to disclose the very little oversight it has over the certification process. Kearns claims that Ford

misrepresents (1) the quality of the complete repair and accident-history report; (2) the level of training of CPO technicians; and (3) the rigorous certification inspection. Such misrepresentations are claimed to provide the consumer with a sense of security that their CPO has passed a rigorous inspection, has an extended warranty, and therefore is more safe, more reliable, and more roadworthy than a regular used vehicle. Kearns argues that the inspection is not rigorous; the warranty does not cover all components; and the CPO vehicles are not any safer, more reliable, or more roadworthy than a regular used vehicle.

* * *

Kearns argues that his claims should not be subject to Rule 9(b), because (1) California state law precedent is contrary to Rule 9(b); (2) some of his claims are not based in fraud; and (3) the complaint should have been evaluated under the unfairness prong of the UCL instead. * * * We review de novo dismissals under Rule 9(b). * * * Thus, the panel must consider the matter anew, as if no decision previously had been rendered.* * *

* * *

Rule 9(b) demands that the circumstances constituting the alleged fraud “be ‘specific enough to give defendants notice of the particular misconduct . . . so that they can defend against the charge and not just deny that they have done anything wrong.’ ” * * * “Averments of fraud must be accompanied by ‘the who, what, when, where, and how’ of the misconduct charged.” * * * A party alleging fraud must “set forth *more* than the neutral facts necessary to identify the transaction.” * * *

Rule 9(b) serves three purposes: (1) to provide defendants with adequate notice to allow them to defend the charge and deter plaintiffs from the filing of complaints “as a pretext for the discovery of unknown wrongs”; (2) to protect those whose reputation would be harmed as a result of being subject to fraud charges; and (3) to “prohibit[] plaintiff[s] from unilaterally imposing upon the court, the parties and society enormous social and economic costs absent some factual basis.” * * * “[W]hile a federal court will examine state law to determine whether the elements of fraud have been pled sufficiently to state a cause of action, the Rule 9(b) requirement that the circumstances of the fraud must be stated with particularity is a federally imposed rule.” [Vess v. Ciba-Geigy Corp. USA, 317 F.3d 1097, 1103 (9th Cir. 2003)] * * *.

A.

Kearns’s first argument—that Rule 9(b) does not apply to California’s consumer protection statutes because California courts have not applied Rule 9(b) to the Consumer Protection Statutes, which include the CLRA and UCL—is unavailing. It is well-settled that the Federal Rules of Civil Procedure apply in federal court, “irrespective of the source of the subject

matter jurisdiction, and irrespective of whether the substantive law at issue is state or federal.” * * *

The CLRA prohibits “unfair methods of competition and unfair or deceptive acts or practices undertaken by any person in a transaction intended to result or which results in the sale . . . of goods or services to any consumer.” Cal. Civ. Code § 1770. The UCL prohibits “unlawful, unfair or fraudulent business act[s] or practice[s]” and “unfair, deceptive, untrue or misleading advertising.” Cal. Bus. & Prof.Code § 17200. Rule 9(b)’s particularity requirement applies to these state-law causes of action. * * *

B.

Kearns next argues that some of his claims are not grounded in fraud, and so should not be subject to Rule 9(b). This argument is also unavailing.

While fraud is not a necessary element of a claim under the CLRA and UCL, a plaintiff may nonetheless allege that the defendant engaged in fraudulent conduct. * * * A plaintiff may allege a unified course of fraudulent conduct and rely entirely on that course of conduct as the basis of that claim. In that event, the claim is said to be ‘grounded in fraud’ or to ‘sound in fraud,’ and the pleading * * * as a whole must satisfy the particularity requirement of Rule 9(b). * * *

Reviewing the complaint, Kearns alleges that Ford engaged in a fraudulent course of conduct. Kearns’s TAC alleges that Ford Motor Company conspires with its dealerships to misrepresent the benefits of its CPO program to sell more cars and increase revenue. Kearns alleges that Ford’s marketing materials and representations led him to believe that CPO vehicles were inspected by specially trained technicians and that the CPO inspections were more rigorous and therefore more safe. Kearns alleges he was exposed to these representations through (1) Ford’s televised national marketing campaign; (2) sales materials found at the dealership where he bought his vehicle; and (3) sales personnel working at the dealership where he bought his vehicle. In reliance on these representations, Kearns claims he purchased a CPO vehicle. Therefore he alleges that Ford engaged in a fraudulent course of conduct.

However, Kearns fails to allege in any of his complaints the particular circumstances surrounding such representations. Nowhere in the TAC does Kearns specify what the television advertisements or other sales material specifically stated. Nor did Kearns specify when he was exposed to them or which ones he found material. Kearns also failed to specify which sales material he relied upon in making his decision to buy a CPO vehicle. Kearns does allege that he was specifically told “CPO vehicles were the best used vehicles available as they were individually hand-picked and rigorously inspected used vehicles with a Ford-backed extended warranty.” Kearns does not,

however, specify who made this statement or when this

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statement was made. Kearns failed to articulate the who, what, when, where, and how of the misconduct alleged. The pleading of these neutral facts fails to give Ford the opportunity to respond to the alleged misconduct. Accordingly, these pleadings do not satisfy the requirement of Rule 9(b) that “a party must state with particularity the circumstances constituting fraud. . . .” Because Kearns failed to plead his averments of fraud with particularity, we affirm the district court’s dismissal of his TAC.

Kearns counters that his entire TAC was not grounded in fraud because all of his allegations were not averments in fraud. For example, Kearns contends that his claims against Ford for their failure to disclose information pertinent to consumers are not based in fraud. * * *

* * *

The court in *Vess* held that “where fraud is not an essential element of a claim, only allegations (‘averments’) of fraudulent conduct must satisfy the heightened pleading requirements of Rule 9(b).” *Vess*, 317 F.3d at 1105. Applying this rule, the court found that, “[b]ecause Vess’s allegations . . . do not rely entirely on a unified fraudulent course of conduct, his claims . . . are not ‘grounded in fraud’ ” as a whole. Id. at 1106. The court found that some of Vess’s claims were “not based on fraud . . . neither mention[ing] the word ‘fraud,’ nor alleg[ing] facts that would necessarily constitute fraud.”¹ Id. at 1105–06. The claims of failure to disclose in *Vess* were held to “describe non-fraudulent conduct.” Id. at 1106.

However, in *Vess*, this court derived its elements of fraudulent misrepresentation from the California Court of Appeals case, *Hackethal v. National Casualty Co.*, 189 Cal.App.3d 1102, 234 Cal.Rptr. 853, 857 (1987). Id. at 1105, 234 Cal.Rptr. 853 * * *. These elements, however, have been changed by the Supreme Court of California to include nondisclosure. * * * Because the Supreme Court of California has held that nondisclosure is a claim for misrepresentation in a cause of action for fraud, it (as any other fraud claim) must be pleaded with particularity under Rule 9(b). * * * Kearns’s claims of nondisclosure were couched in general pleadings alleging Ford’s intent to conceal from customers that CPO vehicles were essentially the same as ordinary used vehicles. Such general pleadings do not satisfy the heightened pleading requirements of Rule 9(b). * * *

C.

Finally, Kearns contends that the district court erred by failing to specifically evaluate his complaint under the unfairness prong of the UCL. Specifically, Kearns contends that a determination of whether a business practice violates the unfairness prong is fact intensive and not conducive to resolution on a motion to dismiss. We disagree.

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The UCL prohibits unfair competition, which it broadly defines as including “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” * * * Each prong of the UCL is a separate and distinct theory of liability; thus, the “unfair” practices prong offers an independent basis for relief. * * *

We held in *Vess* that if “the claim is said to be ‘grounded in fraud’ . . . the pleading of that claim as a *whole* must satisfy the particularity requirement of Rule 9(b).” Id. at 1103–04 (emphasis added).¹ Kearns’s TAC alleges a unified course of fraudulent conduct, namely that Ford Motor Company and its “co-conspirator” dealerships knowingly misrepresent to the public that CPO vehicles are safer and more reliable, with an intent to induce reliance and defraud consumers. Because Kearns’s TAC alleges a unified fraudulent course of conduct, his claims against Ford are grounded in fraud. His entire complaint must therefore be pleaded with particularity. Thus, the TAC was properly dismissed and no error was committed by not separately analyzing his claims under the unfairness prong of the UCL.

* * *

IV. CONCLUSION

The requirement in Rule 9(b) of the Federal Rules * * * that allegations of fraud be pleaded with particularity applies to claims which are made in federal court under the CLRA and UCL. We hold that Kearns’s entire TAC was grounded in fraud. Thus, under Rule 9(b), Kearns’s failure to plead his claims with particularity merited that complaint’s dismissal. * * *

AFFIRMED.

NOTES AND QUESTIONS

1. Are you convinced that Rule 9(b) imposes a heightened pleading standard, as the Ninth Circuit held in *Kearns*, on claims that are “grounded in fraud” or “sound in fraud,” even when fraud is not an element of the claim? Hasn’t the Supreme Court twice rejected applying heightened pleading requirements outside the boundaries of Rule 9(b)? See Fairman, *Heightened Pleading*, 81 Tex.L.Rev. 551 (2002).
2. *Kearns* held that the Third Amended Complaint was deficient because it failed to allege the specific advertisements that plaintiff saw and relied upon. Under California law, plaintiff can win after trial if the misrepresentations and false statements are a part of an extensive campaign, without proof of individual reliance on a particular advertisement. Some district courts have questioned whether the *Kearns* approach to Rule 9(b) raises problems

under the Rules Enabling Act, explaining that to require plaintiffs to plead claims with more particularity “than they are required to

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prove them at trial would abridge and modify their substantive legal rights.” *Opperman v. Path, Inc.*, 84 F.Supp.3d 962, 978 (N.D.Cal. 2015). What is your response? But see *Yastrab v. Apple Inc.*, 173 F.Supp.3d 972 (N.D.Cal. 2016) (particularity required for state consumer claims).

3.Do the reasons for requiring the heightened pleading of fraud apply as well to claims of mistake? See Richman, Lively & Mell, *The Pleading of Fraud: Rhymes Without Reason*, 60 S.Calif.L.Rev. 959, 979 (1987). According to one court, fraud and mistake share a “common thread” that justifies their similar treatment:

Unlike other intentional or negligent acts, both fraud and mistake are claims which, by their nature, involve mutual or unilateral confusion and/or delusion. Both claims derive from a party’s own subjective misperception, misapprehension or misunderstanding and subsequent reliance. Such claims often may not be readily apparent to others and may appear to contradict existing facts or contracts. Unless defendant and others share plaintiff’s view of the situation, they will find it difficult to grasp plaintiff’s claim. * * * Allegations of fraud and mistake seek to undermine the reality of presumed facts and are by their nature unsettling to the parties and their agreements.

Breeden v. Richmond Community College, 171 F.R.D. 189, 202 (M.D.N.C. 1997). But see Fairman, *An Invitation to the Rulemakers—Strike Rule 9(b)*, 38 U.C.Davis L.Rev. 281 (2004) (questioning whether allegations of mistake pose any reputational injuries).

4.Is it reasonable to require plaintiff, on pain of dismissal, to plead with particularity matters that are within the exclusive custody of defendant? See *Sovern, Reconsidering Federal Civil Rule 9(b): Do We Need Particularized Pleading Requirements in Fraud Cases?*, 104 F.R.D. 143 (1985). If the pleading of fraud is special, might there also be a need for special discovery rules, for example, authorizing limited pre-filing discovery, mandatory discovery while the motion to dismiss is pending, or cost-shifting? Consider these possibilities in the context of discovery, Chapter 11, *infra*, and case management, Chapter 12, *infra*.

Private Securities Litigation Reform Act of 1995

In the wake of the stock market crash of 1929, Congress enacted the Securities Exchange Act of 1934 in order to curb abusive and fraudulent conduct in the securities markets. Rule 10b–5 of the 1934 Act bars an individual or a company from making “any untrue statement of a material fact or [from] omit[ting] to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading.” 17 C.F.R. § 240.10b–5. Private investors may sue to enforce the statute; a defendant will be held liable for a violation of Rule 10b–5 only if plaintiff can prove scienter, namely, that defendant knew the

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statement was false or defendant was reckless in disregarding a substantial risk that the statement was false.

In 1995, Congress—reacting to concerns that class action securities lawsuits had become abusive—enacted (over a Presidential veto) the Private Securities Litigation Reform Act (PSLRA) of 1995. The PSLRA imposed what Professor Miller has called a “super-heightened pleading standard” on complaints brought under the 1934 Act. See Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Clichés Eroding Our Day in Court and Jury Trial Commitments?*, 78 N.Y.U.L.Rev. 982, 1012 (2003). The pleader must specify every statement alleged to have been misleading and to provide reasons that the statement is misleading. Facts giving rise to a “strong inference” that defendant acted with the required state of mind must be stated with particularity. Moreover, if an allegation is made on information and belief, the pleader must provide all facts on which the belief is based and state those facts with particularity. The PSLRA stays discovery while a motion to dismiss is pending, providing a limited exception for “particularized discovery” if necessary “to preserve evidence or to prevent undue prejudice.” 15 U.S.C. § 78u–4(b)(3)(B). See Perino, *Did the Private Securities Litigation Reform Act Work?*, 2003 U.Ill.L.Rev. 913, 918–23.

One issue that divided the lower courts was the pleading of “loss causation”—whether defendant’s fraud caused plaintiff’s economic loss. In *DURA PHARMACEUTICALS, INC. v. BROUDO*, 544 U.S. 336, 125 S.Ct. 1627, 161 L.Ed.2d 577 (2005), the Court rejected the Ninth Circuit’s approach that loss causation could be sufficiently alleged by stating that “the price” of the security “on the date of purchase was inflated because of the misrepresentation.” Instead, the pleader must allege and prove a market decline that is attributable to the fraud. Some commentators criticized the Court’s approach as effectively converting the 1934 Securities Act into an ex post rule of immunity that is at odds with the statute’s requirement of ex ante disclosure. See Spindler, *Why Shareholders Want Their CEOs To Lie More After Dura Pharmaceuticals*, 95 Geo.L.J. 653, 657, 691 (2007). Another question that divided the courts concerned how a pleader could show the “strong inference” required under the PSLRA, a term that Congress did not define.

TELLABS, INC. v. MAKOR ISSUES & RIGHTS, LTD.

Supreme Court of the United States (2007).
[551 U.S. 308, 127 S.Ct. 2499, 168 L.Ed.2d 179.](#)

Certiorari to the United States Court of Appeals for the Seventh Circuit.

JUSTICE GINSBURG delivered the opinion of the Court.

[Plaintiffs purchased shares in the defendant company, which manufactures specialized equipment for fiber optic networks. They filed a

class action alleging that the company and its chief executive and other officers engaged in a scheme to deceive the investing public about the true value of Tellabs stock. In particular, the complaint alleged that the chief executive misled the public in four ways: by falsely stating financial results; by inflating revenue projections; by falsely claiming demand for its flagship product was strong; and by falsely announcing a next-generation product was ready to ship and demand was growing. The District Court dismissed the complaint without prejudice for failure to plead with particularity. Plaintiffs amended the complaint, adding references to 27 confidential sources and making specific references to the chief executive’s mental state. The District Court dismissed the amended complaint with prejudice, and the Court of Appeals reversed in relevant part, finding that the amended complaint sufficiently alleged that the chief executive had acted with the requisite state of mind. In so holding, the Court of Appeals stated that a complaint should survive “if it alleges facts from which, if true, a reasonable person could infer that the defendant acted with the required intent,” and, further, “[i]f a reasonable person could not draw such an inference from the alleged facts, the defendants are entitled to dismissal.”]

* * *

* * * We granted certiorari to resolve the disagreement among the Circuits on whether, and to what extent, a court must consider competing inferences in determining whether a securities fraud complaint gives rise to a “strong inference” of scienter. * * *

* * *

Exacting pleading requirements are among the control measures Congress included in the [Private Securities Litigation Reform Act, “PSLRA”] * * *. [The Act requires that] plaintiffs must “state with particularity facts giving rise to a strong inference that the defendant acted with the required state of mind.” * * *

* * * In the case before us, the Court of Appeals for the Seventh Circuit held that the “strong inference” standard would be met if the complaint “allege[d] facts from which, if true, a reasonable person could infer that the defendant acted with the required intent.” 437 F.3d 588, 602 (2006). That formulation, we conclude, does not capture the stricter demand Congress sought to convey * * *. Rather, to determine whether a complaint’s scienter allegations can survive threshold inspection for sufficiency, a court * * * must engage in a comparative evaluation; it must consider, not only inferences urged by the plaintiff, as the Seventh Circuit did, but also competing inferences rationally drawn from the facts alleged. An inference of fraudulent intent may be plausible, yet less cogent than other, nonculpable explanations for the defendant’s conduct. To qualify as “strong” we hold an inference of scienter must be more than merely

plausible or reasonable—it must be cogent and at least as compelling as any opposing inference of nonfraudulent intent.

* * *

We establish the following prescriptions: *First*, faced with a Rule 12(b)(6) motion to dismiss * * * courts must * * * accept all factual allegations in the complaint as true. * * *

Second, courts must consider the complaint in its entirety, as well as other sources courts ordinarily examine when ruling on Rule 12(b)(6) motions to dismiss, in particular, documents incorporated into the complaint by reference, and matters of which a court may take judicial notice. * * * The inquiry * * * is whether *all* of the facts alleged, taken collectively, give rise to a strong inference of scienter, not whether any individual allegation, scrutinized in isolation, meets that standard. * * *

Third, in determining whether the pleaded facts give rise to a “strong” inference of scienter, the court must take into account plausible opposing inferences. The Seventh Circuit expressly declined to engage in such a comparative inquiry. * * *

The strength of an inference cannot be decided in a vacuum. The inquiry is inherently comparative: How likely is it that one conclusion, as compared to others, follows from the underlying facts? * * * A complaint will survive, we hold, only if a reasonable person would deem the inference of scienter cogent and at least as compelling as any opposing inference one could draw from the facts alleged. * * *

While we reject the Seventh Circuit’s approach * * *, we do not decide whether, under the standard we have described, * * * [plaintiff’s] allegations warrant “a strong inference that * * * [defendants] acted with the required state of mind” * * *. Neither the District Court nor the Court of Appeals had the opportunity to consider the matter in light of the prescriptions we announce today. We therefore vacate the Seventh Circuit’s judgment so that the case can be reexamined in accord with our construction * * *.

* * *

JUSTICE SCALIA, concurring in the judgment.

I fail to see how an inference that is merely “at least as compelling as any opposing inference” * * * can conceivably be called what the statute here at issue requires: a “strong inference,” 15 U.S.C. § 78u–4(b)(2). If a jade falcon were stolen from a room to which only A and B had access, could it *possibly* be said there was a “strong inference” that B was the thief? I think not, and I therefore think that the Court’s test must fail. In my view, the test should be whether the inference of scienter (if any) is *more plausible* than the inference of innocence. * * *

JUSTICE ALITO, concurring in the judgment.

I agree with the Court that the Seventh Circuit used an erroneously low standard for determining whether the plaintiffs in this case satisfied their burden of pleading * * *. I further agree that the case should be remanded to allow the lower courts to decide in the first instance whether the allegations survive under the correct standard. In two respects, however, I disagree with the opinion of the Court. First, the best interpretation of the statute is that only those facts that are alleged “with particularity” may properly be considered in determining whether the allegations of scienter are sufficient. Second, I agree with Justice SCALIA that a “strong inference” of scienter, in the present context, means an inference that is more likely than not correct.

NOTES AND QUESTIONS

1. The PSLRA includes two separate pleading requirements. As the Third Circuit has explained:

First, * * * the complaint “must specify each allegedly misleading statement, why the statement was misleading, and, if an allegation is made on information and belief, all facts supporting that belief with particularity.” * * * Second, the complaint must, “with respect to each act or omission alleged to violate this chapter, state with particularity facts giving rise to a strong inference that the defendant acted with the required state of mind.”

Institutional Invs. Group v. Avaya, Inc., 564 F.3d 242, 252–53 (3d Cir. 2009) (quoting 15 U.S.C. § 78u–4(b)(1)–(2)). How does this dual approach differ from the requirement of particularity under Rule 9(b)?

2.The relevant question under *Tellabs* is whether a reasonable person would think that the inference of scienter is cogent and compelling. Is it significant that the Supreme Court used the word “would” and not “could”? Some commentary has argued that this word choice suggests “that even if a reasonable person could conclude that the inference of scienter is sufficient, the complaint still fails if a reasonable person could also reach the opposite conclusion.” See Miller, *Pleading After Tellabs*, 2009 Wis.L.Rev. 507, 510 (2009).

3.The Court in *Tellabs* appears to have assumed that pre-filing investigation suffices to enable a plaintiff to meet its pleading standard. See Nelles & Huber, *Pleading Securities Fraud Claims: The Good, The Bad, and The Ugly*, 45 Loy.U.Chi.L.J. 653 (2014). If this assumption is wrong, critics argue, then *Tellabs* does not simply weed out frivolous cases—as the PSLRA was intended to do—but rather “also weeds out cases where the allegations of scienter are not strong, but where, with the benefit of discovery, the plaintiff might be able to establish the requisite state of mind at trial.” Miller, *A Modest Proposal for Securities Pleading After Tellabs*, 7 L. & Contemp.Probs. 93, 102–03 (2012).

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4.In *MATRIXx INITIATIVES, INC. v. SIRACUSANO*, 563 U.S. 27, 131 S.Ct. 1309, 179 L.Ed.2d 398 (2011), the Supreme Court addressed two separate pleading questions. The first involved the pleading of materiality under Section 10(b) of the Securities Exchange Act of 1934, and applied the plausibility standard of *Twombly* and *Iqbal*. The second involved the pleading of scienter, which was assessed under the PSLRA. For both, the Court held that an allegation of statistical significance was not required to show that the omitted statements—in this case, adverse pharmaceutical event reports—were material to the reasonable investor and that defendant acted with the requisite state of mind. *Matrixx* has generated a number of important questions, including the relationship between the plausibility and the PSLRA pleading standards. See Steinberg & Gomez-Cornejo, *Blurring the Lines Between Pleading Doctrines: The Enhanced Rule 8(a)(2) Plausibility Pleading Standard Converges with the Heightened Fraud Pleading Standards under Rule 9(b) and the PSLRA*, 30 Rev.Litig. 1 (2010).

5. Many empirical studies have tried to assess the PSLRA’s effect on securities markets, in terms of firm value, litigation practice, judicial filings, and disposition rates. In the first decade after the PSLRA’s enactment, the number of securities class action filings did not decrease, but the cases involved higher-value claims and took a longer period of time to settle. Beginning around 2005, filing rates began to decline. See Choi & Thompson, *Securities Litigation and Its Lawyers: Changes During the First Decade after the PSLRA*, 106 Colum.L.Rev. 148 (2006). In 2012, the number of filings declined to 152, a 19 percent drop from the previous year and 21 percent below the average number of filings in the period 1997–2011. See Cornerstone Research, *Securities Class Action Filings: 2012 Year in Review* (Jan. 2013). Moreover, district courts appeared to have granted an increased percentage of motions to dismiss, and in almost every case filed under the PSLRA, defendant moved to dismiss the action. See Wunderlich, *The Importance of the Prefiling Phase for Securities-Fraud Litigation*, 45 Loy.U.Chi.L.J. 739, 752–53 (2014). Nevertheless, in the first half of 2017, the filing of securities fraud class actions in federal court spiked, and was higher than at any other time since Congress enacted the PSLRA—more than twice the 1996–2016 average. See Cornerstone Research, *Securities Class Action Filings: 2017 Year in Review*, at 1.

6.PLEADING DAMAGES

Read Federal Rule of Civil Procedure 9(g) in the Supplement.

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McCULLEN, JUDGE. This action was brought by respondent as plaintiff against appellant as defendant to recover damages for injuries plaintiff alleged she sustained as a result of a collision between an automobile driven by her and a motor vehicle (tractor-trailer, also referred to as truck) operated by defendant's employee. A trial before the court and a jury resulted in a verdict and judgment in favor of plaintiff against defendant in the sum of \$2000.00. After an unavailing motion for a new trial defendant appealed.

* * * Describing her injuries plaintiff alleged in her petition that "Plaintiff sustained injuries to her neck, back, spine and nervous system and was otherwise injured and her earning capacity has been permanently impaired."

* * *

For its first point defendant contends that the trial court erred in permitting plaintiff's counsel in his opening statement, over defendant's objection, to state to the jury that plaintiff's blood pressure had increased by the accident and in refusing to declare a mistrial on defendant's motion because of such statement and in permitting plaintiff to introduce evidence over defendant's objection of plaintiff's increased blood pressure and in refusing to declare a mistrial on defendant's motion because of the introduction of such evidence and also in permitting [plaintiff] over defendant's objection to present evidence of an injury to her shoulder. Defendant points out that plaintiff's petition does not allege that she was caused to develop high blood pressure or that such an existing condition was aggravated by the accident. Defendant further contends that the evidence does not establish that a continuing elevation in blood pressure is an inevitable or necessary result of the injuries averred and that the evidence of such condition was, therefore, inadmissible. In support of these contentions defendant cites a number of cases which apply the principle of law that before a plaintiff can recover for a physical condition claimed to have resulted from the negligence of another, such condition must be pleaded or the evidence must establish the condition as being the inevitable or necessary result of injuries which are particularly set out in the petition. The reason underlying such decisions is that it would be unjust to permit a plaintiff to take advantage of a defendant at the trial by presenting evidence of injuries of which the defendant did not have the kind of notice required by law, namely, through allegations in plaintiff's petition.

It is true the evidence in this case does show, as plaintiff contends, that defendant had actual notice before trial of plaintiff's increased blood pressure, which she claimed was a result of the collision, through a

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statement made by plaintiff to that effect to the Claim Agent of defendant's insurer and through an examination of plaintiff made by defendant's doctor, Dr. Leo A. Will, and reported by him to said Claim Agent as well as through plaintiff's deposition which was taken by defendant. However, we are of the opinion that although it cannot be said that defendant was "surprised" when plaintiff presented evidence at the trial relating to the condition of her blood pressure, defendant nevertheless had the right to object to such evidence on the ground that it related to "special damages" which were not pleaded in plaintiff's petition. Although defendant could not have claimed "surprise" upon the introduction of such evidence, it was not required to do so and its objections at the trial to such evidence in the absence of proper allegations thereon in plaintiff's petition should have been sustained. No such special damages were pleaded by plaintiff, nor did plaintiff ask leave to amend her petition to include such special damages which she could have done on such terms, at that stage of the proceedings, as the court should order. However, plaintiff did not amend her petition, nor ask leave to amend, and defendant had the right to object to the evidence in question.

* * * [Missouri Rule of Civil Procedure 55.19] expressly provides: "When items of special damage are claimed, they shall be specifically stated." * * *

It has been held by our Supreme Court that a specific personal injury which is not the necessary or inevitable result of an injury alleged in the petition constitutes an element of "special damage" which must be specifically pleaded before evidence thereof is admissible. See State ex rel. Grisham v. Allen, 344 Mo. 66, 124 S.W.2d 1080 (1939). * * *

In the case at bar the only allegations in plaintiff's petition with respect to the injuries she suffered as the result of the collision were as follows: "Plaintiff sustained injuries to her neck, back, spine and nervous system and was otherwise injured and her earning capacity has been permanently impaired." It will be observed that not only is there no mention of increased blood pressure but no injuries are alleged from which it can reasonably be said that an increase in blood pressure was an inevitable or necessary result. Nor was there any evidence to show that the increased blood pressure was the necessary or inevitable result of the injuries alleged in the petition.

* * *

What we have said herein with respect to the evidence of plaintiff's increase of blood pressure applies with equal force to the evidence of the injury to plaintiff's shoulder. In the absence of any allegation in plaintiff's petition relating to that injury, it was error for the court to admit such evidence.

* * *

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On Motion for Rehearing or, in the Alternative, to Transfer to Supreme Court.

McCULLEN, JUDGE. Plaintiff has filed an extended motion for rehearing in which she earnestly argues that this court committed error in holding that the trial court erred in permitting plaintiff to introduce evidence of her high blood pressure when no such damage was pleaded in plaintiff's petition. * * *

It is contended by plaintiff that [the Missouri rule] * * *, which provides that when "items of special damage" are claimed "they

shall be specifically stated,” having been copied verbatim from Rule 9(g) of the Federal Rules * * *, the “construction” given said Rule 9(g) by the Federal Courts must be given to [the Missouri rule as well] * * *. [The language of Rule 9(g) was altered slightly in 2007.]

* * *

* * * Plaintiff evidently has found no case in point on the facts of this case (just as we have found none) because, as we see it, the words of both Federal Rule 9(g) and the state [rule] * * * are so simple, plain and unambiguous that no one has even heretofore contended in a court of last resort that a party could plead only “general” damages and recover for “special” damages.

* * *

[Motion denied.]

NOTES AND QUESTIONS

1. Federal Rule 9(g) requires that a claim for special damages “be specifically stated.” Does the requirement of specific statement differ from Rule 9(b)’s requirement that the circumstances of a fraud be stated with “particularity”? The Seventh Circuit Court of Appeals has written, “It is hard to know how specific is specific enough, but ‘specificity’ must be something less than the ‘particularity’ standard that Rule 9(b) prescribes for allegations of fraud.” *Pippen v. NBCUniversal Media, LLC*, 734 F.3d 610, 614 (7th Cir. 2013).

2. Rule 9(g) does not define what damages are special. A typical definition looks to whether the damages would be “unusual” for the type of claim asserted. For example, in a suit alleging breach of contract, general damages are the benefit of the bargain; special damages would be compensation for additional losses. See *Schonfeld v. Hilliard*, 218 F.3d 164, 175 (2d Cir. 2000). In an action for trespass, general damages are those for injury to the land itself; special damages would be lost profits from plans to use the property. See *Weyerhaeuser Co. v. Brantley*, 510 F.3d 1256, 1266 (10th Cir. 2007).

3. Considering the different claims asserted, which of the following items of damages would require specificity in pleading?

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- (a) Medical bills incurred as a result of personal injuries in a car crash.
- (b) Unpaid health insurance benefits for multiple services rendered.
- (c) Aggravation of a pre-existing medical condition.
- (d) Losses that flow from contractual breach other than the value of the promised performance.

4. The normal consequence of failing to plead special damages is barring the pleader from proving them at trial. However, with regard to a few types of cases the existence of special damages is an integral part of the claim, and the failure to plead them renders the complaint subject to dismissal. Does the fact that a distinction along these lines is drawn by the courts of the state in which the federal court sits have any relevance to Rule 9(g)? Whether the specificity requirement is met is governed by federal law. See *Brown & Williamson Tobacco Corp. v. Jacobson*, 713 F.2d 262 (7th Cir. 1983). However, the federal court looks to state law to determine the elements of the claim. Thus, when state law required a libel claim to allege special damages, and the complaint failed to contain this allegation, the complaint was dismissed. See *McGowan v. Homeward Residential, Inc.*, 500 Fed.Appx. 882 (11th Cir. 2012).

5. Is a request for attorney’s fees an item of special damages that must be specifically stated in the complaint? In 1993, Federal Rule 54 was amended in order “to provide for a frequently recurring form of litigation not initially contemplated by the rules—disputes over the amount of attorney’s fees to be awarded in the large number of actions in which prevailing parties may be entitled to such awards.” Fed. R. Civ. P. 54, Advisory Committee Notes. Some courts take the view that a request for attorney’s fees is to be raised by motion under Rule 54(d)(2), and that Rule 9(g) does not control, but there is division on this issue. See *Riordan v. State Farm. Mut. Auto. Ins. Co.*, 589 F.3d 999 (9th Cir. 2009).

7. THE PRAYER FOR RELIEF

Read Federal Rules of Civil Procedure 8(a)(3) and 54(c) in the Supplement.

NOTES AND QUESTIONS

1. What is the relationship between Rule 8(a)(3), which requires the complaint to contain “a demand for the relief sought,” and Rule 54(c), which authorizes the court to order a final judgment granting “the relief to which each party is entitled, even if the party has not demanded that relief in its pleadings”? In *ANHEUSER-BUSCH, INC. v. JOHN LABATT LTD.*, 89 F.3d 1339, 1349 (8th Cir. 1996), cert. denied, 519 U.S. 1109, 117 S.Ct. 944, 136 L.Ed.2d 833 (1997), plaintiff failed to mention punitive damages in its

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pleadings or answers to interrogatories. Plaintiff did plead a valid claim for injurious falsehood under state law and requested instructions on punitive damages a week prior to the trial. Over defendant’s objection the matter was presented to the jury, which awarded punitive damages in the amount of \$5 million. The trial court struck the punitive damage award on the ground that plaintiff had not given sufficient notice of its intent to seek

punitive damages. The appellate court affirmed. It did not cite Rules 8(a)(3), 9(g), or 54(c). If the goal is to prevent unfair surprise to defendant, should punitive damages (or some other form of relief) be available even if not specified in the demand for relief, so long as the facts justify such an award and no prejudice is shown? See *Bowles v. Osmoste Utilities Services, Inc.*, 443 F.3d 671, 675 (8th Cir. 2006).

2. Most states follow the federal rule that relief is not limited by the ad damnum clause, with the exception that default judgments may not exceed the amount of damages sought or include a kind of relief not demanded in the complaint. Why should a defendant who defaults be protected by a cap on damages, but a defendant who participates be exposed to damages greater than those pleaded by the plaintiff? Should the remedy cap in Rule 54(c) apply if defendant appears but then does not respond to the complaint or defend the action? Default judgments are studied in Chapter 13, Section C, *infra*.

B. RESPONDING TO THE COMPLAINT

BACKGROUND NOTE ON FEDERAL RULE 12

After being served with the summons and complaint, defendant must respond to the lawsuit. Federal Rule 12 gives defendant two options. Defendant may file a responsive pleading, called an answer; or, defendant may file a motion that raises one or more of the defenses and objections set out in that rule.

Rule 12(b) sets out seven defenses—some of which are familiar to you from earlier chapters. For example, defendant may challenge the court’s subject-matter jurisdiction through a motion to dismiss on that ground under Rule 12(b)(1). What is the consequence of a defendant’s failure to raise an objection to subject-matter jurisdiction in its initial Rule 12 motion? See Rule 12(h)(3). By contrast, if defendant omits from the motion defenses listed in Rule 12(b)(2)–(5) (namely, lack of personal jurisdiction, improper venue, insufficient process, and insufficient service of process) those defenses are waived if they were available at the time of the motion. See Rule 12(g)(2) and Rule 12(h)(1). Which other defenses are preserved under Rule 12(h)?

The defenses in Rules 12(b)(1) through 12(b)(5) and 12(b)(7) are essentially modern counterparts to the common-law plea of abatement, which allowed defendant to challenge the pleading by asserting facts outside the record that create an impediment to the suit’s going forward. By raising a plea in abatement, the party conceded the merits. See Dodson, *Hybridizing Jurisdiction*, 99 Calif.L.Rev. 1439, 1452 (2011). There never was any doubt that courts may consider extra-pleading material on these motions. For a Rule

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12(b)(6) motion, however, the court may consider material outside the pleadings only by treating the motion as one for summary judgment under Rule 56. See Rule 12(d).

1. THE TIME PERMITTED FOR A RESPONSE

Read Federal Rules of Civil Procedure 4(d), 6(b), 12(a), and 12(b) and the accompanying materials in the Supplement.

Federal Rule 12(a), as amended in 2009, gives most defendants 21 calendar days from the date of service of the complaint to respond to the complaint either by a Rule 12 motion or by answering the complaint. How does the “waiver of service” provision under Rule 4(d) affect the time period for answering the complaint? The time to respond also may be extended by court order. See Rule 6(b). How does the filing of a Rule 12(b) motion affect the timing for the filings of a responsive pleading? See Rule 12(a)(4).

2. MOTION FOR A MORE DEFINITE STATEMENT AND MOTION TO STRIKE

Read Federal Rules of Civil Procedure 12(e) and 12(f) in the Supplement.

GARCIA V. HILTON HOTELS INTERNATIONAL, INC.

United States District Court, District of Puerto Rico, 1951.
[97 F.Supp. 5.](#)

ROBERTS, DISTRICT JUDGE. The action here is for damages for defamation brought by plaintiff, a citizen and resident of Puerto Rico, against defendant, a Delaware corporation, in the District Court of Puerto Rico and removed to this Court by defendant corporation. The complaint sets forth two causes of action and the paragraphs considered herein are identical in each cause. Defendant has moved to dismiss the complaint for failure to state a claim upon which relief can be granted and, in the alternative, to strike Paragraphs 5, 6, 7 and 8 and for a more definite statement.

In support of its motion to dismiss, defendant contends that no publication of the alleged slanderous statement is alleged and that the complaint, therefore, fails to state a cause of action. This contention will be considered first with respect to Paragraph 4 of the complaint, which reads

as follows: “4. On August 22, 1950, the plaintiff was violently discharged by the defendant, being falsely and slanderously accused of being engaged in bringing women from outside the Hotel and introducing them into the rooms thereof for the purpose of developing prostitution in the Hotel and that such women brought by him from outside the Hotel and introduced therein carried on acts of prostitution in said Hotel.”

* * *

The controlling question here, with respect to the motion to dismiss, is whether the allegations of Paragraph 4 of the complaint, state a claim upon which relief can be granted. An examination of the authorities is persuasive that [it] does. It is settled, with respect to motions to dismiss for insufficiency of statement, that the complaint is to be construed in the light most favorable to the plaintiff with all doubts resolved in his favor and the allegations accepted as true. If, when a complaint is so considered, it reasonably may be anticipated that plaintiff, on the basis of what has been alleged, could make out a case at trial entitling him to some relief, the complaint should not be dismissed. * * *

Further, it has been a long recognized and generally accepted policy of the courts to look with disfavor upon the practice of terminating litigation, believed to be without merit, by dismissing the complaint for insufficiency of statement. * * *

‘That rule of procedure should be followed which will be most likely to result in justice between the parties, and, generally speaking, that result is more likely to be attained by leaving the merits of the cause to be disposed of after answer and the submission of proof, than by attempting to deal with the merits on motion to dismiss the bill.’

In the instant case, it is true that Paragraph 4, of the complaint, fails to state, in so many words, that there was a publication of the alleged slanderous utterance and, to that extent, the cause of action is defectively stated. However, it does not follow that the allegations do not state a claim upon which relief can be granted. It is alleged that plaintiff was “violently discharged” and was “falsely and slanderously accused” of procuring for prostitution. While in a technical sense, this language states a conclusion, it is clear that plaintiff used it intending to charge publication of the slanderous utterance and it would be unrealistic for defendant to claim that it does not so understand the allegations. * * * Clearly, under such allegations it reasonably may be conceived that plaintiff, upon trial, could adduce evidence tending to prove a publication. * * *

In further support of its motion to dismiss, defendant contends that the alleged slanderous utterance was conditionally privileged. Conceding that to be so does not require that a different conclusion be reached with respect to the motion to dismiss. Rule 12(b) requires that every defense in

law or fact be asserted in a responsive pleading when one is required or permitted under the rules. The rule, however, enumerates certain defenses which may be asserted by motion to dismiss, all of which go to the jurisdiction except that of failure to state a claim upon which relief can be granted, rule 12(b)(6). And this latter defense may be asserted successfully by a motion prior to responsive pleading only when it appears to a certainty that plaintiff would be entitled to no relief under any state of fact which could be proved in support of the claim asserted by him. * * *

The conclusiveness of privilege as a defense depends upon whether the privilege involved [is] absolute or conditional. When the privilege involved is absolute, it constitutes a finally determinative or conclusive defense to an action based on the utterance. Consequently, when it appears from a complaint that absolute privilege exists, the defense of failure to state a claim properly may be asserted to accomplish a dismissal on motion under rule 12(b). It is for the court to determine the existence of privilege and when absolute privilege is found, it constitutes an unassailable defense and, clearly, in such a case, the claim stated is one upon which relief cannot be granted.

But conditional privilege is not a conclusive defense to an action based on a slanderous utterance. It is but a qualified defense which may be lost to the defendant if plaintiff can prove abuse of the privilege or actual malice. * * * When from the allegations contained therein, a complaint indicates the availability of the defense of conditional privilege, it cannot be held therefrom as a matter of law, that there has been a failure to state a claim upon which relief can be granted, such as will warrant dismissal of the complaint on motion under rule 12(b)(6), for the factual question remains whether defendant abused the privilege or made the communication maliciously. * * *

As has been noted, on motion to dismiss for failure to state a claim [the] complaint must be construed in the light most favorable to plaintiff with all doubts resolved in his favor and the allegation taken as true. That being so, when allegations are sufficient to sustain the defense of conditional privilege they will be, generally, sufficient to permit the introduction of evidence tending to prove abuse of the privilege or actual malice. Save in some extraordinary situation, allegations which are adequate for the admission of evidence to prove the defense of qualified privilege are adequate for the admission of evidence to negative that defense. It appears from the complaint in the instant case that defendant is entitled to raise the defense of conditional privilege. But this defense may be lost to it if plaintiff proves abuse of the privilege or actual malice. And, clearly, plaintiff may introduce evidence under the allegations for the purpose of proving abuse of the privilege or actual malice. Therefore, it is concluded that defendant’s motion to dismiss the complaint for failure to state a claim upon which relief can be granted should be denied.

The conclusion to deny defendant’s motion to dismiss requires that consideration be given its alternative motion to strike Paragraphs 5, 6, 7 and 8 of the complaint. It is alleged in these paragraphs, in substance, that upon being discharged, plaintiff made claim with the Labor Department of Puerto Rico for severance pay and overtime as is provided for by law (Section 20, Organic Act of Labor Department of Puerto Rico, approved April 14, 1931); that during a hearing on such claim held by the Labor Department, defendant, falsely and slanderously, repeated its charge that plaintiff had been engaged in procuring for prostitution; and, that, after said hearing defendant had compromised plaintiff’s claim for severance pay and overtime. As respects defendant’s motion to strike, the controlling allegations are contained in Paragraph 7 of this complaint.

Section 4 of “An Act Authorizing Civil Actions to recover Damages for Libel and Slander,” enacted by the Legislature of Puerto Rico and approved on February 19, 1902, (Code of Civil Procedure of Puerto Rico, Ed. 1933, page 309) provides in part as follows: “Section 4. A publication or communication shall not be held or deemed malicious when made in any legislative or judicial proceeding or in any other proceeding authorized by law. * * * ”

The effect of the above quoted portions of the statute is to confer absolute privilege upon any communication made in any of the proceedings contemplated therein. If the hearing held by the Labor Department on plaintiff’s claim for severance pay and overtime, referred to in Paragraph 7 of the complaint, is a proceeding within the meaning of the phrase “or any other proceeding authorized by law” as used in said Section 4 of the Act of February 19, 1902, the utterance was absolutely privileged and such privilege constitutes a conclusive defense in an action based on that utterance.

It appears that the hearing on plaintiff’s claim by the Labor Department, referred to in Paragraph 7 of the complaint, is a proceeding “authorized by law” within the meaning of Section 4 of the Act of February 19, 1902. The Labor Department is authorized to hold such a hearing by Act No. 122 of the Legislature of Puerto Rico, approved April 27, 1949, which statute requires the Commissioner of Labor to enforce labor protecting laws. * * *

It appears, upon examination, that this Statute (Act No. 122) has for its purpose the protection of the welfare of the workman and the furtherance of the public good, and that when hearings are held pursuant to its terms it is necessary, if those purposes are to be effectuated, that those called upon to give evidence therein must be protected against liability, civil or criminal, for communications given in evidence at such hearings. And this without regard for the motives of the witness or the truth or falsity of his statements. For otherwise, the giving of full, free and

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honest testimony, essential to the enforcement of such laws, will be discouraged. Therefore, communications made by witnesses in the course of such hearings, [sic] should be absolutely privileged in the same manner and to like extent as those made in the course of a judicial proceeding.

* * *

Clearly, then, the utterance of the defendant made during the Labor Department hearing referred to in Paragraph 7 of the complaint was absolutely privileged and that Paragraph 7 is, therefore, redundant in that it fails to state a claim upon which relief can be granted. It appears then, that defendant’s motion to strike Paragraphs 5, 6, 7 and 8 should be granted.

The parties have agreed on hearing in open court that Paragraph 9 of the complaint should be stricken. And this Court being of the opinion that Paragraphs 5, 6, 7 and 8 should be stricken as redundant, defendant’s motion for a more definite statement need be considered only with respect to the allegations of Paragraph 4 of the complaint.

As has been noted herein, conditional privilege is an affirmative defense which properly should be raised by its assertion in a responsive pleading. Consequently, when it appears from a complaint that the defense of conditional privilege may be available to a defendant, the allegations thereof should be reasonably adequate to permit the preparation of a responsive pleading asserting such defense. But when, in an action for slander, the complaint fails to set out substantially the utterance alleged to have been slanderously made or the facts relied upon to establish a publication of such utterance, such omission constitutes vagueness such as is a ground for granting a motion for more definite statement within the contemplation of rule 12(e). Obviously, when such material allegations are insufficient, it would be unreasonable to require the defendant to prepare a responsive pleading without a more definite statement of the pertinent facts.

Considering the allegations of Paragraph 4 of the complaint, * * * [they] suffer from vagueness with respect to the utterance alleged to have been slanderously made and the facts relied upon to establish a publication of the utterance. It is concluded that the defendant here is entitled to a more definite statement setting forth substantially the words alleged to have been slanderously uttered and the facts relied upon to establish a publication thereof.

Defendant’s motion to dismiss the complaint for failure to state a claim upon which relief can be granted is denied. Defendant’s motion to strike Paragraphs 5, 6, 7 and 8 of the complaint is granted. Defendant’s motion for a more definite statement with respect to the matters prescribed in this opinion, is granted. Paragraph 9 of the complaint is ordered stricken. The

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decisions herein reached are hereby made applicable to the second cause of action set out in the complaint.

1.As originally adopted, Rule 12(e) had two roles. A motion for a more definite statement under the rule could be made when the complaint was so vague or unintelligible as to make the opposing party unable to respond. Rule 12(e) also could operate as a “bill of particulars” to elicit the facts supporting the claim. In that latter role, Rule 12(e) generated a great deal of litigation, and came to be regarded as dilatory and unnecessary given the availability of discovery later in the litigation. Amendments adopted in 1948 eliminated the bill of particulars from federal practice. See Advisory Committee Note to proposed 1948 amendment to Rule 12(e), stating, “The tendency of some courts freely to grant extended bills of particulars has served to neutralize any helpful benefits derived from Rule 8, and has overlooked the intended use of the rules on depositions and discovery.”

2.In defendants’ hands, Rule 12(f) provides a mechanism for asking the court “to strike” from the complaint “redundant, immaterial, impertinent, or scandalous matter.” The motion is typically not granted absent a showing of prejudice to the movant. See *Sheffield v. City of Boston*, 319 F.R.D. 52 (D.Mass. 2016). As held in *GATEWAY BOTTLING, INC. v. DAD’S ROOTBEER CO.*, 53 F.R.D. 585, 588 (W.D.Pa. 1971): “To strike material as scandalous it must be obviously false and unrelated to the subject matter of the action. * * * The facts here may be unpleasant for plaintiff to have on the record and they certainly contain charges of reprehensible conduct but the same is true of many facts of life which are entitled to be pleaded as relevant to a cause of action or defense.” The question whether allegations really are prejudicial seems to turn on whether the contents of the pleadings will be disclosed to the jury. Because the motion to strike may be used as a dilatory tactic, and the sanction of striking a portion of the complaint may be a drastic remedy, the motion is disfavored and frequently is denied. Note that Rule 12(f) can also be used by plaintiffs to strike an insufficient defense. See p. 683, Note 3, *infra*.

3.Rule 12(f) may not be used to dismiss all or part of a complaint. For example, in *WHITTLESTONE, INC. v. HANDI-CRAFT CO.*, 618 F.3d 970 (9th Cir. 2010), the court of appeals held it was an abuse of discretion for the district court to strike a claim for lost profits and consequential damages from the complaint on the ground that the damages were precluded as a matter of law. Rather, the appropriate mechanism was a motion to dismiss for failure to state a claim under Rule 12(b)(6). Why should the number of the rule and the form of the objection carry such significance?

4.The court has authority on its own initiative and without a motion by defendant to strike portions of a complaint and so to relieve defendant of responding to the redundant or immaterial allegations. See *Simmons v. Abruzzo*, 49 F.3d 83, 86–87 (2d Cir. 1995). Before dismissing a complaint that is not concise and direct, see p. 646, Note 1, *supra*, would it be appropriate for

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- the court initially to strike matters that are prolix or repetitive? See *Salahuddin v. Cuomo*, 861 F.2d 40 (2d Cir. 1988).
- 5.What are the consequences to defendant of moving under Rule 12(e) or Rule 12(f) without including Rule 12(b) defenses at the same time? See Rule 12(g) and (h). Should it matter whether the motions are granted or denied? Is a defense “available” if the complaint is so prolix as to be incomprehensible? See 5C Wright & Miller, *Federal Practice and Procedure* § 1388 (3d ed.).
- 6.What is the effect of a motion for a more definite statement on the timing of a responsive pleading? See Rule 12(a)(4)(B). Does the extension of time apply to a grant of a motion to strike under Rule 12(f)?
- 7.To what extent could plaintiff in *Garcia* have phrased the complaint to avoid the granting of defendant’s motions? How should plaintiff in *Garcia* alter the complaint to satisfy the court’s order for a more definite statement? Can he merely eliminate some of the allegations that gave rise to the conditional privilege? Suppose the court had denied defendant’s Rule 12(e) motion. How else might defendant have learned the details of the alleged defamatory publication? What are the advantages of the Rule 12(e) motion compared to these other means?
- 8.The decision in *Garcia* referred to the policy of deferring consideration of a motion to dismiss a complaint “believed to be without merit” until “after answer and the submission of proof.” Does that policy survive *Twombly/ Iqbal*? If not, what is the current utility of Rule 12(e)?

3.MOTION TO DISMISS FOR FAILURE TO STATE A CLAIM

Read Federal Rules of Civil Procedure 12(b)(6) and 12(d) and the materials accompanying them in the Supplement.

a.Historical Antecedents: The Common Law Demurrer

At common law, a party who faced a complaint could either answer, responding to each of the claims, or demur. If defendant demurred, he was not allowed to contest the complaint’s facts if the demurrer was overruled. On the other hand, if the demurrer was sustained, plaintiff had no right to replead or amend her complaint. Later, these harsh rules were modified to allow a party to proceed to the merits if the demurrer was overruled and to allow plaintiff to amend her complaint if the demurrer was sustained. The common law demurrer was incorporated into code pleading. In most code states, a complaint could be dismissed on the pleadings by a motion for failure to state facts sufficient to constitute a cause of action, absence of subject-matter jurisdiction, and deficiencies in the form of the pleading. The demurrer and its code equivalents elevated the importance of

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technicalities and produced considerable delay and dissatisfaction. The “speaking demurrer,” a demurrer that attempted to introduce material outside the pleadings, was not permitted at common law or under the Codes. See Pike, *Objections to Pleadings Under the New Federal Rules of Civil Procedure*, 47 Yale L.J. 50, 51 (1937).

b.Rule 12(b)(6) and Its Relation to Rule 8(a)

Federal Rule 12(b)(6) is the federal system’s counterpart to the common law demurrer. The purpose of the motion is to test the sufficiency of the complaint, and not to prove or disprove the allegations of the complaint. The motion must be made before the filing of a responsive pleading, but the defense is preserved and may be raised even at trial. See Rule 12(h)(2).

Practice under Rule 12(b)(6) must be read in tandem with Rule 8(a). So long as the complaint was expected only to give notice to defendant of plaintiff’s claim, the utility of the Rule 12(b)(6) motion was as a screening device for complaints that failed as a pure question of law. The earlier judicial attitude was expressed by the Ninth Circuit in *RENNIE & LAUGHLIN, INC. v. CHRYSLER CORP.*, 242 F.2d 208, 213 (9th Cir. 1957):

Pretrial conference; the discovery procedures; and motions for a more definite statement, judgment on the pleadings and summary judgment, all provide useful tools for the sifting of allegations and the determination of the legal sufficiency of an asserted claim. The salvaged minutes that may accrue from circumventing these procedures can turn to wasted hours if the appellate court feels constrained to reverse the dismissal of an action. That is one of the reasons why a motion to dismiss is viewed with disfavor in the federal courts. Another is the basic precept that the primary objective of the law is to obtain a determination of the merits of any claim; and that a case should be tried on the proofs rather than the pleadings. * * * This is not to say or imply that a motion to dismiss should never be granted. It is obvious that there are cases which justify and indeed compel the granting of such motion. The line between the totally unmeritorious claims and the others cannot be drawn by scientific instruments but must be carved out case by case by the sound judgment of trial judges. That judgment should be exercised cautiously on such a motion.

The Supreme Court’s decisions in *Twombly* and *Iqbal*, p. 617 and p. 628, supra, signaled courts to place greater emphasis on the Rule 12(b)(6) motion to filter out cases prior to discovery. As earlier discussed, see p. 643, Note 9, supra, studies emphasize the difficulty of measuring these cases’ effects on litigant and judicial behavior, but generally they report higher grant rates of motions to dismiss.

SWANSON v. CITIBANK, N.A.
United States Court of Appeals, Seventh Circuit, 2010.
[614 F.3d 400.](#)

WOOD, CIRCUIT JUDGE.

Gloria Swanson sued Citibank, Andre Lanier, and Lanier’s employer, PCI Appraisal Services, because she believed that all three had discriminated against her on the basis of her race (African-American) when Citibank turned down her application for a home-equity loan. * * * Swanson is proceeding *pro se* * * *. She was unsuccessful in the district court, which dismissed in response to the defendants’ [Rule 12(b)(6)] motion * * *.

Swanson based her complaint on the following set of events, which we accept as true for purposes of this appeal.* * * In February 2009 Citibank announced a plan to make loans using funds that it had received from the federal government’s Troubled Assets Relief Program. Encouraged by this prospect, Swanson went to a Citibank branch to apply for a home-equity loan. A representative named Skertich told Swanson that she could not apply alone, because she owned her home jointly with her husband; he had to be present as well. Swanson was skeptical, suspecting that Skertich’s demand was a ploy to discourage loan applications from African-Americans. She therefore asked to speak to a manager. When the manager joined the group, Swanson disclosed to both Skertich and the manager that Washington Mutual Bank previously had denied her a home-equity loan. The manager warned Swanson that, although she did not want to discourage Swanson from applying for the loan, Citibank’s loan criteria were more stringent than those of other banks.

Still interested, Swanson took a loan application home and returned the next day with the necessary information. She was again assisted by Skertich, who entered the information that Swanson had furnished into the computer. When he reached a question regarding race, Skertich told Swanson that she was not required to respond. At some point during this exchange, Skertich pointed to a photograph on his desk and commented that his wife and son were part African-American.

A few days later Citibank conditionally approved Swanson for a home-equity loan of \$50,000. It hired Andre Lanier, who worked for PCI Appraisal Services, to visit Swanson’s home for an onsite appraisal. Although Swanson had estimated in her loan application that her house was worth \$270,000, Lanier appraised it at only \$170,000. The difference was critical: Citibank turned down the loan and explained that its conditional approval had been based on the higher valuation. Two months later Swanson paid for and obtained an appraisal from Midwest Valuations, which thought her home was worth \$240,000.

Swanson saw coordinated action in this chain of events, and so she filed a complaint (later amended) charging that Citibank, Lanier, and PCI disfavor providing home-equity loans to African-Americans, and so they deliberately lowered the appraised value of her home far below its actual market value, so that they would have an excuse to deny her the loan. She charges that in so doing, they violated the Fair Housing Act, 42 U.S.C. § 3605, and the Equal Credit Opportunity Act, 15 U.S.C. § 1691(a)(1). The district court granted the defendants’ motions to dismiss both theories. * * * Initially, the court liberally construed Swanson’s complaint to include a common-law fraud claim and declined to dismiss that aspect of the case. Later, however, the defendants moved to dismiss the fraud claim as well, and

the district court granted the motion on the grounds that the statements on which Swanson relied were too indefinite and her reliance was unreasonable. This appeal followed.

* * * It is by now well established that a plaintiff must do better than putting a few words on paper that, in the hands of an imaginative reader, *might* suggest that something has happened to her that *might* be redressed by the law. * * * The question with which courts are still struggling is how much higher the Supreme Court meant to set the bar * * *. This is not an easy question to answer, as the thoughtful dissent from this opinion demonstrates. On the one hand, the Supreme Court has adopted a “plausibility” standard, but on the other hand, it has insisted that it is not requiring fact pleading, nor is it adopting a single pleading standard to replace Rule 8, Rule 9, and specialized regimes like the one in the Private Securities Litigation Reform Act * * *.

Critically, in none of the three recent decisions—*Twombly* [p. 617, supra], *Erickson* [p. 645, supra], or *Iqbal* [p. 628, supra]—did the Court cast any doubt on the validity of Rule 8 * * *. To the contrary: at all times it has said that it is interpreting Rule 8, not tossing it out the window.

* * *

* * * As one respected treatise put it in 2004,
all that is necessary is that the claim for relief be stated with brevity, conciseness, and clarity. . . . [T]his portion of Rule 8 indicates that a basic objective of the rules is to avoid civil cases turning on technicalities and to require that the pleading discharge the function of giving the opposing party fair notice of the nature and basis or grounds of the pleader’s claim and a general indication of the type of litigation that is involved. . . .

5 CHARLES A. WRIGHT & ARTHUR R. MILLER, *FEDERAL PRACTICE AND PROCEDURE* § 1215 at 165–173 (3d ed. 2004).

Nothing in the recent trio of cases has undermined these broad principles. As *Erickson* underscored, “[s]pecific facts are not necessary.”

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551 U.S. at 93, 127 S.Ct. 2197. The Court was not engaged in a *sub rosa* campaign to reinstate the old fact-pleading system called for by the Field Code or even more modern codes. We know that because it said so in *Erickson*: “the statement need only give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” * * * Instead, the Court has called for more careful attention to be given to several key questions: what, exactly, does it take to give the opposing party “fair notice”; how much detail realistically can be given, and should be given, about the nature and basis or grounds of the claim; and in what way is the pleader expected to signal the type of litigation that is being put before the court?

* * * As we understand it, the Court is saying * * * that the plaintiff must give enough details about the subject-matter of the case to present a story that holds together. In other words, the court will ask itself *could* these things have happened, not *did* they happen. For cases governed only by Rule 8, it is not necessary to stack up inferences side by side and allow the case to go forward only if the plaintiff’s inferences seem more compelling than the opposing inferences. * * *

The Supreme Court’s explicit decision to reaffirm the validity of [*Swierkiewicz*, p. 614, supra] * * *, which was cited with approval in [*Twombly*] * * *, indicates that in many straightforward cases, it will not be any more difficult today for a plaintiff to meet that burden than it was before the Court’s recent decisions. A plaintiff who believes that she has been passed over for a promotion because of her sex will be able to plead that she was employed by Company X, that a promotion was offered, that she applied and was qualified for it, and that the job went to someone else. That is an entirely plausible scenario, whether or not it describes what “really” went on in this plaintiff’s case. A more complex case involving financial derivatives, or tax fraud that the parties tried hard to conceal, or antitrust violations, will require more detail, both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind at least, the dots should be connected. * * *

* * *

Returning to Swanson’s case, we must analyze her allegations defendant-by-defendant. We begin with Citibank. On appeal, Swanson challenges only the dismissal of her Fair Housing Act and fraud claims. The Fair Housing Act prohibits businesses engaged in residential real estate transactions, including “[t]he making . . . Of loans or providing other financial assistance . . . secured by residential real estate,” from discriminating against any person on account of race. 42 U.S.C. § 3605(a), (b)(1)(B). Swanson’s complaint identifies the type of discrimination that she thinks occurs (racial), by whom (Citibank, through Skertich, the manager, and the outside appraisers it used), and when (in connection with

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her effort in early 2009 to obtain a home-equity loan). This is all that she needed to put in the complaint. * * *
The fact that Swanson included other, largely extraneous facts in her complaint does not undermine the soundness of her pleading. She points to Citibank’s announced plan to use federal money to make more loans, its refusal to follow through in her case, and Skertich’s comment that he has a mixed-race family. She has not pleaded herself out of court by mentioning these facts; * * *. It was therefore error for the district court to dismiss Swanson’s Fair Housing Act claim against Citibank.
Her fraud claim against Citibank stands on a different footing. * * * of special relevance here, a plaintiff must plead actual damages

arising from her reliance on a fraudulent statement. * * * Without a contract, only out-of-pocket losses allegedly arising from the fraud are recoverable. * * * Swanson asserts that Citibank falsely announced plans to make federal funds available in the form of loans to all customers, when it actually intended to exclude African-American customers from those who would be eligible for the loans. Swanson relied, she says, on that false information when she applied for her home-equity loan. But she never alleged that she lost anything from the process of applying for the loan. We do not know, for example, whether there was a loan application fee, or if Citibank or she covered the cost of the appraisal. This is the kind of particular information that Rule 9 requires, and its absence means that the district court was entitled to dismiss the claim.

* * *

Swanson accuses the appraisal defendants [Lanier and PCI] of skewing their assessment of her home because of her race. It is unclear whether she believes that they did so as part of a conspiracy with Citibank, or if she thinks that they deliberately undervalued her property on their own initiative. Once again, we find that she has pleaded enough to survive a motion under Rule 12(b)(6). The appraisal defendants knew her race, and she accuses them of discriminating against her in the specific business transaction that they had with her. When it comes to proving her case, she will need to come up with more evidence than the mere fact that PCI (through Lanier) placed a far lower value on her house than Midwest Valuations did. * * * All we hold now is that she is entitled to take the next step in this litigation.

This does not, however, save her common-law fraud claim against Lanier and PCI. She has not adequately alleged that she relied on their appraisal, nor has she pointed to any out-of-pocket losses that she suffered because of it.

We therefore REVERSE the judgment of the district court insofar as it dismissed Swanson’s Fair Housing Act claims against all three

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defendants, and we AFFIRM insofar as it dismissed the common-law fraud claims against all three. Each side will bear its own costs on appeal.

POSNER, CIRCUIT JUDGE, dissenting in part.

I join the majority opinion except with respect to reversing the dismissal of the plaintiff’s claim of housing discrimination. I have difficulty squaring that reversal with [*Iqbal*] * * *, unless *Iqbal* is limited to cases in which there is a defense of official immunity * * *.

* * *

Even before *Twombly* and *Iqbal*, complaints were dismissed when they alleged facts that refuted the plaintiffs’ claims. * * * Under the new regime, it should be enough that the allegations render a claim implausible. The complaint alleges that Citibank was the second bank to turn down the plaintiff’s application for a home-equity loan. This reinforces the inference that she was not qualified. We further learn that, subject to the appraisal, which had not yet been conducted, Citibank had approved the \$50,000 home-equity loan that the plaintiff was seeking on the basis of her representation that her house was worth \$270,000. But she didn’t think it was worth that much when she applied for the loan. The house had been appraised at \$260,000 in 2004, and the complaint alleges that home values had fallen by “only” 16 to 20 percent since. This implies that when she applied for the home-equity loan her house was worth between \$208,000 and \$218,400—much less than what she told Citibank it was worth.

If the house was worth \$208,000, she would have owed a total of \$196,000 had she gotten the loan, or just a shade under the market value of the house. If the bank had insisted that she have a 20 percent equity in the house, which would be \$41,600, it would have lent her only \$20,400 (\$166,400—80 percent of \$208,000—minus the \$146,000 that she already owed on the house). The loan figure rises to \$28,720 if the house was worth \$218,400 rather than \$208,000. In either case a \$50,000 loan would have been out of the question, especially in the wake of the financial crash of September 2008, when credit, including home-equity credit, became extremely tight. * * *

* * *

The majority opinion relies heavily on [*Swierkiewicz*] * * *, cited with approval in *Twombly*, * * * (though not cited in *Iqbal*) and not overruled. Although it is regarded in some quarters as dead after *Iqbal*,* * * lower-court judges are not to deem a Supreme Court decision overruled even if it is plainly inconsistent with a subsequent decision.* * * But that principle is not applicable here; *Swierkiewicz* is distinguishable.

* * * *Swierkiewicz* holds that the judiciary is not authorized to amend Rule 9 without complying with the procedures in the Rules Enabling Act. * * * But Title VII cases are not exempted by *Swierkiewicz* from the

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doctrine of the *Iqbal* case. *Iqbal* establishes a general requirement of “plausibility” applicable to all civil cases in federal courts.

It does so, however, in opaque language: “The plausibility standard is not akin to a ‘probability requirement,’ but it asks for more than a sheer possibility that a defendant has acted unlawfully.” * * * In statistics the range of probabilities is from 0 to 1, and therefore encompasses “sheer possibility” along with “plausibility.” It seems (no stronger word is possible) that what the Court was driving at was that even if the district judge doesn’t think a plaintiff’s case is more likely than not to be a winner (that is, doesn’t think $p > .5$), as long as it is substantially justified that’s enough to avert dismissal.* * * But when a bank turns down a loan applicant because the appraisal of

the security for the loan indicates that the loan would not be adequately secured, the alternative hypothesis of racial discrimination does not have substantial merit; it is implausible.

* * *

The plaintiff has an implausible case of discrimination, but she will now be permitted to serve discovery demands that will compel elaborate document review by Citibank and require its executives to sit for many hours of depositions. (Not that the plaintiff is capable of conducting such proceedings as a pro se, but on remand she may—indeed she would be well advised to—ask the judge to help her find a lawyer.) The threat of such an imposition will induce Citibank to consider settlement even if the suit has no merit at all. That is the pattern that the Supreme Court’s recent decisions are aimed at disrupting.

We should affirm the dismissal of the suit in its entirety.

NOTES AND QUESTIONS

1. What are the points of disagreement between the majority and dissent in *Swanson*? Would the majority agree that the complaint alleged merely a “sheer possibility” that race discrimination caused the loan rejection? Why was “the mere fact” that the appraiser put a lower value on Swanson’s home sufficient to meet the standard of plausible pleading? For a discussion of the connection between appraisal values and racial bias, see Rothwell & Perry, *Biased appraisals and the devaluation of housing in Black neighborhoods*, Brookings (Nov. 17, 2021), [https:// www. brookings. edu/ research/ biased-appraisals-and-the-devaluation-of-housing-in-black-neighborhoods/](https://www.brookings.edu/research/biased-appraisals-and-the-devaluation-of-housing-in-black-neighborhoods/).

2. In *SHAW v. MERRITT-CHAPMAN & SCOTT CORP.*, 554 F.2d 786 (6th Cir. 1977), cert. denied, 434 U.S. 852, 98 S.Ct. 167, 54 L.Ed.2d 122 (1977), the Sixth Circuit held that absent specific language to the contrary by the district court, a dismissal under Rule 12(b)(6) constitutes an adjudication on the merits, and the dismissal is with prejudice, so further actions on the same claim are barred. It may, however, be an abuse of discretion for a court to grant a Rule 12(b)(6) dismissal without giving plaintiff an opportunity to amend its

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complaint. See *Eminence Capital, LLC v. Aspeon, Inc.*, 316 F.3d 1048, 1052 (9th Cir. 2003) (“Dismissal with prejudice and without leave to amend is not appropriate unless it is clear on de novo review that the complaint could not be saved by amendment. A district court’s failure to consider the relevant factors and articulate why dismissal should be with prejudice instead of without prejudice may constitute an abuse of discretion.”). Without access to discovery, will a curative amendment always be possible?

3. Does the requirement of plausible pleading apply to defenses raised under Rules 12(b)(1) through (b)(5)? For example, does it supplant the requirement that in a diversity jurisdiction suit, the amount in controversy alleged by plaintiff will be accepted unless the court can determine to a “legal certainty” that recovery is jurisdictionally insufficient? See Chapter 4, p. 320, *supra*. See *Mallgren v. Microsoft Corp.*, 975 F.Supp.2d 451 (S.D.N.Y. 2013) (dismissing diversity suit for lack of subject-matter jurisdiction because the allegations of damages were “conclusory”).

4. Recall that the consequence of omitting a defense under Rule 12 depends upon the defense that is omitted. Does a defendant who omits a defense under Rule 12(b)(6) waive that defense? See Rule 12(g)(2) and Rule 12(h)(2). In *IN RE APPLE IPHONE ANTITRUST LITIGATION*, 846 F.3d 313 (9th Cir. 2017), affirmed on other grounds sub nom., *Apple Inc. v. Pepper*, 587 U.S. ___, 139 S.Ct. 1514, 203 L.Ed.2d 802 (2019), the district court granted defendant’s fourth motion to dismiss, which asserted a ground for Rule 12(b)(6) dismissal that defendant had failed to raise in its earlier motions. The Ninth Circuit reversed the dismissal, but not because of defendant’s omission. The appellate court stated that although the district court “may have erred” in considering the motion, the error was harmless, and explained that “a reviewing court * * * should generally be forgiving of a district court’s ruling on the merits of a late-filed Rule 12(b)(6) motion.” *Id.* at 316, 319. In its view, “[d]enying late-filed Rule 12(b)(6) motions and relegating defendants to the three procedural avenues specified in Rule 12(h)(2) can produce unnecessary and costly delays, contrary to the direction of Rule 1.” *Id.* at 318. What is your response?

4.ANSWERING THE COMPLAINT

Read Federal Rules of Civil Procedure 8 and 10 in the Supplement.

If defendant has moved under Rule 12(b) or Rule 12(e) but the court denies the motion, defendant must file an answer or otherwise plead in response. What is the current time period in which to respond? See Rule 12(a)(4)(A)–(B). An answer is a kind of pleading, and is governed by Rule 8 and, as to its form, Rule 10.

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a. Denials

Federal Rule 8(b) requires a defendant to make one of three responses to the contents of plaintiff’s complaint: Defendant may admit, deny, or plead insufficient information in response to each allegation. How will the court treat averments to which defendant does not specifically respond? See Rule 8(b)(6). To avoid an unintended admission, defendants often will include an all-inclusive paragraph in their answers denying each and every averment of the complaint unless otherwise admitted.

Rule 8 (and most state rules) allow the defendant to make a general denial of the complaint, but only if the pleader “intends in good faith to deny all the allegations of the pleading,” including jurisdiction. Using a general denial can be risky. If a court decides that a general denial does not “fairly respond to the substance of the allegation,” Rule 8(b)(2), it may deem defendant to have admitted plaintiff’s specific averments. In addition, a general denial does not put in issue such matters as capacity or conditions precedent, which under Rule 9 defendant must specifically challenge.

NOTES AND QUESTIONS

1. An admission in an answer is binding on the party and may not be controverted at trial or on appeal, unless the court allows it to be withdrawn. Further, as explained in *Crest Hill Land Development, LLC v. City of Joliet*, 396 F.3d 801, 805 (7th Cir. 2005), admitting an allegation in the answer “has the effect of withdrawing the question” from contention.

2. In *BIGGS v. PUBLIC SERVICE COORDINATED TRANSPORT*, 280 F.2d 311, 313–14 (3d Cir. 1960), a diversity-of-citizenship case, defendant specifically denied that the amount in controversy exceeded the statutory requirement, and entered a qualified general denial that included the paragraph alleging that defendant was incorporated in New Jersey. The court stated:

We cannot for a moment believe that defendant’s counsel was denying in good faith that his client was a New Jersey corporation. We think the only fair interpretation of the pleading in this case is that the denial does not run to the allegation of defendant’s citizenship. Therefore, that allegation must be deemed to be admitted.

Even if the allegation is deemed to be admitted, does the court have an independent obligation to determine its subject-matter jurisdiction?

3. To what extent should defendant be permitted to respond that “it neither admits nor denies” plaintiff’s allegations? Some states have pleading rules that prohibit “evasive denials.” E.g., 2022 Conn. Practice Book (Revision of 1998), § 10–47, Ct. R. Super. Ct. Civ. § 10–47 (“[W]here any matter of fact is alleged with divers circumstances, some of which are untruly stated, it shall

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not be sufficient to deny it as alleged, but so much as is true and material should be stated or admitted, and the rest only denied.”). Compare the language of Federal Rule 8(b). In *KING VISION PAY PER VIEW, LTD. v. J.C. DIMITRI’S RESTAURANT, INC.*, 180 F.R.D. 332 (N.D.Ill. 1998), defendant responded to several allegations in the complaint with “Neither admit nor deny the allegations of said Paragraph—, but demand strict proof thereof.” The court found that this response violated Rule 8(b) and therefore deemed defendant to have admitted those allegations. *Id.* at 333–34.

4. Does the plausible pleading standard apply to a denial? Several years ago, Professor Miller concluded that the answer is “[s]omewhat uncertain,” focusing on the absence from Rule 8(b) of “the magic word ‘showing,’ ” upon which the Court placed emphasis in *Twombly*, and the fact that a defensive pleading typically is alleged “in a formulary, conclusory, and uninformative fashion along the style illustrated in Form 30” (now abrogated with all of the forms, see p. 639, Note 3, *supra*). He adds:

If, in fact, plausibility pleading is retained and held to turn strictly on the language of Rule 8(a)(2), federal courts might not extend it to Rules 8(a)(1), 8(a)(3), 8(b), and 8(c). If that proves to be true, the Advisory Committee would have to consider whether to revise Rule 8 in order to correct this pleading burden imbalance in deference to the quest for the metaphorical level litigation playing field. What’s good for the goose should be good for the gander. Conversely, if the new pleading structure is applied to all pleading elements by judicial decision or Rule revision, then in theory defensive allegations could be challenged by a Rule 12(f) motion to strike for insufficiency as a corollary to Rule 12(b)(6), although the former now speaks of an “insufficient defense” and the latter of a “failure to state a claim.” In reality, any increase in the burden of pleading jurisdiction, the demand for relief, or the plausibility of denials and affirmative defenses, also would cause cost and delay, consequences that would have to be considered in determining whether efficiency and cost savings actually were being realized from the shift to plausibility pleading.

Miller, *From Conley to Twombly to Iqbal: A Double Play on the Federal Rules of Civil Procedure*, 60 Duke L.J. 1, 102–03 (2010).

5. Some statements are phrased in the negative but imply the affirmative. Suppose plaintiff alleged that defendant owes her \$89,000 under a contract. Defendant’s denial “that he owes plaintiff \$89,000” could be held to be an admission that the amount owed is a penny less than the stated amount. See *Thompson v. Hamilton Motor Co.*, 170 Cal. 737, 151 P. 122 (1915). The cases taking this approach are from the early twentieth century. Is the underlying principle consistent with the requirement of Federal Rule 8(b)(2), that a denial “must fairly respond to the substance of the allegation”? Is it also consistent with the requirements of Rule 8(b)(4), that “[a] party that intends

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in good faith to deny only part of an allegation must admit the part that is true and deny the rest”?

6. A conjunctive denial is a statement in which all propositions considered together are not true, but which does not specifically deny the truth of each proposition alone. See *Luse v. United States*, 49 F.2d 241, 244 (9th Cir. 1931) (“It is a familiar rule of pleading that a conjunctive denial is an ineffective denial of the several conjoined statements for the reason that, if any one of them is not true, the conjunctive denial would be true.”). Is a conjunctive denial insufficient under the Federal Rules?

b. Affirmative Defenses

Read Federal Rule of Civil Procedure 8(c) in the Supplement.

Defenses under Federal Rule 12(b) may be raised either by a pre-answer motion or responsive pleading. Rule 8(c)(1) instructs that a responding party must “affirmatively state any avoidance or affirmative defense,” and then provides a non-exhaustive list of 18 such defenses. The rule’s reference to “an avoidance or affirmative defense” generally includes two types of defensive allegations:

An affirmative defense admits the allegations of the complaint, but challenges plaintiff’s legal right to bring the action by suggesting a reason why relief is not available;

An avoidance avers matters outside the complaint that cannot be raised by denial.

See 5 Wright & Miller, Federal Practice and Procedure § 1271 (4th ed.). The rule does not define when a defensive allegation is to be treated as an avoidance or as an affirmative defense, and a large case law has developed on this question. It traditionally was said that affirmative defenses may be raised only in a responsive pleading.

NOTES AND QUESTIONS

1. If a defense is assigned to defendant and it is not raised as an avoidance or affirmative defense, the defense is waived. Other than with the specific defenses listed in Rule 8(c), how does the court determine on whom to assign the burden of pleading? Review p. 612, Note 3, supra. In *INGRAHAM v. UNITED STATES*, 808 F.2d 1075 (5th Cir. 1987), the Fifth Circuit explained:

Determining whether a given defense is “affirmative” within the ambit of Rule 8(c) is not without some difficulty. We find the salient comments of Judge Charles E. Clark, Dean of the Yale Law School,

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later Chief Judge of the United States Second Circuit Court of Appeals, and the principal author of the Federal Rules, to be instructive:

[J]ust as certain disfavored allegations made by the plaintiff . . . must be set forth with the greatest particularity, so like disfavored defenses must be particularly alleged by the defendant. These may include such matters as fraud, statute of frauds . . . , statute of limitations, truth in slander and libel . . . and so on. In other cases the mere question of convenience may seem prominent, as in the case of payment, where the defendant can more easily show the affirmative payment at a certain time than the plaintiff can the negative of nonpayment over a period of time. Again it may be an issue which may be generally used for dilatory tactics, such as the question of the plaintiff’s right to sue . . . a vital question, but one usually raised by the defendant on technical grounds. These have been thought of as issues “likely to take the opposite party by surprise,” which perhaps conveys the general idea of fairness or the lack thereof, though there is little real surprise where the case is well prepared in advance.

Clark, *Code Pleading*, 2d ed. 1947, § 96, at 609–10, *quoted in* 5 C. Wright & A. Miller, *Federal Practice and Procedure: Civil*, § 1271, p. 313 (1969).

Also pertinent to the analysis is the logical relationship between the defense and the cause of action asserted by the plaintiff. This inquiry requires a determination (1) whether the matter at issue fairly may be said to constitute a necessary or extrinsic element in the plaintiff’s cause of action; (2) which party, if either, has better access to relevant evidence; and (3) policy considerations: should the matter be indulged or disfavored? * * *

Central to requiring the pleading of affirmative defenses is the prevention of unfair surprise. A defendant should not be permitted to “lie behind a log” and ambush a plaintiff with an unexpected defense. * * * The instant cases illustrate this consideration. Plaintiffs submit that, had they known the statute [limiting non-medical damages] would be applied, they would have made greater efforts to prove medical damages which were not subject to the statutory limit. In addition, plaintiffs maintain that they would have had an opportunity and the incentive to introduce evidence to support their constitutional attacks on the statute.

* * *

We view the limitation on damages as an “avoidance” within the intendment of the residuary clause of 8(c). Black’s Law Dictionary, 5th ed. 1979, defines an avoidance in pleadings as “the allegation or

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statement of new matter, in opposition to a former pleading, which, admitting the facts alleged in such former pleading, shows cause why they should not have their ordinary legal effect.” Applied to the present discussion, a plaintiff pleads the traditional tort theory of malpractice and seeks full damages. The defendant responds that assuming recovery is in order under the ordinary tort principles, because of the new statutory limitation, the traditional precedents “should not have their ordinary legal effect.”

* * * [W]e conclude that the Texas statutory limit on medical malpractice damages is an affirmative defense which must be pleaded timely and that in the cases at bar the defense has been waived.

808 F.2d at 1078–79.

Note, however, that this sort of waiver is not irreversible. A defendant that omits an affirmative defense from its answer might still amend its

answer to add the defense—although such an amendment may require permission from either the court or the opposing party. See Section E, *infra*. Some defenses, however, cannot be saved from waiver. As discussed on p. 663, *supra*, the defenses listed in Rule 12(b)(2)–(5) (lack of personal jurisdiction, improper venue, insufficient process, and insufficient service of process) can be irretrievably waived if omitted from either a pre-answer motion or defendant’s initial answer.

2.Can the court, *sua sponte*, consider an affirmative defense that defendant has failed to plead? In *DAY v. McDONOUGH*, 547 U.S. 198, 126 S.Ct. 1675, 164 L.Ed.2d 376 (2006), the Supreme Court held that district courts may, but are not required to, raise *sua sponte* the timeliness of a state prisoner’s habeas petition when the state defendant has failed to raise the limitations period as an affirmative defense. To mitigate any unfairness, the Court further held that the district court is required to give the parties fair notice and an opportunity to present their positions on why the limitations period should not yield dismissal. Should this practice extend to affirmative defenses that do not have systemic implications for the justice system? Should it matter if plaintiff can show no prejudice or had notice of the defense? Is the approach consistent with the language of Rule 8(c), which provides that a party “must affirmatively state” any avoidance or affirmative defense?

3.Federal Rule 12(f) may be used to strike an affirmative defense from the responsive pleading. Should the motion be granted (with leave to amend) if the affirmative defense fails to meet the standard of plausible pleading otherwise applicable to a pleading? See p. 680, Note 4, *supra*. Before *Twombly* and *Iqbal*, an affirmative defense generally was treated as sufficient if it provided notice of the possible existence of the defense and defendant’s intention to advance it. Courts are divided on whether affirmative defenses are now subject to the requirement of plausible pleading. For discussion of this issue, see Miller, *From Conley to Twombly to Iqbal: A Double Play on the Federal Rules of Civil Procedure*, 60 Duke L.J. 1, 101–03 (2010); Soucek &

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Lamons, *Heightened Pleading Standards for Defendants: A Case Study of Court-Counting Precedent*, 70 Ala.L.Rev. 875 (2019).

C. THE REPLY

Read Federal Rule of Civil Procedure 7(a) and the accompanying materials in the Supplement.

NOTES AND QUESTIONS

1. Pleadings basically have two levels in the federal courts, the complaint and the answer. If defendant’s answer contains a counterclaim, plaintiff must serve an answer to the counterclaim. See Rule 12(a)(1)(B); Rule 7(a)(3). Otherwise, it is within the discretion of the court to order plaintiff to serve a reply to defendant’s answer. See Rule 7(a)(7). If a third party is brought into the action under Federal Rule 14, a third-party complaint will be filed and a third-party answer will be allowed. See Rule 7(a)(5), (6).

2.Under Federal Rule 7, is a crossclaim a pleading? Is a notice of removal a pleading? Is the answer to a crossclaim a pleading?

3.Allegations to which a reply is not required are considered avoided or denied and plaintiff may controvert them at trial. Conversely, matters requiring a responsive pleading are taken as admitted if not denied in the reply or if a reply is not filed. Rule 8(b)(6).

D. MOTION FOR JUDGMENT ON THE PLEADINGS

Read Federal Rule of Civil Procedure 12(c) in the Supplement.

KEGERISE v. SUSQUEHANNA TOWNSHIP SCHOOL DISTRICT
United States District Court, Middle District of Pennsylvania, 2016.
[321 F.R.D. 121.](#)

CALDWELL, UNITED STATES DISTRICT JUDGE.

Plaintiff is Dr. Susan M. Kegerise, the former superintendent of the Susquehanna Township School District. The defendants are the School District and three members of the District’s School Board, Carol L. Karl, Jesse Rawls, Sr., and Mark Y. Sussman. Plaintiff filed this lawsuit mainly seeking redress for her alleged discharge as superintendent, which she asserts violated both federal and state law.

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We are considering Plaintiff’s motion for judgment on the pleadings under Fed. R. Civ. P. 12(c) on some of the claims set forth in Plaintiff’s third amended complaint. As part of that motion, Plaintiff argues that Defendants’ responses to some of the allegations in her pleading were insufficient under Fed. R. Civ. P. 8(b). Based on the claimed inadequacy of the responses, Plaintiff contends that the corresponding allegations should be deemed admitted. And once those allegations are deemed admitted, Plaintiff argues she is entitled to

judgment on the pleadings on Counts II, III, IV, VIII, IX and X of her third amended complaint.

We agree with Plaintiff that, except for a few responses, the responses are insufficient. Instead of deeming Plaintiff’s allegations admitted, however, we will grant Defendants an opportunity to file an amended answer curing the defects in their responses. * * *

* * *

A. Rule 8(b)(4): Denying Only Part of an Allegation Without Also Either Admitting or Denying the Rest of the Allegation

Plaintiff contends that Defendants violated Rule 8(b)(4) in their responses to the following allegations of the third amended complaint: paragraphs 48, 55, 63, 67, 81, 84, 86, 93, 99, 150, and 199. * * * After review of the allegations, we agree with Plaintiff that Defendants’ responses violated Rule 8(b)(4) by denying part of the allegation, admitting part of it, but without saying that the rest of the allegation was denied.

We will rely on one of the examples Plaintiff uses in her brief to explain what we mean. Paragraph 48 of the third amended complaint alleges as follows:

48. In 2013, a consensual decision was made to transfer a long time high school gym teacher and coach to a district elementary school. Believing this transfer was against the will of the teacher and discriminatory, Defendant Rawls attempted to intervene by usurping the role and judgment of the Administration. Defendant Rawls went so far as to approach the president of the teachers’ union, stating the transfer should be “grieved” by the district.

(Doc. 39, Third Am. Compl. ¶ 48). Defendants’ response to this allegation was as follows: “It is admitted that there was a decision to transfer a high school gym teacher to district [sic] elementary school. It is denied that Defendant Rawls attempted to intervene.” (Doc. 46, Answer ¶ 48). When a party intends to deny only part of an allegation, Rule 8(b)(4) requires the party to “admit the part that is true and deny the rest.” Here, Defendants intended to deny, and did deny, only part of the allegation. While they admitted the part that was true, they did not “deny the rest” of the allegation. As Plaintiff points out, they did not deny that defendant Rawls

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approached the president of the teachers’ union, stating the transfer should be “grieved” by the district. The responses therefore violate Rule 8(b)(4).

The responses to the other allegations mentioned above suffer from similar defects. * * * We will therefore require Defendants to file an amended answer complying with Rule 8(b)(4). Defendants need not deny any part of the allegations that were left without a response in the original answer if in fact that part should be admitted. For example, Defendants need not deny that Rawls approached the president of the teachers’ union, stating the transfer should be grieved by the district, simply because it was not admitted in the original answer. Defendants must simply admit the part that is true and deny the rest so that all parts of the allegation have been either admitted or denied.

B. Rule 8(b) Does Not Permit a Response that an Allegation Is a “Conclusion of Law” to Which No Response Is Required

Plaintiff argues that Defendants’ responses to the following allegations of the third amended complaint violated Rule 8(b): paragraphs 3, 10, 11, 20, 23, 26, 102, 119–131, 133–134, 136–138, 140, 142–143, 146–147, 149, 156–159, 167, 169–172, 174–175, 177, 196, and 199. Defendants’ responses to these allegations was as follows: “This paragraph states a conclusion of law to which no response is required.” Plaintiff asserts the responses were improper because they neither admitted nor denied the allegations. * * *

In opposing Plaintiff’s motion, Defendants argue that under Rule 8(b)(6) they are not obligated to respond to allegations that are conclusions of law. They also point out that some of the allegations are “sweeping conclusions of law” that contain no factual averments about Plaintiff’s case.

Defendants’ reliance on Rule 8(b)(6) is misplaced. In pertinent part, that Rule provides that when “a responsive pleading is required” an allegation is admitted if it is not denied. It is only when “a responsive pleading is not required, [that] an allegation is considered denied or avoided.” Rule 8(b)(6). Here, Defendants were required to file a responsive pleading—their answer—to Plaintiff’s third amended complaint. *See* Fed. R. Civ. P. 12(a)(1)(A). Hence, if anything, Rule 8(b)(6) would require us to deem Plaintiff’s allegations admitted for failure of Defendants to deny them. * * *

Defendants are simply incorrect in contending that they could respond to conclusions of law by asserting no response is necessary.⁴ Rule 8(b)

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permits a party only three ways to respond to an allegation: (1) admit it (2) deny it or (3) state that the party lacks knowledge or information sufficient to form a belief about the truth of the allegation. * * * Rule 8(b) does not permit a party to refuse to respond to an allegation by asserting it is a conclusion of law. * * *

This rule applies even when a party has made “a sweeping conclusion of law,” as Defendants put it, meaning an allegation purely of law.⁵ * * *

We will * * * require amended responses to these allegations * * *.

C. A Party Cannot Claim Lack of Knowledge or Information When He Does Have Knowledge or It Is Reasonably Available to Him

Defendants have denied paragraphs 30, 46 and 51 of the third amended complaint by asserting that they lack knowledge or information sufficient to form a belief about the truth of the allegations. Plaintiff argues these responses were improper as Defendants either had information that they could have used to respond to the allegations or the information was readily accessible to them. The pertinent allegations are as follows:

30.Defendant Rawls also approached a Union official to suggest the Union file a grievance against [the School District] regarding a personnel issue.

* * *

46.On February 5, 2013, Defendant Rawls visited the District Middle School and High School without giving prior notice to the administration.

* * *

50.On January 28, 2013, Defendant Rawls, at a public meeting of the Board, falsely accused Plaintiff of nepotism as grounds to not renew her contract.

51.This accusation resulted in a special investigation which cleared Dr. Kegerise of any wrongdoing. The investigation cost [the School District] in excess of \$15,000.00.

(Doc. 39, Third Am. Compl. ¶¶ 30, 46, 50 and 51). * * *

* * * [A] party “may not deny sufficient information or knowledge with impunity, but is subject to the requirements of honesty in pleading.” *David v. Crompton & Knowles Corp.*, 58 F.R.D. 444, 446 (E.D. Pa. 1973). “An

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avermment will be deemed admitted when the matter is obviously one as to which defendant has knowledge or information.” * * * A party may also “be held to the duty to exert reasonable effort to obtain knowledge of a fact.” *Greenbaum v. United States*, 360 F.Supp. 784, 787 (E.D. Pa. 1973).

Here, Defendants should be able to answer paragraphs 30 and 46 from the personal knowledge of Defendant Rawls. If they find paragraph 30 too vague, they may so respond. The response to paragraph 51 can come from a reasonable effort to obtain knowledge from School District records. * * **Greenbaum*, 360 F.Supp. at 787–88 (the defendant’s response was inadequate when it failed to investigate its files).

Based on the foregoing, we will issue an order requiring Defendants to file an amended answer with responses that conform to the pleading requirements of Rule 8(b). * * *

NOTES AND QUESTIONS

- 1. *WHY WAS MOVING FOR JUDGMENT ON THE PLEADINGS STRATEGICALLY ADVANTAGEOUS TO THE PLAINTIFF?*
- 2.How does a Rule 12(c) motion differ from a Rule 12(f) motion to strike a defense from defendant’s responsive leading?
- 3.How does a Rule 12(c) motion differ from a Rule 12(b)(6) motion? Does either motion depend on the truth of the allegations?

E. AMENDMENTS

Read Federal Rule of Civil Procedure 15 and the accompanying materials in the Supplement.

BEECK V. AQUASLIDE ‘N’ DIVE CORP.
United States Court of Appeals, Eighth Circuit, 1977.
[562 F.2d 537.](#)

BENSON, DISTRICT JUDGE.

* * *

This case is an appeal from the trial court’s exercise of discretion on procedural matters in a diversity personal injury action. Jerry A. Beeck was severely injured on July 15, 1972, while using a water slide. He and his wife, Judy A. Beeck, sued Aquaslide ‘N’ Dive Corporation (Aquaslide), a Texas corporation, alleging it manufactured the

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slide involved in the accident, and sought to recover substantial damages on theories of negligence, strict liability and breach of implied warranty.

Aquaslide initially admitted manufacture of the slide, but later moved to amend its answer to deny manufacture; the motion was resisted. The district court granted leave to amend. On motion of the defendant, a separate trial was held on the issue of “whether the defendant designed, manufactured or sold the slide in question.” This motion was also resisted by the plaintiffs. The issue was tried to a jury, which returned a verdict for the defendant, after which the trial court entered summary judgment of dismissal of the case. Plaintiffs took this appeal, and stated the issues presented for review to be:

- 1.Where the manufacturer of the product, a water slide, admitted in its Answer and later in its Answer to Interrogatories both filed prior to the running of the statute of limitations that it designed, manufactured and sold the water slide in question, was it an abuse of the trial court’s discretion to grant leave to amend to the manufacturer in order to deny these admissions after the running of the statute of limitations?

* * *

I.Facts

* * *

In 1971 Kimberly Village Home Association of Davenport, Iowa, ordered an Aquaslide product from one George Boldt, who was a local distributor handling defendant’s products. The order was forwarded by Boldt to Sentry Pool and Chemical Supply Co. in Rock Island, Illinois, and Sentry forwarded the order to Purity Swimming Pool Supply in Hammond, Indiana. A slide was delivered from a Purity warehouse to Kimberly Village, and was installed by Kimberly employees. On July 15, 1972, Jerry A. Beeck was injured while using the slide at a social gathering sponsored at Kimberly Village by his employer, Harker Wholesale Meats, Inc. Soon after the accident investigations were undertaken by representatives of the separate insurers of Harker and Kimberly Village. On October 31, 1972, Aquaslide first learned of the accident through a letter sent by a representative of Kimberly’s insurer to Aquaslide * * *. Aquaslide forwarded this notification to its insurer. Aquaslide’s insurance adjuster made an on-site investigation of the slide in May, 1973, and also interviewed persons connected with the ordering and assembly of the slide. An inter-office letter dated September 23, 1973, indicates that Aquaslide’s insurer was of the opinion the “Aquaslide in question was definitely manufactured by our insured.” The complaint was filed October 15, 1973. Investigators for three different insurance companies, representing Harker, Kimberly and the defendant, had concluded that the slide had been manufactured by Aquaslide, and the defendant, with no information to the

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contrary, answered the complaint on December 12, 1973, and admitted that it “designed, manufactured, assembled and sold” the slide in question.

The statute of limitations on plaintiff’s personal injury claim expired on July 15, 1974. About six and one-half months later Carl Meyer, president and owner of Aquaslide, visited the site of the accident prior to the taking of his deposition by the plaintiff. From his on-site inspection of the slide, he determined it was not a product of the defendant. Thereafter, Aquaslide moved the court for leave to amend its answer to deny manufacture of the slide.

II. Leave to Amend

* * *

In *Foman v. Davis*, 371 U.S. 178, 83 S.Ct. 227, 9 L.Ed.2d 222 (1962), the Supreme Court had occasion to construe * * * Rule 15(a) * * *.

If the underlying facts or circumstances relied upon by a plaintiff may be a proper subject of relief, he ought to be afforded an opportunity to test his claim on the merits. In the absence of any apparent or declared reason—such as undue delay, bad faith or dilatory motive on the part of the movant, repeated failure to cure deficiencies by amendments previously allowed, undue prejudice to the opposing party by virtue of allowance of the amendment, futility of amendment, etc.—the leave sought should, as the rules require, be “freely given.” of course, the grant or denial of an opportunity to amend is within the discretion of the District Court * * *.

371 U.S. at 182, 83 S.Ct. at 230. * * *

This Court in *Hanson v. Hunt Oil Co.*, 398 F.2d 578, 582 (8th Cir. 1968), held that “[p]rejudice *must be shown*.” (Emphasis added). The burden is on the party opposing the amendment to show such prejudice. In ruling on a motion for leave to amend, the trial court must inquire into the issue of prejudice to the opposing party, in light of the particular facts of the case. * * *

Certain principles apply to appellate review of a trial court’s grant or denial of a motion to amend pleadings. First, as noted in *Foman v. Davis*, allowance or denial of leave to amend lies within the sound discretion of the trial court, * * * and is reviewable only for an abuse of discretion. * * * The appellate court must view the case in the posture in which the trial court acted in ruling on the motion to amend. * * *

It is evident from the order of the district court that in the exercise of its discretion in ruling on defendant’s motion for leave to amend, it searched the record for evidence of bad faith, prejudice and undue delay which might be sufficient to overbalance the mandate of Rule 15(a) * * *

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and *Foman v. Davis*, that leave to amend should be “freely given.” Plaintiffs had not at any time conceded that the slide in question had not been manufactured by the defendant, and at the time the motion for leave to amend was at issue, the court had to decide whether the defendant should be permitted to litigate a material factual issue on its merits.

In inquiring into the issue of bad faith, the court noted the fact that the defendant, in initially concluding that it had manufactured the slide, relied upon the conclusions of three different insurance companies, each of which had conducted an investigation into the circumstances surrounding the accident. This reliance upon investigations of three insurance companies, and the fact that “no contention has been made by anyone that the defendant influenced this possibly erroneous conclusion,” persuaded the court that “defendant has not acted in such bad faith as to be precluded from contesting the issue of manufacture at trial.” The court further found “[t]o the extent that ‘blame’ is to be spread regarding the original identification, the record indicates that it should be shared equally.”

In considering the issue of prejudice that might result to the plaintiffs from the granting of the motion for leave to amend, the trial court held that the facts presented to it did not support plaintiffs’ assertion that, because of the running of the two year Iowa statute of limitations on personal injury claims, the allowance of the amendment would sound the “death knell” of the litigation. In order to accept plaintiffs’ argument, the court would have had to assume that the defendant would prevail at trial on the factual issue of manufacture of the slide, and further that plaintiffs would be foreclosed, should the amendment be allowed, from proceeding against other parties if they were unsuccessful in pressing their claim against Aquaslide. On the state of the record before it, the trial court was unwilling to make such assumptions, and concluded “[u]nder these circumstances, the Court deems that the possible prejudice to the plaintiffs is an insufficient basis on which to deny the proposed amendment.” The court reasoned that the amendment would merely allow the defendant to contest a disputed factual issue at trial, and further that it would be prejudicial to the defendant to deny the amendment.

The court also held that defendant and its insurance carrier, in investigating the circumstances surrounding the accident, had not been so lacking in diligence as to dictate a denial of the right to litigate the factual issue of manufacture of the slide.

On this record we hold that the trial court did not abuse its discretion in allowing the defendant to amend its answer.

* * *

NOTES AND QUESTIONS

1. Parties may amend their complaints at various points in a litigation. In *Beeck*, defendant initially moved to amend before the trial took place. Should the court have granted the motion then?
2. Federal Rule 15(a) permits amendment without consent of the court in certain circumstances. What is the justification for this rule? Until 2009, the rule allowed a party to amend as a matter of course only before being served with a responsive pleading. What are the time limits under the current rule?
3. Rule 15(b) permits amendment of the pleadings both during and after trial. How does the procedure described in Rule 15(b)(1) differ from that in Rule 15(b)(2)? What are the consequences of a failure to amend under each subdivision? Keep in mind that Rule 15(b) applies to defenses as well as claims, and it may be used to amend a pleading during or after trial to include a defense that was not earlier asserted.

In *MOORE v. MOORE*, 391 A.2d 762 (D.C. 1978), a custody suit brought by the father, the court granted the mother’s post-trial motion to conform the pleadings to the evidence and for attorney’s fees, and awarded her custody despite the absence of any request for affirmative relief in her pretrial pleadings. The father argued that it was an abuse of discretion under the state amendment rule for the court to have permitted a post-trial pleading amendment and to award affirmative relief, contending that he did not have notice. In particular, he argued that he did not know that matters contained in the counterclaim were at stake and “he was not prepared, nor given an adequate opportunity, to contest them.” *Id.* at 768. The court rejected these arguments:

Our treatment of this argument must begin with [District of Columbia] Rule 15(b), which is identical to Fed.R.Civ.Pro. 15(b). Our analysis is accordingly aided by authorities which have interpreted the federal rule. * * * If issues not raised in pleadings are tried by express consent of the parties, there can be no question about the propriety of permitting amendment. The difficult issue arises when, as in most Rule 15(b) cases, “implied consent” is asserted.

Whether parties have impliedly contested a matter—i.e., whether parties recognize that an issue not stated by the pleadings entered the case * * *—is determined by searching the trial record for indications that the party contesting the amendment received actual notice of the injection of the unpleaded matters, as well as an adequate opportunity to litigate such matters and to cure any surprise from their introduction. * * *

The clearest indications of a party’s implied consent to try an issue lie in the failure to object to evidence, or in the introduction of evidence which is clearly apposite to the new issue but not to other matters specified in the pleadings. * * *

A. Custody

Although at the time of trial only appellant, and not his wife, had filed an action for custody, we conclude—without difficulty

—that appellant was on timely notice that the court would decide not merely whether he was entitled to custody but, more broadly, would determine who was entitled to custody. Mrs. Moore asserted in her answer to appellant’s complaint that “the best interests of the child” would be served by the child’s being in her custody. Moreover, both parties introduced evidence supporting their respective qualifications for custodian. * * *

B.Child Support

The pretrial pleadings do not include a claim for child support. Our determination, therefore, again must be whether the issue was litigated by implied consent. For two reasons we find that it was.

First, and most germane, we believe that the resolution of child support inheres in a custody battle where the best interests of the child are the focal concern. * * * The trial judge recognized this relationship when she opined that a grant of support was required by the court’s duty to afford complete relief. Second, our conclusion is bolstered by appellee’s introduction of evidence of the financial needs of the child. As appellee points out, this evidence was not contested on relevance grounds; it served to put appellant on notice. * * *

C.Visitation Rights and Bond

Appellant does not dispute that visitation rights are a proper subject for determination as part of the overall custody question. In her Rule 15(b) motion, appellee did not request imposition of a bond covering her husband’s visits with Jessica. However, because trial courts are given broad discretion in resolving custody cases, * * * and ought to fashion relief to foster and safeguard a child’s best interests, * * * we find no fault with the imposition of a bond upon a parent whose history reflected a capacity for absconding with the child. * * *

D.Attorneys’ Fees

This court has determined that even though there is no specific statutory authorization for attorneys’ fees awards in child custody

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cases, courts are empowered to award them to a parent who has enlisted legal assistance to protect the interests of the child. * * *

E.Separate Maintenance

The grant of spousal support is a different matter. The initial pleadings did not mention a claim for separate maintenance, which is not customarily a part of a child custody suit between parents whose marital relationship had not been—and was not being—litigated. While evidence of Mrs. Moore’s financial needs was admitted without objection relatively late in the proceedings, we cannot conclude that this evidence was so uniquely pertinent to her support alone, in contrast with the custody or the child support issues, that it justifies our concluding that appellant had adequate, timely notice of, and an opportunity to contest, a claim by his wife for her own support. We find no other indication of record that appellant impliedly consented to try his wife’s support claim, Rule 15(b), nor can we conclude that the award was a proper, supportable element of full relief in the child custody action. * * * We therefore find an abuse of trial court discretion in permitting amendment of the pleadings to include separate maintenance and, thereafter, in making such an award.

* * *

391 A.2d at 768–70.

NOTE AND QUESTIONS

What were plaintiff’s tactical options in *Moore* in deciding whether to introduce evidence at trial on an issue that clearly was not within the pleadings? The litigant may object and keep the evidence out, but this will induce the other side to request leave to amend, perhaps even to add an issue of which the party seeking amendment previously was not aware. On the other hand, a failure to object may be taken as implied consent to try the issue, thus permitting an amendment to conform to the proof. Whenever a party fails to object in this situation a second dilemma must be faced: whether or not to produce evidence on the point in question. Should the implied consent rule ever be applied in a case like *Moore* when relief is sought by a defendant who failed to file a counterclaim asking for any relief whatsoever? How important was it that the action involved child custody?

NOTE ON THE RELATION BACK DOCTRINE

Federal Rule 15(c) allows amendments that add a new claim or defense to “relate back” to the date of the original pleading, and thus avoid being barred by a statute of limitations. An amendment may relate back under Rule 15(c)(1)(A) (which was added to the rule in 1991) whenever an applicable state statute of limitations would permit relation back. Before Rule 15(c) was

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amended the circuit courts disagreed whether to characterize relation back as “substantive” or “procedural.” In *SCHIAVONE v. FORTUNE*, 477 U.S. 21, 106 S.Ct. 2379, 91 L.Ed.2d 18 (1986), a diversity case, plaintiffs mistakenly failed to name the correct defendant in the original complaint. Plaintiffs meant to sue the owners of Fortune magazine; however, instead of naming “Time, Incorporated,” they named “Fortune,” which is not a legal entity. Plaintiffs were unable to serve “Fortune,” so they amended their complaint to name “Time, Incorporated.” Both the amendment and service of

process on “Time, Incorporated” took place after the statute of limitations had run. The Supreme Court applied Rule 15(c) instead of New Jersey’s more liberal relation-back rule and dismissed the claims as time-barred. The revision to Rule 15(c) makes clear that a pleader gets the benefit of a state limitations rule that is less restrictive than the federal.

Relation back is permitted under Federal Rule 15(c)(1)(B) when the claim or defense that is added arises out of the same conduct, transaction, or occurrence as does the original pleading. In addition, relation back is authorized if the pleader “attempted” to allege the claim or defense, but, for example, amendment is required to cure a deficiency.

Federal Rule 15(c)(1)(C) addresses amendments that seek to change a party after the statute of limitations has expired. Three conditions must be met. The first condition is that the claim that the amendment seeks to assert against the changed party must be transactionally related to the claims in the original pleading, so that Rule 15(c)(1)(B) is met. The second condition is that the changed party must have received notice of the action within the time for serving the summons and complaint under Rule 4(m) (since 2015, 90 days). The notice can be formal or informal, provided the new party “will not be prejudiced” in defending on the merits. The third condition is that the changed party “knew or should have known” that the claim would have been asserted against it, “but for a mistake concerning the proper party’s identity.” Rule 15(c)(1)(C)(ii).

In *KRUPSKI v. COSTA CROCIERE S.P.A.*, 560 U.S. 538, 130 S.Ct. 2485, 177 L.Ed.2d 48 (2010), a cruise passenger sued Costa Cruise, the company that had issued her ticket, for injuries sustained during the cruise. After the limitations period had run, Costa Cruise filed its answer, asserting that it was not the proper defendant and that it was only the agent for Costa Crociere, an Italian company that was the actual carrier and vessel operator. Costa Cruise then moved for summary judgment, stating that Costa Crociere was the proper defendant. The district court dismissed Costa Cruise from the action and granted plaintiff leave to amend the complaint to name Costa Crociere as defendant. Costa Crociere, represented by the same counsel as the original defendant, moved to dismiss, arguing that the amended complaint did not relate back. The

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district court dismissed the amended complaint as out of time. The Eleventh Circuit affirmed, but the Supreme Court reversed:

The Court of Appeals first decided that Krupski either knew or should have known of the proper party’s identity and thus determined that she had made a deliberate choice instead of a mistake in not naming Costa Crociere as a party in her original pleading. * * * By focusing on Krupski’s knowledge, the Court of Appeals chose the wrong starting point. The question under Rule 15(c)(1)(C)(ii) is not whether Krupski knew or should have known the identity of Costa Crociere as the proper defendant, but whether Costa Crociere knew or should have known that it would have been named as a defendant but for an error. Rule 15(c)(1)(C)(ii) asks what the prospective defendant knew or should have known during the Rule 4(m) period, not what the plaintiff knew or should have known at the time of filing her original complaint. * * *

Information in the plaintiff’s possession is relevant only if it bears on the defendant’s understanding of whether the plaintiff made a mistake regarding the * * * proper party’s identity. * * *

Respondent urges that the key issue under Rule 15(c)(1)(C)(ii) is whether the plaintiff made a deliberate choice to sue one party over another. * * * We agree that making a deliberate choice to sue one party instead of another while fully understanding the factual and legal differences between the two parties is the antithesis of making a mistake concerning the proper party’s identity. We disagree, however, with respondent’s position that any time a plaintiff is aware of the existence of two parties and chooses to sue the wrong one, the proper defendant could reasonably believe that the plaintiff made no mistake. The reasonableness of the mistake is not itself at issue. * * * [A] deliberate but mistaken choice does not foreclose a finding that Rule 15(c)(1)(C)(ii) has been satisfied.

This reading is consistent with the purpose of relation back: to balance the interests of the defendant protected by the statute of limitations with the preference * * * for resolving disputes on their merits. * * * A prospective defendant who legitimately believed that the limitations period had passed without any attempt to sue him has a strong interest in repose. But repose would be a windfall for a prospective defendant who understood, or who should have understood, that he escaped suit during the limitations period only because the plaintiff misunderstood a crucial fact about his identity. Because a plaintiff’s knowledge of the existence of a party does not foreclose the possibility that she

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has made a mistake of identity about which that party should have been aware, such knowledge does not support that party’s interest in repose.

Our reading is also consistent with the history of Rule 15(c)(1)(C). That provision was added in 1966 to respond to a recurring problem in suits against the Federal Government, particularly in the Social Security context. * * * Individuals who had filed timely lawsuits challenging the administrative denial of benefits often failed to name the party identified in the statute as the proper defendant—the current Secretary of what was then the Department of Health, Education, and Welfare—and named instead the United States; the Department of Health, Education, and Welfare itself; the nonexistent “Federal Security Administration”; or a Secretary who had recently retired from office. * * * By the time the plaintiffs discovered their mistakes, the statute of limitations in many cases had expired, and the district courts denied the plaintiffs leave to amend on the ground

that the amended complaints would not relate back. Rule 15(c) was therefore “amplified to provide a general solution” to this problem. * * * It is conceivable that the Social Security litigants knew or reasonably should have known the identity of the proper defendant either because of documents in their administrative cases or by dint of the statute setting forth the filing requirements. * * * Nonetheless, the Advisory Committee clearly meant their filings to qualify as mistakes under the Rule.

560 U.S. at 548, 130 S.Ct. at 2493, 177 L.Ed.2d at 57. The Supreme Court also rejected the argument that plaintiff’s delay in filing an amended complaint was grounds for denying relation back, explaining that Rule 15(c) “plainly sets forth an exclusive list of requirements for relation back, and the amending party’s diligence is not among them.” Plaintiff’s conduct is relevant only to the extent it “informs the prospective defendant’s understanding of whether the plaintiff initially made a ‘mistake concerning the proper party’s identity.’ ” Id. at 540, 130 S.Ct. at 2488, 177 L.Ed.2d at 52.

NOTES AND QUESTIONS

1. Assume that during the course of an arrest two police officers handcuff the detainee and he suffers broken bones. The detainee is later released without being charged. Two years after the event, the detainee sues the Police Department and “two unknown named police officers.” After the statute of limitations has run, plaintiff amends his complaint and specifically names the two officers who arrested him, but includes no claim against the police department. The newly named defendants, represented by the same attorney who represents the police department, move to dismiss the amended

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complaint on the ground that the statute of limitations has run. The record indicates that the police officers did not know of the lawsuit before the limitations period expired, but they were aware of its pendency within the 90 days for serving the summons and complaint under Federal Rule 4(m).

Does the amendment relate back to the original date of the complaint? Did plaintiff make a “mistake” about the identity of the arresting officers or did he simply not know their identity? Would it be relevant if the officers concealed their identity, and that under state law fraudulent concealment tolls the statute of limitations? See *Worthington v. Wilson*, 8 F.3d 1253 (7th Cir. 1993).

2.Assume all of the facts set out in Note 1, except that plaintiff, not knowing the identity of the arresting officers, named in his original complaint the police department and two police officers named as “John Doe” and “Jane Doe” defendants. Would these claims relate back under *Krupski*? See *Sherman, Amending Complaints to Sue Previously Misnamed or Unidentified Defendants after the Statute of Limitations Has Run: Questions Remaining from the Krupski Decision*, 15 Nev.L.J. 1329 (2015). Would it matter to the analysis if relation back is timely under state law? See *Hogan v. Fischer*, 738 F.3d 509 (2d Cir. 2013).

F. SUPPLEMENTAL PLEADINGS

Read Federal Rules of Civil Procedure 13(e) and 15(d) in the Supplement.

Federal Rule 15(d) provides that the court may allow the filing of a supplemental pleading based on facts not existing when the original complaint was filed. A supplemental pleading can be used to cure defects in the original pleading, to add new claims, or to provide additional facts that update the complaint. The rule’s purpose is to promote “as complete an adjudication of the dispute between the parties as possible,” *William Inglis & Sons Baking Co. v. ITT Continental Baking Co.*, 668 F.2d 1014, 1057 (9th Cir. 1981), and “permits the bringing of new claims * * * to permit the economical and speedy disposition of the controversy,” *Keith v. Volpe*, 858 F.2d 467, 473 (9th Cir. 1988), cert. denied, 493 U.S. 813, 110 S.Ct. 61, 107 L.Ed.2d 28 (1989). However, there are limits to this practice, and supplementation may be denied when the pleading introduces a “separate, distinct and new cause of action.” *Planned Parenthood of S. Ariz. v. Neely*, 130 F.3d 400, 402 (9th Cir. 1997).

NOTES AND QUESTIONS

1. Federal Rule 13(e) permits defendants to use a supplemental pleading to assert counterclaims that arise after serving an answer. As with

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Rule 15(d), the decision to allow a party to file a supplemental pleading asserting a counterclaim is within the discretion of the district court. See generally 6 Wright, Miller & Kane, *Federal Practice and Procedure* § 1428 (3d ed.).

2.Are supplemental pleadings governed by the same relation back analysis as amended pleadings? Rule 15(d) makes no mention of relation back, and courts take divergent approaches. In *DAVIS v. PIPER AIRCRAFT CORP.*, 615 F.2d 606, 609 n.3 (4th Cir. 1980), plaintiff moved to amend his complaint pursuant to Rule 15(a)(1) to reflect his new capacity as ancillary administrator of an estate, which allowed him to go forward with a wrongful death action filed nine months earlier. According to the Court of Appeals, if “the test of Fed.R.Civ.P. 15(c) is met, a supplemental pleading should ordinarily be given the same relation back effect as an amended pleading.” Would relation back be appropriate when the supplementation attempts to allege an entirely different transaction by amendment?

G. PROVISIONS TO DETER FRIVOLOUS PLEADINGS

Read Federal Rules of Civil Procedure 11 and 23.1 and related materials in the Supplement.

SUROWITZ v. HILTON HOTELS CORP.

Supreme Court of the United States, 1966.
[383 U.S. 363, 86 S.Ct. 845, 15 L.Ed.2d 807.](#)

Certiorari to the United States Court of Appeals for the Seventh Circuit.

JUSTICE BLACK delivered the opinion of the Court.

[Petitioner, Dora Surowitz, a stockholder in Hilton Hotels Corporation, filed a derivative action on behalf of herself and other stockholders charging that the officers and directors of the corporation had defrauded it of several million dollars in violation of the Securities Act of 1933, the Securities Exchange Act of 1934, and the Delaware General Corporation Law. The complaint was 60 printed pages and signed by petitioner’s counsel in compliance with the then-existing language of Federal Rule 11. Petitioner also verified the complaint pursuant to Rule 23(b) (now Rule 23.1), stating that some of the allegations in the complaint were true and that she “on information and belief” thought that all the other allegations were true. The district court, before requiring defendants to answer, granted their motion to depose petitioner.]

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* * *

* * * In this examination Mrs. Surowitz showed in her answers to questions that she did not understand the complaint at all, that she could not explain the statements made in the complaint, that she had a very small degree of knowledge as to what the lawsuit was about, that she did not know any of the defendants by name, that she did not know the nature of their alleged misconduct, and in fact that in signing the verification she had merely relied on what her son-in-law had explained to her about the facts in the case. On the basis of this examination, defendants moved to dismiss the complaint, alleging that “1. It is a sham pleading, and 2. Plaintiff, Dora Surowitz, is not a proper party plaintiff. * * *” In response, Mrs. Surowitz’s lawyer, in an effort to cure whatever infirmity the court might possibly find in Mrs. Surowitz’s verification in light of her deposition, filed two affidavits which shed much additional light on an extensive investigation which had preceded the filing of the complaint. Despite these affidavits the District Judge dismissed the case holding that Mrs. Surowitz’s affidavit was “false,” that being wholly false it was a nullity, that being a nullity it was as though no affidavit had been made in compliance with Rule 23, that being false the affidavit was a “sham” and Rule 23(b) required that he dismiss her case, and he did so, “with prejudice.”

The Court of Appeals affirmed the District Court’s dismissal * * * despite the fact that the charges made against the defendants were viewed as very serious and grave charges of fraud and that “many of the material allegations of the complaint are obviously true and cannot be refuted.” 342 F.2d, at 607. We cannot agree with either of the courts below and reverse their judgments. * * *

Mrs. Surowitz, the plaintiff and petitioner here, is a Polish immigrant with a very limited English vocabulary and practically no formal education. For many years she has worked as a seamstress in New York where by reason of frugality she saved enough money to buy some thousands of dollars worth of stocks. She was of course not able to select stocks for herself with any degree of assurance of their value. Under these circumstances she had to receive advice and counsel and quite naturally she went to her son-in-law, Irving Brilliant. Mr. Brilliant had graduated from the Harvard Law School, possessed a master’s degree in economics from Columbia University, was a professional investment advisor, and in addition to his degrees and his financial acumen, he wore a Phi Beta Kappa key. In 1957, six years before this litigation began, he bought some stock for his mother-in-law in the Hilton Hotels Corporation, paying a little more than \$2,000 of her own money for it. * * *

About December 1962, Mrs. Surowitz received through the mails a notice from the Hilton Hotels Corporation announcing its plan to purchase

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a large amount of its own stock. Because she wanted it explained to her, she took the notice to Mr. Brilliant. Apparently disturbed by it, he straightway set out to make an investigation. Shortly thereafter he went to Chicago, Illinois, where Hilton Hotels has its home office and talked the matter over with Mr. Rockler. Mr. Brilliant and Mr. Rockler had been friends for many years. * * * The two decided to investigate further, and for a number of months both pursued whatever avenues of information that were open to them. By August of 1963 on the basis of their investigation, both of them had reached the conclusion [that defendants were engaged in a fraudulent scheme, and Mr. Brilliant explained this to Mrs. Surowitz]. * * *

* * * When, on the basis of this conversation, Mrs. Surowitz stated that she agreed that suit be filed in her name, Mr. Rockler prepared a formal complaint which he mailed to Mr. Brilliant. Mr. Brilliant then, according to both his affidavit and Mrs. Surowitz’s testimony, read and explained the complaint to his mother-in-law before she verified it. Her limited education and her small knowledge about any of the English language, except the most ordinarily used words, probably is sufficient guarantee that the courts below were

right in finding that she did not understand any of the legal relationships or comprehend any of the business transactions described in the complaint. She did know, however, that she had put over \$2,000 of her hard-earned money into Hilton Hotels stock, that she was not getting her dividends, and that her son-in-law who had looked into the matter thought that something was wrong. She also knew that her son-in-law was qualified to help her and she trusted him. It is difficult to believe that anyone could be shocked or harmed in any way when, in the light of all these circumstances, Mrs. Surowitz verified the complaint, not on the basis of her own knowledge and understanding, but in the faith that her son-in-law had correctly advised her either that the statements in the complaint were true or to the best of his knowledge he believed them to be true.

* * * Rule 23(b) was not written in order to bar derivative suits. Unquestionably it was originally adopted and has served since in part as a means to discourage “strike suits” by people who might be interested in getting quick dollars by making charges without regard to their truth so as to coerce corporate managers to settle worthless claims in order to get rid of them. * * *

When the record of this case is reviewed in the light of the purpose of Rule 23(b)’s verification requirement, there emerges the plain, inescapable fact that this is not a strike suit or anything akin to it. Mrs. Surowitz was not interested in anything but her own investment made with her own money. Moreover, there is not one iota of evidence that Mr. Brilliant, her son-in-law and counselor, sought to do the corporation any injury in this litigation. In fact his purchases for the benefit of his family of more than \$50,000 of securities in the corporation, including a \$10,000 debenture, all

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made years before this suit was brought, manifest confidence in the corporation, not a desire to harm it in any way. The Court of Appeals in affirming the District Court’s dismissal, however, indicated that whether Mrs. Surowitz and her counselors acted in good faith and whether the charges they made were truthful were irrelevant once Mrs. Surowitz demonstrated in her oral testimony that she knew nothing about the content of the suit. * * *

We cannot construe Rule 23 or any other one of the Federal Rules as compelling courts to summarily dismiss, without any answer or argument at all, cases like this where grave charges of fraud are shown by the record to be based on reasonable beliefs growing out of careful investigation. The basic purpose of the Federal Rules is to administer justice through fair trials, not through summary dismissals as necessary as they may be on occasion. These rules were designed in large part to get away from some of the old procedural booby traps which common-law pleaders could set to prevent unsophisticated litigants from ever having their day in court. If rules of procedure work as they should in an honest and fair judicial system, they not only permit, but should as nearly as possible guarantee that bona fide complaints be carried to an adjudication on the merits. Rule 23(b), like the other civil rules, was written to further, not defeat the ends of justice. The serious fraud charged here, which of course has not been proven, is clearly in that class of deceitful conduct which the federal securities laws were largely passed to prohibit and protect against. There is, moreover, not one word or one line of actual evidence in this record indicating that there has been any collusive conduct or trickery by those who filed this suit except through intimations and insinuations without any support from anything any witness has said. The dismissal of this case was error. It has now been practically three years since the complaint was filed and as yet none of the defendants have even been compelled to admit or deny the wrongdoings charged. They should be. The cause is reversed and remanded to the District Court for trial on the merits.

Reversed and remanded.

JUSTICE HARLAN, concurring.

Rule 23(b) directs that in a derivative suit “the complaint shall be verified by oath” but nothing dictates that the verification be that of the plaintiff shareholder. * * * In the present circumstances, it seems to me the affidavit of Walter J. Rockler, counsel for Mrs. Surowitz, amounts to an adequate verification by counsel, which I think is permitted by a reasonable interpretation of the Rule at least in cases such as this. On this premise, I agree with the decision of the Court.

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NOTES AND QUESTIONS

1. Given the complexity of contemporary finance, is it realistic to condition the ability to bring suit under Rule 23.1 on the investor’s personal knowledge of the transactions that give rise to her injury? Is Justice Harlan’s endorsement of third-party verification an appropriate solution to the potential problem of strike suits? See Comment, *Verification of Complaint in Stockholders’ Derivative Suits under Rule 23(b)*, 114 U.Pa.L.Rev. 614 (1966).
2. In those state courts in which pleadings generally do not have to be verified, there are certain exceptions. Some of the typical ones found in state practice are: petitions for divorce; petitions brought by the state to enjoin a nuisance; and complaints to obtain support of a child born out of wedlock. What makes these actions sufficiently distinctive to require verification?

NOTE ON FEDERAL RULE 11

Rule 11 was adopted as part of the 1938 Federal Rules of Civil Procedure and has been amended a number of times since. In its original version, Rule 11 imposed a signature requirement as a certification that good grounds existed to support a pleading and that the pleading was not interposed for delay. The sanction for violation of the rule was the striking of the pleadings, but the violation had to be willful and the sanction was imposed as a matter of discretion based on a subjective standard of bad faith. Given the severity of the potential sanction, judges appeared disinclined to impose

discipline under the rule and the rule was infrequently invoked; as one commentator put it, the original version of Rule 11 was “a paper tiger without any bite.” Cavanagh, *Rule 11 of the Federal Rules of Civil Procedure: The Case Against Turning Back the Clock*, 162 F.R.D. 383, 388 (1995). Indeed, between 1938 and 1976, there were only 23 reported cases in which a party moved under Rule 11 to strike a pleading and only nine cases in which violations of the rule were found. See Risinger, *Honesty in Pleading and its Enforcement: Some “Striking” Problems with Federal Rule of Civil Procedure 11*, 61 Minn.L.Rev. 1 (1976).

Rule 11 was amended in 1983 to cure some of its perceived deficiencies. First, the amendments replaced the subjective bad faith standard with an objective standard that required the attorney to “stop and think” before filing suit and to certify that a pre-filing investigation of both the facts and law had been conducted; this requirement applied not only to the pleadings but also to all court papers (other than discovery, which are covered by Rule 37). Second, the amendments eliminated judicial discretion about whether to impose a sanction and instead made sanctions mandatory. Third, the amendments gave the court discretion to design an appropriate sanction. In practice the amended rule proved to be controversial, and courts, commentators, and practitioners disagreed about the rule’s effectiveness, goals, and fairness. See Sanner & Tobias, *Rule 11 and Rule Revision*, 37 Loy.L.A.L.Rev. 573 (2004).

By 1990, amended Rule 11 had generated more than 3,000 proceedings addressing sanctions, and the reported decisions were assumed to comprise only a “fraction” of the sanctions imposed. *Zaldivar v. City of Los Angeles*, 780

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F.2d 823, 829 (9th Cir. 1986). Some commentators expressed concern that sanctions were imposed disproportionately on civil rights litigants and that the rule was having a chilling effect on constitutional enforcement. See Tobias, *The 1993 Revision to Federal Rule 11*, 70 Ind.L.J. 171, 171 (1994). However, the rule also achieved positive effects; lawyers surveyed reported making more rigorous inquiries before filing suit. See Kritzer, Marshall & Zemans, *Rule 11: Moving Beyond the Cosmic Anecdote*, 75 Judicature 269 (1992).

During this period, the Supreme Court decided a number of cases involving different aspects of Rule 11. In *PAVELIC & LEFLORE v. MARVEL ENTERTAINMENT GROUP*, 493 U.S. 120, 110 S.Ct. 456, 107 L.Ed.2d 438 (1989), the Court held that a law firm could not be sanctioned under the rule for a frivolous pleading signed by a member of the firm, generating a vigorous dissent by Justice Marshall, who argued that the Court had effectively created “an immunity” for law firms under the Rule. In *COOTER & GELL v. HARTMARX CORP.*, 496 U.S. 384, 110 S.Ct. 2447, 110 L.Ed.2d 359 (1990), the Court held that sanctions could be imposed upon a party even after the party had taken a voluntary dismissal of the suit, stating that the standard for determining whether sanctions were appropriate was “whether, at the time the attorney filed the pleading or other paper, his legal argument would have appeared plausible.” *Id.* at 403–04, 110 S.Ct. at 2459–60, 110 L.Ed.2d at 380–81.

In *BUSINESS GUIDES, INC. v. CHROMATIC COMMUNICATIONS ENTERPRISES, INC.*, 498 U.S. 533, 111 S.Ct. 922, 112 L.Ed.2d 1140 (1991), the Court held that Rule 11 imposed an objective standard of reasonable inquiry on a represented party who signed papers, whether the signatures were required or voluntary. Business Guides, Inc. sought a temporary restraining order through its law firm against the publication of a directory by Chromatic Communications Enterprises, Inc., on the ground that Chromatic had copied phone listings from the Business Guides, Inc. guide. Business Guides claimed to know of the copying because Chromatic had “reprinted” ten seeded listings, i.e., listings that Business Guides had deliberately printed incorrectly in order to be able to prove the copying. When the judge’s law clerk asked to check the listings, however, Business Guides retracted its claim that three of the ten listings were seeds. The clerk, after calling the numbers, discovered that nine of the ten supposedly incorrect listings were actually valid numbers and thus were not valid proof of copying. Although Chromatic did not in the end pursue sanctions against the law firm because the firm had become insolvent, a magistrate recommended that both Business Guides and the law firm be sanctioned (the firm for not investigating further when the first three listings were retracted by Business Guides), and the Supreme Court upheld the sanctions imposed against Business Guides. The Court equated the standards applicable to attorneys with those of represented parties. Justice Kennedy dissented, arguing that it is an abuse of discretion to sanction a represented party “who acts in good faith but errs as to the facts.” *Id.* at 555, 111 S.Ct. at 935, 112 L.Ed.2d at 1101.

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In 1993, Rule 11 again was amended and this version remains in effect. The 1993 amendment aimed at curbing some of the abuses associated with the 1983 rule and abrogated Supreme Court decisions that were regarded as wrong:

- (a) The amendment eliminated mandatory sanctions and restored a regime of discretionary sanctions. Rule 11(c)(1).
- (b) The amendment introduced a “safe harbor provision,” requiring a separate motion for sanctions that may not be filed for at least 21 days after service of the challenged paper. Rule 11(c)(2).
- (c) The amendment clarified that sanctions are for deterrence, not compensation, and may include non-monetary sanctions. Rule 11(c)(4).
- (d) The amendment provided that “[a]bsent exceptional circumstances,” a law firm “must be held jointly responsible” for a violation of the rule committed by a partner, associate, or employee. Rule 11(c)(1).
- (e) The amendment allowed the court, on its own initiative, to order a party or attorney to show cause that Rule 11 has not been violated. Rule 11(c)(3).

The 1993 amendment preserved the signature requirement not just for pleadings but also for any written motion and “other paper” (except discovery), and requires the court to strike an unsigned paper “unless the omission is promptly corrected after being called to the attorney’s or party’s attention.” Rule 11(a). The rule also applies to “later advocating” of a position to the court based on the offending paper. Rule 11(b).

Justice Scalia dissented from the adoption of the 1993 amendment:

The proposed revision would render the Rule toothless, by allowing judges to dispense with sanction, by disfavoring compensation for litigation expenses, and by providing a 21-day “safe harbor”. * * * The Rules should be solicitous of the abused (the courts and the opposing party), and not of the abuser. Under the revised Rule, parties will be able to file thoughtless, reckless, and harassing pleadings, secure in the knowledge that they have nothing to lose: If objection is raised, they can retreat without penalty. The proposed revision contradicts what this court said only three years ago: “Baseless filing puts the machinery of justice in motion, burdening courts and individuals alike with needless expense and delay.” Cooter & Gell [p. 704, *supra*].

Order of the Supreme Court Amending the Federal Rules of Civil Procedure (April 22, 1993), reprinted in 146 F.R.D. 404, 507 (1993) (Scalia, J., dissenting).

As you read the opinion that follows, determine which version of Rule 11 applied to the proceedings, and how the result might have been affected by one or another of the amendments.

HADGES V. YONKERS RACING CORP.
United States Court of Appeals, Second Circuit, 1995.
[48 F.3d 1320, 30 Fed.R.Serv.3d 1165.](#)

FEINBERG, CIRCUIT JUDGE:

[Hedges, a harness racehorse driver, trainer, and owner, had been licensed by the New York State Racing Board in 1972. The license was suspended and revoked in 1974, reissued in 1976, and suspended for a six-month period in 1989.

Hedges was denied the ability to work at a number of racetracks following the 1989 reinstatement of his license. He sued Yonkers Racing Corporation (“YRC”) in both state and federal court for barring him from working at Yonkers Raceway. The federal claim, based on a denial of due process, was dismissed because the court found no state action; the court noted however, that had other tracks (including the Meadowlands in New Jersey) “followed YRC’s decision” state action could have been established. (Based partially on an affidavit that so asserted, it was the court’s understanding that Hedges could work at other tracks in the region.) In his state case, which alleged that he had been blackballed by New York State tracks, the state court ruled against Hedges on all claims.

In 1992 Hedges brought suit in federal district court against the Meadowlands Raceway (a state agency) based on the same claim as in the YRC case. The case settled; before the settlement, however, the Meadowlands’ General Manager submitted an affidavit that, pursuant to a 1992 resolution, the YRC ban would provide a basis for a Meadowlands ban.

Hedges appealed the New York state court decision, and filed a Rule 60(b) motion in the New York federal action requesting that the original decision against him be vacated because the affidavit which had claimed he could work at other tracks was fraudulent. With the Rule 60(b) motion, Hedges and his attorney, William Kunstler, signed statements saying that Hedges had not worked in over four years; neither mentioned the state appeal.

In reply to the Rule 60(b) motion, YRC presented evidence that showed Hedges had raced at Monticello five times in 1991 and seven times in 1993. YRC moved for dismissal and requested that the court impose sanctions on Hedges and possibly Kunstler “for misrepresentation and for failing to disclose the state court action to the district court.” Hedges admitted that he had raced at Monticello but offered the excuse that he had only made a

total of \$100 from the 12 races together. Hedges also submitted a “scratch” sheet that he claimed documented the fact that the New York State Racing Board scratched him (barred him) from a race in 1989 following the re-issuance of his license. YRC later demonstrated, however, that the sheet was from a November 1987 race.

The District Court denied the Rule 60(b) motion, but found that it was “not so frivolous as to warrant Rule 11 sanctions.” The court did ask, however, that Hedges and Kunstler submit papers arguing against the imposition of sanctions for misrepresentation of Hedges’s racing history. Hedges claimed that the erroneous submission of the sheet was a mistake, and that the 1989 scratching incident was a separate one for which he submitted proof in the form of an affidavit. Kunstler claimed that he did not know that the sheet was from 1987, but that the date was irrelevant because the sheet was useful as evidence anyway.]

* * *

Thereafter, in the second ruling on appeal to us, the judge imposed a Rule 11 sanction of \$2,000 on Hedges as an appropriate sanction for his misrepresentations. The judge also censured Kunstler under Rule 11 for failing to make adequate inquiry as to the truth of Hedges’s affidavits and for failing to inform the court of the pending state court litigation. In the course of his opinion, the judge stated:

Mr. Kunstler is apparently one of those attorneys who believes that his sole obligation is to his client and that he has no obligations to the court or to the processes of justice. Unfortunately, he is not alone in this approach to the practice of law, which may be one reason why the legal profession is held in such low esteem by the public at this time.

Kunstler responded in a letter to the court, in which he argued that the court erred in sanctioning his client \$2,000 and in censuring

him. In particular, he objected to the court’s characterization of him as an attorney “who believes that his sole obligation is to his client,” and he objected to the court’s charge that his approach to law practice was in part responsible for the low public esteem for the legal profession. Kunstler went on to state his opinion that the court’s comment was “generated by an animus toward activist practitioners who, like myself, have, over the years, vigorously represented clients wholly disfavored by the establishment.”

The court treated the letter as an application to reargue the sanction issues. Its order denying the application is the third ruling on appeal to us. In that order, the court quoted at length from a recent New York state court opinion criticizing Kunstler’s law partner, Ronald L. Kuby in an entirely unrelated case. * * * The judge’s order further reprimanded Kunstler stating:

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Finally, Mr. Kunstler claims that he is entitled to “consideration” because of his representation of unpopular clients. Undoubtedly an attorney who assumes or is assigned the defense of an unpopular case or client and does so at risk to his practice or standing in the community (such as the fictional attorney Atticus Finch in Harper Lee’s “To Kill a Mockingbird”) is entitled to some consideration. However, an attorney who aggressively and repeatedly seeks to represent unpopular causes or questionable clients for personal reasons of his own is not deserving of any particular consideration. And an attorney who places himself and his causes above the interests of justice is entitled to none.

This appeal from the judgment for YRC in the Rule 60(b) action and from the two April 1994 rulings on sanctions followed.

II. Discussion

* * *

[In Part A, the court upheld the district court’s denial of Rule 60(b) relief.]

* * *

B. Rule 11 sanctions

As we have already noted, not only did the district court rule against Hades regarding his claims of fraud on the court in *Hades I*, but it went on to impose Rule 11 sanctions on both Hades and Kunstler for their own misrepresentations and omissions. This determination was based on two principal grounds: (1) misstatement of the date of the alleged “scratching” incident and (2) misstatement regarding Hades’s lack of work in the years since the YRC ban. In addition, the court based Kunstler’s censure on his failure to inform the court of the state court action. * * *

1. Hades’s sanction

Hades argues that the district court abused its discretion in imposing sanctions on him. YRC argues that the sanctions were justified. We believe that Hades is correct.

In imposing sanctions, the district court apparently did not take into account YRC’s failure to comply with the revised procedural requirements of Rule 11. In this case, YRC did not submit the sanction request separately from all other requests, and there is no evidence in the record indicating that YRC served Hades with the request for sanctions 21 days before presenting it to the court. Thus, YRC denied Hades the “safe-harbor” period that the current version of the Rule specifically mandates. * * *

If Hades had received the benefit of the safe-harbor period, the record indicates that he would have “withdrawn or appropriately corrected” his misstatements, thus avoiding sanctions altogether. Hades did in fact

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correct one of his misstatements by admitting in an affidavit, sworn to on December 28, 1993, just 12 days after YRC asked for sanctions, that he had raced at Monticello in 1991 and 1993. Thus, this misstatement is not sanctionable.

Hades also explained and corrected his misstatement about the 1989 date of the first scratching incident and described another scratching incident in 1989 involving another horse (Dazzling GT). This correction was supported by his own affidavit sworn to on March 17, 1994, and the affidavit of Erik Schulman, sworn to on March 16, 1994. Both were filed with the district court on March 21, 1994, just one week after the court issued its order stating that it was considering imposition of sanctions. Apparently, YRC had not previously requested sanctions on the basis of the scratching incident. Although YRC subsequently questioned whether the Dazzling GT incident described by Hades and Schulman had taken place, the district court did not rely on this as a basis for imposing sanctions. We note that Kunstler also filed an affidavit making similar retractions.

* * *

Rule 11 also provides that a court may impose sanctions on its own initiative. * * * If a court wishes to exercise its discretion to impose sanctions sua sponte, it must “enter an order describing the specific conduct that appears to violate subdivision (b) and directing an attorney, law firm, or party to show cause why it has not violated subdivision (b) with respect thereto.”^k * * * In this case, the court indicated that it was imposing sanctions in response to YRC’s request and did not state that it was imposing sanctions on Hades sua sponte. We doubt that sua sponte sanctions would have been justified here. The advisory committee note on the 1993 amendment specifically states that such sanctions “will ordinarily be [imposed] only in situations that are akin to a contempt of court.” Hades’s conduct did not rise to that level.

Thus, under all the circumstances, particularly the failure to afford Hades the 21-day safe-harbor period provided by revised Rule 11, we believe that the sanction of Hades should be reversed.

2. Kunstler's censure

Like Hades, Kunstler did not receive the benefit of the safe-harbor period. The district court imposed sanctions on Kunstler for failing to adequately investigate the truth of Hades's representations prior to submitting them to the court and for failing to disclose that Hades had brought an action against YRC in New York state court. Kunstler argues that the court's censure of him was an abuse of discretion because the court

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was motivated by a personal or political animus against him and because his conduct was not sufficiently egregious to justify imposition of sanctions.

In our decisions concerning the former version of Rule 11 we have had occasion to address the reasonableness of an attorney's reliance on information provided by a client. In *Kamen v. American Tel. & Tel. Co.*, 791 F.2d 1006 (2d Cir. 1986), the plaintiff brought suit against her employer and supervisors under the Rehabilitation Act of 1973 and state law. Employers are not liable under the Rehabilitation Act unless they receive "[f]ederal financial assistance." 29 U.S.C. § 794. The employer sent letters to the plaintiff's attorney asserting that it did not receive federal financial assistance, but her attorney persisted in prosecuting the Rehabilitation Act suit. The district court agreed with the employer and dismissed the claims. Although plaintiff's attorney had submitted an affirmation stating that his client had advised him that the employer received federal grants, the district court imposed sanctions. We found that the district court abused its discretion because the attorney's reliance on his client's statements was reasonable. * * *

A few years later, we relied on *Kamen* in holding that "[a]n attorney is entitled to rely on his or her client's statements as to factual claims when those statements are objectively reasonable." *Calloway v. Marvel Entertainment Group*, 854 F.2d 1452, 1470 (2d Cir. 1988), rev'd in part on other grounds sub nom. *Pavelic & Leflore v. Marvel Entertainment Group*, 493 U.S. 120, 110 S.Ct. 456, 107 L.Ed.2d 438 (1989). This interpretation is in keeping with the advisory committee notes on former Rule 11, which indicates that the reasonableness of an inquiry depends upon the surrounding circumstances, including

such factors as how much time for investigation was available to the signer; whether he had to rely on a client for information as to the facts underlying the pleading . . . ; or whether he depended on forwarding counsel or another member of the bar.

Advisory committee note on 1983 amendment to Fed.R.Civ.P. 11.

In *Calloway*, at least one of the plaintiff's claims "was never supported by any evidence at any stage of the proceeding," and we affirmed the district court's imposition of sanctions. * * * However, we went on to set forth a procedure for district courts to follow in analyzing whether an attorney has conducted a reasonable inquiry into the facts underlying a party's position.

In considering sanctions regarding a factual claim, the initial focus of the district court should be on whether an objectively reasonable evidentiary basis for the claim was demonstrated in pretrial proceedings or at trial. Where such a basis was shown, no inquiry into the adequacy of the attorney's pre-filing investigation is necessary.

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* * *

The new version of Rule 11 makes it even clearer that an attorney is entitled to rely on the objectively reasonable representations of the client. No longer are attorneys required to certify that their representations are "well grounded in fact." * * * The current version of the Rule requires only that an attorney conduct "an inquiry reasonable under the circumstances" into whether "factual contentions have evidentiary support." * * * Thus, the new version of Rule 11 is in keeping with the emphasis in *Calloway* on looking to the record before imposing sanctions.

In its first sanction decision in April 1994, the district court here stated:

With respect to plaintiff's counsel, William M. Kunstler, the situation is not quite as clear. There is nothing to indicate that, on the serious factual misrepresentations made in plaintiff's papers, Mr. Kunstler had independent knowledge of their falsity. However, it is equally clear that he made no attempt to verify the truth of the plaintiff's representations prior to submitting them to the court.

Apparently, the district court did not focus, as Rule 11 now requires, on whether the pretrial proceedings provided "evidentiary support" for the factual misrepresentations with which the court was concerned.

It is clear that the record before the district court contained evidentiary support for Kunstler's incorrect statements. As to the scratching incident, the record included a sworn statement by Hades describing an October 1989 incident in which he claimed to have been scratched from driving the horse "Me Gotta Bret." A scratch sheet, which did not reveal the year in which it was made out, was also part of the record. Kunstler later submitted an affidavit admitting the error and stating that he had no idea that the 1989 date was wrong. He further maintained that regardless of its date, the scratch sheet was relevant to show collaboration between the Racing Board and YRC in 1987, which would subject the latter to § 1983 liability. Moreover, it appears to be undisputed that most of the evidence YRC produced to persuade the court that the event had taken place in 1987 was within its possession, not Hades's. See *Kamen*, 791 F.2d at

1012 (noting reasonableness of relying on client representations where “the relevant information [is] largely in the control of the defendants”).

We also believe that the record contained evidentiary support for the claim that Hedges had not worked for four years. At the time the district court granted YRC summary judgment in Hedges’s Rule 60(b) action, it had before it Hedges’s affidavit asserting that he had written to racetrack General Managers asking for driving privileges and had not received any replies. The record also contained attorney Faraldo’s affidavit asserting

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that Hedges had followed his advice in writing these letters. Moreover, Kunstler represented Hedges in the Meadowlands suit in which Meadowlands admitted banning Hedges based upon the YRC ban. We believe that in light of his familiarity with the Meadowlands litigation and the sworn statements of his client and another attorney, Kunstler had sufficient evidence to support a belief that Hedges had not participated in harness horseracing in New York since the YRC ban. * * *

The district court also believed that censure of Kunstler was justified because “he had to be aware of the recent state court litigation, still on appeal, but made no mention of it in his initial papers.” Kunstler concedes that he was aware of this litigation but maintains that he did not believe that it was necessary to bring the proceedings to the court’s attention because the New York Supreme Court had not ruled on the merits of the state law blackballing claim. As noted above, we agree with the view that the state court opinion was not a decision on the merits of that issue. Even if it were, there would be no tactical advantage in not mentioning the state court ruling to the district court since YRC was a party to both actions (indeed, it was represented by the same law firm and the same attorney in both actions) and could be expected to inform the district court of the state court action if it were helpful.

Moreover, the portion of the court’s opinion in the Rule 60(b) action that listed the possible bases for imposition of sanctions omitted any reference to Kunstler’s nondisclosure of the state court action. Rule 11 specifically requires that those facing sanctions receive adequate notice and the opportunity to respond. * * * Although YRC had requested sanctions on this ground, as discussed above, that request was procedurally improper. Thus, although Kunstler would have been wiser to alert the court to the state court proceedings, the nondisclosure was not a proper ground for sanctioning him.

* * *

Finally, the remarks of the district court, which we have quoted in substantial part above, contribute to our conclusion that the sanction of Kunstler was unjustified. These remarks have the appearance of a personal attack against Kunstler, and perhaps more broadly, against activist attorneys who represent unpopular clients or causes. We find the court’s criticism of Kunstler’s law partner, Ronald L. Kuby, for his activities in *another* case, especially unwarranted. For all these reasons, we reverse the imposition of the sanction of censure on Kunstler.

* * *

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NOTES AND QUESTIONS

1. What constitutes a “reasonable” inquiry under Rule 11(b)(2)? In *GOLDEN EAGLE DISTRIBUTING CORP. v. BURROUGHS CORP.*, 801 F.2d 1531 (9th Cir. 1986), rehearing denied with a dissenting opinion, 809 F.2d 584 (9th Cir. 1987), plaintiff’s counsel cited a 1965 California Supreme Court case supporting its argument but did not cite a 1979 California Supreme Court opinion that was inconsistent with the 1965 case. Counsel distinguished the later case in its reply brief after it had been cited by the opposition, arguing that the 1965 case had not been overruled. Counsel did not address two intermediate court opinions that discussed the effect of the 1979 opinion on the 1965 opinion. The district court held that Rule 11 sanctions were appropriate for counsel’s failing to cite adverse authority, on the view that “[t]here would be little point to Rule 11 if it tolerated counsel making an argument for the extension of existing law disguised as one based on existing law.” 103 F.R.D. 124, at 127 (1984). The Ninth Circuit reversed.

The text of the Rule, however, does not require that counsel differentiate between a position which is supported by existing law and one that would extend it. The Rule on its face requires that the motion be either one or the other. Moreover, there is nothing in any of the statements of the proponents of the amended Rule or in the authorities we have surveyed since its adoption which suggests such a requirement.

801 F.2d at 1539–40. Does the 1993 amendment change the result?

2.Does the standard of plausible pleading affect Rule 11? The consensus is that under the 1993 version of Rule 11, sanctions are not warranted simply because a complaint does not survive a Rule 12(b)(6) motion. However, one commentator reports that post-*Iqbal*, “there has been a veritable explosion of threatened sanctions,” observing that “one district judge has been citing Rule 11 alongside *Twombly* and *Iqbal* [p. 617 and p. 628, supra] as the standard governing the sufficiency of a plaintiff’s complaint.” Cooper, *Iqbal’s Retro Revolution*, 46 Wake Forest L.Rev. 937, 964 (2011). In addition, questions have been raised whether the plausibility standard forecloses the kind of complaints that were assumed to be permissible under Rule 11(b)(3)—when plaintiff alleges that specifically identified factual contentions “will likely have evidentiary support.” See Spencer, *Plausibility Pleading*, 49 B.C.L.Rev. 431, 471 (2008). Does this mean that plausibility under Rule 8 is linked “to the likelihood of discovery producing evidentiary support”? See Hartnett, *Taming Twombly, Even After Iqbal*, 158 U.Pa.L.Rev. 473, 506 (2010).

3.Congress has authorized claim-specific sanctions in particular statutes. Sanctions under the Private Securities Litigation Reform Act, see p. 654, supra, closely resemble those available under the 1983 version of Rule 11 and are mandatory once a violation of the sanction provision is found.

Congress also has authorized courts to award attorney’s fees to a prevailing defendant in a civil rights case if plaintiff’s claim is found to be frivolous, unreasonable,

or groundless. See § 706(k) of Title VII of the Civil Rights Act of 1964, 42 U.S.C. § 2000e–5(k) (1988) (employment discrimination actions).

4. Courts have statutory authority under 28 U.S.C. § 1927 to impose excess costs on an attorney “who so multiplies the proceedings in any case unreasonably and vexatiously.” Courts also have inherent power to sanction parties, and this power is neither constrained nor supplanted by Rule 11 or 28 U.S.C. § 1927. In *CHAMBERS v. NASCO, INC.*, 501 U.S. 32, 111 S.Ct. 2123, 115 L.Ed.2d 27 (1991), the Supreme Court held, five-to-four, in an opinion authored by Justice White, that the district court properly imposed sanctions as a matter of inherent power when the offending party engaged in bad faith activity that abused the judicial process. Justice Kennedy dissented and criticized the use of inherent authority in this situation: “By inviting district courts to rely on inherent authority as a substitute for attention to the careful distinctions contained in the rules and statutes, today’s decision will render these sources of authority superfluous in many instances.” *Id.* at 67, 111 S.Ct. at 2144, 115 L.Ed.2d at 59.

Although Rule 11 sanctions have declined since 1993, there appears to be an uptick in sanctions imposed either as a matter of inherent authority or under 28 U.S.C. § 1927 in situations in which the procedural protections of Rule 11 “have not been or could not be met.” Hart, *And the Chill Goes On—Federal Civil Rights Plaintiffs Beware: Rule 11 vis-à-vis 28 U.S.C. § 1927 and the Court’s Inherent Power*, 37 Loy.L.A.L.Rev. 645, 647–48 (2004). Moreover, although there is circuit disagreement as to whether sanctions may be imposed on pro se litigants under 28 U.S.C. § 1927, some courts elide the statutory barrier by relying on their inherent authority. See Whitt, *The Split on Sanctioning Pro Se Litigants Under 28 U.S.C. § 1927: Choose Wisely When Picking a Side, Eighth Circuit*, 73 Mo.L.Rev. 1365 (2008).

5. Does a court have inherent authority to award attorney’s fees as a sanction absent a showing of bad faith? In *WILSON v. CITIGROUP*, 702 F.3d 720 (2d Cir. 2012), the Second Circuit reversed an order of attorney’s fees imposed on counsel for filing opposition papers four days after the court-ordered deadline but consistent with a schedule to which all parties had consented. The appeals court found that the party had done “nothing to warrant a sanction,” underscoring that he had “disobeyed no order of the district court and caused no prejudice to opposing counsel.” Moreover, the appeals court underscored that it was an abuse of discretion to impose sanctions without first making a finding of bad faith and giving counsel notice:

Our case law is clear that a district court may not impose attorney’s fees as a sanction without first making an explicit finding that the sanctioned party, whether a party or a party’s counsel, acted in bad faith in engaging in the sanctionable conduct. * * * Here, it is undisputed that the district court made no “explicit finding” that * * * [the] untimely submission of its opposition papers * * * was in bad faith. * * *

Id. at 724.

6. In *KING v. WHITMER*, 556 F.Supp.3d 680 (E.D.Mich. 2021), plaintiffs filed an unsuccessful suit against the Michigan Governor and Secretary of State—among others—alleging violations of federal and state law in connection with the 2020 presidential election. After the case was dismissed voluntarily, the district court imposed sanctions on nine of the plaintiffs’ attorneys under 28 U.S.C. § 1927, Rule 11, and the court’s inherent authority. The court’s 110-page opinion began by observing:

This lawsuit represents a historic and profound abuse of the judicial process. * * * Individuals may have a right (within certain bounds) to disseminate allegations of fraud unsupported by law or fact in the public sphere. But attorneys cannot exploit their privilege and access to the judicial process to do the same. And when an attorney has done so, sanctions are in order. * * * The attorneys who filed the instant lawsuit abused the well-established rules applicable to the litigation process by proffering claims not backed by law; proffering claims not backed by evidence (but instead, speculation, conjecture, and unwarranted suspicion); proffering factual allegations and claims without engaging in the required prefiling inquiry; and dragging out these proceedings even after they acknowledged that it was too late to attain the relief sought.”

The sanctions ordered by the district court included: (1) an obligation to complete 12 hours of continuing legal education—six hours on pleading standards and six hours on election law; (2) a referral for investigation and possible suspension or disbarment to the appropriate authorities in Michigan and the states in which they were admitted to practice; and (3) an award of attorney’s fees and costs, which the court ultimately calculated to be over \$175,000. See *King v. Whitmer*, 2021 WL 5711102 (E.D.Mich. 2021). As of this writing, the sanctions ruling is on appeal to the Sixth Circuit.

7. Rule 11 remains hotly debated. Some commentators see a social value in “meritless” litigation as a spur to legal innovation. See Reinert, *Screening Out Innovation: The Merits of Meritless Litigation*, 89 Ind.L.J. 1191 (2014). Indeed, some economists have argued that even frivolous lawsuits may have a positive effect on deterrence. See Stone & Miceli, *The Impact of Frivolous Lawsuits on Deterrence: Do They Have Some Redeeming Value?*, 10 J.L.Econ. & Pol’y 301 (2014). Still other commentators question whether litigation abuse is a widespread problem, and emphasize the democratic value of keeping the courts open for redress. See Miller, *Are the Federal Courthouse Doors Closing? What’s Happened to the Federal Rules of Civil Procedure?*, 43 Tex.Tech.L.Rev. 587 (2011). On the other hand, some lawmakers have urged a return to mandatory sanctions as a way to curb excessive litigation costs and to retain competitive markets. See Lawsuit Abuse Reduction Act of 2017, S. 237, 115th Cong. (proposing to withdraw Rule 11’s 21-day safe harbor provision and mandate sanctions).

^aAs in original.

^bAlteration in original.

^cAlteration in original.

^dAlteration in original.

³ The dissent greatly oversimplifies matters by suggesting that the Federal Rules somehow dispensed with the pleading of facts altogether. * * * While, for most

types of cases, the Federal Rules eliminated the cumbersome requirement that a claimant “set out *in detail* the facts upon which he bases his claim,” *Conley v. Gibson* * * * (emphasis added), Rule 8(a)(2) still requires a “showing,” rather than a blanket assertion, of entitlement to relief. Without some factual allegation in the complaint, it is hard to see how a claimant could satisfy the requirement of providing not only “fair notice” of the nature of the claim, but also “grounds” on which the claim rests. See 5 Wright & Miller § 1202, at 94, 95 (Rule 8(a) “contemplate[s] the statement of circumstances, occurrences, and events in support of the claim presented” and does not authorize a pleader’s “bare averment that he wants relief and is entitled to it”).

^eAlteration in original.

^fThe dissent takes heart in the reassurances of plaintiffs’ counsel that discovery would be “ ‘phased’ ” and “limited to the existence of the alleged conspiracy and class certification.” * * * But determining whether some illegal agreement may have taken place between unspecified persons at different ILECs (each a multibillion dollar corporation with legions of management level employees) at some point over seven years is a sprawling, costly, and hugely time-consuming undertaking not easily susceptible to the kind of line drawing and case management that the dissent envisions. Perhaps the best answer to the dissent’s optimism that antitrust discovery is open to effective judicial control is a more extensive quotation of the authority just cited, a judge with a background in antitrust law. Given the system that we have, the hope of effective judicial supervision is slim: “The timing is all wrong. The plaintiff files a sketchy complaint (the Rules of Civil Procedure discourage fulsome documents), and discovery is launched. A judicial officer does not know the details of the case the parties will present and in theory *cannot* know the details. Discovery is used to find the details. The judicial officer always knows less than the parties, and the parties themselves may not know very well where they are going or what they expect to find. A magistrate supervising discovery does not—cannot—know the expected productivity of a given request, because the nature of the requester’s claim and the contents of the files (or head) of the adverse party are unknown. Judicial officers cannot measure the costs and benefits to the requester and so cannot isolate impositional requests. Requesters have no reason to disclose their own estimates because they gain from imposing costs on rivals (and may lose from an improvement in accuracy). The portions of the Rules of Civil Procedure calling on judges to trim back excessive demands, therefore, have been, and are doomed to be, hollow. We cannot prevent what we cannot detect; we cannot detect what we cannot define; we cannot define ‘abusive’ discovery except in theory, because in practice we lack essential information.” Easterbrook, *Discovery as Abuse*, 69 B.U.L.Rev. 635, 638–639 (1989).

^fAlteration in original.

^gForm 9 was renumbered as Form 11. All of the forms were abrogated in 2015, see p. 639, Note 3, *infra*.

^hAlteration in original.

ⁱAlteration in original.

^jAlteration in original.

⁴Defendants are correct in characterizing the majority of the allegations as conclusions of law as most of them apply law to the facts of Plaintiff’s case. See *James v. City of Wilkes-Barre*, 700 F.3d 675, 681 (3d Cir. 2012). We give one example. Paragraph 128 of the third amended complaint alleges: “Defendants violated Plaintiff’s right of Due Process by terminating Plaintiff without written notice of alleged misconduct and failing to provide a fair and impartial adjudication hearing.”

⁵For example, among many other abstract allegations of law, Plaintiff alleges:

121. In order to demonstrate a procedural due process violation, “a plaintiff must show that (1) she was deprived of an individual interest encompassed within the Fourteenth Amendment’s protection of life, liberty, or property, and that (2) the procedures available to her did not provide due process of the law.” *Mayo v. Bangor Area School Dist.*, 2013 WL 3716533 (E.D. Pa. 2013) (internal citations omitted).

(Doc. 39, Third Am. Compl. ¶ 121).

^kThe language of this provision has been altered without any change in substance.

CHAPTER 9

JOINDER OF CLAIMS AND PARTIES:
EXPANDING THE SCOPE OF THE CIVIL ACTION



This chapter examines procedures that allow multiple claims and parties to be combined in one lawsuit. Common law procedure stayed close to a bilateral model in which one plaintiff sued one defendant on one cause of action. See Sunderland, *Joinder of Actions*, 18 Mich.L.Rev. 571 (1920). As social and commercial relations became increasingly complex, the inability to resolve intricate disputes in one proceeding generated piecemeal litigation marred by delay, cost, and unfairness. Broadly speaking, joinder rules today fall into one of two categories: permissive rules, which give a litigant the option of joining parties and claims in a single lawsuit; and mandatory rules, which require a litigant to do so. It is important to remember that the question of joinder is separate from whether the court may exercise jurisdiction over the claim or party to be added. See Federal Rule 82.

A. IDENTIFYING PARTIES WHO MAY SUE AND BE SUED

Read Federal Rule of Civil Procedure 17 and the accompanying materials in the Supplement.

ELLIS CANNING CO. v. INTERNATIONAL HARVESTER CO.
Supreme Court of Kansas, 1953.
[174 Kan. 357, 255 P.2d 658.](#)

PARKER, JUSTICE. * * *

In its petition plaintiff alleged that in furnishing service on its tractor defendant negligently started a fire in that vehicle resulting in

damage amounting to \$479.79; that plaintiff was insured in The Potomac Insurance Company against the loss, under a policy containing a subrogation clause; that it had been paid in full for the amount of its loss; and that it had

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commenced and was maintaining the action to recover such amount in its own name for the use and benefit of the insurance company.

Defendant’s amended answer denied *seriatim* all acts of negligence * * *; admitted all allegations of that pleading respecting insurance, the amount of the loss, and the fact such loss had been fully paid by the insurance company; and then, in the third paragraph thereof, * * * alleged and charged, that since plaintiff was seeking to recover the amount paid to it by the insurer as full compensation for the loss of the tractor, the insurance company was the real party in interest and plaintiff had no legal right to maintain the action.

Plaintiff’s motion to strike paragraph three of the answer and its demurrer to the same paragraph of that pleading * * * were overruled by the trial court. This appeal followed.

The appellant insists, the appellee concedes, and we agree, the sole question involved is whether the insured (appellant), after having been paid the full amount of its loss, is a real party in interest and legally entitled to maintain this action, for the use and benefit of the insurer, to recover such loss from the party (appellee), whose negligence is alleged to be responsible therefore. The question thus raised is not new in this jurisdiction and we frankly concede is one on which there is apparent conflict in our decisions.

Subject to certain exceptions, not here involved, our statute, G.S.1949, 60–401, requires that “Every action must be prosecuted in the name of the real party in interest.” Given its common and accepted meaning, particularly where—as here—it must be conceded the appellant is no longer directly interested in the subject matter of the litigation, it would seem that, in and of itself, language of the statute would compel a negative answer to the question now under consideration. * * *

Notwithstanding, earlier decisions * * * holding that in the situation disclosed by the pleadings in the case at bar, the insurer is the real and only party in interest and must undertake the maintenance of the action for his reimbursement, it must and should be frankly admitted that in * * * [two decisions], as appellant contends, we held the insured might maintain the action in his own name for the use and benefit of the insurer. Be that as it may it must be conceded, that fully aware of the rule announced in those cases, we have repudiated what was there said and held with respect to such rule and now recognize and adhere to the doctrine that under the facts and circumstances disclosed by such pleadings an insured who has been fully paid for his loss is not the real party in interest * * * and hence cannot maintain an action to recover the amount of such loss in his own name for the use and benefit of the insurer. Conversely stated, the rule now recognized and applied is, that under the confronting conditions and circumstances the right of action against the alleged wrongdoer vests

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wholly in the insurer who * * * may, and indeed must, bring the action as the real and only party in interest if one is to be maintained. * * *

The judgment is affirmed.

NOTES AND QUESTIONS

1. The real-party-in-interest rule is justified by the need to foreclose duplicative lawsuits, to assert all defenses in one action, and to avoid prejudice. See *The Ezra Charitable Trust v. Rent-Way, Inc.*, 136 F.Supp.2d 435, 443 (W.D. Pa. 2001). How does Rule 17 achieve these goals? Is the rule redundant of the governing applicable substantive law? Some courts and commentators see no need for the rule and have argued for its elimination. See *Virginia Elec. & Power Co. v. Westinghouse Elec. Corp.*, 485 F.2d 78, 83 (4th Cir. 1973) (“ ‘Rule 17(a) is a barnacle on the federal practice ship. It ought to be scraped away.’ ”) (quoting Kennedy, *Federal Rule 17(a): Will the Real Party in Interest Please Stand?*, 51 Minn.L.Rev. 675, 724 (1967)); Entman, *More Reasons for Abolishing Federal Rule of Civil Procedure 17(a): The Problem of the Proper Plaintiff and Insurance Subrogation*, 68 N.C.L.Rev. 893 (1990).

2.If the party designated in the original complaint is not the real party in interest, should a substitution of the proper party be given retroactive effect to the date of the original complaint for statute-of-limitations purposes? Federal Rule 17(a) was amended in 1966 to add the provision that no action shall be dismissed because it was not prosecuted in the name of the real party in interest until a reasonable time has been allowed for substitution. The Advisory Committee’s Notes to Rule 17, which appear in the Supplement, specifically limit the application of this passage to cases in which the proper party to sue is difficult to ascertain or when an excusable mistake has been made. What is the relation between this rule and Rule 15? See Section E, p. 688, *supra*.

3.Apart from Rule 17, two other concepts are relevant to determining who may sue or be sued—“capacity” and “standing.”

Capacity refers to the ability of a party to enforce rights or to be sued by others. Capacity rules are designed to protect a party by ensuring that the party’s interests are adequately represented. Real-party-in-interest rules serve to protect the opposing party’s interests by ensuring that only the litigant who has a true stake in the outcome can sue or be sued. This prevents situations in which a person first might be sued by the person who holds the nominal title to a claim, and after successfully defending that claim, is subjected to a second action by the real party in interest. The federal system and many states have special rules to deal with suits by or against minors and incompetent persons. See Rules 17(b) and 17(c).

Standing is a constitutional requirement under Article III of the United States Constitution for actions in federal court and focuses on who may

invoke the power of the Court to redress an injury. State judicial systems have similar requirements derived from state law. See Hershkoff, *State Courts and the*

“*Passive Virtues*”: *Rethinking the Judicial Function*, 114 Harv.L.Rev. 1833 (2001). Federal doctrine requires plaintiff to allege a “personal injury fairly traceable to the defendant’s allegedly unlawful conduct and likely to be redressed by the requested relief.” *Allen v. Wright*, 468 U.S. 737, 751, 104 S.Ct. 3315, 3324, 82 L.Ed.2d 556, 569 (1984). The requirement of standing reflects limits on judicial power and the need for a party with an actual interest in the dispute to ensure adversarial presentation.

It is possible to have a case in which a real party in interest (the beneficiary of a will, for example) lacks capacity to sue (perhaps because the party is a minor). Moreover, even if this hypothetical beneficiary had capacity to sue, standing to raise particular claims might be lacking. So, for example, the beneficiary of the will might not be able to bring an action against the government on the ground that a tax imposed on the estate is used for illegal purposes; any alleged injury is of a general nature, not particular to the litigant, and hence the beneficiary lacks standing to sue.

4. SPRINT COMMUNICATIONS CO. v. APCC SERVICES, INC., 554 U.S. 269, 128 S.Ct. 2531, 171 L.Ed.2d 424 (2008), involved the requirement that long-distance phone carriers, in the days before mobile phones became ubiquitous, compensate pay phone companies when consumers dial 1-800 numbers or use charge cards. The pay phone companies, to save costs, assigned their claims to firms called aggregators who, as assignees, filed and litigated the suit for a fee. The Supreme Court divided, five-to-four, on whether the assignee, who held legal title to the aggregated claims, could be treated as the real party in interest for purposes of Article III standing even though the assignee was required to remit all of the recovery, less a flat fee, to the assignor. The dissent, finding that the assignee lacked standing, argued that the majority impermissibly treated the right to sue as “a marketable commodity,” rather than as a “personal claim.” The dissent went on to explain: “The absence of any right to the substantive recovery means that respondents cannot benefit from the judgment they seek and thus lack Article III standing. ‘When you got nothing, you got nothing to lose.’ Bob Dylan, *Like A Rolling Stone*, on Highway 61 Revisited (Columbia Records 1965).” *Id.* at 301, 128 S.Ct. at 2550, 171 L.Ed.2d at 447. Do you agree that the assignee had “nothing to lose”?

B. JOINDER OF CLAIMS

1.HISTORICAL LIMITATIONS ON THE PERMISSIVE JOINDER OF CLAIMS

HARRIS v. AVERY

Supreme Court of Kansas, 1869.
[5 Kan. 146.](#)

VALENTINE, JUSTICE. This action was brought in the court below by Avery * * *. The petition states two causes of action,—false imprisonment and slander,—and alleges that both arose out of the same transaction.

Harris demurred to this petition, on the ground “that it appears on the face of the petition that several causes of action are improperly joined.” The district court overruled the demurrer, and this ruling is assigned as error. The petition shows that the two causes of action are founded upon the following facts: Harris met Avery in the city of Fort Scott, and, in the presence of several other persons, called Avery a thief; said he had a stolen horse; took the horse from Avery, and kept the horse for four or five days; arrested Avery, and confined him in the county jail with felons four or five days. We think these facts, as detailed in the petition, constitute only one transaction, * * * and whether they constitute more than one cause of action, under our Code practice, may be questionable. * * * But as we have not been asked to decide the latter question, we will pass it over and treat the case as though the facts stated constitute two causes of action.

Section 89 of the Code (Comp.Laws, 138,) provides “that the plaintiff may unite several causes of action in the same petition, whether they be such as have heretofore been denominated legal or equitable, or both, when they are included in either one of the following classes: First, *the same transaction* or transactions connected with the same subject of action.” This differs in many respects from the common-law rule. At common law, “where the same form of action may be adopted for several distinct injuries, the plaintiff may, in general, proceed for all in one action, though the several rights affected were derived from different titles,” (1 Chit.Pl. 201; Tidd, Pr. 11;) and different forms of action may be united, “where the same plea may be pleaded and the same judgment given on all the counts of the declaration, or whenever the counts are of the same nature, and the same judgment is to be given on them, although the pleas be different.” 1 Chit.Pl. 200.

In the action at bar, if Harris had arrested Avery on a warrant, which Harris had maliciously and without probable cause obtained from a court of competent jurisdiction, and had also converted the horse to his own use, then at common law Avery would have had three distinct causes of action, which he could unite in one suit: *First*, an action for the false imprisonment or malicious prosecution; *second*, an action of slander for the words spoken; and, *third*, an action of trover for the conversion of the horse. These may all be united in an action on the case, * * * trover being a species of case. Avery might, also, at common law unite with these causes of action as many other causes of action as he might have, for malicious prosecution, slander, trover, criminal conversation, nuisance, and other causes of action which may be sued in an action on the case, and although they each may have arisen out of a different transaction, and at a different time, and in a different place. But if Harris arrested Avery without any process—which was the fact in this case—and in an entirely irregular manner, then the two causes of action for false imprisonment and slander could not at common law be united, as the

first would have to be sued in an action of

trespass and the second in an action on the case, and it would make no difference whether they both arose out of the same transaction or not. Our Code has abolished all the common-law forms of action * * *. It follows the rules of equity more closely than it does those of the common law, one object seeming to be to avoid the multiplicity of suits, and to settle in one action, as equity did, as far as practicable, the whole subject-matter of a controversy. * * * It is probably true that the two causes of action for false imprisonment and slander cannot, under our Code, be united, unless both arise out of the same transaction, one being an injury to the person and the other being an injury to the character; but we do not know of any reason why they should not be united when both do arise out of the same transaction. * * *

The order of the district court overruling the demurrer to the petition is affirmed.

NOTE AND QUESTIONS

At common law, a plaintiff generally could join claims in a single lawsuit only if they were a part of the same writ and so belonged to the same form of action. The typical code provision authorized joinder of claims when they fell within one of several statutory classes, which ordinarily included the following:

- (a)Contracts, express or implied;
- (b)Injuries to the person;
- (c)Injuries to character;
- (d)Injuries to property;
- (e)Actions to recover real property, with or without damages;
- (f)Actions to recover chattels, with or without damages; and
- (g)Actions arising out of the same transaction or transactions connected with the same subject of the action.

In what ways do these categories differ from the forms of action as guidelines for the joinder of claims? What is the logic of each of these classes? Is the code approach to joinder of claims as described in *Harris* any less formalistic than at common law? See Blume, *A Rational Theory for Joinder of Causes of Action and Defences, and for the Use of Counterclaims*, 26 Mich.L.Rev. 1 (1927).

2.JOINDER OF CLAIMS

Read Federal Rule of Civil Procedure 18 in the Supplement.

NOTES AND QUESTIONS

- 1.Federal Rule 18 removes all obstacles to the joinder of claims and permits the joinder of both legal and equitable matters. The only restriction on the claims that may be joined is imposed by jurisdictional requirements. What are the advantages of permitting the liberal joinder of claims? Are there any disadvantages? How much credence should we give to the efficiency rationale? If each claim is different, are there material efficiency gains?
2. Rule 18 describes the claims that a party is allowed to assert in a single action against an opposing party, but it does not compel joinder. Compare this approach with Michigan’s joinder provision, which is in the Supplement following Rule 18. What are the arguments for a rule of compulsory joinder of all related claims existing between a plaintiff and a defendant? See Friedenthal, *Joinder of Claims, Counterclaims and Cross-Complaints: Suggested Revision of the California Provisions*, 23 Stan.L.Rev. 1, 11–17 (1970); Greenbaum, *Jacks or Better to Open: Procedural Limitations on Co-Party and Third-Party Claims*, 74 Minn.L.Rev. 507, 535–37 (1990). Do you see any disadvantages to the Michigan approach?
3. Rule 18 generally applies at the pleading stage of the lawsuit and is subject to the rules that govern pleadings. At the pleading stage, there is no doctrine of misjoinder of claims. However, Rule 42(b) allows the court to sever claims and to authorize separate trials of claims or issues. Does the availability of severance of claims eliminate all of the objections to permitting unrestricted joinder of claims as an initial matter? To what extent does the court’s power to sever claims prevent the system from achieving the objectives of a liberal joinder rule?
- 4.The doctrine of claim preclusion, addressed in Chapter 17, *infra*, may create incentives for the joinder of claims even in the absence of a rule of compulsory joinder. See Blume, *Required Joinder of Claims*, 45 Mich.L.Rev. 797 (1947). Thus, for example, if A and B are involved in an automobile accident in which A suffers both bodily injury and damage to her automobile, the risk of claim preclusion in a system that defines the claim in terms of transactional relation may lead A to join both claims in one action, even though Federal Rule 18 does not require this result.
- 5.In *SPORN v. HUDSON TRANSIT LINES*, 265 A.D. 360, 38 N.Y.S.2d 512 (1st Dep’t 1942), the court had before it an attempt to join five causes of action for negligence resulting in personal injuries with one cause of action for malicious prosecution. It stated:

The causes of action for negligence and for malicious prosecution are essentially different in nature; each type involves different rules of law; each requires different testimony to establish a case and each carries a different measure of damages. If a single jury were to try both types of action at the one time, there is a strong likelihood that confusion would exist in the minds of the jurors as to the rules of law to be applied to the respective actions and they would undoubtedly

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entertain much difficulty in applying the various parts of testimony introduced to the appropriate cause of action.

Id. at 361, 38 N.Y.S.2d at 514. Would the result in *Sporn* have been different if the action had been brought in a federal court?

C. ADDITION OF CLAIMS

1. COUNTERCLAIMS

The counterclaim in its present form did not exist at common law, although it has well-recognized precursors in set-off and recoupment and in equity practice. The philosophy underlying set-off and recoupment was the common sense view that someone should not be compelled to pay one moment what he will be entitled to recover back the next. Judge Clark outlined the development and theory of set-off and recoupment as follows:

*** At first *** [recoupment] was limited to a showing of payment, or of former recovery. Later, recoupment was developed so as to allow a defendant to show for the purpose of reducing the plaintiff’s recovery any facts arising out of the transaction sued upon or connected with the subject thereof, which facts might have founded an independent action in favor of the defendant against the plaintiff. *** It was not necessary that the opposing claims be liquidated, or that they be of the same character; i.e., a claim in “tort” could be set off against one in “contract.” It was essential, however, that the claims of both plaintiff and defendant involve the same “subject-matter,” or arise out of the “same transaction” ***.

But where the defendant’s claims arose out of a transaction different from that sued upon, the common-law recoupment was unavailable. The defendant, therefore, was compelled to bring a separate suit in order to satisfy his claim against the plaintiff. Equity, at an early date, relieved the defendant of this hardship by allowing a set-off of claims [growing out of a transaction different from the plaintiff’s claim] ***.

Under the set-off ***, it was necessary that the demands either be liquidated, or arise out of contract or judgment. It was necessary, also, that the demands be due the defendant in his own right against the plaintiff, or his assignor, and be not already barred by the statute of limitations ***.

Clark, Code Pleading § 100 (2d ed. 1947). The utility of recoupment was limited because defendant was not permitted to recover affirmative relief; the claim could be used only to reduce or “net out” plaintiff’s recovery. Set-off likewise was limited because the claim had to be for a liquidated amount.

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The movement for procedural reform in the mid-nineteenth century gave passing attention to the problem of defendant’s claims against plaintiff; the original New York Field Code of 1848 made no provision for counterclaims. Amendments in 1852 corrected this omission and permitted as a counterclaim:

- 1.A cause of action arising out of the contract or transaction set forth in the complaint, as the foundation of the plaintiff’s claim, or connected with the subject of the action; and
- 2.In an action arising on contract, any other cause of action arising on contract, and existing at the commencement of the action.

See Blume, *A Rational Theory for Joinder of Causes of Action and Defences, and for the Use of Counterclaims*, 26 Mich.L.Rev. 1, 48 (1927). The English Judicature Act of 1873 eliminated the historic limitations on defendant’s ability to assert claims against plaintiff. Then, at the beginning of the twentieth century, a number of states amended their codes to adopt the English practice.

Read Federal Rules of Civil Procedure 13(a)–(e) and the accompanying materials in the Supplement.

UNITED STATES V. HEYWARD-ROBINSON CO.
United States Court of Appeals, Second Circuit, 1970.
[430 F.2d 1077.](#)

BRYAN, DISTRICT JUDGE.*

This is an appeal from a judgment for the plaintiff entered in the United States District Court for the District of Connecticut ***.

The action involves two subcontracts for excavation work between D’Agostino Excavators, Inc. (D’Agostino) and The Heyward-Robinson Company, Inc. (Heyward) as prime contractor on two construction jobs in Connecticut. One of the prime contracts, for the construction of barracks at the Naval Submarine Base in New London, Groton, was with the federal government (the Navy job). The other, a non-federal job, was for the construction of a plant for Stelma, Inc. at Stamford (the Stelma job).

D’Agostino brought this action against Heyward and its surety, Maryland Casualty Company (Maryland) under the Miller Act * * * to recover payments alleged to be due on the Navy job. Heyward answered, denying liability on the Navy job and counterclaiming for alleged

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overpayments and extra costs of completing both the Navy job and the Stelma job. In reply, D’Agostino denied liability on the Heyward counterclaims and interposed a reply counterclaim to recover from Heyward monies alleged to be due on the Stelma job.

At the trial, the two subcontracts in suit were treated together. D’Agostino claimed that Heyward had breached both subcontracts by failing to make progress payments as required and that substantial sums were owing to it from Heyward on both jobs. Heyward claimed that D’Agostino had breached both subcontracts by permitting its compensation and employee liability insurance to lapse; that, as a result, Heyward on October 19, 1965 had terminated both; and that D’Agostino was liable for overpayments and costs of completion on both.

The issue as to whether Heyward had breached the subcontracts prior to October 19, 1965, when Heyward claimed to have terminated them, was submitted to the jury as a special question. The jury found that Heyward had breached the subcontracts prior to that date.

After amendment of the complaint by D’Agostino to allege a claim in quantum meruit for the work performed on both jobs, special questions then were submitted to the jury as to the reasonable value of the work performed by D’Agostino on each project and the net amount owed by Heyward to D’Agostino on both. The jury found, in answer to these questions, that the net amount owed by Heyward to D’Agostino on both jobs was \$63,988.36. Judgment against Heyward was rendered accordingly. Under a formula agreed to by the parties, it was determined that the amount due to D’Agostino on the Navy job was \$40,771.46 and judgment was entered against Maryland in that sum.

* * *

I.

Appellants’ initial contention is that the District Court had no jurisdiction over the counterclaims on the Stelma job. They therefore contend that the Stelma claims must be dismissed and that since D’Agostino’s claims on the Navy and Stelma jobs were presented to the jury as inseparable, the judgment below must be reversed.

Appellants urge that the Stelma counterclaims are not compulsory counterclaims over which the federal court acquired jurisdiction ancillary to the jurisdiction which it had over D’Agostino’s Miller Act claim stated in the complaint. They say that these are permissive counterclaims over which the court had no ancillary jurisdiction and which lacked the required independent basis of federal jurisdiction.

This jurisdictional issue is raised for the first time in this Court. In the Court below appellants affirmatively urged that the Stelma counterclaims were compulsory. Nevertheless, it is well settled that lack of federal

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jurisdiction may be raised for the first time on appeal, even by a party who originally asserted that jurisdiction existed or by the court sua sponte. * * *

It is apparent from the record that there is no independent basis of federal jurisdiction over the Stelma counterclaims. Both D’Agostino and Heyward are New York corporations with offices in New York. There is thus no diversity jurisdiction. Clearly there is no jurisdiction under the Miller Act over these counterclaims since the Stelma contract did not involve public work for the federal government.

The question is whether the Stelma counterclaims are compulsory or are permissive. Under the rule in this circuit, if they are permissive there is no Federal jurisdiction over them unless they rest on independent jurisdictional grounds. * * * On the other hand, if they are compulsory counterclaims, they are ancillary to the claim asserted in the complaint and no independent basis of Federal jurisdiction is required * * *.

* * * In *United Artists Corp. v. Masterpiece Productions, Inc.*, 221 F.2d 213 (2d Cir. 1955) * * *, Chief Judge Clark said:

In practice this criterion has been broadly interpreted to require not an absolute identity of factual backgrounds for the two claims, but only a logical relationship between them. *Lesnik v. Public Industrials Corp.*, 2 Cir., 144 F.2d 968, 975, citing and quoting, *inter alia*, *Moore v. New York Cotton Exchange*, 270 U.S. 593, 610, 46 S.Ct. 367, 371, 70 L.Ed. 750, thus: “ ‘Transaction’ is a word of flexible meaning. It may comprehend a series of many occurrences, depending not so much upon the immediateness of their connection as upon their logical relationship.”

* * *

In the case at bar the counterclaims were compulsory within the meaning of Rule 13(a). There was such a close and logical

relationship between the claims on the Navy and Stelma jobs that the Stelma counterclaims arose out of the same “transaction or occurrence” as those terms are now broadly defined. Both subcontracts were entered into by the same parties for the same type of work and carried on during substantially the same period. Heyward had the right to terminate both subcontracts in the event of a breach by D’Agostino of either. Heyward also had the right to withhold monies due on one to apply against any damages suffered on the other. Progress payments made by Heyward were not allocated as between jobs and were made on a lump sum basis for both as though for a single account.

A single insurance policy covered both jobs. The letters of Heyward to D’Agostino of October 8 and 19, 1965 threatening termination and terminating both jobs, allegedly because of the cancellation by D’Agostino of this joint insurance coverage and failure to properly man both projects,

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treated both jobs together. These letters formed the basis of one of Heyward’s major claims at the trial.

The controversy between the parties which gave rise to this litigation was with respect to both jobs and arose from occurrences affecting both. Indeed, it would seem to have been impossible for Heyward to have fully litigated the claims against it on the Navy job without including the Stelma job, because the payments it made to D’Agostino could not be allocated between the two jobs.

As the appellants themselves point out in their brief, the “Stelma and Navy claims were so interwoven at the trial that they are now absolutely incapable of separation.” The proof as to payments and alleged defaults in payments was made without any differentiation between the two claims and neither of the parties was able to offer any evidence of apportionment. Finally, the evidence as to the breaches of contract claimed by the respective parties related in the main to both contracts rather than to one or the other.

The jurisdictional question so belatedly raised by the appellants must be viewed in light of the record as a whole. So viewed, it is plain that the Stelma counterclaims bare [sic] a logical and immediate relationship to the claims on the Navy job. Thus they arose out of the “transaction or occurrence which is the subject matter” of the suit instituted by D’Agostino on the Navy job and are compulsory counterclaims under Rule 13(a). The Stelma counterclaims were thus ancillary to the claims asserted in the complaint over which the Federal Court had acquired jurisdiction under the Miller Act, and there is jurisdiction over them. * * * To require that the closely related Navy and Stelma claims must be litigated separately would result in fragmentation of litigation and multiplicity of suits contrary to one of the major purposes of Rule 13(a). * * *

The judgment below is affirmed.

FRIENDLY, CIRCUIT JUDGE (concurring).

I cannot agree that, as maintained in Part I of the majority opinion, the counterclaim relating to the Stelma job was compulsory * * *. Of course, it is tempting to stretch a point when a jurisdictional objection is so belatedly raised by the very party who clamored for the exercise of jurisdiction until the decision went against it. But we must consider the question as if Heyward had not pleaded the Stelma counterclaim and proceeded to sue D’Agostino in some other court for failure to perform that subcontract, and D’Agostino then claimed that Heyward’s failure to bring the Stelma transaction into this Miller Act suit barred the later action. Despite the desirability of requiring that all claims which in fact arise “out of the transaction or occurrence that is the subject of the opposing party’s claim” be litigated in a single action, courts must be wary of extending these words in a way that could cause unexpectedly harsh results.

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Even on a liberal notion of “logical relation,” * * * I am unable to perceive how Heyward’s claim for breach of the Stelma subcontract arose “out of the transaction or occurrence” to wit, the Navy subcontract, that was the subject matter of D’Agostino’s Miller Act claim. Whatever historical interest there may be in the circumstances that the two subcontracts were entered into between the same parties for the same type of work and were carried on during substantially the same period, these facts seem to me to be lacking in legal significance. So likewise do D’Agostino’s having furnished a single insurance policy to cover both jobs and Heyward’s having cancelled the subcontracts in one letter rather than two. The boiler-plate in each subcontract, whereby “if one or more other contracts, now or hereafter, exist between the parties,” a breach of any such contract by D’Agostino might, at Heyward’s option be considered a breach of the contract at issue and Heyward might terminate any or all contracts so breached and withhold moneys due on any contract and apply these to damages on any other, might meet the test if Heyward had availed itself of these rights, but it did not.

All that is left is that, as the trial proceeded, it turned out that some of Heyward’s payments were not earmarked as between the two subcontracts. However, the determination whether a counterclaim is compulsory must be made at the pleading stage. The complaint was specific on how much Heyward owed on the Navy subcontract, and the counterclaims were equally so on how much D’Agostino owed for failure to complete this and how much it owed for failure to complete the Stelma subcontract. To say that the failure to earmark some payments made it impossible to try the claims separately ignores the law on application of payments. If Heyward did not specify the application of its payments, as it could, and D’Agostino had not made an application of them, as it could in default of specification by Heyward, the court would do this. * * *

* * *

Against all this appellee relied heavily on Southern Construction Co. v. Pickard, 371 U.S. 57, 83 S.Ct. 108, 9 L.Ed.2d 31 (1962). Since the counterclaim there at issue was held not compulsory, the decision can scarcely be authority that a claim like Heyward’s on the

Stelma subcontract was. I think it not only is not such authority but points just the other way. * * *

Nevertheless I think the court below had jurisdiction of the Stelma counterclaim. I would now reject the conventional learning * * * that the permissive counterclaim “needs independent jurisdictional grounds to support it, with one exception,” to wit, set-off * * *. The Supreme Court left this question open in *Moore v. New York Cotton Exchange*, 270 U.S. 593, 609, 46 S.Ct. 367, 70 L.Ed. 750 (1926). * * *

NOTES AND QUESTIONS

1. Federal Rule 13(a) goes beyond the common law and code practice by *requiring* a party to assert certain counterclaims. Is this rule unduly harsh? See Wright, *Estoppel by Rule: The Compulsory Counterclaim Under Modern Pleading*, 38 Minn.L.Rev. 423, 465 (1954), arguing that the rule is “an important part of the movement to end a multiplicity of litigation.” On the other hand, Professor Millar has argued that a rule of compulsory counterclaim may be justified only “when the counterclaim operates by way of defense to the principal claim.” Millar, *Civil Procedure of the Trial Court in Historical Perspective* 138 (1952).

2.The critical question in applying Rule 13(a) is: What constitutes a transaction or occurrence? The classic test is found in *MOORE v. NEW YORK COTTON EXCHANGE*, cited in Judge Friendly’s concurring opinion in the principal case. In *Moore*, plaintiff sought to compel defendant to install a price quotation ticker in plaintiff’s place of business. Defendant counterclaimed for damages, alleging that although plaintiff had been denied permission to use quotations from defendant’s exchange, plaintiff “was purloining them and giving them out.” In the course of holding defendant’s counterclaim compulsory under former Equity Rule 30, the Court said:

* * * “Transaction” is a word of flexible meaning. It may comprehend a series of many occurrences, depending not so much upon the immediateness of their connection as upon their logical relationship. The refusal to furnish the quotations is one of the links in the chain which constitutes the transaction upon which appellant here bases its cause of action. It is an important part of the transaction constituting the subject-matter of the counterclaim. It is the one circumstance without which neither party would have found it necessary to seek relief. Essential facts alleged by appellant enter into and constitute in part the cause of action set forth in the counterclaim. That they are not precisely identical, or that the counterclaim embraces additional allegations, as, for example, that appellant is unlawfully getting the quotations, does not matter. To hold otherwise would be to rob this branch of the rule of all serviceable meaning, since the facts relied upon by the plaintiff rarely, if ever, are, in all particulars, the same as those constituting the defendant’s counterclaim. * * *

Id. at 610, 46 S.Ct. at 371, 70 L.Ed. at 757. How similar is this test to the *Gibbs* approach for determining whether pendent claim jurisdiction may be asserted, p. 353, *supra*?

3.Judicial decisions suggest four inter-related but different tests for determining whether a claim arises out of the same “transaction or occurrence”:

(a)Are the issues of fact and law raised by the claim and counterclaim largely the same?

(b)Would res judicata bar a subsequent suit on defendant’s claim absent the compulsory counterclaim rule?

(c)Will substantially the same evidence support or refute plaintiff’s claim as well as defendant’s counterclaim?

(d)Is there any logical relation between the claim and the counterclaim?

See Kane, *Original Sin and the Transaction in Federal Civil Procedure*, 76 Tex.L.Rev. 1723 (1998). How do these approaches differ from the *Moore* test? What are the strengths and weaknesses of each of these tests?

4.Before the enactment of 28 U.S.C. § 1367, a compulsory counterclaim fell within the ancillary jurisdiction of the federal court and so did not require an independent basis of subject-matter jurisdiction; by contrast a permissive counterclaim did require an independent basis of jurisdiction. In *GREAT LAKES RUBBER CORP. v. HERBERT COOPER CO.*, 286 F.2d 631, 633–34 (3d Cir. 1961), the appellate court explained that the test for whether ancillary jurisdiction exists and whether a counterclaim is compulsory were designed to abolish the same evil:

* * * [T]he issue of the existence of ancillary jurisdiction and the issue as to whether a counterclaim is compulsory are to be answered by the same test. It is not a coincidence that the same considerations that determine whether a counterclaim is compulsory decide also whether the court has ancillary jurisdiction to adjudicate it. The tests are the same because Rule 13(a) and the doctrine of ancillary jurisdiction are designed to abolish the same evil, viz., piecemeal litigation in the federal courts.

We have indicated that a counterclaim is compulsory if it bears a “logical relationship” to an opposing party’s claim. * * * The phrase “logical relationship” is given meaning by the purpose of the rule which it was designed to implement. Thus, a counterclaim is logically related to the opposing party’s claim where separate trials on each of their respective claims would involve a substantial duplication of effort and time by the parties and the courts. Where multiple claims involve many of the same factual issues, or the same factual and legal issues, or where they are offshoots of the same basic controversy between the parties, fairness and considerations of convenience and of economy require that the counterclaimant be permitted to maintain his cause of action. Indeed the doctrine of res judicata compels the counterclaimant to assert his claim in the same suit for it would be barred if asserted separately, subsequently.

With the enactment of 28 U.S.C. § 1367, some circuits have held that supplemental jurisdiction may be exercised over any counterclaim, whether

permissive or compulsory, that logically is “so related” to the claim over which original jurisdiction exists as to form one case or controversy. See p. 364, Note 2, *supra*.

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5.Does the value of a compulsory counterclaim count in determining the amount-in-controversy requirement for diversity jurisdiction? In *Spectacor Management Group v. Brown*, 131 F.3d 120, 121 (3d Cir. 1997), cert. denied, 523 U.S. 1120, 118 S.Ct. 1799, 140 L Ed.2d 939 (1998), defendant elected not to file a motion to dismiss for lack of subject-matter jurisdiction, but instead asserted a compulsory counterclaim in response to the complaint. The Third Circuit held that the amount of that counterclaim should be considered in determining whether the amount-in-controversy threshold had been met. The Supreme Court has not yet addressed this question. Should the joinder of a compulsory counterclaim alleging the amount in controversy for federal diversity jurisdiction make removable an otherwise insufficient state action? The majority of courts have held to the contrary. See *Central Associated Carriers v. Nickelberry*, 995 F.Supp. 1031 (W.D. Mo. 1998).

The Consequences of Failing to Plead a Counterclaim

1. Does Federal Rule 13(a) address the effect of failing to plead a compulsory counterclaim? It seems clear that an unasserted compulsory counterclaim cannot be raised in a subsequent suit in a federal court, see, e.g., *Twin Disc, Inc. v. Lowell*, 69 F.R.D. 64 (E.D.Wis. 1975), although courts differ on whether this conclusion follows from principles of preclusion, waiver, or estoppel. See Scott, *Collateral Estoppel by Judgment*, 56 Harv.L.Rev. 1 (1942) (preclusion); Wright, *Estoppel by Rule: The Compulsory Counterclaim Under Modern Pleading*, 38 Minn.L.Rev. 423 (1954) (estoppel). Should a defendant who defaults in a federal action and fails to file an answer be barred from later filing what would have been the compulsory counterclaim as a separate federal action? See Peterson, *The Misguided Law of Compulsory Counterclaims in Default Cases*, 50 Ariz.L.Rev. 1107 (2008).

Does the failure to bring the claim in federal court prevent defendant from raising it in a subsequent state court action? What if defendant brings suit on the unasserted claim in a state court before the federal action is terminated? Should the state court hearing the alleged counterclaim grant a motion to dismiss based on the assertion that Federal Rule 13(a) bars the state action? Should the federal court hearing plaintiff’s suit restrain further proceedings in the state court? The answer to these questions is not clear from the language of Rule 13 and implicates the federal court’s power to enjoin state court proceedings, see 28 U.S.C. § 2283.

2.Under what circumstances should a defendant be permitted to assert a compulsory counterclaim after the applicable statute of limitations has run? Formerly Rule 13(f) allowed a pleader to obtain leave of the court to assert a counterclaim that was omitted “through oversight, inadvertence, or excusable neglect or if justice so requires.” In 2009, subsection (f) was abrogated, with the aim of making clear that the decision to allow an omitted counterclaim after the statute of limitations has lapsed is governed exclusively by Rule 15 and, like other pleading amendments, may benefit from relation back. See p. 694, *supra*.

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3.Several exceptions to the compulsory counterclaim rule are set out in the text of Rule 13(a) itself. Consider their relevance to the following situations:

(a)In *UNION PAVING CO. v. DOWNER CORP.*, 276 F.2d 468, 470 (9th Cir. 1960), the court discussed the passage in Rule 13(a) providing that waiver will not result from the failure to assert a compulsory counterclaim that already is the subject of litigation pending in another court:

*** The purpose of this exception is seemingly to prevent one party from compelling another to try his cause of action in a court not of the latter’s choosing when the same cause of action is already the subject of pending litigation in another forum, one which was probably chosen by the owner of the cause of action concerned. *** It does not preclude him from electing instead to counterclaim his cause of action ***.

What if defendant has failed to plead a permissive counterclaim? By definition, a permissive counterclaim is not compulsory. However, would it be fair to permit a subsequent pleading of even a permissive counterclaim if its effect is to nullify a judgment that plaintiff won in the initial lawsuit? See Clermont, *Common-Law Compulsory Counterclaim Rule: Creating Effective and Elegant Res Judicata Doctrine*, 79 Notre Dame L.Rev. 1745 (2004).

(b)If defendant has a claim that arises out of the same transaction or occurrence as plaintiff’s claim but it can be brought only against plaintiff and a third person who is required within the meaning of Rule 19 and over whom defendant cannot obtain jurisdiction, is assertion of the claim mandatory? See Rule 13(a)(1)(B).

(c)If, five days after defendant has served her answer, defendant is assigned a claim that arises out of the same transaction or occurrence as plaintiff’s claim against defendant, must defendant amend the answer to allege a counterclaim? See Rule 13(e).

4. In *SOUTHERN CONSTRUCTION CO. v. PICKARD*, discussed in Judge Friendly’s concurring opinion in the principal case, the Southern Construction Company was the prime contractor on contracts with the United States for the rehabilitation of certain barracks at Fort Campbell, Tennessee, and Fort Benning, Georgia. The plumbing and heating subcontractor on both projects was the respondent Samuel J. Pickard, doing business as Pickard Engineering Company. Pickard’s primary supplier on both projects was the Atlas Supply Company.

Pickard filed suit against Southern in district courts in both Georgia and Tennessee under the Miller Act for amounts due on the contracts. Defendant elected to assert its counterclaim for the amount paid in settlement to Atlas in the Tennessee suit, the second of the two suits commenced. Pickard answered that the counterclaim was barred for failure to raise it in the first suit as a compulsory counterclaim.

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The Supreme Court accepted the district court’s ruling that the \$35,000 settlement had not been allocated as between the Tennessee and Georgia projects and that it therefore could have been asserted in either action. It stated, however, that Rule 13(a) does not operate to prohibit its use in the later Tennessee action. The Court found the policy of preventing multiplicity of actions and achieving resolution in a single lawsuit of all disputes arising out of common matters to be inapplicable in these circumstances:

* * * The Rule was particularly directed against one who failed to assert a counterclaim in one action and then instituted a second action in which that counterclaim became the basis of the complaint. * * *

It is readily apparent that this policy has no application here. In this instance, the plaintiff-respondent, who originally sought to combine all his claims in a single suit, correctly concluded that he was required by statute to split those claims and to bring two separate actions in two different districts. The fragmentation of these claims, therefore, was compelled by federal law, and the primary defendant in both actions was thus for the first time confronted with the choice of which of the two pending suits should be resorted to for the assertion of a counterclaim common to both. Under these circumstances, we hold that Rule 13(a) did not compel this counterclaim to be made in whichever of the two suits the first responsive pleading was filed. Its assertion in the later suit, to which Southern, not without reason, considered it more appurtenant * * * by no means involved the circuity of action that Rule 13(a) was aimed at preventing. * * *

Id. at 60–61, 83 S.Ct. at 110, 9 L.Ed.2d at 34–35. Should the *Pickard* exception to Rule 13(a) be limited to the situation in which the governing substantive law requires that related claims be pled as separate actions in separate districts?

5.If defendant’s answer contains a counterclaim, must plaintiff assert a compulsory counterclaim to defendant’s counterclaim? Does it matter whether defendant’s counterclaim is compulsory or permissive? Is a counterclaim to a counterclaim likely to be so confusing that it will prevent the orderly disposition of the case? Would it make any difference if plaintiff amended the complaint to include the claim rather than asserting it as a counterclaim? See Millar, *Counterclaim Against Counterclaim*, 48 Nw.U.L.Rev. 671, 690 (1954).

2.CROSSCLAIMS

Read Federal Rules of Civil Procedure 13(g) and (h) and the accompanying materials in the Supplement.

LASA PER L’INDUSTRIA DEL MARMO SOCIETA PER AZIONI V. ALEXANDER

United States Court of Appeals, Sixth Circuit, 1969.
[414 F.2d 143.](#)

PHILLIPS, CIRCUIT JUDGE.

[The controversy arose out of the construction of the Memphis, Tennessee, City Hall. Southern Builders, a Tennessee corporation, was retained by the City as the principal contractor. Southern Builders’ performance was secured by a bond, with Continental Casualty as surety. Southern Builders subcontracted with Alexander Marble and Tile Co., a partnership comprised of Tennessee residents, and Marble International, Inc., a Texas corporation, to supply and install some marble in the new City Hall. Alexander then contracted with LASA, an Italian corporation, to supply it with marble.

LASA alleged that it had fully performed its contract with Alexander and that Alexander owed it \$127,240.80 out of the \$468,641.26 contract price. It sued Alexander, Marble International, Southern Builders, Continental Casualty, and the City for the balance due.

Alexander filed an answer and counterclaim in which it alleged that LASA had breached the contract by not shipping the marble on time, by shipping marble of the wrong type, by shipping damaged marble, and by failing to ship all the marble it was obligated to ship. Alexander further alleged that the contract price was only \$265,050.00. It sought restitution of the amount it overpaid LASA plus damages resulting from LASA’s breach of contract.

Southern Builders filed an answer and counterclaim. In its counterclaim, Southern Builders alleged that LASA failed to ship marble as agreed to Alexander, and claimed damages resulting from that breach by LASA.

Alexander filed a crossclaim against Southern Builders, Continental Casualty, and the City for money alleged to be due on its contract with Southern Builders. Southern Builders and Continental Casualty filed answers and Southern Builders filed a crossclaim against Alexander for breach of contract.

Alexander filed third-party complaints against A.L. Aydelott and Associates, Inc. and against Aydelott individually, alleging that they, as architects on the project, negligently supervised the project, wrongfully required Alexander to install marble in inclement weather, wrongfully directed Southern Builders to terminate its contract with Alexander, willfully refused to approve Alexander’s estimates for work done, and wrongfully and maliciously injured Alexander’s business reputation. Alexander sought unliquidated actual and punitive damages as well as

treble damages, under a Tennessee statute, for inducing Southern Builders to breach the subcontract.

Alexander also sued Southern Builders for actual and punitive damages resulting from the wrongful termination of its contract and for injury to the business reputation of Alexander.]

* * * The confusion in pleadings that can arise out of cross-claims, counterclaims and a third-party complaint, all involving the same construction project, is demonstrated by the present appeal.

* * *

Among the pleadings were a cross-claim filed by the defendant subcontractor, Alexander, against the prime contractor, its surety and the City of Memphis; a counterclaim filed by the prime contractor against Alexander; and a third-party complaint filed by Alexander against the architect. The third-party complaint was treated by the District Court as a cross-claim against the architect as was the counterclaim of the prime contractor against Alexander.

Construing Rules 13(g) and 13(h) * * *, the District Court dismissed the two cross-claims and the third-party complaint, holding that they do not arise out of the same transaction or occurrence that is the subject matter of the original action or of a counterclaim therein.

We reverse.

* * *

Under the Federal Rules * * * the rights of all parties generally should be adjudicated in one action. Rules 13 and 14 are remedial and are construed liberally. Both Rules 13 and 14 are “intended to avoid circuity of action and to dispose of the entire subject matter arising from one set of facts in one action, thus administering complete and evenhanded justice expeditiously and economically.” Blair v. Cleveland Twist Drill Co., 197 F.2d 842, 845 (7th Cir.). The aim of these rules “is facilitation not frustration of decisions on the merits.” Frommeyer v. L. & R. Construction Co., 139 F.Supp. 579, 585 (D.N.J.).

* * *

The District Court held that no part of Alexander’s cross-claim against the prime contractor, his third-party complaint against the architect or of the prime contractor’s cross-claim against Alexander for breach of contract arose out of the transaction or occurrence that is the subject matter of the original action or the two counterclaims. With deference to the well-written opinion of the District Judge, we disagree.

* * *

The words “transaction or occurrence” are given a broad and liberal interpretation in order to avoid a multiplicity of suits. * * *

Our reading of the pleadings in this case convinces us that there is a “logical relationship” between the cross-claims (including the third party complaint against the architect) and the “transaction or occurrence” that is the subject matter of the complaint and the two pending counterclaims. Although different subcontracts are involved, along with the prime contract and specifications, all relate to the same project and to problems arising out of the marble used in the erection of the Memphis City Hall. The recurring question presented by the various pleadings is directed to the principal issue of who is responsible for the marble problems which arose on this job. Blame is sought to be placed upon plaintiff as furnisher of the marble, upon Alexander as subcontractor, upon the prime contractor and upon the architect. Many of the same or closely related factual and legal issues necessarily will be presented under the complaint, counterclaims and cross-claims in the resolution of these issues. It seems apparent that some of the same evidence will be required in the hearing on the cross-claims and in the hearing or hearings with respect to the complaint and the two pending counterclaims.

We understand it to be the purpose of Rule 13 and the related rules that all such matters may be tried and determined in one action and to make it possible for the parties to avoid multiplicity of litigation. The intent of the rules is that all issues be resolved in one action, with all parties before one court, complex though the action may be.

In support of the decision of the District Court it is argued that, since a jury trial has been demanded, the complications and confusions of the cross-claims are such that it would be impossible to try the numerous issues before the jury in an orderly manner. The short answer to this contention is that the District Judge is authorized by Rule 42(b) to order separate trials on any cross-claim, counterclaim, other claim or issues. If on the trial of this case the District Court concludes that separate trials on one or more of the counterclaims, cross-claims or issues would be conducive to expedition and economy, Rule 42(b) provides a practical solution to this problem.

Reversed and remanded for further proceedings not inconsistent with this opinion.

McALLISTER, SENIOR CIRCUIT JUDGE, dissenting.

* * *

The questions of fact or law involved in the original suit filed by LASA, and the counterclaim for overpayment filed by Alexander, are totally different from Alexander’s claim against Southern Builders, claiming damages on the ground that Southern Builders wrongfully prevented and

obstructed Alexander from performing its duties; wrongfully forced Alexander off the job; wrongfully brought in an outside subcontractor to complete the job at a highly inflated price, all of which was wrongfully and illegally charged to the account of Alexander—as well as Alexander’s allegation in its same cross-claim against Southern Builders charging that Southern Builders and Aydelott entered upon a course of action wrongfully injuring the business reputation of Alexander for which it claimed \$250,000 in punitive damages.

Alexander’s cross-claim against Aydelott for treble damages in the amount of \$750,000 for wrongfully and maliciously damaging Alexander’s business reputation by abuse, harassment and public blame, and wrongfully and illegally inducing and procuring by inducement, persuasion or insistence, the breach and violation of Alexander’s contract with Southern Builders, was an action in tort.

* * *

* * * Alexander’s cross-claim against Aydelott does not arise out of the transaction or occurrence that is the subject matter of the original action—it does not arise out of the transaction or occurrence upon which LASA’s suit is based. Nor does it arise out of “a counter-claim *therein*”—that is, out of a counterclaim in LASA’s suit.

* * *

* * * [W]e are of the opinion that the cross-claims are not related to the original claim and the counterclaims, and that there is no identity of the many factual issues involved in the original claim and counterclaims, and in the cross-claims.

The proofs in LASA’s suit and in Alexander’s and Southern Builders’ counterclaims against LASA would be entirely different from the proofs in Alexander’s cross-claim against Southern Builders and its cross-claim against Aydelott.

* * *

The only claims in this case that arise out of the transaction or occurrence that is the subject matter of the original action *for balance due on a contract* are the counterclaims filed against LASA by Alexander and Southern Builders, claiming breach of that contract—not Alexander’s two cross-claims against Southern Builders and Aydelott for their claimed deliberately malicious, tortious, and damaging conduct, for which Alexander claimed damages of several hundred thousand dollars.

In accordance with the foregoing, in my opinion, the judgments of the District Court should be affirmed in accordance with the opinion of Chief Judge Bailey Brown.

NOTES AND QUESTIONS

1. Is the reasoning of the majority or dissent more persuasive? Should the fact that different subcontracts were involved, which arguably meant that different transactions were before the court, be determinative? Other than by dismissal, how could the court deal with the complexity of the litigation or avoid confusion?
2. Generally, a crossclaim is permissive so that the failure to raise it does not bar suit in a subsequent action. Why should this be so? Doesn't this lead to a multiplicity of suits? Should the rule be different if the crossclaim is transactionally related to plaintiff's original claim? Isn't judicial economy fostered by hearing all transactionally related claims in one suit? Or, is it unfair to force defendants to file crossclaims in a forum not of their own choosing? How would the concept of a compulsory crossclaim have changed the reasoning of both the majority and the dissent in *LASA*?
3. Do the Federal Rules define "coparty" for purposes of a crossclaim? In *EARLE M. JORGENSEN CO. v. T.I. UNITED STATES, LTD.*, 133 F.R.D. 472 (E.D. Pa. 1991), plaintiff filed suit to recover cleanup costs and other damages arising from environmental contamination of real property. T.I. United States, one of seven defendants, impleaded a third-party defendant, Tosti. Another one of the original defendants, Reed, then crossclaimed against Tosti for indemnity and contribution. Tosti moved to dismiss, arguing that he as a third-party defendant and Reed as an original defendant were not "coparties." The court found that Reed and Tosti were coparties, not opposing parties, defining "opposing parties" as "parties that formally oppose each other on a pleaded claim, such as plaintiffs and original defendants, or third-party plaintiffs and the third-party defendants they have joined," and on this ground held that the original defendant could crossclaim against Tosti. *Id.* at 475. Whether an original defendant and a third-party defendant are coparties for purposes of Rule 13 remains unsettled, but *Jorgenson*'s approach comports with the structure of the Federal Rules.
4. Can a plaintiff crossclaim against a co-plaintiff? In *DANNER v. ANSKIS*, 256 F.2d 123 (3d Cir. 1958), the driver and passenger of one car sued the driver of a second car for damages arising out of a two-car collision. The passenger-plaintiff also attempted to crossclaim for her injuries against the driver-plaintiff. The Third Circuit upheld dismissal of the crossclaim, on the view that "Rule 13(g) does not authorize a plaintiff to state as a crossclaim against a co-plaintiff a claim arising out of the transaction or occurrence which also is the subject matter of their common complaint against the defendant." The court added that a contrary reading of the rule "could have the effect of extending the jurisdiction of the district court to controversies not within the federal judicial power." *Id.* at 124. Is the court's reasoning consistent with the language of Rule 13(g)? If the concern is that plaintiffs are engaged in jurisdictional collusion, couldn't the crossclaim be dismissed under 28 U.S.C. § 1359? How does supplemental jurisdiction under 28 U.S.C. § 1367 affect the analysis?
5. When does Rule 13(h) authorize joinder of a party? Can the rule be used to assert a crossclaim against a person who is not already a party to the original action? Can a person who already is a party to the action be made an additional party under Rule 13(h)? Should the rule be read liberally as to encourage judicial economy? In *LASA*, Alexander's claim against the architect, Aydelott, originally was pleaded as a Rule 14 claim. The district court

and the Sixth Circuit treated it as if it were a motion to bring in an additional cross-defendant under Rule 13(h); the courts thus viewed Aydelott as a codefendant on the crossclaims against Southern Builders and the others. Is there a problem with conflating party-joinder under Rule 13(h) with joinder under Rule 14? May a federal court exercise supplemental jurisdiction under 28 U.S.C. § 1367 over parties joined under Rule 13(h) to a compulsory counterclaim?

D. CLAIMS INVOLVING MULTIPLE PARTIES

1.PERMISSIVE JOINDER OF PARTIES

a.Historical Limitations on Permissive Joinder of Parties

At common law, the forms of action—not convenience or economy—controlled whether parties could be joined in a lawsuit. Plaintiffs asserting joint rights were compelled to join their claims in a single action, but a notion of permissive joinder of claims that were not joint did not exist. The rules for joinder of defendants were somewhat more liberal: joint tortfeasors and defendants whose contract obligations were both joint and several could be joined at plaintiff’s option. The equity courts adopted a more flexible approach to the permissive joinder of parties by allowing all persons having an interest in the subject matter of the action or in the relief demanded to join in a single proceeding. The early state codes adopted the equity rule as a general provision, but many state courts read it as imposing a two-part conjunctive test requiring an interest in both the subject matter and the relief requested. See Bone, *Mapping the Boundaries of the Dispute: Conceptions of Ideal Lawsuit Structure from the Field Code to the Federal Rules*, 89 Colum.L.Rev. 1 (1989). Code provisions relating to the joinder of causes of action, which typically required all parties to be interested in each of the causes, further limited joinder of defendants. For a history of the development of American joinder rules, see Blume, *Free Joinder of Parties, Claims, and Counterclaims*, 2 F.R.D. 250 (1943); *Legislation: Recent Trends in Joinder of Parties, Causes, and Counterclaims*, 37 Colum.L.Rev. 462 (1937). For an early comparative view, see Millar, *The Joinder of Actions in Continental Civil Procedure*, 28 Ill.L.Rev. 26, 177 (1933).

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RYDER V. JEFFERSON HOTEL CO.
Supreme Court of South Carolina, 1922.
[121 S.C. 72, 113 S.E. 474.](#)

MARION, JUSTICE. The complaint in this action * * * alleges in substance that the plaintiff Charles A. Ryder and the plaintiff Edith C. Ryder are husband and wife; that [they] * * * became guests of the defendant Jefferson Hotel Company * * *; that thereafter, during the night * * *, the defendant S.J. Bickley, acting as the servant and agent of the defendant Jefferson Hotel Company, roused the plaintiffs by rapping upon their room door, and in a rude and angry manner insulted the plaintiff Edith C. Ryder; that as a result of the insults * * * the plaintiffs were compelled to give up the accommodations due them and leave the said hotel, and were forced at midnight and at great inconvenience and uncertainty to seek another lodging place; that by reason of such high-handed, malicious, and willful conduct, on the part of the said hotel and its servant and agent, the plaintiffs were greatly injured in their reputations, credit, and business, and that the plaintiff Charles A. Ryder has suffered great loss of custom and has been deprived of great gains and profits * * *; and that * * * the plaintiffs have been damaged in the sum of \$10,000.

Defendants separately demurred to the complaint upon the ground that it appeared upon the face thereof that several causes of action had been improperly united therein, for the reason that the several causes of action united do not affect all the parties to the action. From an order overruling the demurrer, defendants appeal.

The sole question for determination is: Does the complaint contain two causes of action which may be joined in the same complaint? It is apparent, as appellants suggest, that the complaint alleges a cause of action by Charles A. Ryder against the defendants for a personal tort—that is, for a breach of duty growing out of the relationship existing between the parties, to wit, innkeeper and guest—and also a cause of action by Edith C. Ryder against the defendants for a tortious breach of duty growing out of the same relationship. It is also apparent that both of these alleged causes of action arose out of the same transaction, in the sense that the injury to each of the plaintiffs was caused by the same delict. But appellants contend that it is equally apparent from the allegations of the complaint that the rights invaded and the injuries sustained are necessarily several, and that plaintiffs cannot maintain a joint action and recover joint damages therefor. We think that contention must be sustained.

Section 218 of the Code of Procedure (1912), classifying the various causes of action which may be united in the same complaint, contains this proviso:

But the causes of action, so united, must all belong to one of these classes, and, except in actions for the foreclosure of mortgages,

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must affect all the parties to the action, and not require different places of trial, and must be separately stated.

The rule applicable is thus stated by Judge Pomeroy in his work on Code Remedies (4th Ed.) p. 215:

When a tort of a personal nature * * * is committed upon two or more, the right of action must, except in a very few special cases, be several. In order that a joint action may be possible, there must be some prior bond of legal union between the persons injured—such as partnership relation—of such a nature that the tort interferes with it, *and by virtue of that very interference* produces a wrong and consequent damage common to all. It is not every prior existing legal relation between the parties that will impress a joint character upon the injury and damage. Thus, if a husband and wife be libeled, or slandered, or beaten, although there is a close legal relation between the parties, it is not one which can be affected by such a wrong, and no joint cause of action will arise. * * *

That the rights infringed and the injuries suffered by the two plaintiffs in the case at bar are several, and not joint, would not seem open to question. To illustrate: If the two plaintiffs, husband and wife, occupying the same berth in a sleeping car, had both been physically injured in a wreck of the train, it would scarcely be contended that they could properly bring a joint action for the damages sustained by each on account of the carrier's delict. The complaint here does not state a cause of action for injuries to the wife alone * * *. Neither is the husband's alleged cause of action based upon loss of consortium and expenses incurred on behalf of the wife. The wife's cause of action as alleged does not "affect" the husband, and the husband's cause of action does not "affect" the wife, in the sense that the Code of Procedure (section 218) requires that the causes of action joined in the same complaint "must affect all parties to the action." Neither has a legal interest in the pecuniary recovery of the other, and in contemplation of law there can be no joint and common damage to both resulting from a wrong which gives rise to separate and distinct rights personal to each. * * *

At common law it seems that even the husband's cause of action for the loss of the wife's services and companionship and expenses incurred by him on account of injury to the wife could not be joined with the cause of action for injuries personal to the wife. * * * In the case at bar not only are the parties plaintiff different, and the potential elements of damage recoverable by the parties different, but neither party has the right to sue for the benefit of the other * * *.

The order of the circuit court is reversed.

GARY, CHIEF JUSTICE, and COTHMAN, JUSTICE, concurring.

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FRASER, J. (dissenting). * * * The plaintiffs * * * were expelled from the hotel, under the allegation that they were not husband and wife. It was a denial of the joint relationship that caused the trouble.

It seems to me that the illustrations used are not appropriate to the case. When a husband and wife are injured in one railroad accident, the injuries are individual, and not joint. It seems to me that the case is somewhat like an injury to a copartnership. I do not think that it will be doubted that the copartnership can bring an action for injury to the copartnership, although the injury to the two copartners may not be the same. * * * In the joint action the other copartner may not be able to recover for the injury peculiar to himself; but the injury to the copartnership is a joint injury, and for this injury it may recover. Here the offense was against the husband and wife and affected their relation as husband and wife. This is manifestly a joint injury. * * *

For these reasons I dissent.

QUESTIONS

Does *Ryder* make ineffective the concept of permissive joinder by allowing joinder only when the parties are "united in interest"? If the parties are united in interest, should they be *compelled* to join in the action? In this connection consider the court's reliance on Pomeroy's statement that "although there is a close legal relation between the parties, it is not one which can be *affected* by such a wrong, and no joint cause of action will arise." (Emphasis added.) If the injury *affected* a relationship, should the parties be required to join in the action?

b. Permissive Joinder Under Rule 20

Read Federal Rules of Civil Procedure 20, 21, and 42(a) and the accompanying materials in the Supplement.

MOSLEY v. GENERAL MOTORS CORP.

United States Court of Appeals, Eighth Circuit, 1974.
[497 F.2d 1330.](#)

ROSS, CIRCUIT JUDGE.

Nathaniel Mosley and nine other persons joined in bringing this action individually and as class representatives alleging that their rights guaranteed under 42 U.S.C. § 2000e et seq. and 42 U.S.C. § 1981 were denied by General Motors and Local 25, United Automobile, Aerospace and

Agriculture Implement Workers of America (Union) by reason of their color and race. * * *

In each of the first eight counts of the twelve-count complaint, eight of the ten plaintiffs alleged that General Motors, Chevrolet Division, had engaged in unlawful employment practices by: “discriminating against Negroes as regards promotions, terms and conditions of employment”; “retaliating against Negro employees who protested actions made unlawful by Title VII of the Act and by discharging some because they protested said unlawful acts”; “failing to hire Negro employees as a class on the basis of race”; “failing to hire females as a class on the basis of sex”; “discharging Negro employees on the basis of race”; and “discriminating against Negroes and females in the granting of relief time.” Each additionally charged that the defendant Union had engaged in unlawful employment practices “with respect to the granting of relief time to Negro and female employees” and “by failing to pursue 6a grievances.”^a The remaining two plaintiffs made similar allegations against General Motors, Fisher Body Division. All of the individual plaintiffs requested injunctive relief, back pay, attorneys fees and costs. Counts XI and XII of the complaint were class action counts against the two individual divisions of General Motors. They also sought declaratory and injunctive relief, back pay, attorneys fees and costs.

General Motors moved to strike portions of each count of the twelve-count complaint, * * * The district court ordered that “insofar as the first ten counts are concerned, those ten counts shall be severed into ten separate causes of action,” and each plaintiff was directed to bring a separate action based upon his complaint, duly and separately filed. The court also ordered that the class action would not be dismissed, but rather would be left open “to each of the plaintiffs herein, individually or collectively . . . to allege a separate cause of action on behalf of any class of persons which such plaintiff or plaintiffs may separately or individually represent.”

In reaching this conclusion on joinder, the district court followed the reasoning of *Smith v. North American Rockwell Corp.*, 50 F.R.D. 515 (N.D.Okla.1970), which, in a somewhat analogous situation, found there was no right to relief arising out of the same transaction, occurrence or series of transactions or occurrences, and that there was no question of law or fact common to all plaintiffs sufficient to sustain joinder under Federal Rule of Civil Procedure 20(a). Similarly, the district court here felt that the plaintiffs’ joint actions against General Motors and the Union presented a variety of issues having little relationship to one another; that they had only one common problem, i.e. the defendant; and that as pleaded the joint actions were completely unmanageable. * * *

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* * * [Under Federal Rules 20(b) and 42(b)] the scope of the civil action is made a matter for the discretion of the district court, and a determination on the question of joinder of parties will be reversed on appeal only upon a showing of abuse of that discretion. * * * To determine whether the district court’s order was proper herein, we must look to the policy and law that have developed around the operation of Rule 20.

The purpose of the rule is to promote trial convenience and expedite the final determination of disputes, thereby preventing multiple lawsuits. * * * Single trials generally tend to lessen the delay, expense and inconvenience to all concerned. * * *

Permissive joinder is not, however, applicable in all cases. The rule imposes two specific requisites to the joinder of parties: (1) a right to relief must be asserted by, or against, each plaintiff or defendant relating to or arising out of the same transaction or occurrence, or series of transactions or occurrences; and (2) some question of law or fact common to all the parties must arise in the action.

In ascertaining whether a particular factual situation constitutes a single transaction or occurrence for purposes of Rule 20, a case by case approach is generally pursued. * * * No hard and fast rules have been established under the rule. However, construction of the terms “transaction or occurrence” as used in the context of Rule 13(a) counterclaims offers some guide to the application of this test. * * * [A]ll “logically related” events entitling a person to institute a legal action against another generally are regarded as comprising a transaction or occurrence. * * *. The analogous interpretation of the terms as used in Rule 20 would permit all reasonably related claims for relief by or against different parties to be tried in a single proceeding. Absolute identity of all events is unnecessary.

This construction accords with the result reached in *United States v. Mississippi*, 380 U.S. 128 (1965), a suit brought by the United States against the State of Mississippi, the election commissioners, and six voting registrars of the State, charging them with engaging in acts and practices hampering and destroying the right of black citizens of Mississippi to vote. The district court concluded that the complaint improperly attempted to hold the six county registrars jointly liable for what amounted to nothing more than individual torts committed by them separately against separate applicants. In reversing, the Supreme Court said

But the complaint charged that the registrars had acted and were continuing to act as part of a state-wide system designed to enforce the registration laws in a way that would inevitably deprive colored people of the right to vote solely because of their color. On such an allegation the joinder of all the registrars as defendants in a single suit is authorized by Rule 20(a) * * *. These registrars were alleged to be carrying on activities which were

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part of a series of transactions or occurrences the validity of which depended to a large extent upon “question(s) of law or fact common to all of them.”

Id. at 142–143.

Here too, then, the plaintiffs have asserted a right to relief arising out of the same transactions or occurrences. Each of the ten plaintiffs alleged that he had been injured by the same general policy of discrimination on the part of General Motors and the Union. Since a “state-wide system designed to enforce the registration laws in a way that would inevitably deprive colored people of the right to

vote” was determined to arise out of the same series of transactions or occurrences, we conclude that a company-wide policy purportedly designed to discriminate against blacks in employment similarly arises out of the same series of transactions or occurrences. Thus the plaintiffs meet the first requisite for joinder under Rule 20(a).

The second requisite necessary to sustain a permissive joinder under the rule is that a question of law or fact common to all the parties will arise in the action. The rule does not require that all questions of law and fact raised by the dispute be common. Yet, neither does it establish any qualitative or quantitative test of commonality. * * *

The right to relief here depends on the ability to demonstrate that each of the plaintiffs was wronged by racially discriminatory policies on the part of the defendants General Motors and the Union. The discriminatory character of the defendants’ conduct is thus basic to each plaintiff’s recovery. The fact that each plaintiff may have suffered different effects from the alleged discrimination is immaterial for the purposes of determining the common question of law or fact. Thus, we conclude that the second requisite for joinder under Rule 20(a) is also [met] by the complaint.

For the reasons set forth above, we conclude that the district court abused its discretion in severing the joined actions. The difficulties in ultimately adjudicating damages to the various plaintiffs are not so overwhelming as to require such severance. If appropriate, separate trials may be granted as to any particular issue after the determination of common questions.

The judgment of the district court disallowing joinder of the plaintiffs’ individual actions is reversed and remanded with directions to permit the plaintiffs to proceed jointly. * * *

NOTES AND QUESTIONS

1. *Mosley*, although decided in 1974, remains a leading case and sets forth a liberal approach to the permissive joinder of parties under Federal Rule

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20. How would *Ryder*, p. 741, *supra*, be decided under Rule 20? Is it significant that Rule 20(b) and Rule 42(b) authorize protective measures to avoid prejudice from plaintiff’s joinder decisions? In addition, Rule 21, which speaks to misjoinder, permits the judge to authorize severance “at any time, on just terms,” and courts have done so even when parties are properly joined.

2.What are the tactical factors that must be considered before attempting to join multiple defendants? See Friedenthal, *Whom to Sue—Multiple Defendants*, 5 Am. Jur. Trials 1 (1966). Why would plaintiffs in *Mosley* have wanted to litigate together?

3.New Jersey adopted, but then abandoned, a rule that required joinder “of all persons who have a material interest in the controversy.” Erichson, *Of Horror Stories and Happy Endings: The Rise and Fall of Preclusion-Based Compulsory Party Joinder Under the New Jersey Entire Controversy Doctrine*, 9 Seton Hall Const.L.J. 757 (1999). How did the quoted language of the New Jersey rule differ from that of Rule 20? What problems do you foresee with this approach? Any advantages?

2.MANDATORY JOINDER OF PERSONS

a.The Traditional Concept of “Indispensable” Parties

BANK OF CALIFORNIA NATIONAL ASS’N V. SUPERIOR COURT

Supreme Court of California, 1940.
[16 Cal.2d 516, 106 P.2d 879.](#)

GIBSON, CHIEF JUSTICE. * * *

Sara M. Boyd * * * died testate in June, 1937, leaving an estate valued at about \$225,000. On July 8, 1937, * * * her will was admitted to probate, and petitioner, Bank of California, was appointed executor. The will left individual legacies and bequests amounting to \$60,000 to a large number of legatees, * * * some residing in other states and in foreign countries. Petitioner, St. Luke’s Hospital, was named residuary legatee and devisee, and thereby received the bulk of the estate.

On October 14, 1937, Bertha M. Smedley, a niece and legatee, brought an action to enforce the provisions of an alleged contract by which decedent agreed to leave her entire estate to the plaintiff. The complaint named as parties defendant the executor and all of the beneficiaries under the will, and prayed for a decree adjudging that plaintiff is, by virtue of the agreement, the owner of the entire estate of the decedent after payment of debts and expenses. It was further prayed that plaintiff’s title to the property be quieted * * *.

Summons was served only upon petitioners, the executor and the residuary legatee. No other defendants were served, and none appeared.

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* * * [At trial] petitioners made a motion * * * for an order to bring in the other defendants, and to have summons issued and served upon them. The motion was made on the ground that all of the other defendants were “necessary and indispensable parties” to the action, and that the court could not proceed without them. The motion was denied by respondent court. Petitioners then applied for a writ of

prohibition to restrain the trial until these other parties should be brought in.

In support of their application, petitioners point out that the complaint challenges the right of every legatee and devisee to share in the estate, and prays for an award of the entire property to plaintiff. It is contended that a trial and judgment without the absent defendants would adversely affect the rights of such parties, would result in a multiplicity of suits, and would subject the petitioning executor to inconvenience, expense and the burden of future litigation.

* * * [T]he precise issue is * * * whether the absent defendants are not only proper parties but “indispensable parties” in the sense that service upon them or their appearance is essential to the jurisdiction of the court to proceed in the action. * * *

At common law, joinder of plaintiffs was compulsory where the parties under the substantive law, were possessed of joint rights. * * * Equity courts developed another theory of compulsory joinder, to carry out the policy of avoiding piecemeal litigation and multiplicity of suits. Those persons necessary to a complete settlement of the controversy were usually required to be joined, in order that the entire matter might be concluded by a single suit. Obviously, this theory of joinder covered many situations where the substantive rights were not joint, and accordingly joinder would not have been required in an action at law. * * * Generally speaking, the modern rule under the codes carries out the established equity doctrine. Thus, section 389 of the Code of Civil Procedure states: “The court may determine any controversy between parties before it, when it can be done without prejudice to the rights of others, or by saving their rights; but when a complete determination of the controversy cannot be had without the presence of other parties, the court must then order them to be brought in * * *.” * * *

But the equity doctrine as developed by the courts is loose and ambiguous in its expression and uncertain in its application. Sometimes it is stated as a mandatory rule, and at other times as a matter of discretion, designed to reach an equitable result if it is practicable to do so. * * * Bearing in mind the fundamental purpose of the doctrine, we should, in dealing with “necessary” and “indispensable” parties, be careful to avoid converting a discretionary power or a rule of fairness in procedure into an arbitrary and burdensome requirement which may thwart rather than accomplish justice. These two terms have frequently been coupled together

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as if they have the same meaning; but there appears to be a sound distinction, both in theory and practice, between parties deemed “indispensable” and those considered merely “necessary”. * * * “While necessary parties are so interested in the controversy that they should normally be made parties in order to enable the court to do complete justice, yet if their interests are separable from the rest and particularly where their presence in the suit cannot be obtained, they are not indispensable parties. The latter are those without whom the court cannot proceed.” Clark[,] Code Pleading, p. 245 * * *. * * *

First, then, what parties are indispensable? There may be some persons whose interests, rights, or duties will inevitably be affected by any decree which can be rendered in the action. Typical are the situations where a number of persons have undetermined interests in the same property, or in a particular trust fund, and one of them seeks, in an action, to recover the whole, to fix his share, or to recover a portion claimed by him. The other persons with similar interests are indispensable parties. The reason is that a judgment in favor of one claimant for part of the property or fund would necessarily determine the amount or extent which remains available to the others. Hence, any judgment in the action would inevitably affect their rights. Thus, in an action by one creditor against assignees for the benefit of creditors, seeking an accounting and payment of his share of the assets, the other creditors were held indispensable * * *. * * * Where, also, the plaintiff seeks some other type of affirmative relief which, if granted, would injure or affect the interests of a third person not joined that third person is an indispensable party. Thus, in an action by a lessor against a sublessee to forfeit a parent lease because of acts of the sublessee, the sublessors (original lessees) were indispensable parties, since a decree of forfeiture would deprive them of their lease. * * *

All of these persons are, of course, “necessary” parties, but the decisions show that they come within a special classification of necessary parties, to which the term “indispensable” seems appropriate. An attempt to adjudicate their rights without joinder is futile. Many cases go so far as to say that the court would have no jurisdiction to proceed without them, and that its purported judgment would be void and subject to collateral attack. The objection being so fundamental, it need not be raised by the parties themselves; the court may, of its own motion, dismiss the proceedings, or refuse to proceed, until these indispensable parties are brought in. * * *

The other classification includes persons who are interested in the sense that they might possibly be affected by the decision, or whose interests in the subject matter or transaction are such that it cannot be finally and completely settled without them; but nevertheless their interests are so separable that a decree may be rendered between the parties before the court without affecting those others. These latter may

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perhaps be “necessary” parties to a complete settlement of the entire controversy or transaction, but are not “indispensable” to any valid judgment in the particular case. They should normally be joined, and the court, following the equity rule, will usually require them to be joined, in order to carry out the policy of complete determination and avoidance of multiplicity of suits. But, since the rule itself is one of equity, it is limited and qualified by considerations of fairness, convenience, and practicability. Where, for example, it is impossible to find these other persons or impracticable to bring them in, the action may proceed as to those parties who are present.

* * *

The action in these cases is against the distributee personally, and not against the estate; and it is independent of the will and the

probate proceeding. Each distributee is individually held as a constructive trustee solely of the property which came to him, and none is interested in the granting or denial of similar relief as to any other. Where there are a number of legatees and devisees, they would all appear to be “necessary” parties in the sense that the main issue, the validity of the testamentary disposition of the property of decedent, affects their property interests, and the entire matter, the disposition of all of the decedent’s property, cannot be finally settled without a binding adjudication for or against every legatee or devisee. Hence, the court will usually order them served and brought in unless there is some good reason for not doing so. But the absent defendants in such a case are not indispensable parties. Unlike the situations discussed above, in which any judgment would necessarily affect the rights of the absent persons, the case here is one where plaintiff may litigate her claim against the appearing defendants alone and obtain a decree which binds them alone. The absent defendants, not being before the court, will not be bound by the judgment, whether favorable or unfavorable, and their property interests will not be affected.

* * *

Only brief mention need be made of the contention that the prosecution of the action against less than all of the distributees will cause inconvenience and multiplicity of suits to the injury of the executor. These are all matters within the discretion of the court to consider in connection with its policy to settle the entire controversy in one proceeding, if possible. * * *

We have refrained from discussing the question whether the lower court’s denial of the motion to bring in the absent defendants was, under the circumstances, an abuse of discretion. If they were readily available and could have been brought in without serious difficulty, it may well be that the motion should have been granted. On the other hand, if, as is asserted by respondents, many reside outside the state or the country,

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great difficulty might be encountered in any attempt to bring them in, and the trial might be indefinitely delayed, to the detriment of the present parties. The fact that the interests of the absent defendants are trivial as compared with that of the residuary legatee, which received over 71 percent of the estate, is perhaps some indication of the reason why plaintiff chose to go to trial against the latter alone. All these considerations, however, were for the trial court in the first instance, and its determination, though reviewable in the proper manner, cannot be attacked on an application for writ of prohibition.

The alternative writ, heretofore issued, is discharged, and the peremptory writ is denied.

NOTES AND QUESTIONS

1. Before the adoption of Federal Rule 19, the principle of mandatory joinder was a judicially created doctrine. SHIELDS v. BARROW, 58 U.S. (17 How.) 130, 15 L.Ed. 158 (1854), established that parties could be classified as necessary or indispensable depending on the nature of their substantive rights (“joint” or “severable”). The consequences of this classification were extremely important. If an absent party who was not subject to the jurisdiction of the court or whose joinder would destroy the pre-existing diversity of citizenship was labeled indispensable, the entire action had to be dismissed. On the other hand, if the absentee merely was necessary, the court might exercise its discretion in determining whether or not to continue without that person. Because a plaintiff might have been deprived of any remedy if a party was found to be indispensable, courts often strained to avoid that conclusion. As might be suspected, this method had a debilitating effect on the standard for classification. See Comment, *The Litigant and the Absentee in Federal Multiparty Practice*, 116 U.Pa.L.Rev. 531 (1968).

2. WARNER v. PACIFIC TEL. & TEL. CO., 121 Cal.App.2d 497, 263 P.2d 465 (2d Dist. 1953), involved the following three successive telephone book listings: (1) Warner, Caryl atty, 639 S Spring—TUKr 9171 Woodland Hills Office, 21042 Rios—DIamnd 85761; (2) Warner, Caryl Mrs. 1600 Westrly Ter—NORmndy 22011; and (3) Warner, Caryl Mrs. Warner Caryl atty 21042 Rios WdlnD Hills—DIamnd 85761. The “Mrs. Caryl Warner” in the second listing was the first wife of Caryl Warner; the “Mrs. Caryl Warner” in the third listing was Caryl Warner’s wife at the time of the lawsuit. After the telephone company refused to delete or change the second listing, the present Mrs. Warner brought suit against the company for damages on the ground that the existing listings injured her reputation in the community and caused her “emotional distress, humiliation, fear, vexation, annoyance, scorn and ridicule as to her marital status, rendering her sick, with recurrent asthma attacks, to her damage.” Plaintiff also asserted that she owned the title “Mrs. Caryl Warner,” that the name had acquired a secondary meaning by reason of the professional and social standing of Caryl Warner, that her prestige and dignity were being depreciated, that the telephone listings constituted an invasion of

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privacy because they depicted plaintiff as a party to a bigamous marriage, and that the telephone company knew or should have known that its maintenance of the listings would cause damage to plaintiff. The telephone company demurred to plaintiff’s third amended and supplemental complaint on the ground, *inter alia*, that plaintiff had failed to join an indispensable party—the first Mrs. Caryl Warner. In light of the *Bank of California* case, should the California Court of Appeals affirm or reverse the lower court’s grant of the demurrer? Why?

3. Are prejudice to defendant and the possibility of inconsistent adjudications only factors to be weighed as part of a balancing of competing interests or should the threat of multiple liability be elevated to a constitutional level? What would the constitutional problem be? Is the failure to join an indispensable party really a jurisdictional defect, as the *Bank of California* case suggests? See Hazard, *Indispensable Party: The Historical Origin of a Procedural Phantom*, 61 Colum.L.Rev. 1254, 1255–56 (1961).

b. Joinder of Required Parties Under Rule 19

Read Federal Rule of Civil Procedure 19 and the accompanying materials in the Supplement.

PROVIDENT TRADESMENS BANK & TRUST CO. v. PATTERSON

Supreme Court of the United States, 1968.
[390 U.S. 102, 88 S.Ct. 733, 19 L.Ed.2d 936.](#)

Certiorari to the United States Court of Appeals for the Third Circuit.

JUSTICE HARLAN delivered the opinion of the Court.

This controversy, involving in its present posture the dismissal of a declaratory judgment action for nonjoinder of an “indispensable” party, began nearly 10 years ago with a traffic accident. An automobile owned by Edward Dutcher, who was not present when the accident occurred, was being driven by Donald Cionci, to whom Dutcher had given the keys. John Lynch and John Harris were passengers. The automobile crossed the median strip of the highway and collided with a truck being driven by Thomas Smith. Cionci, Lynch, and Smith were killed and Harris was severely injured.

Three tort actions were brought. Provident Tradesmens Bank, the administrator of the estate of passenger Lynch and petitioner here, sued the estate of the driver, Cionci, in a diversity action. Smith’s administratrix, and Harris in person, each brought a state-court action

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against the estate of Cionci, Dutcher, the owner, and the estate of Lynch. These Smith and Harris actions, for unknown reasons, have never gone to trial and are still pending. The Lynch action against Cionci’s estate was settled for \$50,000, which the estate of Cionci, being penniless, has never paid.

Dutcher, the owner of the automobile and a defendant in the as yet untried tort actions, had an automobile liability insurance policy with Lumbermens Mutual Casualty Company, a respondent here. That policy had an upper limit of \$100,000 for all claims arising out of a single accident. This fund was potentially subject to two different sorts of claims by the tort plaintiffs. First, Dutcher himself might be held vicariously liable as Cionci’s “principal”; the likelihood of such a judgment against Dutcher is a matter of considerable doubt and dispute. Second, the policy by its terms covered the direct liability of any person driving Dutcher’s car with Dutcher’s “permission.”

The insurance company had declined, after notice, to defend in the tort action brought by Lynch’s estate against the estate of Cionci, believing that Cionci had not had permission and hence was not covered by the policy. The facts allegedly were that Dutcher had entrusted his car to Cionci, but that Cionci had made a detour from the errand for which Dutcher allowed his car to be taken. The estate of Lynch, armed with its \$50,000 liquidated claim against the estate of Cionci, brought the present diversity action for a declaration that Cionci’s use of the car had been “with permission” of Dutcher. The only named defendants were the company and the estate of Cionci. The other two tort plaintiffs were joined as plaintiffs. Dutcher, a resident of the State of Pennsylvania as were all the plaintiffs, was not joined either as plaintiff or defendant. The failure to join him was not adverted to at the trial level.

The major question of law contested at trial was a state-law question. * * * The District Court * * * directed verdicts in favor of the two estates. * * * The jury * * * found that Cionci had had permission, and hence awarded a verdict to Harris also.

Lumbermens appealed the judgment to the Court of Appeals for the Third Circuit, raising various state-law questions. * * * The Court of Appeals did not reach any of these issues. Instead, after reargument *en banc*, it decided, 5–2, to reverse on two alternative grounds neither of which had been raised in the District Court or by the appellant.

The first of these grounds was that Dutcher was an indispensable party. The court held that the “adverse interests” that had rendered Dutcher incompetent to testify under the Pennsylvania Dead Man Rule also required him to be made a party. The court did not consider whether the fact that a verdict had already been rendered, without objection to the nonjoinder of Dutcher, affected the matter. Nor did it follow the provision

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of Rule 19 of the Federal Rules of Civil Procedure that findings of “indispensability” must be based on stated pragmatic considerations. It held, to the contrary, that the right of a person who “may be affected” by the judgment to be joined is a “substantive” right, unaffected by the federal rules; that a trial court “may not proceed” in the absence of such a person; and that since Dutcher could not be joined as a defendant without destroying diversity jurisdiction the action had to be dismissed.

* * * Concluding that the inflexible approach adopted by the Court of Appeals in this case exemplifies the kind of reasoning that the Rule was designed to avoid, we reverse.

I.

* * *

We may assume, at the outset, that Dutcher falls within the category of persons who, under [Rule 19] (a), should be “joined if feasible.” The action was for an adjudication of the validity of certain claims against a fund. Dutcher, faced with the possibility of judgments against him, had an interest in having the fund preserved to cover that potential liability. Hence there existed, when this case

went to trial, at least the possibility that a judgment might impede Dutcher’s ability to protect his interest, or lead to later relitigation by him.

The optimum solution, an adjudication of the permission question that would be binding on all interested persons, was not “feasible,” however, for Dutcher could not be made a defendant without destroying diversity. Hence the problem was the one to which Rule 19(b) appears to address itself: in the absence of a person who “should be joined if feasible,” should the court dismiss the action or proceed without him? Since this problem emerged for the first time in the Court of Appeals, there were also two subsidiary questions. First, what was the effect, if any, of the failure of the defendants to raise the matter in the District Court? Second, what was the importance, if any, of the fact that a judgment, binding on the parties although not binding on Dutcher, had already been reached after extensive litigation? The three questions prove, on examination, to be interwoven.

We conclude, upon consideration of the record and applying the “equity and good conscience” test of Rule 19(b), that the Court of Appeals erred in not allowing the judgment to stand.

Rule 19(b) suggests four “interests” that must be examined in each case to determine whether, in equity and good conscience, the court should proceed without a party whose absence from the litigation is compelled. Each of these interests must, in this case, be viewed entirely from an appellate perspective since the matter of joinder was not considered in the trial court. First, the plaintiff has an interest in having a forum. Before the trial, the strength of this interest obviously depends upon whether a

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satisfactory alternative forum exists. On appeal, if the plaintiff has won, he has a strong additional interest in preserving his judgment. Second, the defendant may properly wish to avoid multiple litigation, or inconsistent relief, or sole responsibility for a liability he shares with another. After trial, however, if the defendant has failed to assert this interest, it is quite proper to consider it foreclosed.

Third, there is the interest of the outsider whom it would have been desirable to join. Of course, since the outsider is not before the court, he cannot be bound by the judgment rendered. This means, however, only that a judgment is not *res judicata* as to, or legally enforceable against, a nonparty. It obviously does not mean either (a) that a court may never issue a judgment that, in practice, affects a nonparty or (b) that (to the contrary) a court may always proceed without considering the potential effect on nonparties simply because they are not “bound” in the technical sense. Instead, as Rule 19(a) expresses it, the court must consider the extent to which the judgment may “as a practical matter impair or impede his ability to protect” his interest in the subject matter [this provision is now Rule 19(a)(1)(B)(i) and the language has been altered]. When a case has reached the appeal stage the matter is more complex. The judgment appealed from may not in fact affect the interest of any outsider even though there existed, before trial, a possibility that a judgment affecting his interest would be rendered. When necessary, however, a court of appeals should, on its own initiative, take steps to protect the absent party, who of course had no opportunity to plead and prove his interest below.

Fourth, there remains the interest of the courts and the public in complete, consistent, and efficient settlement of controversies. We read the Rule’s third criterion, whether the judgment issued in the absence of the nonjoined person will be “adequate,” to refer to this public stake in settling disputes by wholes, whenever possible, for clearly the plaintiff, who himself chose both the forum and the parties defendant, will not be heard to complain about the sufficiency of the relief obtainable against them. After trial, considerations of efficiency of course include the fact that the time and expense of a trial have already been spent.

Rule 19(b) also directs a district court to consider the possibility of shaping relief to accommodate these four interests. Commentators had argued that greater attention should be paid to this potential solution to a joinder stymie, and the Rule now makes it explicit that a court should consider modification of a judgment as an alternative to dismissal. Needless to say, a court of appeals may also properly require suitable modification as a condition of affirmance.

Had the Court of Appeals applied Rule 19’s criteria to the facts of the present case, it could hardly have reached the conclusion it did. We begin with the plaintiffs’ viewpoint. It is difficult to decide at this stage whether

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they would have had an “adequate” remedy had the action been dismissed before trial for nonjoinder: we cannot here determine whether the plaintiffs could have brought the same action, against the same parties plus Dutcher, in a state court. After trial, however, the “adequacy” of this hypothetical alternative, from the plaintiffs’ point of view, was obviously greatly diminished. Their interest in preserving a fully litigated judgment should be overborne only by rather greater opposing considerations than would be required at an earlier stage when the plaintiffs’ only concern was for a federal rather than a state forum.

Opposing considerations in this case are hard to find. The defendants had no stake, either asserted or real, in the joinder of Dutcher. They showed no interest in joinder until the Court of Appeals took the matter into its own hands. This properly forecloses any interest of theirs, but for purposes of clarity we note that the insurance company, whose liability was limited to \$100,000, had or will have full opportunity to litigate each claim on that fund against the claimant involved. Its only concern with the absence of Dutcher was and is to obtain a windfall escape from its defeat at trial.

The interest of the outsider, Dutcher, is more difficult to reckon. The Court of Appeals, concluding that it should not follow Rule 19’s command to determine whether, as a practical matter, the judgment impaired the nonparty’s ability to protect his rights, simply quoted the District Court’s reasoning on the Dead Man issue as proof that Dutcher had a “right” to be joined:

The subject matter of this suit is the coverage of Lumbermens’ policy issued to Dutcher. Depending upon the outcome of this trial, Dutcher may have the policy all to himself or he may have to share its coverage with the Cionci Estate, thereby extending the availability of the proceeds of the policy to satisfy verdicts and judgments in favor of the two Estate plaintiffs. Sharing the coverage of a policy of insurance with finite limits with another, and thereby making that policy available to claimants against that other person is immediately worth less than having the coverage of such policy available to Dutcher alone. By the outcome in the instant case, to the extent that the two Estate plaintiffs will have the proceeds of the policy available to them in their claims against Cionci’s estate, Dutcher will lose a measure of protection. Conversely, to the extent that the proceeds of this policy are not available to the two Estate plaintiffs Dutcher will gain. * * * It is sufficient for the purpose of determining adversity [of interest] that it appears clearly that the measure of Dutcher’s protection under this policy of insurance is dependent upon the outcome of this suit. That being so, Dutcher’s interest in these proceedings is adverse to the interest of the two Estate plaintiffs, the parties who

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represent, on this record, the interests of the deceased persons in the matter in controversy.¹¹

There is a logical error in the Court of Appeals’ appropriation of this reasoning for its own quite different purposes: Dutcher had an “adverse” interest * * * because he would have been *benefited* by a ruling *in favor of* the insurance company; the question before the Court of Appeals, however, was whether Dutcher was *harmed* by the judgment *against* the insurance company.

The two questions are not the same. If the three plaintiffs had lost to the insurance company on the permission issue, that loss would have ended the matter favorably to Dutcher. If, as has happened, the three plaintiffs obtain a judgment against the insurance company on the permission issue, Dutcher may still claim that as a nonparty he is not estopped by that judgment from relitigating the issue. At that point it might be argued that Dutcher should be bound by the previous decision because, although technically a nonparty, he had purposely bypassed an adequate opportunity to intervene. We do not now decide whether such an argument would be correct under the circumstances of this case. If, however, Dutcher is properly foreclosed by his failure to intervene in the present litigation, then the joinder issue considered in the Court of Appeals vanishes, for any rights of Dutcher’s have been lost by his own inaction.

If Dutcher is not foreclosed by his failure to intervene below, then he is not “bound” by the judgment in favor of the insurance company and, in theory, he has not been harmed. There remains, however, the practical question whether Dutcher is likely to have any need, and if so will have any opportunity, to relitigate. The only possible threat to him is that if the fund is used to pay judgments against Cionci the money may in fact have disappeared before Dutcher has an opportunity to assert his interest. Upon examination, we find this supposed threat neither large nor unavoidable.

The state-court actions against Dutcher had lain dormant for years at the pleading stage by the time the Court of Appeals acted. Petitioner asserts here that under the applicable Pennsylvania vicarious liability law there is virtually no chance of recovery against Dutcher. We do not accept this assertion as fact, but the matter could have been explored below. Furthermore, even in the event of tort judgments against Dutcher, it is unlikely that he will be prejudiced by the outcome here. The potential claimants against Dutcher himself are identical with the potential claimants against Cionci’s estate. Should the claimants seek to collect from Dutcher personally, he may be able to raise the permission issue defensively, making it irrelevant that the actual monies paid from the fund may have disappeared: Dutcher can assert that Cionci did not have his permission and that therefore the payments made on Cionci’s behalf out of

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Dutcher’s insurance policy should properly be credited against Dutcher’s own liability. Of course, when Dutcher raises this defense he may lose, either on the merits of the permission issue or on the ground that the issue is foreclosed by Dutcher’s failure to intervene in the present case, but Dutcher will not have been prejudiced by the failure of the District Court here to order him joined.

If the Court of Appeals was unconvinced that the threat to Dutcher was trivial, it could nevertheless have avoided all difficulties by proper phrasing of the decree. The District Court, for unspecified reasons, had refused to order immediate payment on the Cionci judgment. Payment could have been withheld pending the suits against Dutcher and relitigation (if that became necessary) by him. In this Court, furthermore, counsel for petitioners represented orally that they, the tort plaintiffs, would accept a limitation of all claims to the amount of the insurance policy. Obviously such a compromise could have been reached below had the Court of Appeals been willing to abandon its rigid approach and seek ways to preserve what was, as to the parties, subject to the appellants’ other contentions, a perfectly valid judgment.

The suggestion of potential relitigation of the question of “permission” raises the fourth “interest” at stake in joinder cases—efficiency. It might have been preferable, at the trial level, if there were a forum available in which both the company and Dutcher could have been made defendants, to dismiss the action and force the plaintiffs to go elsewhere. Even this preference would have been highly problematical, however, for the actual threat of relitigation by Dutcher depended on there being judgments against him and on the amount of the fund, which was not revealed to the District Court. By the time the case reached the Court of Appeals, however, the problematical preference on efficiency grounds had entirely disappeared: there was no reason then to throw away a valid judgment just because it did not theoretically settle the whole controversy.

II.

Application of Rule 19(b)’s “equity and good conscience” test for determining whether to proceed or dismiss would doubtless have

led to a contrary result below. The Court of Appeals’ reasons for disregarding the Rule remain to be examined. The majority of the court concluded that the Rule was inapplicable because “substantive” rights are involved, and substantive rights are not affected by the Federal Rules. Although the court did not articulate exactly what the substantive rights are, or what law determines them, we take it to have been making the following argument: (1) there is a category of persons called “indispensable parties”; (2) that category is defined by substantive law and the definition cannot be modified by rule; (3) the right of a person falling within that category to

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participate in the lawsuit in question is also a substantive matter, and is absolute.

With this we may contrast the position that is reflected in Rule 19. Whether a person is “indispensable,” that is, whether a particular lawsuit must be dismissed in the absence of that person, can only be determined in the context of particular litigation. There is a large category, whose limits are not presently in question, of persons who, in the Rule’s terminology, should be “joined if feasible,” and who, in the older terminology, were called either necessary or indispensable parties. Assuming the existence of a person who should be joined if feasible, the only further question arises when joinder is not possible and the court must decide whether to dismiss or to proceed without him. To use the familiar but confusing terminology, the decision to proceed is a decision that the absent person is merely “necessary” while the decision to dismiss is a decision that he is “indispensable.” The decision whether to dismiss (i.e., the decision whether the person missing is “indispensable”) must be based on factors varying with the different cases, some such factors being substantive, some procedural, some compelling by themselves, and some subject to balancing against opposing interests. Rule 19 does not prevent the assertion of compelling substantive interests; it merely commands the courts to examine each controversy to make certain that the interests really exist. To say that a court “must” dismiss in the absence of an indispensable party and that it “cannot proceed” without him puts the matter the wrong way around: a court does not know whether a particular person is “indispensable” until it has examined the situation to determine whether it can proceed without him.

The Court of Appeals concluded, although it was the first court to hold, that the 19th century joinder cases in this Court created a federal, common-law, substantive right in a certain class of persons to be joined in the corresponding lawsuits. At the least, that was not the way the matter started. The joinder problem first arose in equity and in the earliest case giving rise to extended discussion of the problem was the relatively simple one of the inefficiency of litigation involving only some of the interested persons. [Elmendorf v. Taylor, 23 U.S. (10 Wheat.) 152, 6 L.Ed. 289 (1825).] * * *

Following this case there arose three cases, also in equity, that the Court of Appeals here held to have declared a “substantive” right to be joined. It is true that these cases involved what would now be called “substantive” rights. This substantive involvement of the absent person with the controversy before the Court was, however, in each case simply an inescapable fact of the situation presented to the Court for adjudication. The Court in each case left the outsider with no more “rights” than it had already found belonged to him. The question in each case was simply

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whether, given the substantive involvement of the outsider, it was proper to proceed to adjudicate as between the parties.

* * *

The most influential of the cases in which this Court considered the question whether to proceed or dismiss in the absence of an interested but not joinable outsider is *Shields v. Barrow*, 17 How. 130, 15 L.Ed. 158, referred to in the opinion below. There the Court attempted, perhaps unfortunately, to stage general definitions of those persons without whom litigation could or could not proceed. In the former category were placed

Persons having an interest in the controversy, and who ought to be made parties, in order that the court may act on that rule which requires it to decide on, and finally determine the entire controversy, and do complete justice, by adjusting all the rights involved in it. These persons are commonly termed necessary parties; but if their interests are separable from those of the parties before the court, so that the court can proceed to a decree, and do complete and final justice, without affecting other persons not before the court, the latter are not indispensable parties.

The persons in the latter category were

Persons who not only have an interest in the controversy, but an interest of such a nature that a final decree cannot be made without either affecting that interest, or leaving the controversy in such a condition that its final termination may be wholly inconsistent with equity and good conscience.

These generalizations are still valid today, and they are consistent with the requirements of Rule 19, but they are not a substitute for the analysis required by that Rule. Indeed, the second *Shields* definition states, in rather different fashion, the criteria for decision announced in Rule 19(b). One basis for dismissal is prejudice to the rights of an absent party that “cannot” be avoided in issuance of a final decree. Alternatively, if the decree can be so written that it protects the interests of the absent persons, but as so written it leaves the controversy so situated that the outcome may be inconsistent with “equity and good conscience,” the suit should be dismissed.

The majority of the Court of Appeals read *Shields v. Barrow* to say that a person whose interests “may be affected” by the decree of the court is an indispensable party, and that all indispensable parties have a “substantive right” to have suits dismissed in their absence. We are unable to read *Shields* as saying either. It dealt only with persons whose interests must, unavoidably, be affected by a decree and

it said nothing about substantive rights. Rule 19(b), which the Court of Appeals dismissed as an ineffective attempt to change the substantive rights stated in *Shields*, is, on the

contrary, a valid statement of the criteria for determining whether to proceed or dismiss in the forced absence of an interested person. It takes, for aught that now appears, adequate account of the very real, very substantive claims to fairness on the part of outsiders that may arise in some cases. This, however, simply is not such a case.

* * *

The judgment is vacated and the case is remanded to the Court of Appeals * * *.

NOTES AND QUESTIONS

1. *Provident Tradesmens* interpreted the 1966 version of Federal Rule 19. Examine the Advisory Committee’s Note to Rule 19, which is set out in the Supplement. What impact did the 1966 amendment have on the distinction between “persons required to be joined if feasible,” of Rule 19(a), and “a person who is required to be joined if feasible cannot be joined,” of Rule 19(b)? Given the amendment, what is the purpose of Rule 12(b)(7)? of Rule 12(h)?

2. Consider the following comments in an article written shortly after the Third Circuit’s decision dismissing the action:

* * * How has Dutcher been affected? The judgment declaring that Cionci was driving with permission does not bind Dutcher legally, since he was not a party. Dutcher is free to contest the point with all, including the insurer. Be it noted that although he testified in the action, Dutcher made no attempt to intervene; as the minority suggests, he might have reasonably preferred to stay out of the action. Whereas a judgment declaring Cionci to be an insured did not bind Dutcher, a judgment the other way would very likely have inured to Dutcher’s benefit * * *.

Kaplan, *Continuing Work of the Civil Committee: 1966 Amendments of the Federal Rules of Civil Procedure* (I), 81 Harv.L.Rev. 356, 373 (1967).

3. In what ways might the court shape relief in order to lessen any prejudice under Rule 19(b)? Is the court free simply to grant a remedy other than the one originally requested—for example, by awarding money damages when specific performance might have a detrimental impact on the absentee? Of what importance is the availability of another forum in determining whether the action must be dismissed in the absence of someone whose joinder is not feasible?

4. What weight should be given to the various factors listed in Rule 19? Because there is no precise formula for determining whether a particular nonparty must be joined under Rule 19(a), the decision has to be made in light of the general policies of the rule. Can you articulate what those policies are? For example, what is the difference between the Rule 19(a)(1)(A) standard that in the absence of the nonparty “the court cannot accord complete relief among existing parties,” and the factor listed in Rule 19(b)(3), “whether a judgment

rendered in the person’s absence would be adequate”? How do these factors differ from the focus in Rule 19(a)(1)(B) on the prejudicial effect of not joining the absentee?

5. *REPUBLIC OF THE PHILIPPINES v. PIMENTEL*, 553 U.S. 851, 128 S.Ct. 2180, 11 L.Ed.2d 131 (2008), concerned the intersection of Rule 19(b), statutory interpleader, and sovereign immunity. See p. 783, *infra*.

E. IMPLADER

1.THE HISTORICAL USE OF IMPLADER

Impleader has its roots in “vouching to warranty,” a common law procedure “whereby a person whose title to land had been attacked could notify his vendor of the attack if the latter had warranted the title. The vendor, whether or not he chose to participate, would then be bound by the prior determination in a subsequent suit by his vendee”:

When A sues B, there is often a third party, C, who may ultimately be liable to B for all or some part of the damages which A might recover. This liability over may be based on such legal relationships as those which arise from a contract of indemnity for loss or liability or a right to contribution from a joint tortfeasor. If it were necessary for B to institute a separate action to recover reimbursement from C, the issue of B’s liability to A would often have to be relitigated between B and C, since C, not a party to the original litigation, would generally not be bound by the prior determination. * * * Even if B could obtain a wholly consistent result against C, the courts would have been burdened by two trials and B might have been seriously handicapped by having to satisfy A’s judgment long before his recovery over from C. * * *

Developments in the Law—Multiparty Litigation in the Federal Courts, 71 Harv.L.Rev. 877, 907 (1958). See Neiderman & Reed, *Vouching In Under the U.C.C.: Its History, Modern Use, and Questions About Its Continued Viability*, 23 J.L. & Com. 1, 1 (2003); Degnan & Barton, *Vouching to Quality Warranty: Case Law and Commercial Code*, 51 Calif.L.Rev. 471 (1963).

2.THIRD-PARTY PRACTICE UNDER RULE 14

Read Federal Rule of Civil Procedure 14 and the accompanying materials in the Supplement.

JEUB v. B/G FOODS, INC.
United States District Court, District of Minnesota, 1942.
[2 F.R.D. 238.](#)

NORDBYE, DISTRICT JUDGE. The facts are briefly these: The complainants seek to recover damages from the defendant, B/G Foods, Inc., on the grounds that, in one of the restaurants operated by this defendant, they were served with certain ham which was contaminated, unwholesome, and deleterious to the health, causing complainants to become sick and distressed to their damage. * * * Prior to the service of the answer, on application of the defendant, an ex parte order was obtained, making Swift and Company a third-party defendant. The third-party complaint set forth that the ham served was canned “Swift Premium Ham”, a product of Swift and Company, and purchased in a sealed can by B/G Foods the day preceding the serving of the ham to the complainants. It is asserted that B/G Foods was entirely free from any blame or negligence in connection therewith. It is further alleged in the third-party complaint that “if any of said ham was unwholesome, poisonous, deleterious or otherwise in any way unfit for human consumption, such condition was caused solely and entirely by negligence and carelessness and unlawful conduct on the part of Swift and Company.” Further, that “Swift and Company is liable to indemnify and reimburse B/G Foods, Inc., for the whole amount of any recovery made by plaintiff, * * * against B/G Foods, Inc., on account of said ham being served to her in its food shop. * * * ” Judgment is prayed that any recovery be against Swift and Company and not B/G Foods, Inc., and that B/G Foods, Inc., have judgment against Swift and Company for any and all sums which may be adjudged against B/G Foods, Inc., in favor of the plaintiff.

The motion to vacate the order is based on the showing that plaintiffs have not amended, and have refused to amend, their complaints to state any cause of action against Swift and Company. It is therefore the position of the third-party defendant that no relief can be granted against it in this proceeding; that [Federal] Rule 14 * * * is merely procedural and does not create any substantive rights; that no right of contribution or indemnity exists under the Minnesota law merely because a suit has been commenced; and that the party must have suffered some loss or paid more than his share of the loss before any rights will inure. It is pointed out that, as yet, the B/G Foods has suffered no loss and has made no payment growing out of the incident in question.

That the rights over and against Swift and Company, which B/G Foods may have by reason of any loss sustained by it, must be governed by the substantive laws of this State is entirely clear. The invoking of the third-party procedural practice must not do violence to the substantive rights of the parties. However, an acceleration or an expedition of the presentation of such rights does not conflict with any Minnesota law. Rule 14 * * *

permits the impleader of a party “who is or may be liable.”^b The fact that an independent action for money recovery could not be brought at this time does not militate against B/G Foods’ right to invoke a procedure which will determine rights of the parties concurrently with that of the basic proceeding, and if and when any loss has been sustained as to which Swift and Company is liable over, the laws of this State in regard thereto may be made effective. * * * Rule 14 is not restricted to the rights of indemnity or contribution which are presently * * * [enforceable] * * *.

The apparent purpose of Rule 14 is to provide suitable machinery whereby the rights of all parties may be determined in one proceeding. Manifestly if Swift and Company is liable over to B/G Foods, Inc., for any or all damages sustained by reason of the tortious act alleged, no cogent reason is suggested why the original defendant should not avail itself of this rule. Otherwise, B/G Foods, Inc., would be required to await the outcome of the present suit, and then if plaintiffs recover, to institute an independent action for contribution or indemnity. The rule under consideration was promulgated to avoid this very circuitry of proceeding. Neither is any good reason suggested why the determination of the entire controversy in one proceeding will prejudice the rights of any of the parties. Certainly, plaintiffs cannot complain. They have not availed themselves of the opportunity to join Swift and Company as a party defendant. To require the same jury to determine the controversy between the third-party plaintiff and third-party defendant will not harm or jeopardize their rights or position before these triers of fact. The rights of Swift and Company are likewise not prejudiced by being made a third-party defendant. If it is liable over, it is concerned with the payment by B/G Foods, Inc., of any loss or damage obtained by these plaintiffs. However, the recognition or preservation of that right presents no particular difficulty. Any judgment against it by way of contribution or indemnity may be stayed until the judgment in the original proceeding against the B/G Foods, Inc., is paid or satisfied. One jury impaneled to determine the entire controversy may not only save time and expense, but it is fair to assume that the ends of justice will be served by disposition of the entire matter through the facilities of one jury. * * *

The motion, therefore, to vacate the order making Swift and Company a third-party defendant in each of the above-entitled cases, is denied. * * *

1. Federal Rule 14 avoids circuity of actions by permitting a defending party to add a party who is or may be liable for all or part of the claim against it. See 6 Wright, Miller & Kane, Federal Practice and Procedure § 1443 (3d ed.). Rule 14 does not authorize the joinder of a party who is liable on a

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separate or independent claim; rather, the liability must be derivative of the original claim. The original version of Rule 14 limited the availability of third-party practice:

Permission to the defendant to implead a person, not originally a party, asserted to be liable to the defendant for all or part of the plaintiff’s claim against the defendant, was something of an innovation when it was brought into the civil practice on a general basis in 1938. Perhaps by reason of its novelty, this “third-party practice” of Rule 14 was closely guarded. The defendant seeking impleader had always to apply to the court for leave: he might move ex parte if he had not yet served his answer; after answer, the more common case, he was obliged to give notice to the plaintiff.

Kaplan, *Amendments of the Federal Rules of Civil Procedure, 1961–1963 (II)*, 77 Harv.L.Rev. 801, 801 (1964). Amendments in 1963 permitted the third party to be impleaded without court permission if the impleader complaint is filed shortly after defendant’s answer in the original suit is served. What are the advantages of the current approach?

2.In *Jeub* the applicable state law recognized a substantive right of action but failed to provide a procedure for the acceleration or concurrent determination of the liability as part of the principal lawsuit. In a diversity case in a state that adheres to the common law rule prohibiting contribution among joint tortfeasors, must a federal court deny impleader of a joint tortfeasor? How might the court shape the relief on an accelerated or contingent claim to reflect the limitations of substantive state law?

3. Rule 14 does not allow a defendant to implead an existing defendant. See *Horton v. Continental Can Co.*, 19 F.R.D. 429 (D. Neb. 1956). But there are at least two other possible procedures for a defendant to assert its claims against an existing defendant. What are they? What difference does it make if a defendant’s claim is brought under Rule 14 or some “other appropriate procedure”? What is the logic of Rules 13(a), (b), and (g) permitting or requiring counterclaims and crossclaims to be asserted against persons who already are parties and Rule 14(a) denying impleader in that context?

4.Will diversity jurisdiction be defeated if defendant seeks to implead a third-party defendant who is a citizen of the same state as plaintiff? See p. 360, Note 2, supra. Can the original plaintiff assert a claim against a nondiverse third-party defendant? What if plaintiff’s claim is a compulsory counterclaim? See *Oakley, Kroger Redux*, 51 Duke L.J. 663, 665 (2001).

5.Courts have held that the statutory venue limitations have no application to Rule 14 claims even if they would require the third-party proceeding to be heard in another district had it been brought as an independent action. May plaintiff object to venue if the third-party defendant asserts a claim against that party under Rule 14(a)(2)(D)?

6.Third-party procedure developed in some states in the early twentieth century, influenced by the English Rules of 1875, which permitted a

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defendant to assert contribution, indemnification, or liability over with respect to a third party. As late as 1937, the procedure did not have a fixed name, but sometimes was referred to as impleader. See Millar, *Notabilia of American Civil Procedure 1887–1937*, 50 Harv.L.Rev. 1017, 1023 (1937). For a discussion of the development of state third-party practice, see Friedenthal, *The Expansion of Joinder in Cross-Complaints by the Erroneous Interpretation of Section 442 of the California Code of Civil Procedure*, 51 Calif.L.Rev. 494 (1963).

F. INTERPLEADER

Read Federal Rule of Civil Procedure 22 and 28 U.S.C. §§ 1335, 1397, and 2361, and the accompanying materials in the Supplement.

Interpleader is a device designed to enable a party who might be exposed to multiple claims to money or property under the party’s control to settle the controversy in a single proceeding. For example, if two people claim that each is the sole beneficiary of a life insurance policy, the insurance company, in the absence of a joinder device such as interpleader, would be required to defend against both in two actions. Not only would the company be forced to incur the expense of additional litigation, but it would be faced with the possibility that, in separate lawsuits, both claimants might win. See 7 Wright, Miller & Kane, Federal Practice and Procedure § 1702 (3d ed.).

1.HISTORICAL LIMITATIONS ON THE USE OF INTERPLEADER

HANCOCK OIL CO. v. INDEPENDENT DISTRIBUTING CO.
Supreme Court of California, 1944.
[24 Cal.2d 497, 150 P.2d 463.](#)

EDMONDS, JUSTICE. * * *

According to the complaint [filed by two corporate lessees of certain real property], in 1936 W.L. Hopkins and Gertrude Ann Hopkins, his wife, leased certain real property to Hancock Oil Company of California and R.R. Bush Oil Company. Landowner's royalties of approximately \$1,500 have accrued. It is also alleged that in 1941, Independent Distributing Co., a copartnership composed of Merritt Bloxom, Eugene E. Olwell and Murray M. Olwell, brought an action asserting that W.L. Hopkins, Gertrude Ann Hopkins, and two persons sued by fictitious names, hold the real property described in the lease in trust for them. The relief sought in the suit of Independent Distributing Co. was an accounting of the rents of the land.

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The copartnership and the copartners, together with W.L. Hopkins and Gertrude Ann Hopkins, H. James Hopkins and W.L. Hopkins, trustees of Wilbur T. Hopkins Trust, and H. James Hopkins and W.L. Hopkins, trustees of the H. James Hopkins Trust, are named as the defendants in the present suit, the charge of the complaint being that the copartnership and the copartners claim to be the owners of the land described in the lease and entitled to all of the landowner's royalties accrued and to accrue under that agreement. A further assertion of the complaint is that the defendants other than the copartnership and the copartners also claim the same royalties and by reason of these conflicting claims the lessees cannot safely determine to whom the rent should be paid. * * *

To this complaint Merritt Bloxom, Eugene E. Olwell, Murray M. Olwell and Independent Distributing Co. filed an answer alleging that they are the owners of the property and entitled to all of the rents and profits from it. They also assert that the defendants named Hopkins are holding title to the property in trust for them. The defendants other than the copartners and the copartnership interposed a general demurrer and a special demurrer upon the ground of uncertainty. Each demurrer was sustained without leave to amend and the corporations' appeal is from the judgment which followed that order.

From an opinion of the trial judge, it appears that the demurrers were sustained upon the sole ground that a tenant may not question the title of his landlord at the date of the lease; accordingly, a suit by a tenant to interplead his landlord and one who claims the rent agreed to be paid in accordance with the terms of the lease by which he holds possession of the real property is in violation of this fundamental principle. The appellants assert that a suit in interpleader does not constitute a denial of the landlord's title but is simply a means by which the tenant may discharge his obligation to pay rent under the lease without becoming involved in the conflict between different claimants to the amount due and unpaid. * * *

The common law bill of interpleader had four essential elements: (1) The same thing, debt, or duty must be claimed by both or all the parties against whom the relief is demanded; (2) all of the adverse titles or claims must be dependent, or be derived from a common source; (3) the one seeking the relief must not have nor claim any interest in the subject matter; and (4) he must have incurred no independent liability to either of the claimants. See 4 Pomeroy's Equity Jurisprudence, 5th Ed.1941, § 1322, p. 906.

These requirements have been termed historical limitations upon this otherwise expeditious equitable proceeding * * *, and in 1881 section 386 of the Code of Civil Procedure was amended to broaden the remedy. The statute * * * declares * * *: "And whenever conflicting claims are or may be made upon a person for or relating to personal property, or the performance

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of an obligation, or any portion thereof, such person may bring an action against the conflicting claimants to compel them to interplead and litigate their several claims among themselves. The order of substitution may be made and the action of interpleader may be maintained, and the applicant or plaintiff be discharged from liability to all or any of the conflicting claimants, although their titles or claims have not a common origin, or are not identical, but are adverse to and independent of one another." The provision of this enactment, that interpleader lies "although their titles or claims have not a common origin * * * but are adverse to and independent of one another," directly abrogates the common law requirement that all the adverse titles or claims must be dependent or be derived from a common source, and it is therefore clear that privity between the conflicting claimants need not be shown to invoke the remedy under the code. * * *

Early in the history of interpleader, it was held that one who sought to maintain such a suit must show outstanding claims, identical in every respect and without the slightest degree of variation, to the same thing, debt or duty. In the case of conflicting claims to specific personal property, this rigid formalism did not seriously interfere with the effectiveness of the proceeding. But where, as is generally the situation modernly, the subject matter of the conflicting claims was an obligation, a debt or a duty, the requirement as to the identity of the defendant's demands very often prevented a stakeholder from using interpleader where he was doubly vexed with respect to one liability. For example, under the narrow rule of the common law, if one person claimed all of the fund held by a bank and another person asserted the right to only a portion of that fund, the bank could not secure a determination of its liability by means of the equitable proceeding. The Legislature has removed this restriction, yet the very rationale of interpleader compels the conclusion that the amendment does not allow the remedy where each of the claimants asserts the right to a different debt, claim or duty. If the conflicting claims are mutually exclusive, interpleader cannot be maintained, but the fact that an identical right is not asserted by each of the claimants does not preclude the use of the remedy. * * *

In the present case, the plaintiffs have alleged that each of the two groups against whom interpleader is sought claims the right to receive the rents and royalties reserved in the lease. If Independent Distributing Co. and the members of that copartnership should assert that they are entitled to the reasonable value of the use and occupation of the land leased to the plaintiffs, together with the mesne profits

or damages for waste, the trial court would be required to deny the plaintiffs the right to interplead those parties with their lessors. Under such circumstances the claims of the parties would not relate to the same obligation. But as the appellants' complaint pleads that there are conflicting claims concerning their obligation to pay the rents and royalties reserved by the lease, the lessors

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and the third parties must answer and, if each of them agrees that his claim concerns the right to those rents and royalties, the lessees should be discharged from liability upon payment of their obligations under the lease.

As to the remaining common law principles governing a suit of interpleader, the appellants' complaint conforms with the requirement that the plaintiff in such a proceeding must stand in the position of a disinterested stakeholder. However, much of the present controversy centers about the last element which is specified as essential. Although the complaint discloses no obligation of the appellants other than under the lease, the respondents assert that the obligation to pay rent constitutes an independent liability and bars the remedy of interpleader.

* * * The rule concerning independent liability is stated in Corpus Juris as follows: "Interpleader will not lie if the stakeholder has incurred some personal obligation to either of the claimants, independent of the title or the right to possession, because such claimant would in that event have a claim against him which could not be settled in a litigation with the other claimant." 33 C.J. 439. * * * The Supreme Court of Maine put the matter most convincingly when it said: "The mere fact that a contractual relation exists between plaintiff and one of the defendants, under which the fund is required to be paid to such claimant, does not of itself defeat the right of interpleader. * * * If such were the law, it would be difficult to conceive of any set of facts which would enable a bank, a trustee, or other custodian of funds, or even a bailee, to maintain interpleader. The obligation referred to in the rule must be independent of the title or right of possession of the fund or property in question. * * *" First National Bank v. Reynolds, 127 Me. 340, 143 A. 266, 268, 60 A.L.R. 712. * * *

* * *

From what has been said, then, it is clear that, in the present case, as according to the facts alleged in the complaint, the relations inter se of the respondents and the copartners are such that the decision will determine the liability of the lessees to each of them, there is no independent liability which will bar the remedy of interpleader; accordingly the appellants' complaint is sufficient with respect to those of the four common law requirements for interpleader not abolished or modified by the amendment in 1881 to section 386 of the Code of Civil Procedure. * * *

[The court went on to consider the effect of the common law rule that a tenant may not dispute the title of his landlord at the time of the commencement of the relation.]

Notwithstanding the strict common law limitation on interpleader in landlord-tenant cases which is justified by an ancient rule of real property, the code provision concerning the remedy must be liberally construed. A remedial statute, its purpose is to avoid a multiplicity of suits and prevent vexatious litigation. * * *

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* * * [I]n the absence of the right to interplead the landlord and the adverse claimant to the rent, the tenant is faced with the unfortunate alternative of forfeiting his lease or possibly paying twice. * * * And there is no action at law adequate to shield him from vexation by multiple litigation over the obligation for rent, against the risk of double liability upon the same obligation, and against insecurity of tenancy.

Furthermore, interpleader is not only of importance to the tenant; it is also of advantage to the third party claimant. If the tenant may not interplead his landlord and another under the common law rule, the third party must establish his right to rent in a separate action. During the progress of this litigation the tenant would pay the rents to the landlord. It is entirely conceivable that before judgment was rendered the tenant might become insolvent, leaving the third party without recourse, or because of financial difficulties overtaking the landlord, the tenant would be required to pay his obligation twice.

Unquestionably the landlord may suffer some disadvantage in being forced to defend a suit in interpleader. While the litigation continues the rent is withheld from him without interest. But the tenant may not maintain such a suit upon the mere pretext or suspicion of double vexation; he must allege facts showing a reasonable probability of double vexation. Without accurately appraising the rationale of interpleader, by some decisions this court has mentioned as an additional requirement that the plaintiff must allege facts showing a doubt as to which claimant he can safely pay. * * * However, to demand from a plaintiff that he express a doubt as to which adverse claimant he is liable is an admission that the basis upon which the right to interpleader rests is the avoidance of double liability. "The right to the remedy by interpleader is founded, however, not on the consideration that a man may be subjected to double liability, but on the fact that he is threatened with double vexation in respect to one liability." Pfister v. Wade, * * * 56 Cal. at page 47 * * *.

* * *

The judgment is reversed.
[The dissenting opinion of JUSTICE CARTER has been omitted.]

1. The California Supreme Court stated in *Hancock* that interpleader would have been denied if Independent Oil Company had asserted a claim for profits and damages. In such a situation, the court reasoned, “the claims of the parties [Independent and Hopkins] would not relate to the same obligation.” What does the court mean by “the same obligation”? Consider the probable content of the allegations if Independent had asserted a claim for profits and damages and Hopkins had asserted a claim for the rents; would the claims have been mutually exclusive?

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2. Historically, the typical interpleader suit had two stages. The first determined whether interpleader was proper; in it, the controversy was between the stakeholder on one side and all the claimants on the other. If interpleader was granted, the first stage ended with a decree allowing the stakeholder to withdraw from the case and enjoining the claimants from taking any further proceedings against the stakeholder. Before retiring, however, the stakeholder was required to deposit the money or property involved in the dispute with the court, generally less court costs and attorney’s fees. In the second stage, the contest was among the claimants to determine their respective rights to the property or fund deposited in court. See McClintock, Equity § 188 (2d ed. 1948); 4 Pomeroy, Equity Jurisprudence § 1320 (5th ed. 1941).

3. The third requirement for interpleader mentioned in *Hancock* is that the party seeking interpleader must not have or claim any interest in the subject matter. The first case in which the requirement appeared, *Mitchell v. Hayne*, 2 Simons & Stuart 63, 57 Eng. Rep. 268 (Ch.1824), cited no authority and gave no reasons for its adoption. For this requirement’s early history, see Hazard & Moskowitz, *An Historical and Critical Analysis of Interpleader*, 52 Calif.L.Rev. 706, 744–47 (1964). At the time *Hancock* was decided, this requirement was still in full force in California. However, in 1951, Section 386 of California’s Code of Civil Procedure was amended to permit a defendant to interpose a claim to a portion of the property or money in dispute. For a sharp attack on the no-interest-in-the-subject-matter requirement, see Chafee, *Modernizing Interpleader*, 30 Yale L.J. 814, 840–42 (1921).

4. The fourth historical requirement—that the stakeholder must not have incurred any independent liability with regard to the stake of either of the claimants—derived from the principle that the stakeholder should retire from the case once interpleader was allowed. By way of illustration, assume that a bailee who is subject to conflicting claims to the bailed article has expressly acknowledged the title of one of the claimants to it. Interpleader could not be granted because a decision awarding ownership to the other claimant might not terminate the controversy concerning the bailed item; the losing claimant still might have a cause of action against the stakeholder based on the latter’s acknowledgment of title, and the stakeholder could not withdraw from the litigation at the end of the first stage of the suit. What underlies the principle that the stakeholder must be neutral, disinterested, and withdraw permanently from the suit when interpleader is allowed?

2.JURISDICTIONAL LIMITATIONS PRIOR TO PASSAGE OF THE FEDERAL INTERPLEADER ACT

The territorial approach to in personam jurisdiction, see p. 79, supra, raised a number of peculiar problems in the interpleader context. Occasionally, the stakeholder was not able to obtain jurisdiction over all of the claimants in any one state because of the limitations imposed by the Due Process Clause of the Fourteenth Amendment. To overcome this

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difficulty, courts often characterized interpleader as an in rem or quasi in rem proceeding and predicated jurisdiction on the presence of the stake within the territorial reach of the court. In *NEW YORK LIFE INS. CO. v. DUNLEVY*, 241 U.S. 518, 36 S.Ct. 613, 60 L.Ed. 1140 (1916), the Supreme Court was faced with the question whether to treat a debt as an in rem or quasi in rem basis for interpleader, and held that the interpleader was an in personam proceeding requiring personal service on the claimants before they could be bound by the judgment. As commentary explains:

The *Dunlevy* decision had the effect of rendering interpleader unavailable in the federal courts in most cases in which the claimants were of diverse citizenship. In the absence of a federal statute extending the jurisdictional reach of the district courts in interpleader actions, the prevailing territorial limitations on personal jurisdiction effectively barred the courts from offering relief when one of the claimants was from a state other than the forum. As a result, businesses engaged in interstate commerce that were confronted by conflicting claims to a particular fund often found themselves unavoidably defending several suits in different states. The situation was particularly troublesome for insurance companies due to the frequency with which multiple claims to the proceeds of an insurance policy arose.

7 Wright, Miller & Kane, Federal Practice and Procedure § 1701 (3d ed.). Congress responded to the problem in 1917 with the enactment of the first federal interpleader statute.

3.INTERPLEADER IN THE FEDERAL COURTS

Reread 28 U.S.C. §§ 1335, 1397, and 2361 and Federal Rule of Civil Procedure 22 in the Supplement.

The 1917 Federal Interpleader Act was successively broadened in 1926 and 1936 and was reconstituted in 1948 as part of the United States Judicial Code. The present Interpleader Act, 28 U.S.C. §§ 1335, 1397, and 2361, manifests a congressional intent to avoid a repetition of the *Dunlevy* decision in a federal court. Section 1397 permits venue to be laid in any judicial district in which at least one of the claimants resides and Section 2361 permits nationwide service of process in order to reach all of the claimants. Further recognition of the interstate quality of interpleader and the need for the exercise of federal judicial power in this context is the provision in 28 U.S.C.

§ 1335 permitting the federal courts to assert jurisdiction when the stake is worth as little as \$500 (the property is deposited into the court registry) and there is diversity of citizenship between or among “[t]wo or more adverse claimants.” The federal statutes on interpleader are analyzed in a series of articles by their principal

proponent, Professor Chafee: *Interstate Interpleader*, 33 Yale L.J. 685 (1924); *Interpleader in the United States Courts*, 41 Yale L.J. 1134 (1932), 42 Yale L.J. 41 (1932); *The Federal Interpleader Act of 1936*, 45 Yale L.J. 963, 1161 (1936); *Federal Interpleader Since the Act of 1936*, 49 Yale L.J. 377 (1940).

Interpleader under the Federal Interpleader Act is referred to as “statutory interpleader.” Interpleader also is available under Federal Rule 22, and is known as “rule interpleader.” Both provisions are designed to protect stakeholders from multiple liability as well as multiple lawsuits when there are competing claimants to a single fund. However, rule interpleader must satisfy the ordinary requirements of jurisdiction and venue. See Doernberg, *What’s Wrong with this Picture?: Rule Interpleader, the Anti-Injunction Act, In Personam Jurisdiction, and M.C. Escher*, 67 U.Colo.L.Rev. 551 (1996).

PAN AMERICAN FIRE & CASUALTY CO. v. REVERE

United States District Court, Eastern District of Louisiana, 1960.

[188 F.Supp. 474.](#)

WRIGHT, DISTRICT JUDGE. On February 3, 1960, a * * * large tractor and trailer collided head-on with a bus carrying school children. The bus driver and three of the children were killed and 23 others were injured, some very seriously. A few moments later, compounding the disaster, another collision occurred between two cars following the bus. * * *

Alleging that three suits against it have already been filed and that numerous other claims have been made, the tractor’s liability insurer has instituted this interpleader action, citing all potential claimants. It asks that they be enjoined from initiating legal proceedings elsewhere or further prosecuting the actions already filed and that they be directed to assert their claims in the present suit. Plaintiff has deposited a bond in the full amount of its policy limits, \$100,000, and avers that “it has no interest” in these insurance proceeds, being merely “a disinterested stakeholder.” On the other hand, the Company denies liability toward any and all claimants. This apparently contradictory position is explained by the statement of its counsel, incorporated in the record as an amendment to the complaint, that plaintiff “has no further claim” on the sum deposited with the court, but cannot technically admit “liability” since that would amount to a concession that its assured was negligent and expose him to a deficiency judgment.

The only question presented at this stage of the proceeding is whether, under the circumstances outlined, the remedy of interpleader is available to the insurer. * * *

1. *Jurisdiction.* * * *

[The court concluded that the jurisdictional amount and citizenship requirements of the Interpleader Act and Federal Rule 22 had been satisfied.]

2. *Strict Interpleader or Bill in the Nature of Interpleader.* Apparently of the opinion that the answer may affect the availability of the remedy sought here, the parties have debated the question whether this is a case for “true,” “strict,” or “pure” interpleader or whether the present facts support only an action “in the nature of interpleader.” The difference between the two is that in strict interpleader the plaintiff is a disinterested stakeholder while in the action in the nature of interpleader he is himself a claimant, whether directly or by denying the validity of some or all of the other claims. * * * Thus, if the casualty insurer had brought in the claimants and said to them: “Gentlemen, I put before you the full amount of the policy which those of you who prove your claims must divide between you, but I deny that any of you is entitled to any portion of the fund and pray that all your demands be rejected and that the deposit be returned to me in due course,” clearly this would not be a true interpleader but an action in the nature of interpleader. The problem here is whether the allegation of disinterestedness already noted changes the character of the action to one of strict interpleader. * * *

But does it matter how the action is characterized? It would seem to make no difference since both Rule 22 and the Interpleader Act expressly provide for actions in the nature of interpleader as well as strict bills, the drafters in each case voicing their intent to erase the distinction. But before so concluding, we must dispose of an old rule of equity that gave importance to the difference between “pure” and “impure” bills of interpleader.

3. *Special Equitable Ground for Bill in the Nature of Interpleader.* Though apparently known to the early common law, modern interpleader developed in the chancery courts and is today considered an equitable remedy. Hence, in theory at least, the resort to equity must be justified by the absence of an adequate remedy at law.

* * *

The present law * * * is that the only equitable ground necessary for interpleader, whether the plaintiff is a disinterested stakeholder or not, is exposure to double or multiple vexation. But, of course, this does not mean that every person threatened with a multiplicity of suits is entitled to interplead. The function of interpleader is to rescue a debtor from *undue* harassment when there are several claims made against the *same fund*. It is because the aggregate demands exceed the insurer’s contractual obligation that the condition is here

satisfied.

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4. *Exposure to Multiple Liability.* Though the Interpleader Act makes no such requirement, Rule 22 apparently permits interpleader only if the claims “may expose a plaintiff to double or multiple *liability*.” (Emphasis added.) In theory at least, this is not necessarily the same thing as exposure to double or multiple *vexation* on a single obligation. There may be situations in which the debtor, though harassed by many suits on account of one transaction, is never in danger of being compelled to pay the same debt twice. Indeed, here, the argument is advanced that because it has fixed the limits of its liability in its policy, the insurer is not exposed to multiple liability no matter how many claims are filed, and, therefore, is not entitled to maintain interpleader, at least under the Rule.

But the requirement is not a strict one. * * * The key to the clause requiring exposure to “double or multiple liability” is in the word “may.” The danger need not be immediate; any possibility of having to pay more than is justly due, no matter how improbable or remote, will suffice. At least, it is settled that an insurer with limited contractual liability who faces claims in excess of his policy limits is “exposed” within the intendment of Rule 22, and we need go no further to find the requirement satisfied here.

5. *Adversity of Claimants.* In a somewhat overlapping objection, it is said that the present claims are not characterized by that “adversity” to one another which is a prerequisite of interpleader. It is of course true that they are identical neither in origin nor in amount and that they are, in some degree at least, independent demands. But, despite the objection of purists who would retain the old doctrine of complete “mutual exclusiveness,” both Rule 22 and the Interpleader Act now expressly provide that this is no bar to the remedy. On the other hand, there remains a requirement that the claimants be “adverse” in some way. The question is whether that requirement is met when, as here, the claimants, though in theory indifferent toward each other, are in fact competing for a fund which is not large enough to satisfy them all. The answer is clear * * * : “In that situation it is to the interest of its claimant to reduce or defeat altogether the claim of every other claimant. * * * ”

6. *Fault of Plaintiff.* * * *

[The court held that plaintiff was not guilty of “unclean hands,” which would have barred equitable relief.]

7. *Unliquidated Tort Claims as Justifying Interpleader.* Over and above the technical objections already disposed of, the argument is advanced that interpleader is not an appropriate method of adjudicating unliquidated tort claims. Such a bald proposition might be rejected summarily were it not for the startling fact that there appears to be no precedent in the federal courts for granting interpleader in the present situation. * * *

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At the outset, it seems clear that interpleader will lie when there are several tort claimants who have obtained judgments which aggregate more than the amount of the policy. Indeed, in that case it can make no difference whether the claims originated in tort or contract. Moreover, it is settled that interpleader is available to an insurer whose policy is insufficient to satisfy contract claims, though they have not been reduced to judgment. Why, then, should the remedy be denied to a blameless insurer faced with excessive tort claims? Three reasons have been suggested: (1) As to quantum, at least, tort claims are more conjectural than contract claims; (2) since it is not directly liable to the claimants, the insurer’s exposure as to tort claims is “remote” until they have been reduced to judgment; and (3) tort claims “are peculiarly appropriate for jury trial,” which would have to be denied under the equitable practice of interpleader.

The effect of the first objection is only this: that it is more difficult in the case of tort claims to determine whether the aggregate will exceed the policy limits so as to render the claimants “adverse” and expose the insurer to “multiple liability.” It may be that there are few cases in which this result can be reasonably anticipated, but, clearly, this is one of them.

The second objection, though it forms the basis of the only reported decision denying interpleader to an automobile liability insurer,³⁶ is no better. Indeed, under the “may expose” clause of Rule 22 and the “may claim” clause of the Interpleader Act, it would not seem to matter how remote the danger might be. But, in any event, prematurity is no defense under the peculiar Louisiana law which allows a direct action against the automobile liability insurer.

8. *Jury Trial.* On the theory that the resort to equity defeats the right of trial by jury, it has been said that once interpleader is granted all issues in the case must be tried to the judge alone. There is, however, eminent authority to the contrary, including Judge Learned Hand, Professor Chafee, and Professor Moore, who hold that legal issues arising in an interpleader action can be tried before a jury. Whatever may be the right solution in another case, here it seems clear that the questions of liability and damages ought to be put to a jury. * * *

9. *Enjoining of Other Proceedings.* Usually interpleader will not be really effective unless all claimants are brought before the same court in one proceeding and restricted to that single forum in the assertion of their claims. * * * Immediately, the question arises whether Section 2283 of Title 28 of the Code presents an obstacle to enjoining state court proceedings.

As amended in 1948, that section prohibits a federal court from interfering with a pending state court action except in three situations: (1) Where such a course is “expressly authorized by Act of Congress”; (2) where

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the issuance of an injunction by the federal court is “necessary in aid of its jurisdiction”; and (3) where the court’s action is required “to protect or effectuate its judgments.” Clearly, the first exception is applicable to a suit brought under the Interpleader Act since that statute expressly empowers the court to enjoin the claimants “from instituting or prosecuting any proceeding in any State or United States court affecting the property, instrument or obligation involved in the interpleader action * * *.” But the exception does not apply to an action under Rule 22, for the quoted provision authorizing stay orders is restricted to statutory interpleader. If state court proceedings can be enjoined when interpleader is brought under the Rule it must be by virtue of the second exception in Section 2283.

The question whether the court entertaining a non-statutory interpleader suit may enjoin state court proceedings on the same issues on the theory that it is “necessary in aid of its jurisdiction” is not free from doubt. * * * But * * * every indication is that, regardless of the Interpleader Act, the power of a federal court to enjoin pending state court proceedings in a case like this one will be sustained. Certainly that result is desirable, if not indispensable. * * *

10. *Venue and Service of Process.* * * * [T]here are two procedural limitations on actions under the Rule which become important whenever the claimants are not all within the territorial jurisdiction of the district court. [The court concluded that the then-existing venue statute and territorial limitations on personal jurisdiction precluded interpleader in the Eastern District of Louisiana.] * * *

But the situation is different when jurisdiction exists under the statute, for the Interpleader Act specially provides that the action may be commenced in any district where one defendant resides and that process will run throughout the United States. Unfortunately, these exceptional rules apply only to statutory interpleader. The present suit, then, is maintainable only under the Interpleader Act unless the Wisconsin defendant waives venue and voluntarily appears or is found in Louisiana.

11. *Conclusion.* * * * [T]he prayer for interpleader will be granted, without, however, discharging the plaintiff who is contractually bound to resist the demands. Injunctions will issue restraining all parties from further prosecuting any pending suits against plaintiff or its assured on account of the accident described, or from instituting like proceedings before this or any other court. All defendants will be required to enter their claims by way of answer in this action within thirty days from notice of this judgment. Thereafter, upon timely demand by any one of the parties, the court will order a joint jury trial of all the claims upon the issues of liability and damages. In the event the aggregate of the verdicts should exceed the amount of plaintiff’s liability, the court reserves unto itself the task of apportioning the insurance proceeds in such manner as it deems just.

The motion to dismiss will be denied.

QUESTIONS

If an insurance company in the *Pan American* situation pays the full amount of the policy to certain claimants, either by way of settlement or in satisfaction of a judgment, can it defend later actions by unpaid claimants by arguing that it has already exhausted the policy? To what extent is the answer to this question relevant in determining whether interpleader should be granted?

STATE FARM FIRE & CASUALTY CO. v. TASHIRE
Supreme Court of the United States, 1967.
[386 U.S. 523, 87 S.Ct. 1199, 18 L.Ed.2d 270.](#)

Certiorari to the United States Court of Appeals for the Ninth Circuit.

JUSTICE FORTAS delivered the opinion of the Court.

[This case arose out of a collision between a Greyhound bus and a pickup truck in Shasta County, California, in September 1964. Two of the bus passengers were killed and 33 others were injured, as were the bus driver, the driver of the truck, and its passenger. One of the dead and ten of the injured passengers were Canadians; the rest of the individuals were citizens of five American states.

Four of the injured passengers filed suit in California state courts seeking damages in excess of \$1,000,000 and naming as defendants: Greyhound Lines, Inc.; Nauta, the bus driver; Clark, the driver of the truck; and Glasgow, the truck passenger who apparently was its owner. Each of the individual defendants was a citizen of Oregon; Greyhound was a California corporation. Before the California cases came to trial and before any other suits were filed, petitioner, State Farm Fire & Casualty Company, an Illinois corporation, brought this action in the nature of interpleader in the United States District Court for the District of Oregon.

State Farm asserted that at the time of the collision it had in force an insurance policy covering Clark, the driver of the truck, for bodily injury liability up to \$10,000 per person and \$20,000 per occurrence. State Farm further asserted that the aggregate damages sought in actions already filed in California and other anticipated actions far exceeded the amount of its maximum liability under the policy. Accordingly, it paid into court the sum of \$20,000 and asked the court (1) to require all claimants to establish their claims against Clark and his insurer in the Oregon proceeding and in no other action, and (2) to discharge State Farm from all further obligations under its policy. Alternatively, State Farm requested a decree that the insurer owed no duty to Clark and was not liable on the policy, and asked the court to refund the \$20,000 deposit. State Farm joined as defendants

Clark, Glasgow, Nauta, Greyhound, and each of the prospective claimants. Jurisdiction was predicated both upon the Federal

Interpleader Act and general diversity of citizenship. Personal service was effected on each of the American defendants and registered mail was employed to give notice to the 11 Canadian claimants.

The Oregon District Court issued an order requiring each of the defendants to show cause why he should not be restrained from filing or prosecuting any proceeding affecting the property or obligation involved in the interpleader action. In response, several of the defendants contended that the policy did cover the accident and advanced various arguments for the position that interpleader was inappropriate.

When a temporary injunction along the lines sought by State Farm issued, the respondents moved to dismiss and, in the alternative, sought a change of venue to the district in which the collision had occurred. After a hearing, the District Court declined to dissolve the temporary injunction but continued the motion for a change of venue. Later, the temporary injunction was broadened so that all suits against Clark, State Farm, Greyhound, and Nauta had to be prosecuted in the interpleader proceeding.

On interlocutory appeal, the Ninth Circuit reversed on the ground that in states, such as Oregon, that do not permit a “direct action” against an insurance company until a judgment is obtained against the insured, State Farm could not invoke federal interpleader until the claims against the insured had been reduced to judgment. The Court of Appeals held that prior to that time claimants with unliquidated tort claims are not “claimants” within the meaning of Section 1335 of Title 28 and are not “persons having claims against the plaintiff” within the meaning of Federal Rule 22.⁶ The Ninth Circuit directed that the temporary injunction be dissolved and the action be dismissed. The Supreme Court granted certiorari.]

* * *

I.

Before considering the issues presented by the petition for certiorari, we find it necessary to dispose of a question neither raised by the parties nor passed upon by the courts below. Since the matter concerns our jurisdiction, we raise it on our own motion. * * * The interpleader statute * * * has been uniformly construed to require only “minimal diversity,” that is, diversity of citizenship between two or more claimants, without regard to the circumstance that other rival claimants may be co-citizens. The language of the statute, the legislative purpose broadly to remedy the problems posed by multiple claimants to a single fund, and the consistent

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judicial interpretation tacitly accepted by Congress, persuade us that the statute requires no more. There remains, however, the question whether such a statutory construction is consistent with Article III of our Constitution * * *. In *Strawbridge v. Curtiss* * * * [p. 305, supra], this Court held that the diversity of citizenship statute required “complete diversity”: where co-citizens appeared on both sides of a dispute, jurisdiction was lost. But Chief Justice Marshall there purported to construe only “The words of the act of Congress,” not the Constitution itself. And in a variety of contexts this Court and the lower courts have concluded that Article III poses no obstacle to the legislative extension of federal jurisdiction, founded on diversity, so long as any two adverse parties are not co-citizens. Accordingly, we conclude that the present case is properly in the federal courts.

II.

We do not agree with the Court of Appeals that, in the absence of a state law or contractual provision for “direct action” suits against the insurance company, the company must wait until persons asserting claims against its insured have reduced those claims to judgment before seeking to invoke the benefits of federal interpleader. That may have been a tenable position under the 1926 * * * and 1936 interpleader statutes. * * * These statutes did not carry forward the language in the 1917 Act authorizing interpleader where adverse claimants “may claim” benefits as well as where they “are claiming” them. * * * In 1948, however, in the revision of the Judicial Code, the “may claim” language was restored. * * * Until the decision below, every court confronted by the question has concluded that the 1948 revision removed whatever requirement there might previously have been that the insurance company wait until at least two claimants reduced their claims to judgments. The commentators are in accord.

Considerations of judicial administration demonstrate the soundness of this view which, in any event, seems compelled by the language of the present statute, which is remedial and to be liberally construed. Were an insurance company required to await reduction of claims to judgment, the first claimant to obtain such a judgment or to negotiate a settlement might appropriate all or a disproportionate slice of the fund before his fellow claimants were able to establish their claims. The difficulties such a race to judgment pose for the insurer, and the unfairness which may result to some claimants, were among the principal evils the interpleader device was intended to remedy.

III.

The fact that State Farm had properly invoked the interpleader jurisdiction under § 1335 did not, however, entitle it to an order both enjoining prosecution of suits against it outside the confines of the interpleader proceeding and also extending such protection to its insured,

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the alleged tortfeasor. Still less was Greyhound Lines entitled to have that order expanded so as to protect itself and its driver, also alleged to be tortfeasors, from suits brought by its passengers in various state or federal courts. Here, the scope of the litigation, in terms of parties and claims, was vastly more extensive than the confines of the “fund,” the deposited proceeds of the insurance policy. In these

circumstances, the mere existence of such a fund cannot, by use of interpleader, be employed to accomplish purposes that exceed the needs of orderly contest with respect to the fund.

There are situations, of a type not present here, where the effect of interpleader is to confine the total litigation to a single forum and proceeding. One such case is where a stakeholder, faced with rival claims to the fund itself, acknowledges—or denies—his liability to one or the other of the claimants. In this situation, the fund itself is the target of the claimants. It marks the outer limits of the controversy. It is, therefore, reasonable and sensible that interpleader, in discharge of its office to protect the fund, should also protect the stakeholder from vexatious and multiple litigation. In this context, the suits sought to be enjoined are squarely within the language of 28 U.S.C. § 2361 * * *.

But the present case is another matter. Here, an accident has happened. Thirty-five passengers or their representatives have claims which they wish to press against a variety of defendants: the bus company, its driver, the owner of the truck, and the truck driver. The circumstance that one of the prospective defendants happens to have an insurance policy is a fortuitous event which should not of itself shape the nature of the ensuing litigation. * * * [A]n insurance company whose maximum interest in the case cannot exceed \$20,000 and who in fact asserts that it has no interest at all, should not be allowed to determine that dozens of tort plaintiffs must be compelled to press their claims—even those claims which are not against the insured and which in no event could be satisfied out of the meager insurance fund—in a single forum of the insurance company’s choosing. There is nothing in the statutory scheme, and very little in the judicial and academic commentary upon that scheme, which requires that the tail be allowed to wag the dog in this fashion.

State Farm’s interest in this case * * * receives full vindication when the court restrains claimants from seeking to enforce against the insurance company any judgment obtained against its insured, except in the interpleader proceeding itself. To the extent that the District Court sought to control claimants’ lawsuits against the insured and other alleged tortfeasors, it exceeded the powers granted to it by the statutory scheme.

We recognize, of course, that our view of interpleader means that it cannot be used to solve all the vexing problems of multiparty litigation arising out of a mass tort. But interpleader was never intended to perform

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such a function, to be an all-purpose “bill of peace.” Had it been so intended, careful provision would necessarily have been made to insure that a party with little or no interest in the outcome of a complex controversy should not strip truly interested parties of substantial rights—such as the right to choose the forum in which to establish their claims, subject to generally applicable rules of jurisdiction, venue, service of process, removal, and change of venue. None of the legislative and academic sponsors of a modern federal interpleader device viewed their accomplishment as a “bill of peace,” capable of sweeping dozens of lawsuits out of the various state and federal courts in which they were brought and into a single interpleader proceeding. And only in two reported instances has a federal interpleader court sought to control the underlying litigation against alleged tortfeasors as opposed to the allocation of a fund among successful tort plaintiffs. See *Commercial Union Ins. Co. of New York v. Adams*, 231 F.Supp. 860 (D.C.S.D.Ind.1964) (where there was virtually no objection and where all of the basic tort suits would in any event have been prosecuted in the forum state), and *Pan American Fire & Cas. Co. v. Revere* * * *.

* * *

IV.

The judgment of the Court of Appeals is reversed * * *.

[JUSTICE DOUGLAS dissented on the ground that the litigants were not “claimants” to the fund as required by the Federal Interpleader Act. He pointed out that the insurance policy specifically provided that no action could be brought against the company until the insured’s obligation was determined. Furthermore, both California and Oregon law did not permit a direct action against the insurer until after final judgment against the insured. The dissent also took issue with the majority’s construction of the words “may claim” in the Interpleader Act.]

NOTES AND QUESTIONS

1. In *TREINIES v. SUNSHINE MINING CO.*, 308 U.S. 66, 60 S.Ct. 44, 84 L.Ed. 85 (1939), the Supreme Court held that a federal court could constitutionally assert jurisdiction under the Federal Interpleader Act despite the cocitizenship of the stakeholder and one of the claimants. In arriving at this conclusion, the Court said that the stakeholder’s “disinterestedness as between the claimants and as to the property in dispute” was demonstrated by his deposit of the fund in the court, and his discharge, which left the dispute to be ironed out between the “adverse claimants.” *Id.* at 72, 60 S.Ct. at 48, 84 L.Ed. at 90. Was it realistic for the Court to treat the stakeholder as a nominal party for diversity purposes?
2. In *Tashire*, on what basis did the Supreme Court decide that cocitizenship between adverse claimants does not destroy diversity jurisdiction? Would the result have been different had there been a lack of

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- diversity between State Farm and the named defendants and an absence of “complete diversity” among all of the claimants?
3. In *Tashire*, the Court concluded that an insurer may invoke statutory interpleader before claimants have reduced their insurance claims to judgment. However, the existence of the interpleader action was not a sufficient basis to stay all other actions involving claims of liability. According to

the Court, what kinds of litigation would be appropriate for the interpleader-court to enjoin under 28 U.S.C. § 2361? Is this approach consistent with the Court’s view that interpleader is not “an all-purpose ‘bill of peace’ ”? Is *Revere*, p. 773, *supra*, at the margins of the court’s discretion to enjoin other actions? Do you agree that a stay would be appropriate when the fund is “the target of entire litigation”? See *Buckeye State Mut. Ins. Co. v. Moens*, 944 F.Supp.2d 678, 695 (N.D. Iowa 2013).

4.In *GRIFFIN v. McCOACH*, 313 U.S. 498, 61 S.Ct. 1023, 85 L.Ed. 1481 (1941), the Supreme Court held that in a statutory interpleader suit based on diversity jurisdiction a federal court is bound by the *Erie* doctrine to apply the conflicts rules of the state in which it sits. The case was decided on the same day as *Klaxon*, p. 517, *supra*. Yet, in certain statutory interpleader actions, the courts of the forum state might never have been able to hear a comparable case due to Fourteenth Amendment limitations on their personal jurisdiction. Should federal courts be able to develop their own conflicts rules when a federal act extends service of process beyond what is permitted a state by the Constitution? See *Developments in the Law—Multiparty Litigation in the Federal Courts*, 71 Harv.L.Rev. 877, 924–26 (1958). Are there any other arguments to suggest the inapplicability of *Erie* and *Klaxon* in statutory interpleader cases? Relatedly, can a federal court grant interpleader under Rule 22 when the state courts would deny interpleader because the stakeholder alleges a personal interest in the outcome of the case?

5.Consider the statement in *Tashire* that “our view of interpleader means that it cannot be used to solve all the vexing problems of multiparty litigation arising out of a mass tort.” 386 U.S. at 535, 87 S.Ct. at 1206, 18 L.Ed.2d at 278. How far does this limitation extend? Should it prohibit crossclaims between interpleader claimants, the assertion of an unrelated claim by a disinterested stakeholder against a claimant, and a counterclaim by a claimant against the stakeholder? In the case that follows, what are the barriers that impede the utility of the interpleader proceeding?

REPUBLIC OF THE PHILIPPINES v. PIMENTEL, 553 U.S. 851, 128 S.Ct. 2180, 171 L.Ed.2d 131 (2008). Merrill Lynch, the brokerage firm, held \$35 million in a New York brokerage account owned by a Panamanian company, Arelma, that was controlled by Ferdinand Marcos, the former President of the Republic of the Philippines. Merrill Lynch brought a statutory interpleader action in federal court to determine ownership of the Arelma assets. Claimants included the Republic of the Philippines

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(“Republic”); the Philippine Presidential Commission on Good Governance (“Commission”); a class of persons who had suffered human rights abuses during the Marcos regime (known as the “Pimentel class”) seeking to enforce a \$2 billion judgment entered by a federal court in the United States; and other judgment creditors. On a parallel track in the Philippines, the Republic and the Commission sought a declaration from the Sandiganbayan, a court of special jurisdiction over corruption cases, that any assets Marcos had obtained through misuse of office were forfeited to the Republic.

The Republic and the Commission moved to dismiss the interpleader action, asserting that they were entitled to sovereign immunity and that under Rule 19 the action could not go forward in their absence because they were required parties. After complicated proceedings, the District Court awarded the assets to the Pimentel class, and the Ninth Circuit affirmed. The Supreme Court granted certiorari and held that the Republic and the Commission were required parties and that the interpleader action could not proceed without them, ordering that the action be dismissed.

No party contested that Rule 19(a) applied to the case. The Republic and the Commission were considered required because “their interests in the subject matter” were not protected if they were not present as parties. *Id.* at 864, 128 S.Ct. at 2189, 171 L.Ed.2d at 144 (internal citation omitted). The harder question was whether the case could go forward in their absence under Rule 19(b). On this point, the Supreme Court held that the Court of Appeals committed reversible error by giving insufficient weight to the absentees’ assertion of sovereign immunity. The absentees would suffer prejudice to their sovereign status, which gave them, among other things, a “unique interest” in resolving ownership of the contested assets “and in determining if, and how, the assets should be used to compensate those persons who suffered grievous injury.” *Id.* at 866, 128 S.Ct. at 2190, 171 L.Ed.2d at 145. In the Court’s view, the absentees’ comity interest in using Philippine courts to resolve the disputed claims offset any interest of the Pimentel class in recovering damages or any international concerns in combating public corruption. Moreover, the use of an alternative remedy could not lessen the prejudice to the absentees under Rule 19(b)(2)—no alternative remedies had “been proposed * * * or appear[ed] to be available.” *Id.* at 870, 128 Sup.Ct. at 2192, 171 L.Ed.2d at 148. Nor would the judgment be adequate without the absentees under Rule 19(b)(3). On this factor, the Court explained, the Ninth Circuit erred by equating adequacy with “satisfaction of the Pimentel class’ claims.” To the contrary, adequacy referred to the “ ‘public stake in settling disputes by wholes, whenever possible,’ ” and in this case the judgment would not be adequate because it would not bind the absentees. Finally, it was also error to focus on the Pimentel class claimants, and not Merrill Lynch, in determining “whether the plaintiff would have an adequate remedy if the [interpleader]

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action were dismissed for nonjoinder,” because Merrill Lynch as stakeholder was plaintiff in the interpleader action. See Rule 19(b)(4). In the Supreme Court’s view, dismissing the interpleader action would protect the stakeholder-bank by providing “an effective defense against piecemeal litigation and inconsistent, conflicting judgments”; moreover, any prejudice to the stakeholder was “outweighed by prejudice to the absent entities invoking sovereign immunity.” *Id.* at 872, 128 S.Ct. at 2193–94, 171 L.Ed.2d at 149 (internal citation omitted).

The Court concluded:
The Court of Appeals’ failure to give sufficient weight to the likely prejudice to the Republic and the Commission should the

interpleader proceed in their absence would, in the usual course, warrant reversal and remand for further proceedings. In this case, however, that error and our further analysis under the additional provisions of Rule 19(b) lead us to conclude the action must be dismissed. This leaves the Pimentel class, which has waited for years now to be compensated for grievous wrongs, with no immediate way to recover on its judgment against Marcos. And it leaves * * * [the stakeholder] without a judgment.

The balance of equities may change in due course. One relevant change may occur if it appears that the Sandiganbayan [the Philippine court hearing the absentees' claim] cannot or will not issue its ruling within a reasonable period of time. Other changes could result when and if there is a ruling. * * * We do note that if [the stakeholder or other parties] * * * elect to commence further litigation in light of changed circumstances, it would not be necessary to file the new action in the District Court where this action arose, provided venue and jurisdictional requirements are satisfied elsewhere. The present action, however, may not proceed.

Id. at 872–73, 128 S.Ct. at 2194, 171 L.Ed.2d at 149–50. Justice Stevens dissented in part. He criticized the Court for taking “a more ‘inflexible approach’ ” to the question of mandatory parties than required by Rule 19 and for ignoring the parties’ interest “in the prompt resolution” of their claims. Id. at 879, 128 S.Ct. at 2197, 171 L.Ed.2d at 153.

NOTES AND QUESTIONS

1. Sovereign immunity is a doctrine that insulates the government from suit unless it gives it consent. The immunity of a foreign government to suit in courts in the United States is governed by the Foreign Sovereign Immunities Act, codified at 28 U.S.C. §§ 1330, 1332, 1391(f), 1441(d), and 1602–11. A course in Constitutional Law or Federal Courts typically covers the doctrine in detail.
2. The Court’s decision in *Pimentel* has been singled out as an “obvious” example of “dismal reasoning.” Ides, *Foreword: A Critical Appraisal of the Supreme Court’s Decision in J. McIntyre Machinery, Ltd. v. Nicastro*, 45 Loy.L.A.L.Rev. 341, 386 n.175 (2012). What is the basis for that criticism? Did the *Pimentel* Court misapprehend the requirements of interpleader and, in particular, of the “required” party condition under Rule 19? Was it appropriate for the interpleader device and its policy of litigation “by wholes” to defeat the human rights victims’ right to relief? Or was the problem that the substantive law of sovereign immunity impeded the utility of the procedure? See Issacharoff, *Private Claims, Aggregate Rights*, 2008 Sup.Ct.Rev. 183.
3. Commentators note that a “near-categorical” rule has developed that an entire case is to be dismissed under Rule 19 when a party considered necessary cannot be joined because of sovereign immunity. For example, in *WICHITA & AFFILIATED TRIBES OF OKLAHOMA v. HODEL*, 788 F.2d 765, 776 (D.C. Cir. 1986), the court determined that it was impossible to shape the relief as to avoid prejudice to absent parties, in this case, Indian tribes invoking sovereign immunity. See Fletcher, *The Comparative Rights of Indispensable Sovereigns*, 40 Gonz.L.Rev. 1 (2005). Should dismissal ever be appropriate when no alternative forum exists to provide adequate relief? See Florey, *Making Sovereigns Indispensable: Pimentel and the Evolution of Rule 19*, 58 UCLA L.Rev. 667 (2011); Andre, *Compulsory (Mis)joinder: The Untenable Intersection of Sovereign Immunity and Federal Rule of Civil Procedure 19*, 60 Emory L.J. 1157 (2011). Should the public importance of the litigation be a factor in determining whether the suit ought to be dismissed? See Tobias, *Rule 19 and the Public Rights Exception to Party Joinder*, 65 N.C.L.Rev. 745 (1987).

G. INTERVENTION

Read Federal Rule of Civil Procedure 24 in the Supplement.

Federal Rule 24, which governs intervention, differs from the joinder rules so far studied in an important respect: The rule allows a stranger to a lawsuit to interject itself into the action. A noted commentator has explained:

A civil action, in the Anglo-American tradition, has usually been thought of as a private controversy between plaintiff and defendant. Although outsiders were sometimes permitted to take part in order to protect their interests, they were more often regarded by the court and the parties as undesired intermeddlers who would be required to protect themselves—if they could—by bringing a lawsuit of their own. Indeed after courts of admiralty, and later of equity, recognized intervention as a proper means of

asserting an interest in property in the custody of the court, there remained considerable uncertainty for many years about whether, and to what extent, intervention could be permitted in a routine action at law.

But in recent decades the increased complexity of litigation and the growing number of cases involving the public interest or a wide variety of private interests have been accompanied by a steady change in the attitude toward intervention. Both intervention of right and permissive intervention were given new vitality in the federal system by adoption of [R]ule 24 of the Federal Rules * * * in 1938, and subsequent amendments have broadened their scope.

Shapiro, *Some Thoughts on Intervention Before Courts, Agencies, and Arbitrators*, 81 Harv.L.Rev. 721, 721–22 (1968) (footnotes

omitted); see 7C Wright, Miller & Kane, Federal Practice and Procedure § 1901 (3d ed.).

SMUCK v. HOBSON

United States Court of Appeals, District of Columbia Circuit, 1969.
[132 U.S.App.D.C. 372, 408 F.2d 175.](#)

BAZELON, CHIEF JUDGE.

[In *Hobson v. Hansen*, 269 F.Supp. 401 (D.D.C.1967), a class action brought on behalf of Black and poor children, the court found that plaintiffs were being denied their constitutional rights to equal educational opportunities because the District of Columbia schools were being operated on a basis that was racially and economically discriminatory. The Board of Education voted not to appeal and ordered Dr. Carl Hansen, the Superintendent of Schools, not to appeal. Nonetheless, Dr. Hansen and Carl Smuck, one of the dissenting Board members, filed notices of appeal. In addition, motions to intervene were made in the district court and in the court of appeals by Dr. Hansen and twenty parents who said they “dissent from” the court’s decision. The court of appeals decided to hold the direct appeals in abeyance and remanded the intervention motions for a hearing. The district court granted the motions to intervene, even though neither Hansen nor the parents had shown a substantial interest that could be protected only through intervention, “in order to give the Court of Appeals an opportunity to pass on the intervention questions raised here, and the questions to be raised by the appeal on the merits * * *.” *Hobson v. Hansen*, 44 F.R.D. 18, 33 (D.D.C.1968). The court of appeals then considered the matter *en banc*.]

* * * These appeals challenge the findings of the trial court that the Board of Education has in a variety of ways violated the Constitution in

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administering the District of Columbia schools. Among the facts that distinguish this case from the normal grist of appellate courts is the absence of the Board of Education as an appellant. Instead, the would-be appellants are Dr. Carl F. Hansen, the resigned superintendent of District schools, who appeals in his former official capacity and as an individual; Carl C. Smuck, a member of the Board of Education, who appeals in that capacity; and the parents of certain school children who have attempted to intervene in order to register on appeal their “dissent” from the order below.

* * * Whatever standing he might have possessed to appeal as a named defendant in the original suit * * * disappeared when Dr. Hansen left his official position. Presumably because he was aware of this, he subsequently moved to intervene under [Federal] Rule 24(a) * * * in order to appeal as an individual. * * * He does not claim that a reversal or modification of the order by this Court would make his return to office likely. Consequently, the supposed impact of the decision upon his tenure is irrelevant insofar as an appeal is concerned, since a reversal would have no effect. Dr. Hansen thus has no “interest relating to the property or transaction which is the subject of the action” sufficient for Rule 24(a), and intervention is therefore unwarranted.

We also find that Mr. Smuck has no appealable interest as a member of the Board of Education. While he was in that capacity a named defendant, the Board of Education was undeniably the principal figure and could have been sued alone as a collective entity. Appellant Smuck had a fair opportunity to participate in its defense, and in the decision not to appeal. Having done so, he has no separate interest as an individual in the litigation. The order directs the board to take certain actions. But since its decisions are made by vote as a collective whole, there is no apparent way in which Smuck as an individual could violate the decree and thereby become subject to enforcement proceedings.

The motion to intervene by the parents presents a more difficult problem requiring a correspondingly more detailed examination of the requirements for intervention of right.

* * *

The phrasing of Rule 24(a)(2) as amended parallels that of Rule 19(a)(2)^d concerning joinder. But the fact that the two rules are entwined does not imply that an “interest” for the purpose of one is precisely the same as for the other. The occasions upon which a petitioner should be allowed to intervene under Rule 24 are not necessarily limited to those situations when the trial court should compel him to become a party under Rule 19. And while the division of Rule 24(a) and (b) into “Intervention of Right”

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and “Permissible Intervention” might superficially suggest that only the latter involves an exercise of discretion by the court, the contrary is clearly the case.

The effort to extract substance from the conclusory phrase “interest” or “legally protectable interest” is of limited promise. Parents unquestionably have a sufficient “interest” in the education of their children to justify the initiation of a lawsuit in appropriate circumstances, as indeed was the case for the plaintiff-appellee parents here. But in the context of intervention the question is not whether a lawsuit should be begun, but whether already initiated litigation should be extended to include additional parties. The 1966 amendments to Rule 24(a) have facilitated this, the true inquiry, by eliminating the temptation or need for tangential expeditions in search of “property” or someone “bound by a judgment.” It would be unfortunate to allow the inquiry to be led once again astray by a myopic

fixation upon “interest.” Rather, as Judge Leventhal recently concluded for this Court, “[A] more instructive approach is to let our construction be guided by the policies behind the ‘interest’ requirement. * * * [T]he ‘interest’ test is primarily a practical guide to disposing of lawsuits by involving as many apparently concerned persons as is compatible with efficiency and due process.”¹²

The decision whether intervention of right is warranted thus involves an accommodation between two potentially conflicting goals: to achieve judicial economies of scale by resolving related issues in a single lawsuit, and to prevent the single lawsuit from becoming fruitlessly complex or unending. Since this task will depend upon the contours of the particular controversy, general rules and past decisions cannot provide uniformly dependable guides. The Supreme Court, in its only full-dress examination of Rule 24(a) since the 1966 amendments, found that a gas distributor was entitled to intervention of right although its only “interest” was the economic harm it claimed would follow from an allegedly inadequate plan for divestiture approved by the Government in an antitrust proceeding.¹⁴ While conceding that the Court’s opinion granting intervention in *Cascade Natural Gas Corp. v. El Paso Natural Gas Co.* “is certainly susceptible of a very broad reading,” the trial judge here would distinguish the decision on the ground that the petitioner “did show a strong direct economic interest, for the new company [to be created by divestiture] would be its sole supplier.” Yet while it is undoubtedly true that “*Cascade* should not be read as a carte blanche for intervention by anyone at any time,” there is no apparent reason why an “economic interest” should always be necessary to justify intervention. The goal of “disposing of lawsuits by involving as many apparently concerned persons as is compatible with efficiency and due

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process” may in certain circumstances be met by allowing parents whose only “interest” is the education of their children to intervene. In determining whether such circumstances are present, the first requirement of Rule 24(a)(2), that of an “interest” in the transaction, may be a less useful point of departure than the second and third requirements, that the applicant may be impeded in protecting his interest by the action and that his interest is not adequately represented by others.

This does not imply that the need for an “interest” in the controversy should or can be read out of the rule. But the requirement should be viewed as a prerequisite rather than relied upon as a determinative criterion for intervention. If barriers are needed to limit extension of the right to intervene, the criteria of practical harm to the applicant and the adequacy of representation by others are better suited to the task. If those requirements are met, the nature of his “interest” may play a role in determining the sort of intervention which should be allowed—whether, for example, he should be permitted to contest all issues, and whether he should enjoy all the prerogatives of a party litigant.

Both courts and legislatures have recognized as appropriate the concern for their children’s welfare which the parents here seek to protect by intervention. While the artificiality of an appeal without the Board of Education cannot be ignored, neither can the importance of the constitutional issues decided below. The relevance of substantial and unsettled questions of law has been recognized in allowing intervention to perfect an appeal. And this Court has noted repeatedly, “obviously tailored to fit ordinary civil litigation, [the provisions of Rule 24] require other than literal application in atypical cases.”²⁰ We conclude that the interests asserted by the intervenors are sufficient to justify an examination of whether the two remaining requirements for intervention are met.

* * *

[The court then determined that the disposition of the action might impair the applicants’ ability to protect their interests if they were not allowed to intervene.]

The remaining requirement for intervention is that the applicant not be adequately represented by others. No question is raised here but that the Board of Education adequately represented the intervenors at the trial below; the issue rather is whether the parents were adequately represented by the school board’s decision not to appeal. The presumed good faith of the board in reaching this decision is not conclusive. * * * As the conditional wording of Rule 24(a)(2) suggests in permitting intervention “unless the applicant’s interest is adequately represented by existing parties,” “the

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burden [is] on those opposing intervention to show the adequacy of the existing representation.” In this case, the interests of the parents who wish to intervene in order to appeal do not coincide with those of the Board of Education. The school board represents all parents within the District. The intervening appellants may have more parochial interests centering upon the education of their own children. While they cannot of course ask the Board to favor their children unconstitutionally at the expense of others, they like other parents can seek the adoption of policies beneficial to their own children. Moreover, considerations of publicity, cost, and delay may not have the same weight for the parents as for the school board in the context of a decision to appeal. And the Board of Education, buffeted as it like other school boards is by conflicting public demands, may possibly have less interest in preserving its own untrammelled discretion than do the parents. It is not necessary to accuse the board of bad faith in deciding not to appeal or of a lack of vigor in defending the suit below in order to recognize that a restrictive court order may be a not wholly unwelcome haven.

* * *

Our holding that the appellants would be practically disadvantaged by a decision without appeal in this case and that they are not otherwise adequately represented necessitates a closer scrutiny of the precise nature of their interest and the scope of intervention that should accordingly be granted. The parents who seek to appeal do not come before this court to protect the good name of the Board of

Education. Their interest is not to protect the board, or Dr. Hansen, from an unfair finding. Their asserted interest is rather the freedom of the school board—and particularly the new school board recently elected—to exercise the broadest discretion constitutionally permissible in deciding upon educational policies. Since this is so, their interest extends only to those parts of the order which can fairly be said to impose restraints upon the Board of Education. And because the school board is not a party to this appeal, review should be limited to those features of the order which limit the discretion of the old or new board.

* * *

[A partial concurring opinion by JUDGE MCGOWAN and dissenting opinions by JUDGES DANAHER and BURGER are omitted.]

NOTES AND QUESTIONS

1. Inadequate representation has been found when the applicant’s interests are not represented at all, see *Purnell v. City of Akron*, 925 F.2d 941 (6th Cir. 1991); when the interests of the applicant are antagonistic to those of the attorney who supposedly represents the interests of the applicant, see *United States v. C.M. Lane Lifeboat Co.*, 25 F.Supp. 410 (E.D.N.Y. 1938), but

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see *Stadin v. Union Elec. Co.*, 309 F.2d 912 (8th Cir. 1962), cert. denied, 373 U.S. 915, 83 S.Ct. 1298, 10 L.Ed.2d 415 (1963) (minority stockholder was not entitled to intervention as of right when there was a showing of difference of opinion as to how the litigation should be conducted but no showing of plaintiff’s failure in its duty to its shareholders); and when there is collusion between the representative and the adverse parties, see *Virginia Elec. & Power Co. v. Westinghouse Elec. Corp.*, 542 F.2d 214 (4th Cir. 1976).

In *NATURAL RESOURCES DEFENSE COUNCIL, INC. v. NEW YORK STATE DEPARTMENT OF ENVIRONMENTAL CONSERVATION*, 834 F.2d 60 (2d Cir. 1987), the American Petroleum Institute (API) appealed a district court order denying its motion to intervene in a “citizen suit” brought by the Natural Resources Defense Council, Inc. and other groups concerned with air pollution against the New York State Department of Environmental Conservation, the United States Environmental Protection Agency, and the administrators of both agencies. The Court of Appeals affirmed:

* * * API contends that in this suit it too has an interest different from that of New York. API’s interest, it urges, is economic, whereas the State’s interest is governmental.

We think API misperceives the concept of an interest “adequately represented” within the meaning of Rule 24. A putative intervenor does not have an interest not adequately represented by a party to a lawsuit simply because it has a motive to litigate that is different from the motive of an existing party. So long as the party has demonstrated sufficient motivation to litigate vigorously and to present all colorable contentions, a district judge does not exceed the bounds of discretion by concluding that the interests of the intervenor are adequately represented.

Id. at 61–62. Is the decision consistent with *Smuck*? See Vreeland, *Public Interest Groups, Public Law Litigation, and Federal Rule 24(a)*, 57 U.Chi.L.Rev. 279 (1990).

2. In *TRBOVICH v. UNITED MINE WORKERS OF AMERICA*, 404 U.S. 528, 928 S.Ct. 630, 30 L.Ed.2d 686 (1972), a union member who filed an initial complaint with the Secretary of Labor wished to intervene in a suit brought by the Secretary under the Labor-Management Reporting and Disclosure Act of 1959 to set aside the election of officers of the union. The Act made suit by the Secretary the exclusive post-election remedy for violation of the statute, and the Court held that it did not bar intervention by a union member, provided the intervenor was limited to the claims of illegality presented by the Secretary’s complaint. Moreover, the Court held that Rule 24(a)(2) is satisfied “if the applicant shows that representation of his interest ‘may be’ inadequate, and the burden of making that showing should be treated as minimal.” Id. at 538 n.10, 928 S.Ct. at 636 n.10, 30 L.Ed.2d at 694 n.10. The applicant met this burden by showing that “[e]ven if the Secretary is performing his duties, broadly conceived, as well as can be expected, the union

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member may have a valid complaint about the performance of ‘his lawyer.’ ” Id. at 539, 928 S.Ct. at 637, 30 L.Ed.2d at 695.

3. Are there circumstances when intervention by a private litigant might undermine regulatory goals or create unnecessary expense? See Black, *Trashing the Presumption: Intervention on the Side of the Government*, 39 Env’tl.L. 481 (2009). Could this concern explain why some courts, despite the “minimal burden standard,” require the proposed intervenor to make a “strong showing” of inadequate representation by the government? See *United States v. Hooker Chemicals & Plastics Corp.*, 749 F.2d 968 (2d Cir. 1984) (Friendly, J.). Even if intervention is granted, isn’t there the possibility that the interests of private litigants will be sidelined in the government’s suit? See Holley, *Narrative Highground: The Failure of Intervention as a Procedural Device in Affirmative Action Litigation*, 54 Case W.Res.L.Rev. 103 (2003).

4. The United States has an unconditional right to intervene in any federal court action challenging the constitutionality of an act of Congress. See 28 U.S.C. § 2403(a). Section 2403(b) extends the intervention right to states in actions involving the constitutionality of state statutes. In addition, the Civil Rights Act of 1964, 42 U.S.C. § 2000h–2, provides the federal government an unconditional right to intervene in a suit seeking relief against a denial of equal protection under the Fourteenth Amendment on account of race, color, religion, sex, or national origin. How might the intervention of the United States affect the interests of the original litigants?

5. Both Rule 24(a) and Rule 24(b) require that an application to intervene be “timely.” As the court noted in *Smuck*, intervention after judgment will be allowed only in unique situations. The assumption is that allowing intervention after judgment “will either (1) prejudice the rights of the

existing parties to the litigation or (2) substantially interfere with the orderly processes of the court.” McDonald v. E.J. Lavino Co., 430 F.2d 1065, 1072 (5th Cir. 1970). What factors might demonstrate exceptional circumstances justifying a delay in moving to intervene? Should a different standard be used for deciding the timeliness of motions to intervene permissively as opposed to motions to intervene as of right? Sullivan, *Enforcement of Government Antitrust Decrees by Private Parties: Third Party Beneficiary Rights and Intervenor Status*, 123 U.Pa.L.Rev. 822, 873–92 (1975), explores the possibility of post-judgment intervention in government antitrust suits in order to enforce the judgment.

6.Does intervention require an independent basis for subject-matter jurisdiction? Before Congress enacted 28 U.S.C. § 1367, an independent jurisdictional basis generally was not required for intervention as of right, but was required for permissive actions. Compare *Lenz v. Wagner*, 240 F.2d 666 (5th Cir. 1957), with *Reedsburg Bank v. Apollo*, 508 F.2d 995 (7th Cir. 1975). How does the codification of supplemental jurisdiction affect the analysis? May supplemental jurisdiction be exercised under 28 U.S.C. § 1367(b) over a non-diverse applicant? See 7C Wright, Miller & Kane, *Federal Practice and Procedure* § 1917 (3d ed.). Relatedly, in *TOWN OF CHESTER, N.Y. v. LAROE*

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ESTATES, INC., 137 S.Ct. 1645, 1651, 198 L.Ed.2d 64, 71 (2017), the Supreme Court held that a party seeking to intervene as of right must have standing “when it seeks additional relief beyond that which the plaintiff requests.”

7.Rule 24 treats intervention as a permissive joinder device, so that the “outsider” to the litigation has the option of joining the lawsuit or not. Are there circumstances under which intervention ought to be compulsory? The Supreme Court answered no in *MARTIN v. WILKS*, 490 U.S. 755, 109 S.Ct. 2180, 104 L.Ed.2d 835 (1989). The case involved a challenge by white firefighters to hiring decisions taken by the City of Birmingham pursuant to consent decrees that had been entered in federal civil rights suits on behalf of Black individuals who allegedly had been denied employment or promotion on the basis of their race. The district court dismissed the white firefighters’ lawsuit on the ground, among others, that plaintiffs had not intervened in the prior cases and therefore could not collaterally challenge the consent decrees. The Supreme Court, five-to-four, held that “[k]nowledge of a lawsuit” does not obligate a party to intervene in a lawsuit; “a party seeking a judgment binding on another cannot obligate that person to intervene; he must be joined.” *Id.* at 763–65, 109 S.Ct. at 2185–86, 104 L.Ed.2d at 846–47. Justice Stevens, in a dissent, underscored that “in complex litigation this Court has squarely held that a sideline-sitter may be bound as firmly as an actual party if he had adequate notice and a fair opportunity to intervene and if the judicial interest in finality is sufficiently strong.” *Id.* at 793, 109 S.Ct. at 2200–01, 104 L.Ed.2d at 863. Why did Rule 19 not require the joinder of the white firefighters in the earlier discrimination suits? Are you persuaded that permissive party-initiated joinder is a better approach than a rule of mandatory intervention? See Brunet, *The Triumph of Efficiency and Discretion Over Competing Complex Litigation Policies*, 10 Rev.Litig. 273 (1991).

H. JOINDER, CONSOLIDATION, AND “AGGREGATE” LITIGATION

Read Federal Rule of Civil Procedure 42 and 28 U.S.C. § 1407 in the Supplement.

The Federal Rules eliminated many of the historical limitations on the joinder of parties and claims. Today, hundreds and even thousands of parties and claims can be bundled together in a single lawsuit. Rule 42 encourages this trend toward aggregation and complexity by allowing for the consolidation of actions. Rule 42(a) permits a district judge to consolidate actions pending before the court when they involve common questions of law or fact. The court may consolidate the actions for all purposes, or limited pretrial proceedings; consolidation turns on the law

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and facts that the lawsuits share, and does not require an identity of parties.

Generally, actions consolidated under Rule 42 retain their separate identity. In a decision that predates the adoption of Rule 42, the Supreme Court stated that consolidation “does not merge the suits into a single cause or change the rights of the parties, or make those who are parties in one suit parties in another,” but rather is “permitted as a matter of convenience and economy in administration.” *JOHNSON v. MANHATTAN RY. CO.*, 289 U.S. 479, 496–97, 53 S.Ct. 721, 727, 77 L.Ed. 1331, 1345 (1932). In *HALL v. HALL*, 138 S.Ct. 1118, 200 L.Ed.2d 399 (2018), the Court held that consolidated cases retain their independence for purposes of finality and appealability. The court retains authority to order a separate trial of one or more separate issues. See Rule 42(b).

Consolidation under Rule 42 is limited to actions pending in the same district. However, cases that are pending in different districts that share common questions of fact may be consolidated by the Judicial Panel on Multidistrict Litigation (“MDL”) and transferred to a single district, as provided for under 28 U.S.C. § 1407, see p. 417, *supra*. As the Supreme Court has explained:

*** Enacted in 1968 in response to a growing number of complex but related cases filed in multiple districts, § 1407 authorizes the Judicial Panel on Multidistrict Litigation (JPML) to transfer civil actions *** in order to “promote the just and efficient conduct of such actions.” § 1407(a); see H.R.Rep. No. 1130, 90th Cong., 2d Sess., 2 (1968) (§ 1407 codified procedures used in the early 1960’s to resolve more than 1,800 separate actions filed against electrical equipment manufacturers in 33 District Courts, all of the actions seeking damages for antitrust law violations).

Transfer under § 1407 aims to “eliminate duplication in discovery, avoid conflicting rulings and schedules, reduce litigation cost,

and save the time and effort of the parties, the attorneys, the witnesses, and the courts.” Manual for Complex Litigation § 20.131, p. 220 (4th ed. 2004). “Each action” transferred pursuant to § 1407, the provision instructs, “shall be remanded by the panel at or before the conclusion of . . . pretrial proceedings to the district from which it was transferred unless it shall have been previously terminated.” § 1407(a).

GELBOIM v. BANK OF AMERICA CORP., 574 U.S. 405, 410, 135 S.Ct. 897, 903, 190 L.Ed.2d 789, 795 (2015). In practice, only about three percent of MDL cases are remanded to the transferor court; the overwhelming majority are resolved by settlement or summary judgment. See Burch, *Remanding Multidistrict Litigation*, 75 La.L.Rev. 399, 399–402 (2014). MDL suits now command a great deal of federal judicial attention—since

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1968, the Panel has decided millions of individual claims, see Redish & Karaba, *One Size Doesn’t Fit All: Multidistrict Litigation, Due Process, and the Dangers of Procedural Collectivism*, 95 B.U.L.Rev. 109 (2015), and by one count MDL cases comprise 39 percent of open cases on the federal docket, see Burch, *Monopolies in Multidistrict Litigation*, 70 Vand.L.Rev. 67, 72 (2017).

The extensive use of Section 1407 consolidation for pretrial proceedings has led to profound changes in federal court practice that have been called a “revolution in civil procedure.” Gluck & Burch, *MDL Revolution*, 96 N.Y.U. L.Rev. 1, 3 (2021). MDL judges are said to have “an outsized role” given the scope of their law-making discretion and authority to create rules of practice for transferred cases. Gluck, *Unorthodox Civil Procedure: Modern Multidistrict Litigation’s Place in the Textbook Understandings of Procedure*, 165 U.Pa.L.Rev. 1669 (2017). This discretion extends to the appointment of lead counsel for the MDL-consolidated suit and has led to the emergence of a specialized bar for actions before the Panel and transferee courts. See Coleman, *One Percent Procedure*, 91 Wash.L.Rev. 1005 (2016). Is there a danger, as Professor Miller has suggested, of “mega-cases” involving “so much money on the table that professional judgment and client loyalty are sometimes compromised”? See Miller, *What Are Courts For? Have We Forsaken the Procedural Gold Standard?*, 78 La.L.Rev. 739, 742–43 (2018).

NOTES AND QUESTIONS

1. In 1994, the American Law Institute completed and published its Complex Litigation Project, which contains a study and recommendations for handling large-scale cases in the federal system. Fifteen years later, the ALI adopted the Principles of the Law of Aggregate Litigation, which covers procedures for resolving multiparty disputes that “combine claims or defenses held by many persons for unified resolution.” See American Law Institute, Principles of the Law of Aggregate Litig. § 1.02, cmt. a (2010). Adoption of the ALI Principles signaled what one commentator called “the normalization of aggregation” and further erosion of the day-in-court ideal. See Resnik, *Compared to What?: ALI Aggregation and the Shifting Contours of Due Process and of Lawyers’ Powers*, 79 Geo.Wash.L.Rev. 628, 633 (2011).

2. As civil actions become ever larger and more complex, some courts have found it important to streamline litigation into “smaller pieces” through procedures like putting cases on “fast tracks” or trying “bellwether” cases, and then having the decision in one or two cases drive the settlement of the others. See Cavanagh, *Issue Preclusion in Complex Litigation*, 29 Rev.Litig. 859 (2010). At least one commentator predicts that “disaggregation” will be the driver of procedural innovation. See Dodge, *Disaggregative Mechanisms: Mass Claims Resolution Without Class Actions*, 63 Emory L.J. 1253 (2014).

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3. State courts have joinder and consolidation rules that are similar to those of the federal system. However, cases pending in different states cannot be consolidated in the court of one state. A case may be removed to federal court and then undergo transfer and consolidation, but only if subject-matter jurisdiction is available. See Glover, *Mass Litigation Governance in the Post-Class Action Era: The Problems and Promise of Non-Removable State Actions in Multi-District Litigation*, 6 J. Tort L. 3 (2014).

4. The increasing tendency to bundle claims and parties together in a single lawsuit is not unique to the United States. European and English judicial systems likewise now utilize forms of aggregate litigation that range from the English group litigation orders, to the Dutch collective settlement action, to the German model case in securities litigation. For a catalogue of aggregate procedures used abroad, see Chase, Hershkoff, Silberman, Sorabji, Stürner, Taniguchi & Varano, *Civil Litigation in Comparative Context* 504–62 (Chase & Hershkoff, eds., 2d ed. 2017).

* Of the Southern District of New York, sitting by designation.

^aA grievance under a collective bargaining agreement claiming discrimination is referred to as a “6a grievance.”

¹¹218 F.Supp. 802, 805–806, quoted at 365 F.2d, at 805.

^bIn 2007, this provision was renumbered as Rule 14(a)(1).

³⁶*American Indemnity Co. v. Hale*, D.C.W.D.Mo., 71 F.Supp. 529, 533–534.

^cThe language of Rule 22 has been altered without any substantive change.

^dThe rule has been renumbered as Rule 19(a)(1)(B).

¹²*Nuesse v. Camp*, 128 U.S.App.D.C. 172, 385 F.2d 694, 700 (1967).

¹⁴*Cascade Natural Gas Corp. v. El Paso Natural Gas Co.*, 386 U.S. 129, 132–136, 87 S.Ct. 932, 17 L.Ed.2d 814 (1967).

²⁰*Textile Workers Union, etc. v. Allendale Co.*, 96 U.S.App.D.C. 401, 403, 226 F.2d 765, 767 (1955) (en banc), cert. denied, *Allendale Co. v. Mitchell*, 351 U.S. 909, 76 S.Ct. 699, 100 L.Ed. 1444 (1956) * * *.

CHAPTER 10

CLASS ACTIONS



This chapter introduces the complex yet fascinating topic of the class action, probably the most innovative but controversial feature of United States civil procedure. The materials examine the history and justification for the class action, the operation of Federal Rule 23, the emergence of the settlement class, and the policy questions that the practice raises. For many years the class action was viewed as a uniquely American device, unlikely to take root abroad. However, forms of collective action increasingly are being adopted outside the United States, influenced by, but not fully embracing, the American form. As you read these materials, consider whether the class action enhances access to justice given the scope of mass harms in contemporary life, or whether the practice cuts too deeply into the individualistic values of the adversarial system.

A. OVERVIEW AND THEMES

The class action allows a named plaintiff to litigate claims and defenses of similarly situated persons in a single lawsuit, and the resulting judgment binds all of the “unnamed” parties who are members of the class. In some sense, the class action is simply another form of joinder device; the procedure aggregates claims and defenses that the named representative and class members share in common, but which any individual litigant alone might not be able to pursue because of the expense and inconvenience of litigation. However, unlike other joinder devices, all of the parties in a class action do not appear in person before the court. Rather, the named “representative” acts as a proxy for strangers who do not initially know that a lawsuit has been filed, yet may be barred by the class action judgment from further litigation on their claims. The legitimacy of the class action turns on whether the named party will fully and fairly represent the interests of the absentee class members in the proceedings before the court. See Hutchinson, *Class Actions: Joinder or Representational Device?*, 1983 Sup. Ct. Rev. 459. The class action differs from other joinder devices in another important respect, as well: The use of the procedure gives rise to a new entity—the “class”—which did not exist prior to the litigation and which imposes new practical and ethical burdens on the parties, lawyers, and court. See Shapiro, *Class Actions: The Class as Party and Client*, 73 Notre Dame L.Rev. 913 (1998). Whether the class action is best viewed as a joinder or a representative device implicates all of the doctrines so far

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covered in this course, including subject-matter jurisdiction, personal jurisdiction, and venue, and material still to be studied—in particular, claim and issue preclusion. See Chapter 17, *infra*. The joinder and representative models of the class action often are in tension, and shifts in the Supreme Court’s interpretation of Federal Rule 23—and restrictions imposed on the rule’s operation—may reflect greater emphasis on one model rather than the other.

Rule 23 was substantially revised in 1966 and became a critical vehicle by which the victims of constitutional violations challenged racial and other forms of discrimination. Use of the rule, as Professor Miller has chronicled, quickly extended “to other constitutional and public policy contexts. These included the reapportionment of legislative bodies, free speech, prisoner rights, the environment, various governmental programs and benefits, due process and equal protection issues, even the legality of the Vietnam War.” Miller, *Keynote Address: The American Class Action: From Birth to Maturity*, 19 Theoretical Inq. in Law 1 (2018). In addition, lawyers enlisted the class action to redress injuries caused by mass torts—particularly, large-scale accidents and product liability suits. In some of these actions, individuals claimed significant monetary damages. But in others, the stakes for each absentee were small and given the costs of individual litigation, the injuries likely would have gone unremedied. In these cases, classwide relief was important because “[a]lthough each individual who [was] harmed [won] only a small amount, the public benefit [was] substantial. The costs of the large public harm [were] borne by the person or firm responsible for it, and incentives to commit future transgressions [were] removed.” Bronsteen & Fiss, *The Class Action Rule*, 78 Notre Dame L.Rev. 1419, 1419 (2003).

The class action has come to serve a public role by providing a private means for redressing broad-scale problems that Congress or the states may be unwilling or unable to address, or when the costs of private lawsuits are less than that of bureaucratic enforcement. In the process, the procedure has expanded democratic access, influenced policymaking, and secured compensation for injured parties. Rule 23 also has generated controversy about its legitimacy, scope, and effectiveness.

NOTES AND QUESTIONS

1. The class action can be traced to the English “bill of peace” utilized by the Courts of Chancery in the seventeenth century. The “bill” allowed an action to be brought by or against representative parties when (1) the number of persons involved was too large to permit joinder, (2) all the members of the group possessed a joint interest in the question being adjudicated, and (3) the named parties adequately represented the interests of those who were not present. If these three conditions were met, the judgment that ultimately was

entered was binding on all the members of the represented group. See Yeazell, *From Medieval Group Litigation to the Modern Class Action* (1987).

2.The various state codes and Federal Equity Rules provided for class actions based upon the English procedure. Federal Rule 23, as adopted in 1938, made the class action available in both legal and equitable actions in the federal courts. The justification for the class action was associated with the increasing complexity yet routinization of social and market relations. As an early commentary explained:

Modern society seems increasingly to expose men [and all persons] to * * * group injuries for which individually they are in a poor position to seek legal redress, either because they do not know enough or because such redress is disproportionately expensive. If each is left to assert his rights alone if and when he can, there will at best be a random and fragmentary enforcement, if there is any at all. This result is not only unfortunate in the particular case, but it will operate seriously to impair the deterrent effect of the sanctions which underlie much contemporary law. The problem of fashioning an effective and inclusive group remedy is thus a major one.

Kalven & Rosenfield, *The Contemporary Function of a Class Suit*, 8 U.Chi.L.Rev. 684, 686 (1941).

3.The original Rule 23 attempted to describe when a class action was proper in a highly conceptualized way. Briefly, the categories were as follows: A “true” class action was involved when the class members possessed joint and common interests in the subject matter of the action; a “hybrid” class action was present when several claims to the same property were being litigated; and what was described as a “spurious” class action existed when persons possessing independent interests joined together in the suit. This structure proved to be confusing to apply and made the procedure less effective than was desirable.

4.In 1966, a completely rewritten Rule 23 was amended to substitute functional tests for the conceptual categories and to provide procedural guidance for the courts about handling class actions. The amendments made clear that a judgment in a class action is binding on all class members, except in those cases in which the right to opt-out of the lawsuit applies and has been exercised. The 1966 amendments generated increased use of the class action, particularly in public law cases seeking injunctive relief. They also spurred debates about the utility of the practice, especially in cases involving mass torts when the remedy sought was money damages. The extremes of that debate, summarized by Professor Miller about a decade after the 1966 amendments, persist today:

* * * Opinions regarding the effect of the revision range over an amazing gamut. Class action adherents would have us believe it is a panacea for a myriad of social ills, which deters unlawful conduct and compensates those injured by it. Catch phrases such as “therapeutic”

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or “prophylactic” and “[taking] care of the smaller guy” are frequently trumpeted. Its opponents have rallied around characterizations of the procedure as a form of “legalized blackmail” or a “Frankenstein Monster.” They also have charged widespread abuse of the rule by lawyers and litigants on both sides of the “v.,” including unprofessional practices relating to attorneys’ fees, “sweetheart” settlement deals, dilatory motion practice, harassing discovery, and misrepresentations to judges. Finally, some have questioned the wisdom of imposing the burdens of class actions on an already overtaxed federal judiciary. They assert that many Rule 23 cases are unmanageable and inordinately protracted by opposing counsel, creating a certain millstone or dinosaur character that diverts federal judges from matters more worthy of their energies.

* * *

Yet despite the attention that has been riveted on Rule 23, we have precious little empiric evidence as to how it actually has been functioning, in terms of either its alleged benefits or supposed blasphemies. Even if the negative effects of class actions were assumed, they would have to be balanced against the societal benefits derived from deterring socially proscribed conduct and providing small claim rectification—considerations that thus far have escaped measurement and perhaps always will.

Miller, *Of Frankenstein Monsters and Shining Knights: Myth, Reality, and the “Class Action Problem,”* 92 Harv.L.Rev. 664, 665 (1979).

5.Eight years after he wrote his Harvard Law Review article, Professor Miller served as the Reporter for a study of complex litigation for the American Law Institute. In it, he wrote:

Class actions have proven to be the most effective legal technique for avoiding piecemeal litigation and preserving legal resources. Nevertheless, the class action suit continues to be eyed with suspicion by many courts. In complex cases, the goals of the class action device have been frustrated by strict adherence to the requirements of Rule 23. Often, complex multiparty, multiforum cases are denied class action treatment. Certification of large scale tort action classes is rare. Courts deny certification based on decisions that the commonality of interest requirement is not satisfied and based on fear that the size of the class would make the litigation unwieldy and inefficient.

* * *

The usefulness of the class action device for future complex litigation raises two issues concerning the suitability of class actions to modern litigation needs. The first issue is whether the scope of the class action should be broadened to include more types of litigation. The second is whether courts should increase the frequency with which

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they certify mandatory classes. Presently, class actions are used relatively infrequently in many multiparty, multiforum litigation contexts. With some adjustments the class action device could be made a valuable litigation tool.

Am. Law Inst., *Preliminary Study of Complex Litigation*, Report, 61–70 (1987). The Preliminary Study was followed by a comprehensive exploration

of the subject, which led to the American Law Institute’s formal approval of Complex Litigation: Statutory Recommendations and Analysis (1994).

6.In 1996, the Research Division of the Federal Judicial Center conducted an empirical study of Rule 23 proceedings in four federal districts. See Willging, Hooper & Niemic, *An Empirical Analysis of Rule 23 to Address the Rulemaking Challenges*, 71 N.Y.U.L.Rev. 74 (1996). It was a surprise to some that the study found that not all applications of Rule 23 are difficult; indeed, there were a significant number of “routine” class actions, particularly in the securities and civil rights contexts. The study also seemed to demonstrate that attorney’s fees were not disproportionate to class recoveries. As with most civil litigation, class actions followed the general pattern of settlement in lieu of trial.

7.Since 1966, defendant groups have issued unabated calls for a radical revision of the rule. See Burbank & Farhang, *Class Actions and the Counterrevolution Against Federal Litigation*, 165 U.Pa.L.Rev. 1495 (2017). Although Rule 23 underwent amendment in 1998, 2003, 2007, and 2009, it still retains the basic “architecture” of the 1966 version. However, the universe of class-action practice has become much more complicated since 1966. Parallel to Rule 23, Congress has created special rules for discrete kinds of claims, most notably the Private Securities Litigation Reform Act, see p. 653, *supra*. In addition, Congress has carved out certain claims from the operation of Rule 23 (for example, those filed by a lawyer funded through the Legal Services Corporation) and shifted state law class actions into federal court relying on a concept of minimal diversity. See 28 U.S.C. § 1332(d). Moreover, the Supreme Court and a number of court of appeals decisions have restricted the application of Rule 23. See Klonoff, *Class Actions Part II: A Respite from the Decline*, 92 N.Y.U.L.Rev. 971, 972, 996 (2017). During this period, other forms of group actions, in particular, multidistrict litigation under 28 U.S.C. § 1407, see p. 417 and p. 794, *supra*, have emerged as complementary procedural devices to redress harms that involve multiple parties.

8.Significantly, 50 years after the 1966 amendments brought modern class action practice into being, the legal community continues to lack the “empiric” information that Professor Miller called for—or a consensus on the role of the class action in a society where harms are mass produced, litigation is expensive, and small claimants are pushed out of court and into arbitration:

More than three decades onwards from Professor Arthur Miller’s attempt to demolish the dueling depictions of Rule 23 class actions as “Frankenstein monsters” and “shining knights,” we still do not have sufficient data to know what the 1966 revision of Rule 23 effected. As

I discuss further, assessing the character of class actions—are they monsters or knights?—presents challenging empirical problems. But the monster appellation connotes something large and out of control, which in turn suggests that the sheer number of class action filings should disturb us, regardless of their character. It seems odd, therefore, that we have gone so long without knowing how many class action filings there are.

Hensler, *Happy 50th Anniversary, Rule 23! Shouldn’t We Know You Better After All This Time?*, 165 U.Pa.L.Rev. 1599, 1604 (2017).

B. DUE PROCESS CONSIDERATIONS

HANSBERRY V. LEE
Supreme Court of the United States, 1940.
[311 U.S. 32, 61 S.Ct. 115, 85 L.Ed. 22.](#)

Certiorari to the Supreme Court of the State of Illinois.

JUSTICE STONE delivered the opinion of the Court.

[This suit was brought in an Illinois state court in 1937 on behalf of a class of landowners to enforce a racially restrictive covenant that covered properties on approximately 27 blocks in the Washington Park neighborhood of the City of Chicago. The covenant provided that it would not go into effect unless signed by the “owners of 95 per centum of the frontage” and filed with the office of the Recorder of Deeds of Cook County, Illinois, by December 31, 1928. Plaintiffs sought an injunction to block the sale of a restricted property to Hansberry, a Black man, as a breach of the covenant by an owner who had signed the agreement. Plaintiffs alleged that the validity of the covenant had been established in an earlier Illinois state court action holding that owners of 95 percent of the area’s street frontage had signed the agreement. In response, defendants pleaded that they were not bound by the earlier judgment because they had not been joined as parties to that suit and were not successors in interest or in privity with any of the parties to that action. Thus they argued it would be a denial of due process to hold them to the first decree.

The Illinois Circuit Court found that owners representing only about 54 percent of the frontage actually had signed the agreement and that the previous judgment rested on a “false and fraudulent” stipulation of the parties. Nevertheless, the court held that defendants were bound by the prior judgment on the issue of the covenant’s validity. The Supreme Court of Illinois affirmed. It found that although the stipulation was untrue it was not fraudulent or collusive. That court then went on to conclude that the first action had been a “class” or “representative” suit, that it was therefore binding on all the class members unless reversed or set aside on direct proceedings, that Hansberry and the persons who had sold the land

to him were members of the class represented in the first action, and that consequently the defendants were bound by the decree in the prior suit.]

The question is whether the Supreme Court of Illinois, by its adjudication that petitioners in this case are bound by a judgment

rendered in an earlier litigation to which they were not parties, has deprived them of the due process of law guaranteed by the Fourteenth Amendment.

* * *

* * * [W]hen the judgment of a state court, ascribing to the judgment of another court the binding force and effect of *res judicata*, is challenged for want of due process it becomes the duty of this Court to examine the course of procedure in both litigations to ascertain whether the litigant whose rights have thus been adjudicated has been afforded such notice and opportunity to be heard as are requisite to the due process which the Constitution prescribes. * * *

It is a principle of general application in Anglo-American jurisprudence that one is not bound by a judgment *in personam* in a litigation in which he is not designated as a party or to which he has not been made a party by service of process. *Pennoyer v. Neff* * * * [p. 79, *supra*]. A judgment rendered in such circumstances is not entitled to the full faith and credit which the Constitution and statute of the United States * * * prescribe * * * and judicial action enforcing it against the person or property of the absent party is not that due process which the Fifth and Fourteenth Amendments requires. * * *

To these general rules there is a recognized exception that, to an extent not precisely defined by judicial opinion, the judgment in a “class” or “representative” suit, to which some members of the class are parties, may bind members of the class or those represented who were not made parties to it. * * *

The class suit was an invention of equity to enable it to proceed to a decree in suits where the number of those interested in the subject of the litigation is so great that their joinder as parties in conformity to the usual rules of procedure is impracticable. Courts are not infrequently called upon to proceed with causes in which the number of those interested in the litigation is so great as to make difficult or impossible the joinder of all because some are not within the jurisdiction or because their whereabouts is unknown or where if all were made parties to the suit its continued abatement by the death of some would prevent or unduly delay a decree. In such cases where the interests of those not joined are of the same class as the interests of those who are, and where it is considered that the latter fairly represent the former in the prosecution of the litigation of the issues in which all have a common interest, the court will proceed to a decree. * * *

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It is evident that the considerations which may induce a court thus to proceed, despite a technical defect of parties, may differ from those which must be taken into account in determining whether the absent parties are bound by the decree or, if it is adjudged that they are, in ascertaining whether such an adjudication satisfies the requirements of due process and of full faith and credit. Nevertheless there is scope within the framework of the Constitution for holding in appropriate cases that a judgment rendered in a class suit is *res judicata* as to members of the class who are not formal parties to the suit. Here, as elsewhere, the Fourteenth Amendment does not compel state courts or legislatures to adopt any particular rule for establishing the conclusiveness of judgments in class suits; * * * nor does it compel the adoption of the particular rules thought by this court to be appropriate for the federal courts. With a proper regard for divergent local institutions and interests * * *, this Court is justified in saying that there has been a failure of due process only in those cases where it cannot be said that the procedure adopted, fairly insures the protection of the interests of absent parties who are to be bound by it. * * *

It is familiar doctrine of the federal courts that members of a class not present as parties to the litigation may be bound by the judgment where they are in fact adequately represented by parties who are present, or where they actually participate in the conduct of the litigation in which members of the class are present as parties * * * or where the interest of the members of the class, some of whom are present as parties, is joint, or where for any other reason the relationship between the parties present and those who are absent is such as legally to entitle the former to stand in judgment for the latter. * * *

In all such cases, * * * we may assume for present purposes that such procedure affords a protection to the parties who are represented though absent, which would satisfy the requirements of due process and full faith and credit. * * * Nor do we find it necessary for the decision of this case to say that, when the only circumstance defining the class is that the determination of the rights of its members turns upon a single issue of fact or law, a state could not constitutionally adopt a procedure whereby some of the members of the class could stand in judgment for all, provided that the procedure were so devised and applied as to insure that those present are of the same class as those absent and that the litigation is so conducted as to insure the full and fair consideration of the common issue. * * * We decide only that the procedure and the course of litigation sustained here by the plea of *res judicata* do not satisfy these requirements.

The restrictive agreement did not purport to create a joint obligation or liability. If valid and effective its promises were the several obligations of the signers and those claiming under them. The promises ran severally to every other signer. It is plain that in such circumstances all those alleged to be bound by the agreement would not constitute a single class in any

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litigation brought to enforce it. Those who sought to secure its benefits by enforcing it could not be said to be in the same class with or represent those whose interest was in resisting performance, for the agreement by its terms imposes obligations and confers rights on the owner of each plot of land who signs it. If those who thus seek to secure the benefits of the agreement were rightly regarded by the state Supreme Court as constituting a class, it is evident that those signers or their successors who are interested in challenging the validity of the agreement and resisting its performance are not of the same class in the sense that their interests are identical so that any

group who had elected to enforce rights conferred by the agreement could be said to be acting in the interest of any others who were free to deny its obligation.

Because of the dual and potentially conflicting interests of those who are putative parties to the agreement in compelling or resisting its performance, it is impossible to say, solely because they are parties to it, that any two of them are of the same class. Nor without more, and with the due regard for the protection of the rights of absent parties which due process exacts, can some be permitted to stand in judgment for all.

It is one thing to say that some members of a class may represent other members in a litigation where the sole and common interest of the class in the litigation, is either to assert a common right or to challenge an asserted obligation. * * * It is quite another to hold that all those who are free alternatively either to assert rights or to challenge them are of a single class, so that any group, merely because it is of the class so constituted, may be deemed adequately to represent any others of the class in litigating their interests in either alternative. Such a selection of representatives for purposes of litigation, whose substantial interests are not necessarily or even probably the same as those whom they are deemed to represent, does not afford that protection to absent parties which due process requires. The doctrine of representation of absent parties in a class suit has not hitherto been thought to go so far. * * * Apart from the opportunities it would afford for the fraudulent and collusive sacrifice of the rights of absent parties, we think that the representation in this case no more satisfies the requirements of due process than a trial by a judicial officer who is in such situation that he may have an interest in the outcome of the litigation in conflict with that of the litigants. * * *

The plaintiffs in the [first] case sought to compel performance of the agreement in behalf of themselves and all others similarly situated. They did not designate the defendants in the suit as a class or seek any injunction or other relief against others than the named defendants, and the decree which was entered did not purport to bind others. In seeking to enforce the agreement the plaintiffs in that suit were not representing the petitioners here whose substantial interest is in resisting performance. The defendants in the first suit were not treated by the pleadings or decree as

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representing others or as foreclosing by their defense the rights of others, and even though nominal defendants, it does not appear that their interest in defeating the contract outweighed their interest in establishing its validity. For a court in this situation to ascribe to either the plaintiffs or defendants the performance of such functions on behalf of petitioners here, is to attribute to them a power that it cannot be said that they had assumed to exercise, and a responsibility which, in view of their dual interests it does not appear that they could rightly discharge.

Reversed.

NOTES AND QUESTIONS

1. *Hansberry* is an important decision about due process and the legitimacy of the class action. The case is equally important for its substantive contribution to civil rights and racial equality. The use of racially restrictive covenants became widespread after the Supreme Court’s decision in *Buchanan v. Warley*, 245 U.S. 60, 38 S.Ct. 16, 62 L.Ed. 149 (1917), which struck down a city’s racially restrictive zoning ordinance as a violation of the Due Process Clause of the Fourteenth Amendment. White property owners then turned to covenants—considered a form of private ordering free of constitutional limitations, unlike public zoning laws—to circumvent *Buchanan*. The lawfulness of racially restrictive covenants, however, continued to be challenged in the lower courts. Although ultimately decided on procedural grounds, *Hansberry* also presented to the Supreme Court the question whether judicial enforcement of a racially restrictive covenant violated the Fourteenth Amendment. The Court finally reached that question several years later and held that enforcement of those covenants was indeed unconstitutional. See *Shelley v. Kraemer*, 334 U.S. 1, 68 S.Ct. 836, 92 L.Ed. 1161 (1948). For background on racially restrictive covenants and the legal challenges to them, see Brooks & Rose, *Saving the Neighborhood: Racially Restrictive Covenants, Law, and Social Norms* (2013), and Long & Johnson, *People v. Property: Race Restrictive Covenants in Housing* (1947).

Beyond its legal significance, *Hansberry* is a remarkable personal story. Lorraine Hansberry, author of *A Raisin in the Sun*, was the daughter of Carl A. Hansberry, the named party in the case. The family was evicted from their home when the Cook County Circuit Court in July 1937 entered a preliminary injunction to enforce the ugly covenant that was said to bar her father from purchasing property in a Chicago neighborhood. That covenant stated, “[N]o part of said premises shall be sold, given, conveyed or leased to any negro or negroes, and no permission or license to use or occupy any part thereof shall be given to any negro except house servants or janitors or chauffeurs employed thereon.” See Tidmarsh, *The Story of Hansberry: The Rise of Modern Class Actions*, in *Civil Procedure Stories* 217, 222 (Clermont ed., 2d ed. 2008). See also Kamp, *The History Behind Hansberry v. Lee*, 20 U.C. Davis L.Rev. 481 (1987).

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2. Was the problem in *Hansberry* a lack of consent by the seller and purchaser of the restricted property to the covenant or their absence from the earlier lawsuit? In *Mullane*, p. 237, *supra*, the Supreme Court held that before absent parties could be bound by a judgment, due process required that individual notice be given to those parties whose names and addresses were known, and constructive notice if that information was not reasonably available. See Leubsdorf, *Unmasking Mullane: Due Process, Common Trust Funds, and the Class Action Wars*, 66 Hastings L.J. 1693 (2015). Did *Hansberry* rely on notice and consent to justify the preclusive effect of the prior judgment? If not, what was the Court’s rationale?

3. *Hansberry* acknowledged that the Due Process Clause does not require states to adopt federal procedures for class actions adjudicated in state courts. Why was the Illinois procedure nevertheless constitutionally defective? What did the Court mean when it said that because of the “dual and

potentially conflicting interests” of those who signed the covenant, the signators could not “be deemed adequately to represent any others of the class”?

4.Does *Hansberry* require that as a constitutional matter all members of the class must agree with the actions of the named plaintiffs if the class is to be deemed adequately represented and a resulting judgment treated as binding upon the absentees? Is it reasonable to assume complete agreement on all issues by members of the class? Which types of intra-class conflicts ought to have constitutional significance?

5.Did *Hansberry* treat the named class plaintiff as an agent of the unnamed class members? Of what relevance is the fact that the named plaintiff was a self-selected representative and not appointed by the seller or purchaser of the restricted property? Consider this analysis:

The class action is in fact a representative lawsuit * * * but it employs a peculiar concept of representation: self-appointment. Contrary to the situation where I appoint someone as my agent, in the class action the named plaintiff appoints himself or herself as the representative of the class. Self-appointment is not unheard of in the world of politics and other social domains. * * * Yet there is no denying that self-appointment is as anomalous form of representation, only justified, if at all, by the most exceptional circumstances.

Fiss, *The Political Theory of the Class Action*, 53 Wash. & Lee L.Rev. 21, 25 (1996). According to *Hansberry*, what “exceptional circumstances” allow one party to represent the interests of another? Why were those circumstances absent in the principal case?

C. OPERATION OF THE CLASS ACTION DEVICE

Read Federal Rule of Civil Procedure 23 in the Supplement.

Rule 23 authorizes the class action in federal court and has influenced state judicial practice. Although there are defendant class actions, they are rather unusual, and these materials use the far more common plaintiff class action as the model for discussion. A class action, like all lawsuits, is commenced by the filing of a complaint and the service of a summons. The caption specifies the name of the representative plaintiff and also indicates that the lawsuit is being filed on behalf of a class. The complaint alleges the claims of the named plaintiff and sets forth classwide allegations of the unnamed class members. Special rules pertaining to subject-matter jurisdiction, personal jurisdiction, and venue apply to the class action. See p. 869, *infra*.

1.RULE 23(a): PREREQUISITES OF CERTIFICATION

Rule 23(a) sets forth four conditions that an action must meet to be certified as a class action. These prerequisites to bringing a class action apply to all actions certified under Rule 23, and the party seeking to invoke the rule has the burden of showing by a preponderance of the evidence that the requirements are met. See 7A Wright, Miller & Kane, *Federal Practice and Procedure* § 1759 (4th ed.).

WAL-MART STORES, INC. v. DUKES
Supreme Court of the United States, 2011.
[564 U.S. 338, 131 S.Ct. 2541, 180 L.Ed.2d 374.](#)

Certiorari to the United States Court of Appeals for the Ninth Circuit.

JUSTICE SCALIA delivered the opinion of the Court, in which THE CHIEF JUSTICE, JUSTICE KENNEDY, JUSTICE THOMAS, and JUSTICE ALITO joined, and, with respect to Parts I and III, in which JUSTICE GINSBURG, JUSTICE BREYER, JUSTICE SOTOMAYOR, and JUSTICE KAGAN joined.

We are presented with one of the most expansive class actions ever. The District Court and the Court of Appeals approved the certification of a class comprising about one and a half million plaintiffs, current and former female employees of petitioner Wal-Mart who allege that the discretion exercised by their local supervisors over pay and promotion matters violates Title VII by discriminating against women. In addition to injunctive and declaratory relief, the plaintiffs seek an award of backpay. * * *

A

Petitioner Wal-Mart is the Nation’s largest private employer. * * * In all, Wal-Mart operates approximately 3,400 stores and employs more than one million people.

Pay and promotion decisions at Wal-Mart are generally committed to local managers’ broad discretion, which is exercised “in a largely subjective manner.” * * * Local store managers may increase the wages of hourly employees (within limits) with only limited corporate oversight. As for salaried employees, such as store managers and their deputies, higher corporate authorities have discretion to set their pay within preestablished ranges.

Promotions work in a similar fashion. Wal-Mart permits store managers to apply their own subjective criteria when selecting candidates as [managers]. * * * [E]xcept for [limited] requirements, regional and district managers have discretion to use their own judgment when selecting candidates for management training. Promotion to higher office * * * is similarly at the discretion of the

employee’s superiors after prescribed objective factors are satisfied.

B

* * *

Betty Dukes began working * * * as a cashier, but later sought and received a promotion to customer service manager. After a series of disciplinary violations, however, Dukes was demoted back to cashier and then to greeter. Dukes concedes she violated company policy, but contends that the disciplinary actions were in fact retaliation for invoking internal complaint procedures and that male employees have not been disciplined for similar infractions. Dukes also claims two male greeters in the Pittsburgh store are paid more than she is.

Christine Kwapnoski * * * has held a number of positions, including a supervisory position. She claims that a male manager yelled at her frequently and screamed at female employees, but not at men. The manager in question “told her to ‘doll up,’ to wear some makeup, and to dress a little better.” * * *

* * * Edith Arana * * * approached the store manager on more than one occasion about management training, but was brushed off. Arana concluded she was being denied opportunity for advancement because of her sex. She initiated internal complaint procedures, whereupon she was told to apply directly to the district manager if she thought her store manager was being unfair. Arana, however, decided against that and never applied for management training again. * * * [S]he was fired for failure to comply with Wal-Mart’s timekeeping policy.

* * *

* * * [Respondents] do not allege that Wal-Mart has any express corporate policy against the advancement of women. Rather, they claim that their local managers’ discretion over pay and promotions is exercised disproportionately in favor of men, leading to an unlawful disparate impact

on female employees. * * * And, respondents say, because Wal-Mart is aware of this effect, its refusal to cabin its managers’ authority amounts to disparate treatment. * * *

Importantly for our purposes, respondents claim that the discrimination to which they have been subjected is common to all Wal-Mart’s female employees. The basic theory of their case is that a strong and uniform “corporate culture” permits bias against women to infect, perhaps subconsciously, the discretionary decisionmaking of each one of Wal-Mart’s thousands of managers—thereby making every woman at the company the victim of one common discriminatory practice. Respondents therefore wish to litigate the Title VII claims of all female employees at Wal-Mart’s stores in a nationwide class action.

C

* * *

* * * [R]espondents moved the District Court to certify a plaintiff class consisting of “ ‘[a]ll women employed at any Wal-Mart domestic retail store at any time since December 26, 1998, who have been or may be subjected to Wal-Mart’s challenged pay and management track promotions policies and practices.’ ” * * * As evidence that there were indeed “questions of law or fact common to” all the women of Wal-Mart, as Rule 23(a)(2) requires, respondents relied chiefly on three forms of proof: statistical evidence about pay and promotion disparities between men and women at the company, anecdotal reports of discrimination from about 120 of Wal-Mart’s female employees, and the testimony of a sociologist, Dr. William Bielby, who conducted a “social framework analysis” of Wal-Mart’s “culture” and personnel practices, and concluded that the company was “vulnerable” to gender discrimination. * * *

Wal-Mart unsuccessfully moved to strike much of this evidence. * * *

D

A divided en banc Court of Appeals substantially affirmed the District Court’s certification order. * * * The majority concluded that respondents’ evidence of commonality was sufficient to “raise the common question whether Wal-Mart’s female employees nationwide were subjected to a single set of corporate policies (not merely a number of independent discriminatory acts) that may have worked to unlawfully discriminate against them in violation of Title VII.” * * *

II

* * * The Rule’s four requirements—numerosity, commonality, typicality, and adequate representation—“effectively ‘limit the class claims to those fairly encompassed by the named plaintiff’s claims.’ ” *General*

Telephone Co. of Southwest v. Falcon, 457 U.S. 147, 156, 102 S.Ct. 2364, 72 L.Ed.2d 740 (1982). * * *

A

The crux of this case is commonality—the rule requiring a plaintiff to show that “there are questions of law or fact common to the class.” Rule 23(a)(2).⁵ That language is easy to misread, since “[a]ny competently crafted class complaint literally raises common ‘questions.’ ” Nagareda, *Class Certification in the Age of Aggregate Proof*, 84 N.Y.U.L.Rev. 97, 131–132 (2009). For example: Do all of

us plaintiffs indeed work for Wal-Mart? Do our managers have discretion over pay? Is that an unlawful employment practice? What remedies should we get? Reciting these questions is not sufficient to obtain class certification. Commonality requires the plaintiff to demonstrate that the class members “have suffered the same injury,” *Falcon*, *supra*, at 157, 102 S.Ct. 2364. This does not mean merely that they have all suffered a violation of the same provision of law. Title VII, for example, can be violated in many ways—by intentional discrimination, or by hiring and promotion criteria that result in disparate impact, and by the use of these practices on the part of many different superiors in a single company. Quite obviously, the mere claim by employees of the same company that they have suffered a Title VII injury, or even a disparate-impact Title VII injury, gives no cause to believe that all their claims can productively be litigated at once. Their claims must depend upon a common contention—for example, the assertion of discriminatory bias on the part of the same supervisor. That common contention, moreover, must be of such a nature that it is capable of classwide resolution—which means that determination of its truth or falsity will resolve an issue that is central to the validity of each one of the claims in one stroke.

“What matters to class certification . . . is not the raising of common ‘questions’—even in droves—but, rather the capacity of a classwide proceeding to generate common *answers* apt to drive the resolution of the litigation. Dissimilarities within the proposed class are what have the potential to impede the generation of common answers.” Nagareda, *supra*, at 132.

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Rule 23 does not set forth a mere pleading standard. A party seeking class certification must affirmatively demonstrate his compliance with the Rule—that is, he must be prepared to prove that there are *in fact* sufficiently numerous parties, common questions of law or fact, etc. We recognized in *Falcon* that “sometimes it may be necessary for the court to probe behind the pleadings before coming to rest on the certification question,” 457 U.S., at 160, 102 S.Ct. 2364, and that certification is proper only if “the trial court is satisfied, after a rigorous analysis, that the prerequisites of Rule 23(a) have been satisfied,” [id., at 161, 102 S.Ct. 2364]. * * * Frequently that “rigorous analysis” will entail some overlap with the merits of the plaintiff’s underlying claim. That cannot be helped. * * *.⁶ Nor is there anything unusual about that consequence: The necessity of touching aspects of the merits in order to resolve preliminary matters, *e.g.*, jurisdiction and venue, is a familiar feature of litigation. * * *

In this case, proof of commonality necessarily overlaps with respondents’ merits contention that Wal-Mart engages in a *pattern or practice* of discrimination.⁷ That is so because, in resolving an individual’s Title VII claim, the crux of the inquiry is “the reason for a particular employment decision,” *Cooper v. Federal Reserve Bank of Richmond*, 467 U.S. 867, 876, 104 S.Ct. 2794, 81 L.Ed.2d 718 (1984). **Here respondents wish to sue about literally millions of employment decisions at once. Without some glue holding the alleged reasons for all those decisions together, it will be impossible to say that examination of all the class members’ claims for relief will produce a common answer to the crucial question *why was I disfavored*.**

B

This Court’s opinion in *Falcon* describes how the commonality issue must be approached. There an employee who claimed that he was deliberately denied a promotion on account of race obtained certification of a class comprising all employees wrongfully denied promotions and all applicants wrongfully denied jobs. * * * We rejected that composite class for lack of commonality and typicality, explaining:

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“Conceptually, there is a wide gap between (a) an individual’s claim that he has been denied a promotion [or higher pay] on discriminatory grounds, and his otherwise unsupported allegation that the company has a policy of discrimination, and (b) the existence of a class of persons who have suffered the same injury as that individual, such that the individual’s claim and the class claim will share common questions of law or fact and that the individual’s claim will be typical of the class claims.” *Id.*, at 157–158, 102 S.Ct. 2364.

Falcon suggested two ways in which that conceptual gap might be bridged. First, if the employer “used a biased testing procedure to evaluate both applicants for employment and incumbent employees, a class action on behalf of every applicant or employee who might have been prejudiced by the test clearly would satisfy the commonality and typicality requirements of Rule 23(a).” *Id.*, at 159, n. 15, 102 S.Ct. 2364. Second, “[s]ignificant proof that an employer operated under a general policy of discrimination conceivably could justify a class of both applicants and employees if the discrimination manifested itself in hiring and promotion practices in the same general fashion, such as through entirely subjective decisionmaking processes.” *Ibid.* We think that statement precisely describes respondents’ burden in this case. The first manner of bridging the gap obviously has no application here; Wal-Mart has no testing procedure or other companywide evaluation method that can be charged with bias. * * *

The second manner of bridging the gap requires “significant proof” that Wal-Mart “operated under a general policy of discrimination.” That is entirely absent here. Wal-Mart’s announced policy forbids sex discrimination, * * * and as the District Court recognized the company imposes penalties for denials of equal employment opportunity. * * * The only evidence of a “general policy of discrimination” respondents produced was the testimony of Dr. William Bielby, their sociological expert. Relying on “social framework” analysis, Bielby testified that Wal-Mart has a “strong corporate culture,” that makes it “ ‘vulnerable’ ” to “gender bias.” * * * He could not, however, “determine with any specificity how regularly stereotypes play a meaningful role in employment decisions at Wal-Mart. At his deposition . . . Dr. Bielby conceded that he could not calculate whether 0.5 percent or 95 percent of the employment decisions at Wal-Mart might be determined by stereotyped thinking.” * * * Bielby’s testimony does nothing to advance respondents’ case. “[W]hether

0.5 percent or 95 percent of the employment decisions at Wal-Mart might be determined by stereotyped thinking” is the essential question on which respondents’ theory of commonality depends. If Bielby admittedly has no answer to that question, we can safely disregard what he has to say. It is worlds away

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from “significant proof” that Wal-Mart “operated under a general policy of discrimination.”

C

The only corporate policy that the plaintiffs’ evidence convincingly establishes is Wal-Mart’s “policy” of *allowing discretion* by local supervisors over employment matters. On its face, of course, that is just the opposite of a uniform employment practice that would provide the commonality needed for a class action; it is a policy *against having* uniform employment practices. * * *

To be sure, we have recognized that, “in appropriate cases,” giving discretion to lower-level supervisors can be the basis of Title VII liability under a disparate-impact theory—since “an employer’s undisciplined system of subjective decisionmaking [can have] precisely the same effects as a system pervaded by impermissible intentional discrimination.” * * * But the recognition that this type of Title VII claim “can” exist does not lead to the conclusion that every employee in a company using a system of discretion has such a claim in common. To the contrary, left to their own devices most managers in any corporation—and surely most managers in a corporation that forbids sex discrimination—would select sex-neutral, performance-based criteria for hiring and promotion that produce no actionable disparity at all. Others may choose to reward various attributes that produce disparate impact—such as scores on general aptitude tests or educational achievements. * * * And still other managers may be guilty of intentional discrimination that produces a sex-based disparity. In such a company, demonstrating the invalidity of one manager’s use of discretion will do nothing to demonstrate the invalidity of another’s. A party seeking to certify a nationwide class will be unable to show that all the employees’ Title VII claims will in fact depend on the answers to common questions.

Respondents have not identified a common mode of exercising discretion that pervades the entire company—aside from their reliance on Dr. Bielby’s social frameworks analysis that we have rejected. * * * Respondents attempt to make that showing by means of statistical and anecdotal evidence, but their evidence falls well short.

The statistical evidence consists primarily of regression analyses performed by Dr. Richard Drogin, a statistician, and Dr. Marc Bendick, a labor economist. * * * After considering regional and national data, Drogin concluded that “there are statistically significant disparities between men and women at Wal-Mart . . . [and] these disparities . . . can be explained only by gender discrimination.” * * * Bendick compared work-force data from Wal-Mart and competitive retailers and concluded that Wal-Mart “promotes a lower percentage of women than its competitors.” * * *

Even if they are taken at face value, these studies are insufficient to establish that respondents’ theory can be proved on a classwide basis. * * *

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As Judge Ikuta observed in her dissent, “[i]nformation about disparities at the regional and national level does not establish the existence of disparities at individual stores, let alone raise the inference that a company-wide policy of discrimination is implemented by discretionary decisions at the store and district level.” * * * A regional pay disparity, for example, may be attributable to only a small set of Wal-Mart stores, and cannot by itself establish the uniform, store-by-store disparity upon which the plaintiffs’ theory of commonality depends.

There is another, more fundamental, respect in which respondents’ statistical proof fails. Even if it established (as it does not) a pay or promotion pattern that differs from the nationwide figures or the regional figures in *all* of Wal-Mart’s 3,400 stores, that would still not demonstrate that commonality of issue exists. Some managers will claim that the availability of women, or qualified women, or interested women, in their stores’ area does not mirror the national or regional statistics. And almost all of them will claim to have been applying some sex-neutral, performance-based criteria—whose nature and effects will differ from store to store. In the landmark case of ours which held that giving discretion to lower-level supervisors can be the basis of Title VII liability under a disparate-impact theory, the plurality opinion *conditioned* that holding on the corollary that merely proving that the discretionary system has produced a racial or sexual disparity *is not enough*. “[T]he plaintiff must begin by identifying the specific employment practice that is challenged.” * * * That is all the more necessary when a class of plaintiffs is sought to be certified. Other than the bare existence of delegated discretion, respondents have identified no “specific employment practice”—much less one that ties all their 1.5 million claims together. Merely showing that Wal-Mart’s policy of discretion has produced an overall sex-based disparity does not suffice.

Respondents’ anecdotal evidence suffers from the same defects, and in addition is too weak to raise any inference that all the individual, discretionary personnel decisions are discriminatory. In *Teamsters v. United States*, 431 U.S. 324, 97 S.Ct. 1843, 52 L.Ed.2d 396 (1977) * * * the [plaintiff] produced about 40 specific accounts of racial discrimination * * *. * * * That number was significant because * * * [t]he 40 anecdotes * * * represented roughly one account for every eight members of the class. Moreover, * * * the anecdotes came from individuals “spread throughout” the company who “for the most part” worked at the company’s operational centers that employed the largest numbers of the class members. * * * Here, by contrast, respondents filed some 120 affidavits reporting experiences of discrimination—about 1 for every 12,500 class members—relating to only some 235 out of Wal-Mart’s 3,400 stores. * * * More than half of these reports are concentrated in only six States * * *; half of all States have only one or two anecdotes; and 14 States

have no anecdotes about Wal-Mart’s operations at all. * * * Even if every single one of these

accounts is true, that would not demonstrate that the entire company “operate[s] under a general policy of discrimination,” * * * which is what respondents must show to certify a companywide class.

The dissent misunderstands the nature of the foregoing analysis. It criticizes our focus on the dissimilarities between the putative class members on the ground that we have “blend[ed]” Rule 23(a)(2)’s commonality requirement with Rule 23(b)(3)’s inquiry into whether common questions “predominate” over individual ones. * * * That is not so. We quite agree that for purposes of Rule 23(a)(2) “ ‘[e]ven a single [common] question’ ” will do. * * * We consider dissimilarities not in order to determine (as Rule 23(b)(3) requires) whether common questions *predominate*, but in order to determine (as Rule 23(a)(2) requires) whether there is “[e]ven a single [common] question.” And there is not here. Because respondents provide no convincing proof of a companywide discriminatory pay and promotion policy, we have concluded that they have not established the existence of any common question. * * *

In sum, we agree with Chief Judge Kozinski that the members of the class: “held a multitude of different jobs, at different levels of Wal-Mart’s hierarchy, for variable lengths of time, in 3,400 stores, sprinkled across 50 states, with a kaleidoscope of supervisors (male and female), subject to a variety of regional policies that all differed Some thrived while others did poorly. They have little in common but their sex and this lawsuit.” 603 F.3d, at 652 (dissenting opinion).

* * *

The judgment of the Court of Appeals is
Reversed.

JUSTICE GINSBURG, with whom JUSTICE BREYER, JUSTICE SOTOMAYOR, and JUSTICE KAGAN join, concurring in part and dissenting in part.

* * *

* * * [T]he Court * * * disqualifies the class at the starting gate, holding that the plaintiffs cannot cross the “commonality” line set by Rule 23(a)(2). In so ruling, the Court imports into the Rule 23(a) determination concerns properly addressed in a Rule 23(b)(3) assessment.

I

A

* * *

A “question” is ordinarily understood to be “[a] subject or point open to controversy.” American Heritage Dictionary 1483 (3d ed.1992). * * * Thus, a “question” “common to the class” must be a dispute, either of fact or of law, the resolution of which will advance the determination of the class members’ claims.³

B

The District Court, recognizing that “one significant issue common to the class may be sufficient to warrant certification,” * * * found that the plaintiffs easily met that test. * * *

* * * The named plaintiffs * * * propose to litigate, on behalf of the class, allegations that Wal-Mart discriminates on the basis of gender in pay and promotions. * * * Wal-Mart permits those prejudices to infect personnel decisions, the plaintiffs contend, by leaving pay and promotions in the hands of “a nearly all male managerial workforce” using “arbitrary and subjective criteria.” * * * Further alleged barriers to the advancement of female employees include the company’s requirement, “as a condition of promotion to management jobs, that employees be willing to relocate.” * * * Absent instruction otherwise, there is a risk that managers will act on the familiar assumption that women, because of their services to husband and children, are less mobile than men. * * *

Women fill 70 percent of the hourly jobs in the retailer’s stores but make up only “33 percent of management employees.” * * * “[T]he higher one looks in the organization the lower the percentage of women.” * * * The plaintiffs’ ” largely uncontested descriptive statistics” also show that women working in the company’s stores “are paid less than men in every region” and “that the salary gap widens over time even for men and women hired into the same jobs at the same time.” * * *

The District Court identified “systems for . . . promoting in-store employees” that were “sufficiently similar across regions and stores” to conclude that “the manner in which these systems affect the class raises issues that are common to all class members.” * * * The selection of employees for promotion to in-store management “is fairly characterized as a ‘tap on the shoulder’ process,” in which managers have discretion about whose shoulders to tap. * * * Vacancies are not regularly posted; from among those employees satisfying minimum qualifications, managers choose whom to promote on the basis of their own subjective impressions. * * *

Wal-Mart’s compensation policies also operate uniformly across stores, the District Court found. The retailer leaves open a \$2 band for every position’s hourly pay rate. Wal-Mart provides no standards or criteria for setting wages within that band, and thus does nothing to counter unconscious bias on the part of supervisors. * * *

Wal-Mart’s supervisors do not make their discretionary decisions in a vacuum. The District Court reviewed means Wal-Mart used to maintain a “carefully constructed . . . corporate culture,” such as frequent meetings to reinforce the common way of thinking, regular transfers of managers between stores to ensure uniformity throughout the company, monitoring of stores “on a close and constant basis,” and “Wal-Mart TV,” “broadcas[t] . . . into all stores.” * * *

The plaintiffs’ evidence, including class members’ tales of their own experiences,⁴ suggests that gender bias suffused Wal-Mart’s company culture. Among illustrations, senior management often refer to female associates as “little Janie Qs.” * * * One manager told an employee that “[m]en are here to make a career and women aren’t.” * * * A committee of female Wal-Mart executives concluded that “[s]tereotypes limit the opportunities offered to women.” * * *

Finally, the plaintiffs presented an expert’s appraisal to show that the pay and promotions disparities at Wal-Mart “can be explained only by gender discrimination and not by . . . neutral variables.” * * * Using regression analyses, their expert, Richard Drogin, controlled for factors including, *inter alia*, job performance, length of time with the company, and the store where an employee worked. * * *.⁵ * * *

C

The District Court’s identification of a common question, whether Wal-Mart’s pay and promotions policies gave rise to unlawful discrimination, was hardly infirm. The practice of delegating to supervisors large discretion to make personnel decisions, uncontrolled by formal standards, has long been known to have the potential to produce disparate effects. Managers, like all humankind, may be prey to biases of which they are unaware. The risk of discrimination is heightened when those managers

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are predominantly of one sex, and are steeped in a corporate culture that perpetuates gender stereotypes.

* * *

We have held that “discretionary employment practices” can give rise to Title VII claims, not only when such practices are motivated by discriminatory intent but also when they produce discriminatory results. See *Watson v. Fort Worth Bank & Trust*, 487 U.S. 977, 988, 991, 108 S.Ct. 2777, 101 L.Ed.2d 827 (1988). * * *

Aware of “the problem of subconscious stereotypes and prejudices,” we held that the employer’s “undisciplined system of subjective decisionmaking” was an “employment practic[e]” that “may be analyzed under the disparate impact approach.” *Id.*, at 990–991, 108 S.Ct. 2777. * * *

The plaintiffs’ allegations state claims of gender discrimination in the form of biased decisionmaking in both pay and promotions. The evidence reviewed by the District Court adequately demonstrated that resolving those claims would necessitate examination of particular policies and practices alleged to affect, adversely and globally, women employed at Wal-Mart’s stores. Rule 23(a)(2), setting a necessary but not a sufficient criterion for class-action certification, demands nothing further.

II

A

The Court gives no credence to the key dispute common to the class: whether Wal-Mart’s discretionary pay and promotion policies are discriminatory. * * *

The Court blends Rule 23(a)(2)’s threshold criterion with the more demanding criteria of Rule 23(b)(3), and thereby elevates the (a)(2) inquiry so that it is no longer “easily satisfied,” 5 J. Moore et al., *Moore’s Federal Practice* § 23.23[2], p. 23–72 (3d ed.2011).² Rule 23(b)(3) certification requires * * * determinations that “questions of law or fact common to class members predominate over any questions affecting only individual members” and that “a class action is superior to other available methods for . . . adjudicating the controversy.”

The Court’s emphasis on differences between class members mimics the Rule 23(b)(3) inquiry into whether common questions “predominate” over individual issues. And by asking whether the individual differences

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“impede” common adjudication, * * * the Court duplicates 23(b)(3)’s question whether “a class action is superior” to other modes of adjudication. * * * “The Rule 23(b)(3) predominance inquiry” is meant to “tes[t] whether proposed classes are sufficiently cohesive to warrant adjudication by representation.” * * * If courts must conduct a “dissimilarities” analysis at the Rule 23(a)(2) stage, no mission remains for Rule 23(b)(3).

Because Rule 23(a) is also a prerequisite for Rule 23(b)(1) and Rule 23(b)(2) classes, the Court’s “dissimilarities” position is far reaching. Individual differences should not bar a Rule 23(b)(1) or Rule 23(b)(2) class, so long as the Rule 23(a) threshold is met. * * *

B

The “dissimilarities” approach leads the Court to train its attention on what distinguishes individual class members, rather than on what unites them. * * *

Wal-Mart’s delegation of discretion over pay and promotions is a policy uniform throughout all stores. The very nature of discretion is that people will exercise it in various ways. A system of delegated discretion * * * is a practice actionable under Title VII when it produces discriminatory outcomes. * * * A finding that Wal-Mart’s pay and promotions practices in fact violate the law would be the first step in the usual order of proof for plaintiffs seeking individual remedies for company-wide discrimination. * * * That each individual employee’s unique circumstances will ultimately determine whether she is entitled to backpay or damages * * * should not factor into the Rule 23(a)(2) determination.

* * *

NOTES AND QUESTIONS

1. In *Wal-Mart*, the large number of class members clearly made joinder impracticable for purposes of satisfying Rule 23(a)(1), but the Court raised other concerns about the appropriateness of Rule 23 certification. Generally, the test for numerosity has both a quantitative and a qualitative aspect. A class of 20 members is likely to be too small; a class of 40 is likely to be sufficient. Moreover, joinder does not have to be “impossible—only that the difficulty or inconvenience of joining all members of the class make use of the class action appropriate.” *Novella v. Westchester County*, 661 F.3d 128, 144 (2d Cir. 2011). Was the sheer size of the class significant to the decision in *Wal-Mart*, given that, as one commentator observed, “[t]he class consisted of a million and a half members, working at 3,400 stores”? Sherry, *Hogs Get Slaughtered at the Supreme Court*, 2011 Sup.Ct.Rev. 1, 22.

2. Prior to *Wal-Mart*, courts tended to give Rule 23(a)(2)—the “commonality” requirement—a “permissive application.” 7A Wright, Miller & Kane, *Federal Practice and Procedure* § 1763 (4th ed.). Even in a mass tort action, the threshold for commonality was “not high” and “relatively easy to

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satisfy.” In *re Teletronics Pacing Sys, Inc.*, 164 F.R.D. 222, 228 (S.D.Ohio 1995) (the class was later decertified and then recertified). The majority in *Wal-Mart* toughened the commonality standard to require a showing and proof of a “common contention” that is “capable of classwide resolution.” Under this standard should it be sufficient for the class complaint to allege that defendant has engaged in a systemic violation of the law that harms the absentees? In *Wallace B. Roderick Revocable Living Tr. v. XTO Energy, Inc.*, 725 F.3d 1213 (10th Cir. 2013), royalty owners of natural gas wells brought a class action against the lessee, challenging the adequacy of their royalty payments. The Tenth Circuit held that commonality was not established by the lessee’s use of a uniform methodology for determining payments to the royalty owners. What additional showing does *Wal-Mart* require?

3. In deciding whether “commonality” was shown, the majority in *Wal-Mart* examined the merits of plaintiffs’ claims on the ground that doing so was necessary to probe whether the requirements of Rule 23(a) had been satisfied. Before *Wal-Mart*, the Court had limited a district court’s authority to weigh the merits as part of the class certification calculus. Justice Powell, in a unanimous opinion in *Eisen v. Carlisle & Jacquelin*, 417 U.S. 156, 94 S.Ct. 2140, 40 L.Ed.2d 732 (1974), explained: “We find nothing in either the language or history of Rule 23 that gives a court any authority to conduct a preliminary inquiry into the merits of a suit in order to determine whether it may be maintained as a class action.” *Id.* at 177, 94 S.Ct. at 2152, 40 L.Ed.2d at 748–49. Because the district court in *Eisen* had sought expressly to encourage certification (on the ground that the class was likely to prevail on its claims), the *Wal-Mart* majority read that statement in Justice Powell’s opinion narrowly. After *Wal-Mart*, the Court in *Comcast Corp. v. Behrend*, 569 U.S. 27, 34, 133 S.Ct. 1426, 1433, 185 L.Ed.2d 515, 522 (2013), reaffirmed that consideration of the merits may be “pertinent” to the Rule 23(a) inquiry and that it would be an abuse of discretion for the district court not to take them into consideration to the extent that merits questions overlapped with the Rule 23(a) inquiry. However, in *AMGEN v. CONNECTICUT RETIREMENT PLANS AND TR. FUNDS*, 568 U.S. 455, 133 S.Ct. 1184, 184 L.Ed.2d 308 (2013), the Court, six-to-three, clarified the relationship between a review of the merits and the certification inquiry. In *Amgen*, the question was whether proof of materiality—an essential element of plaintiff’s fraud-on-the-market securities case—was a prerequisite to class certification, and the Court answered that it was not:

Although we have cautioned that a court’s class-certification analysis must be “rigorous” and may “entail some overlap with the merits of the plaintiff’s underlying claim,” [*Wal-Mart*, p. 810, *supra*], Rule 23 grants courts no license to engage in free-ranging merits inquiries at the certification stage. Merits questions may be considered to the extent—but only to the extent—that they are relevant to determining whether the Rule 23 prerequisites for class certification are satisfied. * * *

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Id. at 465–66, 133 S.Ct. at 1194–95, 184 L.Ed.2d at 320–21. Requiring plaintiffs to prove materiality before the certification decision, the Court stated, “put[s] the cart before the horse”; a “certification ruling is not to adjudicate the case; rather it is to select the ‘metho[d]’ best suited to adjudication of the controversy ‘fairly and efficiently.’ ” *Id.* at 460, 133 S.Ct. at 1191, 184 L.Ed.2d at 316 (alteration in original).

4. The Court in *Wal-Mart* noted in dicta a relationship between the typicality requirement of Rule 23(a)(3) and that of commonality, calling them “guideposts” for whether a class suit would be “economical” and adequate representation could be ensured. As the Third Circuit has explained, the typicality inquiry looks to whether “the class representatives are sufficiently similar to the rest of the class—in terms of their legal claims, factual circumstances, and stake in the litigation—so that certifying those individuals to represent the class will be fair to the rest of the proposed class.” In *re Schering Plough Corp. ERISA Litig.*, 589 F.3d 585, 597 (3d Cir. 2009).

5. Will typicality be defeated if the claims of the named representative are not identical to those of the absentees? In *GENERAL TELEPHONE CO. OF SOUTHWEST v. FALCON*, 457 U.S. 147, 156, 102 S.Ct. 2364, 72 L.Ed.2d 740 (1982), relied upon in *Wal-Mart*, the Court stated that a named representative must have the same interest and suffer the same injury as the class. The Court then found that the named plaintiff, who alleged that defendant had discriminated against him in its employment *promotion* practices, could not represent the interests of absent class members alleging discrimination in employment *hiring*:

* * * Conceptually, there is a wide gap between (a) an individual’s claim that he has been denied a promotion on discriminatory grounds, and his otherwise unsupported allegation that the company has a policy of discrimination, and (b) the existence of a class of persons who have suffered the same injury as that individual, such that the individual’s claim and the class claims will share common questions of law or fact and that the individual’s claim will be typical of the class claims. * * *

* * * Respondent’s complaint provided an insufficient basis for concluding that the adjudication of his claim of discrimination in promotion would require the decision of any common question concerning the failure of petitioner to hire more Mexican-Americans.

Id. at 157–58, 102 S.Ct. at 2370–71, 72 L.Ed.2d at 750–51. However, in *GRATZ v. BOLLINGER*, 539 U.S. 244, 123 S.Ct. 2411, 156 L.Ed.2d 257 (2003), a challenge to a public university’s use of racial criteria in the selection of students for undergraduate admission, the Court held that the named plaintiff, a transfer student, could represent students who had applied in the regular admission process; their difference in application status was irrelevant because the university used the same criteria to select entry and transfer students. As the Seventh Circuit has explained, “The lesson we take from that is that there must be enough congruence between the named representative’s

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claim and that of the unnamed members of the class to justify allowing the named party to litigate on behalf of the group.” *Spano v. Boeing Co.*, 633 F.3d 574, 586 (7th Cir. 2011). Why was this congruence not present in *Falcon*?

6. Rule 23(a)(4) requires that the named plaintiff “fairly and adequately protect the interests of the class.” In *AMCHEM PRODS., INC. v. WINDSOR*, 521 U.S. 591, 117 S.Ct. 2231, 138 L.Ed.2d 689 (1997), a proposed global settlement of “hundreds of thousands, perhaps millions” of claims arising from exposure to asbestos, the Court explained that the purpose of the adequacy requirement is “to uncover conflicts of interest between named parties and the class they seek to represent.” Id. at 625, 117 S.Ct. at 2250, 138 L.Ed.2d at 714. Finding that common claims did not predominate, the Court did not discuss adequacy issues “discretely,” but observed that the class members had diverse medical conditions, were exposed to different asbestos-containing products, had different prospects for physical injury and death, and had different preferences for immediate or long-term payment. As the Court concluded,

The settling parties, in sum, achieved a global compromise with no structural assurance of fair and adequate representation for the diverse groups and individuals affected. Although the named parties alleged a range of complaints, each served generally as representative for the whole, not for a separate constituency.

Id. at 609, 626–27, 117 S.Ct. at 2243, 2251, 138 L.Ed.2d at 704, 714–15. *Amchem* makes clear that potentially conflicting interests do not inevitably doom class certification; however, they do require the district court to take steps early in the lawsuit to protect absentees (for example, by ordering provisional certification of subclasses with independent counsel for groups with different interests). See Ratner, *Class Conflicts*, 92 Wash.L.Rev. 785 (2017).

7. In addition to monitoring intra-class conflict, the adequacy inquiry examines the “zeal and competence” of the named party and the party’s lawyer, as well as “the willingness and ability of the representative to take an active role in and control the litigation and to protect the interests of absentees.” *Jones v. Singing River Health Serv. Found.*, 865 F.3d 285, 294 (5th Cir. 2017) (citation omitted), cert. denied, 138 S.Ct. 1000 (2018). For example, in *Monroe v. City of Charlottesville*, 579 F.3d 380 (4th Cir. 2009), cert. denied, 559 U.S. 992, 130 S.Ct. 1740, 176 L.Ed.2d 213 (2010), the court found the class representative to be inadequate when the party could not recognize the complaint and was unaware that the lawsuit had been filed in his name until reading about it in a newspaper.

NOTE ON SELECTION OF THE “LEAD PLAINTIFF” IN SECURITIES-FRAUD CASES

The Private Securities Litigation Reform Act, p. 653, *supra*, requires the court to appoint a “lead plaintiff” in securities class actions; a presumption in favor of the party with the largest financial stake in the class relief sought. See 7A Wright, Miller & Kane, *Federal Practice and Procedure* § 1767

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(4th ed.). The requirement seeks to give shareholders with large financial interests incentives to monitor class counsel’s behavior to avoid conflict and collusion. See Silver & Dinkin, *Incentivizing Institutional Investors to Serve as Lead Plaintiffs in Securities Fraud Class Actions*, 57 DePaul L.Rev. 471 (2008).

The circuits are divided on what the lead-plaintiff designation requires. The Fifth Circuit has held that the Act “raises the standard adequacy threshold” under Rule 23(a)(4) by directing district courts to appoint as lead plaintiff “the most sophisticated investor available * * *.” *Berger v. Compaq Comput. Corp.*, 257 F.3d 475 (5th Cir. 2001), rehearing denied, 279 F.3d 313 (5th Cir. 2002). The Ninth Circuit has taken a different approach, requiring the district court to determine which plaintiff has the biggest stake in the lawsuit, and to appoint that plaintiff as lead unless the designee does not satisfy the adequacy and typicality requirements. Three steps are contemplated:

The first step consists of publicizing the pendency of the action, the claims made and the purported class period. * * *

In step two, the district court must * * * compare the financial stakes of the various plaintiffs and determine which one has the most to gain from the lawsuit. * * * It must then focus its attention on that plaintiff and determine * * * whether he satisfies the requirements of Rule 23(a), in particular those of “typicality” and “adequacy.” * * * If the plaintiff with the largest financial stake in the controversy provides information that satisfies these requirements, he becomes the presumptively most adequate plaintiff. If the plaintiff with the greatest financial stake does not satisfy the Rule 23(a) criteria, the court must repeat the inquiry, this time considering the plaintiff with the next-largest financial stake, until it finds a plaintiff who is both willing to serve and satisfies the requirements of Rule 23.

The third step of the process is to give other plaintiffs an opportunity to rebut the presumptive lead plaintiff’s showing that it satisfies Rule 23’s typicality and adequacy requirements. * * *

In re Cavanaugh, 306 F.3d 726, 729–32 (9th Cir. 2002).

Is it fair to presume that the investor with the largest financial stake will adequately represent the interests of investors with smaller stakes? Are the interests of institutional investors consistently aligned with those of individual investors? Might it be preferable to appoint individual and institutional investors as co-lead plaintiffs in securities class actions? See Burch, *Optimal Lead Plaintiffs*, 64 Vand.L.Rev. 1109 (2011); Webber, *The Plight of the Individual Investor in Securities Class Actions*, 106 Nw.U.L.Rev. 157 (2012). For a study of whether the “lead plaintiff” provisions have resulted in more effective monitoring, see Cox & Thomas, *Does the Lead Plaintiff Matter? An Empirical Analysis of Lead Plaintiffs in Securities Class Actions*, 106 Colum.L.Rev. 1587 (2006).

2.RULE 23(b): THE TYPES OF CLASS ACTIONS

The party seeking class certification must show that the case falls within one of the three types of actions set forth in Rule 23(b). Certification of the case as one type rather than another imposes specific and different duties on counsel and the court, and affects the ability of the unnamed class members to disassociate themselves from the binding effect of a resulting class judgment. Two critical differences among the types of class actions are whether the absentee class members must be given an opportunity to “opt-out” of the class; and whether individual notice must be given to each absentee at the certification stage about claims, defenses, exit rights, and other matters. Rule 23(b)(1) and (b)(2) generally do not require notice at the certification stage and do not provide opt-out rights to absentees. For this reason they are sometimes referred to as “mandatory” class actions. Rule 23(b)(3) requires notice and opt-out rights in all cases.

As you read the descriptions that follow, consider which type of class action best fits this fact pattern:

Pacemakers containing allegedly defective wires and leads to the heart were implanted into more than 10,000 patients in 48 states throughout the United States. Because of the defect, the pacemakers were prone to break in some instances and cause injury to the heart or blood vessels. Approximately 8,500 of the patients are still alive. Implantees filed suit in the Eastern District of California alleging negligence, products liability, breach of warranty, intentional misrepresentation, and infliction of emotional distress. As relief, they sought (a) notice to all implantees of the potential danger from continued use of the pacemaker; (b) creation of a medical monitoring program for the purpose of providing ongoing diagnosis and treatment to implantees; (c) creation of a medical monitoring fund to pay all other future medical expenses in any way related to the defective product, with the amount of the fund limited to defendant’s profits from its manufacturer and distribution of the defective product; (d) creation of a medical research fund to investigate innovative treatment for implantees; (e) classwide punitive damages for deceit; and (f) compensatory damages for intentional infliction of emotional distress.

a. “Prejudice” Class Actions: Rule 23(b)(1) authorizes a class from which members cannot exit in order to avoid prejudice that could result from the pursuit of individual lawsuits. The rule has two subparts:

Subdivision (A) focuses on potential prejudice to defendant; Subdivision (B) focuses on potential prejudice to the absentees.

Rule 23(b)(1)(A) deals with the risk that individual actions would create “incompatible standards of conduct” for the party opposing the class. Certification under Subdivision (A) is not appropriate when plaintiffs primarily seek monetary damages; a defendant does not face incompatible standards of conduct simply because damages are to be paid to one claimant and not to another. Rather, certification would be appropriate only when the class primarily seeks relief that typically acts as an injunction or declaration, and a series of individual lawsuits would place defendant in a position of uncertainty, not knowing how to treat other members of the class. Thus, for example, certification under Rule 23(b)(1)(A) was appropriate in a suit by football players against the National Football League for violations of antitrust laws; “[t]he need to revise or to eliminate past rules and practices of professional football” embraced the possibility “that adjudications of separate actions could set incompatible standards of conduct.” *Reynolds v. National Football League*, 584 F.2d 280, 284 (8th Cir. 1978). If defendant is willing to risk incompatible adjudications, should the court refuse to certify the class? See *Gallagher, Vetoing Class Actions*, 24 Rev. Litig. 527 (2005).

Rule 23(b)(1)(B) focuses on the potential for prejudice to the absentees and authorizes certification when individual actions “would be dispositive of the interests” or “substantially impair or impede” the ability of nonparties to protect their interests. The classic example involves multiple claimants to a limited fund, such as insurance proceeds. Individual lawsuits by those with competing claims would create the risk that those who sue first will deplete the fund and leave nothing for the latecomers, subjecting them to practical prejudice.

The Court has emphasized that the fund must have “definitely, ascertained limits, all of which would be distributed to satisfy all those with liquidated claims”; “the shared character of rights claimed or relief awarded entails that any individual adjudication by a class member disposes of, or substantially affects, the interests of absent class members.” *Ortiz v. Fibreboard Corp.*, 527 U.S. 815, 834, 841, 119 S.Ct. 2295, 2309, 2312, 144 L.Ed.2d 715, 733, 737 (1999).

b.Injunctive and Declaratory Relief: Class actions under Rule 23(b)(2) seek injunctive or declaratory relief to change defendant’s conduct prospectively rather than to provide individual compensation to the class members for past harms. For an action to fall within Rule 23(b)(2), defendant’s conduct need apply generally to the class; perfect harmony among the class members is not required. See Gilles & Friedman, The Radical Majoritarianism of Rule 23(b)(2), 65 U. Kan.L.Rev. 989 (2017). As the Supreme Court has explained:

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Rule 23(b)(2) applies only when a single injunction or declaratory judgment would provide relief to each member of the class. It does not authorize class certification when each individual class member would be entitled to a different injunction or declaratory judgment against the defendant. Similarly, it does not authorize class certification when each class member would be entitled to an individualized award of monetary damages.

Wal-Mart Stores, Inc. v. Dukes, 564 U.S. 338, 360–61, 131 S.Ct. 2541, 2557–58, 180 L.Ed.2d 374, 396 (2011). The 1966 amendment that created Rule 23(b)(2) had in mind school desegregation cases, but the injunctive class action has been used in a broad range of substantive areas. See Marcus, *Flawed But Noble: Desegregation Litigation and Its Implications for the Modern Class Action*, 6 Fla.L.Rev. 657 (2011).

c.Damages Class Actions: Class suits seeking damages for injuries caused by the same defendant are candidates for certification under Rule 23(b)(3). The rule requires the claims of the class members to share questions of law or fact that predominate over any questions affecting only individual members; moreover, class treatment must be shown to be a superior mode of adjudication. Rule 23(b)(3) sets forth four factors pertinent to finding predominance and superiority. Rule 23(b)(3)(A)–(D). Members of a class certified under this provision are permitted to opt-out of the action. These conditions are intended to insure that the proposed class is “sufficiently cohesive to warrant adjudication by representation.” Amchem Products, Inc. v. Windsor, 521 U.S. 591, 623, 117 S.Ct. 2231, 2249, 138 L.Ed.2d 689, 712 (1997). As the Court has explained, the Rule 23(b)(3) inquiry:

*** calls upon courts to give careful scrutiny to the relation between common and individual questions in a case. An individual question is one where “members of a proposed class will need to present evidence that varies from member to member,” while a common question is one where “the same evidence will suffice for each member to make a prima facie showing [or] the issue is susceptible to generalized, class-wide proof.” *** The predominance inquiry “asks whether the common, aggregation-enabling, issues in the case are more prevalent or important than the non-common, aggregation-defeating, individual issues.” *** When “one or more of the central issues in the action are common to the class and can be said to predominate, the action may be considered proper under Rule 23(b)(3) even though other important matters will have to be tried separately, such as damages or some affirmative defenses peculiar to some individual class members.” ***

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Tyson Foods, Inc. v. Bouaphakeo, 577 U.S. 442, 453, 136 S.Ct. 1036, 1045, 194 L.Ed.2d 124, 134 (2016) (internal citations omitted).

In *CASTANO v. AMERICAN TOBACCO CO.*, 84 F.3d 734 (5th Cir. 1996), the appeals court decertified a Rule 23(b)(3) class defined as:

- (a)All nicotine-dependent persons in the United States . . . who have purchased and smoked cigarettes manufactured by the defendants;
- (b)The estates, representatives, and administrators of these nicotine-dependent cigarette smokers; and
- (c)The spouses, children, relatives and “significant others” of these nicotine-dependent cigarette smokers as their heirs or survivors.

Id. at 737 (alteration in original). In the appellate court’s view, certification was not appropriate because the claims were governed by the laws of different states and the theories of liability were considered “novel and wholly untested.” *Id.* The Court of Appeals explained:

*** [H]istorically, certification of mass tort litigation classes has been disfavored. The traditional concern over the rights of defendants in mass tort class actions is magnified in the instant case. *** This is because certification of an immature tort results in a higher than normal risk that the class action may not be superior to individual adjudication.

Id. at 746–47. See McGovern, *Resolving Mature Mass Tort Litigation*, 69 B.U.L.Rev. 659 (1989). After the *Castano* class failed and legislative reform of the tobacco industry proved unlikely, over 40 states filed lawsuits against tobacco companies to recover expenditures made for tobacco-related illnesses. The companies negotiated a settlement with the Attorneys General of these states, and in November 1998, the settlement was accepted by 46 states, the District of Columbia, and five territories. This settlement included payments to the states totaling \$206 billion to be paid over the next 25 years. Why was this approach to claims-resolution superior to a class action by the consumers themselves? See Lemos, *Aggregate Litigation Goes Public: Representative Suits by State Attorneys General*, 126 Harv.L.Rev. 486 (2012).

The Supreme Court’s decision in *Erie R.R. v. Tompkins*, p. 445, *supra*, complicates certification decisions in Rule 23(b)(3) cases because numerous state laws often must be applied in multi-state and national class actions, making satisfaction of the Rule’s predominance requirement more difficult. In *Klay v. Humana, Inc.*, 382 F.3d 1241, 1261 (11th Cir. 2004), cert. denied, 543 U.S. 1081, 125 S.Ct. 172, 160 L.Ed.2d 825 (2004), the Court stated: “It goes without saying that class certification is impossible where the fifty states truly establish a large number of different legal standards governing

a particular claim.” See also *In the Matter of Rhone-Poulenc Rorer, Inc.*, 51 F.3d 1293, 1300–02 (7th Cir. 1995), cert. denied, 516 U.S. 867, 116 S.Ct. 184, 133 L.Ed.2d 122 (1995).

NOTE ON “HYBRID” CLASS ACTIONS

In some class actions, the representative parties may wish to pursue classwide injunctive relief as well as money damages. What type of class action should be certified? In *Wal-Mart Stores, Inc. v. Dukes*, p. 810, *supra*, the Court held that claims for monetary relief may not be certified under Federal Rule 23(b)(2) when the “the monetary relief is not incidental to the injunctive or declaratory relief”:

* * * One possible reading of * * * [Rule 23(b)(2)] is that it applies *only* to requests for such injunctive or declaratory relief and does not authorize the class certification of monetary claims at all. We need not reach that broader question in this case, because we think that, at a minimum, claims for *individualized* relief (like the backpay at issue here) do not satisfy the Rule. * * * Rule 23(b)(2) applies only when a single injunction or declaratory judgment would provide relief to each member of the class. It does not authorize class certification when each individual class member would be entitled to a *different* injunction or declaratory judgment against the defendant. Similarly, it does not authorize class certification when each class member would be entitled to an individualized award of monetary damages.

* * *

Permitting the combination of individualized and classwide relief in a (b)(2) class is * * * inconsistent with the structure of Rule 23(b). Classes certified under (b)(1) and (b)(2) share the most traditional justifications for class treatment—that individual adjudications would be impossible or unworkable, as in (b)(1) class, or that the relief sought must perforce affect the entire class at once, as in a (b)(2) class. For that reason these are also mandatory classes: The Rule provides no opportunity for (b)(1) or (b)(2) class members to opt out, and does not even oblige the District Court to afford them notice of the action. Rule 23(b)(3), by contrast, is an “adventuresome innovation” of the 1966 amendments * * * [and] allows class certification in a much wider set of circumstances but with greater procedural protections. * * * And unlike (b)(1) and (b)(2) classes, the (b)(3) class is not mandatory; class members are entitled to receive “the best notice that is practicable under the circumstances” and to withdraw from the class at their option. * * *

Given that structure, we think it clear that individualized monetary claims belong in Rule 23(b)(3). The procedural protections attending the (b)(3) class—predominance, superiority, mandatory notice, and the right to opt out—are missing from (b)(2) not because the Rule considers them unnecessary, but because it considers them

unnecessary to a (b)(2) class. When a class seeks an indivisible injunction benefitting all its members at once, there is no reason to undertake a case-specific inquiry into whether class issues predominate or whether class action is a superior method of adjudicating the dispute. * * * But with respect to each class member’s individualized claim for money, that is not so—which is precisely why (b)(3) requires the judge to make findings about predominance and superiority before allowing the class. Similarly, (b)(2) does not require that class members be given notice and opt-out rights, presumably because it is thought (rightly or wrongly) that notice has no purpose when the class is mandatory, and that depriving people of their right to sue in this manner complies with the Due Process Clause. In the context of a class action predominantly for money damages we have held that absence of notice and opt-out violates due process. * * * While we have never held that to be so where the monetary claims do not predominate, the serious possibility that it may be so provides an additional reason not to read Rule 23(b)(2) to include the monetary claims here.

* * *

Against that conclusion, respondents argue that their claims for backpay were appropriately certified as part of a class under Rule 23(b)(2) because those claims do not “predominate” over their requests for injunctive and declaratory relief. They rely upon the Advisory Committee’s statement that Rule 23(b)(2) “does not extend to cases in which the appropriate final relief relates *exclusively or predominantly* to money damages.” * * * (emphasis added). * * * [I]t is the Rule itself, not the Advisory Committee’s description of it, that governs. * * * We fail to see why the Rule should be read to nullify these protections whenever a plaintiff class, at its option, combines its monetary claims with a request—even a “predominating request”—for an injunction.

Respondents’ predominance test, moreover, creates perverse incentives for class representatives to place at risk potentially valid claims for monetary relief. In this case, for example, the named plaintiffs declined to include employees’ claims for compensatory damages in their complaint. That strategy of including only backpay claims made it more likely that monetary relief would not “predominate.” But it also created the possibility * * * that individual class members’ compensatory-damages claims would be *precluded* by litigation they had no power to hold themselves apart from. * * * That possibility underscores the need for plaintiffs with individual monetary claims to decide *for themselves* whether to tie their fates to the class representatives’ or go it alone—a choice Rule 23(b)(2) does not ensure that they have.

* * * We need not decide in this case whether there are any forms of “incidental” monetary relief that are consistent with the interpretation of Rule 23(b)(2) we have announced and that comply with the Due Process Clause. Respondents do not argue that they can satisfy this standard, and in any event they cannot.

Id. at 360–66, 131 S.Ct. at 2557–60, 180 L.Ed.2d at 396–400.

Are you persuaded by the Court’s statement that a single injunction would not benefit all class members? What forms of monetary relief might be treated as “incidental” under Rule 23(b)(2)? In *Allison v. Citgo Petro. Corp.*, 151 F.3d 402, 415 (5th Cir. 1998), the Fifth Circuit defined incidental monetary relief as “damages that flow directly from liability to the class as a whole on the claims forming the basis of the injunctive or declaratory relief.” In that situation, “incidental damage should not require additional hearings to resolve the disparate merits of each individual’s case; it should neither introduce new substantial legal or factual issues, nor entail complex individualized determinations.” Id. See Malveaux, *Class Actions at the Crossroads: An Answer to Wal-Mart v. Dukes*, 5 Harv.L. & Pol’y Rev. 375 (2011).

3.RULE 23(c): CERTIFICATION DECISIONS

“At an early practicable time” the district court must issue an order granting or denying certification and defining the class. The scope of the class may change as discovery goes forward; the court retains authority to amend the order “before final judgment.” Rule 23(c)(1)(A), (C). Under Rule 23(c)(4), the court also may choose to certify an “issue class”—that is, it may permit the case to be “maintained as a class action with respect to particular issues.” See Burch, *Constructing Issue Classes*, 10 Va.L.Rev. 1855 (2015). For example, although a controversial approach, a judge in a products liability suit could certify for class treatment solely the issue of whether the manufacturer knew of the product’s adverse effects before taking it to market. Finally, the certification order addresses the notice that is to be given to the absent class members and appoints class counsel under Rule 23(g). These requirements are discussed in the materials that follow.

a.Defining the Class

As amended in 2003, Rule 23(c)(1)(B) states that the order certifying the class “must define the class and the class claims, issues, or defenses.” The original Rule 23 did not specify this condition, and prior to the amendment there was no hard-and-fast rule governing class definition. Generally, courts required the definition to “be precise, objective, and presently ascertainable,” and “not depend on subjective criteria or the merits of the case or require extensive factual inquiry to determine who is a class member.” In *re Copper Antitrust Litig.*, 196 F.R.D. 348, 353

(W.D.Wis. 2000) (citations omitted). Under this standard, class definitions failed if they were too broad (e.g., “all learning disabled children in the state of Texas”); too specific (e.g., “all people with Spanish surnames having Spanish, Mexican, or Indian ancestry who spoke Spanish as a primary or secondary language”); too vague (e.g., “all users of drug X who suffered medical problems”); or too amorphous (e.g., “all recipients of unsolicited spam messages”). Having a clear class definition protects absentees by identifying the recipients of notice when required; it protects the parties and the court by facilitating claim preclusion; and it saves judicial resources by making the definition easy to administer. See *Marcus v. BMW of N. Am., LLC*, 687 F.3d 583, 593 (3d Cir. 2012). However, requiring too rigid a definition may impede the class action’s utility.

BRISENO v. CONAGRA FOODS, INC.
United States Court of Appeals, Ninth Circuit, 2017.
[844 F.3d 1121](#), cert. denied, [138 S.Ct. 313](#), [199 L.Ed.2d 206](#).

FRIEDLAND, CIRCUIT JUDGE:

Plaintiffs are consumers who purchased Wesson-brand cooking oil products labeled “100% Natural.” The “100% Natural” label appeared on every bottle of Wesson-brand oil throughout the putative class periods (and continues to appear on those products). Plaintiffs argue that the “100% Natural” label is false or misleading because Wesson oils are made from bioengineered ingredients (genetically modified organisms, or GMOs) that Plaintiffs contend are “not natural.” ConAgra manufactures, markets, distributes, and sells Wesson products.

Plaintiffs filed putative class actions asserting state-law claims against ConAgra in eleven states, and those cases were consolidated in this action. Plaintiffs moved to certify eleven classes defined as follows: * * *

All persons who reside in the States of California, Colorado, Florida, Illinois, Indiana, Nebraska, New York, Ohio, Oregon, South Dakota, or Texas who have purchased Wesson Oils within the applicable statute of limitations periods established by the

laws of their state of residence (the “Class Period”) through the final disposition of this and any and all related actions.

As relevant here, ConAgra opposed class certification on the ground that there would be no administratively feasible way to identify members

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of the proposed classes because consumers would not be able to reliably identify themselves as class members. * * *³

The district court acknowledged that the Third Circuit and some district courts have refused certification in similar circumstances, but it declined to join in their reasoning. Instead, the district court held that, at the certification stage, it was sufficient that the class was defined by an objective criterion: whether class members purchased Wesson oil during the class period.

* * *

II

A

* * *

Beginning then with the plain language, Rule 23(a) * * * identifies the prerequisites to maintaining a class action in federal court. It does not mention “administrative feasibility.”

Traditional canons of statutory construction suggest that this omission was meaningful. Because the drafters specifically enumerated “[p]rerequisites,” we may conclude that Rule 23(a) constitutes an exhaustive list. * * * If the Rules Advisory Committee had intended to create a non-exhaustive list in Rule 23(a), it would have used similar language [to that used in Rule 23(b)]. * * * Moreover, Rule 23(b)(3) requires a court certifying a class under that section to consider “the likely difficulties in managing a class action.” * * * Imposing a separate administrative feasibility requirement would render that manageability criterion largely superfluous * * *.

Supreme Court precedent also counsels in favor of hewing closely to the text of Rule 23. In [*Amchem*, p. 853, *supra*], the Court considered whether a settlement-only class could be certified without satisfying the requirements of Rule 23. In holding that it could not, * * * the Court * * * admonished that “[c]ourts are not free to amend a rule outside the process Congress ordered.” * * * The lesson of *Amchem Products* is plain: “Federal courts . . . lack authority to substitute for Rule 23’s certification criteria a standard never adopted.” * * *

B

We recognize that the Third Circuit does require putative class representatives to demonstrate “administrative feasibility” as a

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prerequisite to class certification.⁶ * * * The Third Circuit justifies its administrative feasibility requirement not through the text of Rule 23 but rather as a necessary tool to ensure that the “class will actually function as a class.” * * *

1

One rationale the Third Circuit has given for imposing an administrative feasibility requirement is the need to mitigate the administrative burdens of trying a Rule 23(b)(3) class action. Courts adjudicating such actions must provide notice that a class has been certified and an opportunity for absent class members to withdraw from the class. * * * The Third Circuit largely justifies its administrative feasibility prerequisite as necessary to ensure that compliance with this procedural requirement does not compromise the efficiencies Rule 23(b)(3) was designed to achieve. * * *

But Rule 23(b)(3) already contains a specific, enumerated mechanism to achieve that goal: the manageability criterion of the superiority requirement. * * *

Moreover, as the Seventh Circuit has observed, requiring class proponents to satisfy an administrative feasibility prerequisite “conflicts with the well-settled presumption that courts should not refuse to certify a class merely on the basis of manageability concerns.” * * * This presumption makes ample sense given the variety of procedural tools courts can use to manage the administrative burdens of class litigation. For example, Rule 23(c) enables district courts to divide classes into subclasses or certify a class as to only particular issues. * * *

Adopting a freestanding administrative feasibility requirement instead of assessing manageability as one component of the superiority inquiry would * * * have practical consequences inconsistent with the policies embodied in Rule 23. * * * Class actions involving inexpensive consumer goods in particular would likely fail at the outset if administrative feasibility were a freestanding prerequisite to certification.

The authors of Rule 23 opted not to make the potential administrative burdens of a class action dispositive and instead directed courts to balance the benefits of class adjudication against its costs. We lack authority to substitute our judgment for theirs. * * *

2

* * *

A

With respect to absent class members, the Third Circuit has expressed concern about whether courts would be able to ensure individual notice without a method for reliably identifying class members. * * * We believe that concern is unfounded, because neither Rule 23 nor the Due Process Clause requires actual notice to each individual class member.

Rule 23 requires only the “best notice that is *practicable under the circumstances*, including individual notice to all members who can be identified through reasonable effort.” FED. R. CIV. P. 23(c)(2)(B) (emphasis added). * * * And courts have long employed cy pres remedies when some or even all potential claimants cannot be identified. * * * The notion that an inability to identify all class members precludes class certification cannot be reconciled with our court’s longstanding cy pres jurisprudence. * * *

Likewise, the Due Process Clause does not require actual, individual notice in all cases. * * * Courts have routinely held that notice by publication in a periodical, on a website, or even at an appropriate physical location is sufficient to satisfy due process. * * *

Moreover, the lack-of-notice concern presumes that some harm will inure to absent class members who do not receive actual notice. In theory, inadequate notice might deny an absent class member the opportunity to opt out and pursue individual litigation. But in reality that risk is virtually nonexistent in the very cases in which satisfying an administrative feasibility requirement would prove most difficult—low-value consumer class actions. Such cases typically involve low-cost products and, as a result, recoveries too small to incentivize individual litigation. At the same time, an administrative feasibility requirement like that imposed by the Third Circuit would likely bar such actions because consumers generally do not keep receipts or other records of low-cost purchases. Practically speaking, a separate administrative feasibility requirement would protect a purely theoretical interest of absent class members at the expense of any possible recovery for all class members—in precisely those cases that depend most on the class mechanism. * * *

B

The Third Circuit has also expressed concern that without an administrative feasibility requirement, individuals will submit illegitimate claims and thereby dilute the recovery of legitimate claimants. * * *

The fraud concern may be valid in theory, but “in practice, the risk of dilution based on fraudulent or mistaken claims seems low, perhaps to the point of being negligible.” * * * This is especially true in class actions involving low-cost consumer goods. Why would a consumer risk perjury charges and spend the time and effort to submit a false claim for a de

minimis monetary recovery? And even if consumers might do so, courts “can rely, as they have for decades, on claim administrators, various auditing processes, sampling for fraud detection, follow-up notices to explain the claims process, and other techniques tailored by the parties and the court” to avoid or minimize fraudulent claims. * * *

As to the dilution concern specifically, consistently low participation rates in consumer class actions make it very unlikely that non-deserving claimants would diminish the recovery of participating, bona fide class members. * * * Moreover, if certification is denied to prevent dilution, deserving class members “will receive nothing, for they would not have brought suit individually in the first place.” * * *

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Finally, the Third Circuit has characterized its administrative feasibility requirement as necessary to protect the due process rights of defendants “to raise individual challenges and defenses to claims.” * * * The gravamen of this due process concern seems to be that defendants must have an opportunity to dispute whether class members really bought the product or used the service at issue. * * *

* * * Defendants can oppose the class representatives’ showings at every stage. Indeed, in litigating class certification, ConAgra took discovery of the class representatives, challenged whether they bought Wesson oil products, attacked their credibility, and disputed whether they relied on the label at issue. As the case proceeds, ConAgra will have further opportunities to contest every aspect of Plaintiffs’ case.

Defendants will have similar opportunities to individually challenge the claims of absent class members if and when they file claims for damages. * * *

* * * ConAgra may prefer to terminate this litigation in one fell swoop at class certification rather than later challenging each individual class member’s claim to recovery, but there is no due process right to “a cost-effective procedure for challenging every individual claim to class membership.” * * *

* * *

C

In summary, the language of Rule 23 neither provides nor implies that demonstrating an administratively feasible way to identify class members is a prerequisite to class certification, and the policy concerns that have motivated the Third Circuit to adopt a separately articulated requirement are already addressed by the Rule. We therefore join the Sixth, Seventh, and Eighth Circuits in declining to adopt an administrative feasibility requirement. * * *

III

For the forgoing reasons, the district court did not err in declining to condition class certification on Plaintiffs’ proffer of an administratively feasible way to identify putative class members.

* * *

NOTE AND QUESTION

The Seventh Circuit decision, relied upon in the principal case, likewise rejected the imposition of a heightened ascertainability requirement at the certification stage as inconsistent with the text and policy of Rule 23:

Nothing in Rule 23 mentions or implies this heightened requirement under Rule 23(b)(3), which has the effect of skewing the balance that district courts must strike when deciding whether to certify classes. The policy concerns motivating the heightened ascertainability requirement are better addressed by applying carefully the explicit requirements of Rule 23(a) and especially (b)(3). * * *

The heightened ascertainability requirement upsets this balance. In effect, it gives one factor in the balance absolute priority, with the effect of barring class actions where class treatment is often most needed: in cases involving relatively low-cost goods or services, where consumers are unlikely to have documentary proof of purchase.

Mullins v. Dir. Dig., LLC, 795 F.3d 654, 657–58 (7th Cir. 2015). See Moore, *The Heightened Standard of Ascertainability: An Unnecessary Hurdle to Class Action Certification*, 122 Penn. St.L.Rev. 247 (2017). Are there advantages to giving close scrutiny to the class definition at an early stage in the lawsuit?

b. Notice in Different Types of Classes

i. The Court’s Role and the Timing of Notice

Rule 23 authorizes notice to class members at the time of certification, see Rule 23(c)(2); during the conduct of the action, see Rule 23(d)(1)(B); and at the time of “settlement, voluntary dismissal, or compromise.” Rule 23(e). The question of notice to absent class members has tremendous theoretical and practical importance. As a matter of due process, the absence of, or a defect in, notice may open a classwide judgment to a collateral challenge. As a practical matter, the costs of notice can be high and are borne by plaintiffs.

Rule 23 sets out two different requirements for notice at the certification stage. Notice is discretionary in so-called “mandatory” class actions under Rule 23(b)(1) and (b)(2) from which absentees may not opt-out. The assumption in these types of classes is that the suits are sufficiently cohesive to ensure the adequacy of representation needed to

meet due process and day-in-court values. However, notice is required in Rule 23(b)(3) classes, from which absentees may opt-out. The notice provided must be “the best notice that is practicable under the circumstances, including individual notice to all members who can be identified through reasonable effort.” Rule 23(c)(2).

Rule 23 does not specifically address notice when the suit is a “hybrid” class action, combining, for example, equitable claims for apportionment of a limited fund and individual claims to damages. In the context of a state class action, the Court has held that due process requires notice and an opportunity for exit if the claims involve “money damages or similar relief at law.” Phillips Petroleum Co. v. Shutts, p. 873, *infra*; see also Ortiz v. Fibreboard Corp., p. 860, *infra*. See Klonoff, *Class Actions for Monetary Relief Under Rule 23(b)(1)(A) and (b)(1)(B): Does Due Process Require Notice and Opt-out Rights?*, 82 Geo. Wash.L.Rev. 798 (2014).

The notice requirements at the back-end of the lawsuit—at the time of settlement or dismissal—apply to all types of class actions but are less demanding than at the front-end when certification is ordered. See Rule 23(e).

ii. The Content and Delivery of Notice

If notice is to serve its function, the information that it provides must be intelligible to the person who receives it. See Wheatman & LeClercq, *Majority of Class Action Publication Notices Fail to Satisfy Rule 23 Requirements*, 30 Rev. Litig. 53 (2010). Over the years questions have been raised whether the class notice adequately informs absentees of their rights or whether class members understand their options. Professor Rhode illustrated the nature of the problem with these class members’ responses to notice provided about opt-out rights in an antitrust suit on behalf of antibiotic purchasers:

Dear Sir:

I received your pamphlet on drugs, which I think will be of great value to me in the future.

Due to circumstances beyond my control I will not be able to attend this class at the time prescribed on your letter due to the fact that my working hours are from 7:00 until 4:30.

Dear Sir:

Our son is in the Navy, stationed in the Caribbean some place. Please let us know exactly what kind of drugs he is accused of

taking.

From a mother who will help if properly informed.

A worried mother,

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Jane Doe

Dear Attorney General:

* * * I received a card from you and I don't understand it, and my husband can't read his. Most of the time all I buy is olive oil for healing oil after praying over it, it is anointed with God's power and ain't nothing like dope.

Rhode, *Class Conflicts in Class Actions*, 34 Stan.L.Rev. 1183, 1235 (1982).

Rule 23 was amended in 2003 to address some of the problems that had been uncovered in practice. The rule now specifies the categories of information that must be discussed in the class notice, as well as the form of the information—the notice must be clear, concise, and written in plain language that is “easily understood.” Rule 23(c)(2)(B).

What constitutes the best notice practicable in the Internet era? E-mail and websites have become common means of providing notice to class members, particularly in consumer class actions. See Klonoff, *Making Class Actions Work: The Untapped Potential of the Internet*, 69 U.Pitt. L.Rev. 727 (2008). How might the increasing accessibility and popularity of the Internet affect the due process analysis? See *Mirfasihi v. Fleet Mortg. Corp.*, 356 F.3d 781, 786 (2004) (“[I]n this age of electronic communications, newspaper notice alone is not always an adequate alternative to individual notice.”). In *Noll v. eBay, Inc.*, 309 F.R.D. 593 (N.D. Cal.2015), a suit by sellers on the auction website called eBay, 1,192,947 class members were identified through their “unique user IDs” (each ID associated with an eBay selling account). The court approved a settlement notice sent to class members in these ways:

(i) by email to each Class Member, which shall include a hypertext link to the Settlement website; (ii) by Internet Posting, i.e., a Settlement website created to provide information about the Settlement, including the Full Notice; (iii) by Mail Notice for those Class Members whose email notices are returned as undeliverable; and (iv) by press release, in order to reach Class Members for whom eBay does not have a current email or postal address. * * * Beginning on about February 27, 2015, the Claims Administrator also provided toll-free telephone support and assistance for Class Members with questions about the Settlement.

Id. at 601. Should an Internet-only notice be sufficient? Is there a concern that spam messages might cause some emails to go unread? On the other hand, could it be that technological advances have enhanced the class action's legitimacy by making it easier for class members who receive notice to monitor class counsel and to communicate concerns through social

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media? See Cabraser & Issacharoff, *The Participatory Class Action*, 92 N.Y.U.L.Rev. 846 (2017).

Back-end notice—when the lawsuit is settled, dismissed, or otherwise resolved—differs from front-end notice in two important ways: first, notice must be given to all class members, and second, the notice must be directed “in a reasonable manner”—not the “best notice that is practicable,” as required under Rule 23(c)(2). See Rule 23(e). When parties seek simultaneously to certify a settlement class and to settle the class action, see p. 853, *infra*, courts typically combine the elements of Rule 23(c) notice with that of Rule 23(e). Notice must be complete and accurate, but courts have held that due process does not require the notice to advise absentees of every ground upon which an objection might be mounted to the settlement. Rather, the notice must provide enough information—or opportunities to access information—so that the unnamed class members “may come to their own conclusions about whether the settlement serves their interests.” *Grunin v. Int'l House of Pancakes*, 513 F.2d 114, 122 (8th Cir. 1975). On this basis, the Sixth Circuit held that “the due-process baseline” was met when the notice provided an address, phone number, and website to obtain more information about a proposed class settlement. See *Gooch v. Life Inv'rs Ins. Co. of Am.*, 62 F.3d 402 (6th Cir. 2012).

iii. The Cost of Notice

The Court has held that the costs of providing certification notice must be borne by the party seeking class treatment. *EISEN v. CARLISLE & JACQUELIN*, 417 U.S. 156, 94 S.Ct. 2140, 40 L.Ed.2d 732 (1974). *Eisen* involved antitrust and securities law claims by “odd-lot” stock traders on the New York Stock Exchange. The proposed class was said to include six million individuals, institutions, and intermediaries, and with “reasonable effort” it was thought possible to identify two million investors by name and address. After conducting a preliminary inquiry into the merits and finding that plaintiff was “more than likely” to prevail, the district court allocated a share of the cost of notice to defendants. The Supreme Court reversed, finding that individual notice had to be provided to class members who could be identified with reasonable effort, and that Rule 23 did not authorize shifting the cost of such notice from plaintiff to defendant:

In the absence of any support under Rule 23, petitioner's effort to impose the cost of notice on respondents must fail. The usual rule is that a plaintiff must initially bear the cost of notice to the class. * * * Where, as here, the relationship between the parties is truly adversary, the plaintiff must pay for the cost of notice as part of the ordinary burden of financing his own suit.

Id. at 178–79, 94 S.Ct. at 2153, 40 L.Ed.2d at 749. The named plaintiff's claim in *Eisen* involved an individual stake of \$70; the cost of

notice was estimated to exceed \$20,000. The Court acknowledged that “[e]conomic

reality dictates that petitioner’s suit proceed as a class action or not at all.” Id. at 161, 94 S.Ct. at 2144, 40 L.Ed.2d at 739.

In *OPPENHEIMER FUND, INC. v. SANDERS*, 437 U.S. 340, 98 S.Ct. 2380, 57 L.Ed.2d 253 (1978), the Court held that Rule 23 authorized a district court “to order one of the parties to perform the tasks necessary to send notice,” and that *Eisen* did not foreclose apportioning some of the costs of those tasks to defendant as part of the court’s order. The Court admonished that “courts must not stray too far from the principle underlying [*Eisen*] that the representative plaintiff should bear all costs relating to the sending of notice because it is he who seeks to maintain the suit as a class action.” Id. at 359, 98 S.Ct. at 2393, 57 L.Ed.2d at 270. However, the Court made clear that in some circumstances, the cost of carrying out the task will be so insubstantial as to make it administratively inconvenient to shift the charge to plaintiff; moreover, some tasks are carried out by defendant “in any event in the ordinary course of its business” and the expense should not be shifted to plaintiff. In *Oppenheimer Fund*, the information requested was contained in documents in the hands of a third-party transfer agent, and the representative party was required to pay the costs of extracting the information from the documents.

Relying on *Oppenheimer Fund*, the Third Circuit in *Larson v. AT&T Mobility LLC*, 687 F.3d 109 (3d Cir. 2012), held it was an abuse of discretion for the district court to refuse to order defendant-Sprint to run a computer search of its billing records to help identify class members:

* * * Sprint has acknowledged here that the database search * * * “could result in the identification of millions of Settlement Class Members.” * * * The cost of identifying those “millions” of class members is approximately \$100,000. If only two million people were identified through that billing records search, the search would have cost approximately 5 cents per class member identified in 2009. Including the expense of mailing the individual notice, the cost would have been approximately 43 cents per class member. Given the size of the class and the due process rights at stake, these are not troublingly high sums.

* * *

* * * [W]e fail to see why running those search inquiries is unreasonable, and no explanation for that conclusion was provided by the District Court. In fact, the effort that would be required here seems less significant than the efforts required in *Oppenheimer Fund*, * * * (requiring transfer agent’s employees to “sort manually through a considerable volume of paper records, keypunch between 150,000 and 300,000 computer cards, and create eight new computer programs for use with records kept on

computer tapes that either [were] in existence or would have to be created from the paper records.”) * * *.

Id. at 128–29 (alteration in original).

The cost question is different at the settlement stage of the class suit, when liability has been established. At this point, defendant typically reimburses the cost of notice. As the Ninth Circuit explained in 2009:

So far as we are aware, no appellate court has addressed in a published opinion whether a district court’s determination that a class action defendant is liable on the merits entitles the district court to shift notice costs to that defendant. This absence of authority is not surprising. Because the losing party in a class action typically is responsible for class notice costs, there is no need for an appellate court reviewing a final merits judgment also to review a notice cost order that is based on a party’s liability.

Hunt v. Imperial Merch. Servs., Inc., 560 F.3d 1137, 1142 (9th Cir. 2009). In some cases, courts have shifted notice costs to defendant if the representative party has shown some success on the merits, for example, through a preliminary injunction or partial summary judgment. Id. at 1143.

c.Appointing Class Counsel

The 1966 version of Rule 23 did not discuss the appointment of class counsel. The rule was amended in 2003 to require that the court’s certification order make such an appointment. See Rule 23(g). The court also has authority to designate interim counsel before determining whether to certify the action. The amendment responded to concerns about costs of class counsel and conflicts between class counsel and the class. Compare Coffee, Jr., *Class Action Accountability: Reconciling Exit, Voice, and Loyalty in Representative Litigation*, 100 Colum.L.Rev. 370 (2000), with Gilles & Friedman, *Exploding the Class Action Agency Costs Myth: The Social Utility of Entrepreneurial Lawyers*, 155 U.Pa.L.Rev. 103 (2006).

At the core of the concern is the uneasy fit between the traditional conception of the attorney-client relationship and the class action. In an individual lawsuit, it is assumed that (1) the attorney gives advice to the client and the client makes final decisions about litigation strategy, and (2) the attorney acts with virtually unmitigated loyalty to the client and in the client’s best interest. Class action litigation strains both of these notions. Class action attorneys exercise unusually significant control over decisions made on behalf of the class, and have authority—subject to court approval—to settle an action. But what is “loyalty to the client” when it is not clear who the “client” is? Should the attorney give complete loyalty to the interests and wishes of the class representative? To those of each member of the class? To the attorney’s conception of the best interests of the class as a whole? Another complication is that class actions may involve

a large number of independent lawyers or legal teams representing interests that might be in tension with each other even if they do not raise a conflict sufficient to defeat class certification. See Kane, *Of Carrots and Sticks: Evaluating the Role of the Class Action Lawyer*, 66 Tex.L.Rev. 385, 390 (1987).

The rule sets out factors that must be considered in making the appointment, and essentially codifies practice as it had developed under the 1966 rule. See Manesh, *The New Class Action Rule: Procedural Reforms in an Ethical Vacuum*, 18 Geo.J.Legal Ethics 923, 929–31 (2005). The 2003 amendment to Rule 23(g) does not replace methods for class-counsel selection to the extent they exist under other federal statutes. One such statute is the Private Securities Litigation Reform Act of 1995, see p. 653, *supra*, under which courts occasionally have used an “auction” to select lead counsel. See Harel & Stein, *Auctioning for Loyalty: Selection and Monitoring of Class Counsel*, 22 Yale L. & Pol’y Rev. 69 (2004).

What is the relationship between the appointment of counsel and the court’s assessment of adequacy of representation under Rule 23(a)(4)? As one district court has explained:

Rule 23(a)(4) requires that the class representative adequately represent the putative class. In the past, courts evaluating that requirement routinely examined both the adequacy of the named plaintiff and the adequacy of class counsel. * * * In the Second Circuit, class counsel was considered adequate if she was “qualified, experienced and generally able” to conduct the litigation. See *In re Drexel Burnham Lambert Group, Inc.*, 960 F.2d 285, 291 (2d Cir. 1992) * * *.

The 2003 Amendments to Rule 23 changed this framework somewhat, shifting the court’s examination of the adequacy of counsel to coincide with its new duty to appoint class counsel under Rule 23(g). * * * The Advisory Committee nonetheless observed how Rule 23(g) was only intended to build upon judicial experience in evaluating counsel, “rather than introduc[e] an entirely new element into the class certification process.” See Fed.R.Civ.P. 23 Advisory Committee’s Notes to the 2003 Amendments. Thus, while there may be confusion about which part of Rule 23 requires an examination of the adequacy of counsel, * * * it is clear that the court’s analysis remains largely the same.

Kalish v. Karp & Kalamotousakis, LLP, 246 F.R.D. 461, 463 (S.D.N.Y. 2007).

4.RULE 23(f): INTERLOCUTORY APPEALS FROM CERTIFICATION ORDERS

Certification is among the most critical stages in the life of a class action. In particular, most class actions are settled before they go to trial, and certification determines the relative leverage that the parties bring to the negotiation table. For the party opposing the class, a certification order also threatens unfavorable publicity and other adverse reputational effects. Rule 23(f) was added in 1998 to allow interlocutory appeal from an order granting or denying class certification. The decision to grant the appeal rests with the court of appeals. The Advisory Committee Note accompanying Rule 23(f) explains:

* * * [M]any suits with class-action allegations present familiar and almost routine issues that are not more worthy of immediate appeal than many other interlocutory rulings. Yet several concerns justify expansion of present opportunities to appeal. An order denying certification may confront the plaintiff with a situation in which the only sure path to appellate review is by proceeding to final judgment on the merits of an individual claim that, standing alone, is far smaller than the costs of litigation. An order granting certification, on the other hand, may force a defendant to settle rather than incur the costs of defending a class action and run the risk of potentially ruinous liability.

See Solimine & Hines, *Deciding To Decide: Class Action Certification and Interlocutory Review by the United States Courts of Appeals under Rule 23(f)*, 41 Wm. & Mary L.Rev. 1531, 1599 (2000).

Courts typically consider three factors in deciding whether to grant or deny an appeal. As the First Circuit has explained:

* * * First, an appeal ordinarily should be permitted when a denial of class status effectively ends the case (because, say, the named plaintiff’s claim is not of a sufficient magnitude to warrant the costs of stand-alone litigation). Second, an appeal ordinarily should be permitted when the grant of class status raises the stakes of the litigation so substantially that the defendant likely will feel irresistible pressure to settle. Third, an appeal ordinarily should be permitted when it will lead to clarification of a fundamental issue of law.

Waste Mgmt. Holdings, Inc. v. Mowbray, 208 F.3d 288, 293 (1st Cir. 2000). Other circuits have expressed “caution against routinely granting appellate review” under Rule 23(f), out of concern that the district court “may feel constrained from revisiting the issue and thereby potentially triggering a new round of appellate proceedings with the inevitable delay

and effort of such proceedings.” Prado-Steiman v. Bush, 221 F.3d 1266, 1272–73 (11th Cir. 2000).

NOTES AND QUESTIONS

1. Rule 23(f) requires that a petition to appeal be filed within 14 days after the order granting or denying certification is entered (under the original

rule, the time period was ten days). In *NUTRACEUTICAL CORP. v. LAMBERT*, 586 U.S. ___, 139 S.Ct. 710, 203 L.Ed.2d 43 (2019), the Supreme Court held that this time-period is not jurisdictional, but rather is a claim-processing rule (because it is found in a rule of procedure promulgated by the Supreme Court and not enacted by Congress). The Court also held, however, that the 14-day appeal period cannot be equitably tolled. The Court relied primarily on Federal Rule of Appellate Procedure 26(b), which generally allows for extensions of time limits for good cause but specifically prohibits an extension of time to file for permission to appeal. The Court distinguished cases allowing appeals when a motion for reconsideration had been filed within 14 days of the decertification decision on the ground that until such a motion was decided, there was no final order by the trial court to trigger the start of the 14-day appeal period.

2.In *MICROSOFT v. BAKER*, 137 S.Ct. 1702, 198 L.Ed.2d 132 (2017), plaintiffs chose to stipulate to a dismissal of their individual claims after the denial of their Rule 23 certification motion and of their request to appeal. Final judgment in hand, plaintiffs then appealed from the denial of class certification. The Ninth Circuit heard the appeal, and reversed the district court’s denial of class certification. The Supreme Court held that the Ninth Circuit lacked appellate jurisdiction, finding that the use of a voluntary dismissal worked an impermissible end-run around Rule 23(f). However, in *Brown v. Cinemark USA, Inc.*, 876 F.3d 1199 (9th Cir. 2017), the Ninth Circuit held that *Microsoft v. Baker* did not bar it from considering an appeal of a case in which the district court denied class certification and dismissed some individual claims, and the parties then settled the remaining individual claims. The settlement explicitly reserved the representative’s right to appeal the district court’s judgment denying certification and dismissing individual claims. Finding no evidence of “sham tactics to achieve an appealable final judgment,” the Ninth Circuit distinguished a “mutual settlement” from the kind of “unilateral dismissal” that attempted “to sidestep Rule 23(f).” Id. at 1201.

5.RULE 23(d): ORDERS REGULATING THE CONDUCT OF PRETRIAL AND TRIAL PROCEEDINGS

Rule 23(d) authorizes the district court to issue orders regulating the conduct of class action proceedings. To illustrate, the court may create a timetable for discovery and for the presentation of issues at trial; set time limits on oral presentations made by counsel; establish a committee of counsel (consisting of the attorneys representing various members of the

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class) to make decisions about the prosecution of the class case; and regulate the substantive aspects of discovery (for example, by determining the parties from whom discovery may be sought and the items which may be requested).

Frequently, courts will issue the management orders after they have held a pretrial conference. In this regard, consider how the timing of the court’s certification order under Rule 23(c) affects its later management of the lawsuit. The 2003 amendment to Rule 23(c) requires the court to order a denial or grant of certification “at an early practicable time,” replacing the prior requirement that certification be made “as soon as practicable.” Postponing the timing of certification affords the court an opportunity, as needed, to examine the merits and even to order discovery prior to an early dispositive motion.

As part of their orders conducting the action, courts in some cases have developed supplementary proceedings to “individualize” aspects of a class suit that vary with the relief sought. See Garth, *Conflict and Dissent in Class Actions: A Suggested Perspective*, 77 Nw.U.L.Rev. 492, 518–20 (1982). For example, class suits for damages inevitably create problems that are not present in traditional binary litigation. The court in these damages class actions must complete three analytically separate tasks: it must determine if defendant is liable; it must calculate the amount of damages to the class; and, it must distribute the proper share of the award to individual class members. One or more of these tasks may demand fragmentation or “individualization” of the class. See Edelman, Nagareda & Silver, *The Allocation Problem in Multiple-Claimant Representations*, 14 Sup.Ct.Econ.Rev. 95 (2006); Rosenberg, *Individual Justice and Collectivizing Risk-Based Claims in Mass-Exposure Cases*, 71 N.Y.U.L.Rev. 210 (1996).

Courts have approached the task of individualization in different ways and are continuing to develop judicial techniques to assure efficiency and fairness. One approach is to use a single trial to determine defendant’s liability (if any) and the amount of damages. These determinations are based on the representative’s individual claims, which in some cases are supplemented by statistics and expert testimony. When liability and the amount of damages are set, the court determines how to distribute the class award among individual class members. A related approach is that of the “single issue” class action under Rule 23(c)(4), although the question remains whether the provision is an independent basis for certification. See Hines, *Codifying the Issue of Class Action*, 16 Nev.L.J. 625 (2016).

Another approach is that of the bifurcated trial. The first trial considers only the issue of liability, using the same evidence techniques as would be used in an ordinary proceeding. The second trial, which occurs only if defendant is found liable, addresses the amount of damages. This

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second proceeding may be a highly individualized one (involving, for example, mini-trials on individual damages claims, or administrative proceedings on individual claims), or it may be a general proceeding designed to calculate the damages to the class as a whole.

A third approach, known as “sampling,” involves the judge selecting some individual cases at random to adjudicate and then combining the outcomes of these sample cases to yield results for the larger class population. The sample cases receive their actual awards, but the others all receive the statistically determined sum. The Supreme Court disapproved a variation of the “sampling” approach in *Wal-Mart*, p. 810, *supra*, because it was said to deprive defendant of its right to employ statutory defenses to defeat individual claims, thereby violating the Rules Enabling Act.

Courts sometimes use a fourth approach—the “fluid class recovery”—in cases in which the costs of identifying and distributing the award exceed the award due each class member, or when the amount of money that can be distributed to class members does not exhaust the amount of defendant’s liability as determined at trial. In such cases, the class award is used to provide a general benefit to class members spread evenly, rather than individual compensation. For example, in *Daar v. Yellow Cab Co.*, 67 Cal.2d 695, 63 Cal.Rptr. 724, 433 P.2d 732 (1967), a class action was brought against a taxi company to recover alleged overcharges to passengers. Since it was impossible to identify each person who had been overcharged, the court ordered defendant to lower its prices to all riders for a certain period of time.

Some courts have incorporated cy pres distributions into the class action. See Chasin, *Modernizing Class Action Cy Pres Through Democratic Inputs: A Return to Cy Pres Comme Possible*, 163 U.Pa.L.Rev. 1463 (2015). This approach was undertaken in *Shaw v. Toshiba Am. Info. Sys., Inc.*, 91 F.Supp.2d 942 (E.D.Tex. 2000), a class action alleging the manufacture of faulty computer disks. The court approved a settlement valued at \$2.1 billion and the settlement agreement provided:

If the cash fund is not exhausted by claims from class members, the remaining funds will be distributed to a charity which will use the funds to purchase Toshiba laptop and desktop computers and distribute them in the United States to schools, churches, non-profit organizations, libraries, hospitals, and the poor. No portion will revert to Toshiba.

Id. at 981. Unclaimed funds of about \$350 million were used to establish a charity for the establishment of technology centers in schools and community-based organizations. In its first ten years of operation, the foundation distributed \$100 million dollars to about 5,000 groups. See Beaumont Foundation of America, 2011 Annual Report. See also In re

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Pharm. Indus. Average Wholesale Price Litig., 588 F.3d 24 (1st Cir. 2009) (affirming approval of \$24 million settlement out of which an estimated \$6.8 million was to be distributed to charities). However, in *Nachshin v. AOL, LLC*, 663 F.3d 1034 (9th Cir. 2011), a challenge to promotional messages illegally inserted into AOL’s emails to subscribers, the Ninth Circuit disapproved a cy pres distribution on the ground that it failed to address the objectives of the underlying statutes, to target the class, or to provide reasonable certainty that class members would benefit. The court emphasized that although the class was nationwide, distributions were made to “geographically isolated and substantively unrelated charities.” See Bone, *Justifying Class Action Limits: Parsing the Debates Over Ascertainability and Cy Pres*, 65 U.Kan.L.Rev. 913 (2017). The American Law Institute has proposed that unclaimed funds should be used for further distributions to participating class members unless the amounts are too small for individual distributions to be administered economically. Only then would a cy pres distribution be used, with approval of the court. American Law Institute, *Principles of the Law of Aggregate Litigation* § 3.07 (2010).

For discussions of different judicial techniques, see Bone, *Statistical Adjudication: Rights, Justice, and Utility in a World of Process Scarcity*, 46 Va.L.Rev. 561 (1993); Cheng, *When 10 Trials Are Better than 1000: An Evidentiary Perspective on Trial Sampling*, 160 U.Pa.L.Rev. 955 (2012); Fallon, Grabill & Wynne, *Bellwether Trials in Multidistrict Litigation*, 82 Tul.L.Rev. 2323 (2008).

6.RULE 23(e): SETTLEMENT OR COMPROMISE OF A CLASS SUIT

Rule 23(e) imposes a virtually unique obligation on the district court to approve any decision to settle, dismiss, or compromise a class action. Rule 23(e) reflects the same philosophical concerns that already have been discussed in connection with adequacy of representation. First, due process demands that the absent class members be protected from an unfair settlement made because the representative parties have lost their enthusiasm for the litigation or are themselves receiving a substantial benefit at the expense of the absentees. In addition, the efficiency and economy objectives of Rule 23 would be subverted if the judgment produced by the settlement proves to be vulnerable to collateral attack, a situation that might arise if the settlement does not take proper account of the rights of the absent class members. Because notice is required at this stage, the absentees have an opportunity to assess the terms of the proposed judgment before they are bound by it, and the court must hold a hearing and make findings before making a final disposition. The settlement of class actions remains one of the most controversial features of Rule 23 practice. See Rubenstein, *The Fairness Hearing: Adversarial and*

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Regulatory Approaches, 53 UCLA L.Rev. 1435 (2006); Rutherglen, *Better Late Than Never: Notice and Opt Out at the Settlement Stage of Class Actions*, 71 N.Y.U.L.Rev. 258 (1996).

NOTES AND QUESTIONS

1. Proponents of a settlement have the burden of satisfying Rule 23(e)(2). Generally, in assessing whether a proposed settlement is fair, reasonable, and adequate, the district court assesses a variety of factors, which include: the merits of the case weighed against the terms of the settlement; defendant’s financial condition; the expense and complexity of continuing to litigate the suit; and opposition to the settlement. See *Marshall v. National Football League*, 787 F.3d 502 (8th Cir. 2015). Additional factors may include the experience and views of counsel; the extent of discovery; and the presence of a government participant. *Hanlon v. Chrysler Corp.*, 150 F.3d 1011 (9th Cir. 1998).

2. Whether the class as a whole favors the proposed settlement is an extremely important consideration in the court’s assessment. The preference of any particular class member, however, is not dispositive. Settlements can be approved over the objections of the class representatives, as well as

those of absent class members who have received and responded to the settlement notice. Objecting class members are free to appeal the court’s decision approving the settlement when a judgment based on it is entered. See Issacharoff & Nagareda, *Class Settlements Under Attack*, 156 U.Pa.L.Rev. 1649 (2008); Leslie, *The Significance of Silence: Collective Action Problems and Class Action Settlements*, 59 Fla.L.Rev. 71 (2007).

3.What weight ought a court give to bonus payments—known as “incentive awards”—made to the representative party as part of a proposed settlement? Such awards are a fairly typical feature of a class settlement, and are ordered because of the party’s vigilance in securing compensation for the class; contribution to the public interest in redressing legal violations that might otherwise have gone unredressed; or assumption of reputational risk associated with the action. See Eisenberg & Miller, *Incentive Awards to Class Action Plaintiffs: An Empirical Study*, 53 UCLA L.Rev. 1303 (2006). Should the court scrutinize such awards to ensure against intra-class conflict and self-serving representation? In *Staton v. Boeing Co.*, 327 F.3d 938 (9th Cir. 2003), the Ninth Circuit disapproved a settlement agreement when the bonus payments suggested that the representatives were “more concerned with maximizing [their own] incentives than with judging the adequacy of the settlement as it applies to class members at large.” *Id.* at 977–78. The Eleventh Circuit has gone further to hold that incentive payments to class representatives—notwithstanding their ubiquity—are prohibited. See *Johnson v. NPAS Solutions, LLC*, 975 F.3d 1244, 1255–61 (11th Cir. 2020).

4.The Class Action Fairness Act (CAFA) imposes special requirements on settlements that rely on “coupons.” See 28 U.S.C. § 1712. Coupons typically permit the class members to purchase goods at a discount from defendant. See

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Leslie, *The Need to Study Coupon Settlements in Class Action Litigation*, 18 Geo.J. Legal Ethics 1395 (2005). Although CAFA does not prohibit coupon settlements, the statute limits the award of attorney’s fees to class counsel with respect to the portion of a settlement that will be distributed as a coupon payment. See 28 U.S.C. § 1712(a)–(c). What concerns do coupon settlements raise? See Klonoff & Herman, *The Class Action Fairness Act: An Ill-Conceived Approach to Class Settlements*, 80 Tul.L.Rev. 1695 (2006).

7.RULE 23(h): ATTORNEY’S FEES

Federal Rule 23(h), adopted in 2003, authorizes the court to award a reasonable attorney’s fee in any action certified as a class action. Long before the amendment made this power explicit, courts routinely awarded fees to the attorney of the prevailing representative party. Fees also are available under specific statutes. See, e.g., 42 U.S.C. § 1988(b); 42 U.S.C. § 2000e–5(k). In other contexts, courts have awarded attorney’s fees out of the “common fund” created for the benefit of class members by the recovery from defendant due to class counsel’s efforts. The Supreme Court has rejected the argument that fee awards under a common fund theory are impermissible. *Boeing Co. v. Van Gemert*, 444 U.S. 472, 100 S.Ct. 745, 62 L.Ed.2d 676 (1980).

Courts use different approaches to set the amount of the fee. See Resnik, Curtis & Hensler, *Individuals Within the Aggregate: Relationships, Representation, and Fees*, 71 N.Y.U.L.Rev. 296 (1996). In a case that produces a common fund recovery, the court may apply a percentage to the fund to determine the amount that should be awarded, an approach generally endorsed by the American Law Institute. See *Masters v. Wilhelmina Model Agency, Inc.*, 473 F.3d 423 (2d Cir. 2007); American Law Institute, *Principles of the Law of Aggregate Litigation* § 3.13. An alternative approach, referred to as the “lodestar,” looks to the number of hours expended by each lawyer on the case, multiplied by a “normal billing rate,” and adjusts the result, up or down, for discretionary factors such as the riskiness of the lawsuit and the quality of the attorney’s performance. The Supreme Court has discouraged the use of risk multipliers in lawsuits involving statutory fee provisions. See *Perdue v. Kenny A. ex rel. Winn*, 559 U.S. 542, 130 S.Ct. 1662, 176 L.Ed.2d 494 (2010).

Fee awards may generate media attention, especially when the attorney’s fee exceeds the monetary benefit accorded any individual class member. However, empirical studies suggest that large fees are awarded only when the case presented a high risk and produced a large recovery for the class. See Eisenberg, Miller & Germano, *Attorneys’ Fees in Class Actions: 2009–2013*, 92 N.Y.U.L.Rev. 937 (2017); see also Eisenberg & Miller, *Attorney Fees in Class Action Settlements: An Empirical Study*, 1 J. Empirical Legal Stud. 27 (2004); Willging, Hooper & Niemic, *An Empirical Analysis of Rule 23 To Address the Rulemaking Challenges*, 71

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N.Y.U.L.Rev. 74 (1996). Indeed, some commentators suggest that fee awards in small-stakes class actions are too low. See Fitzpatrick, *Do Class Action Lawyers Make Too Little?*, 158 U.Pa.L.Rev. 2043 (2010). In some cases the appeals court has overturned a settlement because of concerns that the ratio of attorney’s fees to the class recovery suggests self-dealing or inadequacy of representation. See *Redman v. RadioShack Corp.*, 768 F.3d 622 (7th Cir. 2014), cert. denied, 574 U.S. 1156, 135 S.Ct. 1429, 191 L.Ed.2d 366 (2015).

D. SETTLEMENT CLASSES

A class action based on a mass tort or statutory violation potentially involves hundreds of thousands of individual injuries. As such, a defendant faces exposure for a large number of claims. At the same time, plaintiffs suffer the cost of injuries that may involve loss of income, medical bills, and emotional distress. If the class suit is litigated to judgment, both parties are exposed to large and unpredictable transaction costs but achieve finality that results from the preclusive effect of the judgment. Under these circumstances, it may be economically rational for the parties to use the filing of a class action as the occasion to negotiate a global settlement of claims in order to reduce costs and uncertainty.

In *AMCHEM PRODS., INC. v. WINDSOR*, 521 U.S. 591, 117 S.Ct. 2231, 138 L.Ed.2d 689 (1997), the Court considered whether a diversity class action filed for the purpose of securing a “global settlement” of all current and future asbestos-related claims by millions of individuals was appropriately certified under Rule 23. The complaint was accompanied by a stipulation of settlement intended to bar all class members, whether or not represented by class counsel, from litigating claims not filed before a specified date for all “for present and future asbestos-related personal injury or death.” *Id.* at 603, 117 S.Ct. at 2240, 138 L.Ed.2d at 701. The stipulation contemplated establishment of an administrative mechanism for carrying out and monitoring relief, and set out a schedule of payments for qualifying injuries; the amounts were not adjustable for inflation and could not be revised even if state law recognized the claim. Under the terms of the settlement, class members were to be precluded by the decree “in perpetuity,” but defendants could withdraw from the settlement after ten years. *Id.* at 605, 117 S.Ct. at 2241, 138 L.Ed.2d at 701. Although claimants had a right to opt-out, this option was limited, and those who chose to litigate were barred from seeking punitive damages or asserting any claim for increased risk of cancer. The settlement also provided for monitoring and for attorney’s fees. The district court approved the settlement, rejecting all objections and declining to create subclasses for claimants

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with different injuries. The Third Circuit reversed and decertified the class settlement, and the Supreme Court affirmed. First, the Supreme Court made clear that “[s]ettlement is relevant to a class certification,” *id.* at 619, 117 S.Ct. at 2248, 138 L.Ed.2d at 710, and that when faced with a settlement-only class certification motion, the district court was required to consider the provisions of Rule 23(a) and (b); it could not confine its review to a fairness inquiry under Rule 23(e). Justice Ginsburg explained:

Confronted with a request for settlement-only class certification, a district court need not inquire whether the case, if tried, would present intractable management problems, * * * for the proposal is that there be no trial. But other specifications of the Rule—those designed to protect absentees by blocking unwarranted or overbroad class definitions—demand undiluted, even heightened, attention in the settlement context. Such attention is of vital importance, for a court asked to certify a settlement class will lack the opportunity, present when a case is litigated, to adjust the class, informed by the proceedings as they unfold.

* * *

Id. at 620, 117 S.Ct. at 2248, 138 L.Ed.2d at 710–11.

Turning next to the predominance requirement of Rule 23(b)(3), the Court considered and rejected the district court’s conclusion that commonality was satisfied by the class members’ “shared experience of asbestos exposure” and their common interest in receiving prompt compensation. *Id.* at 622, 117 S.Ct. at 2248, 138 L.Ed.2d at 710–11. The Court also declined to find commonality based on whether the settlement itself was fair:

The benefits asbestos-exposed persons might gain from the establishment of a grand-scale compensation scheme is a matter fit for legislative consideration, * * * but it is not pertinent to the predominance inquiry. That inquiry trains on the legal or factual questions that qualify each class member’s case as a genuine controversy, questions that preexist any settlement. * * *

The Rule 23(b)(3) predominance inquiry tests whether proposed classes are sufficiently cohesive to warrant adjudication by representation. See 7A Wright, Miller, & Kane 518–519. * * * The inquiry appropriate under Rule 23(e), on the other hand, protects unnamed class members “from unjust or unfair settlements affecting their rights when the representatives become fainthearted before the action is adjudicated or are able to secure satisfaction of their individual claims by a compromise.” See 7B Wright, Miller, & Kane § 1797, at 340–341. But it is not the mission of Rule 23(e) to assure the class cohesion that legitimizes representative action in the first place. If a common interest in a

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fair compromise could satisfy the predominance requirement of Rule 23(b)(3), that vital prescription would be stripped of any meaning in the settlement context.

Id. at 623, 117 S.Ct. at 2249–50, 138 L.Ed.2d at 712–13. The members of the class, in the Court’s view, were separated by “disparate questions”; differences in state law governing the class members’ claims compounded these disparities. *Id.* at 624, 117 S.Ct. at 2250, 138 L.Ed.2d at 713–14. Exposure-only claimants, for example, lacked commonality with claimants who had present injuries and faced current medical expenses. The Court made clear, however, that in some situations, a settlement class could meet the commonality test:

* * * Predominance is a test readily met in certain cases alleging consumer or securities fraud or violations of the antitrust laws. * * * Even mass tort cases arising from a common cause or disaster may, depending upon the circumstances, satisfy the predominance requirement. The Advisory Committee for the 1966 revision of Rule 23, it is true, noted that “mass accident” cases are likely to present “significant questions, not only of damages but of liability and defenses of liability, . . . affecting the individuals in different ways.” * * * And the Committee advised that such cases are “ordinarily not appropriate” for class treatment. * * * But the text of the Rule does not categorically exclude mass tort cases from class certification, and District Courts, since the late 1970’s, have been certifying such cases in increasing number. * * * The Committee’s warning, however, continues to call for caution when individual stakes are high and disparities among class members great. As the Third Circuit’s opinion makes plain, the certification in this case does not follow the counsel of caution. That certification cannot be upheld, for it rests on a conception of Rule 23(b)(3)’s predominance requirement irreconcilable with the Rule’s design.

Id. at 624–25, 117 S.Ct. at 2250, 138 L.Ed.2d at 713–14.

The Court also found that the class did not meet the adequacy requirement of Rule 23(a)(4):

As the Third Circuit pointed out, named parties with diverse medical conditions sought to act on behalf of a single giant class rather than on behalf of discrete subclasses. In significant respects, the interests of those within the single class are not aligned. Most saliently, for the currently injured, the critical goal is generous immediate payments. That goal tugs against the interest of exposure-only plaintiffs in ensuring an ample, inflation-protected fund for the future. * * *

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The disparity between the currently injured and exposure-only categories of plaintiffs, and the diversity within each category are not made insignificant by the District Court’s finding that petitioners’ assets suffice to pay claims under the settlement. * * * Although this is not a “limited fund” case certified under Rule 23(b)(1)(B), the terms of the settlement reflect essential allocation decisions designed to confine compensation and to limit defendants’ liability. For example, as earlier described, * * * the settlement includes no adjustment for inflation; only a few claimants per year can opt out at the back end; and loss-of-consortium claims are extinguished with no compensation.

The settling parties, in sum, achieved a global compromise with no structural assurance of fair and adequate representation for the diverse groups and individuals affected. Although the named parties alleged a range of complaints, each served generally as representative for the whole, not for a separate constituency. * * *

Id. at 627, 117 S.Ct. at 2251, 138 L.Ed.2d at 715. Finally, although the Court recognized the need for a nationwide administrative solution to the difficult problem of asbestos-exposure injuries, in its view Rule 23 did not support the parties’ global solution:

The argument is sensibly made that a nationwide administrative claims processing regime would provide the most secure, fair, and efficient means of compensating victims of asbestos [exposure] * * *. Congress, however, has not adopted such a solution. And Rule 23, which must be interpreted with fidelity to the Rules Enabling Act and applied with the interests of absent class members in close view, cannot carry the large load * * * heaped upon it. As this case exemplifies, the rulemakers’ prescriptions for class actions may be endangered by “those who embrace [Rule 23] * * * too enthusiastically just as [they are by] those who approach [the Rule] * * * with distaste.” C. Wright, *Law of Federal Courts* 508 (5th ed.1994) * * *.

Id. at 628, 117 S.Ct. at 2252, 138 L.Ed.2d at 716.

Justice Breyer, joined by Justice Stevens, concurred in part and dissented in part.

Although I agree with the Court’s basic holding that “[s]ettlement is relevant to a class certification,” * * * I find several problems in its approach that lead me to a different conclusion. First, I believe that the need for settlement in this mass tort case, with hundreds of thousands of lawsuits, is greater than the Court’s opinion suggests. Second, I would give more weight than would the majority to settlement-related issues for purposes of determining whether common issues predominate. Third, I am uncertain about

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the Court’s determination of adequacy of representation, and do not believe it appropriate for this Court to second-guess the District Court on the matter without first having the Court of Appeals consider it. Fourth, I am uncertain about the tenor of an opinion that seems to suggest the settlement is unfair. And fifth, in the absence of further review by the Court of Appeals, I cannot accept the majority’s suggestions that “notice” is inadequate.

These difficulties flow from the majority’s review of what are highly fact-based, complex, and difficult matters, matters that are inappropriate for initial review before this Court. The law gives broad leeway to district courts in making class certification decisions, and their judgments are to be reviewed by the court of appeals only for abuse of discretion. * * * Indeed, the District Court’s certification decision rests upon more than 300 findings of fact reached after five weeks of comprehensive hearings. Accordingly, I do not believe that we should in effect set aside the findings of the District Court. That court is far more familiar with the issues and litigants than is a court of appeals or are we * * *. * * *

I do not believe that we can rely upon the Court of Appeals’ review of the District Court record, for that review, and its ultimate conclusions, are infected by a legal error. * * * There is no evidence that the Court of Appeals at any point considered the settlement as something that would help the class meet Rule 23. I find, moreover, the fact-related issues presented here sufficiently close to warrant further detailed appellate court review under the correct legal standard. * * *

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First, I believe the majority understates the importance of settlement in this case. Between 13 and 21 million workers have been exposed to asbestos in the workplace—over the past 40 or 50 years—but the most severe instances of such exposure probably occurred three or four decades ago. * * * This exposure has led to several hundred thousand lawsuits, about 15% of which involved claims for cancer and about 30% for asbestosis. * * * About half of the suits have involved claims for pleural thickening and plaques—the harmfulness of which is apparently controversial. * * * Some of those who suffer from the most serious injuries, however, have received little or no compensation. * * * These lawsuits have taken up more than 6% of all federal civil filings in one recent year, and are subject to a delay that is twice that of other civil suits. * * *

The District Court, when approving the settlement, concluded that it improved the plaintiffs’ chances of compensation and reduced total legal fees and other transaction costs by a significant amount. * * * The court believed the settlement would create a compensation system that would make more money available for plaintiffs who later develop serious illnesses.

I mention this matter because it suggests that the settlement before us is unusual in terms of its importance, both to many potential plaintiffs and to defendants, and with respect to the time, effort, and expenditure that it reflects. All of which leads me to be reluctant to set aside the District Court’s findings without more assurance than I have that they are wrong. * * *

Second, the majority, in reviewing the District Court’s determination that common “issues of fact and law predominate,” says that the predominance “inquiry trains on the legal or factual questions that qualify each class member’s case as a genuine controversy, questions that preexist any settlement.” * * * I find it difficult to interpret this sentence in a way that could lead me to the majority’s conclusion. * * *

The settlement is relevant because it means that these common features and interests are likely to be important in the proceeding that would ensue—a proceeding that would focus primarily upon whether or not the proposed settlement fairly and properly satisfied the interests class members had in common. That is to say, the settlement underscored the importance of (a) the common fact of exposure, (b) the common interest in receiving some compensation for certain rather than running a strong risk of no compensation, and (c) the common interest in avoiding large legal fees, other transaction costs, and delays. * * *

Of course, as the majority points out, there are also important differences among class members. * * * The relevant question, however, is *how much* these differences matter in respect to the legal proceedings that lie ahead. Many, if not all, toxic tort class actions involve plaintiffs with such differences. And the differences in state law are of diminished importance in respect to a proposed settlement in which the defendants have waived all defenses and agreed to compensate all those who were injured. * * *

These differences might warrant subclasses * * *. Or these differences may be too serious to permit an effort at group settlement. This kind of determination, as I have said, is one that the law commits to the discretion of the district court—reviewable for abuse of discretion by a court of appeals. I believe that we are

far too distant from the litigation itself to reweigh the fact-specific Rule 23 determinations and to find them erroneous without the benefit of the Court of Appeals first having restudied the matter with today’s legal standard in mind.

Third, the majority concludes that the “representative parties” will not “fairly and adequately protect the interests of the class.” Rule 23(a)(4). It finds a serious conflict between plaintiffs who are now injured and those who may be injured in the future because “for the currently injured, the critical goal is generous immediate payments,” a goal that “tugs against the interest of exposure-only plaintiffs in ensuring an ample, inflation-protected fund for the future.” * * *

I agree that there is a serious problem, but it is a problem that often exists in toxic tort cases. * * * And it is a problem that potentially exists whenever a single defendant injures several plaintiffs, for a settling plaintiff leaves fewer assets available for the others. With class actions, at least, plaintiffs have the consolation that a district court, thoroughly familiar with the facts, is charged with the responsibility of ensuring that the interests of no class members are sacrificed.

But this Court cannot easily safeguard such interests through review of a cold record. “What constitutes adequate representation is a question of fact that depends on the circumstances of each case.” 7A Wright, Miller, & Kane, Federal Practice and Procedure § 1765, at 271. * * * The majority’s use of the lack of an inflation adjustment as evidence of inadequacy of representation for future plaintiffs * * * is one example of this difficulty. An inflation adjustment might not be as valuable as the majority assumes if most plaintiffs are old and not worried about receiving compensation decades from now. There are, of course, strong arguments as to its value. But that disagreement is one that this Court is poorly situated to resolve.

* * *

Fourth, I am more agnostic than is the majority about the basic fairness of the settlement. * * * The District Court’s conclusions rested upon complicated factual findings that are not easily cast aside. It is helpful to consider some of them, such as its determination that the settlement provided “fair compensation . . . while reducing the delays and transaction costs endemic to the asbestos litigation process” and that “the proposed class action settlement is superior to other available methods for the fair and efficient resolution of the asbestos-related personal injury claims of class members.” * * * Indeed, the settlement has been endorsed

as fair and reasonable by the AFL-CIO (and its Building and Construction Trades Department), which represents a “ ‘substantial percentage’ ” of class members, * * * and which has a role in monitoring implementation of the settlement * * *. I do not intend to pass judgment upon the settlement’s fairness, but I do believe that these matters would have to be explored in far greater depth before I could reach a conclusion about fairness. And that task, as I have said, is one for the Court of Appeals.

Id. at 629–640, 117 S.Ct. at 2252–58, 138 L.Ed.2d at 716–23.

In *ORTIZ v. FIBREBOARD CORP.*, 527 U.S. 815, 119 S.Ct. 2295, 144 L.Ed.2d 715 (1999), the Supreme Court again faced the question of the propriety of a settlement class and again decertified the class. Fibreboard was the subject of many personal injury lawsuits arising from exposure to its asbestos products. It already had settled some 45,000 claims, when it decided, together with its insurers and a group of plaintiffs’ lawyers, on a “Global Settlement” of the majority of its remaining liability. Under the plan, Fibreboard and its insurers would put up \$1.535 billion for asbestos claimants who would file a Rule 23(b)(1)(B) class action, based on the notion that there was a “limited fund” to pay members of the class.

At the time of the settlement talks, litigation was pending in California state court concerning Fibreboard’s insurance coverage. As a condition of the Global Settlement, plaintiffs’ counsel insisted that Fibreboard and two of its insurers settle the coverage dispute by separate agreement. The resulting “Trilateral Settlement Agreement” required the insurers to create a \$2 billion fund for damage payments to plaintiffs should the Global Settlement not receive judicial approval. Plaintiffs then filed a class action lawsuit in federal court in the Eastern District of Texas.

The Global Settlement required Fibreboard and its insurers to place the agreed upon amount in a trust. Individual claimants were provided with a process for settling their claims with the trust. If no settlement could be reached, claimants were required to engage in mediation, arbitration, and a mandatory settlement conference. After exhausting that process a claimant could bring a court proceeding against the trust, but there would be a \$500,000 limit on recovery, and punitive damages and prejudgment interest would be barred. The class did not cover all claimants. Some 45,000 individuals who had settled their claims were excluded, along with some 53,000 individuals with pending lawsuits. The trial court, after extensive hearings, found that the class action met the requirements of Rule 23(a) and that it fell within the “limited fund” provision of Rule 23(b)(1)(B). It determined that the plan provided a “fair, reasonable, and adequate” settlement under Rule 23(e). On appeal the Fifth Circuit affirmed both the certification of the class and the adequacy of the settlement.

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The Court reversed, in an opinion by Justice Souter:

The inherent tension between representative suits and the day-in-court ideal is only magnified if applied to damage claims gathered in a mandatory class. Unlike Rule 23(b)(3) class members, objectors to the collectivism of a mandatory subdivision (b)(1)(B) action have no inherent right to abstain. The legal rights of absent class members (which in a class like this one would include claimants who by definition may be unidentifiable when the class is certified) are resolved regardless either of their consent, or, in a class with objectors, their express wish to the contrary. * * * And in settlement-only class actions the procedural protections built into the Rule to protect the rights of absent class members during litigation are never invoked in an adversarial setting * * *.

* * *

The defect of certification going to the most characteristic feature of a limited fund action was the uncritical adoption by both the District Court and the Court of Appeals of figures agreed upon by the parties in defining the limits of the fund and demonstrating its inadequacy. * * * [I]n an action such as this the settling parties must present not only their agreement, but evidence on which the district court may ascertain the limit and the insufficiency of the fund, with support in findings of fact following a proceeding in which the evidence is subject to challenge * * *.

* * * Although we might assume, *arguendo*, that prior judicial experience with asbestos claims would allow a court to make a sufficiently reliable determination of the probable total, the District Court here apparently thought otherwise, concluding that “there is no way to predict Fibreboard’s future asbestos liability with any certainty.” * * * Nothing turns on this conclusion, however, since there was no adequate demonstration of the second element required for limited fund treatment, the upper limit of the fund itself, without which no showing of insufficiency is possible.

The “fund” in this case comprised both the general assets of Fibreboard and the insurance assets provided by the two policies * * *. As to Fibreboard’s assets exclusive of the contested insurance, the District Court and the Fifth Circuit concluded that Fibreboard had a then-current sale value of \$235 million that could be devoted to the limited fund. While that estimate may have been conservative, * * * at least the District Court heard evidence and made an independent finding at some point in the

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proceedings. The same, however, cannot be said for the value of the disputed insurance. * * *

We do not, of course, know exactly what an independent valuation of the limit of the insurance assets would have shown. * * * [O]bjecting and unidentified class members alike are entitled to have the issue settled by specific evidentiary findings independent of the agreement of defendants and conflicted class counsel.

* * *

The explanation of need for independent determination of the fund has necessarily anticipated our application of the requirement of equity among members of the class. There are two issues, the inclusiveness of the class and the fairness of distributions to those within it. * * *

The definition of the class excludes myriad claimants with causes of action, or foreseeable causes of action, arising from exposure to Fibreboard asbestos. While the class includes those with present claims never filed, present claims withdrawn without prejudice, and future claimants, it fails to include those who had previously settled with Fibreboard while retaining the right to sue again “upon development of an asbestos related malignancy,” plaintiffs with claims pending against Fibreboard at the time of the initial announcement of the Global Settlement Agreement, and the plaintiffs in the “inventory” claims settled as a supposedly necessary step in reaching the global settlement * * *. The number of those outside the class who settled with a reservation of rights may be uncertain, but there is no such uncertainty about the significance of the settlement’s exclusion of the 45,000 inventory plaintiffs and the plaintiffs in the unsettled present cases, estimated by the Guardian Ad Litem at more than 53,000 as of August 27, 1993 * * *. It is a fair question how far a natural class may be depleted by prior dispositions of claims and still qualify as a mandatory limited fund class, but there can be no question that such a mandatory settlement class will not qualify when in the very negotiations aimed at a class settlement, class counsel agree to exclude what could turn out to be as much as a third of the claimants that negotiators thought might eventually be involved, a substantial number of whom class counsel represent * * *.

Might such class exclusions be forgiven if it were shown that the class members with present claims and the outsiders ended up with comparable benefits? * * * [E]ven ostensible parity between settling nonclass plaintiffs and class members would be insufficient to overcome the failure to provide the structural

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protection of independent representation as for subclasses with conflicting interests.

On the second element of equity within the class, the fairness of the distribution of the fund among class members, the settlement certification is likewise deficient. Fair treatment in the older cases was characteristically assured by straightforward pro rata distribution of the limited fund. * * * While equity in such a simple sense is unattainable in a settlement covering present claims not specifically proven and claims not even due to arise, if at all, until some future time, at the least such a settlement must seek equity by providing for procedures to resolve the difficult issues of treating such differently situated claimants with fairness as among themselves.

First, it is obvious after *Amchem* that a class divided between holders of present and future claims (some of the latter involving no physical injury and to claimants not yet born) requires division into homogeneous subclasses under Rule 23(c)(4)(B)^a, with separate representation to eliminate conflicting interests of counsel. * * * No such procedure was employed here, and the conflict was as contrary to the equitable obligation entailed by the limited fund rationale as it was to the requirements of structural protection applicable to all class actions under Rule 23(a)(4).

Second, the class included those exposed to Fibreboard’s asbestos products both before and after 1959. The date is significant, for that year saw the expiration of Fibreboard’s insurance policy with Continental, the one which provided the bulk of the insurance funds for the settlement. Pre-1959 claimants accordingly had more valuable claims than post-1959 claimants * * *, the consequence being a second instance of disparate interests within the certified class. * * * [T]hese two instances of conflict are well within the requirement of structural protection recognized in *Amchem*.

* * *

A third contested feature of this settlement certification that departs markedly from the limited fund antecedents is the ultimate provision for a fund smaller than the assets understood by the Court of Appeals to be available for payment of the mandatory class members’ claims; most notably, Fibreboard was allowed to retain virtually its entire net worth. Given our treatment of the two preceding deficiencies of the certification, there is of course no need to decide whether this feature of the

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agreement would alone be fatal to the Global Settlement Agreement. To ignore it entirely, however, would be so misleading that we have decided simply to identify the issue it raises, without purporting to resolve it at this time.

Fibreboard listed its supposed entire net worth as a component of the total (and allegedly inadequate) assets available for claimants, but subsequently retained all but \$500,000 of that equity for itself. * * * On the face of it, the arrangement seems irreconcilable with the justification of necessity in denying any opportunity for withdrawal of class members whose jury trial rights will be compromised, whose damages will be capped, and whose payments will be delayed. With Fibreboard retaining nearly all its net worth, it hardly appears that such a regime is the best that can be provided for class members. Given the nature of a limited fund and the need to apply its criteria at the certification stage, it is not enough for a District Court to say that it “need not ensure that a defendant designate a particular source of its assets to satisfy the class’ claims; [but only that] the amount recovered by the class [be] fair.” * * *

The District Court in this case seems to have had a further point in mind, however. One great advantage of class action treatment of mass tort cases is the opportunity to save the enormous transaction costs of piecemeal litigation, an advantage to which the settlement’s proponents have referred in this case. * * * Although the District Court made no specific finding about the transaction cost saving likely from this class settlement, estimating the amount in the “hundreds of millions” * * *, it did conclude that the amount would exceed Fibreboard’s net worth as the Court valued it * * * (Fibreboard’s net worth of \$235

million “is considerably less than the likely savings in defense costs under the Global Settlement”). If a settlement thus saves transaction costs that would never have gone into a class member’s pocket in the absence of settlement, may a credit for some of the savings be recognized in a mandatory class action as an incentive to settlement? It is at least a legitimate question, which we leave for another day.

Id. at 846–61, 119 S.Ct. at 2315–22, 144 L.Ed.2d at 740–49.

NOTES AND QUESTIONS

1. Chief Justice Rehnquist concurred in *Ortiz*, stating that the problem of asbestos-exposure “cries out for a legislative solution.” Justice Ginsburg, writing for the Court in *Norfolk & Western Ry. Co. v. Ayers*, 538 U.S. 135, 166, 123 S.Ct. 1210, 1229, 155 L.Ed.2d 261, 187 (2003), echoed this view, as she did in *Amchem*. See Stengel, *The Asbestos End-Game*, 62 N.Y.U. Ann. Surv. Am. L.

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223 (2006). Does legislative inaction heighten the need for judicial intervention or undermine its democratic legitimacy? See Carrington, *Asbestos Lessons: The Consequences of Asbestos Litigation*, 26 Rev. Litig. 583, 611–12 (2007). For competing views, compare Barnes, *In Defense of Asbestos Tort Litigation: Rethinking Legal Process Analysis in a World of Uncertainty, Second Bests, and Shared Policy-Making Responsibility*, 34 L. & Soc. Inquiry 5 (2009), with Redish & Kastanek, *Settlement Class Actions, The Case-or-Controversy Requirement, and the Nature of the Adjudicatory Process*, 73 U. Chi. L. Rev. 545 (2006).

2. In decertifying the settlement class in *Ortiz*, the Supreme Court criticized Fibreboard’s “constructive bankruptcy” (defendant was still a solvent corporation) because it allowed defendant to circumvent the substantive and procedural requirements of federal bankruptcy law. Because the Bankruptcy Code did not actually apply, Fibreboard did not have to accord all its creditors equal treatment, and it was able to place its shareholders ahead of its tort creditors. Thus, Fibreboard was required only to contribute a small sum (\$10 million) in comparison to the insurers’ contributions to the fund. The dramatic increase in the company’s stock price that followed the announcement of the settlement terms suggests that the gains conferred upon its stockholders were substantial.

A more common practice has been for corporations to use bankruptcy proceedings as a way of resolving extensive future liability. See, e.g., *In re Johns-Manville Corp.*, 78 F.3d 764 (2d Cir. 1996). Under this approach, the corporation reorganizes its assets to create a trust for which all claimants compete on equal footing. In *Johns-Manville*, where the company used a bankruptcy proceeding to resolve asbestos-related mass tort claims, the trust was funded by a mix of cash, insurance proceeds, and shares in the reorganized debtor. (Although the company faced significant liability due to its past sales of asbestos products, the contemporary business enterprise remained profitable.) As a result, the tort creditors’ claims were to be satisfied by giving them an “evergreen” source of payments from an ownership stake in the company. However, this approach is not without its problems; settlement funds may be depleted by present claimants entirely, leaving future claimants without recovery. See McKenzie, *Toward a Bankruptcy Model for Nonclass Aggregate Litigation*, 87 N.Y.U.L. Rev. 960 (2012).

3. The decertification orders in *Amchem* and *Ortiz* raised a number of important questions about the future of class action practice. In particular, observers disagreed whether the Court indirectly had announced that class certification was not appropriate for certain mass tort claims, or whether the potential for intra-class conflict simply necessitated closer management of the mass tort class action through the provisional certification of subclasses and appointment of independent counsel for absentees with different interests. Compare Nagareda, *Autonomy, Peace, and Put Options in the Mass Tort Class Action*, 115 Harv. L. Rev. 747 (2002), with Rosenberg, *Mandatory-Litigation Class Action: The Only Option for Mass Tort Cases*, 115 Harv. L. Rev. 831 (2002). *Amchem* and *Ortiz* also generated conflicting views on how to

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characterize a mass tort class settlement. From one perspective, the primary actors in the class settlement were the class lawyers who effectively ran a “private administrative regime” that wielded legislative power free of electoral oversight. See Nagareda, *Mass Torts in an Age of Settlement* (2007). From another, *Amchem* and *Ortiz* spurred the district court judge to assume the robust role of case management associated with public law desegregation and environmental litigations. See Marcus, *The Short Life and Long Afterlife of the Mass Tort Class Action*, 165 U. Pa. L. Rev. 156 (2017). Although some commentators called for curbs on the use of settlement classes, the practice has persisted and adapted in response to the Court’s concerns. To borrow from Mark Twain, reports of the death of settlement class actions are highly exaggerated—to the contrary, “class actions and especially settlement classes, continue to thrive.” Cabraser & Issacharoff, *The Participatory Class Action*, 92 N.Y.U.L. Rev. 846, 848 (2017).

NOTE ON THE NFL CONCUSSION LITIGATION

Starting in 2002, researchers began uncovering evidence that repeated football concussions, and even repeated subconcussive hits, were linked to long term neurological problems. Researchers began diagnosing deceased players with Chronic Traumatic Encephalopathy (CTE), a degenerative brain disease that can only be diagnosed after death. The NFL initially discredited the research, telling players that the evidence of the long term effects of repeated concussions was inconclusive. By 2009, the NFL was forced to acknowledge the link between repeated head injuries and long term neurological problems. The NFL issued new rules to reduce head injuries, including stricter return-to-play guidelines, stating that any player that exhibits symptoms of a concussion should not return to play the same day.

In 2011 former Atlanta Falcons safety Ray Easterling filed the first “concussion lawsuit” against the NFL. He committed suicide the next year, and after his death was diagnosed with CTE. Eventually, more than 4,500 other former players also filed actions in state courts alleging that the NFL had failed to inform them of, and protect them from, the risks of football head injuries. The NFL removed the lawsuits to federal court, and they were

consolidated for pretrial purposes under 28 U.S.C. § 1407 in the Eastern District of Pennsylvania. In 2013, the NFL began requiring that an independent neurologist be available on the sidelines at every game. These new rules did not satisfy retired players, who faced an unusually high number of neurological problems.

The transferee court ordered mediation before a retired federal judge, and after the terms of a settlement framework were developed, the court appointed a Special Master to assist in assessing the financial terms of settlement. In 2014, plaintiffs filed a class action complaint, and the parties applied to the court for class certification and approval of the settlement. The proposed class included all living NFL football players who retired before July 7, 2014, as well as their representative claimants (those authorized by law to assert the claims of deceased or incapacitated players) and derivative claimants (those who have

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a legal right to the income of retired players). The class was divided into two subclasses, which were each represented by their own counsel: one class was composed of retired players who had already received a qualifying medical diagnosis under the proposed settlement, and the second was composed of retired players who had not yet received a qualifying diagnosis. The proposed settlement was composed of three parts: \$75 million for neurological assessments of retired NFL players, \$675 million to compensate retired players with qualifying diagnoses, and a \$10 million education fund to educate players about the dangers of head injuries.

In January 2014, the district court denied preliminary approval of the settlement. In *re Nat'l Football League Players Concussion Injury Litig.*, 961 F.Supp.2d 708 (E.D.Pa.2014). The court's key concern was that not all retired NFL players with qualifying diagnoses would be compensated before the \$ 675 monetary fund was exhausted:

* * * More specifically, the Settlement contemplates a \$675 million Monetary Award Fund with a 65-year lifespan for a Settlement Class of approximately 20,000 people. Retired NFL Football Players with a Qualifying Diagnosis of Parkinson's Disease, for example, are eligible for a maximum award of \$3.5 million; those with a Qualifying Diagnosis of [Amyotrophic Lateral Sclerosis] may receive up to \$5 million. Even if only 10 percent of Retired NFL Football Players eventually receive a Qualifying Diagnosis, it is difficult to see how the Monetary Award Fund would have the funds available over its lifespan to pay all claimants at these significant award levels.

Id. at 715.

Five months later, the parties reached a revised settlement agreement with an uncapped monetary award fund, which the court approved as a Rule 23(b)(3) class. In *re Nat'l Football League Players Concussion Injury Litig.*, 307 F.R.D. 351 (E.D.Pa.2015). The revised, uncapped monetary award fund provided varying levels of compensation to players who are required to submit proof of certain diagnoses. Awards were to be adjusted for the age of the player when diagnosed, and the number of seasons the player played in the NFL. The fund would remain in place for 65 years, and every class member who registered and qualified during the lifetime of the fund would receive an award.

Two hundred and two class members opted out of the settlement (out of a proposed class of about 22,000) and 205 class members joined objections, which were consolidated before the Third Circuit, which affirmed the district court's decision to certify the class and approve the classwide settlement. In *re Nat'l Football League Players Concussion Injury Litig.*, 821 F.3d 410, 425 (3d Cir. 2016), cert. denied, 137 S.Ct. 607, 196 L.Ed.2d 473 (2016).

In reviewing the district court's decision to certify the class, the appeals court responded to objections about commonality and the adequacy of representation. Objectors argued that the commonality requirement was not met because different players had played different numbers of seasons (which

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would affect their monetary award) and had played under different conditions. The court distinguished *Wal-Mart* because the NFL allegedly caused injury to all class members through the same course of conduct, failing to provide players with information about the effects of head injuries or create rules in a timely manner to reduce head injuries. Regarding the adequacy of representation, objectors argued that the class should be decertified on the same grounds as in *Amchem*—there was a fundamental conflict between those who already had a qualifying diagnosis and those who might receive one in the future. The court distinguished the analysis in *Amchem*, finding that the subclass structure of the negotiations adequately balanced the interests of each group. The court also dismissed concerns that counsel for one of the subclasses represented plaintiffs from both subclasses, creating a conflict of interest.

Objectors also raised fairness concerns about the approval of the settlement. The court found that the settlement was reasonable in light of several factors, including the preceding negotiations and the risks of further litigation. On the issue of discovery, objectors argued that the settlement was not entitled to a presumption of fairness because there had been no formal discovery—the Third Circuit rejected this argument, noting that avoiding the expense of formal discovery was an important bargaining chip for plaintiffs that the court would not do away with.

The final issue reviewed was attorney's fees. The district court deferred that issue until the class was certified and the settlement approved. Objectors argued that this deprived class members of due process. The court found that deferring the fee decision did not violate class members' due process rights, but that the best practice was for the notice to class members to include information about attorney's fees. Objectors also raised concerns about the settlement's "clear sailing provision," a stipulation by the NFL that they would not object to an attorney's fee up to \$112.5 million. Objectors argued that this raised concerns about collusion between plaintiffs' attorneys and the NFL. The court found that the clear sailing provisions did not per se prevent approval, although they did warrant close scrutiny.

The Third Circuit found that the subclasses in this case adequately dealt with the type of class conflicts that prevented certification in *Amchem*.

This was true even though the appointment of subclass counsel was made after negotiations had begun, and that counsel for one subclass represented plaintiffs from both classes. Significantly, the NFL litigation responded to the concerns expressed in *Amchem* and *Ortiz* about class conflicts by establishing judicially monitored, structural solutions designed to ensure representational legitimacy and substantive fairness. For example, the district court denied approval to the initial proposed settlement because it capped monetary award funds, and the court was concerned that the cap would unfairly impact players who had not yet received a qualifying diagnosis but might in the future. Some authors have highlighted the importance of electronic communication in the litigation, emphasizing the role that the absentees played as informal monitors in the suit, and the unusually high number of benefits claims that were filed, even before the appeals process concluded. See Cabraser & Issacharoff, *The*

Participatory Class Action, 92 N.Y.U.L.Rev. 846 (2017). Others have focused on the court’s role in managing a process that encouraged the parties’ disclosure of information and the monitoring of intra-group conflicts. See Bradt & Rave, *The Information-Forcing Role of the Judge in Multidistrict Litigation*, 106 Calif.L.Rev. 1259 (2017). What is clear is that the court, subclass counsel, and parties actively engaged with each other to balance and account for the interests of the different players affected by the NFL’s conduct. See Deubert, Cohen & Lynch, *Protecting and Promoting the Health of NFL Players: Legal and Ethical Analysis and Recommendations*, 7 Harv. J.Sports & Ent.L. 1 (2016).

E. JURISDICTION AND VENUE

1.SUBJECT-MATTER JURISDICTION

Some of the more difficult questions about subject-matter jurisdiction affecting the class action reflect uncertainty whether Rule 23 is a joinder device or a representative procedure. Within the joinder model, each absentee class member must satisfy jurisdictional and venue requirements; within the representative model, only the named party is significant. As you study these questions, consider whether the Court’s approach to the topic has changed over the years.

NOTES AND QUESTIONS

1. A class action based upon a federal question usually does not raise any special problems of subject-matter jurisdiction. A class action based upon diversity, however, does raise two special questions: first, to which class members should the court look in determining whether there is diversity of citizenship and, second, to which class members should the court look in calculating the jurisdictional amount?

2. In SUPREME TRIBE OF BEN-HUR v. CAUBLE, 255 U.S. 356, 41 S.Ct. 338, 65 L.Ed. 673 (1921), the Court held that determinations of diversity of citizenship in class actions should be based on the citizenship of the named parties only. How does this rule apply to a class action brought by a corporation or an unincorporated association?

3.In SNYDER v. HARRIS, 394 U.S. 332, 89 S.Ct. 1053, 22 L.Ed.2d 319 (1969), Snyder, a shareholder of Missouri Fidelity Union Trust Life Insurance Co., brought suit in federal court against members of the company’s board of directors. Since the petitioner’s allegations showed that she sought for herself only \$8,740 in damages, the respondent moved to dismiss on the ground that the matter in controversy did not exceed \$10,000 (the requisite jurisdictional amount at the time). Petitioner contended that her claim should be aggregated with those of the other members of her class, approximately 4,000 shareholders of the company stock. If all 4,000 potential claims were aggregated, the amount-in-controversy would be approximately \$1,200,000. The Supreme

Court held that separate and distinct claims could not be aggregated. It noted that “[a]ggregation has been permitted only (1) in cases in which a single plaintiff seeks to aggregate two or more of his claims against a single defendant and (2) in cases where two or more plaintiffs unite to enforce a single title or right in which they have a common or undivided interest.” Id. at 335, 89 S.Ct. at 1056, 22 L.Ed.2d at 323.

In ZAHN v. INTERNATIONAL PAPER CO., 414 U.S. 291, 94 S.Ct. 505, 38 L.Ed.2d 511 (1973), owners of property fronting on Lake Champlain in Orwell, Vermont, brought a diversity action seeking damages from International Paper Co., a New York corporation, for allegedly polluting the waters of the lake and damaging the value and utility of the surrounding properties. The claims of each of the named plaintiffs were found to satisfy the then-required \$10,000 jurisdictional amount, but the district court was convinced “to a legal certainty” that not every individual owner in the class had suffered pollution damages in excess of \$10,000. The Court held that each plaintiff in a Rule 23(b)(3) class action must satisfy the jurisdictional-amount requirement. Again, the majority opinion rested on the traditional rules that courts had used for aggregating claims.

However, in EXXON MOBIL CORP. v. ALLAPATTAH SERVICES, INC., p. 365, supra, the Court held, five-to-four, that the 1990 enactment of the supplemental jurisdiction statute, 28 U.S.C. § 1367, effectively overruled *Zahn*. The Court explained that when the complaint includes “at least one claim that satisfies the amount-in-controversy requirement, and there are no other relevant jurisdictional defects, the district court, beyond all question, has original jurisdiction over that claim,” and that the court then “can turn to the question whether it has a constitutional and statutory basis for exercising supplemental jurisdiction over the other claims in the action.” The Court found “[n]othing in the text of § 1367(b)” that could be read to withhold “supplemental jurisdiction over the claims of plaintiffs certified as class-action members pursuant to Rule 23.” 545 U.S. at 559–60, 125 S.Ct. at 2620–21, 162 L.Ed.2d at 521–22. Does *Allapattah* affect the result in *Snyder v. Harris*?

4.In 2005, Congress enacted the Class Action Fairness Act, and special subject-matter jurisdiction rules apply to classes certified under that statute and to what are called “mass actions,” which are defined as actions seeking to try jointly monetary relief claims involving common questions of law or fact for 100 or more persons.

Amount-in-Controversy Requirement: CAFA authorizes federal jurisdiction over class actions in which the amount in controversy exceeds the sum of \$5 million. 28 U.S.C. § 1332(d)(2). Importantly, CAFA allows for the aggregation of individual claims to meet the amount-in-controversy requirement. 28 U.S.C. § 1332(d)(6). What if a named plaintiff files a class action in state court and signs a binding stipulation limiting the damages sought to less than \$5 million? Will such a stipulation defeat removal under CAFA? The Supreme Court has held that a stipulation of this sort is not binding on absent class members and therefore will not preclude federal

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jurisdiction under CAFA. See *Standard Fire Ins. Co. v. Knowles*, 568 U.S. 558, 133 S.Ct. 1345, 185 L.Ed.2d 439 (2013).

Diversity of Citizenship: CAFA authorizes federal jurisdiction upon a showing that any class member’s state of citizenship is different from the state of citizenship of any defendant. 28 U.S.C. § 1332(d)(2)(A). The statute also confers federal jurisdiction over class actions in which a citizen of a foreign state and a citizen of a United States state are on opposing sides. 28 U.S.C. § 1332(d)(2)(B); 28 U.S.C. § 1332(d)(2)(C).

Mandatory Denial of Federal Jurisdiction: CAFA excludes various categories of class actions from the statute’s scope. 28 U.S.C. § 1332(d)(4)(A) establishes what has been dubbed the “local controversy” exception: It bars federal jurisdiction when, among other requirements, greater than two-thirds of class plaintiffs are citizens of the state in which the action was originally filed; at least one of the primary defendants is a citizen of that state; and the “principal injuries” resulting from the alleged conduct of each defendant occurred in that state. 28 U.S.C. § 1332(d)(4)(B), setting out the so-called “home state” exception, prohibits federal jurisdiction when two-thirds or more of the proposed class plaintiffs, in addition to the “primary defendants,” are citizens of the state in which the action was filed. Other mandatory exceptions to federal jurisdiction are set forth in 28 U.S.C. § 1332(d)(5)(A) (primary defendants are states, state officials, or other governmental entities); 28 U.S.C. § 1332(d)(5)(B) (the class contains “less than 100” members); and 28 U.S.C. § 1332(d)(9)(A)–(B) (the action “solely involves a claim” regarding certain securities and corporate governance issues).

Discretionary Denial of Federal Jurisdiction: CAFA gives district courts discretion to decline jurisdiction based on an assessment of six enumerated factors. See 28 U.S.C. § 1332(d)(3)(A)–(F). In *Sorrentino v. ASN Roosevelt Ctr., LLC*, 588 F.Supp.2d 350, 359 (E.D.N.Y. 2008), the court held that a discretionary remand under 28 U.S.C. § 1332(d)(3) turned on the totality of circumstances and did not require satisfying all of the enumerated factors.

Removal: One of CAFA’s major changes to the default rules of diversity jurisdiction is to expand the ability to remove a class action from state court to federal court. Under the statute, any defendant may remove the case, regardless of the consent of the other defendants. 28 U.S.C. § 1453(b). Moreover, CAFA permits a defendant to remove even if the party is a citizen of the state in which the action was brought. *Id.* The statute also eliminates the one-year limitation that usually applies to removal, *id.*, and provides for discretionary review of a district court’s decision to grant or deny a motion to remand to state court. 28 U.S.C. § 1453(c)(1). In *DART CHEROKEE BASIN OPERATING CO., LLC v. OWENS*, 574 U.S. 81, 135 S.Ct. 547, 190 L.Ed.2d 495 (2014), the Court held that a defendant’s notice of removal needs to include only a plausible allegation that the amount-in-controversy exceeds the \$5,000,000 jurisdictional threshold. If that assertion is challenged, both sides must submit proof and the court is to decide, by a preponderance of the

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evidence standard, whether the amount-in-controversy requirement is met. See p. 385, *supra*.

What is the rationale for the unusual treatment of class actions under CAFA?

5. Standing under Article III is a jurisdictional limitation on the power of federal courts to adjudicate a dispute. See p. 719, Note 3, *supra*. In *TRANSUNION LLC v. RAMIREZ*, 594 U.S. ___, 141 S.Ct. 2190, 210 L.Ed.2d 568 (2021), the Supreme Court held that each member of a class seeking damages must satisfy Article III’s standing requirement. The class consisted of 8,185 consumers who sued TransUnion, a consumer credit reporting company, in federal court for preparing credit reports with inaccurate personal information. The complaint alleged that TransUnion had added a misleading notice that the class members were on the list of “specially designated nationals” compiled by the United States Treasury Department’s Office of Foreign Assets Control. That list included terrorists, drug traffickers, and others deemed to pose a threat to national security. The class brought claims under state law and under the Fair Credit Reporting Act (FCRA), which regulates entities that provide consumer credit reports. The FCRA includes a cause of action for consumers to recover actual damages, statutory damages, and punitive damages against “[a]ny person who willfully fails to comply” with the statutory requirements. 15 U.S.C. § 1681n(a). The complaint asserted that TransUnion had violated the FCRA by failing to use reasonable procedures to ensure the accuracy of the class members’ credit reports and by failing to provide class members with a summary of rights under the statute and appropriate disclosures about their credit reports.

The district court certified the class over TransUnion’s objections. Before trial, the parties stipulated that TransUnion had disseminated the credit reports of only 1,853 members of the class to potential creditors during the relevant time period. The jury awarded statutory and punitive damages totaling \$60 million. A divided panel of the Ninth Circuit reduced the punitive award but held that all members of the class had Article III standing to recover damages. The court also concluded that the class representative’s claims were typical of the class’s claims for purposes of Rule 23.

The Supreme Court reversed as to standing and remanded for the Ninth Circuit to reconsider whether class certification was appropriate. Justice Kavanaugh, joined by four justices, concluded that only the class members whose credit reports had been disseminated to potential creditors “demonstrated concrete reputational harm” sufficient to establish Article III standing to sue in federal court. By contrast, the remaining 6,332 class members whose credit files had not been provided to third parties during the relevant time period had not suffered a concrete harm and thus lacked Article III standing. The majority explained:

As the party invoking federal jurisdiction, the plaintiffs bear the burden of demonstrating that they have standing. Every class member must

have Article III standing in order to recover individual

damages. “Article III does not give federal courts the power to order relief to any uninjured plaintiff, class action or not.” *Tyson Foods, Inc. v. Bouaphakeo*, 577 U.S. 442, 466 (2016) (Roberts, C.J., concurring).

594 U.S. at ___, 141 S.Ct. at 2207–08, 210 L.Ed.2d at 587. The Court noted, however, that its decision did not “address the distinct question whether every class member must demonstrate standing *before* a court certifies a class.” Id. at ___, 141 S.Ct. at 2208 n.4, 210 L.Ed.2d at 588 n.4. Justice Thomas, joined by three other justices, dissented on the ground that all class members had suffered a violation of private rights granted by Congress to each consumer under the FCRA, and so had standing under Article III to assert their claims.

2.PERSONAL JURISDICTION

PHILLIPS PETROLEUM CO. v. SHUTTS

Supreme Court of the United States, 1985.
[472 U.S. 797, 105 S.Ct. 2965, 86 L.Ed.2d 628.](#)

Certiorari to the Supreme Court of Kansas.

JUSTICE REHNQUIST delivered the opinion of the Court.

[During the 1970s, Phillips Petroleum produced or purchased natural gas from leased land located in eleven states. Shutts and several other royalty owners possessing rights to leases from which Phillips Petroleum produced the gas brought a class action against the company in a Kansas state court, seeking to recover interest on royalty payments that had been delayed. The trial court certified a class consisting of 33,000 royalty owners. The class representative provided each class member with a notice by first-class mail describing the action and informing each member that he could appear in person or by counsel, that otherwise he would be represented by the named royalty owners, and that class members would be included in the class and bound by the judgment unless they “opted out” of the action by returning a “request for exclusion.” The final class consisted of more than 28,000 members, who resided in all 50 states, the District of Columbia, and several foreign countries. Notwithstanding that over 99 percent of the gas leases in question and some 97 percent of the plaintiff class members had no apparent connection to Kansas except for the lawsuit, the trial court applied Kansas contract and equity law to every claim and found Phillips Petroleum liable for interest on the suspended royalties to all class members. The Kansas Supreme Court affirmed despite the company’s contentions that the Due Process Clause of the Fourteenth Amendment prevented Kansas from adjudicating the claims of all the class members, and that the Due Process Clause and the Full Faith and Credit Clause prohibited application of Kansas law to all of the transactions between it and the class members.]

* * *

I

* * *

* * * As a class-action defendant petitioner is in a unique predicament. If Kansas does not possess jurisdiction over this plaintiff class, petitioner will be bound to 28,100 judgment holders scattered across the globe, but none of these will be bound by the Kansas decree. Petitioner could be subject to numerous later individual suits by these class members because a judgment issued without proper personal jurisdiction over an absent party is not entitled to full faith and credit elsewhere and thus has no res judicata effect as to that party. Whether it wins or loses on the merits, petitioner has a distinct and personal interest in seeing the entire plaintiff class bound by res judicata just as petitioner is bound. The only way a class action defendant like petitioner can assure itself of this binding effect of the judgment is to ascertain that the forum court has jurisdiction over every plaintiff whose claim it seeks to adjudicate, sufficient to support a defense of res judicata in a later suit for damages by class members.

While it is true that a court adjudicating a dispute may not be able to predetermine the res judicata effect of its own judgment, petitioner has alleged that it would be obviously and immediately injured if this class-action judgment against it became final without binding the plaintiff class. We think that such an injury is sufficient to give petitioner standing on its own right to raise the jurisdiction claim in this Court.

* * *

II

Reduced to its essentials, petitioner’s argument is that unless out-of-state plaintiffs affirmatively consent, the Kansas courts may not exert jurisdiction over their claims. Petitioner claims that failure to execute and return the “request for exclusion” provided with the class notice cannot constitute consent of the out-of-state plaintiffs; thus Kansas courts may exercise jurisdiction over these plaintiffs only if the plaintiffs possess the sufficient “minimum contacts” with Kansas as that term is used in cases involving personal jurisdiction over out-of-state defendants. *E.g., International Shoe Co. v. Washington* * * * [p. 95, *supra*]. Since Kansas had no prelitigation contact with many of the plaintiffs and leases involved, petitioner claims that Kansas has exceeded its jurisdictional reach and thereby violated the due process rights of the absent plaintiffs.

In *International Shoe* we were faced with an out-of-state corporation which sought to avoid the exercise of personal jurisdiction over it as a defendant by a Washington state court. We held that the extent of the defendant's due process protection would depend "upon the quality and nature of the activity in relation to the fair and orderly administration of the laws * * *." We noted that the Due Process Clause did not permit a

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State to make a binding judgment against a person with whom the State had no contacts, ties, or relations. * * * If the defendant possessed certain minimum contacts with the State, so that it was "reasonable and just, according to our traditional conception of fair play and substantial justice" for a State to exercise personal jurisdiction, the State could force the defendant to defend himself in the forum, upon pain of default, and could bind him to a judgment. * * *

The purpose of this test, of course, is to protect a defendant from the travail of defending in a distant forum, unless the defendant's contacts with the forum make it just to force him to defend there. As we explained in *Woodson* * * * [p. 114, supra] the defendant's contacts should be such that "he should reasonably anticipate being haled" into the forum. * * * In *Insurance Corp. of Ireland v. Compagnie des Bauxites de Guinee* * * * [p. 194, supra] we explained that the requirement that a court have personal jurisdiction comes from the Due Process Clause's protection of the defendant's personal liberty interest, and said that the requirement "represents a restriction on judicial power not as a matter of sovereignty, but as a matter of individual liberty." * * *

Although the cases like *Shaffer* [*v. Heitner*, p. 210, supra,] and *Woodson* which petitioner relies on for a minimum contacts requirement all dealt with out-of-state defendants or parties in the procedural posture of a defendant, * * * petitioner claims that the same analysis must apply to absent class-action plaintiffs. In this regard petitioner correctly points out that a chose in action is a constitutionally recognized property interest possessed by each of the plaintiffs. * * * An adverse judgment by Kansas courts in this case may extinguish the chose in action forever through *res judicata*. Such an adverse judgment, petitioner claims, would be every bit as onerous to an absent plaintiff as an adverse judgment on the merits would be to a defendant. Thus, the same due process protections should apply to absent plaintiffs: Kansas should not be able to exert jurisdiction over the plaintiffs' claims unless the plaintiffs have sufficient minimum contacts with Kansas.

We think petitioner's premise is in error. The burdens placed by a State upon an absent class-action plaintiff are not of the same order or magnitude as those it places upon an absent defendant. An out-of-state defendant summoned by a plaintiff is faced with the full powers of the forum State to render judgment *against* it. The defendant must generally hire counsel and travel to the forum to defend itself from the plaintiff's claim, or suffer a default judgment. The defendant may be forced to participate in extended and often costly discovery, and will be forced to respond in damages or to comply with some other form of remedy imposed by the court should it lose the suit. The defendant may also face liability for court costs and attorney's fees. These burdens are substantial, and the

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minimum contacts requirement of the Due Process Clause prevents the forum State from unfairly imposing them upon the defendant.

A class-action plaintiff, however, is in quite a different posture. The Court noted this difference in *Hansberry v. Lee* * * * [p. 804, supra] which explained that a "class" or "representative" suit was an exception to the rule that one could not be bound by judgment *in personam* unless one was made fully a party in the traditional sense. * * * As the Court pointed out in *Hansberry*, the class action was an invention of equity to enable it to proceed to a decree in suits where the number of those interested in the litigation was too great to permit joinder. The absent parties would be bound by the decree so long as the named parties adequately represented the absent class and the prosecution of the litigation was within the common interest. * * *

Modern plaintiff class actions follow the same goals, permitting litigation of a suit involving common questions when there are too many plaintiffs for proper joinder. Class actions also may permit the plaintiffs to pool claims which would be uneconomical to litigate individually. For example, this lawsuit involves claims averaging about \$100 per plaintiff; most of the plaintiffs would have no realistic day in court if a class action were not available.

In sharp contrast to the predicament of a defendant haled into an out-of-state forum, the plaintiffs in this suit were not haled anywhere to defend themselves upon pain of a default judgment. As commentators have noted, from the plaintiffs' point of view a class action resembles a "quasi-administrative proceeding, conducted by the judge." * * *

A plaintiff class in Kansas and numerous other jurisdictions cannot first be certified unless the judge, with the aid of the named plaintiffs and defendant, conducts an inquiry into the common nature of the named plaintiffs' and the absent plaintiffs' claims, the adequacy of representation, the jurisdiction possessed over the class, and any other matters that will bear upon proper representation of the absent plaintiffs' interest. * * * Unlike a defendant in a civil suit, a class-action plaintiff is not required to fend for himself. * * * The court and named plaintiffs protect his interests. Indeed, the class-action defendant itself has a great interest in ensuring that the absent plaintiffs' claims are properly before the forum. In this case, for example, the defendant sought to avoid class certification by alleging that the absent plaintiffs would not be adequately represented and were not amenable to jurisdiction. * * *

The concern of the typical class-action rules for the absent plaintiffs is manifested in other ways. Most jurisdictions, including Kansas, require that a class action, once certified, may not be dismissed or compromised without the approval of the court. In many jurisdictions such as Kansas the

court may amend the pleadings to ensure that all sections of the class are represented adequately. * * *

Besides this continuing solicitude for their rights, absent plaintiff class members are not subject to other burdens imposed upon defendants. They need not hire counsel or appear. They are almost never subject to counterclaims or cross-claims, or liability for fees or costs. Absent plaintiff class members are not subject to coercive or punitive remedies. Nor will an adverse judgment typically bind an absent plaintiff for any damages, although a valid adverse judgment may extinguish any of the plaintiff's claims which were litigated.

Unlike a defendant in a normal civil suit, an absent class-action plaintiff is not required to do anything. He may sit back and allow the litigation to run its course, content in knowing that there are safeguards provided for his protection. In most class actions an absent plaintiff is provided at least with an opportunity to "opt out" of the class, and if he takes advantage of that opportunity he is removed from the litigation entirely. This was true of the Kansas proceedings in this case. The Kansas procedure provided for the mailing of a notice to each class member by first-class mail. The notice, as we have previously indicated, described the action and informed the class member that he could appear in person or by counsel, in default of which he would be represented by the named plaintiffs and their attorneys. The notice further stated that class members would be included in the class and bound by the judgment unless they "opted out" by executing and returning a "request for exclusion" that was included in the notice.

Petitioner contends, however, that the "opt out" procedure provided by Kansas is not good enough, and that an "opt in" procedure is required to satisfy the Due Process Clause of the Fourteenth Amendment. Insofar as plaintiffs who have no minimum contacts with the forum State are concerned, an "opt in" provision would require that each class member affirmatively consent to his inclusion within the class.

Because States place fewer burdens upon absent class plaintiffs than they do upon absent defendants in nonclass suits, the Due Process Clause need not and does not afford the former as much protection from state-court jurisdiction as it does the latter. The Fourteenth Amendment does protect "persons," not "defendants," however, so absent plaintiffs as well as absent defendants are entitled to some protection from the jurisdiction of a forum State which seeks to adjudicate their claims. In this case we hold that a forum State may exercise jurisdiction over the claim of an absent class-action plaintiff, even though that plaintiff may not possess the minimum contacts with the forum which would support personal jurisdiction over a defendant. If the forum State wishes to bind an absent plaintiff concerning

a claim for money damages or similar relief at law,³ it must provide minimal procedural due process protection. The plaintiff must receive notice plus an opportunity to be heard and participate in the litigation, whether in person or through counsel. The notice must be the best practicable, "reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections." * * * The notice should describe the action and the plaintiffs' rights in it. Additionally, we hold that due process requires at a minimum that an absent plaintiff be provided with an opportunity to remove himself from the class by executing and returning an "opt out" or "request for exclusion" form to the court. Finally, the Due Process Clause of course requires that the named plaintiff at all times adequately represent the interests of the absent class members. * * *

We reject petitioner's contention that the Due Process Clause of the Fourteenth Amendment requires that absent plaintiffs affirmatively "opt in" to the class, rather than be deemed members of the class if they do not "opt out." We think that such a contention is supported by little, if any precedent, and that it ignores the differences between class action plaintiffs, on the one hand, and defendants in non-class civil suits on the other. Any plaintiff may consent to jurisdiction. * * * The essential question, then, is how stringent the requirement for a showing of consent will be.

We think that the procedure followed by Kansas, where a fully descriptive notice is sent first-class mail to each class member, with an explanation of the right to "opt out," satisfies due process. Requiring a plaintiff to affirmatively request inclusion would probably impede the prosecution of those class actions involving an aggregation of small individual claims, where a large number of claims are required to make it economical to bring suit. * * * The plaintiff's claim may be so small, or the plaintiff so unfamiliar with the law, that he would not file suit individually, nor would he affirmatively request inclusion in the class if such a request were required by the Constitution. * * * If, on the other hand, the plaintiff's claim is sufficiently large or important that he wishes to litigate it on his own, he will likely have retained an attorney or have thought about filing suit, and should be fully capable of exercising his right to "opt out."

In this case over 3,400 members of the potential class did "opt out," which belies the contention that "opt out" procedures result in guaranteed jurisdiction by inertia. Another 1,500 were excluded because the notice and "opt out" form was undeliverable. We think that such results show that the

"opt out" procedure provided by Kansas is by no means *pro forma*, and that the Constitution does not require more to protect what must be the somewhat rare species of class member who is unwilling to execute an "opt out" form, but whose claim is nonetheless so important that he cannot be presumed to consent to being a member of the class by his failure to do so. Petitioner's "opt in" requirement would require the invalidation of scores of state statutes and of the class-action provision of the Federal Rules of Civil Procedure, * * * and for the reasons stated we do not think that the Constitution requires the State to sacrifice the obvious advantages in judicial efficiency

resulting from the “opt out” approach for the protection of the *rara avis* portrayed by petitioner.

We therefore hold that the protection afforded the plaintiff class members by the Kansas statute satisfies the Due Process Clause. The interests of the absent plaintiffs are sufficiently protected by the forum State when those plaintiffs are provided with a request for exclusion that can be returned within a reasonable time to the court. * * * Both the Kansas trial court and the Supreme Court of Kansas held that the class received adequate representation, and no party disputes that conclusion here. We conclude that the Kansas court properly asserted personal jurisdiction over the absent plaintiffs and their claims against petitioner.

III

The Kansas courts applied Kansas contract and Kansas equity law to every claim in this case, notwithstanding that over 99% of the gas leases and some 97% of the plaintiffs in the case had no apparent connection to the State of Kansas except for this lawsuit. * * * Petitioner protested that the Kansas courts should apply the laws of the States where the leases were located, or at least apply Texas and Oklahoma law because so many of the leases came from those States. The Kansas courts disregarded this contention and found petitioner liable for interest on the suspended royalties as a matter of Kansas law, and set the interest rates under Kansas equity principles.

Petitioner contends that total application of Kansas substantive law violated the constitutional limitations on choice of law mandated by the Due Process Clause of the Fourteenth Amendment and the Full Faith and Credit Clause of Article IV, § 1. We must first determine whether Kansas law conflicts in any material way with any other law which could apply. There can be no injury in applying Kansas law if it is not in conflict with that of any other jurisdiction connected to this suit.

Petitioner claims that Kansas law conflicts with that of a number of States connected to this litigation, especially Texas and Oklahoma. These putative conflicts range from the direct to the tangential, and may be addressed by the Supreme Court of Kansas on remand under the correct constitutional standard. * * *

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The conflicts on the applicable interest rates, alone—which we do not think can be labeled “false conflicts” without a more thorough-going treatment than was accorded them by the Supreme Court of Kansas—certainly amounted to millions of dollars in liability. We think that the Supreme Court of Kansas erred in deciding on the basis that it did that the application of its laws to all claims would be constitutional.

Four Terms ago we addressed a similar situation in *Allstate Ins. Co. v. Hague* * * * [p. 106, supra]. In that case we were confronted with two conflicting rules of state insurance law. Minnesota permitted the “stacking” of separate uninsured motorist policies while Wisconsin did not. Although the decedent lived in Wisconsin, took out insurance policies and was killed there, he was employed in Minnesota and after his death his widow moved to Minnesota for reasons unrelated to the litigation, and was appointed personal representative of his estate. She filed suit in Minnesota courts, which applied the Minnesota stacking rule.

The plurality in *Allstate* noted that a particular set of facts giving rise to litigation could justify, constitutionally, the application of more than one jurisdiction’s laws. The plurality recognized, however, that the Due Process Clause and the Full Faith and Credit Clause provided modest restrictions on the application of forum law. These restrictions required “that for a State’s substantive law to be selected in a constitutionally permissible manner, that State must have a significant contact or significant aggregation of contacts, creating state interests, such that choice of its law is neither arbitrary nor fundamentally unfair.” * * * The dissenting Justices were in substantial agreement with this principle. * * *

The plurality in *Allstate* affirmed the application of Minnesota law because of the forum’s significant contacts to the litigation which supported the State’s interest in applying its law. * * * Kansas’ contacts to this litigation, as explained by the Kansas Supreme Court, can be gleaned from the opinion below.

Petitioner owns property and conducts substantial business in the State, so Kansas certainly has an interest in regulating petitioner’s conduct in Kansas. * * * Moreover, oil and gas extraction is an important business to Kansas, and although only a few leases in issue are located in Kansas, hundreds of Kansas plaintiffs were affected by petitioner’s suspension of royalties; thus the court held that the State has a real interest in protecting “the rights of these royalty owners both as individual residents of [Kansas] and as members of this particular class of plaintiffs.” * * *

Kansas must have a “significant contact or significant aggregation of contacts” to the claims asserted by each member of the plaintiff class, contacts “creating state interests” in order to ensure that the choice of Kansas law is not arbitrary or unfair. * * * Given Kansas’ lack of “interest” in claims unrelated to that State, and the substantive conflict with

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jurisdictions such as Texas, we conclude that application of Kansas law to every claim in this case is sufficiently arbitrary and unfair as to exceed constitutional limits. * * *

When considering fairness in this context, an important element is the expectation of the parties. There is no indication that when the leases involving land and royalty owners outside of Kansas were executed, the parties had any idea that Kansas law would control. Neither the Due Process Clause nor the Full Faith and Credit Clause requires Kansas “to substitute for its own [laws], applicable to persons and events within it, the conflicting statute of another state,” * * * but Kansas “may not abrogate the rights of parties beyond its borders having no relation to anything done or to be done within them.” * * *

Here the Supreme Court of Kansas took the view that in a nationwide class action where procedural due process guarantees of notice and adequate representation were met, “the law of the forum should be applied unless compelling reasons exist for applying a different law.” * * * Whatever practical reasons may have commended this rule to the Supreme Court of Kansas, for the reasons already stated we do not believe that it is consistent with the decisions of this Court. We make no effort to determine for ourselves which law must apply to the various transactions involved in this lawsuit, and we reaffirm our observation in *Allstate* that in many situations a state court may be free to apply one of several choices of law. But the constitutional limitations laid down in cases such as *Allstate* * * * must be respected even in a nationwide class action.

We therefore affirm the judgment of the Supreme Court of Kansas insofar as it upheld the jurisdiction of the Kansas courts over the plaintiff class members in this case, and reverse its judgment insofar as it held that Kansas law was applicable to all of the transactions which it sought to adjudicate. We remand the case to that court for further proceedings not inconsistent with this opinion.

It is so ordered.

JUSTICE POWELL took no part in the decision of this case.

[JUSTICE STEVENS wrote an opinion concurring in Parts I and II of the Court’s opinion and dissenting from Part III.]

NOTES AND QUESTIONS

1. On remand to the Kansas courts after the Supreme Court’s decision in *Shutts*, Phillips Petroleum continued to press the argument that the laws of five states (Louisiana, New Mexico, Oklahoma, Texas, and Wyoming) differed in important respects from the law of Kansas—in particular on the issue of liability for interest on suspended royalties and on the issue of the applicable interest rate where liability is found. These two issues constituted the heart of

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the legal controversy in the case, and the five identified states embraced 97 percent of the leases involved. In addressing this argument, the Kansas Supreme Court first analyzed the Supreme Court’s decision in *Shutts*:

* * * As to the choice of law question, however, it was ruled the application of Kansas law to all of the investors’ claims for interest violated the due process and full faith and credit clauses. In its analysis, the Court first noted that if the law of Kansas was not in conflict with any of the other jurisdictions connected to the suit, then there would be no injury in applying the law of Kansas. * * * The Court then cited differences in the laws of Kansas, Texas, and Oklahoma which Phillips *contended* existed. It appears, however, no analysis was made by the Court to determine whether these differences existed in fact. * * *

Shutts v. Phillips Petroleum Co., 240 Kan. 764, 767, 732 P.2d 1286, 1291 (1987), cert. denied, 487 U.S. 1223, 108 S.Ct. 2883, 101 L.Ed.2d 918 (1988) (emphasis in original).

The Kansas court then examined the laws of the five states—only to conclude that *none* of the five was in conflict with the law of Kansas. It therefore entered a new judgment reflecting no change in the original outcome of the case regarding liability and the applicable prejudgment interest rate. See Miller & Crump, *Jurisdiction and Choice of Law in Multistate Class Actions After Phillips Petroleum Co. v. Shutts*, 96 Yale L.J. 1 (1986).

2. In *Shaffer v. Heitner*, p. 210, *supra*, the Court stated that “all assertions of state-court jurisdiction must be evaluated according to the standards set forth in *International Shoe* and its progeny.” Does *Shutts* mean that class plaintiffs are not entitled to this protection? Or is *Shutts* based upon the inference of consent from a class member’s failure to opt-out of the class? If so, is that inference accurate or appropriate? Compare Wolff, *Federal Jurisdiction and Due Process in the Era of the Nationwide Class Action*, 156 U.Pa.L.Rev. 2035, 2086–89 (2008), with Kahan & Silberman, *Matsushita and Beyond: The Role of State Courts in Class Actions Involving Exclusive Federal Claims*, 1996 Sup.Ct.Rev. 219, 263–64. What are the implications of *Shutts* for class actions in which class members reside abroad? Should such cases require an affirmative opt-in? See Bassett, *Implied “Consent” to Personal Jurisdiction in Transnational Class Litigation*, 2004 Mich. St.L.Rev. 619. Do you agree?

3. In *Castano*, p. 830, *supra*, differences in state law were a ground for decertification of the class. Would it be unfair to apply the law of a single state, such as defendant’s principal place of business, to a class action that involves a multistate transaction with unnamed class members from multiple states? See Kramer, *Choice of Law in Complex Litigation*, 71 N.Y.U.L.Rev. 547 (1996). Should federal courts hearing actions under the Class Action Fairness Act have authority to develop their own choice-of-law rules? See p. 517, Note 4, *supra*.

4. Consider the requirement of personal jurisdiction in its conventional context—the power of the court to enter a judgment against a defendant.

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Bristol-Myers Squibb Co., p. 173, *supra*, held that the California court could not exercise specific jurisdiction over claims by non-Californians whose injuries did not arise out of defendant’s in-state activity. *Bristol-Myers* involved complex joinder; it was not a class action. Does the decision foreclose a nationwide class filed anywhere other than defendant’s home state of incorporation or principal place of business? The Supreme Court has yet to address the issue, but the lower courts have begun to do so.

In *MUSSAT v. IQVIA, INC.*, 953 F. 3d 441 (7th Cir. 2020), plaintiff, an Illinois resident, sued defendant, a Delaware corporation with its principal place of business in Pennsylvania, for violations of the Telephone Consumer Protection Act, 47 U.S.C. § 227. Plaintiff filed the case in the Northern District of Illinois and sought to represent a nationwide class of similarly situated persons. Because it was not subject to general personal jurisdiction in Illinois, defendant moved to strike the class allegations on the ground that the district court did not have personal jurisdiction over the

claims of the non-Illinois class members. The district court agreed with defendant and held, based on *Bristol-Myers*, that each class member had to show minimum contacts between defendant and Illinois with respect to that class member’s claim. The Seventh Circuit granted an interlocutory appeal under Rule 23(f) and reversed because “the principles announced in *Bristol-Myers* do not apply to the case of a nationwide class action filed in federal court under a federal statute.” 953 F. 3d at 443. The court explained why the class action context was different from the mass joinder involved in *Bristol-Myers*:

Although *Bristol-Myers* arose in the context of consolidated individual suits, the district court in our case thought that the *Bristol-Myers* approach to personal jurisdiction should be extended to certified class actions. It held that the Due Process Clause of the Fourteenth Amendment precludes the exercise of personal jurisdiction over a defendant where “nonresident, absent members [of a class] seek to aggregate their claims with an in-forum resident, even though the defendant allegedly injured the nonresidents outside of the forum.” * * * This meant, the court realized, that nationwide class actions will, as a practical matter, be impossible any time the defendant is not subject to general jurisdiction. This would have been far from the routine application of personal-jurisdiction rules that *Bristol-Myers* said it was performing. * * *

Procedural formalities matter, however, as the Supreme Court emphasized in *Taylor v. Sturgell*, 553 U.S. 880, 128 S.Ct. 2161, 171 L.Ed.2d 155 (2008), where it stressed the importance of class certification as a pre-requisite for binding a nonparty (including an unnamed class member) to the outcome of a suit. * * * With that in mind, it rejected the notion of “virtual representation” as an end-run around the careful procedural protections outlined in Rule 23. * * * Class actions, in short, are different from many other types of aggregate litigation, and that difference matters in numerous ways for the unnamed members of the class.

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Bristol-Myers neither reached nor resolved the question whether, in a Rule 23 class action, each unnamed member of the class must separately establish specific personal jurisdiction over a defendant. In holding otherwise, the district court failed to recognize the critical distinction between this case and *Bristol-Myers*. The *Bristol-Myers* plaintiffs brought a coordinated mass action, which * * * does not involve any absentee litigants. * * * [A]ll of the plaintiffs are named parties to the case. * * * In a Rule 23 class action, by contrast, the lead plaintiffs earn the right to represent the interests of absent class members by satisfying all four criteria of Rule 23(a) and one branch of Rule 23(b). The absent class members are not full parties to the case for many purposes.

The proper characterization of the status of absent class members depends on the issue. As the Supreme Court [has] recognized * * * “[n]onnamed class members . . . may be parties for some purposes and not for others. The label ‘party’ does not indicate an absolute characteristic, but rather a conclusion about the applicability of various procedural rules that may differ based on context.” * * * For example, absent class members are not considered parties for assessing whether the requirement of diverse citizenship under 28 U.S.C. § 1332 has been met. * * * As long as the named representative meets the amount-in-controversy requirement, jurisdiction exists over the claims of the unnamed members. * * * Nor are absent class members considered when a court decides whether it is the proper venue. * * * We see no reason why personal jurisdiction should be treated any differently from subject-matter jurisdiction and venue: the named representatives must be able to demonstrate either general or specific personal jurisdiction, but the unnamed class members are not required to do so.

* * *

The rules for class certification support a focus on the named representative for purposes of personal jurisdiction. Rule 23(b)(3), for example, governs damages class actions. Among the factors it lists is “the desirability or undesirability of concentrating the litigation of the claims in the particular forum.” The Committee Note to this provision mentions that a court should consider the desirability of the forum “in contrast to allowing the claims to be litigated separately in forums to which they would ordinarily be brought.” * * * These provisions recognize that a class action may extend beyond the boundaries of the state where the lead plaintiff brings the case. And nothing in the Rules frowns on nationwide class actions, even in a forum where the defendant is not subject to general jurisdiction.

Finally, it is worth recalling that the Supreme Court in *Bristol-Myers* expressly reserved the question whether its holding extended to the federal courts at all. 137 S. Ct. at 1784 (“[S]ince our decision concerns

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the due process limits on the exercise of specific jurisdiction by a State, we leave open the question whether the Fifth Amendment imposes the same restrictions on the exercise of personal jurisdiction by a federal court.”). In addition, the opinion does not reach the question whether its holding would apply to a class action. *Id.* at 1789 n.4 (Sotomayor, J., dissenting) (“The Court today does not confront the question whether its opinion here would also apply to a class action.”). Fitting this problem into the broader edifice of class-action law, we are convinced that * * * the absentees are more like nonparties, and thus there is no need to locate each and every one of them and conduct a separate personal-jurisdiction analysis of their claims.

953 F. 3d at 445–48.

As the *Mussat* opinion explains, absent class members are taken into consideration for some procedural requirements but not others. Is there a coherent explanation for when a court does or does not look beyond the named representatives in a class action? Is it sensible that each class member must have Article III standing (a jurisdictional requirement in federal court), see *TransUnion*, p. 872, *supra*, but that absent class members are not considered when a court determines if it has diversity jurisdiction or if venue is proper? Does the role of absent class members in these threshold procedural determinations depend on whether the class action is best viewed as a joinder or a representative device?

3.VENUE

NOTES AND QUESTIONS

1. When venue is based on residence, 28 U.S.C. § 1391(b)(1), does it make sense to look only at the residence of the named representative and not that of the absent class members? See 7A Wright, Miller & Kane, Federal Practice and Procedure § 1757 (4th ed.).
2. Where to locate venue was a significant threshold question in *Wal-Mart*, p. 810, supra, involving employment discrimination claims under the Title VII statute, which has a special venue provision. Plaintiffs filed their suit in the Northern District of California, and defendant countered by moving to dismiss for improper venue or, alternatively, for transfer to the Western District of Arkansas, where its headquarters is located. The district court denied the motion. Although four of the six named plaintiffs did not satisfy Title VII’s venue requirements, the court cured the defect by dismissing them from the action. *Dukes v. Wal-Mart, Inc.*, 2001 WL 1902806, *9–10 (N.D.Cal. 2001). Could the improperly venued plaintiffs rejoin the class as absent class members? Could the court have relied on a theory of pendent venue to fill the venue gap? See p. 408, Note 5, supra. In a nationwide class action, would a geographically diverse set of named plaintiffs better represent the interests of

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absent class members? See Hoffman, *How Many Plaintiffs Are Enough? Venue in Title VII Class Actions*, 42 U.Mich.J.L. Reform 843 (2009).

3. Should the named plaintiff’s choice of venue be given deference when defendant moves to transfer under 28 U.S.C. § 1404(a)? Why not? See *Roling v. E*Trade Sec., LLC*, 756 F.Supp.2d 1179, 1185 (N.D.Cal.2010); *Glass v. S & M NuTec, LLC*, 456 F.Supp.2d 498, 504 (S.D.N.Y.2006).

F. THE PRECLUSIVE EFFECT OF A CLASS ACTION JUDGMENT

COOPER V. FEDERAL RESERVE BANK OF RICHMOND
Supreme Court of the United States, 1984.
[467 U.S. 867, 104 S.Ct. 2794, 81 L.Ed.2d 718.](#)

Certiorari to the United States Court of Appeals for the Fourth Circuit.

JUSTICE STEVENS delivered the opinion of the Court.

The question to be decided is whether a judgment in a class action determining that an employer did not engage in a general pattern or practice of racial discrimination against the certified class of employees precludes a class member from maintaining a subsequent civil action alleging an individual claim of racial discrimination against the employer.

I

On March 22, 1977, the Equal Employment Opportunity Commission commenced a civil action against respondent, the Federal Reserve Bank of Richmond. * * * Respondent operates a branch in Charlotte, N.C. (the Bank), where during the years 1974–1978 it employed about 350–450 employees in several departments. The EEOC complaint alleged that the Bank was violating § 703(a) of Title VII of the Civil Rights Act of 1964 by engaging in “policies and practices” that included “failing and refusing to promote *blacks* because of race.” * * *

Six months after the EEOC filed its complaint, four individual employees * * * were allowed to intervene as plaintiffs. * * * In due course, the District Court entered an order conditionally certifying the following class pursuant to Federal Rules of Civil Procedure 23(b)(2) and (3):

“All black persons who have been employed by the defendant at its Charlotte Branch Office at any time since January 3, 1974 * * * who have been discriminated against in promotion, wages, job assignments and terms and conditions of employment because of their race.” * * *

After certifying the class, the District Court ordered that notice be published in the Charlotte newspapers and mailed to each individual member of the class. The notice described the status of the litigation, and

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plainly stated that members of the class “will be bound by the judgment or other determination” if they did not exclude themselves by sending a written notice to the Clerk. * * * Among the recipients of the notice were Phyllis Baxter and five other individuals employed by the Bank. * * * It is undisputed that these individuals—the Baxter petitioners—are members of the class represented by the intervening plaintiffs and that they made no attempt to exclude themselves from the class.

At the trial the intervening plaintiffs, as well as the Baxter petitioners, testified. The District Court found that the Bank had engaged in a pattern and practice of discrimination from 1974 through 1978 by failing to afford black employees opportunities for advancement and assignment equal to opportunities afforded white employees in pay grades 4 and 5. Except as so specified, however, the District Court found that “there does not appear to be a pattern and practice of discrimination pervasive enough for the court to order relief.” * * * Finally, the court somewhat cryptically stated that although it had an opinion about “the entitlement to relief of some of the class members who testified at trial,” it would defer decision of such matters to a further proceeding. * * *

Thereafter, on March 24, 1981, the Baxter petitioners moved to intervene, alleging that each had been denied a promotion for discriminatory reasons. * * * The District Court stated: “The court has found no proof of any classwide discrimination above grade 5 and, therefore, they are not entitled to participate in any Stage II proceedings in this case.” * * * The court added that it could “see no reason why, if any of the would be intervenors are actively interested in pursuing their claims, they cannot file a Section 1981 suit next week. . .” * * *.

A few days later the Baxter petitioners filed a separate action against the Bank alleging that each of them had been denied a promotion because of their race in violation of 42 U.S.C. § 1981. The Bank moved to dismiss the complaint on the ground that each of them was a member of the class that had been certified in the Cooper litigation, that each was employed in a grade other than 4 or 5, and that they were bound by the determination that there was no proof of any classwide discrimination above grade 5. The District Court denied the motion to dismiss, but certified its order for interlocutory appeal under 28 U.S.C. § 1292(b). The Bank’s interlocutory appeal from the order was then consolidated with the Bank’s pending appeal in the Cooper litigation.

The United States Court of Appeals for the Fourth Circuit reversed the District Court’s judgment on the merits in the Cooper litigation, concluding that (1) there was insufficient evidence to establish a pattern or practice of racial discrimination in grades 4 and 5, and (2) two of the intervening plaintiffs had not been discriminated against on account of race. *EEOC v. Federal Reserve Bank of Richmond*, 698 F.2d 633 (4th Cir.

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1983). The court further held that under the doctrine of res judicata, the judgment in the Cooper class action precluded the Baxter petitioners from maintaining their individual race discrimination claims against the Bank. The court thus reversed the order denying the Bank’s motion to dismiss in the Baxter action, and remanded for dismissal of the Baxter complaint. We granted certiorari to review that judgment * * *, and we now reverse.

II

Claims of two types were adjudicated in the Cooper litigation. First, the individual claims of each of the four intervening plaintiffs have been finally decided in the Bank’s favor. * * * Those individual decisions do not, of course, foreclose any other individual claims. Second, the class claim that the Bank followed “policies and practices” of discriminating against its employees has also been decided. * * * It is that decision on which the Court of Appeals based its res judicata analysis.

There is of course no dispute that under elementary principles of prior adjudication a judgment in a properly entertained class action is binding on class members in any subsequent litigation. * * * Basic principles of res judicata (merger and bar or claim preclusion) and collateral estoppel (issue preclusion) apply. A judgment in favor of the plaintiff class extinguishes their claim, which merges into the judgment granting relief. A judgment in favor of the defendant extinguishes the claim, barring a subsequent action on that claim. A judgment in favor of either side is conclusive in a subsequent action between them on any issue actually litigated and determined, if its determination was essential to that judgment.

III

* * *

The crucial difference between an individual’s claim of discrimination and a class action alleging a general pattern or practice of discrimination is manifest. The inquiry regarding an individual’s claim is the reason for a particular employment decision, while “at the liability stage of a pattern-or-practice trial the focus often will not be on individual hiring decisions, but on a pattern of discriminatory decisionmaking.” * * *

This distinction was critical to our holding in *General Telephone Co. of Southwest v. Falcon*, 457 U.S. 147, 102 S.Ct. 2364, 72 L.Ed.3d 740 (1982), that an individual employee’s claim that he was denied a promotion on racial grounds did not necessarily make him an adequate representative of a class composed of persons who had allegedly been refused employment for discriminatory reasons.

* * *

Falcon thus holds that the existence of a valid individual claim does not necessarily warrant the conclusion that the individual plaintiff may

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successfully maintain a class action. It is equally clear that a class plaintiff’s attempt to prove the existence of a companywide policy, or even a consistent practice within a given department, may fail even though discrimination against one or two individuals has been proved. The facts of this case illustrate the point.

The District Court found that two of the intervening plaintiffs, Cooper and Russell, had both established that they were the victims of racial discrimination but, as the Court of Appeals noted, they were employed in grades higher than grade 5 and therefore their testimony provided no support for the conclusion that there was a practice of discrimination in grades 4 and 5. * * * Given the burden of establishing a prima facie case of a pattern or practice of discrimination, it was entirely consistent for the District Court simultaneously to conclude that Cooper and Russell had valid individual claims even though it had expressly found no proof of any classwide discrimination above grade 5. It could not be more plain that the rejection of a claim of classwide discrimination does not warrant the conclusion that no member of the class could have a valid individual claim. “A racially balanced work force cannot immunize an employer from liability for

specific acts of discrimination.” *Furnco Construction Corp. v. Waters*, 438 U.S., at 579, 98 S.Ct., at 2950–2951.

* * *

The Court of Appeals was correct in generally concluding that the Baxter petitioners, as members of the class represented by the intervening plaintiffs in the Cooper litigation, are bound by the adverse judgment in that case. The court erred, however, in the preclusive effect it attached to that prior adjudication. That judgment (1) bars the class members from bringing another class action against the Bank alleging a pattern or practice of discrimination for the relevant time period and (2) precludes the class members in any other litigation with the Bank from relitigating the question whether the Bank engaged in a pattern and practice of discrimination against black employees during the relevant time period. The judgment is not, however, dispositive of the individual claims the Baxter petitioners have alleged in their separate action. Assuming they establish a prima facie case of discrimination * * *, the Bank will be required to articulate a legitimate reason for each of the challenged decisions, and if it meets that burden, the ultimate questions regarding motivation in their individual cases will be resolved by the District Court. Moreover, the prior adjudication may well prove beneficial to the Bank in the Baxter action: the determination in the Cooper action that the Bank had not engaged in a general pattern or practice of discrimination would be relevant on the issue of pretext. * * *

The Bank argues that permitting the Baxter petitioners to bring separate actions would frustrate the purposes of Rule 23. We think the

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converse is true. The class-action device was intended to establish a procedure for the adjudication of common questions of law or fact. If the Bank’s theory were adopted, it would be tantamount to requiring that every member of the class be permitted to intervene to litigate the merits of his individual claim.

* * *

The judgment of the Court of Appeals is reversed, and the case is remanded for further proceedings consistent with this opinion.
It is so ordered.

JUSTICE MARSHALL concurs in the judgment.
JUSTICE POWELL took no part in the decision of this case.

NOTES AND QUESTIONS

- 1. Conceptually, why should a class action judgment ever bind an absent member whose interests were not adequately represented in the lawsuit?
- 2.S hould a class action judgment be given collateral estoppel effect in favor of a plaintiff who elected to opt-out of the class action and filed an individual lawsuit? If allowed, wouldn’t this practice enable plaintiffs to benefit from a favorable judgment but not be barred by an unfavorable judgment—even as to the very matter determined in the class action itself? Would this undermine the opt-out procedure? See Wolff, *Preclusion in Class Action Litigation*, 105 Colum.L.Rev. 717 (2005).

G. CLASS ACTION WAIVERS

In AT&T MOBILITY LLC v. CONCEPCION, 563 U.S. 333, 131 S.Ct. 1740, 179 L.Ed.2d 742 (2011), a California telephone customer sued a telephone company for advertising free phone service when in fact sales tax of about \$30 was charged. The contract provided for arbitration of all disputes between the customer and the company and mandated that any claims be brought in an “individual capacity, and not as a plaintiff or class member in any purported class or representative proceeding.” Id. at 336, 131 S.Ct. at 1744, 179 L.Ed.2d at 749. The company moved to compel arbitration, but under a California rule the ban on class treatment was nonenforceable as an unconscionable term. The Supreme Court, five-to-four, held that the Federal Arbitration Act (“FAA”) preempted the state rule:

Although we have had little occasion to examine classwide arbitration, our decision in *Stolt-Nielson* [S.A. v. *Animalfeeds International Corp.*, 559 U.S. 662, 130 S.Ct. 1758, 176 L.Ed.2d 605 (2010)] is instructive. In that case we held that an arbitration panel exceeded its power * * * by imposing class procedures based

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on policy judgments rather than the arbitration agreement itself * * *. * * * We then held that the agreement at issue, which was silent on the question of class procedures, could not be interpreted to allow them because the “changes brought about by the shift from bilateral arbitration to class-action arbitration” are “fundamental.” * * * [Id. at 686, 130 S.Ct. at 1776, 176 L.Ed.2d at 625]. This is obvious as a structural matter: Classwide arbitration includes absent parties, necessitating additional and different procedures and involving higher stakes. Confidentiality becomes more difficult. And while it is theoretically possible to select an arbitrator with some expertise relevant to the class-certification question, arbitrators are not generally knowledgeable in the often-dominant procedural aspects of certification, such as the protection of absent parties. * * * [C]lass arbitration, to the extent it is * * * [not] consensual, is inconsistent with the FAA.
First, the switch from bilateral to class arbitration sacrifices the principal advantage of arbitration—its informality—and makes the process slower, more costly, and more likely to generate procedural morass than final judgment. “In bilateral arbitration,

parties forgo the procedural rigor and appellate review of the courts in order to realize the benefits of private dispute resolution: lower costs, greater efficiency and speed, and the ability to choose expert adjudicators to resolve specialized disputes.” * * * But before an arbitrator may decide the merits of a claim in classwide procedures, he must first decide, for example, whether the class itself may be certified, whether the named parties are sufficiently representative and typical, and how discovery for the class should be conducted. * * *

Second, class arbitration requires procedural formality. * * * If procedures are too informal, absent class members would not be bound by the arbitration. For a class-action money judgment to bind absentees in litigation, class representatives must at all times adequately represent absent class members, and absent members must be afforded notice, an opportunity to be heard, and a right to opt out of the class. * * * At least this amount of process would presumably be required for absent parties to be bound by the results of arbitration.

We find it unlikely that in passing the FAA Congress meant to leave the disposition of these procedural requirements to an arbitrator. Indeed, class arbitration was not even envisioned by Congress when it passed the FAA in 1925 * * *. * * * And it is at the very least odd to think that an arbitrator would be entrusted with ensuring that third parties’ due process rights are satisfied.

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Third, class arbitration greatly increases risks to defendants. Informal procedures do of course have a cost: The absence of multilayered review makes it more likely that errors will go uncorrected. Defendants are willing to accept the costs of these errors in arbitration, since their impact is limited to the size of individual disputes, and presumably outweighed by savings from avoiding the courts. But when damages allegedly owed to tens of thousands of potential claimants are aggregated and decided at once, the risk of an error will often become unacceptable. Faced with even a small chance of a devastating loss, defendants will be pressured into settling questionable claims. * * * Other courts have noted the risk of “in terrorem” settlements that class actions entail, * * * and class arbitration would be no different.

Arbitration is poorly suited to the higher stakes of class litigation. * * * [Section 10 of the FAA] allows a court to vacate an arbitral award only where [there was evidence of fraud, partiality, or misconduct on the part of the arbitrators]. The AAA rules do authorize judicial review of certification decisions, but this review is unlikely to have much effect given these limitations; review under § 10 focuses on misconduct rather than mistake. * * * We find it hard to believe that defendants would bet the company with no effective means of review, and even harder to believe that Congress would have intended to allow state courts to force such a decision. * * *

The Concepcions contend that because parties may and sometimes do agree to aggregation, class procedures are not necessarily incompatible with arbitration. But the same could be said about procedures that the Concepcions admit States may not superimpose on arbitration: Parties could agree to arbitrate pursuant to the Federal Rules of Civil Procedure, or pursuant to a discovery process rivaling that in litigation. Arbitration is a matter of contract, and the FAA requires courts to honor parties’ expectations. * * * But what the parties in the aforementioned examples would have agreed to is not arbitration as envisioned by the FAA, lacks its benefits, and therefore may not be required by state law.

The dissent claims that class proceedings are necessary to prosecute small-dollar claims that might otherwise slip through the legal system. * * * But States cannot require a procedure that is inconsistent with the FAA, even if it is desirable for unrelated reasons. * * *

Id. at 347–51, 131 S.Ct. at 1751–53, 179 L.Ed.2d at 756–58.

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Justice Breyer, joined by Justice Ginsburg, Justice Sotomayor, and Justice Kagan, dissented:

* * * [T]he majority highlights the disadvantages of class arbitrations, as it sees them. * * * But class proceedings have countervailing advantages. In general agreements that forbid the consolidation of claims can lead small-dollar claimants to abandon their claims rather than to litigate. * * *

What rational lawyer would have signed on to represent the Concepcions in litigation for the possibility of fees stemming from a \$30.22 claim? * * * In California’s perfectly rational view, nonclass arbitration over such sums will also sometimes have the effect of depriving claimants of their claims (say, for example, where claiming the \$30.22 were to involve filling out many forms that require technical legal knowledge or waiting at great length while a call is placed on hold). *Discover Bank* [v. *Superior Court*, 36 Cal. 4th 148, 30 Cal.Rptr.3d 76, 113 P.3d 1100 (2005),] sets forth circumstances in which the California courts believe that the terms of consumer contracts can be manipulated to insulate an agreement’s author from liability for its own frauds by “deliberately cheat[ing] large numbers of consumers out of individually small sums of money.” * * * Why is this kind of decision—weighing the pros and cons of all class proceedings alike—not California’s to make?

Id. at 365, 131 S.Ct. at 1760–61, 179 L.Ed.2d at 767.

1. One commentary has called *Concepcion* a “coup de grace” signaling the effective death of consumer class actions; indeed, the authors predicted that commercial counsel face malpractice liability if they fail to include boilerplate class action waivers in consumer contracts. See Gilles & Friedman, *After Class: Aggregate Litigation in the Wake of AT&T Mobility v. Concepcion*, 79 U.Chi.L.Rev. 623, 627, 632 (2012). Do you agree with that assessment? Are there situations when a company would prefer classwide resolution of claims? See Nagareda, *The Litigation-Arbitration Dichotomy Meets the Class Action*, 86 Notre Dame L.Rev. 1069 (2011).

2.Does *Concepcion* leave open the possibility of voiding class action waivers based on generally applicable contract defenses that do not discriminate against arbitration? On this basis, some courts have continued to invalidate waivers on individualized findings of unconscionability. See Wolff, *Is There Life After Concepcion? State Courts, State Law, and the Mandate of Arbitration*, 56 St. Louis U.L.J. 1269 (2012).

However, in *AMERICAN EXPRESS CO. v. ITALIAN COLORS RESTAURANT*, 570 U.S. 228, 133 S.Ct. 2304, 186 L.Ed.2d 417 (2013), an

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antitrust suit by merchants who use American Express cards, the Court held that a California court could not treat as unconscionable an arbitration clause that barred class proceedings. The Court rejected the argument that the clause effectively blocked plaintiffs from pursuing federal relief because the costs of individually arbitrating the claim exceeded the potential recovery.

3.Should *Concepcion*’s rationale apply to agreements that bar class actions under Rule 23? Professor Miller has commented:
This decision effectively replaces judges and juries with one-by-one arbitrators in many contexts better served by class actions or other forms of claim aggregation. As a result, powerful economic entities can impose no-class-action-arbitration clauses on people with little or no bargaining position—through adhesion contracts involving securities accounts, credit cards, mobile phones, car rentals, and many other social amenities and necessities. * * * The effect, of course, is that the vast majority of people who would comprise a judicial or arbitration class and possibly secure legal relief are not in a position to invoke their contractual “right” to arbitrate. As a result, these people remain remediless, leaving the challenged conduct undeterred.

Miller, *Simplified Pleading, Meaningful Days in Court, and Trials on the Merits: Reflections on the Deformation of Federal Procedure*, 88 N.Y.U.L.Rev. 286, 322–23 (2013).

NOTE ON CLASS ACTIONS ABROAD

The class action traditionally has been regarded as “a uniquely American procedural device.” See Sherman, *Group Litigation Under Foreign Legal Systems: Variations and Alternatives to American Class Actions*, 52 DePaul L.Rev. 401, 401 (2002). Civil law systems were presumed to be resistant to the class action. Even in common law systems, mass joinder rules, such as the English group litigation order, did not embrace representative litigation. See Rowe, *Debates over Group Litigation in Comparative Perspective: What Can We Learn from Each Other?*, 11 Duke J.Comp. & Int’l L. 157 (2001). Legal systems abroad, however, have begun to show “greater receptiveness” toward aggregate litigation, although many countries still stop short of adopting United States-style class actions:

Looking across the European landscape, one can situate within the broad rubric of “aggregate litigation” such differing procedures as Dutch collective settlement actions, English group litigation orders, German model cases in securities litigation, and Italian class actions, among other procedures. Additional moves in the offing suggest a similar openness to possible reforms in the direction of more rather than less aggregate litigation. These include major studies by the European Commission of new measures for aggregate redress in antitrust and consumer litigation and by the Civil Justice Council of England and Wales on reform of collective redress.

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Nagareda, *Aggregate Litigation Across the Atlantic and the Future of American Exceptionalism*, 62 Vand.L.Rev. 1, 4–5 (2009). In 2009, the European Union issued a directive that permits injunctions in consumer class actions. See Directive 2009/22/EC of the European Parliament and of the Council of 23 April 2009 on injunctions for the protection of consumers’ interests. Earlier, Italy had introduced a new damages class action for consumers, also permitting certain consumer associations to bring injunctive claims. See Consumer code of 2005, art. 139 and 140-bis, as amended by the laws n. 99 of July 23, 2009. Israel’s class action regime became effective in 2008, and it now has a higher rate of class action filings per capita than the United States. See Hensler, *From Sea to Shining Sea: How and Why Class Actions Are Spreading Globally*, 65 U.Kan.L.Rev. 965, 986 (2017). For other nation-specific examples, see Chase, Hershkoff, Silberman, Sorabji, Stürner, Taniguchi, & Varano, *Civil Litigation in Comparative Context*, ch. 8 (Chase & Hershkoff, eds., 2d ed. 2017).

⁵We have previously stated in this context that “[t]he commonality and typicality requirements of Rule 23(a) tend to merge. Both serve as guideposts for determining whether under the particular circumstances maintenance of a class action is economical and whether the named plaintiff’s claim and the class claims are so interrelated that the interests of the class members will be fairly and adequately protected in their absence. Those requirements therefore also tend to merge with the adequacy-of-representation requirement, although the latter requirement also raises concerns about the competency of class counsel and conflicts of interest.” *General Telephone Co. of Southwest v. Falcon*, 457 U.S. 147, 157–158, n. 13, 102 S.Ct. 2364, 72 L.Ed.2d 740 (1982). In light of our disposition of the commonality question, however, it is unnecessary to resolve whether respondents have satisfied the typicality and adequate-representation requirements of Rule 23(a).

⁶A statement in one of our prior cases, *Eisen v. Carlisle & Jacquelin*, 417 U.S. 156, 177, 94 S.Ct. 2140, 40 L.Ed.2d 732 (1974), is sometimes mistakenly cited to the contrary: “We find nothing in either the language or history of Rule 23 that gives a court any authority to conduct a preliminary inquiry into the merits of a suit in order to determine whether it may be maintained as a class action.” But in that case, the judge had conducted a preliminary inquiry into the merits of a suit * * * in order to shift the cost of notice required by Rule 23(c)(2) from the plaintiff to the defendants. To the extent the quoted statement goes beyond the permissibility of a merits inquiry for any other pretrial purpose, it is the purest dictum and is contradicted by our other cases. * * *

⁷In a pattern-or-practice case, the plaintiff tries to “establish by a preponderance of the evidence that . . . discrimination was the company’s standard operating procedure[,] the regular rather than the unusual practice.” *Teamsters v. United States*, 431 U.S. 324, 358, 97 S.Ct. 1843, 52 L.Ed.2d 396 (1977). * * * If he succeeds, that showing will support a rebuttable inference that all class members were victims of the discriminatory practice * * *.

³ The Court suggests Rule 23(a)(2) must mean more than it says. * * * If the word “questions” were taken literally, the majority asserts, plaintiffs could pass the Rule 23(a)(2) bar by “[r]eciting . . . questions” like “Do all of us plaintiffs indeed work for Wal-Mart?” * * * Sensibly read, however, the word “questions” means disputed issues, not any utterance crafted in the grammatical form of a question.

⁴ The majority purports to derive from *Teamsters v. United States* * * * a rule that a discrimination claim, if accompanied by anecdotes, must supply them in numbers proportionate to the size of the class. * * * *Teamsters* * * * instructs that statistical evidence alone may suffice * * *; that decision can hardly be said to establish a numerical floor before anecdotal evidence can be taken into account.

⁵ The Court asserts that Drogin showed only average differences at the “regional and national level” between male and female employees. * * * In fact, his regression analysis showed there were disparities *within* stores. The majority’s contention to the contrary reflects only an arcane disagreement about statistical method—which the District Court resolved in the plaintiffs’ favor. * * * Appellate review is no occasion to disturb a trial court’s handling of factual disputes of this order.

⁷ The Court places considerable weight on *General Telephone Co. of Southwest v. Falcon* * * *. That case has little relevance to the question before the Court today. There were “no common questions of law or fact” between the claims of the lead plaintiff and the applicant class. 457 U.S., at 162, 102 S.Ct. 2364 (Burger, C. J., concurring in part and dissenting in part) (emphasis added). The plaintiff-employee alleged that the defendant-employer had discriminated against him intentionally. The applicant class claims, by contrast, were “advanced under the ‘adverse impact’ theory,” *ibid.*, appropriate for facially neutral practices. * * * Here the same practices touch and concern all members of the class.

⁸ ConAgra called this a failure of “ascertainability.” We refrain from referring to “ascertainability” in this opinion because courts ascribe widely varied meanings to that term. For example, some courts use the word “ascertainability” to deny certification of classes that are not clearly or objectively defined. * * * Our court does not have its own definition. * * *

⁹ The First, Second, and Fourth Circuits have cited the Third Circuit’s administrative feasibility standard but have not actually imposed the standard in the same manner as has the Third Circuit. * * * Even the Third Circuit has cabined its administrative feasibility rule in recent cases. * * *

¹⁰ The rule is now Rule 23(c)(5).

¹¹ Our holding today is limited to those class actions which seek to bind known plaintiffs concerning claims wholly or predominately for money judgments. We intimate no view concerning other types of class action lawsuits, such as those seeking equitable relief. Nor, of course, does our discussion of personal jurisdiction address class actions where the jurisdiction is asserted against a defendant class.

CHAPTER 11

PRETRIAL DEVICES FOR OBTAINING INFORMATION: DEPOSITIONS AND DISCOVERY

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This chapter examines how parties obtain information to pursue lawsuits and to defend against them. The original Federal Rules made information broadly discoverable provided it was not privileged and was relevant to the subject matter of the dispute. Moreover, in keeping with the spirit of an adversary system that values party autonomy, the Federal Rules placed the discovery process in the litigants’ hands with little judicial oversight. As Professor Miller has commented, “Discovery was designed to let each side have access to * * * information so that the litigation playing field would be level to promote more informed settlements and trials.” Miller, *Are the Federal Courthouse Doors Closing? What’s Happened to the Federal Rules of Civil Procedure?*, 43 Tex.Tech.L.Rev. 587, 596 (2011). Amendments to the Federal Rules have subjected the discovery process to greater judicial control; now mandate the disclosure of certain types of information without a party’s request or court order; and make discoverable only information relevant to the claims and defenses—not the subject matter—when disclosure is proportional to the needs of the case. Commentators disagree whether these changes legitimately rein in discovery practices that have become exorbitant, expensive, and burdensome, or whether they needlessly impede efforts to prove meritorious claims. The rules also have been amended to account for electronic forms of information that are now a standard part of personal communication and business practice.

A. INTRODUCTION

Facts are essential to a common law system based on adversarial values:

Our adversary system for the resolution of disputes rests on the unshakable foundation that truth is the object of the system’s process which is designed for the purpose of dispensing justice. However, because no one has an exclusive insight into truth, the process depends on the adversarial presentation of evidence, precedent and custom, and argument to reasoned conclusions—

all directed with unwavering effort to what, in good faith, is believed to be true on matters material to the disposition.

U.S. v. Shaffer Equipment Co., 11 F.3d 450, 457 (4th Cir. 1993). As the Supreme Court stated almost a decade after adoption of the Federal Rules, “Mutual knowledge of all the relevant facts gathered by both parties is essential to proper litigation. To that end, either party may compel the other to disgorge whatever facts he has in his possession.” Hickman v. Taylor, 329 U.S. 495, 507, 67 S.Ct. 385, 392, 91 L.Ed. 451, 460 (1947). The original Federal Rules saw an important connection between discovery and the truth-function of litigation—in particular, the need to avoid “trial by ambush.” Klonoski v. Mahlab, 156 F.3d 255, 271 (1st Cir. 1998). Commentators also emphasize that discovery produces indirect public benefits by enabling lawsuits that encourage regulatory compliance and deter future wrongdoing. See Burbank, *Proportionality and the Social Benefits of Discovery: Out of Sight and Out of Mind?*, 34 Rev.Litig. 647 (2015).

During the 1970s discovery practice began to come under attack as critics raised concerns about the costs and burdens of litigation. See Reda, *The Cost-and-Delay Narrative in Civil Justice Reform: Its Fallacies and Functions*, 90 Or.L.Rev. 1085 (2012). For the most part, empirical studies showed that discovery “operate[d] effectively in most lawsuits.” Tobias, *The 2000 Federal Civil Rules Revisions*, 38 San Diego L.Rev. 875, 884 (2001). To the extent discovery abuse did exist, it appeared confined to complex cases that involved high stakes damage awards. See Mullenix, *The Pervasive Myth of Pervasive Discovery Abuse: The Sequel*, 39 B.C.L.Rev. 683, 684 (1998). Nevertheless, the perception of discovery practice as a “fishing expedition”—aimed at extorting unfair settlements—has persisted and has influenced changes in the Court’s approach to pleading, motions to dismiss, and summary judgment. See Thornburg, *Just Say “No Fishing”: The Lure of Metaphor*, 40 U.Mich.J.L. Reform 1 (2006).

B. FACT-GATHERING PRIOR TO FILING SUIT

The Federal Rules impose a duty on the parties and their counsel to investigate the facts before filing a lawsuit or presenting factual contentions to the court. See p. 703, Note on Federal Rule 11, *supra*. For the most part, presuit investigation takes place outside the formal discovery rules—the only exception is the limited opportunity under Federal Rule 27 to perpetuate testimony. See p. 900, *infra*.

Even in a simple case a litigant may face obstacles to obtaining critical information needed for a complaint to survive an early dismissal under Rule 12(b)(6). The problems are compounded when the claim is based on defendant’s concealment of the truth—as in a securities fraud case—or

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rests on an intent or purpose that only defendant knows—as in an employment discrimination case. As Professor Miller has explained:

Think about employment discrimination cases as an example. The plaintiff has been fired. One of the first rules of discharging someone is don’t tell the employee why he or she is being fired. If facts must be pleaded to state a claim for discriminatory discharge or failure to promote or some other nefarious practice, how can the plaintiff surmount the newly minted pleading requirement? How does the plaintiff show discriminatory conduct let alone a pattern of discrimination—whether it’s race, gender, age, or disability—without access to the history of the employer’s conduct regarding other employees? A look at the statistics of employment discrimination cases shows that in some parts of the nation they are not being instituted anymore. In a different context, how does a pleader challenge illegal or unconstitutional official action—whether by a municipal, state, or federal government employee—without deposing members of the department in which that challenged conduct took place?

Cases such as these, even when they may well have merit, are basically unmaintainable and will not be brought because the risks of loss without compensation for contingent fee lawyers are just too great.

Miller, *Are the Federal Courthouse Doors Closing? What’s Happened to the Federal Rules of Civil Procedure?*, 43 Tex.Tech.L.Rev. 587, 596–97 (2011).

Fact-gathering prior to filing suit requires creativity, resources, and diligence. Increasingly, a prospective litigant will attempt to probe publicly available sources of information—such as government data bases or agency websites—as part of a presuit investigation. See Reardon, *Note, Pleading in the Information Age*, 85 N.Y.U.L.Rev. 2170 (2010). In addition, lawyers may hire private investigators to ferret out hidden facts. See Schaller, *Secrets of the Trade: Tactical and Legal Considerations from the Trade Secret Plaintiff’s Perspective*, 29 Rev.Litig. 729 (2010). Efforts to interview key witnesses might produce a “whistleblower,” although in some situations the source will insist upon confidentiality and other evidence will be needed for corroboration. See, e.g., *Makor Issues & Rights, Ltd. v. Tellabs, Inc.*, 513 F.3d 702 (7th Cir. 2008). Court filings and consent decrees in other cases may be a source of information or lead to information that can be alleged. See, e.g., *In re National Ass’n of Music Merchants, Musical Instruments and Equipment Antitrust Litigation*, 2011 WL 3702453 (S.D.Cal. 2011); see also Garrett, *The Public Interest in Corporate Settlements*, 58 B.C.L.Rev. 1483 (2017). Counsel can file requests under the Freedom of Information Act or under state Public Records Acts. For an example of this strategy, see Carpenter, *Family Farm Advocacy and*

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Rebellious Lawyering, 24 Clinical L.Rev. 79 (2017). Finally, advocates increasingly are turning to social media to access hundreds and even thousands of strangers and “friends” who may be sources of relevant information or lead to information. See Robertson, *The Facebook Disruption: How Social Media May Transform Civil Litigation and Facilitate Access to Justice*, 65 Ark.L.Rev. 75 (2012).

Whether these forms of presuit investigation will be sufficient to allow meritorious claims to withstand a challenge under Rule 12(b)(6) remains to be seen; no study has yet fully assessed the overall effects of tightened pleading rules and reduced access to discovery. See Gelbach & Kobayashi, *The Law and Economics of Proportionality in Discovery*, 50 Ga.L.Rev. 1093 (2016). Moreover, the availability of information through presuit investigation may also depend on the effect of restrictions that bar the sharing of pertinent information, such as non-disclosure agreements contained in settlements or other contracts.

A request under Federal Rule 27 does not substitute for discovery and cannot be treated as a first step in a litigant’s presuit investigation. To the contrary, the requestor must be able to file a verified petition that sets forth specific information, as listed in Rule 27(a)(1)(A)–(E), and is filed in the district court for the district where an expected adverse party resides. What must a requestor for presuit discovery show as a condition of invoking Federal 27? Is it sufficient that evidence will be lost? Or must the requestor show that without discovery a lawsuit cannot be filed? Will a delay in bringing a lawsuit tilt in favor of a Rule 27 request?

IN RE PETITION OF SHEILA ROBERTS FORD
United States District Court, Middle District of Alabama, 1997.
[170 F.R.D. 504.](#)

THOMPSON, CHIEF JUDGE.

* * *

On November 15, 1996, Ford filed, through counsel, her petition pursuant to [Federal] Rule 27. In the petition, Ford asks “for leave to proceed with the deposition of Elmore County Sheriff Bill Franklin.” She alleges that she “expects to be a party to an action in the United States District Court for the Middle District of Alabama, Northern Division, but

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is presently unable to bring said action”; that the “anticipated action surrounds the shooting death of Fred William Roberts by law-enforcement officers of Elmore County on November 8, 1996”; that she “is the Administratrix of the Estate of Fred William Roberts”; that she “intends to establish who the appropriate party defendants to the anticipated action are through the testimony of Elmore County Sheriff Bill Franklin”; that she “is unable to determine the appropriate party defendants and the basic facts surrounding the death of Fred William Roberts without the testimony of Sheriff Franklin” and “needs to establish an accurate account of the events that took place . . . before the memories of those involved fade or become dist[or]ted by publicity”; and that she is “requesting the deposition of . . . Franklin” because he “was the commanding officer of the Elmore County deputies believed to be involved in the shooting of . . . Roberts” and he “is expected to identify the facts involved in Mr. Roberts’ shooting death as well as the identity of the law enforcement officers involved.” Ford also gave the names, addresses, and descriptions of the persons she expected to be adverse parties.

* * *

A hearing was held on the petition on December 13. At the hearing, Sheriff Franklin appeared through counsel and stated that he opposed the petition because it was not authorized by Rule 27. Ford responded by reaffirming that she needed to take Sheriff Franklin’s deposition in order “to determine . . . the basic facts surrounding the death of Fred William Roberts.” Without this information, she said, she could not determine whom to sue. She did not know whether Sheriff Franklin or one of his deputies shot Roberts and whether the shooting was justified.

* * *

Admittedly, Ford * * * asserts in her petition a desire to preserve testimony; she states that she “needs to establish an accurate account of the events that took place . . . before the memories of those involved fade or become dist[or]ted by publicity.” This reason is not credible, however. Ford can do this by simply filing suit today. She presented no evidence that Sheriff Franklin’s testimony is in imminent danger of being lost because he is gravely ill or about to leave the country. Ford therefore wishes only to discover or uncover what happened on November 8. The simple question for the court is whether Rule 27 authorizes such relief.

* * * [T]he first and obvious place to look to determine whether Rule 27 authorizes pre-complaint discovery is the language of the rule itself. If the language of the rule is unambiguous and dispositive and is reasonable within its context, then the court should go no further and simply should enforce the language. Here, Rule 27 meets this straightforward test.

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Subsection (a)(1) of Rule 27 provides, as stated, that “A person who desires to *perpetuate* testimony regarding any matter that may be cognizable in any court of the United States may file a verified petition.” (Emphasis added.) Subsection (a)(3) then provides that an order allowing examination may be entered only “If the court is satisfied that the *perpetuation* of the testimony may prevent a failure or delay of justice.” (Emphasis added.)^a Rule 27’s coverage therefore extends only to the “perpetuation” of testimony. The term “perpetuate” is defined as “to make perpetual,” “preserve from extinction,” or “cause to last indefinitely.” Webster’s Third International Dictionary, unabridged 1685 (1976); see also Black’s Law Dictionary 1027 (5th ed. 1979) (“perpetuating testimony” is a “means . . . for *preserving* the testimony of witness, which might otherwise be lost before the trial in which it is intended to be used”) (emphasis added). Here, Ford seeks to discover or uncover testimony, not to perpetuate it. She seeks pre-complaint discovery of evidence, not pre-complaint perpetuation of it. There is nothing before the court to indicate that Sheriff Franklin’s testimony is in imminent danger of being lost. Rather, Ford simply wants to know who shot Roberts and why. Rule 27 simply does not provide for such discovery.

* * *

Ford also argues that Rule 27 should be read in conjunction with Rule 11 * * *. The problem, however, is that Rule 27 is not a vehicle for compliance with Rule 11. As stated, the language in Rule 27 is clear that the rule authorizes the perpetuation of evidence, not the discovery or uncovering of it. * * *

The court is not without sympathy for Ford. She is understandingly deeply troubled by and concerned about the shooting death of her father. If a law enforcement officer was at fault she desires to have him or her held accountable in a court of law. But, under Rule 11, she cannot file suit against any one without first having uncovered some “evidentiary support” for holding the person liable or having obtained some preliminary evidence that there is likely to be some “evidentiary support after a reasonable opportunity for further investigation or discovery.”^b Similarly, the defense of qualified immunity protects law enforcement officials from federal suit in the absence of detailed factual allegations of a violation of a clearly established federal right. * * * However, without the discovery incident to litigation, Ford is without the means to uncover whether her father was a victim of foul play in violation of a clearly established federal right. Her predicament is a “Catch 22.” Indeed, she must feel that, under the rules established by our civil justice system, a law enforcement officer can get

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away with murder. This court has no answer for her, however, other than that Rule 27 does not offer an avenue of relief.
* * *

It is further ORDERED that costs are taxed against petitioner Ford, for which execution may issue.

NOTES AND QUESTIONS

1. The Southern District of New York has put forward a three-part test for invoking Rule 27 discovery:
In order to prevail on their Rule 27 petition, the petitioners must satisfy three elements. First, they must furnish a focused explanation of what they anticipate any testimony would demonstrate. Such testimony cannot be used to discover evidence for the purpose of filing a complaint. Second, they must establish in good faith that they expect to bring an action cognizable in federal court, but are presently unable to bring it or cause it to be brought. Third, petitioners must make an objective showing that without a Rule 27 hearing, known testimony would otherwise be lost, concealed or destroyed.
In re Petition of Allegretti, 229 F.R.D. 93, 96 (S.D.N.Y. 2005). In Penn Mut. Life Ins. Co. v. U.S., 68 F.3d 1371 (D.C.Cir. 1995), the appellate court found that presuit discovery was warranted when a potential witness’s advanced age presented a significant risk that he would be unavailable to testify at a trial. However, the court denied discovery when the potential witness simply had retired from his job and might forget information.
2. Presuit discovery is available in some states either by rule or through an equitable action for a bill of discovery. See Dodson, *Federal Pleading and State Presuit Discovery*, 14 Lewis & Clark L.Rev. 43 (2010) (collecting examples). Is it significant that some states condition the filing of a medical malpractice claim on presuit discovery, anticipating that early fact gathering will deter the filing of meritless claims? See Florida Hosp. Waterman v. Stoll, 855 So.2d 271 (Fla.App. 2003).
3. Should Rule 27 be amended to allow presuit discovery when facts are needed to frame a complaint? Some studies suggest that even meritorious claims may be cut off at the Rule 12(b)(6) stage and not make it to discovery. See Reinert, *The Costs of Heightened Pleading*, 86 Ind.L.J. 119 (2011). In response, presuit discovery has been proposed as a way to overcome information deficits. Dodson, *New Pleading, New Discovery*, 109 Mich.L.Rev. 53, 74 (2010). To avoid abuse, what kind of showing ought to be required? See Hoffman, *Using Presuit Discovery to Overcome Barriers to the Courthouse*, 34 Litigation 31 (2008). A potential model is the Texas presuit discovery rule which permits a presuit deposition in order to “investigate a potential claim or suit.” Tex.R.Civ.P. 202.1(a)–(b); see In re Reed, 2016 WL 5660421 (S.D.Tex. 2016).

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C. THE SCOPE OF DISCOVERY: RELEVANCE AND PROPORTIONALITY

Discovery helps to preserve relevant information that might not be available at trial. The earliest discovery procedures in the federal courts were designed primarily for this purpose. See *Developments in the Law—Discovery*, 74 Harv.L.Rev. 940, 949 (1961). Discovery also helps to isolate those issues that actually are in controversy between the parties. In addition, discovery serves important public purposes. Discovery promotes transparency by uncovering information about government and business practices that may be illegal, and potentially makes that information available to a broader set of individuals than just the parties to the suit. See *City of Greenville, Ill. v. Syngenta Crop Protection, LLC*, 764 F.3d 695 (7th Cir. 2014). Discovery also promotes the work of “private attorneys general” who, through private litigation, help to enforce the law and deter wrongdoing. See Carrington, *Renovating Discovery*, 49 Ala.L.Rev. 51, 54 (1997).

Once a lawsuit has commenced, the Federal Rules enable the parties to obtain information from each other and from third parties, but generally discovery cannot begin until the parties have conferred and devised a discovery plan. See Rule 26(f). Drafting a discovery plan requires cooperation, strategic thinking, and attention to the multi-faceted aspects of the discovery process, each of which is discussed in this chapter:

- (1) The permissible scope of discovery in terms of the governing concepts of relevance and proportionality;
- (2) The discovery schedule, the possibility of expedition, the timing of automatic disclosure, and the duty of

- supplementation;
- (3)The availability and utility of different discovery devices, including the use of experts, and the limits that the Rules place on discovery requests that are cumulative or redundant and that may involve thousands of items of electronically stored information;
- (4)The role of evidentiary privileges that protect information from disclosure, even if relevant and proportional to the needs of the case;
- (5)The procedures for objecting to discovery requests or compelling discovery responses, and the power of the court to regulate the discovery process and to sanction parties who do not cooperate, do not provide required supplementation, or cause undue burden or expense; and

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- (6)The scope of the parties’ autonomy to disclose, and retain, information under seal or otherwise to keep information revealed during the litigation from public view.

Read Federal Rule of Civil Procedure 26(b)(1) in the Supplement.

FASSETT V. SEARS HOLDINGS CORP.
United States District Court, Middle District of Pennsylvania, 2017.
[319 F.R.D. 143.](#)

BRANN, UNITED STATES DISTRICT JUDGE.

Some personal injury cases spring from highly questionable circumstances, and others from undeniably life-altering events. Setting aside ultimate questions of liability and damages, this litigation is tragically one of the latter. When Plaintiff Daniel Fassett heard sputtering sounds emitting from his lawnmower, he attempted to relieve the pressure in its fuel tank by loosening the cap. As he did so, gasoline sprayed from the machine onto his body, igniting in flames. Mr. Fassett sustained serious injuries and shortly thereafter initiated this products liability action.

Although the litigation has progressed in a timely fashion since its inception in May 2015, the parties have recently reached a rather technical impasse. That quandary involves, among other questions, the extent to which material about alternative fuel cap designs and distinct lawnmower layouts may be discoverable. In other words, the parties have struggled to define the outer bounds of discovery in this case: what, if anything, can be discovered about parts or mowers not involved in the subject fire? By presenting such a question, this dispute necessarily calls upon the Court to apply the proportionality provision of recently amended Federal Rule * * * 26 to the case’s technologically nuanced facts.

* * * I hold that in a products liability suit such as this one * * * material corresponding to alternative designs or components that exhibit significant similarities to the design or component at issue should be discoverable in the greatest quantities and for the most varied purposes; however, material corresponding to alternative designs or components that share less in common with the contested design or component should be incrementally less discoverable—and for more limited purposes—as those similarities diminish.

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“To determine the scope of discoverable information under Rule 26(b)(1), the Court looks initially to the pleadings.” * * *

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* * * From the outset, I note that the Court is mindful of Defendants’ concerns about the mounting expense of unbridled discovery. Nevertheless, I cannot agree with the threshold assertion that what is discoverable is strictly limited to material that is ultimately relevant or otherwise admissible. As the parties well know, Rule 26(b)(1) envisions a broader universe of discoverable material than that. It makes clear, for instance, that “[i]nformation within this scope of discovery need not be admissible in evidence to be discoverable.”

At the same time, however, “[t]his concept of relevance is tempered . . . by principles of proportionality.” * * *

* * *

Considering the factors set forth at Rule 26(b)(1), the parties’ access to relevant information is undeniably lop-sided in this case: Defendants are repeat players in this genre of litigation, and they consequently enjoy the benefits of sweeping protective orders. * * * On the other hand, the Plaintiffs lack nearly all avenues other than judicially-sanctioned ones to obtain the requisite records that rest in Defendants’ possession.

Moreover, the importance of the issues at stake in the litigation militates slightly in Plaintiffs’ favor. Although this is not a case involving, for instance, constitutional rights or matters of national significance, to these particular litigants, it is a matter of grave import.

Further, its outcome may impact the marketability of a widely sold piece of home machinery or some of its components.

Just as important, I believe that the utility of the proposed discovery outweighs its attendant expenses. Certainly, the Defendants can readily produce electronically stored records relevant to the aforementioned models and can engage in a good faith effort to gather whatever data might not have been documented electronically. In the same vein, I am confident that production of the requested material will bear directly upon resolution of the [core] issues in this case. It may also clarify any lingering issues as to the most appropriate defendants.

Turning now to Rule 26(b)(1)’s application in product liability cases, the Plaintiffs here allege negligence and strict liability claims, two theories whose proof necessarily entails such questions as: what the Defendants knew or foresaw * * *; what safety tests they conducted * * *; and what designs they considered. * * *

The touchstone used to distinguish discoverable inputs from others in products liability cases was set forth in *Fine v. Facet Aerospace Prods. Co.*, 133 F.R.D. 439 (S.D.N.Y. 1990) * * *. The *Fine* decision outlined the following test:

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In product liability actions it is frequently difficult to judge which of a manufacturer’s products are sufficiently similar to the allegedly defective product to be subject to discovery. Generally, different models of a product will be relevant if they share with the accident-causing model those characteristics pertinent to the legal issues raised in the litigation. For example, where a plaintiff alleged that three-wheel all-terrain vehicles are inherently unstable, he was entitled to discovery with respect to each of the manufacturer’s models. * * * Similarly, an injured party who contended that the redesigned motor mounts that had failed in his vehicle had not eliminated the defects of earlier models was granted discovery concerning the predecessor versions. * * * Finally, a plaintiff arguing that the left front spring main leaf on his vehicle failed could obtain discovery regarding all types of vehicles with that component, not merely the identical model. * * *

Id. at 441.

Moreover, the *Fine* court explained that “a plaintiff who raises a design defect claim is entitled to broader discovery than, for example, if the claim were solely one of negligent manufacture,” so long as the requested materials “are truly alternatives and that they are potentially safer.” * * * This does not require the moving party to prove its case on the merits at the discovery stage. * * * Instead, this threshold showing might be satisfied by, for example, the affidavit of an expert in engineering. * * *

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* * * Although the hallmark factor in my analysis is the extent to which the sought-after discovery shared those relevant characteristics with the accident-causing component, I also weighed several additional factors in arriving at what I determined was the appropriate scope of discovery. * * *¹

The first factor—the extent to which the contested discovery can achieve the same functionality as the accident-causing part—speaks, in many ways, directly to the core issue here. In particular, [defendant] contends that the only type of gas cap design about which the Plaintiffs may discover information is the open design, because that is the cap design used on Mr. Fassett’s lawnmower. Although not outlandish, that suggestion is likely overly restrictive. “[A] party should not be limited by its opponent’s theory of the case in determining what is discoverable.” * * *

Of great weight is the deposition testimony of Michael J. Holtz, a corporate designee and the gas cap’s product design and engineering

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manager. * * * In addition to the open style vent cap, Mr. Holtz identified three other variations: the screw vent cap, the duckbill cap, and the covered vent cap. * * * Although the three variations are distinguishable from an open vent cap in that they possess different structural designs, all of these caps could function at a partly open setting. * * * In fact, Mr. Holtz testified that each cap was designed to be placed on an open setting while the lawnmower was activated, but closed while it was shut off and being transported. * * *

The second factor that I considered was the extent to which the contested discovery could be safety tested using the same procedures and standards as would be used for the accident-causing part. That was true here, and in my view, that fact goes a long way in making the test results as to all of those design caps discoverable. As the reasoning goes, testing using the same protocol makes the results comparable and therefore relevant to such issues as the existence of a safer alternative design and the Defendants’ prior knowledge. * * * This protocol could be applied to all free venting caps, including screw, closed, and duckbill designs.

The third factor I considered was whether, compared with the accident-causing part, the contested discovery was an interchangeable component or a distinct system. As to the discovery sought from [defendant], the requested discovery materials are components that could be easily interchanged with the accident-causing parts. Their use on the accident-causing model would not require, for instance, wholesale refurbishing of the entire lawnmower or total replacement of its fuel unit. Barring some surface-level adjustments, distinct fuel cap designs can easily be substituted. This factor is highly relevant in cases such as these: if the various components are readily interchangeable, then the cost of exchanging dangerous parts with safer ones is comparatively low.

The final factor that I evaluated was the extent to which the moving party supported its technical assertions with testimony by a

witness who possesses adequate knowledge of the design, development, and functionality of the contested components. Again, as to [these] * * * requests, the considerations underlying that factor have been satisfied as by Plaintiffs’ citations to the deposition testimony of Michael J. Holtz, a corporate designee and the gas cap’s product design and engineering manager.

* * *

Because application of all of the aforementioned factors reveals that warranty information, testing data, and any other materials evidencing over-pressurization or geysering corresponding to each of the enumerated free venting caps designs (open, screw, covered, and duckbill) are relevant to a number of Plaintiffs’ theories, those materials are discoverable so long as they are not work product. * * *

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My conclusion is different, however insofar as Plaintiffs’ requests for claims and other litigation material in all cases involving every variety of the free venting cap. “In products liability cases evidence of prior accidents involving the same product under similar circumstances is admissible to show notice to the defendant of the danger, to show existence of the danger, and to show the cause of the accident.” * * * That being said, “[t]he almost universal requirement, however, is that the prior occurrence must involve facts and circumstances which are substantially similar to those involved in the case under consideration or they will be excluded.” * * *

At a superficial level, it appears that all of the contested cap designs could be characterized generally as “free venting caps” because they contain a specified orifice that allows air to permeate them in some fashion or another. * * * Nevertheless, based upon Mr. Holtz’s characterization of the different cap designs, the screw and covered vent caps appear most like the open vent cap in design and operation, with the duckbill being the most distinct as a consequence of its unique shaping. The notion that information relating to all prior free venting claims is discoverable because all of those accidents involved failed venting is much too high a level of abstraction.

As for screw, covered, and duckbill caps, the differences in design and what tend to be the distinct factual circumstances render them beyond the scope of discovery. Specifically, each prior claim is capable of differing on a number of grounds: the age and prior history of the lawnmower; whether the lawnmower was a riding or push unit; the period of time for which [the] lawnmower had been running on the date of the accident; the atmospheric conditions at the site of the accident; and the varied actions of the accident victims. * * *

* * * Plaintiffs have not met their burden of showing substantial similarity as to the accidents involving these other designs. * * *

I consider this outcome to be an amenable compromise between the two overbroad and underinclusive proposals that have been presented. So often, discovery is not properly construed as an all-or-nothing game. Rather, it is a means for uncovering truth—the strengths and weaknesses of one’s case—rationally bounded by efficiency and cost concerns. It is that dynamic that makes discovery a trade-off between knowledge and expenditure. The district court’s role under Rule 26, then, is to discern that middle ground between two countervailing pressures, the optimal solution to the information-cost equations. * * *

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Another issue central to this discussion is the proper temporal scope of discovery. In particular, Plaintiffs’ proposed order seeking discovery from [defendant] requests discovery from as early as 1970. Mr. Fassett purchased the subject lawnmower on or around March 2, 2007, * * * and

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the Defendants approximate that this particular mower was manufactured between February 16, 2005 and June 29, 2005. * * * As such, requiring the production of documents dating back to the 1970s would appear excessive in comparison with the needs of the case.

* * * Though the appropriate bounds will vary depending on the specific circumstances of each case, courts in this Circuit have often taken the default position of limiting discovery to no earlier than five years from the date on which the allegedly tortious conduct occurred. * * *

I find this tendency to follow the so-called “five-year rule” instructive, though I would modify it slightly for its application in the products liability setting. In regard to such lawsuits where a defendant is alleged to have knowingly designed, manufactured, or sold a defective product when safer, feasible alternatives existed, I hold that the temporal bounds of discoveries should be set not from the date of the accident but from the time period during which the product was manufactured and sold.

* * * [T]he tortious conduct is more properly construed as having occurred at the point of defective manufacture, design, or sale than at the point of injury. Further, a plaintiff should be able to gather information regarding a defendant’s decision-making process, as the propriety of that risk-utility analysis occupies the core of such disputes. * * *

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NOTES AND QUESTIONS

1.The Federal Rules do not define “relevance,” and courts tend to look to Federal Rule of Evidence 401 for guidance: “Evidence is relevant if: (a) it has any tendency to make a fact more or less probable than it would be without the evidence; and (b) the fact is of consequence in determining the action.” *Mora v. Zeta Interactive Corp.*, 2017 WL 118771, *3 (E.D.N.Y. 2017). Relevant information is discoverable under Rule 26(b)(1) even if it would not be admissible in evidence at trial. An amendment to the rule in 2015 underscores that inadmissible evidence is discoverable, provided it is

relevant, proportional, and not privileged. See *In re Bard IVC Filters Products Liability Litigation*, 317 F.R.D. 562, 563–64 (D.Ariz. 2016).

For example, in *Eramo v. Rolling Stone LLC*, 314 F.R.D. 205, 210 (W.D.Va. 2016), a university official brought a defamation action against a student who was the subject of a highly publicized magazine article discussing gang rape at a fraternity house. Plaintiff sought to discover information about the student’s communications with the magazine and various other university officials. The district court rejected the argument that the information sought was not discoverable because Evidence Rule 412 limits the admissibility of evidence about sexual behavior by a victim of alleged sexual misconduct:

[Plaintiff] asserts that Rule 412 is not implicated because the evidence sought will not be offered to prove that [the student]

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engaged in other sexual behavior or her sexual predisposition. Instead, [plaintiff] contends that the documents in [the student’s] possession concern the alleged sexual assault that was the focus of the Article.

* * * [T]he court agrees that Rule 412 governs the admissibility of evidence at trial, and that relevance is not equivalent to admissibility. In fact, the Advisory Committee Notes to the 1994 amendments to Rule 412 are quite explicit in this respect. * * * [T]he proper inquiry at this juncture is whether the information sought from [the student] is discoverable, keeping in mind relevance, proportionality, and [the student’s] interests in assuring confidentiality and preventing unwarranted inquiries into her sexual conduct.

2. Prior to 2015, Rule 26(b)(1) set forth a two-tier approach to the discoverability of relevant information. The first tier defined relevance with respect to any claim or defense of a party, and information was discoverable without a court order. The second tier defined relevance with respect to the subject matter of the dispute, and disclosure required a court order upon a showing of good cause. The two-tier approach, adopted in 2000, replaced earlier language that had allowed discovery, without a court order, of information relevant to the subject matter of the dispute. The 2015 amendment eliminated any reference to subject-matter discovery and the court no longer has discretion to order disclosure of such information. However, the Advisory Committee Note to the 2015 amendment states that the rule change does not foreclose discovery of information “not directly pertinent to the incident” as the Advisory Committee had explained when it adopted the two-tier approach in 2000.

Thus, for example, *O’GARA v. EQUIFAX INFORMATION SERVICES, LLC*, 2018 WL 51335, *9 (S.D.IND. 2018), INVOLVED CLAIMS UNDER THE FAIR CREDIT REPORTING ACT. PLAINTIFF ALLEGED THAT DEFENDANT USED A MATCHING SYSTEM THAT WRONGLY ATTRIBUTED HIS FATHER’S TAX ARREARS TO HIM, AND THAT AS A RESULT HE WAS DENIED CREDIT. BY INTERROGATORY, PLAINTIFF SOUGHT INFORMATION ABOUT THE NUMBER OF CREDIT DISPUTES DEFENDANT HAD INVESTIGATED AS A RESULT OF “MIXED” FILES. THE DISTRICT COURT REJECTED DEFENDANT’S OBJECTION THAT THE INFORMATION WAS NOT RELEVANT TO THE CLAIMS AND DEFENSES; TO THE CONTRARY, RELEVANCE WAS ESTABLISHED BECAUSE THE INFORMATION SOUGHT WAS ABOUT “INCIDENTS OF THE SAME TYPE.” DID THE DISTRICT COURT IN *FASSETT*, P. 905, SUPRA, ADOPT A SIMILAR APPROACH?

3. Some district courts have held that under the 2015 version of Rule 26(b)(1), “[r]elevance is still to be ‘construed broadly to encompass any matter that bears on, or that reasonably could lead to other matter that could bear on’ any party’s claim or defense.” *State Farm Mutual Auto. Ins. Co. v. Fayda*, 2015 WL 871037, *2 (S.D.N.Y. 2015), quoting *Oppenheimer Fund, Inc. v. Sanders*, 437 U.S. 340, 351, 98 S.Ct. 2380, 2389, 57 L.Ed.2d 253, 265 (1978). Other district courts have rejected this reading, arguing that it mistakenly equates relevance with subject-matter discovery. See *Cole’s Wexford Hotel, Inc. v.*

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Highmark Inc., 209 F.Supp.3d 810 (W.D.Pa. 2016). Given these conflicting interpretations, would the information requested in the following fact patterns be discoverable as relevant to the subject matter?

(a) The complaint alleges a hostile work environment, constructive discharge, and retaliation. Defendant, plaintiff’s employer, seeks plaintiff’s prior employment records. See *Queen v. City of Bowling Green*, 2017 WL 4355689 (W.D.Ky. 2017).

(b) The complaint alleges an insurance company’s failure to pay long-term disability benefits under a pension plan regulated by the Employee Retirement Income Security Act of 1974. Plaintiff seeks information about the insurer’s policy and methods used to determine compensation for the claims specialists who handled plaintiff’s claim and the procedures used to monitor claims payments. See *Curtis v. Metropolitan Life Insurance Co.*, 2016 WL 687164 (N.D.Tex. 2016).

(c) The complaint alleges that the city and a city police officer violated Fourth Amendment rights by using excessive force when arresting plaintiff. Defendants seek records of paramedic care provided to the arrestee on the day of the arrest. See *Booth v. City of Dallas*, 312 F.R.D. 427 (N.D.Tex. 2015).

4. Even if information is relevant, it is discoverable only if disclosure is proportional to the needs of the case in light of the factors set forth in Rule 26(b)(1). The proportionality factors trace back to the 1983 amendments to the Federal Rules, which, at the time, were regarded by the Reporter to the Advisory Committee that recommended the change as a “180-degree shift” in discovery philosophy. See *Miller*, The August 1983 Amendments to the Federal Rules of Civil Procedure 33 (Federal Judicial Center 1984). Amendments adopted in 2006 extended the principle of proportionality to electronic discovery. See *Judicial Conference Committee of the United States, Summary Report of the Judicial Conference Committee on Rules of Practice and Procedure 30–31* (2005). The 2015 amendment essentially moved the proportionality factors from a separate provision in Rule 26(b) to its current place.

The Advisory Committee Notes to the 2015 amendment emphasize that the relocation of the proportionality factors to Rule 26(b)(1) “does not

change the existing responsibilities of the court and the parties to consider proportionality, and the change does not place on the party seeking discovery the burden of addressing all proportionality considerations.” However, an empirical analysis of the courts’ application of proportionality factors during the period prior to and after the 2015 amendment found that the relocation of the requirement “may have fostered real change”; the study reports that “parties and courts are applying proportionality more than four times more frequently than before the amendment, and that courts are narrowing discovery on proportionality grounds more than four times more frequently

post-amendment.” Baicker-McKee, *Mountain or Molehill?*, 55 Duq.L.Rev. 307, 313 (2017).

5. In *MARRESE v. AMERICAN ACADEMY OF ORTHOPAEDIC SURGEONS*, 726 F.2d 1150 (7th Cir. 1984), reversed on other grounds, 470 U.S. 373, 105 S.Ct. 1327, 84 L.Ed.2d 274 (1985), two orthopedic surgeons initially sued in state court alleging that they were refused membership in the Academy without a hearing. Although membership in the Academy is not necessary to practice as an orthopedic surgeon, it was alleged to confer some degree of professional advantage. Finding membership in the Academy was not an “economic necessity,” the state court dismissed the complaint on the ground that no valid state law claim was stated. Plaintiffs then sued in federal court, alleging violations of the antitrust laws. In the course of discovery, plaintiffs demanded that the Academy produce correspondence and other documents relating to denials of membership applications between 1970 and 1980. The court ordered the Academy to produce the documents pursuant to an order protecting their confidentiality. The Academy refused to comply with the order, was held in criminal contempt, and was fined \$10,000. It appealed, and the Seventh Circuit reversed with directions to dismiss the contempt proceedings. Among other things, the appellate court held that the protective order did not adequately protect the privacy interests of the Academy’s members, and that the court could have fashioned discovery in a way that “prevented the plaintiffs from abusing the discovery process, without denying them any information essential to developing their case.” *Id.* at 1162.

* * * [T]here were various devices that the district judge could have used to reconcile the parties’ competing needs. For example, he could have examined the membership files himself in camera, a procedure described by the Supreme Court in a related context as “a relatively costless and eminently worthwhile method to insure that the balance between petitioners’ claims of irrelevance and privilege and plaintiffs’ asserted need for the documents is correctly struck.” *Kerr v. United States District Court*, 426 U.S. 394, 405, 96 S.Ct. 2119, 2125, 48 L.Ed.2d 725 (1976). We are told the membership files may be voluminous. No doubt the files in all cases between 1970 and 1980 where applications for membership in the Academy were refused are voluminous, but the place to start an in camera examination would be with the files on Drs. Marrese and Treister. If the judge found no evidence in those files of any anticompetitive purpose attributable to the Academy, he would not have to look at any other files. This is not a class action; the plaintiffs are not suing as the representatives of other orthopedic surgeons who have been denied membership in the Academy.

Better yet, the judge might have followed the procedure discussed in this court’s recent decision in *EEOC v. University of Notre Dame Du Lac*, 715 F.2d 331, 338–39 (7th Cir. 1983). There we ordered the files of faculty tenure deliberations edited (“redacted”) to remove the names of the deliberating faculty members and any other information

that might enable them to be identified, and we directed that on remand the redaction be reviewed in camera by the district judge, who would have the originals before him to compare with (and thereby assure the accuracy of) the redactions. Had the same procedure been followed here, the plaintiffs’ counsel would have been able to read the files personally. If the files had turned out to contain evidence or leads to evidence of anticompetitive conduct, the plaintiffs’ counsel could then have requested the judge to order names revealed to counsel so that the relevant individuals could be deposed.

Id. at 1160. How would the discovery dispute be decided under the proportionality factors in the 2015 version of Rule 26(b)(1)?

D. PLANNING FOR DISCOVERY

Read Federal Rule of Civil Procedure 26(f) in the Supplement.

1.THE DUTY TO CONFER AND PLAN DISCOVERY

The Federal Rules have been amended a number of times to encourage party cooperation and to impose judicial oversight on the discovery process. Currently the parties are obliged “to confer as soon as practicable” after the commencement of the suit—and at least 21 days before a Rule 16(b) scheduling conference—to devise a discovery plan. Rule 26(f)(1). The discovery plan is to include the “views and proposals” of the parties concerning the range of proposed discovery requests, including issues of automatic disclosure, privilege, electronic information, and the schedule for production. The plan must be in writing and submitted to the court within 14 days of the discovery conference. Rule 26(f)(3).

The discovery conference was introduced in 1980, but at the time was not considered a routine procedure. Three years later, Rule 16 was amended to encourage district courts to schedule early pretrial conferences and to issue scheduling orders to control discovery. In 1993, Rule 26(f) was amended to require the parties to meet to arrange for automatic disclosures and to develop a discovery plan to be presented to the court prior to the Rule 16 scheduling order. Courts were given discretion to issue standing orders that exempted all, or

certain types of cases, from the Rule 26(f) requirements. In 2000, Rule 26(f) again was amended. First, the amendment eliminated the need for the parties to “meet,” instead allowing them to “confer” to avoid logistical problems that sometimes sent litigants to court for relief. While conferring, the parties are expected to explore settlement and other possibilities for expeditious resolution. Second, the

amendment eliminated standing exemption orders but retained judicial discretion to exempt or alter requirements on a case-by-case basis.

As one district court has observed, “[T]he cooperation that is necessary * * * enhances the legitimate goals of the adversary system, by facilitating discovery of the facts needed to support the claims and defenses that have been raised, at a lesser cost, and expediting the time when the case may be resolved on its merits, or settled.” *Mancia v. Mayflower Textile Servs. Co.*, 253 F.R.D. 354, 365 (D.Md. 2008). The *Mancia* court, like some other district courts, urged the parties to be cooperative and drew attention to the Sedona Conference’s “Cooperation Proclamation.” The Sedona Conference, a non-profit, educational research institute, “propose[d] to develop ‘a detailed understanding and full articulation of the issues and changes needed to obtain cooperative fact-finding,’ as well as ‘[d]evelop[] and distribut[e] practical “toolkits” to train and support lawyers, judges, other professionals, and students in techniques of discovery cooperation, collaboration, and transparency.’ ” *Id.* at 363. For a discussion of the “Cooperation Proclamation” by an experienced Magistrate Judge, see Waxse, *Cooperation—What Is It and Why Do It?*, 18 Richmond J.L. & Tech. 8 (2012). Courts also look to Rule 1, which was amended in 2015 to emphasize the role of parties, as a basis for the duty to cooperate. See *Hyatt v. Rock*, 2016 WL 6820378, *2 (N.D.N.Y. 2016).

2.EXPEDITED DISCOVERY BEFORE THE DISCOVERY PLAN

STRIKE 3 HOLDINGS, LLC v. DOE, SUBSCRIBER ASSIGNED IP ADDRESS 108.51.209.163

United States District Court, District of Columbia, 2018.
[2018 WL 385418.](#)

KELLY, UNITED STATES DISTRICT JUDGE.

* * *

I.FACTUAL BACKGROUND

Plaintiff Strike 3 Holdings, LLC owns the rights to certain adult entertainment films. * * * Plaintiff alleges that Defendant, currently identified as John Doe subscriber assigned IP address 108.51.209.163, has been downloading and distributing these films * * * in violation of the Copyright Act * * *. Plaintiff further alleges that it used geolocation technology to trace the IP address used by Defendant to a physical address in the District of Columbia. * * *

Plaintiff has moved for leave to file a third-party subpoena on Defendant’s internet service provider (“ISP”) to “learn Defendant’s identity, investigate Defendant’s role in the infringement, and effectuate

service.” * * * Plaintiff asserts that the subpoena “will only demand the true name and address of Defendant” and that the information will only be used to prosecute claims in its complaint. * * *

II.LEGAL STANDARD

A party ordinarily “may not seek discovery from any source” prior to a conference under Rule 26(f) unless “authorized . . . by court order.” Fed. R. Civ. P. 26(d)(1). “To determine whether to authorize discovery prior to a Rule 26(f) conference in a particular case, this district has applied a ‘good cause’ standard. * * * “Good cause to take discovery prior to the Rule 26(f) conference exists where the discovery is necessary ‘before th[e] suit can progress further.’ ” * * *

A plaintiff also “must ‘have at least a good faith belief that such discovery will enable it to show that the court has personal jurisdiction over the defendant[s].’ ” * * *

III.ANALYSIS

Plaintiff has satisfied the good cause standard to serve discovery prior to a Rule 26(f) conference. As an initial matter, “this suit cannot move forward without Plaintiff first being able to identify Defendant so that service can be effected.” * * * According to a declaration provided by Plaintiff, Defendant’s internet service provider is the only entity that can identify Defendant by correlating the IP address that has been linked to the alleged infringement with its subscriber. * * *

Plaintiff has also established a good faith belief that this Court has personal jurisdiction over Defendant. Plaintiff used geolocation technology to trace Defendant’s IP address to a physical location within the District of Columbia. * * * The D.C. Circuit “has suggested that reliance on ‘geolocation services’ of this sort is sufficient to justify a ‘good faith belief’ that a district court has personal jurisdiction over unknown defendants.” * * * Thus, in its “broad discretion to . . . dictate the sequence of discovery,” * * * the Court authorizes Plaintiff to serve limited discovery on Defendant’s ISP.

IV.PROTECTIVE ORDER

* * * The Court finds that a protective order is warranted here. “The fact that a copyrighted work was illegally downloaded from a certain IP address does not necessarily mean that the owner of that IP address was the infringer.” * * * “Indeed, the true infringer could just as easily be a third party who had access to the internet connection, such as a son or daughter, houseguest, neighbor, or customer of a business offering an internet connection,” and “[t]here is a real risk that defendants might be falsely identified and forced to defend themselves against unwarranted allegations.” * * * There is also a risk that “the innocent defendant may be

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coerced into an unjust settlement with the plaintiff to prevent the dissemination of publicity surrounding unfounded allegations.” * * *

* * *Plaintiff shall be allowed to serve early discovery by serving a Rule 45 subpoena on the identified ISP that seeks information sufficient to identify John Doe subscriber assigned IP address 108.51.209.163. However, if and when the ISP is served with a subpoena, Plaintiff shall provide the ISP with a copy of this Memorandum Opinion and the accompanying Order with its subpoena. The ISP shall give written notice, which may include e-mail notice, and shall include a copy of the subpoena, this Memorandum Opinion, and the accompanying Order, to the subscriber in question at least twenty (20) business days prior to releasing the subscriber’s identifying information to Plaintiff. Any motion to quash the subpoena shall be filed before the return date of the subpoena, which shall be no earlier than forty-five (45) calendar days from the date of service. * * * Any information disclosed to Plaintiff in response to a Rule 45 subpoena may be used by Plaintiff solely for the purpose of protecting Plaintiff’s rights as set forth in the Complaint. * * *

* * *

NOTES AND QUESTIONS

- 1.The parties may stipulate to discovery earlier than the Rule 26(f) conference, but if all parties do not agree, the court’s permission will be needed to expedite the process. Can you explain why expedited discovery was permitted under Rule 26 to uncover the name of a “John Doe” defendant, but denied under Rule 27 in *Ford*, p. 900, *supra*?
- 2.Expedited discovery most typically is granted to resolve threshold issues such as subject-matter jurisdiction, personal jurisdiction, and qualified immunity. Would it be appropriate for a district court to expedite discovery on issues pertaining to the merits prior to the filing of a Rule 12(b)(6) motion? Could “plausibility” discovery be incorporated into a Rule 26(f) discovery plan and discussed at a Rule 16 conference? See Malveaux, *Front Loading and Heavy Lifting: How Pre-Dismissal Discovery Can Address the Detrimental Effect of Iqbal on Civil Rights Cases*, 14 Lewis & Clark L.Rev. 65 (2010). For a critical view, see Zwisler & Reeves, *The Search for Clarity in Federal Pleading Standards: Are We Close to Limiting the Intended (and Unintended) Consequences of Twombly and Iqbal?*, 13 Sedona Conf.J. 135, 145–46 (2012).
- 3.The Private Securities Litigation Reform Act of 1995 (“PSLRA”), p. 653, *supra*, bars discovery during the pendency of a motion to dismiss in suits for securities fraud in violation of the 1933 and 1934 federal securities law. Congress later amended the statute to permit the federal district court to stay discovery in related state court actions. See 15 U.S.C. § 78u–4(b)(3)(D). The statute does, however, give the district court authority to lift the stay “upon the motion of any party that particularized discovery is necessary to preserve evidence or to prevent undue prejudice to that party.” *Id.* at § 78u–4(b)(3)(B).

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The Ninth Circuit has held that it was an abuse of discretion to order limited discovery in a PSLRA suit to enable plaintiffs—who alleged claims based upon “the disclosure of specific inside information by a specific person on a specific date and the subsequent ‘dumping’ of Rational stock on the same date”—to identify the traders of the stock on the listed date. That discovery, in the appellate court’s view, was barred because it was needed to sustain the sufficiency of the complaint, and the statute “requires the trial court to dismiss the complaint if it fails to satisfy the Act’s heightened pleading standards.” The fact that the information was within defendant’s exclusive custody was, according to the court, beside the point. *SG Cowen Securities Corp. v. U.S. Dist. Court for Northern Dist. of CA.*, 189 F.3d 909, 912 (9th Cir. 1999). By contrast, the Southern District of New York has lifted the discovery stay upon a finding that its operation would cause undue prejudice. See *Vacold LLC v. Cerami*, 2001 WL 167704, *2 (S.D.N.Y. 2001). When faced with a motion to lift a discovery stay, should the court weigh only the parties’ private interest, or also consider the public interest in enforcement of the securities laws? See Erickson, *Heightened Procedure*, 102 Iowa L.Rev. 61 (2016).

3.AUTOMATIC DISCLOSURE

Read Federal Rule of Civil Procedure 26(a) and the accompanying materials in the Supplement.

The 1993 amendments to Rule 26(a)(1), requiring automatic disclosure of specified categories of information, were controversial when promulgated. Justice Scalia filed a dissenting statement, joined by Justice Thomas and in part by Justice Souter, on the ground that the proposal introduced “into the trial process an element that is contrary to the nature of our adversary system.” Amendments to Federal Rules of Civil Procedure, 146 F.R.D. 401, 507 (1993). See Bell, Varner & Gottschalk, *Automatic Disclosure in Discovery—The Rush to Reform*, 27 Ga.L.Rev. 1 (1992). Concerns also were expressed that the rule would increase cost and delay and decrease incentives to settle. See Issacharoff & Loewenstein, *Unintended Consequences of Mandatory Disclosure*, 73 Tex.L.Rev. 753 (1995). In 2000, the duty

of automatic disclosure was limited to information that the party intends to use. See Huang, *Mandatory Disclosure: A Controversial Device with No Effects*, 21 Pace L.Rev. 203 (2000).

In *CUMMINGS v. GENERAL MOTORS CORP.*, 365 F.3d 944, 953–54 (10th Cir. 2004), abrogated on other grounds by *Unitherm Food Systems, Inc. v. Swift-Eckrich, Inc.*, 546 U.S. 394, 126 S.Ct. 980, 163 L.Ed.2d 974 (2006), plaintiffs were car owners who had been severely injured in a car accident. They sued the manufacturer of their car’s seat belt, alleging that it was defective and had been improperly designed. After a jury verdict for

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defendant, plaintiffs learned that defendant had videos of safety seat acceleration tests that it had conducted and failed to disclose under Rule 26(a), but had produced in an unrelated trial. On appeal, they argued that defendant violated its discovery obligation. The Tenth Circuit disagreed:

The magistrate ruled the newest version of Rule 26 would govern in this case, including the 2000 amendments, * * * and the Cummings did not object to this holding. Under the 2000 amendments, a party’s “initial disclosure obligation . . . has been narrowed.” Fed. R. Civ. P. 26 advisory committee’s note, 2000 amends. Rule 26(a)(1) only requires automatic disclosure of “the name and, if known, the address and telephone number of each individual likely to have discoverable information that the disclosing party may use to support its claims or defenses” * * *. Under this rule, a party is not obligated “to disclose witnesses or documents, whether favorable or unfavorable, that it does not intend to use.” Fed. R. Civ. P. 26 advisory committee’s note, 2000 amends.; see *Gluck v. Ansett Austl. Ltd.*, 204 F.R.D. 217, 221–22 (D.D.C. 2001) (holding under the new version of Rule 26 that the opposing party was not required to produce information with regard to potential witnesses because “the essential inquiry is whether the disclosing party intends to use the witness.”).

As you read more about the mechanics of discovery, p. 921, *infra*, consider how a party should follow-up an adversary’s automatic disclosures with information requests under the Rules.

NOTES AND QUESTIONS

1. In *COMAS v. UNITED TELEPHONE CO. OF KANSAS*, 1995 WL 476691, *2 (D. Kan. 1995) the court explained:

Initial disclosures may be made by describing or categorizing potentially relevant materials so that the opposing party may “make an informed decision regarding which documents might need to be examined.” Fed. R. Civ. P. 26(a)(1) advisory committee’s notes (1993 Am.). The rule does not require that either party produce documents at this initial stage. If only a description or categorization is provided, “the other part[y] [is] expected to obtain the documents desired by proceeding under Rule 34 or through informal requests.”

2. Automatic disclosure is required of the computation of each category of damages claimed by the disclosing party, who also must disclose documents “on which each computation is based.” Rule 26(a)(1)(A)(iii). In *City and County of San Francisco v. Tutor-Saliba Corp.*, 218 F.R.D. 219 (N.D.Cal. 2003), plaintiffs provided damage estimates and identified supporting documents, but defendants moved to compel further supplementation. The district court said that the standard for adequacy “must be gleaned from Rule 26(a)’s purpose: to ‘accelerate the exchange of basic information’ that is ‘needed in most cases to

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prepare for trial or make an informed decision about settlement,’ ” quoting from the 1993 advisory committee notes. An additional factor in the court’s view was the role of early disclosure “to assist the parties in focusing and prioritizing their organization of discovery.” Given these purposes, plaintiff was required to provide “some analysis and not just a “lump sum statement of the damages allegedly sustained” to enable defendants to understand the scope of their exposure to liability “and make informed decisions as to settlement and discovery.” *Id.* at 220–22.

3. Until 1970, insurance agreements were not discoverable under Rule 26. The rule was amended in favor of disclosure to “enable counsel for both sides to make the same realistic appraisal of the case, so that settlement and litigation strategy are based on knowledge and not speculation.” Proposed Amendments to the Federal Rules of Civil Procedure Relating to Discovery, reprinted at 48 F.R.D. 487, 499 (1969–70). How does Rule 26(a)(1)(A)(iv) currently treat disclosure of insurance policies?

4. Which cases are exempt from the requirement of automatic disclosure? Does the court have discretion to mandate disclosure in these cases? See Subrin, *Uniformity in Procedural Rules and the Attributes of a Sound Procedural System: The Case for Presumptive Limits*, 49 Ala.L.Rev. 79 (1997).

5. From 2017 to 2020, the Northern District of Illinois and the District of Arizona participated in a pilot project that altered the ground rules for Rule 26(a) automatic disclosure. The goal of the pilot project was to determine whether mandating automatic early disclosure “reduces the cost and delay of civil litigation.” Federal Judicial Center, Mandatory Initial Discovery Pilot Project: Overview. See Northern District of Illinois Mandatory Initial Discovery Pilot Project Standing Order (May 12, 2017); District of Arizona General Order 17–08 (April 14, 2017). Unlike automatic disclosure under Rule 26(a), the parties could not opt out of the requirement, and their duty included disclosure of unfavorable as well as favorable information in the prescribed categories, whether or not they planned to use the information in presenting their claims and defenses. The Federal Judicial Center planned to study the results of the pilot project and evaluate its effects on the resolution of cases.

6. Some state discovery rules require automatic disclosure of categories of information. See Allen, Price & Donison, *Federal Discovery Under the 2000 Amendments to Rule 26*, 3 Sedona Conf.J. 211 (2002) (Arizona); Moskowitz, *Rediscovering Discovery: State Procedural Rules and the Level Playing Field*, 54 Rutgers L.Rev. 595 (2002) (Arizona, Colorado, Illinois, and Texas). West Virginia, although it models its discovery rules on those of

the federal system, elected not to require automatic disclosure. See Olds, *Give It to Me Uniformly: West Virginia Wants Initial Disclosure*, 115 W.Va.L.Rev. 363 (2012).

4.CERTIFICATION AND THE DUTY TO SUPPLEMENT

The parties’ duty to cooperate throughout the discovery process is enforced through the signature requirement of Federal Rule 26(g). Specifically, “Rule 26(g) imposes an affirmative duty to engage in pretrial discovery in a responsible manner that is consistent with the spirit and purposes of rules 26 through 37.” *Heller v. City of Dallas*, 303 F.R.D. 466, 476 (N.D.Tex. 2014), quoting Advisory Committee’s note to Rule 26(g) (1983). Rule 26(g) operates as the discovery analogue to Rule 11, p. 703, *supra*. Every automatic disclosure, every party-initiated request for discovery, every response to discovery, and every objection must be signed by at least one counsel of record or by the party if not represented by counsel. The signature certifies that to the best of the signer’s knowledge, information, and belief, the document presented is accurate and complete and is being served for a proper purpose. Moreover, the proponent is certifying that a reasonable inquiry has been made before submitting the document. Unsigned discovery documents are to be stricken unless the proponent provides substantial justification for the omission. Moreover, the court has authority to impose a sanction on a party that violates the requirement, including dismissal of the action. See p. 968, *infra*.

Finally, Rule 26(e) imposes a self-executing duty to supplement automatic disclosures and discovery responses. The duty is triggered even if the original disclosure or response was accurate when made; the duty is to provide information or documents that are obtained later and is a “continuing obligation.” *Robbins & Myers, Inc. v. J.M. Huber Corp.*, 274 F.R.D. 63, 79 (W.D.N.Y. 2011). A failure to supplement is subject to sanctions, see p. 979, Note 7, *infra*.

E. THE MECHANICS OF REQUESTED DISCOVERY

1.DEPOSITIONS

Read Federal Rules of Civil Procedure 26(d), 30, and 31 and the accompanying materials in the Supplement.

An oral deposition allows a party to question any person (the “deponent”), whether a party or not, under oath. The Federal Rules spell out in detail when, how, before whom, and on what notice as to time and place a deposition may be taken. See Rules 28, 29, 30, 31, and 32(d). Invariably, the parties designate as officer the reporter who records the questions, the answers, and any objections made by the parties or by the witness. See Rule 30(b)(5). Under Rule 30(d)(1), “a deposition is limited to

1 day of 7 hours,” but the court may authorize additional time “if needed to fairly examine the deponent or if the deponent, another person, or any other circumstance impedes or delays the examination.” When the deposition is concluded, the reporter prepares a transcript, which the deponent then is called upon to sign. Federal Rule 30(a)(2)(A)(i) currently sets a presumptive limit of ten depositions for each party.

An attorney schedules a deposition by serving a notice on the opposing attorney. The notice must include the name and address of the deponent, if known, and the date, time, and place of the deposition. If the deponent is a party, the notice is sufficient to require the party’s appearance, and a subpoena is unnecessary. The notice may include a demand that the party produce documents and other items of evidence at the deposition, in which case the procedure of Rule 34 applies.

Under Federal Rule 30(b)(6) a party may seek, by notice or subpoena, the deposition of a corporation or association and require it to produce a person or persons who will testify on behalf of the organization. Of course, the party seeking the information must, with “reasonable particularity,” detail the issues that are to be explored in order for the organization to ascertain which witness or witnesses have the relevant knowledge. Witnesses who do not already have knowledge of the topics that will be the subject of the deposition must be educated with documents and other “information known or reasonably available to the organization.” This form of corporate deposition is especially useful when the party taking the deposition is unaware of which individual or individuals within a large organization have the information that is needed. Amendments to Rule 30(b)(6) in 2020 direct the parties to confer “in good faith about the matters for examination” either “[b]efore or promptly after” the notice of deposition or subpoena is served.

If the deponent is not a party, the notice of deposition will not be sufficient to compel the nonparty’s appearance. There is no requirement that a nonparty be subpoenaed to a deposition. However, a nonparty who is not subpoenaed and does not appear, or if does appear but fails to bring requested documents or other items, is not subject to sanction. A person who fails to respond to a subpoena will be subject to a citation for contempt of court. In addition, if a party notices a deposition but does not subpoena the witness and the witness fails to appear, that party may be ordered to pay the reasonable expenses, including attorney’s fees, of any other party for wasted time appearing at the place where the deposition was to be taken. Thus, unless full cooperation of the nonparty witness is certain, the use of a subpoena is advisable.

The usual expectation is that a deposition will proceed without court involvement. The deponent usually will answer even those questions to which counsel object, unless the deponent’s counsel instructs the deponent

not to answer. Objections are interposed at depositions to preserve a right to object to another party’s use of the deposition’s transcript at trial. Counsel must object at the deposition if the ground for the objection is one that might be corrected at the time. Under Rule 30(c)(2), a deponent may be instructed not to answer only when necessary “to preserve a privilege, to enforce a limitation ordered by the court, or to present a motion under Rule 30(d)(3)” to terminate or limit an examination that is oppressive or conducted in bad faith. Moreover, Rule 30(d)(2) authorizes the imposition of costs and attorney’s fees to sanction any culpable individual who “impedes, delays, or frustrates the fair examination of the deponent.”

POLYCAST TECHNOLOGY CORP. V. UNIROYAL, INC.
United States District Court, Southern District of New York, 1990.
[1990 WL 138968.](#)

JAMES C. FRANCIS IV, UNITED STATES MAGISTRATE.

In October, 1986, Uniroyal, Inc. (“Uniroyal”) sold its wholly-owned subsidiary, Uniroyal Plastics Company, Inc. (“Plastics”) to Polycast Technology Corporation (“Polycast”). In this action, Polycast alleges that it entered into this transaction on the basis of misleading financial information that Uniroyal provided about Plastics. * * *

The parties to this action have taken substantial discovery from a non-party, Deloitte & Touche (“Deloitte”). In its incarnation as Deloitte Haskins & Sells, Deloitte had performed auditing services for both Uniroyal and Polycast prior to the sale of Plastics. After the transaction was completed, Deloitte continued as Polycast’s independent auditors, reviewing Plastics’ operations.

* * *

The second pending discovery issue concerns the proposed deposition of Gregory Durant, a Deloitte employee who was the on-site manager of an audit of Plastics that commenced immediately after the acquisition of that entity by Uniroyal on October 31, 1986. Deloitte now seeks a protective order barring Mr. Durant’s deposition on the grounds that the information obtained would not be relevant and that it would, in any event, be duplicative of the deposition testimony of Michael Bowman, Deloitte’s engagement partner on the audit.

Orders barring the taking of * * * depositions altogether are both unusual and disfavored. * * * On the other hand, non-party witnesses may be subject to somewhat greater protection against costly but marginally relevant discovery than are the parties. * * *

However, even if some heightened consideration should be paid to Deloitte as a non-party witness, it would still be inappropriate to foreclose the deposition of Mr. Durant. Polycast alleges that it bought Plastics in

reliance on a representation in October, 1986, that the year-end earnings of Plastics would be approximately \$13.3 million. According to Polycast, the actual 1986 earnings for Plastics were \$5.25 million, and Polycast therefore contends that it paid an inflated price for Plastics based on Uniroyal’s misrepresentations. Uniroyal argues, however, that Polycast has understated the actual earnings of Plastics for 1986. Since the \$5.5 million figure is derived at least in part from the audit conducted by Deloitte for the first ten months of that year, that audit is an entirely proper subject of inquiry. Moreover, the fact that Mr. Bowman has provided substantial deposition testimony about the audit does not relieve Deloitte of the obligation of producing Mr. Durant for examination. There were some gaps in Mr. Bowman’s testimony, attributable to a quite understandable inability to recall every detail of the audit process. More significantly, Mr. Durant was present at the location where the audit was conducted and is in a better position to describe the workings of the audit team and its interactions with Plastics’ employees. His deposition will therefore go forward.

At the same time, Uniroyal has already obtained from other Deloitte witnesses as well as from discovery of the parties substantial evidence concerning the audit. Mr. Durant’s role will largely be to fill in the interstices in a picture that should otherwise be substantially complete. Accordingly, the parties’ examination of him shall be limited to one full day of deposition.

* * *

NOTES AND QUESTIONS

1. The oral deposition has been called “[t]he most important of the discovery devices”:

It is the only significant discovery device that may be directed against any person and is not confined to parties to the action. It is the only discovery device that permits examination and cross-examination of a live witness by counsel, where there is no opportunity to reflect and carefully shape the information given. Thus, despite its expense, it is the most valuable device if the deponent has important information.

Wright & Kane, Law of Federal Courts § 84 (8th ed.). Under the original version of Federal Rule 30, the parties competed to take the first deposition, in an attempt to pin down an opponent before submitting himself or his own witnesses to the discovery process. How has deposition strategy changed under the amended discovery rules?

2. When the Federal Rules were first adopted, depositions typically were recorded by court reporters using stenography. In 1970, the Rules were

amended to allow for the taking of videotaped depositions by stipulation of the parties or by court order. The 1993 amendment gives the party noticing the

deposition a right to choose how the deposition will be memorialized. Numerous advantages are attached to videotaped depositions: “Video depositions can markedly increase accuracy and trustworthiness. In addition, to the extent that a video deposition reduces tedium, the fact-finder’s concentration and attention will be enhanced, again to the benefit of the decision process.” Rice’s Toyota World, Inc. v. Southeast Toyota Distributors, Inc., 114 F.R.D. 647, 649 (M.D. N.C. 1987). Why might a written transcript be useful? See Schoolcraft v. City of New York, 296 F.R.D. 231 (S.D.N.Y. 2013) (discussing confidentiality concerns).

2.DEPOSITION BY WRITTEN QUESTIONS

Rule 31 authorizes the taking of depositions by written questions from parties and nonparties. The answers are given orally after the “officer” puts the questions to the deponent. In practice, written depositions are rarely used. Rule 31 saves the expense of travel, but the procedure is said to be “cumbersome” relative to an oral deposition. Wright & Kane, Law of Federal Courts § 85 (8th ed.). Unlike interrogatories to parties under Rule 33, which are also written, depositions by written questions may be propounded to “any person,” including a nonparty.

A deposition upon written questions was used in WATSON v. LOWCOUNTRY RED CROSS, 974 F.2d 482 (4th Cir. 1992), a wrongful death action on behalf of an infant who died from HIV following a blood transfusion. The suit alleged that the Red Cross had negligently screened the blood donor, and sought discovery from the donor. To preserve confidentiality, the court permitted plaintiff to submit written questions to the donor’s lawyer, to which the Red Cross could object. Questions included:

- 1.On how many occasions in your life have you donated blood?
* * *
5. When you gave blood on February 26 or 27, 1985, were you asked about any diseases or behaviors or experiences that put you at risk for these diseases? * * *
9. On February 26 or 27, 1985, in the course of your preparing to give blood, did the Red Cross staff or volunteers give you any written or verbal information about AIDS risks? * * *
- 13.On February 26 & 27, 1985 could you read? * * *

Id. at 490. Why might defendant’s counsel have preferred a Rule 31 deposition rather than an oral one? Why was this approach used rather than Rule 33 interrogatories? See Schmertz, *Written Depositions Under the Federal and State Rules as Cost-Effective Discovery at Home and Abroad*, 16 Vill.L.Rev. 7 (1970).

3.INTERROGATORIES TO PARTIES

Read Federal Rule of Civil Procedure 33 and the accompanying materials in the Supplement.

Written interrogatories allow one party to send to another a series of questions to be answered under oath within a specific time. The procedure is extremely simple. No court order is required and no officers need be appointed; the entire exchange is accomplished by mail. If a question is thought to be improper, the responding party may say so rather than answering. The interrogating party then has the option of seeking a court order requiring an answer. An important advantage of interrogatories exists to the extent that a party has a duty to respond to interrogatories not only on the basis of her own knowledge but also with regard to the knowledge of other persons, including her lawyers, employees, and other agents, that reasonably can be obtained through investigation. Under Rule 33(b)(1)(B) such an obligation clearly exists for a party who is a public or private corporation, an association, or a government entity. What is the obligation of an individual under Rule 33(b)(1)(A)?

Interrogatories had been cited as the most abused of the available discovery devices and the Federal Rules have been amended a number of times to police the process. In 1980, then Rule 33(c) (now Rule 33(d)), was amended to require a party exercising the option to produce its business records to specify the records from which the answer can be found in sufficient detail to permit the interrogating party to locate and to identify them as readily as can the party served. The clarification sought to prevent the party served with interrogatories from directing the party who propounded them to a mass of business records or by offering to make all their records available.

In 1993, Rule 33(a) was amended to impose a presumptive limit on the number of interrogatories, including discrete parts, that a party can serve. Although the requirement cannot be evaded through use of subparts, the Notes of the Advisory Committee indicate that “a question asking about communications of a particular type should be treated as a single interrogatory” even though it asks for a number of specific details regarding the particular communication.

NOTES AND QUESTIONS

1. How extensive is the Rule 33 duty to investigate? Should a corporate party be charged with finding out what is known by each of its employees regardless of the size and nature of the business? Should the duty extend to

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information known to employees of subsidiary corporations that are not parties? To what extent should the duty include former employees?

2. Until the 1970 amendments to the Federal Rules, it was assumed that a party could not use an interrogatory to probe an adversary's legal theories or questions of law. Rule 30(a) now authorizes the use of "contention" interrogatories, and as with other discovery devices their scope and timing can be limited by the court.

CABLE & COMPUTER TECHNOLOGY, INC. v. LOCKHEED SAUNDERS, INC.

United States District Court, Central District of California, 1997.
[175 F.R.D. 646.](#)

CHAPMAN, UNITED STATES MAGISTRATE JUDGE.

[The complaint alleged breach of contract, fraud, and other claims in connection with loss of a contract to provide radar simulators to the Air Force in favor of defendant's affiliated entities.]

* * *

The defendants seek to compel responses to defendant Lockheed Martin Corp.'s (hereafter defendant Lockheed) First Set of Special Interrogatories, interrogatory nos. 1, 5 through 11, and 14 through 16.³ The plaintiff has objected to all of these interrogatories on the grounds they are "contention interrogatories" and, therefore, improper, citing *In re Convergent Technologies Securities Litigation*, 108 F.R.D. 328, 345–49 (N.D.Cal.1985).

[T]he phrase 'contention interrogatory' is used imprecisely to refer to many different kinds of questions. Some people would classify as a contention interrogatory any question that asks another party to indicate what it contends. Some people would define contention interrogatories as embracing only questions that ask another party whether it makes some specified contention. . . . Another kind of question . . . asks an opposing party to state all the facts on which it bases some specified contention. Yet another form of this category of interrogatory asks an opponent to state all the evidence on which it bases some specified contention. Some contention interrogatories ask the responding party to take a position, and then to explain or defend that position, with respect

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to how the law applies to facts. A variation on this theme involves interrogatories that ask parties to spell out the legal basis for, or theory behind, some specified contention.

Id. at 332.

The Advisory Committee Notes to the 1970 amendment of Rule 33(b) (now Rule 33(c)), explain succinctly the reason for Rule 33(c), as it now reads:

There are numerous and conflicting decisions on the question whether and to what extent interrogatories are limited to matters 'of fact,' or may elicit opinions, contentions, and legal conclusions. [¶] Rule 33 is amended to provide that an interrogatory is not objectionable merely because it calls for an opinion or contention that relates to fact or the application of law to fact. Efforts to draw sharp lines between facts and opinions have been invariably unsuccessful, and the clear trend of the cases is to permit 'factual' opinions. . . .

* * * Further, if the concern in answering a contention interrogatory before discovery has been completed, or even substantially done, is that the answer to the interrogatory may limit the party's proof at trial, that concern is misplaced in that, among other things, the trial court may permit the withdrawal or amendment of an answer to an interrogatory. *Wright, Miller & Marcus, Federal Practice and Procedure: Civil* § 2181 at 344 (2d ed.1994) * * *.

* * *

In *Convergent Technologies*, Judge Wayne D. Brazil, in a very thoughtful opinion, held that the 1983 amendments to Fed.R.Civ.P. 26(b) compelled his conclusion that the "wisest course is not to preclude entirely the early use of contention interrogatories, but to place a burden of justification on the party who seeks answers to these kinds of questions before substantial documentary or testimonial discovery has been completed" * * *. " More recently, however, Judge Brazil has modified his position, noting that contention interrogatories may in certain cases be the most reliable and cost-effective discovery device, which would be less burdensome than depositions at which contention questions are propounded. * * *

Applying the foregoing principles, this Court prefers to consider contention interrogatories in the same manner it would consider any interrogatory, placing the burden on the party opposing discovery rather than shifting the burden to the proponent of the contention interrogatories to justify their propoundment. Thus, although it is too early for plaintiff to provide expert opinions on the subject of

damages, plaintiff may, at this time, answer interrogatory no. 1 based on the information it has to date.

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Of course, plaintiff may later amend its answer with leave of Court or supplement it, as it has an obligation to do under Fed.R.Civ.P. 26(e). The other disputed interrogatories, interrogatory nos. 5 through 11 and 14 through 16, are straightforward “factual” contention interrogatories which plaintiff should also be able to answer now. Requiring the answer to these “factual” contention interrogatories is * * * [consistent with Rule 11].”

NOTE AND QUESTION

Rule 33 interrogatories have several advantages relative to depositions. Typically their use is less expensive, and they can help narrow and frame issues in the dispute. Moreover, they are effective when requesting technical, statistical, or logistical information. Nevertheless, interrogatories often are the target of criticism and are said to be “tailor-made for abuse”; “[e]ven where interrogatories are narrowly targeted to legitimate areas of discovery, responses rarely consist of more than evasive legal gibberish.” Rennie, *The End of Interrogatories: Why Twombly and Iqbal Should Finally Stop Rule 33 Abuse*, 15 Lewis & Clark L.Rev. 191, 263 (2011). One particular problem has been the use of boilerplate objections that delay rather than advance the proceeding. How might greater judicial oversight reduce abusive interrogatory practice? See Jarvey, *Boilerplate Discovery Objections: How They Are Used, Why They Are Wrong, and What We Can Do About Them*, 61 Duke L.Rev. 913 (2013).

4.DISCOVERY AND PRODUCTION OF PROPERTY

Read Federal Rules of Civil Procedure 34 and 45 and the accompanying materials in the Supplement.

Rule 34 allows a party to request other parties to produce documents, electronically stored information, and tangible things in their possession or control. The Rule also allows a party entry to the other parties’ land or property for such activities as inspection, survey, or measurement. A request must describe the items to be discovered “with reasonable particularity,” a standard that varies with circumstances. Rule 34(b)(1)(D) and (E) address the production of electronically stored information.

Most courts allow discovery of general categories of items if the description is easily understood (e.g., all written communications between plaintiff and defendant from July 1 to September 1, 2015). Many attorneys combine Rule 33 interrogatories that ask the opposing party to identify documents with a Rule 34 request that the party produce “all documents identified” in the opposing party’s answers to the interrogatories. Although the standard for requesting documents is a flexible one, the writing of a request calls for a great deal of precision.

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A request must specify a reasonable time, place, and manner for the inspection. The time usually is set at least 30 days after service of the request because the opposing party generally has at least 30 days to respond. The place typically designated for production of documents is the office of the requesting party’s attorney, unless it is more convenient to examine the documents where they are kept or to have them copied at some other place. Since 1980, Rule 34 has required that the producer of documents for inspection “shall produce them in the usual course of business or shall organize and label them to correspond with the categories of the request.” As one district court explained, the amendment was intended “to prevent the juvenile practice whereby the producing party purposely rearranged the documents prior to production in order to prevent the requesting party’s efficient use of them.” *United States v. O’Keefe*, 537 F.Supp.2d 14, 19 (D.D.C. 2008).

The party that receives a request serves a written response on the requesting party, as well as any other parties to the lawsuit, within the time specified by Rule 34. The response states the responding party’s objections, if any, to part or all of the requested production or inspection. Absent objection, the responding party must produce the documents as requested, or admit counsel to its premises for the scheduled inspection. Amendments adopted in 2015 make clear that objections to document production must be stated with particularity. See Shackmurove, *Policing Boilerplate: Reckoning and Reforming Rule 34’s Popular—Yet Problematic—Construction*, 37 N.Ill.U.L.Rev. 23 (2017).

Although Rule 34 is limited to parties, amendments to Rule 45 (adopted in 1991) set forth a similar procedure to obtain material from nonparties. If the request for production of documents or inspection of premises is addressed to a nonparty, the litigant must serve a subpoena pursuant to Rule 45. Rule 45 now provides that an attorney may issue a subpoena commanding any person to give testimony, to produce and permit inspection and copying of designated records or other tangible objects, or to permit inspection of premises. See Breaux, *Analysis of the Proposed Amendments to Federal Rule of Civil Procedure 45 Pertaining to Nonparty Subpoenas for Documents*, 50 Hous.L.Rev. 191 (2012).

NOTES AND QUESTIONS

1. Rule 34 originally was limited to the production of documents and things “material to any matter involved in the action” and only on a showing of “good cause,” but currently is governed by the relevance and proportionality factors of Rule 26(b). 8B Wright, Miller & Marcus, *Federal Practice*

and Procedure § 2201 (3d ed.).

2. Rule 34 allows discovery of documents and things in the “possession, custody, or control” of a party. Does a client control information that is in the counsel’s hands? Courts have held that because a client has the right “to obtain

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copies of documents gathered or created by its attorneys pursuant to their representation of that client, such documents are clearly within the client’s control.” *Am. Soc. for Prevention of Cruelty to Animals v. Ringling Bros. and Barnum & Bailey Circus*, 233 F.R.D. 209, 212 (D.D.C. 2006). Would a party be considered to control documents in the following circumstances?

- (a) The party has given the documents to the party’s insurance carrier;
- (b) The documents are in the custody of the party’s wholly-owned subsidiary;
- (c) The documents are in the custody of the party’s former corporate employee; or
- (d) The documents are in the custody of a foreign-based subsidiary.

Should the touchstone be legal control over the custodian of the documents or some other factor?

3. How might a party sequence its use of discovery to ensure that document requests are made with the requisite specificity? Amendments adopted in 2015 allow the parties to serve early Rule 34 document requests before the Rule 26(f) conference, but responses are not due until 30 days after the conference has taken place. How might the early service of a document request aid the parties in devising their discovery plan?

4. The Federal Rules were adopted before personal computers and other electronic devices came into existence. The rules, however, have been adapted and amended to deal with technological change. In 1970, Federal Rule 34 was amended to include “data compilations from which information can be obtained” as among the documents that can be requested under the rule. Rule 34 was amended in 2006 to make clear that under Rule 34(a) electronically stored information is discoverable when “stored in any medium” from which it can be obtained, “translated, if necessary” into a “reasonably usable form.” Allman, *Conducting E-Discovery After the Amendments: The Second Wave*, 10 Sedona Conf.J. 215, 216 (2009). Electronic information is discoverable even when it is transitory or temporary. Rule 34 allows a party to avoid production of information in separate forms; a party need not provide duplicate physical and electronic copies of a document.

5. Rule 26(b)(2)(B) limits the burden of electronic discovery by identifying a category of information that is “not reasonably accessible.” The Advisory Committee’s Note to the 2006 amendments explains:

The decision whether to require a responding party to search for and produce information that is not reasonably accessible depends not only on the burdens and costs of doing so, but also on whether those burdens and costs can be justified in the circumstances of the case. Appropriate considerations may include: (1) the specificity of the discovery request; (2) the quantity of information available from other and more easily accessed sources; (3) the failure to produce

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relevant information that seems likely to have existed but is no longer available on more easily accessed sources; (4) the likelihood of finding relevant, responsive information that cannot be obtained from other, more easily accessed sources; (5) predictions as to the importance and usefulness of the further information; (6) the importance of the issues at stake in the litigation; and (7) the parties’ resources.

The Advisory Committee drew guidance from the district court’s decision in *ZUBULAKE v. UBS WARBURG LLC*, 217 F.R.D. 309 (S.D.N.Y. 2003), an employment discrimination suit. Plaintiff sought discovery of emails exchanged by defendants’ employees that were stored on backup tapes and optical disks. Each employee received about 200 emails a day, and, under federal securities law, defendant was required to preserve all communications for a fixed number of years. Defendant resisted producing the materials, arguing that “restoring those e-mails would cost approximately \$175,000.00, exclusive of attorney time in reviewing the e-mails.” *Id.* at 312. The district court identified seven factors to consider in assessing whether to require disclosure but to shift the costs of discovery:

- 1. The extent to which the request is specifically tailored to discover relevant information;
- 2. The availability of such information from other sources;
- 3. The total cost of production, compared to the amount in controversy;
- 4. The total cost of production, compared to the resources available to each party;
- 5. The relative ability of each party to control costs and its incentive to do so;
- 6. The importance of the issues at stake in the litigation; and
- 7. The relative benefits to the parties of obtaining the information.

Id. at 322. Are any other factors relevant to the analysis?

6. Complicated discovery issues have arisen with respect to metadata, which essentially are data that describe other data. Metadata range from useful to absolutely necessary in the interpretation of original data. Before computers, metadata were included in library cards describing books, naming the author, publishing company and date, length of the book, and so on. In digital data, metadata might be descriptive; for an image file, it might include the resolution of the picture, the date and location and type of camera on which it was taken, while metadata of a text file might include a word count and the name of the author. This can be particularly important in looking at database files—without metadata, a database could look like

hundreds of thousands of entries of seemingly random numbers, but with metadata, those numbers could be interpreted as dates, times, employee ID numbers, dollar amounts, ISBNs, or other meaningful information. As new technologies are developed and adopted, additional problems in discovery arise. For example, Microsoft

Outlook, the email software used by many companies, formats emails and other data into .pst files when they are archived. Searching through .pst files is not only difficult and costly; it can alter the files’ timestamps, which fails to preserve evidence as required by the discovery rules.

7. “Predictive coding,” sometimes referred to as “technology assisted review” (“TAR”), is a computerized process by which a random sampling of documents is reviewed manually and determined to be responsive or unresponsive to the discovery request. See Yablon & Landsman-Roos, *Predictive Coding: Emerging Questions and Concerns*, 64 S.C.L.Rev. 633 (2013). Predictive coding algorithms and heuristics are applied to analyze the sample set, and the data are used to create a programming protocol that can be applied to the rest of the discovery materials. Using that protocol, a computer program combs through the remaining materials and labels documents responsive or unresponsive based on the sample data. An influential example of this method is reported in *Moore v. Publicis Groupe SA*, 2012 WL 2574742 (S.D.N.Y. 2012). For an empirical analysis of the costs of discovery responses in cases involving digital information, see Pace & Zakaras, *Where the Money Goes: Understanding Litigant Expenditures for Producing Electronic Discovery*, RAND Institute for Civil Justice (2012). For an example of how courts resolve disputes between parties about the use of particular methods of TAR, see *Livingston v. City of Chicago*, 2020 WL 5253848 (N.D.Ill. 2020).

8. The explosion in the volume of electronically stored information has meant that parties in litigation often confer on search terms to narrow the range of items, such as emails, that must be reviewed for responsiveness to a document request. This approach to document requests involving electronic documents is consistent with Rule 26(f)(3)(C), which requires a discovery plan to address “issues about disclosure, discovery, or preservation of electronically stored information,” but the rules do not directly require it. Nonetheless, courts can react harshly when litigants do not cooperate in formulating search terms for electronic discovery.

In *PYLE v. SELECTIVE INSURANCE CO. OF AMERICA*, 2016 WL 5661749 (W.D.Pa. 2016) , AN EMPLOYMENT DISCRIMINATION CASE, PLAINTIFF SERVED DEFENDANT WITH A DOCUMENT REQUEST FOR “ALL EMAILS, CORRESPONDENCE, MEMORANDUM, AND/OR OTHER DOCUMENTS” RELATING TO HER EMPLOYMENT AND RECEIPT OF DISABILITY BENEFITS, AND TO THE TERMINATION OF HER EMPLOYMENT. DEFENDANT’S COUNSEL ASKED PLAINTIFF’S COUNSEL FOR A “SUGGESTED LIST OF SEARCH TERMS . . . SO THAT WE CAN AGREE ON A COMMON SET OF TERMS SO THAT THE ELECTRONIC RECORDS [DEFENDANT] HAS GATHERED CAN BE SEARCHED FOR RELEVANCE.” ID. AT *1. PLAINTIFF’S COUNSEL WOULD NOT OFFER SEARCH TERMS TO DEFENDANT AND ARGUED THAT THERE WAS NO AUTHORITY TO SUPPORT THE REQUEST. THE DISTRICT COURT GRANTED DEFENDANT’S MOTION TO COMPEL:

Plaintiff’s argument totally misses the mark; in fact, it borders on being incomprehensible. Far from being baseless, Defendant’s request is entirely consistent with both the letter and spirit of the

Federal Rules of Civil Procedure regarding the discovery of electronically stored information and this Court’s Local Rules. It is well settled by now that “electronic discovery should be a party-driven process.” *Romero v. Allstate Ins. Co.*, 271 F.R.D. 96, 109 (E.D. Pa. 2010) (internal citation omitted). The Federal Rules expressly require counsel to meet and confer on “any issues about disclosure, discovery, or preservation of electronically stored information, including the form or forms in which it should be produced[.]” Fed. R. Civ. P. 26(f)(3)(C). “Among the items about which the court expects counsel to ‘reach practical agreement’ without the court having to micro-manage e-discovery are ‘search terms, date ranges, key players and the like.’ ” *Romero*, 271 F.R.D. at 109 * * *. Indeed, this principle is incorporated into this Court’s Local Rules, which direct counsel to “meet and confer, and attempt to agree, on the discovery of ESI, including . . . an ESI search protocol, including methods to filter data, such as application of search terms or date ranges.” LCvR 26.2(C). Accordingly, Defendant’s motion is GRANTED insofar as it seeks to compel Plaintiff to confer and come to an agreement on the search terms Defendant will use to cull through the additional email archives that Defendant has identified as having been retrieved. * * *

Id. at *2.

5. PHYSICAL AND MENTAL EXAMINATIONS

Read Federal Rule of Civil Procedure 35 and the accompanying materials in the Supplement.

In many lawsuits, a party will need to have its own medical professionals physically examine an adverse party whose condition is in controversy. However, a compelled medical examination involves an intrusion on a person’s privacy, and some medical tests can entail discomfort and pain. Rule 35 requires a court order for an examination and imposes strict standards. A court can force a party to submit to examination or to make persons under their legal custody or control available for examination. But the person’s physical or mental condition must be in controversy, and the movant must show “good cause” to compel the examination. The determination of good cause involves weighing the pain, danger, or intrusiveness of the examination against the need for, or usefulness of, the information to be gained.

In practice, most physical and mental examinations occur as a result of agreements between attorneys. The primary effect of Rule 35 is to encourage parties to stipulate to examinations. Examinations are routine in personal injury actions, as well as in litigation involving issues of

paternity, incompetence, and undue influence. Of course, the Rule is available in those cases in which the parties cannot agree. Stipulations typically address questions concerning the time and place of the examination, and the procedures to be used. Rule 35 gives the examined party the right to a copy of the examiner’s report, even if he or she submitted to an examination without the compulsion of a court order.

SCHLAGENHAUF V. HOLDER
Supreme Court of the United States, 1964.
[379 U.S. 104, 85 S.Ct. 234, 13 L.Ed.2d 152.](#)

Certiorari to the United States Court of Appeals for the Seventh Circuit.
JUSTICE GOLDBERG delivered the opinion of the Court.
This case involves the validity and construction of Rule 35(a) of the Federal Rules of Civil Procedure as applied to the examination of a defendant in a negligence action. * * *

An action based on diversity of citizenship was brought in the District Court seeking damages arising from personal injuries suffered by passengers of a bus which collided with the rear of a tractor-trailer. The named defendants were The Greyhound Corporation, owner of the bus; petitioner, Robert L. Schlagenhauf, the bus driver; Contract Carriers, Inc., owner of the tractor; Joseph L. McCorkhill, driver of the tractor; * * * and National Lead Company, owner of the trailer. Answers were filed by each of the defendants denying negligence.
Greyhound then cross-claimed against Contract Carriers and National Lead for damage to Greyhound’s bus, alleging that the collision was due solely to their negligence in that the tractor-trailer was driven at an unreasonably low speed, had not remained in its lane, and was not equipped with proper rear lights. Contract Carriers filed an answer to this cross-claim denying its negligence and asserting “[t]hat the negligence of the driver of the * * * bus [petitioner Schlagenhauf] proximately caused and contributed to * * * Greyhound’s damages.”

* * *

Contract Carriers and National Lead then petitioned the District Court for an order directing petitioner Schlagenhauf to submit to both mental and physical examinations by one specialist in each of the following fields:
(1)Internal medicine;
(2)Ophthalmology;
(3)Neurology; and

(4)Psychiatry.
For the purpose of offering a choice to the District Court of one specialist in each field, the petition recommended two specialists in internal medicine, ophthalmology, and psychiatry, respectively, and three specialists in neurology—a total of nine physicians. The petition alleged that the mental and physical condition of Schlagenhauf was “in controversy” as it had been raised by Contract Carriers’ answer to Greyhound’s cross-claim. This was supported by a brief of legal authorities and an affidavit of Contract Carriers’ attorney stating that Schlagenhauf had seen red lights 10 to 15 seconds before the accident, that another witness had seen the rear lights of the trailer from a distance of three-quarters to one-half mile, and that Schlagenhauf had been involved in a prior accident.

* * *

While disposition of this petition was pending, National Lead filed its answer to Greyhound’s cross-claim and itself “cross-claimed” against Greyhound and Schlagenhauf for damage to its trailer. * * *
The District Court, on the basis of the petition filed by Contract Carriers, and without any hearing, ordered Schlagenhauf to submit to nine examinations—one by each of the recommended specialists—despite the fact that the petition clearly requested a total of only four examinations.
Petitioner applied for a writ of mandamus in the Court of Appeals against the respondent, the District Court Judge, seeking to have set aside the order requiring his mental and physical examinations. The Court of Appeals denied mandamus, one judge dissenting * * *.
We granted certiorari to review undecided questions concerning the validity and construction of Rule 35. * * *

Rule 35 on its face applies to all “parties,” which under any normal reading would include a defendant. Petitioner contends, however, that the application of the Rule to a defendant would be an unconstitutional invasion of his privacy, or, at the least, be a modification of substantive rights existing prior to the adoption of the Federal Rules of Civil Procedure and thus beyond the congressional mandate of the

Rules Enabling Act.

These same contentions were raised [and rejected] in *Sibbach v. Wilson & Co.* * * * [p. 477, *supra*] by a plaintiff in a negligence action who asserted a physical injury as a basis for recovery. * * * Petitioner does not challenge the holding in *Sibbach* as applied to plaintiffs. He contends, however, that it should not be extended to defendants. We can see no basis * * * for such a distinction. * * * Issues cannot be resolved by a doctrine of favoring one class of litigants over another.

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We recognize that, insofar as reported cases show, this type of discovery in federal courts has been applied solely to plaintiffs, and that some early state cases seem to have proceeded on a theory that a plaintiff who seeks redress for injuries in a court of law thereby “waives” his right to claim the inviolability of his person. * * *

[The Court then rejected the “waiver” theory on the basis of language in the *Sibbach* case.] The chain of events leading to an ultimate determination on the merits begins with the injury of the plaintiff, an involuntary act on his part. Seeking court redress is just one step in this chain. If the plaintiff is prevented or deterred from this redress, the loss is thereby forced on him to the same extent as if the defendant were prevented or deterred from defending against the action.

* * *

Petitioner contends that even if Rule 35 is to be applied to defendants, which we have determined it must, nevertheless it should not be applied to him as he was not a party in relation to Contract Carriers and National Lead—the movants for the mental and physical examinations—at the time the examinations were sought. * * * While it is clear that the person to be examined must be a party to the case,¹² we are of the view that * * * Rule 35 only requires that the person to be examined be a party to the “action,” not that he be an opposing party *vis-à-vis* the movant. There is no doubt that Schlagenhauf was a “party” to this “action” by virtue of the original complaint. * * * Insistence that the movant have filed a pleading against the person to be examined would have the undesirable result of an unnecessary proliferation of cross-claims and counterclaims and would not be in keeping with the aims of a liberal, nontechnical application of the Federal Rules. * * *

While the Court of Appeals held that petitioner was not a party *vis-à-vis* National Lead or Contract Carriers at the time the examinations were first sought, it went on to hold that he had become a party *vis-à-vis* National Lead by the time of a second order entered by the District Court and thus was a party within its rule. This second order, identical in all material respects with the first, was entered on the basis of supplementary petitions filed by National Lead and Contract Carriers. These petitions gave no new basis for the examinations, except for the allegation that petitioner’s mental and physical condition had been additionally put in controversy by the National Lead answer and cross-claim, which had been filed subsequent to the first petition for examinations. Although the filing of the petition for mandamus intervened between these two orders, we accept, for purposes of this opinion, the determination of the Court of

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Appeals that this second order was the one before it and agree that petitioner was clearly a party at this juncture under any test.

Petitioner next contends that his mental or physical condition was not “in controversy” and “good cause” was not shown for the examinations, both as required by the express terms of Rule 35.

* * *

It is notable * * * that in none of the other discovery provisions is there a restriction that the matter be “in controversy,” and only in Rule 34 is there Rule 35’s requirement that the movant affirmatively demonstrate “good cause.”¹³

This additional requirement of “good cause” was reviewed by Chief Judge Sobeloff in *Guilford National Bank v. Southern R. Co.*, 297 F. 2d 921, 924 (C. A. 4th Cir.), in the following words:

“* * * The specific requirement of good cause would be meaningless if good cause could be sufficiently established by merely showing that the desired materials are relevant, for the relevancy standard has already been imposed by Rule 26(b). Thus, by adding the words “* * * good cause * * *,” the Rules indicate that there must be greater showing of need under Rules 34 and 35 than under the other discovery rules.”

The courts of appeals in other cases * * * have also recognized that Rule 34’s good-cause requirement is not a mere formality, but is a plainly expressed limitation on the use of that Rule. This is obviously true as to the “in controversy” and “good cause” requirements of Rule 35. They are not met by mere conclusory allegations of the pleadings—nor by mere relevance to the case—but require an affirmative showing by the movant that each condition as to which the examination is sought is really and genuinely in controversy and that good cause exists for ordering each particular examination. Obviously, what may be good cause for one type of examination may not be so for another. The ability of the movant to obtain the desired information by other means is also relevant.

Rule 35, therefore, requires discriminating application by the trial judge, who must decide, as an initial matter in every case, whether the party requesting a mental or physical examination or examinations has adequately demonstrated the existence of the Rule’s requirements of “in controversy” and “good cause,” which requirements, as the Court of Appeals in this case itself recognized, are necessarily related. 321 F.2d, at 51.* * *

Of course, there are situations where the pleadings alone are sufficient to meet these requirements. A plaintiff in a negligence action

who asserts

mental or physical injury * * * places that mental or physical injury clearly in controversy and provides the defendant with good cause for an examination to determine the existence and extent of such asserted injury. This * * * applies equally to a defendant who asserts his mental or physical condition as a defense to a claim, such as, for example, where insanity is asserted as a defense to a divorce action. * * *

Here, however, Schlagenhauf did not assert his mental or physical condition either in support of or in defense of a claim. His condition was sought to be placed in issue by other parties. Thus, under the principles discussed above, Rule 35 required that these parties make an affirmative showing that petitioner’s mental or physical condition was in controversy and that there was good cause for the examinations requested. This, the record plainly shows, they failed to do.

The only allegations in the pleadings relating to this subject were the general conclusory statement in Contract Carriers’ answer to the cross-claim that “Schlagenhauf was not mentally or physically capable of operating” the bus at the time of the accident and the limited allegation in National Lead’s cross-claim that, at the time of the accident, “the eyes and vision of * * * Schlagenhauf was [sic] impaired and deficient.”

The attorney’s affidavit attached to the petition for the examinations provided:

“That * * * Schlagenhauf, in his deposition * * * admitted that he saw red lights for 10 to 15 seconds prior to a collision with a semi-tractor trailer unit and yet drove his vehicle on without reducing speed and without altering the course thereof.

The only eye-witness to this accident known to this affiant * * * testified that immediately prior to the impact between the bus and truck that he had also been approaching the truck from the rear and that he had clearly seen the lights of the truck for a distance of three-quarters to one-half mile to the rear thereof.

* * * Schlagenhauf has admitted in his deposition * * * that he was involved in a [prior] similar type rear end collision. * * *

This record cannot support even the corrected order which required one examination in each of the four specialties of internal medicine, ophthalmology, neurology, and psychiatry. * * * Nothing in the pleadings or affidavit would afford a basis for a belief that Schlagenhauf was suffering from a mental or neurological illness warranting wide-ranging psychiatric or neurological examinations. Nor is there anything stated justifying the broad internal medicine examination. * * *

The only specific allegation made in support of the four examinations ordered was that the “eyes and vision” of Schlagenhauf were impaired. Considering this in conjunction with the affidavit, we would be hesitant to

set aside a visual examination if it had been the only one ordered. * * * However, as the case must be remanded to the District Court because of the other examinations ordered, it would be appropriate for the District Judge to reconsider also this order in light of the guidelines set forth in this opinion.

* * *

Accordingly, the judgment of the Court of Appeals is vacated and the case remanded to the District Court to reconsider the examination order in light of the guidelines herein formulated and for further proceedings in conformity with this opinion.

Vacated and remanded.

JUSTICE BLACK, with whom JUSTICE CLARK joins, concurring in part and dissenting in part.

* * *

In a collision case like this one, evidence concerning very bad eyesight or impaired mental or physical health which may affect the ability to drive is obviously of the highest relevance. It is equally obvious, I think, that when a vehicle continues down an open road and smashes into a truck in front of it although the truck is in plain sight and there is ample time and room to avoid collision, the chances are good that the driver has some physical, mental or moral defect. When such a thing happens twice, one is even more likely to ask, “What is the matter with that driver? Is he blind or crazy?” Plainly the allegations of the other parties were relevant and put the question of Schlagenhauf’s health and vision “in controversy.” * * *

JUSTICE DOUGLAS, dissenting in part.

* * * When the defendant’s doctors examine plaintiff, they are normally interested only in answering a single question: did plaintiff in fact sustain the specific injuries claimed? But plaintiff’s doctors will naturally be inclined to go on a fishing expedition in search of *anything* which will tend to prove that the defendant was unfit to perform the acts which resulted in the plaintiff’s injury. And a doctor for a fee can easily discover something wrong with any patient—a condition that in prejudiced medical eyes might have caused the accident. Once defendants are turned over to medical or psychiatric clinics for an analysis of their physical well-being and the condition of their psyche, the effective trial will be held there and not before the jury. There are no lawyers in those clinics to stop the doctor from probing this organ or that one, to halt a further inquiry, to object to a line of questioning. And there is no judge to sit as arbiter. The doctor or the psychiatrist has a holiday in the privacy of his office. The defendant is at the doctor’s (or psychiatrist’s) mercy; and his

report may either overawe or confuse the jury and prevent a fair trial.

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* * *

Neither the Court nor Congress up to today has determined that any person whose physical or mental condition is brought into question during some lawsuit must surrender his right to keep his person inviolate. Congress did, according to *Sibbach*, require a plaintiff to choose between his privacy and his purse; but before today it has not been thought that any other “party” had lost this historic immunity. Congress and this Court can authorize such a rule. But a rule suited to purposes of discovery against defendants must be carefully drawn in light of the great potential of blackmail.

* * *

[JUSTICE HARLAN’s dissenting opinion is omitted.]

NOTES AND QUESTIONS

1. Should the following examinations be available under Rule 35?
 - (a)The vocational assessment of a plaintiff alleging personal injury. See *Storms v. Lowe’s Home Centers, Inc.*, 211 F.R.D. 296 (W.D.Va. 2002).
 - (b)The physical and mental examination of a Christian Scientist alleging injury from forced medication during a period of involuntary hospitalization. See *Winters v. Travia*, 495 F.2d 839 (2d Cir. 1974).
 - (c)The psychiatric examination of a plaintiff seeking damages for negligent infliction of emotional distress resulting from seeing her child die in a subway train accident. See *Abdulwali v. Washington Metro Area Transit Auth.*, 193 F.R.D. 10 (D.D.C.2000).
- 2.In *Torres v. Time Manufacturing Company*, 2012 WL 13006155, *3 (E.D.Mich. 2012), the district court ordered that an independent medical examination take place and rejected a request to have a third party present or a recording taken, not finding special need or a good reason for either condition. The court underscored that “Rule 35(a) is silent on the question of whether a recording of the examination or observers should be allowed.” Should the court permit counsel to be present at all Rule 35 examinations? A friend? A personal physician? See *Wyatt & Bales, The Presence of Third Parties at Rule 35 Examinations*, 71 Temp.L.Rev. 103 (1998).

6.REQUESTS TO ADMIT

Read Federal Rule of Civil Procedure 36 and the accompanying materials in the Supplement.

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Rule 36 authorizes a party to serve on another party written requests to admit the truth of certain matters of fact or of the application of law to fact, or the genuineness of a document or other evidence that may be used at trial. Rule 36 is not a true discovery device since it does not require the responding party to disclose information. Requests for admissions are used to shape information already known into statements that expedite the trial by limiting the issues in dispute and by obviating some of the formalities that control the introduction of evidence at trial. Although responses to other discovery devices are not conclusive proof and may be contradicted at trial, responses to Rule 36 requests constitute conclusive evidence, unless withdrawn, and cannot be contradicted at trial. However, requests for admissions may function as a discovery device if a party uses them early enough in the litigation to help identify the issues not in dispute and to target the remaining issues for discovery.

A request for admission may be served without the necessity of a court order at any time after the parties have conferred in accordance with Rule 26(d), although usually not later than thirty days before a fixed trial date. Rule 36 provides that each matter of admission must be set forth separately, but says nothing else about the format for requests. However, the now-abrogated Form 51 appended to the Federal Rules of Civil Procedure, which is reproduced in the Supplement, provides an illustration of a request for admissions.

The party who receives a request to admit must respond under oath and in timely fashion, admitting or denying each matter for which an admission is requested, or providing a detailed explanation why it cannot admit or deny the matter. The responding party also may object to a request because improperly phrased (as “vague,” “ambiguous,” “a compound sentence,” or otherwise defectively drafted), or because it seeks privileged or protected information. The responding party may request a court to extend its time to respond. Rule 29 provides that counsel may stipulate to extend the time limits set forth in Rule 36 unless the stipulation would “interfere with the time set for completing discovery, for hearing a motion, or for trial.”

If the party who receives a request to admit does nothing, the matter in the request is deemed admitted. The effects of Rule 36, unlike other discovery rules, are self-executing. Once the time to respond has passed, the requesting party can rely on the matters admitted and take no further discovery on those issues. If a party serves a late response, and the opponent refuses to accept it, a court

may excuse the party’s failure to respond in a timely manner. Likewise, a court may permit a party to withdraw or modify an admission in a timely response. In either situation, the court’s decision turns on the degree of prejudice the requesting party

will suffer because of its reliance on the admission. Because courts so frequently granted a responding party’s request for relief from its failure to respond, leaving requesting parties uncertain about the validity of the admission, and, hence, the necessity of developing evidence for trial, Rule 36(a) was amended in 1970 to permit a requesting party to move for an order deeming the matter to be admitted. Thus, a litigant takes a serious risk by failing to respond to Requests for Admissions. The court may well find that the failure was not justified, that the admissions have been made, and that, as a result, summary judgment is appropriate.

Although Rule 36 and its state counterparts can be enormously useful, in practice requests for admissions are the least used of the discovery devices.

NOTES AND QUESTIONS

1. Rule 36 formerly limited requests for admissions to matters of “fact.” The Rule was amended in 1970 and now permits requests for admissions to inquire into matters relating to facts, the application of law to fact, or opinions about either, and the genuineness of any described documents. A great deal of information can be learned about an opposing party through social media. Can a party use a request to admit in order to determine whether a party maintains a social media site, and then to secure authentication of the site for purposes of admissibility? See McCann, *Tips for Authenticating Social Media Evidence*, 100 Ill.B.J. 482 (2012).

2. What is a “reasonable inquiry” under Rule 36 and when is information not “readily obtainable” by an answering party? The district court in *Kay v. Lamar Advertising of South Dakota, Inc.*, 2008 WL 5221083 (D.S.D. 2008), held that before a responding party “gives the answer ‘I don’t know,’ ” it is required under the rule “to state that it has made reasonable inquiry to attempt to find out the answer to the request to admit and that it still cannot admit or deny the question after having sought information readily available to it.” *Id.* at *6.

3. *Armour v. Knowles*, 512 F.3d 147 (5th Cir. 2007), involved a copyright infringement suit against the popular musician known as Beyoncé for her song “Baby Boy.” The district court granted summary judgment for defendant. The Fifth Circuit affirmed on an alternative ground that plaintiff had failed to show that defendant had access to the disputed song and so could not have copied it. The basis for the affirmance was plaintiff’s answer to defendant’s request for admission stating when he had sent a demo tape of the disputed song to Beyoncé.

F. SPECIAL PROBLEMS REGARDING THE SCOPE OF DISCOVERY

1.MATERIALS PREPARED IN ANTICIPATION OF TRIAL

Read Federal Rule of Civil Procedure 26(b)(3) and the accompanying materials in the Supplement.

HICKMAN V. TAYLOR

Supreme Court of the United States, 1947.
[329 U.S. 495, 67 S.Ct. 385, 91 L.Ed. 451.](#)

Certiorari to the Circuit Court of Appeals for the Third Circuit.

JUSTICE MURPHY delivered the opinion of the Court.

This case presents an important problem under the Federal Rules * * * as to the extent to which a party may inquire into oral and written statements of witnesses, or other information, secured by an adverse party’s counsel in the course of preparation for possible litigation after a claim has arisen. Examination into a person’s files and records, including those resulting from the professional activities of an attorney, must be judged with care. It is not without reason that various safeguards have been established to preclude unwarranted excursions into the privacy of a man’s work. At the same time, public policy supports reasonable and necessary inquiries. Properly to balance these competing interests is a delicate and difficult task.

On February 7, 1943, the tug “J.M. Taylor” sank while engaged in helping to tow a car float of the Baltimore & Ohio Railroad across the Delaware River at Philadelphia. The accident was apparently unusual in nature, the cause of it still being unknown. Five of the nine crew members were drowned. Three days later the tug owners and the underwriters employed a law firm, of which respondent Fortenbaugh is a member, to defend them against potential suits by representatives of the deceased crew members and to sue the railroad for damages to the tug.

A public hearing was held on March 4, 1943, before the United States Steamboat Inspectors, at which the four survivors were examined. This testimony was recorded and made available to all interested parties. Shortly thereafter, Fortenbaugh privately interviewed the survivors and took statements from them with an eye toward the anticipated litigation; the survivors signed these statements on March

29. Fortenbaugh also interviewed other persons believed to have some information relating to

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the accident and in some cases he made memoranda of what they told him. At the time when Fortenbaugh secured the statements of the survivors, representatives of two of the deceased crew members had been in communication with him. Ultimately claims were presented by representatives of all five of the deceased; four of the claims, however, were settled without litigation. The fifth claimant, petitioner herein, brought suit in a federal court under the Jones Act on November 26, 1943, naming as defendants the two tug owners, individually and as partners, and the railroad.

One year later, petitioner filed 39 interrogatories directed to the tug owners. The 38th interrogatory read: "State whether any statements of the members of the crews of the Tugs 'J.M. Taylor' and 'Philadelphia' or of any other vessel were taken in connection with the towing of the car float and the sinking of the Tug 'John M. Taylor'. Attach hereto exact copies of all such statements if in writing, and if oral, set forth in detail the exact provisions of any such oral statements or reports."

Supplemental interrogatories asked whether any oral or written statements, records, reports or other memoranda had been made concerning any matter relative to the towing operation, the sinking of the tug, the salvaging and repair of the tug, and the death of the deceased. If the answer was in the affirmative, the tug owners were then requested to set forth the nature of all such records, reports, statements or other memoranda.

The tug owners, through Fortenbaugh, answered all of the interrogatories except No. 38 and the supplemental ones just described. While admitting that statements of the survivors had been taken, they declined to summarize or set forth the contents. They did so on the ground that such requests called "for privileged matter obtained in preparation for litigation" and constituted "an attempt to obtain indirectly counsel's private files." It was claimed that answering these requests "would involve practically turning over not only the complete files, but also the telephone records and, almost, the thoughts of counsel."

In connection with the hearing on these objections, Fortenbaugh made a written statement and gave an informal oral deposition explaining the circumstances under which he had taken the statements. But he was not expressly asked in the deposition to produce the statements. The District Court for the Eastern District of Pennsylvania, sitting en banc, held that the requested matters were not privileged. 4 F.R.D. 479. The court then decreed that the tug owners and Fortenbaugh, as counsel and agent for the tug owners forthwith "Answer Plaintiff's 38th interrogatory and supplemental interrogatories; produce all written statements of witnesses obtained by Mr. Fortenbaugh, as counsel and agent for Defendants; state in substance any fact concerning this case which Defendants learned

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through oral statements made by witnesses to Mr. Fortenbaugh whether or not included in his private memoranda and produce Mr. Fortenbaugh's memoranda containing statements of fact by witnesses or to submit these memoranda to the Court for determination of those portions which should be revealed to Plaintiff." Upon their refusal, the court adjudged them in contempt and ordered them imprisoned until they complied.

The Third Circuit Court of Appeals, also sitting en banc, reversed the judgment of the District Court. 153 F.2d 212. It held that the information here sought was part of the "work product of the lawyer" and hence privileged from discovery under the Federal Rules of Civil Procedure. The importance of the problem, which has engendered a great divergence of views among district courts, led us to grant certiorari. * * *

There is an initial question as to which of the deposition-discovery rules is involved in this case. Petitioner, in filing his interrogatories, thought that he was proceeding under Rule 33.

* * * [I]t does not appear from the record that petitioner filed a motion under Rule 34 for a court order directing the production of the documents in question. Indeed, such an order could not have been entered as to Fortenbaugh since Rule 34, like Rule 33, is limited to parties to the proceeding, thereby excluding their counsel or agents.

Thus to the extent that petitioner was seeking the production of the memoranda and statements gathered by Fortenbaugh in the course of his activities as counsel, petitioner misconceived his remedy. Rule 33 did not permit him to obtain such memoranda and statements as adjuncts to the interrogatories addressed to the individual tug owners. A party clearly cannot refuse to answer interrogatories on the ground that the information sought is solely within the knowledge of his attorney. But that is not this case. Here production was sought of documents prepared by a party's attorney after the claim has arisen. Rule 33 does not make provision for such production, even when sought in connection with permissible interrogatories. Moreover, since petitioner was also foreclosed from securing them through an order under Rule 34, his only recourse was to take Fortenbaugh's deposition under Rule 26 and to attempt to force Fortenbaugh to produce the materials by use of a subpoena duces tecum in accordance with Rule 45. * * * But despite petitioner's faulty choice of action, the District Court entered an order, apparently under Rule 34, commanding the tug owners and Fortenbaugh, as their agent and counsel, to produce the materials in question. Their refusal led to the anomalous result of holding the tug owners in contempt for failure to produce that which was in the possession of their counsel and of holding Fortenbaugh in contempt for failure to produce that which he could not be compelled to produce under either Rule 33 or Rule 34.

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But under the circumstances we deem it unnecessary and unwise to rest our decision upon this procedural irregularity, an irregularity which is not strongly urged upon us and which was disregarded in the two courts below. * * * [T]he basic question at stake is whether any of those devices may be used to inquire into materials collected by an adverse party's counsel in the course of preparation for possible litigation. The fact that the petitioner may have used the wrong method does not destroy the main thrust of his attempt. * * * [I]n the present circumstances, for the purposes of this decision, the procedural irregularity is not material. * * *

In urging that he has a right to inquire into the materials secured and prepared by Fortenbaugh, petitioner emphasizes that the deposition-discovery portions of the Federal Rules of Civil Procedure are designed to enable the parties to discover the true facts and to compel their disclosure wherever they may be found. It is said that inquiry may be made under these rules, epitomized by Rule 26, as to any relevant matter which is not privileged; and since the discovery provisions are to be applied as broadly and liberally as possible, the privilege limitation must be restricted to its narrowest bounds. On the premise that the attorney-client privilege is the one involved in this case, petitioner argues that it must be strictly confined to confidential communications made by a client to his attorney. And since the materials here in issue were secured by Fortenbaugh from third persons rather than from his clients, the tug owners, the conclusion is reached that these materials are proper subjects for discovery under Rule 26.

As additional support for this result, petitioner claims that to prohibit discovery under these circumstances would give a corporate defendant a tremendous advantage in a suit by an individual plaintiff. Thus in a suit by an injured employee against a railroad or in a suit by an insured person against an insurance company the corporate defendant could pull a dark veil of secrecy over all the pertinent facts it can collect after the claim arises merely on the assertion that such facts were gathered by its large staff of attorneys and claim agents. At the same time, the individual plaintiff, who often has direct knowledge of the matter in issue and has no counsel until sometime after his claim arises could be compelled to disclose all the intimate details of his case. By endowing with immunity from disclosure all that a lawyer discovers in the course of his duties, it is said, the rights of individual litigants in such cases are drained of vitality and the lawsuit becomes more of a battle of deception than a search for truth.

But framing the problem in terms of assisting individual plaintiffs in their suits against corporate defendants is unsatisfactory. Discovery concededly may work to the disadvantage as well as to the advantage of individual plaintiffs. Discovery, in other words, is not a one-way proposition. It is available in all types of cases at the behest of any party, individual or corporate, plaintiff or defendant. The problem thus far

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transcends the situation confronting this petitioner. And we must view that problem in light of the limitless situations where the particular kind of discovery sought by petitioner might be used.

We agree, of course, that the deposition-discovery rules are to be accorded a broad and liberal treatment. No longer can the time-honored cry of "fishing expedition" serve to preclude a party from inquiring into the facts underlying his opponent's case. Mutual knowledge of all the relevant facts gathered by both parties is essential to proper litigation. To that end, either party may compel the other to disgorge whatever facts he has in his possession. The deposition-discovery procedure simply advances the stage at which the disclosure can be compelled from the time of trial to the period preceding it, thus reducing the possibility of surprise. But discovery, like all matters of procedure, has ultimate and necessary boundaries. As indicated by Rules 30(b) and (d) and 31(d), limitations inevitably arise when it can be shown that the examination is being conducted in bad faith or in such a manner as to annoy, embarrass or oppress the person subject to the inquiry.^d And as Rule 26(b) provides, further limitations come into existence when the inquiry touches upon the irrelevant or encroaches upon the recognized domains of privilege.

We also agree that the memoranda, statements and mental impressions in issue in this case fall outside the scope of the attorney-client privilege and hence are not protected from discovery on that basis. * * *

But the impropriety of invoking that privilege does not provide an answer to the problem before us. Petitioner has made more than an ordinary request for relevant, non-privileged facts in the possession of his adversaries or their counsel. He has sought discovery as of right of oral and written statements of witnesses whose identity is well known and whose availability to petitioner appears unimpaired. He has sought production of these matters after making the most searching inquiries of his opponents as to the circumstances surrounding the fatal accident, which inquiries were sworn to have been answered to the best of their information and belief. Interrogatories were directed toward all the events prior to, during and subsequent to the sinking of the tug. Full and honest answers to such broad inquiries would necessarily have included all pertinent information gleaned by Fortenbaugh through his interviews with the witnesses. Petitioner makes no suggestion, and we cannot assume, that the tug owners or Fortenbaugh were incomplete or dishonest in the framing of their answers. In addition, petitioner was free to examine the public testimony of the witnesses taken before the United States Steamboat Inspectors. We are thus dealing with an attempt to secure the production of written statements and mental impressions contained in the files and the mind of the attorney Fortenbaugh without any showing of necessity or

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any indication or claim that denial of such production would unduly prejudice the preparation of petitioner's case or cause him any hardship or injustice. For aught that appears, the essence of what petitioner seeks either has been revealed to him already through the interrogatories or is readily available to him direct from the witnesses for the asking.

* * *

In our opinion, neither Rule 26 nor any other rule dealing with discovery contemplates production under such circumstances. That is not because the subject matter is privileged or irrelevant, as those concepts are used in these rules. Here is simply an attempt, without purported necessity or justification, to secure written statements, private memoranda and personal recollections prepared or formed by an adverse party's counsel in the course of his legal duties. As such, it falls outside the arena of discovery and contravenes the public policy underlying the orderly prosecution and defense of legal claims. Not even the most liberal of discovery theories can justify unwarranted inquiries into the files and the mental impressions of an attorney.

Historically, a lawyer is an officer of the court and is bound to work for the advancement of justice while faithfully protecting the rightful interests of his clients. In performing his various duties, however, it is essential that a lawyer work with a certain degree of privacy, free from unnecessary intrusion by opposing parties and their counsel. Proper preparation of a client's case demands that he assemble information, sift what he considers to be the relevant from the irrelevant facts, prepare his legal theories and plan his strategy without undue and needless interference. That is the historical and the necessary way in which lawyers act within the framework of our system of jurisprudence to promote justice and to protect their clients' interests. This work is reflected, of course, in interviews, statements, memoranda, correspondence, briefs, mental impressions, personal beliefs, and countless other tangible and intangible ways—aptly though roughly termed by the Circuit Court of Appeals in this case (153 F.2d 212, 223) as the “work product of the lawyer.” Were such materials open to opposing counsel on mere demand, much of what is now put down in writing would remain unwritten. An attorney's thoughts, heretofore inviolate, would not be his own. Inefficiency, unfairness and sharp practices would inevitably develop in the giving of legal advice and in the preparation of cases for trial. The effect on the legal profession would be demoralizing. And the interests of the clients and the cause of justice would be poorly served.

We do not mean to say that all written materials obtained or prepared by an adversary's counsel with an eye toward litigation are necessarily free from discovery in all cases. Where relevant and non-privileged facts remain hidden in an attorney's file and where production of those facts is essential

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to the preparation of one's case, discovery may properly be had. Such written statements and documents might, under certain circumstances, be admissible in evidence or give clues as to the existence or location of relevant facts. Or they might be useful for purposes of impeachment or corroboration. And production might be justified where the witnesses are no longer available or can be reached only with difficulty. Were production of written statements and documents to be precluded under such circumstances, the liberal ideals of the deposition-discovery portions of the Federal Rules * * * would be stripped of much of their meaning. But the general policy against invading the privacy of an attorney's course of preparation is so well recognized and so essential to an orderly working of our system of legal procedure that a burden rests on the one who would invade that privacy to establish adequate reasons to justify production through a subpoena or court order. That burden, we believe, is necessarily implicit in the rules as now constituted.

Rule 30(b), as presently written, gives the trial judge the requisite discretion to make a judgment as to whether discovery should be allowed as to written statements secured from witnesses. But in the instant case there was no room for that discretion to operate in favor of the petitioner. No attempt was made to establish any reason why Fortenbaugh should be forced to produce the written statements. There was only a naked, general demand for these materials as of right and a finding by the District Court that no recognizable privilege was involved. That was insufficient to justify discovery under these circumstances and the court should have sustained the refusal of the tug owners and Fortenbaugh to produce.

But as to oral statements made by witnesses to Fortenbaugh, whether presently in the form of his mental impressions or memoranda, we do not believe that any showing of necessity can be made under the circumstances of this case so as to justify production. Under ordinary conditions, forcing an attorney to repeat or write out all that witnesses have told him and to deliver the account to his adversary gives rise to grave dangers of inaccuracy and untrustworthiness. No legitimate purpose is served by such production. The practice forces the attorney to testify as to what he remembers or what he saw fit to write down regarding witnesses' remarks. Such testimony could not qualify as evidence; and to use it for impeachment or corroborative purposes would make the attorney much less an officer of the court and much more an ordinary witness. The standards of the profession would thereby suffer.

Denial of production of this nature does not mean that any material, nonprivileged facts can be hidden from the petitioner in this case. He need not be unduly hindered in the preparation of his case, in the discovery of facts or in his anticipation of his opponents' position. Searching interrogatories directed to Fortenbaugh and the tug owners, production of written documents and statements upon a proper showing and direct

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interviews with the witnesses themselves all serve to reveal the facts in Fortenbaugh's possession to the fullest possible extent consistent with public policy. Petitioner's counsel frankly admits that he wants the oral statements only to help prepare himself to examine witnesses and to make sure that he has overlooked nothing. That is insufficient under the circumstances to permit him an exception to the policy underlying the privacy of Fortenbaugh's professional activities. If there should be a rare situation justifying production of these matters, petitioner's case is not of that type.

We fully appreciate the wide-spread controversy among the members of the legal profession over the problem raised by this case. * * * But until some rule or statute definitely prescribes otherwise, we are not justified in permitting discovery in a situation of this nature as a matter of unqualified right. When Rule 26 and the other discovery rules were adopted, this Court and the members of the bar in

general certainly did not believe or contemplate that all the files and mental processes of lawyers were thereby opened to the free scrutiny of their adversaries. And we refuse to interpret the rules at this time so as to reach so harsh and unwarranted a result.

We therefore affirm the judgment of the Circuit Court of Appeals.

Affirmed.

JUSTICE JACKSON, concurring.

* * *

To consider first the most extreme aspect of the requirement in litigation here, we find it calls upon counsel, if he has had any conversations with any of the crews of the vessels in question or of any other, to “set forth in detail the exact provision of any such oral statements or reports.” Thus the demand is not for the production of a transcript in existence but calls for the creation of a written statement not in being. But the statement by counsel of what a witness told him is not evidence when written. Plaintiff could not introduce it to prove his case. What, then, is the purpose sought to be served by demanding this of adverse counsel?

Counsel for the petitioner candidly said on argument that he wanted this information to help prepare himself to examine witnesses, to make sure he overlooked nothing. He bases his claim to it in his brief on the view that the Rules were to do away with the old situation where a law suit developed into “a battle of wits between counsel.” But a common law trial is and always should be an adversary proceeding. Discovery was hardly intended to enable a learned profession to perform its functions either without wits or on wits borrowed from the adversary.

The real purpose and the probable effect of the practice ordered by the district court would be to put trials on a level even lower than a “battle of wits.” I can conceive of no practice more demoralizing to the Bar than to

require a lawyer to write out and deliver to his adversary an account of what witnesses have told him. Even if his recollection were perfect, the statement would be his language permeated with his inferences. Every one who has tried it knows that it is almost impossible so fairly to record the expressions and emphasis of a witness that when he testifies in the environment of the court and under the influence of the leading question there will not be departures in some respects. Whenever the testimony of the witness would differ from the “exact” statement the lawyer had delivered, the lawyer’s statement would be whipped out to impeach the witness. Counsel producing his adversary’s “inexact” statement could lose nothing by saying, “Here is a contradiction, gentlemen of the jury. I do not know whether it is my adversary or his witness who is not telling the truth, but one is not.” of course, if this practice were adopted, that scene would be repeated over and over again. The lawyer who delivers such statements often would find himself branded a deceiver afraid to take the stand to support his own version of the witness’s conversation with him, or else he will have to go on the stand to defend his own credibility—perhaps against that of his chief witness, or possibly even his client.

Every lawyer dislikes to take the witness stand and will do so only for grave reasons. This is partly because it is not his role; he is almost invariably a poor witness. But he steps out of professional character to do it. He regrets it; the profession discourages it. But the practice advocated here is one which would force him to be a witness, not as to what he has seen or done but as to other witnesses’ stories, and not because he wants to do so but in self-defense.

And what is the lawyer to do who has interviewed one whom he believes to be a biased, lying or hostile witness to get his unfavorable statements and know what to meet? He must record and deliver such statements even though he would not vouch for the credibility of the witness by calling him. Perhaps the other side would not want to call him either, but the attorney is open to the charge of suppressing evidence at the trial if he fails to call such a hostile witness even though he never regarded him as reliable or truthful.

Having been supplied the names of the witnesses, petitioner’s lawyer gives no reason why he cannot interview them himself. If an employee-witness refuses to tell his story, he, too, may be examined under the Rules. He may be compelled on discovery as fully as on the trial to disclose his version of the facts. But that is his own disclosure—it can be used to impeach him if he contradicts it and such a deposition is not useful to promote an unseemly disagreement between the witness and the counsel in the case.

It is true that the literal language of the Rules would admit of an interpretation that would sustain the district court’s order. * * * But all

such procedural measures have a background of custom and practice which was assumed by those who wrote and should be by those who apply them. * * * Certainly nothing in the tradition or practice of discovery up to the time of these Rules would have suggested that they would authorize such a practice as here proposed.

The question remains as to signed statements or those written by witnesses. Such statements are not evidence for the defendant. * * * Nor should I think they ordinarily could be evidence for the plaintiff. But such a statement might be useful for impeachment of the witness who signed it, if he is called and if he departs from the statement. There might be circumstances, too, where impossibility or difficulty of access to the witness or his refusal to respond to requests for information or other facts would show that the interests of justice require that such statements be made available. Production of such statements are governed by Rule 34 and on “Showing good cause therefore” the court may order their inspection, copying or photographing. No such application has here been made; the demand is

made on the basis of right, not on showing of cause.

I agree to the affirmance of the judgment of the Circuit Court of Appeals which reversed the district court.

JUSTICE FRANKFURTER joins in this opinion.

NOTES AND QUESTIONS

1. Federal Rule 26(b)(3), adopted in 1970, provides limited protection of work product from discovery. How does the scope of the Rule differ from the doctrine set out in *Hickman*? Does *Hickman* survive adoption of the Rule? See Clermont, *Surveying Work Product*, 68 Cornell L.Rev. 755 (1983); see also McRobbie, *Move Over Work Product—It’s Time for Some Real Discovery: A Call for a Cost-Allocating Amendment to Rule 26(b)(3)*, 54 Emory L.J. 1407 (2005).

2. Protection under Rule 26(b)(3) is relatively clear when the documents have a “single purpose” in the sense of having been prepared in anticipation of litigation or trial by or for another party or by that other party’s representative. See *In re Grand Jury Subpoena (Mark Torf/Torf Environmental Management)*, 357 F.3d 900, 907 (9th Cir. 2004). Does protection attach if the documents have a “dual purpose,” for example, they also were prepared in response to regulatory or business requirements? Many circuits have adopted a “because of” standard:

The “because of” standard does not consider whether litigation was a primary or secondary motive behind the creation of a document. Rather, it considers the totality of the circumstances and affords protection when it can fairly be said that the “document was created because of anticipated litigation, and would not have been created in

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substantially similar form but for the prospect of that litigation[.]” * * *

The question of entitlement to work product protection cannot be decided simply by looking at one motive that contributed to a document’s preparation. The circumstances surrounding the document’s preparation must also be considered. In the “because of” Wright & Miller formulation, “the nature of the document *and* the factual situation of the particular case” are key to a determination of whether work product protection applies. Wright & Miller § 2024 (emphasis added). When there is a true independent purpose for creating a document, work product protection is less likely, but when two purposes are profoundly interconnected, the analysis is more complicated.

Id. at 908 (internal citations omitted).

3. Explain whether work-product protection should attach in the circumstances that follow:

- (a) A company prepares a memorandum about a contemplated transaction recognizing that the transaction may result in litigation;
- (b) A company is engaged in merger discussions with another company, which requests a candid assessment of the likelihood of success in pending litigations; or
- (c) A company prepares financial statements for its executives, including reserves for projected litigation.

Do you agree that the “because of” standard is appropriate? Would it be preferable to apply a “primary purpose” test? Or a narrower “for use in anticipation of litigation” test? Which test would *Hickman v. Taylor* support? See Behnke, *Work-Product Immunity and Dual-Purpose Documents*, 2011 Mich.St.L.Rev. 1569.

4. Is Rule 26(b)(3)(B), which protects “against disclosure of the mental impressions, conclusions, opinions or legal theories of a party’s attorney or other representative concerning litigation,” consistent with the availability of contention interrogatories and requests for admission? Consider these problems:

- (a) Should a party have to disclose the selection of documents made by counsel to prepare a witness for deposition?
- (b) Can a party depose the opposing party’s attorney to determine whether discovery production has been completed?

See Waltz, *Opinion Work Product: A Critical Analysis of Current Law and a New Analytical Framework*, 73 Or.L.Rev. 385 (1994).

5. Rule 26(b)(3)(C) does not protect a party’s own prior statement concerning the action. Why? The Rule also permits a nonparty witness to

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obtain a copy of his statement upon request. Are the reasons for allowing a witness to obtain his own statement the same for a nonparty as they are for a party? Might a court usefully postpone release of the statement of a witness until after she has been deposed?

6. Should audit work papers prepared by in-house tax attorneys be treated as work-product? Should the protection be limited to documents prepared “for use” in litigation? Compare *United States v. Textron Inc. and Subsidiaries*, 577 F.3d 21 (1st Cir. 2009), with *United States v. Deloitte LLP*, 610 F.3d 129 (D.C. 2010). See Jung, *Note—Textron: The False Choice Between Financial Transparency and Litigant Confidentiality*, 7 N.Y.U.J.L. & Bus. 393 (2010), arguing against a disclosure rule that would provide “litigating opponents with unfettered access to audit documents containing confidential company information,” while limiting shareholders and the general investing public “to the information contained in the financial statements.” Id. at 425.

2.PRIVILEGES AND WORK PRODUCT—THE EXTENT OF PROTECTION

Rule 26(b)(1) limits discovery to “any nonprivileged matter,” and the usual view has been that the same rules of privilege generally

apply to discovery as apply at the trial. A privilege rule gives a person a right to refuse to disclose information that he otherwise would be required to provide. It also may give a person the right to prevent someone else from disclosing information, or it may give its possessor a right to refuse to become a witness. A rule of privilege is a counterweight to the general power of courts to compel testimony. Modern pretrial discovery involves an extension of the judicial power to compel disclosure and has been met by the expansion of old privileges and the creation of new ones that will check this power.

One rule of privilege that all American courts recognize is the attorney-client privilege. They also agree on its basic contours. For the privilege to attach to a communication, four elements must be present:

(1) [T]he asserted holder of the privilege is or sought to be a client; (2) the person to whom the communication was made (a) is a member of the bar of a court, or his subordinate and (b) in connection with this communication is acting as a lawyer; (3) the communication relates to a fact of which the attorney was informed (a) by his client (b) without the presence of strangers (c) for the purpose of securing primarily either (i) an opinion on law or (ii) legal services or (iii) assistance in some legal proceeding, and not (d) for the purpose of committing a crime or tort; and (4) the privilege has been (a) claimed and (b) not waived by the client.

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UNITED STATES v. UNITED SHOE MACHINERY CORP., 89 F.Supp. 357, 358–59 (D.Mass. 1950).

Because the attorney-client privilege results in the suppression of relevant facts, courts tend to construe it narrowly and to resolve doubtful cases against a finding of privilege. One observer has said:

While often unexpressed, the crucial factor limiting the privilege’s availability is not the past law of the privilege but the developing rules of liberal discovery. * * * At least when precedent is not absolutely clear, whether a party can assert the privilege will often depend less on the jurisdiction’s law of privilege than on the particular judge’s attitude toward liberal discovery.

Bartell, *The Attorney-Client Privilege and the Work-Product Doctrine*, in ALI-ABA Civil Procedure and Litigation in Federal and State Courts, vol. I, at 507 (1987).

UPJOHN CO. v. UNITED STATES

Supreme Court of the United States, 1981.

[449 U.S. 383, 101 S.Ct. 677, 66 L.Ed.2d 584.](#)

Certiorari to the United States Court of Appeals for the Sixth Circuit.

JUSTICE REHNQUIST delivered the opinion of the Court.

We granted certiorari in this case to address important questions concerning the scope of the attorney-client privilege in the corporate context and the applicability of the work-product doctrine in proceedings to enforce tax summonses. * * * With respect to the privilege question the parties and various *amici* have described our task as one of choosing between two “tests” which have gained adherents in the courts of appeals. We are acutely aware, however, that we sit to decide concrete cases and not abstract propositions of law. We decline to lay down a broad rule or series of rules to govern all conceivable future questions in this area, even were we able to do so. We can and do, however, conclude that the attorney-client privilege protects the communications involved in this case from compelled disclosure and that the work-product doctrine does apply in tax summons enforcement proceedings.

I

Petitioner Upjohn Co. manufactures and sells pharmaceuticals here and abroad. In January 1976 independent accountants conducting an audit of one of Upjohn’s foreign subsidiaries discovered that the subsidiary made payments to or for the benefit of foreign government officials in order to secure government business. The accountants so informed Mr. Gerard Thomas, Upjohn’s Vice President, Secretary, and General Counsel. * * * He consulted with outside counsel and R. T. Parfet, Jr., Upjohn’s Chairman of the Board. It was decided that the company would conduct an internal

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investigation of what were termed “questionable payments.” As part of this investigation the attorneys prepared a letter containing a questionnaire which was sent to “All Foreign General and Area Managers” over the Chairman’s signature. The letter began by noting recent disclosures that several American companies made “possibly illegal” payments to foreign government officials and emphasized that the management needed full information concerning any such payments made by Upjohn. The letter indicated that the Chairman had asked Thomas, identified as “the company’s General Counsel,” “to conduct an investigation for the purpose of determining the nature and magnitude of any payments made by the Upjohn Company or any of its subsidiaries to any employee or official of a foreign government.” The questionnaire sought detailed information concerning such payments. Managers were instructed to treat the investigation as “highly confidential” and not to discuss it with anyone other than Upjohn employees who might be helpful in providing the requested information. Responses were to be sent directly to Thomas. Thomas and outside counsel also interviewed the recipients of the questionnaire and some 33 other Upjohn officers or employees as part of the investigation.

On March 26, 1976, the company voluntarily submitted a preliminary report to the Securities and Exchange Commission on Form 8BK disclosing certain questionable payments. A copy of the report was simultaneously submitted to the Internal Revenue Service, which immediately began an investigation to determine the tax consequences of the payments. Special agents conducting the investigation were given lists by Upjohn of all those interviewed and all who had responded to the questionnaire. On November 23, 1976, the Service issued a summons pursuant to 26 U.S.C. § 7602 demanding production of:

All files relative to the investigation conducted under the supervision of Gerard Thomas to identify payments to employees of foreign governments and any political contributions made by the Upjohn Company or any of its affiliates since January 1, 1971 and to determine whether any funds of the Upjohn Company had been improperly accounted for on the corporate books during the same period.

The records should include but not be limited to written questionnaires sent to managers of the Upjohn Company's foreign affiliates, and memoranda or notes of the interviews conducted in the United States and abroad with officers and employees of the Upjohn Company and its subsidiaries. * * *

The company declined to produce the documents specified in the second paragraph on the grounds that they were protected from disclosure by the attorney-client privilege and constituted the work product of

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attorneys prepared in anticipation of litigation. On August 31, 1977, the United States filed a petition seeking enforcement of the summons under 26 U.S.C. §§ 7402(b) and 7604(a) in the United States District Court for the Western District of Michigan. That court adopted the recommendation of a Magistrate who concluded that the summons should be enforced. Petitioners appealed to the Court of Appeals for the Sixth Circuit which rejected the Magistrate's finding of a waiver of the attorney-client privilege, * * * but agreed that the privilege did not apply "[t]o the extent that the communications were made by officers and agents not responsible for directing Upjohn's actions in response to legal advice * * * for the simple reason that the communications were not the 'client's.' " * * * The court reasoned that accepting petitioner's claim for a broader application of the privilege would encourage upper-echelon management to ignore unpleasant facts and create too broad a "zone of silence." Noting that Upjohn's counsel had interviewed officials such as the Chairman and President, the Court of Appeals remanded to the District Court so that a determination of who was within the "control group" could be made. In a concluding footnote the court stated that the work-product doctrine "is not applicable to administrative summonses issued under 26 U.S.C. § 7602." * * *

II

Federal Rule of Evidence 501 provides that "the privilege of a witness * * * shall be governed by the principles of the common law as they may be interpreted by the courts of the United States in light of reason and experience." The attorney-client privilege is the oldest of the privileges for confidential communications known to the common law. 8 J. Wigmore, Evidence § 2290 (McNaughton rev. 1961). Its purpose is to encourage full and frank communication between attorneys and their clients and thereby promote broader public interests in the observance of law and administration of justice. The privilege recognizes that sound legal advice or advocacy serves public ends and that such advice or advocacy depends upon the lawyer's being fully informed by the client. * * * Admittedly complications in the application of the privilege arise when the client is a corporation, which in theory is an artificial creature of the law, and not an individual; but this Court has assumed that the privilege applies when the client is a corporation. * * *

The Court of Appeals, however, considered the application of the privilege in the corporate context to present a "different problem," since the client was an inanimate entity and "only the senior management, guiding and integrating the several operations, . . . f can be said to possess an identity analogous to the corporation as a whole." * * * Such a view, we think, overlooks the fact that the privilege exists to protect not only the

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giving of professional advice to those who can act on it but also the giving of information to the lawyer to enable him to give sound and informed advice. * * * The first step in the resolution of any legal problem is ascertaining the factual background and sifting through the facts with an eye to the legally relevant.* * *

In the case of the individual client the provider of information and the person who acts on the lawyer's advice are one and the same. In the corporate context, however, it will frequently be employees beyond the control group as defined by the court below—"officers and agents . . . [omission in original] responsible for directing [the company's] actions in response to legal advice"—who will possess the information needed by the corporation's lawyers. Middle-level—and indeed lower-level—employees can, by actions within the scope of their employment, embroil the corporation in serious legal difficulties, and it is only natural that these employees would have the relevant information needed by corporate counsel if he is adequately to advise the client with respect to such actual or potential difficulties. * * *

The control group test adopted by the court below thus frustrates the very purpose of the privilege by discouraging the communication of relevant information by employees of the client to attorneys seeking to render legal advice to the client corporation. The attorney's advice will also frequently be more significant to noncontrol group members than to those who officially sanction the advice, and the control group test makes it more difficult to convey full and frank legal advice to the employees who will put into effect the client corporation's policy. * * *

The narrow scope given the attorney-client privilege by the court below not only makes it difficult for corporate attorneys to formulate sound advice when their client is faced with a specific legal problem but also threatens to limit the valuable efforts of corporate counsel to ensure their client’s compliance with the law. In light of the vast and complicated array of regulatory legislation confronting the modern corporation, corporations, unlike most individuals, “constantly go to lawyers to find out how to obey the law[.]” * * * [I]f the purpose of the attorney-client privilege is to be served, the attorney and client must be able to predict with some degree of certainty whether particular discussions will be protected. An uncertain privilege, or one which purports to be certain but results in widely varying applications by the courts, is little better than no privilege at all. The very terms of the test adopted by the court below suggest the unpredictability of its application. The test restricts the availability of the privilege to those officers who play a “substantial role” in deciding and directing a corporation’s legal response. * * *

The communications at issue were made by Upjohn employees to counsel for Upjohn acting as such, at the direction of corporate superiors in

order to secure legal advice from counsel. * * * Information, not available from upper-echelon management, was needed to supply a basis for legal advice concerning compliance with securities and tax laws, foreign laws, currency regulations, duties to shareholders, and potential litigation in each of these areas. The communications concerned matters within the scope of the employees’ corporate duties, and the employees themselves were sufficiently aware that they were being questioned in order that the corporation could obtain legal advice. The questionnaire identified Thomas as “the company’s General Counsel” and referred in its opening sentence to the possible illegality of payments such as the ones on which information was sought. * * * A statement of policy accompanying the questionnaire clearly indicated the legal implications of the investigation. The policy statement was issued “in order that there be no uncertainty in the future as to the policy with respect to the practices which are the subject of this investigation.” It began “Upjohn will comply with all laws and regulations,” and stated that commissions or payments “will not be used as a subterfuge for bribes or illegal payments” and that all payments must be “proper and legal.” Any future agreements with foreign distributors or agents were to be approved “by a company attorney” and any questions concerning the policy were to be referred “to the company’s General Counsel.” * * * This statement was issued to Upjohn employees worldwide, so that even those interviewees not receiving a questionnaire were aware of the legal implications of the interviews. Pursuant to explicit instructions from the Chairman of the Board, the communications were considered “highly confidential” when made, * * * and have been kept confidential by the company. Consistent with the underlying purposes of the attorney-client privilege, these communications must be protected against compelled disclosure.

The Court of Appeals declined to extend the attorney-client privilege beyond the limits of the control group test for fear that doing so would entail severe burdens on discovery and create a broad “zone of silence” over corporate affairs. Application of the attorney-client privilege to communications such as those involved here, however, puts the adversary in no worse position than if the communications had never taken place. The privilege only protects disclosure of communications; it does not protect disclosure of the underlying facts by those who communicated with the attorney * * *. Here the Government was free to question the employees who communicated with Thomas and outside counsel. Upjohn has provided the IRS with a list of such employees, and the IRS has already interviewed some 25 of them. While it would probably be more convenient for the Government to secure the results of petitioner’s internal investigation by simply subpoenaing the questionnaires and notes taken by petitioner’s attorneys, such considerations of convenience do not overcome the policies served by the attorney-client privilege. As Justice Jackson noted in his concurring opinion in *Hickman v. Taylor* * * *: “Discovery was hardly

intended to enable a learned profession to perform its functions . . . on wits borrowed from the adversary.”^g
* * *

Our decision that the communications by Upjohn employees to counsel are covered by the attorney-client privilege disposes of the case so far as the responses to the questionnaires and any notes reflecting responses to interview questions are concerned. * * * To the extent that the material subject to the summons is not protected by the attorney-client privilege as disclosing communications between an employee and counsel, we must reach the ruling by the Court of Appeals that the work-product doctrine does not apply to summonses issued under 26 U.S.C. § 7602.^h

The Government concedes, wisely, that the Court of Appeals erred and that the work-product doctrine does apply to IRS summonses. * * * This doctrine was announced by the Court over 30 years ago in *Hickman v. Taylor* * * *. * * * The Court noted that “it is essential that a lawyer work with a certain degree of privacy” * * *. The “strong public policy” underlying the work-product doctrine * * * has been substantially incorporated in Federal Rule * * * 26(b)(3). * * * Nothing in the language of the IRS summons provisions or their legislative history suggests an intent on the part of Congress to preclude application of the work-product doctrine. Rule 26(b)(3) codifies the work-product doctrine, and the Federal Rules of Civil Procedure are made applicable to summons enforcement proceedings by Rule 81(a)(3).^h * * * While conceding the applicability of the work-product doctrine, the Government asserts that it has made a sufficient showing of necessity to overcome its protections. * * * The Government stresses that interviewees are scattered across the globe and that Upjohn has forbidden its employees to answer questions it considers irrelevant. The above-quoted language from *Hickman*, however, did

not apply to “oral statements made by witnesses . . .ⁱ whether presently in the form of [the attorney’s] mental impressions or memoranda.” * * * As to such material the Court did “not believe that any showing of necessity can be made under the circumstances of this case so as to justify production * * *.” * * * Forcing an attorney to disclose notes and memoranda of witnesses’ oral statements is particularly disfavored because it tends to reveal the attorney’s mental processes * * *.

Rule 26 accords special protection to work product revealing the attorney’s mental processes. The Rule permits disclosure of documents and

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tangible things constituting attorney work product upon a showing of substantial need and inability to obtain the equivalent without undue hardship. * * * Rule 26 goes on, however, to state that “[i]n ordering discovery of such materials when the required showing has been made, the court shall protect against disclosure of the mental impressions, conclusions, opinions or legal theories of an attorney or other representative of a party concerning the litigation.” [This language has been altered but its substance has not been changed.] Although this language does not specifically refer to memoranda based on oral statements of witnesses, the *Hickman* court stressed the danger that compelled disclosure of such memoranda would reveal the attorney’s mental processes. It is clear that this is the sort of material the draftsmen of the Rule had in mind as deserving special protection. * * *

* * * It is clear that the Magistrate applied the wrong standard when he concluded that the Government had made a sufficient showing of necessity to overcome the protections of the work-product doctrine. The Magistrate applied the “substantial need” and “without undue hardship” standard articulated in the first part of Rule 26(b)(3). The notes and memoranda sought by the Government here, however, are work product based on oral statements. If they reveal communications, they are, in this case, protected by the attorney-client privilege. To the extent they do not reveal communications, they reveal the attorneys’ mental processes in evaluating the communications. As Rule 26 and *Hickman* make clear, such work product cannot be disclosed simply on a showing of substantial need and inability to obtain the equivalent without undue hardship.

While we are not prepared at this juncture to say that such material is always protected by the work-product rule, we think a far stronger showing of necessity and unavailability by other means * * * would be necessary to compel disclosure. * * *

Accordingly, the judgment of the Court of Appeals is reversed, and the case remanded for further proceedings.

[The concurring opinion of CHIEF JUSTICE BURGER is omitted.]

NOTES AND QUESTIONS

1. What is the scope of the attorney-client privilege after *Upjohn*? Although the Court declined to announce standards to govern the privilege, would you agree that the factors to be considered include: 1) the communication must be one that would not have been made but for the contemplation of legal services; 2) the content of the communication must relate to the legal services being rendered; 3) the information-giver must be an employee, agent, or independent contractor with a significant relationship to the corporation and the corporation’s involvement in the transaction that is the subject of legal services; 4) the communication must be made in confidence;

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and 5) the privilege may be asserted either by the corporation or by the information-giver. See Sexton, *A Post-Upjohn Consideration of the Corporate Attorney-Client Privilege*, 57 N.Y.U.L.Rev. 443, 487 (1982). See also *Wonneman v. Stratford Secs. Co.*, 23 F.R.D. 281, 285 (S.D.N.Y. 1959) (“[W]here legal advice of any kind is sought from a professional legal advisor in his capacity as such, the communications relevant to that purpose, made in confidence by the client, are at his instance permanently protected from disclosure by himself or by the legal advisor except the protection be waived.”).

2.Explain whether the privilege would attach i n the following situations:

- (a)A former employee speaks to the corporation’s attorney in the course of an internal investigation concerning accounting practices and admits to embezzling funds.
- (b)An inventor speaks to a lawyer before filing an application for the patent and the statements are not entirely technical.
- (c)A client gives documents to his attorney that were created by and received from an unrelated third party.
- (d)A taxpayer gives canceled checks and bank statements to his attorney.
- (e)An insured sends a report to a liability insurer pertinent to a matter covered by the liability policy.

See 8 Wright, Miller & Marcus, *Federal Practice and Procedure* § 2017 (3d ed.).

3.Rule 26(b)(5) establishes a process for asserting the privilege, requiring that the claim be made expressly and that the nature of the withheld material be described in a way that enables the other parties to test the assertion of the privilege. Failure to comply can result not only in the loss of the privilege but also in sanctions under Rule 37. Filing a “privilege log” has become a standard way to assert the privilege. See *Smith v. Café Asia*, 256 F.R.D. 247, 250–51 (D.D.C. 2009). Assertion of the privilege also involves a timeliness requirement. In *MOLONEY v. UNITED STATES*, 204 F.R.D. 16 (D.Mass. 2001), defendant’s counsel blocked testimony during a deposition by asserting work product and attorney-client privilege. In response to plaintiff’s motion to compel, counsel raised and briefed protection under different privileges. The district court ordered production: “[I]t defies logic to

permit counsel to assert one privilege so as to preclude testimony at a deposition, but thereafter research and claim an entirely different privilege in response to a motion to compel. Such conduct most assuredly circumvents both the letter and the spirit of Rules 26(b)(5) and 30(d)(1).” Id. at 21. (Rule 30(d)(1) is now numbered as Rule 30(c)(2).)

4.Rule 26(b)(5)(B) allows for the “clawback” of privileged information that is inadvertently disclosed. Traditionally, the privilege was waived by a party’s voluntary disclosure of the communication. Moreover, once waived, the party could be forced to disclose not only the specific communication but also

all communications involving the same subject matter. See *Duplan Corp. v. Deering Milliken, Inc.*, 397 F.Supp. 1146 (D.S.C. 1974). The danger of an inadvertent disclosure resulting in a waiver has increased exponentially in e-discovery cases that potentially involve millions of documents. See The Sedona Conference, *Best Practices Commentary on the Use of Search and Information Retrieval Methods in E-Discovery*, 8 Sedona Conf.J. 189 (2007). What are the steps that a party must take under the rule if he believes that privileged information has been inadvertently handed over to the opposing party? See Barnette, *Ghost in the Machine: Zubulake Revisited and Other Emerging E-Discovery Issues Under the Amended Federal Rules*, 18 Rich.J.L. & Tech. 11 (2012). The rule does not address whether retrieved information remains protected. However, Federal Rule of Evidence 502 has been amended to govern the substantive consequences of waiver, making clear that the waiver is only of the communication or information disclosed.

5.Does a party waive attorney-client privilege forever by disclosing privileged documents to the federal government in response to an agency subpoena? The circuits are divided on whether a rule of selective waiver ought to apply. Compare *In re Pacific Pictures Corp.*, 679 F.3d 1121 (9th Cir. 2012), with *Diversified Industries, Inc. v. Meredith*, 572 F.2d 596 (8th Cir. 1978). What is the rationale for a rule of selective waiver? To encourage companies to hire outside consultants, or to cooperate voluntarily with the government? See *Diversified*, 572 F.2d at 611. Does a rule of selective waiver undermine the purpose of the privilege? See *Pacific Pictures*, 679 F.3d at 1127.

6.Evidentiary privileges other than that of the attorney-client also exist at common law. Among the most widely recognized is the spousal privilege that protects communications between parties to a marriage. The Constitution is the source of several privileges—for example, the Fifth Amendment privilege against self-incrimination. Other privileges struggle for recognition—for example, a privilege for communications between accountants and their clients. See generally *Developments in the Law—Privileged Communication*, 98 Harv.L.Rev. 1450 (1985).

7.In state courts, privileges are a matter of state law, and state courts are not bound by the *Upjohn* approach to the attorney-client privilege. In federal courts, privilege is governed by federal law, except that Federal Rule of Evidence 501 directs a federal district court sitting in a diversity case to apply the privilege law of the state in which it sits. See *Valente v. Pepsico, Inc.*, 68 F.R.D. 361, 366 n.10 (D.Del. 1975).

8.It has become commonplace in large cases for parties to stipulate to protective orders negotiated by opposing counsel. And judges generally assent to these agreements, in large part to move cases along and avoid controversy. The stipulations typically provide for “umbrella” protection for confidential information, which is defined as any information that is designated “confidential” by the producing party. The result of these orders is that virtually all nonpublic documents are designated confidential without any individualized review. See Moskowitz, *Discovering Discovery: Non-Party*

Access to Pretrial Information in the Federal Courts 1938–2006, 78 U.Colo.L.Rev. 817, 871 (2007). Why have these orders become so common? What is the strategic significance for a defendant of a confidentiality order? Does disclosure to third persons open the door to misuse of the court system for blackmail or extortion through the threat of suits involving sensitive issues? What does a plaintiff’s attorney gain by agreeing to a broad protective order? What standard should a court apply if asked to modify an existing protective order to permit the disclosure of discovered material to nonparties, including the public? Is it relevant that the matter shielded from public view by the protective order may have an impact on public health and safety? For a discussion of these issues, see Miller, *Confidentiality, Protective Orders, and Public Access to the Courts*, 105 Harv.L.Rev. 427 (1991). What is the “right amount of confidentiality” in discovery requests or settlement agreements? See Levmore & Fagan, *Semi-Confidential Settlements in Civil, Criminal, and Sexual Assault Cases*, 103 Cornell L.Rev. 311 (2018). On protective orders generally, see Friedenthal, *Secrecy in Civil Litigation: Discovery and Party Agreements*, 9 J.L. & Pol’y 61 (2000). For a range of views on the subject, see Symposium: *Secrecy in Litigation*, 81 Chi.-Kent L.Rev. 305 (2006).

3.EXPERT INFORMATION

Read Federal Rule of Civil Procedure 26(a)(2)–(3) and 26(b)(4) and the accompanying materials in the Supplement.

Discovery of expert witnesses has undergone significant change over the last two decades. Until 1993, expert discovery was limited to using interrogatories, unless otherwise ordered by the court, and could be directed only at experts called to testify. Expert discovery now begins with mandatory disclosure under Rule 26(a). Without a discovery request the parties must identify any witness who “may” be used at trial to present expert evidence and produce an expert report. What must the report contain? See Rule 26(a)(2)(B)(i)–(vi). As to witnesses who are not “retained or specially employed to provide expert testimony,” the party must disclose the subject matter on which the witness is expected to present testimony and a summary of the facts and opinions to which the witness is expected to testify. See Rule 26(a)(2)(C). The court can set the timing of these disclosures; if there is no court order or stipulation, when must the disclosures be

made? See Rule 26(d)(i). Mandatory disclosure of experts whose reports must be disclosed is subject to the duty of on-going supplementation, and this duty extends to an expert’s responses during a deposition. See Rule 26(e). Finally, Rule 26(a)(3) requires disclosure of all witnesses who may testify at trial.

Rule 26(b)(4) also regulates the timing and scope of party-initiated expert discovery. Depositions may be taken of experts identified as trial witnesses, but cannot take place until the mandatory report is received. Different rules apply to the discovery of non-testifying experts. In that context, the requestor must demonstrate exceptional circumstances. See Rule 26(b)(4)(D)(ii). Is any discovery permitted of experts who are not retained but simply informally consulted? The rule also allocates the cost of expert discovery by requiring the court to impose a fee on the party interposing a discovery request unless an injustice would result. See Rule 26(b)(4)(E).

NOTES AND QUESTIONS

- 1. Why doesn’t discovery under Rule 26(b)(4) pertain to experts who participated in the events that form the basis for their knowledge? Is it appropriate to subject these “experts” to full discovery and to withhold fees from their participation in discovery?
- 2. Are drafts of expert reports protected from disclosure? See Rule 26(b)(4). What is the rationale for this rule?
- 3. Are the communications between a lawyer and a retained expert protected as work-product? Is the protection absolute or qualified? See Rule 26(b)(4)(C). Prior to the 1993 amendment to the Federal Rules, such communications were judicially protected. See *Bogosian v. Gulf Oil Corp.*, 738 F.2d 587 (3d Cir. 1984) (en banc). How did the 1993 amendment requiring automatic disclosure of expert reports alter the scope of the protection? See *LAMONDS v. GENERAL MOTORS CORP.*, 180 F.R.D. 302 (W.D.Va. 1998), explaining:

A number of courts and commentators who have considered the effect of the 1993 amendments and advisory note * * * to Rule 26(a)(2)(B) have concluded that where a lawyer gives work product to an expert who considers it in forming opinions which he or she will be testifying to at trial, this information is no longer privileged and must be disclosed. * * * The Advisory Note does not distinguish between fact and opinion work product where that work product has been shared with an expert witness who considers the work product in formulating his opinions.

A construction of Rule 26 establishing a bright line rule that permits an opposing party to discover work product materials where an attorney provides work product to a retained expert who will consider that information in the development of her opinions is not only consistent with the 1993 amendment and Advisory Note, but is also consistent with the important policies underlying the work product doctrine and the Federal Rules of Civil Procedure. Experts occupy a central role in modern civil litigation. They are, in a sense, privileged by the Federal Rules of Evidence to offer opinions on subjects about

which the trier of fact usually has no knowledge. * * * Because experts are often less [than] helpful and sometimes misleading, effective cross examination by an opposing party is an essential tool for exposing any weaknesses in the expert’s opinions. One such potential weakness is the source of information the expert has considered in forming his opinions. * * * This information can only surface on cross examination where an opposing party has been able to discover the material provided to the expert by the lawyer who retained him. * * *

It is important to note that it is the lawyer who retained the expert who makes the decision to provide that expert with material that would, under different circumstances, be protected by the work product doctrine. This means that the work product can remain protected so long as it is not given to the expert to consider in the development of his opinions. An attorney wishing to maintain the protection afforded by the work product doctrine can choose to provide the expert with all relevant facts instead of directing the expert’s attention to certain facts and instead of including opinions and conclusions drawn by the attorney. This approach permits an attorney to know whether information provided to an expert will later become discoverable and in no way interferes with a lawyer’s development of his case in private consultation with his client. * * *

Id. at 305–06.

Does the “bright line rule” survive Rule 26(b)(4)(C), adopted in 2010? What protection is afforded to facts, data, and assumptions set forth in an expert’s draft report? A commentator raises these questions:

Under Rule 26(b)(4)(B), an expert’s draft report—“regardless of the form”—is protected from discovery. Under Rule 26(b)(4)(C) (ii–iii), however, attorney communications with the expert that identify “facts or data” or provide “assumptions . . . that the expert relied upon” are not protected from discovery. The advisory committee notes do not expressly address what should happen if counsel were to use the cloak of a draft report to furnish the “facts or data” or “assumptions” to the expert so as to shield the opposing party from discovering that counsel was the source of the “facts or data” or “assumptions.” In this situation, it would seem appropriate that Rule 26(b)(4)(C)(ii–iii) would trump Rule 26(b)(4)(B) and require disclosure of at least the drafts of the factual background section of the expert’s draft report.

Wright, *Expert Discovery Returns to the Past*, 58 Fed.Law. 32, 34 (Jan. 2011). Do you agree with this conclusion?

G. JUDICIAL SUPERVISION OF DISCOVERY AND SANCTIONS

Read Federal Rules of Civil Procedure 26(e) and 37 and the accompanying Advisory Committee’s Notes in the Supplement.

Discovery disputes come to the court’s attention through a number of pathways.

The court on its own must limit discovery that is not relevant or proportional to the needs of the case or for other reasons, including excessive burden or expense. The court may impose expenses on a party or party’s counsel who does not cooperate in devising a discovery plan, but only after affording notice and an opportunity to be heard. Courts also have inherent authority to sanction discovery misconduct. See *Roadway Express, Inc. V. Piper*, 447 U.S. 752, 100 S.Ct. 2455, 65 L.Ed.2d 488 (1980).

In addition, the parties or a person from whom discovery is sought may request the court’s involvement. First, a party requesting information may move for an order compelling discovery when the potential respondent objects to answering an interrogatory or a question at a deposition, serving a response to a document request, or providing supplementation. Rule 37(c). If the court grants the motion, and enters an order under Rule 37 to compel discovery, it may impose attorney’s fees unless it finds that the respondent’s actions were substantially justified. If the respondent then fails to comply with the Rule 37(a) order, the court may impose a sanction. Rule 37(b).

Second, a party seeking information may immediately move for sanctions if there has been a complete failure to comply—for example, the respondent fails to attend its own deposition or respond to a request for inspection. Rule 37(d). If the court grants the motion to compel, sanctions immediately can be imposed; there is no requirement of noncompliance with the court order and the only limitation on the sanction is that it be “just.” Rule 37(b)(2). Rule 37(e) was amended significantly in 2015 to toughen the potential sanctions for a failure to preserve electronically stored information.

Finally, a party or a person from whom discovery is sought may move for a protective order. Rule 26(c); Rule 37. Special procedures govern when a respondent seeks to withhold information based on a claim of privilege or work product. In particular, the respondent must assert the reason for nondisclosure with particularity.

CINE FORTY-SECOND STREET THEATRE CORP. v. ALLIED ARTISTS PICTURES CORP.

United States Court of Appeals, Second Circuit, 1979.

[602 F.2d 1062.](#)

KAUFMAN, CHIEF JUDGE.

* * *

I

Appellee Cine * * * has operated a movie theater in New York City’s Times Square area since July 1974. It alleges that those owning neighboring theaters on West Forty-Second Street * * * entered into a conspiracy with certain motion picture distributors to cut off its access to first-run, quality films. Bringing suit on August 1, 1975, Cine claimed \$3,000,000 in treble damages under the antitrust laws, and sought an injunction against the defendants’ alleged anticompetitive practices.

On November 6, 1975, the eleven defendants served plaintiff with a set of consolidated interrogatories. Cine thereupon secured its adversaries’ consent to defer discovery on the crucial issue of damages until it could retain an expert to review the rival exhibitors’ box office receipts. Not until four months after the deadline upon which the parties had agreed, however, did Cine file its first set of answers to the remaining interrogatories. Moreover, even casual scrutiny reveals the patent inadequacy of these responses. Many were bare, ambiguous cross-references to general answers elsewhere in the responses. Highly specific questions concerning the design of Cine’s theater were answered with architectural drawings that did not even purport to show the dimensions requested.

Although Cine now complains bitterly that these interrogatories amounted to pure harassment, it never moved to strike them as irrelevant or as harassing. Rather, it filed supplemental answers, which were similarly deficient, and then failed to obey two subsequent orders from Magistrate Gershon compelling discovery. At a hearing in October of 1977, the magistrate found Cine’s disobedience to have been willful, and assessed \$500 in costs against it. Soon afterwards, she further warned plaintiff that any further noncompliance would result in dismissal.

By the summer of 1977, as this conflict was coming to a head, Cine had still not retained the expert it claimed was necessary to respond to the damages interrogatories. Magistrate Gershon quite reasonably and leniently ordered Cine merely to produce a plan to answer, but this yielded no result. The magistrate then directed Cine to answer the damages interrogatories, admonishing its counsel that future nonfeasance would be viewed in light of past derelictions. Cine did file two sets of answers, one over two months late and both seriously deficient.

* * *

At a formal hearing on October 19, 1978, * * * [a]fter noting plaintiff’s history of disobedience in the face of her own repeated warnings, the magistrate concluded that Cine’s present non-compliance was willful. “[T]he plaintiff,” she stated, “has decided when it will be cooperative and when it will not be cooperative, and that it does not have any right to do.” She thereupon recommended to the district court that Cine be precluded from introducing evidence with respect to damages. This sanction was, of course, tantamount to a dismissal of Cine’s damage claim, but left standing its claim for injunctive relief.

Judge Goettel, the district judge to whom Magistrate Gershon’s order was submitted for approval, reacted to Cine’s behavior as did Magistrate Gershon. He wrote, “[i]f there were ever a case in which drastic sanctions were justified, this is it.” But Judge Goettel could not fully accept the magistrate’s finding of willfulness. * * * [He] apparently believed it possible that Cine’s counsel, confused as to the precise terms of Magistrate Gershon’s oral orders, could have thought in good faith that the answers were not due. Action taken upon that baseless belief, however, was, at the very least, grossly negligent. The district court “regretfully” concluded that under *Flaks v. Koegel*, 504 F.2d 702 (2d Cir. 1974), it lacked the power, absent a finding of willfulness, to impose the extreme sanction recommended by the magistrate. Instead, the court merely assessed costs in the amount of \$1,000.⁶ But, recognizing that he might have “misperceive[d] the controlling law of this circuit,” Judge Goettel certified this interlocutory appeal on his own motion under 28 U.S.C. § 1292(b).

* * *

II

The question before us is whether a grossly negligent failure to obey an order compelling discovery may justify the severest disciplinary measures available under Fed.R.Civ.P. 37. This rule provides a spectrum of sanctions⁸ * * * [that] serve a threefold purpose. Preclusionary orders ensure that a party will not be able to profit from its own failure to comply. * * * Rule 37 strictures are also specific deterrents and, like civil contempt, they seek to secure compliance with the particular order at hand. * * * Finally, although the most drastic sanctions may not be imposed as “mere penalties,” *Hammond Packing Co. v. Arkansas*, 212 U.S. 322, 29 S.Ct. 370, 53 L.Ed. 530 (1909) * * *, courts are free to consider the general deterrent

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effect their orders may have on the instant case and on other litigation, provided that the party on whom they are imposed is, in some sense, at fault. *National Hockey League v. Metropolitan Hockey Club, Inc.*, 427 U.S. 639, 96 S.Ct. 2778, 49 L.Ed.2d 747 (1976) (per curiam); *Société Internationale pour Participations Industrielles et Commerciales v. Rogers*, 357 U.S. 197, 78 S.Ct. 1087, 2 L.Ed.2d 1255 (1958).

Where the party makes good faith efforts to comply, and is thwarted by circumstances beyond his control—for example, a foreign criminal statute prohibiting disclosure of the documents at issue—an order dismissing the complaint would deprive the party of a property interest without due process of law. See *Société Internationale*, supra, 357 U.S. at 212, 78 S.Ct. 1087. It would, after all, be unfair and irrational to prevent a party from being heard solely because of a nonculpable failure to meet the terms of a discovery order. * * *

* * * Judge Goettel apparently believed that Cine’s counsel simply did not understand the exact requirements of the magistrate’s unwritten order compelling discovery. If so, Cine’s failure to answer the damages interrogatories might not rise to the level of “willfulness” or “bad faith” for both of these conditions imply a deliberate disregard of the lawful orders of the court. * * * The question, then, is whether gross negligence amounting to a “total dereliction of professional responsibility,” but not a conscious disregard of court orders, is properly embraced within the “fault” component of *Société Internationale*’s triple criterion.

Fault, of course, is a broad and amorphous concept, and the Courts of Appeals have had considerable difficulty construing it in this context. Indeed, one court defined “fault” by the apparent oxymoron “intentional negligence.” *Bon Air Hotel, Inc. [v. Time, Inc.]* 376 F.2d [118, 120 (5th Cir. 1967), cert. denied, 393 U.S. 859, 89 S.Ct. 131, 21 L.Ed.2d 127 (1968)]. Thus, commentators have opined that an element of willfulness or conscious disregard of the court’s orders is a prerequisite to the harsher categories of Rule 37 sanctions. * * * But the appellate cases commonly cited for this proposition hold only that dismissal is an abuse of discretion where failure to comply was not the result of the fault of any party. * * *

Unless we are to assume that the Court chose its words carelessly, we must accord the term “fault” a meaning of its own within the *Société Internationale* triad. And plainly, if “fault” has any meaning not subsumed by “willfulness” and “bad faith,” it must at least cover gross negligence of the type present in this case. The holding in *Edgar v. Slaughter*, 548 F.2d 770, 773 (8th Cir. 1977), which contains the apparent suggestion that dismissal is appropriate only for actions taken “deliberately or in bad faith,” does not conflict with this conclusion. Counsel’s action in that case at worst amounted to simple negligence and indeed may have been

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partially excusable, *id.* at 773 n.4. Flagrant negligence of the type involved in the case at bar was simply not at issue.

In the only case that actually presented the question now before us, *Affanato v. Merrill Bros.*, 547 F.2d 138 (1st Cir. 1977), the First Circuit implicitly adopted the view we have expressed. There, the district court had entered a default judgment after what the appellate court characterized as “a series of episodes of nonfeasance which amounted, in sum, to a near total dereliction of professional responsibility” on the part of defendant’s counsel. *Id.* at 141. The Court of Appeals affirmed, noting that counsel’s failures “went well beyond ordinary negligence”—but without finding willfulness or bad faith. *Id.*

In the final analysis, however, this question cannot turn solely upon a definition of terms. We believe that our view advances the

basic purposes of Rule 37, while respecting the demands of due process. The principal objective of the general deterrent policy of *National Hockey* is strict adherence to the “responsibilities counsel owe to the Court and to their opponents,” 427 U.S. at 640, 96 S.Ct. at 2780. Negligent, no less than intentional, wrongs are fit subjects for general deterrence * * *. And gross professional incompetence no less than deliberate tactical intransigence may be responsible for the interminable delays and costs that plague modern complex lawsuits. An undertaking on the scale of the large contemporary suit brooks none of the dilation, posturing, and harassment once expected in litigation. * * * The parties, and particularly their lawyers, must rise to the freedom granted by the Rules and cooperate in good faith both in question and response.

Considerations of fair play may dictate that courts eschew the harshest sanctions provided by Rule 37 where failure to comply is due to a mere oversight of counsel amounting to no more than simple negligence * * *. But where gross professional negligence has been found—that is, where counsel clearly should have understood his duty to the court—the full range of sanctions may be marshalled. Indeed, in this day of burgeoning, costly and protracted litigation courts should not shrink from imposing harsh sanctions where, as in this case, they are clearly warranted.

A litigant chooses counsel at his peril, *Link v. Wabash Railroad Co.*, 370 U.S. 626, 82 S.Ct. 1386, 8 L.Ed.2d 734 (1962), and here, as in countless other contexts, counsel’s disregard of his professional responsibilities can lead to extinction of his client’s claim. * * *

Plaintiff urges that because it has at last filed answers to the damage interrogatories, it should be permitted to prove its losses at trial. But it forgets that sanctions must be weighed in light of the full record in the case * * *. Furthermore, “[i]f parties are allowed to flout their obligations, choosing to wait to make a response until a trial court has lost patience

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with them, the effect will be to embroil trial judges in day-to-day supervision of discovery, a result directly contrary to the overall scheme of the federal discovery rules,” *Dellums v. Powell*, 566 F.2d 231, 235–36 (D.C. Cir. 1977)]. Moreover, as we have indicated, compulsion of performance in the particular case at hand is not the sole function of Rule 37 sanctions. Under the deterrence principle of *National Hockey*, plaintiff’s hopelessly belated compliance should not be accorded great weight. Any other conclusion would encourage dilatory tactics, and compliance with discovery orders would come only when the backs of counsel and the litigants were against the wall.

In light of the fact that plaintiff, through its undeniable fault, has frozen this litigation in the discovery phase for nearly four years, we see no reason to burden the court below with extensive proceedings on remand. Judge Goettel’s opinion makes it abundantly clear that but for his misinterpretation of the governing law in this circuit, he would have wholeheartedly adopted Magistrate Gershon’s original recommendation. Accordingly, the judge’s order declining to adopt the magistrate’s recommendation that proof of damages be precluded is reversed.

OAKES, CIRCUIT JUDGE (concurring):

I concur in the result. It may be that the fault for the inexcusable delays in compliance with the discovery requests and orders lay with the client or with the complexity of the interrogatories and requests of opposing counsel. If the latter, remedy lay with an application under Fed.R.Civ.P. 26(c). If the former, then the magistrate’s recommendation of preclusion strikes at the proper party. It would be with the greatest reluctance, however, that I would visit upon the client the sins of counsel, absent client’s knowledge, condonation, compliance, or causation.

NOTES AND QUESTIONS

1. Under the original Federal Rules, courts rarely imposed sanctions for discovery abuse. A 1981 survey reported the following:

The typical pattern of sanctioning that emerges from the reported cases is one in which the delay, obfuscation, contumacy, and lame excuses on the part of litigants and their attorneys are tolerated without any measured remedial action until the court is provoked beyond endurance. At that point the court punishes one side or the other with a swift and final termination of the lawsuit by dismissal or default. This “all or nothing” approach to sanctions results in considerable laxity in the day-to-day application of the rules. Attorneys are well aware that sanctions will be imposed only in the most flagrant situations.

Rodes, Ripple & Mooney, *Sanctions Imposable for Violations of the Federal Rules of Civil Procedure* 85 (Fed.Jud. Center 1981).

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In *NATIONAL HOCKEY LEAGUE v. METROPOLITAN HOCKEY CLUB, INC.*, 427 U.S. 639, 96 S.Ct. 2778, 49 L.Ed.2d 747 (1976), the Supreme Court found that there was no abuse of discretion in the district court’s dismissal of a complaint for plaintiff’s failure to comply with a discovery order. Reversing the court of appeals, the Supreme Court explained:

There is a natural tendency on the part of reviewing courts, properly employing the benefit of hindsight, to be heavily influenced by the severity of outright dismissal as a sanction for failure to comply with a discovery order. It is quite reasonable to conclude that a party who has been subjected to such an order will feel duly chastened, so that even though he succeeds in having the order reversed on appeal he will nonetheless comply promptly with future discovery orders of the district court.

But here, as in other areas of the law, the most severe in the spectrum of sanctions provided by statute or rule must be available to the district court in appropriate cases, not merely to penalize those whose conduct may be deemed to warrant such a sanction, but to deter those who might be tempted to such conduct in the absence of such a deterrent. If the decision of the Court of Appeals remained undisturbed in this

case, it might well be that * * * respondents would faithfully comply with all future discovery orders entered by the District Court in this case. But other parties to other lawsuits would feel freer than we think Rule 37 contemplates they should feel to flout other discovery orders of other district courts. Under the circumstances of this case, we hold that the District Judge did not abuse his discretion in finding bad faith on the part of these respondents, and concluding that the extreme sanction of dismissal was appropriate in this case by reason of respondents’ “flagrant bad faith” and their counsel’s “callous disregard” of their responsibilities. * * *

Id. at 642, 96 S.Ct. at 2780–81, 49 L.Ed.2d 747.

In the wake of *National Hockey*, lower courts increasingly imposed sanctions in a much wider variety of discovery situations. See American Bar Association, Sanctions: Rule 11 and Other Powers 34–36, 46–48, 61–70, 79–82, 97–101, 115–16, 128–29, 138–42, 158–60, 170, 175–77, 182, 186–87 (2d ed. 1988) (surveying decisions); see also American Law Institute-American Bar Association, Sanctions in Civil Litigation: A Review of Sanctions by Rule, Statute, and Inherent Power (2007). A survey of decisions involving the discovery of electronic information before the 2006 amendments found that courts granted sanctions in about two-thirds of the cases, most often when a party had willfully destroyed documents in violation of a court order or caused prejudice to the opposing party. See Scheindlin & Wangkeo, *Electronic Discovery Sanctions in the Twenty-First Century*, 11 Mich.Telecomm. & Tech.L.Rev. 71, 73 (2004).

2.As *National Hockey* underscored, the district courts have broad discretion in devising discovery sanctions, with the most severe being dismissal of the complaint or ordering entry of judgment against defendant. See *Chrysler Corp. v. Carey*, 186 F.3d 1016, 1020–22 (8th Cir. 1999) (affirming entry of judgment of liability against defendants). Other possible sanctions include the imposition of costs, attorney’s fees, and expenses. In extreme cases, a special master can be appointed to oversee the discovery process. A lawsuit can be dismissed for discovery abuse, and evidence can be barred from use at trial or for summary judgment. However, even after the 2015 amendments, district courts have acknowledged that “the strong public policy favoring adjudication of cases on their merits often leads courts to favor lesser punishments” than dismissal of the action, unless there is “evidence of willfulness, bad faith, or some fault of a party other than inability to comply and where no evidence has been destroyed or suppressed.” *Rivera v. Martin J. Donnelly Antique Tools*, 2016 WL 1389984 (M.D.La. 2016).

3. “Spoliation” refers to the “destruction or alteration of evidence or to the failure to preserve property for another.” *Silvestri v. General Motors Corp.*, 271 F.3d 583, 590 (4th Cir. 2001). The Federal Rules do not create the duty to preserve; that duty is based on the common law and statute and generally arises “when a party should have known that the evidence may be relevant to future litigation.” *Kronisch v. United States*, 150 F.3d 112, 126–27 (2d Cir. 1998). Courts have discretion to devise a sanction for spoliation; in the Second Circuit, the aim is to: “(1) deter parties from engaging in spoliation; (2) place the risk of an erroneous judgment on the party who wrongfully created the risk; and (3) restore ‘the prejudiced party to the same position he would have been in absent the wrongful destruction of evidence by the opposing party.’ ” *West v. Goodyear Tire & Rubber Co.*, 167 F.3d 776, 779 (2d Cir. 1999), citation omitted.

In 2015 the Federal Rules were amended to add Rule 37(e) dealing with sanctions for the spoliation of electronically stored information (“ESI”). Sanctions may be imposed if the court finds a party was prejudiced by the loss of ESI and the respondent had a duty to preserve the ESI, the party failed to take reasonable steps to preserve the ESI and it was lost, and the ESI cannot be recovered or replaced. More severe sanctions may be imposed if the court finds that the respondent intentionally sought to deprive the opposing party of the ESI. Under the prior version of Rule 37, “absent exceptional circumstances,” sanctions were barred for the loss of ESI “resulting from the routine, good-faith operation of an electronic information system.” Advisory Committee Note to 2015 amendment.

Prior to the 2015 amendment, courts acknowledged authority in extreme circumstances to order an adverse-inference instruction against a party that lost ESI through “negligent and possibly reckless” conduct, upon a showing that the lost evidence was relevant to and would be favorable to the claim or defense of the requestor. *Zubulake v. UBS Warburg LLC*, 220 F.R.D. 212, 221 (S.D.N.Y. 2003). Negligence was considered sufficient because, as one respected magistrate judge explained:

It makes little difference to the party victimized by the destruction of evidence whether that act was done willfully or negligently. The adverse inference provides the necessary mechanism for restoring the evidentiary balance. The inference is adverse to the destroyer not because of any finding of moral culpability, but because the risk that the evidence would have been detrimental rather than favorable should fall on the party responsible for its loss.

Turner v. Hudson Transit Lines, Inc., 142 F.R.D. 68, 75 (S.D.N.Y.1991). Courts tended to rely on their inherent authority to devise a sanction, and even after the 2015 amendment, some district courts have emphasized that they retain “broad discretion” to do so: “Without limitation, litigation misconduct may also be otherwise sanctioned by the inherent power of the court.” *DVComm, LLC v. Hotwire Communications, LLC*, 2016 WL 6246824, *7 (E.D.Pa. 2016). Why should Rule 37(e) be limited to ESI and not to all discoverable information?

4.In *GOODYEAR TIRE & RUBBER CO. v. HAEGER*, 137 S.Ct. 1178, 197 L.Ed.2d 585 (2017), a unanimous eight-person Court held that a court can impose attorney’s fees on a party for bad faith discovery conduct under its inherent powers, but the award must be “limited to the fees the innocent party incurred solely because of the misconduct—or put another way, to the fees that party would not have incurred but for the bad faith.” The lower court did not apply that standard, and so the award of \$2.7 million in fees to plaintiffs was reversed. Discovery sanctions under Rule 37 were not available because the suit already had settled. As the Court explained:

[The Haegers sued Goodyear] after the family’s motorhome swerved off the road and flipped over. The Haegers alleged that the failure of a Goodyear G159 tire on the vehicle caused the accident: Their theory was that the tire was not designed to withstand the level of heat it

generated when used on a motorhome at highway speeds. Discovery in the case lasted several years—and itself generated considerable heat. The Haegers repeatedly asked Goodyear to turn over internal test results for the G159, but the company’s responses were both slow in coming and unrevealing in content. After making the District Court referee some of their more contentious discovery battles, the parties finally settled the case (for a still-undisclosed sum) on the eve of trial.

Some months later, the Haegers’ lawyer learned from a newspaper article that, in another lawsuit involving the G159, Goodyear had disclosed a set of test results he had never seen. That data indicated that the G159 got unusually hot at speeds of between 55 and 65 miles per hour. In ensuing correspondence, Goodyear conceded withholding the information from the Haegers even though they had requested (both early and often) “all testing data” related to the G159. * * * The Haegers accordingly sought sanctions for discovery fraud, claiming that “Goodyear knowingly concealed crucial ‘internal heat test’ records related to the [G159’s] defective design.” * * * That conduct,

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the Haegers urged, entitled them to attorney’s fees and costs expended in the litigation. * * *

The District Court agreed to make such an award in the exercise of its inherent power to sanction litigation misconduct. * * * The court’s assessment of Goodyear’s actions was harsh (and is not contested here). Goodyear, the court found, had engaged in a “years-long course” of bad-faith behavior. * * * By withholding the G159’s test results at every turn, the company and its lawyers had made “repeated and deliberate attempts to frustrate the resolution of this case on the merits.” * * * But because the case had already settled, the court had limited options. It could not take the measure it most wished: an “entry of default judgment” against Goodyear. * * * All it could do for the Haegers was to order Goodyear to reimburse them for attorney’s fees and costs paid during the suit.

But that award, in the District Court’s view, could be comprehensive, covering both expenses that could be causally tied to Goodyear’s misconduct and those that could not. The court calculated that the Haegers had spent \$2.7 million in legal fees and costs since the moment, early in the litigation, when Goodyear made its first dishonest discovery response. And the court awarded the Haegers that entire sum. In the “usual[]” case, the court reasoned, “sanctions under a [c]ourt’s inherent power must be limited to the amount [of legal fees] caused by the misconduct.” * * * But this case was not the usual one: Here, “the sanctionable conduct r[ose] to a truly egregious level.” * * * And when a litigant behaves that badly, the court opined, “all of the attorneys’ fees incurred in the case [can] be awarded,” without any need to find a “causal link between [those expenses and] the sanctionable conduct.” * * * As further support for its decision, the court considered the chances that full and timely disclosure of the test results would have affected Goodyear’s settlement calculus. “While there is some uncertainty,” the court stated, “the case more likely than not would have settled much earlier.” * * *

Id. at 1184–85, 197 L.Ed.2d at 591–92. The Court explained that a civil sanction must be compensatory, not punitive, so that only those fees incurred because of the misconduct could be shifted to the sanctioned party. In this case, the Court found that plaintiffs had failed to show that Goodyear’s “non-disclosure so permeated the suit” as to make that misconduct a but-for cause of every subsequent legal expense; nor did they show that the litigation would have settled once the information was disclosed. Id. at 1189, 197 L.Ed.2d at 597. On remand, the district court found that Goodyear had waived objections to an alternative sanction award of \$2 million and that it was vicariously liable for the acts of its attorneys. See *Haeger v. Goodyear Tire & Rubber Co.*, 2018 WL 1182551 (D.Ariz. 2018).

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5.In *KLIPSCH GROUP, INC. v. EPRO E-COMMERCE LTD.*, 880 F.3d 620 (2d Cir. 2018), the Second Circuit affirmed the award of \$2.7 million of discovery sanctions, including attorney’s fees, for misconduct that caused plaintiff to undertake corrective discovery action:

* * * [D]efendant engaged in persistent discovery misconduct: it failed to timely disclose the majority of the responsive documents in its possession, restricted a discovery vendor’s access to its electronic data, and failed to impose an adequate litigation hold even after the court directed it to do so, which omission allowed custodians of relevant electronic data to delete thousands of documents and significant quantities of data, sometimes permanently.

Id. at 623. In devising the award, the district court relied upon its inherent authority, not Rule 37. The court of appeals affirmed, stating:

[W]e emphasize that discovery sanctions should be commensurate with the costs unnecessarily created by the sanctionable behavior. A monetary sanction in the amount of the cost of discovery efforts that appeared to be reasonable to undertake *ex ante* does not become impermissibly punitive simply because those efforts did not ultimately uncover more significant spoliation and fraud, or increase the likely damages in the underlying case.

Id. The court of appeals rejected defendant’s contention that the sanction was punitive because it was out of proportion “to the likely ultimate value of the case.” Id. at 630. To the contrary, the costs were incurred because defendant had failed to comply with discovery obligations, and compliance is “not optional or negotiable; rather, the integrity of our civil litigation process requires that the parties before us, although adversarial to one another, carry out their duties to maintain and disclose the relevant information in their possession in good faith.” Id. at 630–31.

6.What if a corporate party whose deposition is noticed under Rule 30(b)(6) deliberately selects a person to testify who appears for the deposition but who lacks information sufficient to respond to the questions asked? The circuits are divided on when and whether sanctions should be imposed. In the First Circuit, sanctions generally are available only when the deponent “literally fails to show up for a deposition session.” *Baker v. St. Paul Travelers Ins. Co.*, 670 F.3d 119 (1st Cir. 2012) (internal quotations omitted). By contrast, the Fifth Circuit has held that because a corporation controls whom to designate for a Rule 30(b)(6) deposition, the corporation should be subject to sanctions if it designates a deponent who is not knowledgeable about the relevant facts. See *Resolution Trust Corp. v. Southern Union Co., Inc.*, 985 F.2d 196 (5th Cir. 1993). The Third Circuit likewise has rejected the no-show approach to sanctions. In *Black Horse Lane Assoc., L.P. v. Dow Chem. Corp.*, 228 F.3d 275, 304 (3d Cir. 2000), the

appellate court held that the deponent’s lack of knowledge was tantamount to a failure to appear and therefore sanctionable—the witness had done “nothing except show his face,” “refused to answer questions in an intelligent way,” “refused to prepare,” “and just

literally thumbed his nose at the defendants and, frankly, at the Court.” Id. at 300.

7. Rule 26(e) authorizes the court to sanction a party’s failure to supplement a disclosure or response. The significant question in many disputes about supplementation is whether the duty was triggered. In *Poitra v. School District No. 1 in the County of Denver*, 311 F.R.D. 659 (D.Colo. 2015), plaintiff failed to include a witness in the initial Rule 26(a)(1) disclosures or in any written supplemental disclosure prior to the final pretrial conference. Two months before trial, defendant moved to strike the witness and for sanctions. Plaintiff defended by pointing to specific deposition testimony from the witness as satisfying the supplementation obligation.

Rule 26(e) must be construed and applied against the backdrop of the very specific requirements set forth in Rule 26(a)(1)(A)(i). Indeed, the elements of Rule 26(e) are quite clear. First, to trigger the duty to supplement, a party’s initial disclosures must, in some respect, be incomplete or incorrect. Here, that element is not in dispute * * *. Second, Rule 26(e)(1)(A) requires that supplemental disclosures occur “in a timely manner.” * * * And finally, a reasonable interpretation of Rule 26(e)(1)(A) and its reference to “incomplete or incorrect” disclosures presumes that the “additional or corrective information . . . otherwise made known . . . during the discovery process” will provide the functional equivalent of the information required under Rule 26(a)(1)(A). * * *

* * *

While discovery is, by necessity, an iterative process, Plaintiff’s interpretation of the “otherwise made known” phrase has the potential to convert the Rule 26(e) supplementation requirement into a “whack-a-mole” game. * * * Constrained by the numerical limit on depositions imposed under Rule 30(a)(2) and by proportionality factors expressly incorporated in Fed. R. Civ. P. 26(b)(1), opposing counsel is confronted with a real dilemma if the mere mention of an individual’s name during a deposition discharges a party’s disclosure and supplementation obligations. A risk-averse party must either expend time and money taking a deposition that could prove worthless, or risk surprise at trial. * * *

* * *

* * * [I]t is the practical effect of counsel’s interpretation of Rule 26(e) that is most troubling. Rule 26(a)(1) and (e)(1) impose an affirmative obligation to provide disclosures that are complete and correct as of the time they are made. The importance of that disclosure obligation is reflected in the certification requirement imposed on counsel under Rule 26(g). A passing and perhaps oblique reference to an individual during a deposition should not presumptively equate to a Rule 26(a)(1)(A)(i) disclosure that reflects

counsel’s “knowledge, information and belief formed after a reasonable inquiry.” Similarly, the phrase “otherwise made known to the other parties during the discovery process” should not be broadly applied to circumvent Rule 26(g) or give a party “license” to engage in ambush or supplement their disclosures almost by happenstance. * * *

Id. at 666–68. The court granted the motion to strike and for sanctions, finding that the nondisclosure, even if not willful, had caused prejudice to defendant and interfered with the court’s management of its trial calendar.

8. Rule 26(e) is broad but not all-encompassing. Would supplementation be required in the following situations?
- (a)After mandatory disclosure under Rule 26(a), a party learns that information regarding damage calculations was incomplete.
 - (b)After answering an interrogatory that the party does not intend to invoke the law of any state other than Colorado “at this time,” the party then decides to invoke the law of Idaho.
 - (c)After trial begins, documents are belatedly found that are responsive to an earlier Rule 34 request.

9.Although trial judges have broad discretion to manage discovery matters, excessive judicial limits on discovery constitute an abuse of discretion. In *MILLER v. SAM HOUSTON STATE UNIVERSITY*, 986 F.3d 880 (5th Cir. 2021), the Fifth Circuit reversed a grant of summary judgment in favor of defendants due, in part, to the trial judge’s discovery rulings against plaintiff. Plaintiff, who was denied tenure at a public university in Texas, brought related suits under Title VII of the Civil Rights Act of 1964 and the Equal Pay Act against various defendants in the Texas public university systems. From the outset of the litigation, the district judge “effectively stifled [plaintiff’s] attempts at discovery” by issuing orders that “foreclosed the parties from propounding written discovery or noticing depositions ‘without court approval.’ ” Id. at 886. The district judge then ordered the parties to exchange certain information, including plaintiff’s “performance and personnel records, her pay records, names of relevant parties, and organizational charts.” The district judge also attended and participated in a key deposition in the case. The court of appeals concluded that the judge’s rulings denied plaintiff a full and fair opportunity to discover information essential to opposing defendants’ summary judgment motions:

* * * “[A]lthough the district court is customarily accorded wide discretion in handling discovery matters, we will not uphold a ruling which has failed to adhere to the liberal spirit of the Rules.” *Coughlin v. Lee*, 946 F.2d 1152, 1159 (5th Cir. 1991). * * * [T]he district judge here permitted only [plaintiff’s] deposition to be taken before summary judgment briefing and argument—and then actually participated in the deposition. By contrast, the court repeatedly denied [plaintiff] the opportunity to depose any witnesses, relenting

only after summary judgment briefing was complete to allow [plaintiff] one deposition * * *. And that deposition was limited to “two hours, at most.” To put it simply, the court’s discovery restrictions suffocated any chance for [plaintiff] fairly to present her claims. While the Universities offer that Miller was not prejudiced because she had already received voluminous documentation from a pre-suit Texas Public Information Act request, we are not persuaded given the district court’s inflexible denials of both her written discovery requests and her requests to take depositions. * * * Even given the deference afforded to district courts when deciding discovery matters, the restrictions here * * * were “arbitrary or clearly unreasonable.” * * * Although we are never quick to second-guess a district court’s management of discovery, we must do so here.

Id. at 891–92.

H. USE OF DISCOVERY AT TRIAL

Read Federal Rules of Civil Procedure 32, 33(c), and 36(b) and the accompanying materials in the Supplement.

Attorneys can use the discovery devices simply to find out information, but commonly they anticipate using an adversary’s or a witness’s answers at trial: as admissions, to refresh a witness’s recollection, or to provide a basis for cross-examination or impeachment. And sometimes a response to discovery can be used in lieu of or in addition to live testimony. The use of discovery responses at trial is governed by two sets of rules: the rules of procedure, governing whether the discovery material can be used at all at trial; and the rules of evidence, governing whether the matters are admissible at trial.

TATMAN V. COLLINS

United States Court of Appeals, Fourth Circuit, 1991.
[938 F.2d 509.](#)

NIEMEYER, CIRCUIT JUDGE:

During the course of trial in this personal injury litigation, the district court excluded the deposition of a treating physician offered by the plaintiff because (1) it had been taken only for discovery purposes, and (2) the witness was within 100 miles of the borders of the district (although more than 100 miles from the courthouse). Because the plaintiff’s other critical expert testimony was dependent on the excluded deposition, the court struck that testimony and directed a verdict for the defendants. For the

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reasons that follow, we conclude that Fed.R.Civ.P. 32 was misapplied to exclude the deposition, and we reverse and remand the case for a new trial.

I

On April 15, 1986, near Winfield, West Virginia, Monte L. Tatman, while in an automobile, was struck from the rear by a tractor-trailer driven by Bobby Wayne Collins. Tatman was treated by Dr. Joseph Amico, a doctor located in Columbus, Ohio, for injuries to his neck, back, shoulder and head. Almost a year later, Tatman was hospitalized with a cerebral aneurysm. He died on March 12, 1987, when the aneurysm ruptured.

In March 1988, Rebecca Tatman, Monte’s wife, filed suit against Collins and his employer, H & T Trucking Services, Inc., in the Southern District of West Virginia, sitting in Charleston. The complaint alleges that Monte Tatman’s death was causally linked to the injuries sustained in the accident. It alleges that the accident caused an uncontrollable rise and fall in Monte Tatman’s blood pressure, which, in turn, caused the rupture of the aneurysm.

During discovery, the defendants took the deposition of Dr. Amico who testified to Tatman’s treatment and gave an opinion that there was a causal connection between the injuries sustained in the accident and the subsequent rupturing of the aneurysm. When a scheduling conflict prevented Dr. Amico from coming to the trial, the plaintiff sought to introduce the deposition of Dr. Amico, pointing out the conflict in his schedule and noting that he was more than 100 miles from the courthouse. The court excluded the deposition because it was taken early in the case as a discovery deposition and the defense counsel should not be “chargeable” with it. The court also concluded that the deposition could not be used because Columbus, Ohio, where Dr. Amico was located, was within 100 miles of the northern border of the Southern District of West Virginia, even though more than 100 miles from the courthouse. * * * Because the only other witness linking Tatman’s aneurysm with the accident, Dr. Cyril Wecht, relied on the testimony of Dr. Amico, the court struck Dr. Wecht’s testimony and granted defendant’s motion for a directed verdict on the wrongful death claim. The jury returned a verdict on the survivor’s claim, finding Collins negligent but finding that Tatman’s injury was not caused by the accident.

II

In refusing to admit the deposition of Dr. Amico because it was a “discovery” deposition rather than one taken for use at trial, the district court stated, “the deposition that’s involved here is a discovery deposition; it is one that was taken by the defense counsel at an early juncture in the case; it is one that the defense counsel should not be chargeable with at last minute—at the trial because plaintiff’s counsel did not produce the physician.” * * *

The Federal Rules of Civil Procedure make no distinction for use of a deposition at trial between one taken for discovery purposes and one taken for use at trial (*de bene esse*). See Rule 32 (use of depositions in court proceedings). Moreover, we are unaware of any authority which makes that distinction. * * * *United States v. IBM Corp.*, 90 F.R.D. 377 (S.D.N.Y.1981). In *IBM Corp.* the court provided a historical explanation of how any distinction between a “discovery” deposition and a “*de bene esse*” deposition was deliberately eliminated from the rule:

Prior to the revision of the Federal Rules of Civil Procedure in 1970, Rule 26(a) provided that depositions could be taken “for the purpose of discovery or for use as evidence in the action or for both purposes.” Rule 26(d), the predecessor of Rule 32(a), which governed the use of depositions at trial, did not, however, state any distinction between discovery and evidentiary depositions. Recognizing a possible ambiguity in the rule, courts nevertheless refused to recognize a distinction between “discovery” and “evidentiary” depositions with regard to admissibility at trial. When the subject matter of Rule 26(a) was transferred to Rule 30(a) in the 1970 revision of the rules, the language authorizing depositions “for the purpose of discovery or for use as evidence in the action or for both purposes” was omitted.

90 F.R.D. at 381 n. 7 (citations omitted).

Fed.R.Civ.P. 32 provides that a deposition may be offered at trial, subject to the rules of evidence, as though the witness were present and testifying, and no distinction is now made in the rule with respect to the purpose for which the deposition was taken. While the rule makes distinctions in the circumstances when depositions of parties and witnesses may be used, it provides in section (a)(3) that when a witness is unavailable as therein provided, the deposition of the witness may be used for any purpose. Parties cognizable of the rule can overcome limitations of the deposition format and its timing in the discovery process by appropriate cross-examination, objections, and motions as permitted by Rules 30 and 32 (both of which govern depositions), Rule 29 (regarding stipulations), and Rule 26 (governing discovery in general). When, as here, the witness’ deposition was duly noticed and all parties had the opportunity to attend (and did attend), it may be introduced at trial, subject to the rules of evidence, if the witness is unavailable as described in Rule 32(a)(3). It is irrelevant to the issue that one party or the other initiated the deposition, that it was initiated only for discovery purposes, or that it was taken before other discovery was completed.

The district court, of course, is afforded broad discretion to admit or exclude any deposition testimony by applying the rules of evidence. But it cannot exclude deposition testimony on the basis that the defendant

intended that the deposition be taken for discovery purposes and did not expect that it would be used at trial.

III

The district court also excluded Dr. Amico’s deposition because Columbus, where Dr. Amico was located, is within 100 miles of the border of the Southern District of West Virginia, although more than 100 miles from the courthouse in Charleston where the trial was taking place. This interpretation of Rule 32 is also one with which we do not agree.

Rule 32(a)(3)(B) provides that a deposition may be admitted if the witness is “at a greater distance than 100 miles from the *place of trial*” (emphasis added). We hold that for purposes of applying the rule the place of trial is the courthouse where the trial takes place. It is apparent that the rule is intended to protect the convenience of the witness and the parties, and that the limit of convenience is measured by the 100-mile distance. To measure a distance from the borders of the district, as defendants argue, rather than from the courthouse, would provide a variable standard of convenience, depending on the size of the district, the location of the trial, and the location of the witness. Had the drafters of the rule intended that the calculation of the 100 miles be made from the borders of the district they could have so specified. It is noteworthy that the language defining the scope of the subpoena power under Rule 45(e) distinguishes itself from Rule 32(a)(3)(B) by permitting service within 100 miles of the place of trial *or* anywhere within the district (even if it is more than 100 miles). That distinction suggests that the “place of trial” as used in Rule 32(a)(3)(B) is a locus more definite than the entire district. * * *

Although few courts have specifically addressed the meaning of “place of trial,” several cases dealing with Rule 32 have interchanged “courthouse” for the “place of trial.” *See, e.g., United States v. Vespe*, 868 F.2d 1328, 1339 (3rd Cir. 1989) (Rule 32 “permits the deposition of a witness who is more than one hundred miles from the *courthouse*.”) (emphasis added) * * *.

Because Dr. Amico was beyond 100 miles of the courthouse and no showing was made that his absence was procured by a party (on the contrary, his professional commitment prevented his coming), his deposition was not properly excludable on the ground that he was within 100 miles of the borders of the district.

* * *

REVERSED AND REMANDED.

K.K. HALL, CIRCUIT JUDGE, dissenting:

I agree with the salient legal points of the majority opinion. The district court misstated the “100-mile” rule, and there is no categorical exclusion of “discovery” depositions at trial.

On the other hand, the district court has broad discretion on questions of admissibility of evidence and broad power over the management of litigation before it. In order to avoid disputes like this one, the district court required the parties to prepare an integrated pretrial order. Plaintiff disclosed that Dr. Amico would be a witness, but did not propose to offer his deposition. The defendants had no notice of plaintiff's intention to use the deposition; the deposition was taken at the earliest stages of the litigation. The rules of civil procedure permit the admission of Amico's deposition, but they do not require it. The district court concluded that it would be unfair to ambush the defendants with the deposition at the last moment. I do not believe that this ruling was an abuse of discretion.

* * *

NOTES AND QUESTIONS

- 1.What is the rationale for permitting the use of testimony by deposition at trial, rather than insisting on live testimony? Does the format of the deposition, whether videotaped or by written transcript, affect its use under Federal Rule 32?
- 2.How do the circumstances for use of deposition testimony under Rule 32(a)(2) differ from those of Rule 32(a)(3)?
- 3.Can a party use deposition testimony selectively, offering only portions of the transcript or videotape? See Rule 32(a)(6).
- 4.Why is there no longer a distinction drawn between “discovery” and other depositions? Strategically, what steps should a party take with respect to her discovery plan once she knows that the opposing party plans to use a deposition transcript at trial?
- 5.Why is the 100-mile rule calculated differently for purposes of a witness’s availability under Rule 32(a)(4) than for a subpoena under Rule 45? Is the 100-mile rule an appropriate proxy for unavailability given the different cost and convenience of different modes of travel? See Sloan & Gotfryd, *Eliminating the 100 Mile Limit for Civil Trial Witnesses: A Proposal to Modernize Civil Trial Practice*, 140 F.R.D. 33, 37 (1992).
- 6.Does absence from the jurisdiction because of military service count as being “unavailable” under Rule 32(a)(4)(C)? See generally Allred, *Depositions and a Case Called Savard*, 63 A.F.L.Rev. 1 (2009).

^aThe language of Rule 27 was altered by the 2007 restyling of the Federal Rules, but the changes were not substantive.

^bThe language as changed now appears in Rule 11(b)(3).

¹This Court’s use of the term “accident-causing” is in no way meant as an assignment of fault. Rather, it is merely the way I distinguish the unit or component used by the complainant at the time of the accident from other units or components under consideration.

³Interrogatory no. 1 asks plaintiff to describe “each component of damages YOU claim YOU have suffered as a result of the acts or omissions YOU allege in the Complaint, including, but not limited, stating the dollar amount of each, and how much was calculated.”

Interrogatory nos. 5, 6, 7, 10, 11, 14, 15 and 16 ask plaintiff to state all facts upon which a particular, specified allegation in the Complaint is based.

Interrogatory nos. 8 and 9 ask plaintiff to identify documents, statements or actions specifically and particularly alleged in the Complaint.

²¹² **Although petitioner was an agent of Greyhound, he was himself a party to the action. He is to be distinguished from one who is not a party but is, for example, merely the agent of a party.**

^cThe “good cause” requirement was eliminated from Rule 34 in 1970.

^dThese matters are now covered by Rule 26(c).

^eThe requirement of “good cause” was removed by the 1970 amendment to Rule 34.

^fAlteration in original.

^gAlteration in original.

⁶ **The following discussion will also be relevant to counsels’ notes and memoranda of interviews with the seven former employees should it be determined that the attorney-client privilege does not apply to them. * * ***

^hThe rule is now numbered as Rule 81(a)(5).

ⁱAlteration in original.

⁶ **Defendants estimate that their actual costs in seeking to compel discovery total at least \$50,000.**

⁸ **Rule 37 was amended in 1970 to permit the imposition of a broader range of sanctions. By deleting the word “wilfully” from subsection (d) of the Rule, the drafters intended “that wilfulness [be] relevant only to the selection of sanctions, if any, to be imposed.” Advisory Committee Note * * *.**

CHAPTER 12

CASE MANAGEMENT

■ ■ ■

This chapter examines the history, theory, and practice of judicial case management techniques. One of the hallmark features of the adversary system is its reliance on the parties to initiate the action and to move the proceeding toward its resolution. The increased importance of case management, including the centrality of Rule 16 pretrial conferences, in part reflects shifting attitudes about the burdens and benefits of civil litigation and concerns about rising dockets and increased costs. Disagreements about the efficacy of case management are at the center of procedural debates involving pleading, discovery, and summary judgment. As you read the materials that follow, consider the values that ought to inform the practice of case management and whether it might be reformed to improve its utility.

and fairness.

A. THE DEVELOPMENT OF CASE MANAGEMENT TECHNIQUES

MILLER, THE PRETRIAL RUSH TO JUDGMENT: ARE THE “LITIGATION EXPLOSION,” “LIABILITY CRISIS,” AND EFFICIENCY CLICHÉS ERODING OUR DAY IN COURT AND JURY TRIAL COMMITMENTS?, 78 N.Y.U.L.Rev. 982, 1003 (2003) (footnotes omitted):

Federal district judges began utilizing management techniques on an ad hoc basis in the years following the Second World War. These experimental procedures were organized under the aegis of the Handbook of Recommended Procedure for the Trial of Protracted Cases and then the Manual on Complex Litigation, which first appeared in the 1960s. Their principles were given greater prominence and officially sanctioned in 1983, and then embellished further in 1993 by amendments to Rule 16; prior to these amendments the Rule described a discretionary and rather simple eve-of-trial conference. Given that by the early 1980s only an estimated six percent of cases actually reached trial and the lion’s share of resource expenditures occurred pretrial, the Rule was of little help in reducing the institution-to-termination litigation timeframe, let alone achieving any systemic economy. Recognizing that judicial intervention should occur shortly after commencement, Rule 16 was transformed in 1983 into a provision that encouraged—and in time effectively mandated—judicial management throughout the pretrial proceedings.

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SHAPIRO, FEDERAL RULE 16: A LOOK AT THE THEORY AND PRACTICE OF RULEMAKING, 137 U.Pa.L.Rev. 1969, 1981–84 (1989) (footnotes omitted):

* * * Rule [16 was] designed to substitute for formal pleadings the less formal processes of discussion and exchange as ways of narrowing issues for trial and of expediting proof. But because flexibility and discretion were the watchwords, judges were not instructed to do anything; they would only be encouraged to act. At the same time, they were not given express power to act coercively in any way not authorized by other, more formal procedures, and the comments of several important figures in the drafting of the rules left little doubt of their resistance to the coercive use of the conference.

* * *

* * * [A]n extraordinary range of practices * * * developed within the framework of the Rule [as promulgated in 1938]. While in some districts judges made relatively little use of the Rule, and seldom required pretrial conferences, other districts promulgated elaborate local rules that required pretrial conferences in most or all cases and/or imposed heavy burdens on counsel to confer in advance and to prepare detailed pretrial orders for the judge’s consideration. Some judges held pretrial conferences early and often, and were encouraged to do so in complex cases by the *Manual for Complex Litigation*. Some judges saw the pretrial conference as the chance to compel the parties to produce information that had not been (and perhaps could not be) sought in routine pretrial discovery; others saw the occasion as an opportunity to rid the case of frivolous or insubstantial issues of fact or law, whether or not requested to do so by one of the parties in an appropriate motion; still others saw the conference as a device to facilitate settlement, and saw the judge as a major player in that process.

* * *

At a more general level, the major development during this period was a sea-change in the attitude of many, perhaps most, judges toward their role in the pretrial period—a change that occurred with surprisingly little concern for the purposes and limitations of Rule 16. Judges began to see themselves less as neutral adjudicators—deciding what the parties brought to them for decision and proceeding at a pace to be determined by the parties—and more as managers of a costly and complicated process. Many district courts began to assign judges to a case from the beginning, and many judges, encouraged by this system and by the increased availability of magistrates and other support staff, began to manage their cases with a firm hand. Crowded dockets, costly discovery, and delay were seen as problems not just for the litigants but for the system, and even the litigants were thought of as frequent victims of their lawyers’ self-interest.

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The role of the judge, then, was to keep cases moving at a reasonable pace, and to see that cases not be needlessly tried. Indeed, the concept of disposition without trial began to embrace a variety of inventive techniques other than simple mediation and settlement.

NOTE ON FEDERAL RULE 16

Federal Rule 16 was based on the experience of pretrial conferences in the Wayne County Circuit Court, in Michigan. The rationale for this innovation was explained by a leading commentator and member of the original Advisory Committee:

Every issue which can * * * be withdrawn from the trial agenda will result in a net gain for all parties concerned. It will save time for the court and jury, save expense for the parties to the action, save trouble for the witnesses, diminish the risk of error by simplifying the proceedings, and reduce the labor and cost of an appeal by curtailing the size of the record. If the admissions go far enough, or the evidence is clear enough, no trial at all may be necessary.

Sunderland, *The Theory and Practice of Pre-Trial Procedure*, 36 Mich.L.Rev. 215, 219 (1937). The rule was designed to be broad and flexible. As was emphasized, “This flexibility calls for discriminating between the cases that need the full treatment and those that do not warrant the full scope of the requirements.” Pollack, *Pretrial Conferences*, 50 F.R.D. 451, 465 (1970).

As the excerpt from Professor Miller’s article explains, developments in case management techniques were influenced by the emergence of the “big case” and the pressures that large scale discovery and multiple parties placed on the court. In the late 1960s a committee of federal judges, known as the Coordinating Committee for Multiple Litigation of the United States District Courts, together with legal scholars and representatives of the bar, drafted a manual of suggested procedures for dealing with “protracted cases.” The manual, which has been revised and updated from time to time, and is now the Manual for Complex Litigation (Fourth) (Federal Judicial Center 2004), traces its origins to the Handbook of Recommended Procedures for the Trial of Protracted Cases, 25 F.R.D. 351 (1960), and also to the Prettyman Report on Procedure in Anti-Trust and Other Protracted Cases, 13 F.R.D. 62 (1951). The Manual deals with many contemporary procedural devices that are now also used in less complex cases.

In 1983, Rule 16 was substantially revised. As the Advisory Committee Notes explain, the amendment was aimed at making “scheduling and case management an express goal of pretrial procedure,” shifting the emphasis of the pretrial conference from preparation for trial to a “process of judicial management that embraces the entire pretrial phase, especially motions and discovery.” In particular, amended Rule 16(b) made a scheduling order mandatory in every case, although it also authorized the district courts to promulgate local rules exempting certain categories of cases from the requirement. In cases not exempted, the assumption was that the judge or a

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magistrate would take “some action in every case within 120 days after the complaint is filed.” In addition, Rule 16(c) expanded the topics to be discussed at a pretrial conference; subdivision (7) included discussion of settlement and of using alternative dispute mechanisms to resolve the suit short of trial. Rule 16(f) specifically provided for the imposition of sanctions on parties and their counsel who failed to comply with a management order. Proponents defended judicial case management on efficiency grounds, contending that the adversary system had become “too costly and inefficient a device for resolving civil disputes.” Miller, *The Adversary System: Dinosaur or Phoenix*, 69 Minn.L.Rev. 1, 20 (1984).

Amendments in 1993 aimed at strengthening the judge’s managerial authority. The amended rule set deadlines for specific litigation activities, made explicit and expanded the topics to be discussed at the pretrial conference, provided for greater supervision of discovery, allowed for earlier consideration of pretrial dispositive motions (such as summary judgment), and confirmed that the judge has authority to facilitate settlement by ordering the parties to be present at pretrial conferences. The amendment also clarified the scope of trial court discretion to impose sanctions for such derelictions as failing to comply with a scheduling order or failing to attend or prepare for a pretrial conference. For discussion of Rule 16 by an experienced trial judge who urged greater use of case management techniques, see Richey, *Rule 16 Revised, and Related Rules: Analysis of Recent Developments for the Benefit of Bench and Bar*, 157 F.R.D. 69 (1994). See also Kelleher, *The December 1993 Amendments to the Federal Rules of Civil Procedure—A Critical Analysis*, 12 Touro L. Rev. 7, 80 (1995).

The 2006 amendment to Rule 16(b) addressed a variety of discovery issues that may be discussed at a pretrial conference, including the discovery or disclosure of electronically stored information. Rule 26(f), which requires the parties to meet and confer to develop a discovery plan, was amended at the same time in order to dovetail with Rule 16(b).

The 2015 amendment required the scheduling conference to be held in person, by telephone, or by electronic means, thus ruling out conferring by mail. In addition, the rule reduced the time to issue the scheduling order (consistent with the shortening of time to effect service under Rule 4(m)), although the court retains discretion to extend the time. Further, the amendment again expanded the list of topics that may be included in the pretrial order, see Rule 16(b)(3)(B), largely concerning preservation of electronically stored information.

Early critics of case management emphasized its incompatibility with features of the adversary system, such as party autonomy, litigant initiative, and judicial neutrality. They also warned that judicial management would be less transparent than traditional judging, and that the practice would be susceptible to bias, yet evade appellate oversight. See Resnik, *Managerial Judges*, 96 Harv.L.Rev. 374, 376–78 (1982). Even some proponents of case management have voiced concern that its emphasis on expedition and

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flexibility cuts too far against court access, the civil jury right, and due process. See Schuh, *Curbing Judicial Discretion in Pretrial Conferences*, 20 Lewis & Clark L. Rev. 647 (2016). Other commentators have questioned whether the civil litigation system is as costly and slow as the conventional wisdom assumes. See Reda, *The Cost-and-Delay Narrative in Civil Justice Reform: Its Fallacies and Functions*, 90 Or.L.Rev. 1085 (2012).

The pressures of “big cases” resolved through multidistrict consolidation or class-wide settlement have served as accelerants in the acceptance of case management and the development of new techniques. It is not clear, however, that all or even the majority of cases are of a size or complexity to benefit from active case management. See Subrin, *Reflections on the Twin Dreams of Simplified Procedure and Useful Empiricism*, 35 W.St.U.L.Rev. 173 (2007). Nor can one safely quantify the negative effects of active judicial supervision, when used for expedition and settlement, on an adversarial system that values litigant autonomy and relies on judicial interpretation for the creation of democratic norms:

The important resource that the judiciary provides is a forum for the integration of law and fact. When the parties settle a case prior to trial or when a judge terminates a case prior to a trial, the process of integrating law and fact is truncated. When this process is abbreviated systematically, the mandate of substantive law is compromised; false negatives and, to a lesser extent, false positives, surely follow. Trials, in particular, are the paradigmatic integration of law and fact. Importantly, when trials vanish, the *shadow* of trials also vanish. The shadow of a trial is critical for parties engaged in settlement negotiations: if trial is not a realistic alternative to a negotiated settlement, the only

realistic alternative is a motion terminating the case.

Main, *Procedural Constants: How Delay Aversion Shapes Reform*, 15 Nev.L.J. 1597, 1628 (2015) (footnotes omitted).

In recent years, a number of states have developed management practices modelled after those in the federal courts. E.g., Jokela & Herr, *Special Masters in State Court Complex Litigation: An Available and Underused Case Management Tool*, 31 Wm. Mitchell L.Rev. 1299 (2005). However, state practice varies a great deal. For a survey, see Oakley, *A Fresh Look at the Federal Rules in State Courts*, 3 Nev.L.J. 354 (2002/03).

The appropriate role of case management cannot be assessed in isolation. As one commentator has observed, “Case management is a part of the larger, interwoven fabric of our dispute-resolution system. It is inextricably bound up with policy debates about the role of judges and with fundamental questions about the proper design of pretrial procedure.” Gensler, *Judicial Case Management: Caught in the Crossfire*, 60 Duke L.J. 669, 672–73 (2010). Civil law systems, such as in Germany and France, have long relied on the judge to take an active role in superintending the disposition of a lawsuit. See Langbein, *The German Advantage in Civil Procedure*, 82 U.Chi.L.Rev. 823

(1985). It probably is significant that the training and selection of first-tier judges in continental Europe differs from that of judges in the United States. See Dodson & Klebba, *Global Civil Procedure Trends in the Twenty-First Century*, 34 B.C. Int’l & Comp.L.Rev. 1 (2011).

B. THE OPERATION OF RULE 16

Read Federal Rule of Civil Procedure 16, the sample pretrial scheduling order, and the sample Standing Order set out in the Supplement.

1.CASE MANAGEMENT TECHNIQUES

NICK V. MORGAN’S FOODS, INC.
United States Court of Appeals, Eighth Circuit, 2001.
[270 F.3d 590.](#)

McMILLIAN, CIRCUIT JUDGE.

[The district court imposed a monetary sanction on defendant and its counsel for failing to participate in good faith in court-ordered alternative dispute resolution in an effort to settle the lawsuit.]

* * *

* * * Nick filed suit against appellant on June 15, 1998, alleging sexual harassment and retaliation in violation of Title VII of the Civil Rights Act of 1964, as amended, 42 U.S.C. § 2000e *et seq.* At that time, appellant was represented by outside counsel Robert Seibel, but all business decisions were made by appellant’s in-house counsel Barton Craig. Pursuant to Fed. R. Civ. P. 16(f),^a a pretrial scheduling conference was held on May 20, 1999. The parties consented to ADR with a court-appointed mediator pursuant to E.D. Mo. L.R. 6.01—6.05 (“the local rules”), and agreed to report back to the district court with the results of the ADR by September 30, 1999. On August 2, 1999, the district court issued an Order Referring Case to Alternate Dispute Resolution (“Referral Order”) mandating that the ADR process be conducted in compliance with the local rules and listing other specific requirements. * * * These requirements included, *inter alia*, that, at least seven days before the first ADR conference, each party shall supply the mediator with a memorandum presenting a summary of the disputed facts and its position on liability and damages; that all parties, counsel, corporate representatives and claims professionals with settlement authority shall attend all mediation conferences and participate in good

faith; and that noncompliance with any court deadline could result in the imposition of sanctions against the appropriate party or parties.

On appellant’s request, the district court agreed to postpone the first ADR conference until October 18, 1999. Appellant did not file the memorandum that was required to be filed at least seven days before the first ADR conference. In attendance at the conference on October 18, 1999 was the court-appointed mediator; Nick; Nick’s counsel; appellant’s outside counsel, Seibel; and a corporate representative of appellant who had no independent knowledge of the facts of the case and had permission to settle only up to \$500. Any settlement offer over \$500 had to be relayed by telephone to Craig, who chose not to attend the ADR conference on the advice of outside counsel Seibel. During the ADR conference, Nick twice made offers of settlement that were rejected without a counteroffer by appellant. The ADR conference ended shortly thereafter without a settlement having been reached.

After the ADR conference, the mediator informed the district court of appellant’s minimal level of participation, and the district court issued an order directing appellant to show cause why it should not be sanctioned for its failure to participate in good faith in the court-ordered ADR process. In an October 29, 1999 response, appellant asserted that the Referral Order was only a set of nonbinding

guidelines and admitted that it decided not to comply with the guidelines because doing otherwise would be a waste of time and money. On the same day, Nick moved to sanction appellant for failing to participate in good faith in the ADR process and requested attorneys’ fees and costs arising out of her participation in the mediation.

The district court held a hearing on its show cause order and Nick’s motion for sanctions on December 1, 1999, at which time Seibel confirmed that appellant’s corporate representative at the ADR conference had only \$500 settlement authority; that any change in appellant’s position could only be made by Craig, who was not present but available by telephone; and that counsel had indeed failed to file the pre-ADR conference memorandum. After hearing argument by both parties, the district court concluded that appellant failed to participate in good faith in the court-ordered ADR process and sanctioned appellant \$1,390.63 and appellant’s outside counsel \$1,390.62. These sanctions were calculated to cover the cost of the ADR conference fees (\$506.25) and Nick’s attorneys’ fees (\$2,275.00). The court also ordered appellant to pay a \$1,500.00 fine to the Clerk of the District Court as a sanction for failing to prepare the required memorandum and for its decision to send a corporate representative with limited authority to settle to the ADR conference. The district court ordered appellant and appellant’s outside counsel each to pay \$30.00 to Nick for the costs she incurred attending the ADR conference.

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On December 20, 1999, appellant filed a Motion for Reconsideration and Vacation of the Court’s Order Granting Plaintiff’s Motion for Sanctions (motion for reconsideration). The district court denied the motion for reconsideration and imposed additional sanctions against appellant and appellant’s counsel in the amount of \$1,250.00 each to be paid to the Clerk of the District Court for vexatiously increasing the costs of litigation by filing a frivolous motion. This appeal followed. Appellant appeals the sanctions levied against it that are to be paid to the Clerk of the District Court; Appellant does not contest the sanctions levied against it that are to be paid to Nick and her counsel.

* * *

Appellant argues that, whereas Rule 11 * * * authorizes monetary fines payable to the court, Rule 16 does not. * * * Rule 16(f) expressly permits a judge to impose any other sanction the judge deems appropriate in addition to, or in lieu of, reasonable expenses. * * * Here, the district court judge acted well within his discretion by imposing a monetary fine payable to the Clerk * * * as a sanction for failing to prepare the required memorandum, deciding to send a corporate representative with limited authority to the ADR conference, and for vexatiously increasing the costs of litigation by filing a frivolous motion for reconsideration.

* * *

Appellant urges that the “uncontroverted facts on the record conclusively establish that all of the conduct which irritated the Trial Court was the exclusive product of Appellant’s trial lawyer and unknown to Appellant.” * * * Appellant argues that the affidavits of Craig and Seibel establish that it had no knowledge that its conduct was sanctionable and that its outside counsel was solely responsible for the noncompliance. * * * Appellant claims that Seibel did not pass along to Craig the necessity for a memorandum, and that, although Seibel advised Craig of the district court’s Referral Order and the relevant local rules, Craig read neither and relied instead on the advice of Seibel. * * * Appellant further claims that Seibel advised Craig that his attendance at the ADR conference was not necessary. * * * For this reason, appellant argues that the district court abused its discretion in imposing the sanctions against it and not solely against its outside counsel.

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It is a well-established principle in this Circuit that a party may be held responsible for the actions of its counsel. * * * While forcing parties to answer for their attorneys’ behavior may seem harsh, * * * litigants who are truly misled and victimized by their attorneys have recourse in malpractice actions. * * * [T]he sanction imposed by the district court need only be proportionate to the litigant’s transgression. * * *

* * *

In sum, we hold that the district court did not abuse its discretion in imposing monetary sanctions against appellant for its lack of good faith participation in the ADR process, for its failure to comply with the district court’s August 2, 1999, Referral Order, and for vexatiously increasing the costs of litigation by filing a frivolous motion for reconsideration. The order of the district court is affirmed.

NOTES AND QUESTIONS

1. As Nick illustrates, Rule 16 anticipates that the judge will play an energetic role in encouraging the parties to settle their dispute. See Glover, *The Federal Rules of Civil Settlement*, 87 N.Y.U.L.Rev. 1713 (2012). That role often includes, as in Nick, facilitating settlement by directing the parties toward the use of alternative dispute resolution. See Chapter 18, *infra*. For practice prior to the 1993 amendment, see G. Heileman Brewing Co. v. Joseph Oat Corp., 871 F.2d 648 (7th Cir. 1989) (en banc). Does the court’s facilitation of settlement undermine its ability to decide the case on the merits? Does your answer depend on whether the trial is to a jury or to the bench? Would it be preferable to refer all settlement discussions to a third party? For suggestions on how to reform settlement conferences to protect against “unbounded, unbridled, and virtually unfettered” judicial discretion, see Parness, *Improving Judicial Settlement Conferences*, 39 U.C. Davis L.Rev. 1891, 1891–92 (2006).

2. Rule 16 provides the district courts with an arsenal of tools for managing a judicial proceeding. As one commentator puts it, the rule offers federal judges “more managerial arrows than can fit in an ordinary quiver.” See Rowe, *Authorized Managerialism Under the Federal Rules—And the Extent of Convergence with Civil-Law Judging*, 36 Sw.U.L.Rev. 191, 196 (2007). Rule 16 authority embraces such orders as the court’s dismissing a party from the lawsuit, blocking the presentation of testimony at trial, and enforcing the waiver of claims or defenses. But a court’s powers to manage each stage of litigation, including pretrial discovery, are not limitless and will exceed permissible bounds if used to impose undue restrictions on the process of fact gathering and adjudication. For an example of a judge’s use of managerial authority that was deemed an abuse of discretion, see *Miller v. Sam Houston State University*, 986 F.3d 880 (5th Cir. 2021), discussed on p. 980, *supra*.

3. Rule 16 permits the imposition of monetary sanctions on a party or the party’s counsel. Should these sanctions be compensatory—to reimburse the

opposing party or the court for the added litigation costs—or a deterrent? How do Rule 16 sanctions differ from those imposed under Rule 11? See p. 703, Note on Rule 11, *supra*. Are monetary sanctions always preferable to the relatively drastic sanction of dismissal?

4. The liberal Rule 15 standard for amendment generally does not apply to modification of a pretrial scheduling order:
The pretrial scheduling order is designed to allow the district court to better manage its calendar and to facilitate the more efficient disposition of cases by settlement or by trial. See *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 607–08 (9th Cir. 1992). A scheduling order is not “a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.” *Id.* at 610 (citation and quotation marks omitted). Rather, a scheduling order may be changed only with the court’s consent and for “good cause.” Fed. R. Civ. P. 16(b)(4). But, the “good cause” standard requires less than the “manifest injustice” test used to modify a final pretrial order. See Fed. R. Civ. P. 16(e). See also Fed. R. Civ. P. 16, 1983 Advisory Committee Notes (“Since the scheduling order is entered early in the litigation, this standard seems more appropriate than a ‘manifest injustice’ or ‘substantial hardship’ test.”).

When litigants move to alter the schedule, the court’s inquiry focuses primarily on the diligence of the moving party * * *. Essentially, “[t]he district court may modify the pretrial schedule ‘if it cannot reasonably be met despite the diligence of the party seeking the extension’ . . . [i]f that party was not diligent, the inquiry should end.” *Johnson*, 975 F.2d at 609 (internal citation omitted). Ultimately, a district court has “broad discretion” to alter the schedule. *United States v. Flynt*, 756 F.2d 1352, 1358 (9th Cir. 1985).

Stoddart v. Express Services, 2017 WL 3333994, *1–2 (E.D. Cal. 2017).

To determine whether the party seeking modification was diligent, courts in the Ninth Circuit look primarily at three factors:
[T]he movant may be required to show the following: (1) that she was diligent in assisting the Court in creating a workable Rule 16 order * * *; (2) that her noncompliance with a Rule 16 deadline occurred or will occur, notwithstanding her diligent efforts to comply, because of the development of matters which could not have been reasonably foreseen or anticipated at the time of the Rule 16 scheduling conference * * *; and (3) that she was diligent in seeking amendment of the Rule 16 order, once it became apparent that she could not comply with the order * * *.

Jackson v. Laureate, Inc., 186 F.R.D. 605, 608 (E.D. Cal. 1999). The Sixth Circuit relies upon a four-factor test:

- (1) the explanation for the failure to timely move for leave to amend;
- (2) the importance of the amendment;
- (3) potential prejudice in allowing the amendment; and
- (4) the availability of a continuance to cure such prejudice.

Fahim v. Marriott Hotel Services, Inc., 551 F.3d 344, 348 (5th Cir. 2008). How do these standards differ, if at all?

5. In *KASSNER v. 2nd AVENUE DELICATESSEN, INC.*, 496 F.3d 229 (2d Cir. 2007), an employment discrimination action, plaintiff moved to amend the complaint before defendant had filed an answer, but one month after the date specified in the Rule 16(b) scheduling order as the final date for the amendment of the pleadings. The court of appeals held that the more stringent “good cause” standard of Rule 16(b), and not Rule 15(a), applied:

* * * The advisory committee notes [to the 1983 amendments] provide that “[i]tem (1) assures that at some point both the parties and the pleadings will be fixed, by setting a time within which joinder of parties shall be completed and the pleadings amended.” * * * This objective would be frustrated by an interpretation of the first sentence of Rule 15(a) that precludes a district court from exercising any discretion to specify the time period during which a party may effect the first amendment of its complaint prior to the serving of a responsive pleading. Rule 16(b), in allowing modifications of scheduling orders only for good cause, provides the district courts discretion to ensure that limits on time to amend pleadings do not result in prejudice or hardship to either side. * * *

Id. at 243–44. Other circuits likewise have held that Rule 15 governs a timely motion to amend a complaint, but that Rule 16(b) governs a post-deadline motion. E.g., *Public Health Equipment & Supply Co., Inc. v. Clarke Mosquito Control Systems, Inc.*, 410 Fed.Appx. 738 (5th Cir. 2010); *Sosa v. Airprint Systems, Inc.*, 133 F.3d 1417, 1419 (11th Cir. 1998) (“If we considered only Rule 15(a) without regard to Rule 16(b), we would render scheduling orders meaningless and effectively would read Rule 16(b) and its good cause requirement out of the Federal Rules of Civil Procedure.”).

6. An appellate court will accord deference to the trial court’s managerial decisions, including whether to impose a sanction. See *Freeman v. Astrue*, 405 Fed.Appx. 148, 150–51 (9th Cir. 2010) (no abuse of discretion by excluding evidence filed 34 minutes after the court-imposed deadline).The First Circuit has warned that it is “folly” to treat case management orders as “polite suggestions rather than firm directives,” and that a party who ignores an order does so on peril of dismissal:

Administering a bustling docket is hard work. * * *

Of course, dismissal does not follow automatically from every failure to abide by a case-management order. When a party fails to obey such an order, the selection of an appropriate sanction is peculiarly within the province of the district court. In making this selection, a district

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judge “must work a complicated equation, balancing fairness to the parties with the need to manage crowded dockets.” *Macaulay v. Anas*, 321 F.3d 45, 51 (1st Cir. 2003). Given the trial court’s “intimate knowledge of the variables that enter into the equation, appellate review of sanctions orders is deferential.” *Id.* * * * “[W]e focus our review particularly on whether a material factor deserving significant weight was ignored, whether an improper factor was relied upon, or whether when all proper and no improper factors were assessed the court made a serious mistake in weighing them.” *United States v. One 1987 BMW 325*, 985 F.2d 655, 657–58 (1st Cir. 1993) * * *. Absent an error of law—and we discern none here—the party challenging a sanction faces an uphill climb in persuading a reviewing court that the trial court abused its discretion. *Id.* at 657.

Mulero-Abreu v. Puerto Rico Police Dept., 675 F.3d 88, 89, 91–92 (1st Cir. 2012).

7.Note that the sanctions imposed by the district court against the appellant in *Nick* stemmed in part from counsel’s failure to adhere to requirements set forth in the Eastern District of Missouri’s local rules. Those local rules governed the referral of cases to court-ordered alternative dispute resolution. In some district courts, local rules impose duties on litigants or counsel, in furtherance of case management, that are not found in the Federal Rules. These can include provisions that expand the Rule 16 concept of encouraging planning and consensual resolution, such as local rules requiring parties to meet and confer before filing motions. See, e.g., D. Minn. R. 7.1.

2.THE FINAL PRETRIAL ORDER

PAYNE V. S. S. NABOB

United States Court of Appeals, Third Circuit, 1962.
[302 F.2d 803.](#)

McLAUGHLIN, CIRCUIT JUDGE.

In this personal injury admiralty action libellant filed a pretrial memorandum stating that he was relying upon the condition of a winch to prove his cause of action. The judge’s pretrial report noted that. Sometime later the suit went to trial. Libellant’s attorney included in his opening the fact that the loading had been handled improperly as an important element of his proof of unseaworthiness. The impleaded stevedore employer objected as it was outside the scope of the pretrial memorandum and report. The trial court sustained the objection. Two witnesses on behalf of the libellant, not listed in his pretrial memorandum, were not allowed to testify. Libellant’s attorney moved for a continuance and this was denied.

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Appellant * * * would have it that the Standing Order [local rule adopting Rule 16] did not furnish any ground for the court’s barring of the unseaworthy allegation and of the witnesses not mentioned in the appellant’s pretrial memorandum or the court’s pretrial report. This seems to be founded on the thought that a pretrial memorandum is merely preparatory to the conference and that the court’s pretrial order is the sole proof of the results of the pretrial procedure. In this instance, goes the contention, the function of appellant’s memorandum was exhausted at the conference and since no pretrial “order” was made there were no binding results of the pretrial steps. [*Padovani v. Bruchhausen*, 293 F.2d 546 (2d Cir. 1961)] * * * is cited for this, where it states:

“Nothing in the rule [16] affords basis for clubbing the parties into admissions they do not willingly make; but it is a way of advancing the trial ultimately to be had by setting forth points on which the parties are agreed after a conference directed by a trained judge.”

Appellant was not clubbed into admissions he did not willingly make. It was his own voluntary statement of the basis of his claim that was included in the pretrial report of the judge. The report was never objected to as incorrectly outlining appellant’s pretrial statement.

The position now taken that the pretrial report of the trial judge because it is not titled as an “order” does not comply with Rule 16 is without merit. Appellant’s pretrial memorandum was filed. In accordance with the Standing Order it contained a “brief summary statement of both the facts of this case and counsel’s contention as to the liability of defendant.” It also contained “The names and addresses of all witnesses (except rebuttal) whom the plaintiff expects to call to testify at the time of trial.” The pretrial conference was held in due course and attended by the attorneys for the parties. Based on the pretrial memoranda and the conference, the district judge drew and filed his report. There was no complaint concerning it or any part of it down to and including the trial until libellant’s attorney

was stopped in his opening as he went beyond his pretrial outline of alleged liability. The pretrial “report”² drawn, signed and filed by the pretrial judge

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properly and fully (having the particular litigation and its requirements in mind) complies with the requirements of Rule 16. It, including its references to the pretrial memoranda, succinctly fulfilled the letter and spirit of pretrial. It reduced the action to essentials, eliminated surplusage, enabled the parties and the court to prepare for a trial of stated issues, named witnesses and contained no hidden charms. The argument to the contrary, depending as it does on a quibble over the word “report”, is rootless.

It is asserted on behalf of the appellant that the Standing Order can only be construed as a request to stipulate, that counsel had no intention of stipulating and that no warning or notice was given by the Standing Order that failure to list the requirements ordered would constitute a stipulation or a waiver of all other theories. Rule 16 gives as the first purpose of pretrial “The simplification of issues”.^b Under the Standing Order counsel were asked to furnish “A brief summary of both the facts of the case and counsel’s contentions as to the liability of the defendant.” That was done. Libellant’s contentions as to the liability of the defendant were inserted into the Court’s Report with the note “See pre-trial memo”. The Report was filed September 28, 1959. The trial did not commence until March 14, 1960, a five and a half months interval during which no effort was made to change the signed and filed contentions of the libellant regarding the liability of the defendant or to add names of witnesses. The facts that the situation was plain on its face and that the practice was well settled by then, (the Standing Order having been in effect since October 23, 1958), set the tone for this contention on behalf of appellant. *Krieger v. Ownership Corporation*, 270 F.2d 265 (3 Cir. 1959), relied upon by appellant is inapposite. We there held that disputed issues of fact *actually raised* at the pretrial stage could not be resolved by the trial court on motion for summary judgment. It has long been the law that attorneys at the pretrial stage “owe a duty to the court and opposing counsel to make a full and fair disclosure of their views as to what the real issues at the trial will be.” *Cherney v. Holmes*, 185 F.2d 718, 721 (7th Cir. 1950) * * *. It is through such disclosure at pretrial that trial prejudice can be avoided. The awareness of appellant’s attorney to the trial situation is apparent in his request for a continuance when he told the court “I think under the circumstances I would move for a continuance of the case to give *the other*

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side ample time, because actually this is a question of surprise.” (Emphasis supplied.)^c

It is argued also that the court abused its discretion by refusing to permit amendment of the pretrial memorandum. This was not an easy decision for the trial judge. His inclination clearly, as is habitual with judges, was to help. And help he would have if, in his opinion, he could have done so fairly. But he was confronted with the realization that if he granted the request or allowed a continuance of the trial he was repudiating the whole pretrial theory and system as understood and followed in the Eastern District at a crucial period of its existence. Pretrial was finally on a firm foundation there. The judges had all given it generous and complete attention. This, with the gradual realization of the bar that pretrial was here to stay as a vital element of litigation practice and its resultant full cooperation, had made pretrial procedure routine in the Eastern District. One consequence was that directly and indirectly enormous relief was given the badly clogged trial list. It was admittedly vitally important to make sure that pretrial procedure would continue to function properly. One necessary phase of attaining that objective was, as expressed by the trial judge, “We have come to the point of enforcing it very strictly.” In the circumstances he considered himself obliged to deny the motions to amend the pretrial memorandum with respect to liability allegations and witnesses. The refusal of appellant’s motion for a continuance is in the same category.

Beyond all doubt the judge acted entirely within his discretion. It was difficult for him, it took courage but it was what this sound, experienced judge had to do as he saw it, in accordance with his judicial obligation.

The decree of the district court will be affirmed.

NOTES AND QUESTIONS

1. The general rule makes the final pretrial order, together with all stipulations, agreements, and statements of counsel made at the final pretrial conference, binding for purposes of trial. See *Kona Technology Corp. v. Southern Pacific Transportation Co.*, 225 F.3d 595, 604 (5th Cir. 2000). Certainly the benefits of case management depend on the court’s efficient resolution of each stage of the proceeding and development of a clear plan for final disposition.

2. The practical significance of the final pretrial order cannot be overstated. In *HOWARD v. KERR GLASS MFG. CO.*, 699 F.2d 330 (6th Cir. 1983), the Sixth Circuit ruled that the final pretrial order prevailed over the original pleadings and that the trial judge had erred in refusing to admit evidence on issues included in the final pretrial order but not in the pleadings. Conversely, omission of an issue from a pretrial order in other cases has proved

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fatal. In *McLEAN CONTRACTING CO. v. WATERMAN S.S. CORP.*, 277 F.3d 477 (4th Cir. 2002), plaintiff had made it clear that defendant’s liability depended upon the fact that a third company had acted as defendant’s agent. Defendant intended to dispute the agency but failed to have it included as an issue in the pretrial order. The appellate court held it was not an abuse of discretion to refuse defendant’s evidence on the issue; to the contrary, the court underscored that “[c]ounsel bear a substantial responsibility for assisting the court in identifying the factual issues worthy of trial. If

counsel fails to identify an issue to the court, the right to have the issue tried is waived.” Id. at 480.

C. NON-ARTICLE III JUDICIAL PERSONNEL

Read Federal Rules of Civil Procedure 53, 72, and 73, and the materials accompanying Rule 53 in the Supplement.

The managerial authority of federal judges is bolstered by the assistance of non-Article III decision-makers such as magistrate judges and masters. The contribution of these judicial adjuncts, who serve for a fixed statutory term or by appointment, is quite significant. Magistrates can preside over civil trials with the parties’ consent and often serve as the initial adjudicator of a dispute. In 2016, magistrate judges disposed of 1,087,249 matters, and held 57,660 pretrial conferences in civil actions. See United States Courts, U.S. Magistrate Judges—Judicial Business 2016, available at: <http://www.uscourts.gov/statistics-reports/us-magistrate-judges-judicial-business-2016>. Masters also play a critical role as adjuncts in the federal courts, assigned such tasks as supervising discovery, overseeing disputes about attorney’s fees, and managing other aspects of complex cases. The selection of magistrates and masters falls within the authority of the district judges within guidelines that are general and differ among districts.

1.MAGISTRATE JUDGES

NOTES AND QUESTIONS

1. The use of extra-judicial personnel is not a new phenomenon, but the practice in civil cases initially was disfavored. See Silberman, *Masters and Magistrates, Part I: The English Model*, 50 N.Y.U.L.Rev. 1070 (1975); Silberman, *Masters and Magistrates, Part II: The American Analogue*, 50 N.Y.U.L.Rev. 1297 (1975). The modern office of magistrate judge dates to the 1968 enactment of the Federal Magistrates Act, which replaced a system of commissioners who carried out ministerial tasks for the federal judges. See Foschio, *A History of the Development of the Office of United States Commissioner and Magistrate Judge System*, 1999 Fed.Cts.L.Rev. 4 (1999);

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Weinstein & Wiener, *Of Sailing Ships and Seeking Facts: Brief Reflections on Magistrates and the Federal Rules of Civil Procedure*, 62 St. John’s L.Rev. 429 (1988).

2. Magistrate judges are judicial officers who serve as adjuncts to the district court. Unlike Article III judges who are appointed by the President after confirmation by the Senate and have the protection of life tenure, magistrate judges are appointed by the district judges of their court and serve for fixed terms. The work of a magistrate judge comports with the requirements of Article III under the theory that an assigned case “belongs to the district judge throughout,” *Conetta v. National Hair Care Centers*, 236 F.3d 67, 74 (1st Cir. 2001), and the “Article III courts firmly ‘control’ each magistrate.” *Orsini v. Wallace*, 913 F.2d 474, 477–79 (8th Cir. 1990), cert. denied, 498 U.S. 1128, 111 S.Ct. 1093, 112 L.Ed.2d 1197 (1991). At bottom, the use of magistrate judges is justified on efficiency grounds:

A preference for magistrate judges can be explained by considering the comparative “prices” of a life-tenured judgeship and of a magistrate judgeship. Not only are Article III judges more expensive in dollar terms, they also create possibilities for party patronage and for conflicts between Congress and the Executive. Further, Article III judgeships typically require lag time from judicial request to congressional authorization and executive appointment. In contrast, magistrate judge lines can be created directly by the judiciary, which remains dependent on Congress for funding but not for appointing or allocating positions.

Resnik, *Trial as Error, Jurisdiction as Injury: Transforming the Meaning of Article III*, 113 Harv.L.Rev. 924, 990–91 (2000). See also Resnik, *Judicial Selection and Democratic Theory: Demand, Supply, and Life Tenure*, 26 Cardozo L.Rev. 579 (2005).

3.What kinds of determinations may be assigned to a magistrate judge under 28 U.S.C. § 636(b)(1)? Can you identify the motions that are specially excepted under the statute? What is the scope of the magistrate’s authority regarding “dispositive” motions? What is the procedure for objecting to a magistrate judge’s recommendations and determinations? Would it be constitutional for a magistrate judge to terminate a case before trial without de novo review by an Article III judge? Likewise, should a magistrate judge’s imposition of sanctions be subject to de novo review? See Bell, *The Power to Award Sanctions: Does It Belong in the Hands of Magistrate Judges*, 61 Alb.L.Rev. 433 (1997).

4.The surge in pro se litigants has raised questions about the complexity of court procedure and the fairness of having parties navigate the litigation process without counsel. See Swank, *The Pro Se Phenomenon*, 19 BYU J.Pub.L. 373 (2005). The Eastern District of New York created a magistrate judge position to hear many categories of pro se matters. See Bloom & Hershkoff, *Federal Courts, Magistrate Judges, and the Pro Se Plaintiff*, 16 Notre Dame J.L. Ethics & Pub.Pol’y 475 (2002). Do you see any benefits to this

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approach? Disadvantages? See Stancil, *Substitute Equality and Procedural Justice*, 102 Iowa L.Rev. 1633 (2017).

2.MASTERS

Read Federal Rule of Civil Procedure 53 and the accompanying materials in the supplement.

IN RE PETERSON

Supreme Court of the United States, 1920.
[253 U.S. 300, 40 S.Ct. 543, 64 L.Ed. 919.](#)

Petition for Writ of Mandamus and/or Writ of Prohibition to the District Court for the Southern District of New York.

JUSTICE BRANDEIS delivered the opinion of the Court.

[Petitioner challenged the authority of the district court to appoint an auditor to conduct a preliminary hearing to determine amounts due for coal sold and delivered, and to tax the auditor’s expenses as costs. Petitioner also claimed that the appointment of the auditor violated his jury trial right under the Seventh Amendment.]

* * *

The order expressly declared that the auditor should not “finally determine any of the issues in this action, the final determination of all issues of fact to be made by the jury at the trial”; but it did not provide affirmatively what use should be made of the report at the trial. It may be assumed that, if accepted by the court, the report would be admitted at the trial before the jury as prima facie evidence both of the evidentiary facts and of the conclusions of fact therein set forth. * * * A more intelligent consideration of the issues submitted to the jury for final determination would result.

* * * Prior to the adoption of the federal Constitution there did not exist in England, or so far as appears in any of the colonies, any officer, permanent or temporary, who, in connection with trials by jury, exercised the powers of an auditor above described. * * *

The office of auditor, with functions and powers like those here in question, was apparently invented in Massachusetts. It was introduced there by chapter 142 of the Acts of the Legislature of the year 1818, and as a part of the judicial machinery it has received the fullest development in that state. No act of Congress has specifically authorized the adoption of the practice in the federal courts. * * *

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* * * The command of the Seventh Amendment * * * does not prohibit the introduction of new methods for determining what facts are actually in issue, nor does it prohibit the introduction of new rules of evidence. * * * New devices may be used to adapt the ancient institution to present needs * * *.

In so far as the task of the auditor is to define and simplify the issues, his function is, in essence, the same as that of pleading. The object of each is to concentrate the controversy upon the questions which should control the result. * * * [I]t cannot be deemed an undue obstruction of the right to a jury trial to require a preliminary hearing before an auditor.

* * *

* * * There being no constitutional obstacle to the appointment of an auditor in aid of jury trials, it remains to consider whether Congress has conferred upon District Courts power to make the order. There is here, * * * no legislation of Congress which directly or by implication forbids the court to provide for such preliminary hearing and report. But, on the other hand, there is no statute which expressly authorizes it. The question presented is, therefore, whether the court possesses the inherent power to supply itself with this instrument for the administration of justice when deemed by it essential.

Courts have (at least in the absence of legislation to the contrary) inherent power to provide themselves with appropriate instruments required for the performance of their duties. * * * This power includes authority to appoint persons unconnected with the court to aid judges in the performance of specific judicial duties, as they may arise in the progress of a cause. * * * Whether such aid shall be sought is ordinarily within the discretion of the trial judge; but this court has indicated that where accounts are complex and intricate, or the documents and other evidence voluminous, or where extensive computations are to be made, it is the better practice to refer the matter to a special master or commissioner than for the judge to undertake to perform the task himself. * * *

* * * As Congress * * * has made no provision for paying from public funds either the fees of auditors or the expense of the stenographer, the power to make the appointment without consent of the parties is practically dependent upon the power to tax the expense as costs. May the compensation of auditor and stenographer be taxed as costs; and, if so, may the expense be imposed in the discretion of the trial court upon either party?

Federal trial courts have, sometimes by general rule, sometimes by decision upon the facts of a particular case, included in the taxable costs expenditures incident to the litigation which were ordered by the court

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because deemed essential to a proper consideration of the case by the court or the jury. * * *

The allowance of costs in the federal courts rests, not upon express statutory enactment by Congress, but upon usage long continued and confirmed by implication from provisions in many statutes. * * *

* * * As there is no statute, federal or state, and no rule of court excluding auditors’ fees and the expense of his stenographer from the items taxable as costs, no reason appears why they may not be included, like other expenditures ordered by the court with a view to securing an intelligent consideration of a case.

Denied.

[JUSTICES McKENNA, PITNEY, and McREYNOLDS dissented.]

NOTES AND QUESTIONS

- 1. Prior to the adoption of Federal Rule 53 in 1938, the Supreme Court recognized that in “exceptional circumstances” a court had authority to appoint a master “to aid judges in the performance of specific judicial duties, as they may arise in the progress of a cause.” *La Buy v. Howes Leather Co.*, 352 U.S. 249, 256, 77 S.Ct. 309, 313, 1 L.Ed.2d 290, 297 (1957) (internal citations omitted). What circumstances ought to count as exceptional? Does Rule 53 incorporate that limitation? Does the appointment of a master depend on the parties’ consent?
- 2.What is the scope of a master’s role under Federal Rule 53? Would the accounting matter at issue in *In re Peterson* be exempt from the rule’s “exceptional condition” requirement? See Kaufman, *Masters in the Federal Courts: Rule 53*, 58 Colum.L.Rev. 452 (1958). Rule 53 was amended in 2003 making it easier to appoint a master in a jury case. See Fellows & Hardock, *Federal Court Special Masters: A Vital Resource in the Era of Complex Litigation*, 31 Wm. Mitchell L.Rev. 1269, 1272–73 (2005); Scheindlin & Redgrave, *The Evolution and Impact of the New Federal Rule Governing Special Masters*, 51 Fed.Law. 34 (Feb. 2004).
- 3.What are the key differences between a magistrate judge and a special master?
- 4. IN RE WORLD TRADE CENTER DISASTER SITE LITIG., 521 F.3d 169 (2d Cir. 2008), involved litigation by more than 9,000 plaintiffs, including New York City fire fighters, against 200 defendants for injuries allegedly caused by exposure to toxic chemicals during the clean-up effort that followed the destruction of the World Trade Center on September 11, 2001. The district judge appointed two special masters to oversee “bellwether” trials but settlements were reached before the trials took place. See Lahav, *The Case for “Trial by Formula”*, 90 Tex.L.Rev. 571, 610–12 (2012). The use of special masters in this litigation is to be distinguished from the special master who administered the September 11th Victim Compensation Fund, established

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under the Air Transportation Safety and System Stabilization Act, and who reported to the Attorney General of the United States.

^aThe rule is now Rule 16(b)(1)(B).

⁴Appellant argues that its counsel, Seibel, failed to inform appellant that Craig was required to attend the mediation and instead erroneously assured appellant that sending its highest ranking manager in Missouri was sufficient. * * * This argument incorrectly frames the issue because the problem was not the rank of the corporate representative but the corporate representative’s ability to meaningfully participate in the ADR conference and to reconsider the company’s position on settlement at that conference.

² “Pre-Trial Report of Judge Van Dusen

Date Pre-Trial Held: 9/21/59 No. on Consolidated List: 2109 303 of 1958 in Admiralty

Case Title: Hosea Payne v. S.S. Nabob & North German Lloyd v. Lavino Shipping Co.

1.Trial Counsel: LC Philip Dorfman, Esq. & Saul C. Waldbaum, Esq.

R—Robert A. Hauslohner, Esq. (T. Mount will try)

IR—F. Hastings Griffin, Jr., Esq. (P. Price will try)

2.Amendments: If IR wishes to amend pre-trial memo, notice to be given to undersigned.

3.Discovery: Respondent will answer impleaded respondent’s interrogatories (unexecuted copies to be furnished counsel by September 23).

4.L’s Claim: Ship unseaworthy due to improper port winch on after side at #2 hatch. Brakes would not hold when set in neutral. Port winch on house-fall did not work from early hours of morning. See pre-trial memo.

5.R’s Claim: Sole cause of injuries was L’s negligence and that of his fellow workmen. Two men pushed draft into L and 2 other men said nothing was defective in winches. See pre-trial memo. IR’s position—see pre-trial memo.

6.Stipulations:

7.Issues:

8.Legal Issues:

9.Trial Time: 6 days

Francis L. Van Dusen, J.”

^bThis language has been altered without any substantive change.

^cAlteration in original.

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CHAPTER 13

ADJUDICATION WITHOUT TRIAL OR
BY SPECIAL PROCEEDING



This chapter examines procedures that may dispose of a lawsuit without a trial. The main focus is Federal Rule 56, which allows a court to enter judgment as a matter of law if there are no material issues of fact in dispute. The materials also cover voluntary and involuntary dismissals and default judgments. Initially, courts used Rule 56 cautiously, only “to weed out frivolous and sham cases, and cases for which the law had a quick and definitive answer.” Wald, *Summary Judgment at Sixty*, 76 Tex.L.Rev. 1897, 1897 (1998). However, in 1986, the Supreme Court decided a trilogy of cases that encouraged greater use of summary judgment—*Celotex v. Catrett*, 477 U.S. 317, 106 S.Ct. 2548, 91 L.Ed.2d 265; *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 106 S.Ct. 2505, 91 L.Ed.2d 202; and *Matsushita Electric Industrial Co. v. Zenith Radio Corp.*, 475 U.S. 574, 106 S.Ct. 1348, 89 L.Ed.2d 538. See Langbein, *The Disappearance of Civil Trial in the United States*, 122 Yale L.J. 522 (2012). Unquestionably, summary disposition can save time and money. However, critics warn that a “hyperactive” use of Rule 56 and other short-cut procedures “threatens longstanding constitutional values.” Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Clichés Eroding Our Day in Court and Jury Trial Commitments?*, 78 N.Y.U.L.Rev. 982, 983 (2003).

A. SUMMARY JUDGMENT

Read Federal Rule of Civil Procedure 56 and the accompanying materials in the Supplement.

1. SUMMARY JUDGMENT: A SHORT HISTORY

FRIEDENTHAL & GARDNER, JUDICIAL DISCRETION TO DENY SUMMARY JUDGMENT IN THE ERA OF MANAGERIAL JUDGING, 31 Hofstra L.Rev. 91, 96 (2002) (footnotes omitted):

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Modern summary judgment has its root in nineteenth century English law. Both the 1855 Summary Procedure on Bills of Exchange Act, more commonly known as Keating’s Act, and the Judicature Act of 1873 allowed plaintiffs summary adjudication in their collection of liquidated claims when they demonstrated no dispute as to the terms of an agreement to provide goods or services, the actual provision of those goods or services, and nonpayment. The purpose of these acts was to “reduce delay and expense resulting from frivolous defenses.” Although forms of summary proceedings existed in the United States as early as 1769, several states enacted summary judgment statutes based on the English model in the late 1800s. These American statutes were similar to the English Acts in that they were limited to use by plaintiffs and could only be used for claims appropriately resolved by documentary proof. Initially, judges expressed reluctance in granting summary judgment motions, viewing summary judgment as a drastic remedy. Yet by the mid-1920s, judges granted more than half of such motions before them.

MILLER, THE PRETRIAL RUSH TO JUDGMENT: ARE THE “LITIGATION EXPLOSION,” “LIABILITY CRISIS,” AND EFFICIENCY CLICHÉS ERODING OUR DAY IN COURT AND JURY TRIAL COMMITMENTS?, 78 N.Y.U.L.Rev. 982, 1019–23 (2003) (footnotes omitted):

Since its promulgation, Rule 56 has been the subject of periodic debate, as first exemplified in the 1940s by the opinions of two extremely distinguished Second Circuit judges, Charles E. Clark and Jerome N. Frank, in *Arnstein v. Porter*, [154 F.2d 464 (2d Cir. 1946),] an action charging one of America’s greatest songwriters with the infringement of musical copyrights of an apparently litigious plaintiff. Judge Frank, writing for the majority, decided against summary judgment and in favor of trial, stating that the “[p]laintiff must not be deprived of the invaluable privilege of cross-examining the defendant—the ‘crucial test of credibility’—in the presence of the jury.” Although finding composer Ira Arnstein’s theory about Cole Porter’s plagiarism to be highly implausible, Judge Frank held that it raised a credibility question requiring a jury’s determination, and that summary judgment should not be granted when there was the “slightest doubt as to the facts.” He was concerned that liberal utilization of the motion would allow judges to usurp the role of juries, and would “favor unduly the party with the more ingenious and better paid lawyer.” * * * He also expressed the sentiment that use of summary procedures in the name of clearing crowded dockets unjustly deprived litigants of their day in court.

Conversely, Judge Clark argued that summary judgment was “more necessary in the system of simple pleading now enforced in the federal

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courts” to avoid useless and unnecessary trials. He disagreed with an across-the-board limitation on summary judgment that would prevent it from being granted whenever credibility issues were crucial, and he accused his colleague of judicially amending the Rules, stating that “the clear-cut provisions of F.R. 56 conspicuously do not contain either a restriction on the kinds of actions to which it is applicable (unlike most state summary procedures) or any presumption against its use.” He also mounted a vigorous assault on Judge Frank’s “slightest doubt” standard, commenting in a later writing that “a slight doubt can be developed as to practically all things human.” A narrow construction of the Rule, in his view, would encourage trials for the purpose of harassment and mean that the federal courts were endorsing the “obvious tendency to force settlement of the claim not because it is just, but because contesting it has become too

costly or too inconvenient.”

* * *

The Supreme Court seemed to adopt Judge Frank’s philosophy of discouraging summary judgment by urging courts to apply it cautiously, keeping in mind the importance of jury trial, and calling for even greater restraint in lawsuits involving state-of-mind questions and complex issues. The paradigm case, *Poller v. CBS, Inc.*, involved a private antitrust action brought against CBS alleging conspiracy to restrain and monopolize trade in violation of the Sherman Act by canceling its affiliation with a UHF station to drive the plaintiff out of business.²²¹ The District of Columbia District Court granted the defendant’s summary judgment motion alleging lack of the illicit motive required to prove a Sherman Act violation. * * * The Court of Appeals for the District of Columbia affirmed, * * * but the Supreme Court reversed, with Justice Clark writing that:

[S]ummary procedures should be used sparingly in complex antitrust litigation where motive and intent play leading roles, the proof is largely in the hands of the alleged conspirators, and hostile witnesses thicken the plot. It is only when the witnesses are present and subject to cross-examination that their credibility and the weight to be given their testimony can be appraised. Trial by affidavit is no substitute for trial by jury which so long has been the hallmark of “even handed justice.” * * *

* * * *Poller* had a decidedly dampening effect on summary judgment in the federal courts; indeed, the reported decisions reveal few cases of any complexity adjudicated under Rule 56 during the succeeding two decades.

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2.THE MOTION FOR SUMMARY JUDGMENT UNDER FEDERAL RULE 56

The fact that a complaint survives a Rule 12(b)(6) motion to dismiss for failure to state a claim does not mean that plaintiff will prevail in the action. It means only that plaintiff has the opportunity to move to discovery and to trial. At trial plaintiff must produce evidence establishing the truth of the allegations set out in the complaint and persuade the decision-maker of an entitlement to relief. Thus, in order to win, plaintiff must meet the trial burden of production and burden of persuasion. The Rule 56 motion tests whether facts are in dispute and a trial is needed to resolve them. As the First Circuit has put it, summary judgment is “a means of avoiding full-dress trials in unwinnable cases, thereby freeing courts to utilize scarce judicial resources in more beneficial ways.” *Mesnick v. Gen. Elec. Co.*, 950 F.2d 816, 822 (1st Cir. 1991).

Any party—plaintiff or defendant, claimant, crossclaimant, or counter-claimant—may move for summary judgment under Federal Rule 56. Judgment can be sought as to the entire claim or defense, or parts of a claim or defense. In either situation, the motion directs the court to evidence, drawn from the discovery record and affidavits, but it is not intended to replace the trial. Consistent with the Seventh Amendment, the court is expected to draw reasonable inferences in favor of the party opposing the motion, but is not permitted to weigh the evidence or assess its credibility.

NOTE ON FEDERAL RULE 56 BURDENS

The Rule 56 burden tracks the trial burden of production and persuasion, although the movant carries an initial burden of showing the absence of a genuine dispute about a material issue of fact. The Supreme Court has made clear that “the mere existence of some alleged factual dispute between the parties will not defeat an otherwise properly supported motion for summary judgment.” Rather, what is material is determined by the substantive law that governs the claim. “Only disputes over facts that might affect the outcome of the suit under the governing law will properly preclude the entry of summary judgment.” *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247–48, 106 S.Ct. 2505, 2510, 91 L.Ed.2d 202, 211 (1986).

a.Burden of Production

In a civil action, the burden of production, sometimes called the burden of proof or of going forward, usually is placed on plaintiff in civil actions. This means that plaintiff is responsible for “producing” a certain threshold

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amount of evidence to raise a claim. However, defendant must normally meet the burden of production with respect to affirmative defenses. The threshold is defined as the minimum amount of evidence needed to satisfy the standard of proof and, thus, to win the case. Put another way, one has met the burden of production if the party has produced enough evidence for a reasonable jury to decide in its favor. Therefore, one can meet the burden of production even if all the evidence produced is refuted by the opposing party.

Meeting the burden of production does not ensure victory—one must still “persuade” the factfinder—but failing to meet it will ensure defeat. If the party charged with the burden of production has failed to adduce enough evidence, a summary judgment motion (prior to trial) or a motion for judgment as a matter of law (at trial) will be granted. The burden of production must be met if the case is to be decided by the trier of fact.

b.Burden of Persuasion

If the burden of production is met, the case can move forward to the stage of persuasion. Once there is enough evidence for plaintiff to win, defendant will try to cast doubt on the credibility or reliability of that evidence, in addition to bringing forth evidence of its own. Each party will try to persuade the trier of fact that its evidence is more weighty than the other's. If plaintiff has the burden of persuasion, and does not convince the jury (or judge, in a bench trial) by the standard of proof required, the jury must rule for defendant. Even if plaintiff has satisfied the burden of production and defendant brings forth no evidence of his own, if the jury is not persuaded that plaintiff's evidence is sufficiently reliable or credible, defendant must prevail.

ADICKES v. S. H. KRESS & CO., 398 U.S. 144, 90 S.Ct. 1598, 26 L.Ed.2d 142 (1970), involved a civil rights claim filed by a white New York City school teacher who had volunteered to teach at a "Freedom School" in Hattiesburg, Mississippi during the summer of 1964. The district court found the following undisputed facts:

On August 14, 1964, plaintiff and six Negro students sought to integrate the Hattiesburg Public Library, but were refused the use of its facilities and shortly thereafter the library was closed by the Chief of Police of Hattiesburg. On leaving the library, plaintiff and the six students proceeded to a Woolworth store for the purposes of eating lunch and, on the way, plaintiff observed policemen following them. Since the Woolworth store was crowded, the plaintiff and her group went to defendant's store and sat down in two lunch booths and ordered lunch. The waitress took the orders of the six Negroes, but refused to take plaintiff's

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order. The six Negroes refused to eat unless plaintiff was served. They left the store and had proceeded only a short distance when a police officer, previously observed by plaintiff, arrested her for vagrancy.

Adickes v. S. H. Kress & Co., 252 F.Supp. 140, 142 (S.D.N.Y. 1966). Plaintiff's complaint raised two claims: first, that the denial of restaurant service violated her civil rights; and second, that the refusal to serve and her subsequent arrest were the result of a conspiracy between defendant and the town police.

Kress moved for summary judgment, and supported its motion with affidavits from the store manager, the chief of police, and the arresting officers denying the existence of a pre-arranged scheme to arrest Adickes after she was denied service. The store manager's affidavit also stated that he had arranged for Adickes not to be served because he believed a riot would otherwise take place. In opposing the motion, Adickes responded by pressing her circumstantial case. She noted the allegation in the complaint that the policeman who arrested her had earlier been in the store, and pointed out that defendant had failed to dispute this allegation. She adduced her sworn deposition testimony that one of her students had seen a policeman come into the restaurant and she offered an unsworn statement by a Kress employee (given by Kress to Adickes in discovery) stating that the officer who arrested Adickes once she was outside the restaurant had been in the store before she was refused service. Adickes also submitted an affidavit disputing the store manager's statement that serving her would have created a riot.

The district court denied the motion with respect to the first count, but granted summary judgment on the second, finding that there was "no evidence in the complaint or in the affidavits and other papers from which a 'reasonably-minded person' might draw an inference of conspiracy." Id. at 144. The Second Circuit affirmed, 409 F.2d 121, 126-27 (2d Cir. 1968). The Supreme Court reversed, finding that the movant had not met its procedural burden of showing "the absence of any disputed material fact." 398 U.S. at 148, 90 S.Ct. at 1603, 26 L.Ed.2d at 149. The Court stated:

* * * [Kress] did not carry its burden because of its failure to foreclose the possibility that there was a policeman in the Kress store while petitioner was awaiting service, and that this policeman reached an understanding with some Kress employee that petitioner not be served.

It is true that * * * [the store manager] claimed in his deposition that he had not seen or communicated with a policeman prior to his tacit signal to * * * the supervisor of the food counter [not to serve Adickes]. But respondent did not submit any affidavits from * * * [the supervisor of the food counter], or from * * * the waitress

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who actually refused petitioner service, either of whom might well have seen and communicated with a policeman in the store. Further, we find it particularly noteworthy that the two officers involved in the arrest each failed in his affidavit to foreclose the possibility (1) that he was in the store while petitioner was there; and (2) that, upon seeing petitioner with Negroes, he communicated his disapproval to a Kress employee, thereby influencing the decision not to serve petitioner.

Given these unexplained gaps in the materials submitted by respondent, we conclude that respondent failed to fulfill its initial burden of demonstrating what is a critical element in this aspect of the case—that there was no policeman in the store. If a policeman were present, we think it would be open to a jury, in light of the sequence that followed, to infer from the circumstances that the policeman and a Kress employee had a "meeting of the minds" and thus reached an understanding that petitioner should be refused service. Because "[o]n summary judgment the inferences to be drawn from the underlying facts contained in [the moving party's] materials must be viewed in the light most favorable to the party opposing the motion," * * * we think respondent's failure to show there was no policeman in the store requires reversal.

Id. at 158, 90 S.Ct. at 1609, 26 L.Ed.2d at 159.

The Court rejected Kress’s argument that because the form of plaintiff’s evidence did not satisfy Rule 56(e)^a—for example, the deposition was hearsay and the waitress’s statement was unsworn—plaintiff could not avoid summary judgment.

If respondent had met its initial burden by, for example, submitting affidavits from the policemen denying their presence in the store at the time in question, Rule 56(e) would then have required petitioner to have done more than simply rely on the contrary allegation in her complaint. To have avoided conceding this fact for purposes of summary judgment, petitioner would have had to come forward with either (1) the affidavit of someone who saw the policeman in the store or (2) an affidavit under Rule 56(f)^b explaining why at that time it was impractical to do so. Even though not essential here to defeat respondent’s motion, the submission of such an affidavit would have been the preferable course for petitioner’s counsel to have followed.

Id. at 159–60, 90 S.Ct. at 1609–10, 26 L.Ed.2d at 155–56.

NOTES AND QUESTIONS

1. In *Adickes* what facts were material to the Rule 56 motion? Are these the same facts that plaintiff had to allege to survive a motion to dismiss? Are they the same facts that plaintiff would have to prove to win her case?

2.What burden did *Adickes* place on defendant moving for summary judgment? Was summary judgment denied because defendant failed to “foreclose the possibility” of a material fact? By imposing this burden on the movant did the court effectively shift the trial burden onto defendant by requiring that party to negate the existence of material issues? See Louis, *Federal Summary Judgment Doctrine: A Critical Analysis*, 83 Yale L.J. 745, 751–53 (1974).

3.After *Adickes*, district courts generally asked whether a movant who did not have the trial burden had “sufficiently established the non-existence of any material fact.” According to Professor Friedenthal:

The moving party had been obligated to come forward with some information, in most cases affidavits containing testimony that would be presented at trial. The responding party was then permitted to avoid summary judgment without showing that he or she could meet the burden of production at trial, merely by attacking the veracity of the moving party’s affiants or the form of the moving party’s supporting papers.

Friedenthal, *Cases on Summary Judgment: Has There Been a Material Change in Standards?*, 63 Notre Dame L.Rev. 770, 776 (1988). Why should even a minimal burden be placed on the Rule 56 movant who does not have the trial burden? Consider this explanation:

There would appear to be two reasons for placing some requirements on a moving party who does not have the burden of production at trial. First, there are many cases, undoubtedly the vast majority, in which the litigants are fully aware that the party with the burden of production is able to call witnesses on its behalf who will carry its burden of producing evidence. Any “automatic” rule requiring all such parties to make a showing would be extremely wasteful. If one party could, merely by filing an unsupported motion, force an opponent to make a substantial showing, there would be a strong incentive to make such a filing, if for no other reason than to harass the other party and raise its costs of litigation. The purpose of summary judgment is to save the courts and the litigants from the burdens of trying cases where no genuine dispute exists, not to raise the stakes by meaningless procedural devices. Second, there are a number of actions in which the party with the burden of proof can only establish its case through circumstantial evidence—a painstaking, item-by-item, process. It would be costly and unfair to require the responding party to go through that process at the pretrial stage, by taking numerous depositions of reluctant

witnesses, obtaining affidavits from a large number of cooperating witnesses, and preparing documents for admission into evidence, unless there is some sound reason to doubt that the respondent will be able to establish such a case at trial.

Id. at 776–77. Does the language of the rule impose this burden? Is the requirement a matter of policy? Does it reflect the influence even if not the command of the Seventh Amendment?

4. Does the question of the existence of a conspiracy, which turns on the state of mind of the participants, inevitably depend on credibility issues that ought to be decided by the jury?

5.Did *Adickes* address the burden placed on the party opposing the motion for summary judgment? Of what significance is the Court’s dictum that defendant’s uncontroverted affidavit denying the officer’s presence in the store would have required summary judgment for defendant, unless plaintiff came forward with evidence to refute defendant’s showing? In the wake of *Adickes*, an important commentator urged that Rule 56 be amended “to make clear that a motion for summary judgment, without more, puts an opposing party with the burden of proof to the task of producing evidence sufficient to sustain a favorable verdict.” As he explained:

[T]he *Adickes* dictum that an uncontradicted affidavit asserting the policeman’s absence would have justified summary judgment seems correct in policy but not, as the Court intimated, because such an affidavit would have foreclosed a jury finding that a policeman was in the store. Rather, although a jury might have been entitled to disbelieve the arguably interested testimony of a policeman or of a store employee, its doing so would nevertheless have left the plaintiff subject to a directed verdict for failure to satisfy her burden of proof.

See Currie, *Thoughts on Directed Verdicts and Summary Judgments*, 45 U.Chi.L.Rev. 72, 78 (1977).

CELOTEX CORP. v. CATRETT
 Supreme Court of the United States, 1986.
[477 U.S. 317, 106 S.Ct. 2548, 91 L.Ed.2d 265.](#)

Certiorari to the United States Court of Appeals for the District of Columbia Circuit.

JUSTICE REHNQUIST delivered the opinion of the Court.

* * *

[Respondent Myrtle Nell Catrett filed suit in the U.S. District Court for the District of Columbia in September 1980, alleging that the death in 1979 of her husband, Louis H. Catrett, resulted from his exposure to products containing asbestos manufactured or distributed by 15 named corporations, including Petitioner Celotex. Catrett’s complaint sounded in

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negligence, breach of warranty, and strict liability. In September 1981, Celotex moved for summary judgment on the ground that Catrett had “failed to produce evidence that any [Celotex] product * * * was the proximate cause of the injuries alleged within the jurisdictional limits of [the District] Court.” In support of its summary judgment motion, Celotex noted that Catrett had failed to identify, in answering interrogatories specifically requesting such information, any witnesses who could testify about Louis Catrett’s exposure to Celotex’s asbestos products.

Catrett opposed the motion by producing three documents that she claimed would “demonstrate that there is a genuine material factual dispute” as to whether Louis Catrett had been exposed to Celotex’s asbestos products. The first document was a transcript of Louis Catrett’s testimony in a worker’s compensation proceeding in which he indicated his exposure to a product called “Firebar,” which was manufactured by a corporate predecessor of Celotex, when he worked for a company named Anning-Johnson. The second document was a letter from T.R. Hoff, the Assistant Secretary of Anning-Johnson, to an Aetna insurance agent reporting on Catrett’s employment with Anning-Johnson. The third document was a letter from the Aetna agent, O’Keefe, to Mrs. Catrett’s counsel essentially restating the contents of Hoff’s letter. Catrett argued that, because Celotex supplied the asbestos used by Anning-Johnson, all three documents tended to establish her husband’s exposure to Celotex’s product.

The district court granted Celotex’s motion because “there [was] no showing that the plaintiff was exposed to the defendant Celotex’s product in the District of Columbia or elsewhere within the statutory period.” On appeal, a divided panel of the D.C. Circuit reversed and held that Celotex’s summary judgment motion was rendered “fatally defective” by the fact that Celotex “made no effort to adduce *any* evidence, in the form of affidavits or otherwise, to support its motion.” The panel majority read Rule 56 and the Supreme Court’s decision in *Adickes v. S.H. Kress & Co.* to establish that “the party opposing the motion for summary judgment bears the burden of responding *only after* the moving party has met its burden of coming forward with proof of the absence of any genuine issues of material fact.” The majority therefore declined to consider Celotex’s argument that none of the evidence produced by Catrett in opposition to the motion for summary judgment would have been admissible at trial.]

* * *

We think that the position taken by the majority of the Court of Appeals is inconsistent with the standard for summary judgment set forth in Rule 56(c) * * *.^c In our view, the plain language of [the] Rule * * * mandates the entry of summary judgment, after adequate time for discovery and upon motion, against a party who fails to make a showing

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sufficient to establish the existence of an element essential to that party’s case, and on which that party will bear the burden of proof at trial. * * *

Of course, a party seeking summary judgment always bears the initial responsibility of informing the district court of the basis for its motion, and identifying those portions of “the pleadings, depositions, answers to interrogatories, and admissions on file, together with the affidavits, if any,” which it believes demonstrate the absence of a genuine issue of material fact. But unlike the Court of Appeals, we find no express or implied requirement in Rule 56 that the moving party support its motion with affidavits or other similar materials *negating* the opponent’s claim. * * * [R]egardless of whether the moving party accompanies its summary judgment motion with affidavits, the motion may, and should, be granted so long as whatever is before the district court demonstrates that the standard for the entry of summary judgment * * * is satisfied. One of the principal purposes of the summary judgment rule is to isolate and dispose of factually unsupported claims or defenses, and we think it should be interpreted in a way that allows it to accomplish this purpose.

Respondent argues, however, that Rule 56 * * *, by its terms, places on the nonmoving party the burden of coming forward with rebuttal affidavits, or other specified kinds of materials, only in response to a motion for summary judgment “made and supported as provided in this rule.” According to respondent’s argument, since petitioner did not “support” its motion with affidavits, summary judgment was improper in this case. * * * In cases like the instant one, where the nonmoving party will bear the burden of proof at trial on a dispositive issue, a summary judgment motion may properly be made in reliance solely on the “pleadings, depositions, answers to interrogatories, and admissions on file.” Such a motion, whether or not accompanied by affidavits, will be “made and supported as provided in this rule,” and Rule 56(e)^d therefore requires the nonmoving party to go beyond the pleadings and by her own affidavits, or

by the “depositions, answers to interrogatories, and admissions on file,” designate “specific facts showing that there is a genuine issue for trial.”

* * *

The Court of Appeals in this case felt itself constrained, however, by language in our decision in *Adickes* * * *. In the course of its opinion, the *Adickes* Court said that “both the commentary on and the background of the 1963 Amendment conclusively show that it was not intended to modify the burden of the moving party . . . to show initially the absence of a genuine issue concerning any material fact.” * * * We think that this statement is accurate in a literal sense, since we fully agree with the *Adickes* Court that the 1963 Amendment to Rule 56 * * * was not designed to modify the burden of making [such a] * * * showing * * *. It also appears

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to us that, on the basis of the showing before the Court in *Adickes*, the motion for summary judgment in that case should have been denied. But we do not think the *Adickes* language quoted above should be construed to mean that the burden is on the party moving for summary judgment to produce evidence showing the absence of a genuine issue of material fact, even with respect to an issue on which the nonmoving party bears the burden of proof. Instead, as we have explained, the burden on the moving party may be discharged by “showing”—that is, pointing out to the District Court—that there is an absence of evidence to support the nonmoving party’s case.

* * *

Respondent commenced this action in September 1980, and petitioner’s motion was filed in September 1981. The parties had conducted discovery, and no serious claim can be made that respondent was in any sense “railroaded” by a premature motion for summary judgment. Any potential problem with such premature motions can be adequately dealt with under Rule 56(f)⁶, which allows a summary judgment motion to be denied, or the hearing on the motion to be continued, if the nonmoving party has not had an opportunity to make full discovery.

In this Court, respondent’s brief and oral argument have been devoted as much to the proposition that an adequate showing of exposure to petitioner’s asbestos products was made as to the proposition that no such showing should have been required. But the Court of Appeals declined to address either the adequacy of the showing made by respondent in opposition to petitioner’s motion for summary judgment, or the question whether such a showing, if reduced to admissible evidence, would be sufficient to carry respondent’s burden of proof at trial. We think the Court of Appeals with its superior knowledge of local law is better suited than we are to make these determinations in the first instance.

The Federal Rules of Civil Procedure have for more than 50 years authorized motions for summary judgment upon proper showings of the lack of a genuine, triable issue of material fact. Summary judgment procedure is properly regarded not as a disfavored procedural shortcut, but rather as an integral part of the Federal Rules as a whole, which are designed “to secure the just, speedy and inexpensive determination of every action.” * * * Before the shift to “notice pleading” accomplished by the Federal Rules, motions to dismiss a complaint or to strike a defense were the principal tools by which factually insufficient claims or defenses could be isolated and prevented from going to trial with the attendant unwarranted consumption of public and private resources. But with the advent of “notice pleading,” the motion to dismiss seldom fulfills this function any more, and its place has been taken by the motion for summary

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judgment. Rule 56 must be construed with due regard not only for the rights of persons asserting claims and defenses that are adequately based in fact to have those claims and defenses tried to a jury, but also for the rights of persons opposing such claims and defenses to demonstrate in the manner provided by the Rule, prior to trial, that the claims and defenses have no factual basis.

The judgment of the Court of Appeals is accordingly reversed, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

JUSTICE WHITE, concurring.

I agree that the Court of Appeals was wrong in holding that the moving defendant must always support his motion with evidence or affidavits showing the absence of a genuine dispute about a material fact. I also agree that the movant may rely on depositions, answers to interrogatories and the like to demonstrate that the plaintiff has no evidence to prove his case and hence that there can be no factual dispute. But the movant must discharge the burden the rules place upon him: It is not enough to move for summary judgment without supporting the motion in any way or with a conclusory assertion that the plaintiff has no evidence to prove his case.

* * *

Petitioner Celotex does not dispute that if respondent has named a witness to support her claim, summary judgment should not be granted without Celotex somehow showing that the named witness’ possible testimony raises no genuine issue of material fact. * * * It asserts, however, that respondent has failed on request to produce any basis for her case. Respondent, on the other hand, does not contend that she was not obligated to reveal her witnesses and evidence but insists that she has revealed enough to defeat the motion for summary judgment. Because the Court of Appeals found it unnecessary to address this aspect of the case, I agree that the case should be remanded for further proceedings.

JUSTICE BRENNAN, with whom THE CHIEF JUSTICE and JUSTICE BLACKMUN join, dissenting.

This case requires the Court to determine whether Celotex satisfied its initial burden of production in moving for summary judgment on the ground that the plaintiff lacked evidence to establish an essential element of her case at trial. I do not disagree with the Court’s legal analysis. The Court clearly rejects the ruling of the Court of Appeals that the defendant must provide affirmative evidence disproving the plaintiff’s case. Beyond this, however, the Court has not clearly explained what is required of a moving party seeking summary judgment on the ground that the non-moving party cannot prove its case. This lack of clarity is unfortunate: district courts must routinely decide summary judgment motions, and the

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Court’s opinion will very likely create confusion. For this reason, even if I agreed with the Court’s result, I would have written separately to explain more clearly the law in this area. However, because I believe that Celotex did not meet its burden of production under Federal Rule * * * 56, I respectfully dissent from the Court’s judgment.

I

* * * The burden of establishing the nonexistence of a “genuine issue” is on the party moving for summary judgment. * * * This burden has two distinct components: an initial burden of production, which shifts to the nonmoving party if satisfied by the moving party; and an ultimate burden of persuasion, which always remains on the moving party. * * * The court need not decide whether the moving party has satisfied its ultimate burden of persuasion unless and until the court finds that the moving party has discharged its initial burden of production.

* * *

The manner in which this showing can be made depends upon which party will bear the burden of persuasion on the challenged claim at trial. If the *moving* party will bear the burden of persuasion at trial that party must support its motion with credible evidence—using any of the material specified in Rule 56(c)—that would entitle it to a directed verdict if not controverted at trial. * * * Such an affirmative showing shifts the burden of production to the party opposing the motion and requires that party either to produce evidentiary materials that demonstrate the existence of a “genuine issue” for trial or to submit an affidavit requesting additional time for discovery. * * *

If the burden of persuasion at trial would be on the *non-moving* party, the party moving for summary judgment may satisfy Rule 56’s burden of production in either of two ways. First, the moving party may submit affirmative evidence that negates an essential element of the nonmoving party’s claim. Second, the moving party may demonstrate to the Court that the nonmoving party’s evidence is insufficient to establish an essential element of the nonmoving party’s claim. * * * If the nonmoving party cannot muster sufficient evidence to make out its claim, a trial would be useless and the moving party is entitled to summary judgment as a matter of law. * * *

Where the moving party adopts this second option and seeks summary judgment on the ground that the nonmoving party—who will bear the burden of persuasion at trial—has no evidence, the mechanics of discharging Rule 56’s burden of production are somewhat trickier. Plainly, a conclusory assertion that the nonmoving party has no evidence is insufficient. * * * Such a “burden” of production is no burden at all and would simply permit summary judgment procedure to be converted into a

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tool for harassment. * * * Rather, as the Court confirms, a party who moves for summary judgment on the ground that the nonmoving party has no evidence must affirmatively show the absence of evidence in the record. * * * This may require the moving party to depose the nonmoving party’s witnesses or to establish the inadequacy of documentary evidence. If there is literally no evidence in the record, the moving party may demonstrate this by reviewing for the court the admissions, interrogatories and other exchanges between the parties that are in the record. Either way, however, the moving party must affirmatively demonstrate that there is no evidence in the record to support a judgment for the nonmoving party.

If the moving party has not fully discharged this initial burden of production, its motion for summary judgment must be denied, and the Court need not consider whether the moving party has met its ultimate burden of persuasion. Accordingly, the nonmoving party may defeat a motion for summary judgment that asserts that the nonmoving party has no evidence by calling the Court’s attention to supporting evidence already in the record that was overlooked or ignored by the moving party.

* * *

II

I do not read the Court’s opinion to say anything inconsistent with or different than the preceding discussion. My disagreement with the Court concerns the application of these principles to the facts of this case.

* * *

On these facts, there is simply no question that Celotex failed to discharge its initial burden of production. Having chosen to base its motion on the argument that there was no evidence in the record to support plaintiff’s claim, Celotex was not free to ignore supporting evidence that the record clearly contained. Rather, Celotex was required, as an initial matter, to attack the adequacy of this evidence. Celotex’ failure to fulfill this simple requirement constituted a failure to discharge its initial burden of production under Rule 56, and

thereby rendered summary judgment improper.

* * *

[A dissenting opinion by JUSTICE STEVENS is omitted.]

NOTES AND QUESTIONS

1. On remand to the court of appeals, a divided panel found that plaintiff had produced sufficient evidence of exposure and, therefore, that summary judgment was inappropriate. See [Catrett v. Johns-Manville Sales Corp., 826 F.2d 33 \(D.C. Cir. 1987\)](#), cert. denied, 484 U.S. 1066, 108 S.Ct. 1028, 98 L.Ed.2d 992 (1988). Celotex argued that the three documents relied on by

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Mrs. Catrett—the transcript of Louis Catrett’s testimony in the worker’s compensation proceeding, the Hoff letter, and the O’Keefe letter—were inadmissible hearsay, out-of-court statements that are inadmissible at trial, and thus should not be considered on the Rule 56 motion. The panel majority rejected that argument with respect to the Hoff letter. Judge Starr, writing for the majority, stated:

In the circumstances of this case, we believe that the Hoff letter should be considered. The inadmissibility of the letter, despite Celotex’s contention to the contrary, is by no means obvious (although we need not and do not pass judgment on its admissibility). Mrs. Catrett argues that the * * * Hoff letter is admissible as falling within the business records exception to the hearsay rule. See Fed.R.Evid. 803(6). *More importantly, Celotex never objected to the District Court’s consideration of the Hoff letter.* To the contrary, in the hearing on Celotex’s two motions, counsel for Celotex discussed in detail the substance of the Hoff letter, and at one point the letter was handed in open court to the District Judge (at his request) for his examination. * * *

Since it is well established that “inadmissible documents may be considered by the court if not challenged,” * * * we are satisfied that the Hoff letter is properly (at this stage) to be considered in assessing whether a genuine issue of fact exists.

* * * [Moreover, i]n her supplemental interrogatory responses, Mrs. Catrett listed Hoff as a witness. There can, of course, be no doubt that this response is properly considered in ruling on a summary judgment motion. * * * Taking this response together with the Hoff letter, the record, dispassionately viewed, reflects the existence of a witness who can testify with respect to Mr. Catrett’s exposure to Firebar. Thus, even if the Hoff letter itself would not be admissible at trial, Mrs. Catrett has gone on to indicate that the substance of the letter is reducible to admissible evidence in the form of trial testimony. * * *

Id. at 37–38. Judge Bork, in dissent, wrote:

* * * [P]laintiff has not identified “specific facts” that would indicate such exposure occurred, and I certainly think that plaintiff has not made the kind of showing necessary to defeat a directed verdict motion. I would therefore grant defendant’s motion for summary judgment.

* * *

* * * [T]he mere listing of a potential witness, without more, does not constitute setting forth specific facts. Here plaintiff has never claimed that Mr. Hoff has any personal knowledge that her husband was exposed to asbestos during his year of work at this company, and indeed did not specify the grounds of his possible testimony at all,

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except to say that he would be able to testify about “facts relevant to the subject matter of this lawsuit.” * * * On the other hand, plaintiff has failed ever to answer interrogatories served by defendant that asked for a variety of specific items of information she might have about her husband’s possible exposure to asbestos on any occasion. * * *

The majority concludes, however, that we should interpret plaintiff’s listing of Mr. Hoff as a witness in light of his letter to the insurance company, thereby finding enough evidence to stave off the equivalent of a motion for directed verdict on causation. This conclusion is incorrect for two reasons. First, the sum total of all this “evidence” falls far short of showing, or even suggesting, that anyone has been identified who can testify from personal knowledge about any asbestos exposure. That lack alone requires that defendant’s motion for summary judgment be granted.

In addition, and also dispositive, the letter itself is inadmissible as evidence and thus cannot be considered by this court in evaluating the summary judgment motion. * * * It is settled law that the judge may consider only these specific materials or other evidence that would be admissible at trial. Inadmissible evidence is not to be considered unless, like an affidavit, it is “otherwise provided for” in Rule 56.

Id. at 41.

2. According to the *Celotex* majority, a Rule 56 movant who does not have the burden of production at trial “bears the initial responsibility” of “informing” the court of the grounds for the motion and “identifying those portions” of the discovery record that show the absence of a material issue of fact. Why is this description of the movant’s burden consistent with *Adickes*? Consider the following analysis:

* * * [A] party may satisfy the standard for summary judgment by one or both of two methods. First, the movant may, by submitting affirmative evidence, negate an element essential to the opposing party’s claim or defense. Second, the movant may show that the opposing party lacks sufficient evidence to establish an essential element of its claim or defense. *Celotex* involved the second method exclusively; *Adickes*, arguably, involved a combination of the two methods. The defendant in *Adickes* offered affirmative evidence in the form of the

deposition of the store manager and affidavits from the involved officers. In addition, the defendant pointed to statements in the plaintiff’s deposition that the plaintiff lacked any knowledge of communications between the police and Kress employees. The inadequacy of Kress’s motion was not its failure to offer affirmative evidence, but rather that the affirmative evidence it offered was insufficient to establish the absence of a genuine issue of a material fact. *Adickes*, therefore, should not be read as requiring the moving

party to negate an essential element of the opposing party’s case by affirmative evidence in every instance. Rather, the decision may be viewed as stating the proposition that the moving party is required to sustain its burden of proving the absence of a genuine issue of a material fact by affirmative evidence only if it must utilize the first method, or a combination of the two methods, of obtaining summary judgment. If the moving party is able to use the second method exclusively, it is only required to show that the opposing party has failed to establish sufficient evidence of an essential element of its claim or defense. *Celotex*, viewed in this light, is therefore consistent with the *Adickes* decision. By failing to fully explain this distinction, however, Justice Rehnquist’s statements, while correct in the context of the *Celotex* decision, appear to eviscerate *Adickes* and may promote rather than resolve doctrinal confusion.

Foremaster, *The Movant’s Burden in a Motion for Summary Judgment*, 1987 Utah L.Rev. 731, 748–49.

3.Under *Celotex*, can a party who does not have the trial burden move for summary judgment and do no more than insist that the opposing party show it can meet its trial burden? Or does *Celotex* impose an initial burden on the movant to review the discovery record and identify deficiencies in plaintiff’s evidence? Notice that Justice White’s concurring opinion stated that the movant must do more than support the motion with “a conclusory assertion” that plaintiff lacks evidence. In 2010, Rule 56 was amended. How does the current version of Rule 56(c)(3) affect your answer? Note also that the current version of the rule expressly recognizes the court’s power to grant summary judgment sua sponte—independent of any motion by a party—after “giving notice and a reasonable time to respond.” See Rule 56(f).

4. *Celotex* focused primarily on what a Rule 56 movant must show in order to shift the burden to the opposing party. As the First Circuit has explained, the nonmovant can forestall summary judgment only by presenting “definite, competent evidence,” “sufficiently probative that, if it is credited, a factfinder could resolve the case in favor of the nonmovant.” *Murray v. Kindred Nursing Centers West LLC*, 789 F.3d 20, 25 (1st Cir. 2015) (internal quotation omitted).

5.Does a court have any discretion to deny a properly supported summary judgment motion? Before Rule 56 was restyled in 2007, its text provided that summary judgment “shall be rendered” when the rule’s requirements are satisfied. In the revised version of what is now Rule 56(a), the Advisory Committee replaced that phrase (in keeping with a style convention that sought to eliminate the word “shall” from the Federal Rules) with “should be rendered.” The choice of “should” rather than “must” reflected a line of cases recognizing a degree of discretion to deny summary judgment. See Friedenthal & Gardner, *Judicial Discretion to Deny Summary Judgment in the Era of Managerial Judging*, 31 Hofstra L.Rev. 91, 104–10 (2002). The Advisory Committee Note accompanying the restyled rule cautioned, however,

that “courts will seldom exercise the discretion to deny summary judgment when there is no genuine issue as to any material fact.” In 2010, Rule 56(a) was amended to restore the use of “shall,” a decision that recognized a division in the case law on whether a district court has such discretion. The Advisory Committee explained that “shall” in Rule 56 had “acquired significance over many decades of use” and that eliminating it “created an unacceptable risk of changing the summary-judgment standard.” Would it be appropriate for a district court to deny summary judgment on the ground that resolution of a legal issue would benefit from the development of the record at trial? Would it matter if a court concludes that resolving the summary judgment motion will be as time-consuming as a trial? See 10A Wright & Miller, *Federal Practice & Procedure* § 2728 (4th ed.).

The Court’s decision in *Celotex* framed the moving party’s burden of production on the summary judgment motion in light of that party’s ultimate burden at trial. In a similar way, the second case in the Court’s summary judgment trilogy, *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 106 S.Ct. 2505, 91 L.Ed.2d 202, instructed courts to view the summary judgment record through the lens of the applicable standard of proof at trial. The standard for meeting the burden of persuasion represents the quantity and quality of evidence a party must produce at trial to prevail. The three most common standards are (1) preponderance of the evidence, (2) clear and convincing evidence, and (3) beyond a reasonable doubt. These standards usually are not defined any more specifically than their plain meaning suggests, although a “preponderance” is considered to be “more than fifty percent,” and the clear and convincing standard lies somewhere between a preponderance and “beyond a reasonable doubt.” In most civil cases, the party bearing the burden of persuasion must prove by a preponderance of the evidence that she is entitled to the relief requested. On a Rule 56 motion, how should the court decide whether a genuine dispute exists if the trial standard would require clear and convincing evidence?

ANDERSON v. LIBERTY LOBBY, INC., 477 U.S. 242, 106 S.Ct. 2505, 91 L.Ed.2d 202 (1986). Liberty Lobby, a non-profit organization, and its founder filed a libel suit against The Investigator magazine, its publisher, and chief executive officer, alleging that defendants published false statements that portrayed plaintiffs as “neo-Nazi, anti-Semitic, racist, and Fascist.” *Id.* at 245, 106 S.Ct. at 2508, 91 L.Ed.2d at 210. Following discovery, defendants moved for summary judgment on the ground that plaintiffs could not prove by clear and convincing evidence that defendants had acted with knowledge that the statements were false or that they had been made with reckless disregard of whether they were true or false (this is known as the “actual malice” standard and is required in libel cases

against public figures under *New York Times Co. v. Sullivan*, 376 U.S. 254, 84 S.Ct. 710, 11 L.Ed.2d 686 (1964)). In support of the motion, defendants submitted an affidavit from the author, stating that he had spent a substantial amount of time doing research and writing. His affidavit detailed sources for each of the statements alleged to be false, and affirmed that he believed the facts he reported to be true. Plaintiffs responded to the motion by pointing to numerous claimed inaccuracies in the articles. On the issue of malice, plaintiffs showed that one of the author’s sources was a 12-year-old article published in *Time* magazine that had been the subject of an earlier libel suit by plaintiff, which had resulted in a settlement by which *Time* published a favorable article about Liberty Lobby and paid money to its founder, and that one of the co-authors of the *Time* article was an editor of *The Investigator*. Plaintiffs also showed that another source was a freelance journalist whom the author had never met and who was not asked to, and never did, identify his sources. Finally, they showed that another editor of *The Investigator* had told the magazine’s president that the articles were “terrible” and “ridiculous.”

The district court granted the motion for summary judgment. The court of appeals reversed, ruling that it was irrelevant on a motion for summary judgment that the standard for proving actual malice was clear and convincing evidence, rather than a preponderance of evidence. In an opinion written by Justice White, the Court reversed:

* * * [I]n ruling on a motion for summary judgment, the judge must view the evidence presented through the prism of the substantive evidentiary burden. This conclusion is mandated by the nature of this determination. The question here is whether a jury could reasonably find either that the plaintiff proved his case by the quality and quantity of evidence required by the governing law or that he did not. Whether a jury could reasonably find for either party, however, cannot be defined except by the criteria governing what evidence would enable the jury to find for either the plaintiff or the defendant: It makes no sense to say that a jury could reasonably find for either party without some benchmark as to what standards govern its deliberations and within what boundaries its ultimate decision must fall, and these standards and boundaries are in fact provided by the applicable evidentiary standards.

Our holding that the clear-and-convincing standard of proof should be taken into account does not denigrate the role of the jury. It by no means authorizes trial on affidavits. Credibility determinations, the weighing of the evidence, and the drawing of legitimate inferences from the facts are jury functions, not those of a judge, whether he is ruling on a motion for summary judgment or for a directed verdict. The evidence of the non-movant

is to be believed, and all justifiable inferences are to be drawn in his favor. * * * Neither do we suggest that the trial courts should act other than with caution in granting summary judgment or that the trial court may not deny summary judgment in a case where there is reason to believe that the better course would be to proceed to a full trial. * * *

Id. at 254–56, 106 S.Ct. at 2513–14, 91 L.Ed.2d at 215–16.

On a summary judgment motion, the court must view the record in the light most favorable to the nonmoving party. The third decision in the trilogy, *Matsushita Electric Industrial Co. v. Zenith Radio Corp.*, 475 U.S. 574, 106 S.Ct. 1348, 89 L.Ed.2d 538, addressed the extent to which a court may draw particular inferences from the record. Consistent with *Celotex* and *Anderson*, the Supreme Court in *Matsushita* instructed lower courts to bear in mind the substantive law that would govern at trial when assessing the permissible inferences that can be drawn from a factual record. In doing so, the Court linked the role of a district court when deciding a pretrial motion for summary judgment under Rule 56 to the court’s role when deciding a motion for judgment as a matter of law at trial under Rule 50. See Chapter 14, *infra*.

MATSUSHITA ELECTRIC INDUSTRIAL CO. v. ZENITH RADIO CORP., 475 U.S. 574, 106 S.Ct. 1348, 89 L.Ed.2d 538 (1986). Plaintiffs, a group of American television manufacturers, alleged that a group of 21 Japanese manufacturers and distributors conspired to fix prices in an effort to monopolize the American market. The trial court granted defendant’s motion for summary judgment, but the Third Circuit reversed. The appeals court found that because there was direct evidence of concerted action, as well as circumstantial evidence that concerted action may have occurred, a factfinder reasonably could have found a conspiracy to engage in predatory pricing. The Supreme Court reversed, emphasizing that antitrust law limited the range of permissible inferences that could be drawn in favor of the nonmovant, and that when a claim is factually improbable, the nonmovant must come forward with more persuasive evidence than usual to defeat summary judgment:

To survive petitioners’ motion for summary judgment, respondents must establish that there is a genuine issue of material fact as to whether petitioners entered into an illegal conspiracy that caused respondents to suffer a cognizable injury. * * * This showing has two components. First, respondents must show more than a conspiracy in violation of the antitrust laws; they must show an injury to them resulting from the illegal

conduct. Respondents charge petitioners with a whole host of conspiracies in restraint of trade. * * * Except for the alleged conspiracy to monopolize the American market through predatory pricing, these alleged conspiracies could not have caused

respondents to suffer an “antitrust injury,” * * * because they actually tended to benefit respondents. * * * Therefore, unless, in context, evidence of these “other” conspiracies raises a genuine issue concerning the existence of a predatory pricing conspiracy, that evidence cannot defeat petitioners’ summary judgment motion.

Second, the issue of fact must be “genuine.” * * * When the moving party has carried its burden * * *, its opponent must do more than simply show that there is some metaphysical doubt as to the material facts. * * *

It follows from these settled principles that if the factual context renders respondents’ claim implausible—if the claim is one that simply makes no economic sense—respondents must come forward with more persuasive evidence to support their claim than would otherwise be necessary. * * *

Respondents correctly note that “[o]n summary judgment the inferences to be drawn from the underlying facts . . . must be viewed in the light most favorable to the party opposing the motion.” * * * But antitrust law limits the range of permissible inferences from ambiguous evidence in a § 1 case. * * * To survive a motion for summary judgment or for a directed verdict, a plaintiff seeking damages for a violation of § 1 [of the Sherman Act] must present evidence “that tends to exclude the possibility” that the alleged conspirators acted independently.* * * Respondents in this case, in other words, must show that the inference of conspiracy is reasonable in light of the competing inferences of independent action or collusive action that could not have harmed respondents. * * *

* * *

[T]he absence of any plausible motive to engage in the conduct charged is highly relevant to whether a “genuine issue for trial” exists * * *. Lack of motive bears on the range of permissible conclusions that might be drawn from ambiguous evidence: if petitioners had no rational economic motive to conspire, and if their conduct is consistent with other, equally plausible explanations, the conduct does not give rise to an inference of conspiracy. * * * In sum, in light of the absence of any rational motive to conspire, neither petitioner’s (respondent’s) pricing practices, nor their conduct in the Japanese market, nor their

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agreements respecting prices and distribution in the American market, suffice to create a “genuine issue for trial.” * * *

Id. at 585–88, 596–97, 106 S.Ct. at 1355–57, 1361, 89 L.Ed.2d at 552–53, 558–59.

NOTES AND QUESTIONS

1.Would a rational decision-maker find that a genuine dispute exists if presented with the following evidence?

- (a)Two cars enter an intersection at right angles and strike one another, killing both drivers and all passengers. There are no eyewitnesses to the accident. The only evidence available is that there was a working traffic light; thus one of the drivers, but only one, had to go through a red light.
- (b)X must take a certain pill once a day to remain alive. The pill is highly toxic. To take two within twenty-four hours is fatal. X is found dead in his bedroom and the evidence is clear that he took two pills that day. If X died by accident, his estate will receive a large sum of insurance money; if he committed suicide, the amount will be substantially reduced. Several hours before his death, X made out a new will, substantially different from the one previously in force. It also shows that at about the same time, X made plans to accompany several friends on a fishing trip on the following day.

Problems adapted from: Friedenthal, *Cases on Summary Judgment: Has There Been a Material Change in Standards?*, 63 Notre Dame L.Rev. 770, 784–86 (1988).

2. In DYER v. MacDOUGALL, 201 F.2d 265, 268–69 (2d Cir. 1952), plaintiff brought suit for slander; defendant was granted summary judgment on the basis of the affidavits of all the persons present when the slanderous statements allegedly had been made. All of the affidavits denied plaintiff’s allegations. The appellate court affirmed:

* * * [A]lthough it is therefore true that in strict theory a party having the affirmative might succeed in convincing a jury of the truth of his allegations in spite of the fact that all the witnesses denied them, we think it plain that a verdict would nevertheless have to be directed against him. This is owing to the fact that otherwise in such cases there could not be an effective appeal from the judge’s disposition of a motion for a directed verdict. He, who has seen and heard the “demeanor” evidence, may have been right or wrong in thinking that it gave rational support to a verdict; yet, since that evidence has disappeared, it will be impossible for an appellate court to say which he was. Thus, he would become the final arbiter in all cases where the evidence of witnesses present in court might be determinative.

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SCOTT v. HARRIS, 550 U.S. 372, 127 S.Ct. 1769, 167 L.Ed.2d 686 (2007). Plaintiff Harris suffered severe personal injuries when his vehicle, engaged in a police chase, was forced off the road by defendant Scott, a deputy police officer. Plaintiff alleged that defendant used excessive force in violation of the Fourth Amendment. Defendant moved for summary judgment raising the defense of qualified immunity, an issue on which he would bear the burden of proof at trial. The district court denied the motion and the Court of Appeals for the Eleventh Circuit affirmed.

The Supreme Court reversed as follows:

[Plaintiff's] * * * version of events (unsurprisingly) differs substantially from * * * [defendant's] version. When things are in such a posture courts are required to view the facts and draw reasonable inferences "in the light most favorable to the party opposing the [summary judgment] motion." * * * In qualified immunity cases, this usually means adopting (as the Court of Appeals did here) the plaintiff's version of the facts.

There is, however, an added wrinkle in this case: existence in the record of a videotape capturing the events in question. There are no allegations or indications that this videotape was doctored or altered in any way, nor any contention that what it depicts differs from what actually happened. The videotape quite clearly contradicts the version of the story told by * * * [plaintiff] and adopted by the Court of Appeals. * * * Indeed, reading the lower court's opinion, one gets the impression that * * * [plaintiff], rather than fleeing from police, was attempting to pass his driving test * * *.

The videotape tells quite a different story. * * * Far from [plaintiff] being the cautious and controlled driver the lower court depicts, what we see on the video more closely resembles a Hollywood-style car chase of the most frightening sort, placing police officers and innocent bystanders alike at great risk of serious injury.

At the summary judgment stage, facts must be viewed in the light most favorable to the nonmoving party only if there is a "genuine" dispute as to those facts. * * * When opposing parties tell two different stories, one of which is blatantly contradicted by the record, so that no reasonable jury could believe it, a court should not adopt that version of the facts for purposes of ruling on a motion for summary judgment.

That was the case here with regard to the factual issue whether respondent was driving in such fashion as to endanger human life. Respondent's version of events is so utterly discredited by the

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record that no reasonable jury could have believed him. The Court of Appeals should not have relied on such visible fiction; it should have viewed the facts in the light depicted by the videotape.

* * *

The car chase that * * * [plaintiff] initiated in this case posed a substantial and immediate risk of serious physical injury to others; no reasonable jury could conclude otherwise. Scott's attempt to terminate the chase by forcing respondent off the road was reasonable, and Scott is entitled to summary judgment.

Id. at 378–81, 127 S.Ct. at 1774–76, 1779, 167 L.Ed.2d at 692–95, 697. Justices Ginsburg and Breyer separately concurred. Justice Stevens, in a dissenting opinion, criticized the other members of the Court for usurping the jury's role:

Relying on a de novo review of a videotape of a portion of a nighttime chase on a lightly traveled road in Georgia where no pedestrians or other "bystanders" were present, buttressed by uninformed speculation about the possible consequences of discontinuing the chase, eight of the jurors on this Court reach a verdict that differs from the views of the judges on both the District Court and the Court of Appeals who are surely more familiar with the hazards of driving on Georgia roads than we are. The Court's justification for this unprecedented departure from our well-settled standard of review of factual determinations made by a district court and affirmed by a court of appeals is based on its mistaken view that the Court of Appeals' description of the facts was "blatantly contradicted by the record" and that respondent's version of the events was "so utterly discredited by the record that no reasonable jury could have believed him." * * *

Rather than supporting the conclusion that what we see on the video "resembles a Hollywood-style car chase of the most frightening sort," * * * the tape actually confirms, rather than contradicts, the lower courts' appraisal of the factual questions at issue. More importantly, * * * it surely does not provide a principled basis for depriving the respondent of his right to have a jury evaluate the question whether the police officers' decision to use deadly force to bring the chase to an end was reasonable.

Id. at 389–90, 127 S.Ct. at 1781–82, 167 L.Ed.2d at 700.

NOTES AND QUESTIONS

1. The video at issue in *Scott* is available on the Supreme Court's website: see <http://www.supremecourt.gov/media/media.aspx/> (site last accessed Dec. 19, 2021). After viewing the video, do you agree with the Court's

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statement that "no reasonable juror" could find that the driver's flight did not pose a danger to the public?

2. A study based on a sample of more than 1,300 viewers of the *Scott* video found that although a "fairly substantial majority did interpret the facts the way the Court did," this view generally was not shared by African Americans, low-income workers, residents of the Northeast, and persons who identified themselves as Democrats, who tended to view the facts in a light more favorable to the plaintiff. Based on these findings, the authors have criticized the decision in *Scott* for terminating the case on summary judgment:

* * * Although an admitted minority of American society, citizens disposed to see the facts differently from the Scott majority share a perspective founded on common experiences and values. By insisting that a case like *Scott* be decided summarily, the Court not only denied

those citizens an opportunity, in the context of jury deliberations, to inform and possibly change the view of citizens endowed with a different perspective. It also needlessly bound the result in the case to a process of decisionmaking that deprived the decision of any prospect of legitimacy in the eyes of that subcommunity whose members saw the facts differently.

Kahan, Hoffman & Braman, *Whose Eyes Are You Going To Believe? Scott v. Harris and the Perils of Cognitive Illiberalism*, 122 Harv.L.Rev. 837, 841–42 (2009).

3. *TOLAN v. COTTON*, 572 U.S. 650, 134 S.Ct. 1861, 188 L.Ed.2d 895 (2014), was a civil rights action against a police officer alleging the use of excessive force in violation of the Fourth Amendment. Defendant moved for summary judgment; the district court granted the motion, and the court of appeals affirmed. The Supreme Court, per curiam, vacated and remanded:

* * * [T]he court below credited the evidence of the party seeking summary judgment and failed properly to acknowledge key evidence offered by the party opposing that motion. And while “this Court is not equipped to correct every perceived error coming from the lower federal courts,” * * * we intervene here because the opinion below reflects a clear misapprehension of summary judgment standards in light of our precedents. * * *

The witnesses on both sides come to this case with their own perceptions, recollections, and even potential biases. It is in part for that reason that genuine disputes are generally resolved by juries in our adversarial system. By weighing the evidence and reaching factual inferences contrary to Tolan’s competent evidence, the court below neglected to adhere to the fundamental principle that at the summary judgment stage, reasonable inferences should be drawn in favor of the nonmoving party.

Applying that principle here, the court should have acknowledged and credited Tolan’s evidence with regard to the lighting, his

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mother’s demeanor, whether he shouted words that were an overt threat, and his positioning during the shooting. This is not to say, of course, that these are the only facts that the Fifth Circuit should consider, or that no other facts might contribute to the reasonableness of the officer’s actions as a matter of law. Nor do we express a view as to whether Cotton’s actions violated clearly established law. We instead vacate the Fifth Circuit’s judgment so that the court can determine whether, when Tolan’s evidence is properly credited and factual inferences are reasonably drawn in his favor, Cotton’s actions violated clearly established law.

Id. at 660, 134 S.Ct. at 1867–68, 188 L.Ed.2d at 902–03. Justice Alito, joined by Justice Scalia, concurred in the judgment:

In my experience, a substantial percentage of the civil appeals heard each year by the courts of appeals present the question whether the evidence in the summary judgment record is just enough or not quite enough to support a grant of summary judgment. The present case falls into that very large category. There is no confusion in the courts of appeals about the standard to be applied in ruling on a summary judgment motion, and the Court of Appeals invoked the correct standard here. * * * Thus, the only issue is whether the relevant evidence, viewed in the light most favorable to the nonmoving party, is sufficient to support a judgment for that party. In the courts of appeals, cases presenting this question are utterly routine. There is no question that this case is important for the parties, but the same is true for a great many other cases that fall into the same category.

On the merits of the case, while I do not necessarily agree in all respects with the Court’s characterization of the evidence, I agree that there are genuine issues of material fact and that this is a case in which summary judgment should not have been granted.

Id. at 661–62, 134 S.Ct. at 1868–69, 188 L.Ed.2d at 904. By contrast, in *PLUMHOFF v. RICKARD*, 572 U.S. 765, 134 S.Ct. 2012, 188 L.Ed.2d 1056 (2014), also a civil rights action alleging use of excessive force by a police officer, the Supreme Court reversed the denial of the officer’s motion for summary judgment. For a discussion of the Court’s approach to video evidence in these cases, see Wasserman, *Mixed Signals on Summary Judgment*, 2014 Mich.St.L.Rev. 1331 (2015).

4. The Supreme Court has characterized the standard for avoiding summary judgment as “relatively lenient.” *AMGEN INC. v. CONNECTICUT RETIREMENT PLANS AND TRUST FUNDS*, 568 U.S. 455, 480, 135 S.Ct. 1184, 1203, 185 L.Ed.2d 308, 328 (2013). Some studies suggest that there has not been a significant increase in the grant of summary judgment motions in the wake of *Celotex*, *Anderson*, and *Matsushita*, but this may be because Rule 12(b)(6) now plays an early and robust role in filtering out cases pretrial. See Eisenberg & Clermont, *Plaintiphobia in the Supreme Court*, 100 Cornell L.Rev. 193 (2014). Moreover, the trilogy has had an uneven effect; civil rights claims,

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for example, appear to be disproportionately terminated by Rule 56 motions. See Gertner, *Losers’ Rules*, 122 Yale L.J.Online 109 (2012); Schneider, *The Dangers of Summary Judgment: Gender and Federal Litigation*, 59 Rutgers L.Rev. 705 (2007); see also Pfautz, *What Would a Reasonable Jury Do? Jury Verdicts Following Summary Judgment Reversals*, 115 Colum.L.Rev. 1255 (2015). What is clear, as Professor Miller has written, is the fact that the “three decisions in one term sent a clear signal to the legal profession that Rule 56 provides a useful mechanism for disposing of cases short of trial when the district judge feels the plaintiff’s case is not plausible. Many courts responded to this invitation with considerable receptivity.” Miller, *From Conley to Twombly to Iqbal: A Double Play on the Federal Rules of Civil Procedure*, 60 Duke L.J. 1, 10 (2010).

NOTE ON THE TIMING OF A FEDERAL RULE 56 MOTION

Rule 56(b) permits the filing of a summary judgment motion “until 30 days after the close of discovery,” unless another time is ordered by the court or specified by local rule. This means that a motion for summary judgment may be filed before defendant has filed an answer and before

discovery has commenced or been completed. However, the Court in *Celotex* warned that a Rule 56 motion should be granted only if the nonmovant has had an adequate time for discovery. The district court, using its Rule 16 managerial authority, may set a scheduling order for the filing of summary judgment motions and for discovery. See Gensler & Rosenthal, *Managing Summary Judgment*, 43 Loy.Ch.L.J. 517 (2012). In addition, Rule 56(d) provides safeguards for a nonmovant who requires additional time to marshal facts in opposition to a summary judgment motion. Although the general presumption is that a continuance should be liberally granted, Rule 56(d) requests are not automatically granted—the rule “is designed to minister to the vigilant, not to those who slumber upon perceptible rights.” *Pina v. Children’s Place*, 740 F.3d 785, 794 (1st Cir. 2014) (internal quotation omitted). In some circuits, the party seeking Rule 56(d) relief must submit an affidavit, and the motion “must: 1) be timely; 2) be authoritative; 3) show good cause for failure to discover the relevant facts earlier; 4) establish a plausible basis for believing that the specified facts probably exist, and 5) indicate how those facts will influence the outcome of summary judgment.” *Id.*

B. DISMISSAL OF ACTIONS

Read Federal Rule of Civil Procedure 41 and the accompanying materials in the Supplement.

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1.VOLUNTARY DISMISSAL

Rule 41 allows a plaintiff to extricate itself from a lawsuit before significant resources have been expended by the court and an opposing party. Generally, a voluntary dismissal places the parties in the positions they occupied before the lawsuit began and does not affect plaintiff’s legal rights. Are there situations when a voluntary dismissal should be preclusive on the merits? Should it ever toll the statute of limitations? See 9 Wright & Miller, *Federal Practice and Procedure* §§ 2361–68 (4th ed.). Is there a danger that a party might use repeated voluntary dismissals to harass an opponent?

MCCANTS v. FORD MOTOR CO., 781 F.2d 855 (11th Cir. 1986). McCants, a member of the United States Army Reserve on a two-week active duty training mission, was killed while riding in a military jeep built by Ford. His administratrix commenced a wrongful death suit in federal district court in Alabama. After discovery had proceeded for about a year, interrogatories were served and answered, and defendant had moved for summary judgment based on Alabama’s one-year general statute of limitations, plaintiff moved for voluntary dismissal of the action without prejudice under Rule 41(a)(2), and filed a new suit in Mississippi, where the controlling statute of limitations had not expired. The district court granted the motion to dismiss, and simultaneously denied Ford’s motion for summary judgment. The Eleventh Circuit vacated the order and remanded to determine whether conditions ought to have been attached to the order of dismissal. The court of appeals explained that “in most cases a [voluntary] dismissal should be granted unless the defendant will suffer clear legal prejudice, *other than the mere prospect of a subsequent lawsuit*, as a result,” emphasizing that the district court is to “bear in mind principally the interests of the defendant, for it is the defendant’s position that the court should protect.” *Id.* at 856–57. When defendant “has been put to considerable expense,” then dismissal is not warranted except on condition that plaintiff reimburse defendant for a portion of his expenses, including attorney’s fees. *Id.* at 860.

WOJTAS v. CAPITAL GUARDIAN TRUST CO., 477 F.3d 924 (7th Cir. 2007). Plaintiff, the owner of an Individual Retirement Account, instructed the custodian to roll over the investment into a new account managed by a successor custodian. An employee at the successor custodian converted the funds and later was convicted of mail fraud. Plaintiff sued the original custodian for breach of fiduciary duty and negligence, alleging that defendant had failed to verify that the successor custodian was legally qualified. Defendant answered and moved for judgment on the pleadings,

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arguing that both claims were time-barred under Wisconsin’s two-year statute of limitations, and, in the alternative, that plaintiff failed to state a claim upon which relief could be granted. Plaintiff responded to the latter argument but also moved for a voluntary dismissal without prejudice, and filed a new action in Illinois, where the controlling statute of limitations was longer. The district court denied the motion for voluntary dismissal and granted the motion for judgment on the pleadings. The court of appeals affirmed, finding that the plaintiff’s failure to respond to the statute of limitations argument constituted a waiver, and that it would be an abuse of the district court’s discretion to permit voluntary dismissal when “the defendant would suffer ‘plain legal prejudice’ as a result.” *Id.* at 927.

NOTES AND QUESTIONS

1. At common law, plaintiff was permitted, at any time prior to judgment, to dismiss a case voluntarily and without prejudice and to refile the action. Today the right to dismiss voluntarily generally is governed by a rule or statute that typically permits a dismissal before “trial” or “commencement” of trial. These provisions have raised many problems of interpretation regarding the meaning of the words “trial” and “commencement.” A few courts have held that “before trial” means at any time prior to submission of the case to the jury or court for decision. Can

you explain this distinction?

2. In *McCants*, plaintiff moved to dismiss after defendant had made a motion for summary judgment. Could any plaintiff simply move to dismiss before losing such a motion and refile in another, possibly more sympathetic, court? Could plaintiff do this repeatedly? Would it be appropriate for the court to attach conditions to a Rule 41 dismissal? What might those conditions be? See Solimine & Lippert, *Deregulating Voluntary Dismissals*, 36 U.Mich.J.L.Reform 367, 367 (2003), calling unilateral dismissal under Rule 41(a) “an anachronism in an age of managerial judging.”

3. In *ESPOSITO v. PIATROWSKI*, 223 F.3d 497 (7th Cir. 2000), plaintiff voluntarily dismissed his initial case against defendant. Plaintiff was ordered to reimburse defendant the costs of that proceeding. Subsequently plaintiff sued on the same cause, joining other defendants with the original defendant. Because plaintiff never did comply with the order to pay costs, the trial court, under Rule 41(b), dismissed the second case, not only against the original defendant but against all the defendants. The court of appeals affirmed. Is the decision consistent with the spirit of Rule 41(b) and (d)?

4. Courts are divided as to whether attorney fees can be awarded to a defendant as costs when a plaintiff has voluntarily dismissed an action and later refiled it. Compare *Rogers v. Wal-Mart Stores, Inc.*, 230 F.3d 868 (6th Cir. 2000), cert. denied, 532 U.S. 953, 121 S.Ct. 1428, 149 L.Ed.2d 367 (2001) (fees cannot be awarded under Rule 41(d)), with *Andrews v. America’s Living Centers, LLC*, 827 F.3d 306 (4th Cir. 2016) (fees can be awarded).

2.DISMISSAL FOR FAILURE TO PROSECUTE

It is accepted that courts possess inherent discretionary power to dismiss an action if plaintiff does not proceed to trial with “due diligence.” Exactly when this power should be invoked has been a matter about which judges have disagreed. Should simple delay by plaintiff be sufficient to justify dismissal, or should prejudice to defendant also be required? In *MESSENGER v. UNITED STATES*, 231 F.2d 328, 331 (2d Cir. 1956),^f the court said: “The operative condition of the Rule is lack of due diligence on the part of the plaintiff—not a showing by the defendant that it will be prejudiced by denial of its motion. * * * It may well be that the latter factor may be considered by the court, especially in cases of moderate or excusable neglect, in the formulation of its discretionary ruling.” Does this standard make sense? Does it have any practical utility as a guide for the trial judge? What is its effect on appellate-court review of the trial court’s exercise of discretion?

Some jurisdictions control dismissals for want of prosecution by statute. In the federal system, Rule 41(b) “allows dismissal for the plaintiff’s failure to prosecute, [and] is intended as a safeguard against delay in litigation and harassment of a defendant.” 9 Wright & Miller, *Federal Practice and Procedure* § 2370 (4th ed.). If the court has power under Rule 41(b) to dismiss the action, does it have an implied authority to fashion other, less onerous sanctions? Does Rule 16 affect your analysis?

LINK v. WABASH RAILROAD CO., 370 U.S. 626, 629–30, 633–34, 82 S.Ct. 1386, 1388, 1390–91, 8 L.Ed.2d 734, 737–38, 739–40 (1962). Petitioner appealed a *sua sponte* dismissal of his diversity negligence action after petitioner and his counsel failed to attend a pretrial conference. The trial date had been set some six years after the action had been commenced, during which two other fixed trial dates had been postponed. The Seventh Circuit affirmed, after which the Supreme Court, in an opinion by Justice Harlan, affirmed, holding:

The authority of a federal trial court to dismiss a plaintiff’s action with prejudice because of his failure to prosecute cannot seriously be doubted. The power to invoke this sanction is necessary in order to prevent undue delays in the disposition of pending cases and to avoid congestion in the calendars of the District Courts. The power is of ancient origin, having its roots in judgments of *nonsuit* and *non prosequitur* entered at common law, e.g., 3 Blackstone, *Commentaries* (1768), 295–296, and dismissals for

want of prosecution of bills in equity * * *. It has been expressly recognized in Federal Rule of Civil Procedure 41(b) * * *.
* * *

Accordingly, when circumstances make such action appropriate, a District Court may dismiss a complaint for failure to prosecute even without affording notice of its intention to do so or providing an adversary hearing before acting. Whether such an order can stand on appeal depends not on power but on whether it was within the permissible range of the court’s discretion. On this record we are unable to say that the District Court’s dismissal of this action for failure to prosecute, as evidenced only partly by the failure of petitioner’s counsel to appear at a duly scheduled pretrial conference, amounted to an abuse of discretion.
* * *

There is certainly no merit to the contention that dismissal of petitioner’s claim because of his counsel’s unexcused conduct imposes an unjust penalty on the client. Petitioner voluntarily chose this attorney as his representative in the action, and he cannot now avoid the consequences of the acts or omissions of this freely selected agent. Any other notion would be wholly inconsistent with our system of representative litigation, in which each party is deemed bound by the acts of his lawyer-agent and is considered to have “notice of all facts, notice of which can be charged upon the attorney.” * * *

We need not decide whether unexplained absence from a pretrial conference would *alone* justify a dismissal with prejudice if the record showed no other evidence of dilatoriness on the part of the plaintiff. For the District Court in this case relied on *all* the circumstances that were brought to its attention, including the earlier delays.

In his dissent, Justice Black argued that it was unfair to impose such a harsh penalty upon plaintiff for the misconduct of an attorney. The Justice suggested that numerous other sanctions were available in this situation that could penalize the attorney without resorting to a dismissal that barred plaintiff from any recovery.

NOTE AND QUESTIONS

Lengthy delays do not necessarily lead to a dismissal for failure to prosecute. In *GCIU EMPLOYER RETIREMENT FUND v. CHICAGO TRIBUNE*, 8 F.3d 1195 (7th Cir. 1993), the court held that a dismissal with prejudice for failure to prosecute was improper, despite a 22-month delay, because during that period the litigants were actively negotiating. What other

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factors should affect the court’s decision? Is the district court required to give a warning before dismissing the case?

C. DEFAULT JUDGMENT

Read Federal Rule of Civil Procedure 55 in the Supplement.

COULAS v. SMITH

Supreme Court of Arizona, 1964.
[96 Ariz. 325, 395 P.2d 527.](#)

UDALL, CHIEF JUSTICE. This is an appeal from an order of the Superior Court of Pima County, denying a motion to set aside a judgment entered against the appellant.

* * *

The plaintiff filed a complaint against the defendant and cross-claimant on two counts. The first count was for \$ 669.32 on an open account. The second count was on a promissory note upon which \$ 3,666.67 was alleged to be due. The cross-claimant answered individually by his attorney and denied any liability to the plaintiff on either count and thereafter filed a cross-claim against the defendant in which he sought judgment against the defendant for any sums or amounts which the plaintiff may obtain against him by virtue of the judgment; for the sum of \$ 4,000 on a debt alleged to be owed by the defendant to him, and \$ 500 attorney’s fees. The defendant appeared individually by his attorneys and answered the complaint of the plaintiff, answered the cross-claim of the cross-claimant, and counterclaimed against the plaintiff, seeking damages in the sum of \$ 18,000. The plaintiff replied to the defendant’s counterclaim.

On July 11, 1958, the lower court made an order setting the case for trial on October 10, 1958. All counsel were notified by the clerk of the court. On October 6, 1958, counsel for the plaintiff and counsel for the cross-claimant stipulated that the trial be set for December 10, 1958. The lower court ordered that the prior trial date be vacated and the case be reset for trial on December 10, 1958. All counsel were regularly notified by the clerk of the new trial setting. The defendant’s counsel was not present before the court on October 6, 1958, and did not participate in the stipulation vacating the original trial setting and resetting the case for trial on December 10, 1958. The defendant and defendant’s counsel deny ever receiving any notice from the clerk concerning the new trial date.

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On December 10, 1958, the new trial date, the case came on regularly to be heard. The defendant did not appear either in person or by counsel. The court made the following minute entry during the course of the trial:

* * *

“The plaintiff Smith and the defendant Bray announce ready for trial.

“William J. Bray is sworn, cross-examined, and examined.

“Plaintiff’s Exhibit 1, being a promissory note in the sum of \$4,000.00 dated February 14, 1955, is marked for identification and admitted in evidence.

“Nicholas Coulas having failed to appear at this time either in person or by counsel, and it further appearing that this case was previously set for trial both as to the issues framed by the complaint and answer thereto of the defendant Nicholas Coulas and as to the cross-claim filed by the defendant William J. Bray, Jr., against the defendant Nicholas Coulas,

“IT IS HEREBY ORDERED that the default of the said defendant Nicholas Coulas be entered as to said complaint and as to said cross-claim and the court proceeding to hear evidence pertaining to said complaint and cross-claim and being fully

advised in the premises,

“IT IS THEREFORE ORDERED that judgment is hereby rendered * * * against the defendant Nicholas Coulas * * *.”

The plaintiff obtained judgment against the defendant on both counts and against the cross-claimant as to count two (the promissory note). The cross-claimant obtained judgment against the defendant on the promissory note. The judgment was entered on December 11, 1958.

On October 29, 1960, nearly two years later, the defendant filed a motion to set aside and vacate the judgment. The trial court denied this motion. * * *

The defendant subsequently filed this appeal.

The defendant contends that the “default” judgment entered against him was void, since he did not receive 3 days’ notice of the application for judgment by default pursuant to Rule 55(b) of the Arizona Rules of Civil Procedure * * *. The defendant’s contention would be valid if the judgment below was a judgment by default. A default judgment obtains when a defendant fails to plead or otherwise defend. Rule 55. If he has made an appearance in the case, he must be given 3 days’ notice of application for judgment by default. * * *

However, the defendant’s contention is invalid here since the judgment below was not a default judgment. It should be noted that the defendant did plead to the merits. He answered the complaint and filed a counterclaim. He then failed to appear at the trial in person or by counsel. The trial proceeded, evidence was heard, and a judgment on the merits of the plaintiff’s and counter-claimant’s claims was entered. The judgment was not by default within the meaning of Rule 55. Therefore Rule 55(b) with its 3-day notice requirement is not applicable. In fact, the trial court would have erred if a default was entered, since the case was at issue. *Bass v. Hoagland*, 172 F.2d 205 (5th Cir. 1949), cert. denied, 338 U.S. 816, 70 S.Ct. 57, 94 L.Ed. 494 (1949) * * *.

The following language is from *Bass v. Hoagland* * * * concerning the applicability of Rule 55:

“Rule 55(a) authorizes the clerk to enter a default * * *. This does not require that to escape default the defendant must not only file a sufficient answer to the merits, but must also have a lawyer or be present in court when the case is called for a trial. The words ‘otherwise defend’ refer to attacks on the service, or motions to dismiss, or for better particulars, and the like, which may prevent default without presently pleading to the merits. *When Bass by his attorney filed a denial of the plaintiff’s case neither the clerk nor the judge could enter a default against him. The burden of proof was put on the plaintiff in any trial. When neither Bass nor his attorney appeared at the trial, no default was generated;* the case was not confessed. The plaintiff might proceed, but he would have to prove his case.” 172 F.2d p. 210 (emphasis added).

* * *

* * * It should * * * be stated that once an answer on the merits is filed and the case is at issue, a default judgment is not proper, and if the defendant fails to appear at the trial a judgment on the merits may be entered against him upon proper proof.

* * *

The contention of the defendant that he did not receive notice of the new trial date is not substantiated by the minutes. The record indicates that the clerk of the superior court notified all counsel of all of the orders and judgment pursuant to Rule 77(h) * * *. It is well settled that in the absence of a showing to the contrary a public officer, such as the clerk of the court in this case, is presumed to have performed the duty imposed upon him by law. * * * In addition, if the defendant’s counsel did not receive the notice of the change of the trial date to December 10, 1958, he certainly

would have learned of the change in the trial date when he appeared for trial on the earlier date, October 10, 1958.

Since the judgment of the lower court is merely voidable, at most, Rule 60(c) * * * prevents the defendant from attacking the judgment more than six months after it was entered. The defendant attempted to attack the judgment nearly two years after it was entered. * * * The lower court properly denied defendant’s motion to set aside and vacate the judgment.

Judgment affirmed.

NOTES AND QUESTIONS

1. In *BASS v. HOAGLAND*, 172 F.2d 205 (5th Cir. 1949), cert. denied, 338 U.S. 816, 70 S.Ct. 57, 94 L.Ed. 494 (1949), which is relied upon in *Coulas*, a default judgment was rendered in favor of plaintiff after defendant’s counsel, who had filed an answer, had withdrawn from the case. The judgment recited that defendant had been informed of the withdrawal. Defendant did not appeal but collaterally attacked the judgment when enforcement was sought against him in another jurisdiction. Defendant claimed that he did not know of the counsel’s withdrawal from the case and was not aware that the adverse judgment had been rendered. A majority of the Fifth Circuit held that, since an answer had been filed, defendant was not in default under Federal Rule 55, that the entry of judgment without trial by jury, which had been demanded, was a violation of the Due Process Clause of the Fifth Amendment, and that the judgment was void. The court indicated that even if the case fell within Rule 55, the failure to give notice under Rule 55(b)(2) might render the judgment void, although in that event no jury trial would be required. The dissenting judge took the position that defendant, by not attending trial, was in default, that no jury trial was required, and that the decision was not void or subject to collateral attack.

2.Rule 54(c) provides that plaintiff may recover all the relief to which it is entitled but in the case of a default judgment is limited to the amount demanded in the prayer for relief. Suppose at trial in *Coulas v. Smith* plaintiff’s evidence showed that defendant was liable for \$10,000, although only \$4,000 had been claimed. Would the court have been justified in awarding plaintiff the full amount?

3.What activities, short of a formal challenge to the jurisdiction or the pleadings, constitute an appearance for purposes of Rule 55(b)(2)? Consider these situations:

- (a)There are oral and written communications between counsel for the parties with a view toward settlement, and a letter by plaintiff to defendant that he would apply for a default judgment if defendant did not answer.
- (b)There are oral and written communications between counsel for the parties, and both parties intended to contest the suit if settlement negotiations broke down.

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- (c)Defendant executes a waiver of service of process.

See 10A Wright, Miller, Kane & Marcus, *Federal Practice and Procedure* § 2686 (4th ed.).

4. A defendant’s default does not automatically entitle plaintiff to a court-ordered default judgment; the decision to grant or deny the application rests in the court’s discretion. In making the determination, the Ninth Circuit relies on the following factors:

- (1) the possibility of prejudice to the plaintiff, (2) the merits of plaintiff’s substantive claim, (3) the sufficiency of the complaint, (4) the sum of money at stake in the action, (5) the possibility of a dispute concerning the material facts, (6) whether the default was due to excusable neglect, and (7) the strong policy underlying the Federal Rules of Civil Procedure favoring decisions on the merits.

Eitel v. McCool, 782 F.2d 1470, 1471–72 (9th Cir. 1986). For a discussion of the appropriate standard in debt collection cases, see *Bearden, Employing the Prima Facie Standard in Third Party Debt Collection Default Judgments*, 48 Urb. Law. 365 (2016).

5.A special type of default judgment can be imposed on a party who has appeared and contested the matters at issue but willfully violated the rules of procedure or disobeyed an order of the court. Normally, this penalty is invoked against a party who is defending a claim; if the complaining party is guilty of comparable violations, the most typical remedy is to dismiss the case with prejudice. See Federal Rule 41(b). The penalty default can be used to sanction discovery violations. Federal Rules 37(b)(2)(A) and 37(d) and their state counterparts specifically permit default judgments in these situations. The Seventh Circuit has stated “that the ultimate sanction of dismissal should be involved only in extreme situations, when there is a clear record of delay or contumacious conduct, or when other less drastic sanctions have proven unavailable.” *Rice v. City of Chicago*, 333 F.3d 780, 785–86 (7th Cir. 2003) (internal quotations omitted).

Are “penalty” defaults subject to the limitation on recovery in Federal Rule 54(c)? In *TRANS WORLD AIRLINES, INC. v. HUGHES*, 32 F.R.D. 604, 607–08 (S.D.N.Y. 1963), modified 332 F.2d 602 (2d Cir. 1964), cert. dismissed, 380 U.S. 248, 85 S.Ct. 934, 13 L.Ed.2d 817 (1965), the court, after granting plaintiff’s motion for entry of a default judgment on the ground of defendant’s failure to produce the owner of 100 percent of its stock for a deposition, held:

That branch of the [plaintiff’s] motion seeking to increase the *ad damnum* clause from \$105,000,000 to \$135,000,000 is granted. This is not a case where a party has defaulted in appearance. Here issue was joined and adversary proceedings continued in the pretrial stages of this litigation. The damages originally asserted were unliquidated and TWA is entitled to recover for whatever damage it can show it suffered. Furthermore, Toolco [a defendant] will be

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represented at the hearings necessary to assess damages under rule 55(b)(2).

Suppose TWA’s suit had been on a contract and the damages were for a liquidated sum that plaintiff had erroneously understated in its complaint. Would the result have been different?

6.Default judgments represent a significant portion of the civil dockets of the state courts. Typically, defendant is an unrepresented individual, often in a consumer debt case, who does not make an appearance. Although many defendants choose to default because they have no defense on the merits, examples of abusive default judgments—entered without proper notice due to “sewer service”—are common. One study of consumer debt litigation reported that in the limited number of state courts that had been studied, more than 70 percent of all debt-collection cases ended in default judgments. The Pew Charitable Trusts, *How Debt Collectors Are Transforming the Business of State Courts*, May 2020, at 15–16. In New York, where more than 100,000 debt collection suits were filed each year as of 2014, the state court system responded to concerns about abusive default judgments by requiring that: (1) debt collectors provide additional notice explaining the consequences of defaulting to defendants before a default judgment may be entered; (2) debt collectors submit affidavits evidencing their right to collect on the debt in question; and (3) counsel for debt collectors represent by affirmation that the applicable statute of limitations on the debt has not expired. See, e.g., 22 N.Y.C.R.R. §§ 202.27-a & 202.27-b. See also McKinley, *Top State Judge Tightens Rules on Debt Collection*, N.Y. Times, May 1, 2014, at A20. Should a properly functioning procedural system be expected to produce such a high number of default judgments?

²²¹368 U.S. 464 (1962).

^aThe rule was amended and currently is Rule 56(c).

^bThe rule was amended and currently is Rule 56(d).

^cThe rule was changed and the substance now appears in Rule 56(a).

^dThe practice is now subject to current Rule 56(c).
^eThe rule currently is Rule 56(d)(2) and (e)(1).
^f*Messenger* was superseded on other grounds by the addition in 1983 of Rule 4(j), as stated in *Frasca v. United States*, 921 F.2d 450, 452 (2d Cir. 1990). Rule 4(j) was later redesignated as Rule 4(m).

CHAPTER 14

TRIAL



Prior chapters have explored the ways in which litigants initiate actions, prepare for trial, and (when possible) avoid trial. But trials do take place, and it is important to discuss and analyze how they proceed, how decisions ultimately are reached, and whether the process is a fair one. The chapter begins with a discussion of jury trials. Next, the materials discuss the nature of a trial in which a judge hears the case without a jury. Finally, the focus is on the ways in which errors, omissions, and improper tactics may result in the reversal of a decision and an order for a new trial. For several reasons, the primary attention is given to the trial in the federal courts. First, each state has its own rules and procedures, and it would be impossible to deal with each of them in any meaningful detail. Second, the federal system is a sound prototype for study since most states, generally speaking, employ procedures that follow those of the federal courts.

One might think that a trial is the natural destination for a case in the civil justice system. In reality, trials have become rare today in both the federal and state courts. In the 1930s, about 20 percent of civil cases in federal court concluded with a trial. See Yeazell, *The Misunderstood Consequences of Modern Civil Process*, 1994 Wis.L.Rev. 631, 633 n.3. That number dropped to about 9 percent in 1972, to 3.5 percent in 1992, and to about 2 percent in 2002. See Gallanter, *The Vanishing Trial: An Examination of Trials and Related Matters in Federal and State Courts*, 1 J. Empirical Legal Stud. 459, 462–63 tbl.1 (2004). A similar trend happened in the state courts, where the vast majority (perhaps 98 percent) of civil trials occur. See Burns, *The Death of the American Trial* 85 (2011). One survey found that in 2005 about 3 percent of civil cases in the state courts were concluded by trial. See Langton & Cohen, Bureau of Justice Statistics, U.S. Dep’t of Justice, *Civil Bench and Jury Trials in State Courts*, 2005, at 9 & tbl.10 (2008) (revised Apr. 9, 2009). More recent data confirm a continuation of this downward trend. In 2016, only 1 percent of civil cases in the federal courts concluded with a trial, and the portion of civil cases going to trial in a sample of state courts (covering almost half the states) ranged from 0.05 percent to 0.5 percent. See Nora Freeman Engstrom, *The Diminished Trial*, 86 Fordham L.Rev. 2131, 2131–32 (2018).

Scholars and policymakers have attempted to explain the causes of the “vanishing trial.” There is a large literature exploring many theories for the phenomenon, but a few prominent ones bear mention. One theory points to the procedural model adopted by the Federal Rules as contributing, perhaps unintentionally, to the decline. To be sure, at the time of their adoption “many believed that the Federal Rules represented a Gold Standard that envisioned a trial and, when appropriate, one before a jury.” Miller, *What Are Courts For? Have We Forsaken the Procedural Gold Standard?*, 78 La.L.Rev. 739, 740 (2018). Because the rules provide for robust pretrial discovery, however, cases now develop a deeper factual record than would have been typical on the eve of trial in an earlier era. As a result, liberal discovery under the rules facilitates settlement by the parties or summary judgment by the court rather than disposition at trial. See Langbein, *The Disappearance of Civil Trial in the United States*, 122 Yale L.J. 522, 544–53 (2012). That effect is intensified by the rise of “managerial judging,” the drive toward active judicial case management from the commencement of litigation, which has been said to limit contested issues and produce a greater likelihood of settlement. *Id.* Some commentators go beyond the details of Rule 16 (and similar case management tools developed over the years), see p. 989, *supra*, and point to a longterm change in judicial mood accompanying active case management—a shift toward the view that the civil justice system has failed when a case gets to trial. See Resnik, *Trial as Error, Jurisdiction as Injury: Transforming the Meaning of Article III*, 113 Harv.L.Rev. 924 (2000). That shift, it is said, encourages judges to avoid trial in favor of resolution by settlement or dispositive motion. See generally Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Cliches Eroding Our Day in Court and Jury Trial Commitments?*, 78 N.Y.U.L.Rev. 982 (2003).

The documented decline in trial rates has sparked renewed interest in countering the trend. The arguments in favor of encouraging trials fall generally into three categories. First, some commentators believe the decline of civil trials undermines the role of the jury as a democratic institution—“the New England town meeting writ large”—in the administration of justice. Young, *Vanishing Trials, Vanishing Juries, Vanishing Constitution*, 40 Suffolk L.Rev. 67, 69 (2006).

Second, others suggest that a trial may be a more cost effective path to resolving cases than motion-dependent litigation. On this view, the certainty of a looming trial actually enhances efficiency by limiting overreliance on time-consuming motion practice and forcing parties to streamline discovery, which is now viewed “as the battleground where the adversary process is played out.” Anderson, *Where*

Have You Gone, Spot Mozingo? A Trial Judge’s Lament over the Demise of the Civil Jury Trial, 4 Fed.Cts.L.Rev. 99, 99 (2010); see also Inst. for the Advancement of the Am.

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Legal Sys., A Return to Trials: Implementing Effective Short, Summary, and Expedited Civil Action Programs 3–5 (2012). In 2012, Texas adopted rules for expedited civil actions designed to proceed to trial within one year of filing. The expedited action rules provide for more constricted discovery and impose a firm date for trial. See Tex. R. Civ. P. 169. A number of other states have explored the adoption of similar rules. The evidence is unclear whether this approach increases resort to trials or simply prompts earlier settlement. See National Center for State Courts, Call to Action: Achieving Civil Justice for All, app. D at 7–8 (2016).

Third, some commentators fear that advocacy skills in the legal profession will deteriorate due to the rarity of civil trials. Judge Joseph F. Anderson, Jr., describes the concern this way:

With a dramatic decline in trials, courtroom skills atrophy, the Rules of Evidence become an unnecessary annoyance and the well-read, flamboyant trial lawyer—an advocate in the truest sense of the term—goes the way of the dodo bird. Young lawyers lose the once-considered indispensable opportunity to observe attorneys in the courtroom. The phenomenon then feeds on itself as more and more lawyers—having no courtroom experience—settle cases, at least in part, because of the fear of going to trial. With the growth in unseasoned trial lawyers, it follows that in the not too distant future, judges as well will occupy the bench with little trial experience.

Anderson, *Where Have You Gone, Spot Mozingo? A Trial Judge’s Lament over the Demise of the Civil Jury Trial*, 4 Fed.Cts.L.Rev. 99, 110 (2010).

Whether or not the rate of civil trials increases, litigants and their counsel must appreciate the dynamics of a potential trial when choosing their litigation strategy. Accordingly, the materials in this chapter provide a comprehensive discussion of the trial process.

A. TRIAL BY JURY

The jury trial established itself as central to the process of adjudication under the common law. As one commentator has observed, “the main features of the Anglo-American civil trial developed * * * as a consequence of the jury system, in which panels of lay persons were used to decide cases.” Langbein, *The Disappearance of Civil Trial in the United States*, 122 Yale L.J. 522, 527 (2012). Indeed, before the middle of the nineteenth century, trial by jury was the only form of trial used in any common law court. Id.

This section discusses the historical development of the right to trial by jury and the connection between that history and the constitutional

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guarantee of a jury trial in civil cases under the Seventh Amendment. The materials in this section also consider: the division of authority between the judge and the jury; tactical considerations that might guide whether litigants demand a jury trial; the mechanics of properly invoking the right to a jury trial; and the process for selecting and seating a jury.

1.THE INSTITUTION OF TRIAL BY JURY

During its formative period, the jury was an activist group that both investigated the facts and judged the evidence. A famous example of the work of the early jury is the Domesday Book, compiled in the twelfth century, setting forth an inventory of William the Conqueror’s realm. The Domesday “jury” viewed the land and formed its own judgments without using witnesses. The revered status of the jury trial at common law is evidenced by Blackstone’s statement that the right to trial by jury “has been, and I trust ever will be, looked upon as the glory of the English law * * * and * * * it is the most transcendent privilege which any subject can enjoy or wish for, that he not be affected either in his property, his liberty, or his person, but by unanimous consent of twelve of his neighbors and equals.” 3 Blackstone, Commentaries on the Laws of England *378 (1765–1769). Yet in modern English practice, trial by jury in civil actions has been abandoned except in rare cases.

NOTES AND QUESTIONS

1. Excellent historical material on the jury in England can be found in 1 Holdsworth, A History of English Law 298–350 (7th ed. 1956); 1 Pollock & Maitland, The History of English Law 138–49 (2d ed. 1911); 2 id. 616–32, 641–59; Thayer, *The Jury and Its Development*, 5 Harv.L.Rev. 249, 295, 357 (1892), substantially reprinted in A Preliminary Treatise on Evidence at the Common Law 47–182 (1898). For discussions of the civil jury trial in other countries, see Devlin, Trial by Jury (3d imp. 1966); Smith, *Civil Jury Trial: A Scottish Assessment*, 50 Va.L.Rev. 1076 (1964).
2. Today, the jury is theorized as a passive, disinterested body that renders its decisions on the basis of the information placed before it. Critics argue that use of the jury as a decision-maker is expensive, slow, and not suited to complex cases. Chief Justice Burger (who served on the Supreme Court from 1969 to 1986) perceived the following problems with jury trials in civil cases:

First, do we really have truly representative juries? Experienced business executives, bankers, professional people, accountants, professors of

economics, statisticians, teachers, and others arguably more competent than most to cope with complex economic or scientific questions, rarely survive to sit in the box. Peremptory challenges in the jury selection process eliminate them and more often they are excused for cause, including the cause that they are too busy! We must stop deluding ourselves. The juries actually selected in most

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protracted cases are rarely true cross-sections, as we are so fond of repeating.

* * *

Second, the factual issues in protracted cases are often of enormous complexity. The analysis of documents, of expert testimony, of charts, graphs and other visual aids, and the comprehension of such evidence, present problems which often only a sophisticated business executive, an economist, or another expert could grasp; some cases would baffle even them.

Third, the legal issues, which must be explained to jurors by the trial judge, may take not hours, but a whole day or several days, by way of instructions.

Fourth, there is a limit to the capacity of any of us—jurors or judges—to understand and remember the mass of complicated transactions, documents, and legal principles usually described in the course of a long trial.

Fifth, quite apart from these considerations, there is an enormous—and inordinate—impact on the life of each of twelve jurors, and alternate jurors, thrust for months into a totally strange environment, and then confronted with the burden of decisions in areas in which few, if any of them, have any experience.

Burger, *Thinking the Unthinkable*, 31 Loyola L.Rev. 205, 210–11 (1985). See also Redish, *Seventh Amendment Right to Jury Trial: A Study in the Irrationality of Rational Decision Making*, 70 Nw.U.L.Rev. 486 (1975). Might concerns about the civil jury help explain the increased trend toward pretrial disposition through use of the motion to dismiss, the motion for summary judgment, settlement, and forms of alternative dispute resolution? See Solomon & Hunnford-Agor, *Introduction: The Civil Jury as a Political Institution*, 55 Wm. & Mary L.Rev. 715 (2014), and other articles in the same law review issue.

2.THE RIGHT TO A JURY TRIAL

Read the Seventh Amendment of United States Constitution and the accompanying state materials in the Supplement.

a.The Nature of the Right Under the United States Constitution

The federal Constitution and most state constitutions do not “create” a right to a civil jury trial. Rather, they “preserve” the right as it existed at common law, either in 1791, the date of the Seventh Amendment’s

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ratification, or, in the case of some states, as of the time the state constitution was adopted. Because the Seventh Amendment was assumed to incorporate then-existing jury trial practice, federal courts developed a historical test for determining whether the civil jury right attached. Critics have argued that the historical test is difficult to apply and inappropriate for novel, hybrid actions. See 9 Wright & Miller, *Federal Practice and Procedure* § 2302 (4th ed.).

b.The Effect of Federal Rule 2 (the Single Form of Action) and Other Modern-Day Procedural Developments on the Right to Trial by Jury in Federal Courts

The formal elimination by Federal Rule 2 of separate actions in law and equity and other procedural innovations present a number of challenging issues regarding the historic right to a trial by jury:

- (1)What remains of the law-equity distinction that governed the right to a jury in 1791?
- (2)What happens when parties seek both legal and equitable remedies in the same case?
- (3)What is the situation when a party makes a claim in court, pursuant to a statute or common-law development that was unknown in 1791?
- (4)What is the situation when vindication of a claim is taken out of the jurisdiction of the courts and placed in an administrative tribunal?
- (5)What is the nature of the right to a jury when a party initiates a claim, normally cognizable only at law, but historically brought in courts of equity because of the status of the party?

c.The Implementation of the Right to Jury Trial in the Federal Courts

i.Maintenance of the Law-Equity Distinction

Cases at law—those that were brought in courts of law in 1791—continue to carry the right to trial by jury in cases in federal courts. In contrast, suits in equity, historically decided by the chancellor, sitting without a jury, continue to be decided by judges, although judges can, in their discretion, employ an advisory jury. See Federal Rule 39(c).

The distinction is based primarily on the nature of the relief sought. Relief at law generally is limited to compensatory damages along with the ejectment of a defendant who wrongfully is occupying plaintiff’s land. Equity provides remedies when the law does not, including injunctions, restitution, rescission, and reformation of contracts.

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ii. Cases Involving Both Equitable and Legal Relief

In simple cases, a plaintiff, by designating the right to relief sought, is able to control whether or not a jury trial is required. See Thomas, *A Limitation on Congress: “In Suits at Common Law,”* 71 Ohio St.L.J. 1071 (2010). However, the merger of law and equity has complicated the application of the jury trial right because today a party may enter a single court with both legal and equitable claims. Even if a plaintiff brings claims of only one type, a defendant, by way of counterclaim, may introduce the other type.

The “mixed” remedies case was not completely unknown in 1791. Long before merger, equity developed the so-called “clean-up” doctrine, which allowed an equity court that had obtained jurisdiction over a suit primarily of an equitable character to decide any incidental legal issues that arose in the course of the litigation.

Sound considerations of policy lay behind * * * [the] “clean-up” rule, considerations which loom large and real against the background of two entirely independent systems of trial courts. The plaintiff entitled to both legal and equitable remedies needed relief from the burden of two days in court. Even worse was the plight of the litigant who had legitimately but vainly sought the chancellor’s aid. The statute of limitations threatened him with total loss of remedy on an admittedly valid claim. It was the more dangerous a choice when crowded dockets and cumbersome procedure made the equitable process less than speedy. In any event, the dangers of a wrong choice of forum involved delay and all-consuming expense of litigation.

Here then was plaintiff’s dilemma: to turn first to law might, as a simple matter of *res judicata*, lose him the more-desired chancellor’s remedy; to turn to equity would often invite decision by an unpredictable conscience and perhaps the loss of all remedy. Equities had to be weighed on an imprecise balance and hardships measured by a rule the fine divisions of which were often known only to the chancellor himself. Small wonder then that the clean-up rule, the disposition of incidental questions legal in nature, was often applied even where all equitable relief was denied.

The cost of this efficiency was, however, substantial, for it involved the denial of trial by jury on all legal issues so adjudicated. In some situations this price was considered too heavy to pay for the trial convenience achieved. In others, where equity viewed a plaintiff’s conduct as sufficiently reprehensible, the chancellor was pleased not to afford him aid by rapid disposition of a remaining issue.

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Levin, *Equitable Clean-up and the Jury: A Suggested Orientation*, 100 U.Pa.L.Rev. 320, 320–21 (1951).

BEACON THEATRES, INC. v. WESTOVER

Supreme Court of the United States, 1959.
[359 U.S. 500, 79 S.Ct. 948, 3 L.Ed.2d 988.](#)

Certiorari to the United States Court of Appeals for the Ninth Circuit.

JUSTICE BLACK delivered the opinion of the Court.

Petitioner, Beacon Theatres, Inc., sought by mandamus to require a district judge in the Southern District of California to vacate certain orders alleged to deprive it of a jury trial of issues arising in a suit brought against it by Fox West Coast Theatres, Inc. The Court of Appeals for the Ninth Circuit refused the writ, holding that the trial judge had acted within his proper discretion in denying petitioner’s request for a jury. * * *

Fox had asked for declaratory relief against Beacon alleging a controversy arising under the Sherman Antitrust Act, 26 Stat. 209, as amended, 15 U.S.C. §§ 1, 2, and under the Clayton Act, 38 Stat. 731, 15 U.S.C. § 15, which authorizes suits for treble damages against Sherman Act violators. According to the complaint Fox operates a movie theatre in San Bernardino, California, and has long been exhibiting films under contracts with movie distributors. These contracts grant it the exclusive right to show “first run” pictures in the “San Bernardino competitive area” and provide for “clearance”—a period of time during which no other theatre can exhibit the same pictures. After building a drive-in theatre about 11 miles from San Bernardino, Beacon notified Fox that it considered contracts barring simultaneous exhibitions of first-run films in the two theatres to be overt acts in violation of the antitrust laws. Fox’s complaint alleged that this notification, together with threats of treble damage suits against Fox and its distributors, gave rise to “duress and coercion” which deprived Fox of a valuable property right, the right to negotiate for exclusive first-run contracts. Unless Beacon was restrained, the complaint continued, irreparable harm would result. Accordingly, while its pleading was styled a “Complaint for Declaratory Relief,” Fox prayed both for a declaration that a grant of clearance between the Fox and Beacon theatres is reasonable and not in violation of the

antitrust laws, and for an injunction, pending final resolution of the litigation, to prevent Beacon from instituting any action under the antitrust laws against Fox and its distributors arising out of the controversy alleged in the complaint. Beacon filed an answer, a counterclaim against Fox, and a cross-claim against an exhibitor who had intervened. These denied the threats and asserted that there was no substantial competition between the two theatres, that the clearances granted were therefore unreasonable, and that a conspiracy existed between Fox and its distributors to manipulate contracts and

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clearances so as to restrain trade and monopolize first-run pictures in violation of the antitrust laws. Treble damages were asked.

Beacon demanded a jury trial of the factual issues in the case as provided by Federal Rule * * * 38(b). The District Court, however, viewed the issues raised by the “Complaint for Declaratory Relief,” including the question of competition between the two theatres, as essentially equitable. Acting under the purported authority of Rules 42(b) and 57, it directed that these issues be tried to the court before jury determination of the validity of the charges of antitrust violations made in the counterclaim and cross-claim. A common issue of the “Complaint for Declaratory Relief,” the counterclaim, and the cross-claim was the reasonableness of the clearances granted to Fox, which depended, in part, on the existence of competition between the two theatres. Thus the effect of the action of the District Court could be, as the Court of Appeals believed, “to limit the petitioner’s opportunity fully to try to a jury every issue which has a bearing upon its treble damage suit,” for determination of the issue of clearances by the judge might “operate either by way of res judicata or collateral estoppel so as to conclude both parties with respect thereto at the subsequent trial of the treble damage claim.” * * *

The District Court’s finding that the Complaint for Declaratory Relief presented basically equitable issues draws no support from the Declaratory Judgment Act, 28 U.S.C. §§ 2201, 2202; Fed.Rules Civ.Proc. 57. * * * That statute, while allowing prospective defendants to sue to establish their nonliability, specifically preserves the right to jury trial for both parties. It follows that if Beacon would have been entitled to a jury trial in a treble damage suit against Fox it cannot be deprived of that right merely because Fox took advantage of the availability of declaratory relief to sue Beacon first. Since the right to trial by jury applies to treble damage suits under the antitrust laws, and is, in fact, an essential part of the congressional plan for making competition rather than monopoly the rule of trade * * *, the Sherman and Clayton Act issues * * * were essentially jury questions.

Nevertheless the Court of Appeals * * * held that the question of whether a right to jury trial existed was to be judged by Fox’s complaint read as a whole. In addition to seeking a declaratory judgment, the court said, Fox’s complaint can be read as making out a valid plea for injunctive relief, thus stating a claim traditionally cognizable in equity. A party who is entitled to maintain a suit in equity for an injunction, said the court, may have all the issues in his suit determined by the judge without a jury regardless of whether legal rights are involved. The court then rejected the argument that equitable relief, traditionally available only when legal remedies are inadequate, was rendered unnecessary in this case by the filing of the counterclaim and cross-claim which presented all the issues necessary to a determination of the right to injunctive relief. Relying on *American Life Ins. Co. v. Stewart*, 300 U.S. 203, 215, 57 S.Ct. 377, 380, 81

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L.Ed. 605, decided before the enactment of the Federal Rules * * *, it invoked the principle that a court sitting in equity could retain jurisdiction even though later a legal remedy became available. In such instances the equity court had discretion to enjoin the later lawsuit in order to allow the whole dispute to be determined in one case in one court. Reasoning by analogy, the Court of Appeals held it was not an abuse of discretion for the district judge, acting under Federal Rule * * * 42(b), to try the equitable cause first even though this might, through collateral estoppel, prevent a full jury trial of the counterclaim and cross-claim which were as effectively stopped as by an equity injunction.⁶

Beacon takes issue with the holding of the Court of Appeals that the complaint stated a claim upon which equitable relief could be granted. As initially filed the complaint alleged that threats of lawsuits by petitioner against Fox and its distributors were causing irreparable harm to Fox’s business relationships. The prayer for relief, however, made no mention of the threats but asked only that pending litigation of the claim for declaratory judgment, Beacon be enjoined from beginning any lawsuits under the antitrust laws against Fox and its distributors arising out of the controversy alleged in the complaint. Evidently of the opinion that this prayer did not state a good claim for equitable relief, the Court of Appeals construed it to include a request for an injunction against threats of lawsuits. * * * But this fact does not solve our problem. Assuming that the pleadings can be construed to support such a request and assuming additionally that the complaint can be read as alleging the kind of harassment by a multiplicity of lawsuits which would *traditionally* have justified equity to take jurisdiction and settle the case in one suit, we are nevertheless of the opinion that, under the Declaratory Judgment Act and the Federal Rules * * *, neither claim can justify denying Beacon a trial by jury of all the issues in the antitrust controversy.

The basis of injunctive relief in the federal courts has always been irreparable harm and inadequacy of legal remedies. At least as much is required to justify a trial court in using its discretion under the Federal Rules to allow claims of equitable origins to be tried ahead of legal ones, since this has the same effect as an equitable injunction of the legal claims. And it is immaterial, in judging if that discretion is properly employed, that before the Federal Rules and the Declaratory Judgment Act were passed, courts of equity, exercising a jurisdiction separate from courts of law, were, in some cases, allowed to enjoin subsequent legal actions between the same parties involving the same controversy. This was because the subsequent

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legal action, though providing an opportunity to try the case to a jury, might not protect the right of the equity plaintiff to a fair and orderly adjudication of the controversy. * * * Under such circumstances the legal remedy could quite naturally be deemed inadequate. Inadequacy of remedy and irreparable harm * * * today must be determined, not by precedents decided under discarded procedures, but in the light of the remedies now made available by the Declaratory Judgment Act and the Federal Rules.

Viewed in this manner, the use of discretion by the trial court under Rule 42(b) to deprive Beacon of a full jury trial on its counterclaim and cross-claim, as well as on Fox’s plea for declaratory relief, cannot be justified. Under the Federal Rules the same court may try both legal and equitable causes in the same action. * * *

Thus any defenses, equitable or legal, Fox may have to charges of antitrust violations can be raised either in its suit for declaratory relief or in answer to Beacon’s counterclaim. On proper showing, harassment by threats of other suits, or other suits actually brought, involving the issues being tried in this case, could be temporarily enjoined pending the outcome of this litigation. Whatever permanent injunctive relief Fox might be entitled to on the basis of the decision in this case could, of course, be given by the court after the jury renders its verdict. In this way the issues between these parties could be settled in one suit giving Beacon a full jury trial of every antitrust issue. * * * By contrast, the holding of the court below while granting Fox no additional protection unless the avoidance of jury trial be considered as such, would compel Beacon to split his antitrust case, trying part to a judge and part to a jury. Such a result, which involves the postponement and subordination of Fox’s own legal claim for declaratory relief as well as of the counterclaim which Beacon was compelled by the Federal Rules to bring, is not permissible.

Our decision is consistent with the plan of the Federal Rules and the Declaratory Judgment Act to effect substantial procedural reform while retaining a distinction between jury and nonjury issues and leaving substantive rights unchanged. Since in the federal courts equity has always acted only when legal remedies were inadequate, the expansion of adequate legal remedies provided by the Declaratory Judgment Act and the Federal Rules necessarily affects the scope of equity. Thus, the justification for equity’s deciding legal issues once it obtains jurisdiction, and refusing to dismiss a case, merely because subsequently a legal remedy becomes available, must be re-evaluated in the light of the liberal joinder provisions of the Federal Rules which allow legal and equitable causes to be brought and resolved in one civil action. Similarly the need for, and therefore, the availability of such equitable remedies as Bills of Peace, *Quia Timet* and Injunction must be reconsidered in view of the existence of the Declaratory Judgment Act as well as the liberal joinder provision of the Rules. * * *

If there should be cases where the availability of declaratory judgment or joinder in one suit of legal and equitable causes would not in all respects protect the plaintiff seeking equitable relief from irreparable harm while affording a jury trial in the legal cause, the trial court will necessarily have to use its discretion in deciding whether the legal or equitable cause should be tried first. Since the right to jury trial is a constitutional one, however, while no similar requirement protects trials by the court, that discretion is very narrowly limited and must, wherever possible, be exercised to preserve jury trial. * * * [O]nly under the most imperative circumstances, circumstances which in view of the flexible procedures of the Federal Rules we cannot now anticipate, can the right to a jury trial of legal issues be lost through prior determination of equitable claims. * * *

As we have shown, this is far from being such a case.

* * *

The judgment of the Court of Appeals is reversed.

Reversed.

JUSTICE FRANKFURTER took no part in the consideration or decision of this case.

JUSTICE STEWART, with whom JUSTICE HARLAN and JUSTICE WHITTAKER concur, dissenting.

* * *

I.

The Court suggests that “the expansion of adequate legal remedies provided by the Declaratory Judgment Act * * * necessarily affects the scope of equity.” Does the Court mean to say that the mere availability of an action for a declaratory judgment operates to furnish “an adequate remedy at law” so as to deprive a court of equity of the power to act? That novel line of reasoning is at least implied in the Court’s opinion. But the Declaratory Judgment Act did not “expand” the substantive law. That Act merely provided a new statutory remedy, neither legal nor equitable, but available in the areas of both equity and law. When declaratory relief is sought, the right to trial by jury depends upon the basic context in which the issues are presented. * * * If the basic issues in an action for declaratory relief are of a kind traditionally cognizable in equity, e.g., a suit for cancellation of a written instrument, the declaratory judgment is not a “remedy at law.” If, on the other hand, the issues arise in a context traditionally cognizable at common law, the right to a jury trial of course remains unimpaired, even though the only relief demanded is a declaratory judgment.

Thus, if in this case the complaint had asked merely for a judgment declaring that the plaintiff’s specified manner of business dealings with

distributors and other exhibitors did not render it liable to Beacon under the antitrust laws, this would have been simply a “juxtaposition of parties” case in which Beacon could have demanded a jury trial. But the complaint * * * presented issues of exclusively equitable cognizance, going well beyond a mere defense to any subsequent action at law. Fox sought from the court protection against Beacon’s allegedly unlawful interference with its business relationships—protection which this Court seems to recognize might not have been afforded by a declaratory judgment, unsupplemented by equitable relief. The availability of a declaratory judgment did not, therefore, operate to confer upon Beacon the right to trial by jury with respect to the issues raised by the complaint.

II.

* * * [T]he Court holds, quite apart from its reliance upon the Declaratory Judgment Act, that Beacon by filing its counterclaim and cross-claim acquired a right to trial by jury of issues which otherwise would have been properly triable to the court. Support for this position is found in the principle that, “in the federal courts equity has always acted only when legal remedies were inadequate. * * * ” Yet that principle is not employed in its traditional sense as a limitation upon the exercise of power by a court of equity. This is apparent in the Court’s recognition that the allegations of the complaint entitled Fox to equitable relief—relief to which Fox would not have been entitled if it had had an adequate remedy at law. Instead, the principle is employed today to mean that because it is possible under the counterclaim to have a jury trial of the factual issue of substantial competition, that issue must be tried by a jury, even though the issue was primarily presented in the original claim for equitable relief. This is a marked departure from long-settled principles.

It has been an established rule “that equitable jurisdiction existing at the filing of a bill is not destroyed because an adequate legal remedy may have become available thereafter.” * * * American Life Ins. Co. v. Stewart, 300 U.S. 203, 215, 57 S.Ct. 377, 380, 81 L.Ed. 605 [(1937)]. * * * It has also been long settled that the District Court in its discretion may order the trial of a suit in equity in advance of an action at law between the same parties, even if there is a factual issue common to both. * * *

III.

The Court today sweeps away these basic principles as “precedents decided under discarded procedures.” It suggests that the Federal Rules * * * have somehow worked an “expansion of adequate legal remedies” so as to oust the District Courts of equitable jurisdiction, as well as to deprive them of their traditional power to control their own dockets. But obviously the Federal Rules could not and did not “expand” the substantive law one whit.

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Like the Declaratory Judgment Act, the Federal Rules preserve inviolate the right to trial by jury in actions historically cognizable at common law, as under the Constitution they must. They do not create a right of trial by jury where that right “does not exist under the Constitution or statutes of the United States.” Rule 39(a).^a Since Beacon’s counterclaim was compulsory under the Rules, see Rule 13(a), it is apparent that by filing it Beacon could not be held to have waived its jury rights. * * * But neither can the counterclaim be held to have transformed Fox’s original complaint into an action at law. * * *

The Rules make possible the trial of legal and equitable claims in the same proceeding, but they expressly affirm the power of a trial judge to determine the order in which claims shall be heard. Rule 42(b). Certainly the Federal Rules were not intended to undermine the basic structure of equity jurisprudence, developed over the centuries and explicitly recognized in the United States Constitution.

For these reasons I think the petition for a writ of mandamus should have been dismissed.

NOTES AND QUESTIONS

1. Explain the relevance of *Beacon Theatres* to an action in which plaintiff seeks redress for a single wrong but asks for both legal and equitable relief. An example would be a copyright infringement action in which damages for past infringement (legal) and injunctive relief against future infringement (equitable) are sought. See *Bruckman v. Hollzer*, 152 F.2d 730 (9th Cir. 1946). Suppose that defendant in addition to denying infringement, puts forward a number of affirmative defenses, some of which pertain only to the demand for legal relief. After the presentation of evidence in the case, the jury renders a general verdict for defendant. Under what circumstances may the trial judge thereafter enter a judgment for plaintiff for equitable relief? See *Ag Servs. of America v. Nielsen*, 231 F.3d 726 (10th Cir. 2000).

2.Explain the relevance of *Beacon Theatres* to an action in which plaintiff is entitled to either legal or equitable relief but not both (for example, a breach of contract action in which plaintiff sues for specific performance or damages in the alternative). If plaintiff demands a jury, will the resolution of the question depend on which relief that party prefers and on the extent of the common issues? See *Ford v. C.E. Wilson & Co.*, 30 F.Supp. 163 (D.Conn. 1939), affirmed, 129 F.2d 614 (2d Cir. 1942). If defendant demands a jury trial and plaintiff opposes it, does this mean that plaintiff elects equitable relief?

3.Explain the relevance of *Beacon Theatres* to a case in which a legal counterclaim is asserted against a claim for equitable relief or an equitable counterclaim is asserted against a legal claim. Compare *Bendix Aviation Corp. v. Glass*, 81 F.Supp. 645 (E.D.Pa.1948), with *Liberty Oil Co. v. Condon Nat.*

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Bank, 260 U.S. 235, 43 S.Ct. 118, 67 L.Ed. 232 (1922). Should the permissive or compulsory nature of the counterclaim be relevant in determining whether there is a jury trial right?

4. Explain the relevance of *Beacon Theatresto* a situation in which an issue that was determined without a jury in an equitable proceeding arises in

a subsequent action at law under circumstances in which the doctrine of issue preclusion normally would bar relitigation. How should the court rule if one of the parties demanded a jury trial in the second action? See *Parklane Hosiery Co. v. Shore*, p. 1334, *infra*.

5. Explain the relevance of *Beacon Theatres* to a situation in which a jury verdict is set aside in its entirety and a new trial ordered. May the court order that equitable remedies nonetheless be awarded to one party in advance of a new trial on the basis of the jury’s finding with regard to one aspect of liability in the first trial? See *U.S. ex rel. Drakeford v. Tuomey Healthcare System, Inc.*, 675 F.3d 394 (4th Cir. 2012).

6. For an excellent analysis of many *Beacon Theatres* problems, see McCoid, *Procedural Reform and the Right to Jury Trial*, 116 U.Pa.L.Rev. 1 (1967).

DAIRY QUEEN, INC. v. WOOD, 369 U.S. 469, 82 S.Ct. 894, 8 L.Ed.2d 44 (1962), arose out of a licensing agreement entered into by respondents, owners of the trademark “Dairy Queen,” under which petitioner agreed to pay \$150,000 for the exclusive right to use that trademark in certain parts of Pennsylvania. The contract provided for a small initial payment, with the remaining payments to be made at the rate of 50 percent of all amounts received by petitioner on sales and franchises to deal with the trademark; minimum annual payments were to be made regardless of petitioner’s receipts. In August 1960, respondents wrote petitioner a letter in which they claimed that the latter had committed “a material breach of that contract” by defaulting on the contract’s payment provisions and notified petitioner that the contract would be terminated unless the claimed default was remedied immediately. When petitioner continued to deal with the trademark, respondents brought an action for breach of contract praying for: (1) temporary and permanent injunctions to restrain petitioner from any future use of or dealing in the franchise and the trademark; (2) an accounting to determine the exact amount of money owed by petitioner and a judgment for that amount; and (3) an injunction pending an accounting to prevent petitioner from collecting any money from “Dairy Queen” stores in the territory.

The Eastern District of Pennsylvania granted a motion to strike petitioner’s demand for a jury trial on the alternative grounds that either the action was “purely equitable” or, if not purely equitable, the legal issues were “incidental” to equitable issues, and, in either case, no right to trial

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by jury existed. The Third Circuit refused to mandamus the district judge to vacate this order. The Supreme Court reversed. The Court first disposed of the District Court’s conclusion that there is no right to jury trial on legal issues that are “incidental” to equitable issues.

* * * The holding in *Beacon Theatres* * * * applies whether the trial judge chooses to characterize the legal issues presented as “incidental” to equitable issues or not. Consequently, * * * *Beacon Theatres* requires that any legal issues for which a trial by jury is timely and properly demanded be submitted to a jury. * * *

Id. at 472–73, 82 S.Ct. at 897, 8 L.Ed.2d at 48.

As to the lower court’s conclusion that the action was “purely equitable,” the Court said:

* * * The most natural construction of the respondents’ claim for a money judgment would seem to be that it is a claim that they are entitled to recover whatever was owed them under the contract as of the date of its purported termination plus damages for infringement of their trademark since that date. * * * As an action on a debt allegedly due under a contract, it would be difficult to conceive of an action of a more traditionally legal character. And as an action for damages based upon a charge of trademark infringement, it would be no less subject to cognizance by a court of law.

The respondents’ contention that this money claim is “purely equitable” is based primarily upon the fact that their complaint is cast in terms of an “accounting,” rather than in terms of an action for “debt” or “damages.” But the constitutional right to trial by jury cannot be made to depend upon the choice of words used in the pleadings. The necessary prerequisite to the right to maintain a suit for an equitable accounting, like all other equitable remedies, is, as we pointed out in *Beacon Theatres*, the absence of an adequate remedy at law. Consequently, in order to maintain such a suit on a cause of action cognizable at law, as this one is, the plaintiff must be able to show that the “accounts between the parties” are of such a “complicated nature” that only a court of equity can satisfactorily unravel them. In view of the powers given to District Courts by Federal Rule * * * 53(b) to appoint masters to assist the jury in those exceptional cases where the legal issues are too complicated for the jury adequately to handle alone, the burden of such a showing is considerably increased and it will indeed be a rare case in which it can be met. * * * A jury, under proper instructions from the court, could readily determine the recovery, if any, to be had here, whether the theory finally settled

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upon is that of breach of contract, that of trademark infringement, or any combination of the two. * * *

Id. at 476–79, 82 S.Ct. at 899–900, 8 L.Ed.2d at 50–52.

ROSS v. BERNHARD, 396 U.S. 531, 90 S.Ct. 733, 24 L.Ed.2d 729 (1970). Plaintiffs brought a derivative suit in federal court

against the directors of a closed-end investment company of which they were shareholders and joined the company’s brokers, alleging that the company had been charged excessive brokerage fees. Plaintiffs’ demand for jury trial, granted by the trial court but set aside by the Second Circuit, was upheld by the Supreme Court in a five-to-three decision:

The common law refused * * * to permit stockholders to call corporate managers to account in actions at law. * * * Early in the 19th century, equity provided relief both in this country and in England. * * * The remedy made available in equity was the derivative suit, viewed in this country as a suit to enforce a *corporate* cause of action against officers, directors, and third parties. As elaborated in the cases, one precondition for the suit was a valid claim on which the corporation could have sued; another was that the corporation itself had refused to proceed after suitable demand, unless excused by extraordinary conditions. Thus the dual nature of the stockholder’s action: first, the plaintiff’s right to sue on behalf of the corporation and, second, the merits of the corporation’s claim itself.

Derivative suits posed no Seventh Amendment problems where the action against the directors and third parties would have been by a bill in equity had the corporation brought the suit. Our concern is with cases based upon a legal claim of the corporation against directors or third parties. Does the trial of such claims at the suit of a stockholder and without a jury violate the Seventh Amendment?

* * * The heart of the action is the corporate claim. If it presents a legal issue, one entitling the corporation to a jury trial under the Seventh Amendment, the right to a jury is not forfeited merely because the stockholder’s right to sue must first be adjudicated as an equitable issue triable to the court. *Beacon* and *Dairy Queen* require no less.

If under older procedures, now discarded, a court of equity could properly try the legal claims of the corporation presented in a derivative suit, it was because irreparable injury was threatened and no remedy at law existed as long as the stockholder was

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without standing to sue and the corporation itself refused to pursue its own remedies. * * *

* * * Actions are no longer brought as actions at law or suits in equity. Under the Rules there is only one action—a “civil action”—in which all claims may be joined and all remedies are available. Purely procedural impediments to the presentation of any issue by any party, based on the difference between law and equity, were destroyed. In a civil action presenting a stockholder’s derivative claim, the court after passing upon the plaintiff’s right to sue on behalf of the corporation is now able to try the corporate claim for damages with the aid of a jury. * * * The “expansion of adequate legal remedies provided by * * * the Federal Rules necessarily affects the scope of equity.” *Beacon Theatres, Inc. v. Westover*, 359 U.S., at 509, 99 S.Ct., at 956.

Thus, for example, before-merger class actions were largely a device of equity, and there was no right to a jury even on issues that might, under other circumstances, have been tried to a jury. * * * [I]t now seems settled in the lower federal courts that class action plaintiffs may obtain a jury trial on any legal issues they present. * * *

Justice Stewart, dissented:

* * * Since, as the Court concedes, a shareholder’s derivative suit could be brought only in equity, it would seem to me to follow by the most elementary logic that in such suits there is no constitutional right to trial by jury. * * *

* * * [T]he Court’s effort to force the facts of this case into the mold of *Beacon Theatres* and *Dairy Queen* simply does not succeed. Those cases involved a combination of historically separable suits, one in law and one in equity. * * *

But the present case is not one involving traditionally equitable claims by one party, and traditionally legal claims by the other. Nor is it a suit in which the plaintiff is asserting a combination of legal and equitable claims. For, as we have seen, a derivative suit has always been conceived of as a single, unitary, equitable cause of action. It is for this reason, and not because of “procedural impediments,” that the courts of equity did not transfer derivative suits to the law side. * * *

If history is to be so cavalierly dismissed, the derivative suit can, of course, be artificially broken down into separable elements. But so then can any traditionally equitable cause of action, and the logic of the Court’s position would lead to the virtual elimination of all equity jurisdiction. An equitable suit for an injunction, for

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instance, often involves issues of fact which, if damages had been sought, would have been triable to a jury. Does this mean that in a suit asking only for injunctive relief these factual issues *must* be tried to the jury, with the judge left to decide only whether, given the jury’s findings, an injunction is the appropriate remedy? * * *

Id. at 534–35, 539–41, 544, 549–50, 90 S.Ct. at 736, 738–39, 741, 743–44, 24 L.Ed.2d at 733–34, 736–37, 739, 742.

NOTES AND QUESTIONS

1.A footnote in the majority opinion in *Ross* provided some guidance on the categorization of issues as legal or equitable for Seventh Amendment purposes:

As our cases indicate, the “legal” nature of an issue is determined by considering, first, the pre-merger custom with reference to such questions; second, the remedy sought; and, third, the practical abilities and limitations of juries. * * *

396 U.S. at 538 n.10, 90 S.Ct. at 738 n.10, 24 L.Ed.2d at 736 n.10. The significance of the third factor mentioned by the Court—the practical abilities and limitations of juries—was unclear. Did it suggest that the trial judge has discretion to limit the jury trial right to issues that are believed to be well suited for lay jury determination? On what grounds? Kane, *Civil Jury Trial: The Case for Reasoned Iconoclasm*, 28 Hastings L.J. 1, 11, 34 (1976), saw the third factor as representing “a movement toward a truly functional jury trial test.”

2. Some lower federal courts read the third “consideration” mentioned in the *Ross* footnote as a basis for denying a jury trial in cases in which the number of parties, complexity of the issues, or conceptual sophistication of the evidence and applicable substantive law support a finding that a jury would not be a rational and capable factfinder. See *In re Japanese Electronic Prods. Antitrust Litigation*, 631 F.2d 1069 (3d Cir. 1980), affirmed in part and reversed in part on other grounds following summary judgment 723 F.2d 238, 319 (3d Cir. 1983), reversed on other grounds *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 106 S.Ct. 1348, 89 L.Ed.2d 538 (1986). Other federal courts rejected this approach as too great an incursion on the Seventh Amendment. See *In re United States Financial Secs. Litigation*, 609 F.2d 411 (9th Cir. 1979), cert. denied, 446 U.S. 929, 100 S.Ct. 1866, 64 L.Ed.2d 281 (1980), overruling *In re United States Fin. Secs. Litig.*, 75 F.R.D. 702 (S.D.Cal.1977).

The argument for the “complexity exception” was threefold. First, because this exception was recognized at common law at the time of the drafting and adoption of the Seventh Amendment, it was said to be consistent with the Constitution. See Arnold, *A Historical Inquiry into the Right to Trial by Jury in Complex Civil Litigation*, 128 U.Pa.L.Rev. 829 (1980); Campbell & Poidevin, *Complex Cases and Jury Trials: A Reply to Professor Arnold*, 128 U.Pa.L.Rev.

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965 (1980); Arnold, *A Modest Replication to a Lengthy Discourse*, 128 U.Pa.L.Rev. 986 (1980). Second, because there are practical limitations on jurors’ knowledge, experience, and ability, it was argued that complex and esoteric cases, arguably outstripping the capacity of even well-educated jurors, were best entrusted to the factfinding capacity of an experienced trial judge. Third, it was contended that to submit to a jury issues exceeding its capacity for rational and sound decision-making constitutes a denial of the litigants’ due process rights.

Consider whether procedures could be designed to overcome the concerns raised by the complexity exception. Some research suggests that the jury system could be improved by allowing note taking; permitting interim discussion of complicated evidence; or providing jurors with “notebooks” to enhance understanding of complicated material. See Reiber & Weinberg, *The Complexity of Complexity: An Empirical Study of Juror Competence in Civil Cases*, 78 U.Cin.L.Rev. 929 (2010); Hans, *Judges, Juries, and Scientific Evidence*, 16 J.L. & Pol’y 19 (2007). Would it be constitutional to limit the juror pool in a complex case to highly educated professionals? See Helm, Hans & Reyna, *Trial by Numbers*, 27 Cornell J.L. & Pub. Pol’y 107 (2017); Fisher, *Going for the Blue Ribbon*, 2 Colum. Sci. & Tech.L.Rev. 1 (2001). Procedural innovations are discussed in Section D, p. 1133, *infra*.

3. Do you see a relation between the complexity exception to the jury trial right and the Supreme Court’s increasing tendency to dispose of cases on motions to dismiss and summary judgment? These developments coincide with a drop in the number of jury trials overall. Consider Professor Miller’s analysis of these trends:

The less confident a court is in a jury’s ability to comprehend, retain, and apply quantities of technical, scientific, and economic information, or to distinguish intertwined legal and factual issues, the more disposed it may be to use the occasion of a summary judgment motion to decide mixed law and fact questions and those it labels “beyond dispute.” Thus the court may tend to believe that its own determination will be more rational than that of a jury. However, jurors should not be assumed incompetent or unable to comprehend issues posed by difficult cases. In fact, the ability to employ court-appointed experts or masters under Rule 53 to assist a jury when issues are complex exhibits the Rules’ presumption of juror competence.

Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Clichés Eroding Our Day in Court and Jury Trial Commitments?*, 78 N.Y.U.L.Rev. 982, 1108–09 (2003).

4. Is there a constitutional right to a non-jury trial on issues that historically were considered equitable and therefore were tried by the chancellor? See Note, *The Right to a Nonjury Trial*, 74 Harv.L.Rev. 1176 (1961). In *Michaelson v. United States ex rel. Chicago, ST. P., M. & O. R. Co.*, 291 Fed. 940, 946 (7th Cir. 1923), the court remarked that “Congress cannot

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constitutionally deprive the parties in an equity court of the right of trial by the chancellor.” The Supreme Court reversed on other grounds, 266 U.S. 42, 45 S.Ct. 18, 69 L.Ed. 162 (1924), and simply acknowledged the importance of the question. See Van Hecke, *Trial by Jury in Equity Cases*, 31 N.C.L.Rev. 157, 173 (1953). What is the significance of the statement in *Beacon Theatres* that “the right to jury trial is a constitutional one * * * while no similar requirement protects trials by the court”?

iii. Newly Established Court-Based Rights to Relief

CURTIS V. LOETHER

Supreme Court of the United States, 1974.
[415 U.S. 189, 94 S.Ct. 1005, 39 L.Ed.2d 260.](#)

Certiorari to the United States Court of Appeals for the Seventh Circuit.

JUSTICE MARSHALL delivered the opinion of the Court.

Section 812 of the Civil Rights Act of 1968, 82 Stat. 88, 42 U.S.C. § 3612, authorizes private plaintiffs to bring civil actions to

redress violations of Title VIII, the fair housing provisions of the Act * * *. The question presented in this case is whether the Civil Rights Act or the Seventh Amendment requires a jury trial upon demand by one of the parties in an action for damages and injunctive relief under this section.

Petitioner, a Negro woman, brought this action under § 812, claiming that respondents, who are white, had refused to rent an apartment to her because of her race * * *. In her complaint she sought only injunctive relief and punitive damages; a claim for compensatory damages was later added. After an evidentiary hearing, the District Court granted preliminary injunctive relief, enjoining the respondents from renting the apartment in question to anyone else pending the trial on the merits. This injunction was dissolved some five months later with the petitioner’s consent, after she had finally obtained other housing, and the case went to trial on the issues of actual and punitive damages.

Respondents made a timely demand for jury trial in their answer. The District Court * * * denied the jury request. * * * After trial on the merits, the District Judge found that respondents had in fact discriminated against petitioner on account of her race. Although he found no actual damages, * * * he awarded \$250 in punitive damages, denying petitioner’s request for attorney’s fees and court costs.

The Court of Appeals reversed on the jury trial issue. * * * In view of the importance of the jury trial issue in the administration and enforcement of Title VIII and the diversity of views in the lower courts on the question, we granted certiorari * * *. We affirm.

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* * * [W]e think it is clear that the Seventh Amendment entitles either party to demand a jury trial in an action for damages in the federal courts under § 812.

* * * Although the thrust of the Amendment was to preserve the right to jury trial as it existed in 1791, it has long been settled that the right extends beyond the common-law forms of action recognized at that time. * * *

Petitioner nevertheless argues that the Amendment is inapplicable to new causes of action created by congressional enactment. As the Court of Appeals observed, however, we have considered the applicability of the constitutional right to jury trial in actions enforcing statutory rights “as a matter too obvious to be doubted.” * * * The Seventh Amendment does apply to actions enforcing statutory rights, and requires a jury trial upon demand, if the statute creates legal rights and remedies, enforceable in an action for damages in the ordinary courts of law.

NLRB v. Jones & Laughlin Steel Corp., 301 U.S. 1, 57 S.Ct. 615, 81 L.Ed. 893 (1937), relied on by petitioner, lends no support to her statutory-rights argument. The Court there upheld the award of back pay without jury trial in an NLRB unfair labor practice proceeding, rejecting a Seventh Amendment claim on the ground that the case involved a “statutory proceeding” and “not a suit at common law or in the nature of such a suit.” Id. at 48[, 57 S.Ct. at 629, 81 L.Ed. at 918]. *Jones & Laughlin* merely stands for the proposition that the Seventh Amendment is generally inapplicable in administrative proceedings, where jury trials would be incompatible with the whole concept of administrative adjudication and would substantially interfere with the NLRB’s role in the statutory scheme. * * * These cases uphold congressional power to entrust enforcement of statutory rights to an administrative process or specialized court of equity free from the strictures of the Seventh Amendment. But when Congress provides for enforcement of statutory rights in an ordinary civil action in the district courts, where there is obviously no functional justification for denying the jury trial right, a jury trial must be available if the action involves rights and remedies of the sort typically enforced in an action at law.

We think it is clear that a damages action under § 812 is an action to enforce “legal rights” within the meaning of our Seventh Amendment decisions. See, e.g., *Ross v. Bernhard* * * * [p. 1063, supra]; *Dairy Queen, Inc. v. Wood* * * * [p. 1061, supra]. A damages action under the statute sounds basically in tort—the statute merely defines a new legal duty, and authorizes the courts to compensate a plaintiff for the injury caused by the defendant’s wrongful breach. As the Court of Appeals noted, this cause of

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action is analogous to a number of tort actions recognized at common law.¹⁰ More important, the relief sought here—actual and punitive damages—is the traditional form of relief offered in the courts of law.

We need not, and do not, go so far as to say that any award of monetary relief must necessarily be “legal” relief. * * * A comparison of Title VIII with Title VII of the Civil Rights Act of 1964, where the courts of appeals have held that jury trial is not required in an action for reinstatement and back pay, is instructive, although we of course express no view on the jury trial issue in that context. In Title VII cases the courts of appeals have characterized back pay as an integral part of an equitable remedy, a form of restitution. But the statutory language on which this characterization is based—

[T]he court may enjoin the respondent from engaging in such unlawful employment practice, and order such affirmative action as may be appropriate, which may include, but is not limited to, reinstatement or hiring of employees, with or without back pay * * *, or any other equitable relief as the court deems appropriate, 42 U.S.C. § 2000e-5(g) (1970 ed., Supp. II)—

contrasts sharply with § 812’s simple authorization of an action for actual and punitive damages. In Title VII cases, also, the courts have relied on the fact that the decision whether to award back pay is committed to the discretion of the trial judge. There is no comparable discretion here: if a plaintiff proves unlawful discrimination and actual damages, he is entitled to judgment for that amount. Nor is there any sense in which the award here can be viewed as requiring the defendant to disgorge funds wrongfully withheld from the plaintiff. Whatever may be the merit of the “equitable” characterization in Title VII cases, there is surely no basis for characterizing the award of

compensatory and punitive damages here as equitable relief.

We are not oblivious to the force of petitioner’s policy arguments. Jury trials may delay to some extent the disposition of Title VIII damages actions. But Title VIII actions seeking only equitable relief will be unaffected, and preliminary injunctive relief remains available without a jury trial even in damages actions, *Dairy Queen, Inc. v. Wood* * * *. Moreover, the statutory requirement of expedition of § 812 actions * * * applies equally to jury and nonjury trials. We recognize, too, the possibility that jury prejudice may deprive a victim of discrimination of the verdict to which he or she is entitled. Of course, the trial judge’s power to direct a verdict, to grant judgment notwithstanding the verdict, or to grant a new

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trial provides substantial protection against this risk, and respondents’ suggestion that jury trials will expose a broader segment of the populace to the example of the federal civil rights laws in operation has some force. More fundamentally, however, these considerations are insufficient to overcome the clear command of the Seventh Amendment. * * * The decision of the Court of Appeals must be affirmed.

Affirmed.

NOTE AND QUESTIONS

TULL v. UNITED STATES, 481 U.S. 412, 107 S.Ct. 1831, 95 L.Ed.2d 365 (1987), further considered how a federal court should decide whether a modern-day statutory action is entitled to a trial by jury. In *Tull* the Government sued in federal court to impose a statutory monetary penalty on defendant for alleged violations of the Clean Water Act. Defendant demanded a jury trial, arguing that the action was akin to an historical action in debt decided by the law courts. The Government countered with arguments that the action was basically one in equity to abate a nuisance. The Supreme Court noted that in making its decision it first must “compare the statutory action to 18th-century actions brought in the courts of England prior to the merger of the courts of law and equity * * * [and then] examine the remedy sought and determine whether it is legal or equitable in nature.” Id. at 417–18, 107 S.Ct. at 1835, 95 L.Ed.2d at 373. However, the Court went on to state “that characterizing the relief sought is ‘[m]ore important’ than finding a precisely analogous common law cause of action in determining whether the Seventh Amendment guarantees a jury trial.” Id. at 421, 107 S.Ct. at 1837, 95 L.Ed.2d at 375 (internal citation omitted). The Court then found that a civil penalty was a remedy enforced by the law courts and thus entitled to a trial by jury. Does the Court’s two-part “test” make sense? If the nature of the remedy is “more important” than the characterization of the action, what is the value of the latter determination? See the concurring opinion of Justice Brennan in *Chauffeurs, Teamsters & Helpers, Local 391 v. Terry*, pp. 1079–1080, *infra*.

iv. Decisions by Non-Article III Tribunals

ATLAS ROOFING CO. v. OCCUPATIONAL SAFETY & HEALTH REVIEW COMMISSION, 430 U.S. 442, 97 S.Ct. 1261, 51 L.Ed.2d 464 (1977). Petitioners were cited for violations of the Occupational Safety and Health Act (OSHA) and fines were imposed on them after hearings before administrative law judges of the Occupational Safety and Health Review Commission (OSHRC). Two Courts of Appeals upheld the Commission’s orders and rejected the petitioners’ claim that the enforcement scheme violated the Seventh Amendment. In an opinion by Justice White, the Supreme Court affirmed:

* * * At least in cases in which “public rights” are being litigated—e.g., cases in which the Government sues in its sovereign capacity

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to enforce public rights created by statutes within the power of Congress to enact—the Seventh Amendment does not prohibit Congress from assigning the factfinding function and initial adjudication to an administrative forum with which the jury would be incompatible.

* * * [Petitioners also argue] that the right to jury trial was never intended to depend on the identity of the forum to which Congress has chosen to submit a dispute; otherwise, it is said, Congress could utterly destroy the right to a jury trial by always providing for administrative rather than judicial resolution of the vast range of cases that now arise in the courts. The argument is well put, but it overstates the holdings of our prior cases and is in any event unpersuasive. Our prior cases support administrative factfinding in only those situations involving “public rights,” e.g., where the Government is involved in its sovereign capacity under an otherwise valid statute creating enforceable public rights. Wholly private tort, contract, and property cases, as well as a vast range of other cases, are not at all implicated.

More to the point, it is apparent from the history of jury trial in civil matters that factfinding, which is the essential function of the jury in civil cases, * * * was never the exclusive province of the jury under either the English or American legal systems at the time of the adoption of the Seventh Amendment; and the question whether a fact would be found by a jury turned to a considerable degree on the nature of the forum in which a litigant found himself. * * * The question whether a particular case was to be tried in a court of equity—without a jury—or a court of law—with a jury—did not depend on whether the suit involved factfinding or on the nature of the facts to be found. * * * Rather, as a general rule, the decision turned on whether courts of law supplied a cause of action and an adequate remedy to the litigant. If it did, then the case would be tried in a court of law before a jury. * * *

* * *

The point is that the Seventh Amendment was never intended to establish the jury as the exclusive mechanism for factfinding in civil cases. * * * We cannot conclude that the Amendment rendered Congress powerless—when it concluded that remedies available in courts of law were inadequate to cope with a problem within Congress’ power to regulate—to create new public rights and remedies by statute and commit their enforcement, if it chose, to a tribunal other than a court of law—such as an administrative agency—in which facts are not found by juries. * * *

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* * * [H]istory and our cases support the proposition that the right to a jury trial turns not solely on the nature of the issue to be resolved but also on the forum in which it is to be resolved. Congress found the common-law and other existing remedies for work injuries resulting from unsafe working conditions to be inadequate to protect the Nation’s working men and women. It created a new cause of action, and remedies therefor, unknown to the common law, and placed their enforcement in a tribunal supplying speedy and expert resolutions of the issues involved. The Seventh Amendment is no bar to the creation of new rights or to their enforcement outside the regular courts of law.

* * *

Id. at 450, 457–61, 97 S.Ct. at 1266, 1270–72, 51 L.Ed.2d at 472, 476–79.

QUESTIONS

Does *Atlas* create an exception only for “public rights” cases? Could the legislature provide that ordinary personal injury actions are to be decided by an administrative tribunal because existing remedies are “inadequate”? Are there any limits on Congress’s power to replace common law claims with statutory claims and to assign adjudication of the latter to administrative tribunals?

GRANFINANCIERA, S.A. v. NORDBERG, 492 U.S. 33, 109 S.Ct. 2782, 106 L.Ed.2d 26 (1989). Nordberg, the bankruptcy trustee for the debtor, Chase & Sanborn Corporation, brought an adversary proceeding under the Bankruptcy Code, 11 U.S.C. §§ 548 & 550, against Granfinanciera to recover funds fraudulently transferred to Granfinanciera by the debtor before bankruptcy. In addition to avoiding (that is, unwinding) the transfers, the trustee’s fraudulent conveyance action sought damages, costs, expenses, and interest. Granfinanciera’s request for a jury trial was denied on the ground that the bankruptcy courts, like administrative agencies, are outside the Seventh Amendment. The Supreme Court disagreed:

The form of our analysis is familiar. “First, we compare the statutory action to 18th-century actions brought in the courts of England prior to the merger of the courts of law and equity. Second, we examine the remedy sought and determine whether it is legal or equitable in nature.” *Tull v. United States* * * *. The second stage of this analysis is more important than the first. * * * If, on balance, these two factors indicate that a party is entitled to a jury trial under the Seventh Amendment, we must decide whether Congress may assign and has assigned resolution of the

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relevant claim to a non-Article III adjudicative body that does not use a jury as factfinder.

Id. at 42, 109 S.Ct. at 2790, 106 L.Ed.2d at 41. Applying this test, the Court determined that the jury trial right attached to an action to recover a fraudulent conveyance, and that the public-rights exception was not implicated in private tort, contract, and property cases:

* * * Congress may devise novel causes of action involving public rights free from the strictures of the Seventh Amendment if it assigns their adjudication to tribunals without statutory authority to employ juries as factfinders. But it lacks the power to strip parties contesting matters of private right of their constitutional right to a trial by jury. * * *

In certain situations, of course, Congress may fashion causes of action that are closely *analogous* to common-law claims and place them beyond the ambit of the Seventh Amendment by assigning their resolution to a forum in which jury trials are unavailable. * * * Congress’ power to do so is limited, however, just as its power to place adjudicative authority in non-Article III tribunals is circumscribed.

* * * If a statutory right is not closely intertwined with a federal regulatory program Congress has power to enact, and if the right neither belongs to nor exists against the Federal Government, then it must be adjudicated by an Article III court. If the right is legal in nature, then it carries with it the Seventh Amendment’s guarantee of a jury trial.

The Court then considered whether the jury trial right attached to an action in the bankruptcy court:

* * * Although the issue admits of some debate, a bankruptcy trustee’s right to recover a fraudulent conveyance under 11 U.S.C. 548(a)(2) seems to us more accurately characterized as a private rather than a public right as we have used those terms in our Article III decisions. * * * There can be little doubt that fraudulent conveyance actions by bankruptcy trustees * * * are quintessentially suits at common law that more nearly resemble state-law contract claims brought by a bankrupt corporation to augment the bankruptcy estate than they do creditors’ hierarchically ordered claims to a pro rata share of the bankruptcy res. They therefore appear matters of private rather than public right. * * *

* * * It may be that providing jury trials in some fraudulent conveyance actions—if not in this particular case, because respondent’s suit was commenced after the bankruptcy court

approved the debtor’s plan of reorganization—would impede swift resolution of bankruptcy proceedings and increase the expense of Chapter 11 reorganizations. But “these considerations are insufficient to overcome the clear command of the Seventh Amendment.” * * *

Id. at 55–63, 109 S.Ct. at 2797–802, 106 L.Ed.2d at 49–54.

NOTES AND QUESTIONS

1. In foot note 4 of the majority opinion in *Granfinanciera*, Justice Brennan commented:

This quite distinct inquiry into whether Congress has permissibly entrusted the resolution of certain disputes to an administrative agency or specialized court of equity, and whether jury trials would impair the functioning of the legislative scheme, appears to be what the Court contemplated when, in *Ross v. Bernhard* * * * it identified “the practical abilities and limitations of juries” as an additional factor to be consulted in determining whether the Seventh Amendment confers a jury trial right. * * *

Does this mean that the complexity of the issues can justify denial of the jury trial right only if the dispute involves a public right and Congress has created an administrative agency for adjudication of the claim?

2. *Granfinanciera* left open whether a bankruptcy judge may preside over a jury trial, and the lower courts divided in their response to this question. In 1994, Congress authorized bankruptcy courts to conduct jury trials in core matters with the express consent of the parties; however, a party that submits a claim against the bankruptcy estate waives the right to a civil jury trial. 28 U.S.C. § 157(e). See 17 Wright, Miller & Amar, *Federal Practice and Procedure* § 4106 (3d ed.).

v. The Modern Effect of Historical Equity Jurisdiction Based on a Party’s Legal Status

CHAUFFEURS, TEAMSTERS AND HELPERS LOCAL 391 v. TERRY

Supreme Court of the United States, 1990.
[494 U.S. 558, 110 S.Ct. 1339, 108 L.Ed.2d 519.](#)

Certiorari to the United States Court of Appeals for the Fourth Circuit.

JUSTICE MARSHALL delivered the opinion of the Court except as to Part III-A.

This case presents the question whether an employee who seeks relief in the form of backpay for a union’s alleged breach of its duty of fair

representation has a right to trial by jury. We hold that the Seventh Amendment entitles such a plaintiff to a jury trial.

I

McLean Trucking Company and the Chauffeurs, Teamsters, and Helpers Local Union No. 391 were parties to a collective-bargaining agreement that governed the terms and conditions of employment at McLean’s terminals. The 27 respondents were employed by McLean as truckdrivers in bargaining units covered by the agreement, and all were members of the Union.

* * * Claiming a violation of their seniority rights, respondents filed a * * * grievance with the Union, but the Union declined to refer the charges to a grievance committee on the ground that the relevant issues had been determined in * * * prior proceedings.

In July 1983, respondents filed an action in District Court, alleging * * * that the Union had violated its duty of fair representation * * * [and] sought, inter alia, compensatory damages for lost wages and health benefits. * * *

Respondents had requested a jury trial in their pleadings. The Union moved to strike the jury demand on the ground that no right to a jury trial exists in a duty of fair representation suit. The District Court denied the motion to strike. After an interlocutory appeal, the Fourth Circuit affirmed the trial court, holding that the Seventh Amendment entitled respondents to a jury trial of their claim for monetary relief. 863 F.2d 334 (1988). We granted the petition for certiorari to resolve a circuit conflict on this issue * * * and now affirm the judgment of the Fourth Circuit.

II

The duty of fair representation is inferred from unions’ exclusive authority under the National Labor Relations Act, 49 Stat. 449, 29 U.S.C. § 159(a) (1982 ed.), to represent all employees in a bargaining unit. * * * The duty requires a union “to serve the interests of all members without hostility or discrimination toward any, to exercise its discretion with complete good faith and honesty, and to avoid arbitrary conduct.” * * *

III

* * *

To determine whether a particular action will resolve legal rights, we examine both the nature of the issues involved and the remedy sought. “First, we compare the statutory action to 18th-century actions brought in the courts of England prior to the merger of the courts of law and equity. Second, we examine the remedy sought and determine whether it is legal or equitable in nature.” *Tull* * * * [p. 1070]. The second inquiry is the more important in our analysis. * * *

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A

An action for breach of a union’s duty of fair representation was unknown in 18th-century England; in fact, collective bargaining was unlawful. * * * We must therefore look for an analogous cause of action that existed in the 18th century to determine whether the nature of this duty of fair representation suit is legal or equitable.

The Union contends that this duty of fair representation action resembles a suit brought to vacate an arbitration award because respondents seek to set aside the result of the grievance process. In the 18th century, an action to set aside an arbitration award was considered equitable. * * *

The arbitration analogy is inapposite, however, to the Seventh Amendment question posed in this case. No grievance committee has considered respondents’ claim that the Union violated its duty of fair representation; the grievance process was concerned only with the employer’s alleged breach of the collective-bargaining agreement. Thus, respondents’ claim against the Union cannot be characterized as an action to vacate an arbitration award * * *.

The Union next argues that respondents’ duty of fair representation action is comparable to an action by a trust beneficiary against a trustee for breach of fiduciary duty. Such actions were within the exclusive jurisdiction of courts of equity. * * * This analogy is far more persuasive than the arbitration analogy. Just as a trustee must act in the best interests of the beneficiaries, * * * a union, as the exclusive representative of the workers, must exercise its power to act on behalf of the employees in good faith * * *. Moreover, just as a beneficiary does not directly control the actions of a trustee, * * * an individual employee lacks direct control over a union’s actions taken on his behalf * * *.

The trust analogy extends to a union’s handling of grievances. In most cases, a trustee has the exclusive authority to sue third parties who injure the beneficiaries’ interest in the trust, * * * including any legal claim the trustee holds in trust for the beneficiaries, * * *. The trustee then has the sole responsibility for determining whether to settle, arbitrate, or otherwise dispose of the claim. * * * Similarly, the union typically has broad discretion in its decision whether and how to pursue an employee’s grievance against an employer. * * * Just as a trust beneficiary can sue to enforce a contract entered into on his behalf by the trustee only if the trustee “improperly refuses or neglects to bring an action against the third person,” * * * so an employee can sue his employer for a breach of the collective-bargaining agreement only if he shows that the union breached its duty of fair representation in its handling of the grievance * * *.

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Respondents contend that their duty of fair representation suit is less like a trust action than an attorney malpractice action, which was historically an action at law * * *.

The attorney malpractice analogy is inadequate in several respects. Although an attorney malpractice suit is in some ways similar to a suit alleging a union’s breach of its fiduciary duty, the two actions are fundamentally different. The nature of an action is in large part controlled by the nature of the underlying relationship between the parties. Unlike employees represented by a union, a client controls the significant decisions concerning his representation. Moreover, a client can fire his attorney if he is dissatisfied with his attorney’s performance. This option is not available to an individual employee who is unhappy with a union’s representation, unless a majority of the members of the bargaining unit share his dissatisfaction. * * * Thus, we find the malpractice analogy less convincing than the trust analogy.

Nevertheless, the trust analogy does not persuade us to characterize respondents’ claim as wholly equitable. The Union’s argument mischaracterizes the nature of our comparison of the action before us to 18th-century forms of action. As we observed in *Ross v. Bernhard* * * * [p. 1063, *supra*], “The Seventh Amendment question depends on the nature of the *issue* to be tried rather than the character of the overall action.” * * * [T]o recover from the Union here, respondents must prove both that McLean violated § 301 by breaching the collective-bargaining agreement and that the Union breached its duty of fair representation. When viewed in isolation, the duty of fair representation issue is analogous to a claim against a trustee for breach of fiduciary duty. The § 301 issue, however, is comparable to a breach of contract claim—a legal issue.

Respondents’ action against the Union thus encompasses both equitable and legal issues. The first part of our Seventh Amendment inquiry, then, leaves us in equipoise as to whether respondents are entitled to a jury trial.

B

Our determination under the first part of the Seventh Amendment analysis is only preliminary. * * * In this case, the only remedy sought is a request for compensatory damages representing backpay and benefits. Generally, an action for money damages was “the traditional form of relief offered in the courts of law.” *Curtis v. Loether* * * * [p. 1067, *supra*]. This Court has not, however, held that “any award of monetary relief must *necessarily* be ‘legal’ relief.” *Ibid.* (emphasis added). * * * [B]ecause we conclude that the remedy

respondents seek has none of the attributes that must be present before we will find an exception to the general rule and characterize damages as equitable, we find that the remedy sought by respondents is legal.

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First, we have characterized damages as equitable where they are restitutionary, such as in “action[s] for disgorgement of improper profits,” *Tull* * * *. * * * The backpay sought by respondents is not money wrongfully held by the Union, but wages and benefits they would have received from McLean had the Union processed the employees’ grievances properly. Such relief is not restitutionary.

Second, a monetary award “incidental to or intertwined with injunctive relief” may be equitable. *Tull* * * *. * * * Because respondents seek only money damages, this characteristic is clearly absent from the case.⁸

The Union argues that the backpay relief sought here must nonetheless be considered equitable because this Court has labeled backpay awarded under Title VII, 42 U.S.C. § 2000e *et seq.* (1982 ed.), as equitable. * * *

The Court has never held that a plaintiff seeking backpay under Title VII has a right to a jury trial. See *Lorillard v. Pons*, 434 U.S. 575, 581–582[, 98 S.Ct. 866, 870–871, 55 L.Ed.2d 40] (1978). Assuming, without deciding, that such a Title VII plaintiff has no right to a jury trial, the Union’s argument does not persuade us that respondents are not entitled to a jury trial here. Congress specifically characterized backpay under Title VII as a form of “equitable relief.” * * * Congress made no similar pronouncement regarding the duty of fair representation. Furthermore, the Court has noted that backpay sought from an employer under Title VII would generally be restitutionary in nature, see *Curtis v. Loether* * * *, in contrast to the damages sought here from the union. Thus, the remedy sought in this duty of fair representation case is clearly different from backpay sought for violations of Title VII.

* * *

We hold, then, that the remedy of backpay sought in this duty of fair representation action is legal in nature. Considering both parts of the Seventh Amendment inquiry, we find that respondents are entitled to a jury trial on all issues presented in their suit.

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* * *

It is so ordered.

JUSTICE BRENNAN, concurring in part and concurring in the judgment.

I agree with the Court that respondents seek a remedy that is legal in nature and that the Seventh Amendment entitles respondents to a jury trial on their duty of fair representation claims. * * * I do not join that part of the opinion which reprises the particular historical analysis this Court has employed to determine whether a claim is a “Suit at common law” under the Seventh Amendment, * * * because I believe the historical test can and should be simplified.

The current test * * * requires a court to compare the right at issue to 18th-century English forms of action to determine whether the historically analogous right was vindicated in an action at law or in equity, and to examine whether the remedy sought is legal or equitable in nature. However, this Court, in expounding the test, has repeatedly discounted the significance of the analogous form of action for deciding where the Seventh Amendment applies. I think it is time we dispense with it altogether. I would decide Seventh Amendment questions on the basis of the relief sought. If the relief is legal in nature, *i.e.*, if it is the kind of relief that historically was available from courts of law, I would hold that the parties have a constitutional right to a trial by jury—unless Congress has permissibly delegated the particular dispute to a non-Article III decisionmaker and jury trials would frustrate Congress’ purposes in enacting a particular statutory scheme.

* * *

We have long acknowledged that, of the factors relevant to the jury trial right, comparison of the claim to ancient forms of action, “requiring extensive and possibly abstruse historical inquiry, is obviously the most difficult to apply.” *Ross v. Bernhard* * * *. Requiring judges, with neither the training nor time necessary for reputable historical scholarship, to root through the tangle of primary and secondary sources to determine which of a hundred or so writs is analogous to the right at issue has embroiled courts in recondite controversies better left to legal historians. * * *

To rest the historical test required by the Seventh Amendment solely on the nature of the relief sought would not, of course, offer the federal courts a rule that is in all cases self-executing. Courts will still be required to ask which remedies were traditionally available at law and which only in equity. But this inquiry involves fewer variables and simpler choices, on the whole, and is far more manageable than the scholasticist debates in which we have been engaged. Moreover, the rule I propose would remain true to the Seventh Amendment, as it is undisputed that, historically,

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“[j]urisdictional lines [between law and equity] were primarily a matter of remedy.” McCoid, *Procedural Reform and the Right to Jury Trial: A Study of Beacon Theaters, Inc. v. Westover*, 116 U.Pa.L.Rev. 1 (1967). * * *

This is not to say that the resulting division between claims entitled to jury trials and claims not so entitled would exactly mirror the

division between law and equity in England in 1791. But it is too late in the day for this Court to profess that the Seventh Amendment preserves the right to jury trial only in cases that would have been heard in the British law courts of the 18th century. See, e.g., * * * *Ross v. Bernhard* * * *.

JUSTICE STEVENS, concurring in part and concurring in the judgment.

Because I believe the Court has made this case unnecessarily difficult by exaggerating the importance of finding a precise common-law analogue to the duty of fair representation, I do not join Part III-A of its opinion. * * *

* * * Duty of fair representation suits are for the most part ordinary civil actions involving the stuff of contract and malpractice disputes. There is accordingly no ground for excluding these actions from the jury right.

In my view, the evolution of this doctrine through suits tried to juries, the useful analogy to common-law malpractice cases, and the well-recognized duty to scrutinize any proposed curtailment of the right to a jury trial “with the utmost care,” * * * provide a plainly sufficient basis for the Court’s holding today. * * *

JUSTICE KENNEDY, with whom JUSTICE O’CONNOR and JUSTICE SCALIA join, dissenting.

* * *

I disagree with the analytic innovation of the Court that identification of the trust action as a model for modern duty of fair representation actions is insufficient to decide the case. The Seventh Amendment requires us to determine whether the duty of fair representation action “is more similar to cases that were tried in courts of law than to suits tried in courts of equity.” *Tull v. United States*. Having made this decision in favor of an equitable action, our inquiry should end. Because the Court disagrees with this proposition, I dissent.

* * *

II

The Court relies on two lines of precedents to overcome the conclusion that the trust action should serve as the controlling model. The first consists of cases in which the Court has considered simplifications in litigation resulting from modern procedural reforms in the federal courts. Justice Marshall asserts that these cases show that the Court must look at the character of individual issues rather than claims as a whole. * * * The

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second line addresses the significance of the remedy in determining the equitable or legal nature of an action for the purpose of choosing the most appropriate analogy. Under these cases, the Court decides that the respondents have a right to a jury because they seek money damages. * * * These authorities do not support the Court’s holding.

A

In * * * [*Beacon Theatres, Dairy Queen, and Ross*] we have found a right to trial by jury where there are legal claims that, for procedural reasons, a plaintiff could have or must have raised in the courts of equity before the systems merged. * * *

These three cases responded to the difficulties created by a merged court system. * * * They stand for the proposition that, because distinct courts of equity no longer exist, the possibility or necessity of using former equitable procedures to press a legal claim no longer will determine the right to a jury. Justice Marshall reads these cases to require a jury trial whenever a cause of action contains legal issues and would require a jury trial in this case because the respondents must prove a breach of the collective-bargaining agreement as one element of their claim. * * *

I disagree. The respondents, as shown above, are asserting an equitable claim. Having reached this conclusion, the *Beacon, Dairy Queen, and Ross* cases are inapplicable. Although we have divided self-standing legal claims from equitable declaratory, accounting, and derivative procedures, we have never parsed legal elements out of equitable claims absent specific procedural justifications. Actions which, beyond all question, are equitable in nature may involve some predicate inquiry that would be submitted to a jury in other contexts. For example, just as the plaintiff in a duty of fair representation action against his union must show breach of the collective-bargaining agreement as an initial matter, in an action against a trustee for failing to pursue a claim the beneficiary must show that the claim had some merit. * * * But the question of the claim’s validity, even if the claim raises contract issues, would not bring the jury right into play in a suit against a trustee.

* * *

B

The Court also rules that, despite the appropriateness of the trust analogy as a whole, the respondents have a right to a jury trial because they seek money damages. * * * The nature of the remedy remains a factor of considerable importance in determining whether a statutory action had a legal or equitable analog in 1791, but we have not adopted a rule that a statutory action permitting damages is by definition more analogous to a legal action than to any equitable suit. In each case, we look to the remedy

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to determine whether, taken with other factors, it places an action within the definition of “suits at common law.”

In *Curtis* * * *, for example, we ruled that the availability of actual and punitive damages made a statutory antidiscrimination action resemble a legal tort action more than any equitable action. We made explicit that we did not “go so far as to say that any award of monetary relief must necessarily be ‘legal’ relief.” * * * Although monetary damages might cause some statutory actions to resemble tort suits, the presence of monetary damages in this duty of fair representation action does not make it more analogous to a legal action than to an equitable action. Indeed, as shown above, the injunctive and monetary remedies available make the duty of fair representation suit less analogous to a malpractice action than to a suit against a trustee.

* * *

III

The Court must adhere to the historical test in determining the right to a jury because the language of the Constitution requires it. The Seventh Amendment “preserves” the right to jury trial in civil cases. We cannot preserve a right existing in 1791 unless we look to history to identify it. * * *

I would hesitate to abandon or curtail the historical test out of concern for the competence of the Court to understand legal history. We do look to history for the answers to constitutional questions. * * * Although opinions will differ on what this history shows, the approach has no less validity in the Seventh Amendment context than elsewhere.

* * *

NOTES AND QUESTIONS

1. In footnote 8 of his opinion in *Terry*, does Justice Marshall provide an adequate explanation for continuing to employ a two-prong test that values the second prong more than the first? Or does the historical analysis “needlessly convolute our Seventh Amendment jurisprudence,” as Justice Brennan argues? Justices Marshall and Stevens and the dissenters all disagree on the appropriate historical model for a “duty of fair representation” action. Is this disagreement in favor of severing the historical analysis from the Seventh Amendment test, or favor keeping the analysis as it is?

2. In *CITY OF MONTEREY v. DEL MONTE DUNES*, 526 U.S. 687, 119 S.Ct. 1624, 143 L.Ed.2d 882 (1999), a property owner sued for damages under 42 U.S.C. § 1983 to challenge, as an unconstitutional regulatory taking of property without just compensation, the city’s land-use decisions blocking development of a residential complex on the property. The Court rendered three opinions, holding by a five-to-four majority that a jury trial was proper.

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The four dissenting Justices argued that the case was at heart a condemnation action, and prior decisions of the Court had established that there is no right to trial by jury in those eminent domain proceedings. In a plurality opinion, four Justices disagreed, noting that a condemnation action historically is one brought by the government conceding liability for compensation owed to the owner of the property, thereby leaving “a mere determination of the amount of compensation due.” *Id.* at 712, 119 S.Ct. at 1639, 143 L.Ed. at 906. However, in *Del Monte Dunes*, the property owner initiated the suit. The plurality concluded that such a case is akin historically to a tort action for damages, and thus carries the right to a jury trial under the Seventh Amendment. Justice Scalia concurred in part and concurred in the judgment on the ground that Section 1983 itself, when an action is brought to recover damages, provides for a jury trial, regardless of the nature of the underlying cause.

d. The Right to Jury Trial in the State Courts

In some states there is a right to a jury trial in equity cases, which eliminates the problem presented by *Beacon Theatres* and *Dairy Queen*. In most states that have merged law and equity, however, issues similar to those in the federal courts have arisen since the adoption of the codes.

The Commissioners who prepared the original New York Code of Procedure (1848) were aware of the problem presented by abolishing the distinction between law and equity at a time when that state’s constitution continued to guarantee “trial by jury in all cases in which it has been heretofore used.” This language appeared in the New York Constitutions of 1777, 1821, 1846, and 1894. Because it was interpreted to mean that each successive constitution guaranteed jury trial in any case to which it had been extended by the legislature since the adoption of the preceding constitution, it was changed in the constitution of 1938 to guarantee jury trial only “in all cases in which it has heretofore been guaranteed by constitutional provision.” N.Y. Const. Art. I, § 2. The Commissioners also attempted to solve the characterization problem by specific provisions, N.Y. Code of Proc. §§ 208–09 (1848):

§ 208. Whenever, in an action for the recovery of money only, or of specific real or personal property, there shall be an issue of fact, it must be tried by a jury, unless a jury trial be waived * * *.

§ 209. Every other issue is triable by the court, which, however, may order the whole issue, or any specific question of fact involved therein, to be tried by a jury * * *.

These provisions were copied in a great many states. Nevertheless, “in most jurisdictions * * * the courts, while occasionally giving the statute some weight, * * * regarded it generally as merely restating the law-equity dichotomy, and have proceeded to make their determination on historical grounds.” Note, *The Right to Jury Trial Under Merged Procedures*, 65 Harv.L.Rev. 453, 454 (1952). When there have been “legal” and “equitable”

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issues in the same case, the tendency has been to find one or the other the “predominant” concern and try the case accordingly. Perhaps most frequently the decision has been to find the case “predominantly” equitable, with jury trial denied on the “legal” issues on the grounds that they are “incidental,” or that a jury trial is waived by joining a legal claim in an equitable action. *Id.* at 454–55. For a classic example, see *Hiatt v. Yergin*, 152 Ind.App. 497, 284 N.E.2d 834 (1972).

3.THE PROVINCE OF JUDGE AND JURY

The modern law-fact distinction assigns factfinding to the jury, but there is substantial evidence that until the nineteenth century the jury in some jurisdictions also determined questions of law. See Harrington, *The Law-Finding Function of the American Jury*, 1999 Wis.L.Rev. 377; Note, *The Changing Role of the Jury in the Nineteenth Century*, 74 Yale L.J. 170 (1964); Scott, *Trial by Jury and the Reform of Civil Procedure*, 31 Harv.L.Rev. 669, 675–78 (1918).

WEINER, THE CIVIL JURY AND THE LAW-FACT DISTINCTION, 54 Calif.L.Rev. 1867, 1867–68 (1966):

The categories of “questions of law” and “questions of fact” have been the traditional touchstones by which courts have purported to allocate decision-making between judge and jury. * * * Many statutes in effect today echo * * * [the] dichotomy, utilizing the law and fact terminology to identify the respective provinces of the judge and the jurors in a civil case. None of these statutes, however, attempts to define what is meant by a question of law or a question of fact. Nor have the courts shown any inclination to fashion definitions which can serve as useful guidelines. Indeed, when faced with a dispute as to whether a specific issue should be resolved by the judge or the jury, the typical appellate opinion today does no more than label the question as one of law or of fact, perhaps citing some authorities which are equally devoid of any more detailed consideration of the point. * * * A question of law or a question of fact is a mere synonym for a judge question or a jury question.

MARKMAN V. WESTVIEW INSTRUMENTS, INC.

Supreme Court of the United States, 1996.
[517 U.S. 370, 116 S.Ct. 1384, 134 L.Ed.2d 577.](#)

Certiorari to the United States Court of Appeals for the Federal Circuit.

JUSTICE SOUTER delivered the opinion of the Court.

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The question here is whether the interpretation of a so-called patent claim, the portion of the patent document that defines the scope of the patentee’s rights, is a matter of law reserved entirely for the court, or subject to a Seventh Amendment guarantee that a jury will determine the meaning of any disputed term of art about which expert testimony is offered. We hold that the construction of a patent, including terms of art within its claim, is exclusively within the province of the court.

[The dispute involved competing claims to a patent used to monitor clothing in a dry-cleaning establishment. Both systems used a keyboard and data processor and generated records including bar codes. Westview argued that Markman’s patent was not infringed because Westview’s patent merely recorded an inventory of receivables by tracking invoices, rather than an inventory of articles of clothing.]

* * * Part of the dispute hinges upon the meaning of the word “inventory,” a term found in Markman’s independent claim 1, which states that Markman’s product can “maintain an inventory total” and “detect and localize spurious additions to inventory.” The case was tried before a jury, which heard, among others, a witness produced by Markman who testified about the meaning of the claim language.

After the jury compared the patent to Westview’s device, it found an infringement of Markman’s claim 1 * * *. The District Court nevertheless granted Westview’s deferred motion for judgment as a matter of law, one of its reasons being that the term “inventory” in Markman’s patent encompasses “both cash inventory and the actual physical inventory of articles of clothing.” * * * Under the trial court’s construction of the patent, the production, sale, or use of a tracking system for dry cleaners would not infringe Markman’s patent unless the product was capable of tracking articles of clothing throughout the cleaning process and generating reports about their status and location. Since Westview’s system cannot do these things, the District Court directed a verdict * * *.

Markman appealed, arguing it was error for the District Court to substitute its construction of the disputed claim term “inventory” for the construction the jury had presumably given it. The United States Court of Appeals for the Federal Circuit affirmed, holding the interpretation of claim terms to be the exclusive province of the court and the Seventh Amendment to be consistent with that conclusion. * * * Markman sought our review on each point, and we granted certiorari. * * *

* * *

III

Since evidence of common law practice at the time of the Framing does not entail application of the Seventh Amendment’s jury guarantee to the construction of the claim document, we must look elsewhere to characterize

this determination of meaning in order to allocate it as between court or jury. We accordingly consult existing precedent and consider both the relative interpretive skills of judges and juries and the statutory policies that ought to be furthered by the allocation.

A.

* * * [The Court examined the few cases that were alleged to be relevant and found them to be inconclusive. The Court indicated that, if anything, they supported the view that a jury determination of the issue was not required.]

B.

Where history and precedent provide no clear answers, functional considerations also play their part in the choice between judge and jury to define terms of art. We said in *Miller v. Fenton*, 474 U.S. 104, 114[, 106 S.Ct. 445, 451, 88 L.Ed.2d 405, 413] (1985), that when an issue “falls somewhere between a pristine legal standard and a simple historical fact, the fact/law distinction at times has turned on a determination that, as a matter of sound administration of justice, one judicial actor is better positioned than another to decide the issue in question.” So it turns out here, for judges, not juries, are the better suited to find the acquired meaning of patent terms.

The construction of written instruments is one of those things that judges often do and are likely to do better than jurors unburdened by training in exegesis. Patent construction in particular “is a special occupation, requiring, like all others, special training and practice. The judge, from his training and discipline, is more likely to give a proper interpretation to such instruments than a jury, and he is, therefore, more likely to be right, in performing such a duty, than a jury can be expected to be.” *Parker v. Hulme*, 18 F. Cas., at 1140. Such was the understanding nearly a century and a half ago, and there is no reason to weigh the respective strengths of judge and jury differently in relation to the modern claim; quite the contrary, for “the claims of patents have become highly technical in many respects as the result of special doctrines relating to the proper form and scope of claims that have been developed in the courts and the Patent Office.” Woodward, *Definiteness and Particularity in Patent Claims*, 46 Mich.L.Rev. 755, 765 (1948).

Markman would trump these considerations with his argument that a jury should decide a question of meaning peculiar to a trade or profession simply because the question is a subject of testimony requiring credibility determinations, which are the jury’s forte. It is, of course, true that credibility judgments have to be made about the experts who testify in patent cases, and in theory there could be a case in which a simple credibility judgment would suffice to choose between experts whose testimony was equally consistent with a patent’s internal logic. But our

own experience with document construction leaves us doubtful that trial courts will run into many cases like that. In the main, we expect, any credibility determinations will be subsumed within the necessarily sophisticated analysis of the whole document, required by the standard construction rule that a term can be defined only in a way that comports with the instrument as a whole. * * * Thus, in these cases a jury’s capabilities to evaluate demeanor, * * * to sense the “mainsprings of human conduct,” * * * or to reflect community standards, * * * are much less significant than a trained ability to evaluate the testimony in relation to the overall structure of the patent. The decisionmaker vested with the task of construing the patent is in the better position to ascertain whether an expert’s proposed definition fully comports with the specification and claims and so will preserve the patent’s internal coherence. We accordingly think there is sufficient reason to treat construction of terms of art like many other responsibilities that we cede to a judge in the normal course of trial, notwithstanding its evidentiary underpinnings.

C.

Finally, we see the importance of uniformity in the treatment of a given patent as an independent reason to allocate all issues of construction to the court. As we noted in *General Elec. Co. v. Wabash Appliance Corp.*, 304 U.S. 364, 369[, 58 S.Ct. 899, 902, 82 L.Ed. 1402, 1405] (1938), “[t]he limits of a patent must be known for the protection of the patentee, the encouragement of the inventive genius of others and the assurance that the subject of the patent will be dedicated ultimately to the public.” Otherwise, a “zone of uncertainty which enterprise and experimentation may enter only at the risk of infringement claims would discourage invention only a little less than unequivocal foreclosure of the field,” *United Carbon Co. v. Binney & Smith Co.*, 317 U.S. 228, 236[, 63 S.Ct. 165, 170, 87 L.Ed. 232, 237] (1942), and “[t]he public [would] be deprived of rights supposed to belong to it, without being clearly told what it is that limits these rights.” *Merrill v. Yeomans*, 94 U.S. 568, 573[, 24 L.Ed. 235, 237] (1877). * * *

Uniformity would, however, be ill served by submitting issues of document construction to juries. Making them jury issues would not, to be sure, necessarily leave evidentiary questions of meaning wide open in every new court in which a patent might be litigated, for principles of issue preclusion would ordinarily foster uniformity. * * * But whereas issue preclusion could not be asserted against new and independent infringement defendants even within a given jurisdiction, treating interpretive issues as purely legal will promote (though it will not guarantee) intrajurisdictional certainty through the application of stare decisis on those questions not yet subject to interjurisdictional uniformity under the authority of the single appeals court.

* * *

Accordingly, we hold that the interpretation of the word “inventory” in this case is an issue for the judge, not the jury, and affirm

the decision of the Court of Appeals for the Federal Circuit.

It is so ordered.

NOTES AND QUESTIONS

1. The classic discussion of whether the jury or judge decides if injurious conduct is negligent appears in Holmes, *The Common Law* 123–26 (1881). See also Gergen, *The Jury’s Role in Deciding Normative Issues in the American Common Law*, 68 *Fordham L.Rev.* 407 (1999). How does *Markman* affect the assignment of decision-making in the following situations:

- (a) In a suit for breach of an oral agreement to clear timber from defendant’s lands, sell it, and pay a set amount of money to defendant, should the judge or jury determine whether the oral agreement was enforceable under the state Statute of Frauds? If the contract was interpreted as one for services, it would be enforceable; if it was found to be a contract for the sale of timber, recovery would be barred. See *Dobson v. Masonite Corp.*, 359 F.2d 921 (5th Cir. 1966) (assigned to jury on a special interrogatory).
- (b) In a suit for breach of contract, should the judge or jury determine whether a series of letters that appeared to be contradictory constituted a contract? See *Rankin v. Fidelity Insurance Trust & Safe Deposit Co.*, 189 U.S. 242, 23 S.Ct. 553, 47 L.Ed. 792 (1903) (assigned to jury, subject to court’s instructions).
- (c) In a suit for breach of contract, should the judge or jury determine whether a letter was written in unambiguous terms? See *Holtman v. Butterfiled*, 51 Cal.App. 89, 196 P. 85 (1st Dist. 1921) (court).

2. When an issue is classified as one of “law,” the rule binds litigants in subsequent cases. When is the need for a precise legal standard sufficient to justify withdrawing the matter from the jury? Consider the question whether a posting on the Internet is obscene. Should the decision to give the question of obscenity to the judge or jury depend on the need for legal certainty, or should consideration also be given to the desirability of informing the judgment with community values as reflected by several juries in different locales passing on the question? Compare Solomon, *The Political Puzzle of the Civil Jury*, 61 *Emory L.J.* 1331 (2012), with Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Clichés Eroding Our Day in Court and Jury Trial Commitments?*, 78 *N.Y.U.L.Rev.* 982, 1094–1126 (2003).

3. Preliminary questions such as those involving personal or subject-matter jurisdiction or venue often require resolution of factual disputes. In the

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ordinary course, these determinations are considered “legal” and thus not subject to jury trial. But what happens when the factual question on such a preliminary matter also is an issue regarding the right to relief? When a nonresident defendant is sued in a state based on an allegation that he negligently caused plaintiff an injury in that state, defendant’s claim that plaintiff has sued the wrong defendant and that defendant never has been in the forum state goes both to the question of personal jurisdiction and to substantive liability. Is the topic of jurisdiction one in which “any credibility determinations will be subsumed within the necessarily sophisticated analysis of the whole [matter],” as with the patent claim in *Markman*? Or should the matter proceed to a jury when resolution of the jurisdictional question implicates the merits of the suit? See Clermont, *Jurisdictional Fact*, 91 *Cornell L.Rev.* 973 (2006).

4. In *MERCK SHARP & DOHME CORP. v. ALBRECHT*, 587 U.S. ___, 139 S.Ct. 1668, 203 L.Ed.2d 822 (2019), the Court considered whether a judge or jury should decide if a failure-to-warn drug labeling claim under state law was preempted by the Federal Food, Drug, and Cosmetic Act. In a prior case, *Wyeth v. Levine*, 555 U.S. 555, 129 S.Ct. 1187, 173 L.Ed.2d 51 (2009), the Court had held that for preemption to apply there must be “clear evidence” that the Federal Food and Drug Administration (which administers the statute) would not have approved a change in a label required by state law. The trial judge in *Merck* held that it was for the judge; the court of appeals reversed, holding it was a question for the jury. The Supreme Court agreed that the question was for the judge, although the Court noted its complexity, falling somewhere between a clear legal standard and a simple historical fact. Drawing on *Markman*, the Court analyzed the situation as follows:

The complexity of the * * * law [pertaining to when federal law preempts state law] helps to illustrate why we answer this question by concluding that the question is a legal one for the judge, not a jury. The question often involves the use of legal skills to determine whether agency disapproval fits facts that are not in dispute. Moreover, judges, rather than lay juries, are better equipped to evaluate the nature and scope of an agency’s determination. Judges are experienced in “[t]he construction of written instruments,” such as those normally produced by a federal agency to memorialize its considered judgments. *Markman v. Westview Instruments, Inc.*, [p. 1084, *supra*]. And judges are better suited than are juries to understand and to interpret agency decisions in light of the governing statutory and regulatory context. * * * To understand the question as a legal question for judges makes sense given the fact that judges are normally familiar with principles of administrative law. Doing so should produce greater uniformity among courts; and greater uniformity is normally a virtue when a question requires a determination concerning the scope and effect of federal agency action. * * *

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We understand that sometimes contested brute facts will prove relevant to a court’s legal determination about the meaning and effect of an agency decision. For example, if the FDA rejected a drug manufacturer’s supplemental application to change a drug label on the ground that the information supporting the application was insufficient to warrant a labeling change, the meaning and scope of that decision might depend on what information the FDA had before it. Yet in litigation between a drug consumer and a drug manufacturer (which will ordinarily lack an official administrative record for an FDA decision), the litigants may dispute whether the drug manufacturer submitted all material information to the FDA.

But we consider these factual questions to be subsumed within an already tightly circumscribed legal analysis. And we do not believe that they warrant submission alone or together with the larger pre-emption question to a jury. Rather, in those contexts where we have determined that the question is “for the judge and not the jury,” we have also held that “courts may have to resolve subsidiary factual disputes” that are part and parcel of the broader legal question. *Teva Pharmaceuticals USA, Inc. v. Sandoz, Inc.*, 574 U. S. 318, 327, 135 S.Ct. 831, 838, 190 L.Ed.2d 719, 730 (2015). And, as in contexts as diverse as the proper construction of patent claims and the voluntariness of criminal confessions, they create a question that “ ‘falls somewhere between a pristine legal standard and a simple historical fact.’ ” *Markman*, 517 U. S. at 388, 116 S.Ct. 1384 (quoting *Miller v. Fenton*, 474 U. S. 104, 114, 106 S.Ct. 445, 88 L.Ed.2d 405 (1985)). In those circumstances, “ ‘the fact/law distinction at times has turned on a determination that, as a matter of the sound administration of justice, one judicial actor is better positioned than another to decide the issue in question.’ ” *Markman*, 517 U. S. at 388, 116 S.Ct. 1384 (quoting *Miller*, 474 U. S. at 114, 106 S.Ct. 445). In this context, that “better positioned” decisionmaker is the judge.

587 U.S. at ___, 139 S.Ct. at 1680, 203 L.Ed.2d 822, 837–38 (2019).

5.How should decisionmaking be divided between judge and jury when an issue is a mixed question of law and fact—that is, when there is underlying factfinding that informs the application of a legal standard? In *GOOGLE v. ORACLE*, 593 U.S. ___, 141 S.Ct. 1183, 209 L.Ed.2d 311 (2021), the Supreme Court held that the Seventh Amendment jury trial right is not violated when a judge decides whether a defendant in a copyright dispute has established “fair use,” a defense to copyright infringement. The Court treated the defense as an equitable one; although informed by the jury’s factfinding, the ultimate fair use determination could be resolved by the judge.

4.TACTICAL CONSIDERATIONS IN DECIDING BETWEEN TRIAL BY JUDGE OR BY JURY

The right to trial by jury may be waived. Even when an attorney feels that a client’s chances of winning on the merits are the same whether the case is tried by judge or by jury, there may be a decided tactical advantage in choosing one form of trial over another. In making the choice between judge and jury, a lawyer will consider the nature of the case, the characteristics of the parties and the witnesses, the passions that may surround the trial, the type of jurors who are likely to be chosen, and the background and predilections of the trial judge, if the judge’s identity is known in advance, which often is not the case. See Clermont & Eisenberg, *Trial by Jury or Judge: Transcending Empiricism*, 77 Cornell L.Rev. 1124 (1992); Gross, *Settling for a Judge: A Comment on Clermont & Eisenberg*, 77 Cornell L.Rev. 1178 (1992).

One institutional factor is whether waiting periods are longer for a jury trial than before a judge. It often was assumed that application of *Beacon Theatres*, p. 1054, supra, would delay case disposition because of crowded jury dockets in many parts of the country. See Posner, *Economic Analysis of Law* §§ 21.14 & 21.15 (9th ed. 2014). Empirical studies of sizable tort and contract cases are mixed on this point. Studies of federal jury trials have shown that the “wait in the jury queue” is shorter than in a bench trial. However, studies of state jury trials have shown the opposite—that some state systems impose “waiting costs” on litigants wanting a jury trial in a civil case. Other factors concern the perceived competence of the jury, and whether the jury or judge will be more favorable to categories of parties; research suggests that “certain groups of plaintiffs do far better before judges, but the reason likely lies in prevailing misperceptions about juries, rather than in differences between judges and juries:

Lawyers entertain longstanding perceptions of the jury as biased and incompetent, relative to the judge. There is, however, no actual evidence that juries are relatively biased or incompetent. Those perceptions nevertheless could have the consequence of a selection of cases reaching jury trial that differs from the case selection reaching judge trial. In particular, the theorizing ran that in certain categories of cases such as product liability and medical malpractice, lawyers view the jury as relatively favorable to plaintiffs. They then settle cases in a way that leaves for trial by jury or judge a residue of what they consider close cases, with juries accordingly seeing, on average, weaker cases. The perceptions then turn out to be misperceptions, as jury and judge turn out to perform similarly. Thus, the jury produces fewer winners than expected, while the judge produces more winners.

Clermont, *Litigation Realities Redux*, 84 Notre Dame L.Rev. 1919, 1963 (2009). See also Hersch & Viscusi, *Punitive Damages: How Judges and Juries Perform*, 33 J.Legal Stud. 1 (2004); Hans & Albertson, *Empirical Research and Civil Jury Reform*, 78 Notre Dame L.Rev. 1497 (2003).

5.DEMAND AND WAIVER OF TRIAL BY JURY

Read Federal Rules of Civil Procedure 38 and 39 and the accompanying materials in the Supplement.

In *BERESLAVSKY v. CAFFEY*, 161 F.2d 499 (2d Cir. 1947), cert. denied, 332 U.S. 770, 68 S.Ct. 82, 92 L.Ed. 355 (1947), plaintiff sought an injunction against patent infringement. Subsequently he amended the complaint by striking the request for equitable relief and asking for monetary damages. The court held that plaintiff was entitled to trial by jury even though the Rule 38(b) time period had expired. The court reasoned that although the original complaint carried no right to jury trial, a later amendment changing the claim from equitable to legal relief renewed the right and gave plaintiff an additional ten days to demand a jury.

NOTES AND QUESTIONS

1. Does *Dairy Queen*, p. 1061, *supra*, render *Bereslavsky* obsolete? The current view is that an amendment to the pleadings cannot revive a right to jury trial that has been waived. See *American Home Products Corp. v. Johnson & Johnson*, 111 F.R.D. 448 (S.D.N.Y. 1986). In *AMC Demolition Specialists, Inc. v. Bechtel Jacobs Co.*, 2005 WL 3240576 (E.D.Tenn. 2005), plaintiff amended the complaint to assert contractual breaches that involved events arising after the original complaint, and requested a jury trial on all claims. The court ordered a jury trial only on the new claims:

The Court acknowledges that its ruling today essentially requires that this case be tried twice: once before the Court on the sworn account and once before a jury on the breach of contract claims. While such an arrangement may prove to be inefficient and unwieldy, the Court feels constrained to do so in order to accommodate the plaintiff’s request for a jury trial on its new claims while protecting the interests of the other parties in this case. While the plaintiff is entitled to proceed to trial in this fashion, the Court recognizes that, in light of the Court’s ruling on this motion, the plaintiff may decide not to pursue its jury demand in the interest of resolving this matter in a more expedient and cost-effective manner. * * *

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Id. at *2. How might the court structure the proceedings to make them less “unwieldy”?

2.The district court has broad discretion under Rule 39(b) to grant a motion excusing an untimely jury demand. Courts typically consider such factors as: the length of the delay in making the jury demand, the reasons for the delay, prejudice to the nonmovant, and the effect on the court’s docket. See *Olympia Express, Inc. v. Linee Aeree Italiane, S.P.A.*, 509 F.3d 347 (7th Cir. 2007). Additional factors may include whether the case “involves issues which are best tried to a jury.” *TG Plastics Trading Co., Inc. v. Toray Plastics (America), Inc.*, 775 F.3d 31, 36 (1st Cir. 2014).

A party can waive the jury right before litigation begins and, indeed, before a dispute even arises. Waiver of a constitutional right usually requires a voluntary, intentional, and knowing decision. A waiver of this sort can take the form of a contract clause that explicitly waives the jury right. However, a party may be deemed to have waived the jury right by assenting to arbitrate a dispute that might later develop. Indeed, courts have found a jury waiver in an arbitration agreement, even when the agreement does not refer to waiver of a jury right, reasoning that the “loss of the right to a jury trial is a necessary and fairly obvious consequence of an agreement to arbitrate.” *Pierson v. Dean, Witter, Reynolds, Inc.*, 742 F.2d 334, 339 (7th Cir. 1984). But see *Burden v. Check Into Cash of Kentucky, LLC*, 267 F.3d 483, 492 (6th Cir. 2001) (holding that a district court was required to determine whether the arbitration agreement was unenforceable as an “uninformed waiver of jury trial rights”). For differing views on this question, compare *Ware, Arbitration Clauses, Jury-Waiver Clauses, and Other Contractual Waivers of Constitutional Rights*, 67 Law & Contemp. Probs. 167 (2004), with *Kepper, Contractual Waiver of Seventh Amendment Rights: Using the Public Rights Doctrine to Justify a Higher Standard of Waiver for Jury Waiver Clauses than for Arbitration Clauses*, 91 Iowa L.Rev. 1345 (2006).

6.SELECTION AND COMPOSITION OF THE JURY

a.Size

At common law, a trial jury consisted of twelve members. In *Patton v. United States*, 281 U.S. 276, 288, 50 S.Ct. 253, 254, 74 L.Ed. 854, 858 (1930), a criminal case, the Court said that the phrase “trial by jury” incorporated “all the essential elements” of such a trial “as they were recognized in this country and England when the Constitution was adopted,” including “[t]hat the jury should consist of twelve men, neither more nor less.” However, in *Williams v. Florida*, 399 U.S. 78, 90 S.Ct. 1893, 26 L.Ed.2d 446 (1970), the Court held that a state constitutionally might use a jury with six (or perhaps fewer) members in a criminal case without

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violating the Sixth Amendment’s jury trial guarantee, as applied to the states through the Fourteenth Amendment. In the years following *Williams*, numerous district courts seized upon its holding and transferred its analysis to the civil-jury guarantee in the Seventh Amendment, using their Rule 83 power to promulgate local rules to provide that ordinary civil actions shall be tried by six-member juries.

COLGROVE v. BATTIN, 413 U.S. 149, 93 S.Ct. 2448, 37 L.Ed.2d 522 (1973). Petitioner sought mandamus to compel a federal district judge to impanel a twelve-member jury, notwithstanding Local Rule 13(d)(1) of the District Court for the District of Montana, which provided for a six-member jury in all civil cases. The Ninth Circuit denied mandamus, and the Supreme Court affirmed, five-to-four:

* * * [T]he Framers of the Seventh Amendment were concerned with preserving the *right* of trial by jury in civil cases where it existed at common law, rather than the various incidents of trial by jury. In short, what was said in *Williams* with respect to the criminal jury is equally applicable here: constitutional history reveals no intention on the part of the Framers “to equate the constitutional and common-law characteristics of the jury.” * * *

* * * In *Williams*, we rejected the notion that “the reliability of the jury as a factfinder * * * [is] a function of its size,” * * * and nothing has been suggested to lead us to alter that conclusion. * * *

* * * Significantly, our determination that there was “no discernible difference between the results reached by the two different-sized juries” * * * drew largely upon the results of studies of the operations of juries of six in civil cases. * * * Thus, while we express no view as to whether any number less than six would suffice, we conclude that a jury of six satisfies the Seventh Amendment’s guarantee of trial by jury in civil cases.

Id. at 152, 155–56, 157, 158–60, 93 S.Ct. at 2450, 2452, 2453–54, 37 L.Ed.2d at 526, 528, 529, 530–31.

NOTES

1. For empirical data regarding the six-member jury, see Chud & Berman, *Six-Member Juries: Does Size Really Matter?*, 67 Tenn.L.Rev. 743 (2000); Devine, Clayton, Dunford, Seying & Pryce, *Jury Decision Making*, 7 Psychol. Pub. Pol’y & L. 622 (2001); Miller & Kazmar, *Psychology Research and Public Opinion Do Not Support Proposed Changes to the Jury System*, 30 Hamline L.Rev. 285 (2007).

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2. In 1991, Federal Rule 48 was amended to permit a court to decide the size of the jury so long as it consists of at least six and no more than twelve members. Prior to the amendment, the Rule merely allowed parties to stipulate that the jury could consist of any number less than twelve. Note that the local court rule at issue in *Colgrove* predated this amendment and arguably was inconsistent with the Federal Rules as they existed at the time. See Resnik, *Changing Practices, Changing Rules: Judicial and Congressional Rulemaking on Civil Juries, Civil Justice, and Civil Judging*, 49 Ala.L.Rev. 133 (1997). In 1996 the Advisory Committee recommended the restoration of the twelve-person jury. The proposal was rejected by the Judicial Conference of the United States.

3. In some states, juries of less than six members are permitted in civil trials. See Rottman, Flango, Cantrell, Hansen & LaFountain, *State Court Organization* 1998 tbl 42 (2000) (stating jury size requirements for all states). In Virginia, three-person juries are an option if the parties consent, and some Virginia judges consider a three-member jury to be a superior trier of fact. See *Painter v. Fred Whitaker Co.*, 235 Va. 631, 369 S.E.2d 191 (1988).

b. Empaneling the Jury

Jury selection is a two-stage process. First, a list of potential jurors, the venire, is compiled and they are assembled. A number of them, equal to the number who will serve, are then selected at random to sit as a tentative jury. Second, these tentative jurors are questioned by the judge and/or by the attorneys to determine whether each of them can decide the case fairly and appropriately. This questioning is called “*voir dire*.” If one of them is dismissed, the person’s place is taken by another member of the venire, selected at random, who is in turn subject to questioning. This process continues until the final panel is in place. See Zalman & Tsoudis, *Plucking Weeds from the Garden: Lawyers Speak About Voir Dire*, 51 Wayne L.Rev. 163 (2005).

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THIEL v. SOUTHERN PACIFIC CO., 328 U.S. 217, 66 S.Ct. 984, 90 L.Ed. 1181 (1946). Plaintiff, in an action for negligence, moved to strike the jury panel on the ground that it had been unfairly selected. The clerk of the court and the jury commissioner testified that they deliberately and intentionally had excluded from the jury lists all persons who work for a daily wage. They noted that in the past, because of the financial hardship imposed by jury service, those workers inevitably were excused by the judge. Workers who were paid by the week or the month, as well as the wives of daily wage earners were included on the jury lists. The Court held that such an exclusion cannot be justified “without doing violence to the democratic nature of the jury system. Were we to sanction an exclusion of this nature * * * we would breathe life into any latent tendencies to establish the jury as an instrument of the economically and socially

privileged.” Id. at 223–24, 66 S.Ct. at 987, 90 L.Ed. at 1186. Although the judge can excuse individuals for whom jury service would be a financial hardship, that cannot justify the exclusion of all daily wage earners regardless of whether an actual hardship is involved. The dissent noted that the matter was one of judicial administration, and that no constitutional issue was at stake. It took the position that selection of jurors from a jury pool that contained weekly wage earners and wives of daily workers was sufficient to avoid reversal of a judgment otherwise untainted by error.

NOTES AND QUESTIONS

1. The Report of the Committee on the Operation of the Jury System of the Judicial Conference of the United States, on which the present federal jury selection statute is based, appears at 42 F.R.D. 353 (1967). See 28 U.S.C. §§ 1861–66. Qualifications for jury service vary from state-to-state but may include such factors as citizenship, residence, criminal history, and the ability to use and understand English. See Mize, Hannaford-Agor & Waters, *National Center for State Courts, The State-of-the-States Survey of Jury Improvement Efforts: A Compendium Report* 21–22 (2007).
2. A guarantee of accessible jury service derives from both the Americans with Disabilities Act, 42 U.S.C. § 12101, enacted in 1990, and Section 504 of the Rehabilitation Act of 1973, 29 U.S.C. § 794. In *Galloway v. Superior Court*, 816 F.Supp. 12 (D.D.C.1993), the court held that visual impairment cannot be a ground for automatic exclusion from jury service, relying on “uncontradicted testimony that blind individuals, like sighted jurors, weigh the content of the testimony given and examine speech patterns, intonation, and syntax in assessing credibility.” Id. at 16.
3. The most common method for creating jury lists is by relying on voter registration records, with supplemental sources used to promote fair

representation. See 28 U.S.C. § 1863(b). These other sources can include driver’s license or public utilities lists, state tax rolls, or telephone lists. Because of the under-representation of minority and low-income persons in voter registration records, as well as the low percentage of voters overall, many have argued that use of multiple lists should be constitutionally compelled. For an examination of how jury selection methods may lead to unrepresentative juries, see Rose & Abramson, *Data, Race, and the Courts: Some Lessons on Empiricism from Jury Representation Cases*, 2011 Mich.St.L.Rev. 911.

4.The “blue ribbon” jury, which is composed of people who are specially selected because of their level of education, is an attempt to meet concerns that the ordinary juror is incompetent to deal with the complex problems of modern litigation. See Strier, *The Educated Jury: A Proposal for Complex Litigation*, 47 DePaul L.Rev. 49 (1997). Is a “blue ribbon” jury consistent with 28 U.S.C. § 1862, which bars exclusion of citizens on account of “economic status”? See Fisher, *Going for the Blue Ribbon: The Legality of Expert Juries in Patent Litigation*, 2 Colum. Sci. & Tech.L.Rev. 1 (2001).

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5.Do nationwide cases require a jury drawn from a nationwide pool? See Dooley, *National Juries for National Cases: Preserving Citizen Participation in Large-Scale Litigation*, 83 N.Y.U.L.Rev. 411 (2008).

c.Challenging Individual Jurors

Challenges to individual jurors—sometimes called challenges to the polls—are of two kinds: for cause and peremptory. Challenges for cause permit a prospective juror to be rejected when partiality can be shown. Peremptory challenges permit rejection of jurors without any statement of reason and usually are based on an assumed partiality that may not be susceptible of proof.

An unlimited number of challenges for cause are permitted each party. These challenges are determined by the trial judge, although some states have experimented with so-called “triers”—independent officials who have the responsibility of determining challenges for cause. The number of peremptory challenges allowed each side varies among the states. See Mize, Hannaford-Agor & Waters, National Center for State Courts, *The State-of-the-States Survey of Jury Improvement Efforts: A Compendium Report* 8 (2007). In the federal courts each side is permitted three. See 28 U.S.C. § 1870.

FLOWERS V. FLOWERS
Court of Civil Appeals of Texas, 1965.
[397 S.W.2d 121](#).

CHAPMAN, JUSTICE.

The subject matter of this suit involves a question of the disqualification of a juror in a child custody contest tried to a jury * * *.

This case was tried in a town and county of very small population where the record shows many members of the jury panel had heard what they referred to as gossip or rumors concerning the case. The parties to the suit are Billie Charlene Flowers, plaintiff below, the mother; and R.A. Flowers, Jr., the father. The victims of the unfortunate broken home are three little girls ranging in ages from two to ten at the time of the filing of divorce by their mother in January 1964.

* * *

The jurors were told on *voir dire* examination that the evidence would show that plaintiff drank some socially and on one or two occasions had consumed alcoholic beverages to excess. They were questioned as to whether that fact standing alone would prejudice them against her as a fit and proper person to have custody of the children.

The record preserved upon examination of Mrs. Schmidt as a prospective juror shows that she first testified she was well acquainted

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with the Flowers family, belonged to the same Baptist church they did in the little town of Miami, and that she had no opinion formed in the case at all. Then when counsel said to her the evidence will show “that Billie does drink upon social occasions with the crowd at a dance, or something of that sort, she would have a highball or cocktail, and it will show on one occasion that she had too much, or two times had too much, what is your attitude—,” she answered:

A. I am against drinking in any manner, any kind.

Q. Any way or any fashion at all?

A. Any type.

Q. Mrs. Schmidt, that would definitely affect your judgment in the case wouldn’t it?

A. If the evidence was true.

Q. Could you enter the—you would take a seat as a juror with a positive feeling that any drinking whatsoever is wrong, and it is bad so far as the mother of these little girls is concerned,—

A. Anybody else.

Q. If the evidence shows Billie has had one drink or two—drinks at a social occasion, you would hold that against her?

A. I don't approve.

The court then took over the examination and asked her a number of questions, one of which was:

Q. Well, are you saying by that, Mrs. Schmidt, that you wouldn't grant either party to this law suit custody of their children if they drank?

A. I am.

The court then turned to leading questions to the juror as to her attitude about passing upon whether the mother was a fit person to have the custody of the girls, saying:

Q. Dependent upon the testimony you hear in a trial; the mere fact that she got drunk a few times and threw a conniption fit or something, you wouldn't hold that against her and think she wasn't—

A. Not especially.

The court then overruled the challenge of the juror for cause.

The record also shows by affidavit of a lady juror panelist who sat next to Mrs. Schmidt during *voir dire* examination that Mrs. Schmidt stated “ * * * she felt sorry for R.A. Flowers, Jr. and that you had to admire a man that would go on to Sunday School and church after what had happened to him.” Mrs. Philpot's affidavit also affirmed that Mrs. Schmidt made a

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statement to one of the other prospective jurors sitting next to her before the jury was selected that Billie Flowers had run off and left R.A. Flowers, Jr. once before and that both of such statements were made before she was selected and sworn to serve as a juror.

At both the motion for mistrial and motion for new trial based partly upon the proceedings just related, the court declined to hear Mrs. Philpot's tendered testimony as a witness in support of her affidavit. Upon the hearing of the motion for new trial Mrs. Flowers' attorney testified there were eleven jurors, including Mrs. Schmidt, who were undesirable to the plaintiff and that if Mrs. Schmidt on *voir dire* had correctly stated her attitude reflected by Mrs. Philpot's affidavit, they would have exercised a peremptory challenge as to her rather than as to some other juror. * * *

Article 2134, Vernon's Ann.Tex.Civ.St., provides as one of the disqualifications: “Any person who has a bias or prejudice in favor of or against either of the parties.”

This disqualification for bias or prejudice extends not only to the parties personally, but also to the subject matter of the litigation. * * * Compton v. Henrie, Tex., 364 S.W.2d 179.

In defining the terms “bias” and “prejudice” as used in Article 2134 our Supreme Court in the *Henrie* case just cited has said:

Bias, in its usual meaning, is an inclination toward one side of an issue rather than to the other, but to disqualify, it must appear that the state of mind of the juror leads to the natural inference that he will not or did not act with impartiality. Prejudice is more easily defined for it means pre-judgment, and consequently embraces bias; the converse is not true. * * *

Mrs. Schmidt's statements indicate to us both bias and prejudice factually and such a prejudgment of the case as to indicate she could not have acted with impartiality. If we are correct in this factual conclusion then under the authorities just cited her disqualification is not a matter of discretion with the trial court but a matter of law. * * *

Even if we are in error in our pronouncements in the preceding paragraphs, it cannot be gainsaid that the record shows bias and prejudice on the part of Mrs. Schmidt toward plaintiff and toward her alcoholic consumption her attorney admitted would be shown before the examination of the jury on *voir dire*. From the viewpoint of this writer, such feelings on the part of Mrs. Schmidt are to her credit even if it did disqualify her as a juror. But even if under the facts of this case bias or prejudice was a fact to be determined by the trial court, those feelings having been clearly established, her answer of “Yes, sir” to a leading question to the effect that she would be able to decide the case on the evidence submitted, should be

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disregarded. * * * In any event we believe the court abused its discretion in refusing to hold the juror disqualified.

* * *

The judgment of the trial court is reversed and remanded for a new trial.

EDMONSON v. LEESVILLE CONCRETE COMPANY, INC.

Supreme Court of the United States, 1991.

[500 U.S. 614, 111 S.Ct. 2077, 114 L.Ed.2d 660.](#)

Certiorari to the United States Court of Appeals for the Fifth Circuit.

JUSTICE KENNEDY delivered the opinion of the Court.

We must decide in the case before us whether a private litigant in a civil case may use peremptory challenges to exclude jurors on account of their race. * * * This civil case originated in a United States District Court, and we apply the equal protection component of the Fifth Amendment’s Due Process Clause. * * *

I

Thaddeus Donald Edmonson, a construction worker, was injured in a job-site accident at Fort Polk, Louisiana, a federal enclave. Edmonson sued Leesville Concrete Company for negligence in the United States District Court for the Western District of Louisiana, claiming that a Leesville employee permitted one of the company’s trucks to roll backward and pin him against some construction equipment. Edmonson invoked his Seventh Amendment right to a trial by jury.

During *voir dire*, Leesville used two of its three peremptory challenges authorized by statute to remove black persons from the prospective jury. Citing our decision in *Batson v. Kentucky*, 476 U.S. 79[, 106 S.Ct. 1712, 90 L.Ed.2d 69] (1986), Edmonson, who is himself black, requested that the District Court require Leesville to articulate a race-neutral explanation for striking the two jurors. The District Court denied the request on the ground that *Batson* does not apply in civil proceedings. As impaneled, the jury included 11 white persons and 1 black person. The jury rendered a verdict for Edmonson, assessing his total damages at \$90,000. It also attributed 80% of the fault to Edmonson’s contributory negligence, however, and awarded him the sum of \$18,000.

Edmonson appealed, and a divided en banc panel affirmed * * *. We granted certiorari, and now reverse the Court of Appeals.

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II

A

In *Powers v. Ohio*, 499 U.S. 400[, 111 S.Ct. 1364, 113 L.Ed.2d 411] (1991), we held that a criminal defendant, regardless of his or her race, may object to a prosecutor’s race-based exclusion of persons from the petit jury. Our conclusion rested on a two-part analysis. First, following our opinions in *Batson* and in *Carter v. Jury Commission of Greene County*, 396 U.S. 320[, 90 S.Ct. 518, 24 L.Ed.2d 549] (1970), we made clear that a prosecutor’s race-based peremptory challenge violates the equal protection rights of those excluded from jury service. * * * Second, we relied on well-established rules of third-party standing to hold that a defendant may raise the excluded jurors’ equal protection rights. * * *

That an act violates the Constitution when committed by a government official, however, does not answer the question whether the same act offends constitutional guarantees if committed by a private litigant or his attorney. The Constitution’s protections of individual liberty and equal protection apply in general only to action by the government. * * * Racial discrimination, though invidious in all contexts, violates the Constitution only when it may be attributed to state action. * * * Thus, the legality of the exclusion at issue here turns on the extent to which a litigant in a civil case may be subject to the Constitution’s restrictions. * * *

The trial judge exercises substantial control over *voir dire* in the federal system. See Fed.Rule Civ.Proc. 47. The judge determines the range of information that may be discovered about a prospective juror, and so affects the exercise of both challenges for cause and peremptory challenges. In some cases, judges may even conduct the entire *voir dire* by themselves, a common practice in the District Court where the instant case was tried. See Louisiana Rules of Court, Local Rule W.D.La. 13.02 (1990). The judge oversees the exclusion of jurors for cause, in this way determining which jurors remain eligible for the exercise of peremptory strikes. In cases involving multiple parties, the trial judge decides how peremptory challenges shall be allocated among them. 28 U.S.C. § 1870. When a lawyer exercises a peremptory challenge, the judge advises the juror he or she has been excused. * * *

The principle that the selection of state officials, other than through election by all qualified voters, may constitute state action applies with even greater force in the context of jury selection through the use of peremptory challenges. Though the motive of a peremptory challenge may be to protect a private interest, the objective of jury selection proceedings is to determine representation on a governmental body. Were it not for peremptory challenges, there would be no question that the entire process of determining who will serve on the jury constitutes state action. The fact that the government delegates some portion of this power to private

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litigants does not change the governmental character of the power exercised. * * *

Here, as in most civil cases, the initial decision whether to sue at all, the selection of counsel, and any number of ensuing tactical choices in the course of discovery and trial may be without the requisite governmental character to be deemed state action. That cannot be said of the exercise of peremptory challenges, however; when private litigants participate in the selection of jurors, they serve an important function within the government and act with its substantial assistance. If peremptory challenges based on race were permitted, persons could be required by summons to be put at risk of open and public discrimination as a condition of their participation in the justice system. The injury to excluded jurors would be the direct result of governmental delegation and participation.

Finally, we note that the injury caused by the discrimination is made more severe because the government permits it to occur within the courthouse itself. Few places are a more real expression of the constitutional authority of the government than a courtroom, where the law itself unfolds. Within the courtroom, the government invokes its laws to determine the rights of those who stand before it. In full view of the public, litigants press their cases, witnesses give testimony, juries render verdicts, and judges act with the utmost care to ensure that justice is done.

Race discrimination within the courtroom raises serious questions as to the fairness of the proceedings conducted there. Racial bias mars the integrity of the judicial system and prevents the idea of democratic government from becoming a reality. * * * In the many times we have addressed the problem of racial bias in our system of justice, we have not “questioned the premise that racial discrimination in the qualification or selection of jurors offends the dignity of persons and the integrity of the courts.” *Powers* * * *. To permit racial exclusion in this official forum compounds the racial insult inherent in judging a citizen by the color of his or her skin. * * *

III

It remains to consider whether a prima facie case of racial discrimination has been established in the case before us, requiring Leesville to offer race-neutral explanations for its peremptory challenges. In *Batson*, we held that determining whether a prima facie case has been established requires consideration of all relevant circumstances, including whether there has been a pattern of strikes against members of a particular race. * * * The same approach applies in the civil context, and we leave it to the trial courts in the first instance to develop evidentiary rules for implementing our decision.

The judgment is reversed, and the case is remanded for further proceedings consistent with our opinion.

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It is so ordered.

JUSTICE O’CONNOR, with whom THE CHIEF JUSTICE and JUSTICE SCALIA join, dissenting.

* * * As an initial matter, the judge does not “encourage” the use of a peremptory challenge at all. The decision to strike a juror is entirely up to the litigant, and the reasons for doing so are of no consequence to the judge. It is the attorney who strikes. The judge does little more than acquiesce in this decision by excusing the juror. In point of fact, the government has virtually no role in the use of peremptory challenges. Indeed, there are jurisdictions in which, with the consent of the parties, *voir dire* and jury selection may take place in the absence of any court personnel. * * *

Whatever reason a private litigant may have for using a peremptory challenge, it is not the government’s reason. The government otherwise establishes its requirements for jury service, leaving to the private litigant the unfettered discretion to use the strike for any reason. This is not part of the government’s function in establishing the requirements for jury service. * * *

Racism is a terrible thing. It is irrational, destructive, and mean. Arbitrary discrimination based on race is particularly abhorrent when manifest in a courtroom, a forum established by the government for the resolution of disputes through “quiet rationality.” * * *. But not every opprobrious and inequitable act is a constitutional violation. The Fifth Amendment’s Due Process Clause prohibits only actions for which the Government can be held responsible. The Government is not responsible for everything that occurs in a courtroom. The Government is not responsible for a peremptory challenge by a private litigant. I respectfully dissent.



In *J.E.B. v. ALABAMA EX REL. T.B.*, 511 U.S. 127, 114 S.Ct. 1419, 128 L.Ed.2d 89 (1994), the State of Alabama, on behalf of the mother of a minor child, brought suit in a state court against defendant for paternity and child support. The state used nine of its ten peremptory challenges to remove male jurors, with the result that the jury consisted solely of women. The Alabama courts rejected defendant’s objection that the use of peremptory challenges solely to exclude persons on the basis of gender violated the Fourteenth Amendment’s Equal Protection Clause. A divided Supreme Court, noting that both federal and state courts were in disagreement on the matter, reversed. Justice Blackmun, writing for himself and three others, stated:

Discrimination in jury selection, whether based on race or on gender, causes harm to the litigants, the community and the

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individual jurors who are wrongfully excluded from participation in the judicial process. * * *

* * * All persons, when granted the opportunity to serve on a jury, have the right not to be excluded summarily because of discriminatory and stereotypical presumptions that reflect and reinforce patterns of historical discrimination. Striking individual jurors on the assumption that they hold particular views simply because of their gender is “practically a brand upon them, affixed by the law, an assertion of their inferiority.” *Strauder v. West Virginia*, 100 U.S. 303, 308, 25 L.Ed. 664, 666 (1880).

Our conclusion that litigants may not strike potential jurors solely on the basis of gender does not imply the elimination of all peremptory challenges. * * * Parties still may remove jurors who they feel might be less acceptable than others on the panel; gender simply may not serve as a proxy for bias. * * * Even strikes based on characteristics that are disproportionately associated with one gender [e.g. employment in the military or as nurses] could be appropriate, absent a showing of pretext.

Id. at 140–43, 114 S.Ct. at 1427–29, 128 L.Ed.2d at 104–06.

Justice Kennedy concurred. Justice O’Connor also concurred in a separate opinion. She wrote:

Today’s decision severely limits a litigant’s ability to act on * * * intuition, for the import of our holding is that any correlation between a juror’s gender and attitudes is irrelevant as a matter of constitutional law. * * * [T]o say that gender makes no difference as a matter of law is not to say that gender makes no difference as a matter of fact. * * * In extending [our holdings on race] * * * to gender we have * * * taken a step closer to eliminating the peremptory challenge, and diminishing the ability

of litigants to act on sometimes accurate gender-based assumptions about juror attitudes.

* * *

Accordingly, I adhere to my position that the Equal Protection Clause does not limit the exercise of peremptory challenges by private civil litigants * * *. This case itself presents no state action dilemma for here the State of Alabama itself filed the paternity suit. * * * But what of the next case? Will we, in the name of fighting gender discrimination, hold that the battered wife—on trial for wounding her abusive husband—is a state actor? Will we preclude her from using her peremptory challenges to ensure that the jury of her peers contains as many women members as possible? I assume we will, but I hope we will not.

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Id. at 149–51, 114 S.Ct. at 1432–33, 128 L.Ed.2d at 109–10.

Justice Scalia, writing for himself and two other Justices, dissented. Essentially he agreed with Justice O’Connor’s assessment of the importance of the peremptory challenge system and argued that it did not deny anyone the equal protection of the laws even in the case before the Court.

NOTES AND QUESTIONS

1. For a discussion of how race affects civil jury access, see Gifford & Jones, *Keeping Cases from Black Juries: An Empirical Analysis of How Race, Income Inequality, and Regional History Affect Tort Law*, 73 Wash. & Lee L.Rev. 557 (2016).
2. After *Batson*, *Edmonson*, and *J.E.B.*, should it be permissible to exercise peremptory challenges on the basis of religion? See Gendleman, *The Equal Protection Clause, the Free Exercise Clause and Religion-Based Peremptory Challenges*, 63 U.Chi.L.Rev. 1639 (1996); Waggoner, *Peremptory Challenges and Religion: the Unanswered Prayer for a Supreme Court Opinion*, 36 Loy.U.Chi.L.J. 285 (2004). On the basis of disability? See Benson, *Stricken: The Need for Positive Statutory Law to Prevent Discriminatory Peremptory Strikes of Disabled Jurors*, 103 Cornell L.Rev. 437 (2018). On the basis of gender or sexual status? See Boso, *Dignity, Inequality, and Stereotypes*, 92 Wash.L.Rev. 1119 (2017).

d. Conducting the Voir Dire

Rules concerning the extent to which the judge or the lawyers conduct voir dire vary among jurisdictions. Federal Rule 47(a) leaves the matter entirely in the district judge’s discretion. For the range of state practices, see Mize, Hannaford-Agor & Waters, National Center for State Courts, *The State-of-the-States Survey of Jury Improvement Efforts: A Compendium Report* 28 (2007).

In *SNYDER v. PHELPS*, 533 F.Supp.2d 567, 583 (D.Md.2008), reversed on other grounds, 580 F.3d 206 (4th Cir. 2009), affirmed, 562 U.S. 443, 131 S.Ct. 1207, 179 L.Ed.2d 172 (2011), the father of a deceased soldier sued church members who picketed the son’s funeral “to publicize their message of God’s hatred of America for its tolerance of homosexuality,” and especially its tolerance of homosexuality in the military. 533 F.Supp.2d at 572. The lawsuit attracted a great deal of media attention, and resulted in an extensive voir dire. As explained by the district court:

* * * The parties requested, and this Court permitted, a jury questionnaire to be sent to all potential jurors, asking questions about their views on protesting, the military, the First Amendment of the United States Constitution, and other “screening” questions. As such questionnaires are rarely sent to

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potential jurors by this Court, this was an extraordinary precaution. These questionnaires were sent to several hundred individuals and the ultimate venire pool itself consisted of more than 100 people—more than triple the usual size of a venire pool in a civil case. * * *

Every potential juror who indicated that he or she had some knowledge of the case was questioned individually at the bench, and many were stricken if they had already formed an opinion about the case. Where, as in this case, a trial has received pre-trial publicity, the Fourth Circuit has held that specific questioning regarding potential jurors’ exposure to the publicity and what effect it had on their opinions was sufficient to remove any concerns about bias. * * * Thus, this Court’s individualized questioning of the potential jurors about their knowledge of the case gave the parties ample opportunity to inquire about preconceived opinions. Furthermore, as most people in the venire pool were called to the bench at some point, the attorneys were able to question almost all of them individually. There was no error in the conduct of *voir dire* in this case.

B. THE SCOPE AND ORDER OF TRIAL

1.SETTING THE CASE FOR TRIAL

Trial will take place only after one of the parties or the court takes steps to have the case placed on the appropriate trial calendar and the court disposes of all the cases previously on that calendar. The Federal Rules contemplate that the trial judge, after consulting the parties, may schedule the date of trial. See Federal Rule 16(b)(3)(B)(vi) and (c)(2)(G). It is impossible to pinpoint case scheduling with total certainty, but case management techniques and computers have helped to increase the predictability of the flow of business through the courts.

2.ORDER OF TRIAL

Trial courts have the ability to divide cases into discrete portions, trying claims or issues separately whenever that is convenient, economical, or avoids prejudice to a party or parties. See Federal Rules 42(b) and 16(c)(2)(M), and (O).

a.Jury Cases

When a particular case or aspect of a case comes before a jury, the court invariably has discretion to determine the order of trial, but a judge usually will not deviate from standard practice, which is as follows:

1.Plaintiff’s opening statement

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2.Defendant’s opening statement

3.Plaintiff’s presentation of direct evidence

4.Defendant’s presentation of direct evidence

5.Plaintiff’s presentation of rebuttal evidence

6.Defendant’s presentation of rebuttal evidence

7.Opening final argument by plaintiff

8.Defendant’s final argument

9.Closing final argument by plaintiff

10.Giving instructions to the jury.

b.Non-Jury Cases

Although jury and non-jury cases generally are handled in the same way, there are a number of significant differences in scope. For example, the court often will dispense with the opening statement and the closing argument, and, of course, there is never a need to give instructions. Some jurisdictions provide that an attorney has an absolute right to argue, even in non-jury cases. Rarely will that right be exercised, however, if the judge, as is often the situation, makes clear that she believes an argument to be unnecessary.

3.THE BURDEN OF PROOF

Review Chapter 13, pp. 1012–1013, *supra*.

The burdens of production and persuasion usually fall on the same party at trial, either plaintiff or defendant. But there are times when the burden of production is placed on one party and the burden of persuasion on the other. In these cases, once the burden of production is satisfied, the burden of persuasion “shifts” to the other party.

One example of a type of action in which the burden shifts is an employment discrimination action alleging disparate impact of systemic disparate treatment under Title VII of the Civil Rights Act of 1964. In proceedings under this statute, the employee must make out a *prima facie* case that there was intentional discrimination. At that point, the burden of production falls on the employer, who must explain the non-discriminatory basis for the adverse employment action in question. If the employer offers a legitimate explanation for the action, then plaintiff must show that the reason given for the employer’s action is merely pretextual—that the action was, in fact, taken for discriminatory reason. The burden of persuasion remains with plaintiff, but the intermediate burden of production that falls on defendant serves an important function. As the Supreme Court has explained, the shifting of burdens allows the employer

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the opportunity to rebut plaintiff’s claims and helps “to frame the factual issue with sufficient clarity so that plaintiff will have a full and fair opportunity to demonstrate pretext.” See *Texas Dep’t of Comm’y Affairs v. Burdine*, 450 U.S. 248, 255–56, 101 S.Ct. 1089, 1095, 67 L.Ed.2d 207, 217–18 (1981).

4.THE PRESENTATION OF EVIDENCE

a.The Problems of Admissibility

The admissibility of evidence at trial is determined by a complex set of rules that are studied in a course on Evidence. Each lawyer must plan carefully to make certain that her evidence will be accepted. Evidence may be admissible under multiple evidentiary rules. Even if evidence is inadmissible according to the rules, it will rarely be excluded unless the opposing party objects to its introduction. Thus, attorneys often offer inadmissible evidence in the hope that it will not be challenged. This strategy must be pursued carefully. The opposing party would be ill-advised to object to inadmissible evidence that is not seriously prejudicial, as too many objections might lead the jury to believe that objecting party has something to hide; but if offered evidence is repeatedly ruled inadmissible upon objection, it

might damage the standing of the party offering such evidence with the judge or jury.

In some situations, even the most diligent attorney is powerless to keep inadmissible, highly prejudicial statements from the jurors. For example, a witness simply may blurt out such a statement without notice. In such cases, the court has a choice. It may admonish the jury not to consider the evidence or it may declare a mistrial. In the latter case the jury is dismissed and the trial must begin anew before a different panel. Where the trial continues, is it realistic to expect jurors to ignore completely something they have heard and are told to forget? Do you think judges would be any better at ignoring relevant but inadmissible information? See Wistrich, Guthrie & Rachlinski, *Can Judges Ignore Inadmissible Information? The Difficulty of Deliberately Disregarding*, 153 U.Pa.L.Rev. 1251 (2005).

b.The Technique of Presentation

Much has been written concerning the way in which evidence should be presented. Most of this commentary can be distilled into one basic observation: The better the preparation before trial, the better the presentation.

Generally speaking, most evidence is presented at trial through the examination and cross-examination of witnesses. A party should call witnesses in a logical order so that the jury will know, at every step of the way, what part of the case is being explored. Usually the most important

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witnesses are called first to put the jurors in a favorable frame of mind. The testimony of less important witnesses will then be understood by the jury as backing and fortifying that party’s version of the facts. There are, of course, many factors that interfere with a planned presentation. The opposition, through cross-examination, will attempt to upset the pattern not only by raising questions as to the witnesses’ accuracy but also by injecting new considerations that tend to confuse the jurors. A party who wishes to stay in the witnesses’ good graces, particularly those of expert witnesses, may be forced to accommodate their interests by calling them when it is convenient for them to testify rather than at the most logical point in the trial. Finally, no matter how fine the preparation, every trial produces a number of surprises to which the lawyer must react immediately. If, for example, during cross-examination of an opposition witness, the interrogating attorney receives a surprise favorable response, he must press forward on the issue immediately, before the witness and the opposing attorney have the time and opportunity to soften the impact by planning an explanation.

Cross-examination is a potent trial weapon. With it, a clever attorney can raise doubts concerning the accuracy of even the most accomplished and prepared witness, let alone an unsophisticated witness who actually is trying to cover up the facts. There are two ways to minimize the effects of cross-examination. The first is to make certain that the witness is clear as to the story and is telling the truth. This requires the attorney and the witness to go over the facts in detail shortly before the trial begins. Even after this precaution the excitement of the trial may so unnerve the witness that he forgets even the most basic facts. Consider the following actual exchange (with the names changed), as reported in *Saturday Review*, August 19, 1967, p. 12, col. 2:

Q: What is your brother-in-law’s name?

A: Borofkin.

Q: What’s his first name?

A: I can’t remember.

Q: He’s been your brother-in-law for forty-five years and you can’t remember his first name?

A: No, I tell you I’m too excited! (Rising from the witness chair and pointing to Borofkin.) Nathan, for God’s sake tell them your first name!

The second method of limiting the effectiveness of cross-examination is for the attorney on direct examination to raise and dispense with any matter that might cast doubt on a witness’ veracity if it were raised for the first time on cross-examination. For example, in most jurisdictions an attorney may impugn the credibility of an opposition witness by introducing evidence showing that the witness previously has been

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convicted of a felony. If the fact that the witness had once been convicted of a felony is raised at the very beginning of his testimony by the attorney who called him, the jury will tend to think of the witness as a person willing to suffer embarrassment to tell the truth; but if the matter is first raised on cross-examination, the jurors may tend to consider the witness a person who is trying to hide important facts.

c.The Role of the Trial Judge in the Presentation of Evidence

Judges have significant powers to shape the presentation of evidence at trial. To give one example, it is not unusual for judges to impose time limits for each side to present its case, a practice authorized under Federal Rule 16(c)(2)(O). A “chess clock” trial encourages the parties to streamline their case, thereby sharpening the issues and reducing the length (and burden) of the trial—an especially important consideration with a jury. But time limits might also impair the goals of accuracy and procedural justice in trials. See Nora Freeman Engstrom, *The Trouble with Time Limits*, 106 Geo. L.J. 933 (2018).

A judge’s powers with respect to other aspects of trial are less certain. Suppose that an attorney’s presentation of a case appears inadequate. To what extent should the trial judge take over the trial by interrogating the witness herself and perhaps by calling new witnesses she believes should be heard? Does it make a difference if the case is before a jury? See Blanck, *Calibrating the Scales of Justice: Studying Judges’ Behavior in Bench Trials*, 68 Ind.L.J. 1119 (1993). These questions raise fundamental considerations regarding the role of the trial judge: Is the court a mere umpire who must stand aloof except when called upon to make decisions or a participant with the right to supervise the conduct of the trial to help ensure a just result?

There is agreement that judges have some limited power to call and interrogate witnesses, although no consensus as to the extent of that power. Judges may use this power to draw out important facts or clear up confused testimony. The tenor of the judge’s questioning may also affect the jury’s perception of the evidence. In particular, any apparent bias on the judge’s part may encourage the jury to view the facts presented by the witness more or less favorably. See Laughlin, *Learning from the Past? Or Destined to Repeat Past Mistakes?: Lessons from the English Legal System and Its Impact on How We View the Role of Judges and Juries Today*, 14 Widener L.Rev. 357 (2009). Do you think a judge ought to be required to intercede when the failure to do so might result in a miscarriage of justice? Does the judge owe a special responsibility to a pro se litigant? See Carpenter, *Active Judging and Access to Justice*, 93 Notre Dame L.Rev. 647 (2017).

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d.The Power of Jurors to Question Witnesses

What if a juror is dissatisfied with the evidence? Should the juror be permitted to ask a witness questions that were not asked by the attorneys? Would it be feasible, tactically, for an attorney to object to the question if it called for inadmissible evidence? Is there some means by which this latter problem could be avoided? Would it be preferable to permit the juror to submit written questions to witnesses? See Frank, *The Jury Wants to Take the Podium—But Even with the Authority to Do So, Can It? An Interdisciplinary Examination of Jurors’ Questioning of Witnesses at Trial*, 38 Am.J.Trial Advoc. 1 (2014).

C. TAKING THE CASE FROM THE JURY—MOTIONS FOR JUDGMENT AS A MATTER OF LAW

Read Federal Rule of Civil Procedure 50 in the Supplement.

Various procedural devices enable a judge to insure that the jury carries out its functions. Rule 50(a) permits the judge, after the witnesses have testified and the evidence has been presented, to withhold the case from the jury and instead to enter judgment as a matter of law if there is not sufficient evidence to raise a genuine factual dispute and a particular result is required under the governing law (until 1991, this procedure was known as a “directed verdict”). Rule 50(b) authorizes a similar procedure for cases that have been submitted to the jury once the jurors have already reached a verdict. If the judge in this situation decides that judgment as a matter of law should have been granted, the court may set aside the verdict and enter judgment (until 1991, this procedure was known as a “judgment notwithstanding the verdict” or “j.n.o.v.”—for “judgment non obstante veredicto”).

1.THE CONSTITUTIONAL ISSUES

In GALLOWAY v. UNITED STATES, 319 U.S. 372, 63 S.Ct. 1077, 87 L.Ed. 1458 (1943), the Supreme Court faced directly the charge that taking a case away from a jury on the ground that a plaintiff had not met its burden of production at trial was a violation of the Seventh Amendment right to a trial by jury. The Court held as follows:

If the intention is to claim generally that the Amendment deprives the federal courts of power to direct a verdict for insufficiency of evidence, the short answer is the contention has been foreclosed by repeated decisions made here consistently for nearly a century. More recently the practice has been approved explicitly in the

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promulgation of the Federal Rules of Civil Procedure. * * * The objection therefore comes too late.

Furthermore, the argument from history is not convincing. It is not that “the rules of the common law” in 1791 deprived trial courts of power to withdraw cases from the jury, because not made out, or appellate courts of power to review such determinations. The jury was not absolute master of fact in 1791. Then as now courts excluded evidence for irrelevancy and relevant proof for other reasons. The argument concedes they weighed the evidence, not only piecemeal but *in toto* for submission to the jury, by at least two procedures, the demurrer to the evidence and the motion for a new trial. The objection is not therefore to the basic thing, which is the power of the court to withhold cases from the jury or set aside the verdict for insufficiency of the evidence. It is rather to incidental or collateral effects, namely, that the directed verdict as now administered differs from both those procedures because, on the one hand, allegedly higher standards of proof are required and, on the other, different consequences follow as to further maintenance of the litigation. Apart from the standards of proof, the argument appears to urge that in 1791, a litigant could challenge his opponent’s evidence, either by the demurrer, which when determined

ended the litigation, or by motion for a new trial which, if successful, gave the adversary another chance to prove his case; and therefore the Amendment excluded any challenge to which one or the other of these consequences does not attach.

The Amendment did not bind the federal courts to the exact procedural incidents or details of jury trial according to the common law in 1791, any more than it tied them to the common-law system of pleading or the specific rules of evidence then prevailing. Nor were “the rules of the common law” then prevalent, including those relating to the procedure by which the judge regulated the jury’s role on questions of fact, crystalized in a fixed and immutable system. On the contrary, they were constantly changing and developing during the late eighteenth and early nineteenth centuries. In 1791 this process already had resulted in widely divergent common-law rules on procedural matters among the states, and between them and England. * * *

This difficulty, no doubt, accounts for the amorphous character of the objection now advanced, which insists, not that any single one of the features criticized, but that the cumulative total or the alternative effect of all, was embodied in the Amendment. The more logical conclusion, we think, and the one which both history and the previous decisions here support, is that the Amendment was designed to preserve the basic institution of jury trial in only

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its most fundamental elements, not the great mass of procedural forms and details, varying even then so widely among common-law jurisdictions.

* * *

Finally, the objection appears to be directed generally at the standards of proof judges have required for submission of evidence to the jury. But standards, contrary to the objection’s assumption, cannot be framed wholesale for the great variety of situations in respect to which the question arises. * * * The matter is essentially one to be worked out in particular situations and for particular types of cases. Whatever may be the general formulation, the essential requirement is that mere speculation be not allowed to do duty for probative facts, after making due allowance for all reasonably possible inferences favoring the party whose case is attacked. The mere difference in labels used to describe this standard * * * cannot amount to a departure from “the rules of the common law” which the Amendment requires to be followed. * * *

Id. at 389–95, 63 S.Ct. at 1086–89, 87 L.Ed. at 1470–73.

Justice Black, with whom Justices Douglas and Murphy concurred, wrote a dissenting opinion:

The Court here re-examines testimony offered in a common law suit, weighs conflicting evidence, and holds that the litigant may never take this case to a jury. * * * Today’s decision marks a continuation of the gradual process of judicial erosion which in one hundred fifty years has slowly worn away a major portion of the essential guarantee of the Seventh Amendment.

I.

Alexander Hamilton in The Federalist emphasized his loyalty to the jury system in civil cases and declared that jury verdicts should be re-examined, if at all, only “by a second jury, either by remanding the cause to the court below for a second trial of the fact, or by directing an issue immediately out of the Supreme Court.”

* * * The first Congress expected the Seventh Amendment to meet the objections of men like Patrick Henry to the Constitution itself. Henry, speaking in the Virginia Constitutional Convention, had expressed the general conviction of the people of the Thirteen States when he said, “ * * * We are told that we are to part with that trial by jury with which our ancestors secured their lives and property. * * * I hope we shall never be induced, by such arguments, to part with that excellent mode of trial. No appeal

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can now be made as to fact in common law suits. *The unanimous verdict of impartial men cannot be reversed.*” * * *

* * *

As Hamilton had declared in The Federalist, the basic judicial control of the jury function was in the court’s power to order a new trial. In 1830, this Court said: “The only modes known to the common law to re-examine such facts, are the granting of a new trial by the court where the issue was tried, or to which the record was properly returnable; or the award of a venire facias de novo, by an appellate court, for some error of law which intervened in the proceedings.” *Parsons v. Bedford*, * * * [3 Pet. 433, 448, 7 L.Ed. 732 (1830)]. * * *

A long step toward the determination of fact by judges instead of by juries was the invention of the directed verdict. In 1850, what seems to have been the first directed verdict case considered by this Court, *Parks v. Ross*, [11 How. 362, 374, 13 L.Ed. 730 (1850)], was presented for decision. The Court held that the directed verdict serves the same purpose as the demurrer to the evidence, and that since there was “no evidence whatever” on the critical issue in the case, the directed verdict was approved. The decision was an innovation, a departure from the traditional rule restated only fifteen years before in *Greenleaf v. Birth*, 9 Pet. 292, 299[9 L.Ed. 132 (1835)], in which this Court had said: “Where there is no evidence tending to prove a particular fact, the court[s] are bound so to instruct the jury, when requested; but they cannot legally give any instruction which shall take from the jury the right of weighing the evidence and determining what effect it shall have.”

This new device contained potentialities for judicial control of the jury which had not existed in the demurrer to the evidence. In the first place, demurring to the evidence was risky business, for in so doing the party not only admitted the truth of all the testimony against him but also all reasonable inferences which might be drawn from it; and upon joinder in demurrer the case was withdrawn from the jury while the court proceeded to give final judgment either for or against the demurrant. * * * The litigant not only takes no risk by a motion for a directed verdict, but in making such a motion gives himself two opportunities to avoid the jury's decision; for under the federal variant of judgment notwithstanding the verdict, the judge may reserve opinion on the motion for a directed verdict and then give judgment for the moving party after the jury was formally found against him. In the second place, under the directed verdict practice the courts

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soon abandoned the "admission of all facts and reasonable inferences" standard referred to, and created the so-called "substantial evidence" rule which permitted directed verdicts even though there was far more evidence in the case than a plaintiff would have needed to withstand a demurrer.

* * * The rule that a case must go to the jury unless there was "no evidence" was completely repudiated in *Schuylkill and Dauphin Improvement Co. v. Munson*, 14 Wall. 442, 447[, 448, 20 L.Ed. 867 (1871)], upon which the Court today relies in part. There the Court declared that "some" evidence was not enough—there must be evidence sufficiently persuasive to the judge so that he thinks "a jury can properly proceed." The traditional rule was given an ugly name, "the scintilla rule", to hasten its demise. * * * The same transition from jury supremacy to jury subordination through judicial decisions took place in State courts.

* * *

The call for the true application of the Seventh Amendment is not to words, but to the spirit of honest desire to see that Constitutional right preserved. Either the judge or the jury must decide facts and to the extent that we take this responsibility, we lessen the jury function. Our duty to preserve this one of the Bill of Rights may be peculiarly difficult, for here it is our own power which we must restrain. * * * As for myself, I believe that a verdict should be directed, if at all, only when, without weighing the credibility of the witnesses, there is in the evidence no room whatever for honest difference of opinion over the factual issue in controversy. * * *

Id. at 397–407, 63 S.Ct. at 1089–96, 87 L.Ed. 1474–81.

NEELY v. MARTIN K. EBY CONSTRUCTION CO., 386 U.S. 317, 321–22, 87 S.Ct. 1072, 1076–77, 18 L.Ed.2d 75, 80–81 (1967). Plaintiff brought a wrongful death action against defendant, claiming that defendant's negligent construction, maintenance, and supervision of a missile silo proximately caused the death of plaintiff's father, who died when he fell from a platform while working at the silo. At the close of plaintiff's case and again at the close of all the evidence, defendant moved unsuccessfully for a directed verdict. The jury returned a \$25,000 verdict for plaintiff, and the trial judge entered judgment for plaintiff after denying defendant's Rule 50(b) motion or, alternatively, its motion for a new trial.

On appeal, the Court of Appeals for the Tenth Circuit found the evidence insufficient to establish negligence or proximate cause, and reversed the district court's ruling on defendant's Rule 50(b) motion.

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Plaintiff appealed to the Supreme Court, arguing that she had had no opportunity to raise claims for a new trial, and therefore an appellate court could not dismiss the case without running afoul of the Seventh Amendment jury trial right. Justice White wrote:

* * * The question here is whether the Court of Appeals, after reversing the denial of a defendant's Rule 50(b) motion * * *, may itself order dismissal or direct entry of judgment for defendant. As far as the Seventh Amendment's right to jury trial is concerned, there is no greater restriction on the province of the jury when an appellate court enters judgment n.o.v. than when a trial court does; consequently, there is no constitutional bar to an appellate court granting judgment n.o.v. * * *

In our view, therefore, Rule 50(d)^b makes express and adequate provision for the opportunity—which the plaintiff-appellee had without this rule—to present his grounds for a new trial in the event his verdict is set aside by the court of appeals. If he does so in his brief—or in a petition for rehearing if the court of appeals has directed entry of judgment for appellant—the court of appeals may make final disposition of the issues presented, except those which in its informed discretion should be reserved for the trial court. If appellee presents no new trial issues in his brief or in a petition for rehearing, the court of appeals may, in any event, order a new trial on its own motion or refer the question to the district court, based on factors encountered in its own review of the case.

* * *

In the case before us, petitioner won a verdict in the District Court which survived respondent's n.o.v. motion. In the Court of Appeals the issue was the sufficiency of the evidence and that court set aside the verdict. Petitioner, as appellee, suggested no grounds for a new trial in the event her judgment was reversed, nor did she petition for rehearing in the Court of Appeals, even

though that court had directed a dismissal of her case. Neither was it suggested that the record was insufficient to present any new trial issues or that any other reason required a remand to the District Court. Indeed, in her brief in the Court of Appeals, petitioner stated, “this law suit was fairly tried and the jury was properly instructed.” It was, of course, incumbent on the Court of Appeals to consider the new trial question in the light of its own experience with the case. But we will not assume that the court ignored its

duty in this respect, although it would have been better had its opinion expressly dealt with the new trial question.

NOTES AND QUESTIONS

1. In *Weisgram v. Marley Co.*, 528 U.S. 440, 120 S.Ct. 1011, 145 L.Ed.2d 958 (2000), a wrongful death action, plaintiff introduced expert testimony over defendant’s objection and won a jury verdict. On appeal, the Eighth Circuit held that the district court erred in admitting the expert testimony, and found that the remainder of the evidence in the record was insufficient to support the verdict. The Supreme Court held that the appeals court under *Neeley* could direct entry of judgment as a matter of law for the verdict-loser, if “on excision of testimony erroneously admitted, there remains insufficient evidence to support the jury’s verdict.” *Id.* at 457, 120 S.Ct. at 1022, 145 L.Ed.2d at 974.

2.For a criticism of *Galloway* and other Supreme Court cases upholding procedures that impinge on the jury right, see Thomas, *The Missing American Jury: Restoring the Fundamental Constitutional Role of the Criminal, Civil, and Grand Juries* (2016); Thomas, *The Seventh Amendment, Modern Procedure, and the English Common Law*, 82 Wash.U.L.Q. 687 (2004).

2.STANDARDS FOR A MOTION FOR JUDGMENT AS A MATTER OF LAW

DENMAN V. SPAIN

Supreme Court of Mississippi, 1961.
[242 Miss. 431, 135 So.2d 195.](#)

LEE, PRESIDING JUSTICE.

Betty Denman, a minor, * * * sued * * * [the] executrix of the estate of Joseph A. Ross, deceased, to recover damages for personal injuries sustained by her, allegedly resulting from the negligence of the decedent in the operation of an automobile. The issue was submitted to a jury on the evidence for the plaintiff—no evidence being offered for the defendant—and there was a verdict and judgment for the plaintiff in the sum of \$5,000. However, on motion of the defendant, a judgment *non obstante veredicto* * * * was sustained and entered. From that action, the plaintiff has appealed.

* * *

The appellant contends that the evidence offered by her, together with the reasonable inferences therefrom, was sufficient to make an issue for the jury as to whether the alleged negligence of the deceased driver, Ross, proximately caused or contributed to the collision and the consequent damage * * *.

A careful scrutiny and analysis of the evidence is therefore necessary:

Sunday, March 23, 1958, was a rainy, foggy day. About six o’clock that afternoon, at dusk, Mrs. Eva B. Denman, accompanied by her granddaughter, Betty, the plaintiff, was driving her Ford car southward on U.S. Highway 49E. At that time, Joseph A. Ross, accompanied by Miss Euna Tanner and Mrs. J.L. Haining, was driving his Plymouth car northward on said highway. Just south of the Town of Sumner, the cars collided. Mrs. Denman, Miss Tanner and Ross were killed. Betty, nearly seven years of age at the time, and Mrs. Haining were injured. Neither had any recollection of what had happened at the time of the collision. * * *

Plaintiff’s father, Stuart Denman, who went to the scene shortly after the collision, described the situation substantially as follows: The Ford car was about seven yards off the paved surface on the east side in a bar pit “heading back towards the railroad track, which is in an easterly direction.” The engine and transmission were on the opposite side of the road, out of the car and about fifty yards apart. The Plymouth was also on the east side, facing west, about fifteen yards north of the Ford.

No proof was offered as to skid marks, or other evidence to show the point of contact between these two vehicles. Eleven photographs of the damaged Plymouth, taken from various positions, and thirteen pictures of the damaged Ford, also taken from various positions, other than being mute evidence of a terrible tragedy, depict no reasonable or plausible explanation as to why this collision occurred, or who was responsible for it. * * *

Over objection by the defendant, John Barnett testified that he was driving a Dodge pickup north of [sic] highway 49E on his way to Tutwiler; that he was traveling at a speed of fifty or fifty-five miles per hour; that the Plymouth, which was in the wreck, passed him about three-fourths of a mile south of where the collision occurred, going at a speed of about seventy miles per hour; that when it passed, it got back in its lane, and neither wavered nor wobbled thereafter; that he followed and observed it for a distance of forty or fifty yards, and that it stayed in its proper lane as long as he saw it. Although another car was on the road ahead of him, he could have seen as far as the place of the accident except for the rain and fog.

Over objection by the defendant, Hal Buckley, a Negro man, testified that he was also traveling north on 49E on his way to Tutwiler at a speed of forty to fifty miles per hour. About two hundred yards south of the place where the collision occurred, a light green Plymouth, which he later saw at the scene of the accident, passed him at a speed of seventy-five or eighty miles an hour. He could see its taillights after it passed, and “he was just steady going; he wasn’t doing no slowing up.” He saw it until it ran into the other car. On cross-examination, he said that, after this car passed him, it got back on its side of the road, drove straight, and he did not notice that it

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ever went back over the center. Also on cross-examination, in an effort at impeachment, a part of the transcript in [an earlier] * * * trial [brought unsuccessfully against the estate of plaintiff’s grandmother] containing this question and answer, was read to him as follows: “What do you estimate the speed of that car was when it passed you—the one that was going the same direction that you were?”, and the answer was: “Well, I don’t have no idea.” * * * He then admitted that when the car passed him, it got back on its side and drove straight ahead, and that he could see the accident, but he could not tell anything about it or on which side of the road it happened. He also did not notice the other car, which came from the other direction.

Since Barnett did not see the car any more after it had gone forty or fifty yards beyond him, and his knowledge of speed was based on what he saw about three-fourths of a mile south of the place where the collision occurred, this evidence was inadmissible * * *. On the contrary, since Buckley testified the speed of this car, when it passed him, was seventy-five to eighty miles an hour and that it did not slow down in the remaining distance of two hundred yards before the collision, such evidence was competent and admissible * * *. The attempted impeachment went to its credibility and not its admissibility.

From this evidence, the plaintiff reasons that the jury could, and did, find that the Ross car was being operated, under inclement weather conditions, at an unlawful and negligent rate of speed, and that, if Ross had had his car under adequate and proper control, in all probability the collision could have been avoided. She voices the opinion that the physical facts, including the pictures of the wrecked vehicles, indicated that the Ford car was probably across the highway at an angle of perhaps forty-five degrees at the time of the collision.

But the testimony of Buckley showed only that the Plymouth was being operated at an excessive and negligent rate of speed. It otherwise showed that the car was in its proper lane. He did not notice it go over the center at any time, but it was driven straight down the road. No eyewitness claimed to have seen what happened. There was no evidence to indicate the place in the road where the vehicles came in contact with each other. There was no showing as to the speed of the Ford, whether fast or slow; or as to whether it was traveling on the right or wrong side of the road; or as to whether it slid or was suddenly driven to the wrong side of the road into the path of the Plymouth. The cars were so badly damaged that the pictures afford no reasonable explanation as to what person or persons were legally responsible for their condition. In other words, just how and why this grievous tragedy occurred is completely shrouded in mystery.

The burden was on the plaintiff to prove by a preponderance of the evidence, not only that the operator of the Plymouth was guilty of

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negligence but also that such negligence proximately caused or contributed to the collision and consequent damage. By the use of metaphysical learning, speculation and conjecture, one may reach several possible conclusions as to how the accident occurred. However such conclusions could only be classed as possibilities; and this Court has many times held that verdicts cannot be based on possibilities. At all events, there is no sound or reasonable basis upon which a jury or this Court can say that the plaintiff met that burden.

The judgment must be affirmed.

Affirmed.

NOTE AND QUESTIONS

Do you agree that a jury properly could not have found for plaintiff in the *Denman* case? What inferences would have to be drawn from the evidence to reach such a conclusion? How would you support the proposition that these inferences reasonably could be found to be stronger than other inferences that would not lead to a verdict for plaintiff? If the jury could decide reasonably one way or the other, is the decision “an emotional rather than a rational act”? See Michael, *The Basic Rules of Pleading*, 5 Record of N.Y.C.B.A. 175, 199–200 (1950).

REEVES V. SANDERSON PLUMBING PRODUCTS, INC.

Supreme Court of the United States, 2000.
[530 U.S. 133](#), [120 S.Ct. 2097](#), [147 L.Ed.2d 105](#).

Certiorari to the United States Court of Appeals for the Fifth Circuit.

JUSTICE O’CONNOR delivered the opinion of the Court.

This case concerns the kind and amount of evidence necessary to sustain a jury’s verdict that an employer unlawfully discriminated on the basis of age. Specifically, we must resolve whether a defendant is entitled to judgment as a matter of law when the plaintiff’s case consists exclusively of a prima facie case of discrimination and sufficient evidence for the trier of fact to disbelieve the defendant’s

legitimate, nondiscriminatory explanation for its action. * * *

* * * [In age discrimination cases, the Courts of Appeals generally first require plaintiff to establish a prima facie case of discrimination, and then the burden of production shifts to defendant to present evidence supporting a legitimate, nondiscriminatory reason for the job action. Petitioner satisfied this burden, and the burden shifted to respondent.] Respondent met this burden by offering admissible evidence sufficient for the trier of fact to conclude that petitioner was fired because of his failure to maintain accurate attendance records. * * * Accordingly, * * * the sole remaining issue was “discrimination *vel non*” * * *.

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Although intermediate evidentiary burdens shift back and forth under this framework, “[t]he ultimate burden of persuading the trier of fact that the defendant intentionally discriminated against the plaintiff remains at all times with the plaintiff.” * * * And in attempting to satisfy this burden, the plaintiff—once the employer produces sufficient evidence to support a nondiscriminatory explanation for its decision—must be afforded the “opportunity to prove by a preponderance of the evidence that the legitimate reasons offered by the defendant were not its true reasons, but were a pretext for discrimination.” * * * That is, the plaintiff may attempt to establish that he was the victim of intentional discrimination “by showing that the employer’s proffered explanation is unworthy of credence.” * * * Moreover, although the presumption of discrimination “drops out of the picture” once the defendant meets its burden of production, * * * the trier of fact may still consider the evidence establishing the plaintiff’s prima facie case “and inferences properly drawn therefrom . . . [omission in original] on the issue of whether the defendant’s explanation is pretextual” * * *.

In this case, the evidence supporting respondent’s explanation for petitioner’s discharge consisted primarily of testimony by [the supervisor and others] * * * of petitioner’s alleged “shoddy record keeping.” * * *

Petitioner, however, made a substantial showing that respondent’s explanation was false. First, petitioner offered evidence that he had properly maintained the attendance records. * * *

Petitioner similarly cast doubt on whether he was responsible for any failure to discipline late and absent employees. * * * [The company admitted that petitioner was not responsible for disciplining employees, and conceded that there had never been a union grievance or employee complaint about petitioner’s recordkeeping, and there was testimony about the absence of overpayments.]

Based on this evidence, the Court of Appeals concluded that petitioner “very well may be correct” that “a reasonable jury could have found that [respondent’s] explanation for its employment decision was pretextual.” * * * Nonetheless, the court held that this showing, standing alone, was insufficient to sustain the jury’s finding of liability: “We must, as an essential final step, determine whether Reeves presented sufficient evidence that his age motivated [respondent’s] employment decision.” * * * And in making this determination, the Court of Appeals ignored the evidence supporting petitioner’s prima facie case and challenging respondent’s explanation for its decision. * * * The court confined its review of evidence favoring petitioner to that evidence showing that * * * [the supervisor] had directed derogatory, age-based comments at petitioner, and that * * * [the supervisor] had singled out petitioner for harsher treatment than younger employees. * * * It is therefore apparent that the

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court believed that only this additional evidence of discrimination was relevant to whether the jury’s verdict should stand. That is, the Court of Appeals proceeded from the assumption that a prima facie case of discrimination, combined with sufficient evidence for the trier of fact to disbelieve the defendant’s legitimate, nondiscriminatory reason for its decision, is insufficient as a matter of law to sustain a jury’s finding of intentional discrimination.

In so reasoning, the Court of Appeals misconceived the evidentiary burden borne by plaintiffs who attempt to prove intentional discrimination through indirect evidence. * * * [T]he factfinder’s rejection of the employer’s legitimate, nondiscriminatory reason for its action does not *compel* judgment for the plaintiff. * * *

* * * [H]owever, * * * it is *permissible* for the trier of fact to infer the ultimate fact of discrimination from the falsity of the employer’s explanation. * * *

Proof that the defendant’s explanation is unworthy of credence is simply one form of circumstantial evidence that is probative of intentional discrimination, and it may be quite persuasive. * * * In appropriate circumstances, the trier of fact can reasonably infer from the falsity of the explanation that the employer is dissembling to cover up a discriminatory purpose. * * * Moreover, once the employer’s justification has been eliminated, discrimination may well be the most likely alternative explanation, especially since the employer is in the best position to put forth the actual reason for its decision. * * * Thus, a plaintiff’s prima facie case, combined with sufficient evidence to find that the employer’s asserted justification is false, may permit the trier of fact to conclude that the employer unlawfully discriminated.

This is not to say that such a showing by the plaintiff will *always* be adequate to sustain a jury’s finding of liability. Certainly there will be instances where, although the plaintiff has established a prima facie case and set forth sufficient evidence to reject the defendant’s explanation, no rational factfinder could conclude that the action was discriminatory. * * *

Whether judgment as a matter of law is appropriate in any particular case will depend on a number of factors. Those include the strength of the plaintiff’s prima facie case, the probative value of the proof that the employer’s explanation is false, and any other evidence that supports the employer’s case and that properly may be considered on a motion for judgment as a matter of law. * * * For

purposes of this case, we need not—and could not—resolve all of the circumstances in which such factors would entitle an employer to judgment as a matter of law. It suffices to say that, because a prima facie case and sufficient evidence to reject the employer’s explanation may permit a finding of liability, the Court of Appeals erred in

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proceeding from the premise that a plaintiff must always introduce additional, independent evidence of discrimination.

* * *

The remaining question is whether, despite the Court of Appeals’ misconception of petitioner’s evidentiary burden, respondent was nonetheless entitled to judgment as a matter of law [under Federal Rule 50]. * * * The Courts of Appeals have articulated differing formulations as to what evidence a court is to consider in ruling on a Rule 50 motion. * * * Some decisions have stated that review is limited to that evidence favorable to the nonmoving party, * * * while most have held that review extends to the entire record, drawing all reasonable inferences in favor of the nonmovant * * *.

On closer examination, this conflict seems more semantic than real. Those decisions holding that review under Rule 50 should be limited to evidence favorable to the nonmovant appear to have their genesis in *Wilkerson v. McCarthy*, 336 U.S. 53[, 69 S.Ct. 413, 93 L.Ed. 497] (1949). * * * In *Wilkerson*, we stated that “in passing upon whether there is sufficient evidence to submit an issue to the jury we need look only to the evidence and reasonable inferences which tend to support the case of” the nonmoving party. * * * But subsequent decisions have clarified that this passage was referring to the evidence to which the trial court should *give credence*, not the evidence that the court should *review*. In the analogous context of summary judgment under Rule 56, we have stated that the court must review the record “taken as a whole.” *Matsushita* * * * [p. 1029, *supra*]. And the standard for granting summary judgment “mirrors” the standard for judgment as a matter of law, such that “the inquiry under each is the same.” *Anderson v. Liberty Lobby* * * * [p. 1027, *supra*]. It therefore follows that, in entertaining a motion for judgment as a matter of law, the court should review all of the evidence in the record.

In doing so, however, the court must draw all reasonable inferences in favor of the nonmoving party, and it may not make credibility determinations or weigh the evidence. * * * “Credibility determinations, the weighing of the evidence, and the drawing of legitimate inferences from the facts are jury functions, not those of a judge.” * * * Thus, although the court should review the record as a whole, it must disregard all evidence favorable to the moving party that the jury is not required to believe. * * * That is, the court should give credence to the evidence favoring the nonmovant as well as that “evidence supporting the moving party that is uncontradicted and unimpeached, at least to the extent that that evidence comes from disinterested witnesses.” * * *

* * *

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Applying this standard here, it is apparent that respondent was not entitled to judgment as a matter of law. In this case, in addition to establishing a prima facie case of discrimination and creating a jury issue as to the falsity of the employer’s explanation, petitioner introduced additional evidence that * * * [the supervisor] was motivated by age-based animus and was principally responsible for petitioner’s firing. * * *

Further, petitioner introduced evidence that [the supervisor] was the actual decisionmaker behind his firing. * * *

* * * Again, the court disregarded critical evidence favorable to petitioner * * *. The court also failed to draw all reasonable inferences in favor of petitioner. For instance, while acknowledging “the potentially damning nature” of * * * [the supervisor’s] age-related comments, the court discounted them on the ground that they “were not made in the direct context of Reeves’s termination.” * * * And the court discredited petitioner’s evidence that * * * [the supervisor] was the actual decisionmaker by giving weight to the fact that there was “no evidence to suggest that any of the other decisionmakers were motivated by age.” * * * In concluding that these circumstances so overwhelmed the evidence favoring petitioner that no rational trier of fact could have found that petitioner was fired because of his age, the Court of Appeals impermissibly substituted its judgment concerning the weight of the evidence for the jury’s.

* * * Given the evidence in the record supporting petitioner, we see no reason to subject the parties to an additional round of litigation before the Court of Appeals rather than to resolve the matter here. * * * Given that petitioner established a prima facie case of discrimination, introduced enough evidence for the jury to reject respondent’s explanation, and produced additional evidence of age-based animus, there was sufficient evidence for the jury to find that respondent had intentionally discriminated. The District Court was therefore correct to submit the case to the jury, and the Court of Appeals erred in overturning its verdict.

For these reasons, the judgment of the Court of Appeals is reversed.

It is so ordered.

[A concurring opinion of JUSTICE GINSBURG is omitted.]

NOTES AND QUESTIONS

1. The Court in *Reeves* resolved a conflict in the circuits concerning the portion of the evidence a court is to consider in ruling on a motion under Rule 50. Some of the circuits had examined all of the evidence in a manner most favorable to the nonmoving party; others considered only the

evidence that supports the verdict winner; still others considered uncontradicted, unimpeached evidence from disinterested witnesses. See Schwimmer

Electronics Co. v. Sony Corp., 459 U.S. 1007, 103 S.Ct. 362, 74 L.Ed.2d 398 (1982) (White, J., dissenting from the denial of certiorari). Do you agree with the majority’s statement in *Reeves* that these various standards reflect only “semantic” differences? What did the Court mean when it stated the “the court should give credence to the evidence favoring the nonmovant as well as that ‘evidence supporting the moving party that is uncontradicted and unimpeached, at least to the extent that that evidence comes from disinterested witnesses.’ ”? For a discussion, see Childress, *Standards of Review Primer: Federal Civil Appeals*, 293 F.R.D. 156 (2013).

2. In deciding *Reeves*, the Court analogized a motion for judgment as a matter of law under Rule 50 to a motion for summary judgment under Rule 56 because “the standard for granting summary judgment ‘mirrors’ the standard for judgment as a matter of law.” For a discussion of the operation of summary judgment motions, see Chapter 13, *supra*. The interaction between Rule 50 and Rule 56 can be complicated when the court denies a motion for summary judgment and the case then proceeds to trial. In *ORTIZ v. JORDAN*, 562 U.S. 180, 131 S.Ct. 884, 178 L.Ed.2d 703 (2011), the Supreme Court held that challenges to the sufficiency of the record at summary judgment are not preserved for appeal after trial. Instead, the Court explained that defendants needed, post-trial, to file a motion for judgment as a matter of law under Rule 50(b) in order to raise a sufficiency-of-the-evidence issue that they had pursued unsuccessfully in a pretrial summary judgment motion. *Id.* at 191–92, 131 S.Ct. at 893, 178 L.Ed.2d at 708. What purpose does this requirement serve?

3. Either party may move for a judgment as a matter of law under Rule 50(a). If plaintiff’s motion is denied, what are defendant’s next steps in the litigation? What if it is defendant’s motion that has been denied?

3. THE MOTION FOR JUDGMENT AS A MATTER OF LAW AFTER THE VERDICT (J.N.O.V.)

Why is there a need for a judgment as a matter of law after the jury has rendered its verdict? If a case has not been made during the presentation of the evidence, shouldn’t the court have dismissed the case without submission to the jury? In fact, it is extremely rare that a court will grant a motion for judgment as a matter of law at the end of all of the evidence. Instead it will wait until after the jury has made its decision. Why is this so? In this context consider the situation if the trial judge is held to be incorrect in granting the motion and the appellate court reverses. What is the posture of the case at that point? Do the same considerations obtain when the court grants such a motion at an earlier time, e.g., at the end of plaintiff’s case?

BALTIMORE & CAROLINA LINE, INC. v. REDMAN, 295 U.S. 654, 656, 658–60, 55 S.Ct. 890, 891–93, 79 L.Ed. 1636, 1637–40 (1935) (opinion by Justice Van Devanter):

This was an action in a federal court in New York to recover damages for personal injuries allegedly sustained by the plaintiff through the defendant’s negligence. The issues were tried before the court and a jury. At the conclusion of the evidence, the defendant moved for a dismissal of the complaint because the evidence was insufficient to support a verdict for the plaintiff, and also moved for a directed verdict in its favor on the same ground. The court reserved its decision on both motions, submitted the case to the jury subject to its opinion on the questions reserved, and received from the jury a verdict for the plaintiff. No objection was made to the reservation or this mode of proceeding. Thereafter the court held the evidence sufficient and the motions ill grounded, and accordingly entered a judgment for the plaintiff on the verdict.

The defendant appealed to the Circuit Court of Appeals, which held the evidence insufficient and reversed the judgment with a direction for a new trial. The defendant urged that the direction be for a dismissal of the complaint. But the Court of Appeals ruled that under our decision in *Slocum v. New York Life Insurance Company* [, 228 U.S. 364, 33 S.Ct. 523, 57 L.Ed. 879,] the direction must be for a new trial. * * *

In *Slocum* * * * a jury trial in a federal court resulted in a general verdict for the plaintiff over the defendant’s request that a verdict for it be directed. Judgment was entered on the verdict for the plaintiff and the defendant obtained a review in the court of appeals. That court examined the evidence, concluded that it was insufficient to support the verdict, and on that basis reversed the judgment given to the plaintiff on the verdict, and directed that judgment be entered for the defendant. The question presented to us was whether, in the situation disclosed, the direction for a judgment for the defendant was an infraction of the Seventh Amendment. We held it was and that the direction should be for a new trial.

It therefore is important to have in mind the situation to which our ruling applied. In that case the defendant’s request for a directed verdict was denied without any reservation of the question of the sufficiency of the evidence or of any other matter; and the verdict for the plaintiff was taken unconditionally, and not subject to the court’s opinion on the sufficiency of the evidence. * * *

A very different situation is disclosed in the present case. The trial court expressly reserved its ruling on the defendant’s motions to dismiss and for a directed verdict, both of which were based on the asserted insufficiency of the evidence to support a verdict for the plaintiff. Whether the evidence was sufficient or otherwise was a question of law to be resolved by the court. The verdict for the plaintiff was taken pending the court’s rulings on the motions and subject to those rulings. No objection was made to the reservation or this mode of proceeding, and they must be regarded as having the tacit consent of the parties. * * *

At common law there was a well-established practice of reserving questions of law arising during trials by jury and of taking verdicts subject to the ultimate ruling on the questions reserved; and under this practice the reservation carried with it authority to make such ultimate disposition of the case as might be made essential by the ruling under the reservation, such as nonsuiting the plaintiff where he had obtained a verdict, entering a verdict or judgment for one party where the jury had given a verdict to the other, or making other essential adjustments.

Fragmentary references to the origin and basis of the practice indicate that it came to be supported on the theory that it gave better opportunity for considered rulings, made new trials less frequent, and commanded such general approval that parties litigant assented to its application as a matter of course. But whatever may have been its origin or theoretical basis, it undoubtedly was well established when the Seventh Amendment was adopted, and therefore must be regarded as a part of the common-law rules to which resort must be had in testing and measuring the right of trial by jury as preserved and protected by that amendment.

NOTES AND QUESTIONS

1. Note that the Seventh Amendment provides that “no fact tried by a jury, shall be otherwise re-examined in any Court of the United States, other than according to the rules of the common law.” It was in that regard that the Supreme Court in *SLOCUM v. NEW YORK LIFE INSURANCE CO.*, 228 U.S. 364, 33 S.Ct. 523, 57 L.Ed. 879 (1913), relied upon in *Redman*, p. 1125, supra, held that once the trial court has denied a defendant’s directed verdict motion and allowed the case to go to the jury, the court could not order a judgment contrary to the jury verdict, but could only order a new trial. In *Redman*, the Court distinguished *Slocum* because the judge had reserved ruling on the directed verdict, so that the jury verdict was taken subject to his decision on the motion. Initially, Rule 50(b) appeared to authorize a court to grant a motion for judgment as a matter of law after a jury verdict only if a motion for a directed verdict had been made “at the close of all of the evidence.” Some courts had read this strictly to bar the later motion if the motion for a directed verdict had originally been made only at the end of plaintiff’s case. In 2006 Rule 50(b) was amended to permit renewal of any Rule 50(a) motion without any requirement that the motion have been made at the close of evidence. Does the automatic reservation of legal questions raised by the motion meet the concerns raised in *Redman*?

2. What are the purposes of Rule 50(b) other than to satisfy the requirements of *Redman*? Suppose a party who has moved for a judgment as a matter of law at the end of all the evidence solely on the ground that one element of the case has not been proven, argues that the evidence was insufficient to establish a different element when the motion is renewed after the jury verdict? Should the new ground be considered?

3. When must a Rule 50(b) motion be filed? When does the period begin to run if the jury is discharged without reaching a verdict?

D. INSTRUCTIONS AND VERDICTS

1. INSTRUCTIONS TO THE JURY

Read Federal Rule of Civil Procedure 51 and the comparative state materials in the Supplement.

a. Requests for and Objections to Instructions

Before the jury retires to deliberate and decide, the court instructs it on the law to be applied and the manner in which it is to reach a decision. In most jurisdictions, the courts take the position that the judge, as the impartial umpire in the case, should have the last word in order that partisan appeals by counsel will be tempered by a dispassionate statement of the law to be applied. Federal Rule 51 was amended in 1987 to give the judge the option to instruct the jury before or after closing arguments, or both.

Normally, the court requires the attorneys to submit proposed instructions at some point during the trial, usually after the evidence has been completed. The court then determines which of these instructions to give and which of its own to add. Under the rules of most jurisdictions, unless the party requested an instruction or immediately objected to an instruction, an appeal cannot be taken. See *Alexander v. Kramer Bros. Freight Lines, Inc.*, p. 50, supra. However, courts may treat the failure to request an important instruction differently than the failure to object to an erroneous instruction. In *Fisher v. Ford Motor Co.*, 224 F.3d 570, 576 (6th Cir. 2000), the court stated that it reviews de novo the accuracy of instructions that were given, whereas it reviews a trial court’s decision not to give a requested instruction only for an abuse of discretion.

One explanation for the disparate treatment was offered by *Wirtz v. International Harvester Co.*, 331 F.2d 462 (5th Cir. 1964), cert. denied, 379 U.S. 845, 85 S.Ct. 36, 13 L.Ed.2d 50 (1964), in which the court reversed a judgment on the ground that a vital instruction, not challenged below, clearly was incorrect. The appellate court stated that both parties have a duty to ensure that important instructions are phrased properly, not just the party who would be injured if an improper instruction were to be given.

From a tactical point of view, the drafting of proposed instructions poses a serious dilemma. On the one hand, every attorney wants a set of instructions that is as favorable to his client as possible. On the other hand,

the more slanted the instructions proposed, the more likely it is that the judge will discard them. Moreover, if the judge accepts a highly prejudicial instruction, a jury verdict based upon it may be reversed on appeal. See generally Powers, *Requests for Instructions*, 28 F.R.D. 239 (1960). In addition, instructions are likely to be ignored if they are so long and technical that the jurors cannot understand them. Thus an attorney is wise to seek a simple, favorable instruction on a point. See Bissett & Heinen, *Accurately Instructed in the Law: Finding State Jury Instructions*, 94 Mich.B.J. 48 (Nov. 2015).

NOTES AND QUESTIONS

1. Why shouldn't instructions be the sole responsibility of the trial judge? Federal Rule 51 and its state counterparts usually are justified on the ground that a court should be told of its errors and omissions in time to correct them in order to avoid the costs and delays of a new trial. Is there some other reason? Note that Rule 51 requires the trial judge to inform the lawyers prior to their closing arguments as to what instructions will be given. Objections are then to be made before the jury retires but out of its hearing. What purpose do these provisions serve?

2. In 1981, a noted federal judge pointed to serious problems in the instruction process:

Prevailing practices of instructing juries are often so archaic and unrealistic that even in relatively simple cases what the jurors hear is little more than legal mumbo jumbo to them. Responsibility for the shortcomings of present practices must be shared by lawyers, trial courts, and appellate courts—lawyers for submitting self-serving, excessively long and argumentative instructions, trial judges for adhering to archaic practices out of fear of being reversed, and appellate courts for elevating legal abstractions over juror understanding.

Schwartz, *Communicating with Juries: Problems and Remedies*, 69 Calif.L.Rev. 731, 732 (1981). Since then, steps have been taken to improve juror comprehension. See Dumas, *Jury Trials: Lay Jurors, Pattern Jury Instructions, and Comprehension Issues*, 67 Tenn.L.Rev. 701 (2000); see also Marder, *Bringing Jury Instructions into the Twenty-First Century*, 81 Notre Dame L.Rev. 449 (2006).

3. Juries frequently have been accused of invading the province of the judge by ignoring its instructions, fabricating their own rules of law, and applying them to the facts. E.g., Frank, *Courts on Trial* 110–11 (1949). Consider the following excerpt in terms of whether the jury really is abusing its function by not applying the law in strict fashion:

Some might view the jury's * * * [ability to ignore the law] as a disadvantage of the jury. However it does ensure that the process of adjudication is democratic and allows for flexibility from the

potentially rigid application of rules of law that do not countenance novel situations or fact patterns. Furthermore, the actions of the jury in importing community values into the adjudicatory process are incremental in the sense that a single jury can act only in the case before it based on the facts presented to it. * * * The ability of the jury to import community values into the process of adjudication is also what allows it to function as a “bulwark of liberty” and to resist abusive exercise of governmental power against the citizenry. * * *

Smith, *Structural and Functional Aspects of the Jury: Comparative Analysis and Proposals for Reform*, 48 Ala.L.Rev. 441, 473–74 (1997). See also Varol, *Structural Rights*, 100 Geo.L.J. 1001, 1047 (2017):

The importance of juries as a structural check on the political branches is enhanced by several other factors. First, the local nature of most juries ensures that the jury represents local majorities that are often minorities on a national scale. Juries can therefore protect the rights of the local community against abusive national majorities. In addition, where unanimous verdicts are required, even a sole dissenter can be outcome determinative. And even where non-unanimous verdicts are possible, a small number of jurors can still influence the outcome. Finally, the transparent nature of the jury trial, which allows all citizens to observe the judicial process, enhances the structural role of the jury as a check on government power.

b. Commenting on the Evidence by Judges

NUNLEY v. PETTWAY OIL CO., 346 F.2d 95, 98–99 (6th Cir. 1965). Plaintiff brought suit for personal injuries received when a truck fell off a grease rack in a gas station. The jury found plaintiff to be a licensee rather than an invitee at the time of the accident, and, applying the applicable law, the court entered judgment for defendant. On appeal plaintiff contended that the court had commented improperly to the jury on the licensee-invitee question. During their initial deliberations the jurors were unable to agree on this issue. The judge then called them into the courtroom and urged them to try to arrive at a decision as follows:

Now, the jury of course is the sole and exclusive judge of the facts in this lawsuit. It is appropriate that the Court in an effort to be possibly of some help to the jury may comment upon the evidence. I refrain from doing that and have refrained until this time from doing it in this case. However, in an effort to be of some possible assistance to you I think that I should under these circumstances make some comment upon the evidence upon this issue of invitee-licensee. I want you to understand, however, that in making these comments that you are not in any degree, in any respect, obligated to receive or accept or agree with what I may say. It is your duty

to accept what I say with regard to the law in the case, but it is not your duty to accept any comment that I may make or any

evaluation that I may make or conclusion that I might reach on the evidence. That is solely your responsibility and solely your duty. *But, with that understanding, it is the opinion of the Court in this case that, from all the evidence upon the issue of invitee or licensee, that the evidence will establish that at the time and place of the accident the plaintiff was a licensee and not an invitee.* Now, I say that just for the purpose, as I say, of possibly being of some help to you, but I want you to understand that in making that comment you are not obligated whatsoever to accept that comment as your comment or as your opinion in the case, because it is your job and your responsibility to resolve that issue. I only make that with the thought and the hope that it may be of some possible assistance to you. At any rate, I want to ask you once again to retire and consider your verdict and see if you cannot come to some agreement, some verdict that will reflect the views of all of the jurors. * * *

The Court of Appeals reversed, stating:

We recognize that the right of a District Judge to comment on the evidence is firmly established in the federal system. See *Quercia v. United States*, 289 U.S. 466, 53 S.Ct. 698, 77 L.Ed. 1321 (1933) * * *. We do not seek narrowly to confine this right when it is used to inform the jury as to problems which they must consider.

* * *

Nonetheless, we believe that under the circumstances enumerated, the trial judge’s opinion on the licensee-invitee issue was an opinion on an ultimate fact question peculiarly for jury consideration and amounted to an instructed verdict as to defendant Pettway Oil Company.

In *Quercia v. United States*, supra, Chief Justice Hughes commented:

“This privilege of the judge to comment on the facts has its inherent limitations. His discretion is not arbitrary and uncontrolled, but judicial, to be exercised in conformity with the standards governing the judicial office. In commenting upon testimony he may not assume the role of a witness. He may analyze and dissect the evidence, but he may not either distort it or add to it. His privilege of comment in order to give appropriate assistance to the jury is too important to be left without safeguards against abuses.”

* * *

NOTES AND QUESTIONS

1.In *Quercia*, a *criminal* case, quoted in *Nunley*, the Supreme Court reversed a conviction because the following charge was given to the jury:

And now I am going to tell you what I think of the defendant’s testimony. You may have noticed, Mr. Foreman and gentlemen, that he wiped his hands during his testimony. It is rather a curious thing, but that is almost always an indication of lying. Why it should be so we don’t know, but that is the fact. I think that every single word that man said, except when he agreed with the Government’s testimony, was a lie.

Now, that opinion is an opinion of evidence and is not binding on you, and if you don’t agree with it, it is your duty to find him not guilty.

Id. at 468–69, 53 S.Ct. at 698, 77 L.Ed. at 1324. Was the court in *Nunley* justified in relying on *Quercia*? Aren’t there substantial differences between the two cases?

2. In light of the decision in *Nunley*, what is the meaning of the court’s statement: “We recognize that the right of a District Judge to comment on the evidence is firmly established in the federal system”? The Sixth Circuit, relying upon *Nunley*, explained: “Courts have long recognized that while trial judges have wide discretion to comment upon the evidence presented during trial and to bring facts deemed important to the jury’s attention, such activities must be performed with ‘strict neutrality and utmost impartiality.’ ” *Rocha v. Great American Insurance Co.*, 850 F.2d 1095 (6th Cir. 1988) (citation omitted).

3.What are the arguments for and against allowance of a broad judicial power to comment on the evidence? See Lerner, *The Transformation of the American Civil Trial: The Silent Judge*, 42 Wm. & Mary L.Rev. 195 (2000); Weinstein, *The Power and Duty of Federal Judges to Marshall and Comment on the Evidence in Jury Trials and Some Suggestions on Charging Juries*, 118 F.R.D. 161 (1988); Wright, *Instructions to the Jury: Summary Without Comment*, 1954 Wash.U.L.Q. 177. Professor Wigmore severely criticized the federal approach exemplified in *Quercia*. See 9 Wigmore on Evidence § 2551 (Chadbourn rev. 1981).

4. Jurisdiction in the *Nunley* case was based on diversity of citizenship. Suppose that the law of the state permits the trial judge to express an opinion as to whether the evidence is sufficient to establish the ultimate facts in the case. To what extent is the federal court allowed to follow the state practice?

2.PERMITTING INSTRUCTIONS TO BE TAKEN INTO THE JURY ROOM; NOTE-TAKING AND JUROR DISCUSSIONS DURING TRIAL

EASTERBROOK, CHIEF JUDGE.

Waste Management, Inc., grew at an average annual rate of 26% from 1979 through 1991. When growth fell off, James Koenig, its Chief Financial Officer, decided to improve appearances. He devised several accounting strategies that a jury found to be fraudulent. The district judge imposed a civil penalty of about \$2.1 million and ordered Koenig to disgorge the bonuses he received in 1992, 1994, and 1995 (\$831,500, plus more than \$1.2 million in prejudgment interest). Bonuses depended on Waste Management’s profits. If its profits had been stated correctly, the judge concluded, Koenig would not have received these bonuses. The court also enjoined Koenig from again serving as a director or top manager of a public company.

* * *

After learning that Koenig planned to pitch his defense on the theory that Waste Management’s new management had taken an “earnings bath” to make its own performance look good by comparison, the SEC filed a motion in limine asking the district court to exclude all evidence related to this theme. The right question, the SEC insisted, was whether Koenig intentionally made (or caused Waste Management to make) materially misleading statements * * *. According to the SEC, the motive of anyone other than Koenig was irrelevant. Indeed, Koenig’s motive also was irrelevant * * *. The plaintiff in a securities-fraud suit must show intentional deceit * * *; the motive for that deceit is beside the point.

The district court should have granted the SEC’s motion. Instead the judge denied the motion, while warning Koenig that if motive became an issue he would allow the SEC to introduce its own evidence (much of which was sure to be hearsay) about why people acted as they did. Koenig then presented his defense, the SEC responded in kind, hearsay became rampant, and the trial dragged on and on, lasting a total of 12 weeks.

A good deal of research shows that 20 days is about the longest trial any jury can comprehend fully; the longer the trial goes, the more the jury forgets and the less accurate the decision becomes. * * * No wonder the ABA strongly recommends short trials. * * * Koenig does not complain about the trial’s length; perhaps he was hoping that jurors would lose focus. (A 12-week trial *about accounting!* Sounds like material for Jay Leno.) * * *

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* * * Principle 13(C) of the ABA’s American Jury Project recommends that judges permit jurors to ask questions of witnesses. The Final Report of the Seventh Circuit’s American Jury Project 15–24 (Sept.2008) concurs, with the proviso that jurors should submit their questions to the judge, who will edit them and pose appropriate, non-argumentative queries. District judges throughout the Seventh Circuit participated in that project. The judges, the lawyers for the winning side, and, tellingly, the lawyers for the losing side, all concluded (by substantial margins) that when jurors were allowed to ask questions, their attention improved, with benefits for the overall quality of adjudication. Keeping the jurors’ minds on their work is an especially vital objective during a long trial about a technical subject, such as accounting. The district judge in this case permitted jurors to submit questions to him. Some were asked; others were reformulated and asked; some were not asked, when the judge thought them inappropriate or repetitive.

Koenig contends that permitting the jurors to participate in this fashion is a reversible error. That can’t be because any statute or rule of procedure bans the process. There is no such statute or rule. Nor has any court of appeals forbidden the judge to ask questions submitted by the jurors. * * * The ABA and Seventh Circuit jury projects found benefits; so have scholars. * * *

In opposition to these studies, Koenig has only occasional judicial skepticism. For example, we said more than a decade ago that questions from jurors are “fraught with risks”. * * * Similar [appellate court] statements are easy to find * * *. These expressions reflect concern that allowing jurors to ask questions will lead them to take positions too early in the trial, emulating the advocates by choosing sides and becoming argumentative rather than reflective. The jury projects and other studies were designed to find out whether these risks are realized so frequently that they overcome the benefits, such as keeping jurors alert and focused. Now that several studies have concluded that the benefits exceed the costs, there is no reason to disfavor the practice. Like other issues of trial management—may jurors take notes? Should written jury instructions and copies of exhibits be sent to the jury room during deliberations?—whether to allow the jurors to pose questions is a topic committed to the sound discretion of the judge. That discretion was not abused in this case; to the contrary, the judge’s decision, like his supervision of the questioning process, was well considered and sensible.

Koenig contends that the judge should have limited the jurors to “clarifying” questions, but jurors’ perspectives are so different from those of lawyers that it is difficult to see how such a limit could be enforced (or why it would be appropriate). Testimony that seems clear to a specialist in

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accounting or securities law may be confusing to a juror encountering these subjects for the first time, so a juror may see as “clarifying” a question that the lawyer sees as unnecessary or obtuse. A judge should serve as a filter for questions and eliminate or rephrase those that are irrelevant or disguised argument (as the judge at this trial did); more than that a court of appeals cannot sensibly demand.

That some glitches occurred in the process—the judge forgot to ask some of the jurors’ questions for some witnesses, and he failed

to call back one witness when the jurors wanted to ask additional questions—is neither surprising nor a ground for concern. Trials are complex proceedings, and a judge must concentrate attention on what is most pressing. Jurors were told not to draw inferences from the judge’s decision not to ask particular questions; there is little reason to think that jurors would have held against Koenig the judge’s failure (even if inadvertent) to ask any particular question. Nor does it strike us as unusual or a source of concern that three jurors collectively asked about two-thirds of the 127 total questions submitted by the panel; some people are more voluble than others. That the panel had members of different interests and proclivities is a strength rather than a weakness of the system. (Note that 127 questions is roughly two per trial day; this litigation was not taken over by the jury.)

Koenig sees in some of the proposed questions (principally those filtered out by the judge) signs that a few jurors had made up their minds or taken an adversarial position in mid-trial. It is dangerous to draw such inferences from questions; judges often ask pointed questions of both sides, and it would be a mistake to infer from these questions that the judge was leaning against *both* litigants. No matter. Koenig’s position seems to be that ignorance is bliss: if some jurors have reached a tentative conclusion in mid-trial, it is best not to know it. Why? Jurors must be impartial, but like everyone else they respond to evidence and may think that they know enough even when lawyers want to feed them more. (We’ve already said that this trial lasted far too long; it is no surprise that some jurors thought they knew enough to decide even while the trial was ongoing.) Lawyers should want to *know* when some jurors are tending the other side’s way, so that they can make adjustments to their presentations in an effort to supply whatever proof the jurors think vital, but missing. Just as questions from the bench can supply insight that helps lawyers make a stronger case, so questions from jurors can help lawyers tailor their presentations. Keeping jurors silent won’t prevent them from reacting to the evidence; it will just make it harder for lawyers to know how things are going. It is a lot easier (and more reliable) to read jurors’ questions than to read the expressions on their faces.

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* * * The judgment is affirmed except with respect to the calculation of Koenig’s bonuses [relevant to the District Court’s disgorgement remedy] * * *, and the case is remanded for further proceedings consistent with this opinion.

NOTES AND QUESTIONS

The *Koenig* decision reflects recent efforts to enhance juror performance through various procedural innovations. See p. 1065, Note 2, *supra*. In addition to permitting jurors to ask questions, reforms include providing jurors with a written copy of instructions, permitting jurors to take notes, and allowing interim discussion. See Hannaford-Agor, *Judicial Nullification? Judicial Compliance and Non-Compliance with Jury Improvement Efforts*, 28 N.Ill.U.L.Rev. 407 (2008). See also Susman & Jolly, *An Empirical Study on Jury Trial Innovations* (2016).

Written Instructions: Practices vary on whether the judge will give written instructions to the jury to be taken into the jury room, and in the federal system Rule 51 does not mandate such delivery. Some courts provide only a single copy which the jurors must share. See Mize, Hannaford-Agor & Waters, National Center for State Courts, *The State-of-the-States Survey of Jury Improvement Efforts: A Compendium Report* (2007). Other courts have provided an audiotape or videotape of the judge reading the instructions. See Marder, *Bringing Jury Instructions into the Twenty-First Century*, 81 Notre Dame L.Rev. 449, 500–01 (2006).

An early study of written instructions found it to be “hardly reasonable to suppose that the jury, composed as it is of persons unfamiliar with either law or legal language and having heard the instructions but once as given orally by the court, will be able to remember them in detail as it ponders the matters committed to it for decision.” California Law Revision Commission, *Recommendation and Study Relating to Taking Instructions into the Jury Room*, pp. C-15–C-17 (1956) (Tabular Summary of the Law of Other States). Later empirical studies associate written jury instructions with improved juror performance. See, e.g., Heuer & Penrod, *Instructioning Jurors: A Field Experiment with Written and Preliminary Instructions*, 13 Law & Hum. Behav. 409 (1989); see also Diamond & Ryken, *The Modern American Jury: A One Hundred Year Journey*, 96 Judicature 315 (May–June 2013). Are there any effective arguments against giving written instructions to the jury? Might the possession of written instructions unduly influence the jury’s discussion? Does possession of written instructions tend to affect the amount of influence some jurors have on the rest of the panel?

Juror Note-Taking: In many jurisdictions jurors are permitted and even encouraged to take notes throughout the trial for use during the deliberations, and empirical research supports the practice as a way to enhance juror performance. See Hans, *Empowering the Active Jury: A Genuine Tort Reform*, 13 Roger Williams U.L.Rev. 39, 50–52 (2008) (reporting survey data that jurors could take notes in more than 70 percent of state and federal civil trials). The

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ABA Principles, referred to in *Koenig*, recommend the practice in Principle 13. Is there a danger that note-taking will distract the juror from listening to the evidence? Will jurors tend to give excessive weight to their notes, even if taken in error? Does the ability to take notes quickly give untoward influence to some jurors? Should jurors be permitted to use laptops?

Early Juror Discussion: Jurors almost always are warned that they are not to discuss the case with anyone, even the other jurors until the case is submitted to them at the close of the trial. What dangers do you see if jurors were to be permitted to discuss the case at an earlier stage? The Arizona judiciary, a leader among the states in studying jury practices and implementing reforms, has adopted a rule permitting jurors to discuss the case among themselves during the course of trial, but only if all jurors are present in the room. What are the potential advantages of the Arizona rule? Is it ever possible to reserve judgment on complicated issues while engaged in an active discussion? See Strier, *Making Jury Trials More Truthful*, 30 U.C.Davis

L.Rev. 95, 140–41 (1996). For a study of the participants’ views of the Arizona experiment, see Hans, Hannaford & Munsterman, *The Arizona Jury Reform Permitting Civil Jury Trial Discussions: The Views of Trial Participants, Judges, and Jurors*, 32 U.Mich.J.L.F. 349 (1999). See also Diamond, Vidmar, Rose, Ellis & Murphy, *Juror Discussions During Civil Trials: Studying an Arizona Innovation*, 45 Ariz.L.Rev. 1 (2003). Although these reforms have been shown to improve juror competence, one survey, based on a questionnaire for judges about trial practices, showed that only 14 percent of judges permit such discussion. See Civil Jury Project at NYU School of Law, Fact Sheet: Juror Discussion of Evidence Before Deliberation (data current as of April 2016).

Social Media: A majority of federal courts bar jurors from using social media to discuss trial. See St. Eve & Zuckerman, *Ensuring an Impartial Jury in the Age of Social Media*, 11 Duke L. & Tech Rev. 1 (2012); Simpler III, *The Unjust “Web” We Weave: The Evolution of Social Media and Its Psychological Impact of Juror Impartiality and Fair Trials*, 36 Law & Psychol. Rev. 275 (2012); Mastro, *Preventing the “Google Mistrial”: The Challenge Posed by Jurors Who Use the Internet and Social Media*, 37 No. 2 Litigation 23 (2011).

3.VERDICTS

a.Submission of the Case to the Jury

After final arguments are completed and the instructions given, the jurors are placed in the custody of a bailiff or similar court official who guards them during deliberations. It is the bailiff’s duty to make certain that the jurors remain together and have no contact with other persons except by court order.

In some cases the jurors will find it difficult to agree on a verdict. If this is due to uncertainty as to the content of the instructions, they may ask the court to reread the instructions, and, if necessary, to augment them. See, e.g., *Diniero v. United States Lines Co.*, p. 53, supra. If there is

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disagreement as to what one or more of the witnesses said, the jurors may request that the testimony of those witnesses be read to them. Whenever the jury reenters the courtroom, whether for further instructions or for the reading of testimony, it is wise to notify both parties and their attorneys in advance. Otherwise the verdict may be subject to reversal on appeal. What is the purpose of a rule requiring notice? How rigidly should it be enforced?

Suppose after lengthy deliberations the jurors still are unable to agree. How long may they be kept in session? When a court orders an end to a session, must it then dismiss the jury and order a new trial? If not, must the jurors be locked up, free from all contact with outsiders, or should they be allowed to go home until such time as they are ordered to reassemble?

At some point, of course, if the jurors cannot agree, they will have to be discharged and a mistrial declared. However, courts are reluctant to order a mistrial; a new trial generates cost and delay. Thus, in some situations, a court will urge a stalemated jury to make a further attempt to arrive at a verdict. Moreover, a substantial number of jurisdictions have tried to cut down the number of stalemates by permitting a non-unanimous verdict. See Diamond, *Revisiting the Unanimity Requirement: The Behavior of the Non-Unanimous Civil Jury*, 100 Nw.U.L.Rev. 201 (2006).

In some cases the jury is able to arrive at a verdict almost immediately. Indeed, it may be possible for the jurors to agree without even leaving the jury box. Should a verdict in a complex case ever be subject to attack because it was rendered quickly?

b.The Form of the Verdicts

Read Federal Rules of Civil Procedure 48(b) and (c) and 49 and the accompanying materials in the Supplement.

The traditional form of the jury decision, the general verdict, is used almost exclusively in the great majority of courts. A general verdict simply announces which party wins, and, if it is plaintiff, the amount to be recovered. This type of verdict has two major deficiencies. First, there is no way to tell how the jurors decided specific issues, which, in turn, can result in the unnecessary retrial of the entire case. For example, suppose defendant raises a number of defenses, any one of which, if established, would require a verdict for defendant. Then the court, in an otherwise faultless charge, erroneously instructs the jury on one of these defenses in a manner detrimental to plaintiff, after which the jury finds for defendant. On appeal, the court will be required to reverse, since it has no way of telling whether the verdict was based solely on the tainted defense. If, however, the jury had been required to render a separate verdict on each

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one of the defenses, the court would know at once the bases of the jury decision and whether the error in the instruction was harmless. The second major drawback to the general verdict is the fact that there is no way of knowing whether the jury actually focused its attention on every major aspect of the case as required by the instructions, or whether it ignored the instructions altogether and rendered a decision based solely on sentiment, public opinion, bias, or similar emotion. Kotler, *Reappraising the Jury’s Role as Finder of Fact*, 20 Ga.L.Rev. 123 (1985).

The special verdict requires the jury to answer a series of questions regarding each facet of the case, but not to enter a verdict stating who wins:

A special verdict would seem to do away with some of the most objectionable features of trial by jury. The division of functions between jury and judge is apparently assured, the one attending to the facts alone, the other to the legal rules alone. The jury seems, by this device, to be shorn of its power to ignore the rules or to make rules to suit itself. As one court said, special verdicts “dispel * * * the darkness visible of general verdicts.” The finding of facts, says Sunderland, “is much better done by means of the special verdict. Every advantage which the jury is popularly supposed to have over the [judge] as a trier of facts is retained, with the very great additional advantage that the analysis and separation of the facts in the case which the court and the attorney must necessarily effect in employing the special verdict, materially reduce the chance of error. It is easy to make mistakes in dealing at large with aggregates of facts. The special verdict compels detailed consideration. But above all it enables the public, the parties and the court to see what the jury has really done * * *.” [Sunderland, *Verdicts General and Special*, 29 Yale L.J. 253 (1920).]

Frank, *Courts on Trial* 141–42 (1950). Critics of the special verdict argue that its use subverts the fundamental nature of the jury decision.

Not all would agree that [making jury decisions more scientific and trustworthy] is desirable, even if it were assumed that it is possible. Little is gained by making the law more scientific if, in the process, it becomes harder to achieve substantial justice. Some of the most famous students of the judicial process have argued that one of the purposes of the jury system is to permit the jury to temper strict rules of law by the demands and necessities of substantial justice and changing social conditions, thereby adding a much needed element of flexibility. Those who share this conception of the role of the jury rightly fear that it will be limited or defeated by the restraints imposed by the special verdict practice, and thus oppose widespread use of it.

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9B Wright & Miller, *Federal Practice and Procedure* § 2503 (3d ed.). Concerns of this nature induced Justices Black and Douglas to issue the following statement in connection with the Court’s 1963 amendment of Rule 49, see 374 U.S. 865, 867–68, 83 S.Ct. 43, 44–45 (1963):

* * * Rule 49 should be repealed. * * * Such devices are used to impair or wholly take away the power of a jury to render a general verdict. One of the ancient, fundamental reasons for having general jury verdicts was to preserve the right of trial by jury as an indispensable part of a free government. Many of the most famous constitutional controversies in England revolved around litigants’ insistence, particularly in seditious libel cases, that a jury had the right to render a general verdict without being compelled to return a number of subsidiary findings to support its general verdict. Some English jurors had to go to jail because they insisted upon their right to render general verdicts over the repeated commands of tyrannical judges not to do so. Rule 49 is but another means utilized by courts to weaken the constitutional power of juries and to vest judges with more power to decide cases according to their own judgments.

Judges may be reluctant to utilize the special verdict procedure because it can be difficult to form appropriate questions that cover the elements of the case yet avoid ambiguities that can lead to a reversal on appeal. See Ginsburg, *Special Findings and Jury Unanimity in the Federal Courts*, 65 Colum.L.Rev. 256 (1965) (setting out the history of the forms of jury verdict and raising questions about the unanimity requirement in cases in which an ultimate issue is supported by separate fact theories).

Rule 49(b) sets out an intermediate approach, namely the general verdict with answers to interrogatories, which requires the jury to give a general verdict but also requires it to provide answers to a series of questions that usually are less extensive than those used with the special verdict. Although this form alleviates some of the concerns about the general verdict, problems arise when the answers to the interrogatories are inconsistent with the general verdict or with each other. See Larsen, *Specificity and Juror Agreement in Civil Cases*, 69 U.Chi.L.Rev. 379 (2002).

NOLLENBERGER V. UNITED AIR LINES, INC.

United States District Court, Southern District of California, 1963.

[216 F.Supp. 734](#), vacated [335 F.2d 379](#) (9th Cir.),

cert. dismissed, [379 U.S. 951](#), [85 S.Ct. 452](#), [13 L.Ed.2d 549](#) (1964).

HALL, CHIEF JUDGE.

[This is a wrongful-death action in which the jury, pursuant to Rule 49(b), rendered a general verdict accompanied by interrogatories. Plaintiffs allege that the answers to the interrogatories are inconsistent with the

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general verdict. They request that the court either submit additional interrogatories to the jury, or calculate the verdict on the basis of the answers to the questions given, or grant a new trial.]

* * *

The first task of the Court is to determine whether or not the Findings of Fact in the answers, given by the jury to the special interrogatories, are consistent with each other and whether one or more, if consistent with each other, are inconsistent with the general

verdict fixing the total sum of damages to the plaintiffs resulting from the death of the decedent. And in doing so, <i>Gallick v. Baltimore & Ohio R.R. Co.</i> , 372 U.S. 108, 83 S.Ct. 659, 9 L.Ed.2d 618 (1963), “it is the duty of the courts to attempt to harmonize the answers, if it is possible under a fair reading of them * * *.”	
The text of the special verdict on damages in the Nollenberger case is as follows:	
We, the Jury in the above entitled case, unanimously find as follows:	
QUESTIONS	ANSWERS
1. Which one of the following named persons, viz.: William Edward Nollenberger, 45 years of age on April 21, 1958; Catherine B. Nollenberger, his widow, age 47 on April 21, 1958; William Edward Nollenberger, Jr., son, age 20 on April 21, 1958; Lawrence P. Nollenberger, son, age 11 on April 21, 1958; had the shortest life expectancy?	Wm. E. Nollenberger
1. How many years was that life expectancy on April 21, 1958?	25 (Total number of years)
1. How many years was decedent’s work and earning expectancy from and after April 21, 1958?	15 yrs (Total number of years)
1. From and after April 21, 1958, what total sum of money do you find the decedent would have earned during the period of his work and earning expectancy stated in your answer to No. 3 above?	\$235,210 (Total)
1. From and after the end of his work and earning expectancy, and during the remainder of his life, if any such remained, what total sum of money do you find decedent would have received as a result of his government employment?	\$100,200 (Total sum)
1. What is the total reasonable value of services susceptible of being furnished by others which you find it was reasonably probable that decedent would have provided under my instructions to you to the plaintiffs during his lifetime?	\$25,000 (Total value)
1. What percentage of his annual earnings, had he lived, from and after April 21, 1958, would have been used by decedent for his own personal expenses which were eliminated by his death?	25% (Percentage of annual earnings)
1. What percentage of his income would be paid as annual income tax had he lived after April 21, 1958?	15%
1. What percentage of the income from the award will be paid by plaintiffs as income tax?	11%
1. In determining the present reasonable value of services as defined in No. 6 above, what annual rate of inflation, if any, do you find should be allowed?	1%
1. What discount rate should be applied in arriving at the total sum of general damages?	4% (Discount rate)
1. What sum of money do you find plaintiffs’ general damages to be which you assess against Defendant United Air Lines?	\$114,655.00

DATED: At Los Angeles, California, January 16, 1963.

S/Burford A. Reynold
Foreman

The answers to the Special Interrogatories No. 1 to No. 11 are plainly consistent with each other and are amply supported by the evidence.

But, in repeated efforts to “harmonize” and “reconcile” the answers to the 11 special interrogatories with the general verdict of \$114,655.00, I have been unable to do so. And hence I must and do conclude that they are not harmonious or reconcilable.

While Rule 49(b) * * * under such circumstances permits, as one of three alternatives, the Court to re-submit the matter to the jury for further consideration, the plaintiffs desire the Court to go further and to submit additional interrogatories * * *. [H]ad it been the intention to permit *additional interrogatories* to be submitted *after* the general verdict and answers to the special interrogatories submitted with the verdict, the rule would have so provided, and the rule would not have contained the restrictive language of the second sentence of Rule 49(b)^c that the Court “ * * * shall direct the jury both to make written answers and to render a general verdict,” or the language * * * of Rule 49(b)^d (applicable here) that the Court, as one alternative, “ * * * may return the jury for *further consideration of its answers and verdict*.”

It could be argued from the portion of the rule last quoted that if that procedure were followed the jury could change both its answers and general verdict, or only the answers and not the general verdict. * * * That such action by the jury was not intended by the Rule is evidenced from the citation in the note to Rule 49 by the Advisory Committee of the case of *Victor-American Fuel Co. v. Peccarich*, (C.C.A.1913) 209 F. 568, cert. den. 232 U.S. 727, 34 S.Ct. 603, 58 L.Ed. 817. In that case the Court stated, at page 571: “ * * * these special findings must control when they clearly compel a different judgment from that which would follow the general verdict” * * *.

I conclude (1) that the findings of fact of the jury in answer to special interrogatories control over the general verdict; (2) that it is not within the power of the court under F.R.Civ.P. 49(b) to submit additional interrogatories after the jury has returned its verdict answering special interrogatories and at the same time returned a general verdict; (3) that in * * * *Nollenberger* * * * the answers to the special interrogatories are consistent with each other and inconsistent with and cannot be reconciled or harmonized with the general verdict; (4) that before granting a new trial, it is the duty of the Court to make calculations from the special interrogatories, and enter a judgment thereon. Which latter, I shall now do.

[The court then calculated the damages at \$171,702.00 and entered judgment for that amount.]

* * *

NOTES AND QUESTIONS

1. In overturning the *Nollenberger* decision, the court of appeals held as follows (335 F.2d at 407–09):

The district court stated that after repeated efforts, by mathematical calculation, to harmonize and reconcile the answers to the eleven special interrogatories with the general verdict, no harmony resulted. This may be so. But nothing in the law compelled the jury to calculate its damage awards according to a fixed mathematical formula using only the factors contained in the eleven special findings. * * *

The jury was admonished to award damages in accordance with all the instructions of the court. No party specifies as error the giving of any of the instructions set forth in the margin.⁴³

* * * Suffice it to say that the answers to the eleven special interrogatories do not exhaust all of the factors of damage included within the instructions, and therefore no square conflict exists between the answers and the general verdict. We are not called upon to consider either whether the jury should not have been permitted to consider one or more of the italicized factors or whether the damage awards manifest such passion or prejudice as would render them inadequate. We hold that the court’s utilization of the provisions of Rule 49(b) did not render proper its increase of damages in accordance with mathematical computations based upon the special findings.

2. Is the appellate decision in *Nollenberger* realistic? If so, what possible justification was there for the trial court’s decision to present the jury with special interrogatories? The appellate court gave plaintiff the option of accepting the jury’s general verdict or of having the case returned to the trial court for a ruling on plaintiff’s motion for a new trial. Should the court of

appeals itself have decided whether there should be a new trial in the event that plaintiff decided not to accept the jury award?

3. How far should a court go in reconciling a general verdict that appears to be in legal error on the basis of the jury’s answers to an interrogatory? In *Popham v. City of Kennesaw*, 820 F.2d 1570, rehearing denied, 828 F.2d 775 (11th Cir. 1987), plaintiff sued to recover for violations of his civil rights alleging that the police used excessive force to arrest him, falsely arrested him, and arrested him in order to deprive him of his First Amendment rights. The trial court submitted special interrogatories, including one asking whether the police used excessive force and another asking whether the officers held qualified immunity. The jury answered both in the affirmative, yet awarded damages to plaintiff. The court of appeals, in upholding the jury verdict, held that the trial judge had an obligation to interpret apparently conflicting interrogatories so as to sustain the jury’s general verdict. Applying the principle to the facts of the case, the court found that the jury’s answer about immunity was made only with respect to the false arrest and First Amendment claims, citing the trial judge’s instructions as support for its holding.

4.FINDINGS AND CONCLUSIONS IN NON-JURY CASES

Read Federal Rule of Civil Procedure 52 and the accompanying materials in the Supplement.

LANSFORD-COALDALE JOINT WATER AUTHORITY v. TONOLLI CORP.

United States Court of Appeals, Third Circuit, 1993.

[4 F.3d 1209.](#)

BECKER, CIRCUIT JUDGE.

The plaintiff, the Lansford-Coaldale Joint Water Authority (“Authority”), provides public water in Carbon County, Pennsylvania. The Authority’s groundwater production and supply wells are adjacent to a site formerly used for lead smelting that is owned by Tonolli Pennsylvania (“Tonolli PA”). After learning that there had been releases of hazardous substances on the Tonolli site and that Tonolli PA had applied for a hazardous waste disposal permit, the Authority commissioned a study to determine whether there was or would be any contamination of its wells. Based on this study, the Authority brought suit against Tonolli PA, its sister corporation, Tonolli Canada, and its parent corporation, IFIM, alleging that they were owners or operators of the Tonolli PA facility and that hazardous discharges from their property posed a threat of future

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contamination to the Authority’s water supply. Because Tonolli PA had become bankrupt, the Authority subsequently dropped its claims against it, and the trial proceeded against only Tonolli Canada and IFIM. The Authority’s suit sought to recover response costs under the Comprehensive Environmental Response, Compensation and Liability Act (CERCLA), 42 U.S.C. § 9607(a). More specifically, the Authority sought to obtain both the costs it would incur due to the threat of future contamination, e.g., the costs of obtaining an alternative water supply, and the costs it would incur in monitoring and evaluation. At the conclusion of the trial, the district court made oral findings of fact and conclusions of law denying the Authority recovery on all claims. This appeal followed.

* * *

Both the Authority and Tonolli Canada agree that the issues that surround the district court’s grant of judgment in favor of Tonolli Canada on both claims present mixed questions of law and fact. The general rule is that we break down the issues into their legal and factual components and engage in plenary review of the legal and factual components and engage in plenary review of the legal components and deferential review of the factual components. See *Ram Constr. Co. v. American States Ins. Co.*, 749 F.2d 1049, 1053 (3d Cir. 1984). There is disagreement, however, over the appropriate scope of review of the district court’s factual findings in this case. While ordinarily the factual components are reviewed only for clear error, the Authority contends that the district court’s factual findings here do not satisfy the purposes of Fed.R.Civ.P. 52(a) and hence should not be reviewed under a clearly erroneous standard.

The Authority complains that, despite the complexity of the case, the district court made its findings within a few hours after the trial ended instead of waiting for a transcript and taking the time to reflect and craft a written opinion. It also objects to the court’s having requested proposed findings from the parties only before and not after the trial. These objections seem to us designed more to undermine the substance of the findings themselves than to advance a claim of flawed methodology in their creation. However, the Authority also argues that the district court’s findings are not entitled to deference on appeal because most of them were adopted verbatim from the defendant’s proposed findings of fact.

We reject the Authority’s contention that, because the district court issued its findings orally a few hours after the trial without the benefit of proposed findings submitted by the parties post-trial, the findings do not satisfy the purposes of Fed.R.Civ.P. 52(a). Rule 52(a) expressly authorizes oral findings. * * * In fact, in 1983 Rule 52(a) was amended explicitly to sanction the use of oral findings in bench trials. See generally 9 Charles A. Wright, Arthur R. Miller & Frank W. Elliot, *Federal Practice & Procedure* § 2571, at 225 (Supp.1993). Not only did the district court’s approach not

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violate the literal language of Rule 52(a), but contrary to the Authority’s argument, it did not violate the spirit of the rule.

We do not deny the force of the Authority’s contention that the district court would have been well-served by requesting the parties to submit proposed factual findings after the close of trial and then articulating its own findings and legal reasoning in a carefully crafted opinion. In many cases this is the more desirable course of action. However, the Authority ignores the benefits of the district court’s approach: by issuing oral findings on the day the trial ended, the district court served the interests of the parties and the legal system in speedy adjudication. * * * In addition, by announcing its findings soon after the conclusion of the trial, the district court ensured that the record was fresh on its mind, an advantage a court lacks when making findings months later. Furthermore, the overwhelming demands on a district court’s time and resources also affects its ability to prepare extensive findings. For these reasons we reject the Authority’s suggestion that the district court’s oral findings are somehow suspect or tainted.⁴

We similarly reject the Authority’s argument that the district court’s verbatim adoption of many of Tonolli Canada’s proposed

factual findings contravened the purposes of Fed.R.Civ.P. 52(a) such that they do not warrant review under the clearly erroneous standard. This argument has been rejected by the Supreme Court in *Anderson v. Bessemer City*, N.C., 470 U.S. 564, 105 S.Ct. 1504, 84 L.Ed.2d 518 (1985), in which the Court held that a district court’s findings should receive no less deferential review when the district court announced its decision to the parties first and then asked the prevailing party to prepare findings of fact, many of which it ultimately adopted verbatim. The Court explained that “even when the trial judge adopts proposed findings verbatim, the findings are those of the court and may be reversed only if clearly erroneous.” Id. at 572, 105 S.Ct. at 1510–11.

In addition, we have squarely held that a district court’s findings, when adopted verbatim from a party’s proposed findings, do not demand more stringent scrutiny on appeal. * * *⁵ While we cannot dispute that a

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district court’s verbatim adoption of many of a party’s proposed findings does not always represent a desirable practice, we are satisfied that the district court’s findings here satisfy Rule 52(a) and should be upheld unless they are not supported by the evidence in the record. We note that we found no indication in the record that the district court was unfamiliar with the testimony and exhibits or that it was using the proposed findings as a crutch; if we had, we might view the matter differently. Rather, the record suggests to us that the district court’s findings reflected its informed and considered views.

* * *

We hold that the district court’s factual finding that the Tonolli site and the Authority’s wells are hydrogeologically isolated is not clearly erroneous. * * * We thus uphold the district court’s conclusion that the Authority did not sufficiently demonstrate * * * that the Tonolli site poses any threat of contamination to the Authority’s water supply. Moreover we have observed in this case and in a number of others * * * that the judge of the court has followed the practice of announcing his decision for the plaintiff or the defendant substantially in the form of a general verdict, either in a written order or by communication to counsel, and of thereupon directing counsel for the prevailing party to prepare and submit findings of fact, conclusions of law and a form of judgment. The trial judge’s order has not been accompanied by an opinion setting out, even summarily, the facts and legal conclusions which have brought him to his decision. Obviously the judge must have dealt with the questions of fact and law involved in the case in the course of the reasoning by which he has reached his ultimate conclusion, even though his reasoning has not been articulated and put on paper. But counsel who is called upon to articulate and write out the findings and conclusions must do so without any knowledge of the fact findings and reasoning processes through which the judge has actually gone in reaching his decision.

We strongly disapprove this practice. * * * Findings and conclusions prepared ex post facto by counsel, even though signed by the judge, do not serve adequately the function contemplated by the rule. At most they provide the judge with an opportunity to reconsider the bases of his original decision but without affording the parties any information as to what those bases were or which of them are being reconsidered. * * *

* * * We * * * do not * * * mean to suggest that a trial judge should not have the right to invite counsel for both parties to submit to him proposed findings of fact and conclusions of law, accompanied by briefs if he desires them, to assist him in formulating his own findings and conclusions and

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reaching his decision. In the process of studying the facts and the law, findings and conclusions formulated and proposed by the parties may be most helpful to the judge in sharpening the issues and may serve a very useful purpose in aiding him in drafting his own findings and conclusions. * * * But it should be remembered that findings and conclusions prepared by a party and adopted by the trial judge without change are likely to be looked at by the appellate court more narrowly and given less weight on review than if they are the work product of the judge himself or at least bear evidence that he has given them careful study and revision. * * * It has been the general practice of the district judges of the Third Circuit in the past under Rule 52(a) to formulate their findings of fact and conclusions of law in the course of and as a part of their decision-making process and to articulate and file them at the time of announcing the decision, either in an opinion if filed at that time or in a separate document. * * * [W]e strongly approve this practice and direct it to be followed * * * by the court below.

NOTES AND QUESTIONS

1. *Roberts v. Ross*, which the Third Circuit rejected in footnote 5, strongly criticized the practice of a judge announcing a decision “substantially in the form of a general verdict, either in a written order or by communication to counsel, and of thereupon directing counsel for the prevailing party to prepare and submit findings of fact, conclusions of law and a form of judgment”:

* * * Findings and conclusions prepared ex post facto by counsel, even though signed by the judge, do not serve adequately the function contemplated by the rule. At most they provide the judge with an opportunity to reconsider the bases of his original decision but without affording the parties any information as to what those bases were or which of them are being reconsidered. * * *

* * * We * * * do not * * * mean to suggest that a trial judge should not have the right to invite counsel for both parties to submit to him proposed findings of fact and conclusions of law, accompanied by briefs if he desires them, to assist him in formulating his own findings and conclusions and reaching his decision. * * * But it should be remembered that findings and conclusions prepared by a party and adopted by the trial judge without change are likely to be looked at by the appellate court more narrowly and given less weight on review than if they

are the work product of the judge himself or at least bear evidence that he has given them careful study and revision. * * *

Roberts v. Ross, 344 F.2d 747, 752 (3d Cir. 1965). The decision is discussed in 51 Cornell L.Q. 567 (1966), in which it is noted that on remand, the trial court, without a new hearing, reversed its earlier decision, and entered judgment for the party against whom it ruled initially.

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2. In *LEIGHTON v. ONE WILLIAM STREET FUND, INC.*, 343 F.2d 565, 567 (2d Cir. 1965), the court discussed Rule 52(a) as follows:

The purpose of Rule 52(a), as it is applied to a non-jury case, is usually stated to be three-fold: (1) to aid the appellate court by affording it a clear understanding of the ground or the basis of the decision of the trial court; (2) to make definite just what is decided by the case to enable the application of *res judicata* and estoppel principles to subsequent decisions; and (3) to evoke care on the part of the trial judge in ascertaining the facts.

Which of the listed purposes of Rule 52(a) do you find most important? How detailed must the findings and conclusions be to satisfy these purposes?

3. Rule 52(a)(6) was amended in 1985 and currently provides that findings of fact, “whether based on oral or other evidence,” are not to be set aside “unless clearly erroneous.” In *ANDERSON v. CITY OF BESSEMER*, p. 72, Note 3, *supra*, the Court emphasized that the clearly erroneous standard applies even to credibility determinations based upon documentary evidence, and the rule now so provides.

4. A motion to amend the court’s findings and conclusions of law may be made, but not later than 28 days after entry of judgment. See Rule 52(b). The procedure allows a court to correct plain errors of law or to take account of newly discovered evidence, and amendment may be requested “even if the modified or additional findings in effect reverse the judgment.” *Fontenot v. Mesa Petroleum Co.*, 791 F.2d 1207, 1219 (5th Cir. 1986). The motion may be made together with a Rule 59 motion for a new trial.

E. CHALLENGING ERRORS: NEW TRIAL

1. THE NATURE AND THE SCOPE OF THE POWER TO GRANT A NEW TRIAL

Read Federal Rules of Civil Procedure 59 and 61 and the accompanying materials in the Supplement.

NOTE ON THE RANGE OF THE TRIAL COURT’S DISCRETION

Errors committed during the course of a trial may be categorized as follows: (i) those that would result in reversal if the case were to be appealed; (ii) those that may have had an impact on the verdict, but do not justify reversal of the case on appeal, and (iii) those that did not significantly affect the outcome. Obviously errors that do not have any impact on the decision are harmless and it would be an abuse of discretion for the trial court to predicate a new trial on them. On the other hand, errors that would justify a reversal by an appellate court demand remedial measures at the trial level. A judge should

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not force a litigant to pay the costs of prosecuting an appeal as well as the costs of the new trial to which he is entitled.

The district court has discretion to decide whether a new trial is appropriate only with regard to errors that affect the result in the case but would not lead to reversal on appeal. However, the court’s power to grant a new trial is greater than it might otherwise seem to be. First, an aggrieved litigant may decide to stand or fall on the motion for new trial since the case simply may not be worth the added cost of an appeal or the litigant may not have sufficient funds to continue fighting. Second, in many jurisdictions, the grant of a new trial, not being a final judgment, cannot be appealed. Thus the cost of a new trial will have to be absorbed before an appeal is even possible. Third, the very question of what constitutes reversible error on appeal often is affected by the ruling of the trial judge on the motion for new trial. In those jurisdictions in which a motion for a new trial is a prerequisite for appeal, the denial of a new trial certainly will influence the appellate court in deciding whether the error is harmless for purposes of appeal if the effect of the error in question can better be determined by the trial judge. Even when a motion for a new trial is not required, and when, theoretically, the appellate court should not penalize a litigant for having so moved, knowledge that the trial judge has rejected the alleged error as harmless may have an impact on the decision of the appellate court. Finally, in some jurisdictions the trial judge may grant a new trial without specifying or without actually relying on any precise grounds. Obviously this narrows the scope of review of such decisions.

GINSBERG v. WILLIAMS, 270 Minn. 474, 135 N.W.2d 213 (1965). Plaintiff brought suit for damages received in an automobile accident. The jury rendered a verdict for defendant and plaintiff moved for a new trial. The court granted the motion “in the interests of justice,” giving no other basis for its ruling. Defendant sought a writ of prohibition to restrain enforcement of the ruling, claiming that the trial court is empowered to grant a new trial only for one of the grounds specifically set forth in Rule 59.01 of the Minnesota Rules of Civil Procedure. The Minnesota Supreme Court granted the writ, holding as follows:

* * * The causes enumerated in Rule 59.01 are so comprehensive that they include every conceivable reason for which a new trial ought to be ordered. Those causes requiring the exercise of discretion, such as 59.01(1) (irregularities depriving the moving

party of a fair trial) and 59.01(8) (insufficiency of the evidence), vest the broadest possible discretionary power in the trial court. To permit granting a new trial “in the interests of justice” would invite an arbitrary exercise of power over which appellate review is not now available. Even if it were, it would be difficult to fashion any effective rules to control arbitrary action since the basis for such an order would necessarily be subjective, varying from judge

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to judge. Further, each of the causes enumerated is designed to promote justice and prevent injustice. It is one thing to order a new trial “on the ground that on the evidence substantial justice has not been done” or in the interest of justice on the ground that the evidence does not justify the verdict, and quite another thing to order a new trial simply “in the interests of justice.” It is difficult to conceive how such a general ground would add anything to the grounds enumerated in our rules unless it is desirable to restore the common-law power of granting a new trial when the judge is personally dissatisfied with the verdict.

Id. at 483–84, 135 N.W.2d at 220.

NOTES AND QUESTIONS

1. In COPPO v. VAN WIERINGEN, 36 Wash.2d 120, 123–24, 217 P.2d 294, 297 (1950), the court stated:

One of the reasons assigned by the trial judge in the instant cases for granting new trials is that “substantial justice has not been done.” The statutes which enumerate the grounds on which new trials may be granted * * * make no mention of such a ground for a new trial; but we have always upheld the right of the trial judge to grant a new trial when he is convinced that substantial justice has not been done, on the theory that it is an exercise of the trial court’s inherent power. * * *

Actually, of course, when a trial judge says that “substantial justice has not been done,” he is stating a conclusion for which there must be a reason or reasons. * * * The reason we have barred any review of an order granting a new trial based on this conclusion * * * was expressed by the supreme court of Wisconsin in the case of *McLimans v. City of Lancaster*, 57 Wis. 297, 15 N.W. 194, 195: “The judge before whom the cause was tried heard the testimony, observed the appearance and bearing of the witnesses and their manner of testifying, and was much better qualified to pass upon the credibility and weight of their testimony than this court can be. *There are many comparatively trifling appearances and incidents, lights and shadows, which are not preserved in the record, which may well have affected the mind of the judge as well as the jury in forming opinions of the weight of the evidence, the character and credibility of the witnesses, and of the very right and justice of the case.* These considerations cannot be ignored in determining whether the judge exercised a reasonable discretion or abused his discretion in granting or refusing a motion for a new trial.” (Italics ours.)

2. Suppose a party moves for a new trial based on a number of specific errors, no one of which alone would be sufficiently prejudicial to justify a new

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trial. May the court under *Ginsberg v. Williams* grant the motion on the ground that all of the errors, taken together, deprived the losing party of a fair trial?

2.INCOHERENT JURY VERDICTS

MAGNANI V. TROGI

Appellate Court of Illinois, Second District, 1966.
[70 Ill.App.2d 216, 218 N.E.2d 21.](#)

CORYN, PRESIDING JUSTICE. * * *

Plaintiff’s complaint states two separate causes of action. In Count I she seeks recovery of \$30,000.00, as Administratrix, for the wrongful death of her decedent, pursuant to the Wrongful Death Act (Ill.Rev.Stats., ch. 70, §§ 1 & 2). By the second count of the complaint she seeks reimbursement, in her individual capacity, for medical and funeral expenses necessarily incurred by her as the result of the injury and death to her husband, pursuant to the Family Expense Statute (Ill.Rev.Stats., ch. 68, § 15).

The Wrongful Death Act provides that any recovery thereunder shall be distributed by the court in which the cause was heard to the widow and next of kin of the decedent, in proportion, as determined by the trial court, “that the percentage of dependency of each such person upon the deceased person bears to the sum of the percentages of dependency of all such persons upon the deceased person.” Here, any award of the jury, for a wrongful death, would be apportioned by the trial court to the widow and minor son of decedent. There would be no apportionment of any award made under the provisions of the Family Expense Statute.

* * *

In the instant case, there can be no doubt that the recovery sought under each count of plaintiff’s complaint was based on separate causes of action, that is, one action for wrongful death, and the other under the Family Expense Statute. Unfortunately, neither party to this suit tendered separate forms of verdict for each of these counts. Rather, a single form of verdict was submitted by the court to the jury without objection from plaintiff or defendant. Using this form the jury returned the following verdict: “We, the jury, find in favor of the plaintiff and against the defendant. We assess the damages in the sum of \$19,000.00.” The trial judge, in his memorandum of opinion

allowing a new trial, properly expressed the dilemma this verdict created for him by stating: “In the case at bar, there were two counts. Does the single verdict all apply to just one count, or to both counts? It might be that the verdict was all for the wrongful death action, and non-liability as to the medical expense cause of action.” After making this observation, the trial judge then concluded that the verdict must be set aside and a new trial ordered as to both the liability and damage aspects of the case. Although other points have been raised in

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this appeal, we believe the determinative issue to be whether the trial judge, when faced with this situation, abused his discretion by granting a new trial.

The purpose of vesting the trial judge with power to grant a new trial is to permit him, before losing jurisdiction of the case, to correct errors that he or the jury might have made during the course of the trial. Courts of review have repeatedly stated that they will not disturb the decision of a trial court on a motion for new trial unless a clear abuse of discretion is affirmatively shown. The reason for this rule is that the trial court has had the opportunity to consider the conduct of the trial as a whole, and therefore is in a superior position to consider the effects of errors which occurred, the fairness of the trial to all parties, and whether substantial justice was accomplished. * * * Greater latitude is allowed a trial court in granting a new trial than in denying a new trial. * * *

Plaintiff argues that defendant has waived his right to complain of the form of verdict because he did not object to the giving of this form to the jury, but raised the issue for the first time in his post-trial motion. In most instances this would be a valid argument. Here, however, because of the single form of verdict, the jury’s determination of liability and damages on each of the two causes of action was not made known. * * *

The jury returned its verdict on December 21, 1962, and the defendant filed his post-trial motion on January 15, 1963, thereby raising this issue for the first time. It was impossible, then, for the court to re-assemble the jury and instruct them to correct the error in the form of verdict. * * * We are not holding, by this opinion, that the failure to submit to the jury separate forms of verdict in cases involving multiple causes of action should, in every instance, result in the granting of a new trial, but rather, that in the situation presented here it was not an abuse of discretion for the trial judge to grant a new trial.

The order of the Circuit Court of Lake County, granting defendant’s motion for new trial, vacating and setting aside the verdict and judgment, and denying defendant’s motion for judgment notwithstanding the verdict, is affirmed.

Affirmed.

STOUDER, JUSTICE (dissenting).

* * *

As was succinctly stated in Hall v. Chicago and Northwestern Ry. Company, 349 Ill.App. 175, 110 N.E.2d 654 “We are not unmindful of the rule and cases which hold that the trial judge is allowed broad discretion in granting motions for a new trial, and that his actions will not be reversed on appeal except in cases of clear abuse of such discretion; but this rule, like all others, has its limitations. A judge is not empowered to set aside a

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verdict in any case simply because he does not agree with it. * * * ” In the instant case the trial court’s granting of a new trial was based upon a finding that the forms of verdict submitted to the jury were improper. It therefore should be our duty to examine the propriety of this finding in order to determine the limits which were self-imposed upon the discretion of the trial court.

Upon thorough examination of the record before us I am unable to find that Defendant made any objection to the forms of verdict at the conference on instructions or at any time prior to his post-trial motion. * * * Defendant’s failure to object to the forms at the proper time as well as his later failure to show that he was in fact prejudiced compels me in the instant case to find that the trial court’s finding was erroneous and Defendant’s motion for a new trial should have been denied.

* * *

ROBB v. JOHN C. HICKEY, INC.
Circuit Court of New Jersey, Morris County, 1941.
[19 N.J.Misc. 455, 20 A.2d 707.](#)

LEYDEN, JUDGE.

The issues presented by the pleadings were the negligence of the defendants and the contributory negligence of the plaintiff’s decedent. The jury was instructed concerning the applicable principles of law, in the course of which it was pointed out that if contributory negligence upon the part of the plaintiff’s decedent had been established, the comparative degrees of the negligence of the parties was immaterial.

The jury returned a verdict in the absence of the judge and it was recorded at the clerk’s desk as follows: “The jury finds that there was negligence on the part of both parties involved—The evidence shown is that the defendant was more negligent than the plaintiff—We therefore recommend an award of \$2,000.00 to the plaintiff Clyde J. Robb and against the defendants John C. Hickey, Inc., a New

Jersey Corporation and Roger W. King.”

Both parties are dissatisfied with the verdict; the plaintiff with its substance and the defendants with its form. Plaintiff has a rule to set aside the verdict upon the ground that it is ambiguous, inconsistent, inadequate and contrary to the charge of the court. Defendants, upon notice, move to mould the verdict into one in favor of the defendants and against the plaintiff, urging that it is merely informal and the intent of the jury to find for the defendants is clearly indicated * * *.

* * *

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* * * Here the verdict finds both parties guilty of negligence, erroneously compares the degrees of their negligence and recommends an award of \$2,000 in favor of the plaintiff and against both defendants. What then did the jury agree upon and intend? Did it find in favor of the defendants as is legally indicated by the first sentence, or in favor of plaintiff in the sum of \$2,000 as is clearly indicated by the last sentence? The recommendation of an award to the plaintiff is pertinent to the issues, for basically the liability of defendants to plaintiff in damages was in question. It cannot be treated as surplusage and disregarded. Reading the verdict as a whole, it is self-contradictory, inconsistent and ambiguous. One is left to conjecture and surmise as to the real purpose of the jury. It is defective in substance, not merely in form.

The court may, in fact should, mould an informal verdict to render it formal, effective and to coincide with the substance of the verdict as agreed upon and intended by the jury, but this power is only exercised where the real purpose and intent of the jury clearly, sufficiently and convincingly appears. * * * Where, as here, the verdict is uncertain or ambiguous, it cannot be moulded. The court will not substitute its verdict in place thereof. * * *

This leads to the denial of defendants’ motion to mould and is also dispositive of the plaintiff’s rule. The latter will be made absolute and a new trial granted.

NOTES AND QUESTIONS

1. Why is the verdict in *Robb* different from a verdict that recommends that the amount claimed be donated to the American Red Cross or some other charity? Can an argument be made in favor of a new trial in the latter situation? See *Rusidoff v. DeBolt Transfer, Inc.*, 251 Pa.Super. 208, 380 A.2d 451 (1977), in which the trial judge’s denial of a new trial was reversed when the jury verdict for defendant was rendered “with reservations due to the evidence provided.”

2. Suppose plaintiff brings suit for injuries suffered in an accident allegedly due to defendant’s negligence. The jury renders a verdict in favor of plaintiff but assesses damages at zero, although it is clear from the evidence that plaintiff has been badly hurt. May the judge enter judgment on the verdict? See *Wingerter v. Maryland Cas. Co.*, 313 F.2d 754 (5th Cir. 1963), and *Pitcher v. Rogers*, 259 F.Supp. 412 (N.D.Miss.1966), in which the courts answered “yes.” Can these decisions be reconciled with *Robb*? Would you agree that a motion for a new trial challenging a zero damages award as inconsistent with liability is waived when the moving party argues that the jury has rendered a verdict that contains two legal conclusions that are inconsistent with one another, but failed to object before the jury was discharged? In this situation, the Ninth Circuit has explained,

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[D]istrict court judges are in a unique position to instruct the jury regarding the meaning of the law, including whether two legal conclusions by the jury are inconsistent. * * * Where the jury’s verdict is in no way internally inconsistent, there is no more basis for resubmission to the jury than in any other case in which a party believes the verdict to be inconsistent with the record. The usual procedures for overturning jury verdicts as inconsistent with the facts therefore suffice and may be used without objecting to the verdict before the jury is dismissed.

Kode v. Carlson, 596 F.3d 608, 611 (9th Cir. 2010).

DUK V. MGM GRAND HOTEL, INC.

United States Court of Appeals for the Ninth Circuit, 2003.

[320 F.3d 1052.](#)

HAWKINS, CIRCUIT JUDGE.

Fernando Duk (“Duk”) appeals the judgment arising from a defense verdict in favor of MGM Grand Hotel, Inc. (“MGM”) in Duk’s personal injury action in which there were two trials and three verdicts. MGM cross-appeals the district court’s decision to resubmit the first verdict to the jury for clarification. Because we find that the court was within its discretion in resubmitting the first verdict, but erred in ordering a new trial upon receipt of the second verdict, we reverse and remand with instructions to enter judgment in Duk’s favor consistent with the first jury’s second verdict.

* * *

* * * The first jury trial was held in 1998. Because Nevada’s comparative negligence scheme awards damages only to those plaintiffs who are found to be 50% negligent or less, the jury was presented with a special verdict form in which it was asked to determine the relative negligence of each party. Nev.Rev.Stat. § 41.141. Question 5 of the verdict form asked the jury to allot a percentage of the total negligence to the plaintiff and to the defendant. Following question 5, the jury was instructed that if it found the plaintiff to be more than

50% negligent, it should “sign and return [the] [in original] verdict” and judgment would be entered for the defendant. However, if in question 5 the jury found the plaintiff’s negligence to be 50% or less, it was instructed to answer question 6, which asked for a determination of damages. Despite these instructions, the verdict form returned by the jury (“the first verdict”) attributed 65% of the negligence to Duk and 35% to MGM, but still went on to award Duk \$3.3 million in damages.

The district court reviewed the first verdict and, before announcing it, resubmitted the verdict form to the jury, informing the jury that the verdict contained an inconsistency and asking it to “continue [its] deliberations.” Following 20 minutes of deliberation, the jury returned with a new verdict

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(“the second verdict”), apportioning 51% of the fault to MGM and 49% to Duk, but leaving the award of damages the same. The court granted MGM’s subsequent motion for a new trial based on the inconsistency between the two verdicts.

* * *

At the second trial, the jury returned a verdict for MGM. Duk appeals the new trial grant and the judgment based upon the MGM verdict in the second trial, claiming that the second verdict was legitimate. * * * MGM cross-appeals, claiming that the trial court should not have resubmitted the original inconsistent verdict, but should have discarded the damages award and entered judgment for MGM. In the alternative, MGM argues that a new trial was properly ordered. * * *

* * * Although Rule 49(a), dealing with special verdicts such as this one, does not explicitly provide for resubmission in case of an inconsistency, we have held that, because the rule does not prohibit it, special verdicts are also subject to the practice. * * *

* * * [E]mbrace of the practice is based on the notion that resubmission “promotes both fairness and efficiency.” * * * That principle was reaffirmed in *Larson v. Neimi*, 9 F.3d 1397 (9th Cir. 1993), when we held that the resubmission of an inconsistent special verdict to a jury, with a request for clarification, was within the district court’s discretion. * * * *Id.* at 1402. * * *

Here, the inconsistency arose when the jury awarded damages to Duk, even though it found him more than 50% responsible for his own injuries. MGM argues that the jury contravened the verdict form’s instructions to “sign and return [the] verdict” if Duk were found to be more than 50% negligent and, as a result, resubmission was barred by *Floyd v. Laws*, 929 F.2d 1390, 1397 (9th Cir. 1991) (responses in special verdict given in violation of a “stop here” instruction should be disregarded).

Floyd involved a 42 U.S.C. § 1983 suit and pendent state tort claims brought by a mother and her children against a municipality and its police chief. *Id.* at 1392. The jury was given a special verdict form addressing each of the claims, and found the police chief liable for assault and false imprisonment. *Id.* However, after the jury had been discharged, the defendant’s counsel pointed out that the jury’s answers to two of the questions were apparently inconsistent with one another. The jury answered “no” to question 13, which asked whether the plaintiffs were damaged as a result of the chief’s actions. Following question 13 was an instruction which read: “If your answer to question 13 is ‘No,’ do not answer any further questions, but proceed to the end of this form and sign the verdict. If you answered ‘Yes’ to question 13, proceed to question 14.” *Id.* at 1392–93. Question 14 asked the jury to award damages, which it did,

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awarding the plaintiffs \$7,500. *Id.* at 1393. The trial court declared the answer to question 14 to be surplusage and entered judgment for the defendants. *Id.*

We upheld the trial court’s decision, holding that, “as in the case of parenthetical comments, special findings issued in violation of the trial court’s express instructions do not constitute legitimate or viable findings of fact.” *Id.* at 1397. Because the trial court was “bound by law to disregard any answer to question 14 as surplusage,” the damages award “never became a part of the special verdict, and the trial court was faced with no apparent inconsistency.” *Id.* at 1399–1400.

Floyd, however, does not address the situation where the jury is still available when the inconsistency is recognized. *Id.* at 1392. * * * Because the jury had already been dismissed, the trial court in *Floyd* was left with the option of either disregarding the jury’s answers following the “stop here” instruction or ordering a new trial. Thus, we had no occasion to consider whether resubmission, if it were possible, would *also* be within a trial court’s discretion.

* * *

* * * [W]hen the jury is still available, resubmitting an inconsistent verdict best comports with the fair and efficient administration of justice. Allowing the jury to correct its own mistakes conserves judicial resources and the time and convenience of citizen jurors, as well as those of the parties. It also allows for a resolution of the case according to the intent of the original fact-finder, while that body is still present and able to resolve the matter. An entirely different situation is present where the jury has been dismissed. There, dismissal of surplusage * * * makes sense. It is certainly preferable to ordering a new trial, and is very probably the best available instrument to determine the jury’s intent.

Resubmission, of course, leaves open the possibility that the jury will reach an improper “compromise” verdict. * * * However, we presume that citizen jurors will properly perform the duties entrusted them and will not construe resubmission as an invitation to subvert the law and contort findings of fact in favor of a desired result.

* * *

A trial court, is rarely entitled to disregard jury verdicts that are supported by substantial evidence. The Supreme Court has held that a trial court has a duty to attempt to harmonize seemingly inconsistent answers to special verdict interrogatories, “if it is possible under a fair reading of them.” * * * A court may not disregard a jury’s verdict and order a new trial until it “attempt[s] to reconcile the jury’s findings, by exegesis if necessary.” * * *

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[T]here is little authority addressing the question whether harmonization is required *across different verdicts*, where a verdict has been resubmitted for clarification. Indeed, resubmission necessarily means that there might well be a difference between the first verdict and that reached after resubmission. Such an “inconsistency” will usually be considered a proper correction of a mistake in the original verdict. However, even if the second verdict appears to the trial court to be an improper compromise, the Seventh Amendment requires the court to seek a legitimate explanation for a verdict that is not contrary to the weight of the evidence.* * * Further, verdicts rendered pursuant to resubmission are readily amenable to the harmonization requirement. In this case, the second verdict is flatly inconsistent with the first because it apportions liability differently. However, this discrepancy is easily explained by the process of redeliberation.

* * *

Resubmission of an inconsistent verdict is done with the sole purpose of allowing a jury to reconcile inconsistencies. This process is not simply restricted to correcting transcription errors, but also envisions a process of redeliberation. * * * Such a result is possible only where the jury is allowed to resume its deliberations. Some inconsistencies may only be resolved if the jury reconsiders its answers in light of the instructions given to determine how its legally inconsistent answers can be properly reconciled according to its view of the facts.

Once this premise is accepted, it becomes clear that a post-resubmission verdict can easily be harmonized with its earlier counterpart by reference to a wholly proper process of redeliberation. In this case, the second verdict was not internally inconsistent. The only reason the district court expressed in finding that a new trial was required was that the second verdict was the product of a “manipulation of negligence percentages.” The court did not consider the possibility that the jury came to a different conclusion as to the facts because it engaged in further deliberations and legitimately came to new findings of fact. This is precisely what the trial court instructed the jury to do. When the court resubmitted the verdict to the jury, it twice instructed the jurors to “continue [their] deliberations.”

* * *

* * * [H]owever, the amount of damages remained unchanged from the first verdict to the second. Therefore, it is still quite plausible that the jury changed the apportionment of liability because it redeliberated and either changed its mind or clarified its thinking. It cannot be said here that the jury was clearly seeking a predetermined result. * * * As we have stated, the trial court has a duty to reconcile the verdicts “on *any reasonable theory* consistent with the evidence.” * * * Because it is possible to explain the

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inconsistency in a way that comports with the law, the district court’s decision to disregard the second verdict and order a new trial was an abuse of discretion.

* * *

* * * We order reinstatement of the second verdict and entry of judgment for the plaintiff, including such interest thereon as calculated by the district court.

NOTE AND QUESTIONS

Are there practical difficulties to resubmission in jurisdictions that do not require jurors to remain together constantly once the case has been submitted? Before allowing the jurors to separate, the court normally will warn them not to discuss the case with anyone outside the jury room and not to inspect sites referred to in the testimony or otherwise to obtain evidence. See Steckler, Management of the Jury, 28 F.R.D. 190, 191 (1960). Is it realistic to expect jurors not to have some discussions of a case with other jurors or with their families? What should the court do if it learns that discussions have occurred?

3.JURY MISCONDUCT AND THE INTEGRITY OF THE VERDICT

Should a juror be permitted to impeach his or her own verdict? Under Lord Mansfield’s rule, courts were barred from relying on jurors’ affidavits to revisit a verdict. See Vaise v. Delaval, 1 Term Rep. 11, 99 Eng. Rep. 944 (K.B. 1785). In 1866, the Iowa Supreme Court became the first state to deviate from the Mansfield rule, holding that “affidavits of jurors may be received for the purpose of avoiding a verdict, to show any matter occurring during the trial or in the jury room, which does not essentially inhere in the verdict.” Wright v. Illinois & Mississippi Telegraph Co., 20 Iowa 195, 210 (1866). See also Woodward v. Leavitt, 107 Mass. 453 (1871).

Almost a century later, in SOPP v. SMITH, 59 Cal.2d 12, 27 Cal.Rptr. 593, 377 P.2d 649 (1963), the majority’s adherence to the Mansfield rule provoked a strong dissent from Justice Peters. Justice Peters acknowledged five reasons for adhering to “the strict rule of exclusion”:

- (1) The need for stability of verdicts;
- (2) the need to protect jurors from fraud and harassment by disappointed litigants;
- (3) the desire to prevent prolonged litigation;
- (4) the need to prevent verdicts from being set aside because of the subsequent doubts or

change of attitude by a juror; (5) the concept of the sanctity of the jury room.

But he saw the Iowa alternative as a better way to protect the integrity of the verdict without unduly intruding on jury deliberations:

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The Iowa rule is based upon the distinction between extrinsic or overt acts which may be corroborated or disproved, such as access to improper matter or an illegal method of reaching a verdict, and intrinsic matters which “inhere in the verdict itself” and hence are known only to the individual juror, such as misunderstanding or prejudice. Because matters which “inhere” in the verdict, including the thought processes and motives of the juror in reaching his decision, are not readily capable of being either corroborated or disproved they should be excluded.

Id. at 15–20, 27 Cal.Rptr. at 595–98, 377 P.2d at 651–54. In 1969 the California Supreme Court in *People v. Hutchinson*, 71 Cal.2d 342, 78 Cal.Rptr. 196, 455 P.2d 132 (1969), reversed its prior stance and accepted Justice Peters’ position that juror affidavits may be used in appropriate circumstances to impeach the verdict. Can you explain the distinction between extrinsic and intrinsic matters?

For an example of the difficulties that can arise when the court accepts affidavits of dissenting jurors alleging misconduct of the majority (when only a majority verdict is required), see *Johns v. City of Los Angeles*, 78 Cal.App.3d 983, 144 Cal.Rptr. 629 (2d Dist.1978) (hearing denied by four-to-three vote of the California Supreme Court). See MacKenzie III & Bromberg, Jr., *Jury Misconduct: What Happens Behind Closed Doors*, 62 Ala.L.Rev. 623 (2011).

NOTES AND QUESTIONS

1. Federal Rule of Evidence 606 addresses a juror’s competency as a witness. Subsection (b) is set out below.

(b) During an Inquiry into the Validity of a Verdict or Indictment.

(1) Prohibited Testimony or Other Evidence. During an inquiry into the validity of a verdict or indictment, a juror may not testify about any statement made or incident that occurred during the jury’s deliberations; the effect of anything on that juror’s or another juror’s vote; or any juror’s mental processes concerning the verdict or indictment. The court may not receive a juror’s affidavit or evidence of a juror’s statement on these matters.

(2) Exceptions. A juror may testify about whether:

(A) extraneous prejudicial information was improperly brought to the jury’s attention;

(B) an outside influence was improperly brought to bear on any juror; or

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(C) a mistake was made in entering the verdict on the verdict form.

Does Rule 606(b) follow the Mansfield or the Iowa rule? In *PENA-RODRIGUEZ v. COLORADO*, 137 S.Ct. 855, 197 L.Ed.2d 107 (2017), a Colorado jury convicted petitioner of harassment and unlawful sexual contact on a child. The empaneled jurors did not express any reservations based on racial or any other bias after repeatedly being asked if they could be fair and impartial in the case. Petitioner moved for a new trial based on affidavits of two of the jurors that during deliberations, a third juror had made statements establishing that his vote to convict was based on racial bias against petitioner and an alibi witness. The Colorado courts rejected the affidavits under Colorado’s Rule of Evidence 606(b) (virtually identical to Federal Rule 606(b)) that prohibits juror testimony as to statements made during deliberations to overturn a verdict. The Supreme Court, by a five-to-three decision, reversed. Although the Court generally praised Rule 606(b), it held that in the special case of racial bias in a criminal action, the Sixth Amendment required the rule to give way to permit consideration of the affidavits. Should this same approach be taken in civil cases, where the Sixth Amendment does not apply? See *HARDEN v. HILLMAN*, 993 F.3d 465, 481 (6th Cir. 2021) (holding that “the Fourteenth Amendment’s guarantee of ‘equal protection of the laws’ provides a sufficient basis to extend *Pena-Rodriguez* to civil cases”).

2. Jury misconduct can take many forms. See O’Malley, *Impeaching a Jury Verdict, Juror Misconduct, and Related Issues: A View from the Bench*, 33 J.Marshall L.Rev. 145 (1999). Often the question is not whether the conduct was improper but whether the error is so serious that the verdict must be overturned. Assuming that a trial court has before it the following sets of facts, what rulings should it make on motions for a new trial?

(a) The jury, after deliberation, was deadlocked seven-to-five for defendant, but because, during trial, one juror learned of the death of a son and wished to return home, the jurors agreed to abide by the vote of the majority, and therefore, without further discussion, rendered a verdict for defendant. See *Jorgensen v. York Ice Mach. Corp.*, 160 F.2d 432 (2d Cir. 1947), cert. denied, 332 U.S. 764, 68 S.Ct. 69, 92 L.Ed. 349 (1947). What if the jury, although properly instructed, erroneously believed that a majority verdict was all that was necessary?

(b) After the case was submitted to the jury and the jury deliberated for more than an hour without reaching a verdict the bailiff, on instruction of the court, took the jurors to lunch in a local hotel and supplied them with alcoholic beverages in moderate amounts. Shortly thereafter the jurors returned to the court and, after a half hour of deliberation, rendered a verdict. See *Kealoha v. Tanaka*, 45 Haw. 457, 370 P.2d 468 (1962) (denial of new trial affirmed by three-to-two decision). What difference would it make if one juror had become intoxicated?

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(c)During a court recess plaintiff entered an elevator containing three jurors on their way to lunch. Plaintiff initiated a friendly conversation with one of the jurors regarding the fact that some of plaintiff’s relatives lived in the area where the juror owned and operated a drugstore. The conversation was short and nothing was said about the case. See United States v. Harry Barfield Co., 359 F.2d 120 (5th Cir. 1966) (denial of new trial reversed by a two-to-one decision).

There are many cases in which jurors have been charged with misconduct for holding unauthorized conversations concerning the case. Most of the decisions turn on the nature of the conversation regarding the case and the extent to which the juror might have been influenced in his decision. Does it make sense to presume prejudice conclusively in contexts such as United States v. Harry Barfield Co., above? Should every contact between a juror and a party or attorney, or between a juror and a witness, be considered prejudicial? See Printed Terry Finishing Co. v. City of Lebanon, 247 Pa.Super. 277, 299–300, 372 A.2d 460, 469 (1977) (unexplained contact requires new trial).

In McDONOUGH POWER EQUIPMENT, INC. v. GREENWOOD, 464 U.S. 548, 104 S.Ct. 845, 78 L.Ed.2d 663 (1984), the respondent was injured in an accident involving a power mower manufactured by the petitioner. During the voir dire before the empaneling of the six-member jury, the respondents’ attorney asked a panel of prospective jurors how many of them had sustained or had immediate family members who had sustained any severe injury. The man who would become the foreman of the jury did not respond. The jury ultimately found for the petitioner. After judgment was entered for the petitioner, the respondents’ attorney questioned the jurors and discovered that the son of the foreman of the jury had been injured some time before by the explosion of a truck tire, sustaining a broken leg. During the post-judgment interview, the foreman said that “having accidents are a part of life,” and that “all his children have been involved in accidents.” Id. at 553 n.3, 104 S.Ct. at 848 n.3, 78 L.Ed.2d at 669 n.3. When the respondents’ motion for a new trial reached the Supreme Court, it held that:

To invalidate the result of a 3-week trial because of a juror’s mistaken, though honest, response to a question, is to insist on something closer to perfection than our judicial system can be expected to give. A trial represents an important investment of private and social resources, and it ill serves the important end of finality to wipe the slate clean simply to recreate the peremptory challenge process because counsel lacked an item of information which objectively he should have obtained from a juror on *voir dire* examination. * * * We hold that to obtain a new trial in such a situation, a party must first demonstrate that a juror failed to

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answer honestly a material question on *voir dire*, and then further show that a correct response would have provided a valid basis for a challenge for cause. * * *

Id. at 555–56, 104 S.Ct. at 849–50, 78 L.Ed.2d at 671.

Justice Blackmun, joined by Justices Stevens and O’Connor, concurred, stressing that the decision should not be understood as “foreclos[ing] the normal avenue of relief available to a party who is asserting that he did not have the benefit of an impartial jury.” Id. at 556, 104 S.Ct. at 850, 78 L.Ed.2d at 672. Justice Brennan, joined by Justice Marshall, concurred in the judgment, proposing a different legal standard:

* * * In my view, the proper focus when ruling on a motion for new trial in this situation should be on the bias of the juror and the resulting prejudice to the litigant. More specifically, to be awarded a new trial, a litigant should be required to demonstrate that the juror incorrectly responded to a material question on *voir dire*, and that, under the facts and circumstances surrounding the particular case, the juror was biased against the moving litigant. * * *

* * * [F]or a court to determine properly whether bias exists, it must consider at least two questions: are there any facts in the case suggesting that bias should be conclusively presumed; and, if not, is it more probable than not that the juror was actually biased against the litigant. Whether the juror answered a particular question on *voir dire* honestly or dishonestly, or whether an inaccurate answer was inadvertent or intentional, are simply factors to be considered in this latter determination of actual bias. * * *

Id. at 557–58, 104 S.Ct. at 851, 78 L.Ed.2d at 672–73.

4.NEW TRIAL BECAUSE THE VERDICT IS AGAINST THE WEIGHT OF THE EVIDENCE

Read Federal Rule of Civil Procedure 59 and the accompanying state materials in the Supplement.

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PARKER, CIRCUIT JUDGE.

This is the second appeal in a suit originally instituted to obtain a declaratory judgment with respect to the coverage of a policy of indemnity insurance. * * * The company denied liability on the ground that the defendant Yeatts was engaged in the performance of a criminal abortion at the time he incurred the liability for which the recovery was had against him, and that such liability was expressly excluded from the coverage of the policy. The question as to whether the defendant Yeatts was engaged in such criminal conduct was submitted to the jury, and from verdict and judgment in his favor the plaintiff brings this appeal.

There was testimony below from which the jury would have been amply justified in finding in favor of the plaintiff insurance company on the issue submitted; but the defendant himself was examined as a witness and, if his testimony is believed, he was guilty of no criminal act. No motion for directed verdict was made by the plaintiff, nor was the sufficiency of the evidence to sustain a finding in favor of the defendant challenged in any other way before verdict. After verdict, plaintiff moved for judgment non obstante veredicto and also for a new trial, on the ground that the verdict was contrary to the credible evidence in the case; and exceptions directed to denial of these motions constitute the only points presented by the appeal.

Even if a motion for directed verdict had been made by plaintiff, it is clear that same should have been denied as should also, any motion for judgment non obstante veredicto based thereon * * *.

The motion to set aside the verdict and grant a new trial was a matter of federal procedure, governed by Rule * * * 59 and not subject in any way to the rules of state practice. On such a motion it is the duty of the judge to set aside the verdict and grant a new trial, if he is of opinion that the verdict is against the clear weight of the evidence, or is based upon evidence which is false, or will result in a miscarriage of justice, even though there may be substantial evidence which would prevent the direction of a verdict. The exercise of this power is not in derogation of the right of trial by jury but is one of the historic safeguards of that right. * * * The matter was well put by Mr. Justice Mitchell, speaking for the Supreme Court of Pennsylvania in *Smith v. Times Publishing Co.* * * * [178 Pa. 481, 501, 36 A. 296, 298 (1897)], as follows: “The authority of the common pleas in the control and revision of excessive verdicts through the means of new trials was firmly settled in England before the foundation of this colony, and has always existed here without challenge under any of our constitutions. It is a power to examine the whole case on the law and the evidence, with a view to

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securing a result, not merely legal, but also not manifestly against justice,—a power exercised in pursuance of a sound judicial discretion, *without which the jury system would be a capricious and intolerable tyranny*, which no people could long endure. This court has had occasion more than once recently to say that it was *a power the courts ought to exercise unflinchingly*.” (Italics supplied).

In the same case, Mr. Justice Williams, in a concurring opinion, traces the history of the exercise of this power and sums up his conclusion as follows:

* * *

As early * * * as 1665, the courts at Westminster did precisely what we have done in this case, and for the same reason. The right of trial by jury was not then supposed to give to a successful party the right to insist on an advantage due to the mistake or the willful misconduct of the jury, no matter how grossly unjust and oppressive the result might be; but the supervisory control of the court in banc, sitting as a court of review, was promptly exercised to relieve against the miscarriage of justice. The exercise of this power was then thought to be in aid of trial by jury. * * *

[Id. at 508–09, 36 A. at 309.]

* * *

The distinction between the rules to be followed in granting a new trial and directing a verdict were stated by us with some care in *Garrison v. United States*, 4 Cir., 62 F.2d 41, 42, * * * as follows: “Where there is substantial evidence in support of plaintiff’s case, the judge may not direct a verdict against him, even though he may not believe his evidence or may think that the weight of the evidence is on the other side; for, under the constitutional guaranty of trial by jury, it is for the jury to weigh the evidence and pass upon its credibility. He may, however, set aside a verdict supported by substantial evidence where in his opinion it is contrary to the clear weight of the evidence, or is based upon evidence which is false; for, even though the evidence be sufficient to preclude the direction of a verdict, it is still his duty to exercise his power over the proceedings before him to prevent a miscarriage of justice. * * * ”

It is equally well settled, however, that the granting or refusing of a new trial is a matter resting in the sound discretion of the trial judge, and that his action thereon is not reviewable upon appeal, save in the most exceptional circumstances. * * * The rule and the reason therefor is thus stated by Mr. Justice Brandeis in *Fairmount Glass Works v. Cub Fork Coal Co.* * * * [287 U.S. 474, 481, 53 S.Ct. 252, 254, 77 L.Ed. 439, 443 (1933)]: “The rule that this Court will not review the action of a federal trial court in granting or denying a motion for a new trial for error of fact has been

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settled by a long and unbroken line of decisions * * *. The rule precludes likewise a review of such action by a Circuit Court of Appeals. Its early formulation by this Court was influenced by the mandate of the Judiciary Act of 1789, which provided in section 22 that there should be ‘no reversal in either (circuit or Supreme) court on such writ of error * * * for any error in fact.’ Sometimes the rule has been rested on that part of the Seventh Amendment which provides that ‘no fact tried by a jury, shall be otherwise reexamined in any

court of the United States than according to the rules of the common law'. More frequently the reason given for the denial of review is that the granting or refusing of a motion for a new trial is a matter within the discretion of the trial court."

While an examination of the record has led us to the conclusion that the trial judge might very properly have granted the motion for new trial, we cannot say that his denial of the motion amounted to an abuse of discretion on his part or that there are present any of the special circumstances which would subject his action to review by this court. The judgment appealed from will accordingly be affirmed.

Affirmed.

NOTES AND QUESTIONS

1. IN RE GREEN'S ESTATE, 25 Cal.2d 535, 542-43, 154 P.2d 692, 695-96 (1944):

It is next contended by contestant that the court erred in granting proponent's motion for a new trial on the ground "that the evidence as a whole was insufficient as a matter of law to support a verdict for respondents." The rules of law applicable to an appeal from an order of the trial court granting a motion for a new trial on the ground of the insufficiency of the evidence are well settled and, as stated in one of our most recent decisions, are as follows: " * * * When the motion is granted, as here, for insufficiency of the evidence, it is only in rare cases showing abuse of discretion that an appellate court will interfere because the trial judge must weigh all the evidence and determine the just conclusion to be drawn therefrom. * * * It cannot be held that a trial court has abused its discretion where there is a conflict in the evidence or where there is any evidence which would support a judgment in favor of the moving party." *Hames v. Rust*, 14 Cal.2d 119, 123, 124, 92 P.2d 1010, 1012 (1939). * * *

We may not agree with the determination reached by the trial judge or with any of his conclusions. That is not the question before us. It is his duty to weigh the evidence and to pass upon any and all conflicts existing therein. * * * If after such an examination of the evidence he concludes that it is insufficient to support the verdict, his duty is to grant the motion and a reviewing court may not set aside his conclusion unless a showing of abuse of discretion is made out by

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appellant. * * * As we have seen, if there is any substantial evidence in the case supporting the trial court's action, then we should not interfere with its order granting said motion.

Under *Green's Estate*, when may a new trial be granted? How does the standard differ from *Aetna*?

2. In *MARSH v. ILLINOIS CENT. R. CO.*, 175 F.2d 498, 500 (5th Cir. 1949), the district judge granted judgment notwithstanding the verdict, but denied an alternative motion for new trial, saying: "It is my judgment that the evidence was insufficient to go to the jury, but if I am wrong in that, then I do not think a new trial should be granted as there were no other errors of law." The court of appeals reversed:

* * * While it is not our function to weigh the evidence, we do agree with the trial judge's first expressed opinion that the weight of the evidence is "overwhelmingly against the plaintiff". But we do not agree that the grant of a judgment notwithstanding the verdict was therefore justified. There was evidence of the appellant, not very explicit or positive, which if believed might authorize a jury to conclude he was hurt in the manner he claims. Because the trial judge does not believe it, because of appellant's own contradictions and conduct and of opposing evidence which seem to overwhelm it, is not ground for a judgment notwithstanding the verdict, and we must reverse that judgment. * * *

But it is ground for the trial judge to grant a new trial, though the trial was free of other error. He has in strong terms disapproved the verdict as contrary to the evidence * * *. We have reversed the entering of a final judgment, but it is evident that the new trial ought to be granted and would have been except for the misconception that absence of other error prevented it. The full discretion vested in the trial judge not having been exercised, we will remand the case with direction to the judge to grant a new trial * * * if he continues to think the verdict to be against the overwhelming weight of the evidence.

On remand, are there any circumstances in which the trial judge could decide that the verdict was not against the weight of the evidence?

3. How does the standard for granting a motion for a judgment as a matter of law (formerly called a motion for a directed verdict) differ from that of a motion for a new trial? In *DYER v. MACDOUGALL*, 201 F.2d 265, 271 (2d Cir. 1952), Judge Frank, concurring, said:

* * * The well-settled rule is that, in passing on a motion for a directed verdict, the trial judge always must utterly disregard his own views of witnesses' credibility, and therefore of their demeanor; that he believes or disbelieves some of the testimony is irrelevant. When asked to direct a verdict for the defendant, the judge must assume that, if he lets the case go to the jury, the jurymen will believe all evidence—including "demeanor evidence"—favorable to the plaintiff.

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In other words, the judge must not deprive plaintiff of any advantage that plaintiff might derive from having the jury pass upon the oral testimony. Indeed, the important difference between a trial judge's power on a motion for a new trial and on a motion for a directed verdict is precisely that on a new-trial motion he may base his action on his belief or disbelief in some of the witnesses, while on a directed-verdict motion he may not.

See also *Bowditch v. City of Boston*, 101 U.S. (11 Otto) 16, 18, 25 L.Ed. 980, 980-81 (1879): "It is now a settled rule in the courts of the United States that whenever, in the trial of a civil case, it is clear that the state of the evidence is such as not to warrant a verdict for a party, and that if such a verdict

were rendered the other party would be entitled to a new trial, it is the right and duty of the judge to direct the jury to find according to the views of the court.” The *Bowditch* case is but one of many with language of this kind.

4.It often is said that the grant of a new trial is largely unappealable; in those systems that adhere to the final-judgment rule, it can be reviewed by appealing from the judgment on the second trial, but in that case the appellant presumably will have lost the verdict in the second trial, and it will be difficult to argue that the grant of a new trial was an abuse of discretion. Some commentators have called for more robust review of judgments granting or denying a motion for a new trial. See Robertson, *Judging Jury Verdicts*, 83 Tul.L.Rev. 157, 217–18 (2008).

5.Suppose a verdict has been set aside and a new trial granted. If the jury in the second trial returns a verdict similar to the one rendered in the first action, may the court again order a new trial on the ground that the verdict is against the weight of the evidence?

5.THE POWER TO GRANT CONDITIONAL AND PARTIAL NEW TRIALS

FISCH V. MANGER

Supreme Court of New Jersey, 1957.
[24 N.J. 66, 130 A.2d 815.](#)

JACOBS, J.

The plaintiff suffered serious injuries in an automobile accident and, after trial, received a jury verdict in the sum of \$3,000. He applied for a new trial because of the inadequacy of the verdict but his application was denied when the defendants consented that the damages awarded to the plaintiff be increased to the sum of \$7,500. The plaintiff appealed and we thereafter certified on our own motion.

* * *

The plaintiff’s actual expenditures to doctors and nurses and for drugs and hospitalization exceeded \$2,200. And although he received most of his

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normal earnings despite his temporary incapacity, there was a loss of wages approximating \$620. While the jury’s verdict of \$3,000 just about took care of the plaintiff’s actual monetary losses, it awarded substantially nothing for his suffering and permanent injuries. Its gross inadequacy was recognized by the trial judge who pointed out that “there was no dispute but that the plaintiff suffered excruciating pain, and was rendered totally helpless for a considerable period of time.” On June 28, 1956 the trial judge wrote to the parties advising that unless the defendants filed a consent in writing that the verdict be increased from \$3,000 to \$7,500, “then the verdict heretofore rendered will be set aside and a new trial granted limited to damages only.” The consent was filed by the defendants and on June 30, 1956 a formal order was entered dismissing the plaintiff’s motion for a new trial. * * *

The first point which he urges in support of his appeal is that once the trial court had concluded that the damages awarded by the verdict were inadequate it had no legal power whatever to condition the grant of a new trial upon the defendants’ failure to consent to a prescribed increase in the verdict. * * * The term *remittitur* is used to describe an order denying the defendant’s application for new trial on condition that the plaintiff consent to a specified reduction in the jury’s award, whereas the term *additur* is used to describe an order denying the plaintiff’s application for a new trial on condition that the defendant consent to a specified increase in the jury’s award. While it is now recognized that the two practices are logically and realistically indistinguishable, *remittiturs* have been recognized almost everywhere, whereas *additurs* are still outlawed in some, though by no means all, of the states. * * *

The English precedents prior to the American Revolution are somewhat obscure and they are discussed in the majority and minority opinions in *Dimick v. Schiedt*, 293 U.S. 474, 55 S.Ct. 296, 302, 79 L.Ed. 603 (1935). There Justice Sutherland, speaking for a majority of five (with Justice Stone, joined by Chief Justice Hughes and Justices Brandeis and Cardozo, dissenting) held that although *remittitur* is permissible in the federal courts, *additur* is prohibited by * * * the Seventh Amendment * * *. Justice Sutherland in the *Dimick* case * * * declined to upset the *remittitur* practice, first approved by Justice Story in *Blunt v. Little*, 3 Fed.Cas.760, No. 1,578 (C.C.Mass.1822), and since reaffirmed in many federal decisions. * * *

The majority opinion in *Dimick* has been the subject of much criticism and it is doubtful whether the Supreme Court would still subscribe to it; in any event, the Seventh Amendment differs somewhat from our constitutional provision and has no application to proceedings in our state courts. * * * We must look primarily to our own history and precedents in ascertaining whether the highly desirable practices of *remittitur* and *additur* may be adhered to in our State * * *.

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The *remittitur* practice has been recognized in New Jersey since early days. * * * [In 1917] the Court of Errors and Appeals had occasion to deal with a negligence case in which the practice of *additur* had been invoked. * * * Chancellor Walker, speaking for the entire court, had this to say ([*Gaffney v. Illingsworth*,] 90 N.J.L. at page 492, 101 A. at page 243):

The power of the court in granting a new trial upon the ground that the damages are *excessive*, upon terms that a new trial shall be had unless the plaintiff will accept a certain sum named, less than that awarded by a verdict, is too well established to be questioned. It would seem to follow, by parity of reasoning, that when a new trial is granted because the damages are inadequate, the court may impose like terms, that is, terms to the effect that if the defeated party will pay a certain sum, greater

than that awarded by the verdict, the rule will be discharged, subject, doubtless, to the power of an appellate court to vacate any such terms when they appear to be an abuse of discretion. * * *

* * *

* * * [W]e are satisfied that the practices of *remittitur* and *additur* violate none of our constitutional interdictions and, if fairly invoked, serve the laudable purpose of avoiding a further trial where substantial justice may be attained on the basis of the original trial. * * * Accordingly, we reject the first point urged by the plaintiff and come now to his meritorious contention that, in any event, the prescribed increase to \$7,500 was “grossly inadequate and should be set aside.” * * * In the instant matter, we believe that the trial judge had a mistaken notion of the evidence which led to his prescribing the scanty sum of \$7,500. He stated that the plaintiff was not entitled to a “great sum, because he certainly did have a back condition before this accident occurred”; but the evidence in the record points to the view that whatever “back condition” the plaintiff had as a result of the 1950 accident had cleared up and had no relation to the very severe injuries resulting from the 1953 accident. Under these highly special circumstances, we believe that the trial court’s action should not be permitted to stand and that the interests of justice will best be served by permitting a second jury to pass on the issue of damages. The separable issue of liability was clearly and properly decided against the defendants; under the evidence it could hardly have been determined otherwise and need not be submitted for redetermination. * * *

Reversed, with direction for a new trial on the issue of damages.

HEHER, J. (concurring in result). * * *

As is shown by Justice Sutherland’s analysis of the case history in *Dimick v. Schiedt* * * *, there was no power in the English courts at the time of the adoption of the New Jersey Constitution of 1776 to increase,

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either absolutely or conditionally, the damages fixed by a jury in a case such as this. * * *

* * * Justice Sutherland concluded, and with unquestionable authority, that “while there was some practice to the contrary in respect of *decreasing* damages, the established practice and the rule of the common law, as it existed in England at the time of the adoption of the Constitution, forbade the court to *increase* the amount of damages awarded by a jury in actions such as that here under consideration.” * * *

The “controlling distinction between the power of the court and that of the jury,” said Justice Sutherland, “is that the former is the power to determine the law and the latter to determine the facts,” and while the *remittitur* practice in the case of an excessive verdict “is not without plausible support in the view that what remains is included in the verdict along with the unlawful excess,—in the sense that it has been found by the jury,—and that the *remittitur* has the effect of merely lopping off an excrescence,” yet where an inadequate verdict is increased by the court there is a “bald addition of something which in no sense can be said to be included in the verdict,” and if that be done with the consent of the defendant alone, the plaintiff is compelled to forego his “constitutional right to the verdict of a jury and accept ‘an assessment partly made by a jury which has acted improperly, and partly by a tribunal which has no power to assess.’ ”

* * *

NOTES AND QUESTIONS

1. For an argument that the practice of remittitur is not constitutional under the Seventh Amendment, see Thomas, *Re-Examining the Constitutionality of Remittitur Under the Seventh Amendment*, 64 Ohio St.L.J. 731 (2003).
2. Should a trial court have discretion to set a reasonable remittitur figure somewhere between the highest and lowest possible verdicts? Would it make more sense to require, as the alternative to a new trial, the highest amount an unprejudiced jury properly could have awarded plaintiff?

DOUTRE v. NIEC

Michigan Court of Appeals, 1965.
[2 Mich.App. 88, 138 N.W.2d 501.](#)

Defendants operate a beauty shop in Flint. On April 19, 1962, plaintiff was given a bleach and color treatment by defendants without a pretreatment patch test. Plaintiff received head and facial injuries as a result of the treatment and sued for damages.

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During the trial defendants were not allowed to testify as to the standard of care observed by beauty shops in the Flint area when administering such treatment. The jury awarded plaintiff \$10,000. Defendants filed a motion for a new trial. Such motion was granted and a new trial ordered but limited to the question of liability.

Both parties appeal.

The plaintiff alleges error in granting the new trial as to liability on the theory that the court was correct in the first place when he ruled at the trial that the proffered testimony on the standard of care was not admissible. The defendants allege the court erred in limiting

the new trial to the issue of liability on the theory that the questions of liability and damages are so closely intertwined that they should be tried together.

As to the plaintiff’s claim we find little merit. His objection is based on the theory that the defendants could know of the practices of the trade in Flint only by hearsay. This is not supported by the record.

The record shows that one of the defendants had been in the business for 24 years and the other for 14 years; they had attended conventions of beauticians and observed their practices and said they were abreast of the practices of other beauticians in Genesee County.

We agree with the trial court’s last ruling that these witnesses should have been allowed to testify and that to exclude their testimony was error requiring a new trial. Such testimony is admissible because no one is held to a higher standard of care than the average in the industry. * * *

The limitation of the trial to the issue of liability only poses a more difficult problem.

It has long been recognized that the questions of liability and damages are so closely intertwined that they may not usually be separated. The only exception the Michigan Supreme Court has so far recognized is in the case wherein “liability is clear” a retrial of the issue of damage alone may be permitted. Trapp v. King (1965), 374 Mich. 608, 132 N.W.2d 640.

In this case the court reiterated its position that despite the court rule authorizing it (GCR 1963, 527.1), limited new trials are not favored.

No compelling reason moves us to extend the rule.

The trial judge’s opinion states: “This ruling (on the evidentiary question) may have materially influenced the jury on the liability issue. It could not, however, by any stretch of the imagination have affected the issue of damages.” This bespeaks an assurance we do not share.

In the case before us the damages are not liquidated and the liability was determined pursuant to a trial in which an admitted error touching on liability was committed.

Under these circumstances it seems to us that justice requires that the jury which determines the liability or lack of it should have the responsibility for measuring any damages.

The trial court’s order for a new trial shall be extended to all of the issues.

Costs are awarded defendants.

NOTE

Compare the dissenting opinion of Judge Freedman in HUTTON v. FISHER, 359 F.2d 913, 920 (3d Cir. 1966):

* * * [A]s a matter of practical justice the damage verdict should not be permitted to stand where the question of liability is to be retried. It is the great and saving virtue of the jury system in accident cases that it permits laymen guided by the courts on questions of law to work out in a worldly way an accommodation between the strict requirements of law and their everyday view of justice. That a defendant therefore suffers disadvantage when a trial is limited to damages and liability is conceded is a fact of life, acknowledged everywhere but in courtrooms. * * * The limitation of a new trial by excluding some of the issues decided is exceptional, and the power to grant a partial new trial must be “exercised with caution.” Geffen v. Winer, 100 U.S.App.D.C. 286, 244 F.2d 375, 376 (1957). A retrial of liability will be less than the full relief the defendants are entitled to have, for its effect will be insulated from the damage question into which it ordinarily percolates.

See also Vizzini v. Ford Motor Co., 569 F.2d 754, 760 (3d Cir. 1977) (vacating decision to limit new trial to amount of damages).

6.REQUIREMENT AND TIMELINESS OF REQUESTS FOR A NEW TRIAL

Reread Federal Rules of Civil Procedure 50 and 59 in the Supplement.

UNITHERM FOOD SYSTEMS, INC. v. SWIFT-ECKRICH INC., 546 U.S. 394, 126 S.Ct. 980, 163 L.Ed.2d 974 (2006). Defendant moved at the end of the evidence under Federal Rule 50(a) for judgment as a matter of law. The motion was denied, and the case was submitted to the jury, which found for plaintiff. Defendant failed either to renew the motion or to move for a new trial. The court of appeals held that although the failure to file a renewed motion for judgment as a matter of law precluded a court from entering judgment as a matter of law, an appeals court nevertheless could

grant a new trial as long as a preverdict motion for judgment as a matter of law had been filed.

The Supreme Court reversed as follows:

* * * The text of Rule 50(b) confirms that respondent’s preverdict Rule 50(a) motion did not present the District Court with the option of granting a new trial. That text provides that a district court may only order a new trial on the basis of issues raised in a preverdict 50(a) motion when “ruling on a renewed motion” under Rule 50(b). Accordingly, even if the District Court was inclined to grant a new trial on the basis of arguments raised in respondents’s preverdict motion, it was without the power to do so under Rule 50(b) absent a postverdict motion pursuant to that Rule. Consequently the Court of Appeals was similarly powerless.

* * * [T]he District Court’s denial of respondent’s preverdict motion cannot form the basis of respondent’s appeal, because the denial of that motion was not in error. It was merely an exercise of the District Court’s discretion, in accordance with the text of the Rule and the accepted practice of permitting the jury to make an initial judgment about the sufficiency of the evidence. The only error here was counsel’s failure to file a post-verdict motion pursuant to Rule 50(b).

Id. at 404, 126 S.Ct. at 988, 163 L.Ed.2d at 986.

Justice Stevens, in his dissent, argued that counsel’s error did not oust the appellate court of its authority to correct plain error: Murphy’s law applies to trial lawyers as well as pilots. Even an expert will occasionally blunder. For that reason Congress has preserved the federal appeals courts’ power to correct plain error, even though trial counsel’s omission will ordinarily give rise to a binding waiver. This is not a case, in my view, in which the authority of the appellate court is limited by an explicit statute or controlling rule. The spirit of the Federal Rules * * * favors preservation of a court’s power to avoid manifestly unjust results in exceptional cases.

Id. at 407, 126 S.Ct. at 988, 163 L.Ed.2d at 987.

NOTES AND QUESTIONS

1.Does *Unitherm* affect motions for a new trial under Federal Rule 59? Is it significant that the text of Rule 59 does not require any preverdict motion? Does *Unitherm* bar appeals based on legal error unless a postverdict motion is filed? The Eighth Circuit has explained:

The *Unitherm* opinion includes language that, when read out of context, indicates that an appeal may never be taken unless a

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postverdict motion is filed * * * (“[A] party is not entitled to pursue a new trial on appeal unless that party makes an appropriate postverdict motion in the district court.”). However, in addressing whether this language extends to all post-trial appeals, appeals courts have uniformly limited it to sufficiency of the evidence challenges where parties fail to file a postverdict motion under Rule 50(b) after the *denial* of a Rule 50(a) preverdict motion.* * * Reading *Unitherm* more broadly would dramatically alter the well-accepted rule that an objection at trial generally preserves an issue for review on appeal.* * *

LINDEN v. CNH AMERICA, LLC, 673 F.3d 829, 832–33 (8th Cir. 2012).

2. The time period for filing a motion under Rule 50, 52, and 59 is 28 days after the entry of the judgment. The period is treated as jurisdictional and the district court is without power to extend it. See *Hulson v. Atchison, Topeka & Santa Fe Railway*, 289 F.2d 726 (7th Cir. 1961), cert. denied, 368 U.S. 835, 82 S.Ct. 61, 7 L.Ed.2d 36 (1961).

7.THE POWER TO SET ASIDE A JUDGMENT

Read Federal Rule of Civil Procedure 60 in the Supplement.

a.Mistake and Excusable Neglect

BRIONES v. RIVIERA HOTEL & CASINO, 116 F.3d 379 (9th Cir. 1997). Plaintiff sued his former employer for unlawful discharge. Defendant filed a Federal Rule 12(b) motion to dismiss for lack of jurisdiction and lack of proper service, to which plaintiff failed to respond. The court thus granted the motion. Plaintiff, who was appearing *pro se* and was not proficient in English, moved for relief under Federal Rule 60(b)(1) on the ground that the court had never informed him that his case might be dismissed and he had failed to notify his translator and typist of the deadline for filing his opposition papers. The trial court denied the Rule 60(b) motion. At that time case law had seemed to establish as a *per se* rule that a motion under Rule 60(b) could not be utilized to cure a failure to comply with court rules. See, e.g., *Hulson v. Atchison, Topeka & Santa Fe Ry.*, p. 1177, Note 2, *supra*. However the appeals court noted that the Supreme Court in *PIONEER INV. SERVS. CO. v. BRUNSWICK ASSOCIATES LTD. PARTNERSHIP*, 507 U.S. 380, 113 S.Ct. 1489, 123 L.Ed.2d 74 (1993), addressing the filing of untimely claims under the Bankruptcy Code, had analyzed the term “excusable neglect” and referred to Rules 6(b) and 60(b) as follows:

Although inadvertence, ignorance of the rules, or mistakes construing the rules do not usually constitute “excusable” neglect, it is clear the “excusable neglect” under Rule 6(b) is a somewhat “elastic concept” and is not limited strictly to omissions caused by circumstances beyond the control of the movant. * * * [A]t least for purposes of Rule 60(b), “excusable neglect” is understood to encompass situations in which the failure to comply with a filing deadline is attributable to negligence.

Id. at 392, 113 S.Ct. at 1496, 123 L.Ed.2d at 87. The Supreme Court in *Pioneer* listed four factors to be considered in deciding whether neglect was “excusable”: (1) the danger of prejudice to the opposing party, (2) the length of the delay and its potential impact on the judicial proceedings, (3) the reason for the delay, and (4) whether the moving party acted in good faith. In view of the *Pioneer* opinion, the *Briones* court remanded the case to the trial court to determine whether plaintiff’s negligence was “excusable” under all the circumstances.

In *Pincay v. Andrews*, 351 F.3d 947, 951–52 (9th Cir. 2003), the Ninth Circuit held that excusable neglect to extend the time for filing an appeal was not present when defendant’s lawyer relied upon his firm’s calendar clerk to calculate the filing date and the calculation was in error:

We do not have a pro se plaintiff as in *Briones*. * * * It is consonant with *Pioneer*’s teaching that “ignorance of the rules or mistakes construing the rules do not usually constitute ‘excusable’ neglect.” * * * Here there was ignorance of the rules, compounded by delegation of knowledge of the rules to a nonlawyer for whom responsibility was not accepted.

See Simpson-Wood, *A Litmus Test for Pioneer: Ethical Considerations and the Delegation Situation*, 31 J.Legal Prof. 171 (2007).

b. Newly Discovered Evidence; Fraud

PATRICK v. SEDWICK, 413 P.2d 169 (Alaska 1966). Plaintiff brought an action for medical malpractice, alleging permanent physical injuries. The case was tried in October 1961 without a jury. In February 1962, the trial judge rendered findings on the issues of liability. These findings were subject to a lengthy appeal and it was not until more than two years later that the appellate court directed the trial court to enter findings for plaintiff on all issues of liability and to proceed to determine damages. The trial judge fixed the amount of damages on the basis of the evidence that had been presented at the trial and entered judgment on January 12, 1965. On January 22, 1965, defendant moved for a new trial on the ground that in 1963 a Dr. Robert Lewy had devised a new treatment that would ameliorate plaintiff’s injuries and therefore should reduce his damages. The trial court denied the motion. The judge rejected the significance of the

new treatment since there was no assurance that any improvement it might bring would be permanent.

The appellate court affirmed the denial of a new trial with the following explanation:

* * * [A] motion for new trial on the grounds of newly discovered evidence must meet the following requirements before it [can] be granted:

(1) must be such as would probably change the result on a new trial; (2) must have been discovered since the trial; (3) must be of such a nature that it could not have been discovered before trial by due diligence; (4) must be material; (5) must not be merely cumulative or impeaching.

In addition to the foregoing requirements, it is established that for any evidence to come within the category of “newly discovered” such evidence must relate to facts which were in existence at the time of the trial. * * *

We hold, under the authorities referred to, that the trial court did not abuse its discretion in denying appellee’s motion for a new trial on the grounds of newly discovered evidence. It is clear from the record that Dr. Lewy’s discovery of the Teflon technique did not occur until a considerable period of time had elapsed after the case was tried in October 1961. Thus, the Lewy technique was not in existence at the time the trial took place and under the above authorities would not qualify as newly discovered evidence.

Id. at 177.

NOTES AND QUESTIONS

1. The standard for “newly discovered evidence” is similar under the federal rule. In *American Civil Liberties Union v. Department of Defense*, 406 F.Supp.2d 330 (S.D.N.Y. 2005), plaintiffs sought documents under the Freedom of Information Act pertaining to the treatment of detainees and to interrogation methods used against top Al-Qaeda members. The government declined to confirm or deny the existence of any documents, on the ground that their existence was itself classified. The court entered a judgment in favor of the government. After the CIA acknowledged in the press that its agents had participated in the interrogation of detainees, plaintiffs moved under Rule 60(b)(2) and (b)(6) for relief from the judgment based on newly discovered evidence. The court denied the motion:

* * * To prevail on a Rule 60(b)(2) motion, the party must show that “ ‘(1) newly discovered evidence is of facts existing at the time of [the prior decision]; (2) the moving party is excusably ignorant of the facts despite using due diligence to learn about them; (3) the newly

discovered evidence is admissible and probably effective to change the result of the former ruling; and (4) the newly discovered evidence is not merely cumulative . . . of evidence already offered.’ ” * * * To prevail under the catch-all provision of a Rule 60(b)(6) motion, the party must show that the asserted grounds for relief are other than those recognized in clauses one through five of Rule 60, in addition to showing extraordinary circumstances justify relief. * * *

Id. at 332. The court found that the media reports would not have changed its earlier ruling, and were merely cumulative of evidence already submitted. As a result, relief was not available under Rule 60(b)(2). Nor did Rule 60(b)(6) provide a catch-all basis for relief. “Because the asserted grounds for relief, ‘newly discovered evidence,’ are recognized in clause two of Rule 60, relief under clause 6 of Rule 60 is unavailable.” Id.

2.In *TITLE v. UNITED STATES*, 263 F.2d 28, 31 (9th Cir. 1959), cert. denied, 359 U.S. 989, 79 S.Ct. 1118, 3 L.Ed.2d 978 (1959), appellant sought to set aside a judgment of denaturalization on the ground that some two years thereafter the United States Supreme Court, in a different case, interpreted the immigration act in such a way as to demonstrate that the original decision in *Title* was erroneous. Appellant relied on Rules 60(b)(4) and (5). The trial court denied the motions and the court of appeals affirmed: “Rule 60(b) was not intended to provide relief for error on the part of the court or to afford a substitute for appeal. * * * Nor is a change in the judicial view of applicable law after a final judgment sufficient basis for vacating such judgment entered before announcement of the change.” Assume that the change in the law is announced after the trial court has rendered judgment but before the time for appeal has run? Now should it be open to a party to seek relief under Rule 60(b)? Which subdivision would be the appropriate basis? See *Visa Intern. Service Ass’n v. JSL Corp.* 590 F.Supp.2d 1306 (D.Nev.2008).

In *HAZEL-ATLAS GLASS CO. v. HARTFORD-EMPIRE CO.*, 322 U.S. 238, 245–46, 64 S.Ct. 997, 1001, 88 L.Ed. 1250, 1255–56 (1944), plaintiff brought an action in the court of appeals to set aside a judgment rendered against it some nine years earlier. The first action had turned on the validity of a patent held by defendant. Both the issuance of that patent by the Patent Office and the determination of its validity by the federal Court of Appeals for the Third Circuit in the prior action had been affected by an article offered by defendant, ostensibly written by a disinterested expert, but actually prepared by defendant’s own officials, to the effect that the machine under patent was a “revolutionary device.” One of the attorneys who presented defendant’s case in the first action also had participated in the scheme to prepare and publish the fraudulent article. The court of appeals refused to set aside the judgment; the Supreme Court reversed:

Every element of the fraud here disclosed demands the exercise of the historic power of equity to set aside fraudulently begotten

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judgments. This is not simply a case of a judgment obtained with the aid of a witness who, on the basis of after-discovered evidence, is believed possibly to have been guilty of perjury. Here, even if we consider nothing but Hartford’s sworn admissions, we find a deliberately planned and carefully executed scheme to defraud not only the Patent Office but the Circuit Court of Appeals. * * *

The Circuit Court did not hold that Hartford’s fraud fell short of that which prompts equitable intervention, but thought Hazel had not exercised proper diligence in uncovering the fraud and that this should stand in the way of its obtaining relief. We cannot easily understand how, under the admitted facts, Hazel should have been expected to do more than it did to uncover the fraud. But even if Hazel did not exercise the highest degree of diligence, Hartford’s fraud cannot be condoned for that reason alone. This matter does not concern only private parties. There are issues of great moment to the public in a patent suit. * * * Furthermore, tampering with the administration of justice in the manner indisputably shown here involves far more than an injury to a single litigant. It is a wrong against the institutions set up to protect and safeguard the public, institutions in which fraud cannot complacently be tolerated consistently with the good order of society. Surely it cannot be that preservation of the integrity of the judicial process must always wait upon the diligence of litigants. The public welfare demands that the agencies of public justice be not so impotent that they must always be mute and helpless victims of deception and fraud.

NOTES AND QUESTIONS

1. Does *Hazel-Atlas* stand for the proposition that a court on its own motion may set aside a judgment obtained by fraud on the court? Was it proper for the Court to find that there had been a fraud on the lower court? Different circuits have set out similar tests of what constitutes fraud on the court meriting the setting aside of a verdict. The Third Circuit, for example, requires the showing of an intentional act, by an officer of the court, directed at the court itself, which in fact deceives the court. See *Herring v. United States*, 424 F.3d 384 (3d Cir. 2005).

2.In *PEACOCK RECORDS, INC. v. CHECKER RECORDS, INC.*, 365 F.2d 145, 147 (7th Cir. 1966), cert. denied, 385 U.S. 1003, 87 S.Ct. 707, 17 L.Ed.2d 542 (1967), the court of appeals reversed the denial of a Rule 60(b) motion as an abuse of discretion:

* * * We hold that where it appears that perjured testimony may have played some part in influencing the court to render a judgment, the perjury will not be *weighed*, on a motion to set aside the judgment. This seems self evident. * * * [If the judgment was obtained in part

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by the use of perjury] then it was clearly the duty of the district court to set aside the judgment, because poison had permeated the fountain of justice.

In *Philos Technologies, Inc. v. Philos & D, Inc.*, 802 F.2d 905 (7th Cir. 2015), the Seventh Circuit emphasized that the showing of fraud must be clear and convincing, citing *Peacock* as a case in which the basis for granting the motion was “incontrovertible * * * evidence of perjury,” because “the witnesses were willing to testify that they had perjured themselves.” *Id.* at 918.

c.The Independent Action to Obtain Relief from a Prior Judgment

Reread Federal Rule of Civil Procedure 60(d) and the accompanying materials in the Supplement.

NOTES AND QUESTIONS

1. Rule 60(d) is a “savings clause” that permits an independent action to be brought to attack a judgment that is older than one year. As the Sixth Circuit has explained:

* * * Independent actions for relief under this section “must, if Rule 60(b) is to be interpreted as a coherent whole, be reserved for those cases of ‘injustice which, in certain instances, are deemed sufficiently gross to demand a departure’ from rigid adherence to the doctrine of *res judicata*.” [United States v. Beggerly, 524 U.S. 38, 46, 118 S.Ct. 1862, 1867, 141 L.Ed.2d 32, 40 (1998) (quoting *Hazel-Atlas Glass Co. v. Hartford-Empire Co.*, 322 U.S. 238, 244, 64 S.Ct. 997, 1000, 88 L.Ed. 1250, 1255 (1944))].

We have set forth the elements of such an independent cause of action as:

(1) a judgment which ought not, in equity and good conscience, to be enforced; (2) a good defense to the alleged cause of action on which the judgment is founded; (3) fraud, accident, or mistake which prevented the defendant in the judgment from obtaining the benefit of his defense; (4) the absence of fault or negligence on the part of the defendant; and (5) the absence of any adequate remedy at law.

MARCELLI v. WALKER, 313 Fed.Appx. 839 (6th Cir. 2009), citing *Barrett v. Sec’y of Health & Human Servs.*, 840 F.2d 1259, 1263 (6th Cir. 1987) (citations omitted).

2.Many jurisdictions permit an independent action in equity to set aside a judgment. Fraud is one of the substantive grounds upon which relief may be granted in such an action. Suppose that instead of putting forth false

information, a party merely conceals facts of which she has direct knowledge that would have a definite bearing on the outcome of the case. Does this constitute fraud? Does the distinction between extrinsic and intrinsic fraud affect whether the motion will be granted? For an extensive analysis of the bases for a Rule 60(d) motion, see Benham, Twombly and Iqbal *Should (Finally!) Put the Distinction Between Intrinsic and Extrinsic Fraud Out of Its Misery*, 64 SMU L.Rev. 649 (2011). Should the plausible pleading standard apply to such an independent action? See Hague, *Fraud on the Court and Abusive Discovery*, 16 Nev.L.J. 707 (2016).

⁶ 252 F.2d at page 874. In *Ettelson v. Metropolitan Life Ins. Co.*, 317 U.S. 188, 192, 63 S.Ct. 163, 164, 87 L.Ed. 176, this Court recognized that orders enabling equitable causes to be tried before legal ones had the same effect as injunctions. In *City of Morgantown, W.Va. v. Royal Ins. Co.*, 337 U.S. 254, 69 S.Ct. 1067, 93 L.Ed. 1347, the Court denied at least some such orders the status of injunctions for the purposes of appealability. It did not, of course, imply that when the orders came to be reviewed they would be examined any less strictly than injunctions. * * *

^aComparable language is now found in Federal Rule 38(a).

¹⁰ For example, the Court of Appeals recognized that Title VIII could be viewed as an extension of the common-law duty of innkeepers not to refuse temporary lodging to a traveler without justification, a duty enforceable in a damages action triable to a jury, to those who rent apartments on a long-term basis. See 467 F.2d at 1117. An action to redress racial discrimination may also be likened to an action for defamation or intentional infliction of mental distress. * * *

⁸ Both the Union and the dissent argue that the backpay award sought here is equitable because it is closely analogous to damages awarded to beneficiaries for a trustee’s breach of trust. * * * Such damages were available only in courts of equity because those courts had exclusive jurisdiction over actions involving a trustee’s breach of his fiduciary duties. * * *

The Union’s argument, however, conflates the two parts of our Seventh Amendment inquiry. Under the dissent’s approach, if the action at issue were analogous to an 18th-century action within the exclusive jurisdiction of the courts of equity, we would necessarily conclude that the remedy sought was also equitable because it would have been unavailable in a court of law. This view would, in effect, make the first part of our inquiry dispositive. We have clearly held, however, that the second part of the inquiry—the nature of the relief—is more important to the Seventh Amendment determination. * * * The second part of the analysis, therefore, should not replicate the “abstruse historical” inquiry of the first part, *Ross* * * *, but requires consideration of the general types of relief provided by courts of law and equity.

^bThe rule currently is Rule 50(e).

^cThe substance of the rule now appears in Rule 49(b)(1).

^dThe substance of the rule now appears in Rule 49(b)(3)(B).

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“You should award the plaintiffs herein such sum as, *under all of the circumstances of the case, may be fair and just compensation* for the pecuniary loss which the [widow and child(ren)] have suffered by reason of the death of [decedent].

* * *

“In weighing these matters, you may consider * * * *the disposition of the deceased, whether it was kindly, affectionate or otherwise; whether or not he showed an inclination to contribute to the support of the plaintiffs or any of them; the earning capacity of the deceased; and such other facts shown by the evidence as throw light upon the pecuniary value of the support, society, care, comfort and protection* other than the loss of consortium between husband and wife, which the plaintiffs reasonably might have expected to receive from the deceased had he lived. * * * ” (Emphasis added.)

⁴We similarly reject the Authority’s argument that the district court erred by requesting proposed findings and conclusions of law from the parties before and not after trial. Although the district court may request proposed findings of fact and conclusions of law in order to aid it in its decisionmaking process, the terms of Rule 52(a) impose no requirement that the district court do so. Rather, it is within the district court’s broad discretion whether and when to request proposed findings of fact and conclusions of law, and the district court here clearly acted within the ambit of that discretion.

⁵The Authority relies heavily on our decision in *Roberts v. Ross*, 344 F.2d 747 (3d Cir. 1965). In *Roberts*, we accorded the district court’s factual findings less weight because the district court followed essentially the same practice utilized by the district court in *Anderson*: it first announced its decision, then requested the prevailing party to submit proposed findings, which the district court adopted verbatim. *Id.* at 752. Not only is the procedure we addressed in *Roberts* more questionable than the one followed by the district court here, but *Roberts* has been superseded by both *Anderson* and our decision in *Hayes*, see *supra*. We observe, too, that *Roberts* was the product of halcyon days when district court dockets were not burdened with the volume that they carry today, or with as many complex cases requiring voluminous findings. We thus reject the Authority’s claim that *Roberts* requires us to review more stringently the district court’s factual findings here.

CHAPTER 15

SECURING AND ENFORCING JUDGMENTS



This chapter explores the procedures used to secure and enforce a judgment. The commencement of a lawsuit or, for that matter, the entry of a judgment in favor of plaintiff, does not mean that plaintiff actually will achieve the goals of the action. A victorious plaintiff’s ability to collect a judgment depends primarily on defendant’s capacity and willingness to pay at the time the award is made and secondarily on the effectiveness of the court’s enforcement procedures in the event that the judgment debtor is capable of paying but is recalcitrant. Plaintiff’s efforts may be frustrated if defendant has become insolvent during the litigation or has secreted assets or fraudulently conveyed them to third persons. In short, the arduous litigation process often proves to be a preliminary to the equally protracted travail of collecting the award.

A. PROVISIONAL REMEDIES AND THE DUE PROCESS CLAUSE

1. RULE 64 AND THE AVAILABILITY OF STATE PROVISIONAL REMEDIES

Read [Federal Rule of Civil Procedure 64](#) in the Supplement.

A provisional remedy is a form of relief entered before a final judgment and does not resolve the merits of the dispute; its purpose is to preserve the status quo until the case is finally decided. Provisional remedies include such devices as the preliminary injunction, the temporary restraining order, attachment, and receivership, which are the focus of this chapter. By virtue of Federal Rule 64, a federal court may use the provisional remedies available to the courts of the state in which it sits to the extent that these state remedies are not inconsistent with any other federal rule or statute. Provisional remedies date back to the medieval writs but today are creatures of statute and their effectiveness varies considerably from state to state. See Millar, *Civil Procedure of the Trial Court in Historical Perspective* 481–515 (1952). For an illustrative state practice, see Articles 60 through 65 of New York’s Civil Practice Law and

Rules, pertaining to attachment, garnishment, injunction, receivership, and notice of pendency (New York abolished civil arrest in 1979).

2. THE EFFECT OF THE DUE PROCESS CLAUSE

Traditionally, a creditor who sued a debtor could invoke a provisional remedy to seize property of the debtor without affording the property owner notice of the action or an opportunity to contest the underlying claim. See Chapter 3.D, *supra*. In a series of decisions beginning in the 1960s, see p. 279, *supra*, the Supreme Court extended the protections of the Due Process Clause to the use of provisional remedies, developing a flexible standard that considered the significance of the property at stake and the exigencies of the situation, such as concerns of the debtor’s flight or that the property would be dissipated or concealed. See Countryman, *The Bill of Rights and the Bill Collector*, 15 *Ariz.L.Rev.* 521 (1973).

A garnishment order directs a third party (the garnishee) that is holding money or property of the debtor to give the property instead to the creditor-garnishor. In *SNIADACH v. FAMILY FINANCE CORP.*, the Supreme Court invalidated the Wisconsin prejudgment garnishment procedure, which authorized a summons to issue at the request of the creditor’s lawyer who served the garnishee—the debtor’s employer who held wages lawfully due to the employee—thereby freezing the debtor’s wages during the period before trial of the main suit. In *FUENTES v. SHEVIN*, the Court extended *Sniadach*’s reasoning to replevin, a procedure that at common law allowed for the recovery of personal property claimed to have been unlawfully taken. In *Fuentes*, the Court invalidated as unconstitutional state statutes authorizing the replevin of chattels—consumer goods sold on an installment contract—before allowing the debtor notice and an opportunity to be heard. See Clark & Landers, *Sniadach, Fuentes and Beyond: The Creditor Meets the Constitution*, 59 *Va.L.Rev.* 355 (1973); Feeherly & Zuckerman, *Note—Procedural Due Process—The Prior Hearing Rule and the Demise of Ex Parte Remedies*, 53

B.U.L.Rev. 41 (1973).

The Court in *MITCHELL v. W.T. GRANT CO.* upheld the Louisiana sequestration statute, which permitted the creditor to obtain the writ on an ex parte application without giving the debtor either notice or an opportunity for a hearing. The Court reasoned that the risk of a wrongful taking was minimized by the creditor’s pre-existing interest in the property; the fact that a judge, and not a clerk, authorized the writ; the immediate availability of a post-seizure hearing; and the risk that the debtor could conceal or destroy the property quickly and easily, thus depriving the creditor of the security interest. However, in *NORTH GEORGIA FINISHING, INC. v. DI-CHEM, INC.*, the Court invalidated the Georgia garnishment statute, which permitted the writ to issue on the basis of conclusory allegations by plaintiff without providing defendant an

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opportunity for an “early hearing” or “other safeguard against mistaken repossession.” The Court stressed the importance of providing safeguards against the risk of an erroneous seizure that can cause irreparable injury to defendant, even when the debt arises in a commercial context between parties of equal bargaining power (in this case, two corporations).

These early cases did not provide a general rule for assessing whether a provisional remedy comported with the Due Process Clause. In *CONNECTICUT v. DOEHR*, p. 286, *supra*, the Court invalidated a Connecticut statute pursuant to which a judge could allow the prejudgment attachment of real estate, without prior notice or hearing, upon plaintiff’s assertion under oath that there was probable cause to sustain the validity of his claims which were unrelated to the property sought to be seized. In place of the ad hoc, multi-factor approach taken in the *Sniadach* line of cases, the Court applied the three-part balancing test of *MATHEWS v. ELDRIDGE*, developed in the context of disputes concerning eligibility for government benefits. The three-part test considers (1) the private interest that will be affected by the official action; (2) the risk of an erroneous deprivation of such interest through the procedures used, and probable value, if any, of additional procedural safeguards; and (3) the government’s interest, including the fiscal and administrative burdens that the additional or substitute procedures would entail. Four Justices in *Doehr* stated that, in their view, due process also required the posting of a bond or some other security, a question that remains open. Compare *Diaz v. Paterson*, 547 F.3d 88 (2d Cir. 2008), with *Tri-State Dev., Ltd. v. Johnston*, 160 F.3d 528 (9th Cir. 1998). See Beale, *Note—Connecticut v. Doehr and Procedural Due Process Values: The Sniadach Tetrad Revisited*, 79 Cornell L.Rev. 1603 (1994); Vandeveld, *Ideology, Due Process and Civil Procedure*, 67 St. John’s L.Rev. 265, 317–24 (1993).

NOTE AND QUESTIONS

Connecticut amended its prejudgment remedy statute in response to *Connecticut v. Doehr*. The amended statute requires an evidentiary hearing before the grant of any prejudgment remedy, but retains the “probable cause” standard for the issuance of relief. Conn. Gen. Statutes § 52–278e. In *HARTFORD ACCIDENT & INDEM. CO. v. ACE AM. REINSUR. CO.*, 103 Conn. App. 319, 930 A.2d 701 (2007), the state appeals court considered the constitutionality of Connecticut’s pre-pleading security statute, Conn. Gen. Statutes § 38a–27. Under the statute, an unauthorized insurance company doing business in the state and sued in the state was required to post security “in an amount to be fixed by the court or the commissioner sufficient to secure the payment of any final judgment which may be rendered in the action or proceeding.” The statute permitted the judge or the commissioner, in its discretion, to dispense with the requirement upon a showing that the insurer maintained sufficient funds in the state to satisfy any final judgment that might be entered or to obtain authorization to do insurance business in the

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state. The question was whether due process required an evidentiary hearing to set the amount of the security, or whether the court could simply accept the amount of damages alleged in plaintiff’s complaint as the basis for its determination. Relying on *Doehr*, the state appeals court held that a hearing was required. The Connecticut court distinguished its state’s statute from that of New York, which required court supervision and an opportunity to be heard before requiring payment, and was upheld as constitutional by the Second Circuit. See Heiser, *Due Process Limitations on Pre-answer Security Requirements for Nonresident Unlicensed Insurers*, 88 Neb.L.Rev. 494 (2010).

B. METHODS OF SECURING THE JUDGMENT— PROVISIONAL REMEDIES

1. ATTACHMENT

Attachment is a provisional remedy that prevents defendant from selling or otherwise disposing of real or personal property once it has been taken into custody by the attaching officer. Attachment deprives defendant of the use and enjoyment of property long before liability is established (and, of course, in many cases no liability will be found). For this reason courts regard it as a drastic remedy and may decline the request even if statutory requirements are met and plaintiff is willing to post a bond. In particular, the court will consider the hardship to defendant if the value of the property exceeds the potential liability or if the property is part of an ongoing business. Attachment is an important provisional remedy when a creditor’s interest is not secured by collateral, which includes the broad range of contracts for services and material.

NOTES AND QUESTIONS

1. In 1971, relying on *Sniadach*, the California Supreme Court struck down that state’s prejudgment attachment statute because it permitted seizure

of a debtor’s assets without notice and any hearing upon the filing of an action on an express or implied contract for payment of money. See *Randone v. Appellate Department of the Superior Court of Sacramento County*, 5 Cal.3d 536, 96 Cal.Rptr. 709 (1971). The current attachment statute, Cal. Code of Civil Procedure §§ 481.010 et seq., applies in similar cases when the amount of the claim is fixed or readily ascertainable and not less than \$500, and the amount secured is not less than zero. The applicant must establish “the probable validity” of the claim upon which the attachment is based, which requires establishing it is more likely than not that a judgment against defendant will be obtained. The amount to be secured may be offset by a claim against the applicant, provided it is a claim on which an attachment “could be issued.” *Id.* at § 483.015. In *LYDIG CONSTRUCTION, INC. v. MARTINEZ STEEL CORP.*, 234 Cal.App.4th 937, 184 Cal.Rptr.3d 329 (2015), defendant challenged plaintiff’s application for a writ of attachment, and made a claim against plaintiff for an amount greater than the attachment-claim. Defendant

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argued that once the offsetting claim was considered, the amount to be secured did not exceed zero. The state appellate court applied the same standard of probable cause to the offsetting claim as to the attachment claim, and found that defendant’s single conclusory declaration was insufficient to meet that standard.

2.New York’s attachment statute, N.Y.C.P.L.R. 6201, permits prejudgment attachment when, among other grounds, (1) defendant is a nondomiciliary residing outside the state or an unlicensed foreign corporation, (2) defendant is within the state but diligent efforts to serve defendant personally have failed, or (3) defendant’s conduct in connection with the property indicates an intent to defraud creditors or frustrate the enforcement of a potentially unfavorable judgment. Prejudgment attachment also requires the movant to show a probability of success on the merits. See *Silverman Partners, L.P. v. First Bank*, 687 F.Supp.2d 269, 293 (E.D.N.Y. 2010). When the purpose of the attachment is security and not jurisdiction, New York courts require the movant to show “that something, whether it is a defendant’s financial position or past and present conduct, poses a real risk of the enforcement of a future judgment.” *Bank of China v. NBM L.L.C.*, 192 F.Supp.2d 183, 188 (S.D.N.Y. 2002) (citation and internal quotation omitted). The court in *Bank of China* emphasized that the mere “possibility” that defendants will remove their assets out of the state is “too remote” to justify an order of attachment. In this case, plaintiff justified the need for the levy by showing that defendants had attempted repeatedly to remove their assets through such devices as issuing payments on transactions that had not taken place, submitting fake bills of lading, trying to sell real estate that served as collateral on a bank loan, and by attempting to transfer more than \$1 million to the Cayman Islands using a forged hypothecation agreement.

2.PRELIMINARY INJUNCTIONS AND TEMPORARY RESTRAINING ORDERS

Read [Federal Rule of Civil Procedure 65](#) in the Supplement.

a.Preliminary Injunctions

A preliminary injunction is a form of provisional remedy that protects a plaintiff from irreparable injury—injury that cannot be redressed through monetary compensation—while preserving the court’s power to enter meaningful relief after a decision on the merits. By entering a preliminary injunction, the court seeks to maintain the status quo; as the Second Circuit has put it, without the injunction, it would be “difficult, and sometimes virtually impossible to ‘unscramble the eggs.’ ” *Sonesta Int’l Hotels Corp. v. Wellington Assocs.*, 483 F.2d 247, 250 (2d Cir. 1973).

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Federal Rule 65 authorizes the federal court to issue a preliminary injunction, but does not set forth the standard for granting or denying the request. The standard is judicially defined, and looks to four factors: the plaintiff seeking a preliminary injunction “must establish” that the party is “likely to succeed on the merits”; “likely to suffer irreparable harm in the absence of preliminary relief;” that “the balance of equities tips” in the movant’s favor”; and that an injunction “is in the public interest.” *WINTER v. NATURAL RESOURCES DEFENSE COUNCIL*, 555 U.S. 7, 20, 129 S.Ct. 365, 374, 172 L.Ed.2d 249, 261 (2008). The entry of a preliminary injunction is regarded as “extraordinary” relief, and may be awarded only upon “a clear showing that the plaintiff is entitled to such relief.” *Id.* at 376, 129 S.Ct. at 22, 172 L.Ed.2d at 262. In *Winter* environmental groups sued the United States Navy to stop sonar testing that was alleged to be harmful to marine mammals living in waters near Southern California. The Supreme Court reversed the grant of the preliminary injunction, in part because the appellate court had required plaintiffs to show a possibility, and not a likelihood, of irreparable harm. In the wake of *Winter*, the appellate courts have divided on whether the test for a preliminary injunction permits a “sliding scale” approach to the four factors, or whether each factor must be “satisfied as articulated.” *Alliance for the Wild Rockies v. Cottrell*, 632 F.3d 1127, 1131 (9th Cir. 2011).

b.Temporary Restraining Orders

Federal Rule 65 authorizes the federal courts to issue a temporary restraining order. Unlike the preliminary injunction, an application for a restraining order is sought when time considerations do not provide the opportunity for formal notice. Thus, a “TRO” is appropriate only when the threat of irreparable injury is immediate and the need to preserve the status quo is urgent. Because of a concern over the potential unfairness of ex parte proceedings, a number of special conditions, such as those set out in Federal Rule 65(b), are usually imposed. The factors considered in ruling on a motion for a TRO are the same as for a preliminary injunction, and courts tend to proceed

ex parte only when there is “no reasonable alternative.” *American Can Co. v. Mansukhani*, 742 F.2d 314, 322 (7th Cir. 1984). See 11A Wright & Miller, *Federal Practice and Procedure* § 2951 (3d ed.).

TROs issued after adversary hearings or that exceed the expiration provisions set out in Rule 65(b) are evaluated as de facto preliminary injunctions by courts. See *SAMPSON v. MURRAY*, 415 U.S. 61, 94 S.Ct. 937, 39 L.Ed.2d 166 (1974). In *Commodity Futures Trading Comm’n v. Lake Shore Asset Mgt. Ltd.*, 496 F.3d 769, 771–72 (7th Cir. 2007), the Seventh Circuit vacated an ex parte TRO that had remained in force for longer than 20 days, explaining that continuation of the order “would pose serious constitutional problems. It would allow a business to be destroyed

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without giving the affected party any opportunity to present evidence.” On the other hand, a no-notice TRO may be essential when plaintiff is faced with the imminent destruction of property. In *MATTER OF VUITTON ET FILS*, 606 F.2d 1 (2d Cir. 1979), Louis Vuitton, a French company that manufactures luxury leather goods, alleged trademark infringement and unfair competition because fake Vuitton items were being sold to consumers who believed they were buying authentic merchandise. On a petition for a writ of mandamus, the court of appeals directed the district court to issue a no-notice TRO that was “narrow in scope and brief in duration” because there were many defendants who had not yet been identified. *Id.* at 5.

NOTES AND QUESTIONS

1. The interplay between preliminary injunctions and TROs was on display in one of the earliest cases involving the Trump Administration’s ban on travel by noncitizens from designated countries. Following the signing of Executive Order 13769, the states of Washington and Minnesota sought a TRO enjoining enforcement of the ban. After a district court granted the TRO, the government quickly appealed to the Ninth Circuit. Plaintiff-appellees challenged the appellate court’s jurisdiction and ability to review the TRO. However, the court found that because of the government’s vigorous defense of the ban, the TRO was effectively a preliminary injunction, and was reviewable. See *Washington v. Trump*, 847 F.3d 1151, 1158 (9th Cir. 2017), cert. denied, 138 S.Ct. 448, 199 L.Ed.2d 331 (2017).

2. In some cases plaintiff may seek a preliminary injunction that mandates the taking of action, rather than prohibiting it. A classic discussion of mandatory injunctions appears in then-Judge William Howard Taft’s opinion in *TOLEDO, A.A. & N.M. RY. v. PENNSYLVANIA CO.*, 54 Fed. 730, 741 (C.C.N.D. Ohio), appeal dismissed, 150 U.S. 393, 14 S.Ct. 123, 37 L.Ed. 1120 (1893):

The office of a preliminary injunction is to preserve the status quo until, upon final hearing, the court may grant full relief. Generally this can be accomplished by an injunction prohibitory in form, but it sometimes happens that the status quo is a condition not of rest, but of action, and the condition of rest is exactly what will inflict the irreparable injury upon complainant, which he appeals to a court of equity to protect him from. In such a case courts of equity issue mandatory writs before the case is heard on its merits. * * *

When a mandatory preliminary injunction may go beyond maintaining the status quo, the standard for its issuance is higher. See *Tom Doherty Associates, Inc. v. Saban Entertainment, Inc.*, 60 F.3d 27 (2d Cir. 1995). As the Ninth Circuit has explained, “[w]here a party seeks mandatory preliminary relief that goes well beyond maintaining the status quo pendente lite, courts should be extremely cautious about issuing a preliminary injunction.” *Martin v. International Olympic Committee*, 740 F.2d 670, 675 (9th Cir. 1984). Thus,

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an award of mandatory preliminary relief is not to be granted unless the movant can demonstrate a higher likelihood of success or very serious damage.

3. A preliminary injunction will not be issued unless it is shown that defendant’s conduct violates plaintiff’s rights and tends to render the ultimate judgment ineffectual, and that the act to be restrained affects the subject matter of the action. Thus, a preliminary injunction or temporary restraining order relating to defendant’s conduct is unavailable in an ordinary tort or contract action for money damages, since money is not considered the “subject” of the action. In this circumstance, what other provisional relief might plaintiff seek?

4. In *GRUPO MEXICANO DE DESARROLLO, S.A. v. ALLIANCE BOND FUND, INC.*, 527 U.S. 308, 119 S.Ct. 1961, 144 L.Ed.2d 319 (1999), a divided Supreme Court held that the district court exceeded its authority when it entered a preliminary injunction freezing defendants’ use of their assets pending adjudication of plaintiffs’ right to a lien. Writing for the majority, Justice Scalia concluded that an injunction of this sort is beyond the equitable powers of the Article III courts. See Burbank, *The Bitter with the Sweet: Tradition, History, and Limitations on Federal Judicial Power—A Case Study*, 75 Notre Dame L.Rev. 1291 (2000). Freezing orders were introduced in England by judicial decision and then codified in the Senior Courts Act of 1981. See Capper, *The Need for Mareva Injunctions Reconsidered*, 73 Fordham L.Rev. 2161 (2005).

5. Preliminary injunctions and TROs typically bind not only the parties to the action, but also their agents, servants, and anyone acting in collusion with or for the benefit of a party. Must the district court hold a hearing to determine who is bound by the order? Is it appropriate to bind an individual because he or she is a member of a group or an unincorporated association that has been enjoined by the court? Should the court inquire into the association’s control over its members as an aid in determining whether individual members should be bound by an order issued against the group? See Rendleman, *Beyond Contempt: Obligor to Injunctions*, 53 Texas L.Rev. 873 (1975).

6. Particularly difficult questions have arisen when a party seeks to enjoin others from commencing or continuing an action in another court or from enforcing a judgment issued by another court. The traditional view, as expressed in *MERRITT-CHAPMAN & SCOTT CORP. v. MUTUAL BENEFIT LIFE INS. CO.*, 237 App. Div. 70, 73, 260 N.Y.S. 374, 378 (1st Dep’t 1932), is that a court would not interfere with an action in another court “unless it has a clear priority of jurisdiction, or exceptional circumstances are shown to exist which require such drastic remedy.” See

McClintock, Equity § 37 (2d ed. 1948). For a historical survey of the issue, see Moore, *Conflict of Jurisdiction*, 23 La.L.Rev. 29 (1962). The problem is bound up with questions of federalism, jurisdiction, and conflicts of laws. Consider the different situations when the question might arise:

(a) A federal court is asked to enjoin parties from proceeding in a state court action. See *Pennzoil Co. v. Texaco, Inc.*, 481 U.S. 1,

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107 S.Ct. 1519, 95 L.Ed.2d 1 (1987); *Huffman v. Pursue, Ltd.*, 420 U.S. 592, 95 S.Ct. 1200, 43 L.Ed.2d 482 (1975); *Younger v. Harris*, 401 U.S. 37, 91 S.Ct. 746, 27 L.Ed.2d 669 (1971).

(b) A state court is asked to enjoin parties from proceeding in a federal court action or the court of a sister state. See *Donovan v. City of Dallas*, 377 U.S. 408, 84 S.Ct. 1579, 12 L.Ed.2d 409 (1964).

(c) A federal court is asked to enjoin a party from prosecuting a similar action in a foreign country. See *Parrish, Duplicative Foreign Litigation*, 78 Geo.Wash.L.Rev. 237 (2010).

3.RECEIVERSHIP

Read [Federal Rule of Civil Procedure](#) 66 in the Supplement.

Federal Rule 66 governs the appointment of receivers in the federal courts. Section 959(b) of Title 28 of the United States Code defines the receiver’s substantive rights, duties, and liabilities. The Supreme Court has never addressed whether federal or state law governs the appointment of a receiver when the district court’s jurisdiction is based on diversity. Those circuits that have considered the issue have held that federal law governs, and that “regardless of whether state law provides a vehicle by which to appoint a receiver, the federal courts are free to provide that remedy solely by virtue of their equitable powers.” *Canada Life Assurance Co. v. LaPeter*, 563 F.3d 837, 843 (9th Cir. 2009).

Historically, equity courts appointed receivers to manage property that plaintiff feared would be squandered, destroyed, or otherwise diminished in value during the course of litigation. A number of factors influence the court’s decision to appoint a receiver, including the existence of a valid claim by the applicant; the probability that fraudulent conduct has occurred or will occur and frustrate the claim; imminent danger that property will be concealed; and inadequacy of legal remedies. See *Aviation Supply Corp. v. R.S.B.I. Aerospace, Inc.*, 999 F.2d 314 (8th Cir. 1993). Although no factor is dispositive, defendant’s actual or potential insolvency is usually the primary reason for the appointment. See *Resolution Trust Corp. v. Fountain Circle Assocs.*, 799 F.Supp. 48 (N.D. Ohio 1992).

Receiverships usually extend only to property actually involved in the litigation. Additionally, in most states, only plaintiffs can secure the appointment. New York, however, gives its courts the power to appoint a receiver upon the motion of any person having an “apparent interest” in the property. N.Y.C.P.L.R. 6401.

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A receiver’s primary allegiance is to the court and not to the parties who have sought the appointment. See *Jacynicz v. 73 Seaman Assocs.*, 270 A.D.2d 83, 704 N.Y.S.2d 68 (1st Dep’t 2000). For this reason, almost all of the receiver’s official acts are subject to approval by the appointing court. The receiver also is required to execute and file an undertaking before any official duties are initiated. The undertaking protects the integrity of the court and the litigants by guaranteeing that injuries caused by any defalcation by the receiver can be indemnified.

The basic obligation of a receiver is to preserve and protect the property and assets of the estate that have been placed in the receiver’s custody. The receiver is not given title to the property, but generally is responsible for managing or disposing of the property and has power to take any action necessary to maintain or improve it. See *City of Santa Monica v. Gonzalez*, 43 Cal.4th 905, 182 P.3d 1027, 76 Cal.Rptr.3d 483 (2008) (a receiver, who was appointed to oversee residential rental properties that presented serious health and safety violations, had the power, among others, to rehabilitate or demolish the property).

NOTE AND QUESTION

NETSPHERE, INC. v. BARON, 703 F.3d 296 (5th Cir. 2012), cert. denied, 574 U.S. 974, 135 S.Ct. 436, 190 L.Ed.2d 327 (2014), was a chapter in a long and unruly litigation about the ownership and sale of Internet domain names. In the course of the litigation, defendant declared bankruptcy and hired and fired more than 45 attorneys. Eventually a settlement agreement was reached that would apportion ownership of the domain names. During one of the final settlement hearings, defendant’s former lawyers presented evidence that he was attempting to hide money in order to avoid paying outstanding legal bills and they sought appointment of a receiver. The district court granted the motion, on the view that defendant’s continued practice of hiring and firing lawyers would “expose the bankruptcy estate to additional administrative claims and further delay resolution of the bankruptcy proceedings.” *Id.* at 304. On appeal the Fifth Circuit reversed the appointment, holding that a court lacks authority to appoint a receiver over property unrelated to the underlying litigation:

There certainly was evidence that Baron’s actions were disrupting, complicating, and making more expensive both the bankruptcy and the district court suit. We do not, though, find evidence that Baron was threatening to nullify the global settlement agreement by transferring

domain names outside the court’s jurisdiction. Accordingly, the receivership cannot be justified in this instance on the basis that it was needed to take control of the property that was the subject of the litigation. Rather, the receivership was established to pay the attorneys and to control vexatious litigation.

Id. at 38. What other procedures could the district court have used to control its docket?

4.CIVIL ARREST

The provisional remedy of civil arrest traces back to the writ of *capias ad respondendum*, which allowed arrest of the debtor to prevent flight or concealment of assets. See p. 100, Note 1, *supra*. Imprisonment was permitted until judgment was rendered or bail was posted. Although incarceration effectively prevented defendant from rendering the potential judgment unenforceable, its Draconian quality made it a frequent source of abuse. See Freedman, *Imprisonment for Debt*, 2 Temple L.Q. 330 (1928); see also Morris & Wiener, *Civil Arrest: A Medieval Anachronism*, 43 Brooklyn L.Rev. 383 (1976).

The current availability of civil arrest as a preliminary remedy varies from state-to-state. Some state constitutions prohibit imprisonment for debt and render civil arrest unavailable; other states have not enacted legislation authorizing the remedy although its use is not barred by the state constitution. In still other states, the constitutional bar on imprisonment for debt does not apply to imprisonment as a provisional remedy. See Appendix, *State Bans on Debtors’ Prisons and Criminal Justice Debt*, 129 Harv.L.Rev.F. 153 (2016) (collecting state constitutional provisions). For a discussion of the due process implications of civil arrest, see *In re Harris*, 69 Cal.2d 486, 72 Cal.Rptr. 340, 446 P.2d 148 (1968). Since *Harris*, California has restricted the use of civil arrest. See Cal. Civ. Proc. Code § 501 (1995).

Some states that authorize civil arrest also provide for exemptions to limit the remedy’s application. States granting immunity from service of process to nonresident witnesses generally extend that immunity to cover civil arrest. Traditionally, women were exempt from civil arrest in many states. In 1976, New York modified its statute by deleting the word “women” and substituting the language “parent, guardian or other person * * * whose principal responsibility is * * * the daily care and supervision of [a child under sixteen or an incompetent of any age] * * *.” New York abolished civil arrest in 1979.

NOTES

1.The question whether state law enforcement officers may effect civil arrest has become a central issue in the federal government’s enforcement of civil immigration laws. E.g., Executive Order No. 13,767, 82 Fed. Reg. 8,793 (Jan. 25, 2017), revoked by Executive Order No. 14,010, 86 Fed. Reg. 8,267 (Feb. 2, 2021); Executive Order No. 13,768, 82 Fed. Reg. 8,799 (Jan. 25, 2017), revoked by Executive Order No. 13,993, 86 Fed. Reg. 7,051 (Jan. 20, 2021). In *LUNN v. COMMONWEALTH*, 477 Mass. 517, 8 N.E.3d 1143 (2017), the Massachusetts Supreme Judicial Court held that state law enforcement

officers lack authority to make a civil arrest pursuant to a federal civil immigration detainer:

[T]he common law and the statutes of this Commonwealth are what establish and limit the power of Massachusetts officers to arrest. There is no history of “implicit” or “inherent” arrest authority having been recognized in Massachusetts that is greater than what is recognized by our common law and the enactments of our Legislature. Where neither our common law nor any of our statutes recognizes the power to arrest for Federal civil immigration offenses, we should be chary about reading our law’s silence as a basis for affirmatively recognizing a new power to arrest—without the protections afforded to other arrestees under Massachusetts law—under the amorphous rubric of “implicit” or “inherent” authority. Recognizing a new common-law power to effect a Federal civil immigration arrest would also create an anomaly in our common law: a State or local police officer in Massachusetts (or, as in this case, a court officer) would be able to effect a warrantless arrest for a criminal misdemeanor only if it involves a breach of the peace * * *, but would be able to arrest for a Federal civil matter without any such limitation; in other words, the officer would have greater authority to arrest for a Federal civil matter than for a State criminal offense.

Id. at 532, 8 N.E.3d at 1158. See *Recent Case*, 131 Harv.L.Rev. 666 (2017).

2. Many localities derive revenue from fees and fines imposed for regulatory infractions such as littering or traffic violations. See, e.g., Mai & Rafael, *The High Price of Using Justice Fines and Fees to Fund Government in New York* (Vera Institute of Justice 2020), available at [https:// www.vera.org/ downloads/ publications/ the-high-price-of-using-justice-fines-and-fees-new-york.pdf](https://www.vera.org/downloads/publications/the-high-price-of-using-justice-fines-and-fees-new-york.pdf) (site last accessed Dec. 30, 2021). These fees and fines, if unpaid, can lead to civil detention. Has this practice effectively reestablished a new form of debtor’s prison? See Fagan & Ash, *New Policing, New Segregation: From Ferguson to New York*, 10 Geo.L.J. Online 33 (2017). Civil detention also has reemerged as a penalty in ordinary debt collection cases. See Note, *State Bans on Debtors’ Prisons and Criminal Justice Debt*, 129 Harv.L.Rev. 1024 (2016).

5.NOTICE OF PENDENCY

Although not strictly a provisional remedy, the notice of pendency is included in this discussion because of its similarity to the other provisional remedies already described. Notice of pendency traces back to the common law doctrine of *lis pendens*, which sought to guarantee the effectiveness of a judgment in an action involving specific tangible property by charging any purchaser or encumbrancer of

the property with knowledge that an action involving it had been instituted. Thus, the prospective purchaser or encumbrancer not only had to check all of the conveyance records to be certain of the vendor’s good title but also had to investigate whether the

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vendor was involved in any pending litigation that might affect the property—often a practical impossibility. The statutory notice of pendency is designed to protect prospective purchasers and encumbrancers by requiring plaintiff to file a notice of the litigation before the protection of constructive notice can be claimed. Thus, if plaintiff fails to file a notice of pendency and properly index it, she will not be protected against a purchaser or encumbrancer who does not have actual knowledge of the litigation involving the property. Statutory notice of pendency differs from other provisional remedies because it usually does not involve judicial discretion; the right to file a notice is absolute in any litigation falling within the classes enumerated in the notice-of-pendency statute.

NOTE AND QUESTIONS

How can the lis pendens procedure be justified in light of the cases discussed pp. 1186–1188, *supra*, which invalidated statutes providing for the attachment of defendant’s property without probable cause or a hearing? Is it significant that the notice of pendency does not deprive anyone of the use or enjoyment of property, but merely gives notice to third parties of the pendency of litigation? Isn’t it possible that the filing of the notice will exert financial pressure on the owner of property by rendering the property “unmarketable and unsuitable as security for a loan”? *Kirkeby v. Superior Court of Orange County*, 33 Cal.4th 642, 651, 15 Cal.Rptr.3d 805, 811, 93 P.3d 395, 401 (Sup. Ct. 2004) (internal citations omitted). Compare *Kukanskis v. Griffith*, 180 Conn. 501, 430 A.2d 21 (1980) (finding Connecticut’s lis pendens statute violative of due process requirements because it failed to provide for a hearing) and *New Destiny Dev. Corp. v. Piccione*, 802 F.Supp. 692 (D. Conn. 1992) (reaffirming the constitutionality of Connecticut’s amended lis pendens statute by distinguishing the limited holding of *Doehr*, p. 286, *supra*), with *Chrysler Corp. v. Fedders Corp.*, 670 F.2d 1316 (3d Cir. 1982) (upholding New Jersey’s lis pendens statute because of procedural safeguards that limit the risk of erroneous deprivation of property) and *Diaz v. Paterson*, 547 F.3d 88 (2d Cir. 2008) (upholding the constitutionality of New York’s lis pendens statute because of its narrow application to pre-existing claims affecting the property and its provisions for post-deprivation notice and hearing).

6.A POSTSCRIPT

Despite the obvious practical importance of provisional remedies to the proper functioning of a judicial system, little effort has been devoted to their rationalization and integration into the total procedural picture. Indeed, many practitioners are ill-informed as to the availability and operation of provisional remedies in their jurisdiction and often miss an opportunity to protect their clients against debilitating and frustrating post-judgment enforcement procedures. Do you agree that the Federal Rules should rely exclusively on state provisional remedy practice? In what

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way does the availability of post-judgment enforcement affect the design of preliminary remedies?

C. METHODS OF COLLECTING AND ENFORCING THE JUDGMENT

1.EXECUTION

Read [Federal Rules of Civil Procedure 69 and 70](#) in the Supplement.

GRIGGS V. MILLER

Supreme Court of Missouri, 1963.
[374 S.W.2d 119](#).

BOHLING, SPECIAL COMMISSIONER.

Bill Griggs, on January 19, 1961, sued W. A. Brookshire in ejectment for the possession of a 322 acre farm in Boone County, Missouri, and for damages for withholding possession. Plaintiff had purchased the farm for \$20,600 on January 16, 1961, at a public sale under a general execution against defendant. * * * Defendant’s answer was a general denial, and his counterclaim sought to set aside the sheriff’s execution sale and deed. * * * The cause was considered and treated by the parties and the court “as one of ‘equitable cognizance.’ ” The court found the issues for the plaintiff and against the defendant on plaintiff’s petition; for the plaintiff and the third-party defendant [the sheriff] on defendant’s counterclaim; and that plaintiff was entitled to \$2,483.24 damages by reason of defendant’s withholding of possession of said farm from January 18, 1961, to November 15, 1961, the date of said judgment and decree, and that plaintiff recover \$250 per month from and after November 15, 1961, for so long as defendant withheld possession from plaintiff. Defendant Brookshire, after filing his notice of appeal, was incarcerated in the Missouri Penitentiary. * * * Miller was appointed trustee of the Estate of W. A. Brookshire, and substituted as a party litigant for said Brookshire.

* * *

Ray Crouch recovered a judgment against W. A. Brookshire, defendant, in the Circuit Court of Henry County, Missouri, on July 15, 1959, for \$1,966.69. Said judgment was affirmed on December 5, 1960 * * *. The right to an execution follows immediately upon the rendition of a judgment. * * * No supersedeas bond was given to stay an execution. * * * A general execution was issued on said judgment to the Sheriff of Boone County on December 10, 1960. The Sheriff levied on defendant's 322 acre

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farm December 14, 1960, filed a notice of his levy in the office of the Recorder of Deeds of Boone County, and advertised and sold said real estate at public sale on January 16, 1961.

Dorothy Contestible, Administratrix of the Estate of Ralph Burton Collings, Deceased, recovered a judgment of \$17,000 against William Albert Brookshire, defendant, in a wrongful death action in the Circuit Court of Audrain County, Missouri, on July 29, 1960. A general execution issued on said \$17,000 judgment to the Sheriff of Boone County on December 23, 1960. This execution was mailed to Mrs. Contestible's attorneys in Columbia and was delivered to Sheriff Powell January 10, 1961. He levied upon defendant's 322 acres under said execution on January 11, 1961.

Defendant contends it was error to sell his 322 acre farm without attempting to make the judgment debt, interest and costs out of a portion of said farm.

* * *

[A] judgment debtor is to be afforded reasonable protection in levying on and selling his property under execution. Civil Rule 76.21 (§ 513.095) [amended in 1993 and recodified as 31 Mo. Prac., Civil Rules Handbook Rule 76.11 (2004 ed.)], provides in effect that if a judgment debtor gives the officer a list of his property sufficient to satisfy the execution, "the officer shall levy upon the property and, no other, if in his opinion it is sufficient; if not, then upon such additional property as shall be sufficient."

Civil Rule 76.24 (§ 513.210) [recodified as 31 Mo. Prac., Civil Rules Handbook Rule 76.12 (2004 ed.)] provides: "When an execution shall be levied upon real estate, the officer levying the same shall divide such property, if susceptible of division, and sell so much thereof as will be sufficient to satisfy such execution, unless the debtor in the execution shall desire the whole of any tract or lot of land to be sold together, in which case it shall be sold accordingly."

And Rule 76.25 (§ 513.100) provides: "The person whose goods, chattels and real estate are taken in execution may elect what part thereof shall be first sold; and if he shall deliver to the officer having charge thereof a statement, in writing, of such election, three days before the day appointed for the sale, stating specifically what goods, chattels and real estate he desires to be first sold, and so on, until the execution be satisfied, the officer shall proceed according to such election, until sufficient money shall be made to satisfy the amount in the execution specified and costs."

It is stated in 21 Am.Jur., Execution, § 380, that an execution is not "leviable upon all the debtor's property, but only upon sufficient property owned by the debtor within the jurisdiction to satisfy the debt, interest, and costs"; and, while the officer is left to his own judgment, he "must

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exercise the care and discretion which a reasonably prudent man would exercise under like conditions and circumstances." And, with respect to the property to be sold when more than enough to satisfy the debt is seized, it is stated in § 384: "The general rule is that the execution officer may make a division of the property, if that is practicable, and sell only so much of it as is necessary to satisfy the debt." * * * A failure to divide real estate and sell only enough to satisfy the execution [has been] considered an abuse of discretion * * * and a constructive fraud * * *.

* * *

Defendant wrote Sheriff Powell under date of January 11, 1961, re the Crouch judgment, levy and sale, stating, among other things, that his land was worth in excess of \$100 an acre; and: "I am restricting the amount which you can sell to the northeast 40 acres of said tract of land. This land is clear. There is no mortgage or encumbrance of any kind against it."

Defendant protested the execution sale to those assembled for the sale and stated in effect that the judgment involved had been obtained in Henry County and the case was on appeal and the judgment was not final; that: "After the judgment becomes final it will be paid"; that Crouch had in his possession cattle belonging to defendant worth \$10,000 against which there was no lien; that "I have notified the sheriff that this farm is clear of any mortgages whatsoever; that it is worth approximately \$50,000.00; that one forty acre sold would be more than adequate. I have pointed out the forty acres * * * to be sold"; that he was certain the \$17,000 judgment against him in the Contestible case would be reversed; that a supersedeas bond would be given; that this sale would be illegal and whoever bought the farm would buy a law suit. (The Contestible judgment, however, was affirmed January 8, 1962, in Contestible v. Brookshire, Mo., 355 S.W.2d 36.)

Sheriff Powell, who had been sheriff for about twenty years, admitted 40 acres of defendant's farm "might have been" worth far in excess of \$2,000. Asked why he had not told defendant the 40 acres would not be sufficient, he would take 80 acres, Sheriff Powell answered: "I didn't intend to take 80 acres." He testified he had levied on and held three or four execution sales of defendant's 322 acre farm. He stated he did not know it was illegal to sell \$50,000 worth of property to satisfy a \$2,000 judgment; and there was testimony he had levied on the 322 acres to collect a \$13.00 judgment, and to collect a \$600 judgment. He stated "I checked the record and there was

several thousand dollars” against all of the farm, and that is why “I levied on all of it.” He also stated “I never checked the records.” He did not levy on personal property because “It was much easier to do it this way.” He knew defendant had stocks in various corporations and had more than 200 head of Hereford cattle on the farm; that they might have sold for at least \$200 a head on the market and as registered cattle would

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have brought more, and that 20 head of the cattle “might have” been sufficient to more than pay the Crouch judgment, interest and costs.

Ray Crouch, the judgment creditor, testified he wanted to and asked his attorney to levy on defendant’s farm, and that he knew defendant had collateral * * * to take care of the Crouch judgment. Sheriff Powell testified that Crouch had told him defendant had deposited sufficient collateral with the Hartford Insurance Company to take care of the Crouch judgment.

* * *

A sheriff conducting an execution sale is the agent of the property owner and the judgment creditor, and his duty is to protect the interests of both and to see that the property is not sacrificed. * * * Forced sales of property usually do not bring full value.

Sheriff Powell’s advertisement of the sale of defendant’s 322 acre farm was to “sell all of said real estate or as much thereof as *it* be necessary to pay the judgment of \$1,966.69,” in the Henry County Circuit Court, which, with interest and costs, amounted to \$2,308.16 on the day of sale.

Defendant’s farm was never advertised for sale under the Audrain County (Contestible) execution. Defendant first knew of the levy on his farm under the \$17,000 Audrain County judgment about 30 minutes before its sale under the Crouch judgment. Sheriff Powell testified that he sold under the Henry County, and not under the Audrain County, execution.

Defendant’s 322 acres was not divided for the purpose of selling but was sold as a whole to plaintiff for \$20,600.00. The only bidders were Ed Orr, one of the attorneys for Mrs. Contestible, and Ralph Alexander, a bondsman and attorney for the sheriff. Plaintiff Griggs testified he heard the farm would bring enough to satisfy the two judgments about 15 or 20 minutes before the sale; that about 5 or 10 minutes before it was sold he decided to buy it because “it didn’t bring any more than it did,” and that he asked Mr. Alexander to bid for him. * * *

It is not questioned but that this 322 acre farm, consisting of approximately eight forties, could have been offered for sale in parcels. Rule 76.24 (§ 513.210) contemplates that the officer “divide such property, if susceptible of division, and sell so much thereof as will be sufficient to satisfy such execution.” This was not done, and we hold that it should have been so divided. In *Brookshire v. Powell*, Mo., 335 S.W.2d 176, 181, the disparity between the market value of this farm and a bid of \$2,300 was considered so great as to require setting aside that execution sale and sheriff’s deed. In the case at bar the Henry County judgment, interest and costs amounted to \$2,308.16; and for that amount under said execution and the constructive levy of the Audrain County execution, but without an advertisement for sale under Rule 76.36, supra, under said Audrain County execution, it is sought to justify this forced sale for \$20,600 of

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property valued at about \$46,000. This record calls for the result reached in *Brookshire v. Powell* * * *.

Defendant is entitled to relief upon doing equity. * * * Accordingly, if defendant will, within thirty days, deposit in this court, for the use and benefit of those entitled thereto, the sum of \$20,600 with interest at the rate of 6% per annum from the date of sale until the same is paid, the decree appealed from will be reversed and the cause remanded with directions to cancel the sheriff’s sale and the sheriff’s deed to plaintiff made pursuant thereto; otherwise the decree will stand affirmed. In either event the costs are assessed against the estate of defendant Brookshire.

PER CURIAM. The foregoing opinion by BOHLING, Special Commissioner, is adopted as the opinion of the court.
All of the Judges concur.
[The court’s opinion on a motion to modify and for a rehearing and the court’s supplemental opinion are omitted.]

NOTES AND QUESTIONS

1. The writ of execution is the traditional method of enforcing a money judgment and it applies to both personal and real property. Essentially, the writ is a court order to an official to seize the judgment debtor’s property, to sell it, and to give the proceeds to the judgment creditor. See Wood, *Short Circuiting the Justice System: How Defendants are Misusing Writs of Execution*, 39 Pepp.L.Rev. 747 (2012). Various factors tend to influence the effectiveness of the device, including: the territorial reach of an execution; the order in which various types of property are levied upon and sold by the officer to whom the execution is delivered; and the determination of priorities as between competing executions.
2. Federal Rule 69 governs the execution of a money judgment entered by a federal court. The rule is applied in accord with the procedure of the state in which the district court sits, but federal courts have authority to devise additional procedures when needed. See *Hankins v. Finnel*, 964 F.2d 853, 860 (8th Cir. 1992), cert. denied, 506 U.S. 1013, 113 S.Ct. 635, 121 L.Ed.2d 566 (1992) (“Where state law fails to supply the necessary procedure, or actually stands in the way of enforcement, the district court may take the necessary steps to ensure compliance with its judgment.”). Rule 69(a)(2) expressly permits, in aid of execution, discovery from “any person” as provided by the Federal Rules or the procedure of the state where the

court is located. “It is not uncommon to seek asset discovery from third parties, including banks, that possess information pertaining to the judgment debtor’s assets.” *EM Ltd. v. Republic of Argentina*, 695 F.3d 201, 207 (2d Cir. 2012), *aff’d sub nom. Republic of Argentina v. NML Cap., Ltd.*, 573 U.S. 134, 134 S.Ct. 2250, 189 L.Ed.2d 234 (2014).

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3.How does Federal Rule 69 differ from Federal Rule 70? Which rule will be used to enforce a judgment seeking an award of money damages? An order of specific performance?

4.State laws exempt a variety of real and personal property from execution. Although these state laws differ in their details, they seek to prevent debtors from concealing or shielding their assets, while also promoting family stability and avoiding indigency and the need for public assistance. See Morantz, *There’s No Place Like Home: Homestead Exemption and Judicial Constructions of Family in Nineteenth-Century America*, 24 L. & Hist.Rev. 245 (2006) (setting out history of the exemption). Exempt property typically is defined by dollar amount and type of property, both of which vary greatly from state-to-state. Perhaps the most important exemption is for the “homestead,” which usually includes the family home and the property on which it is located. All states other than New Jersey and Pennsylvania currently protect the homestead from judgment liens. See Breitenstein, *The Ideal Homestead Exemption: Avoiding Asset Conversion and Fraud but Still Protecting Dependents*, 58 Drake L.Rev. 1121, 1124 n.14 (2010) (collecting state laws).

5.Garnishment can be used post-judgment to attach intangible property such as a bank account. The federal Consumer Credit Protection Act of 1968, 15 U.S.C. §§ 1671–77, sets a cap that is applicable nationwide on the portion of an employee’s disposable earnings that can be subject to garnishment and also protects an employee from being fired because of a garnishment on wages. In addition, the Servicemembers Civil Relief Act of 2003 extends temporary protection against garnishment to individuals in military service, although it does not ban garnishment of military wages. See 50 U.S.C. § 3934; see also 32 C.F.R. Parts 112 and 113 (procedures relating to “involuntary allotment” of military pay).

Additional protections against garnishment appear in different state laws. See Hynes, *Credit Markets, Exemptions, and Households with Nothing to Exempt*, 7 Theoretical Inquiries L. 493 (2006). However, in some states, the wage exemption from garnishment is lost once the funds are deposited in a bank account. See Walker, *Wyoming’s Statutory Exemption on Wage Garnishment: Should It Include Deposited Wages?*, 6 Wyo.L.Rev. 53 (2006). Federal law also exempts specified government benefits from garnishment by creditors, and special rules are intended to protect such assets from garnishment even when they have been deposited in bank accounts. See Garnishment of Accounts Containing Federal Benefit payments, 31 C.F.R. Part 212 (2013).

6.The federal government has played an increasingly important role in the enforcement of court-ordered child support, typically owed by the noncustodial parent. See Swank, *The National Child Non-Support Epidemic*, 2003 Mich. St. DCL L.Rev. 357. In 1950, the federal government entered the field of child support enforcement. See *id.* That same year, the National Conference of Commissioners on Uniform State Laws adopted the Uniform Reciprocal Enforcement of Support Act to reduce the cost of enforcement. The

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Act was amended in 1968, and, in 1992, it was replaced by the Uniform Interstate Family Support Act, 9 U.L.A. 229 (1993). Since 1975, the federal government has required every state to adopt laws aimed at increasing unpaid child support as a condition for receiving federal funds for public assistance. See Cammett, *Deadbeats, Deadbrokees, and Prisoners*, 18 Geo. J. on Poverty L. & Pol’y 127 (2011).

7.What if a federal judgment is rendered in one judicial district, but defendant’s assets are located in another district? Under 28 U.S.C. § 1963, the judgment may be registered in any other district by filing a certified copy with that district. It then may be enforced in the same manner as any judgment of the court in which it is registered. A 1988 amendment to the statute provides for the registration of a judgment even before it becomes final “when ordered by the court that entered the judgment for good cause shown.” Good cause has been shown when there is an “absence of assets in the judgment forum, coupled with the presence of substantial assets in the registration forum.” *Columbia Pictures Television, Inc. v. Krypton Broadcasting of Birmingham, Inc.*, 259 F.3d 1186, 1197–98 (9th Cir. 2001). The Supreme Court has not addressed whether a judgment entered in one federal court and registered in another federal court under 28 U.S.C. § 1963 may be registered and enforced by a third federal court. E.g., *Fidelity National Financial, Inc. v. Friedman*, 803 F.3d 999 (9th Cir. 2015) (as matter of first impression, registration of money judgment, rendered in another district, has same effect as creating a new judgment issued by registering court); *Del Prado v. B.N. Development Co., Inc.*, 602 F.3d 660 (5th Cir. 2010) (registered judgment could be registered in another district).

8.Federal Rule 62(b)(4) permits the district court to stay the execution of a judgment or any proceedings to enforce it when the judgment debtor has sought relief from the judgment or order under Federal Rule 60. Courts have required the party seeking a stay to post a bond to protect the judgment creditor’s interest. See *Zurich American Insurance Co. v. Staffing Concepts National Inc.*, 2017 WL 4518662 (M.D. Fla. 2017). How should Rule 62(b)(4) operate when the judgment is entered by default? See Panoff, *Debtors, Creditors, Default Judgments, & Discretion: Why Rule 62(b)(4) Will Become One of the Most Important Federal Rules of Civil Procedure*, 44 Creighton L.Rev. 227 (2010).

9. The enforcement of judgments rendered by a foreign court is a question of increasing importance given the global nature of commercial relations. The United States has not yet entered into any treaty with other nations dealing with the recognition and enforcement of foreign judgments. How does the question of whether a federal or state court in the United States ought to enforce a foreign judgment differ from enforcement of the court’s own decree?

2.SUPPLEMENTARY PROCEEDINGS

The supplementary proceeding is an in personam remedy that requires the debtor to turn over money or property directly to the

creditor. Supplementary proceedings are variously known as turnover orders, debtor’s examinations, proceedings in aid of execution, and citations to discover assets. They are now largely statutory and vary from state to state, but typically combine discovery with collection and can reach “equitable assets” that may be beyond execution and property that has been concealed and transferred. As discussed in the next section, court orders in a supplementary proceeding may be enforced by contempt, which can involve civil confinement of the judgment debtor.

NOTES AND QUESTIONS

1. Should supplementary proceedings be treated as a separate action or merely as an adjunct to the action in which the judgment was recovered? Should federal or state law control the answer? See *Jackson-Platts v. General Electric Capital Corp.*, 727 F.3d 1127 (11th Cir. 2013).
2. Suppose A recovers a judgment from B and during supplementary proceedings B claims that C is in possession of property belonging to B. When A attempts to have the property applied to the judgment, C contests B’s interest. How is the dispute between B and C as to the ownership of the property to be determined? If the supplementary proceeding is under the control of a judge, can the court determine the dispute between B and C and, if it finds in B’s favor, apply the property to the satisfaction of A’s judgment? What objections are there to the judge making such a determination? Compare *Letz v. Letz*, 123 Mont. 494, 215 P.2d 534 (1950), with *Exceletech, Inc. v. Williams*, 597 So.2d 275 (Fla. 1992).
3. In *NORTHERN MARIANA ISLANDS v. CANADIAN IMPERIAL BANK OF COMMERCE*, 693 F.3d 274 (2d Cir. 2012), the court considered whether a turnover order may be issued under New York law to an entity that does not have actual custody of the debtor’s assets, but whose subsidiary might have custody of such assets. Finding that the answer turned on unresolved issues of state law, the Second Circuit certified the question to the New York Court of Appeals for clarification. Upon answer, 21 N.Y.3d 55, 967 N.Y.S.2d 876, 990 N.E.2d 114 (2013), the Second Circuit held that the turnover order could not be issued to the bank because it lacked actual possession or custody of the judgment debtor’s assets. 717 F.3d 266 (2d Cir. 2013).

3.CONTEMPT AND BODY EXECUTION

REEVES v. CROWNSHIELD
Court of Appeals of New York, 1937.
[274 N.Y. 74, 8 N.E.2d 283.](#)

FINCH, JUDGE.

The uncollectibility of money judgments has ever been a subject of concern to bench and bar. A large part of the statute law of this state is designed to enable a judgment creditor to obtain satisfaction upon his

money judgment. That a large percentage of these money judgments have remained uncollectible has been confirmed by statistical surveys. Johns Hopkins University Institute of Law, *Survey of Litigation in New York* (1931). Many debtors who were in a position to pay have evaded their legal obligations by unlawful and technical means. Discontent with this situation resulted in agitation for reform in collection procedure. * * * Finally, in 1935, upon the recommendation of the Judicial Council, a law was enacted creating a new mode of enforcing the payment of judgments. * * *

Section 793 of the Civil Practice Act [currently N.Y.C.P.L.R. 5226] now provides that, in addition to the garnishee provisions of the old law, the court may make an order directing a judgment debtor to make payments in installments out of the income which he receives. Such orders must be made upon notice to the judgment debtor and after he has had an opportunity to show inability to pay, and with due regard to the reasonable requirements of the judgment debtor and his family, as well as of payments required to be made by him to other creditors. Section 801 of the Civil Practice Act [now found in N.Y.C.P.L.R. 5251] provides that refusal to pay after such an order of the court is punishable as a contempt. * * *

This new procedure was invoked against the appellant, in an attempt to collect a judgment for approximately \$400. The examination in supplementary proceedings disclosed that he was employed by the Federal Government as a steamship inspector at a salary of \$230 per month, less a small pension deduction. He has no children, and the whereabouts of his wife are unknown. Aside from \$48 a month paid as rent and his living expenses, he has no financial obligations. The court ordered the appellant to pay installments of \$20 per month until the judgment was satisfied. Upon his failure to pay, he was held in contempt and fined the sum of \$20, commitment being provided for in default of payment.

An appeal was taken directly to this court from the City Court of New York City on the ground that a constitutional question was involved.

* * *

The judgment debtor challenges the constitutionality of section 793 and section 801 on the ground that in effect they provide for imprisonment for debt. It is admitted that neither the State nor the Federal Constitutions contain provisions expressly prohibiting

imprisonment for debt, and that the statutory provision forbidding imprisonment for debt found in section 21 of the New York Civil Rights Law excepts cases otherwise specially prescribed by law. It is asserted, however, that imprisonment for debt is barred by the due process clauses of the State and Federal Constitutions (Const.N.Y. art. 1, § 6; Const.U.S. Amend. 14). No cases so holding are cited * * *. Whatever doubt there may exist as to whether imprisonment for debt without regard to ability to pay may be treated as a deprivation of liberty

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without due process of law * * *, there can be no doubt that imprisonment for failure to obey an order of a court to make payment out of income, which order is made with due regard to the needs of the debtor and his family, is not violative of the due process clause.

* * *

In the case at bar the judgment debtor has not complained that the order directing the payment of \$20 per month is unjust, inequitable, or harsh. His position is an arbitrary refusal to pay. It is based upon the ground that the courts are powerless to compel him to pay out of his income an amount fixed after deducting the sum necessary for his reasonable needs.

The Legislature has seen fit to provide a creditor with a direct remedy for the collection of his just debts. A refusal to recognize such an order by the judgment debtor entitles the creditor to move to have him punished for contempt. Without this right, there would be no power in the court to enforce its order. To compel the judgment debtor to obey the order of the court is not imprisonment for debt, but only imprisonment for disobedience of an order with which he is able to comply. His refusal is contumacious conduct, the same as a refusal to obey any other lawful order of the court.

It also is asserted that the application of this law to the appellant is unconstitutional, since it interferes with the operation of a federal instrumentality. To sustain this contention, reference is made to the cases declaring State laws taxing the salaries of federal officers unconstitutional. * * * Analysis shows that these cases are not in point. The true basis for declaring a state tax on the salaries of federal officers unconstitutional is that since the Federal Government presumably finds it necessary to pay its officers a salary based upon the value of their services, the state should not be permitted to tax the salaries thereby reducing the compensation and making it necessary for the Federal Government to increase the salaries paid by it.

* * *

It is true that the wages of a federal employee cannot be garnisheed, but once his wage has been paid to him a state is not prohibited from ordering him to apply a portion of such income towards the payment of his just debts. The moment the salary is received it becomes a part of the general income of the owner. If he should therewith purchase property the property could be taken under execution for the payment of a judgment against the owner. No reason appears for exempting the income while still held as money and not exempting it when it has been converted into property. * * *

* * *

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Orders affirmed.

NOTES AND QUESTIONS

1. The history of body execution is set forth in KINSEY v. PREESON, 746 P.2d 542 (Colo. 1987), in which the Supreme Court of Colorado invalidated the procedure as violating equal protection under the state constitution:

The origins of body execution are ancient and the concept of imprisonment for debt was long a part of our legal history. R. Ford, Imprisonment for Debt, 25 Mich.L.Rev. 24 (1926). The practice of imprisoning debtors had its antecedent in Roman law and continued throughout the evolution of the common law. In colonial America, the law corresponded with the law of England in the matter of civil arrest, so much so that in some states three to five times the number of persons were imprisoned for debt as for crime. Id. at 28–29. Reform came in the guise of constitutional and statutory provisions which limited or entirely prohibited imprisonment for debt, and were enacted by the states individually. * * * Some states have no constitutional provisions on the subject, but have enacted statutory limitations, while other states have constitutional provisions to restrict imprisonment for debt. * * * The United States Constitution provides no express provision against imprisonment for debt, but federal courts are required to follow the law of the state in which they sit. See 28 U.S.C. § 2007 (1982).

Body execution statutes are not uniform, but most authorize a body execution whenever a defendant is found guilty of some kind of wrongdoing, such as committing a fraud, or tort, or misconduct in public office or professional employment, or embezzlement or conversion of the plaintiff’s property, or where the defendant is about to abscond. * * * The intent of prohibitions against imprisonment for debt is to exempt from imprisonment the honest debtor who is poor, and unable to pay his or her debts. * * *

Id. at 546.

Is there any rationale for permitting body execution of a debtor who has not concealed or dissipated assets or otherwise engaged in fraud? In this situation is the procedure a means of judgment execution or a form of punishment? The Colorado court concluded that “jailing the indigent debtor defeats the purpose of obtaining payment for the judgment creditor by precluding gainful employment during the period of incarceration.” Id. at 550. Finding that the state’s body execution statute did not rationally distinguish defendants on the basis of their ability to pay, it invalidated the law as a

violation of equal protection:

The purpose of the body execution statute, to coerce a judgment debtor into paying the judgment, cannot be effected against an indigent debtor. The only real effect of the body execution against an

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indigent debtor is that of punishment. Such a punishment can be avoided by a solvent debtor but becomes mandatory against an indigent debtor. Thus, the body execution statute is invidiously discriminatory and unconstitutional under the fourteenth amendment. Therefore, we reverse the award of execution against the body of the defendant.

Id. at 549. Similarly, In GRIMES v. MILLER, 429 F.Supp. 1350 (M.D. N.C. 1977), affirmed, 434 U.S. 978, 98 S.Ct. 600, 54 L.Ed.2d 473 (1977), the North Carolina post-judgment body execution statute withstood a constitutional challenge because it required findings of fact sufficient to support the conclusion of probable cause that the debtor was about to flee or had concealed assets or that, unless immediately detained, debtor would do so, and that debtor, once imprisoned, was afforded a hearing within three days of the arrest or released subject to later imprisonment. See also Sobol, *Fighting Fines & Fees, Borrowing from Consumer Law to Combat Criminal Justice Debt Abuses*, 88 U.Colo.L.Rev. 841 (2017); Mitchell & Kunsch, *Of Driver’s Licenses and Debtor’s Prison*, 4 Seattle J. for Soc.Just. 439 (2005).

2. Writing a check on a bank account with insufficient funds can be criminally punished in every one of the 50 states, and some states impose strict liability so that the prosecutor does not need to prove intent to defraud. See Sanders, Jr., *Time to Close the Collection Agency: Addressing the Abuse of Bad Check Laws*, 2 Charleston L.Rev. 215, 217–218 (2007). Doesn’t this practice permit the state in some situations to imprison an individual for debt?

3. The Fair Debt Collection Practices Act, amended in 2006 and then again in 2010 by the Dodd-Frank Wall Street Reform and Consumer Protection Act, regulates the collection of consumer debts. The statute forbids a debt collector from representing or implying “that nonpayment of any debt will result in the arrest or imprisonment of any person or the seizure, garnishment, attachment, or sale of any property or wages of any person unless such action is lawful and the debt collector or creditor intends to take such action.” 15 U.S.C. § 1692e(4). However, it is permissible for a debt collector to file a criminal complaint that might lead to the arrest or imprisonment of the consumer.

4. Both body execution and civil contempt seek to coerce the recalcitrant or dilatory judgment debtor to meet obligations. In jurisdictions that have prohibited or severely limited body execution, should contempt be available to remedy nonpayment by an indigent defendant? See Shepard, *Creditors’ Contempt*, 2011 BYU L.Rev. 1509, 1545–46 (2011).

5. The Servicemembers Civil Relief Act, 50 U.S.C. §§ 3901–4043, provides financial protection to servicemembers while on active duty:

On December 19, 2003, Congress passed the Servicemembers Civil Relief Act to restate, clarify, and revise the Soldiers’ and Sailors’ Civil Relief Act of 1940. H.R. 100, 108th Cong. (2003). The codified purposes of the Act are to strengthen and expedite the national

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defense by permitting servicemembers to devote their energy to the defense needs of the Nation and “to provide for the temporary suspension of judicial administrative proceedings and transactions that may adversely affect the civil rights of servicemembers during their military service.” 50 U.S.C. Appx. § 502 [now found at 50 U.S.C. § 3902]. In interpreting the preceding act, the Supreme Court held that the “Act is always to be liberally construed to protect those who have been obliged to drop their own affairs to take up the burdens of the nation.” Boone v. Lightner, 319 U.S. 561, 575 (1943); see also Le Maistre v. Leffers, 333 U.S. 1, 6 (1948).

Koenig v. Waukesha State Bank, 2006 WL 2334841 (E.D. Wis. 2006). As one court has explained,

The Act has become particularly important as our nation has increasingly relied on reservists to carry out military jobs that members of a standing army formerly would have handled. The armed forces often pluck reservists out of civilian life for indeterminate lengths of service, leaving the reservists’ various civil obligations unattended. The SCRA lessens the impact of reservists’ absence on their civilian life and obligations.

Newton v. Bank of McKenney, 2012 WL 1752407 (E.D. Va. 2012).

4.LIENS AND PRIORITIES

Lien and priority-of-lien problems are among the most complex in the law of judgment enforcement. The traditional “lien” situation involves the judgment creditor’s right to a particular piece of property as against the judgment debtor or someone claiming under the latter, such as an assignee or purchaser of the property. The judgment creditor’s rights against a transferee are based on the purchaser’s or assignee’s having actual or constructive notice of the creditor’s rights in the property.

Questions of priority of liens involve a dispute between two or more judgment creditors over the debtor’s property. As a general rule, the rights of one creditor vis-à-vis another are based on the equitable principle of “diligence,” which seeks to prevent a creditor from refraining from collecting a judgment while maintaining priority of lien. What factors should determine whether one judgment creditor is more “diligent” than another? Should it be sufficient for a judgment creditor to record the judgment (and thereby create a lien), or should the judgment creditor be required to pursue a writ of execution on the judgment? Some states may deviate from the common law diligence rule of “first in time, first in right” for priority of judgment liens depending on the nature of the debt to be collected or the nature of the property against which the lien is asserted. Compare, e.g., N.Y.C.P.L.R. 5234(b) (providing that “executions for child support shall have priority over any other assignment, levy or process”),

with N.Y.C.P.L.R. 5203 (providing separate lien priorities against real property).

CHAPTER 16

APPELLATE REVIEW

■ ■ ■

This chapter considers appellate review on a number of levels. First, there is the question of timing. When can a litigant obtain review of a court order? Must the appellant await a final decision in the action or may the matter be reviewed at once? Second, there is the question of who may seek appellate review of a court decision. To what extent, for example, should a person who prevailed in a case be able to appeal the adverse determination of a specific issue, made along the way, that could have an impact on future cases? Also, should the right to appeal be limited to parties who originally litigated a case? Third, there is the question of the appellate court’s jurisdiction and the standard of review to be used. As you read these materials, consider how the availability of appellate review affects other aspects of the judicial proceeding, such as discovery, case management, and sanctions.

A. THE PRINCIPLE OF FINALITY

1.APPLICATION OF THE BASIC CONCEPT

Read 28 U.S.C. §§ 1291 and 1292 in the Supplement.

COOPER, EXTRAORDINARY WRIT PRACTICE IN CRIMINAL CASES: ANALOGIES FOR THE MILITARY COURTS, 98 F.R.D. 593, 594–96 (1983):

A truly final judgment is one that marks the completion of all the events that will occur in a trial court. Nothing more remains to be done, unless it be execution of a judgment against the defendant.

The advantages that may be gained by deferring appeals until entry of a truly final judgment are familiar, and can be summarized in short order. Immediate review of every ruling made by a trial court could not be tolerated. Repeated interruptions and delays could put the trial process beyond any reasonable control, even if appeals were taken only when there was a good faith and reasonable belief that the court was wrong. The opportunities for less honorable delay and harassment of an adversary also

would not go entirely unexploited. More limited opportunities for interlocutory review would not be so disastrous, but would carry some part of the same costs. The possible advantages to be set against these costs arise from the opportunity to correct a wrong ruling. These advantages, however, are reduced by the prospects that most trial court rulings are correct; that wrong rulings often are corrected by the trial court; and that uncorrected wrong rulings will not, in the end, taint the final judgment.

The price that is paid for a final judgment rule, however, can be high. An erroneous ruling may taint everything that follows. If appeal must be delayed until final judgment, it may become necessary to repeat the entire trial proceeding. The costs of repeating the trial go beyond the obvious costs of expense and anxiety. The further proceedings will be held later, and may suffer from lapses of memory, inconsequential inconsistencies that are blown into exaggerated importance, and actual loss of evidence. Beyond these defects, the retrial proceedings often will be affected by lessons learned at the first trial. * * * The problem is more than one of boredom; strategies have been revealed and must be revised, opportunities to sustain truth by impeachment are diminished, and so on.

* * *

Beyond the impact on individual cases, loss of the opportunity for interlocutory review means that some areas of law must develop without much opportunity for appellate guidance. Questions of discovery, for example, may confuse and divide trial courts for years without the guidance and uniformity that appeals could provide.

Certiorari to the United States Court of Appeals for the Third Circuit.

JUSTICE REHNQUIST delivered the opinion of the Court.

Respondents filed a complaint in the United States District Court for the Western District of Pennsylvania in which they asserted that petitioner's employee insurance benefits and maternity leave regulations discriminated against women in violation of Title VII of the Civil Rights Act of 1964 * * *. The District Court ruled in favor of respondents on the issue of petitioner's liability under that Act, and petitioner appealed to the Court of Appeals for the Third Circuit. That court held that it had jurisdiction of petitioner's appeal under 28 U.S.C. § 1291, and proceeded to affirm on the merits the judgment of the District Court. We granted certiorari * * * and heard argument on the merits. Though neither party has questioned the jurisdiction of the Court of Appeals to entertain the

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appeal, we are obligated to do so on our own motion if a question thereto exists. * * *

Respondents' complaint, after alleging jurisdiction and facts deemed pertinent to their claim, prayed for a judgment against petitioner embodying the following relief:

- (a)requiring that defendant establish non-discriminatory hiring, payment, opportunity, and promotional plans and programs;
- (b)enjoining the continuance by defendant of the illegal acts and practices alleged herein;
- (c)requiring that defendant pay over to plaintiffs and to the members of the class the damages sustained by plaintiffs and the members of the class by reason of defendant's illegal acts and practices, including adjusted backpay, with interest, and an additional equal amount as liquidated damages, and exemplary damages;
- (d)requiring that defendant pay to plaintiffs and to the members of the class the costs of this suit and a reasonable attorneys' fee, with interest; and
- (e)such other and further relief as the Court deems appropriate. * * *

After extensive discovery, respondents moved for partial summary judgment only as to the issue of liability. * * * The District Court * * *, finding no issues of material fact in dispute, entered an order to the effect that petitioner's pregnancy-related policies violated Title VII of the Civil Rights Act of 1964. It also ruled that Liberty Mutual's hiring and promotion policies violated Title VII. Petitioner thereafter filed a motion for reconsideration which was denied by the District Court. * * *

It is obvious from the District Court's order that respondents, although having received a favorable ruling on the issue of petitioner's liability to them, received none of the relief which they expressly prayed for in the portion of their complaint set forth above. They requested an injunction, but did not get one; they requested damages, but were not awarded any; they requested attorneys' fees, but received none.

Counsel for respondents when questioned during oral argument in this Court suggested that at least the District Court's order of February 20 amounted to a declaratory judgment on the issue of liability pursuant to the provisions of 28 U.S.C. § 2201. Had respondents sought *only* a declaratory judgment, and no other form of relief, we would of course have a different case. But even if we accept respondents' contention that the District Court's order was a declaratory judgment on the issue of liability, it nonetheless left unresolved respondents' requests for an injunction, for

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compensatory and exemplary damages, and for attorneys' fees. It finally disposed of none of respondents' prayers for relief.

The District Court and the Court of Appeals apparently took the view that because the District Court made the recital required by Fed.Rule Civ.Proc. 54(b) that final judgment be entered on the issue of liability, and that there was no just reason for delay, the orders thereby became appealable as a final decision pursuant to 28 U.S.C. § 1291. We cannot agree with this application of the Rule and statute in question.

Rule 54(b) "does not apply to a single claim action * * *. It is limited expressly to multiple claims actions in which 'one or more but less than all' of the multiple claims have been finally decided and are found otherwise to be ready for appeal." *Sears, Roebuck & Co. v. Mackey*, 351 U.S. 427, 435, 76 S.Ct. 895, 899, 100 L.Ed. 1297, 1306 (1956). Here, however, respondents set forth but a single claim: that petitioner's employee insurance benefits and maternity leave regulations discriminated against its women employees in violation of Title VII of the Civil Rights Act of 1964. They prayed for several different types of relief in the event that they sustained the allegations of their complaint * * *, but their complaint advanced a single legal theory which was applied to only one set of facts. Thus, despite the fact that the District Court undoubtedly made the findings required under the Rule had it been applicable, those findings do not in a case such as this make the order appealable pursuant to 28 U.S.C. § 1291. * * *

We turn to consider whether the District Court's order might have been appealed by petitioner to the Court of Appeals under any other theory. The order, viewed apart from its discussion of Rule 54(b), constitutes a grant of partial summary judgment limited to the issue of petitioner's liability. Such judgments are by their terms interlocutory, see Fed.Rule Civ.Proc. 56(c),^a and where assessment of

damages or awarding of other relief remains to be resolved have never been considered to be “final” within the meaning of 28 U.S.C. § 1291. * * * Thus the only possible authorization for an appeal from the District Court’s order would be pursuant to the provisions of 28 U.S.C. § 1292.

If the District Court had granted injunctive relief but had not ruled on respondents’ other requests for relief, this interlocutory order would have been appealable under § 1292(a)(1). But, as noted above, the court did not issue an injunction. It might be argued that the order of the District Court, insofar as it failed to include the injunctive relief requested by respondents, is an interlocutory order refusing an injunction within the meaning of § 1292(a)(1). But even if this would have allowed *respondents* to then obtain

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review in the Court of Appeals, there was no denial of any injunction sought by *petitioner* and it could not avail itself of that grant of jurisdiction.

Nor was this order appealable pursuant to 28 U.S.C. § 1292(b). Although the District Court’s findings made with a view to satisfying Rule 54(b) might be viewed as substantial compliance with the certification requirement of that section, there is no showing in this record that petitioner made application to the Court of Appeals within the 10 days therein specified. And that court’s holding that its jurisdiction was pursuant to § 1291 makes it clear that it thought itself obliged to consider on the merits petitioner’s appeal. There can be no assurance that had the other requirements of § 1292(b) been complied with, the Court of Appeals would have exercised its discretion to entertain the interlocutory appeal.

Were we to sustain the procedure followed here, we would condone a practice whereby a district court in virtually any case before it might render an interlocutory decision on the question of liability of the defendant, and the defendant would thereupon be permitted to appeal to the court of appeals without satisfying any of the requirements that Congress carefully set forth. We believe that Congress, in enacting the present §§ 1291 and 1292 of Title 28, has been well aware of the dangers of an overly rigid insistence upon a “final decision” for appeal in every case, and has in those sections made ample provision for appeal of orders which are not “final” so as to alleviate any possible hardship. We would twist the fabric of the statute more than it will bear if we were to agree that the District Court’s order of February 20, 1974, was appealable to the Court of Appeals.

The judgment of the Court of Appeals is therefore vacated, and the case is remanded with instructions to dismiss the petitioner’s appeal.

It is so ordered.

JUSTICE BLACKMUN took no part in the consideration or decision of this case.

NOTES AND QUESTIONS

1. Was the absence of finality in *Liberty Mutual* a jurisdictional defect or simply noncompliance with a procedural requirement for taking an appeal? Is it significant that the Court raised the defect sua sponte? Are the same dangers present when an appellate court conducts a premature review as when a trial court hears a cause that is not within its competence?

2.Appellate review serves a number of purposes. One goal is to correct errors by the court of original jurisdiction. A related goal is to develop a consistent body of law to be followed in future cases. See Shavell, *The Appeals Process as a Means of Error Correction*, 24 J. Legal Stud. 379, 379–80, 416, 425–26 (1995). Yet a third goal is to meet the public’s “demand for justice,” which assumes that “important grievances [will] be heard and resolved by the

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highest possible governmental authority.” Kelso, *A Report on the California Appellate System*, 45 Hastings L.J. 433, 434–35 (1994) How does the requirement of finality promote or undermine these goals?

3.For a historical analysis of how the final judgment rule developed, see Crick, *The Final Judgment as a Basis for Appeal*, 41 Yale L.J. 539, 541–50 (1932).

2.THE NEW YORK APPROACH

New York allows appeals as of right to the state’s intermediate appellate court—the Appellate Division—in a great many situations in which no final judgment has been rendered. Read the New York provision, N.Y.C.P.L.R. 5701, which is found in the Supplement following 28 U.S.C. § 1292.

KORN, CIVIL JURISDICTION OF THE NEW YORK COURT OF APPEALS AND APPELLATE DIVISIONS, 16 Buffalo L.Rev. 307, 332 (1967):

Today * * * it is well known that there is hardly a question of practice that cannot be appealed; and, if a matter is said to be addressed to the court’s discretion or favor, this may mean a more limited scope of review but will rarely affect appealability. Appeals on practice matters are legion, ranging far and wide over questions of venue, parties, consolidation and joint trial, pleading and pre-trial disclosure. The only meaningful method of inquiry as to the content of the present standards is to examine

the types of orders that have been held *not* to involve some part of the merits or affect a substantial right.

NOTE AND QUESTIONS

In refusing to allow an appeal from an interlocutory order, an unnecessary appellate hearing may be avoided; in allowing an appeal, an unnecessary trial may be avoided, either by disposing of the case at that stage or by correcting in advance of trial an error that might otherwise require a new trial. Is there any basis for supposing that the appellate hearing is more likely to prove unnecessary than the trial? Is it relevant that the trial judge will more often be correct in an interlocutory ruling than wrong? Is it better to resolve the question of allowing an interlocutory appeal by weighing the advantages and disadvantages against each other in the abstract or by considering them as they apply in each case?

Even if it is assumed that a reversal of the trial court’s order by the appellate court is as probable as its affirmance and consideration is taken of the possibility that trial may demand more time of lawyers and judges than an

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appeal, does it follow that interlocutory appeals should be freely allowed? Consider the effect of the following factors:

- (1) In the course of a single lawsuit there may be many interlocutory orders from which one of the parties would like to appeal; thus, if finality is required, several appeals may be saved for every trial saved under the other approach.
- (2) Not every reversal of an interlocutory order will terminate the case without trial.
- (3) The number of appellate courts cannot be increased as readily as can the number of trial courts in order to take care of heavier calendars. There will be a serious problem as long as it is the function of appellate courts not only to review trial-court decisions but also to establish and maintain a degree of uniformity in the law.

Is the trial judge’s independence and discretion threatened by too frequent a review? Is a party who has been ordered to answer questions in a deposition interested in obtaining immediate review solely in order to save time or money? Moreover, the debate over the relative merits of a final-judgment rule and an interlocutory appeal system is intertwined with the larger problem of court congestion at the appellate level. The attention given to crowding at the trial level has obscured the fact that a comparable problem may exist in many reviewing courts.

3.DEPARTURES FROM THE FINAL JUDGMENT RULE IN THE FEDERAL COURTS

a.Defining “Finality”

i.Cases Involving Multiple Claims

Read Federal Rule of Civil Procedure 54(b) and the accompanying materials in the Supplement.

SEARS, ROEBUCK & CO. v. MACKEY, 351 U.S. 427, 76 S.Ct. 895, 100 L.Ed. 1297 (1956). Mackey brought suit for damages against Sears, Roebuck under the Sherman Antitrust Act (Counts I and II) and common law for unlawfully inducing a breach of contract (Count III) and unfair competition and patent infringement (Count IV). The district court dismissed only those claims presented in Counts I and II. On appeal to the Court of Appeals for the Seventh Circuit, the court upheld its appellate jurisdiction under 28 U.S.C. § 1291. The Supreme Court affirmed.

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The Court noted that before the promulgation of the Federal Rules, no appeal would have been allowed from the final determination of Counts I and II since the district court’s judgment was not a final decision of the whole case. However, with the adoption of the Federal Rules and the subsequent increase in multiple-claim actions, the promulgators recognized the need to ameliorate the standard that “*all* claims had to be finally decided before an appeal could be entertained from a final decision upon any of them.” Id. at 434, 76 S.Ct. at 899, 100 L.Ed. at 1305. Consequently, Rule 54(b) was adopted.

* * * [Rule 54(b), as amended in 1946,] does not relax the finality required of each decision, as an individual claim, to render it appealable, but it does provide a practical means of permitting an appeal to be taken from one or more final decisions on individual claims, in multiple claims actions, without waiting for final decisions to be rendered on *all* the claims in the case.

* * *

To meet the demonstrated need for flexibility, the District Court is used as a “dispatcher.” It is permitted to determine, in the first instance, the appropriate *time when each “final decision”* upon “one or more but less than all” of the claims in a multiple claims action is ready for appeal. This arrangement already has lent welcome certainty to the appellate procedure. Its “negative effect” has met with uniform approval. The effect so referred to is the rule’s specific requirement that for “one or more but less than all” multiple claims to become appealable, the District Court must make both “an express determination that there is no just reason for delay” and “an express direction for the entry of judgment.” A party adversely affected by a final decision thus knows that his time for appeal will *not* run against him until this certification has been made.

* * *

In the case before us, there is no doubt that each of the claims dismissed is a “claim for relief” within the meaning of Rule 54(b), or that their dismissal constitutes a “final decision” on individual claims. Also, it cannot well be argued that the claims stated in Counts I and II are so inherently inseparable from, or closely related to, those stated in Counts III and IV that the District Court has abused its discretion in certifying that there exists no just reason for delay. They certainly *can* be decided independently of each other.

* * *

* * * The District Court *cannot*, in the exercise of its discretion, treat as “final” that which is not “final” within the meaning of

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§ 1291. But the District Court *may*, by the exercise of its discretion in the interest of sound judicial administration, release for appeal final decisions upon one or more, but less than all, claims in multiple claims actions. The timing of such a release is, with good reason, vested by the rule primarily in the discretion of the District Court as the one most likely to be familiar with the case and with any justifiable reasons for delay. * * *

* * * [Rule 54] does not supersede any statute controlling appellate jurisdiction. It scrupulously recognizes the statutory requirement of a “final decision” under § 1291 as a basic requirement for an appeal to the Court of Appeals. It merely administers that requirement in a practical manner in multiple claims actions and does so by rule instead of by judicial decision. By its negative effect, it operates to restrict in a valid manner the number of appeals in multiple claims actions.

We reach a like conclusion as to the validity of the amended rule where the District Court acts affirmatively and thus assists in properly timing the release of final decisions in multiple claims actions. The amended rule adapts the single judicial unit theory so that it better meets the current needs of judicial administration. Just as Rule 54(b), in its original form, resulted in the release of some decisions on claims in multiple claims actions before they otherwise would have been released, so amended Rule 54(b) now makes possible the release of more of such decisions subject to judicial supervision. The amended rule preserves the historic federal policy against piecemeal appeals in many cases more effectively than did the original rule.

Id. at 435–38, 76 S.Ct. at 899–901, 100 L.Ed. at 1306–07.

On the same day it decided *Mackey*, the Supreme Court in *COLD METAL PROCESS CO. v. UNITED ENGINEERING & FOUNDRY CO.*, 351 U.S. 445, 76 S.Ct. 904, 100 L.Ed. 1311 (1956), held that an appeal by defendant was appropriate under 28 U.S.C. § 1291 and Rule 54(b) even though a counterclaim arising out of the same transaction had not yet been decided. Justice Frankfurter, who concurred in *Mackey*, dissented in *Cold Metal*, arguing that “the counterclaim, even if not compulsory, is based in substantial part on the transactions involved in the main litigation and hence not appealable,” and that the Court had created confusion as to the standards lower courts were to apply in determining when a decision is final. Id. at 439–40, 442–43, 76 S.Ct. at 902–04, 100 L.Ed. at 1308–10.

NOTES AND QUESTIONS

1. In the principal case, the Supreme Court declined to provide a hard and fast definition of claim for purposes of Federal Rule 54(b). Would it be best

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to conform the definition to the test used under Rule 8 for pleading? Under 28 U.S.C. § 1367 for supplemental jurisdiction? Under Rule 20 for claim joinder? Under the doctrine of claim preclusion?

2. In *CURTISS-WRIGHT CORP. v. GENERAL ELECTRIC CO.*, 446 U.S. 1, 100 S.Ct. 1460, 64 L.Ed.2d 1 (1980), Curtiss-Wright brought a diversity action, seeking damages and reformation with regard to a series of contracts between it and General Electric, and defendant counterclaimed. As to one of Curtiss-Wright’s affirmative claims (for \$19 million due on the contracts already performed) the district court granted summary judgment to plaintiff and directed entry of final judgment under Rule 54(b) after determining, as required by the Rule, that there was “no just reason for delay.” The Third Circuit reversed, finding an abuse of discretion, given the existence of a nonfrivolous counterclaim. The Supreme Court agreed with the district court, finding that the “mere presence” of a nonfrivolous counterclaim does not make Rule 54(b) certification inappropriate; rather what matters is the “interrelationship” between the two:

Here, the District Judge determined that General Electric’s counterclaims were severable from the claims which had been determined in terms of both the factual and the legal issues involved. The Court of Appeals did not conclude otherwise.

What the Court of Appeals found objectionable about the District Judge’s exercise of discretion was the assessment of the equities involved. The Court of Appeals concluded that the possibility of a setoff required that the status quo be maintained unless petitioner could show harsh or unusual circumstances; it held that such a showing had not been made in the District Court.

This holding reflects a misinterpretation of the standard of review for Rule 54(b) certifications and a misperception of the appellate function in such cases. * * *

There are thus two aspects to the proper function of a reviewing court in Rule 54(b) cases. The court of appeals must, of course, scrutinize the district court’s evaluation of such factors as the interrelationship of the claims so as to prevent piecemeal appeals in cases which should

be reviewed only as single units. But once such juridical concerns have been met, the discretionary judgment of the district court should be given substantial deference, for that court is “the one most likely to be familiar with the case and with any justifiable reasons for delay.” * * * The reviewing court should disturb the trial court’s assessment of the equities only if it can say that the judge’s conclusion was clearly unreasonable.

Id. at 9–11, 100 S.Ct. at 1465–66, 64 L.Ed.2d at 11–13. Chief Justice Burger, who wrote the opinion for the Court, underscored the difficulty of prescribing guidelines for the determination of when there is “no just reason for delay” in the entry of partial final judgment, “because the number of possible situations

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is large,” but did approve the factors considered by the district court: the fact that plaintiff’s claim was large and liquidated, that the difference between prejudgment and market interest rates would cause great hardship to plaintiff, and that the pending counterclaims would not be decided for many months if not years.

The Supreme Court has not yet provided a generally accepted test for whether one claim or multiple claims are before the trial court. However, lower court decisions provide some insight. The Fifth Circuit, for example, has held that certification is not available “where a court disposes of an affirmative defense, or even every affirmative defense raised by the defendant” unless the court “makes an express holding as to liability”; “where the district court rules on some issues concerning a claim,” but does not complete the analysis because fact issues remain outstanding; and where the district court has resolved a threshold issue relevant to a claim, but has not resolved the claim itself. *Tetra Technologies, Inc. v. Continental Ins. Co.*, 755 F.3d 222, 230 (5th Cir. 2014).

ii. Decisions Involving “Collateral Orders”

In *COHEN v. BENEFICIAL INDUSTRIAL LOAN CORP.*, 337 U.S. 541, 69 S.Ct. 1221, 93 L.Ed. 1528 (1949), Cohen brought a shareholder’s derivative suit in a New Jersey federal court. The district court denied Beneficial’s motion to require Cohen to post security for costs pursuant to a New Jersey statute, holding the statute inapplicable to an action in a federal court. The court of appeals reversed, and the Supreme Court affirmed that decision. The Justices addressed the question of appealability in the following passage:

* * * Appeal gives the upper court a power of review, not one of intervention. So long as the matter remains open, unfinished or inconclusive, there may be no intrusion by appeal. But the District Court’s action upon this application was concluded and closed and its decision final in that sense before the appeal was taken.

Nor does the statute permit appeals, even from fully consummated decisions, where they are but steps towards final judgment in which they will merge. The purpose is to combine in one review all stages of the proceeding that effectively may be reviewed and corrected if and when final judgment results. But this order of the District Court did not make any step toward final disposition of the merits of the case and will not be merged in final judgment. When that time comes, it will be too late effectively to review the present order and the rights conferred by the statute, if it is applicable, will have been lost, probably irreparably. We conclude that the matters embraced in the decision appealed from are not of such an interlocutory nature as to affect, or to be affected by, decision of the merits of this case.

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This decision appears to fall in that small class which finally determine claims of right separable from, and collateral to, rights asserted in the action, too important to be denied review and too independent of the cause itself to require that appellate consideration be deferred until the whole case is adjudicated. The Court has long given this provision of the statute this practical rather than a technical construction. * * *

We hold this order appealable because it is a final disposition of a claimed right which is not an ingredient of the cause of action and does not require consideration with it. * * * Here it is the right to security that presents a serious and unsettled question. If the right were admitted or clear and the order involved only an exercise of discretion as to the amount of security, a matter the statute makes subject to reconsideration from time to time, appealability would present a different question.

Id. at 545, 69 S.Ct. at 1225, 93 L.Ed. at 1536.

WILL v. HALLOCK
Supreme Court of the United States, 2006.
[546 U.S. 345, 126 S.Ct. 952, 163 L.Ed.2d 836.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE SOUTER delivered the opinion of the Court.

[Agents of the United States Customs Service, acting on a warrant, seized computer equipment at plaintiff’s home. No charges were brought and the equipment was returned, albeit in severely damaged condition, resulting in serious financial loss to plaintiff. Plaintiff brought suit against the United States under the Federal Tort Claims Act (FTCA), alleging negligence of the agents. While that action was pending, plaintiff filed a separate negligence suit against the agents. The action against the United States was dismissed after which the agents moved to dismiss the second suit on the ground that the “judgment as bar” provision of the FTCA, 28 U.S.C. § 2676, barred

the action against them once the first case was dismissed. The trial court denied the agents’ motion on the ground that the statute did not apply. On appeal, the Court of Appeals for the Second Circuit held that the “collateral order” doctrine justified the appeal despite the lack of a final judgment and upheld the trial court’s decision.]

* * *

The collateral order doctrine, identified with *Cohen* * * * is “best understood not as an exception to the ‘final decision’ rule laid down by Congress in § 1291, but as a ‘practical construction’ of it.” * * * [T]he collateral order doctrine accommodates a “small class” of rulings, not concluding the litigation, but conclusively resolving “claims of right

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separable from, and collateral to, rights asserted in the action” * * *. The claims are “too important to be denied review and too independent of the cause itself to require that appellate consideration be deferred until the whole case is adjudicated.” *Cohen* * * *.

The requirements for collateral order appeal have been distilled down to three conditions: that an order “ ‘[1] conclusively determine the disputed question, [2] resolve an important issue completely separate from the merits of the action, and [3] be effectively unreviewable on appeal from a final judgment.’ ” * * * The conditions are “stringent,” * * * and unless they are kept so, the underlying doctrine will overpower the substantial finality interests § 1291 is meant to further: judicial efficiency, for example, and the “sensible policy ‘of avoid[ing] the obstruction to just claims that would come from permitting the harassment and cost of a succession of separate appeals from the various rulings to which a litigation may give rise.’ ” * * *

* * * [A]lthough the Court has been asked many times to expand the “small class” of collaterally appealable orders, we have instead kept it narrow and selective in its membership.

A

Prior cases mark the line between rulings within the class and those outside. On the immediately appealable side are orders rejecting absolute immunity * * * and qualified immunity * * *. A State has the benefit of the doctrine to appeal a decision denying its claim to Eleventh Amendment immunity * * * and a criminal defendant may collaterally appeal an adverse ruling on a defense of double jeopardy * * *.

The examples admittedly raise the lawyer’s temptation to generalize. In each case, the collaterally appealing party was vindicating or claiming a right to avoid trial, in satisfaction of the third condition: unless the order to stand trial was immediately appealable, the right would be effectively lost. * * * But * * * [such a] generalization is too easy to be sound and, if accepted, would leave the final order requirement of § 1291 in tatters. * * *

B

Since only some orders denying an asserted right to avoid the burdens of trial qualify, then, as orders that cannot be reviewed “effectively” after a conventional final judgment, the cases have to be combed for some further characteristic that merits appealability under *Cohen*; * * * that something further boils down to “a judgment about the value of the interests that would be lost through rigorous application of a final judgment requirement.” * * *

In each case [in which immediate appeal has been permitted], some particular value of a high order was marshaled in support of the interest in avoiding trial: honoring the separation of powers, preserving the efficiency of government and the initiative of its officials, respecting a

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State’s dignitary interests, and mitigating the government’s advantage over the individual. That is, it is not mere avoidance of a trial, but avoidance of a trial that would imperil a substantial public interest, that counts when asking whether an order is “effectively” unreviewable if review is to be left until later. * * *

C

Does the claim of the customs agents in this case serve such a weighty public objective that the judgment bar [under the Federal Tort Claims Act regarding the dismissal of the case against the United States] should be treated as an immunity demanding the protection of a collateral order appeal? * * * Qualified immunity is not the law simply to save trouble for the Government and its employees; it is recognized because the burden of trial is unjustified in the face of a colorable claim that the law on point was not clear when the official took action, and the action was reasonable in light of the law as it was. The nub of qualified immunity is the need to induce officials to show reasonable initiative when the relevant law is not “clearly established,” * * * [so] a quick resolution of a qualified immunity claim is essential.

There is, however, no such public interest at stake simply because the judgment bar is said to be applicable. It is not the preservation of initiative but the avoidance of litigation for its own sake that supports the judgment bar, and if simply abbreviating litigation troublesome to Government employees were important enough for *Cohen* treatment, collateral order appeal would be a matter of right whenever the Government lost a motion to dismiss under the Tort Claims Act. * * *

Another difference between qualified immunity and the judgment bar lies in the bar’s essential procedural element. While a qualified immunity claim is timely from the moment an official is served with a complaint, the judgment bar can be raised only after a case under

the Tort Claims Act has been resolved in the Government’s favor. * * *

* * *

The judgment bar at issue in this case has no claim to greater importance than the typical defense of claim preclusion; and we hold true to form in deciding * * * that an order rejecting the defense of judgment bar under 28 U.S.C. § 2676 cries for no immediate appeal of right as a collateral order.

We vacate the judgment of the Court of Appeals and remand with instructions to dismiss the appeal for lack of jurisdiction.

NOTES AND QUESTIONS

1. In *MOHAWK INDUSTRIES, INC. v. CARPENTER*, 558 U.S. 100, 130 S.Ct. 599, 175 L.Ed.2d 458 (2009), the Supreme Court held that a discovery

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order compelling defendant to disclose information it claimed was protected by the attorney-client privilege did not qualify for immediate appeal under the collateral order doctrine; the Court reasoned that litigants could be sufficiently protected by post-judgment appeal. There are numerous other examples of the unavailability of appeal under the collateral order doctrine despite hardship for the party seeking an appeal and the potential waste of resources:

- (a) In *RICHARDSON-MERRELL, INC. v. KOLLER*, 472 U.S. 424, 105 S.Ct. 2757, 86 L.Ed.2d 340 (1985), the Supreme Court held that an order to disqualify a party’s attorney is not subject to immediate appeal regardless of how difficult and costly it might be for a substitute attorney to “catch up.”
- (b) In *VAN CAUWENBERGHE v. BIARD*, 486 U.S. 517, 108 S.Ct. 1945, 100 L.Ed.2d 517 (1988), defendant, who had been extradited to the United States, argued that he was immune from civil process. Again, the Supreme Court held that the issue would be reviewable at the end of the civil case and appeal as a collateral order was not available.
- (c) In *LAURO LINES S.R.L. v. CHASSER*, 490 U.S. 495, 109 S.Ct. 1976, 104 L.Ed.2d 548 (1989), defendant argued that the case, brought in a United States court, should have been filed in Italy in accordance with a contract between plaintiffs and defendant. The Supreme Court held that the issue would be reviewable at the end of the case and the collateral order doctrine did not permit an earlier appeal.
- (d) In *DIGITAL EQUIP. CORP. v. DESKTOP DIRECT, INC.*, 511 U.S. 863, 114 S.Ct. 1992, 128 L.Ed.2d 842 (1994), the Supreme Court held that immediate review was not available from an order rejecting a party’s claim to immunity from suit under a private settlement agreement.
- (e) In *CUNNINGHAM v. HAMILTON COUNTY*, 527 U.S. 198, 119 S.Ct. 1915, 144 L.Ed.2d 184 (1999), the Supreme Court held that an order imposing sanctions for discovery violations under Federal Rule 37 on an attorney who no longer represented the client in the on-going matter could not be immediately appealed.

2. Should the appeals court honor a joint request for an immediate appeal that would not be permitted under the collateral order doctrine? Does your answer turn on whether the requirement of finality is jurisdictional? See Pfander, *Interlocutory Review by Agreement of the Parties: A Preliminary Analysis*, 105 Nw.U.L.Rev. 1043 (2011).

3. When a party refuses to obey a court order and has been held in criminal contempt, the issue is so distinct from the underlying case, and so important, that an appeal will be permitted under the collateral order doctrine. See *United States v. Ryan*, 402 U.S. 530, 91 S.Ct. 1580, 29 L.Ed.2d 85 (1971). Indeed, in *UNITED STATES v. NIXON*, 418 U.S. 683, 690–92, 94 S.Ct. 3090,

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3098–99, 41 L.Ed.2d 1039, 1053–55 (1974), interlocutory appeal was permitted even though there was no contempt. The case involved an order that the President of the United States produce tape recordings for examination by a federal judge. The President had not refused to comply and thus had not been held in contempt. The Court explained: “To require a President of the United States to place himself in the posture of disobeying an order of a court merely to trigger the procedural mechanism for review of the ruling would be unseemly, and would present an unnecessary occasion for constitutional confrontation between two branches of Government.” Are the facts of this case *sui generis*?

4. If an order satisfies the requirements of the collateral order doctrine, does the court have discretion to decline review? Are you influenced by the fact that the Supreme Court has treated *Cohen* as a “practical construction” of 28 U.S.C. § 1291 and not as an exception to the statute? See *Digital Equipment*, Note 1(d), p. 1227. See Steinman, *Reinventing Appellate Jurisdiction*, 48 B.C.L.Rev. 1237, 1251, 1256–57 (2007).

5. In *COOPERS & LYBRAND v. LIVESAY*, 437 U.S. 463, 98 S.Ct. 2454, 57 L.Ed.2d 351 (1978), the Court held that the denial of class certification under Federal Rule 23 was not appealable under the collateral order doctrine. The Court explained:

To come within the “small class” of decisions excepted from the final-judgment rule by *Cohen*, the order must conclusively determine the disputed question, resolve an important issue completely separate from the merits of the action, and be effectively unreviewable on appeal from a final judgment. * * * An order passing on a request for class certification does not fall in that category. First, such an order is subject to revision in the District Court. * * * Second, the class determination generally involves considerations that are “enmeshed in the factual and legal issues comprising the plaintiff’s cause of action.” * * * Finally, an order denying class certification is subject to effective review

after final judgment at the behest of the named plaintiff or intervening class members. * * *

Id. at 468–69, 98 S.Ct. at 2458, 57 L.Ed.2d at 357–58. See p. 846, *supra*, regarding Federal Rule 23(f), effective December 1, 1988, permitting discretionary interlocutory appeal of class certification decisions.

iii. Decisions Based on “Pragmatic Finality”

In *BROWN SHOE CO. v. UNITED STATES*, 370 U.S. 294, 82 S.Ct. 1502, 8 L.Ed.2d 510 (1962), the district court found defendant had violated the antitrust laws and directed divestiture of a subsidiary, but it reserved its ruling on a specific plan of divestiture. On a direct appeal by the shoe company, the Supreme Court held the divestiture decree was sufficiently final to be appealable even though a specific plan had not been formulated. Its own past practice, said the Court, had been to hear such appeals in antitrust cases; the substantive aspects of the case had been fully

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determined and to delay decision on the merits would chill the “careful, and often extended, negotiation and formulation” of the final divestiture order. Id. at 309, 82 S.Ct. at 1515, 8 L.Ed.2d at 526.

NOTES AND QUESTIONS

1. The appeal in *Brown Shoe* was taken under the Expediting Act of 1903, 15 U.S.C. § 29, and was direct from the district court to the United States Supreme Court. Justice Harlan wrote a separate opinion in that case criticizing this mode of appeal:

* * * [T]here is certainly much to be said in favor of relieving this Court of the often arduous task of searching through voluminous trial testimony and exhibits to determine whether a single district judge’s finding of fact are supportable. The legal issues in most civil antitrust cases are no longer so novel or unsettled as to make them especially appropriate for initial appellate consideration by this Court, as compared with those in a variety of other areas of federal law. And under modern conditions it may well be doubted whether direct review of such cases by this Court truly serves the purpose of expedition which underlay the original passage of the Expediting Act.

Id. at 365–82, S.Ct. at 1546, 8 L.Ed.2d at 562. The Expediting Act was amended in 1993, so that now appeals from a final judgment in antitrust civil actions (with one exception) are through the conventional route to the court of appeals under 28 U.S.C. § 1291 subject to review by the Supreme Court on a writ of certiorari. See Boskey & Gressman, *Recent Reforms in the Federal Judicial Structure—Three-Judge District Courts and Appellate Review*, 67 F.R.D. 135, 150 (1975).

2. How does appealability under *Brown Shoe* differ from the collateral order doctrine under *Cohen*? In *UNITED STATES v. COPAR PUMICE CO., INC.*, 714 F.3d 1197 (10th Cir. 2013), an action against a mine operator and others for the wrongful removal of undersized pumice from their mine, defendants sought to appeal the denial of a protective order for documents from law firms that had provided legal advice about mining. The Tenth Circuit held that an interlocutory appeal was not available under the collateral order doctrine as interpreted in *Mohawk Industries*, p. 1226, Note 1, *supra*, or under the doctrine of pragmatic finality:

* * * Defendants attempt to distinguish *Mohawk* by focusing on whether the subpoenaed documents were sought from a nonparty, or from a party to the litigation. * * *

Defendants’ quote omits the remaining part of the sentence. The Supreme Court stated that “litigants confronted with a particularly injurious or novel privilege ruling have *several potential avenues of review* apart from collateral order appeal.” * * * Specifically, the Court delineated three potential avenues: 1) the party could ask the district court to certify an appeal under 28 U.S.C. § 1292(b); 2) the

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party could petition the court of appeals for a writ of mandamus; and 3) the party could defy the disclosure order and incur sanctions or be held in contempt when “characterized as a criminal punishment.” * * * While the third avenue of review is arguably unavailable to Defendants because they were not the custodian of the subpoenaed documents, the first and second avenues of review are available. Defendants do not mention these available avenues, or explain how the unavailability of one of these three avenues would render *Mohawk* wholly distinguishable.

* * *

Finally, Defendants argue that jurisdiction is proper pursuant to the pragmatic finality doctrine. Under this doctrine, a “court may assume jurisdiction where the danger of injustice by delaying appellate review outweighs the inconvenience and costs of piecemeal review.” * * * This court has described the pragmatic finality doctrine as “more subjective” than the collateral order doctrine, involving “ad hoc adjustments to the final decision requirement of § 1291.” * * *

To the extent this doctrine is still recognized, it must be “invoked only in truly ‘unique instances,’ ” and not when the dispute can be adequately reviewed on appeal from a final judgment. * * * We have questioned the pragmatic finality doctrine’s “continued viability for the last fifteen [plus] years,” and continue to do so after *Mohawk*. * * *

Defendants argue that the present appeal is a unique or exceptional circumstance because this court has not decisively answered whether federal or state law governs the privilege asserted. However, Defendants neither explain the importance of deciding this legal issue on immediate appeal, nor have Defendants shown that the danger of injustice by delaying appellate review outweighs the inconvenience and

costs of piecemeal review. Defendants’ interests in immediate review center on their desire to prevent information they deem privileged from disclosure, but the Supreme Court has already found such interests insufficient to warrant immediate appeal. * * *

Id. at 1204–06, 1209–10.

b.Avoidance or Evasion of the Basic Concept—Mandamus

Read 28 U.S.C. § 1651(a) in the Supplement.

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LA BUY v. HOWES LEATHER Co.
Supreme Court of the United States, 1957.
[352 U.S. 249, 77 S.Ct. 309, 1 L.Ed.2d 290.](#)

Certiorari to the United States Court of Appeals for the Seventh Circuit.

JUSTICE CLARK delivered the opinion of the Court.

These two consolidated cases present a question of the power of the Courts of Appeals to issue writs of mandamus to compel a District Judge to vacate his orders entered under Rule 53(b) * * * referring antitrust cases for trial before a master. The petitioner, a United States District Judge * * *, contends that the Courts of Appeals have no such power and that, even if they did, these cases were not appropriate ones for its exercise. The Court of Appeals for the Seventh Circuit has decided unanimously that it has such power and, by a divided court, that the circumstances surrounding the references by the petitioner required it to issue the mandamus about which he complains. * * *

History of the Litigation.—These petitions for mandamus * * * arose from two antitrust actions instituted in the District Court in 1950. Rohlffing involves 87 plaintiffs * * * [and] six named defendants * * *. Shaffer involves six plaintiffs * * * and six defendants * * *.

The record indicates that the cases had been burdensome to the petitioner. In Rohlffing alone, 27 pages of the record are devoted to docket entries reflecting that petitioner had conducted many hearings on preliminary pleas and motions. * * * It is reasonable to conclude that much time would have been saved at the trial had petitioner heard the case because of his familiarity with the litigation.

* * * The cases were called on February 23, 1955, on a motion to reset them for trial. * * * The petitioner announced that “it has taken a long time to get this case at issue. I remember hearing more motions, I think, in this case than any case I have ever sat on in this court.” The plaintiffs estimated that the trial would take six weeks, whereupon petitioner stated he did not know when he could try the case “if it is going to take this long.” He asked if the parties could agree “to have a Master hear” it. The parties ignored this query and at a conference in chambers the next day petitioner entered the orders of reference *sua sponte*. * * * The orders declared that the court was “confronted with an extremely congested calendar” and that “exception [*sic*]^b conditions exist for this reason” requiring the references. The cases were referred to the master “to take evidence and to report the same to this Court, together with his findings of fact and conclusions of law.” * * *

* * * Upon petitioner’s refusal to vacate the references, these mandamus actions were filed in the Court of Appeals seeking the issuance

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of writs ordering petitioner to do so. These applications were grounded on 28 U.S.C. § 1651(a), the All Writs Act. * * * Declaring that the references amounted to * * * “a refusal on his [petitioner’s] part,^c as a judge, to try the causes in due course,” the Court of Appeals concluded that “in view of the extraordinary nature of these causes” the references must be vacated “if we find that the orders were beyond the court’s power under the pertinent rule.” * * * And, it being so found, the writs issued under the authority of the All Writs Act. * * *

The Power of the Courts of Appeals.—Petitioner contends that the power of the Courts of Appeals does not extend to the issuance of writs of mandamus to review interlocutory orders except in those cases where the review of the case on appeal after final judgment would be frustrated. * * * The question of naked power has long been settled by this Court. As late as *Roche v. Evaporated Milk Association*, 1943, 319 U.S. 21, 25, 63 S.Ct. 938, 941, 87 L.Ed. 1185, Mr. Chief Justice Stone reviewed the decisions and, in considering the power of Courts of Appeals to issue writs of mandamus, the Court held that “the common-law writs, like equitable remedies, may be granted or withheld in the sound discretion of the court.” * * * Since the Court of Appeals could at some stage of the antitrust proceedings entertain appeals in these cases, it has power in proper circumstances, as here, to issue writs of mandamus reaching them. * * *

The Discretionary Use of the Writs.—It appears from the docket entries to which we heretofore referred that the petitioner was well informed as to the nature of the antitrust litigation * * *. Nevertheless, he referred both suits to a master on the general issue. Furthermore, neither the existence of the alleged conspiracy nor the question of liability *vel non* had been determined in either case. These

issues, as well as the damages, if any, and the question concerning the issuance of an injunction, were likewise included in the references. Under all of the circumstances, we believe the Court of Appeals was justified in finding the orders of reference were an abuse of the petitioner’s power under Rule 53(b). They amounted to little less than an abdication of the judicial function depriving the parties of a trial before the court on the basic issues involved in the litigation.

The use of masters is “to aid judges in the performance of specific judicial duties, as they may arise in the progress of a cause,” Ex parte Peterson * * * [p. 1004, supra] and not to displace the court. The exceptional circumstances here warrant the use of the extraordinary remedy of mandamus. * * *

It is also contended that the Seventh Circuit has erroneously construed the All Writs Act as “conferring on it a ‘roving commission’ to supervise interlocutory orders of the District Courts in advance of final decision.” Our examination of its opinions in this regard leads us to the

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conclusion that the Court of Appeals has exercised commendable self-restraint. It is true that mandamus should be resorted to only in extreme cases, since it places trial judges in the anomalous position of being litigants without counsel other than uncompensated volunteers. However, there is an end of patience and it clearly appears that the Court of Appeals has [since 1938] * * * admonished the trial judges of the Seventh Circuit that the practice of making references “does not commend itself” and “ * * * should seldom be made, and if at all only when unusual circumstances exist.” * * * Still the Court of Appeals did not disturb the reference practice by reversal or mandamus until this case was decided in October 1955. * * * The record does not show to what extent references are made by the full bench of the District Court in the Northern District; however, it does reveal that petitioner has referred 11 cases to masters in the past 6 years. But even “a little cloud may bring a flood’s downpour” if we approve the practice here indulged, particularly in the face of presently congested dockets, increased filings, and more extended trials. * * * [B]e that as it may, congestion in itself is not such an exceptional circumstance as to warrant a reference to a master. If such were the test, present congestion would make references the rule rather than the exception. Petitioner realizes this, for in addition to calendar congestion he alleges that the cases referred had unusual complexity of issues of both fact and law. But most litigation in the antitrust field is complex. It does not follow that antitrust litigants are not entitled to a trial before a court. On the contrary, we believe that this is an impelling reason for trial before a regular, experienced trial judge rather than before a temporary substitute appointed on an *ad hoc* basis and ordinarily not experienced in judicial work. * * * We agree that the detailed accounting required in order to determine the damages suffered by each plaintiff might be referred to a master after the court has determined the over-all liability of defendants, provided the circumstances indicate that the use of the court’s time is not warranted in receiving the proof and making the tabulation.

* * *

Affirmed.

JUSTICE BRENNAN, with whom JUSTICE FRANKFURTER, JUSTICE BURTON and JUSTICE HARLAN join, dissenting.

* * * The case before the Court of Appeals was “not a case where a court has exceeded or refused to exercise its jurisdiction * * *.” Rule 53(b) * * * vested Judge La Buy with discretionary power to make a reference if he found, and he did, that “some exceptional condition” required the reference. * * * If Judge La Buy erred in finding that there was an “exceptional condition” requiring the reference or did not give proper weight to the caveat of the Rule that a “reference to a master shall be the

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exception and not the rule,” that was mere error “in ruling on matters within [the District Court’s] jurisdiction.” * * *

But, regrettable as is this Court’s approval of what I consider to be a clear departure by the Court of Appeals from the settled principles governing the issuance of the extraordinary writs, what this Court says in reaching its result is reason for particularly grave concern. I think this Court has today seriously undermined the long-standing statutory policy against piecemeal appeals. My brethren say: “Since the Court of Appeals could at some stage of the antitrust proceedings entertain appeals in these cases, it has power in proper circumstances, as here, to issue writs of mandamus reaching them. * * *” I understand this to mean that proper circumstances are present for the issuance of a writ in this case because, if the litigants are not now heard, the Court of Appeals will not have an opportunity to relieve them of the burden of the added expense and delay of decision alleged to be the consequence of the reference. But that bridge was crossed by this Court in *Roche* * * *.

What this Court is saying, therefore, is that the All Writs Act confers an independent appellate power in the Courts of Appeals to review interlocutory orders. I have always understood the law to be precisely to the contrary. * * *

The power of the Courts of Appeals to issue extraordinary writs stems from § 14 of the Judiciary Act of 1789. Chief Judge Magruder, in *In re Josephson*, 1 Cir., 218 F.2d 174, provides us with an invaluable history of this power and of the judicial development of its scope. He demonstrates most persuasively that “[t]he all writs section does not confer an independent appellate power; the power is strictly of an auxiliary nature, in aid of a jurisdiction granted in some other provision of law * * *.”

The focal question posed for a Court of Appeals by a petition for the issuance of a writ is whether the action of the District Court tends to frustrate or impede the ultimate exercise by the Court of Appeals of its appellate jurisdiction granted in some other provision of the law. The answer is clearly in the affirmative where, for example, the order of the District Court transfers a cause to a District Court of

another circuit for decision. That was Josephson, where * * * “the effect of the order is that the district judge has declined to proceed with the determination of a case which could eventually come to this court by appeal from a ‘final decision’.” * * * In contrast, a District Court order denying a transfer would not come under the umbrella of power under the All Writs Act, since retention of the cause by the District Court can hardly thwart or tend to defeat the power of the Court of Appeals to review that order after final decision of the case. * * *

The view now taken by this Court that the All Writs Act confers an independent appellate power, although not so broad as “to authorize the

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indiscriminate use of prerogative writs as a means of reviewing interlocutory orders,” in effect engrafts upon federal appellate procedure a standard of interlocutory review never embraced by the Congress throughout our history, although it is written into the English Judicature Act and is followed in varying degrees in some of the States. That standard allows interlocutory appeals by leave of the appellate court. * * *

* * *

NOTES AND QUESTIONS

1. In SCHLAGENHAUF v. HOLDER, 379 U.S. 104, 85 S.Ct. 234, 13 L.Ed.2d 152 (1964), the substantive aspects of which are set out at p. 935, supra, the Court upheld the use of mandamus to review an order requiring a defendant to submit to a physical and mental examination:

It is, of course, well settled that the writ is not to be used as a substitute for appeal * * * even though hardship may result from delay and perhaps unnecessary trial * * *. The writ is appropriately issued, however, when there is “usurpation of judicial power” or a clear abuse of discretion * * *.

[T]he challenged order * * * appears to be the first of its kind in any reported decision in the federal courts under Rule 35 * * *.

* * * It is thus appropriate for us to determine on the merits the issues presented and to formulate the necessary guidelines in this area. * * *

This is not to say, however, that following the setting of guidelines in this opinion, any future allegation that the District Court was in error in applying these guidelines to a particular case makes mandamus an appropriate remedy.

Id. at 110–12, 85 S.Ct. at 238–39, 13 L.Ed.2d at 156–60.

2.Many of the Supreme Court’s important mandamus decisions have concerned discovery disputes. Compare WILL v. UNITED STATES, 389 U.S. 90, 88 S.Ct. 269, 19 L.Ed.2d 305 (1967), a criminal case in which the government sought mandamus to overturn a district court order granting discovery for defendant. The court of appeals granted the writ. The Supreme Court reversed, stating that the facts did not reveal an extraordinary situation for which the writs must be reserved. The Court did not discuss the fact that without mandamus the government cannot obtain guidance on discovery matters since it cannot appeal an acquittal.

Relying heavily on *Will*, the Supreme Court in KERR v. UNITED STATES DISTRICT COURT, 426 U.S. 394, 96 S.Ct. 2119, 48 L.Ed.2d 725 (1976), affirmed a denial of mandamus by a court of appeals in a civil case in which the trial judge had ordered defendants, state correction officers, to turn over to plaintiff a number of prisoner personnel files. Defendants argued that such discovery should be compelled only after a determination by the trial judge

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that plaintiff’s need for the information outweighs its confidentiality. The Court reiterated the reasons for limiting use of writs to avoid piecemeal appeals and also recognized that restricting the use of writs to matters of “jurisdiction” in the technical sense would be too narrow. The Court “assumed” that the trial judge would accept its “suggestion” to review each of the personnel files *in camera* to determine if discovery should be permitted, thus making a writ unnecessary.

In NIXON v. SIRICA, 487 F.2d 700, 707 (D.C. Cir. 1973), a district judge ordered the President of the United States to produce certain tape recordings for the judge’s inspection prior to a determination whether the recordings were subject to a grand jury subpoena. The President petitioned for a writ of mandamus, and the court of appeals, although denying the petition on the merits, held that mandamus was an appropriate mode of review “particularly in light of the great public interest in prompt resolution of the issues * * *.”

3.In CHENEY v. UNITED STATES DISTRICT COURT, 542 U.S. 367, 124 S.Ct. 2576, 159 L.Ed.2d 459 (2004), the Vice President of the United States sought a writ of mandamus to halt discovery of the National Energy Policy Development Group, an Executive Branch task force charged with making policy recommendations to the President. The court of appeals declined to issue the writ because, relying on *Nixon*, it regarded the possible assertion of executive privilege as an available avenue of relief. The Supreme Court reversed, holding that it was error to treat the assertion of the privilege as a “necessary precondition” to mandamus, and remanded to permit the appeals court to consider whether the writ should issue. In *Cheney*, the Supreme Court set out a three-part test for issuance of the writ of mandamus: there must be “no other adequate means” to attain the relief sought; the movant bears the burden of showing that the right to relief is “clear and indisputable”; and the issuing court in its discretion “must be satisfied that the writ is appropriate under the circumstances.” Id. at 380–81, 124 S.Ct. at 2587, 159 L.Ed.2d at 477–78 (internal quotations and citations omitted). Why would the issuance of mandamus in a discovery dispute ever meet this test? See Fullerton, *Exploring the Far Reaches of Mandamus*, 49 Brooklyn L.Rev. 1131, 1152 (1983). For a discussion of this issue in the context of privilege claims, see Robertson, *Appellate Review*

of Discovery Orders in Federal Court: A Suggested Approach for Handling Privilege Claims, 81 Wash.L.Rev. 733, 756–58 (2006).

4. Mandamus relief as a form of interlocutory review is used sparingly, and, as a result, many intermediate procedural decisions by the district court that may have profound implications for the lawsuit are not reviewed until a final judgment is entered. These interlocutory decisions include: change of venue under 28 U.S.C. § 1404; declining to exercise supplemental jurisdiction under 28 U.S.C. § 1367(c); and legal rulings rendered in multidistrict litigation under 28 U.S.C. § 1407. Which of these issues seems most pressing from the perspective of the goals of appellate review—error correction, legal uniformity, and public trust? Would it be appropriate to provide a method of appeal other than mandamus for these issues?

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c.Displacement of the Basic Concept—Discretionary Appeals

Read 28 U.S.C. §§ 1292(b) and 1292(e) in the Supplement.

ATLANTIC CITY ELECTRIC CO. v. GENERAL ELECTRIC CO.

United States Court of Appeals, Second Circuit, 1964.

[337 F.2d 844.](#)

PER CURIAM. The district court has certified pursuant to section 1292(b) * * * that its order, sustaining objections to interrogatories designed to discover whether damages were actually sustained by plaintiffs who may have shifted such damages, if any, to their customers of electricity, involves a controlling question of law in these litigations and that there is substantial ground for differences of opinion. * * *

In sustaining the objections to the interrogatories posed, the district court has, in effect, foreclosed defendants from pre-trial discovery of facts relating to a defense that plaintiffs have “passed-on” to their customers any damages incurred by plaintiffs and hence are not entitled to recover to the extent that defendants can prove such passing-on.

Upon this application for leave to appeal it would not be appropriate to isolate and endeavor to decide before an appeal from any final judgment this particular question of law. Pre-trial leave to appeal applications must be decided against the background of the entire case. Many important questions of law will undoubtedly arise in these cases but the problem now confronting us is the feasibility and advisability of trying to decide this particular question in advance of trial.

If pre-trial discovery were allowed as defendants request it could easily develop into a multitude of full scale rate cases which could dwarf in time and testimony the already extensive pre-trial proceedings. If the district court is in error * * * defendants will have full opportunity in the event of an adverse judgment, if based in whole or in part upon this error, to have it corrected upon appeal together with any other errors which may be urged. It is doubtful that any discoveries or hearings required to establish the extent of any damages, if the passing-on-doctrine applies, would be more burdensome then than now. Since defendants’ rights to this defense are not being taken away or prejudiced on any ultimate appeal by denial of the pre-trial appeal now sought, we believe that the ultimate disposition of these cases would be delayed rather than advanced by granting this application.

Application denied.

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NOTES AND QUESTIONS

1. Under 28 U.S.C. § 1292(b) the court considers many of the same factors used to determine whether there is “no just reason for delay” for the issuance of a Rule 54(b) certificate. In what respects do the two statutes differ?
2. When is a question of law considered to be “controlling” or subject to a “substantial ground for disagreement”? Must the issue be “dispositive” of the lawsuit in order to be considered controlling? Is it sufficient that the issue could produce “reversible error” on final appeal? Does the party’s “strong disagreement” with the district court’s ruling deserve any weight? For a discussion of these questions and an emphasis on the exceptional nature of review under 28 U.S.C. § 1292(b), see *IN RE CEMENT ANTITRUST LITIGATION*, 673 F.2d 1020 (9th Cir. 1982).
3. Is review under 28 U.S.C. § 1292(b) limited to the question that the trial court identifies in its certified order? *YAMAHA MOTOR CORP. v. CALHOUN*, 516 U.S. 199, 116 S.Ct. 619, 133 L.Ed.2d 578 (1996), involved the death of a 12-year-old in the territorial waters off Puerto Rico while riding a jet ski manufactured by petitioner. The district court certified the question whether particular items of damage were available in a federal maritime wrongful death action. The Third Circuit granted interlocutory review, but then considered the antecedent question whether state remedies remained available in maritime accidents of this sort. The Supreme Court held that although jurisdiction under Section 1292(b) is limited to the order certified by the district court, it “is not tied to the particular question formulated by the district court.” Rather, “the appellate court may address any issue fairly included within the certified order,” because it is the order—and not the controlling question—that is appealable. *Id.* at 205, 116 S.Ct. at 623, 133 L.Ed.2d at 585. Compare *UNITED STATES v. STANLEY*, 483 U.S. 669, 677, 107 S.Ct. 3054, 3060, 97 L.Ed.2d 550, 562 (1987) (jurisdiction does not reach “any other orders that may have been entered in the case”). The Court has relied on *Yamaha’s* reasoning to justify appellate review of all bases for an order remanding a case to state court even though only one ground for removal would independently support appellate

jurisdiction. See *BP P.L.C. v. Mayor & City Council of Baltimore*, p. 388, Note 3, *supra*.

4. Since 1992 the Supreme Court has had power pursuant to 28 U.S.C. § 1292(e) to promulgate rules permitting interlocutory appeals from any orders that it deems appropriate. So far, the Court has used this power only once, to add Federal Rule 23(f) pertaining to the appeal of class certification decisions. How would Rule 23(f) affect the result in *Coopers & Lybrand*, p. 1228, Note 5, *supra*? How does Rule 23(f) differ in operation from 28 U.S.C. § 1292(b)?

5. In *MICROSOFT CORP. v. BAKER*, 137 S.Ct. 1702, 198 L.Ed.2d 132 (2017), consumers filed a putative class action. After the district court denied class certification and denied permission to appeal the denial under Federal Rule 23(f), plaintiffs voluntarily dismissed their individual claims with prejudice but reserved the right to revive the claims if the district court order was reversed on appeal. The Supreme Court held that the voluntary dismissal

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did not qualify as a final order under 28 U.S.C. § 1291, and that allowing an appeal would undermine “Rule 23(f)’s careful calibration.” *Id.* at 1715, 198 L.Ed.2d at 146.

6. Should the Court’s rulemaking power be used to authorize mandatory interlocutory review for the situations identified in, p. 1236, Note 4 *supra*? See Glynn, *Discontent and Indiscretion: Discretionary Review of Interlocutory Orders*, 77 Notre Dame L.Rev. 175, 180 (2001). Would it be advisable to limit such review to questions of unsettled law?

d. An Historical Footnote to the Basic Concept—Injunctions

Read 28 U.S.C. § 1292(a)(1) and Federal Rules of Civil Procedure 65(a) and (b) in the Supplement.

SMITH v. VULCAN IRON WORKS, 165 U.S. 518, 525, 17 S.Ct. 407, 410, 41 L.Ed. 810, 812 (1897):

The manifest intent of this provision, read in the light of the previous practice in the courts of the United States, contrasted with the practice in courts of equity of the highest authority elsewhere, appears to this court to have been, not only to permit the defendant to obtain immediate relief from an injunction, the continuance of which throughout the progress of the cause might seriously affect his interests, but also to save both parties from the expense of further litigation, should the appellate court be of opinion that the plaintiff was not entitled to an injunction because his bill had no equity to support it.

NOTES AND QUESTIONS

1. What is the justification for allowing appeals from interlocutory orders granting or refusing injunctions? Do these reasons apply to orders granting or denying preliminary injunctions? Would it work just as well to relegate the parties to discretionary appeals under 28 U.S.C. § 1292(b)? Why is it significant that injunctive orders are outside the scope of Federal Rule 54(b)?

2. Is the grant or denial of a temporary restraining order under Federal Rule 65(b) appealable? See 28 U.S.C. § 1292(a)(1). Are the differences between preliminary injunctions and temporary restraining orders relevant to the question whether appeal should be permitted in the case of the former and not permitted in the case of the latter? In close cases it may be difficult to tell the difference between a preliminary injunction and a temporary restraining order.

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In *UNITED STATES v. WOOD*, 295 F.2d 772 (5th Cir. 1961), cert. denied, 369 U.S. 850, 82 S.Ct. 933, 8 L.Ed.2d 9 (1962), a Black man who was active in voter registration in Mississippi was arrested for disturbing the peace and ordered to trial in 15 days. Two days before trial, the United States, moving under 42 U.S.C. § 1971 and alleging that the prosecution would intimidate African-Americans in the exercise of their voting rights, brought suit to restrain the criminal action. A temporary restraining order was denied and the Government appealed. The court of appeals held that it had jurisdiction under Section 1291. Inasmuch as the case would quickly become moot if the restraining order was not issued, the court said, its denial was “a final disposition of the * * * claimed right. * * * [T]o call this de facto dismissal a nonappealable interlocutory order is to preclude review altogether.” *Id.* at 777.

In *GULFSTREAM AEROSPACE CORP. v. MAYACAMAS CORP.*, 485 U.S. 271, 108 S.Ct. 1133, 99 L.Ed.2d 296 (1988), the Supreme Court resolved that a district court’s denial of a motion to stay or dismiss legal proceedings on equitable grounds is not automatically appealable under 28 U.S.C. § 1291(a)(1). Under *Gulfstream*, an order that has the practical effect of granting or denying an injunction is appealable under 28 U.S.C. § 1292(a) if it has serious, irreparable consequence.

3. Does the appeals court retain jurisdiction under 28 U.S.C. § 1291(a) if during the pendency of the appeal the district court enters a final judgment that incorporates the same relief as the preliminary injunction? See *Birmingham Fire Fighters Ass’n 117 v. City of Birmingham*, 603 F.3d 1248, 1254–55 (11th Cir. 2010).

B. THE NOTICE AND TIME TO APPEAL

Read Federal Rule of Civil Procedure 58; Rules 3, 4, and 5 of the Federal Rules of Appellate Procedure; and the accompanying materials in the Supplement.

NOTES AND QUESTIONS

1. Under Appellate Rule 3, what must the notice of appeal include? In *SMITH v. BARRY*, 502 U.S. 244, 112 S.Ct. 678, 116 L.Ed.2d 678 (1992), an inmate, without consulting counsel, filed a notice of appeal while a motion for judgment notwithstanding the verdict was pending in his civil rights suit. The clerk for the court of appeals responded to the notice of appeal by sending all of the parties copies of the “informal brief” that the court uses in pro se appeals, and appellant returned his informal brief to the appellate court within the deadline for filing a notice of appeal. After appointment of counsel for appellant, the Fourth Circuit dismissed the appeal for want of jurisdiction. The Supreme Court reversed, holding that an appellate brief may serve as a notice

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of appeal under Appellate Rule 3 when it gives notice of the litigant’s intent to seek review. On remand, the appeals court held that the informal brief sufficed as a notice of appeal with respect to six prison guards, but not to a prison psychologist. The informal brief asked for a “new trial on all issues triable by Jury,” but did not mention the doctor and so notice was not provided. *Smith v. Barry*, 985 F.2d 180, 184 (4th Cir. 1993), cert. denied, 510 U.S. 874, 114 S.Ct. 207, 126 L.Ed.2d 164.

2. In *TORRES v. OAKLAND SCAVENGER CO.*, 487 U.S. 312, 108 S.Ct. 2405, 101 L.Ed.2d 285 (1988), the Court held that the court of appeals lacked jurisdiction over a litigant in a purported class action when the notice of appeal under Appellate Rule 3(c) used the term “et al.” rather than listing the names of all of the appellants. The fact that the omission was due to a clerical error by the secretary employed by the litigant’s attorney did not provide grounds for waiver. Although Appellate Rule 3(c) was amended in 1979 to add that an appeal “shall not be dismissed for informality of form or title of the notice of appeal,” the Court emphasized that “[t]he failure to name a party in a notice of appeal is more than excusable ‘informality’; it constitutes a failure of that party to appeal.” Does the failure to list the parties’ names in the notice of appeal raise due process concerns?

3. What is the effect of a notice of appeal if it is filed before entry of judgment? See Appellate Rule 4(a)(2). The leading case on the effect of a premature notice of appeal, at least when the appeal is taken under 28 U.S.C. § 1291, is *FIRSTIER MORTGAGE CO. v. INVESTORS MORTGAGE INSURANCE CO.*, 498 U.S. 269, 111 S.Ct. 648, 112 L.Ed.2d 743 (1991). The Court stated:

In our view, Rule 4(a)(2) permits a notice of appeal from a nonfinal decision to operate as a notice of appeal from the final judgment only when a district court announces a decision that *would* be appealable if immediately followed by the entry of judgment. In these instances, a litigant’s confusion is understandable, and permitting the notice of appeal to become effective when judgment is entered does not catch the appellee by surprise. * * *

Id. at 276, 111 S.Ct. at 653, 112 L.Ed.2d at 753. However, the Court went on to say that Appellate Rule 4(a)(2) does not permit a premature notice of appeal from a “clearly interlocutory decision—such as a discovery ruling or a sanction order under Rule 11” because a “belief that such a decision is a fatal judgment would *not* be reasonable.” *Id.* at 276, 111 S.Ct. 648, 112 L.Ed.2d at 753.

4. How does the filing of a post-judgment motion affect the time to file an appeal? See Appellate Rule 4(a)(4). Whether a motion falls within the rule has generated a great deal of confusion. In *BUDINICH v. BECTON DICKINSON & CO.*, 486 U.S. 196, 108 S.Ct. 1717, 100 L.Ed.2d 178 (1988), the district court determined plaintiff’s new trial motion on May 14, leaving only the amount of attorney’s fees to be decided. That motion was decided August 1, and plaintiff filed a notice of appeal on August 29. Citing, among other cases, *Brown Shoe*, see p. 1228, *supra*, the Court found that the May 14 order was a

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final judgment and dismissed the appeal as to all issues other than attorney’s fees:

We are not inclined to adopt a disposition that requires the merits or nonmerits status of each attorney’s fee provision to be clearly established before [finality can be determined]. Courts and litigants are best served by the bright-line rule, which accords with traditional understanding, that a decision on the merits is a “final decision” for purposes of § 1291 whether or not there remains for adjudication a request for attorney’s fees attributable to the case.

Id. at 202, 108 S.Ct. at 1722, 100 L.Ed.2d at 185. Appellate Rule 4(a)(4) was later amended to conform to *Budinich*. As the Advisory Committee Note explains, the revised rule “exclude[s] motions for attorney’s fees from the class of motions that extend the filing time unless a district court, acting under Rule 58, enters an order extending the time for appeal.”

5. Appellate Rule 4(a)(5) permits the district court to extend the filing period, but only upon a finding of excusable neglect or good cause. *PIONEER INVESTMENT SERVS. CO. v. BRUNSWICK ASSOC. LTD. PARTNERSHIP*, 507 U.S. 380, 113 S.Ct. 1489, 123 L.Ed.2d 74 (1993), concerned the late filing of a proof of claim in the bankruptcy court. The Supreme Court found excusable neglect on the basis of a balancing of four factors: the party’s good faith; the absence of any danger of prejudice to the opposing party; the length of the filing delay and its effect on the proceeding; and the reason for the delay. However, in *BOWLES v. RUSSELL*, 551 U.S. 205, 127 S.Ct. 2360, 168 L.Ed.2d 96 (2007), the Supreme Court made clear that the district court’s authority to grant an extension of time is limited by the time periods set out by statute, and rejected as

untimely a notice of appeal filed outside the statutory period but in conformity with the district court’s order. The *Bowles* rationale is grounded in separation of powers, and does not apply to time limits set out in court rules, which are treated as claim-processing rules and may be subject to forfeiture. See *Hamer v. Neighborhood Services of Chicago*, 583 U.S. ___, 138 S.Ct. 13, 199 L.Ed.2d 249 (2017).

6.In 1963 and again in 2002, Federal Rule 58 was amended to clarify when a judgment is considered entered and thus the time for appeal begins to run. When is a separate document not required for a judgment?

C. THE AMBIT OF APPELLATE REVIEW

1.ISSUES SUBJECT TO REVIEW

There are a number of well-defined limits on the scope of appellate review. First, the alleged errors must appear in the trial court record. Thus it is vital during the course of pretrial preparation as well as during trial itself that an attorney make certain that all rulings and evidence that might form the basis for an appeal be formally recorded. Second, an aggrieved party must have objected promptly to the trial court regarding

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rulings or events that the judge could have corrected or ameliorated. Normally an error is waived unless a proper objection was taken. Third, even if the issue that the appellant seeks to have reviewed has been presented properly below and has not been waived, it must not constitute “harmless error”—that is, it must have affected substantial rights. See Federal Rule 61. Finally, an alleged error must be presented to the appellate court in appellant’s brief and the relevant portions of the trial court record must be brought to the appellate court’s attention.

NOTES AND QUESTIONS

- 1. What justification is there for a rule that a party may not raise an issue on appeal that was not raised in the trial court? Is it fair to penalize the party for what is likely a lawyer’s error?
- 2.If a party has presented undisputed facts or facts necessarily determined at trial for that party which sustain a claim or defense on a theory not argued at trial, should the appellate court be permitted to make its determination on the basis of the new theory?
- 3. What underlies a rule that an error, if “harmless,” will not provide a basis for reversal? Is it really possible for an appellate court to determine what would have affected a jury’s determination? Does this rule give the appellate court broad latitude to disregard error below, undermining the appellate system’s error-correction function? Or does the rule make it possible for an appellate court to instruct lower courts without needlessly incurring the costs of a new trial?

Even when the appellant has properly preserved issues in the trial court and presented them to the appellate court for review, there is another question—whether, and in what circumstances, an appellate court may entertain an appeal by the party who, at least ostensibly, won below.

ELECTRICAL FITTINGS CORP. v. THOMAS & BETTS CO.

Supreme Court of the United States, 1939.
[307 U.S. 241, 59 S.Ct. 860, 83 L.Ed. 1263.](#)

Certiorari to United States Circuit Court of Appeals for the Second Circuit.

JUSTICE ROBERTS delivered the opinion of the Court.

This was a suit in equity by the respondents for alleged infringement of a patent. The District Court held claim 1 valid but not infringed and claim 2 invalid. Instead of dismissing the bill without more, it entered a decree adjudging claim 1 valid but dismissing the bill for failure to prove infringement.

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The respondents did not appeal, but filed in the Patent Office a disclaimer of claim 2. The petitioners appealed to the Circuit Court of Appeals from so much of the decree as adjudicated claim 1 valid. The appeal was dismissed on the ground that the petitioners had been awarded all the relief to which they were entitled, the litigation having finally terminated in their favor. The court was of opinion that the decree would not bind the petitioners in subsequent suits on the issue of the validity of claim 1.

* * * A party may not appeal from a judgment or decree in his favor, for the purpose of obtaining a review of findings he deems erroneous which are not necessary to support the decree. But here the decree itself purports to adjudge the validity of claim 1, and though the adjudication was immaterial to the disposition of the cause, it stands as an adjudication of one of the issues litigated. We think the petitioners were entitled to have this portion of the decree eliminated, and that the Circuit Court of Appeals had jurisdiction * * * to entertain the appeal, not for the purpose of passing on the merits, but to direct the reformation of the decree.

Reversed and remanded.

NOTES AND QUESTIONS

1. NEW YORK TELEPHONE CO. v. MALTBIIE, 291 U.S. 645, 645, 54 S.Ct. 443, 443, 78 L.Ed. 1041, 1042 (1934) (per curiam):

The District Court * * * permanently enjoined, as confiscatory, the enforcement of the rate orders which are the subject of this suit. The injunction is unqualified. Appellant, having obtained this relief, is not entitled to prosecute an appeal from the decree in its favor, for the purpose of reviewing the portions of the decree fixing the value of appellant’s property as of the years 1924, 1926, and 1928, and the rate of return to be allowed. The matters set forth in these portions of the decree are not to be regarded as res judicata in relation to subsequent legislative action by the Public Service Commission in fixing rates for the future or in any judicial proceeding relating to such rates.

Would the decree in *Electrical Fittings* have been preclusive of the validity of claim 1 of the patent? Why else might petitioners in that case have been concerned about the decree? The Declaratory Judgment Act, 28 U.S.C. §§ 2201–02, was not in force at the time of the *Electrical Fittings* decision. Had it been, might it have been possible to treat the district court’s decree as a declaratory judgment with respect to claim 1 and consider it as having been entered under the authority of Rule 54(c)?

2.In PARTMAR CORP. v. PARAMOUNT PICTURES THEATRES CORP., 347 U.S. 89, 74 S.Ct. 414, 98 L.Ed. 532 (1954), plaintiff leased its

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theater to, and entered into a franchise agreement with, defendant; the lease was to be terminable at plaintiff’s option if the franchise agreement terminated. Plaintiff sued to regain possession of the theater, alleging that it was entitled to terminate the lease because the franchise agreement was invalid under the antitrust laws; defendant counterclaimed for damages under the antitrust laws. The trial court denied plaintiff’s claim, holding that the franchise agreement was not invalid because no conspiracy in violation of the antitrust laws had been established; it also dismissed the counterclaims. Defendant appealed from the dismissal of its counterclaims. The Supreme Court upheld the dismissal on the ground that the trial court’s decision on plaintiff’s claim that there was no unlawful antitrust conspiracy was binding on the counterclaim. Could defendant have appealed the decision of the trial court plaintiff’s claim, despite the fact that it had been decided in defendant’s favor? In a footnote, a majority of the Supreme Court, citing *New York Tel. and Electrical Fittings*, said “yes.” In effect, the Court found that defendant was a “winner” on plaintiff’s claim, but a “loser” on the counterclaim and could therefore appeal any issue that directly affected the counterclaim. Id. at 99 n.6, 74 S.Ct. at 420 n.6, 98 L.Ed. at 541 n.6.

Chief Justice Warren, in dissent, took the position that defendant could not have appealed the trial court’s decision on the claim, arguing that the adverse finding that there was no conspiracy had not been included in the decree, thus distinguishing *Electrical Fittings*. Under those circumstances defendant need not have appealed because the decision on plaintiff’s claim should not have been held to have had a binding effect on the counterclaim.

3. Are there circumstances when a nonparty can appeal a decision? See 15A Wright, Miller & Cooper, Federal Practice and Procedure § 3902.1 (2d ed.). The commentators state:

The basic rule that a nonparty cannot appeal the judgment in an action between others seems obviously sensible. * * * Appeal is likely to be available, however, if the would-be appellant can show significant involvement with the judgment, plausible reasons for not becoming involved earlier, a risk that its interests will not be adequately protected by the parties, and a lack of untoward interference in the affairs of the parties.

Does the analysis change if the nonparty is the subject of a civil contempt order? See Steinman, *Irregulars: The Appellate Rights of Persons Who Are Not Full-Fledged Parties*, 38 Ga.L.Rev. 411 (2005).

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INTERNATIONAL ORE & FERTILIZER CORP. v. SGS CONTROL SERVICES, INC.

United States Court of Appeals, Second Circuit, 1994.
[38 F.3d 1279.](#)

WINTER, CIRCUIT JUDGE.

[Defendant agreed to transport a cargo of fertilizer for plaintiff to a buyer in New Zealand. Because defendant’s ship had not been cleaned sufficiently, the cargo was contaminated and the purchaser refused delivery, resulting in damages to plaintiff. Plaintiff sued defendant both for breach of contract and for negligent misrepresentation of the condition of its ship. After evidence was presented, the trial judge rejected the contract claim, but upheld the claim of negligent misrepresentation and awarded damages. Defendant appealed. The appellate court held that the negligent misrepresentation claim should have been dismissed and determined that the contract claim, which would have justified a larger damage award to plaintiff, should have been upheld. However, the court was faced with the argument that it could not rule on the contract claim because plaintiff had not filed a cross-appeal.]

* * *

* * * The general rule in a case in which a party fails to cross-appeal and an appellate court would otherwise have held in its favor is that:

[A] party who does not appeal from a final decree of the trial court cannot be heard in opposition thereto when the case is

brought here by the appeal of the adverse party. In other words, the appellee may not attack the decree with a view either to enlarging his own rights thereunder or of lessening the rights of his adversary, whether what he seeks is to correct an error or to supplement the decree with respect to a matter not dealt with below. But it is likewise settled that the appellee may, without taking a cross-appeal, urge in support of a decree any matter appearing in the record, although his argument may involve an attack upon the reasoning of the lower court or an insistence upon matter overlooked or ignored by it. * * *

United States v. American Ky. Express Co., 265 U.S. 425, 44 S.Ct. 560, 563–64, 68 L.Ed. 1087 (1924). * * *

This rule has been modified in some circuits by treating the requirement of a cross-appeal as one of practice rather than jurisdiction, allowing the court to use its discretion to consider unappealed grounds so as to exercise its “broad power ‘to make such a disposition . . . as justice requires.’ ” * * * Generally, however, these cases have involved multiple parties where only one of several plaintiffs or defendants failed to cross-

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appeal. In each case, the court included the non-cross-appellant in the amended judgment so as to preserve “fairness.”

Several of our recent decisions have referred without elaboration to the discretionary nature of our power to disregard the cross-appeal requirement. * * * These cases conform to the general rule that the appellee may seek to sustain a judgment on any grounds with support in the record. * * * This rule applies even when the alternative grounds were not asserted until the court’s questioning at oral argument. * * * We may, therefore, uphold the finding of liability on a breach of contract theory.

We do not believe, however, that given the present procedural circumstances, * * * [plaintiff] is entitled to its full damages. Although an appellee who has not cross-appealed may urge alternative grounds for affirmance, it may not seek to enlarge its rights under the judgment by enlarging the amount of damages or scope of equitable relief. * * * We may therefore uphold the present judgment but we may not enlarge it to award * * * [plaintiff] its full contract damages.

* * *

NOTES AND QUESTIONS

1.Is the rule that a cross-appeal must be filed to change the amount awarded as damages a matter of practice or of jurisdiction? Is it significant that arguments that support the judgment as entered can be made without a cross-appeal? Is a cross-appeal necessary to secure post-judgment interest denied by the district court? Consider the effect of Appellate Rule 37. Is a cross-appeal necessary to challenge the subject-matter jurisdiction of the district court?

2.Consider the effect of *Torres*, p. 1241, Note 2, supra, on the power of the appellate court to excuse a failure to file a separate notice of appeal. In the light of the Court’s holding that a notice of appeal listing 15 of the 16 plaintiffs plus “et al.” did not support an appeal by the one unidentified plaintiff, does a court of appeals have power to enter relief to a party who is not named in a notice of appeal?

3.In *JENNINGS v. STEPHENS*, 574 U.S. 271, 135 S.Ct. 793, 190 L.Ed.2d 662 (2015), the Supreme Court emphasized the difference between a court’s adjudication of different theories for relief and its adjudication of different forms of relief. The petitioner sought habeas relief in the district court on grounds of ineffective assistance of counsel during the sentencing phase of his state court capital murder trial. He advanced three theories for why his trial counsel had been constitutionally ineffective. The district court ruled in petitioner’s favor on the first two theories but rejected the third; the court then entered judgment ordering the state to give petitioner a new sentencing hearing or commute his sentence or else release him. When the state appealed to the Fifth Circuit, petitioner defended the district court’s ruling on the first

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two theories but also argued that the district court should have granted habeas relief on the third theory as well. The court of appeals rejected the district court’s decision on the first two theories and declined to consider petitioner’s arguments on the third theory because he had not filed a cross-appeal.

The Supreme Court reversed and held that petitioner was not required to take a cross-appeal in order for the court of appeals to consider his arguments on the third theory. Justice Scalia, writing for the Court, explained that “[a] prevailing party seeks to enforce not a district court’s reasoning, but the court’s judgment.” Petitioner had not sought on appeal to enlarge the relief ordered by the district court or otherwise to alter the rights granted by the district court’s judgment. The district court had entered judgment in his favor, and there was nothing for him to cross-appeal, because petitioner, “whether prevailing on a single theory or all three, sought the same, indivisible relief: a new sentencing hearing.” *Id.* at 282, 135 S.Ct. at 802, 190 L.Ed. at 671.

2.REVIEW OF FACT FINDING

Read Federal Rules of Civil Procedure 52 and 59 and the Seventh Amendment to the United States Constitution in the Supplement.

a.Fact Finding in Cases Decided by a Jury

CORCORAN V. CITY OF CHICAGO

Supreme Court of Illinois, 1940.
[373 Ill. 567, 27 N.E.2d 451.](#)

MURPHY, JUSTICE. John F. Corcoran * * * began a suit * * * against the city of Chicago * * * to recover damages for personal injuries alleged to have been caused by the negligent acts of the defendant. The cause was tried with a jury and resulted in a verdict for the plaintiff for \$5,000. A motion for new trial was overruled and judgment entered on the verdict. On appeal, the Appellate Court for the First District reversed the judgment and remanded the cause for another trial. The plaintiff filed a motion in the Appellate Court asking that the remanding part of the order be stricken [in order that on appeal to the state Supreme Court, that court could then order that the initial verdict be reinstated]. * * * The motion was granted * * *.

The negligence charged was that defendant had carelessly and negligently permitted certain streets to be and remain in an unsafe condition for travel * * *. The evidence was conflicting. The Appellate Court found the verdict was against the manifest weight of the evidence and reversed the judgment for that reason.

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It is conceded the power which the Appellate Court assumed to exercise in reviewing the evidence and setting aside the verdict is found in section 92(3b) of the Civil Practice Act * * * which provides that Appellate Courts may review “error of fact, in that the judgment, decree or order appealed from is not sustained by the evidence or is against the weight of the evidence.” Plaintiff’s position is that such provision, as applied to facts found by a jury upon conflicting evidence, as in the instant case, is unconstitutional, in that the findings of the Appellate Court * * * take from him the right to a trial by jury as guaranteed by section 5 of article 2 of the [Illinois] Constitution * * *.

* * *

Prior to 1837, the law of this state was that the granting or refusal of a motion for a new trial rested in the sound discretion of the trial court and the ruling thereon could not be urged as error in the court of review. * * * In 1837, an act was passed which provided “exceptions taken to opinions or decisions of circuit court overruling motions in arrest of judgment, motions for new trials and for continuance of causes shall hereafter be allowed and the party excepting may assign for error any opinion so excepted to, any usage to the contrary notwithstanding.” The substance of the act * * * has been the statutory law of this state since 1837.

* * *

The effect of the operation of the statute was considered in *Chicago & Rock Island Railroad Co. v. McKean*, 40 Ill. 218, a case where the trial court had overruled a motion for new trial and error was assigned on such ruling. Mr. Justice Breese, speaking for the court, said: “An appellate court was, before the passage of that act, judge of the law only * * *. The old and honored maxim once was, ‘the judges respond to the law, the jury to the facts,’ but now, by this innovation, the judges of an appellate court have as much power over the facts as the jury had in the first instance, for it is undeniable this court may set aside a verdict if the facts fail to satisfy it of its propriety. * * *”

Plaintiff contends that on all questions of fact where the evidence is conflicting the verdict of the jury can not be set aside as being against the weight of the evidence except by the court that tried the case, and asserts that such was the practice at common law. * * *

* * *

From the authorities cited and others which have been examined, we conclude that there was a practice at common law which authorized the courts exercising appellate jurisdiction to set aside verdicts on the grounds the findings of fact were not supported by the evidence. * * *

Judgment affirmed.

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NOTES AND QUESTIONS

1. How does the reviewing court’s role differ when the trial court has denied the motion for a new trial on the weight of the evidence and when it has granted the motion? See Carrington, *The Power of District Judges and the Responsibility of Courts of Appeals*, 3 Ga.L.Rev. 507 (1969); Schnapper, *Judges Against Juries—Appellate Review of Federal Civil Jury Verdicts*, 1989 Wis.L.Rev. 237, 298–313.
2. In the federal system, the appellate court applies an abuse of discretion standard in reviewing the district court’s denial of a Rule 59(a) motion for a new trial based upon the excessiveness of the jury’s compensatory damage award, giving “the benefit of every doubt to the judgment of the trial judge.” *Gasperini*, p. 492, supra. Whether a jury award is excessive is considered to be a question of law. See *Cooper Industries, Inc. v. Leatherman Tool Group, Inc.*, 532 U.S. 424, 121 S.Ct. 1678, 149 L.Ed.2d 674 (2001), in which the Court stated, “Because the jury’s award of punitive damages does not constitute a finding of ‘fact,’ appellate review of the district court’s determination that an award is consistent with due process does not implicate the Seventh Amendment * * *.” Id. at 437, 121 S.Ct. at 1687, 149 L.Ed.2d at 687–88.
3. *GOOGLE LLC v. ORACLE AMERICA, INC.*, 593 U.S. ___, 141 S.Ct. 1183, 209 L.Ed.2d 311 (2021), considered the role of an appellate court when reviewing a jury verdict that involves mixed questions of law and fact.

When developing Android, a computer operating system designed for smartphones and other mobile devices, Google copied roughly 11,500 lines of computer code (out of 2.86 million lines) from the software platform for the Java programming language. Oracle, which acquired the copyright to Java, sued Google in federal court for infringement of that copyright. In response, Google argued, among other things, that its copying of the Java code was protected by the “fair use” defense to liability under the Copyright Act of 1976. See 17 U.S.C. § 107. The statutory defense includes a non-exclusive list of factors to be considered to determine whether use of a copyrighted work constitutes infringement. After a weeklong jury trial, the district court asked the jury to determine whether Google had shown, by a preponderance of the evidence, that its copying of the Java code “constitutes a ‘fair use’ under the Copyright Act.” The jury returned a verdict finding that Google had established fair use as an affirmative defense, and the district court entered judgment accordingly. Oracle appealed to the Court of Appeals for the Federal Circuit, which reversed. The court of appeals assumed that all factual issues had been resolved in Google’s favor but treated the issue whether those facts constituted fair use under the Copyright Act as a question of law subject to de novo review. On that question, the Federal Circuit concluded Google’s copying was not fair use and remanded for a new trial on damages. The Supreme Court reversed the Federal Circuit’s fair use decision.

Although the Court disagreed with the Federal Circuit’s ultimate conclusion about the merits of Google’s fair use defense, it did agree with the

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court of appeals that fair use should be treated as a mixed question of law and fact, “leaving factual determinations to the jury and reviewing the ultimate question, a legal question, de novo.” The Court explained:

* * * We have said, “[f]air use is a mixed question of law and fact.” We have explained that a reviewing court should try to break such a question into its separate factual and legal parts, reviewing each according to the appropriate legal standard. But when a question can be reduced no further, we have added that “the standard of review for a mixed question all depends—on whether answering it entails primarily legal or factual work.”

In this case, the ultimate “fair use” question primarily involves legal work. “Fair use” was originally a concept fashioned by judges. Our cases still provide legal interpretations of the fair use provision. And those interpretations provide general guidance for future cases.

593 U.S. at ___, 141 S.Ct. at 1199–1200, 209 L.Ed.2d at 331.

The Court also rejected Google’s arguments that the Federal Circuit’s approach violated the Reexamination Clause of the Seventh Amendment or the underlying right to trial by jury preserved by the Seventh Amendment. There was no reexamination concern because “[i]t does not violate the Reexamination Clause for a court to determine the controlling law in resolving a challenge to a jury verdict, as happens any time a court resolves a motion for judgment as a matter of law.” The Court similarly rejected the argument, based on trial practice in eighteenth century English copyright cases, that the right to trial by jury under the Seventh Amendment included the right to have a jury resolve a fair use defense. The Seventh Amendment guarantees the common law jury trial right as it existed in 1791, when the amendment was adopted. But, the Court explained, “we have described the [fair use] doctrine as an ‘equitable,’ not a ‘legal,’ doctrine.” Id. at ___, 141 S.Ct. at 1200, 209 L.Ed.2d at 331–32.

In light of the Supreme Court’s holding in *Google*, how should an appellate court disentangle the portions of a mixed question of law and fact that are subject to de novo review? Would it be better for appellate courts to adopt a standard analogous to Rule 50, which governs motions for judgment as a matter of law at trial and after trial? See p. 1111, Chapter 14, Section C, supra. Professor Steinman offers the following argument in favor of a deferential approach, drawn from Rule 50, to appellate review of a jury’s verdict on a mixed question of law and fact:

The deference required by Rule 50’s reasonable jury standard is not absolute, of course. A court may examine whether the evidence at trial is sufficient to support a particular verdict; that is, the court can and should hold a party to its burden of production with respect to a particular issue. And Rule 50 permits the court to clarify the substantive law in a particular area in a way that renders only one outcome supportable “as a matter of law.” In this way, Rule 50 invites appellate courts to engage in “explicit norm elaboration,” which could

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dictate particular results for a particular set of conditions. Thus, the court can refine the governing “legal test” or “standard” for an issue by declaring subsidiary rules or principles that address particular situations.

Steinman, *Appellate Courts and Civil Juries*, 2021 Wisc.L.Rev. 1, 25 (citations omitted).

b.Fact Findings in a Non-Jury Case

PULLMAN-STANDARD V. SWINT
Supreme Court of the United States, 1982.
[456 U.S. 273, 102 S.Ct. 1781, 72 L.Ed.2d 66.](#)

Certiorari to the United States Court of Appeals for the Fifth Circuit.

JUSTICE WHITE delivered the opinion of the Court.

Respondents were black employees at the Bessemer, Alabama plant of petitioner, Pullman-Standard (the “company”), a manufacturer of railway freight cars and parts. They brought suit against the company and the union petitioners * * * alleging violations of Title VII of the Civil Rights Act of 1964 * * *. As they come here, these cases involve only the validity, under Title VII, of a seniority system maintained by the Company and USW [the United Steel Workers of America]. The District Court found “that the differences in terms,

conditions or privileges of employment resulting [from the seniority system] are ‘not the result of an intention to discriminate’ because of race or color,” * * * and held, therefore, that the system satisfied the requirements of § 703(h) of the Act. The Court of Appeals for the Fifth Circuit reversed:

“Because we find that the differences in the terms, conditions and standards of employment for black workers and white workers at Pullman-Standard resulted from an intent to discriminate because of race, we hold that the system is not legally valid under section 703(h) of Title VII, 42 U.S.C. 2000e–2(h).” 624 F.2d 525, 533–534 (1980).

We granted the petitions for certiorari * * * limited to the first question presented in each petition: whether a Court of Appeals is bound by the “clearly erroneous” rule of Federal Rule * * * 52(a) in reviewing a District Court’s findings of fact, arrived at after a lengthy trial, as to the motivation of the parties who negotiated a seniority system; and whether the court below applied wrong legal criteria in determining the *bona fides* of the seniority system. We conclude that the Court of Appeals erred in the course of its review and accordingly reverse its judgment and remand for further proceedings.

* * *

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In connection with its assertion that it was convinced that a mistake had been made, the Court of Appeals, in a footnote, referred to the clearly erroneous standard of Rule 52(a). * * * It pointed out, however, that if findings “are made under an erroneous view of controlling legal principles, the clearly erroneous rule does not apply, and the findings may not stand.” Finally, quoting from *East v. Romine, Inc.*, 518 F.2d 332, 339 (C.A.5 1975), the Court of Appeals repeated the following view of its appellate function in Title VII cases where purposeful discrimination is at issue:

“Although discrimination *vel non* is essentially a question of fact it is, at the same time, the ultimate issue for resolution in this case, being expressly proscribed by 42 U.S.C.A. § 2000e–2(a). As such, a finding of discrimination or nondiscrimination is a finding of ultimate fact. [Cites omitted.]^d In reviewing the district court’s findings, therefore, we will proceed to make an independent determination of appellant’s allegations of discrimination, though bound by findings of subsidiary fact which are themselves not clearly erroneous.” 624 F.2d, at 533, n. 6.

* * * [P]etitioners submit that the Court of Appeals made an independent determination of discriminatory purpose, the “ultimate fact” in this case, and that this was error under Rule 52. We agree with petitioners that if the Court of Appeals followed what seems to be the accepted rule in that circuit, its judgment must be reversed.

Rule 52(a) broadly requires that findings of fact not be set aside unless clearly erroneous. It does not make exceptions or purport to exclude certain categories of factual findings from the obligation of a Court of Appeals to accept a district court’s findings unless clearly erroneous. It does not divide facts into categories; in particular, it does not divide findings of fact into those that deal with “ultimate” and those that deal with “subsidiary” facts.

The rule does not apply to conclusions of law. The Court of Appeals, therefore, was quite right in saying that if a District Court’s findings rest on an erroneous view of the law, they may be set aside on that basis. But here the District Court was not faulted for misunderstanding or applying an erroneous definition of intentional discrimination. It was reversed for arriving at what the Court of Appeals thought was an erroneous finding as to whether the differential impact of the seniority system reflected an intent to discriminate on account of race. That question, as we see it, is a pure question of fact, subject to Rule 52’s clearly erroneous standard. It is not a question of law and not a mixed question of law and fact.

* * * Rule 52 does not furnish particular guidance with respect to distinguishing law from fact. Nor do we yet know of any other rule or principle that will unerringly distinguish a factual finding from a legal

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conclusion. For the reasons that follow, however, we have little doubt about the factual nature of § 703(h)’s requirement that a seniority system be free of an intent to discriminate.

* * *

* * * It would make no sense * * * to say that the intent to discriminate required by § 703(h) may be presumed from such an impact. As § 703(h) was construed in * * * [*International Broth. of Teamsters v. United States*, 431 U.S. 324, 97 S.Ct. 1843, 52 L.Ed.2d 396 (1977)] there must be a finding of actual intent to discriminate on racial grounds on the part of those who negotiated or maintained the system. That finding appears to us to be a pure question of fact.

This is not to say that discriminatory impact is not part of the evidence to be considered by the trial court in reaching a finding on whether there was such a discriminatory intent as a factual matter. We do assert, however, that under § 703(h) discriminatory intent is a finding of fact to be made by the trial court; it is not a question of law and not a mixed question of law and fact of the kind that in some cases may allow an appellate court to review the facts to see if they satisfy some legal concept of discriminatory intent. Discriminatory intent here means actual motive; it is not a legal presumption to be drawn from a factual showing of something less than actual motive. Thus, a court of appeals may only reverse a district court’s finding on discriminatory intent if it concludes that the finding is clearly erroneous under Rule 52(a). Insofar as the Fifth Circuit assumed otherwise, it erred.

Respondents do not directly defend the Fifth Circuit rule that a trial court’s finding on discriminatory intent is not subject to the clearly erroneous standard of Rule 52. Rather, among other things, they submit that the Court of Appeals recognized and, where appropriate, properly applied Rule 52 in setting aside the findings of the District Court. This position has force, but for two reasons it is not persuasive.

First, although the Court of Appeals acknowledged and correctly stated the controlling standard of Rule 52, the acknowledgement came late in the court’s opinion. The court had not expressly referred to or applied Rule 52 in the course of disagreeing with the District Court’s resolution of the factual issues deemed relevant * * *. Furthermore, the paragraph in which the court finally concludes that the USW seniority system is unprotected by § 703(h) strongly suggests that the outcome was the product of the court’s independent consideration of the totality of the circumstances it found in the record.

Second and more fundamentally, when the court stated that it was convinced that a mistake had been made, it then not only identified the mistake but also the source of that mistake. The mistake of the District

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Court was that on the record there could be no doubt about the existence of a discriminatory purpose. * * *

When an appellate court discerns that a district court has failed to make a finding because of an erroneous view of the law, the usual rule is that there should be a remand for further proceedings to permit the trial court to make the missing findings * * *. Likewise, where findings are infirm because of an erroneous view of the law, a remand is the proper course unless the record permits only one resolution of the factual issue. * * * All of this is elementary. Yet the Court of Appeals, after holding that the District Court had failed to consider relevant evidence and indicating that the District Court might have come to a different conclusion had it considered that evidence, failed to remand for further proceedings * * *. Instead, the Court of Appeals made its own determination [and findings] * * * and apparently concluded that the foregoing was sufficient to remove the system from the protection of § 703(h).

Proceeding in this manner seems to us incredible unless the Court of Appeals construed its own well-established Circuit rule with respect to its authority to arrive at independent findings on ultimate facts free of the strictures of Rule 52 also to permit it to examine the record and make its own independent findings with respect to those issues on which the district court’s findings are set aside for an error of law. As we have previously said, however, the premise for this conclusion is infirm: whether an ultimate fact or not, discriminatory intent under § 703(h) is a factual matter subject to the clearly erroneous standard of Rule 52. It follows that when a district court’s finding on such an ultimate fact is set aside for an error of law, the court of appeals is not relieved of the usual requirement of remanding for further proceedings to the tribunal charged with the task of fact finding in the first instance.

Accordingly, the judgment of the Court of Appeals is reversed, and the cases are remanded to that court for further proceedings consistent with this opinion.

So ordered.

* * *

[JUSTICE STEVENS concurred in part, JUSTICE MARSHALL dissented, and JUSTICE BLACKMUN joined in part. The gist of the dissent was that the evidence was documentary and thus the appellate court was in an equally good position to determine the facts as was the trial judge.]

INWOOD LABORATORIES, INC. v. IVES LABORATORIES, INC., 456 U.S. 844, 102 S.Ct. 2182, 72 L.Ed.2d 606 (1982). In a trademark infringement suit brought by Ives Laboratories against Inwood

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Laboratories, the district court entered judgment for defendant, finding that plaintiff had not made the necessary factual showings. The court of appeals reversed, making its own review of the evidence, and finding the evidence clearly sufficient to establish a violation. The Supreme Court reversed, holding that the appellate court was bound by the clearly erroneous standard of Federal Rule 52(a):

That Rule recognizes and rests upon the unique opportunity afforded the trial court judge to evaluate the credibility of witnesses and to weigh the evidence. * * * Because of the deference due the trial judge, unless an appellate court is left with the “definite and firm conviction that a mistake has been committed,” * * * it must accept the trial court’s findings.

* * *

Each of [the Second Circuit’s] conclusions is contrary to the findings of the District Court. An appellate court cannot substitute its interpretation of the evidence for that of the trial court simply because the reviewing court “might give the facts another construction, resolve the ambiguities differently, and find a more sinister cast to actions which the District Court apparently deemed innocent.” * * *

In a footnote, the majority observed:

Of course, if the trial court bases its findings upon a mistaken impression of applicable legal principles, the reviewing court is not bound by the clearly erroneous standard. * * * However, in this instance the District Court applied correct legal principles when it adopted the precise test developed by the Court of Appeals. * * *

Id. at 855–59 & n.15, 102 S.Ct. at 2186–87 & n.15, 72 L.Ed.2d at 616–18 & n.15.

BOSE CORP. v. CONSUMERS UNION OF UNITED STATES, INC., 466 U.S. 485, 104 S.Ct. 1949, 80 L.Ed.2d 502 (1984). Bose, a manufacturer of stereo loudspeaker systems, sued Consumers Union for product disparagement based on statements contained in an article evaluating a system manufactured by Bose. The district court found that Bose was a “public figure” under the constitutional standard articulated in *New York Times Co. v. Sullivan*, 376 U.S. 254, 84 S.Ct. 710, 11 L.Ed.2d 686 (1964), so that Bose was required to prove by clear and convincing evidence a false and disparaging statement made with “actual malice.” The trial court found “actual malice,” and entered judgment for Bose. The court of appeals reversed, and the Supreme Court affirmed. The Court explained that the

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clearly erroneous standard of Rule 52(a) does not govern the standard of review for a determination of actual malice. Rather, in a case involving First Amendment issues, the appeals court must make an independent examination of the record and is not barred from correcting errors of law. It followed that the Court could “accept all of the purely factual findings of the District Court and nevertheless hold as a matter of law that the record does not contain clear and convincing evidence” that the challenged statement was made with reckless disregard of the truth. In applying the Rule 52(a) standard, the Court clarified that when the testimony of a witness is not believed, the trial court may ignore it, and “the discredited testimony is not considered a sufficient basis for drawing a contrary conclusion.” 466 U.S. at 512–14, 104 S.Ct. at 1966–67, 80 L.Ed.2d at 525–26. Chief Justice Burger concurred in the result. Justices White, Rehnquist, and O’Connor dissented.

NOTES AND QUESTIONS

1.If the trial court faces two permissible views of the weight of the evidence, and chooses one, may the appeals court reverse under Federal Rule 52(a)? In *ANDERSON v. CITY OF BESSEMER*, 470 U.S. 564, 105 S.Ct. 1504, 84 L.Ed.2d 518 (1985), the Supreme Court held:

In *Pullman-Standard v. Swint* * * * [p. 1252, supra], we held that a District Court’s finding of discriminatory intent in an action brought under Title VII of the Civil Rights Act of 1964 * * * is a factual finding that may be overturned on appeal only if it is clearly erroneous. In this case, the Court of Appeals for the Fourth Circuit concluded that there was clear error in a District Court’s finding of discrimination and reversed. Because our reading of the record convinces us that the Court of Appeals misapprehended and misapplied the clearly-erroneous standard, we reverse.

* * *

Although the meaning of the phrase “clearly erroneous” is not immediately apparent, certain general principles governing the exercise of the appellate court’s power to overturn findings of a district court may be derived from our cases. The foremost of these principles * * * is that “[a] finding is ‘clearly erroneous’ when although there is evidence to support it, the reviewing court on the entire evidence is left with the definite and firm conviction that a mistake has been committed.” * * * This standard plainly does not entitle a reviewing court to reverse the finding of the trier of fact simply because it is convinced that it would have decided the case differently. The reviewing court oversteps the bounds of its duty under Rule 52(a) if it undertakes to duplicate the role of the lower court. * * * If the district court’s account of the evidence is plausible in light of the record viewed in its entirety, the court of appeals may not reverse it even though convinced that had it been sitting as the

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trier of fact, it would have weighed the evidence differently. Where there are two permissible views of the evidence, the factfinder’s choice between them cannot be clearly erroneous. * * *

The Court clarified that this standard applies even when the findings are not based on credibility determinations:

The rationale for deference to the original finder of fact is not limited to the superiority of the trial judge’s position to make determinations of credibility. The trial judge’s major role is the determination of fact, and with experience in fulfilling that role comes expertise. Duplication of the trial judge’s efforts in the court of appeals would very likely contribute only negligibly to the accuracy of fact determination at a huge cost in diversion of judicial resources. In addition, the parties to a case on appeal have already been forced to concentrate their energies and resources on persuading the trial judge that their account of the facts is the correct one; requiring them to persuade three more judges at the appellate level is requiring too much. As the Court has stated in a different context, the trial on the merits should be “the ‘main event’ . . . rather than a ‘tryout on the road.’ ” * * * For these reasons, review of factual findings under the clearly-erroneous standard—with its deference to the trier of fact—is the rule, not the exception.

Id. at 575, 105 S.Ct. at 1512, 84 L.Ed.2d at 529.

2.In 1985, Rule 52 was amended and Rule 52(a)(6) now states that findings, “whether based on oral or other evidence,” are not to be set aside unless they are found by the reviewing court to be clearly erroneous. See 9C Wright & Miller, *Federal Practice and Procedure* § 2587 (3d ed.).

^aAn earlier version of Federal Rule 56(c) provided that “[a] summary judgment, interlocutory in character, may be rendered on the issue of liability alone although there is a genuine issue as to the amount of damages.”

^bAlteration in original.

^cAlteration in original.

CHAPTER 17

THE BINDING EFFECT OF PRIOR DECISIONS: RES JUDICATA AND COLLATERAL ESTOPPEL

■ ■ ■

This chapter focuses on the binding effect of prior judgments and the twin doctrines of res judicata and collateral estoppel—now known as claim preclusion and issue preclusion. The materials examine the doctrine, its history, and the policies that support the concept of finality. The chapter opens by examining the reach of claim and issue preclusion within a single court system and closes by widening the scope to examine the inter-system effects of a judgment, surely one of the most difficult and vexing questions in the entire Procedure course. As you learn about preclusion, consider this insightful statement about the doctrine: “Courts can only do their best to determine the truth on the basis of the evidence, and the first lesson one must learn on the subject of res judicata is that judicial findings must not be confused with absolute truth.” Currie, *Mutuality of Collateral Estoppel: Limits of the Bernhard Doctrine*, 9 Stan.L.Rev. 281, 315 (1957).

A. TERMINOLOGY

Although the doctrine of former adjudication is complex, four common sense principles explain it. First, a party ordinarily gets only one chance to litigate a “claim”; if a party litigates only a portion of a claim the first time around, the party risks losing the chance to litigate the rest. Second, a party generally gets only one chance to litigate a factual or a legal “issue”; once litigated, a party cannot ask a second court to decide it differently at a later point. Third, a party typically is entitled to at least one “full and fair” chance to litigate before being barred from having the claims and issues heard by a court. And fourth, the defense of preclusion may be waived unless it is raised at an early stage of the litigation.

The effects of a former adjudication have been discussed in varying and occasionally conflicting terminology. Although a single vocabulary is still not used, substantial progress has been made toward a convention:

“Res judicata” is used * * * as a general term referring to all of the ways in which one judgment will have a binding effect on another. That usage is and doubtless will continue to be common, but it lumps under a single name two quite different effects of

judgments. The first is the effect of foreclosing any litigation of matters that never have been litigated, because of the determination that they should have been advanced in an earlier suit. The second is the effect of foreclosing relitigation of matters that have once been litigated and decided. The first of these, preclusion of matters that were never litigated, has gone under the name, “true res judicata,” or the names, “merger and bar.” * * * The second doctrine, preclusion of matters that have once been decided, has usually been called “collateral estoppel.” Professor Allen Vestal has long argued for use of the names “claim preclusion” and “issue preclusion” for these two doctrines, * * * and this usage is increasingly employed by the courts as it is by Restatement Second of Judgments. * * *

Wright & Kane, Law of Federal Courts § 100A (8th ed.).

Another useful summary is the following:

* * * “Res judicata” is the term traditionally used to describe two discrete effects: (1) what we now call claim preclusion (a valid final adjudication of a claim precludes a second action on that claim or any part of it), see Restatement (Second) of Judgments §§ 17–19 (1982); and (2) issue preclusion, long called “collateral estoppel” (an issue of fact or law, actually litigated and resolved by a valid final judgment, binds the parties in a subsequent action, whether on the same or a different claim), see *id.*, at § 27.

BAKER v. GENERAL MOTORS CORP., 522 U.S. 222, 233 n.5, 118 S.Ct. 657, 664 n.5, 139 L.Ed.2d 580, 592 n.5 (1998). See 18 Wright, Miller & Cooper, Federal Practice and Procedure §§ 4401–15 (3d ed.); Shapiro, Civil Procedure: Preclusion in Civil Actions (2001).

B. CLAIM AND DEFENSE PRECLUSION

It is difficult to give a precise definition of the doctrine of claim preclusion, but it is possible to sketch its general form. One formulation is: In certain circumstances, when a second suit is brought, the judgment from a prior suit will be considered conclusive, both on the parties to the judgment and on those in privity with them, as to matters that actually were litigated or should have been

litigated in the first suit. Justice Field has provided a more detailed formulation of the same basic rule:

* * * [A] judgment, if rendered upon the merits, constitutes an absolute bar to a subsequent action. It is a finality as to the claim or demand in controversy, concluding parties and those in privity with them, not only as to every matter which was offered and received to sustain or defeat the claim or demand, but as to any other admissible matter which might have been offered for that

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purpose. Thus, for example, a judgment rendered upon a promissory note is conclusive as to the validity of the instrument and the amount due on it, although it be subsequently alleged that perfect defences actually existed, of which no proof was offered, such as forgery, want of consideration, or payment. * * * The judgment is as conclusive, so far as future proceedings at law are concerned, as though the defences never existed. * * *

CROMWELL v. COUNTY OF SAC, 94 U.S. (4 Otto) 351, 352–53, 24 L.Ed. 195, 197–98 (1876).

Another helpful explanation is the following:

* * * [T]he preclusive scope of a judgment * * * depends on defining the breadth of the claim or cause of action hazarded in the first suit. If the plaintiff wins, the entire claim is merged in the judgment; the plaintiff cannot bring a second independent action for additional relief, and the defendant cannot avoid the judgment by offering new defenses. If the plaintiff loses, the entire claim is barred by the judgment, even as to evidence, theories, arguments, and remedies that were not advanced in the first litigation. The process of defining the claim or cause of action is thus aimed at defining the matters that both might and *should* have been advanced in the first litigation. * * * If the second lawsuit involves a new claim or cause of action, the parties may raise assertions or defenses that were omitted from the first lawsuit even though they were equally relevant to the first cause of action. * * *

18 Wright, Miller & Cooper, Federal Practice and Procedure § 4406 (3d ed.) (emphasis in original). For claim preclusion to operate, three elements must be present. First, only judgments that are “final,” “valid,” and “on the merits” have preclusive effect. Second, the parties in the subsequent action must be identical to or in privity with those in the first. This requirement is one of the most important distinctions between claim preclusion and its sister doctrine, issue preclusion. Third, the claim in the second suit must involve matters properly considered to have been included in the first action. This last requirement is the focus of the case that follows.

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1.CLAIM PRECLUSION

RUSH v. CITY OF MAPLE HEIGHTS

Supreme Court of Ohio, 1958.
167 Ohio St. 221, 147 N.E.2d 599,
cert. denied, 358 U.S. 814, 79 S.Ct. 21, 3 L.Ed.2d 57.

HERBERT, JUDGE.

[Plaintiff was injured in a fall from a motorcycle. She brought an action in the Municipal Court of Cleveland for damage to her personal property; that court found that defendant city was negligent in maintaining its street and that this negligence was the proximate cause of plaintiff’s damages, which were fixed at \$100. Defendant appealed and the judgment was affirmed by the Ohio Court of Appeals and Supreme Court. Plaintiff also brought this action in the Court of Common Pleas of Cuyahoga County for personal injuries she incurred in the same accident; her motion to set trial on the issue of damages alone was granted on the ground that defendant was precluded from contesting the issue of negligence because of the municipal court action; judgment was entered in plaintiff’s favor on a verdict for \$12,000, and the court of appeals affirmed.]

The eighth error assigned by the defendant is that “the trial and appellate courts committed error in permitting plaintiff to split her cause of action * * *.”

* * *

In the case of Vasu v. Kohlers, Inc., 145 Ohio St. 321, 61 N.E.2d 707, 709, 166 A.L.R. 855, plaintiff operating an automobile came into collision with defendant’s truck, in which collision he suffered personal injuries and also damage to his automobile. At the time of collision, plaintiff had coverage of a \$50 deductible collision policy on his automobile. The insurance company paid the plaintiff a sum covering the damage to his automobile, whereupon, in accordance with a provision of the policy, the plaintiff assigned to the insurer his claim for such damage.

In February 1942, the insurance company commenced an action * * * against Kohlers, Inc., * * * to recoup the money paid by it to cover the damage to Vasu’s automobile.

In August 1942, Vasu commenced an action in the same court against Kohlers, Inc., to recover for personal injuries which he suffered in the same collision.

In March 1943, in the insurance company’s action, a verdict was rendered in favor of the defendant, followed by judgment.

Two months later an amended answer was filed in the Vasu case, setting out as a bar to the action * * * the judgment rendered in

favor of defendant in the insurance company case. A motion to strike that defense

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* * * [was] sustained * * *. A trial of the action resulted in a verdict for plaintiff, upon which judgment was entered.

On appeal to the Court of Appeals the defendant claimed that the Court of Common Pleas erred in sustaining plaintiff's motion to strike from the defendant's answer the defense of *res judicata* claimed to have arisen by reason of the judgment in favor of the defendant in the action by the insurance company.

The Court of Appeals reversed the judgment of the Court of Common Pleas and entered final judgment in favor of defendant.

This court reversed the judgment of the Court of Appeals, holding in the syllabus, in part, as follows:

* * *

"4. Injuries to both person and property suffered by the same person as a result of the same wrongful act are infringements of different rights and give rise to distinct causes of action, with the result that the recovery or denial of recovery of compensation for damages to the property is no bar to an action subsequently prosecuted for the personal injury, unless by an adverse judgment in the first action issues are determined against the plaintiff which operate as an estoppel against him in the second action.

* * *

"6. Where an injury to person and to property through a single wrongful act causes a prior contract of indemnity and subrogation as to the injury to property to come into operation for the benefit of the person injured, the indemnitor may prosecute a separate action against the party causing such injury for reimbursement for indemnity monies paid under such contract.

"7. Parties in privity, in the sense that they are bound by a judgment, are those who acquired an interest in the subject matter after the beginning of the action or the rendition of the judgment; and if their title or interest attached before that fact, they are not bound unless made parties.

"8. A grantor or assignor is not bound, as to third persons, by any judgment which such third persons may obtain against his grantee or assignee adjudicating the title to or claim for the interest transferred unless he participated in the action in such manner as to become, in effect, a party."

* * *

* * * The sixth, seventh and eighth paragraphs deal with the factual situation which existed in the Vasu case, i.e., a prior contract of indemnity

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and subrogation. Although, as discussed *infra*, it was not actually necessary to the determination of the issue in that case, attention centers on the fourth paragraph.

* * *

* * * [Subsequent] cases, distinguishing and explaining the Vasu case, have not changed the rule established in paragraph four of the syllabus * * *.

However, it is contended here that that rule is in conflict with the great weight of authority in this country and has caused vexatious litigation. * * *

* * *

Upon examination of decisions of courts of last resort, we find that the majority rule is followed in the following cases in each of which the action was between the person suffering injury and the person committing the tort, and where insurers were not involved, as in the case here. * * * [The court cited cases from 20 states forming the majority and five states forming the minority.]

The reasoning behind the majority rule seems to be well stated in the case of *Mobile & Ohio Rd. Co. v. Matthews* * * * [115 Tenn. 172, 91 S.W. 194 (1906),] as follows:

"The negligent action of the plaintiff in error constituted but one tort. The injuries to the person and property of the defendant in error were the several results and effects of one wrongful act. A single tort can be the basis of but one action. It is not improper to declare in different counts for damages to the person and property when both result from the same tort, and it is the better practice to do so where there is any difference in the measure of damages, and all the damages sustained must be sued for in one suit. This is necessary to prevent multiplicity of suits, burdensome expense, and delays to plaintiffs, and vexatious litigation against defendants. * * *

"Indeed, if the plaintiff fail to sue for the entire damage done him by the tort, a second action for the damages omitted will be precluded by the judgment in the first suit brought and tried."

The minority rule would seem to stem from the English case of *Brunsdon v. Humphrey* (1884), 14 Q.B. 141. The facts in that case

are set forth in the opinion in the Vasu case * * *, concluding with the statement:

“The Master of the Rolls, in his opinion, stated that the test is ‘whether the same sort of evidence would prove the plaintiff’s case in the two actions,’ and that, in the action relating to the cab, ‘it would be necessary to give evidence of the damage done to the

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plaintiff’s vehicle. In the present action it would be necessary to give evidence of the bodily injury occasioned to the plaintiff, and of the sufferings which he has undergone, and for this purpose to call medical witnesses. This one test shows that the causes of action as to the damage done to the plaintiff’s cab, and as to the injury occasioned to the plaintiff’s person, are distinct.’ ”

The fallacy of the reasoning in the English court is best portrayed in the dissenting opinion of Lord Coleridge, as follows:

“* * * [I]t seems to me a subtlety not warranted by law to hold that a man cannot bring two actions, if he is injured in his arm and in his leg, but can bring two, if besides his arm and leg being injured, his trousers which contain his leg, and his coat-sleeve which contains his arm, have been torn.”

There appears to be no valid reason in these days of code pleading to adhere to the old English rule as to distinctions between injuries to the person and damages to the person’s property resulting from a single tort. It would seem that the minority rule is bottomed on the proposition that the right of bodily security is fundamentally different from the right of security of property and, also, that, in actions predicated upon a negligent act, damages are a necessary element of each independent cause of action and no recovery may be had unless and until actual consequential damages are shown.

Whether or not injuries to both person and property resulting from the same wrongful act are to be treated as injuries to separate rights or as separate items of damage, * * * a plaintiff may maintain only one action to enforce his rights existing at the time such action is commenced.

The decision of the question actually in issue in the Vasu case is found in paragraphs six, seven and eight of the syllabus, as it is quite apparent from the facts there that the first judgment, claimed to be *res judicata* in Vasu’s action against the defendant, was rendered against Vasu’s insurer in an action initiated by it after having paid Vasu for the damages to his automobile. * * *

Upon further examination of the cases from other jurisdictions, it appears that in those instances where the courts have held to the majority rule, a separation of causes of action is almost universally recognized where an insurer has acquired by an assignment or by subrogation the right to recover for money it has advanced to pay for property damage.

* * *

In the light of the foregoing, it is the view of this court that the so-called majority rule conforms much more properly to modern practice, and that the rule declared in the fourth paragraph of the syllabus in the Vasu

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case, on a point not actually at issue therein, should not be followed [and must be overruled].

* * *

Judgment reversed and final judgment for defendant.

STEWART, JUDGE (concurring). * * * If it had been necessary [in *Vasu*] to decide the question whether a single tort gives rise to two causes of action as to the one injured by such tort, I would be reluctant to disturb that holding. However, neither the discussion in the Vasu case as to whether a single or double cause of action arises from one tort nor the language of the fourth paragraph of the syllabus was necessary to decide the issue presented in the case, and obviously both such language and such paragraph are obiter dicta and, therefore, are not as persuasive an authority as if they had been appropriate to the question presented.

* * *

* * * [T]his court is justified in departing from the obiter dicta of the Vasu case.

ZIMMERMAN, JUDGE (dissenting). I am not unalterably opposed to upsetting prior decisions of this court where changing conditions and the lessons of experience clearly indicate the desirability of such course, but, where those considerations do not obtain, established law should remain undisturbed in order to insure a stability on which the lower courts and the legal profession generally may rely with some degree of confidence.

* * *

NOTES AND QUESTIONS

1. The *Rush* case illustrates the important and by now familiar concept of stare decisis. Although neither party in *Rush* had been a party to Vasu v. Kohler’s, Inc., both of the lower Ohio courts as well as the dissenting judge in the Supreme Court of Ohio regarded that case as controlling in *Rush*. Of course, as *Rush* itself demonstrates, the binding force of stare decisis is not absolute, and the parties to a later action are free to argue that the law

announced in an earlier case should be changed. But a court will not lightly depart from precedent even though the parties who are before it were not represented in the case that established the precedent.

Stare decisis is a judicial doctrine that helps the courts fashion and preserve a system of laws based upon rational principle. The Supreme Court has explained:

The obligation to follow precedent begins with necessity, and a contrary necessity marks its outer limit. With Cardozo, we recognize that no judicial system could do society’s work if it eyed each issue afresh in every case that raised it. See B. Cardozo, *The Nature of the*

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Judicial Process 149 (1921). Indeed, the very concept of the rule of law underlying our own Constitution requires such continuity over time that a respect for precedent is, by definition, indispensable. * * * At the other extreme, a different necessity would make itself felt if a prior judicial ruling should come to be seen so clearly as error that its enforcement was for that very reason doomed.

PLANNED PARENTHOOD OF SOUTHEASTERN PENNSYLVANIA v. CASEY, 505 U.S. 833, 854, 112 S.Ct. 2791, 2808, 120 L.Ed.2d 674, 699–700 (1992). Justice Frankfurter, in *Helvering v. Hallock*, 309 U.S. 106, 119, 60 S.Ct. 444, 451, 84 L.Ed. 604, 612 (1940), emphasized that “*stare decisis* is a principle of policy and not a mechanical formula of adherence to the latest decision * * *.” Should stare decisis operate differently when the Court is interpreting the Constitution, rather than a statute or an administrative regulation?

2. *Rush* illustrates an additional way in which adjudication in one action may affect a subsequent lawsuit: through the doctrine of claim and issue preclusion. As you read the materials in this section, focus on how the effect of stare decisis differs from claim preclusion and from issue preclusion. For now, consider what the effect would have been if the Ohio court had not found claim preclusion in *Rush*. Keep in mind that both lower courts in *Rush* held that the only issue open in plaintiff’s suit for her personal injuries was the amount of her damages, because the issues of negligence, proximate cause, and contributory negligence all had been determined conclusively by her judgment in the earlier action for property damage.

3. The results of res judicata sometimes may seem harsh, but the doctrine is supported by a number of important policy goals. The Supreme Court has emphasized that “res judicata and collateral estoppel relieve parties of the cost and vexation of multiple lawsuits, conserve judicial resources, and, by preventing inconsistent decisions, encourage reliance on adjudication.” *Allen v. McCurry*, 449 U.S. 90, 94, 101 S.Ct. 411, 415, 66 L.Ed.2d 308, 313 (1980). Why are these goals so important? How did they affect plaintiff in *Rush*? How would eliminating res judicata affect the judicial system?

4. Was the critical language in *Vasu* a holding or dictum? Consider the following:

“[I]t is often difficult to determine whether statements in a court’s opinion constitute an alternative ground for the decision or merely dicta.” * * * Black’s Law Dictionary defines “obiter dictum” as a statement “made during the course of delivering a judicial opinion, but one that is unnecessary to the decision in the case and therefore not precedential (though it may be considered persuasive).” * * * However, “where a decision rests on two or more grounds, none can be relegated to the category of obiter dictum.”

Best Life Assur. Co. of California v. Comm’r of Internal Revenue, 281 F.3d 828, 833–34 (9th Cir. 2002) (internal citations omitted). See Dorf, *Dicta and Article III*, 142 U.Pa.L.Rev. 1997 (1994) (“A holding consists of those propositions

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along the chosen decisional path or paths of reasoning that (1) are actually decided, (2) are based upon the facts of the case, and (3) lead to the judgment. If not a holding, a proposition stated in a case counts as dicta.”); Leval, *Judging Under the Constitution: Dicta About Dicta*, 81 N.Y.U.L.Rev. 1249, 1256 (2006) (“A dictum is an assertion in a court’s opinion of a proposition of law which does not explain why the court’s judgments goes in favor of the winner.”); Abramowicz & Stearns, *Defining Dicta*, 57 Stan.L.Rev. 953, 961 (2005). Turning back to *Rush*, why was the distinction between holding and dictum significant?

5. What reasons might plaintiff in *Rush* have had for wishing to sue first on the claim for property damage and then separately for personal injuries?

6. In making his decision, Judge Herbert in *Rush* asked “[w]hether or not injuries to both person and property resulting from the same wrongful act are to be treated as injuries to separate rights or as separate items of damage,” explaining that “a plaintiff may maintain only one action to enforce his rights existing at the time such action is commenced.” Is this approach the same or different from the “transaction” test currently used by most courts in determining the preclusive effect of a judgment? Under the contemporary “transaction” test:

[T]he preclusive effect of a prior judgment extends to all rights the original plaintiff had “with respect to all or any part of the transaction, or series of connected transactions, out of which the [original] action arose.” * * * What factual grouping constitutes a “transaction”, and what groupings constitute a “series”, are to be determined pragmatically, giving weight to such considerations as whether the facts are related in time, space, origin, or motivation, whether they form a convenient trial unit, and whether their treatment as a unit conforms to the parties’ expectations or business understanding or usage. * * * “[T]he critical issue is whether the two actions under consideration are based on the *same nucleus of operative facts*.” * * *

PETRO-HUNT, L.L.C. v. UNITED STATES, 365 F.3d 385, 395–96 (5th Cir. 2004) (internal citations omitted). See Restatement (Second), Judgments § 24, comment *a* (1982) (setting out factors considered in applying transactional test).

7. The tests for determining the scope of claim preclusion have undergone significant change since the beginning of the twentieth century, as summarized by the Restatement (Second), Judgments:

* * * In defining claim to embrace all the remedial rights of the plaintiff against the defendant growing out of the relevant transaction (or

series of connected transactions), * * * [Section 24 of the Restatement (Second)] responds to modern procedural ideas

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which have found expression in the Federal Rules of Civil Procedure and other procedural systems.

“Claim,” in the context of *res judicata*, has never been broader than the transaction to which it related. But in the days when civil procedure still bore the imprint of the forms of action and the division between law and equity, the courts were prone to associate claim with a single theory of recovery, so that, with respect to one transaction, a plaintiff might have as many claims as there were theories of the substantive law upon which he could seek relief against the defendant. Thus, defeated in an action based on one theory, the plaintiff might be able to maintain another action based on a different theory, even though both actions were grounded upon the defendant’s identical act or connected acts forming a single life-situation. In those earlier days there was also some adherence to a view that associated claim with the assertion of a single primary right as accorded by the substantive law, so that, if it appeared that the defendant had invaded a number of primary rights conceived to be held by the plaintiff, the plaintiff had the same number of claims, even though they all sprang from a unitary occurrence. There was difficulty in knowing which rights were primary and what was their extent, but a primary right and the corresponding claim might turn out to be narrow. Thus it was held by some courts that a judgment for or against the plaintiff in an action for personal injuries did not preclude an action by him for property damage occasioned by the same negligent conduct on the part of the defendant—this deriving from the idea that the right to be free of bodily injury was distinct from the property right. Still another view of claim looked to sameness of evidence; a second action was precluded where the evidence to support it was the same as that needed to support the first. Sometimes this was made the sole test of identity of claim; sometimes it figured as a positive but not as a negative test; that is, in certain situations a second action might be precluded although the evidence material to it varied from that in the first action. Even so, claim was not coterminous with the transaction itself.

The present trend is to see claim in factual terms and to make it coterminous with the transaction regardless of the number of substantive theories, or variant forms of relief flowing from those theories, that may be available to the plaintiff; regardless of the number of primary rights that may have been invaded; and regardless of the variations in the evidence needed to support the theories or rights. The transaction is the basis of the litigative unit or entity which may not be split.

Restatement (Second), Judgments § 24, comment *a* (1982).

8. In *VANOVER v. NCO FINANCIAL SERVICES, INC.*, 857 F.3d 833 (11th Cir. 2017), a debtor sued a debt collector in Florida federal court, alleging

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a violation of the federal Telephone Consumer Protection Act. One year later, the same debtor sued the same defendant in Florida state court, again alleging violations of the federal law. Defendant removed to federal court, and the district court granted defendant’s motion to dismiss the federal action for improper claim splitting. The Eleventh Circuit affirmed. Noting that the doctrine of claim splitting applies “where the second suit has been filed before the first suit has reached a final judgment,” the appeals court explained that although claim splitting is related to *res judicata*, its application does not require a final judgment. Instead, the inquiry is two-fold: “(1) whether the case involves the same parties and their privies, and (2) whether separate cases arise from the same transaction or series of transactions.” *Id.* at 841–42 (internal citation omitted). The rationale for the doctrine is fairness and efficiency: The claim-splitting doctrine “ensures that a plaintiff may not ‘split up his demand and prosecute it by piecemeal, or present only a portion of the grounds upon which relief is sought, and leave the rest to be presented in a second suit, if the first fails.’ ” *Id.* at 841 (citation omitted). See Clermont, *Res Judicata as Requisite for Justice*, 68 Rutgers U.L. Rev. 1067, 1109 (2016) (explaining that under the transactional approach to claim preclusion, “[a]ny plaintiff who asserts only a part of the claim is said to have impermissibly split the claim”).

9. A party may waive the benefits of preclusion by failing to raise it as an affirmative defense in the second suit. Given the systemic interest in preclusion, should a court be able to raise preclusion on its own initiative? Would this be feasible?

MATHEWS V. NEW YORK RACING ASSOCIATION, INC.

United States District Court, Southern District of New York, 1961.

[193 F.Supp. 293](#).

MACMAHON, DISTRICT JUDGE. Defendants move for summary judgment, pursuant to Rule 56(b),^a Federal Rules * * *, on the ground that a judgment in a prior action in this court is *res judicata* as to the claim alleged in the complaint.

New York Racing Association Inc. is a New York corporation which operates Jamaica Race Track. It employs defendant Thoroughbred Racing Protective Association Inc., a private detective agency, for security purposes.

Plaintiff brings this action against the Association and Thoroughbred alleging that on April 4, 1958, at Jamaica Race Track, he was “assaulted,” “kidnapped,” “falsely arrested,” and “falsely imprisoned” by employees of Thoroughbred. He further alleges that the defendants charged him with disorderly conduct and maliciously caused him to be prosecuted and convicted in the Magistrate’s Court of the City of New York on April 10,

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1958. He prays for relief in the form of money damages and an injunction restraining the defendants from interfering with his

attendance at race tracks, from publication of libelous statements, and from acting as peace officers.

The prior judgment on which defendants rely was entered in this court on June 30, 1960 following a trial before Judge Palmieri sitting without a jury. The complaint in that action alleged, among other matters, that plaintiff was assaulted by the defendant's private investigators at Jamaica Race Track on April 4, 1958. It also alleged that the employees of the defendants had made libelous statements concerning the plaintiff on several occasions, including plaintiff's trial for disorderly conduct on April 10, 1958. The relief prayed for in that action was also money damages and an injunction from further interference with plaintiff's attendance at race tracks within the United States. The earlier action named three individuals as defendants. The only two properly served were employees of the defendants named in the present suit.

* * *

* * * [T]he question is whether the claim alleged in this complaint is the same as that in the suit concluded earlier. The term "claim" refers to a group of facts limited to a single occurrence or transaction without particular reference to the resulting legal rights. It is the facts surrounding the occurrence which operate to make up the claim, not the legal theory upon which a plaintiff relies. * * *

The facts relevant to [plaintiff's current lawsuit] * * * along with three other separate claims based on different facts, were tried to a conclusion in the earlier suit. There, the plaintiff relied on the acts of the agents occurring on April 4, 1958 as the basis of a claim against them on the theory of assault. Now, he asserts these same acts as the basis of a claim against the agents' principals on the theory of false arrest. In the earlier action, plaintiff relied on the statements of the agents made on April 10, 1958 as the basis of a claim against them on the theory of libel. Now, he asserts those same statements as the basis of a claim against their principals on the theory of malicious prosecution. Clearly, any liability of the defendants for the acts or statements of their agents must be predicated upon the familiar principle of respondeat superior. Thus, if the agents committed no actionable wrong against the plaintiff, neither did their principals. * * *

The plaintiff cannot be permitted to splinter his claim into a multiplicity of suits and try them piecemeal at his convenience. * * * "The plaintiff having alleged operative facts which state a cause of action because he tells of defendant's misconduct and his own harm has had his day in court. He does not get another day after the first lawsuit is concluded by giving a different reason than he gave in the first for recovery of damages for the same invasion of his rights. The problem of his rights

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against the defendant based upon the alleged wrongful acts is fully before the court whether all the reasons for recovery were stated to the court or not." * * *

The court is cognizant of the fact that plaintiff appears pro se, but as the law provides a beginning for litigation, it must also provide an end. * * *

NOTES AND QUESTIONS

1. How would the different tests for determining a claim, see p. 1268, Note 7, *supra*, affect the reasoning and result in *Mathews*?
2. In *Rush*, plaintiff won her first suit for property damage, and the court held that any claims she had for personal injuries were "merged" into the judgment and so extinguished. In *Mathews*, plaintiff lost the first suit. Since the basic factual setting of the claim in the second suit was the same as in the first, the court held that the allegations were "barred" by the earlier judgment. By using a different definition of a "claim," could you make an argument that the second suit should not have been precluded?
3. One of the benefits of the transactional approach to claim preclusion is its flexibility. But flexibility comes at a price. Because a court may interpret the claim presented in the first lawsuit more broadly than a litigant does, the litigant unknowingly may forfeit parts of his action by failing to raise them. It is said that litigants thus learn "by trial and error in the harsh school of experience" of the need to raise all possibly connected allegations in the first proceeding. Cleary, *Res Judicata Reexamined*, 57 Yale L.J. 339, 340 (1948). This may well mean that parties will advance claims that they otherwise might not have brought to court. Recall that in *Mathews*, plaintiff was appearing pro se. Should the sophistication of the litigant be considered in deciding the scope of claim preclusion?
4. Should the test for claim preclusion be the same as the test for supplemental jurisdiction under 28 U.S.C. § 1367 or for whether a counterclaim is compulsory? See p. 364, Notes 1 and 2, *supra*. How are these situations different?
5. Consider how the transaction test would affect the preclusive effect of a judgment in the following situations:
 - (a) An abused spouse sues for divorce. Does the divorce judgment bar the party from later filing a tort action for spousal abuse? Should it matter whether the abuse was claimed as the basis for the divorce in the earlier suit? Or that it took place during the course of the marriage? See Dalton, *Domestic Violence, Domestic Torts and Divorce: Constraints and Possibilities*, 31 New Eng.L.Rev. 319, 378–94 (1997). Assume the former spouses later cross-move to modify a child custody agreement entered following the final judgment of divorce. Will claim preclusion bar

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the modification? See Aviel, *Family Law and the New Access to Justice*, 86 Fordham L.Rev. 2279 (2018).

(b) An individual who was exposed to toxic chemicals sues for damages and seeks reimbursement for the expense of ongoing medical monitoring. Years later, plaintiff experiences physical injury greater and qualitatively different than initially anticipated or diagnosed.

Does claim preclusion bar a new lawsuit? See *In re Paoli R.R. Yard PCB Litigation*, 916 F.2d 829 (3d Cir. 1990). For a discussion of the impact of the transaction approach in cases of latent medical injury, see Note, *Claim Preclusion in Modern Latent Disease Cases: A Proposal for Allowing Second Suits*, 103 Harv.L.Rev. 1989 (1990).

FEDERATED DEPARTMENT STORES, INC. v. MOITIE, 452 U.S. 394, 101 S.Ct. 2424, 69 L.Ed.2d 103 (1981). Respondents Moitie and Brown were two of seven plaintiffs to file separate antitrust actions against petitioner (*Moitie I* and *Brown I*). The actions were consolidated in the district court after which they were dismissed for failure to allege an “injury” to their “business or property” within the meaning of Section 4 of the Clayton Act. The other five plaintiffs appealed to the Ninth Circuit. Moitie and Brown, however, did not appeal, but, instead, refiled their actions in state court (*Moitie II* and *Brown II*). The actions were removed to federal court and then dismissed on res judicata grounds. Meanwhile, the five appeals cases were reversed and remanded to the district court to be reconsidered in light of an intervening Supreme Court opinion. When *Moitie II* and *Brown II* reached the Ninth Circuit on appeal, the court held that, although a strict application of res judicata would preclude the second action, an exception should be made when the dismissal rested on a case that had been effectively overruled. The Supreme Court disagreed:

The Court of Appeals * * * rested its opinion in part on what it viewed as “simple justice.” But we do not see the grave injustice which would be done by the application of accepted principles of res judicata. “Simple justice” is achieved when a complex body of law developed over a period of years is evenhandedly applied. The doctrine of res judicata serves vital public interests beyond any individual judge’s ad hoc determination of the equities in a particular case. There is simply “no principle of law or equity which sanctions the rejection by a federal court of the salutary principle of *res judicata*.” * * * The Court of Appeals’ reliance on “public policy” is similarly misplaced. This Court has long recognized that “[p]ublic policy dictates that there be an end of litigation; that those who have contested an issue shall be bound by the result of the contest, and that matters once tried shall be considered forever settled as between the parties.” *Baldwin v.*

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Traveling Men’s Association, 283 U.S. 522, 525[, 51 S.Ct. 517, 518, 75 L.Ed. 1244] (1931). We have stressed that “[the] doctrine of *res judicata* is not a mere matter of practice or procedure inherited from a more technical time than ours. It is a rule of fundamental and substantial justice, ‘of public policy and of private peace,’ which should be cordially regarded and enforced by the courts * * *.” *Hart Steel Co. v. Railroad Supply Co.*, 244 U.S. 294, 299[, 37 S.Ct. 506, 507, 61 L.Ed. 1148] (1917).
* * *

Id. at 401–02, 101 S.Ct. at 2429–30, 69 L.Ed.2d at 110–11.

NOTES AND QUESTIONS

1. In spite of the harsh language of *Moitie*, there are situations in which considerations of justice and fairness dictate that prior judgments not be given preclusive effect. When the prior judgment was obtained by the use of fraud, courts generally will not consider it binding. See, e.g., *McCarty v. First of Georgia Ins. Co.*, 713 F.2d 609 (10th Cir. 1983). Similarly, when there was a clear and fundamental jurisdictional defect that should have prevented the first court from hearing the suit, courts often will hold that the judgment has no preclusive effect. However, would you agree that by its logic and language *Moitie* forecloses a general fairness exception to claim preclusion? See 18 Wright, Miller & Cooper, Federal Practice and Procedure § 4415 (3d ed.).

2.Claim preclusion requires a final judgment. Is a judgment final if an appeal is pending? The general rule in the federal system and most states is that a pending appeal does not defeat the claim preclusive effect of a judgment. See *Deposit Bank of Frankfort v. Board of Councilmen of City of Frankfort*, 191 U.S. 499, 24 S.Ct. 154, 48 L.Ed. 276 (1903). The rule can create a great deal of mischief if the second appeal relies upon a first judgment that is later reversed. Restatement (Second), Judgments § 13, comment f (1982), suggests that, if possible, the second panel ought to postpone consideration of preclusion until the first appeal is concluded. See *United States v. 5 Unlabeled Boxes*, 572 F.3d 169 (3d Cir. 2009).

3.In *Moitie*, defendants removed the actions to federal court on the basis of federal question jurisdiction, and the cases subsequently were dismissed due to the preclusive effect of the prior judgment. In a similar case, *RIVET v. REGIONS BANK*, 522 U.S. 470, 118 S.Ct. 921, 139 L.Ed.2d 912 (1998), the dispute involved only state issues, but defendants, relying on *Moitie*, sought to remove the case to federal court on the ground that the action was precluded by a prior federal judgment. The Supreme Court rejected this interpretation of *Moitie*, holding that claim preclusion does not create an exception to the rule that removal under 28 U.S.C. § 1441(b) cannot be based upon a federal defense. On *Moitie*, see Miller, *Artful Pleading: A Doctrine in Search of Definition*, 76 Tex.L.Rev. 1781 (1998).

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JONES V. MORRIS PLAN BANK OF PORTSMOUTH
Supreme Court of Appeals of Virginia, 1937.
[168 Va. 284, 191 S.E. 608.](#)

GREGORY, JUSTICE.

William B. Jones instituted an action for damages against the Morris Plan Bank of Portsmouth for the conversion of his automobile.
* * *

After the plaintiff had introduced all of his evidence and before the defendant had introduced any evidence on its behalf, the latter’s counsel moved to strike the evidence of the plaintiff and the court sustained the motion. A verdict for the defendant resulted.

The facts are that the plaintiff purchased from J.A. Parker, a dealer in automobiles, a Plymouth sedan, agreeing to pay therefor \$595. He paid a part of the purchase price by the delivery of a used car to Parker of the agreed value of \$245 and after crediting that amount on the purchase price and adding a finance charge of \$78.40, there remained an unpaid balance due the dealer of \$428. This latter amount was payable in 12 monthly installments of \$35.70 each and evidenced by one note in the principal sum of \$428.40. The note contained this provision: “The whole amount of this note (less any payments made hereon) becomes immediately due and payable in the event of nonpayment at maturity of any installment thereof.” The note was secured by the usual conditional sales contract * * * in which it was agreed that the title to the car would be retained by the dealer until the entire purchase price was paid in full. * * * [T]he contract was assigned to the defendant * * * and the note was indorsed by Parker and delivered to the defendant at the same time.

Installment payments due on the note for May and June were not made when payable and for them an action was instituted in the civil and police court of the city of Suffolk. No appearance was made by the defendant (Jones) in that action and judgment was obtained against him for the two payments. Execution issued upon the judgment and it was satisfied * * * by Jones * * *.

Later the defendant instituted another action against Jones in the same court for the July installment which had become due and was unpaid, and to that action Jones filed a plea of res adjudicata, whereupon the * * * [Bank] took a nonsuit.

* * * [T]he defendant * * * took possession of the automobile without the consent of the plaintiff and later sold it and applied the proceeds upon the note.

Afterwards, the plaintiff instituted the present action for conversion to recover damages for the loss of the automobile. His action in the court below was founded upon the theory that when the May and June installments became due and were unpaid, then under the acceleration

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clause in the note, the entire balance due thereon matured and at once became due and the defendant having elected to sue him for only two installments instead of the entire amount of the note, and having obtained a judgment for the two installments and satisfaction of the execution issued thereon, it waived its right to collect the balance. He also contends that the note was satisfied in the manner narrated and that the conditional sales contract, the sole purpose of which was to secure the payment of the note, served its purpose and ceased to exist, and, therefore, the title to the automobile was no longer retained, but upon the satisfaction of the note, passed to the plaintiff and was his property when the agent of the defendant removed it and converted it to its own use.

The position of the defendant is that * * * the title to the automobile, which was the subject of the alleged conversion, was not vested in the plaintiff at the time of the action, nor since, because the condition in the contract was that the title should be retained by the seller (whose rights were assigned to the defendant) until the entire purchase price was paid, and that the purchase price had never been paid * * *.

The defendant also contends that the note and conditional sales contract were divisible; that successive actions could be brought upon the installments as they matured; and that it was not bound, at the risk of waiving its right to claim the balance, to sue for all installments in one action.

* * *

We decide that under the unconditional acceleration provision in the note involved here and in the absence of the usual optional provision reserved to the holder, the entire amount due upon the note became due and payable when default was made in paying an installment. * * *

Was it essential that the defendant here institute an action for all of the installments then due, or could it institute its action for only two of the installments and later institute another action for other installments? The answer to that question depends upon the nature of the transaction. If a transaction is represented by one single and indivisible contract and the breach gives rise to one single cause of action, it cannot be split into distinct parts and separate actions maintained for each.

On the other hand, if the contract is divisible giving rise to more than one cause of action, each may be proceeded upon separately.

Was the contract here single and indivisible or was it divisible? Our answer is that the note and conditional sales contract constituted one single contract. The sole purpose of the conditional sales contract was to retain the title in the seller until the note was paid. When that condition was performed, the contract ended.

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One of the principal tests in determining whether a demand is single and entire, or whether it is several, so as to give rise to more than one cause of action, is the identity of facts necessary to maintain the action. If the same evidence will support both actions, there is but one cause of action.

In the case at bar, all of the installments were due. The evidence essential to support the action on the two installments for which the action was brought would be the identical evidence necessary to maintain an action upon all of the installments. All installments having matured at the time the action was begun, under well-settled principles, those not embraced in that action are now barred.

* * * At the time the defendant lost its right to institute any action for the remaining installments, the title to the automobile passed to the plaintiff. He was the owner at the time the agent of the defendant took possession of it and exposed it to sale.

It follows that the judgment of the court below will be reversed, and the case will be remanded for the sole purpose of determining the quantum of damages.

Reversed and remanded.

NOTES AND QUESTIONS

1. When a debt is secured by a series of notes or when a bond includes a number of interest coupons, an action on one of the notes or coupons, even though others are due, does not bar a subsequent action on those others. Restatement, Judgments § 62, comment *i* (1942); Restatement (Second), Judgments § 24, comment *d* (1982). Cf. *Nesbit v. Riverside Independent District*, 144 U.S. 610, 619, 12 S.Ct. 746, 748, 36 L.Ed. 562, 565 (1892):
- Each matured coupon is a separable promise, and gives rise to a separate cause of action. It may be detached from the bond and sold by itself. Indeed, the title to several matured coupons of the same bond may be in as many different persons, and upon each a distinct and separate action be maintained. So, while the promises of the bond and of the coupons in the first instance are upon the same paper, and the coupons are for interest due upon the bond, yet the promise to pay the coupon is as distinct from that to pay the bond as though the two promises were placed in different instruments, upon different paper.
2. It can be difficult to define the scope of a prior judgment in controversies involving continuing or renewed conduct. Restatement (Second), Judgments § 24 (1982) lists some relevant considerations in assessing whether a factual grouping constitutes a single transaction, and so the same claim, and suggests evaluating “whether the facts are related in time, space, origin, or motivation, whether they form a convenient trial unit, and whether their

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treatment as a unit conforms to the parties’ expectations or business understanding or usage.”

There are some other useful rules of thumb in cases of continuing or renewed conduct. For example, if the conduct that is the subject of the first action continues after judgment in the first action, claim preclusion would not prevent a second suit. Issue preclusion may apply, however, to matters of status or to issues of fact resolved in the first action. When the purpose of the first suit is to establish general rules of legality, such as when the first suit is a declaratory judgment action, subsequent claims involving the same conduct are precluded.

Suits asserting claims for nuisance commonly involve continuing conduct. Judgments involving “permanent” nuisances are considered to have full preclusive effect; those involving “temporary” nuisances are not considered to preclude later litigation involving the same behavior. Courts are not always consistent in their classification of nuisances. For a further discussion of claims that involve continuing and renewed conduct, see 18 Wright, Miller & Cooper, Federal Practice and Procedure § 4409 (3d ed.).

3. As the previous Notes suggest, often the underlying substantive law will affect the definition of the claim for purposes of preclusion. For example, if one party to a contract commits a material breach that is neither accompanied nor followed by a repudiation, the law of contracts teaches that the other party is free, on the one hand, to treat the contract as binding and sue for the damages or, on the other hand, to treat the contract as ended. If the aggrieved party chooses the former option and then suffers further material breaches, a later suit for damages not sought in the first suit will not be barred. See Restatement (Second), Judgments § 26, comment *g* (1982).

The expectations of the parties also may be decisive in determining the scope of the prior judgment. Imagine that a wholesale distributor regularly ships goods to a retailer on credit. If the parties conceive of their relationship as a series of discrete transactions, a suit by the creditor seeking to recover any one of the payments would not bar subsequent suits for other payments. If, however, the parties believe they have a single running account, the creditor would have to seek to recover the entire balance then due.

2.DEFENSE PRECLUSION

Thus far we have looked at claim preclusion from the perspective of plaintiff. However, defendants also need to take the doctrine into account, typically in one of three situations:

The first two situations involve a second action in which a former defendant seeks to advance a claim against the original plaintiff. In one, the claim involves matters that were not advanced in the first action; in the other, the claim involves matters that were advanced in the first action but are not foreclosed by issue preclusion. The third situation involves a second action by the

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original plaintiff in which the defendant seeks to raise defenses that were equally available in the first action but were not advanced there.

18 Wright, Miller & Cooper, Federal Practice and Procedure § 4414 (3d ed.). “The third situation” is referred to as “defense preclusion,” and the scope of the doctrine is implicated in the case that follows.

STABLER, J.

[An action for an accounting against defendant bank for proceeds of a crop of potatoes. Plaintiff alleged that in order to obtain loans from defendant he had—at the behest of defendant’s agent—sold his potatoes through a growers’ association and assigned the proceeds as security for two notes, totaling \$9,000, which had been discounted with defendant; that the potatoes had netted \$18,000, but that he had never received any of this, and that the proceeds had been received by defendant or an agent of defendant. In a previous action by defendant on the notes, plaintiff had pleaded in the answer the same facts now the basis of an affirmative claim, but had not counterclaimed or asked for relief; judgment had been for him in that action. In the present suit, defendant contended that plaintiff’s claim was merged in the earlier judgment. This contention was upheld by the trial court.]

* * *

We now come to the main question presented by the appeal, namely, Was the circuit judge in error in sustaining the plea in bar to plaintiff’s action? Turning to appellant’s answer in the federal court case * * * we find that the facts there pleaded by him as a defense to the bank’s recovery on its notes are the same as those set out by him in his complaint as the basis of his action in the case at bar, it being alleged that the total amount paid to the bank was in excess of all sums advanced to him on the notes or otherwise, and as a result of the transaction the notes sued upon were fully paid and discharged. In addition, we find in the record of the case before us the following statement by appellant as an admission of fact on his part: “* * * The indebtedness of the bank to Mitchell arising from the embezzlement of the proceeds of the crop was used pro tanto as an offset to the claim of the bank in the Federal Court. The case at bar seeks recovery of the surplusage, over the offset, of the proceeds of the same crop lost by the same embezzlement. The appellant, however, is not seeking to recover in this action the same money that has already been used as an offset.”

* * *

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In support of his position * * * appellant cites certain decisions of this court, which he claims to be conclusive of the issue, relying especially upon Kirven v. Chemical Co., 77 S.C. 493, 58 S.E. 424, 426.

* * * [T]he record shows that Kirven had bought from the Chemical Company \$2,228 worth of fertilizers and had given his note for that amount. The company, upon maturity of the note, brought action against him on his obligation. He at first filed an answer setting up three defenses, the third of which was that the fertilizers furnished were deleterious and destructive to the crops, and that there was an entire failure of consideration for the note. Later, he was permitted to file a supplemental answer in which he withdrew the third defense. On trial in the federal court, the jury rendered a verdict for the Chemical Company. Thereafter, Kirven brought an action against the company * * * alleging that the defendant caused damage to his crop in the sum of \$1,995 by reason of the deleterious effect of the fertilizers furnished. The company set up the defense that the issues in this action were or could have been adjudicated in the [first] suit * * *. A verdict was given Kirven in the amount prayed for, and on appeal * * * it was pointed out that the question raised in the state court was not *actually* litigated and determined in the federal action, and it appears that the court, for that reason, took the view that a bar or estoppel did not exist. Mr. Justice Woods, in his concurring opinion, took the view that, as Kirven elected not to use, as a defense, the fact of *worthlessness*, which might have been available in the action of the company against him, “he was not precluded from using the very different facts of deleteriousness and positive injury caused by appellant’s alleged negligence in the manufacture of the fertilizer as the basis of an independent cause of action.”

We think the facts of the case at bar, however, present a different situation. * * *

O’Connor v. Varney, 10 Gray (Mass.) 231, was an action on contract to recover damages for Varney’s failure to build certain additions to a house according to the terms of a written agreement between the parties. The defendant set up as a defense “a judgment recovered by O’Connor in an action brought by Varney against him on that contract to recover the price therein agreed to be paid for the work, in defence of which O’Connor relied on the same nonperformance by Varney, and in which an auditor to whom the case was referred * * * found that Varney was not entitled to recover under the agreement,” as the work had been so imperfectly done that it would require a greater sum than the amount sued for to make it correspond with the contract. At the trial of the second action, the trial judge ruled that the judgment in the first suit was a bar, and directed a verdict for the defendant. The plaintiff O’Connor thereupon appealed.

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Chief Justice Shaw, who rendered the opinion of the court, said: “The presiding judge rightly ruled that the former judgment was a bar to this action. A party against whom an action is brought on a contract has two modes of defending himself. He may allege specific breaches of the contract declared upon, and rely on them in defence. But if he intends to claim, by way of damages for nonperformance of the contract, more than the amount for which he is sued, he must not rely on the contract in defence, but must bring a cross action, and apply to the court to have the cases continued so that the executions may be set off. He cannot use the same defence, first as a shield, and then as a sword. * * *”

It will be noted that Varney was not entitled to recover in the first suit because his dereliction amounted to more than he sued for. This would seem to be exactly the situation in the case at bar.

* * * When the bank sued * * * [Mitchell] on his two notes, amounting to about \$9,000, he had the option to interpose his claim as a defense to that suit or to demand judgment against the bank, by way of counterclaim, for the amount owing him by it. * * * The transaction out of which the case at bar arises is the same transaction that Mitchell pleaded as a defense in the federal suit. He might, therefore, “have recovered in that action, upon the same allegations and proofs which he there made, the judgment which he now seeks, if he had prayed for it.” He did not do this, but attempted to split his cause of action, and to use one portion of it for defense in that suit and to reserve the remainder for offense in a subsequent suit, which, under applicable principles, could not be done. * * *

The judgment of the circuit court is affirmed.

NOTES AND QUESTIONS

1. The federal courts and a majority of the state courts require a party to include a compulsory counterclaim in the answer. Can a party raise the omitted claim in a separate action? See p. 732, *supra*. Professor Wright has written that “it has never been doubted in any of the jurisdictions which have adopted such a rule that the pleader who fails to comply therewith is prohibited from subsequent assertion of his claim.” Wright, *Estoppel by Rule: The Compulsory Counterclaim Under Modern Pleading*, 38 Minn.L.Rev. 423, 449 n.121 (1954). Is the preclusion a result of waiver or res judicata?

2. At common law, would Mitchell’s defense in the first action have been in the nature of a recoupment or a set-off? Consider the following definitions:

At common law the term “recoupment” described a claim that defendant could assert against plaintiff only if it arose from the same transaction as plaintiff’s claim. It was purely defensive in its character and could be used only to defeat or diminish plaintiff’s recovery; recoupment could not be the basis for affirmative relief. “Setoff,” on the other hand, referred to a claim by defendant that was

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unrelated to plaintiff’s claim. Moreover, unlike recoupment, setoff permitted defendant to assert an affirmative claim for relief. But the utility of setoff was limited by the requirement that the claim either be for a liquidated amount or arise out of a contract of judgment.

6 Wright, Miller & Kane, *Federal Practice and Procedure* § 1401 (3d ed.). Assuming that the defense would have been one or the other, would this have made a difference to Mitchell’s right to bring a later suit for the excess?

3. The Supreme Court cast doubt on defense preclusion as an independent doctrine separate from ordinary principles of claim and issue preclusion in *LUCKY BRAND DUNGAREES, INC. v. MARCEL FASHIONS GROUP INC.*, 590 U.S. ___, 140 S.Ct. 1589, 206 L.Ed.2d 893 (2020). The parties, competitors in the fashion industry, both used the word “Lucky” as part of their marks on jeans and other apparel. They were involved in three rounds of trademark litigation. In a 2003 settlement, Lucky Brand agreed to stop using the phrase “Get Lucky”—a trademark claimed by Marcel Fashions—and Marcel Fashions agreed to release any claims regarding Lucky Brand’s use of its own trademarks. Then, in a 2005 action, Lucky Brand sued Marcel Fashions for trademark infringement involving use of “Lucky” marks on a new line of clothing sold under a license from Marcel. In that lawsuit, Marcel Fashions filed counterclaims turning on Lucky Brand’s alleged continued use of the “Get Lucky” mark. In its motion to dismiss the counterclaims and in its answer, Lucky Brand initially raised the 2003 settlement as a defense, but it did not press that defense again as the litigation proceeded through summary judgment and trial. The 2005 action concluded when the court permanently enjoined Lucky Brand from copying or imitating the “Get Lucky” mark, and a jury found against Lucky Brand on the remaining counterclaims.

In a 2011 action, Marcel Fashions sued Lucky Brand for trademark infringement involving “Lucky” marks but involving conduct that postdated the 2005 case. This time, Lucky Brand argued as a defense that Marcel Fashions had released any infringement claims concerning Lucky Brand’s marks in the 2003 settlement agreement. Marcel Fashions countered that Lucky Brand was precluded from raising the release defense because it could have pursued that defense in the 2005 action and failed to do so. The district court disagreed with Marcel and granted Lucky Brand’s motion to dismiss. But the Second Circuit vacated and remanded, concluding that, because Lucky Brand could have asserted the release defense in the 2005 action, the doctrine of defense preclusion barred it from asserting the defense in the new case.

A unanimous Supreme Court reversed. Because the 2011 action challenged different conduct and raised different claims from the 2005 action, the Court held that Lucky Brand could not be precluded in the later action from raising defenses that it had not litigated in the prior action. In an opinion by Justice Sotomayor, the Court emphasized that it had never recognized a doctrine of defense preclusion “as a standalone category of res judicata, unmoored from the two guideposts of issue preclusion and claim preclusion.”

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Rather, the Court rested its decision on the fact that the parties agreed that issue preclusion did not apply, so Lucky Brand could be barred only if the requirements of claim preclusion were met. (In an extended footnote, the Court questioned whether claim preclusion ought ever to apply to defenses, but explicitly did not decide the question.)

The Court then held that claim preclusion did not apply because the two suits did not share a common nucleus of operative facts. To the contrary, “the two suits here were grounded on different conduct, involving different marks, occurring at different times.” Nor could it be argued that allowing the assertion of defenses in the 2011 action would “impair or destroy” the judgment in the prior action, for the “lawsuits involved both different conduct and different trademarks.” Indeed, the challenged conduct in the 2011 action occurred after the 2005 action had concluded, and “preclusion generally does not bar claims that are predicated on events that postdate the filing of the initial complaint.” 590 U.S. at ___, 140 S.Ct. at 1596, 206 L.Ed.2d at 901–02 (internal quotation marks omitted). The Court emphasized the importance of this principle “in the trademark context, where the

enforceability of a mark and likelihood of confusion between marks often turns on extrinsic facts that change over time.”

The Court also distinguished cases involving judgment enforcement or a collateral attack on a prior judgment. The Court questioned whether these cases could be said to “stand for anything more than traditional claim- or issue-preclusion principles,” and, in any event, they did not apply to Lucky Brand’s defense of release. *Id.* at ___, 140 S.Ct. at 1597, 206 L.Ed.2d at 902–03.

LINDERMAN MACHINE CO. v. HILLENBRAND CO., 75 Ind.App. 111, 127 N.E. 813 (1920). L sold H a machine, and subsequently sued to recover the purchase price. H answered that the contract had been obtained by fraudulent representations as to the machine’s capacity to do H’s work, that the machine did not perform as represented, and that H had notified L to remove the machine. Judgment was rendered against L. Subsequently H sued L to recover damages for fraud, alleging that H had incurred great expense in transporting, installing, attempting to operate, and removing the machine. L answered that the action was barred by the judgment in the first suit. The court held for H:

It is true that a party, when sued, must interpose all defenses which he has, and as to them, whether pleaded or not, the judgment is conclusive; but it is not conclusive as to an affirmative right or cause of action which he may have against the plaintiff, and of which he could have taken advantage by way of cross-complaint. He is not compelled to file his cross-complaint, and, on his failure to do so, his rights with reference thereto will not be adjudged. * * *

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There was no issue in the action brought by [L] to recover the purchase price * * * as to the right of [H] to recover the expenses which it had been put to in installing the machinery, and without such issue therein, [L] is not in position now to invoke against [H] the doctrine of *res adjudicata*.

Id. at 118, 127 N.E. at 815.

NOTES AND QUESTIONS

1. Is *Linderman* consistent with *Mitchell*? Generally defendant’s failure to raise a counterclaim that is not compulsory does not preclude a later action. See *Harrison v. Springdale Water & Sewer Commission*, 780 F.2d 1422 (8th Cir. 1986). However, as is suggested in the Supreme Court’s decision in *Lucky Brand Dungarees*, p. 1282, Note 3, *supra*, the rule is more complicated when the claim that defendant seeks to assert would impair or nullify rights established in the first action. In *Rudell v. Comprehensive Accounting Corp.*, 802 F.2d 926, 929 (7th Cir. 1986), cert. denied, 480 U.S. 907, 107 S.Ct. 1351, 94 L.Ed.2d 521 (1987), franchisees were barred from challenging a franchise agreement as procured by fraud, when that defense could have been raised in a prior arbitration proceeding. As the court of appeals explained, allowing the party to raise the fraud claim in a later action “could now serve to undermine or nullify the prior decision of the district court confirming the arbitration award.” See Clermont, *Common-Law Compulsory Counterclaim Rule: Creating Effective and Elegant Res Judicata*, 79 Notre Dame L.Rev. 1745 (2004).

2. Some state systems recognize a doctrine of common law compulsory counterclaim. In *Jacobson v. Miller*, 41 Mich. 90, 1 N.W. 1013 (1879), a landlord brought and prevailed on an action to recover unpaid installments of rent. Subsequently, the landlord brought another suit to recover later unpaid installments. Although he had made no mention of a defense in the initial proceeding, the tenant sought to defend the second suit by alleging that he had never executed the lease. Should the court have permitted the defense to be made? Remember that if defendant had raised this claim in the first action successfully, the landlord could have taken affirmative steps to remedy the problem, and perhaps even could have found a new tenant. Should the defense be precluded on the possibility of indirect reliance on the course of the first action? See Restatement (Second), Judgments § 22 (1982).

3. Restatement (Second), Judgments § 20(1) (1982) sets out a nonexhaustive list of valid and final judgments that are not preclusive: (a) dismissal for lack of jurisdiction, dismissal for improper venue, dismissal for nonjoinder or misjoinder of parties; and (b) election or direction of a nonsuit. How should dismissals that are not expressly listed be treated?

COSTELLO v. UNITED STATES, 365 U.S. 265, 287, 81 S.Ct. 534, 545, 5 L.Ed.2d 551, 565 (1961), concerned an order dismissing a denaturalization proceeding on the ground that the government had failed to file an affidavit of good cause. Although the order did not specify that the dismissal was “without

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prejudice,” the Supreme Court held that the dismissal was “for lack of jurisdiction” within the meaning of Federal Rule 41(b) and did not bar a subsequent denaturalization proceeding by the government. The Court explained:

At common law dismissal on a ground not going to the merits was not ordinarily a bar to a subsequent action on the same claim. * * * We do not discern in Rule 41(b) a purpose to change this common-law principle with respect to dismissals in which the merits could not be reached for failure of the plaintiff to satisfy a precondition. * * * Although a *sua sponte* dismissal is not an enumerated ground, here * * * the defendant has been put to the trouble of preparing his defense because there was no initial bar to the Court’s reaching the merits. * * *

In contrast, the failure of the Government to file the affidavit of good cause in a denaturalization proceeding does not present a situation calling for the application of the policy making dismissals operative as adjudications on the merits. The defendant is not put to the necessity of preparing a defense because the failure of the Government to file the affidavit with the complaint require the dismissal of the proceeding.

Id. at 545–46, 81 S.Ct. at 287–88, 5 L.Ed.2d at 566.

4.The general rule in the federal system and in most state systems is that a dismissal for failure to state a claim carries claim preclusive effect. But that is not always the case. In the federal courts, an order granting a motion to dismiss a complaint under Rule 12(b)(6) for failure to state a claim is a dismissal with prejudice unless it contains specific language to the contrary. See p. 677, Note 2, *supra*. In some state courts, the presumption is reversed. New York, for example, adheres to the rule that “when a complaint is dismissed for legal insufficiency or other defect in pleading, it does not act as a bar to commencement of a new action for the same relief unless the dismissal was expressly made on the merits or the new complaint fails to correct the defects or omissions fatal to the prior one.” *Deacon’s Bench, Inc. v. Hoffman*, 477 N.Y.S.2d 447, 449 (App. Div. 3d Dep’t 1984); see also N.Y.C.P.L.R. 5013 (“A judgment dismissing a cause of action before the close of the proponent’s evidence is not a dismissal on the merits unless it specifies otherwise * * *”). Why should a later claim ever be barred if the pleading defect is curable? See Shreve, *Preclusion and Federal Choice of Law*, 64 Tex.L.Rev. 1209, 1218 n.44 (1986); 18A Wright, Miller & Cooper, *Federal Practice and Procedure* § 4439 (3d ed.). The Restatement justifies the majority approach as follows:

* * * [Claim preclusion] is warranted by the ease with which pleadings may be amended, normally at least once as a matter of course, and by the unfairness of requiring the defendant to submit to a second action (often initiated long after the first has come to an end)

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when no such amendment is sought, or when no appeal has been taken from an erroneous denial of leave to amend.

Restatement (Second) of Judgments § 19, comment *d* (1982).

C. ISSUE PRECLUSION

One of the most frequently quoted descriptions of what once was called collateral estoppel and is now referred to as issue preclusion was provided by the first Justice Harlan in *Southern Pacific Railroad Co. v. United States*, 168 U.S. 1, 48–49, 18 S.Ct. 18, 27, 42 L.Ed. 355, 377 (1897):

The general principle announced in numerous cases is that a right, question, or fact distinctly put in issue and directly determined by a court of competent jurisdiction, as a ground of recovery, cannot be disputed in a subsequent suit between the same parties or their privies; and, even if the second suit is for a different cause of action, the right, question, or fact once so determined must, as between the same parties or their privies, be taken as conclusively established, so long as the judgment in the first suit remains unmodified.

As this passage reveals, there is a critical difference between claim preclusion and issue preclusion. Under the doctrine of claim preclusion, a claim may be “merged” or “barred” by a party’s failure to raise the claim in a prior action. Issue preclusion, however, applies only to matters argued and decided in an earlier lawsuit.

For issue preclusion to exist, a proceeding must involve the identical issue that was presented in a previous suit. However, more than a mere duplication of issues is required. It is necessary to examine the nature of the first action and the treatment that the issue received in it. Just as for claim preclusion, the judgment in the first action must have been of a certain “quality”—that is, it must have been valid, final, and on the merits (the “on the merits” requirement does not apply if the issue being precluded is exclusively a procedural issue). Moreover, the issue raised in a second suit must have been actually litigated in the first action, and must have been decided by the first court. In addition, determination of that issue must have been necessary to the court’s judgment.

Some courts require still more before they will allow a party to invoke issue preclusion. For example, some demand that the issue have occupied a high position in the hierarchy of legal rules applied in the first action—that it was important. Others require “mutuality”—that is, that the party invoking preclusion would have been bound by an unfavorable judgment in the first suit. However, fewer and fewer courts now impose these latter two conditions, and the mutuality requirement in particular is no longer required if certain conditions are met.

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A party may invoke issue preclusion in different procedural contexts. Two main situations are presented. First, plaintiff in a second action may invoke issue preclusion offensively, in order to preclude litigation of an issue that was decided favorably to that party in a prior action. Second, defendant in a second suit may seek to preclude relitigation of an issue that was decided in that party’s favor in a prior suit. Some courts and commentators further distinguish between “direct” and “collateral” preclusion or estoppel—depending upon whether the second proceeding involves the same cause of action as the first. When the two suits involve the same cause of action, issue preclusion sometimes is referred to as direct estoppel. When the second suit involves a new claim or cause of action, issue preclusion sometimes is referred to as collateral estoppel.

1.ACTUALLY LITIGATED

CROMWELL V. COUNTY OF SAC
Supreme Court of the United States, 1876.
[94 U.S. \(4 Otto\) 351, 24 L.Ed. 195.](#)

Error to the Circuit Court of the United States for the District of Iowa.

JUSTICE FIELD delivered the opinion of the court.

This was an action on four bonds * * * each for \$1,000, and four coupons for interest, attached to them, each for \$100. The bonds were issued in 1860, and were made payable to bearer, in the city of New York, in the years 1868, 1869, 1870, and 1871, respectively, with annual interest at the rate of ten per cent a year.

To defeat this action, the defendant relied upon the estoppel of a judgment rendered in favor of the county in a prior action brought by one Samuel C. Smith upon certain earlier maturing coupons on the same bonds, accompanied with proof that the plaintiff Cromwell was at the time the owner of the coupons in that action, and that the action was prosecuted for his sole use and benefit.

* * *

In considering the operation of this judgment, it should be borne in mind * * * that there is a difference between the effect of a judgment as a bar or estoppel against the prosecution of a second action upon the same claim or demand, and its effect as an estoppel in another action between the same parties upon a different claim or cause of action. In the former case, the judgment, if rendered upon the merits, constitutes an absolute bar to a subsequent action.^b * * * The language * * * which is so often used, that a judgment estops not only as to every ground of recovery or defence actually presented in the action, but also as to every ground which might

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have been presented, is strictly accurate, when applied to the demand or claim in controversy. * * *

But where the second action between the same parties is upon a different claim or demand, the judgment in the prior action operates as an estoppel only as to those matters in issue or points controverted, upon the determination of which the finding or verdict was rendered. In all cases, therefore, where it is sought to apply the estoppel of a judgment rendered upon one cause of action to matters arising in a suit upon a different cause of action, the inquiry must always be as to the point or question actually litigated and determined in the original action, not what might have been thus litigated and determined. Only upon such matters is the judgment conclusive in another action.

The difference in the operation of a judgment in the two classes of cases mentioned is seen through all the leading adjudications upon the doctrine of estoppel. Thus, in the case of *Outram v. Morewood*, 3 East, 346, the defendants were held estopped from averring title to a mine, in an action of trespass for digging out coal from it, because, in a previous action for a similar trespass, they had set up the same title, and it had been determined against them. In commenting upon a decision cited in that case, Lord Ellenborough, in his elaborate opinion, said: "It is not the recovery, but the matter alleged by the party, and upon which the recovery proceeds, which creates the estoppel. The recovery of itself in an action of trespass is only a bar to the future recovery of damages for the same injury; but the estoppel precludes parties and privies from contending to the contrary of that point or matter of fact, which, having been once distinctly put in issue by them, or by those to whom they are privy in estate or law, has been, on such issue joined, solemnly found against them."

* * *

Various considerations, other than the actual merits, may govern a party in bringing forward grounds of recovery or defence in one action, which may not exist in another action upon a different demand, such as the smallness of the amount or the value of the property in controversy, the difficulty of obtaining the necessary evidence, the expense of the litigation, and his own situation at the time. A party acting upon considerations like these ought not to be precluded from contesting in a subsequent action other demands arising out of the same transaction. * * *

If, now, we consider the main question presented for our determination * * * its solution will not be difficult. It appears from the findings in the original action of Smith, that the county of Sac, by a vote of its people, authorized the issue of bonds to the amount of \$10,000, for the erection of a court-house; that bonds to that amount were issued by the county judge, and delivered to one Meserey, with whom he had made a contract for the erection of the court-house; that immediately upon receipt of the bonds the

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contractor gave one of them as a gratuity to the county judge; and that the court-house was never constructed by the contractor, or by any other person pursuant to the contract. It also appears that the plaintiff had become, before their maturity, the holder of twenty-five coupons, which had been attached to the bonds, but there was no finding that he had ever given any value for them. * * * The case coming here on writ of error, this court held that the facts disclosed by the findings were sufficient evidence of fraud and illegality in the inception of the bonds to call upon the holder to show that he had given value for the coupons; and, not having done so, the judgment was affirmed. Reading the record of the lower court by the opinion and judgment of this court, it must be considered that the matters adjudged in that case were these: that the bonds were void as against the county in the hands of parties who did not acquire them before maturity and give value for them, and that the plaintiff, not having proved that he gave such value, was not entitled to recover upon the coupons. * * * The finding and judgment upon the invalidity of the bonds, as against the county, must be held to estop the plaintiff here from averring to the contrary. But as the bonds were negotiable instruments * * * they would be held as valid obligations against the county in the hands of a *bona fide* holder taking them for value before maturity * * *. If, therefore, the plaintiff received the bond and coupons in suit before maturity for value, as he offered to prove, he should have been permitted to show that fact. There was nothing adjudged in the former action in the finding that the plaintiff had not made such proof in that case which can preclude the present

plaintiff from making such proof here. The fact that a party may not have shown that he gave value for one bond or coupon is not even presumptive, much less conclusive, evidence that he may not have given value for another and different bond or coupon. The exclusion of the evidence offered by the plaintiff was erroneous * * *.

Judgment reversed, and cause remanded for a new trial.

[The dissenting opinion of JUSTICE CLIFFORD is omitted.]

NOTES AND QUESTIONS

1. Restatement (Second), Judgments § 27 (1982) adopted the “actually litigated” requirement as a condition for issue preclusion. What is the justification for the requirement? Consider this criticism:

The Restatement Second offers several reasons to support its adoption of the “actually litigated” requirement. First, the Comment * * * states that an action may involve “so small an amount that litigation of the issue may cost more than the value of the lawsuit.”⁵ This is a rather curious rationale. It does not support the “actually

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litigated” requirement; rather it supports a rejection of issue preclusion under any circumstances. If there is insufficient incentive to litigate a matter, then there should be no issue preclusion. Litigation in small claims courts or prosecutions for misdemeanors cannot give rise to issue preclusion because often those actions provide litigants with inadequate incentive to litigate. Although the line is not clearly defined, it seems reasonable to conclude that prosecutions for felonies and civil litigation involving substantial amounts will give rise to issue preclusion. The burden properly falls on the presumably precluded party to show why issue preclusion should not apply.

* * * [A second argument used to justify the actually litigated requirement is] that “the forum may be an inconvenient one in which to produce the necessary evidence or in which to litigate at all.” If a valid judgment is going to be handed down, then this forum must have jurisdiction over the defendant and it is the forum of choice of the plaintiff. As the forum of choice of the plaintiff, it is proper to hold that the plaintiff should be bound by any adverse decision reached by the court. It is only in the case of the defendant that he might be able to assert that he should not be bound because it is inconvenient.

In light of (a) the present constitutional limitations on the exercise of jurisdiction over defendants, (b) the fact that the suit by definition involves a substantial interest, and (c) the availability of procedures to get and present the relevant evidence, this justification is not very persuasive. Would it not be better to hold for issue preclusion, and then permit the apparently precluded party to explain why preclusion should not apply?

The [Restatement’s] Comment also gives as a reason for the “actually litigated” rule that a rule to the contrary “might serve to discourage compromise, to decrease the likelihood that the issues in an action would be narrowed by stipulation, and thus to intensify litigation.” This litigation, where there is the incentive to litigate, must involve substantial interests on the part of the parties. The issue preclusion that may flow from the judgment does not change the suit from unimportant to important. The suit is, by definition, important. If a compromise is going to be discouraged, it probably will be by the size of the present suit. If there is going to be a refusal to stipulate and thus narrow issues, in all probability it will be because of the importance of the instant suit and not because of the issue preclusion that may flow from the decision.

Vestal, *The Restatement (Second) of Judgments: A Modest Dissent*, 66 Cornell L.Rev. 464, 473–74 (1981).

2.Should an issue be considered actually litigated simply because it is included in the pleadings? Consider this analysis:

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A good case can be made for saying that if a matter is distinctly put in issue and formally admitted, the party making the admission should be bound by it in subsequent litigation. This was the old formulation of the rule of “judicial estoppel,” as it was then called: “The former verdict is conclusive only as to facts directly and distinctly put in issue * * *.” But how can a matter be “directly and distinctly put in issue”? Obviously, by actual litigation. Another way is through pleadings. In a pleading system where matters are “distinctly put in issue,” it makes sense to say that if a proposition is clearly asserted, and if a party is called upon solemnly to admit or deny the proposition, and if the stakes are high enough to assure that the party is serious in dealing with the issue, and if the party then admits or fails to deny the proposition, then he ought to be estopped from controverting it on some other occasion, particularly if that other occasion involves essentially the same transaction. The clearest case for such an estoppel is where a defendant pleads guilty to a substantial criminal charge and then seeks in civil litigation concerning the same transaction to assert that he did not commit the criminal act. Particularly galling is the situation where a criminal convicted on his own guilty plea seeks as plaintiff in a subsequent civil action to claim redress based on a repudiation of the confession. * * *

The same principle could apply when an issue is put forward and admitted “distinctly”—that is, clearly and solemnly—in a civil case. It is therefore appropriate to impose an estoppel based on a formal admission in a civil case, and the law of evidence does so. A judicial admission is considered in subsequent litigations as prima facie evidence that the admitted matter is true.

* * *

Professor Vestal says there should be an estoppel because, where there is an incentive to deny, failure to deny constitutes an admission. This

turns the notion of incentive to litigate on its head. The “incentive to litigate” formula, as used in most of the cases and in the *Restatement Second*, allows a party who *did* litigate an issue to relitigate it if the party can show that the original litigation was a side show rather than a struggle to the finish. [See *Restatement (Second)*, Judgments § 28, comment *j* (1982).] The *Restatement Second* allows a party to rebut the inference naturally drawn from the fact that the issue was actually litigated—the inference that the party had treated the issue with entire seriousness in the first litigation. In Professor Vestal’s system, however, “incentive to litigate” allows a court to conjecture that the party probably had reason to litigate the issue in the first action, and to conjecture further that the failure to litigate is an admission of a proposition not litigated. Professor Vestal’s “opportunity” theory allows the court to

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infer that the issue was important to a party whose behavior indicates he thought the issue was unimportant, and, having done that, to convict the party by his silence. * * *

Hazard, *Revisiting the Second Restatement of Judgments: Issue Preclusion and Related Problems*, 66 Cornell L.Rev. 564, 577–79, 584 (1981).

3.Should a default judgment be given issue preclusive effect? *Restatement (First)* treated the default as an implied admission of the truth of the allegations, but *Restatement (Second)* withholds preclusive effect because the implied admission is seen as only a fiction and the issue was not actually litigated. See Noland, *Finding Fault with Defaults: New York Courts’ Inconsistent Application of Issue Preclusion to Default Judgments*, 31 Cardozo L.Rev. 941, 953 (2010). Not all states follow the rule of *Restatement (Second)* on this question.

Should a default judgment entered as a penalty under Federal Rule 37 be given issue preclusive effect? Federal Rule 41(b) would seem to provide a clear answer; unless the dismissal states otherwise, a dismissal for failure to comply with a Federal Rule or court order is treated as an adjudication on the merits. Generally, a penalty dismissal carries claim preclusive effect but not issue preclusive effect, because the dismissal does not in and of itself actually litigate any of the issues. However, the procedural context and the purposes of the sanction can affect the court’s decision. In *In re Bush*, 62 F.3d 1319 (11th Cir. 1995), the Eleventh Circuit, on an issue of first impression, considered whether in a bankruptcy discharge exception proceeding, a default judgment based on allegations of fraud may be used to establish conclusively the elements of fraud and prevent discharge of the judgment debt. In this context, the appeals court held that a default judgment entered as a sanction for the deliberate refusal to participate in discovery carried issue preclusive effect. The court explained:

Where a party has substantially participated in an action in which he had a full and fair opportunity to defend on the merits, but subsequently chooses not to do so, and even attempts to frustrate the effort to bring the action to judgment, it is not an abuse of discretion * * * for a district court to apply the doctrine of collateral estoppel to prevent further litigation of the issues resolved by the default judgment in the prior action.

Id. at 1326. There is division on this question. E.g., *In re Martel*, 332 B.R. 922 (M.D.Fla. 2005).

4. What is the preclusive effect of a guilty plea in a subsequent civil lawsuit? Not surprisingly, Professor Vestal has argued that a guilty plea should be given preclusive effect unless defendant can show that an adequate opportunity or incentive to litigate the issue was not present in the first lawsuit. *Restatement (Second)*, Judgments § 85, comment *b* (1982) does not exempt a guilty plea from the “actually litigated” requirement and withholds issue preclusive effect, but notes that a guilty plea is admissible into evidence in later civil suits. Despite the *Restatement’s* position, some courts, without

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always setting forth a clear rationale, have granted preclusive effect to guilty pleas in subsequent suits involving the essential elements of the crime. See Shapiro, *Should a Guilty Plea Have Preclusive Effect?*, 70 Iowa L.Rev. 27 (1984).

5. How should a court determine what was actually decided in a prior litigation? Will the difficulty of this task be affected by whether the case was tried to a judge or to a jury? Are there any procedural rules that can play a role in defining what a suit has decided? Consider, in particular, Rule 49 (special verdict) and Rule 52 (findings and conclusions). The proponent of the defense has the burden to plead and prove it. In making that showing, the record of the prior trial, as well as extraneous evidence, may be used to prove what issues actually were decided. For a general discussion of this topic, see 18 Wright, Miller & Cooper, *Federal Practice and Procedure* § 4420 (3d ed.).

6.Should a judgment carry issue preclusive effect when an appeal is pending? Isn’t there the problem of inconsistency if a judgment is given issue preclusive effect and then is reversed on appeal? On the other hand, isn’t there a danger that the losing party will seek appeal only to delay allowing the prevailing party to benefit from her judgment? Should a judgment that cannot be appealed trigger issue preclusive effect? For a discussion of these and other issues relevant to issue preclusion, see Cavanagh, *Issue Preclusion in Complex Litigation*, 29 Rev.Litig. 859 (2010).

2.NECESSARILY DECIDED

RUSSELL V. PLACE

Supreme Court of the United States, 1876.
[94 U.S. \(4 Otto\) 606, 24 L.Ed. 214.](#)

Appeal from the Circuit Court of the United States for the Northern District of New York.

JUSTICE FIELD delivered the opinion of the court.

This is a suit for an infringement of a patent to the complainant for an alleged new and useful improvement in the preparation of

leather * * *.

The bill of complaint sets forth the invention claimed, the issue of a patent for the same, its surrender for alleged defective and insufficient description of the invention, its reissue with an amended specification, and the recovery of judgment against the defendants for damages in an action at law for a violation of the exclusive privileges secured by the patent.

The bill then alleges the subsequent manufacture, use, and sale by the defendants, without the license of the patentee, of the alleged invention and improvement, and prays that they may be decreed to account for the gains and profits thus acquired by them, and be enjoined from further infringement.

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The answer admits the issue of the patent, its surrender and reissue, and, as a defence to this suit, sets up in substance the want of novelty in the invention, its use by the public for more than two years prior to the application for the patent, and that the reissue, so far as it differs from the original patent, is not for the same invention. * * *

The action at law was brought * * * in the ordinary form of such actions for infringement of the privileges secured by a patent. The defendants pleaded the general issue, and set up, by special notice under the act of Congress, the want of novelty in the invention, and its use by the public for more than two years prior to the application for a patent. The plaintiff obtained a verdict for damages, upon which the judgment mentioned was entered; and this judgment, it is now insisted, estops the defendants in this suit from insisting upon the want of novelty in the invention patented, and its prior use by the public, and also from insisting upon any ground going to the validity of the patent which might have been availed of as a defence in that action, and, of course, upon the want of identity in the invention covered by the reissue with that of the original patent.

It is undoubtedly settled law that a judgment of a court of competent jurisdiction, upon a question directly involved in one suit, is conclusive as to that question in another suit between the same parties. But to this operation of the judgment it must appear, either upon the face of the record or be shown by extrinsic evidence, that the precise question was raised and determined in the former suit. If there be any uncertainty on this head in the record—as, for example, if it appear that several distinct matters may have been litigated, upon one or more of which the judgment may have passed, without indicating which of them was thus litigated, and upon which the judgment was rendered—the whole subject-matter of the action will be at large, and open to a new contention, unless this uncertainty be removed by extrinsic evidence showing the precise point involved and determined. * * *

Tested by these views, the question presented * * * is of easy solution. The record of that action does not disclose the nature of the infringement for which damages were recovered. The declaration only avers * * * as the infringement complained of, that the defendants have made and used the invention, and have caused others to make and use it. The patent contains two claims: one for the use of fat liquor generally in the treatment of leather, and the other for a process of treating bark tanned lamb or sheep skin by means of a compound composed and applied in a particular manner. Whether the infringement for which the verdict and judgment passed consisted in the simple use of fat liquor in the treatment of leather, or in the use of the process specified, does not appear from the record. A recovery for an infringement of one claim of the patent is not of itself conclusive of an infringement of the other claim, and there was no extrinsic evidence offered to remove the uncertainty upon the record * * *. The

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verdict may have been for an infringement of the first claim; it may have been for an infringement of the second; it may have been for an infringement of both. The validity of the patent was not necessarily involved, except with respect to the claim which was the basis of the recovery. A patent may be valid as to a single claim and not valid as to the others. The record wants, therefore, that certainty which is essential to its operation as an estoppel, and does not conclude the defendants from contesting the infringement or the validity of the patent in this suit.

The record is not unlike a record in an action for money had and received to the plaintiff's use. It would be impossible to affirm from such a record, with certainty, for what moneys thus received the action was brought, without extrinsic evidence showing the fact; and, of course, without such evidence the verdict and judgment would conclude nothing, except as to the amount of indebtedness established.

* * *

Decree affirmed.

JUSTICE CLIFFORD dissented.

NOTES AND QUESTIONS

1. Assume that plaintiff brings suit for personal injuries arising out of a car collision. Defendant answers, denying negligence and affirmatively pleading contributory negligence. Evidence is presented on both issues, and there is a general verdict for defendant. If defendant subsequently sues plaintiff for his own injuries arising out of the same accident, may defendant rely upon the first judgment as establishing any part of the case? See Note, *Developments in the Law—Res Judicata*, 65 Harv.L.Rev. 818, 845–46 (1952).
2. In *Kelley v. Curtiss*, 16 N.J. 265, 273, 108 A.2d 431, 435 (1954), the New Jersey Supreme Court said: “The case against [defendant] having been submitted to the jury with instructions that he was entitled to a verdict of no cause of action if the jury found either that he was not negligent or

that [plaintiff] was guilty of contributory negligence, the general verdict is to be considered as determining both grounds in [defendant’s] favor.” Is this holding consistent with *Russell v. Place*? If not, which case advances the better rule?

3.Should the principles embodied in *Russell* call for a different result if the jury in the first action makes specific findings of fact on each of the alternative grounds? What if the first action is a bench trial and the judge specifically discusses her findings on each of the alternative grounds?

4. What should be the outcome if an appellate court, faced with alternative determinations by the trial court, affirms on only one ground? If conservation of judicial resources is the ultimate goal, why should anything short of reversal on appeal strip a conclusive determination of its preclusive effect? See Lucas, *The Direct and Collateral Estoppel Effects of Alternative Holdings*, 50 U.Chi.L.Rev. 701 (1983).

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Rios v. Davis

Court of Civil Appeals of Texas, Eastland, 1963.
[373 S.W.2d 386.](#)

COLLINGS, JUSTICE.

Juan C. Rios brought this suit against Jessie Hubert Davis in the District Court to recover damages * * * alleged to have been sustained as a result of personal injuries received * * * in an automobile collision. Plaintiff alleged that his injuries were proximately caused by negligence on the part of the defendant. The defendant answered alleging that Rios was guilty of contributory negligence. Also, among other defenses, the defendant urged a plea of res judicata and collateral estoppel based upon the findings and the judgment entered * * * in a suit between the same parties in the County Court at Law of El Paso County. The plea of res judicata was sustained and judgment was entered in favor of the defendant * * *.

It is shown by the record that * * * Popular Dry Goods Company brought suit against appellee Davis * * * seeking to recover for damages to its truck in the sum of \$443.97, alleged to have been sustained in the same collision here involved. Davis answered alleging contributory negligence on the part of Popular and joined appellant Juan C. Rios as a third party defendant and sought to recover from Rios \$248.50, the alleged amount of damages to his automobile. The jury * * * found that Popular Dry Goods Company and Rios were guilty of negligence proximately causing the collision. However, the jury also found that Davis was guilty of negligence proximately causing the collision, and judgment was entered * * * denying Popular Dry Goods any recovery against Davis and denying Davis any recovery against Rios.

Appellant Rios in his third point contends that the District Court erred in sustaining appellee’s plea of res judicata based upon the judgment of the County Court at Law because the findings on the issues regarding appellant’s negligence and liability * * * were immaterial because the judgment entered in that case was in favor of appellant. We sustain this point. * * * The sole basis for the judgment * * * as between Rios and Davis was the findings concerning the negligence of Davis. The finding that Rios was negligent was not essential or material to the judgment and the judgment was not based thereon. On the contrary, the finding * * * that Rios was negligent proximately causing the accident would, if it had been controlling, led [sic] to a different result. Since the judgment was in favor of Rios he had no right or opportunity to complain of or to appeal from the finding that he was guilty of such negligence even if such finding had been without any support whatever in the evidence. The right of appeal is from a judgment and not from a finding. * * * In the case of *Word v. Colley*, Tex.Civ.App., 173 S.W. 629, at page 634 of its opinion (Error Ref.), the court stated as follows:

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It is the judgment, and not the verdict or the conclusions of fact, filed by a trial court which constitutes the estoppel, and a finding of fact by a jury or a court which does not become the basis or one of the grounds of the judgment rendered is not conclusive against either party to the suit.

* * *

The judgment is, therefore, reversed, and the cause is remanded.

NOTES AND QUESTIONS

1. The verdict in the earlier action in *Rios* reflects the consistent practice, utilized in some states, of submitting a case to the jury on “special issues.” Does *Rios* offer a reason for special verdicts to be used more frequently?

2.In *Russell*, there was no issue preclusion because the jury gave a general verdict. In *Rios*, even though the jury gave a special verdict, certain issues were not given preclusive effect because the outcome did not depend upon those findings. However, multiple findings have been found preclusive when the jury could not have arrived at the same judgment without each of those findings. See, e.g., *Patterson v. Saunders*, 194 Va. 607, 74 S.E.2d 204 (1953).

3.The court in *Rios* held that the judgment in the earlier case did not estop Rios from denying his own negligence. Should the earlier judgment estop Davis from denying his own negligence?

4.Suppose Davis had not crossclaimed against Rios, but had impleaded the latter on a contingent claim for contribution; that Popular had then made a claim against Rios; that at trial Davis and Rios each had argued the other was solely negligent; and that the jury had found for Popular against both of them. In a subsequent suit by Rios against Davis, would the earlier finding that each had been negligent estop Rios from denying negligence?

Compare *Byrum v. Ames & Webb, Inc.*, 196 Va. 597, 85 S.E.2d 364 (1955) (no), with *Stangle v. Chicago, R. I. & P. R. Co.*, 295 F.2d 789 (7th Cir. 1961) (yes). In both of these cases, the parties in the later action had been named as codefendants by the plaintiff in the earlier action; should it make any difference if one of them had brought the other in by impleader? Should it make any difference if, in the earlier case, the jury had found one of them negligent, and the other not negligent?

Generally, a judgment does not act as collateral estoppel between coparties unless they are adversaries, and they are considered adversaries only if there is a claim for relief by one coparty against the other. The fact that their interests clash and that they are on opposite sides of every issue does not make them adversaries for this purpose in the absence of such a claim.

5.The court in *Rios* supported its view by noting that *Rios* could not appeal the finding of his negligence in the earlier action. See also Restatement (Second), Judgments § 28(1) (1982). Should the prevailing party in the earlier

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action be permitted in a later action to attack a finding that was necessary to the judgment in the earlier action? Such a situation will not be common.

6. *Rios* should be compared with *Home Owners Federal Savings & Loan Association v. Northwestern Fire & Marine Insurance Co.*, 354 Mass. 448, 238 N.E.2d 55 (1968), in which the majority opinion states, in what may well be dictum, that “certain findings not strictly essential to the final judgment in the prior action * * * may be relied upon if it is clear that the issues underlying them were treated as essential to the prior case by the court and the party to be bound.” Three of the seven justices dissented. What advantages does this test have over the *Rios* approach? What disadvantages?

7.How would you justify each of these statements?

(a)When a judgment is supported by multiple independent grounds, all of the grounds may be relitigated. See *Halpern v. Schwartz*, 426 F.2d 102, 106 (2d Cir. 1970).

(b)When a judgment is supported by multiple independent grounds, none of the grounds may be relitigated. See *In re Westgate-California Corp.*, 642 F.2d 1174 (9th Cir. 1981).

(c)When a judgment is supported by multiple independent grounds, the primary issue may not be relitigated, but secondary issues are not barred. See *National Satellite Sports, Inc. v. Eliadis, Inc.*, 253 F.3d 900 (6th Cir. 2001).

For a full discussion of each approach, see Brownell, *Note—Rethinking the Restatement View (Again!): Multiple Independent Holdings and the Doctrine of Issue Preclusion*, 37 Val.U.L.Rev. 879 (2003), in which the author recounts the following shift in the position of the Restatement with respect to the collateral estoppel effect of multiple alternative holdings:

The American Law Institute (“ALI”) completely reversed its position on the proper procedure for multiple independent holdings and collateral estoppel between the 1942 edition and the 1982 edition. According to the Restatement of Judgments section 68, comment *n*, when a judgment is based on alternative grounds, the “judgment is determinative on both grounds.” The Second Restatement, however, mandates that, when there are multiple independent holdings in the first decision, the judgment is not conclusive to either issue alone.

The Second Restatement compares a judgment on multiple independent grounds to that of a nonessential determination. One of the main reasons for this shift was that in 1977, when the Tentative Draft Number Four of the Second Restatement of Judgments was published, *Halpern v. Schwartz* [Note 7(a), above] was the most recent decision on the question of issue preclusion and multiple independent grounds for a decision. The rationale behind the Second Restatement’s position is that determinations in the alternative may not have been as carefully considered as a judgment based on one holding. The second justification deals with the issue of appeal. The

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losing party, who is entitled to take an appeal from both determinations, might be dissuaded from appealing because there is a likelihood that at least one of the determinations would be upheld, although the other determination would not even be analyzed by the appellate court. The Second Restatement emphasizes that, “in the interest of predictability and simplicity,” the result of nonpreclusion should be uniform.

Id. at 892–93 (citations omitted). Is it appropriate to analogize multiple independent holdings to nonessential holdings? Is it significant that the multiple holdings are appealable?

3.DEFINING AND CHARACTERIZING THE ISSUE

UNITED STATES v. MOSER, 266 U.S. 236, 45 S.Ct. 66, 69 L.Ed. 262 (1924). Moser was a captain when he retired from the Navy. In his first action, he won a ruling that service as a Naval Academy cadet during the Civil War constituted service during the war that entitled him to be retired with the rank and three-fourths of the sea pay of the next higher grade. Although the Court of Claims changed its mind about the interpretation of the pension statutes, he won his next two actions for later installments of his pay on grounds of preclusion. In his fourth action for still later installments, the Court of Claims ruled both that its initial interpretation of the statute had been correct and that in any event he was entitled to rely on preclusion. The Supreme Court affirmed solely on the *res judicata* ground:

* * * The question expressly and definitely presented in this suit is the same as that definitely and actually litigated and adjudged in favor of the claimant in the three preceding suits, viz. whether he occupied the status of an officer who had served during the Civil War.

The contention of the government seems to be that the doctrine of *res judicata* does not apply to questions of law; and, in a

sense, that is true. It does not apply to unmixed questions of law. Where, for example, a court in deciding a case has enunciated a rule of law, the parties in a subsequent action upon a different demand are not estopped from insisting that the law is otherwise, merely because the parties are the same in both cases. But a *fact, question* or *right* distinctly adjudged in the original action cannot be disputed in a subsequent action, even though the determination was reached upon an erroneous view or by an erroneous application of the law. That would be to affirm the principle in respect of the thing adjudged but, at the same time, deny it all efficacy by sustaining a challenge to the grounds upon which the judgment was based. * * *

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Id. at 241–42, 45 S.Ct. at 67, 69 L.Ed. at 264.

COMMISSIONER OF INTERNAL REVENUE V. SUNNEN

Supreme Court of the United States, 1948.

[333 U.S. 591, 68 S.Ct. 715, 92 L.Ed. 898.](#)

Certiorari to the United States Circuit Court of Appeals for the Eighth Circuit.

JUSTICE MURPHY delivered the opinion of the Court.

[Under a series of agreements, a taxpayer had licensed a corporation, which he controlled, to use his patents in exchange for payment of a 10 percent royalty. At various times, the taxpayer assigned his interest in these agreements to his wife without consideration. Income from these agreements was reported on her income tax returns, and these taxes were paid. The Commissioner contended that the income was taxable to the taxpayer himself and a deficiency was assessed against him.]

* * * [T]he Tax Court held that, with one exception, all the royalties paid to the wife from 1937 to 1941 were part of the taxable income of the taxpayer. * * * The one exception concerned the royalties of \$4,881.35 paid in 1937 under the 1928 agreement. In an earlier proceeding in 1935, the Board of Tax Appeals dealt with the taxpayer's income tax liability for the years 1929–1931; it concluded that he was not taxable on the royalties paid to his wife during those years under the 1928 license agreement. This prior determination by the Board caused the Tax Court to apply the principle of *res judicata* to bar a different result as to the royalties paid pursuant to the same agreement during 1937.

The Tax Court's decision was affirmed in part and reversed in part by the Eighth Circuit Court of Appeals. * * * Approval was given to the Tax Court's application of the *res judicata* doctrine to exclude from the taxpayer's income the \$4,881.35 in royalties paid in 1937 under the 1928 agreement. But to the extent that the taxpayer had been held taxable on royalties paid to his wife during the taxable years of 1937–1941, the decision was reversed on the theory that such payments were not income to him. * * *

If the doctrine of *res judicata* is properly applicable so that all the royalty payments made during 1937–1941 are governed by the prior decision of the Board of Tax Appeals, the case may be disposed of without reaching the merits of the controversy. * * *

* * * [The concepts of *res judicata* and collateral estoppel] are applicable in the federal income tax field. Income taxes are levied on an annual basis. Each year is the origin of a new liability and of a separate cause of action. Thus if a claim of liability or non-liability relating to a particular tax year is litigated, a judgment on the merits is *res judicata* as

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to any subsequent proceeding involving the same claim and the same tax year. But if the later proceeding is concerned with a similar or unlike claim relating to a different tax year, the prior judgment acts as a collateral estoppel only as to those matters in the second proceeding which were actually presented and determined in the first suit. Collateral estoppel operates, in other words, to relieve the government and the taxpayer of “redundant litigation of the identical question of the statute's application to the taxpayer's status.” *Tait v. Western Md. R. Co.*, 289 U.S. 620, 624[, 53 S.Ct. 706, 707, 77 L.Ed. 1405 (1933)].

But collateral estoppel is a doctrine capable of being applied so as to avoid an undue disparity in the impact of income tax liability. A taxpayer may secure a judicial determination of a particular tax matter, a matter which may recur without substantial variation for some years thereafter. But a subsequent modification of the significant facts or a change or development in the controlling legal principles may make that determination obsolete or erroneous, at least for future purposes. If such a determination is then perpetuated each succeeding year as to the taxpayer involved in the original litigation, he is accorded a tax treatment different from that given to other taxpayers of the same class. As a result, there are inequalities in the administration of the revenue laws, discriminatory distinctions in tax liability, and a fertile basis for litigious confusion. * * * Such consequences, however, are neither necessitated nor justified by the principle of collateral estoppel. That principle is designed to prevent repetitious lawsuits over matters which have once been decided and which have remained substantially static, factually and legally. It is not meant to create vested rights in decisions that have become obsolete or erroneous with time, thereby causing inequities among taxpayers.

And so where two cases involve income taxes in different taxable years, collateral estoppel must be used with its limitations carefully in mind so as to avoid injustice. It must be confined to situations where the matter raised in the second suit is identical in all respects with that decided in the first proceeding and where the controlling facts and applicable legal rules remain unchanged. * * * As demonstrated by *Blair v. Commissioner*, 300 U.S. 5, 9 [, 57 S.Ct. 330, 331, 81 L.Ed. 465 (1937)], a judicial declaration intervening between the two proceedings may so change the legal atmosphere as to render the rule of collateral estoppel inapplicable. But the

intervening decision need not necessarily be that of a state court, as it was in the Blair case. While such a state court decision may be considered as having changed the facts for federal tax litigation purposes, a modification or growth in legal principles as enunciated in intervening decisions of this Court may also effect a significant change in the situation. Tax inequality can result as readily from neglecting legal modulations by this Court as from disregarding factual changes wrought by state courts. In either event, the supervening decision cannot justly be ignored by blind

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reliance upon the rule of collateral estoppel. * * * It naturally follows that an interposed alteration in the pertinent statutory provisions or Treasury regulations can make the use of that rule unwarranted. * * *

Of course, where a question of fact essential to the judgment is actually litigated and determined in the first tax proceeding, the parties are bound by that determination in a subsequent proceeding even though the cause of action is different. * * * And if the very same facts and no others are involved in the second case, a case relating to a different tax year, the prior judgment will be conclusive as to the same legal issues which appear, assuming no intervening doctrinal change. But if the relevant facts in the two cases are separable, even though they be similar or identical, collateral estoppel does not govern the legal issues which recur in the second case. Thus the second proceeding may involve an instrument or transaction identical with, but in a form separable from, the one dealt with in the first proceeding. In that situation, a court is free in the second proceeding to make an independent examination of the legal matters at issue. It may then reach a different result or, if consistency in decision is considered just and desirable, reliance may be placed upon the ordinary rule of *stare decisis*. Before a party can invoke the collateral estoppel doctrine in these circumstances, the legal matter raised in the second proceeding must involve the same set of events or documents and the same bundle of legal principles that contributed to the rendering of the first judgment. * * *

It is readily apparent in this case that the royalty payments growing out of the license contracts which were not involved in the earlier action before the Board of Tax Appeals and which concerned different tax years are free from the effects of the collateral estoppel doctrine. That is true even though those contracts are identical in all important respects with the 1928 contract, the only one that was before the Board, and even though the issue as to those contracts is the same as that raised by the 1928 contract. * * *

A more difficult problem is posed as to the \$4,881.35 in royalties paid to the taxpayer's wife in 1937 under the 1928 contract. Here there is complete identity of facts, issues and parties as between the earlier Board proceeding and the instant one. The Commissioner claims, however, that legal principles developed in various intervening decisions of this Court have made plain the error of the Board's conclusion in the earlier proceeding, thus creating a situation like that involved in Blair v. Commissioner, supra. * * *

The principles which have * * * been recognized and developed by * * * [Helvering v. Clifford, 309 U.S. 331, 60 S.Ct. 554, 84 L.Ed. 788 (1940), and Helvering v. Horst, 311 U.S. 112, 61 S.Ct. 144, 85 L.Ed. 75, 131 A.L.R. 655 (1940)] are directly applicable to the transfer of patent license contracts between members of the same family. They are guideposts for those who

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seek to determine in a particular instance whether such an assignor retains sufficient control over the assigned contracts or over the receipt of income by the assignee to make it fair to impose income tax liability on him.

Moreover, the clarification and growth of these principles through the Clifford-Horst line of cases constitute, in our opinion, a sufficient change in the legal climate to render inapplicable in the instant proceeding, the doctrine of collateral estoppel relative to the assignment of the 1928 contract. True, these cases did not originate the concept that an assignor is taxable if he retains control over the assigned property or power to defeat the receipt of income by the assignee. But they gave much added emphasis and substance to that concept, making it more suited to meet the "attenuated subtleties" created by taxpayers. So substantial was the amplification of this concept as to justify a reconsideration of earlier Tax Court decisions reached without the benefit of the expanded notions, decisions which are now sought to be perpetuated regardless of their present correctness. Thus in the earlier litigation in 1935, the Board of Tax Appeals was unable to bring to bear on the assignment of the 1928 contract the full breadth of the ideas enunciated in the Clifford-Horst series of cases. And, as we shall see, a proper application of the principles as there developed might well have produced a different result, such as was reached by the Tax Court in this case in regard to the assignments of the other contracts. Under those circumstances collateral estoppel should not have been used by the Tax Court in the instant proceeding to perpetuate the 1935 viewpoint of the assignment.

* * *

The judgment below must therefore be reversed and the case remanded for such further proceedings as may be necessary in light of this opinion.

Reversed.

JUSTICE FRANKFURTER and JUSTICE JACKSON believe the judgment of the Tax Court is based on substantial evidence and is consistent with the law, and would affirm that judgment * * *.

NOTES AND QUESTIONS

1. How might you reconcile *Sunnen* and *Moser*? Both opinions, in a sense, seek to determine if the subsequent suit concerns facts that are separable from those of the first suit. What is the proper test for this separability? Is it whether historically distinct facts are at issue? Is it whether the

facts in the subsequent suit legally are indistinguishable from those of the earlier suit?

2. Is the outcome in the *Sunnen* case consistent with the underlying goals of res judicata? Does its holding undermine the sense of reliance that

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judgments should foster? After all, if *Sunnen* had lost the first litigation, he probably would not have renewed the contract assigning income to his wife.

3. Moser held that “unmixed questions of law” are not subject to issue preclusion. In UNITED STATES v. STAUFFER CHEMICAL CO., 464 U.S. 165, 172, 104 S.Ct. 575, 579, 78 L.Ed.2d 388, 394 (1984), the Court acknowledged that “the purpose underlying the exception for ‘unmixed questions of law’ in successive actions on unrelated claims is far from clear.” Rather than engaging in the virtually impossible task of delineating the boundary between an issue of fact, law, or mixed fact and law, the Court adopted the more pragmatic approach suggested in Restatement (Second), Judgments § 28, comment b (1982):

When the claims in two separate actions between the same parties are the same or are closely related * * * it is not ordinarily necessary to characterize an issue as one of fact or of law for purposes of issue preclusion. * * * In such a case, it is unfair to the winning party and an unnecessary burden on the courts to allow repeated litigation of the same issue in what is essentially the same controversy, even if the issue is regarded as one of “law.”

Why isn’t the doctrine of stare decisis an adequate protection against the undue burden of relitigation of issues of “law”? Further, is it appropriate, as a noted commentator has asked, for “the law to remain static as between two litigants in a prior case if it is subject to change in any other litigation”? Shapiro, Civil Procedure: Preclusion in Civil Actions 54 (2001).

4. As *Sunnen* and *Moser* illustrate, the careful “delineation” of questions of pure law, and their exemption from issue preclusion, have important public implications. Ought the government be able to relitigate a legal issue until the matter has been finally decided by the Supreme Court? Hazard, *Preclusion as to Issues of Law: The Legal System’s Interest*, 70 Iowa L.Rev. 81, 92 (1984). Relatedly, is it appropriate for an agency to refuse to follow circuit court rulings? Compare Estreicher & Revesz, *Nonacquiescence by Federal Administrative Agencies*, 98 Yale L.J. 679 (1989), with Diller & Morawetz, *Intracircuit Nonacquiescence and the Breakdown of the Rule of Law: A Response to Estreicher and Revesz*, 99 Yale L.J. 801 (1990).

5. When a court determines a mixed question of law and fact, how should subsequent changes in the relevant substantive law influence whether preclusive effect is given to the determination? The *Sunnen* opinion helps answer this question. When new historic facts are the basis of the second suit and there has been a change in legal regime since the prior suit was adjudicated, the first judgment will not preclude the second litigation. See, e.g., Spradling v. City of Tulsa, 198 F.3d 1219, 1223 (10th Cir. 2000); Bingaman v. Dep’t of the Treasury, 127 F.3d 1431, 1438 (Fed.Cir. 1997).

In some situations it is easy to determine when this exception is invoked properly. When a new statute or new regulation has been enacted, or when a controlling Supreme Court precedent has been altered, the exception’s

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application is indisputable. In other situations it is not so clear that a change in substantive law should prevent preclusion. Should preclusion be allowed if there is an inconsistent decision by the same court on similar facts? Should a “change in legal atmosphere” count as an intervening “change in controlling legal principles”? See Charter Fed. Savs. Bank v. United States, 54 Fed.Cl. 120, 127 (Fed.Cl. 2002); see also Minarik Electric Co. v. Electro Sales Co., Inc., 223 F.Supp.2d 334, 341 (D.Mass. 2002) (discussing “substantial change in the legal climate since the judgment in the previous case”).

6. The frequent changes in tax law arguably prevent any individual from developing much of a sense of repose in tax decisions, and there is a particularly urgent need to treat similarly situated taxpayers alike. These factors suggest that a narrow definition of “issue” may be appropriate in cases involving tax law. However, in tax, as in other areas, the policy considerations that underlie substantive law still must be balanced against the strong individual interests in repose and reliance that particular fact patterns may exhibit. See Webster, *The Limits of Collateral Estoppel in Tax Court Litigation*, 8 B.U.J.Tax Law 43 (1990).

7. In HERRERA v. WYOMING, 587 U.S. ___, 139 S.Ct. 1686, 203 L.Ed.2d 846 (2019), the Supreme Court concluded that a change in law justified an exception to issue preclusion. Herrera, a member of the Crow Tribe, was convicted in a Wyoming state court of taking elk off-season and without a Wyoming hunting license. He based his defense on an 1868 Treaty in which the Crow Indian Nation ceded lands to the United States in exchange for the right to hunt on unoccupied portions of those lands. Wyoming argued that the treaty had been terminated when the state was admitted to the Union. Wyoming invoked issue preclusion based on a prior judgment in Crow Tribe of Indians v. Repsis, 73 F.3d 982 (10th Cir. 1995), a case that had involved the same treaty and had been argued on behalf of the Crow Tribe. Repsis determined that the treaty rights did not survive statehood.

In a 5–4 decision, the Supreme Court held that Repsis did not preclude Herrera from asserting a defense under the treaty. Although Repsis involved the same treaty and the same tribe, it relied on the reasoning of an older Supreme Court case, Ward v. Race Horse, 163 U.S. 504, 16 S.Ct. 1076, 41 L.Ed.2d 244 (1896), which the Court had repudiated—after the Repsis decision—in Minnesota v. Mille Lacs Band of Chippewa Indians, 526 U.S. 172, 119 S.Ct. 1187, 143 L.Ed.2d 270 (1999). The majority explained that under the change-in-law exception to issue preclusion, Repsis was not a bar to litigating whether the treaty’s grant of hunting rights survived Wyoming’s statehood:

Because this Court’s intervening decision in *Mille Lacs* repudiated the reasoning on which the Tenth Circuit relied in *Repsis*, *Repsis* does not preclude Herrera from arguing that the 1868 Treaty right survived Wyoming’s statehood.

Under the doctrine of issue preclusion, “a prior judgment . . . foreclos[es] successive litigation of an issue of fact or law actually litigated and resolved in a valid court determination essential to the

prior judgment.” *New Hampshire v. Maine*, 532 U.S. 742, 748–749, 121 S.Ct. 1808, 149 L.Ed.2d 968 (2001). Even when the elements of issue preclusion are met, however, an exception may be warranted if there has been an intervening “ ‘change in [the] applicable legal context.’ ” *Bobby v. Bies*, 556 U.S. 825, 834, 129 S.Ct. 2145, 173 L.Ed.2d 1173 (2009) (quoting Restatement (Second) of Judgments § 28, Comment c (1980)) * * * ; *Commissioner v. Sunnen*, 333 U.S. 591, 599, 68 S.Ct. 715, 92 L.Ed. 898 (1948) * * *. The change-in-law exception recognizes that applying issue preclusion in changed circumstances may not “advance the equitable administration of the law.” *Bobby*, 556 U.S., at 836–837, 129 S.Ct. 2145, 173 L.Ed.2d 1173.

We conclude that a change in law justifies an exception to preclusion in this case. * * * When the Tenth Circuit reached its decision in *Repsis*, it had no authority to disregard this Court’s holding in *Race Horse* and no ability to predict the analysis this Court would adopt in *Mille Lacs*. *Mille Lacs* repudiated *Race Horse*’s reasoning. Although we recognize that it may be difficult at the margins to discern whether a particular legal shift warrants an exception to issue preclusion, this is not a marginal case. At a minimum, a repudiated decision does not retain preclusive force.

587 U.S. ___, 139 S.Ct. at 1697–98, 203 L.Ed.2d at 858–59.

In dissent, Justice Alito contended that *Repsis* also relied on another ground for decision—namely, that the lands in question were occupied and no longer subject to Crow hunting rights under the treaty—and that this ground was not disturbed by *Mille Lacs*. (In a footnote, the majority rejected the argument that the Wyoming state courts gave issue preclusive effect to that ground for decision.) As to the scope of the change-in-law exception to issue preclusion, the dissent stated:

* * * There is support in the Restatement (Second) of Judgments for the general proposition that a change in law may alter a judgment’s preclusive effect, § 28, Comment c, p. 276 (1980), and in a prior case, *Bobby v. Bies* * * *, we invoked that provision. But we have never actually held that a prior judgment lacked preclusive effect on this ground. Nor have we ever defined how much the relevant “legal context” must change in order for the exception to apply. If the exception is applied too aggressively, it could dangerously undermine the important interests served by issue preclusion. So caution is in order in relying on that exception here.

The majority thinks that the exception applies because *Mille Lacs* effectively overruled *Race Horse*, even though it did not say that in so many words. But that is a questionable interpretation. The fact of the matter is that the *Mille Lacs* majority held back from actually overruling *Race Horse*, even though the dissent claimed that it had effectively done so. * * * And while the opinion of the Court repudiated one of the two grounds that the *Race Horse* Court gave for

its decision * * *, it is by no means clear that *Mille Lacs* also rejected the second ground (the conclusion that the terms of the Act admitting Wyoming to the Union manifested a congressional intent not to burden the State with the right created by the 1868 Treaty). * * *

On this reading, it appears that *Mille Lacs* did not reject the second ground for the decision in *Race Horse* but simply found it inapplicable to the facts of the case at hand. I do not claim that this reading of *Mille Lacs* is indisputable, but it is certainly reasonable, and if it is correct, *Mille Lacs* did not change the legal context as much as the majority suggests. * * *

The majority cites no authority holding that a decision like *Mille Lacs* is sufficient to deprive a prior judgment of its issue-preclusive effect. * * *

587 U.S. ___, 139 S.Ct. at 1707–08, 203 L.Ed.2d at 870.

THE EVERGREENS DOCTRINE. In addition to limiting collateral estoppel to identical issues, courts sometimes have distinguished between “ultimate” and “mediate” facts when determining whether issues decided in one suit will be viewed as preclusive in a later one. The most influential explanation of this distinction is found in Judge Learned Hand’s opinion in *THE EVERGREENS v. NUNAN*, 141 F.2d 927 (2d Cir. 1944), cert. denied, 323 U.S. 720, 65 S.Ct. 49, 89 L.Ed. 579 (1944). The gist of the doctrine is simple: imagine a lawsuit as a logical structure resembling a pyramid. At its base are the facts introduced into evidence. From these facts are drawn conclusions that, when combined with other deductions or evidence, lead eventually to “ultimate facts” that establish a legal right, duty, or status. The ultimate facts are the summit of the structure; all that supports them are “mediate data.” *The Evergreens* held that only matters constituting ultimate facts in the second action are subject to preclusion by collateral estoppel.

The controversy in *The Evergreens* turned on the value for tax purposes of cemetery lots appropriated by the City of New York. The lots were of two kinds, improved and unimproved. An earlier proceeding had determined the value of the improved lots, and that determination was accepted in the later action without dispute. The earlier proceeding also had fixed the cost of upgrading the unimproved lots to “improved” status. The plaintiff maintained that these two findings taken together should determine the value of the unimproved lots: The uncontested value of the improved lots minus the cost of improving them should be taken as the value of the unimproved lots.

The Second Circuit rejected this argument, relying on the distinction between ultimate and mediate facts. Judge Hand first noted that

authorities differed concerning whether mediate facts or only ultimate facts in the first suit are decided conclusively by the judgment.

The question presented, however, was whether a determination, either mediate or ultimate in the first suit, could establish a mediate fact in the second suit. On this question, authority was silent; Judge Hand decided that collateral estoppel could not be used.

This determination was based on the notion that the consequences that would result if estoppel were to apply might be both unintended and unjust as a given fact can lead to unpredictable deductions. Restricting the use of collateral estoppel to ultimate issues in the second suit attempts to ensure that the consequences of issues decided by the first judgment are plainly visible when that judgment was entered. According to Judge Hand:

What jural relevance facts may acquire in the future it is often impossible even remotely to anticipate. Were the law to be recast, it would therefore be a pertinent inquiry whether the conclusiveness * * * might not properly be limited to future controversies which could be thought reasonably in prospect when the first suit was tried. That is, of course, not the law as it stands * * *.

Id. at 929.

NOTES AND QUESTIONS

1. Commentators have criticized the mediate and ultimate fact terminology as difficult to understand and even more difficult to apply. See Heckman, *Collateral Estoppel as the Answer to Multiple Litigation Problems in Federal Tax Law: Another View of Sunnen and The Evergreens*, 19 Case W.Res.L.Rev. 230 (1967); Polasky, *Collateral Estoppel—Effects of Prior Litigation*, 39 Iowa L.Rev. 217 (1954). The terminology reflects an earlier era of civil procedure—before the advent of the Federal Rules—when the concept of ultimate facts, which were necessary to state a cause of action, played a central role in framing a complaint under Code pleading regimes. See pp. 604–607, *supra*. Moreover, some courts have rejected the analysis set out in *The Evergreens* as inconsistent with the purposes of collateral estoppel. Consider the following:

[Criticism of *The Evergreens* rule] is based primarily upon the difficulty in administering a distinction between ultimate and mediate facts, and the lack of correspondence of such a distinction to any intelligible reasons for limiting preclusion. * * *

[E]ven though a fact may be regarded in theory as less than an ultimate fact, the parties may have expended great effort in proving whether or not that fact existed, and the fact may even have been regarded by everyone involved in the litigation as the key issue in a dispute. In these circumstances, * * * the rule is at odds with the

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purposes of the doctrine of issue preclusion: the conservation of judicial resources and the fostering of reliance on prior judicial action by minimizing the possibility of inconsistent decisions and by protecting a prevailing party from vexatious litigation. * * *

On this basis, many courts * * * have ignored the *Evergreens* rule, and they have measured the scope of preclusion, not by a distinction between ultimate and mediate facts, but rather by focusing more directly on the quality and extensiveness of litigation in the first action. For that reason too, the *Restatement (Second) of Judgments* § 27 comment j has rejected the distinction between ultimate and evidentiary facts, instead according preclusive effect to determinations that are essential or necessary to the judgment.

* * *

Accordingly, we hold, following the Restatement, that preclusive effect may be accorded to a decision on an issue if that issue was “actually recognized by the parties as important and by the trier of fact as necessary to the first judgment.” *Restatement (Second) of Judgments* § 27 comment j.

SYNANON CHURCH v. UNITED STATES, 820 F.2d 421, 426–27 (D.C.Cir. 1987).

2.A second part of Judge Hand’s analysis in *The Evergreens* appears to look to the role that the issue will play in the second litigation. The following excerpt may help cast some light on the purposes that underlie *The Evergreens* rule:

The valid core of the *Evergreens* rule might be preserved by expanding the requirement that the first action afford a full and fair opportunity to litigate the common issue. Substantial changes in the legal context or the consequences of the issue, particularly, could support the conclusion that the initial opportunity was not sufficient to support preclusion. It would be more difficult to consider the need to retry related issues on substantially the same evidence through the full and fair opportunity test. Reliance on the full and fair opportunity test would also work against relitigation because of a common reluctance to challenge directly the adequacy of a prior action. Wise administration of the full and fair opportunity test can go far; it may not go far enough.

In the end, the question can be simply put. There are strong reasons to adopt a general rule that issue preclusion is defeated by substantial changes in the legal context in which the issue arises, by substantial changes in the consequences it may entail, or by the need to retry related issues. A general rule framed in these terms would force attention to the real sources of concern. It seems likely that such a general rule would not defeat issue preclusion in any substantial portion of the cases that satisfy all of the other requirements. Even

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when the result is to deny preclusion, there may be little injury to the values generally served by preclusion. Nonetheless, the price might prove too high. Federal courts have not yet spun any such rule out of the *Evergreens* decision, and any proof of its value must await the effort and the experience.

18 Wright, Miller & Cooper, *Federal Practice and Procedure* § 4424 (3d ed.).

3.In *SECURITIES EXCHANGE COMMISSION v. MONARCH FUNDING CORP.*, 192 F.3d 295 (2d Cir. 1999), the Second Circuit held, as a matter of first impression, that there was no per se bar to according issue preclusive effect to findings made in a criminal sentencing proceeding in a subsequent civil case, but that it should be “presumed improper” and “applied only in those circumstances where it is clearly fair and efficient to do so”:

* * * [R]egardless of how carefully considered an issue may have been during the process leading up to decision, and regardless of what may be inferred from that decision, estoppel does not apply to a finding that was not legally necessary to the final sentence. *See* 18 Charles Alan Wright, Arthur R. Miller & Edward H. Cooper, *Federal Practice and Procedure* § 4421, at 196 (1981).

* * *

* * * [I]n this case, it was not legally necessary for Judge Lechner to find that [defendant] committed securities fraud to impose the [sentencing] enhancement. Thus, while Judge Lechner’s findings that [defendant] induced perjury, attempted to conceal assets and shredded documents were necessary to the [sentencing] enhancement, the finding that these nefarious activities were part of a securities fraud was not.

* * *

In addition, we conclude that precluding relitigation in this case failed to promote the primary rationale for collateral estoppel, namely: judicial economy. The sentencing proceedings in the criminal action were exhaustive. As noted, there was a high degree of cooperation between the SEC and the New Jersey United States Attorney’s Office in the criminal action. Given that cooperation, we cannot say that the criminal action was not complicated by efforts to have express findings made on tangential issues at sentencing in order to give the SEC a chance to invoke collateral estoppel in the subsequent civil action. More importantly, however, collateral estoppel did not do much to simplify the civil action. Even discounting the added complexities associated with the novelty of the issue, the district court’s “close scrutiny” and “searching examination” in this case required considerable effort—in all probability more effort than would have been required for a summary adjudication under Federal Rule * * * 56(c), or even for a trial. * * *

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We raise this point to make clear that in determining whether to apply collateral estoppel to sentencing findings in the future, district courts should start by making a threshold assessment of whether it will be efficient to do so. Given the potential unfairness associated with extending collateral estoppel to sentencing findings generally, if the court reasonably determines that the doctrine will not promote efficiency, it should feel free to deny preclusion for that reason alone.

Id. at 307–11. But see *U.S. ex rel. Lamberts v. Stokes*, 640 F.Supp.2d 927 (W.D.Mich. 2009) (presumption overcome when sentencing hearing litigated and the court decided the precise issues raised in the later case; the findings were necessary to and embodied in the judgment, and defendant had a full and fair opportunity to litigate the issue, presenting expert testimony on the issue).

D. THE REQUIRED QUALITY OF JUDGMENT

Only judgments of a certain quality will give rise to preclusion. The traditional words used to describe that quality was that the judgment must be valid, final, and on the merits. Keep in mind that courts enter judgments that are regarded as “on the merits” although reached without a full adjudicatory proceeding. In addition, courts increasingly are faced with the prior determinations of state or federal administrative agencies that act in a quasi-judicial capacity. This Section highlights some of the difficult questions the “quality of judgment” requirement raises.

1.JUDGMENTS OF JUDICIAL TRIBUNALS

HANOVER LOGANSPORT, INC. v. ROBERT C. ANDERSON, INC.

Court of Appeals of Indiana, Third District, 1987.

[512 N.E.2d 465](#).

STATON, JUDGE.

[Hanover Logansport, Inc. (“Hanover”) and Robert C. Anderson, Inc. (“Anderson”) entered into an agreement pursuant to which Hanover agreed to lease certain property to Anderson for use as a liquor store. Hanover failed to deliver the premises on the agreed upon date, and Anderson filed suit for breach of the lease. Before trial, Hanover offered to deliver the real estate to Anderson, and Anderson accepted with the following reservation: “[T]he offer is only accepted for purposes of mitigation of damages and not in settlement of damages arising to Plaintiff caused by Defendants’ breach of contract.”

The parties filed a stipulation that “the judgment as stipulated to by the Defendants herein should be recorded of record in the judgment record book of the County of St. Joseph.” Anderson took possession of the premises, and, after several months, Hanover moved to dismiss the earlier

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breach action. The trial court denied the motion, and Hanover appealed, arguing that the prior consent judgment precluded any further litigation based on the same cause of action.]

* * *

Hanover makes the following argument:

1. The complaint seeks specific performance of the lease or *in the alternative* money damages for loss of profits *over the term of the lease*.
2. Hanover made an offer of real estate pursuant to [Indiana Trial Rule 68] consistent with one of the alternatives—specific performance—in the complaint.^d
3. Anderson accepted the offer.
4. Under T.R. 68, the clerk is required to enter judgment.
5. Anderson took possession of the real estate.
6. By accepting the offer of real estate and taking possession of the premises, Anderson chose its remedy and is now barred by law from continuing the litigation.

Anderson argues that (1) an offer of judgment under T.R. 68 may be in part or in whole; and (2) both Hanover and the trial court were on notice that the offer of judgment did not address and dispose of the whole of its claim. Anderson points to the portion of its acceptance which states: “ * * * Further, the offer is only accepted for purposes of mitigation of damages and not in settlement of damages arising to Plaintiff caused by Defendants’ breach of contract.” In its brief, Anderson states: “The acceptance of said offer specifically states that the lease between the parties would be as contracted, subject to the conditions in the lease, but that the Plaintiff did not waive damages for breach of contract which arose due to the failure of Defendant to honor its contract *between the date the offer was signed and the date the Court entered an Order approving the settlment [sic] [in original] as to possession.*” (Emphasis added.) * * *

Thus, we address the following issue: Whether, by law, a plaintiff, who accepts an offer of judgment which conforms to one of the alternative prayers for relief contained in his complaint, may then seek additional damages arising from the same cause of action.

* * *

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A consent judgment has a dual aspect. It represents an agreement between the parties settling the underlying dispute and providing for the entry of judgment in a pending or contemplated action. See James, *Consent Judgments as Collateral Estoppel*, 108 U.Pa.L.Rev. 173, 175 (1959). It also represents the entry of such a judgment by a court—with all that this means in the way of committing the force of society to implement the judgment of its courts. Id.

As a result of this dual aspect, some courts and commentators focus on the contractual aspect of a consent judgment, thus determining whatever its preclusive effect may be by ascertaining the intent of the parties—in the same way courts construe other agreements. * * *

Yet, other courts and commentators focus on the entry of a consent judgment by a court and argue that such a judgment possesses the same force with regard to *res judicata* and collateral estoppel as a judgment entered after a trial on the merits. * * *

Proponents of the consent-judgment-as-contract theory argue that if consent judgments are given preclusive effect regardless of the intent of the parties, such a rule would lessen the chance of compromise between them. This, they argue, is true for two reasons. First, in many cases, the application of such a rule (at least in regard to the collateral estoppel aspect of the rule) would be unforeseeable—it would reach into all possible future disputes among the parties, no matter how hard it may be to predict them at the outset of the first litigation. Second, if all issues and claims must be negotiated and dealt with in a consent judgment or foregone forever, parties will be reluctant to enter into such an agreement for fear that they will “miss” something.

But, proponents of the consent-judgment-as-final judgment theory counter that the preclusive effect of a consent judgment serves several objectives. Among them, economy is achieved in the use of judicial resources, the harassment of parties avoided, and the possibility of inconsistent results is eliminated. * * *

We note that T.R. 68 is intended to encourage settlements, discourage vexatious suits, and avoid protracted litigation. See 12 Wright & Miller, *Federal Practice and Procedure*, § 3001. Therefore, the result we reach should serve those purposes.

Because we agree that if all issues and claims must be negotiated and dealt with in a consent judgment or foregone forever, parties will be reluctant to enter into such agreements, we adopt the consent-judgment-as-contract theory and hold that the preclusive effect of a consent judgment must be measured by the intent of the parties. However, it must be clear that *both* parties have agreed to reserve an issue or claim. *And*, it must be precisely stated what issues or claims are being reserved.

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* * *

[I]n order to insure that both parties have agreed to reserve a claim or issue⁹ and that the reserved claim or issue is clearly apparent to both parties, we hold that (1) the reservation must be incorporated into the offer of judgment itself and (2) it must be an inherent part of the original complaint. Thus, for example, before a party may reserve an additional cause of action in a consent judgment, that cause

of action must have been originally set out on the face of the complaint. Because Anderson did not include a claim for damages for delay in tendering the real estate in its Complaint, it is precluded from reserving such a claim in the consent judgment.¹⁰ * * *

[T]his rule will avoid protracted litigation, since it requires plaintiffs to reserve a claim or issue both in the complaint and in the consent judgment. If we were to require such a reservation only in the consent judgment (as Anderson asks us to do here), the potential for protracted litigation would be too great. For example, in a situation where A and B have entered a consent judgment and B thinks the controversy has ended, such a rule would allow A: (1) to argue that it had no intention of ending the controversy and (2) to proceed on the alleged balance of its claim. This could potentially allow the litigation to continue on and on through the years.

But, under the rule we have set forth here, A would not be allowed to make such a claim unless it was shown that a reservation was made in A’s complaint and in the consent judgment. In this way, courts can be assured it was also B’s intention to continue the litigation.

Therefore, we reverse and remand to the trial court, with instructions to enter a judgment on the offer of judgment and to grant Hanover’s motion to dismiss.

Reversed and remanded.

NOTES AND QUESTIONS

1. Should the agreement between Hanover and Anderson be considered a court judgment, or is it more properly characterized as a contract? If it is

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merely a contract, should the intent of the parties as to its preclusive effect be dispositive? Did the parties require the approval of the court in the form of a judgment to make a new contract? Do you agree that a rule that did not make the intent of the parties dispositive would have the effect of discouraging consent judgments? See Easterbrook, *Justice and Contract in Consent Judgments*, 1987 U.Chi.Legal F. 19.

2. Even if a consent decree has claim preclusive effect, should it also have issue preclusive effect? Doesn’t collateral estoppel doctrine require that an issue be “actually litigated”? In *ARIZONA v. CALIFORNIA*, 530 U.S. 392, 120 S.Ct. 2304, 147 L.Ed.2d 374 (2000), the Supreme Court explained:

* * * [S]ettlements ordinarily occasion no *issue preclusion* (sometimes called collateral estoppel), unless it is clear * * * that the parties intend their agreement to have such an effect. * * * “In most circumstances, it is recognized that consent agreements ordinarily are intended to preclude any further litigation on the claim presented but are not intended to preclude further litigation on any of the issues presented. Thus consent judgments ordinarily support claim preclusion but not issue preclusion.” * * * This differentiation is grounded in basic res judicata doctrine. It is the general rule that issue preclusion attaches only “[w]hen an issue of fact or law is actually litigated and determined by a valid and final judgment, and the determination is essential to the judgment.” Restatement (Second) of Judgments, § 27 * * * (1982). “In the case of a judgment entered by confession, consent, or default, none of the issues is actually litigated. * * *.”

Id. at 414, 120 S.Ct. at 2319, 147 L.Ed.2d at 395–96 (internal citation omitted).

3. Should a final judgment be stripped of its preclusive effect if both parties consent to that result on appeal? A stipulated reversal allows parties seeking to facilitate settlement during the pendency of an appeal to join in asking the appellate court to set aside a trial court judgment, rather than dismissing the appeal, thereby avoiding the preclusive effect of a final judgment. In *U.S. BANCORP MORTGAGE CO. v. BONNER MALL PARTNERSHIP*, 513 U.S. 18, 115 S.Ct. 386, 130 L.Ed.2d 233 (1994), the Supreme Court unanimously denied petitioner’s motion to vacate a judgment of a court of appeals in a case that had become moot by reason of settlement after certiorari was sought, but the Court recognized that vacatur could be granted in “extraordinary circumstances.” Id. at 29, 115 S.Ct. at 393, 130 L.Ed.2d at 244. What circumstances might count as “extraordinary”?

Two years earlier, in *NEARY v. REGENTS OF THE UNIVERSITY OF CALIFORNIA*, 3 Cal.4th 273, 10 Cal.Rptr.2d 859, 834 P.2d 119 (1992), the California Supreme Court held that stipulated reversals are consistent with the policy in favor of peaceful settlements and should be granted *absent* a showing of extraordinary circumstances warranting an exception to this general rule. What did the California court mean by “extraordinary circumstances”? The California legislature during its 1999–2000 session

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modified California Code of Civil Procedure § 128(a)(8) to provide that an appellate court shall not permit a stipulated reversal absent a finding of two specified conditions:

- (a) There is no reasonable possibility that the interests of nonparties or the public will be adversely affected by the reversal.
- (b) The reasons of the parties for requesting reversal outweigh the erosion of public trust that may result from the nullification of a judgment and the risk that the availability of stipulated reversal will reduce the incentive for pretrial settlement.

See *City of Palmdale v. State Bd. of Equalization*, 206 Cal.App.4th 329, 141 Cal.Rptr.3d 719 (2012) (motion to vacate judgment that exposed an agency’s deficiencies denied because it would adversely affect the public interest). For a discussion of issues raised by *Bancorp* and *Neary*, see Resnik, *Whose Judgment? Vacating Judgments, Preferences for Settlement, and the Role of Adjudication at the Close of the Twentieth Century*, 41 UCLA L.Rev. 1471 (1994).

4. Suppose that rather than settling the dispute in *Hanover*, the parties merely stipulated most of the material facts concerning the lease agreement.

The case went to trial, further factual findings were made, and a decision was rendered for Hanover against Anderson. Should the admissions in those stipulations be available in a subsequent suit between the parties? What if the suit is between another plaintiff and Hanover, and the complaint is based upon the same alleged breach of the lease? What light does the last sentence of Rule 36(b) shed on this problem? Do stipulated facts constitute an “adjudication on the merits”?

HOUSING AUTHORITY FOR LA SALLE COUNTY v. YOUNG MEN’S CHRISTIAN ASSOCIATION OF OTTAWA, 101 Ill.2d 246, 78 Ill.Dec. 125, 461 N.E.2d 959 (1984). In 1932, the federal government sought to condemn easements over certain property for the purpose of constructing a system of locks and dams on the Illinois River. Seventy parties were summoned to court to adjudicate the title to the property so the government would know who was entitled to compensation as a result of the condemnation. With respect to a certain parcel of land, the government’s petition pointed to a conflict over the title between Ella E. Deenis and The First Trust Company of Ottawa, Illinois (“First Trust”). Deenis failed to appear after being served properly with summons, resulting in a default judgment in favor of First Trust. The judgment determined that First Trust owned the property in question, and First Trust was awarded \$650 as compensation for the easements.

The second suit arose over 50 years later between the parties’ successors in interest to the property. The Housing Authority for La Salle

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County, Deenis’ successor in interest, sought an injunction prohibiting the Young Men’s Christian Association of Ottawa (“YMCA”), First Trust’s successor in interest, from constructing a parking lot on the real estate. The YMCA asserted the earlier judgment in the condemnation action as collateral estoppel with respect to the title to the property. The court decided that the case was governed by the principles of *res judicata* rather than collateral estoppel, but nonetheless held that the earlier judgment was conclusive as to the parties’ rights:

* * * When Deenis defaulted and the court entered a judgment finding First Trust to be the fee owner of the property, the title dispute was resolved and the doctrine of *res judicata* applied to bar any relitigation of that claim.

Although the judgment against Deenis was by default, it is entitled to the same preclusive effect under the doctrine of *res judicata* as any other judgment. Some courts have held that default judgments have limited preclusive effects under the doctrine of collateral estoppel. * * * However, default judgments are always *res judicata* on the ultimate claim or demand presented in the complaint.

* * *

The housing authority argues that Deenis lacked sufficient incentive to litigate the issue of title in the condemnation proceeding and, therefore, it is inequitable to accord the judgment in that proceeding preclusive effect as having determined the ownership of the disputed parcel. This argument is unpersuasive. Under special circumstances, the absence of an incentive to litigate might be relevant in the application of collateral estoppel (Restatement (Second) of Judgments sec. 28(5)(c) (1982)), but no authority suggests that it is relevant when the doctrine to be applied is *res judicata*.

Id. at 253, 78 Ill.Dec. at 129, 461 N.E.2d at 963.

NOTES AND QUESTIONS

1. Suppose a small Massachusetts computer company contracts with a large California microchip supplier. The computer company refuses to pay for a shipment, alleging that a large percentage of the chips are defective. The supplier files suit in California to recover \$2,000, the balance due on the contract. The computer company chooses not to defend the action because the liability isn’t large enough to justify the cost of litigation, and a default judgment is entered against it. Subsequently, the computer company is sued for \$1,000,000 by a customer whose computer exploded due to a defective chip. The computer company impleads the supplier, seeking indemnification. But the supplier argues that the judgment in the California suit determined that

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it had delivered chips produced to specifications. Should the default judgment be given preclusive effect in these circumstances? Is the supplier seeking claim or issue preclusion? Should the absence of incentive to litigate be treated differently when issue preclusion, rather than claim preclusion, is sought?

2. How should the dismissal of a prior action on the ground that it was barred by a statute of limitations be treated in a subsequent suit on the same matter? Suppose a discharged employee brings a sex discrimination suit against her employer, but the case is dismissed because it was filed after the limitations period had expired. The employee then files a second suit based on breach of contract, a cause of action that would not be barred by the statute of limitations. Is the second action precluded?

3. How should a prior criminal proceeding affect subsequent civil litigation? Suppose that upon trial in federal court a criminal defendant, who asserted the defense of entrapment, was acquitted of charges of knowingly engaging in the business of dealing in firearms without a license, and that the government then instituted an in rem action for forfeiture of the firearms involved, pursuant to a federal statute that authorizes forfeiture of firearms

used or intended to be used in violation of federal law. Can defendant argue that the in rem proceeding is precluded by the prior acquittal? Is it significant that an acquittal may have reflected only the existence of a reasonable doubt about defendant’s guilt as the jury did not find that it was more probable than not that defendant did not have possession of the firearms with an intent to violate federal law? See *United States v. One Assortment of 89 Firearms*, 465 U.S. 354, 104 S.Ct. 1099, 79 L.Ed.2d 361 (1984); see also *Allred v. Chynoweth*, 990 F.2d 527 (10th Cir. 1993).

2.JUDGMENTS OF NONJUDICIAL TRIBUNALS

HOLMBERG V. STATE, DIVISION OF RISK MANAGEMENT
Supreme Court of Alaska, 1990.
[796 P.2d 823.](#)

MOORE, JUSTICE.

Karen Holmberg asks us to reverse the Alaska Workers’ Compensation Board (“AWCB”) decision denying her permanent total disability benefits on the ground that a later decision of the Public Employees Retirement Board (“PERB”) conclusively determined that she was not physically able to perform her duties as an employee of the State of Alaska. * * *

I.

Karen Holmberg began working for the State of Alaska, Division of Risk Management (“Risk Management”) in 1979. She has a history of back injuries dating to the early 1960s. * * *

* * * On February 18, 1988, AWCB awarded Holmberg temporary total disability benefits, but denied her claim for permanent total disability

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benefits. Holmberg appealed AWCB’s denial of permanent total disability benefits to the superior court in March 1988.

Holmberg also sought disability benefits from [the Public Employees Retirement System (“PERS”)]. The Division of Retirement and Benefits (“Retirement and Benefits”), which administers PERS, awarded her non-occupational disability benefits. However, the Disability Review Board denied her claim for occupational disability benefits. Holmberg appealed this initial decision to PERB. On April 20, 1988, after AWCB had denied her claim for permanent total disability benefits, PERB found that Holmberg was permanently and totally disabled as a result of accidents at work, and accordingly, awarded her occupational disability benefits.

Holmberg supplemented the record in her appeal from the prior AWCB decision with the new PERB decision. In the proceedings before the superior court, Holmberg argued that the AWCB decision should be reversed because of the preclusive effect of the later PERB decision. The superior court affirmed the AWCB decision and Holmberg appealed.

II.

Holmberg’s primary contention is that PERB’s factual determination that she was physically unable to perform her duties at Risk Management should be given binding effect in this appeal of the AWCB decision against her.² * * *

Although res judicata principles were developed in judicial settings, they “may be applied to adjudicative determinations made by administrative agencies.” *Jeffries v. Glacier State Tel. Co.*, 604 P.2d 4, 8 (Alaska 1979) * * *. Of course, “[a]n administrative decision commands preclusive effects only if it resulted from a procedure that seems an adequate substitute for judicial procedure.” * * * [18 *Wright, Miller and Cooper, Federal Practice and Procedure: Jurisdiction and Related Matters* § 4475 (2d ed.)].

Recently, we held that AWCB decisions may have preclusive effect. * * * We see no reason why PERB decisions should not also be given preclusive effect. First, like AWCB proceedings, PERB hearings include many of the procedural safeguards of a judicial hearing including the right to introduce evidence, call witnesses, and cross-examine opposing witnesses. * * * Second there is no indication in the PERS enabling statute

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* * * that a PERB determination should not preclude an independent judicial determination.

The state does not contend that PERB decisions should not be given preclusive effect. Rather, the state argues that preclusive effect should not be given to PERB determinations in AWCB proceedings. We have not addressed the question how res judicata principles apply between different agencies. The Supreme Court has held that litigation conducted before one agency or official is generally binding on another agency or official of the same government because officers of the same government are in privity with each other. *Sunshine Anthracite Coal Co. v. Adkins*, 310 U.S. 381, 402–03, 60 S.Ct. 907, 916–17, 84 L.Ed. 1263 (1940). The Court stated that “[t]he crucial point is whether or not in the earlier litigation the representative of the United States had authority to represent its interests in a final adjudication of the issue in controversy.” 310 U.S. at 403, 60 S.Ct. at 917. * * *

The United States Court of Appeals has applied this authority principle in appropriate cases. In *Safir v. Gibson*, 432 F.2d 137 (2d Cir.), *cert. denied*, 400 U.S. 850, 91 S.Ct. 57, 27 L.Ed.2d 88 (1970), the court relied on the authority principle in holding that the Federal Maritime Commission’s determination that the rates of a conference of common carriers were unfair and unjustly discriminatory precluded the independent Maritime Administration from relitigating the issue. * * * In *Porter & Dietsch, Inc. v. FTC*, 605 F.2d 294 (7th

Cir. 1979), *cert. denied*, 445 U.S. 950, 100 S.Ct. 1597, 63 L.Ed.2d 784 (1980), the court refused to give preclusive effect to a Postal Service factual determination concerning the safety of a diet pill in a Federal Trade Commission proceeding. The court found that there was “a clear and convincing need for a new determination of the issue . . . because of the potential impact of the determination on the public interest or the interests of persons not themselves parties to the initial action.” 605 F.2d at 300.

The court’s holding in *Porter & Dietsch* illustrates the principle that preclusion may be defeated by finding such an important difference in the functions of different agencies that one does not have authority to represent the interests of the other. * * *

In this case, it does not appear that PERB has any more expertise than AWCB in making factual determinations of a person’s physical ability to work at a particular job. Therefore, there is no affirmative reason why the PERB decision should be given preclusive effect as * * * [the agency’s] decision was in *Safir*. The state makes several arguments why granting PERB determinations preclusive effect in AWCB proceedings would be inconsistent with the Alaska Workers Compensation Act * * * [but this argument] stems from the false premise that Holmberg seeks to preclude AWCB’s ultimate disability determination instead of its factual

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determination that Holmberg was physically able to perform her job duties.³

The state argues that the different functions of the workers compensation system and PERS prevent the application of collateral estoppel. * * * [The court noted that the disability standards for PERB and AWCB decisions differ, but went on to state that these differences] * * * provide no substantial reason why AWCB should be allowed to relitigate the narrow factual question whether Holmberg is physically able to continue performing her job with Risk Management. Although the value of collateral estoppel may be low in light of the [different] * * * disability inquiry under AWCA, that is not a substantial reason to allow relitigation.* * *

III.

[The court then determined whether the two agencies are in privity with each other as to allow issue preclusion against a nonparty to a judgment.]

* * *

A.

* * * Privity exists between different agencies of the same government unless “there are important differences in the authority of the respective agencies.” *Briggs v. State*, 732 P.2d 1078, 1082 (Alaska 1987). This is the same test that determines whether the decision of one agency binds another agency. In the privity context, however, the question is not whether the forum agencies are in privity, but whether the agencies appearing before them are. * * *

* * * Holmberg * * * argues that Retirement and Benefits is in privity with Risk Management because “the interests of the two agencies are virtually identical for purposes of [her] claims, and Retirement and Benefits had every incentive to vigorously defend the PERS claim.”

Holmberg’s error is in identifying Retirement and Benefits as the party against which PERB entered judgment. Retirement and Benefits is charged with administrative responsibility for PERS. The significance of this is that when Retirement and Benefits appears before PERB, it represents the interests of PERS, not the interests of the state. Thus, while Retirement and Benefits contested Holmberg’s claim before PERB, the state is correct in saying that the party against which PERB entered judgment is the system itself.

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* * *

* * * PERS is not a state agency but an independent retirement plan in which public employees are members and in which their employers participate. * * * While a state agency administers PERS and represents it during appeals, the state as employer is just one participant. The state treasury is affected by a benefit determination only insofar as the state is an employer participant. * * *

* * * The question is not whether PERS is bound by an AWCB decision against one of its members, but whether one of its members is bound by a decision against PERS. The questions are not symmetrical. The PERS constituency is not represented at all in a workers’ compensation proceeding. The employer-participant, however, is at least nominally represented in the PERS proceeding to the extent that it has an interest in the PERS fund. At the same time, this nominal representation is not sufficient to assure that the participant has had adequate notice and opportunity to be heard and that its rights and interests have been protected. We therefore hold that the state as a participant in PERS is not in privity with PERS.

B.

Our holding that the state is not in privity with PERS is sufficient to deny affording any preclusive effect to the PERB decision as against the state. However, even if the state and PERS were in privity, the PERB decision would not preclude any issues raised in the earlier AWCB proceeding because the PERB decision was not the first final judgment addressing those issues. Holmberg observes that “[t]his case presents the collateral estoppel issue in a somewhat unusual procedural context.” AWCB reached its decision first. While that decision was on appeal, PERB entered a contrary decision which was not appealed. Holmberg argues that the PERB decision was the first final judgment for the *res judicata* purposes and therefore precludes AWCB’s contrary decision because the AWCB decision was appealed.

We disagree. A final judgment retains all of its res judicata effects pending resolution of an appeal of the judgment. * * * This rule respects the principle of repose inherent in the doctrine of res judicata. If a judgment was denied its res judicata effects merely because an appeal was pending, a litigant could refile an identical case in another trial court creating duplicative litigation. This case well illustrates the point. Having lost on the issue whether she was physically able to perform her job duties in the AWCB proceeding, Holmberg appealed the decision and then successfully relitigated the issue before PERB. Retirement and Benefits did not argue that PERB was precluded from relitigating the issue that AWCB already had decided. Now Holmberg asks us to reverse the earlier AWCB determination simply because of the later PERB determination. * * * To

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reward relitigation of an issue by reversing the original determination is completely at odds with the purpose of collateral estoppel to prevent relitigation of issues that already have been decided.

* * *

In this case, the AWCB decision was the first final judgment even though it was appealed. The later PERB determination that Holmberg was not physically able to perform her duties at Risk Management cannot preclude AWCB’s earlier contrary determination. Indeed, if the other requirements of collateral estoppel were satisfied, Retirement and Benefits could have precluded Holmberg from relitigating the issue already decided by AWCB.

* * *

The decision of the superior court is AFFIRMED.

NOTES AND QUESTIONS

1. The Supreme Court opened the door of the federal courts to administrative preclusion in UNITED STATES v. UTAH CONSTRUCTION & MINING CO., 384 U.S. 394, 86 S.Ct. 1545, 16 L.Ed.2d 642 (1966): “When an administrative agency is acting in a judicial capacity and resolves disputed issues of fact properly before it which the parties have had an adequate opportunity to litigate, the courts have not hesitated to apply res judicata * * *.” Id. at 422, 86 S.Ct. at 1560, 16 L.Ed.2d at 661. *Holmberg* likewise examined whether the adjudication was sufficiently judicial to warrant issue preclusion. What factors might be appropriate to make that determination? Restatement (Second), Judgments § 83(2) (1982) suggests the following:

- (2)An adjudicative determination by an administrative tribunal is conclusive under the rules of res judicata only insofar as the proceeding resulting in the determination entailed the essential elements of adjudication, including:
- (a)Adequate notice to persons who are to be bound by the adjudication * * *;
 - (b)The right on behalf of a party to present evidence and legal argument in support of the party’s contentions and fair opportunity to rebut evidence and argument by opposing parties;
 - (c)A formulation of issues of law and fact in terms of the application of rules with respect to specified parties concerning a specific transaction, situation, or status, or a specific series thereof;
 - (d)A rule of finality, specifying a point in the proceeding when presentations are terminated and a final decision is rendered; and

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- (e)Such other procedural elements as may be necessary to constitute the proceeding a sufficient means of conclusively determining the matter in question, having regard for the magnitude and complexity of the matter in question, the urgency with which the matter must be resolved, and the opportunity of the parties to obtain evidence and formulate legal contentions * * *.
- 2.In *PORTER & DIETSCH, INC. v. FTC*, 605 F.2d 294 (7th Cir. 1979), cert. denied, 445 U.S. 950, 100 S.Ct. 1597, 63 L.Ed.2d 84 (1980), relied upon in *Holmberg*, the court refused to grant preclusive effect (in a Federal Trade Commission proceeding concerning the safety of a diet pill) to a factual determination made by the Postal Service in prior administrative proceedings. The court explained:

[T]he Commission was not required to give the Postal Service decisions preclusive effect. Relitigation of an issue is not precluded even between the original parties when “(t)here is a clear and convincing need for a new determination of the issue . . . because of the potential impact of the determination on the public interest or the interests of persons not themselves parties to the initial action.” Restatement (Second) of Judgments s 68.1(e) (i) (Tent. Draft No. 4, 1977). Comment H to this section of the Restatement gives as an example of the s 68.1(e)(i) exception an action by “an agency of government . . . for the protection . . . Of a broad segment of the public.” This is such a case. This is not only a proceeding by an agency of government to protect the public from both health risks and false advertising; it deals with a body of knowledge in the fields of medical and pharmacological science that is constantly increasing. The government is not precluded from subsequently relitigating against a new respondent under these circumstances. * * *

Id. at 300.

3. Ratemaking proceedings are conducted by administrative agencies with special expertise to assess economic and other conditions. The proceedings often involve the calling of witnesses, the availability of cross-examination, and other adjudicative protections. Should issue preclusion attach to ratemaking determinations, or are they really legislative decisions? See *Allied Chem., An Operating Unit of Allied Corp. v. Niagara Mohawk*

Power Corp., 72 N.Y.2d 271, 278, 528 N.E.2d 153, 156, 532 N.Y.S.2d 230, 233 (1988), in which the New York Court of Appeals explained that “[b]ecause a ratemaking agency must be free to reassess the reasonableness of rates, it would be illogical, and inconsistent with the agency’s function, to give preclusive effect to a prior ratemaking determination * * *.” However, the court made clear that context matters, explaining that:

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[t]he court must look at the over-all context of the agency’s decision to assess whether according a preclusive effect to a particular agency determination is consistent with the agency’s scheme of administration; for example, the agency’s need for flexibility, and its need to modify prior determinations in order to adapt its policy to changing conditions, may counsel against applying issue preclusion to a particular administrative decision.

Id. at 277, 528 N.E.2d at 155, 532 N.Y.S.2d at 232.

4.What role did privity play in the court’s decision in *Holmberg*? Privity recognizes that certain substantive relationships justify extending the preclusive effect of a judgment to a nonparty. These relationships include a partnership and its members, successors in interest to property, and a corporation and its officers. Restatement (Second) of Judgments §§ 41, 54, 59–60 (1982). Privity has been criticized as an “elusive” concept that is more conclusory than explanatory:

* * * [T]he term privity in itself does not state a reason for either including or excluding a person from the binding effect of a prior judgment, but rather it represents a legal conclusion that the relationship between the one who is a party on the record and the non-party is sufficiently close to afford application of the principle of preclusion.

Southwest Airlines Co. v. Texas Int’l Airlines, 546 F.2d 84, 95 (5th Cir. 1977), cert. denied, 434 U.S. 832, 98 S.Ct. 117, 54 L.Ed.2d 93 (1977) (citation omitted). See also 18A Wright, Miller & Cooper, Federal Practice and Procedure § 4449 (3d ed.). What factors did the court in *Holmberg* consider in deciding whether the two government agencies were in privity? Should these same factors apply when the question is whether natural persons are in privity?

E. PERSONS BENEFITED AND PERSONS BOUND BY PRECLUSION

1.THE TRADITIONAL MODEL

The traditional rule of issue preclusion was that persons benefitted from a prior judgment only if they also were bound by it. “This rule, known as the rule of mutuality, established a pleasing symmetry—a judgment was binding only on parties and persons in privity with them, and a judgment could be invoked only by parties and their privies.” 18A Wright, Miller & Cooper, Federal Practice and Procedure § 4463 (3d ed.). The modern trend has been an erosion in the requirement of mutuality—“followed more recently by second thoughts about whether the erosion is sufficiently justified.” Shapiro, Civil Procedure: Preclusion in Civil Actions 102–03 (2001).

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Indemnification relations provided the earliest basis for an exception from the rule of mutuality. See First Nat. Bank v. City Nat. Bank, 182 Mass. 130, 65 N.E. 24 (1902). The policy rationale was rooted in the substantive obligation created by the relation:

* * * [D]enial of preclusion would force an impossible choice between unacceptable alternatives. If a second action can be maintained against the indemnitee, either the indemnitee must be allowed to assert his right of indemnification or the right must be defeated by the judgment in favor of the indemnitor. To allow the right of indemnification would be to destroy the victory won by the indemnitor in the first action. To deny the right of indemnification would be to destroy the indemnitee’s right by the result of an action in which he took no part.

18A Wright, Miller & Cooper, Federal Practice and Procedure § 4463 (3d ed.).

NOTE AND QUESTIONS

How would the rule of mutuality affect the analysis in the following situations?

(a)A works for B. A, while acting within the scope of employment and driving B’s car, collides with a car driven by C. C sues A, and judgment is for A. Subsequently B sues C for damages to the car. What effect should the earlier judgment for A have in B’s suit against C?

(b) Suppose on the facts of (a) that C first sued B, and judgment had been for B, and C had then sued A. What effect should the earlier judgment for B have in C’s suit against A? Would your answer be different if the second suit had been by A against C?

(c)Suppose that A, a real-estate broker, sues B, the seller of property, to recover a commission. The trial court dismisses A’s action after trial on the ground that A had not produced C, the person who purchased the property from B and so had not established that A was entitled to the commission. In a second action A sues C for inducing B to breach the brokerage contract causing a loss of the commission. Can C successfully rely on the decision against A in the first action as a bar to A’s action?

(d)Suppose a mother and child are in a car accident. The mother is injured and the child dies. A, the personal representative of the estate, brings a wrongful death action and judgment is entered for defendant. Is the mother estopped by that judgment if she later sues to recover damages for her own injuries? Keep in mind that had the first action been successful, the mother would have been a

beneficiary of the damages award.

2.THE DECLINE OF THE MUTUALITY DOCTRINE

BERNHARD V. BANK OF AMERICA NAT. TRUST & SAVINGS ASS’N

Supreme Court of California, 1942.
[19 Cal.2d 807, 122 P.2d 892.](#)

TRAYNOR, JUSTICE.

In June, 1933, Mrs. Clara Sather, an elderly woman, made her home with Mr. and Mrs. Charles O. Cook in San Dimas, California. Because of her failing health, she authorized Mr. Cook and Dr. Joseph Zeiler to make drafts jointly against her commercial account in the Security First National Bank of Los Angeles. On August 24, 1933, Mr. Cook opened a commercial account at the First National Bank of San Dimas in the name of “Clara Sather by Charles O. Cook.” * * * Thereafter, a number of checks drawn by Cook and Zeiler on Mrs. Sather’s commercial account in Los Angeles were deposited in the San Dimas account * * *.

On October 26, 1933, a teller from the Los Angeles Bank called on Mrs. Sather at her request to assist in transferring her money from the Los Angeles Bank to the San Dimas Bank. In the presence of this teller, the cashier of the San Dimas Bank, Mr. Cook, and her physician, Mrs. Sather signed by mark an authorization directing the Security First National Bank of Los Angeles to transfer the balance of her savings account in the amount of \$4,155.68 to the First National Bank of San Dimas * * * “for credit to the account of Mrs. Clara Sather.” The order was credited by the San Dimas Bank to the account of “Clara Sather by Charles O. Cook.” Cook withdrew the entire balance from that account and opened a new account in the same bank in the name of himself and his wife. * * *

Mrs. Sather died in November, 1933. Cook qualified as executor of the estate and proceeded with its administration. After a lapse of several years he filed an account at the instance of the probate court accompanied by his resignation. The account made no mention of the money transferred by Mrs. Sather to the San Dimas Bank; and Helen Bernhard * * * [and other] beneficiaries under Mrs. Sather’s will, filed objections to the account for this reason. After a hearing on the objections the court settled the account, and as part of its order declared that the decedent during her lifetime had made a gift to Charles O. Cook of the amount of the deposit in question.

After Cook’s discharge, Helen Bernhard was appointed administratrix with the will annexed. She instituted this action against defendant, the Bank of America, successor to the San Dimas Bank, seeking to recover the deposit on the ground that the bank was indebted to the estate for this amount because Mrs. Sather never authorized its withdrawal. In addition to a general denial, defendant pleaded two affirmative defenses: (1) That the money on deposit was paid out to Charles O. Cook with the consent of

Mrs. Sather and (2) that this fact is res judicata by virtue of the finding of the probate court * * *. The trial court * * * gave judgment for defendant on the ground that Cook’s ownership of the money was conclusively established by the finding of the probate court. * * *

Plaintiff contends that the doctrine of res judicata does not apply because the defendant who is asserting the plea was not a party to the previous action nor in privity with a party to that action and because there is no mutuality of estoppel.

* * *

Many courts have stated the facile formula that the plea of res judicata is available only when there is privity and mutuality of estoppel. * * * Under the requirement of privity, only parties to the former judgment or their privies may take advantage of or be bound by it. * * * A party in this connection is one who is “directly interested in the subject matter, and had a right to make defense, or to control the proceeding, and to appeal from the judgment.” * * * A privity is one who, after rendition of the judgment, has acquired an interest in the subject matter affected by the judgment through or under one of the parties, as by inheritance, succession, or purchase. * * * The estoppel is mutual if the one taking advantage of the earlier adjudication would have been bound by it, had it gone against him. * * *

The criteria for determining who may assert a plea of res judicata differ fundamentally from the criteria for determining against whom a plea of res judicata may be asserted. The requirements of due process of law forbid the assertion of a plea of res judicata against a party unless he was bound by the earlier litigation in which the matter was decided. * * * He is bound by that litigation only if he has been a party thereto or in privity with a party thereto. * * * There is no compelling reason, however, for requiring that the party asserting the plea of res judicata must have been a party, or in privity with a party, to the earlier litigation.

No satisfactory rationalization has been advanced for the requirement of mutuality. Just why a party who was not bound by a previous action should be precluded from asserting it as res judicata against a party who was bound by it is difficult to comprehend. * * * Many courts have abandoned the requirement of mutuality and confined the requirement of privity to the party against whom the plea of res judicata is asserted. * * * The commentators are almost unanimously in accord. * * * The courts of most jurisdictions have in effect accomplished the same result by recognizing a broad exception to the requirements of mutuality and privity, namely, that they are not necessary where the liability of the defendant asserting the plea of res judicata is dependent upon or derived from the liability of one who was exonerated in an earlier suit brought by the same plaintiff upon the same facts. * * * Typical examples of such derivative

liability are master and servant, principal and agent, and indemnitor and indemnitee. Thus, if a plaintiff sues a servant for injuries caused by the servant’s alleged negligence within the scope of his employment, a judgment against the plaintiff * * * [on] the grounds that the servant was not negligent can be pleaded by the master as *res judicata* if he is subsequently sued by the same plaintiff for the same injuries. Conversely, if the plaintiff first sues the master, a judgment against the plaintiff on the grounds that the servant was not negligent can be pleaded by the servant as *res judicata* if he is subsequently sued by the plaintiff. In each of these situations the party asserting the plea of *res judicata* was not a party to the previous action nor in privity with such a party * * *. Likewise, the estoppel is not mutual since the party asserting the plea, not having been a party or in privity with a party to the former action, would not have been bound by it had it been decided the other way. The cases justify this exception on the ground that it would be unjust to permit one who has had his day in court to reopen identical issues by merely switching adversaries.

In determining the validity of a plea of *res judicata* three questions are pertinent: Was the issue decided in the prior adjudication identical with the one presented in the action in question? Was there a final judgment on the merits? Was the party against whom the plea is asserted a party or in privity with a party to the prior adjudication?

* * * Since the issue as to the ownership of the money is identical with the issue raised in the probate proceeding, and since the order of the probate court settling the executor’s account was a final adjudication of this issue on the merits * * *, it remains only to determine whether the plaintiff in the present action was a party or in privity with a party to the earlier proceeding. The plaintiff has brought the present action in the capacity of administratrix of the estate. In this capacity she represents the very same persons and interests that were represented in the earlier hearing on the executor’s account. In that proceeding plaintiff and the other legatees who objected to the executor’s account represented the estate of the decedent. They were seeking not a personal recovery but, like the plaintiff in the present action, as administratrix, a recovery for the benefit of the legatees and creditors of the estate, all of whom were bound by the order settling the account. * * *

The judgment is affirmed.

NOTES AND QUESTIONS

1. In which of the following situations would preclusion be available under *Bernhard*?
- (a)Three cars, driven by A, B, and C, respectively, collide at an intersection in a jurisdiction without a compulsory joinder statute. Driver A, believing that C does not have enough money

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to satisfy the judgment, institutes a negligence action against B. At trial B is exonerated, the court holding that A’s injuries were solely the result of A’s own negligence. A then discovers that C actually does have enough money to make it worthwhile to sue, and promptly files suit against C. Can C invoke the judgment in A’s prior action against B to preclude recovery by A in the second suit?

(b)Assume the same fact pattern as above. Could C assert the judgment in the prior suit as the basis to recover on a counterclaim against A?

(c)A bus owned and driven by D is in an accident. Passenger P1 sues D, alleging that the accident was caused by D’s negligent driving. The trial court finds for P1. Passenger P2 then files a lawsuit against D, also alleging damages as a result of D’s negligence. Is preclusion available to P2? Can you articulate how this fact pattern differs from that of (b)?

(d)What if, on the facts of (c), the bus driver/owner had prevailed in the first suit? When P2 brought the second litigation, could D then use the first suit’s judgment as a defense to the second action?

2.In *Bernhard*, a new defendant sought to bar a plaintiff who lost on an issue decided in defendant’s favor from relitigating the issue in a second lawsuit—a rule of preclusion now called “nonmutual defensive collateral estoppel.” For a classic discussion, see Currie, *Civil Procedure: The Tempest Brews*, 53 Calif.L.Rev. 25, 38–46 (1965); and, Currie, *Mutuality of Collateral Estoppel—Limits of the Bernhard Doctrine*, 9 Stan.L.Rev. 281 (1957).

In *BLONDER-TONGUE LABORATORIES, INC. v. UNIVERSITY OF ILLINOIS FOUNDATION*, 402 U.S. 313, 91 S.Ct. 1434, 28 L.Ed.2d 788 (1971), a patent infringement action, the Supreme Court began to abrogate the mutuality requirement in the federal system. The Court expressed the following views on the propriety of nonmutual preclusion:

The cases and authorities discussed * * * connect erosion of the mutuality requirement to the goal of limiting relitigation of issues where that can be achieved without compromising fairness in particular cases. The courts have often discarded the rule while commenting on crowded dockets and long delays preceding trial. Authorities differ on whether the public interest in efficient judicial administration is a sufficient ground in and of itself for abandoning mutuality, but it is clear that more than crowded dockets is involved. The broader question is whether it is any longer tenable to afford a litigant more than one full and fair opportunity for judicial resolution of the same issue. The question

in these terms includes as part of the calculus the effect on judicial administration, but it also encompasses the concern exemplified by Bentham's reference to the gaming table in his attack on the principle of mutuality of estoppel. In any lawsuit where a defendant, because of the mutuality principle, is forced to present a complete defense on the merits to a claim which the plaintiff has fully litigated and lost in a prior action, there is an arguable misallocation of resources. To the extent the defendant in the second suit may not win by asserting, without contradiction, that the plaintiff had fully and fairly, but unsuccessfully, litigated the same claim in the prior suit, the defendant's time and money are diverted from alternative uses—productive or otherwise—to relitigation of a decided issue. And, still assuming that the issue was resolved correctly in the first suit, there is reason to be concerned about the plaintiff's allocation of resources. Permitting repeated litigation of the same issue as long as the supply of unrelated defendants holds out reflects either the aura of the gaming table or "a lack of discipline and of disinterestedness on the part of the lower courts, hardly a worthy or wise basis for fashioning rules of procedure." *Kerotest Mfg. Co. v. C-O-Two Co.*, 342 U.S. 180, 185[, 72 S.Ct. 219, 222, 96 L.Ed. 200] (1952). Although neither judges, the parties, nor the adversary system performs perfectly in all cases, the requirement of determining whether the party against whom an estoppel is asserted had a full and fair opportunity to litigate is a most significant safeguard.

Some litigants—those who never appeared in a prior action—may not be collaterally estopped without litigating the issue. They have never had a chance to present their evidence and arguments on the claim. Due process prohibits estopping them despite one or more existing adjudications of the identical issue which stand squarely against their position. * * * Also, the authorities have been more willing to permit a defendant in a second suit to invoke an estoppel against a plaintiff who lost on the same claim in an earlier suit than they have been to allow a plaintiff in the second suit to use offensively a judgment obtained by a different plaintiff in a prior suit against the same defendant. But the case before us involves neither due process nor "offensive use" questions. Rather, it depends on the considerations weighing for and against permitting a patent holder to sue on his patent after it has once been held invalid following opportunity for full and fair trial.

Id. at 328–33, 91 S.Ct. at 1442–43, 28 L.Ed.2d at 799–800.

The Court emphasized that the district court retained discretion to accept or reject a plea of collateral estoppel:

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* * * [W]e do not suggest, without legislative guidance, that a plea of estoppel by an infringement or royalty suit defendant must automatically be accepted once the defendant in support of his plea identifies the issue in suit as the identical question finally decided against the patentee or one of his privies in previous litigation. * * * Rather, the patentee-plaintiff must be permitted to demonstrate, if he can, that he did not have "a fair opportunity procedurally, substantively and evidentially to pursue his claim the first time." * * * This element in the estoppel decision will comprehend, we believe, the important concerns about the complexity of patent litigation and the posited hazard that the prior proceedings were seriously defective.

Determining whether a patentee has had a full and fair chance to litigate the validity of his patent in an earlier case is of necessity not a simple matter. In addition to * * * considerations of choice of forum and incentive to litigate * * *, certain other factors immediately emerge. For example, if the issue is nonobviousness, appropriate inquiries would be whether the first validity determination purported to employ the [appropriate legal] standards * * *; whether the opinions filed by the District Court and the reviewing court, if any, indicate that the prior case was one of those relatively rare instances where the courts wholly failed to grasp the technical subject matter and issues in suit; and whether without fault of his own the patentee was deprived of crucial evidence or witnesses in the first litigation. But as so often is the case, no one set of facts, no one collection of words or phrases will provide an automatic formula for proper rulings on estoppel pleas. In the end, decision will necessarily rest on the trial courts' sense of justice and equity.

Id. at 332–34, 91 S.Ct. at 1445, 28 L.Ed.2d at 802.

The Court underscored that relaxing the mutuality requirement in patent cases would produce cost savings for the federal courts:

* * * [A]lthough patent trials are only a small portion of the total amount of litigation in the federal courts, they tend to be of disproportionate length. * * *

* * * [I]t is clear that abrogation of [the mutuality rule in patent cases] * * * will save *some* judicial time if even a few relatively lengthy patent suits may be fairly disposed of on pleas of estoppel. More fundamentally, while the cases do discuss reduction in dockets as an effect of elimination of the mutuality requirement, they do not purport to hold that predictions about the actual amount of judicial time that will be saved under such a holding control decision of that question.

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Id. at 348–49, 91 S.Ct. at 1452–53, 28 L.Ed.2d at 810–11.

NOTES AND QUESTIONS

1. Do you find the justification for relaxing the mutuality requirement in patent cases persuasive? Does the *Blonder-Tongue* rule "merely shift the focus of litigation from the merits of the dispute to the question whether the party to be estopped had a full and fair opportunity to litigate his claim in the first action"? *Blonder-Tongue*, 402 U.S. at 347, 91 S.Ct. at 1452, 28 L.Ed.2d at 810. Does this inquiry really save time and resources?

2. Although *Blonder-Tongue* could be read as limited to patent actions, lower courts have cited to it as authority for nonmutual preclusion in suits involving different types of substantive claims. Is it clear that relaxing the mutuality requirement in these other contexts will produce cost savings?
3. Is it feasible or fair to require extensive party joinder in a single lawsuit? Is it possible that the presence of too many defendants in an action will undermine the quality of decision-making in the first action? See 18A Wright, Miller & Cooper, Federal Practice and Procedure § 4464 (3d ed.).
4. Does the *Bernhard* test for nonmutual collateral estoppel differ from that of the Supreme Court in *Blonder-Tongue*? In what ways? Which test is preferable?
5. In both *Bernhard* and *Blonder-Tongue* the party against whom the preclusion defense was asserted had instituted the first action. Should this be an important factor in determining whether nonmutual preclusion is appropriate? Or should the only relevant consideration be whether the party against whom preclusion is asserted have had a full and fair opportunity to litigate? See *Zdanok v. Glidden Co.*, 327 F.2d 944, 956 (2d Cir. 1964), cert. denied, 377 U.S. 934, 84 S.Ct. 1338, 12 L.Ed.2d 298 (1964). For a criticism of nonmutual issue preclusion, see Waggoner, *Fifty Years of Bernhard v. Bank of America Is Enough: Collateral Estoppel Should Require Mutuality But Res Judicata Should Not*, 12 Rev. Litig. 391 (1993), arguing:

That nonmutual collateral estoppel is unfair emerges from the fact that litigation involves a substantial element of chance * * *.

The risk in litigation is much like the risk in a coin flip, even though the court system by a variety of mechanisms tries to resolve disputes accurately, and even though each side tries by retention of skilled counsel and by diligent preparation to make the odds as much as possible favor it. In such a coin flip you put up your money and you abide by the result, win or lose. That seems fair. Now suppose a bystander who has watched the coin flip but who has not risked his cash were to approach the loser and say, “Pay me, too.” Such a demand would be laughed away, it is so obviously unfair. Yet such demands are now commonly enforced under the doctrine of nonmutual collateral estoppel.

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Id. at 416.

PARKLANE HOSIERY CO. v. SHORE

Supreme Court of the United States, 1979.
[439 U.S. 322, 99 S.Ct. 645, 58 L.Ed.2d 552.](#)

Certiorari to the United States Court of Appeals for the Second Circuit.

JUSTICE STEWART delivered the opinion of the Court.

* * *

The respondent brought this stockholder’s class action against the petitioners in a federal district court. The complaint alleged that the petitioners * * * had issued a materially false and misleading proxy statement in connection with a merger. * * * The complaint sought damages, rescission of the merger, and recovery of costs.

Before this action came to trial, the SEC filed suit against the same defendants in a federal district court, alleging that the proxy statement that had been issued by Parklane was materially false and misleading in essentially the same respects as those that had been alleged in the respondent’s complaint. Injunctive relief was requested. After a four-day trial, the District Court found that the proxy statement was materially false and misleading in the respects alleged, and entered a declaratory judgment to that effect. * * * The Court of Appeals for the Second Circuit affirmed * * *.

The respondent in the present case then moved for partial summary judgment against the petitioners, asserting that the petitioners were collaterally estopped from relitigating the issues that had been resolved against them in the action brought by the SEC. The District Court denied the motion on the ground that such an application of collateral estoppel would deny the petitioners their Seventh Amendment right to a jury trial. The Court of Appeals for the Second Circuit reversed * * *. Because of an intercircuit conflict,³ we granted certiorari.

I

The threshold question to be considered is whether, quite apart from the right to a jury trial under the Seventh Amendment, the petitioners can be precluded from relitigating facts resolved adversely to them in a prior equitable proceeding with another party under the general law of collateral estoppel. Specifically, we must determine whether a litigant who was not a party to a prior judgment may nevertheless use that judgment

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“offensively” to prevent a defendant from relitigating issues resolved in the earlier proceeding.⁴

* * *

B

The *Blonder-Tongue* case involved defensive use of collateral estoppel * * *. The present case, by contrast, involves offensive use of collateral estoppel—a plaintiff is seeking to estop a defendant from relitigating the issues which the defendant previously litigated and lost against another plaintiff. In both the offensive and defensive use situations, the party against whom estoppel is asserted has litigated

and lost in an earlier action. Nevertheless, several reasons have been advanced why the two situations should be treated differently.

First, offensive use of collateral estoppel does not promote judicial economy in the same manner as defensive use does. Defensive use of collateral estoppel precludes a plaintiff from relitigating identical issues by merely “switching adversaries.” * * * Thus defensive collateral estoppel gives a plaintiff a strong incentive to join all potential defendants in the first action if possible. Offensive use of collateral estoppel, on the other hand, creates precisely the opposite incentive. Since a plaintiff will be able to rely on a previous judgment against a defendant but will not be bound by that judgment if the defendant wins, the plaintiff has every incentive to adopt a “wait and see” attitude, in the hope that the first action by another plaintiff will result in a favorable judgment. * * * Thus offensive use of collateral estoppel will likely increase rather than decrease the total amount of litigation, since potential plaintiffs will have everything to gain and nothing to lose by not intervening in the first action.¹³

A second argument against offensive use of collateral estoppel is that it may be unfair to a defendant. If a defendant in the first action is sued for small or nominal damages, he may have little incentive to defend vigorously, particularly if future suits are not foreseeable. * * * Allowing offensive collateral estoppel may also be unfair to a defendant if the judgment relied upon as a basis for the estoppel is itself inconsistent with one or more previous judgments in favor of the defendant. Still another situation where it might be unfair to apply offensive estoppel is where the

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second action affords the defendant procedural opportunities unavailable in the first action that could readily cause a different result.¹⁵

C

We have concluded that the preferable approach for dealing with these problems in the federal courts is not to preclude the use of offensive collateral estoppel, but to grant trial courts broad discretion to determine when it should be applied. The general rule should be that in cases where a plaintiff could easily have joined in the earlier action or where, either for the reasons discussed above or for other reasons, the application of offensive estoppel would be unfair to a defendant, a trial judge should not allow the use of offensive collateral estoppel.

In the present case, however, none of the circumstances that might justify reluctance to allow the offensive use of collateral estoppel is present. The application of offensive collateral estoppel will not here reward a private plaintiff who could have joined in the previous action, since the respondent probably could not have joined in the injunctive action brought by the SEC even had he so desired.¹⁷ Similarly, there is no unfairness to the petitioners in applying offensive collateral estoppel in this case. First, in light of the serious allegations made in the SEC’s complaint against the petitioners, as well as the foreseeability of subsequent private suits that typically follow a successful government judgment, the petitioners had every incentive to litigate the SEC lawsuit fully and vigorously. Second, the judgment in the Commission action was not inconsistent with any previous decision. Finally, there will in the respondent’s action be no procedural opportunities available to the petitioner that were unavailable in the first action of a kind that might be likely to cause a different result.¹⁹

We conclude, therefore, that none of the considerations that would justify a refusal to allow the use of offensive collateral estoppel is present in this case. Since the petitioners received a “full and fair” opportunity to

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litigate their claims in the SEC action, the contemporary law of collateral estoppel leads inescapably to the conclusion that the petitioners are collaterally estopped from relitigating the question of whether the proxy statements were materially false and misleading.

II

The question that remains is whether, notwithstanding the law of collateral estoppel, the use of offensive collateral estoppel in this case would violate the petitioners’ Seventh Amendment right to a jury trial.

A

* * *

Recognition that an equitable determination could have collateral estoppel effect in a subsequent legal action was the major premise of this Court’s decision in *Beacon Theatres v. Westover* * * * [p. 1054, supra].

It is clear that the Court in the *Beacon Theatres* case thought that if an issue common to both legal and equitable claims was first determined by a judge, relitigation of the issue before a jury might be foreclosed by res judicata or collateral estoppel. * * *

B

* * * The petitioners contend that since the scope of the Amendment must be determined by reference to the common law as it existed in 1791, and since the common law permitted collateral estoppel only where there was mutuality of parties, collateral estoppel cannot constitutionally be applied when such mutuality is absent.

The petitioners have advanced no persuasive reason, however, why the meaning of the Seventh Amendment should depend on whether or not mutuality of parties is present. A litigant who has lost because of adverse factual findings in an equity action is equally

deprived of a jury trial whether he is estopped from relitigating the factual issues against the same party or a new party. In either case, the party against whom estoppel is asserted has litigated questions of fact, and has had the facts determined against him in an earlier proceeding. In either case there is no further factfinding function for the jury to perform, since the common factual issues have been resolved in the previous action. * * *

The Seventh Amendment has never been interpreted in the rigid manner advocated by the petitioners. On the contrary, many procedural devices developed since 1791 that have diminished the civil jury’s historic domain have been found not to be inconsistent with the Seventh Amendment. * * *

The law of collateral estoppel, like the law in other procedural areas defining the scope of the jury’s function, has evolved since 1791. * * * [T]hese developments are not repugnant to the Seventh Amendment

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simply for the reason that they did not exist in 1791. Thus if, as we have held, the law of collateral estoppel forecloses the petitioners from relitigating the factual issues determined against them in the SEC action, nothing in the Seventh Amendment dictates a different result, even though because of lack of mutuality there would have been no collateral estoppel in 1791.

The judgment of the Court of Appeals is

Affirmed.

JUSTICE REHNQUIST, dissenting.

It is admittedly difficult to be outraged about the treatment accorded by the federal judiciary to petitioners’ demand for a jury trial in this lawsuit. Outrage is an emotion all but impossible to generate with respect to a corporate defendant in a securities fraud action, and this case is no exception. But the nagging sense of unfairness as to the way petitioners have been treated, engendered by the *imprimatur* placed by the Court of Appeals on respondent’s “heads I win, tails you lose” theory of this litigation, is not dispelled by this Court’s antiseptic analysis of the issues in the case. It may be that if this Nation were to adopt a new Constitution today, the Seventh Amendment guaranteeing the right of jury trial in civil cases in federal courts would not be included among its provisions. But any present sentiment to that effect cannot obscure or dilute our obligation to enforce the Seventh Amendment, which was included in the Bill of Rights in 1791 and which has not since been repealed in the only manner provided by the Constitution for repeal of its provisions.

* * *

The Seventh Amendment requires that the right of trial by jury be “preserved.” Because the Seventh Amendment demands preservation of the jury trial right, our cases have uniformly held that the content of the right must be judged by historical standards. * * * If a jury would have been impaneled in a particular kind of case in 1791, then the Seventh Amendment requires a jury trial today, if either party so desires.

* * *

To say that the Seventh Amendment does not tie federal courts to the exact procedure of the common law in 1791 does not imply, however, that any nominally “procedural” change can be implemented, regardless of its impact on the functions of the jury. * * *

Judged by the foregoing principles, I think it is clear that petitioners were denied their Seventh Amendment right to a jury trial in this case. Neither respondents nor the Court doubt that at common law as it existed in 1791, petitioners would have been entitled in the private action to have a jury determine whether the proxy statement was false and misleading in

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the respects alleged. The reason is that at common law in 1791, collateral estoppel was permitted only where the parties in the first action were identical to, or in privity with, the parties to the subsequent action. * * * [D]evelopments in the judge-made doctrine of collateral estoppel, however salutary, cannot, consistent with the Seventh Amendment, contract in any material fashion the right to a jury trial that a defendant would have enjoyed in 1791. * * *

* * * [T]he Court seems to suggest that the offensive use of collateral estoppel in this case is permissible under the limited principle set forth above that a mere procedural change that does not invade the province of the jury and a defendant’s right thereto to a greater extent than authorized by the common law is permissible. But the Court’s actions today constitute a far greater infringement of the defendant’s rights than it ever before has sanctioned. * * * The procedural devices of summary judgment and directed verdict are direct descendants of their common-law antecedents. They accomplish nothing more than could have been done at common law, albeit by a more cumbersome procedure. * * *

By contrast, the development of nonmutual estoppel is a substantial departure from the common law and its use in this case completely deprives petitioners of their right to have a jury determine contested issues of fact. * * *

Even accepting, *arguendo*, the majority’s position that there is no violation of the Seventh Amendment here, I nonetheless would not sanction the use of collateral estoppel in this case. * * * In my view, it is “unfair” to apply offensive collateral estoppel where the party who is sought to be estopped has not had an opportunity to have the facts of his case determined by a jury. Since in this case petitioners were not entitled to a jury trial in the Securities and Exchange Commission (SEC) lawsuit, I would not estop them from relitigating the issues determined in the SEC suit before a jury in the private action. I believe that several factors militate in favor of this result.

First, the use of offensive collateral estoppel in this case runs counter to the strong federal policy favoring jury trials, even if it does not, as the majority holds, violate the Seventh Amendment. * * *

Second, I believe that the opportunity for a jury trial in the second action could easily lead to a different result from that obtained in the first action before the court and therefore that it is unfair to estop petitioners from relitigating the issues before a jury. * * *

The ultimate irony of today’s decision is that its potential for significantly conserving the resources of either the litigants or the judiciary is doubtful at best. That being the case, I see absolutely no reason to frustrate so cavalierly the important federal policy favoring jury decisions of disputed fact questions. The instant case is an apt example of the

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minimal savings that will be accomplished by the Court’s decision. As the Court admits, even if petitioners are collaterally estopped from relitigating whether the proxy was materially false and misleading they are still entitled to have a jury determine whether respondents were injured by the alleged misstatements and the amount of damages, if any, sustained by respondents. * * * Thus, a jury must be impaneled in this case in any event. The time saved by not trying the issue of whether the proxy was materially false and misleading before the jury is likely to be insubstantial.²⁴ It is just as probable that today’s decision will have the result of coercing defendants to agree to consent orders, or settlements in agency enforcement action in order to preserve their right to jury trial in the private actions. In that event, the Court, for no compelling reason, will have simply added a powerful club to the administrative agencies’ arsenals that even Congress was unwilling to provide them.

NOTES AND QUESTIONS

1. Offensive nonmutual collateral estoppel is the term used to describe a case in which “a plaintiff seeks to preclude a defendant from relitigating an issue which the defendant previously litigated and lost against a different plaintiff.” 47 Am Jur.2d Judgments § 647 (2d ed.). How does this situation differ from the defensive use of collateral estoppel in *Bernhard* and *Blonder-Tongue*?
2. *Parklane* permits but limits a stranger’s offensive use of nonmutual issue preclusion against a party to a prior judgment. Professor Currie, in an important article, recommended two distinct limits on the nonmutual application of collateral estoppel:

(a) that one not a party to the prior action should not be allowed to assert the prior judgment against one who was a party thereto unless the person against whom the judgment is asserted in fact had a full, fair and effective opportunity to contest the issue; and (b) that the plea should not be allowed where its allowance would result in intolerable anomalies in the administration of justice.

Currie, *Mutuality of Collateral Estoppel: The Limits of the Bernhard Doctrine*, 9 Stan.L.Rev. 281, 322 (1957). One important exception involves what Professor Currie called the “multiple-claimant anomaly”:

An express train speeds through the night. Suddenly, as it enters a curve, the locomotive leaves the rails, followed by half a dozen tumbling passenger cars. Fifty passengers are injured. Fifty actions for personal injuries are filed against the railroad—some in California courts, some in federal courts in California, some in other

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state and federal courts. The first of these to be reached for trial is in a California court. A full trial is had on the issue of the railroad’s negligence, and the result is a verdict and judgment for the plaintiff. The judgment becomes final. What is the status of the forty-nine remaining actions?

* * *

Suppose, that, in a case like our railroad case, the first injured passenger to sue loses his action against the railroad. The railroad cannot plead that judgment against the next passenger to sue, because the second passenger was not a party to the first action, nor in privity with the first passenger. Nevertheless, let us say that the second passenger also loses, and indeed that twenty-five passengers, in twenty-five separate actions, all fail to establish negligence on the part of the railroad. Then passenger No. 26 wins his action. Are we to understand that the remaining twenty-four passengers can plead the judgment in the case of No. 26 as conclusively establishing that the railroad was guilty of negligence, while the railroad can make no reference to the first twenty-five cases which it won?

There is only one possible answer to this question: no such absurdity would be tolerated for a moment. The indefensibility of such a result seems obvious * * *.

* * *

Our aversion to the twenty-sixth judgment as a conclusive adjudication stems largely from the feeling that such a judgment in such a series must be an aberration, but we have no warrant for assuming that the aberrational judgment will not come as the first in the series.

Id. at 281 & 285–86.

3.What if before a case settles it yields a judicial finding that conflicts with a prior adjudication of the same issue? Such a finding could result, for example, when a motion to dismiss is denied before a settlement is reached. Does that finding create sufficient inconsistency to block offensive issue preclusion? In *JACK FAUCETT ASSOCS. v. AMERICAN TELEPHONE & TELEGRAPH CO.*, 744 F.2d 118 (D.C.Cir. 1984), cert. denied, 469 U.S. 1196, 105 S.Ct. 980, 83 L.Ed.2d 982 (1985), Judge Mikva wrote for the court: “*Parklane Hosiery* does not hold that only inconsistent final

judgments can preclude offensive estoppel.” Id. at 130. Rather, according to Judge Mikva, the issue was whether “the inconsistency undermines the court’s confidence in the correctness of the prior decision.” Id.

In the *Jack Faucett* case, the court found another factor weighing against allowing the plea of offensive issue preclusion. The prior decision upon which the party seeking preclusion sought to rely had been affirmed by the Second

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Circuit. However, the appeals court held that one of the trial judge’s evidentiary rulings was erroneous, although harmless. The District of Columbia Circuit found that the presence of even “harmless” error in the rulings of the trial court constituted a “serious obstacle” to offensive issue preclusion. Id. at 128.

4.In *Garcia v. General Motors Corp.*, 195 Ariz. 510, 990 P.2d 1069 (Ariz.Ct.App.1999), Arizona residents while passengers in a van manufactured by General Motors and rented in Arizona were injured in a rollover accident in Idaho. The passengers were not wearing seatbelts. One of the injured parties immediately sued in federal court in Idaho. Applying Idaho state law, the trial court granted plaintiff’s motion in limine to exclude all evidence that she had failed to wear a seatbelt. She subsequently settled before trial. Meanwhile, the other passengers filed a suit regarding the same accident in an Arizona state court. They sought to use the Idaho ruling to preclude General Motors from using their failure to wear seatbelts as a defense. The court declined to give issue preclusive effect to the Idaho court’s ruling in limine. In the court’s view, the ruling was not sufficiently final nor essential to the prior decision. Moreover, the ruling was not independently appealable and according it preclusive effect could perpetuate error. The court further emphasized that General Motors had not conceded any issues in its settlement agreement and applying collateral estoppel effect to the ruling could discourage future settlements in multi-party actions. The court added:

We note that Plaintiffs are represented by the same Idaho counsel who represented [the plaintiff] in the Idaho case. Although we do not know counsel’s reasons for filing separate lawsuits in different forums on behalf of passengers involved in the same accident, this case highlights a problematic result of applying collateral estoppel: encouraging forum-shopping. One plaintiff in a multi-party case could first bring suit in the forum most likely to give a favorable choice-of-law ruling; then counsel could attempt to use that ruling offensively in a subsequent suit to estop the defendant from raising a defense in another forum. Whether that was intended in this case, we do not decide, but we will not encourage the potential for such conduct. * * *

Id. at 516, 90 Pd. at 1075.

5.What issue preclusive effect should be given to a guilty verdict? Obviously, since plaintiff in a subsequent civil action did not have the opportunity to join in the criminal case, the concern that plaintiff will bring repetitious litigation is not present. On the other hand, are the issues necessary to resolve the civil case the same as those that are central to the criminal case? Are the burdens of persuasion the same? Does the criminal defendant have the same range of discovery as a civil litigant? In deciding whether or not to allow the civil plaintiff to employ offensive collateral estoppel, courts consider the incentives defendant had to litigate the first

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action vigorously, the procedural opportunities available, and any other factors that weigh on fairness. See, e.g. *Doe v. Tobias*, 715 N.E.2d 829 (Ind.1999) (allowing plaintiff rape victim to assert offensive collateral estoppel against defendant, who had been convicted of the offense in a prior criminal trial).

6. What issue preclusive effect should be given to a compromise verdict? In *Taylor v. Hawkinson*, 47 Cal.2d 893, 306 P.2d 797 (1957), the California Supreme Court, in an opinion by Justice Traynor, held that the *Bernhard* rule should not be applied due to evidence of a compromise verdict. Id. at 896–97, 306 P.2d at 799. *Katz v. Eli Lilly & Co.*, 84 F.R.D. 378 (E.D.N.Y.1979), may represent the extreme. A suit prior to *Katz* had held defendant liable for the wrongful death of the child of a mother who had taken diethylstilbestrol (DES) during pregnancy. Plaintiff *Katz* sought to take advantage of this prior verdict. Defendant, noticing signs that the earlier verdict may have been a compromise, subpoenaed two members of the jury in the prior case. The plaintiff moved to quash the subpoenas on the ground that the testimony of jurors may not be used to impeach a verdict. The court denied the motion to quash. Is there any justification for the court’s refusal to quash the subpoenas? Would allowing such testimony truly impeach the verdict of the prior case? Are there ways to get the jurors’ testimony without impeaching the earlier verdict? At what point does the effort involved in evaluating the prior verdict outweigh the effort saved in relitigating the substantive issues at stake in the suit? For a discussion of the limitations on impeaching a jury’s verdict, see p. 1161, *supra*.

7. Suits against the federal government represent an important exception to the extension of offensive nonmutual collateral estoppel, but the scope of the exception is uncertain. See 18A Wright, Miller & Cooper, Federal Practice and Procedure § 4465.4 (3d ed.). In *UNITED STATES v. MENDOZA*, 464 U.S. 154, 162, 104 S.Ct. 568, 573, 78 L.Ed.2d 379, 386 (1984), the Court held “that nonmutual offensive collateral estoppel simply does not apply against the Government in such a way as to preclude relitigation of issues such as those involved in this case.” The Court justified this result on the ground that offensive issue preclusion “would thwart the development of important questions of law by freezing the first decision rendered on a particular legal issue.” Id. at 160, 104 S.Ct. at 572, 78 L.Ed.2d at 385.

However, in *UNITED STATES v. STAUFFER CHEMICAL CO.*, 464 U.S. 165, 173 104 Sup. Ct. 575, 580, 78 L.Ed.2d 388, 395 (1984), decided the same day as *Mendoza*, the Court clarified that this rationale “is persuasive only to prevent the application of collateral estoppel against the Government in the absence of mutuality. When estoppel is applied in a case where the Government is litigating the same issue arising under virtually identical facts against the same party * * * the Government’s argument loses its force.” Should the *Mendoza* exception be extended to state governments? See Note, *Nonmutual Issue Preclusion Against States*, 109 Harv.L.Rev. 792 (1996).

3.BINDING NONPARTIES

Often, formal substantive relationships between persons may justify nonparty preclusion. For example, when a guardian litigates a suit on behalf of a minor, the minor in the usual situation will be bound by that suit’s outcome. However, a relationship between parties need not always be so formal as to justify nonparty preclusion. In *MONTANA v. UNITED STATES*, 440 U.S. 147, 99 S.Ct. 970, 59 L.Ed.2d 210 (1979), the Supreme Court held that when nonparties assume control over litigation in which they have a direct financial or pecuniary interest, they may be precluded from relitigating issues that the earlier suit resolved. The state of Montana gave contractors different tax treatment depending on whether they contracted to build public or private projects. A contractor on a federal construction project brought a state court action challenging the constitutionality of this practice. The United States directed and financed the litigation for the contractor, but it also brought a federal court action challenging the practice. After the Montana Supreme Court upheld Montana’s system of taxation, the United States continued with its federal action. But Montana argued that the federal government was bound by the state court judgment. When the case reached the United States Supreme Court, Justice Marshall, writing for the Court, observed that “although not a party, the United States plainly had a sufficient laboring oar in the conduct of the state-court litigation to actuate principles of estoppel.” *Id.* at 154–55, 99 S.Ct. at 974, 59 L.Ed.2d at 217–18.

Are there other types of informal relations or litigation conduct that arguably justify nonparty preclusion? What if individuals agree that a case will serve as a test case? See Lahav, *Bellwether Trials*, 76 Geo.Wash.L.Rev. 576 (2008). Certain proceedings, such as bankruptcy and probate actions, bind nonparties, making use of special procedures to insure that due process is satisfied. See *Mullane*, p. 237, *supra*. For an overview of trust proceedings, see Begleiter, *Serve the Cheerleader—Serve the World: An Analysis of Representation in Estate and Trust Proceedings and Under the Uniform Trust Code and Other Modern Trust Codes*, 43 Real Prop.Tr. & Est.L.J. 311 (2008).

MARTIN V. WILKS

Supreme Court of the United States, 1989.
[490 U.S. 755, 109 S.Ct. 2180, 104 L.Ed.2d 835.](#)

Certiorari to the United States Court of Appeals for the Eleventh Circuit.

CHIEF JUSTICE REHNQUIST delivered the opinion of the Court.

[The City of Birmingham, Alabama (“City”) and the Jefferson County Personnel Board (“Board”) entered into consent judgments with black firefighters setting goals for hiring blacks as firefighters and for promoting

them. White firefighters who were not a party to the prior lawsuits sued the City and the Board alleging that they were being denied promotions illegally on the basis of race. The City and the Board defended on the basis of the consent decrees, which mandated the challenged promotion procedures, and argued that these consent decrees precluded the current suit. The district court held that the earlier consent decrees provided a defense to the reverse discrimination suits, but the court of appeals reversed, holding that because the white firefighters were not parties to the earlier litigation, their discrimination claims could not be precluded.]

* * *

* * * All agree that “[i]t is a principle of general application in Anglo-American jurisprudence that one is not bound by a judgment *in personam* in a litigation in which he is not designated as a party or to which he has not been made a party by service of process.” * * * This rule is part of our “deep-rooted historic tradition that everyone should have his own day in court.” * * * A judgment or decree among parties to a lawsuit resolves issues as among them, but it does not conclude the rights of strangers to those proceedings.²

Petitioners argue that, because respondents failed to timely intervene in the initial proceedings, their current challenge to actions taken under the consent decree constitutes an impermissible “collateral attack.” They argue that respondents were aware that the underlying suit might affect them and if they chose to pass up an opportunity to intervene, they should not be permitted to later litigate the issues in a new action. The position has sufficient appeal to have commanded the approval of the great majority of the Federal Courts of Appeals, but we agree with the contrary view expressed by the Court of Appeals for the Eleventh Circuit in this case.

* * * [A] party seeking a judgment binding on another cannot obligate that person to intervene; he must be joined. * * * [T]he drafters cast Rule 24, governing intervention in permissive terms. * * * They determined that the concern for finality and completeness of judgments would be “better [served] by mandatory joinder procedures.” * * * Accordingly, Rule 19(a) provides for mandatory joinder in circumstances where a judgment rendered in the absence of a person may * * * [produce inconsistent obligations for those who are already parties]. Rule 19(b) sets forth the

factors to be considered by a court in deciding whether to allow an action to proceed in the absence of an interested party.

Joinder as a party, rather than knowledge of a lawsuit and an opportunity to intervene, is the method by which potential parties are subjected to the jurisdiction of the court and bound by a judgment or decree. The parties to a lawsuit presumably know better than anyone

else the nature and scope of relief sought in the action, and at whose expense such relief might be granted. It makes sense, therefore, to place on them a burden of bringing in additional parties where such a step is indicated, rather than placing on potential additional parties a duty to intervene when they acquire knowledge of the lawsuit. The linchpin of the “impermissible collateral attack” doctrine—the attribution of preclusive effect to a failure to intervene—is therefore quite inconsistent with Rule 19 and Rule 24.

* * *

Petitioners contend that a different result should be reached because the need to join affected parties will be burdensome and ultimately discouraging to civil rights litigation. Potential adverse claimants may be numerous and difficult to identify; if they are not joined, the possibility for inconsistent judgments exists. Judicial resources will be needlessly consumed in relitigation of the same question.

* * *

The difficulties petitioners foresee in identifying those who could be adversely affected by a decree granting broad remedial relief are undoubtedly present, but they arise from the nature of the relief sought and not because of any choice between mandatory intervention and joinder. Rule 19’s provisions for joining interested parties are designed to accommodate the sort of complexities that may arise from a decree affecting numerous people in various ways. We doubt that a mandatory intervention rule would be any less awkward. As mentioned, plaintiffs who seek the aid of the courts to alter existing employment policies, or the employer who might be subject to conflicting decrees, are best able to bear the burden of designating those who would be adversely affected if plaintiffs prevail; these parties will generally have a better understanding of the scope of likely relief than employees who are not named but might be affected. Petitioners’ alternative does not eliminate the need for, or difficulty of, identifying persons who, because of their interests, should be included in a lawsuit. It merely shifts that responsibility to less able shoulders.

* * *

* * * A voluntary settlement in the form of a consent decree between one group of employees and their employer cannot possibly “settle,”

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voluntarily or otherwise, the conflicting claims of another group of employees who do not join in the agreement. This is true even if the second group of employees is a party to the litigation:

“[P]arties who choose to resolve litigation through settlement may not dispose of the claims of a third party * * * without that party’s agreement. A court’s approval of a consent decree between some of the parties therefore cannot dispose of the valid claims of nonconsenting intervenors.” * * *

Insofar as the argument is bottomed on the idea that it may be easier to settle claims among a disparate group of affected persons if they are all before the Court, joinder bids fair to accomplish that result as well as a regime of mandatory intervention.

* * *

Affirmed.

JUSTICE STEVENS, with whom JUSTICE BRENNAN, JUSTICE MARSHALL, and JUSTICE BLACKMUN join, dissenting.

As a matter of law there is a vast difference between persons who are actual parties to litigation and persons who merely have the kind of interest that may as a practical matter be impaired by the outcome of a case. Persons in the first category have a right to participate in a trial and to appeal from an adverse judgment; depending on whether they win or lose, their legal rights may be enhanced or impaired. Persons in the latter category have a right to intervene in the action in a timely fashion, or they may be joined as parties against their will. But if they remain on the sidelines, they may be harmed as a practical matter even though their legal rights are unaffected. One of the disadvantages of sideline-sitting is that the bystander has no right to appeal from a judgment no matter how harmful it may be.

In this case the Court quite rightly concludes that the white firefighters who brought the second series of Title VII cases could not be deprived of their legal rights in the first series of cases because they had neither intervened nor been joined as parties. * * * The consent decrees obviously could not deprive them of any contractual rights, such as seniority, * * * or accrued vacation pay, * * * or of any other legal rights, such as the right to have their employer comply with federal statutes like Title VII * * *. There is no reason, however, why the consent decrees might not produce changes in conditions at the white firefighters’ place of employment that, as a practical matter, may have a serious effect on their opportunities for employment or promotion even though they are not bound by the decrees in any legal sense. The fact that one of the effects of a decree is to curtail the job opportunities of nonparties does not mean that the

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nonparties have been deprived of legal rights or that they have standing to appeal from that decree without becoming parties.

Persons who have no right to appeal from a final judgment—either because the time to appeal has elapsed or because they never became parties to the case—may nevertheless collaterally attack a judgment on certain narrow grounds. If the court had no jurisdiction over the subject matter, or if the judgment is the product of corruption, duress, fraud, collusion, or mistake, under limited circumstances it may be set aside in an appropriate collateral proceeding. * * * This rule not only applies to parties to the original action, but also allows

interested third parties collaterally to attack judgments. In both civil and criminal cases, however, the grounds that may be invoked to support a collateral attack are much more limited than those that may be asserted as error on direct appeal. Thus, a person who can foresee that a lawsuit is likely to have a practical impact on his interests may pay a heavy price if he elects to sit on the sidelines instead of intervening and taking the risk that his legal rights will be impaired.

In this case there is no dispute about the fact that respondents are not parties to the consent decrees. It follows as a matter of course that they are not bound by those decrees. Those judgments could not, and did not, deprive them of any legal rights. The judgments did, however, have a practical impact on respondents' opportunities for advancement in their profession. For that reason, respondents had standing to challenge the validity of the decrees, but the grounds that they may advance in support of a collateral challenge are much more limited than would be allowed if they were parties prosecuting a direct appeal. * * *

There is nothing unusual about the fact that litigation between adverse parties may, as a practical matter, seriously impair the interests of third persons who elect to sit on the sidelines. Indeed, in complex litigation this Court has squarely held that a sideline-sitter may be bound as firmly as an actual party if he had adequate notice and a fair opportunity to intervene and if the judicial interest in finality is sufficiently strong. * * *

There is no need, however, to go that far in order to agree with the District Court's eminently sensible view that compliance with the terms of a valid decree remedying violations of Title VII cannot itself violate that statute or the Equal Protection Clause. The city of Birmingham, in entering into and complying with this decree, has made a substantial step toward the eradication of the long history of pervasive racial discrimination that has plagued its fire department. The District Court, after conducting a trial and carefully considering respondents' arguments, concluded that this effort is lawful and should go forward. Because respondents have thus already had their day in court and have failed to carry their burden, I would

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vacate the judgment of the Court of Appeals and remand for further proceedings consistent with this opinion.

NOTES AND QUESTIONS

1. The specific holding of *Martin*, in the Title VII arena, was legislatively overruled by Section 108 of the Civil Rights Act of 1991, Pub.L.No. 102-166, tit. I, § 108, 105 Stat. 1071, 1076. The 1991 Act prohibits challenges to employment consent decrees by individuals who had actual notice and a reasonable opportunity to intervene, or whose interests were represented adequately.
2. What problems do you see with a rule requiring intervention by persons who are aware of litigation that could potentially affect their interests? Suppose a nonparty becomes aware of litigation that will affect its interests, but the litigation is taking place in a jurisdiction where the party would not be subject to in personam jurisdiction. Are there due process concerns? See Bone, *Rethinking the "Day in Court" Ideal and Nonparty Preclusion*, 67 N.Y.U.L.Rev. 193 (1992).
3. The preclusion issues addressed in *Martin* generated much commentary. See Kramer, *Consent Decrees and the Rights of Third Parties*, 87 Mich.L.Rev. 321 (1988); Pielemeier, *Due Process Limitations on the Application of Collateral Estoppel Against Nonparties to Prior Litigation*, 63 B.U.L.Rev. 383 (1983).

TAYLOR V. STURGELL

Supreme Court of the United States, 2008.
[553 U.S. 880, 128 S.Ct. 2161, 171 L.Ed.2d 155.](#)

Certiorari to the United States Court of Appeals for the District of Columbia.

JUSTICE GINSBURG delivered the opinion of the Court for a unanimous Court.

[Taylor filed a lawsuit under the Freedom of Information Act (FOIA) in the District Court for the District of Columbia seeking documents from the Federal Aviation Administration related to a vintage airplane manufactured by the Fairchild Engine and Airplane Corporation. Greg Herrick, his friend, had previously filed an unsuccessful suit in the District of Wyoming seeking the same documents. In the earlier lawsuit, the FAA successfully argued that the documents contained trade secrets and were therefore exempt from disclosure under FOIA. When Herrick appealed to the Tenth Circuit, the court of appeals affirmed the district court's judgment against him but noted that Herrick had not raised two legal issues concerning whether the documents still qualified for the trade secret exemption.

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Taylor and Herrick had no legal relationship, and there was no evidence that Taylor controlled, financed, participated in, or had notice of Herrick's lawsuit. But Taylor's suit, which was filed shortly after the Tenth Circuit's decision in Herrick's case, raised the two unresolved legal issues about the trade secret exemption that had been noted by the Tenth Circuit. The district court did not address those issues and instead granted summary judgment to defendants, holding that Taylor was barred by the District of Wyoming judgment because his interests had been virtually represented by a party in that suit, Herrick. In reaching this result, the district court relied on the Eighth Circuit's seven-factor test for virtual representation that requires an identity of interests between the nonparty and the party to the judgment, and six other factors that are relevant but not required: (1) a close relationship between the present party and a party to the judgment alleged to be preclusive; (2) participation in the prior litigation by the present party; (3) the present party's apparent

acquiescence to the preclusive effect of the judgment; (4) the present party’s deliberate maneuvering to avoid the preclusive effect of the prior judgment; (5) adequate representation of the present party by a party to the prior adjudication; and (6) a suit raising a public law (such as a constitutional question) rather than a private law issue.]

* * *

The D.C. Circuit affirmed. It observed, first, that other Circuits “vary widely” in their approaches to virtual representation. * * * In this regard, the D.C. Circuit contrasted the multifactor balancing test applied by the Eighth Circuit and the D.C. District Court with the Fourth Circuit’s narrower approach, which “treats a party as a virtual representative only if the party is ‘accountable to the nonparties who file a subsequent suit’ and has ‘the tacit approval of the court’ to act on the nonpart[ies]’ behalf.” * * *

Rejecting both of these approaches, the D.C. Circuit announced its own five-factor test. The first two factors—“identity of interests” and “adequate representation”—are necessary but not sufficient for virtual representation. * * * In addition, at least one of three other factors must be established: “a close relationship between the present party and his putative representative,” “substantial participation by the present party in the first case,” or “tactical maneuvering on the part of the present party to avoid preclusion by the prior judgment.” * * *

Applying this test to the record in Taylor’s case, the D.C. Circuit found both of the necessary conditions for virtual representation well met. * * *

* * *

We granted certiorari * * * to resolve the disagreement among the Circuits over the permissibility and scope of preclusion based on “virtual representation.” * * *

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II

* * *

Taylor’s case presents an issue of first impression in this sense: Until now, we have never addressed the doctrine of “virtual representation” adopted (in varying forms) by several Circuits and relied upon by the courts below. Our inquiry, however, is guided by well-established precedent regarding the propriety of nonparty preclusion. We review that precedent before taking up directly the issue of virtual representation.

* * *

A person who was not a party to a suit generally has not had a “full and fair opportunity to litigate” the claims and issues settled in that suit. The application of claim and issue preclusion to nonparties thus runs up against the “deep-rooted historic tradition that everyone should have his own day in court.” * * * [*Richards v. Jefferson County*, 517 U.S. 793, 798, 116 S.Ct. 1761, 1766, 135 L.Ed.2d 76, 82 (1996)].

B

Though hardly in doubt, the rule against nonparty preclusion is subject to exceptions. For present purposes, the recognized exceptions can be grouped into six categories. * * *

[The Court summarized the exceptions as: (1) a nonparty may agree to be bound by a judgment and is bound by the terms of the agreement; (2) certain substantive relationships, traditionally referred to by the term privity, may justify preclusion of a nonparty; (3) a nonparty may be bound if its interests are represented adequately by a party to the suit, citing as examples class actions and suits by trustees and guardians; (4) a nonparty who has assumed control over a lawsuit, as in *Montana*, p. 1344, *supra*, may be precluded; (5) a nonparty who has colluded to avoid the preclusive effect of a judgment by litigating through a proxy may be bound; and (6) special statutory schemes, such as bankruptcy, or other suits that are brought “only on behalf of the public at large,” see *Richards*, may bind a nonparty.]

III

Reaching beyond these six established categories, some lower courts have recognized a “virtual representation” exception to the rule against nonparty preclusion. Decisions of these courts, however, have been far from consistent. * * *

The D.C. Circuit, the FAA, and Fairchild have presented three arguments in support of an expansive doctrine of virtual representation. We find none of them persuasive.

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A

[The D.C. Circuit argued that] * * * a person may be bound by a judgment if she was adequately represented by a party to the proceeding yielding that judgment. * * * But the D.C. Circuit’s definition of “adequate representation” strayed from the meaning our decisions have attributed to that term.

* * * [Our precedent has] established that representation is “adequate” for purposes of nonparty preclusion only if (at a minimum)

one of * * * two circumstances is present. [The Court described the two circumstances as when (1) the court uses “special procedures to protect the nonparties’ interests” or (2) “an understanding by the concerned parties that the first suit was brought in a representative capacity.”] * * *

* * *

B

Fairchild and the FAA do not argue that the D.C. Circuit’s virtual representation doctrine fits within any of the recognized grounds for nonparty preclusion. Rather, they ask us to abandon the attempt to delineate discrete grounds and clear rules altogether. Preclusion is in order, they contend, whenever “the relationship between a party and a non-party is ‘close enough’ to bring the second litigant within the judgment.” * * * Courts should make the “close enough” determination, they urge, through a “heavily fact-driven” and “equitable” inquiry. * * * Only this sort of diffuse balancing, Fairchild and the FAA argue, can account for all of the situations in which nonparty preclusion is appropriate.

We reject this argument for three reasons. First, our decisions emphasize the fundamental nature of the general rule that a litigant is not bound by a judgment to which she was not a party. * * * Accordingly, we have endeavored to delineate discrete exceptions that apply in “limited circumstances.” * * * Respondents’ amorphous balancing test is at odds with the constrained approach to nonparty preclusion our decisions advance.

* * *

Our second reason for rejecting a broad doctrine of virtual representation rests on the limitations attending nonparty preclusion based on adequate representation. A party’s representation of a nonparty is “adequate” for preclusion purposes only if, at a minimum: (1) the interests of the nonparty and her representative are aligned, see *Hansberry* [p. 804, supra]; and (2) either the party understood herself to be acting in a representative capacity or the original court took care to protect the interests of the nonparty * * *. In addition, adequate representation sometimes requires (3) notice of the original suit to the persons alleged to have been represented * * *. In the class-action context, these limitations

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are implemented by the procedural safeguards contained in Federal Rule * * * 23.

An expansive doctrine of virtual representation, however, would “recogniz[e], in effect, a common-law kind of class action.” *Tice* [v. American Airlines, Inc., 162 F.3d 966, 972 (7th Cir. 1988)] * * *. That is, virtual representation would authorize preclusion based on identity of interests and some kind of relationship between parties and nonparties, shorn of the procedural protections [that are grounded in due process and] prescribed in *Hansberry*, *Richards*, and Rule 23. * * *

Third, a diffuse balancing approach to nonparty preclusion would likely create more headaches than it relieves. Most obviously, it could significantly complicate the task of district courts faced in the first instance with preclusion questions. An all-things-considered balancing approach might spark wide-ranging, time-consuming, and expensive discovery tracking factors potentially relevant under seven- or five-prong tests. And after the relevant facts are established, district judges would be called upon to evaluate them under a standard that provides no firm guidance. * * * Preclusion doctrine, it should be recalled, is intended to reduce the burden of litigation on courts and parties. * * * “In this area of the law,” we agree, “ ‘crisp rules with sharp corners’ are preferable to a round-about doctrine of opaque standards.” *Bittinger v. Tecumseh Products Co.*, 123 F.3d 877, 881 (C.A.6 1997).

C

Finally, * * * the FAA maintains that nonparty preclusion should apply more broadly in “public-law” litigation than in “private-law” controversies. To support this position, the FAA offers two arguments. First, the FAA urges * * * the plaintiff has a reduced interest in controlling the litigation “because of the public nature of the right at issue.” * * *

Taylor’s FOIA action falls within * * * the [public-law] category * * *, the FAA contends, because “the duty to disclose under FOIA is owed to the public generally.” * * * The Act, however, instructs agencies receiving FOIA requests to make the information available not to the public at large, but rather to the “person” making the request. * * * Thus, in contrast to * * * public-law litigation * * *, a successful FOIA action results in a grant of relief to the individual plaintiff, not a decree benefiting the public at large.

Furthermore, * * * States are free to adopt procedures limiting repetitive litigation [of public-law claims]. * * * It hardly follows, however, that *this Court* should proscribe or confine successive FOIA suits by different requesters. Indeed, Congress’ provision for FOIA suits with no statutory constraint on successive actions counsels against judicial imposition of constraints through extraordinary application of the common law of preclusion.

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But we are not convinced that this risk justifies departure from the usual rules governing nonparty preclusion. First, *stare decisis* will allow courts swiftly to dispose of repetitive suits brought in the same circuit. Second, even when *stare decisis* is not dispositive, “the human tendency not to waste money will deter the bringing of suits based on claims or issues that have already been adversely determined against others.” Shapiro[, *Civil Procedure: Preclusion in Civil Actions*] 97 [(2001)]. This intuition seems to be borne out by experience: The FAA has not called our attention to any instances of abusive FOIA suits in the Circuits that reject the virtual-representation theory respondents advocate here.

IV

For the foregoing reasons, we disapprove the theory of virtual representation on which the decision below rested. * * *

Although references to “virtual representation” have proliferated in the lower courts, our decision is unlikely to occasion any great shift in actual practice. Many opinions use the term “virtual representation” in reaching results at least arguably defensible on established grounds. * * *

In some cases, however, lower courts have relied on virtual representation to extend nonparty preclusion beyond the latter doctrine’s proper bounds. We now turn back to Taylor’s action to determine whether his suit is such a case, or whether the result reached by the courts below can be justified on one of the recognized grounds for nonparty preclusion.

A

It is uncontested that * * * [there] is no indication that Taylor agreed to be bound by Herrick’s litigation, that Taylor and Herrick have any legal relationship, that Taylor exercised any control over Herrick’s suit, or that this suit implicates any special statutory scheme limiting relitigation. Neither the FAA nor Fairchild contends otherwise.

It is equally clear that preclusion cannot be justified on the theory that Taylor was adequately represented in Herrick’s suit. Nothing in the record indicates that Herrick understood himself to be suing on Taylor’s behalf, that Taylor even knew of Herrick’s suit, or that the Wyoming District Court took special care to protect Taylor’s interests. Under our pathmarking precedent, therefore, Herrick’s representation was not “adequate.” * * *

That leaves only the * * * [possibility of] preclusion because a nonparty to an earlier litigation has brought suit as a representative or agent of a party who is bound by the prior adjudication. Taylor is not Herrick’s legal representative and he has not purported to sue in a representative capacity. He concedes, however, that preclusion would be appropriate if respondents could demonstrate that he is acting as Herrick’s “undisclosed agent[t].” * * *

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Respondents argue here, as they did below, that Taylor’s suit is a collusive attempt to relitigate Herrick’s action. * * * The D.C. Circuit considered a similar question in addressing the “tactical maneuvering” prong of its virtual representation test. * * * The Court of Appeals did not, however, treat the issue as one of agency, and it expressly declined to reach any definitive conclusions due to “the ambiguity of the facts.” * * * We therefore remand to give the courts below an opportunity to determine whether Taylor, in pursuing the instant FOIA suit, is acting as Herrick’s agent. Taylor concedes that such a remand is appropriate. * * *

We have never defined the showing required to establish that a nonparty to a prior adjudication has become a litigating agent for a party to the earlier case. Because the issue has not been briefed in any detail, we do not discuss the matter elaboratively here. We note, however, that courts should be cautious about finding preclusion on this basis. A mere whiff of “tactical maneuvering” will not suffice; instead, principles of agency law are suggestive. They indicate that preclusion is appropriate only if the putative agent’s conduct of the suit is subject to the control of the party who is bound by the prior adjudication. * * *

B

On remand, Fairchild suggests, Taylor should bear the burden of proving he is not acting as Herrick’s agent. * * *

We reject Fairchild’s suggestion. Claim preclusion, like issue preclusion, is an affirmative defense. * * * Ordinarily, it is incumbent on the defendant to plead and prove such a defense, * * * and we have never recognized claim preclusion as an exception to that general rule * * *. We acknowledge that direct evidence justifying nonparty preclusion is often in the hands of plaintiffs rather than defendants. * * * But “[v]ery often one must plead and prove matters as to which his adversary has superior access to the proof.” * * * In these situations, targeted interrogatories or deposition questions can reduce the information disparity. We see no greater cause here than in other matters of affirmative defense to disturb the traditional allocation of the proof burden.

* * *

For the reasons stated, the judgment of the United States Court of Appeals for the District of Columbia Circuit is vacated, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

NOTES AND QUESTIONS

1. Why might the trend toward nonparty preclusion apply more broadly in public law cases than in private law cases? Are there some substantive areas of law, such as those involving property, in which the need for finality and

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predictability ought to outweigh an individual’s autonomy interests? Professor Nagareda has urged that the law should recognize a concept of “embedded aggregation” which would permit a judgment even in a traditional one-on-one litigation to have a binding effect on a mass scope. Would recognition of this concept avoid the need for establishing safeguards of the type discussed by the Court in *Taylor*? See Nagareda, *Embedded Aggregation in Civil Litigation*, 95 Cornell L.Rev. 1105 (2010). Or would it simply change the nature of the safeguards that are needed?

- 2.Under what circumstances would *Taylor* bar issue preclusion against a nonparty to a prior litigation? In *Lynch v. Merrell-National Labs. Div. OF Richardson-Merrell, Inc.*, 646 F.Supp. 856 (D.Mass.1986), affirmed on other grounds 830 F.2d 1190 (1st Cir. 1987), plaintiff sought damages for injuries sustained by her child’s exposure during gestation to a prescription drug manufactured by defendant. Plaintiff had elected not to participate in earlier consolidated trials raising identical claims against the drug company. The court held that plaintiff was issue precluded by the earlier judgment from proving causation. Is *Lynch* at odds with the day-in-court ideal that informs the Court’s decision in *Taylor*? Or can the decision be explained by the fairness and efficiency concerns that informed the Court’s decision in *Parklane*?
- 3.Professor Bone has argued that the day-in-court ideal is supported both by process-based values—“respect for the dignity of individual litigants”—and outcome-based results—the fit between the judgment and “the entitlements the substantive law creates.” See Bone, *The Puzzling Idea of Adjudicative Representation: Lessons for Aggregation Litigation and Class Actions*, 79 Geo.Wash.L.Rev. 577, 578–83 (2011). Haven’t both of these justifications for the day-in-court ideal been compromised by such trends as summary disposition, aggregate litigation, and mass settlement? See Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Clichés Eroding Our Day in Court and Jury Trial Commitments?*, 78 N.Y.U.L.Rev. 982 (2003). Why draw the line at nonparty preclusion?
- 4.Is the doctrine of stare decisis, see p. 1266, Note 1, supra, inconsistent with the Court’s rationale against nonparty preclusion in *Taylor*? Isn’t there a strong societal interest in allowing individuals to plan and shape conduct in reliance on legal precedent? For a discussion of this argument, Minzer, *Saving Stare Decisis: Preclusion, Precedent, and Procedural Due Process*, 2010 BYU L.Rev. 597 (2010).

F. INTERSYSTEM PRECLUSION

Taylor v. Sturgell considered the preclusive effect of a federal-court judgment upon another court in the federal system. Often, however, questions of preclusion are presented to a court that is part of a different judicial system than that of the court that rendered the judgment. Should this affect the preclusive effect of the prior judgment?

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Read Article IV, § 1 of the United States Constitution and 28 U.S.C. § 1738 in the Supplement.

1.INTERSTATE PRECLUSION

HART V. AMERICAN AIRLINES, INC.

Supreme Court of New York, 1969.
[61 Misc.2d 41, 304 N.Y.S.2d 810.](#)

FRANK, JUSTICE.

* * *

The actions all arise out of the crash, in Kentucky on November 8, 1965, of an American Airlines aircraft while the plane was en route from La Guardia Airport, New York to an airport in Covington, Kentucky. The crash resulted in the death of 58 out of the 62 persons aboard and, in addition to the multiple actions pending in this court, comparable actions have been instituted in other States and in various United States District Courts.

Of the various actions instituted as a result of the crash, the first case to be tried to conclusion was that brought in the United States District Court, Northern District of Texas (*Creasy v. American Airlines*), which resulted in a verdict in favor of the plaintiff therein against the defendant American Airlines. * * * [I]t is undisputable from the pleadings and papers herein that the issue of defendant airline’s liability in these cases is identical to the issue in that regard determined in the Texas action.

In light of the Texas result which has now been affirmed on appeal, plaintiffs Landano and Kirchstein oppose defendant’s motion for a joint trial by cross-moving for summary judgment on the issue of liability which, if granted, would obviate a trial on such issue and necessarily require a denial of defendant’s motion.

Plaintiffs contend that while, concededly, they were not parties to the Texas action, nevertheless the determination in that action of defendant’s liability for the plane crash of November 8, 1965 is, under the doctrine of collateral estoppel, conclusive on the issue of defendant’s liability for such crash in the actions brought by these plaintiffs.

* * * [In order to invoke the doctrine of collateral estoppel:] “There must be an identity of issue which has necessarily been decided in the prior action and is decisive of the present action, and, second, there must have been a full and fair opportunity to contest the decision now said to be controlling.”

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* * * [S]uch requirements are amply met in the instant cases. As already indicated, the issue of defendant airline’s liability for the crash in which plaintiffs’ decedents perished is identical to the issue of liability litigated in the Texas action where defendant was

similarly charged with responsibility for that same accident. Indeed, in an airplane crash there are absent any of the problems with respect to “identity of issue” on liability which might arise in other types of accidents involving multiple participants such as automobile accident cases. With respect to the second requirement, it is in no way disputed that defendant had a full and fair opportunity to contest the issue of its liability in the course of the 19-day trial in the Texas action, and in order to defeat collateral estoppel on this ground the burden rests on the defendant to show that it had no such opportunity.

* * *

Defendant’s reliance on “full faith and credit” to defeat the application of collateral estoppel herein is misplaced. This is not a situation where the judgment, as such, of the Texas court is sought to be enforced. What is here involved is a policy determination by our courts that “ ‘One who has had his day in court should not be permitted to litigate the question anew’ ” (*B.R. De Witt, Inc. v. Hall*, 19 N.Y.2d 141, 144, *supra*), and, further, refusal “to tolerate a condition where, on relatively the same set of facts, one fact-finder, be it court or jury” may find a party liable while another exonerates him leading to the “inconsistent results which are always a blemish on a judicial system” (*Schwartz v. Public Administrator*, 24 N.Y.2d 65, 74 * * *).

Perhaps the strongest argument for applying the New York doctrine of collateral estoppel herein is the nature of the showing by defendant of the supposed “inequity” that would ensue from such application. There is a belabored emphasis on the merits of “mutuality of estoppel” and its favored status in “a majority of jurisdictions”. Such of course wholly ignores the fact that our highest court has resoundingly stated in terms leaving no room for doubt that “the ‘doctrine of mutuality’ is a dead letter” (*B.R. De Witt, Inc. v. Hall*, 19 N.Y.2d 141, 147 * * *).

Among the reasons submitted by defendant as to why it should have an opportunity to retry the issue of its liability, notwithstanding its failure to prove its freedom therefrom on the trial in Texas, is the argument that such issue was submitted to the jury under the substantive law of Kentucky which is less favorable to defendant than is the New York law. While one is tempted to wonder what the argument would be if the situation were reversed, such contention is in any event wholly without merit since a New York court would also be obliged to submit the case under the substantive law of Kentucky, the place where the crash occurred. * * *

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Even more interesting is the argument raised by defendant which may be paraphrased in Biblical terms as “hear them not for they know not what they do”. Defendant seriously suggests that the determination in the Texas action should not be accorded further conclusive effect because that action involved only a single claimant and the jury’s decision as to defendant’s negligence is somehow impaired because rendered “without any awareness whatsoever by the jury that its verdict would determine the obligation of the defendant to many other persons not before it”. It is apparently defendant’s contention that the issue as to whether or not it was negligent in the operation of its aircraft is in some manner dependent upon the number of claims which may ultimately be asserted against it.

* * *

Accordingly, plaintiffs’ cross motion for summary judgment is granted and defendant’s motion for a joint trial is denied. Settle order providing for an assessment of damages.

NOTES AND QUESTIONS

1.Is a state required to give the same preclusive effect to a judgment—neither more nor less—as would the courts of the rendering state? Or do the Full Faith and Credit statutory and constitutional provisions establish a minimum preclusive effect that one state must give another’s judgment? There has been considerable debate over whether a court can rest nonmutual preclusion on the judgment of a court that itself would require mutuality. The more common view appears to be in favor of employing the rules of the rendering court. See *Rourke v. Amchem Products, Inc.*, 384 Md. 329, 863 A.2d 926 (2004), in which the court held that under both Full Faith and Credit and common law collateral estoppel analysis, Maryland was not required to give greater preclusive effect to a Virginia judgment than Virginia would give to it, despite—as the dissent emphasized—the fact that defendants in the second suit participated in the first. This approach allows the first court the power to limit the effect of its own proceedings See 18B Wright, Miller & Cooper, *Federal Practice and Procedure* §§ 4467, 4469 (2d ed.). The issue is left open in Restatement (Second), Judgments § 86, comment *g* (1982).

Nonetheless, some courts have given nonmutual preclusive effect to a judgment that the rendering state’s courts would not have treated as preclusive. In *FINLEY v. KESLING*, 105 Ill.App.3d 1, 60 Ill.Dec. 874, 433 N.E.2d 1112 (1982), Finley testified in Indiana divorce proceedings that four of his children owned 40 percent of the stock in a family corporation, and this testimony was accepted as the basis for the division of property. Thereafter he sued his four children in Illinois for a declaration that he was the beneficial owner of the stock. The Illinois court expressed doubt whether Indiana would cling to its traditional mutuality requirement in these circumstances, but concluded that it could apply collateral estoppel without regard to what Indiana might do. In the Illinois court’s view, although a second state cannot

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reduce the effect of a judgment below the level commanded by the law of the judgment state, it can expand its effect. The court, nonetheless, advanced an alternative ground for its decision—that Illinois courts would not permit a party to contradict that person’s sworn testimony in a prior proceeding, and that this is a matter independent of the effect of judgments or Full Faith and Credit requirements.

2.Does the Due Process Clause limit efforts to expand the preclusive effect accorded a state judgment? See Shreve, *Preclusion and Federal*

Choice of Law, 64 Tex.L.Rev. 1209, 1251–63 (1986).

3. Often a plaintiff may wish to enforce a judgment in a state other than the one that rendered the judgment. The procedures for enforcing an out-of-state judgment vary from state-to-state. Sometimes it is possible simply to register the existence of the out-of-state judgment with the clerk of the court in which the judgment is to be enforced. Other times plaintiff must institute a new suit, which is then subject to abbreviated procedures. In the federal system, a judgment in an action for recovery of money or property may be registered in any other district when the judgment is final or the time to appeal has run or when ordered by the rendering court “for good cause shown.” 28 U.S.C. § 1963. See Chapter 15, p. 1204, Note 7, *supra*.

4. In *BAKER v. GENERAL MOTORS CORP.*, 522 U.S. 222, 118 S.Ct. 657, 139 L.Ed.2d 580 (1998), the Bakers subpoenaed Elwell, a former GM engineering analyst, to testify in a wrongful death action brought in Missouri against the automobile company. GM asserted Elwell’s testimony was barred by a prior Michigan court settlement and permanent injunction generally prohibiting Elwell from testifying in any litigation involving GM. Reversing the Eighth Circuit, the Supreme Court, in an opinion authored by Justice Ginsburg, held Elwell may testify “without offense” to the Full Faith and Credit requirement: “Recognition, under full faith and credit, is owed to dispositions Michigan has authority to order. But a Michigan decree cannot command obedience elsewhere on a matter the Michigan court lacks authority to resolve.” *Id.* at 240–41, 118 S.Ct. at 667–68, 139 L.Ed.2d at 597. The Court held that Michigan “lacks authority” to dictate evidentiary issues in courts of other states, in the context of actions brought by strangers to the Michigan litigation. However, the Court noted that this exception is a narrow one: “If the Bakers had been parties to the Michigan proceedings and had actually litigated the privileged character of Elwell’s testimony, the Bakers would of course be precluded from relitigating that issue in Missouri.” *Id.* at 239 n.12, 118 S.Ct. at 667 n.12, 139 L.Ed.2d at 596 n.12 (internal citations omitted).

Another example of the limits of Full Faith and Credit is that a state may refuse to entertain an enforcement proceeding on ground that its statute of limitations for such enforcement proceedings has run, even though the statute of the rendering state would not have run. And, for a final example, state statutes often specify that certain items of personal property, such as social-security payments and the last \$200 of a savings account, cannot be used to satisfy court judgments. It is not a violation of Full Faith and Credit for a state

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to refuse to enforce a judgment because it would require attachment of exempt property, even though that property would not have been considered exempt in the state rendering the judgment. For more general discussions of Full Faith and Credit, see Engdahl, *The Classic Rule of Faith and Credit*, 118 Yale L.J. 1584 (2009); Sterk, *The Muddy Boundaries Between Res Judicata and Full Faith and Credit*, 58 Wash. & Lee L.Rev. 47 (2001); Radin, *The Authenticated Full Faith and Credit Clause: Its History*, 39 Ill.L.Rev. 1 (1994); Nadelmann, *Full Faith and Credit to Judgments and Public Acts*, 56 Mich.L.Rev. 33 (1957).

The substantive areas of matrimonial and custody law present special problems for the application of preclusion.

THOMPSON V. THOMPSON

Supreme Court of the United States, 1988.
[484 U.S. 174, 108 S.Ct. 513, 98 L.Ed.2d 512.](#)

Certiorari to the United States Court of Appeals for the Ninth Circuit.

JUSTICE MARSHALL delivered the opinion of the Court.

We granted certiorari in this case to determine whether the Parental Kidnapping Prevention Act of 1980, 28 U.S.C. § 1738A, furnishes an implied cause of action in federal court to determine which of two conflicting state custody decisions is valid.

I

The Parental Kidnapping Prevention Act (PKPA or Act) imposes a duty on the States to enforce a child custody determination entered by a court of a sister State if the determination is consistent with the provisions of the Act. In order for a state court’s custody decree to be consistent with the provisions of the Act, the State must have jurisdiction under its own local law and one of five conditions set out in § 1738A(c)(2) must be met. Briefly put, these conditions authorize the state court to enter a custody decree if the child’s home is or recently has been in the State, if the child has no home State and it would be in the child’s best interest for the State to assume jurisdiction, or if the child is present in the State and has been abandoned or abused. Once a State exercises jurisdiction consistently with the provisions of the Act, no other State may exercise concurrent jurisdiction over the custody dispute, § 1738A(g), even if it would have been empowered to take jurisdiction in the first instance, and all States must accord full faith and credit to the first State’s ensuing custody decree.

As the legislative scheme suggests, and as Congress explicitly specified, one of the chief purposes of the PKPA is to “avoid jurisdictional competition and conflict between State courts.” Pub.L. 96–611, 94 Stat. 3569, § 7(c)(5), note following 28 U.S.C. § 1738A. This case arises out of a jurisdictional stalemate that came to pass notwithstanding the strictures

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of the Act. In July 1978, respondent Susan Clay (then Susan Thompson) filed a petition in Los Angeles Superior Court asking the court to dissolve her marriage to petitioner David Thompson and seeking custody of the couple’s infant son, Matthew. The court initially awarded the parents joint custody of Matthew, but that arrangement became infeasible when respondent decided to move from California

to Louisiana to take a job. The court then entered an order providing that respondent would have sole custody of Matthew once she left for Louisiana. This state of affairs was to remain in effect until the court investigator submitted a report on custody, after which the court intended to make a more studied custody determination. * * *

Respondent and Matthew moved to Louisiana in December 1980. Three months later, respondent filed a petition in Louisiana state court for enforcement of the California custody decree, judgment of custody, and modification of petitioner’s visitation privileges. By order dated April 7, 1981, the Louisiana court granted the petition and awarded sole custody of Matthew to respondent. Two months later, however, the California court, having received and reviewed its investigator’s report, entered an order awarding sole custody of Matthew to petitioner. Thus arose the current impasse.

In August 1983, petitioner brought this action in the District Court for the Central District of California. Petitioner requested an order declaring the Louisiana decree invalid and the California decree valid, and enjoining the enforcement of the Louisiana decree. Petitioner did not attempt to enforce the California decree in a Louisiana state court before he filed suit in federal court. The District Court granted respondent’s motion to dismiss the complaint for lack of subject-matter and personal jurisdiction. * * * The Court of Appeals for the Ninth Circuit affirmed. * * * We granted certiorari * * * and we now affirm.

II

* * *

We examine initially the context of the PKPA with an eye toward determining Congress’ perception of the law that it was shaping or reshaping. * * * At the time Congress passed the PKPA, custody orders held a peculiar status under the full faith and credit doctrine, which requires each State to give effect to the judicial proceedings of other States, see U.S. Const., Art. IV, § 1; 28 U.S.C. § 1738. The anomaly traces to the fact that custody orders characteristically are subject to modification as required by the best interests of the child. As a consequence, some courts doubted whether custody orders were sufficiently “final” to trigger full faith and credit requirements, * * * and this Court had declined expressly to settle the question. See *Ford v. Ford*, 371 U.S. 187, 192, 83 S.Ct. 273, 276, 9 L.Ed.2d 240 (1962). Even if custody orders were subject to full faith and

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credit requirements, the Full Faith and Credit Clause obliges States only to accord the same force to judgments as would be accorded by the courts of the State in which the judgment was entered. Because courts entering custody orders generally retain the power to modify them, courts in other States were no less entitled to change the terms of custody according to their own views of the child’s best interest. * * * For these reasons, a parent who lost a custody battle in one State had an incentive to kidnap the child and move to another State to relitigate the issue. This circumstance contributed to widespread jurisdictional deadlocks like this one, and more importantly, to a national epidemic of parental kidnapping. At the time the PKPA was enacted, sponsors of the Act estimated that between 25,000 and 100,000 children were kidnapped by parents who had been unable to obtain custody in a legal forum. See Parental Kidnapping Prevention Act of 1979: Joint Hearing on S. 105 before the Subcommittee on Criminal Justice of the Judiciary Committee and the Subcommittee on Child and Human Development of the Committee on Labor and Human Resources, 96th Cong., 2d Sess., 10 (1980) (hereinafter PKPA Joint Hearing) (statement of Sen. Malcolm Wallop).

A number of States joined in an effort to avoid these jurisdictional conflicts by adopting the Uniform Child Custody Jurisdiction Act (UCCJA), 9 U.L.A. §§ 1–28 (1979). The UCCJA prescribed uniform standards for deciding which State could make a custody determination and obligated enacting States to enforce the determination made by the State with proper jurisdiction. The project foundered, however, because a number of States refused to enact the UCCJA while others enacted it with modifications. In the absence of uniform national standards for allocating and enforcing custody determinations, noncustodial parents still had reason to snatch their children and petition the courts of any of a number of haven States for sole custody.

The context of the PKPA therefore suggests that the principal problem Congress was seeking to remedy was the inapplicability of full faith and credit requirements to custody determinations. Statements made when the Act was introduced in Congress forcefully confirm that suggestion. The sponsors and supporters of the Act continually indicated that the purpose of the PKPA was to provide for nationwide enforcement of custody orders made in accordance with the terms of the UCCJA. As Acting Deputy Attorney General Michel testified:

* * *

“In essence [the PKPA] would impose on States a Federal duty, under enumerated standards derived from the UCCJA, to give full faith and credit to the custody decrees of other States. Such legislation would, in effect, amount to Federal adoption of key provisions of the UCCJA for all States and would eliminate the

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incentive for one parent to remove a minor child to another jurisdiction.” PKPA Joint Hearing 48.

* * * [T]he [Full Faith and Credit Clause] “only prescribes a rule by which courts, Federal and state, are to be guided when a question arises in the progress of a pending suit as to the faith and credit to be given by the court to the public acts, records, and judicial proceedings of a State other than that in which the court is sitting.” [Minnesota v. Northern Securities Co., 194 U.S. 48, 72, 24 S.Ct. 598, 605, 48 L.Ed. 870, 881 (1904)]. Because Congress’ chief aim in enacting the PKPA was to extend the requirements of the Full Faith and

Credit Clause to custody determinations, the Act is most naturally construed to furnish a rule of decision for courts to use in adjudicating custody disputes and not to create an entirely new cause of action. It thus is not compatible with the purpose and context of the legislative scheme to infer a private cause of action. * * *

The language and placement of the statute reinforce this conclusion. The PKPA, 28 U.S.C. § 1738A, is an addendum to the full faith and credit statute, 28 U.S.C. § 1738. This fact alone is strong proof that the Act is intended to have the same operative effect as the full faith and credit statute.

* * *

In sum, the context, language, and history of the PKPA together make out a conclusive case against inferring a cause of action in federal court to determine which of two conflicting state custody decrees is valid. Against this impressive evidence, petitioner relies primarily on the argument that failure to infer a cause of action would render the PKPA nugatory. We note, as a preliminary response, that ultimate review remains available in this Court for truly intractable jurisdictional deadlocks. In addition, the unspoken presumption in petitioner’s argument is that the States are either unable or unwilling to enforce the provisions of the Act. This is a presumption we are not prepared, and more importantly, Congress was not prepared, to indulge. State courts faithfully administer the Full Faith and Credit Clause every day; now that Congress has extended full faith and credit requirements to child custody orders, we can think of no reason why the courts’ administration of federal law in custody disputes will be any less vigilant. Should state courts prove as obstinate as petitioner predicts, Congress may choose to revisit the issue. But any more radical approach to the problem will have to await further legislative action; we “will not engraft a remedy on a statute, no matter how salutary, that Congress did not intend to provide.” *California v. Sierra Club*, 451 U.S. 287, 297 (1981). The judgment of the Court of Appeals is affirmed.

It is so ordered.

[JUSTICE O’CONNOR concurred in part and concurred in the judgment. JUSTICE SCALIA concurred in the judgment.]

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NOTES AND QUESTIONS

1. Thompson v. Thompson raised the issue of interstate preclusion when each state retains jurisdiction over a dispute. In the context of custody disputes, a court always can reopen proceedings if it is in the best interests of the child. The ability to reopen the case, then, is actually what is granted preclusive effect.

2.In PARKER v. HOEFER, 2 N.Y.2d 612, 162 N.Y.S.2d 13, 142 N.E.2d 194, cert. denied, 355 U.S. 833, 78 S.Ct. 51, 2 L.Ed.2d 45 (1957), the New York Court of Appeals gave Full Faith and Credit to a Vermont final judgment, notwithstanding the fact that the underlying claim was not enforceable in New York. In holding that plaintiff could initiate an enforcement action in New York, the court said:

* * * [T]he plaintiff is not attempting to enforce in the courts of New York an action for alienation of affections and criminal conversation, which have been abolished in New York but, rather, to enforce a judgment rendered in Vermont as between these parties, which was final and conclusive on the rights litigated. New York cannot retry the case or review as on appeal the Vermont judgment. * * * The present suit, then, is upon an entirely different cause of action from that merged in the judgment * * * and may not be called a suit on an action abolished in New York. * * *

Id. at 617, 162 N.Y.S.2d at 17, 142 N.E.2d at 197.

3.In V.L. v. E.L., 577 U.S. 404, 136 S.Ct. 1017, 194 L.Ed.2d 92 (2016), the Supreme Court held that the Alabama Supreme Court erred in refusing to enforce a Georgia adoption decree involving the child of a same-sex couple that later separated. The Alabama court held that it was not required to accord Full Faith and Credit to the Georgia judgment because the Georgia court lacked subject-matter jurisdiction to enter an adoption decree while still recognizing the parental rights of the non-adoptive party. The Supreme Court rejected that argument. Although a court, before according recognition to a sister state’s judgment, may inquire into the decree’s jurisdictional basis, in this case the Georgia judgment “on its face” appeared under Georgia law to have been entered by a court with jurisdiction and therefore warranted respect. Id. at 407–08, 136 S.Ct. at 1022, 194 L.Ed.2d at 96.

2.STATE-FEDERAL PRECLUSION

Although it is generally agreed that the Full Faith and Credit Clause of the Constitution applies only to state courts, 28 U.S.C. § 1738 imposes the same general principles on the federal courts, requiring them to accord Full Faith and Credit to the judgments of state courts. Because the requirement is statutory and not constitutional, however, it may be supervened. For example, the writ of habeas corpus, 28 U.S.C. §§ 2241–55, provides a federal forum in which people who have been convicted of crimes in state court may litigate constitutional claims arising out of their

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prosecutions. Under traditional rules of preclusion, this subsequent action would be prevented.

What other circumstances might justify departing from the usual rules of intersystem preclusion? Consider, for example, cases involving federal issues. Should a federal court give preclusive effect to a state court’s determination of federal law? What about circumstances in which the federal claim arises only by way of defense, and thus the original action could not have been removed to

federal court? What if the issue falls in an area, such as copyright, within the exclusive jurisdiction of the federal courts?

ALLEN v. McCURRY
Supreme Court of the United States, 1980.
449 U.S. 90, 101 S.Ct. 411, 66 L.Ed.2d 308.

Certiorari to the United States Court of Appeals for the Eighth Circuit.

JUSTICE STEWART delivered the opinion of the Court.

[McCurry was charged with possession of heroin in a state-court proceeding. At a pretrial suppression hearing, the trial judge excluded some of the evidence on the ground that it was the product of an illegal police search, but admitted the drugs and other contraband that the officers had found “in plain view.” McCurry subsequently was convicted after a jury trial. McCurry later filed a civil action for damages under 42 U.S.C. § 1983, claiming that Allen and other police officers had unconstitutionally searched his house and seized the property that had been used to convict him. The district court granted Allen and the other defendants summary judgment, holding that McCurry already had raised the Fourth Amendment issue unsuccessfully in the state-court proceeding. The court of appeals reversed, holding that the issue should be allowed to go to trial unencumbered by rules of issue preclusion due to the special role of the federal courts in protecting civil rights.]

* * *

In recent years, this Court has reaffirmed the benefits of collateral estoppel in particular, finding the policies underlying it to apply in contexts not formerly recognized at common law. Thus, the Court has eliminated the requirement of mutuality in applying collateral estoppel to bar relitigation of issues decided earlier in federal-court suits, * * * and has allowed a litigant who was not a party to a federal case to use collateral estoppel “offensively” in a new federal suit against the party who lost on the decided issue in the first case * * *. But one general limitation the Court has repeatedly recognized is that the concept of collateral estoppel cannot apply when the party against whom the earlier decision is asserted did not

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have a “full and fair opportunity” to litigate that issue in the earlier case. * * *

The federal courts generally have * * * consistently accorded preclusive effect to issues decided by state courts. * * * Thus, res judicata and collateral estoppel not only reduce unnecessary litigation and foster reliance on adjudication, but also promote the comity between state and federal courts that has been recognized as a bulwark of the federal system. * * *

Indeed, though the federal courts may look to the common law or to the policies supporting res judicata and collateral estoppel in assessing the preclusive effect of decisions of other federal courts, Congress has specifically required all federal courts to give preclusive effect to state-court judgments whenever the courts of the State from which the judgments emerged would do so * * * [citing 28 U.S.C. § 1738]. It is against this background that we examine the relationship of § 1983 and collateral estoppel, and the decision of the Court of Appeals in this case.

III

This Court has never directly decided whether the rules of res judicata and collateral estoppel are generally applicable to § 1983 actions. But in *Preiser v. Rodriguez*, 411 U.S. 475, 497, 93 S.Ct. 1827, 1840, 36 L.Ed.2d 439 [(1973)], the Court noted with implicit approval the view of other federal courts that res judicata principles fully apply to civil rights suits brought under that statute. * * * And the virtually unanimous view of the Courts of Appeals since *Preiser* has been that § 1983 presents no categorical bar to the application of res judicata and collateral estoppel concepts.¹⁰ These federal appellate court decisions have spoken with little explanation or citation in assuming the compatibility of § 1983 and rules of preclusion, but the statute and its legislative history clearly support the courts’ decisions.

Because the requirement of mutuality of estoppel was still alive in the federal courts until well into this century, * * * the drafters of the 1871 Civil Rights Act, of which § 1983 is a part, may have had less reason to concern themselves with rules of preclusion than a modern Congress would. Nevertheless, in 1871 res judicata and collateral estoppel could certainly have applied in federal suits following state-court litigation between the same parties or their privies, and nothing in the language of § 1983 remotely expresses any congressional intent to contravene the common-law rules of preclusion or to repeal the express statutory requirements of the predecessor of 28 U.S.C. § 1738 * * *. Section 1983

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creates a new federal cause of action. It says nothing about the preclusive effect of state-court judgments.

Moreover, the legislative history of § 1983 does not in any clear way suggest that Congress intended to repeal or restrict the traditional doctrines of preclusion. The main goal of the Act was to override the corrupting influence of the Ku Klux Klan and its sympathizers on the governments and law enforcement agencies of the Southern States, see *Monroe v. Pape*, 365 U.S. 167, 174, 81 S.Ct. 473, 477, 5 L.Ed.2d 492, and of course the debates show that one strong motive behind its enactment was grave congressional concern that the state courts had been deficient in protecting federal rights * * *. But in the context of the legislative history as a whole, this

congressional concern lends only the most equivocal support to any argument that, in cases where the state courts have recognized the constitutional claims asserted and provided fair procedures for determining them, Congress intended to override § 1738 or the common-law rules of collateral estoppel and res judicata. Since repeals by implication are disfavored, * * * much clearer support than this would be required to hold that § 1738 and the traditional rules of preclusion are not applicable to § 1983 suits.

As the Court has understood the history of the legislation, Congress realized that in enacting § 1983 it was altering the balance of judicial power between the state and federal courts. * * * But in doing so, Congress was adding to the jurisdiction of the federal courts, not subtracting from that of the state courts. * * * The debates contain several references to the concurrent jurisdiction of the state courts over federal questions, and numerous suggestions that the state courts would retain their established jurisdiction so that they could, when the then current political passions abated, demonstrate a new sensitivity to federal rights.

To the extent that it did intend to change the balance of power over federal questions between the state and federal courts, the 42d Congress was acting in a way thoroughly consistent with the doctrines of preclusion. In reviewing the legislative history of § 1983 * * * the Court inferred that Congress had intended a federal remedy in three circumstances: where state substantive law was facially unconstitutional, where state procedural law was inadequate to allow full litigation of a constitutional claim, and where state procedural law, though adequate in theory, was inadequate in practice. * * * In short, the federal courts could step in where the state courts were unable or unwilling to protect federal rights. * * * This understanding of § 1983 might well support an exception to res judicata and collateral estoppel where state law did not provide fair procedures for the litigation of constitutional claims, or where a state court failed to even acknowledge the existence of the constitutional principle on which a litigant based his claim. Such an exception, however, would be essentially the same as the important general limit on rules of preclusion that already

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exists: Collateral estoppel does not apply where the party against whom an earlier court decision is asserted did not have a full and fair opportunity to litigate the claim or issue decided by the first court. * * * But the Court’s view of § 1983 in *Monroe* lends no strength to any argument that Congress intended to allow relitigation of federal issues decided after a full and fair hearing in a state court simply because the state court’s decision may have been erroneous.

* * *

The actual basis of the Court of Appeals’ holding appears to be a generally framed principle that every person asserting a federal right is entitled to one unencumbered opportunity to litigate that right in a federal district court, regardless of the legal posture in which the federal claim arises. But the authority for this principle is difficult to discern. It cannot lie in the Constitution, which makes no such guarantee, but leaves the scope of the jurisdiction of the federal district courts to the wisdom of Congress. And no such authority is to be found in § 1983 itself. For reasons already discussed at length, nothing in the language or legislative history of § 1983 proves any congressional intent to deny binding effect to a state-court judgment or decision when the state court, acting within its proper jurisdiction, has given the parties a full and fair opportunity to litigate federal claims, and thereby has shown itself willing and able to protect federal rights. And nothing in the legislative history of § 1983 reveals any purpose to afford less deference to judgments in state criminal proceedings than to those in state civil proceedings. There is, in short, no reason to believe that Congress intended to provide a person claiming a federal right an unrestricted opportunity to relitigate an issue already decided in state court simply because the issue arose in a state proceeding in which he would rather not have been engaged at all.

* * *

The only other conceivable basis for finding a universal right to litigate a federal claim in a federal district court is hardly a legal basis at all, but rather a general distrust of the capacity of the state courts to render correct decisions on constitutional issues. * * *

The Court of Appeals erred in holding that McCurry’s inability to obtain federal habeas corpus relief upon his Fourth Amendment claim renders the doctrine of collateral estoppel inapplicable to his § 1983 suit. Accordingly, the judgment is reversed, and the case is remanded to the Court of Appeals for proceedings consistent with this opinion.

It is so ordered.

JUSTICE BLACKMUN, with whom JUSTICE BRENNAN and JUSTICE MARSHALL join, dissenting.

* * *

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The following factors persuade me to conclude that this respondent should not be precluded from asserting his claim in federal court. First, at the time § 1983 was passed, a nonparty’s ability, as a practical matter, to invoke collateral estoppel was nonexistent. One could not preclude an opponent from relitigating an issue in a new cause of action, though that issue had been determined conclusively in a prior proceeding, unless there was “mutuality.” Additionally, the definitions of “cause of action” and “issue” were narrow. As a result, and obviously, no preclusive effect could arise out of a criminal proceeding that would affect subsequent *civil* litigation. Thus, the 42d Congress could not have anticipated or approved that a criminal defendant, tried and convicted in state court, would be precluded from raising against police officers a constitutional claim arising out of his arrest.

Also, the process of deciding in a state criminal trial whether to exclude or admit evidence is not at all the equivalent of a § 1983 proceeding. The remedy sought in the latter is utterly different. In bringing the civil suit the criminal defendant does not seek to challenge

his conviction collaterally. At most, he wins damages. In contrast, the exclusion of evidence may prevent a criminal conviction. A trial court, faced with the decision whether to exclude relevant evidence, confronts institutional pressures that may cause it to give a different shape to the Fourth Amendment right from what would result in civil litigation of a damages claim. Also, the issue whether to exclude evidence is subsidiary to the purpose of a criminal trial, which is to determine the guilt or innocence of the defendant, and a trial court, at least subconsciously, must weigh the potential damage to the truth-seeking process caused by excluding relevant evidence. * * *

NOTES AND QUESTIONS

1. The logic of *Allen* was soon extended by the Supreme Court. In *MIGRA v. WARREN CITY SCHOOL DISTRICT BOARD OF EDUCATION*, 465 U.S. 75, 104 S.Ct. 892, 79 L.Ed.2d 56 (1984), the Court found that a prior state court adjudication precluded plaintiff's subsequent federal civil rights action under 42 U.S.C. § 1983 because she could have, but did not, raise her constitutional claims in the prior action. Justice Blackmun, who dissented in *Allen*, wrote for the Court:

Petitioner suggests that to give state-court judgments full issue preclusive effect but not claim preclusive effect would enable litigants to bring their state claims in state court and their federal claims in federal court, thereby taking advantage of the relative expertise of both forums. Although such a division may seem attractive from a plaintiff's perspective, it is not the system established by § 1738. That statute embodies the view that it is more important to give full faith and credit to state-court judgments than to ensure separate forums

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for federal and state claims. This reflects a variety of concerns, including notions of comity, the need to prevent vexatious litigation, and a desire to conserve judicial resources.

In the present litigation, petitioner does not claim that the state court would not have adjudicated her federal claims had she presented them in her original suit in state court. Alternatively, petitioner could have obtained a federal forum for her federal claim by litigating it first in a federal court. Section 1983, however, does not override state preclusion law and guarantee petitioner a right to proceed to judgment in state court on her state claims and then turn to federal court for adjudication of her federal claims. We hold, therefore, that petitioner's state-court judgment in this litigation has the same claim preclusive effect in federal court that the judgment would have in the Ohio state courts.

Id. at 84, 104 S.Ct. at 898, 79 L.Ed.2d at 64.

2. In *MARRESE v. AMERICAN ACADEMY OF ORTHOPAEDIC SURGEONS*, 470 U.S. 373, 105 S.Ct. 1327, 84 L.Ed.2d 274 (1985), a case arising under the Sherman Act, Justice O'Connor set forth a two-step approach for determining the preclusive effect of a state court judgment in a subsequent suit over which federal courts have exclusive jurisdiction. First, applying the Full Faith and Credit Statute, the federal court must determine whether *state* claim preclusion law would preclude the federal suit. If not, there is no preclusion. If the state would bar the federal action, then, as a second step, the federal court must determine whether the relevant federal law contains an implied or explicit exception to 28 U.S.C. § 1738. The *Marrese* Court remanded the case before it for a determination of how Illinois would have treated the second lawsuit, thereby avoiding the issue of whether the Sherman Act creates an exception to 28 U.S.C. § 1738.

In most cases *Marrese* will prevent preclusion. This is so because virtually every state follows the "prior jurisdictional competency" rule, which prohibits preclusion of a claim beyond the rendering court's jurisdiction. Since state courts cannot hear cases when the federal court's jurisdiction is exclusive, the prior jurisdictional competency rule would prevent a state court from precluding such cases; *Marrese* prohibits federal courts from precluding claims that would not be precluded under state rules.

Marrese does raise the possibility, however, of the application of state issue preclusion rules whenever a congressional grant of exclusive jurisdiction is deemed not to imply an exception to 28 U.S.C. § 1738. The application of state rules of issue preclusion often will effectively eliminate the federal action. See *Murphy v. Gallagher*, 761 F.2d 878 (2d Cir. 1985) (state rules of issue preclusion apply in later federal securities fraud action, over which federal court has exclusive jurisdiction, even though the result is to dispose of entire federal action). The Supreme Court has since applied the *Marrese* test in *Matsushita Electric Industrial Co. v. Epstein*, 516 U.S. 367, 116 S.Ct. 873, 134 L.Ed.2d 6 (1996), involving a judgment of a Delaware state court settling a

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shareholder class action. Justice Thomas held that under Section 1738, the Delaware judgment was entitled to Full Faith and Credit even though it settled state law claims as well as federal securities claims that could not have been litigated in state court because they were within the exclusive subject-matter jurisdiction of the federal courts. Writing separately, Justice Ginsburg dissented in part on the ground that the denial of an opportunity to raise exclusively federal issues raised due process concerns. For an analysis of *Matsushita*'s effects on state court settlements encompassing exclusively federal claims, see Kahan & Silberman, *Matsushita and Beyond: The Role of State Courts in Class Actions Involving Exclusive Federal Claims*, 1996 Sup.Ct.Rev. 219.

3. In *KREMER v. CHEMICAL CONSTRUCTION CORP.*, 456 U.S. 461, 102 S.Ct. 1883, 72 L.Ed.2d 262 (1982), the Court held that, although plaintiff initially could have sued in federal court on an employment discrimination claim, once he had opted to appeal a state agency determination of an employment discrimination charge in state court, he was subject to the usual rules of preclusion. Having litigated in state court, he could relitigate the issues in federal court only if there was reason to doubt the quality, extensiveness, or fairness of the procedures followed in the state court action. Justice Blackmun, in dissent, argued that the nature of the state court review was different from the review that a federal district court would give the action. The standard of review in state court was whether the state agency's determination was arbitrary; a federal court would have engaged in a full adjudication on the merits of the employment-discrimination claim.

3.FEDERAL-STATE PRECLUSION

Must a state court grant preclusive effect to a prior federal court judgment? The general requirement that federal judgments be given Full Faith and Credit in state courts never has been challenged seriously, even though the constitutional clause by its text does not apply to the situation, and even though most courts agree that Section 1738 is inapplicable as well. Commentators invoke various provisions of the Constitution (including the Supremacy Clause and the “case or controversy” doctrine of Article III) to support binding state courts to federal court judgments.

The conclusion that state courts are obliged to grant preclusive effect to federal court judgments does not determine which rules of preclusion the state should apply. There is almost universal agreement that federal preclusion rules usually apply in a state court when the prior federal-court judgment involved a federal question. Should federal preclusion rules define the effect of a prior federal judgment deciding state-law claims? Arguably, the *Erie* doctrine, p. 445, supra, requires the court to treat a prior federal determination of the claim in the same way that it would treat a prior state determination of the claim; under Section 1738, that would mean the application of the preclusion rules of the state in which the rendering federal court sits.

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The Restatement of Judgments adopted the position that, although federal law ultimately must control the choice of preclusion rules, federal law should mandate the application of state rules when those rules are important to the effectuation of substantive state policies. Restatement (Second), Judgments § 87 (1982). See also 18B Wright, Miller & Cooper, Federal Practice and Procedure §§ 4468, 4472 (2d ed.).

SEMTEK INTERNATIONAL INC. v. LOCKHEED MARTIN CORP.
Supreme Court of the United States, 2001.
[531 U.S. 497, 121 S.Ct. 1021, 149 L.Ed.2d 32.](#)

Certiorari to the Court of Special Appeals of Maryland.

JUSTICE SCALIA delivered the opinion for a unanimous Court.

[Petitioner sued respondent in a California state court, alleging breach of contract and various business torts. After removal to the United States District Court for the Central District of California on the basis of diversity of citizenship, the action was dismissed “on the merits and with prejudice” because it was barred by California’s two-year statute of limitations. The Ninth Circuit affirmed. Petitioner also brought suit against respondent in the Circuit Court for Baltimore City, Maryland, alleging the same causes of action, which were not time barred under Maryland’s three-year statute of limitations. Respondent asked the California federal court to enjoin this action; it also removed the Maryland state court action on federal question grounds (diversity grounds were not available because Lockheed “is a Maryland citizen”). The California federal court denied the requested relief, and the Maryland federal court remanded the case to state court because the federal question arose only by way of defense. The Maryland state court granted Lockheed’s motion to dismiss on the ground of res judicata. Petitioner appealed the Maryland trial court’s order of dismissal to the Maryland Court of Special Appeals. That court affirmed, holding that, regardless of whether California would have accorded claim preclusive effect to a statute of limitations dismissal by one of its own courts, the dismissal by the California federal court barred the Maryland complaint since the res judicata effect of federal diversity judgments is prescribed by federal law, under which the earlier dismissal was “on the merits” and claim preclusive. The Maryland Court of Appeals declined to review the case.]

* * *

II

Petitioner contends that the outcome of this case is controlled by *Dupasseur v. Rochereau*, 21 Wall. 130, 135 (1874), which held that the res judicata effect of a federal diversity judgment “is such as would belong to

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judgments of the State courts rendered under similar circumstances,” and may not be accorded any “higher sanctity or effect.” Since, petitioner argues, the dismissal of an action on statute-of-limitations grounds by a California state court would not be claim preclusive, it follows that the similar dismissal of this diversity action by the California federal court cannot by claim preclusive. While we agree that this would be the result demanded by *Dupasseur*, the case is not dispositive because it was decided under the Conformity Act of 1872, 17 Stat. 196, which required federal courts to apply the procedural law of the forum State in nonequity cases.

Respondent, for its part, contends that the outcome of this case is controlled by Federal Rule * * * 41(b), which provides as follows:

* * * Unless the court in its order for dismissal otherwise specifies, a dismissal under this subdivision and any dismissal not provided for in this rule, other than a dismissal for lack of jurisdiction, for improper venue, or for failure to join a party under Rule 19, operates as an adjudication upon the merits.

Since the dismissal here did not “otherwise specify” (indeed, it specifically stated that it was “on the merits”), and did not pertain to the excepted subjects of jurisdiction, venue, or joinder, it follows, respondent contends, that the dismissal “is entitled to claim preclusive effect.”⁵ * * * Implicit in this reasoning is the unstated minor premise that all judgments denominated “on the merits” are entitled to

claim-preclusive effect. That premise is not necessarily valid. The original connotation of an “on the merits” adjudication is one that actually “pass[es] directly on the substance of [a particular] claim” before the court. Restatement § 19, Comment *a*, at 161. That connotation remains common to every jurisdiction of which we are aware. See *ibid.* * * * And it is, we think, the meaning intended in those many statements to the effect that a judgment “on the merits” triggers the doctrine of res judicata or claim preclusion. * * *

But over the years the meaning of the term “judgment on the merits” “has gradually undergone change,” R. Marcus, M. Redish, & E. Sherman, *Civil Procedure: A Modern Approach* 1140–1141 (3d ed. 2000), and it has come to be applied to some judgments (such as the one involved here) that do *not* pass upon the substantive merits of a claim and hence do *not* (in many jurisdictions) entail claim-preclusive effect. * * * That is why the Restatement of Judgments has abandoned the use of the term—“because of its possibly misleading connotations,” Restatement § 19, Comment *a*, at 161.

In short, it is no longer true that a judgment “on the merits” is necessarily a judgment entitled to claim-preclusive effect; and there are a number of reasons for believing that the phrase “adjudication upon the

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merits” does not bear that meaning in Rule 41(b). To begin with, Rule 41(b) sets forth nothing more than a default rule for determining the import of a dismissal (a dismissal is “upon the merits,” with the three stated exceptions, unless the court “otherwise specifies”). This would be a highly peculiar context in which to announce a federally prescribed rule on the complex question of claim preclusion, saying in effect, “All federal dismissals (with three specified exceptions) preclude suit elsewhere, unless the court otherwise specifies.”

And even apart from the purely default character of Rule 41(b), it would be peculiar to find a rule governing the effect that must be accorded federal judgments by other courts ensconced in rules governing the internal procedures of the rendering court itself. Indeed, such a rule would arguably violate the jurisdictional limitation of the Rules Enabling Act: that the Rules “shall not abridge, enlarge or modify any substantive right” * * *. In the present case, for example, if California law left petitioner free to sue on this claim in Maryland even after the California statute of limitations had expired, the federal court’s extinguishment of that right (through Rule 41(b)’s mandated claim-preclusive effect of its judgment) would seem to violate this limitation.

Moreover, as so interpreted, the rule would in many cases violate the federalism principle of *Erie R. Co. v. Tompkins* * * * [p. 445, supra] by engendering “ ‘substantial’ variations [in outcomes] between state and federal litigation” which would “likely . . . influence the choice of a forum,” *Hanna v. Plumer* * * * [p. 468, supra]. With regard to the claim-preclusion issue involved in the present case, for example, the traditional rule is that expiration of the applicable statute of limitations merely bars the remedy and does not extinguish the substantive right, so that dismissal on that ground does not have claim-preclusive effect in other jurisdictions with longer, unexpired limitation periods. * * * Out-of-state defendants sued on stale claims in California and in other States adhering to this traditional rule would systematically remove state-law suits brought against them to federal court—where, unless otherwise specified, a statute-of-limitations dismissal would bar suit everywhere.

Finally, if Rule 41(b) did mean what respondent suggests, we would surely have relied upon it in our cases recognizing the claim-preclusive effect of federal judgments in federal-question cases. Yet for over half a century since the promulgation of Rule 41(b), we have not once done so. * * *

We think the key to a more reasonable interpretation of the meaning of “operates as an adjudication upon the merits” in Rule 41(b) is to be found in Rule 41(a), which, in discussing the effect of voluntary dismissal by the plaintiff, makes clear that an “adjudication upon the merits” is the opposite of a “dismissal without prejudice” * * *. * * * The primary meaning

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of “dismissal without prejudice,” we think, is dismissal without barring the defendant from returning later, to the same court, with the same underlying claim. That will also ordinarily (though not always) have the consequence of not barring the claim from *other* courts, but its primary meaning relates to the dismissing court itself. Thus, Black’s Law Dictionary (7th ed. 1999) defines “dismissed without prejudice” as “removed from the court’s docket in such a way that the plaintiff may refile the same suit on the same claim,” * * * and defines “dismissal without prejudice” as “[a] dismissal that does not bar the plaintiff from refiling the lawsuit within the applicable limitations period,” *ibid.*

We think, then, that the effect of the “adjudication upon the merits” default provision of Rule 41(b)—and, presumably, of the explicit order in the present case that used the language of that default provision—is simply that, unlike a dismissal “without prejudice,” the dismissal in the present case barred refiling of the same claim in the United States District Court for the Central District of California. That is undoubtedly a necessary condition, but it is not a sufficient one, for claim-preclusive effect in other courts.

III

Having concluded that the claim-preclusive effect, in Maryland, of this California federal diversity judgment is dictated neither by *Dupasseur v. Rochereau*, as petitioner contends, nor by Rule 41(b), as respondent contends, we turn to consideration of what determines the issue. Neither the Full Faith and Credit Clause * * * [and] no other federal textual provision, neither of the Constitution nor of any statute, addresses the claim-preclusive effect of a judgment in a federal diversity action.

It is also true, however, that no federal textual provision addresses the claim-preclusive effect of a federal-court judgment in a

federal-question case, yet we have long held that States cannot give those judgments merely whatever effect they would give their own judgments, but must accord them the effect that this Court prescribes. * * * The reasoning of that line of cases suggests, moreover, that even when States are allowed to give federal judgments * * * no more than the effect accorded to state judgments, that disposition is by direction of *this* Court, which has the last word on the claim-preclusive effect of *all* federal judgments * * *. In other words, in *Dupasseur* the State was allowed (indeed, required) to give a federal diversity judgment no more effect than it would accord one of its own judgments only because reference to state law was the *federal rule that this Court deemed appropriate*. In short, federal common law governs the claim-preclusive effect of a dismissal by a federal court sitting in diversity. * * *

It is left to us, then, to determine the appropriate federal rule. And despite the sea change that has occurred in the background law since

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Dupasseur was decided * * * we think the result decreed by *Dupasseur* continues to be correct for diversity cases. Since state, rather than federal, substantive law is at issue there is no need for a uniform federal rule. And indeed, nationwide uniformity in the substance of the matter is better served by having the same claim-preclusive rule (the state rule) apply whether the dismissal has been ordered by a state or a federal court. This is, it seems to us, a classic case for adopting, as the federally prescribed rule of decision, the law that would be applied by state courts in the State in which the federal diversity court sits. * * * As we have alluded to above, any other rule would produce the sort of “forum-shopping . . . and . . . inequitable administration of the laws” that *Erie* seeks to avoid * * * since filing in, or removing to, federal court would be encouraged by the divergent effects that the litigants would anticipate from likely grounds of dismissal. * * *

This federal reference to state law will not obtain, of course, in situations in which the state law is incompatible with federal interests. * * * No such conflict with potential federal interests exists in the present case. Dismissal of this state cause of action was decreed by the California federal court only because the California statute of limitations so required; and there is no conceivable federal interest in giving that time bar more effect in other courts than the California courts themselves would impose.

* * *

Because the claim-preclusive effect of the California federal court’s dismissal “upon the merits” of petitioner’s action on statute-of-limitations grounds is governed by a federal rule that in turn incorporates California’s law of claim preclusion (the content of which we do not pass upon today), the Maryland Court of Special Appeals erred in holding that the dismissal necessarily precluded the bringing of this action in the Maryland courts. The judgment is reversed * * *.

It is so ordered.

NOTES AND QUESTIONS

1. The rule in *Semtek* requires courts to apply federal common law to determine the preclusive effect of an earlier judgment of a federal court that exercised diversity jurisdiction, but the federal common law rule adopts the rule of preclusion of the state in which the federal diversity court sat. Will this rule, as Justice Scalia posits, really reduce forum shopping?.

2. In what circumstances might the Supreme Court conclude that the application of a state preclusion standard is “incompatible” with federal interests?

3. What happens if a state court, in attempting to apply federal preclusion doctrine, makes a mistake? If the parties return to federal court to

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correct the error, is the federal court nevertheless bound to give effect to the state court judgment? In *PARSONS STEEL, INC. v. FIRST ALABAMA BANK*, 474 U.S. 518, 106 S.Ct. 768, 88 L.Ed.2d 877 (1986), the Alabama appeals court mistakenly rejected a plea of res judicata that a prior federal judgment barred the state action. The Supreme Court held that as a matter of Full Faith and Credit, the state court’s determination of the res judicata issue was entitled to the same preclusive effect it would have had in the rendering state.

4. If a plaintiff properly brings an action in federal court and fails to include certain related state claims that fall within the court’s supplemental jurisdiction under 28 U.S.C. § 1367, should that plaintiff be permitted to litigate those claims in a subsequent state action? The Restatement (Second), Judgments § 25, comment *e* (1982) recommends that preclusion result if the federal court would have exercised jurisdiction over the claims. Yet even assuming that answer is correct, difficult questions remain. How will a court considering such preclusion determine whether the first court would have exercised its discretion in favor of supplemental jurisdiction?

Before the enactment of 28 U.S.C. § 1367, a commentator suggested that when the federal claim is decided after a full trial on the merits, or when it is decided by default judgment, the state claims should be precluded from subsequent litigation. But when the federal claim is dismissed for lack of jurisdiction, improper venue, or failure to join an indispensable party, preclusion should not attach. Similarly, when the federal claim is dismissed for failure to state a claim on which relief can be granted, plaintiff should not be precluded from subsequently filing a state suit asserting the state claims. See Note, *The Res Judicata Implications of Pendent Jurisdiction*, 66 Cornell L.Rev. 608 (1981).

NWOSUN v. GENERAL MILLS RESTAURANTS, INC., 124 F.3d 1255 (10th Cir. 1997), cert. denied, 523 U.S. 1064, 118 S.Ct. 1398, 140 L.Ed.2d 654 (1998), involved a retaliatory discharge action filed in Oklahoma state court against plaintiff’s employer. Plaintiff then filed a race discrimination claim in Oklahoma federal court, challenging his discharge. The federal court granted summary judgment against plaintiff for failure to

exhaust his administrative remedies, and the appeals court affirmed. Plaintiff then amended the state court complaint to include the discrimination claim, and defendant removed the action to federal court. The appeals court affirmed the district court’s grant of summary judgment on the ground of res judicata:

Res judicata * * * requires that the party had a full and fair opportunity to litigate the claim in the prior suit. * * * The fairness of the process is determined by examining any procedural limitations, the party’s incentive to fully litigate the claim, and whether effective litigation was limited * * *

When a federal claim is disposed of pretrial, any supplemental state claims are generally dismissed without prejudice. If [plaintiff] had alleged both theories of recovery in *Nwosun II*, his suit would have been in precisely this posture since the federal claim was disposed of

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by summary judgment. His state retaliatory discharge claim would therefore have been ripe for dismissal without prejudice. * * * This is a procedural limitation that arguably could have affected *Nwosun*’s ability to litigate his state claim in *Nwosun II*.

However, the district court retains the discretion to exercise jurisdiction over the supplemental claim after pretrial adjudication of the federal claim. * * * It would be pure speculation to conclude that the district court would not have exercised its jurisdiction over the state claim had it been brought in the federal action.

One of the main policy considerations underlying res judicata is the interest in bringing litigation to an end. * * * If we were to participate in the speculative gymnastics required to determine whether a federal court would or would not have exercised its supplemental jurisdiction over a state claim never brought, we would be doing disservice to the policy considerations res judicata protects. * * * We are persuaded that uncertainty over whether a federal court would have exercised [pendant] jurisdiction does not justify a conclusion that a plaintiff was denied a full and fair opportunity to litigate a claim. * * *

We have found nothing under the Oklahoma law of res judicata to convince us that Oklahoma would have permitted Mr. *Nwosun* to proceed with *Nwosun I* after the same cause of action was dismissed in *Nwosun II* had these state law claims remained in state court. Since [plaintiff] failed to assert his state retaliatory discharge claim under the federal court’s supplemental jurisdiction in *Nwosun II*, we conclude the district court correctly held him barred by the doctrine of res judicata from litigation of that claim in *Nwosun I*.

Id. at 1257–58. What is your response?

5. *Semtek* decided the appropriate rule of claim preclusion for a judgment rendered by a federal court sitting in diversity. Should the same rule apply to the issue preclusive effect of a diversity judgment? And what rule of preclusion should a diversity court apply to the judgment of a prior diversity court of another state? See *CSX Transportation, Inc. v. General Mills, Inc.*, 846 F.3d 1333 (11th Cir. 2017) (adopting Georgia’s rule denying nonmutual issue preclusion as the federal common law rule for determining the preclusive effects of a prior federal diversity judgment based on Florida law).

4.INTERSYSTEM ADMINISTRATIVE PRECLUSION

The Supreme Court has held that 28 U.S.C. § 1738 is limited in scope to the judgments of courts, and does not apply to the decisions of administrative agencies. Recall the discussion, see p. 1323, Note 1, *supra*, regarding the quality of administrative determinations and the preclusive effect accorded to factual and legal decisions of administrative agencies. Increasingly, states are moving toward giving preclusive effect *within the*

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state court system to the decisions of state administrative agencies. What preclusive effect should a federal court give to the determination of a state administrative agency?

In *UNIVERSITY OF TENNESSEE v. ELLIOTT*, 478 U.S. 788, 106 S.Ct. 3220, 92 L.Ed.2d 635 (1986), plaintiff was discharged as an employee of the University. He commenced an action in federal court alleging that the discharge was racially motivated and violated Title VII of the Civil Rights Act of 1964 and 42 U.S.C. § 1983. While the federal lawsuit was pending, a state administrative law judge found that the discharge was not racially motivated, and the University moved for summary judgment in the federal action on the ground of issue preclusion. The Sixth Circuit denied preclusion on both the Title VII and the Section 1983 claims. The Supreme Court affirmed the ruling as to Title VII and reversed as to Section 1983.

On both points, the Court looked to legislative intent, and found that Title VII showed a clear legislative intent not to accord unreviewed state administrative proceedings preclusive effect on a later-filed Title VII discrimination claim. However, no such intent was present in the history of 42 U.S.C. § 1983; neither was there evidence that Congress “wished to foreclose the adaption of traditional principles of preclusion to such subsequent developments as the burgeoning use of administrative adjudication in the 20th century.” Id. at 797, 106 S.Ct. at 3225, 92 L.Ed.2d at 645. Rather, following the policy developed in *Utah Construction & Mining Co.*, p. 1323, Note 1, *supra*, and *Kremer*, p. 1372, Note 3, *supra*, the Court held that it was appropriate to devise a federal common law rule of preclusion to administrative factfinding, so that when a state administrative agency is acting in a judicial capacity and gives the parties an adequate opportunity to litigate disputed issues of fact, the agency’s fact finding will receive the same preclusive effect as would be accorded in the state’s courts. The Court remanded for a determination of whether the agency provided the litigant the necessary opportunity to be heard.

NOTES AND QUESTIONS

1. Once the Supreme Court found, based on legislative intent, that certain claims could not be precluded by state agency findings of fact (Title VII claims) but that others could be precluded (Section 1983 claims), the federal courts were left to decide which federal statutes fell into each category. In *ASTORIA FEDERAL SAVINGS & LOAN ASSOCIATION v. SOLIMINO*, 501 U.S. 104, 111 S.Ct. 2166, 115 L.Ed.2d 96 (1991), the Supreme Court provided some guidance as to what level of congressional intent is required to defeat the presumption in favor of administrative preclusion. The Court rejected a test that would have required a “clear statement” by Congress, and held that the presumption would apply unless “administrative preclusion would be

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inconsistent with Congress’ intent in enacting the particular statute.” The “clear statement” test would have provided more certainty to lower courts trying to determine when administrative preclusion should apply. Why then did the Court reject the “clear statement” test in favor of a less certain test that requires congressional intent to be discerned by inference?

2. *Elliott* addressed the issue preclusive effect accorded unreviewed state administrative determinations under federal common law. Does it also require a federal court to give the same *claim* preclusive effect to a state administrative agency as would a court of the rendering state? The Eleventh Circuit addressed this issue in *GJELLUM v. CITY OF BIRMINGHAM*, 829 F.2d 1056 (11th Cir. 1987). Although *Migra*, p. 1370, Note 1, *supra*, held that Section 1983 did not create an exception to state claim preclusion laws under the Full Faith and Credit statute, the court in *Gjellum* saw different interests at stake when the administrative determination was not subject to judicial review:

With respect to the claim preclusive effect of unreviewed state agency rulings, we conclude that the importance of the federal rights at issue, the desirability of avoiding the forcing of litigants to file suit initially in federal court rather than seek relief in an unreviewed administrative proceeding, and the limitations of state agencies as adjudicators of federal rights override the lessened federalism concerns implicated outside the contours of the full faith and credit statute. In addition, claim preclusion, unlike issue preclusion, does not create a risk of inconsistent results in this context after *Elliott* because claim preclusion seeks to prevent litigation of issues that were not adjudicated before the state agency. We hold therefore that, at least in the context of section 1983 suits, the federal common law of preclusion does not require application of state claim preclusion rules to unreviewed state administrative decisions.

Id. at 1064–65. Assume that a state establishes a Personnel Court to decide employment discrimination disputes. Is the state’s characterization of the decision-maker as judicial dispositive for purposes of 28 U.S.C. § 1738? See *McINNES v. CALIFORNIA*, 943 F.2d 1088 (9th Cir. 1991), in which the Ninth Circuit explained:

[F]ederal law, not state law, ultimately governs the question of what constitutes a “court” within the meaning of section 1738. Section 1738 is a federal statute, and as such its interpretation is a matter of federal law. Section 1738 requires the federal courts to follow state preclusion law under certain circumstances—for example, when a prior judgment has been rendered by a state court and is sufficiently authenticated—but whether the conditions for preclusion exist is a question of federal law. We look to state law to identify the attributes and functions of an entity, and the state’s characterization of the entity is entitled to some deference, but federal law ultimately

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determines whether the entity is a court for purposes of section 1738. * * *

The [Personnel Board] certainly enjoys adjudicatory or quasi-judicial powers. However, that the [Board] has these powers does not make it a court. Such powers are common to many administrative agencies, including the New York State Division of Human Rights, the state agency whose decision was at issue in *Kremer*. * * *

Id. at 1094–95. Does *Solimino*, p. 1380, Note 1, *supra*, support or undermine this analysis?

3. In arbitration, the parties agree by contract to be bound by the decision of a third party. It is more informal than judicial adjudication, but uses some adversarial procedures. Arbitration is studied in Chapter 18, *infra*. Should arbitral determinations be given claim or issue preclusive effect in a judicial proceeding? See Carlisle, *Getting a Full Bite of the Apple: When Should the Doctrine of Issue Preclusion Make an Administrative or Arbitral Determination Binding in a Court of Law?*, 55 Fordham L.Rev. 63 (1986). Does the answer to the question turn exclusively on the parties’ intent as reflected in their contract, or should the court in its discretion consider the procedural character of the arbitral proceeding and the substantive policies at stake? See Shell, *Res Judicata and Collateral Estoppel Effects of Commercial Arbitration*, 35 UCLA L.Rev. 623 (1988). Should it matter that in some settings (such as employment), arbitration is a mandatory and not a negotiated feature of the commercial relationship? See Kim, *Arbitrating Statutory Rights in the Union Setting: Breaking the Collective Interest Problem Without Damaging Labor Relations*, 65 U.Chi.L. Rev. 225 (1998).

^aThe rule was changed and the substance now appears in Rule 56(a).

^bThe Court’s description of claim preclusion appears at p. 1260, *supra*.

^cAll quotations in the excerpt are from: Restatement (Second) of Judgments § 68, Comment *e* (Tent. Draft No. 4, 1977) [§ 27].

^dIndiana Rule 68: Offer of judgment

* * * An offer not accepted shall be deemed withdrawn and evidence thereof is not admissible except in a proceeding to determine costs. If the judgment finally obtained by the offeree is not more favorable than the offer, the offeree must pay the costs incurred after the making of the offer. The fact that an offer is made but not accepted does not preclude a subsequent offer. * * *

⁹ Here, we are dealing with the reservation of a claim for damages. However, there may be cases where a party desires to reserve an issue or another cause of action. The same rule would apply in those situations.

¹⁰ Indiana Rules of Procedure, Trial Rule 12(B) states, in part:

“ * * * When a motion to dismiss is sustained for failure to state a claim under subdivision (B)(6) of this rule the pleading may be amended once as of right pursuant to Rule 15(A) within ten [10] days after service of notice of the court’s order sustaining the motion and thereafter with permission of the court pursuant to such rule. * * * ”

However, Anderson may not take advantage of this rule by amending the complaint, then arguing it has met the requirements set out by this opinion. Obviously, the claim or issue must be in the complaint at the time the parties reach an agreement or enter a judgment.

² * * * Holmberg recognizes that the question whether she was disabled for purposes of PERS is not the same question as whether she was disabled for purposes of the Alaska Workers’ Compensation Act. * * * Holmberg limits her collateral estoppel claim to the narrower factual question whether she was physically able to work at Risk Management. However, she maintains that the resolution of this factual issue in her favor is tantamount to a finding that she was permanently and totally disabled for purposes of workers’ compensation because the state conceded as much in the AWCB proceeding.

³ Foreexample, the State’s argument that collateral estoppel is not properly invoked between two independent tribunals which have statutory discretion to fashion separate remedies confuses issue preclusion with claim preclusion. * * * AWCB’s authority to fashion a separate remedy is no argument against precluding the relitigation of identical factual issues decided in an earlier PERB proceeding. * * *

³ The position of the Court of Appeals for the Second Circuit is in conflict with that taken by the Court of Appeals for the Fifth Circuit in *Rachal v. Hill*, 435 F.2d 59.

⁴ In this context, offensive use of collateral estoppel occurs when the plaintiff seeks to foreclose the defendant from litigating an issue the defendant has previously litigated unsuccessfully in an action with another party. Defensive use occurs when a defendant seeks to prevent a plaintiff from asserting a claim the plaintiff has previously litigated and lost against another defendant.

³¹³ The Restatement (Second) of Judgments (Tent. Draft No. 2, 1975) § 88(3), provides that application of collateral estoppel may be denied if the party asserting it “could have effected joinder in the first action between himself and his present adversary.”

¹⁵ If, for example, the defendant in the first action was forced to defend in an inconvenient forum and therefore was unable to engage in full scale discovery or call witnesses, application of offensive collateral estoppel may be unwarranted. Indeed, differences in available procedures may sometimes justify not allowing a prior judgment to have estoppel effect in a subsequent action even between the same parties, or where defensive estoppel is asserted against a plaintiff who has litigated and lost. The problem of unfairness is particularly acute in cases of offensive estoppel, however, because the defendant against whom estoppel is asserted typically will not have chosen the forum in the first action. See * * * [Restatement (Second) of Judgments (Tentative Draft No. 2, 1975) § 88(2)] and Comment *d*.

¹⁷ *SEC v. Everest Management Corp.*, 475 F.2d 1236, 1240 (CA2) (“[T]he complicating effect of the additional issues and the additional parties outweighs any advantage of a single disposition of the common issues.”). Moreover, consolidation of a private action with one brought by the SEC without its consent is prohibited by statute. 15 U.S.C. § 78u(g).

¹⁹ It is true, of course, that the petitioners in the present action would be entitled to a jury trial of the issues bearing on whether the proxy statement was materially false and misleading had the SEC action never been brought—a matter to be discussed in Part II of this opinion. But the presence or absence of a jury as factfinder is basically neutral, quite unlike, for example, the necessity of defending the first lawsuit in an inconvenient forum.

²⁴ Much of the delay in jury trials is attributed to the jury selection, voir dire and the charge. See H. Zeisel, H. Kalven, & B. Buchholtz, *Delay in the Court* 79 (1959). None of these delaying factors will be avoided by today’s decision.

² We have recognized an exception to the general rule when, in certain limited circumstances, a person, although not a party, has his interests adequately represented by someone with the same interests who is a party. See *Hansberry v. Lee* * * * [p. 804, *supra*] (“class” or “representative” suits); Fed.Rule Civ.Proc. 23 (same); *Montana v. United States* * * * [p. 1344, *supra*] (control of litigation on behalf of one of the parties in the litigation). Additionally, where a special remedial scheme exists expressly foreclosing successive litigation by nonlitigants, as for example in bankruptcy or probate, legal proceedings may terminate preexisting rights if the scheme is otherwise consistent with due process. See * * * *Tulsa Professional Collection Services, Inc.* * * * [p. 246, Note 4, *supra*] (nonclaim statute terminating unsubmitted claims against the estate). Neither of these exceptions, however, applies in this case.

¹⁰ * * * A very few courts have suggested that the normal rules of claim preclusion should not apply in § 1983 suits in one peculiar circumstance: Where a § 1983 plaintiff seeks to litigate in federal court a federal issue which he could have raised but did not raise in an earlier state-court suit against the same adverse party. * * * These cases present a narrow question not now before us, and we intimate no view as to whether they were correctly decided.

⁵The quoted language was altered in 2007 without substantive effect.

CHAPTER 18

ALTERNATIVE DISPUTE RESOLUTION



This chapter examines alternative dispute resolution (“ADR”), an umbrella term for private decision-making mechanisms that include arbitration, mediation, and negotiation. The use of ADR became widespread after the 1970s in response to perceived defects in litigation and adversarial process. Over the last generation, courts have integrated ADR into their adjudicative procedures, and consumer and employment contracts now routinely mandate ADR should disputes arise. The institutionalization of ADR, including its enforcement by state-sponsored power, has raised concerns about the absence of meaningful consent to its use and the fairness of its procedures. To the extent that ADR does not function as a freely negotiated system of private dispute resolution, critics argue that it should be publicly regulated and not automatically exempt from the requirements of the Due Process Clause, the jury trial right, or other public laws. What new problems, as well as new possibilities, does ADR present for the fair and efficient resolution of disputes?

A. ADR AND THE CRITIQUE OF ADVERSARIAL JUSTICE

ADR is the collective shorthand for a cluster of privately organized practices that offer an alternative to adjudication. When the push for ADR began, proponents argued that the traditional lawsuit had become too expensive and was too emotionally enervating given its reliance on legal formality, procedural regularity, and elite third-party decision-makers. Chief Justice Burger posed the problem in the title of his article, *Isn’t There a Better Way?*, 68 A.B.A.J. 274 (1982). Later, the Chief Justice bluntly stated that litigation “is too costly, too painful, too destructive, too inefficient for a truly civilized people.” Burger, Remarks at the Midyear Meeting of the American Bar

Association (Feb. 13–14, 1984), reprinted in 52 U.S.L.W. 2471 (Feb. 28, 1984). Proponents of ADR responded to this critique by offering innovative procedures for use outside of the court system. See Reynolds, *Games, Dystopia, and ADR*, 27 Ohio St.J. on Disp. Resol. 477 (2012). In this earlier period, ADR was characterized as an informal and inexpensive process that could expedite dispute resolution, enhance relationships, and reduce decision-making costs.

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ADR now is understood to offer not a single alternative to court-centered adjudication but rather multiple processes that are practiced in a variety of private as well as public places. See Sternlight, *Is Binding Arbitration a Form of ADR?: An Argument That the Term “ADR” Has Begun To Outlive Its Usefulness*, 2000 J.Disp.Resol. 97, 99. As one commentator has explained, “The first obstacle to an understanding of the role of ADR is the sheer breadth and diversity of activities to be taken into account, a breathtaking range of approaches and strategies that we lump under the heading of ‘ADR’ (an outmoded acronym that survives as a matter of convenience).” Stipanowich, *ADR and the “Vanishing Trial”: The Growth and Impact of “Alternative Dispute Resolution,”* 1 J. Empirical Legal Stud. 843, 845 (2004). New terms such as “litigotiation” have been coined for practices that combine elements of ADR and traditional adjudication. Galanter, *Worlds of Deals: Using Negotiation to Teach about Legal Process*, 34 J. Legal Educ. 268, 268 (1984). In place of the transsubstantive procedure of the federal courts, commentators now speak of the need for “appropriate” (rather than alternative) modes of resolution specific to the dispute. See Sternlight, *ADR Is Here: Preliminary Reflections on Where It Fits in a System of Justice*, 3 Nev.L.J. 289, 295 (2002–03).

Since the 1970s, ADR has moved outside the commercial and family context and is now a routine and mandatory feature of consumer and employment contracts. See *Developments in the Law—The Paths of Civil Litigation*, 113 Harv.L.Rev. 1851 (2000). Critics warn that ADR’s increasing use is having negative effects on public life, pointing to elimination of the jury right, dilution of due process, and uninformed, unknowing, or mandated waivers of federal statutory protections. Professor Miller has observed, “Compelled private adjudication essentially is now competing with the public adjudicatory system and replacing access to the courts, the possibility of jury trial, and any process transparency.” Miller, *Simplified Pleading, Meaningful Days in Court, and Trials on the Merits: Reflections on the Deformation of Federal Procedure*, 88 N.Y.U.L.Rev. 286, 328–29 (2013).

This section introduces the basic forms of ADR and identifies the features that distinguish them from court-based adjudication. As you read these materials, consider whether ADR mechanisms differ qualitatively from adjudication or whether they really are only different points on a procedural spectrum. In particular, focus carefully on these questions:

Who presides over the dispute? Possibilities include: a judge, an officer of the state with professional education in the law; a lawyer with similar professional training; an expert in the field in which the dispute arose with no legal training; a representative of the community; the disputants with the help of a neutral third party; the disputants themselves.

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What is the source of the standard for resolution? Possibilities include: rules established by legislatures and courts (“law”); the prior practice of those similarly situated; community values; standards developed by the disputants themselves.

Who speaks for the disputants? Possibilities include: lawyers; persons without professional legal training (including friends, relatives, or neighbors); the disputants themselves.

What is the nature and extent of fact finding and standard-finding? Possibilities include: no factfinding or standard-finding; monopolization of these tasks by a third party; the sharing of these tasks by a third party and the disputants and their representatives; responsibility in the disputants and their representatives alone.

Who decides the dispute? Possibilities include: a third party privately chosen by the disputants; a third party mandated by the state; the parties themselves; the parties through their lawyers.

What remedies are available and awarded? Possibilities include: compensatory damages; punitive damages; group monetary awards; individual equitable relief; company- or industry-wide structural reforms.

What is the binding effect of any resolution? Possibilities include: binding on the parties through coercive sanctions; binding on the parties in an advisory or precatory sense; binding on nonparties; binding on the parties in ways that they decide themselves; binding when enforced through a court’s coercive power.

Who pays for the decision-making process? Possibilities include: taxpayers; industry groups; the claimant; the parties to the dispute; the losing party.

Who can access the process and its decisional results? Possibilities include: the parties; industry groups; the public-at-large; the courts.

NOTES AND QUESTIONS

1.At the start of the AD R movement, commentators suggested establishing a Dispute Resolution Center that would match disputes to the decision-making mechanism “best suited for the resolution of the particular controversy”:

Take, for example, a case involving a minor assault by one neighbor against another growing out of increasing anger over a trespassing dog.

Presently such a dispute would probably wind up in criminal court because that is the tag society has placed on this type of conflict.

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But since the parties really want help in resolving this interpersonal problem, not a determination of whether A struck B, the case might well be sent to mediation, at least in the first instance. Similar treatment might be accorded to a landlord-tenant dispute over the adequacy of the services provided by the landlord. But if the landlord sought to raise questions about the constitutionality of the rent-control law, then obviously that case would have to be sent to the regular court. * * *

Sander, *Varieties of Dispute Processing*, in *The Pound Conference: Perspectives on Justice in the Future* 65 (Levin & Wheeler eds. 1979); see also Sander, *The Multidoor Courthouse*, National Forum, Vol. LXIII, No. 4, Fall 1983. For a criticism of the view that disputes can be resolved by matching them to different processing techniques, see Sarat, *The “New Formalism” in Disputing and Dispute Processing*, 21 Law & Soc’y Rev. 695 (1987–1988).

2.ADR presumes that private parties should have wide authority to design the procedures and substantive rules that govern their disputes. Is there a danger that a stronger party will impose an unfair process or one-sided rules that work to its advantage? Won’t some private arrangements negatively affect individuals who are not parties to the dispute and have no say in its resolution? See Davis & Hershkoff, *Contracting for Procedure*, 53 Wm. & Mary L.Rev. 507, 513 (2011). Should the public be able to access ADR decisions that involve dangerous products, employers who are sexual predators, or other matters than pertain to health and safety?

B. FORMS OF ALTERNATIVE DISPUTE PROCESS

1.NEGOTIATION

Negotiation is a process that allows the parties to choose both the procedures and standards that will help them reach a settlement of their dispute. Negotiation can take place in a variety of places and can be conceptualized along a temporal continuum. Some cases may reach a settlement before litigation is ever commenced. In this setting, a lawsuit reflects a failed negotiation, and each party, for different reasons, may believe he can achieve better results through a formal, law-based process supervised by an impartial judge. The filing of a lawsuit, however, often precipitates a new round of negotiation, this time under the auspices of the court. In the federal system, a judge may invoke Rule 16 managerial authority to encourage and even to require the disputants to attempt to negotiate a settlement during the pretrial phase of the litigation or once trial has begun. In some settlements, information gained through the discovery process may shift some of the power imbalance that might have existed at the commencement of the suit. Although in the early stages of some disputes the parties may represent themselves, once a lawsuit is

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commenced it is likely that lawyers will take charge of negotiations; both counsel and a party who has settlement authority will be expected to attend judicially mandated settlement conferences.

Proponents of negotiation cast it as an alternative to the “win-lose” mentality of litigation. Because negotiation is said to focus on the parties’ interests, rather than on their positions, theoretically it creates a procedural space that distances the parties from the problem that divides them and potentially creates a “win-win” situation that maximizes overall gain. See Fisher & Ury, *Getting to Yes: Negotiating Agreement Without Giving In* 73 (1981). A commentator has explained:

In contrast [to adjudication], the universe and operation of norms in dispute-negotiation is typically open-ended. Thus it is characteristic of dispute-negotiation that when norms collide account is taken of both, although the eventual settlement may reflect an adjustment for relative applicability and weight. Similarly, the parties in dispute-negotiation may accord partial or even full recognition to a norm that is generally deemed subordinate or even legally invalid, so that a negligent plaintiff who has no “right” to prevail in a tort action because of the doctrine of contributory negligence may nevertheless make a favorable settlement by reason of the legally invalid but socially real principle of comparative negligence. Finally, parties to dispute-negotiation can and frequently do take person-oriented norms into account as freely as act-oriented norms.

Eisenberg, *Private Ordering Through Negotiation: Dispute-Settlement and Rulemaking*, 89 Harv.L.Rev. 637, 644–45 (1976). Studies indicate that the parties’ success in reaching and accepting a negotiated solution turns on perceptions of fairness, as well as on compliance with substantive law. See Hollander-Blumoff & Tyler, *Procedural Justice in Negotiation: Procedural Fairness, Outcome Acceptance, and Integrative Potential*, 33 L. & Soc. Inq’y 473 (2008). An influential commentary emphasizes that negotiation takes place “in the shadow of the law,” which sets the parameters and terms of an acceptable deal even when the parties do not seek judicial intervention. See Mnookin & Kornhauser, *Bargaining in the Shadow of the Law: The Case of Divorce*, 88 Yale L.J. 950 (1979).

2.MEDIATION

Mediation is a process that uses a third party as a “go-between” to assist the disputants in reaching a settlement of their differences. Mediation differs from “lawyers only” bargaining sessions in that the mediator functions as a neutral party with no personal interest in the outcome of the case and is not empowered to render a decision. See Tarpley, *ADR, Jurisprudence, and Myth*, 17 Ohio St.J. on Disp. Resol. 113, 116

(2001). The mediator's role is to help the parties find common ground and to identify potential paths to resolution. Proponents underscore the potential of mediation to encourage the parties' self-determination and autonomous decision-making. See Welsh, *The Thinning Vision of Self-Determination in Court-Connected Mediation: The Inevitable Price of Institutionalization?*, 6 Harv.Negot.L.Rev. 1, 4 (2001).

Mediation lacks any discovery mechanism to force the opposing side to reveal information (for example, about finances) that may be critical to a full and fair evaluation of the dispute. Although the disputants decide themselves the standard for resolution, other values, such as those of the mediator or the community, also come into play. Disputants often but do not always represent themselves; some mediators actively discourage the presence of lawyers and witnesses. Mediation is considered to be most appropriate when the disputants have equal bargaining power, when they engage in the process voluntarily, and when they have a relationship that they believe is important to preserve. In its ideal form, rather than attempting to assess blame for past conduct, mediation focuses on the future and encourages prospective changes in behavior. Mediators come from a variety of backgrounds and often have differing conceptions of their proper role. See Daiker, *No J.D. Required: The Critical Role and Contributions of Non-Lawyer Mediators*, 24 Rev. Litig. 499 (2005); see also Alberstein, *Forms of Mediation and Law: Cultures of Dispute Resolution*, 22 Ohio St.J. on Disp. Resol. 321 (2007). The mediator might be a former attorney, someone familiar with the norms of a particular industry, someone specially trained as a mediator, or simply a member of the community. Mediators also use a variety of approaches, broadly categorized as facilitative, transformative, and evaluative. Thus, some mediators actively intervene to suggest possible grounds for settlement and to persuade the disputants to settle. If successful, mediation results in a signed agreement that defines the parties' future behavior and may be enforceable in court.

Proponents saw mediation as an appropriate process to resolve disputes between neighbors or family members, and early mediation programs often were located in family courts and "community justice centers." Hensler, *Our Courts, Ourselves: How the Alternative Dispute Resolution Movement Is Re-Shaping Our Legal System*, 108 Penn St.L.Rev. 165, 172 (2003); see also Brazil, *Hosting Mediations as a Representative of the System of Civil Justice*, 22 Ohio St.J. on Disp. Resol. 227, 237 (2007). Critics questioned whether in practice mediation benefited claimants from subordinated groups, such as women, people of color, consumers, and workers. See Grillo, *The Mediation Alternative: Process Dangers for Women*, 100 Yale L.J. 1545 (1991). Some research has suggested that once litigation commences, women have a greater preference than men for mediation in the two types of lawsuits studied, "slip and fall" and pay

discrimination cases. See Wofford, *The Effect of Gender and Relational Distance on Plaintiff Decision Making in the Litigation Process*, 51 Law & Soc'y Rev. 966 (2017).

Over time, mediation has emerged in many contexts that seem at odds with the core notion of voluntarism and autonomy. For example, "court-annexed mediation" programs directing the parties to mediation have become entrenched within civil court systems. See Ward, *Mandatory Court-Annexed Alternative Dispute Resolution in the United States Federal Courts: Panacea or Pandemic?*, 81 St. John's L.Rev. 77 (2007). Proponents of this development argue that it relieves courts of caseload burdens. See Brazil, *Should Court-Sponsored ADR Survive?*, 21 Ohio St.J. on Disp. Resol. 241, 245 (2006). Mediation also has gained wide acceptance in private commercial contexts. See Nolan-Haley, *Mediation: The "New Arbitration,"* 17 Harv. Negot.L.Rev. 61, 68 (2012). According to one report, 96 percent of major corporations utilize mediation for a range of matters including employment and consumer disputes. See Lipsky, *How Corporate America Uses Conflict Management: The Evidence from a New Survey of the Fortune 1000*, 30 Alternatives to High Cost Litig. 139, 140 (2012); see also Lande, *Getting the Faith: Why Business Lawyers and Executives Believe in Mediation*, 5 Harv. Negot.L.Rev. 137 (2000). Although some companies mandate mediation, the practice is criticized. See Quek, *Mandatory Mediation: An Oxymoron? Examining the Feasibility of Implementing a Court-Mandated Mediation Program*, 11 Cardozo J. Conflict Resol. 479 (2010).

3.ARBITRATION

Arbitration is the form of ADR with which the American legal system has had the longest experience. The parties select an arbitrator or arbitrators, who conduct hearings and then reach a decision. The arbitration hearing is an adversarial proceeding, in which each of the parties presents its case, with full opportunity for cross-examination and rebuttal. Lawyers often represent the disputants, and are responsible for gathering and presenting evidence and arguments. Frequently, the decision of the arbitrator, called an "award," is then entered in court, much as a judgment in a formally adjudicated case is entered. In each case, both parties are bound to abide by the award, even though in certain limited circumstances, either or both parties may seek to challenge, modify, or even vacate the award in a court. Arbitration thus is a form of adversarial adjudication that is conducted largely outside the courts.

As a general matter, arbitration is contractual: the parties will either enter a written agreement before a dispute arises to submit the possible dispute to arbitration, or they will enter into an agreement to submit an existing dispute to arbitration. Arbitration achieved widespread acceptance after World War II, having first developed in the commercial

area, then moving to the labor-management field, and then extending to industries in which disputants share roughly equal bargaining power, such as securities broker agreements and construction contracts. Federal and state statutes play a significant role in shaping the context in which arbitration occurs. The Federal Arbitration Act, 9 U.S.C. §§ 1 et seq., and Article 75 of New York's Civil

Practice Law and Rules are the most notable statutes of this type, and both have served as models for other states’ arbitration statutes.

Arbitration’s procedural structure depends largely on the pre-dispositions of the arbitrator conducting a given hearing; the arbitrator is relatively free to shape the hearing as it sees fit and has three broad areas of responsibility: (1) the pre-hearing phase; (2) the hearing; and (3) the award and the opinion (if an opinion is thought necessary). Patterns of practice tend to become associated with particular types of arbitration. For example, commercial arbitrators follow a practice of receiving written briefs; by contrast, labor arbitrators tend to discourage them. Pre-hearing discovery often is limited to what the parties voluntarily disclose, but arbitrators are empowered at the request of either party to subpoena documents and persons for the hearing, and counsel generally can agree on a procedure to review the subpoenaed documents in advance of the hearing. Further, arbitration in the securities industry offers formalized discovery in the pre-hearing phase that permits the parties themselves to serve written requests for information or documents on other parties to the arbitration. The arbitrator is the sole judge of the relevance and materiality of evidence offered and need not conform to the legal rules of evidence. However, some arbitrators believe that at least some compliance with traditional rules of evidence is necessary and beneficial. Because the arbitrator has such broad discretion to choose to admit or exclude evidence or to hear or refuse to hear witnesses, its power to find facts and decide questions of law virtually is unlimited. The final phase of arbitration produces the award. The arbitrator’s award need not contain anything more than a statement of the rights and obligations of the parties to that dispute. However, the parties may request a written statement of decision.

In addition to this standard form, arbitration also may be of the final-form or one-way variety. Final-offer arbitration plays an important role in contexts in which it is important not to interrupt the disputants’ relation. It is used, for example, to set the terms of contracts, rather than to interpret and apply contractual provisions, and has figured prominently in setting the salaries of major league baseball players and some public employees. See Carrell & Bales, *Considering Final Offer Arbitration to Resolve Public Sector Impasses in Times of Concession Bargaining*, 28 Ohio St.J. on Disp. Resol. 1 (2013). Each party proposes a final offer of settlement, and the neutral must choose between the two. The process encourages the parties to be reasonable in the positions they advocate and

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to engage in serious negotiation. Factfinding can be more limited because the arbitrator need only choose between two positions rather than find and justify one particular result out of many that are possible. In one-way arbitration only one party agrees to be bound.

Arbitration’s presumed flexibility, privacy, and expertise traditionally have made it an attractive alternative for resolving commercial disputes outside of courts. See Stipanowich, *Arbitration: The “New Litigation,”* 2010 U.Ill.L.Rev. 1, 4. Numerous private organizations have emerged to facilitate use of arbitration, to provide procedural default rules, and to maintain lists of possible arbitrators. The American Arbitration Association is now the preferred arbitration forum for construction and other commercial disputes, while the Financial Industry Regulatory Authority handles a large number of securities disputes. Arbitration has become pervasive in international matters; in that context transnational parties rely on the International Chamber of Commerce or the London Court of International Arbitration to provide a neutral forum. Arbitration also has assumed an important role in resolving disputes that arise out of religious contracts. See Mohammedi, *Sharia-Compliant Wills: Principles, Recognition, and Enforcement*, 57 N.Y.L.Sch.L.Rev. 259 (2012/2013).

What is distinctive about practice in the United States is the expansion and great growth of arbitration in the consumer and employment settings. See Resnik, *The Privatization of Process: Requiem for and Celebration of the Federal Rules of Civil Procedure at 75*, 162 U.Pa.L.Rev. 1793 (2014). Professor Miller has written:

Many businesses and employers now insist on private dispute resolution with their customers and employees through the widespread use of contractual mandatory arbitration provisions that expressly forbid resort to the courts; many of these provisions also prohibit the use of any form of law and affect a range of consumer, financing, employment, and small business transactions. These activities are engaged in by millions of people. Thus, dispute resolution is being privatized by a process that is invisible, under the control of industry, not constrained by rules of evidence or procedure, and lacks any meaningful judicial or other review.

Miller, *What Are Courts For? Have We Forsaken the Procedural Gold Standard?*, 78 La.L.Rev. 739, 773 (2018).

4.PRIVATE JUDGING

Disputants who can afford it may utilize private judging in order to avoid the delays of the court system. The disputants agree, after the dispute has arisen and been filed in court, to hire a private judge, often someone who has retired from the public court system. The court then

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refers the case to that judge. The standard for resolution is the applicable legal principles and the proceedings are conducted in much the same manner as a bench trial, although in an expedited and simplified manner. Unlike an arbitrator’s award, the decision can be appealed as if the court referring it to the private judge had made the decision itself. Thus the disputants can ensure that the resolution will be in accordance with the law, while bypassing the backlog in the trial courts. In California, which served as a model for other states, the process is well established (particularly in family law disputes), and parties may pursue private adjudication before referees or designated “temporary judges.” See Cal. Civ. Proc. Code §§ 638–645 (providing for appointment of referees by agreement of the parties or on the court’s own motion); Cal. Const. art. VI § 21 (providing that “on stipulation of the parties litigant the court may order a cause

to be tried by a temporary judge who is a member of the State Bar, sworn and empowered to act until final determination of the cause”).

Unlike a civil trial, the process of private judging can be much faster, and the proceedings generally take place outside the public gaze. As such, although the process protects the privacy of the participants, it fails to generate precedent in the same way as a dispute before a court and lacks the transparency needed for public accountability. Concerns also have been raised whether the process creates “a two-tiered system of justice that benefits the wealthy at the expense of others.” Nagaraj, Comment, *The Marriage of Family Law and Private Judging in California*, 116 Yale L.J. 1615, 1621 (2007).

5.NEUTRAL FACT FINDING AND OMBUDSPERSONS

Neutral fact finding is a generic term for the use of a third party to gather information relevant to the settlement of a dispute. One of the most common institutional instances of a neutral fact finder is the ombudsperson. An ombudsperson is a third party who receives and investigates complaints aimed at an institution by its constituents, clients, or employees. The ombudsperson may take actions such as bringing an apparent injustice to the attention of high-level officials, advising the complainant of available options and resources, proposing a settlement of the dispute, or proposing systemic changes within the institution. A neutral fact finder often is employed by the institution against which the complaint is made. In government, an ombudsperson can serve the important function of steering a complaint through a tangled bureaucracy.

Ombudspersons are most likely to be hired in closely regulated institutions, fields in which customer satisfaction is critical, and institutions concerned with resolving disputes internally. Universities frequently use ombudspersons to enforce a set of rules that may be different from those applicable to people generally. Some independent ombudspersons are employed by local media and use publicity as their

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major tool. The disputants are responsible for resolving the dispute, although the ombudsperson can pressure them to settle. The source of the standard for resolution is either internal policy or commonly shared values. The ombudsperson acts as a representative of the complainant, investigating and presenting the facts for her as well as reminding the high-level officials of the policies they have set or the community’s shared values.

6.EARLY NEUTRAL EVALUATION

It has been observed that parties often do not settle at an early stage in the litigation process because they fail to evaluate the case adequately until the trial process requires them to do so. Early neutral evaluation (“ENE”) is a mechanism designed to respond to this problem. ENE involves the factual and legal presentation of a dispute to a neutral selected by the parties or a court. On the basis of this presentation the neutral, often an experienced lawyer, arbitrator, or former judge, provides the parties with an open assessment of their respective positions. This can have the effect of encouraging settlement, but at the very least it should help to focus the issues for the litigation process and assist in its efficient management. Roughly one-third of the district courts are authorized to refer parties to ENE, but it is less clear how often this process is utilized. See Judicial Conference of the United States, *Civil Litigation Management Manual* 69 (2d ed. 2010).

7.MINI-TRIALS

Similar to early neutral evaluation, but procedurally more complex, the mini-trial is a privately developed method of helping to bring about a negotiated settlement in lieu of protracted litigation. The procedural contours of mini-trials are tailored individually in accordance with the desires of the disputants. A typical mini-trial is a confidential process that entails a period of limited discovery after which attorneys for each side present an abbreviated version of the case before a panel consisting of managers with authority to settle and a neutral advisor. The neutral advisor is often a retired judge or respected lawyer. The managers then enter settlement negotiations.

Thus the parties resolve the dispute aided by the assessment of the neutral advisor as to the likely outcome should the matter go to court. The advisor’s impartial appraisal of the conflict encourages the parties to adopt more realistic goals in negotiating a settlement. The source of the resolution standard is the disputants, despite the presence of the neutral legal advisor. Facts and standards are researched and presented by the disputants’ lawyers, although in an abbreviated way. Mini-trials have been used successfully in disputes that were bogged down in discovery and motion practice by reconverting what had become a lawyer’s problem back

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into a business problem. See *Recent Developments in Alternative Forms of Dispute Resolution*, 100 F.R.D. 512 (1984).

8.SUMMARY JURY TRIALS

A summary jury trial is a nonbinding process used for cases ready to be tried before a jury. Instead of presenting a formal case before a full jury panel, the lawyers for the parties present an abbreviated case before a panel of six jurors. The presentations usually last less than a week and the resulting “verdict”—although not binding on the parties—provides a basis for settlement. The practice was introduced in the 1980s and is defended as a useful procedure when the parties hold highly divergent views of the likely outcome of the case and settlement efforts have been futile. See Lambros, *The Summary Jury Trial and Other Alternative Methods of Dispute Resolution*,

103 F.R.D. 481 (1984). Some states limit the summary jury trial to small claims. See Croley, *Summary Jury Trials in Charleston County, South Carolina*, 41 Loy.L.A.L.Rev. 1585 (2008). Early critics argued that in practice the procedure yielded little or no cost savings. See Posner, *The Summary Jury Trial and Other Alternative Methods of Alternative Dispute Resolution: Some Cautionary Observations*, 53 U.Chi.L.Rev. 366 (1986).

NOTES AND QUESTIONS

1. ADR responds to a number of repeated criticisms of adversarial process as practiced in United States courts: that it is too costly and takes too long; that it cannot work because of litigant inequality; and that it is impersonal and disempowering.

Cost and Delay: Whether an actual litigation crisis exists in the United States remains a contested and unresolved question. Professor Miller has observed “that the supposed litigation crisis is the product of assumption; that reliable empirical data is in short supply; and that data exist that support any proposition.” Miller, *The Pretrial Rush to Judgment: Are the “Litigation Explosion,” “Liability Crisis,” and Efficiency Clichés Eroding Our Day in Court and Jury Trial Commitments?*, 78 N.Y.U.L.Rev. 982, 996 (2003); see also Reda, *The Cost-and-Delay Narrative in Civil Justice Reform: Its Fallacies and Functions*, 90 Or.L.Rev. 1085 (2012).

How much delay might be attributable to the rules of procedure, evidence, and appellate review that govern traditional adjudication? Rules of procedure are designed to protect litigants and to enforce the integrity of judicial decision-making. However, they also generate strategic behavior by lawyers depending on the case and client. For certain litigants, delay may produce serious injustice—directly, because justice delayed may be justice denied, and indirectly, because the threat of delay may create an artificial pressure on one of the litigants to settle on less than fair terms. In addition, because delay might increase the cost of litigation, some individuals with meritorious claims

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may be discouraged from pursuing litigation or find themselves “out litigated” by an opponent with greater resources.

In theory, ADR introduces elements of informality that tend to expedite the process, resulting in faster and cheaper resolution. For example, arbitration’s traditional hallmarks are its limited discovery and motion practice, the arbitrator’s subject-matter expertise, and the finality of the award. Together, these factors provide a streamlined process intended to accelerate resolution. Expedition, however, may produce error or unfairness. Moreover, to the extent ADR adopts adjudicative-like procedures, won’t cost and delay increase too, but without public accountability? See Stipanowich, *Arbitration: The “New Litigation,”* 2010 U.Ill.L.Rev. 1, 4. Indeed, it is now not unusual for disputants to litigate the results of ADR, challenging such issues as costs, confidentiality, and the size of awards. See Coben & Thompson, *Disputing Irony: A Systematic Look at Litigation About Mediation*, 11 Harv.Negot.L.Rev. 43 (2006).

Litigant Inequality: Another criticism of the adversarial system is that it does not work properly because disputants are not evenly matched in terms of resources, representation, and information. See Kruse, *Learning from Practice: What ADR Needs from a Theory of Justice*, 5 Nev.L.J. 389, 390–92 (2004–2005). Adjudication thus is said to contain a structural bias that tilts in favor of some groups more than others. See Nader, *Controlling Processes in the Practice of Law: Hierarchy and Pacification in the Movement to Re-Form Dispute Ideology*, 9 Ohio St.J. on Disp. Resol. 1 (1993).

ADR responds to this problem by attempting to level the playing field and having the parties depend less on counsel and procedural rules. See Edwards, *Alternative Dispute Resolution: Panacea or Anathema?*, 99 Harv.L.Rev. 668, 671 (1986); see also Kovach, *Privatization of Dispute Resolution: In the Spirit of Pound, But Mission Incomplete: Lessons Learned and a Possible Blueprint for the Future*, 48 S.Tex.L.Rev. 1003 (2007). However, this cure is a double-edged sword; diluting procedural protection may magnify resource and political disparities between disputants. See Oliver, Jr., *Alternate Dispute Resolution and Minorities in the Federal Courts*, 39 Cap.U.L.Rev. 805 (2011).

Impersonal Formalism: Litigation builds on a professional model of attorney representation and so tends to remove the parties from direct and personal control of decisions and solutions. Litigation also may polarize the parties, decreasing opportunities for future cooperation and straining the social fabric. This is particularly problematic when disputants have an ongoing relationship, as in the case of neighbors or family members and even in commercial settings. All of these factors may combine in some situations to obstruct disputants from reaching optimal outcomes. Professor Menkel-Meadow explains:

The “culture of adversarialism” and the rules that enforce this culture often (not always) distort how we think about legal and human problem solving by assuming there are only two sides to an issue or question, that “truth” about either what happened factually or what

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is correct legally can best be resolved by vigorous contestations between two fully armed advocates and decided by a third-party judge who is separate from the parties and appointed by the state. * * * Often, what is most important to parties may be excluded from consideration, as irrelevant or inadmissible, according to our well-worn legal principles, which may protect other important interests (like privileges, trade secrets, bias and prejudice, or constitutional rights).

Menkel-Meadow, *The Lawyer as Problem Solver and Third-Party Neutral: Creativity and Non-Partisanship in Lawyering*, 72 Temple L.Rev. 785, 788–89 (1999) (citations omitted).

ADR builds on a different conceptual model of dispute resolution that is not dependent on legal formality, attorney representation, or coercive power. See Welsh, *Musings on Mediation, Kleenex, and (Smudged) White Hats*, 33 U. La Verne L.Rev. 5 (2011). However, does arbitration, which in many respects closely resembles litigation, really solve the problems associated with the impersonal legalism of adjudication? Relatedly, can non-voluntary mediation, in which the mediator speaks for the parties, truly be said to promote personal empowerment? See Harper, *Mediator as*

Peacemaker: The Case for Activist Transformative-Narrative Mediation, 2006 J.Disp.Resol. 595; see also Rack, *A Letter to My Successor*, 26 Ohio St.J. on Disp. Resol. 429, 432 (2011). Can mandatory ADR ever claim to be personal in its focus?

2.The literature on procedural justice, discussed in Chapter 1, p. 5, Note 3, *supra*, repeatedly has found that participants favor adjudicative procedure because of its perceived fairness and its related capacity to generate satisfaction and trust. See Thibaut & Walker, *Procedural Justice* (1975). However, procedural preferences also are affected by the size and scale of the dispute. A psychological study of small civil law disputants observed that participants favor processes that offer “control”: “(a) control over the decision such that a neutral third party would help disputants arrive at their own resolution; (b) a process that granted disputants control over the presentation of evidence (rather than using a representative to do so); and (c) either a set of rules that both disputants would have agreed to in advance of the resolution process, or the well-established rules used in a court of law.” See Shestowsky, *Procedural Preferences in Alternative Dispute Resolution*, 10 Psychol. Pub. Pol’y & L. 211, 233 (2004). What other information might be relevant to ensuring the fairness and accuracy of dispute resolution mechanisms?

3.How might the financial stakes of a dispute affect the parties’ preference for different forms of procedure? In the aftermath of the attack on the World Trade Center on September 11, 2001, Congress created a Victim Compensation Fund (“VCF”) to ensure the payment of damages to individuals who suffered loss. Compensation was conditioned on the claimant’s waiver of damage claims associated with the attack. See Berkowitz, *The Problematic Role of the Special Master: Undermining the Legitimacy of the September 11th Compensation Fund*, 24 Yale L. & Pol’y Rev. 1, 5–7 (2006). The VCF paid out

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more than \$7.048 billion for about 5,500 claims, and only 95 lawsuits were filed on behalf of 96 claimants. See *In re September 11 Litigation*, 600 F.Supp.2d 549, 552 (S.D.N.Y. 2009). These lawsuits were judicially managed to secure a mediated, coordinated settlement, and the aggregate amount that was approved by the District Court totaled \$500 million. The District Court noted the different reasons for the claimants’ decision to litigate rather than accept a cash payment from the VCF:

Some, the successors of victims with very high incomes or income potential, believed that the Fund would not compensate them adequately in relation to lost income, and filed suits instead. Others filed suits to avoid having to deduct their life insurance recoveries and other collateral source payments * * *. Still others wanted to tell their stories, participate in forcing facts into the public domain, or avail themselves of traditional remedies for other reasons. And some could not free themselves from the shadows and despair of the September 11 tragedy to do anything on a timely basis, even though the Special Master [of the VCF] made special efforts to reach such people and relaxed the Fund’s requirements to accommodate such claimants.

Id. at 561, citing *Report of the Mediator on the Mediation and the Settlement Efforts of the Parties in the Cases Previously Docketed Under 21 MC 97*. All but three lawsuits settled. See Hadfield, *Framing the Choice Between Cash and the Courthouse: Experiences with the 9/11 Victim Compensation Fund*, 42 Law & Soc’y Rev. 645 (2008).

C. ADR AND CIVIL LITIGATION

Read Federal Rules of Civil Procedure 16, 54(a), 54(d), and 68 and 28 U.S.C. § 1920 in the Supplement.

1.THE INSTITUTIONALIZATION OF ADR WITHIN THE COURT AND ADMINISTRATIVE SYSTEM

Over the last generation ADR has become an integral and mandatory feature of the public system of courts and agency administration. This development raises new and important questions about the fairness and efficiency of ADR when the parties no longer play a role in its design or voluntarily accede to its use.

An important first step toward the institutionalization of ADR within the court and administrative system occurred with the enactment of the Civil Justice Reform Act of 1990, requiring federal courts to consider ADR mechanisms as a way to reduce litigation expense and delay. 28 U.S.C.

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§§ 471 et seq. In 1998, this “invitation” was upgraded to a requirement under the Alternative Dispute Resolution Act, 28 U.S.C. § 651, that federal courts implement ADR programs and mandate participation. See Crowne, *The Alternative Dispute Resolution Act of 1998: Implementing a New Paradigm of Justice*, 76 N.Y.U.L.Rev. 1768 (2001). Congress also authorized administrative agencies to use alternative means of dispute resolution, and agencies have responded by establishing large-scale ADR programs. See Administrative Dispute Resolution Act, 5 U.S.C. §§ 571–83; Marcus & Senger, *ADR and the Federal Government: Not Such Strange Bedfellows After All*, 66 Mo.L.Rev. 709 (2001). On a parallel track, states incorporated ADR into their judicial systems. See, e.g., Dana, Jr., *Court-Connected Alternative Dispute Resolution in Maine*, 57 Me.L.Rev. 349 (2005). For a comprehensive assessment of court-annexed ADR, see Shestowsky, *Disputants’ Preferences for Court-Connected Dispute Resolution Procedures: Why We Should Care and Why We Know So Little*, 23 Ohio St.J. on Disp. Resol. 549 (2008).

Court-annexed arbitration builds upon the standard model of arbitration except that the parties have not previously agreed to arbitrate

their dispute. Instead, certain disputes, usually those in which the amount in controversy is less than a certain dollar figure, must be referred to an arbitrator before the court will hear them. The arbitrator thus is less likely to have expertise in the subject area in which the conflict arose. Moreover, since the source of the standard for resolution is the law, the arbitrator typically will be a lawyer. The nature and extent of factfinding and standard-finding are not substantially different from adjudication, although discovery may be limited and the rules of evidence may be relaxed. If a disputant is dissatisfied with the arbitrator's decision, he can demand a trial de novo, but if the disputant fails to obtain a better result at trial, he may be required to pay the costs of the opposing party. See Boyarin, *Court-Connected ADR—A Time of Crisis, A Time of Change*, 95 Marq.L.Rev. 993 (2012).

Some commentators predicted that the institutionalization of ADR would subvert its claim to flexibility, voluntarism, and cooperation. See Menkel-Meadow, *Pursuing Settlement in an Adversary Culture: A Tale of Innovation Co-opted or “The Law of ADR,”* 19 Fla.St.U.L.Rev. 1 (1990). Others warned that mainstreaming ADR would cause it to become mass-produced, more expensive, and subject to delay, yet remain less protective of litigant rights. See Sabatino, *ADR as “Litigation Lite”: Procedural and Evidentiary Norms Embedded Within Alternative Dispute Resolution*, 47 Emory L.J. 1289 (1998). See generally Reuben, *Public Justice: Toward a State Action Theory of Alternative Dispute Resolution*, 85 Calif.L.Rev. 579 (1997).

As the institutionalization of ADR has become more conventional, a persistent criticism is that court-annexed ADR functions as no more than

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settlement conferences that push disputants to a quick disposition rather than a consensual working out of grievances. See Brown, *A Community of Court ADR Programs: How Court-Based ADR Programs Help Each Other Survive and Thrive*, 26 Just. Sys.J. 327, 330 (2005). Typical is the following concern:

Those who established court-annexed mandatory mediation programs and those who run them appear to have a very clear agenda—to settle cases. Legislatures that have been persuaded to support such programs have viewed them as a cost-effective way of dealing with rising judicial caseloads. The chief criterion for providing funds has been the number of settlements arranged. * * * When settlement is king, the idea of self-determination is likely to be undercut—the only determination that is acceptable is the one that ends the case.

Landsman, *Nothing for Something? Denying Legal Assistance to Those Compelled to Participate in ADR Proceedings*, 37 Fordham Urb.L.J. 273, 286–87 (2010).

Proponents of ADR have argued that courts should be more aggressive in adopting streamlined procedures that have proven useful in practice. These techniques include narrowing the scope of discovery and restricting the use of expert submissions. See Welsh, *The Current Transitional State of Court-Connected ADR*, 95 Marq.L.Rev. 873 (2012). Other analysts have asked, again drawing on the ADR experience, whether courts should use non-uniform procedural rules and, if so, how these rules ought to be designed. See Tidmarsh, *Exiting Litigation*, 41 Loy.U.Chi.L.J. 263, 283 (2010).

It is difficult to assess the effects of court-annexed ADR on litigants, the court system, or ADR. One commentator has referred to the “exodus from and transformation of American civil litigation,” as disputes are shifted from a trial-centered, norm-generating process, to alternatives that emphasize cost reduction, limited or no discovery, and private settlement. See Freer, *Exodus from and Transformation of American Civil Litigation*, 65 Emory L.J. 1491 (2016). What further legal or political effects do you anticipate if courts increasingly recede from their law-declaring and information-disclosing functions?

2.CHANGING JUDICIAL ATTITUDES TOWARD ADR: THE EXAMPLE OF BINDING ARBITRATION

Congress enacted the Federal Arbitration Act (“FAA”) in 1925 in part to overcome common law hostility to arbitration. Initially, the Supreme Court refused to enforce pre-dispute arbitration agreements when their use would dilute statutory protections. For example, in *WILKO v. SWAN*, 346 U.S. 427, 74 S.Ct. 182, 98 L.Ed. 168 (1953), the Supreme Court held that

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the Securities Act of 1933 barred a mandatory arbitration clause that was included in a brokerage margin agreement. The Court explained:

Two policies, not easily reconcilable, are involved in this case. Congress has afforded participants in transactions subject to its legislative power an opportunity generally to secure prompt, economical and adequate solution of controversies through arbitration if the parties are willing to accept less certainty of legally correct adjustment. On the other hand, it has enacted the Securities Act to protect the rights of investors and has forbidden a waiver of any of those rights. Recognizing the advantages that prior agreements for arbitration may provide for the solution of commercial controversies, we decide that the intention of Congress concerning the sale of securities is better carried out by holding invalid such an agreement for arbitration of issues arising under the Act.

Id. at 438, 74 S.Ct. at 188–89, 98 L.Ed. at 177 (citations omitted).

Since then, the Court's approach to arbitration has undergone a radical change with far-reaching social effects. In 1983, in *MOSES H. CONE MEMORIAL HOSPITAL v. MERCURY CONSTRUCTION CORP.*, 460 U.S. 1, 103 S.Ct. 927, 74 L.Ed.2d 765 (1983), the

Court held that a district court could adjudicate a petition to compel arbitration even though a state court was considering the claims that the federal plaintiff sought to arbitrate, relying upon a “liberal federal policy favoring arbitration agreements.” *Id.* at 24, 103 S.Ct. at 941, 74 L.Ed.2d at 785.

After *Moses H. Cone*, the Court steadily expanded the reach of the FAA. A sea change came in *SOUTHLAND CORP. v. KEATING*, 465 U.S. 1, 104 S.Ct. 852, 79 L.Ed.2d 1 (1984). *Southland* involved individual and class actions brought in state court by convenience store franchisees under state law; the trial court ordered arbitration of all claims but the California Supreme Court held that statutory claims were not arbitrable. The Supreme Court reversed, holding that the FAA preempted state law and withdrew from the states any power to require a judicial forum for claims that the parties agreed to resolve by arbitration. See Dunham, *Southland Corp. v. Keating Revisited: Twenty-Five Years in Which Direction?*, 4 Charleston L.Rev. 331, 345 (2010). Then, in *RODRIGUEZ DE QUIJAS v. SHEARSON/AMERICAN EXPRESS*, 490 U.S. 477, 484, 109 S.Ct. 1917, 1922, 104 L.Ed.2d 526, 536 (1989), the Court, five-to-four, overruled *Wilko*, holding that it “was incorrectly decided” and at odds with other federal statutes that in the interim had been interpreted to permit pre-dispute agreements to arbitrate.

In keeping with *Rodriguez de Quijas*, the Court has rejected arguments that other federal statutes displace the FAA’s policy favoring arbitration. In *EPIC SYSTEMS CORP. v. LEWIS*, 584 U.S. ___, 138 S.Ct.

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1612, 200 L.Ed.2d 889 (2018), employees brought wage-and-hour claims against their employers under federal and state law. Although they were bound by pre-dispute arbitration agreements that required individualized arbitration, plaintiffs sought to litigate their claims as collective actions and class actions, relying on § 7 of the National Labor Relations Act (NLRA), which guarantees to workers the right to engage in “concerted activities for the purpose of collective bargaining or other mutual aid or protection.” The Court nevertheless concluded that the NLRA did not overcome the presumption in favor of arbitration because it did “not mention class or collective action procedures or even hint at a clear and manifest wish to displace the Arbitration Act.” *Id.* at ___, 138 S.Ct. at 1617, 200 L.Ed.2d at 902. The result in *Epic Systems* is consistent with the Court’s view that the FAA embodies not only a policy in favor of arbitration but in favor of *individualized* arbitration. In *LAMPS PLUS, INC. v. VARELA*, 587 U.S. ___, 139 S.Ct. 1407, 203 L.Ed.2d 636 (2019), the Court held that an arbitration agreement must have clear, express language permitting class arbitration. In so holding, the Court rejected application of the doctrine of *contra proferentem*—the contract law principle that an ambiguous contractual provision should be interpreted against the drafter.

The Court currently accords a strong presumption of validity to arbitration agreements, even when the clauses are adhesive, not voluntary, and curtail jury and other public rights. In *AT&T MOBILITY v. CONCEPCION*, p. 890, *supra*, the Court held that the FAA preempts state laws that treat class-action waivers as unconscionable. See Gilles & Friedman, *After Class: Aggregate Litigation in the Wake of AT&T Mobility v. Concepcion*, 79 U.Chi.L.Rev. 623 (2012). Then, in *DIRECTV, INC. v. IMBURGIA*, 577 U.S. 47, 136 S.Ct. 463, 193 L.Ed.2d 365 (2015), the Court held that an arbitration clause providing it would be invalid if the “law of your state” made its waiver of class-wide arbitration unenforceable, did not include the California law that was valid at the time the contract was entered into, but later was ruled preempted in *Concepcion*. Justice Thomas dissented, on the view that the FAA “does not require state courts to order arbitration.” *Id.* at 59, 136 S.Ct. at 471, 193 L.Ed.2d at 375. Justice Ginsburg also dissented, joined by Justice Sotomayor, criticizing the majority as having substituted its judgment for that of the state court in the interpretation of state contract law, for depriving consumers of choice in the laws that govern their arbitration agreements, and for insulating “powerful economic interests from liability.” *Id.* at 68, 136 S.Ct. 477, 193 L.Ed.2d at 381.

The Supreme Court also upheld a contractual ban on class-wide arbitration in *AMERICAN EXPRESS CO. v. ITALIAN COLORS RESTAURANT*, 570 U.S. 228, 133 S.Ct. 2304, 186 L.Ed.2d 417 (2013), see p. 893, *supra*. At issue was an arbitration agreement with a credit card company that barred merchants from bringing a group or collective action

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against the company. The Court explicitly rejected plaintiffs’ argument that the class-bar was unenforceable because the “cost of individually arbitrating a federal statutory claim exceed[ed] the potential recovery.” *Id.* at 2307, 186 L.Ed.2d at 422.

In *KINDRED NURSING CENTERS LIMITED PARTNERSHIP v. CLARK*, 137 S.Ct. 1421, 197 L.Ed.2d 806 (2017), the estates of two nursing home residents sued the nursing home in state court alleging substandard care leading to wrongful death, personal injuries, and violation of the Kentucky Long Term Care Facilities Act. The Kentucky court denied defendant’s motion to dismiss and to compel arbitration. The Kentucky Supreme Court affirmed, holding that under Kentucky law, a power of attorney must include a specific statement that the attorney-in-fact has authority to waive the principal’s state constitutional rights to access the courts and to a jury trial. The Supreme Court reversed, holding that the Kentucky rule disfavored arbitration agreements and was preempted by the FAA. *Id.* at 1426, 197 L.Ed.2d at 812. Again, Justice Thomas dissented, emphasizing his view that the FAA does not apply in state court. *Id.* at 1429, 197 L.Ed.2d at 815.

NOTES AND QUESTIONS

1. Arbitrators do not receive any in-depth professional training or briefing on their task, but they exercise broad discretion in their decision-making. Is there a danger that their method of selection might create a potential for bias, particularly among arbitrators who receive repeat appointments by one company or by one segment of a regulated industry? See Rossein & Hope, *Disclosure and Disqualification Standards for Neutral*

Arbitrators: How Far to Cast the Net and What Is Sufficient to Vacate Award, 81 St. John's L.Rev. 203 (2007). An empirical study found a perception of pro-industry bias among securities-industry arbitrators, leading customers to "express a consistently negative impression of the overall arbitration process." Gross, *When Perception Changes Reality: An Empirical Study of Investors' Views of the Fairness of Securities Arbitration*, 2008 J.Disp.Resol. 349, 389. Is there also a danger that informality will permit bias or prejudice to go unchecked? See Delgado, Dunn, Brown, Lee & Hubbert, *Fairness and Formality: Minimizing the Risk of Prejudice in Alternative Dispute Resolution*, 1985 Wis.L. Rev. 1359.

2. Arbitration decisions need not be based on statute or common law. For this reason some commentators view arbitration as "lawless." Black & Gross, *Making It Up As They Go Along: The Role of Law in Securities Arbitration*, 23 Cardozo L.Rev. 991 (2002). Does that view fairly account for the important autonomy interests arguably promoted by arbitration? In recent years it has become common practice for arbitral parties to circulate arbitration awards and decisions, and forms of nonbinding precedent have emerged. See Weidemaier, *Toward a Theory of Precedent in Arbitration*, 51 Wm. & Mary L.Rev. 1895 (2010); see also Weidemaier, *Judging-Lite: How*

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Arbitrators Use and Create Precedent, 90 N.C.L.Rev. 1091 (2012). Might the diversion of disputes to arbitration proceedings make it more difficult for the courts to create precedent in important fields of law? See Scodro, *Note—Arbitrating Novel Legal Questions: A Recommendation for Reform*, 105 Yale L.J. 1927 (1996).

3. The expansion of international trade and commercial transactions in the past 50 years has created a need for private international commercial dispute resolution. Many commercial parties are uncomfortable adjudicating disputes in foreign court systems because they are unfamiliar with the procedures and law of foreign forums and fear favoritism to nationals. The demand for mechanisms for private commercial dispute resolution has led to the development of international commercial arbitration rules (such as the International Chamber of Commerce Rules). These are applied in international arbitration centers around the world. Using these accepted rules and forums, private parties are able to arbitrate and resolve their commercial disputes without submitting the dispute to a foreign forum. Enforcement of these arbitration awards can then be sought in court under the Convention on the Recognition and Enforcement of Foreign Arbitral Awards (commonly known as the New York Convention), a treaty that has been ratified by most countries, including the United States. Given these resources, why might parties still prefer to resolve their dispute in court? Should an international commercial arbitration decision be enforceable in any forum in the world?

4. Arbitration has spread from disputes between evenly matched corporate entities seeking a private, expeditious, and industry-specific resolution to a wide range of employment and consumer disputes in which its use is mandated by an adhesive term in a boilerplate contract. See Sternlight, *Rethinking the Constitutionality of the Supreme Court's Preference for Binding Arbitration: A Fresh Assessment of Jury Trial, Separation of Powers, and Due Process Concerns*, 72 Tul.L.Rev. 1 (1997); see also Eisenberg, Miller & Sherwin, *Arbitrator's Summer Soldiers: An Empirical Study of Arbitration Clauses in Consumer and Nonconsumer Contracts*, 41 U.Mich.J.L. Reform. 871 (2008). The Supreme Court through its interpretation of the Federal Arbitration Act has encouraged this development. See Wasserman, *Legal Process in a Box, or What Class Action Waivers Teach Us About Law-Making*, 44 Loy.U.Chi.L.J. 391, 399–400 (2012). Critics have warned that in these new contexts arbitration inevitably tilts in favor of the commercial party which, as a repeat player, enjoys strategic advantages. See Ingham, *Employment Arbitration: The Repeat Player Effect*, 1 Emp. Rts. & Emp. Pol'y J. 189 (1997). For discussions of the "repeat player" critique, see Marrow, *Determining If Mandatory Arbitration Is "Fair": Asymmetrically Held Information and the Role of Mandatory Arbitration in Modulating Uninsurable Contract Risks*, 54 N.Y.L.Sch.L.Rev. 187 (2010); Kapeliuk, *The Repeat Appointment Factor: Exploring Decision Patterns of Elite Investment Arbitrators*, 96 Cornell L.Rev. 47 (2010).

Justice Ginsburg, in her dissenting opinion in *DIRECTV*, p. 1401, *supra*, pointed out that the United States is an outlier among industrialized

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democracies in its acceptance of mandatory and adhesive arbitration clauses in consumer contracts:

A 1993 European Union Directive forbids binding consumers to unfair contractual terms, defined as those "not . . . individually negotiated" that "caus[e] a significant imbalance in the parties' rights and obligations . . . to the detriment of the consumer." Coun. Directive 93/13, Art. 3, 1993 O.J. (L. 95) 31. A subsequent EU Recommendation interpreted this Directive to bar enforcement of one-party-dictated mandatory consumer arbitration agreements. Comm'n Recommendation 98/257, 1998 O.J. (L. 115) 34 ("The consumer's recourse to the out-of-court procedure may not be the result of a commitment prior to the materialisation of the dispute, where such commitment has the effect of depriving the consumer of his right to bring an action before the courts for the settlement of the dispute."). As a result of this Directive and Recommendation, disputes between providers and consumers in the EU are arbitrated only when the parties mutually agree to arbitration on a "post-dispute basis." Sternlight, *Is the U.S. Out on a Limb? Comparing the U.S. Approach to Mandatory Consumer and Employment Arbitration to That of the Rest of the World*, 56 U. Miami L. Rev. 831, 847–848 (2002) (emphasis deleted); see *id.*, at 852 (enforcement of mandatory arbitration clauses in consumer contracts of adhesion "is quite rare, if not nonexistent," outside the United States).

577 U.S. 47, 71, 136 S.Ct. 463, 478, 193 L.Ed.2d 365, 383 (2015). See Resnik, *A2J/A2K: Access to Justice, Access to Knowledge, and Economic Inequalities in Open Courts and Arbitrations*, 96 N.C.L.Rev. 605 (2018).

5. Because arbitration is private, it remains difficult to obtain information needed to assess disputant satisfaction. Available information has shown an uneven pattern across parties and industries. See Landsman, *ADR and the Cost of Compulsion*, 57 Stan.L.Rev. 1593 (2005). One study of publicly held companies suggested that although arbitration clauses are common in consumer contracts, sophisticated companies prefer litigation to arbitration when they deal with peers. See Eisenberg & Miller, *The Flight from Arbitration: An Empirical Study of Ex Ante Arbitration Clauses in the Contracts of Publicly Held Companies*, 56 DePaul L.Rev. 335 (2007). A study commissioned by the U.S. Chamber of Commerce's Institute for Legal Reform, based on a dataset of approximately 100,000 arbitrations between 2014 and 2020, claims that consumers prevailed more often in arbitration than in

comparable court proceedings. See Pham & Donovan, Fairer, Faster, Better II: An Empirical Assessment of Consumer Arbitration (2020). But see Consumer Financial Protection Bureau, Arbitration Study: Report to Congress Pursuant to Dodd-Frank Wall Street Reform and Consumer Protections Act § 5.1, p.5 (March 2015) (“Because our ability to review substantive outcomes is generally limited to arbitration decisions on the merits, the substantive outcomes of most consumer financial arbitration disputes are unknown and largely unknowable to reviewers.” (emphasis omitted)). A close examination of consumer

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arbitration data, however, strongly suggests that very few individual consumers file standalone arbitration cases. Resnik, Garlock & Wang, *Collective Preclusion and Inaccessible Arbitration: Data, Nondisclosure, and Public Knowledge*, 24 Lewis & Clark L.Rev. 611 (2020). Instead, the bulk of consumer arbitration cases appear to be the product of aggregation of claims by “[l]awyers and other entities [that] enable groups of consumers and workers to file individual claims against the same respondents.” Id. at 615.

The Consumer Financial Protection Bureau prepared an extensive report for Congress in 2015 on the prevalence of pre-dispute arbitration clauses in consumer agreements. The report confirmed that tens of millions of consumers use financial products or services that are subject to mandatory arbitration. Surveys of credit card users indicated that these consumers generally were unaware that their contracts included mandatory arbitration clauses and wrongly believed they could sue in court. Moreover, although some agreements—most typically for storefront payday loans—provided a right to pursue a claim in small claims court, consumers generally were unaware of their rights. See Consumer Financial Protection Bureau, Arbitration Study: Report to Congress Pursuant to Dodd-Frank Wall Street Reform and Consumer Protections Act (March 2015), http://files.consumerfinance.gov/f/201503_cfpb_arbitration-study-report-to-congress-2015.pdf.

6.Critics of arbitration argue that it withholds the protections and benefits of federal law by making enforcement more difficult “by changing rules of evidence, the availability of aggregation, burdens of production and proof, and other features of the dispute resolution process.” See Noll, *Regulating Arbitration*, 105 Calif.L.Rev. 985, 990 (2017). Professor Miller thus has questioned whether the use of mandatory arbitration for consumer and employment matters subverts regulatory and democratic goals:

[T]he great expansion of contractual limitations on private law enforcement by consumers through the insertion of arbitration clauses into agreements that are often adhesive—and the validation by the Supreme Court of such clauses—may be seen as part of an overall campaign to reduce the effectiveness of federal regulatory law and public enforcement proceedings. These clauses impair citizen access to a judicial forum with the possibility of jury trial. And quite recently the Supreme Court indicated that the availability of the class action in arbitration may be extremely limited, potentially impairing the effectiveness of consumer remedies in various contexts.

Miller, *From Conley to Twombly to Iqbal: A Double Play on the Federal Rules of Civil Procedure*, 60 Duke L.J. 1, 12–13 (2010).

7.It is not only an arbitrator’s decision on the merits of a dispute that enjoys a high degree of insulation from court scrutiny. The Supreme Court has interpreted the FAA to permit the parties to assign to the arbitrator, rather than the court, the power to decide the threshold question whether a dispute is subject to an arbitration agreement in the first instance. In HENRY SCHEIN, INC. v. ARCHER & WHITE SALES, INC., 586 U.S. ___, 139 S.Ct.

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524, 202 L.Ed.2d 480 (2019), the parties entered into a contract requiring arbitration of disputes under or related to the contract, except for actions seeking injunctive relief. Respondent brought suit against petitioner in federal district court alleging violations of federal and state antitrust laws and seeking both money damages and injunctive relief. When petitioner moved to compel arbitration, respondent argued that the case was not subject to the arbitration agreement because respondent sought, in part, injunctive relief. Petitioner argued that the arbitrator, and not the court, should decide whether the dispute was subject to arbitration. The district court, without deciding if the contract called for arbitration of the threshold question, denied arbitration on the ground that the arguments for arbitration were “wholly groundless,” and the Fifth Circuit affirmed. In a unanimous opinion, the Supreme Court vacated the judgment, holding that if a contract delegates to an arbitrator the question whether a dispute is subject to arbitration, the court may not override that delegation, even if it thinks that the argument favoring arbitration is “wholly groundless.” According to the Court, the “wholly groundless” doctrine, which some lower courts had recognized, was inconsistent with the FAA. The Court remanded the case to permit the Fifth Circuit to determine whether the arbitration contract, by its terms, in fact delegated the question of arbitrability to the arbitrator.

Note, however, that parties cannot agree to more expansive judicial review of an arbitrator’s decision than the narrow and deferential post-arbitral review provided under the FAA. In HALL STREET ASSOCIATES, L.L.C. v. MATTEL, INC., 552 U.S. 576, 128 S.Ct. 1396, 170 L.Ed.2d 254 (2008), the Court read the text of the FAA to mean that the statute provides the exclusive grounds for vacating or modifying an arbitral award:

Hall Street is certainly right that the FAA lets parties tailor some, even many * * * features of arbitration by contract, including the way arbitrators are chosen, what their qualifications should be, which issues are arbitrable, along with procedure and choice of substantive law. But to rest this case on the general policy of treating arbitration agreements as enforceable as such would be to beg the question, which is whether the FAA has textual features at odds with enforcing a contract to expand judicial review following the arbitration.

Id. at 586, 128 S.Ct. at 1404, 170 L.Ed.2d at 264.

3.ADR AND THE JUDICIAL PREFERENCE FOR SETTLEMENT

Read Federal Rule of Civil Procedure 68 and the accompanying materials in the Supplement.

In *DELTA AIR LINES, INC. v. AUGUST*, 450 U.S. 346, 101 S.Ct. 1146, 67 L.Ed.2d 287 (1981), Rosemary August filed suit against Delta Air Lines seeking \$20,000 in back pay for violation of Title VII of the Civil Rights Act of 1964. Delta made a formal settlement offer of \$450, which August rejected. At trial, judgment was for Delta and the District Court directed that each party bear its own costs. The court held that Federal Rule 68, which directs that a plaintiff who rejects a formal settlement offer must pay post-offer costs if the “judgment that the offeree finally obtains is not more favorable than the unaccepted offer,” was not applicable since Delta’s offer of \$450 was not a reasonable, good faith attempt to settle the case. The Court of Appeals for the Seventh Circuit affirmed on the same grounds.

The Supreme Court affirmed the result, although it rejected the reasoning of the lower courts. In an opinion written by Justice Stevens, the Court held that Rule 68’s reference to “judgment * * * obtained by the offeree” did not encompass a judgment against the offeree:

Our interpretation of the Rule is consistent with its purpose. The purpose of Rule 68 is to encourage the settlement of litigation. In all litigation, the adverse consequences of potential defeat provide both parties with an incentive to settle in advance of trial. Rule 68 provides an additional inducement to settle in those cases in which there is a strong probability that the plaintiff will obtain a judgment but the amount of recovery is uncertain. Because prevailing plaintiffs presumptively will obtain costs under Rule 54(d), Rule 68 imposes a special burden on the plaintiff to whom a formal settlement offer is made. If a plaintiff rejects a Rule 68 settlement offer, he will lose some of the benefits of victory if his recovery is less than the offer. Because costs are usually assessed against the losing party, liability for costs is a normal incident of defeat. Therefore, a nonsettling plaintiff does not run the risk of suffering additional burdens that do not ordinarily attend a defeat, and Rule 68 would provide little, if any, additional incentive if it were applied when the plaintiff loses.

Defendant argues that Rule 68 does provide such an incentive, because it operates to deprive the district judge of the discretion vested in him by Rule 54(d). According to this reasoning, Rule 68 is mandatory, and a district judge must assess costs against a plaintiff who rejects a settlement offer and then either fails to obtain a judgment or recovers less than the offer. * * *

* * * If, as defendant argues, Rule 68 applies to defeated plaintiffs, any settlement offer, no matter how small, would apparently trigger the operation of the Rule. Thus any defendant, by performing the meaningless act of making a nominal settlement

offer, could eliminate the trial judge’s discretion under Rule 54(d). We cannot reasonably conclude that the drafters of the Federal Rules intended on the one hand affirmatively to grant the district judge discretion to deny costs to the prevailing party under Rule 54(d) and then on the other hand to give defendants—and only defendants—the power to take away that discretion by performing a token act. Moreover, if the Rule operated as defendant argues, we cannot conceive of a reason why the drafters would have given only defendants, and not plaintiffs, the power to divest the judge of his Rule 54(d) discretion. * * * When Rule 68 is read literally, however, it is evenhanded in its operation. As we have already noted, it does not apply to judgments in favor of the defendant or to judgments in favor of the plaintiff for an amount greater than the settlement offer. In both of those extreme situations the trial judge retains his Rule 54(d) discretion. * * * Thus unless we assume that the Federal Rules were intended to be biased in favor of defendants, we can conceive of no reason why defendants—and not plaintiffs—should be given an entirely risk-free method of denying trial judges the discretion that Rule 54(d) confers regardless of the outcome of the litigation.

The Court of Appeals, perceiving the anomaly of allowing defendants to control the discretion of district judges by making sham offers, resolved the problem by holding that only reasonable offers trigger the operation of Rule 68. But the plain language of the Rule makes it unnecessary to read a reasonableness requirement into the Rule. * * *

Id. at 352–55, 101 S.Ct. at 1150–52, 67 L.Ed.2d at 292–95.

MAREK v. CHESNY, 473 U.S. 1, 105 S.Ct. 3012, 87 L.Ed.2d 1 (1985), involved three police officers, who, in answering a call on a domestic disturbance, shot and killed Alfred Chesny’s son. Chesny, on his own behalf and as administrator of his son’s estate, filed suit against the officers in federal district court under 42 U.S.C. § 1983 and state tort law. Prior to trial, the police officers made a timely offer of settlement of \$100,000, expressly including accrued costs and attorney’s fees, but Chesny did not accept the offer. The case went to trial and Chesny was awarded \$5,000 on the state-law claim, \$52,000 for the Section 1983 violation, and \$3,000 in punitive damages. Chesny then filed a request for attorney’s fees under 42 U.S.C. § 1988, which provides that a prevailing party in a Section 1983 action may be awarded attorney’s fees “as part of the costs.” The claimed attorney’s fees included fees for work performed subsequent to the settlement offer. The District Court declined to award these latter fees

pursuant to Rule 68. The Court of Appeals reversed, but the Supreme Court agreed with the District Court.

The Court held first that the officers’ offer was valid under Rule 68. As the Court read it, the Rule does not require that a defendant’s offer itemize the respective amounts being tendered for settlement of the underlying substantive claim and for costs. In reaching this result, Chief Justice Burger, writing for the majority, asserted that the drafters’ concern was not so much with the particular components of offers, but with the judgments to be allowed against defendants. Whether or not the offer recites that costs are included or specifies an amount for costs, the offer allows judgment to be entered against defendant both for damages caused by the challenged conduct and for costs. In the Chief Justice’s view, this construction of Rule 68 furthers its objective of encouraging settlements.

He next noted that the drafters of Rule 68 were aware of the various federal statutes that, as an exception to the “American Rule,” authorize an award of attorney’s fees to prevailing parties as part of the costs in particular cases. From this, he concluded that the term “costs” in the Rule was intended to refer to all costs properly awardable under the relevant substantive statute. Thus, when the underlying statute defines “costs” to include attorney’s fees, the fees are to be included as costs for purposes of Rule 68. Since Section 1983 expressly includes attorney’s fees as “costs” available to a prevailing plaintiff in a suit under the statute, those fees are subject to the cost-shifting provision of Rule 68. As Chief Justice Burger saw it, rather than “cutting against the grain” of Section 1983, applying Rule 68 in the context of a Section 1983 action is consistent with Section 1988’s policies and objectives of encouraging plaintiffs to bring meritorious civil rights suits; Rule 68 simply encourages settlements.

Justice Brennan filed a vigorous dissent for himself and Justices Marshall and Blackmun.

NOTES AND QUESTIONS

1. The majority in *Marek* argued that the effect of Rule 68 is neutral because settlements serve the interest of plaintiffs as well as defendants. However, because the rule is available only to defendants, might its use tend to lower settlement offers? See Miller, *An Economic Analysis of Rule 68*, 15 J.Legal Stud. 93 (1986); Rowe, *Predicting the Effects of Attorney Fee Shifting*, 47 Law & Contemp.Probs. 139 (1984).

2. Rule 68 remains underutilized. Why might this be the case? A pair of commentators offers this possible explanation:

Federal Rule 68’s use of the term “offer of judgment” is criticized as off-putting to some litigants. A typical privately negotiated settlement would include a non-admission of liability and likely a confidentiality provision. In contrast, a judgment is considered a

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formal public declaration of wrongdoing that clients want to avoid for various reasons. Concerns over copycat litigation, adverse publicity, and negative career impact make defendants wary of the offer of judgment. It is suggested that the phrase “offer of settlement” might be more palatable.

Sherman & Fairman, *Interplay Between Mediation and Offer of Judgment Rule Sanctions*, 26 Ohio St.J. on Disp. Resol. 327, 332–34 (2011); see also Bone, “*To Encourage Settlement*”: *Rule 68, Offers of Judgment, and the History of the Federal Rules of Civil Procedure*, 102 Nw.U.L.Rev. 1561 (2008).

3.Implicit in the attempt to encourage settlement is an assumption that a negotiated resolution of a dispute is more desirable than that of a judicial disposition. Consider the contrary position of Professor Fiss, who has emphasized the public role of litigation as “an institutional arrangement for using state power to bring a recalcitrant reality closer to our chosen ideals”:

I do not believe that settlement as a generic practice is preferable to judgment or should be institutionalized on a wholesale and indiscriminate basis. It should be treated instead as a highly problematic technique for streamlining dockets. Settlement is for me the civil analogue of plea bargaining: Consent is often coerced; the bargain may be struck by someone without authority; the absence of a trial and judgment renders subsequent judicial involvement troublesome; and although dockets are trimmed, justice may not be done. Like plea bargaining, settlement is a capitulation to the conditions of mass society and should be neither encouraged nor praised.

Fiss, *Against Settlement*, 93 Yale L.J. 1073, 1075, 1089 (1984) (citations omitted). See Cohen, *Revisiting Against Settlement: Some Reflections on Dispute Resolution and Public Values*, 78 Fordham L.Rev. 1143 (2009).

4.Settlement terms may be drafted to protect the privacy of the parties to the contract. Retaining the confidentiality of information may be desirable for the parties, but is it desirable for society as a whole? See Macklin, *Promoting Settlement, Foregoing the Facts*, 14 N.Y.U.Rev.L. & Soc. Change 579 (1986) (stressing the value of judicial factfinding as “a source of tested facts” for use in public policy discussion and planning). Is it appropriate for settlement agreements to block the public from learning about defective products, employment discrimination, and other forms of illegality that reasonably can be expected to cause harm to nonparties? See Levmore & Fagan, *Semi-Confidential Settlements in Civil, Criminal, and Sexual Assault Cases*, 103 Cornell L.Rev. 311 (2018); Resnik, *Uncovering, Disclosing, and Discovering How the Public Dimensions of Court-Based Processes Are at Risk*, 81 Chi.-Kent L.Rev. 521 (2006).

5.How does judicial participation in the settlement process affect the judge’s traditional role as decision-maker? Some judges delegate the task of negotiating a settlement to an extrajudicial officer. Other judges may conduct

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a mediation conference with the goal of settling the dispute. See Brunet, *Judicial Mediation and Signaling*, 3 Nev.L.Rev. 233 (2002–2003). Is there a danger that judicial mediation will undermine the judge’s ability to be a neutral decision-maker? See Shweder, *Judicial Limitations on ADR: The Role and Ethics of Judges Encouraging Settlements*, 20 Geo.J.Legal Ethics 51 (2007).

6.In DIAL CO. v. NEWS CO., 317 F.R.D. 426 (S.D.N.Y. 2016), plaintiffs, representing a class of non-retailer consumer packaged-good firms, sought final approval of a \$244 million settlement with defendants. The settlement resolved class claims that defendants monopolized the in-store promotion (“ISP”) services market. The agreement provided for distribution of funds to class members, and barred defendants from engaging in future anticompetitive behavior. The agreement also included an ADR clause requiring disputes about the settlement to be submitted to mediation and arbitration. The District Court approved the settlement, but expressed concerns about the ADR provision:

Notably, the Settlement also features structural relief designed to bring transparency to the ISP market and the way retailer contracts are negotiated. This type of relief squarely addresses Plaintiffs’ claims that the length, renewal period, and confidentiality clauses of Defendants’ contracts with retailers created barriers to entry and suppressed prices. While those forms of relief are intended to protect Plaintiffs for at least five years, the ADR clause provides that any dispute arising from the Settlement—including Defendants’ compliance with the structural relief within three years of the final settlement approval—are subject to mediation and arbitration.

In essence, this Court—having supervised this action for four years and becoming intimately familiar with the parties, issues, and facts of this case—must cede its authority to adjudicate any disputes relating to the very issues that gave rise to the action. The ADR clause affords Defendants a non-public forum to litigate any non-compliance with the structural relief. And once the settlement is approved, and the distribution of funds completed, the clarity forged by the adversarial process melts away.

But judicial decisions addressing court-approved class settlement agreements with ADR clauses, let alone rejecting them solely on that basis, are scant. * * *

This Court’s concerns regarding the ADR provision are mitigated by the fact that the Class is comprised of sophisticated businesses far better equipped than the average individual to litigate with Defendants in an opaque arbitral forum should the need arise. Moreover, none of the Class Members, after having adequate time to review the Settlement, objected to its terms. Further, Defendants insisted on adding an arbitration clause, and without it, may not have agreed to the Settlement. (See Sept. 21, 2016 Tr. at 16:6–10 (“Without

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the arbitration we wouldn’t have a deal.”).) The ADR provision, while not ideal in this Court’s view, represents a “fair proxy” for future disputes.

Id. at 432–33.

D. ASSESSING ADR AND THE ROLE OF CIVIL LITIGATION IN AMERICAN SOCIETY

ADR promises an alternative to the public system of courts that is flexible, participatory, expeditious, and cheaper. Whether ADR succeeds on its own terms remains an open question given limited data about a set of processes that are private and shielded from public scrutiny. See Landsman, *ADR and the Cost of Compulsion*, 57 Stan.L.Rev. 1593 (2005). Professor Hensler has warned that ADR may have a deleterious effect on democratic norms:

The public spectacle of civil litigation gives life to the “rule of law.” * * * In a democracy where many people are shut out of legislative power either because they are too few in number, or too dispersed to elect representatives, or because they do not have the financial resources to influence legislators, collective litigation in class or other mass form provides an alternative strategy for group action. Private individualized dispute resolution extinguishes the possibility of such collective litigation. Conciliation has much to recommend it. But the visible presence of institutionalized and legitimized conflict, channeled productively, teaches citizens that it is not always better to compromise and accept the status quo because, sometimes, great gains are to be had by peaceful contest.

Hensler, *Our Courts, Ourselves: How the Alternative Dispute Resolution Movement Is Re-Shaping Our Legal System*, 108 Penn St.L.Rev. 165 (2003). In what ways might a parallel system of private justice affect the operation of the public courts? See Horton, *Arbitration as Delegation*, 86 N.Y.U.L.Rev. 437 (2011). A noted federal judge has expressed these concerns:

Widespread privatization of dispute resolution has the potential to stunt the common law’s development as entire areas of law are removed from the courts; deprive the public of important information, such as news of a product’s harmful effects; deny plaintiffs the therapeutic benefit of having their “day in court;” degrade constitutional guarantees of the right to a jury trial; and prevent public debate and consensus-building in cases with national public policy implications.

Weinstein, *Some Benefits and Risks of Privatization of Justice Through ADR*, 11 Ohio St.J. on Disp. Resol. 241, 246 (1996).

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Recall the question posed at the outset of this book: “What is the test of a good system of procedure?” See p. 3, supra. What is the relevance of this question to your assessment of ADR?

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